



QUALIFICATION PROGRAMME

Associate **Module 6**

Financial Accounting

FOURTH EDITION



Hong Kong Institute of
Certified Public Accountants
香港會計師公會





MODULE 6
**FINANCIAL
ACCOUNTING**

Qualification Programme

Fourth Edition



Hong Kong Institute of
Certified Public Accountants
香港會計師公會

WILEY

Fourth edition 2023

ISBN 9781394154838

Library of Congress Cataloging-in-Publication Data

Library of Congress Cataloging-in-Publication data is available for this book

Published by

John Wiley & Sons, Inc.
111 River Street
Hoboken
NJ 07030, USA

www.wiley.com

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Cover image: © Gyorgy Barna

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DIRECTOR'S MESSAGE

Congratulations on choosing the Qualification Programme ('QP') of the Hong Kong Institute of Certified Public Accountants ('HKICPA') as your pathway to becoming a CPA! You have joined thousands of others on this exciting and important journey to develop the knowledge, skills and perspectives you need to succeed in your career and becoming a valued member of the Institute.

The world is evolving rapidly, so too is the business environment. The Accounting profession faces a number of challenges and trends including technological enhancement, regulatory development, changing societal expectations and more.

Professional accountants are no longer left only to deal with numbers, but also to analyse and advise. We are also expected to be highly strategic, collaborative, and building trust by demonstrating relevance and value to many aspects of society.

The QP of the HKICPA aims at qualifying accountants with the agility needed to embrace the changing environment. You will grow and discover a plethora of relevant competencies through QP by completing training programmes, passing professional examinations and acquiring practical experience under an authorised employer or supervisor. In the longer term, we hope that you will succeed not only in accountancy but also in enhancing your employability and portability so that you will be able to help business and society move forward.

We are delighted to partner with you on your development journey.

The QP consists of three levels of designations:

- The Associate Level aims to build a solid foundation of technical accounting knowledge.
- The Professional Level aims to deepen your technical capabilities and develop core enabling competences in the workplace.
- The Capstone integrates your knowledge, skills and experiences to resolve business problems and emerge as a top tier accounting professional.

We have designed this Learning Pack to provide you with the valuable resources for your development on attaining your CPA designation under the QP. I trust you will be successful and enjoy your QP journey!

Should you require any assistance at any time, please feel free to contact us on (852) 2287 7228.

Kit Wong
Director of Education and Training
Hong Kong Institute of Certified Public Accountants



INTRODUCTION

Successfully preparing for a career in accounting is a significant undertaking. To better prepare you for this challenging profession, the Hong Kong Institute of Certified Public Accountants (HKICPA) provides a qualification programme (QP) comprising three progressive levels: A 10-module Associate Level, a four-module Professional Level including workshops and a Capstone that includes three-day workshops and a final examination.

The Associate Level of the QP comprises 10 modules. Each of these modules involves approximately 80 hours of self-study and a closed-book module examination (except for Module 10: Business and Company Law in which the examination is open-book).

- **Module 1:** Accounting
- **Module 2:** Management Accounting
- **Module 3:** Business Economics
- **Module 4:** Business Management
- **Module 5:** Information Management
- **Module 6:** Financial Accounting
- **Module 7:** Financial Management
- **Module 8:** Principles of Auditing
- **Module 9:** Principles of Taxation
- **Module 10:** Business and Company Law

While each of the Associate Level and Professional Level modules stands on its own, the modules are also arranged in a series of ‘verticals’ that map to the CPA competence blueprint. These verticals are designed to develop an area of knowledge, through two or three modules, from basic understanding to professional excellence.

The Financial Accounting and Reporting vertical runs from Module 1, through Module 6 to Professional Level Module 11: Financial Reporting. A second vertical, Management Accounting, runs from Module 2, via Module 7 to Professional Level Module 12: Business Finance. The third vertical, Audit and Assurance, develops from Module 8 to Professional Level Module 13: Business Assurance. The fourth vertical, Taxation, takes students from Module 9 to Professional Level Module 14: Taxation.

Each Associate Level module of the new QP requires students to sit a three-hour examination. Two exam sittings are held each year in June session and December session. Please refer to the Student Handbook for the examination structure and the cut-off rule on the examinable content.



HKICPA PROFICIENCY LEVELS AND TAXONOMY

The proficiency level indicated in the table below reflects the level at which the topics covered in particular learning outcome is tested. There are three levels of proficiency:

- Level 1 is the foundational level, covering the skills of knowledge and comprehension.
- Level 2 is the intermediate level, covering the skills of application and analysis.
- Level 3 is the advanced level, covering the skills of integration and evaluation.

You are expected to understand which skill is exercised based on the taxonomy verbs with which it is associated.

Please note that the list of taxonomy verbs below is for reference only and does not represent an exhaustive list.

LEVEL 1: FOUNDATION		
Skill	Verb	Definition
Knowledge The remembering of previously learned material (recall of facts)	<i>Define</i>	Give the accepted meaning of
	<i>Identify</i>	List or ascertaining possibilities before analysis; Point to the essential part or parts
	<i>List</i>	Provide a concise summary of the relevant points, often in bullet point format
	<i>Outline</i>	Give the main facts about something
	<i>State</i>	Accurately articulate established principles, concepts, terms etc.
Comprehension Demonstrative understanding of facts and ideas by organising, comparing, translating, interpreting, giving descriptions and stating main ideas	<i>Describe</i>	Communicate the key features of something, present a detailed account of something focusing on depth of knowledge
	<i>Explain</i>	Make clear the details of something; or show how the reason for, or underlying cause of, or the means by which something occurs
	<i>Illustrate</i>	Offer examples, to show how something happens, that something happens, or make concrete a concept by giving examples
	<i>Interpret</i>	Make clear the meaning of something and its implications
	<i>Summarise</i>	Describe something concisely; bring together the main facts

LEVEL 2: INTERMEDIATE

Skill	Verb	Definition
Application Using new knowledge. Solve problems to new situations by applying acquired knowledge, facts, techniques and rules in a different way	<i>Account for / Demonstrate</i>	Give details of accounting entries to be made for in the context of financial reporting or justify (if used in a more general context); Demonstrate the accounting treatment by using a set of accounts
	<i>Apply</i>	Demonstrate knowledge, concepts or techniques; Use established methods / tools / procedures to resolve relatively straightforward scenarios or problems
	<i>Calculate / Compute</i>	Determine by computation or arrive at by mathematical means or processes
	<i>Prepare</i>	Follow established procedures / methods to create a report of financial information or commentary (e.g. using a proforma spreadsheet)
	<i>Solve</i>	To work out to a result or conclusion
	<i>Use</i>	Apply in a practical way
Analysis Examine and break information into parts by identifying motives or causes. Make inferences and find evidence to support generalisation	<i>Analyse</i>	To examine methodically by separating into parts and studying the interrelationships in order to discover essential features
	<i>Compare</i>	Critically consider two or more things, emphasising their similarities
	<i>Contrast</i>	Critically consider two or more things, emphasising their differences
	<i>Classify / Categorise</i>	Apply concepts to categorise information or groups into categories
	<i>Justify</i>	Explain the reason for recommendation made, or underlying cause of, based on an analysis of a range of available options
	<i>Prioritise / Determine</i>	Determine the order for dealing with a series of items or tasks according to their relative importance e.g. Determine the priorities / determine the level of importance

LEVEL 3: ADVANCED

Skill	Verb	Definition
Integration Compile information together in a different way by combining elements in a new pattern or proposing alternative solutions	<i>Construct</i>	To form an idea, a process, or procedure by bringing together various theoretical and conceptual elements
	<i>Design</i>	Develop a procedure/process or course of action based on selection of the optimum combination from a range of available options
	<i>Develop</i>	To bring something into existence that has not previously existed, or to reshape something from its initial position into something more refined; Use judgement to bring to a more advanced or effective state or to create a plan
	<i>Formulate</i>	Devise and put a plan into words
	<i>Integrate</i>	Combine one aspect of learning with another to form a holistic understanding of a process, procedure or course of action
	<i>Plan / Propose</i>	Formulate a detailed proposal for doing or achieving something
	<i>Produce</i>	Draw together similar or disparate items to form a report containing financial and/or non-financial information
Evaluation The ability to judge the value of material for a given purpose	<i>Advise</i>	Communicate appropriately the recommended course of action based on an analysis of specific circumstances in a manner suited to the recipient
	<i>Appraise</i>	Assess the value or quality of something; or to assess its performance
	<i>Consider</i>	Think carefully about something before making a decision, to look closely or attentively at something through a process involving critical thinking
	<i>Evaluate</i>	Assess and determine the value, importance or qualities of something, normally with reference to specific criteria and draw conclusions
	<i>Recommend</i>	Select the best course of action or choice; Advocate a particular outcome or course of action based on an analysis of a range of available options

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The International Federation of Accountants. (2016). *Framework for International Education Standards for Professional Accountants and Aspiring Professional Accountants*. (2015). Retrieved from <https://www.ifac.org>

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LEARNING OUTCOMES

Each module includes Principal Learning Outcomes and Supporting Learning Outcomes arranged along a series of proficiency levels.

Module 6

Syllabus area	Weighting (%)
Describe the framework of financial accounting and reporting	5–10
Apply appropriate accounting principles and concepts to account for business transactions	40–50
Prepare and present financial statements in accordance with Hong Kong Financial Reporting Standards	20–30
Apply the accounting principles and concepts to prepare financial statements with simple group structures	15–25

The syllabus weighting table indicates the relative weightings of the syllabus areas encompassed in this module. It serves as a guide to the percentage of study time spent on each syllabus area. In the long run, the marks allocation in the module examinations would conform to the weightings as shown above. The exact range of marks allocation in each module examination may deviate from the weightings for suitably robust questions to be set.

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO1: DESCRIBE THE FRAMEWORK OF FINANCIAL ACCOUNTING AND REPORTING		
LO1.01: Describe the financial reporting framework	1	
1.01.01 Explain the historical development of the accountancy profession and accounting thought	1	1
1.01.02 Explain the conceptual framework for financial reporting	1	1
1.01.03 Describe the legal and reporting framework applicable to financial accounting in Hong Kong	1	1
1.01.04 Describe the standard-setting process and role of Hong Kong Financial Reporting Standards	1	1
1.01.05 Describe the application of accounting guidelines and other professional pronouncements and exposure drafts	1	1
1.01.06 Identify the condition under which an entity may adopt the Hong Kong Small and Medium-sized Entity Financial Reporting Framework (SME-FRF) and the Hong Kong Small and Medium-sized Entity Financial Reporting Standard (SME-FRS)	1	1
1.01.07 Identify the condition under which an entity may adopt the HKFRS for Private Entities as a financial reporting option for Private Entities	1	1

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS		
Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to:		
LO2.01: Accounting policies, changes in accounting estimates and errors	2	
2.01.01 Define and explain the difference between accounting policies, accounting estimates and correction of prior period errors	1	13
2.01.02 Account for the change in accounting policy, accounting estimate and correction of prior period error	2	13
2.01.03 Prepare the disclosure in respect of the change in accounting policy, accounting estimate and correction of prior period error	2	13
LO2.02: Revenue	2	
2.02.01 Define revenue	1	3
2.02.02 Apply the criteria for recognising revenue generated from contracts where performance obligations are satisfied over time	2	3
2.02.03 Explain the measurement principles of revenue	1	3
2.02.04 Account for revenue arising from specified types of revenue items	2	3
2.02.05 Prepare the disclosure in respect of revenue	2	3
LO2.03: Inventories	2	
2.03.01 Describe the scope and definition of inventories	1	4
2.03.02 Use acceptable methods of assigning costs including the allocation of overheads to inventories	2	4
2.03.03 Calculate the costs of inventories under different type of costing methods	2	4
2.03.04 Calculate the net realisable value	2	4
2.03.05 Explain the potential impact of net realisable value falling below cost and make the required adjustments	1	4
2.03.06 Prepare the disclosure in respect of inventories	2	4
LO2.04: Property, plant and equipment	2	
2.04.01 Apply the recognition principles in respect of property, plant and equipment	2	5
2.04.02 Account for property, plant and equipment under the cost model and revaluation model	2	5
2.04.03 Account for subsequent measurement, including impairment, and derecognition of property, plant and equipment	2	5
2.04.04 Prepare the disclosure in respect of property, plant and equipment	2	5

Learning Outcomes	Proficiency Level	Chapter where covered
LO2.05: Intangible assets	2	
2.05.01 Define intangible asset	1	9
2.05.02 Apply the recognition criteria for intangible assets	2	9
2.05.03 Account for subsequent measurement of intangible assets, including: • cost model and revaluation model • amortisation and impairment	2	9
2.05.04 Explain the accounting treatment for internally generated intangible assets	1	9
2.05.05 Identify and explain the difference between research and development phases	1	9
2.05.06 Explain and apply the accounting treatment for research costs and the recognition criteria for development costs	2	9
2.05.07 Account for separately acquired intangible assets	2	9
2.05.08 Explain the difference between internally generated goodwill and goodwill arising on business combination	1	9
2.05.09 Prepare the disclosure in respect of intangible assets	2	9
LO2.06: Investment property	2	
2.06.01 Define investment property	1	6
2.06.02 Explain when a property should be classified as investment property	1	6
2.06.03 Account for investment property under the cost model and fair value model	2	6
2.06.04 Account for a change in use of investment property	2	6
2.06.05 Prepare the disclosure in respect of investment property	2	6
LO2.07: Financial assets, financial liabilities and equity instruments	2	
2.07.01 Define: • financial asset • financial liability • equity instrument	1	10
2.07.02 Describe the classification principle of financial assets, financial liabilities and equity instruments	1	10
2.07.03 Account for financial assets and financial liabilities with simple structure on their initial recognition and subsequent measurement	2	10
2.07.04 Explain the accounting treatment for the derecognition of financial assets and financial liabilities	1	10
2.07.05 Explain the classification of a financial asset to an appropriate stage in the expected credit loss model	1	10

Learning Outcomes	Proficiency Level	Chapter where covered
2.07.06 Explain the accounting treatment for the recognition of an expected credit loss for a financial asset	1	10
2.07.07 Describe the underlying accounting principles and rules for offsetting financial assets and financial liabilities	1	10
LO2.08: Borrowing costs	1	
2.08.01 Explain the criteria for capitalisation of borrowing costs	1	8
2.08.02 Illustrate, with simple calculation, how the borrowing costs in respect of specific borrowings and general borrowings are to be capitalised	1	8
LO2.09: Impairment of assets	2	
2.09.01 Identify an asset that may be impaired by reference to common external and internal indicators	1	11
2.09.02 Illustrate when an impairment test should be performed for various types of non-current assets and give examples of indicators of impairment	1	11
2.09.03 Apply the impairment tests for individual assets and for cash-generating units	2	11
2.09.04 Describe how goodwill impairment should be performed	1	11
2.09.05 Identify external or internal indication for reversal of impairment loss on assets	1	11
2.09.06 Account for impairment losses for different types of non-current assets	2	11
2.09.07 Account for the subsequent reversal of impairment loss recognised in prior periods	2	11
2.09.08 Describe the accounting treatment for reversal of impairment loss and illustrate the calculation of the amount of reversal allowed	1	11
2.09.09 Prepare the disclosure in respect of impairment of assets	2	11
LO2.10: Leases	2	
2.10.01 Determine whether a contract contains a lease	2	7
2.10.02 Explain the reasons for the separation of the components of a lease contract into lease and non-lease elements	1	7
2.10.03 Account for leases from the perspective of the lessee, including measurement of right-of-use assets and lease liabilities	2	7
2.10.04 Illustrate the recognition exemptions from the perspective of the lessee	1	7
2.10.05 Explain the classification criteria of leases as operating and finance leases from the perspective of the lessor	1	7
2.10.06 Account for leases from the perspective of the lessor	2	7
2.10.07 Prepare the disclosure in respect of leases	2	7
LO2.11: Events after the reporting period	2	
2.11.01 Define events after the reporting period	1	14
2.11.02 Define and explain the difference between adjusting and non-adjusting events	1	14

Learning Outcomes	Proficiency Level	Chapter where covered
2.11.03 Apply the accounting treatment for adjusting and non-adjusting events	2	14
2.11.04 Prepare the disclosure in respect of events after the reporting period	2	14
LO2.12: Provisions, contingent liabilities and contingent assets	2	
2.12.01 Explain the difference between provisions and other types of liabilities such as trade payables	1	15
2.12.02 Define provisions, contingent liabilities and contingent assets	1	15
2.12.03 Describe the accounting treatment for onerous contracts	1	15
2.12.04 Apply the recognition criteria and accounting treatment for provisions	2	15
2.12.05 Describe the accounting treatment for contingent liabilities and contingent assets	1	15
2.12.06 Prepare the disclosure in respect of provision, contingent liabilities and contingent assets	2	15
LO2.13: Income taxes	1	
2.13.01 Define and explain the difference between current tax and deferred tax	1	16
2.13.02 Explain the accounting treatment for current tax liabilities and current tax assets	1	16
2.13.03 Explain why deferred tax adjustments are required	1	16
2.13.04 Define and explain the difference between the tax base and the carrying amount for assets and liabilities for a single entity	1	16
2.13.05 Identify the tax base for assets and liabilities for a single entity	1	16
2.13.06 Define and explain the difference between taxable and deductible temporary differences	1	16
2.13.07 Describe a temporary difference that results in a future taxable and deductible amount for a single entity	1	16
2.13.08 Explain when and how deferred tax assets and liabilities should be recognised	1	16
LO2.14: The effects of changes in foreign exchange rates	1	
2.14.01 Define and explain the difference between functional currency and presentation currency	1	18
2.14.02 Explain the factors to be considered when determining the functional currency	1	18
2.14.03 Explain the accounting treatment for foreign currency transactions	1	18

Learning Outcomes	Proficiency Level	Chapter where covered
2.14.04 Define and explain the difference between monetary and non-monetary items	1	18
2.14.05 Describe the accounting treatment of foreign currency monetary and non-monetary items at the reporting date	1	18
LO2.15: Related party disclosures	1	
2.15.01 Define and identify related parties	1	19
2.15.02 Explain the significance of sufficient disclosure of related party transactions	1	19
2.15.03 Describe the disclosure requirements in respect of the related party relationships and transactions	1	19
LO2.16: Non-current assets held for sale and discontinue operations	1	
2.16.01 Describe the classification criteria for non-current assets (or disposal groups) held for sale or distribution to owners	1	12
2.16.02 Define disposal groups	1	12
2.16.03 Explain the measurement principles of non-current assets (or disposal groups) held for sale or distribution to owners	1	12
2.16.04 Describe the key requirements of presentation and disclosures in respect of a non-current asset (or disposal group) held for sale or distribution to owners	1	12
2.16.05 Define and identify a discontinued operation	1	12
2.16.06 Describe the key requirements of presentation and disclosure in respect of a discontinued operation	1	12
LO2.17: Earnings per share (EPS)	1	
2.17.01 Explain the scope to apply the disclosure of EPS	1	17
2.17.02 Explain the concepts of basic EPS and diluted EPS	1	17
2.17.03 Describe the limitations of using EPS as a performance measure	1	17
2.17.04 Describe the disclosure requirements in respect of EPS	1	17
LO2.18: Fair value measurement	1	
2.18.01 Define fair value	1	2
2.18.02 Explain various appropriate valuation techniques in measuring the fair value of an item	1	2
2.18.03 Explain appropriate inputs to valuation techniques in measuring the fair value of an item, with reference to the fair value hierarchy	1	2
2.18.04 Illustrate the valuation approach to measure the fair value for key financial and non-financial assets and liabilities, including property, plant and equipment, intangible assets, investment properties and financial instruments	1	2
2.18.05 Identify the relevant information for fair value disclosure	1	2

Learning Outcomes	Proficiency Level	Chapter where covered
PRINCIPAL LO3: PREPARE AND PRESENT FINANCIAL STATEMENTS IN ACCORDANCE WITH HONG KONG FINANCIAL REPORTING STANDARDS		
LO3.01: Explain the basis of preparation and presentation of financial statements	1	
3.01.01 Define the elements of financial statements	1	20
3.01.02 Explain the classification, presentation and disclosures required for the following financial statements: • a statement of financial position • a statement of profit or loss and other comprehensive income • a statement of changes in equity • a statement of cash flows • notes comprising material accounting policy information and other explanatory notes	1	20
3.01.03 Explain the requirements of relevant accounting standards in relation to the minimum content and layout for financial statements and disclosures	1	20
LO3.02: Prepare financial statements in accordance with selected Hong Kong Financial Reporting Standards for a single entity	2	
3.02.01 Apply the appropriate accounting treatment for a given scenario in accordance with Hong Kong Financial Reporting Standards	2	20
3.02.02 Account for transactions and prepare financial statements including disclosures in accordance with Hong Kong Financial Reporting Standards	2	20
LO3.03: Prepare a statement of cash flows for a single entity	2	
3.03.01 Explain the difference between operating, investing and financing activities	1	21
3.03.02 Describe cash and cash equivalents	1	21
3.03.03 Define the components of a statement of cash flows	1	21
3.03.04 Explain the importance of a statement of cash flows	1	21
3.03.05 Prepare a statement of cash flows for a single entity	2	21
PRINCIPAL LO4: APPLY THE ACCOUNTING PRINCIPLES AND CONCEPTS TO PREPARE FINANCIAL STATEMENTS WITH SIMPLE GROUP STRUCTURES		
Prepare consolidated financial statements in accordance with Hong Kong Financial Reporting Standards for		
LO4.01: Business combination	2	
4.01.01 Define a parent, a subsidiary, a group, non-controlling interest and consolidated financial statements	1	22
4.01.02 Explain the meaning and the three components of control	1	22
4.01.03 Calculate the total consideration in a business combination, including contingent consideration	2	22
4.01.04 Define, illustrate and account for acquisition-related costs	2	22

Learning Outcomes	Proficiency Level	Chapter where covered
4.01.05 Explain the concept of goodwill	1	22
4.01.06 Calculate goodwill, gain from a bargain purchase and non-controlling interest	2	22
4.01.07 Account for acquisition or disposal of a subsidiary	2	22, 23
4.01.08 Apply the consolidation procedures and the acquisition method of accounting	2	23
4.01.09 Explain the adjustments required in the process of consolidation	1	23
4.01.10 Prepare consolidation adjustments for fair value adjustments, intercompany balances, unrealised intra-group profits/losses and cash-in-transit	2	23
4.01.11 Prepare the adjustments to the financial statements required in a business combination	2	23
4.01.12 Prepare simple consolidated statement of financial position and statement of profit or loss and other comprehensive income	2	23
4.01.13 Prepare the disclosure in respect of consolidated financial statements under the Companies Ordinance and relevant accounting standards	2	23
LO4.02: Investments in associates	2	
4.02.01 Define associate	1	24
4.02.02 Explain the meaning of significant influence	1	24
4.02.03 Account for investments in associates using the equity method	2	24
4.02.04 Prepare disclosure in respect of investment in associates	2	24
LO4.03: Joint arrangements	2	
4.03.01 Define joint control	1	25
4.03.02 Define joint arrangements	1	25
4.03.03 Define and explain the difference between joint ventures and joint operations	1	25
4.03.04 Account for interests in joint ventures using equity method and joint operations	2	25
4.03.05 Prepare the disclosure in respect of interests in a joint venture and joint operations	2	25



STUDY TEXT KEY FEATURES

Each of the Associate Level and Professional Module texts include a series of pedagogical features designed to help QP candidates better absorb the material, reach the required proficiency levels and meet the outlined Learning Outcomes (LOs).

The aim of these features is to help students understand the content while regularly reinforcing concepts and building the skills necessary to successfully complete each of the modules and progress through the Associate Level, the Professional Level and the Capstone.

Each chapter includes these features:

- **Chapter topic list:** A succinct list of the specific topics covered in the chapter.
- **Learning outcomes:** Outlines the specific knowledge points covered in the chapter and the specific skills related to each learning outcome (LO) discussed in the chapter.
- **Opening case:** A case study that aims to relate the material covered in the chapter to a real-life situation. At times, this opening case may be linked to opening cases in other chapters.
- **Overview:** Provides a more detailed preview of the material covered in the chapter.
- **Exhibits and charts:** Through illustrations and examples, exhibits and charts aim to convey information in graphic fashion or actual examples of accounting, reporting or calculations that are likely to be used in actual practice.
- **Illustrative examples:** Case studies that explore specific issues related to the chapter topics and further understanding of the LOs.
- **Apply and analyse:** Exam questions with analysis provided to show how to approach answering the question and apply what was learned from the concepts presented in the chapter.
- **Ethics in practice:** Ethical discussions on issues that may arise during professional practice.
- **Key learning point:** A concise summary of a salient point that is key to achieving chapter LOs.
- **Knowledge check questions:** A set of questions geared at furthering students understanding of specific topics, work through problems and meet the chapter LOs.
- **Summary:** A list of the concepts and topics covered in the chapter in an easy-to-review format.
- **Mind map:** A graphic depiction of the knowledge conveyed in the chapter to facilitate understanding of the LOs.
- **Exam practice questions:** Questions similar to those likely to be featured in the examination paper required for each QP module.

Part A

Framework of Financial Accounting and Reporting



Chapter 1 Financial Reporting Framework

1

Financial Reporting Framework

CHAPTER TOPIC LIST

1.1 Evolution of Accounting and Financial Reporting

1.2 The Conceptual Framework for Financial Reporting

- 1.2.1** Objective of Financial Reporting
- 1.2.2** Qualitative Characteristics of Useful Financial Information
- 1.2.3** Financial Statements and the Reporting Entity
- 1.2.4** Elements of Financial Statements
- 1.2.5** Recognition and Derecognition
- 1.2.6** Measurement
- 1.2.7** Presentation and Disclosure
- 1.2.8** Concepts of Capital and Capital Maintenance

1.3 Financial Reporting Framework in Hong Kong

- 1.3.1** International Financial Reporting Standards
- 1.3.2** Hong Kong Financial Reporting Standards

1.4 Hong Kong Small and Medium-sized Financial Reporting Framework

- 1.4.1** Qualifying Entities
- 1.4.2** Benefits for Adoption of the HK SME-FRF

1.5 Hong Kong Financial Reporting Standard for Private Entities

- 1.5.1** Qualifying Entities
- 1.5.2** Differences Between HK SME-FRF/FRS and HKFRS for PEs



LEARNING OUTCOMES

PRINCIPAL LO1: DESCRIBE THE FRAMEWORK OF FINANCIAL ACCOUNTING AND REPORTING

LO1.01: Describe the financial reporting framework

- 1.01.01** Explain the historical development of the accountancy profession and accounting thought
- 1.01.02** Explain the conceptual framework for financial reporting
- 1.01.03** Describe the legal and reporting framework applicable to financial accounting in Hong Kong
- 1.01.04** Describe the standard-setting process and role of Hong Kong Financial Reporting Standards
- 1.01.05** Describe the application of accounting guidelines and other professional pronouncements and exposure drafts
- 1.01.06** Identify the condition under which an entity may adopt the Hong Kong Small and Medium-sized Entity Financial Reporting Framework (SME-FRF) and the Hong Kong Small and Medium-sized Entity Financial Reporting Standard (SME-FRS)
- 1.01.07** Identify the condition under which an entity may adopt the HKFRS for Private Entities as a financial reporting option for Private Entities



OPENING CASE

BEAUTY FOREVER LIMITED

Beauty Forever Limited is an entity registered under the Hong Kong Companies Ordinance (HK Companies Ordinance). It was established a few months ago with the intention of establishing a business developing natural and organic beauty products using sustainable green practices.

Setting up such a business required a sizeable initial investment to purchase equipment items and to pay operating costs, including research and development, until Beauty Forever Limited generates positive cash flows. Currently, Beauty Forever Limited has five shareholders, mainly held by the Wong's family, and the company is still conducting a roadshow exercise to pitch its ideas to potential investors. Beauty Forever Limited has secured a sizeable loan from Manchester Bank and is negotiating with another financial institution for a loan amounting to HK\$13 million. Most of the equipment items have been purchased on credit. These existing and potential shareholders, lenders, and creditors need financial information to assess the financial position and financial performance of Beauty Forever Limited. They would be interested in questions such as:

- The strength of Beauty Forever Limited's financial position, including whether it has sufficient working capital for operating the business.
- The earning ability of Beauty Forever Limited in selling its products.
- The net cash inflows generated from operating the business and its ability to generate future net cash inflows in assessing whether Beauty Forever Limited has the ability to pay the principal and interest payments as they come due or to distribute dividends.
- How responsible the management of Beauty Forever Limited is when utilising the resources of the business.

The financial statements prepared by Beauty Forever Limited are the main source of such information. The management, in particular, the accounting and finance department, needs to consider how such financial statements are to be prepared, including the principles and framework adopted, to comply with the requirements of various regulators. In adopting the framework for financial reporting, Beauty Forever Limited may need to decide to use the full HKFRS or other alternative frameworks applicable to small and medium-sized companies or private entities in Hong Kong. 



OVERVIEW

Hong Kong Financial Reporting Standards (HKFRSs) are derived from International Financial Reporting Standards (IFRSs), with which they generally share a Conceptual Framework. This framework, being known as the *Conceptual Framework for Financial Reporting* (Conceptual Framework), allows the preparation and presentation of general purpose financial statements that can be understood by a spectrum of users although the primary users are presumed to be present and potential providers of capital. The Conceptual Framework is oriented to providing information that is useful for their decision making.

Following this overall objective, the Conceptual Framework provides precise definitions of the essential elements of financial statements and delineates the qualitative characteristics of useful financial information. The recognition and measurement principles in the Conceptual Framework then guides which transactions and events should be included in the financial statements and how they should be recorded to present the company's financial performance and financial position. The Conceptual Framework allows standard-setters to address new problems more quickly and easily and with solutions that are internally consistent. As the users of the financial statements can understand the principles and assumptions underlying the reporting process, they will have more confidence in them.

This chapter further explores the framework that facilitates the creation of HKFRSs. It also addresses various issues including the legal and reporting framework relating to financial reporting in Hong Kong and other alternative reporting frameworks such as those applicable to small and medium-sized entities (SMEs) as well as private entities (PEs).



1.1 EVOLUTION OF ACCOUNTING AND FINANCIAL REPORTING

Double-entry accounting was first documented when Italian mathematician Luca Bartolomeo de Pacioli published a treatise on accounting that explained double-entry bookkeeping in 1494. The professionalisation of accountancy began around the 1800s. Within a hundred years, the Industrial Revolution spurred a surge in the number of limited companies and large-scale entities. That, in turn, increased substantially the demand for accountants.

By the late 1800s, the Institute of Chartered Accountants in England and Wales was formed by Royal Charter. The Institute drew up standards of conduct and tests for admission. In the United States, the American Institute of Certified Public Accountants (AICPA) was established around the same time.

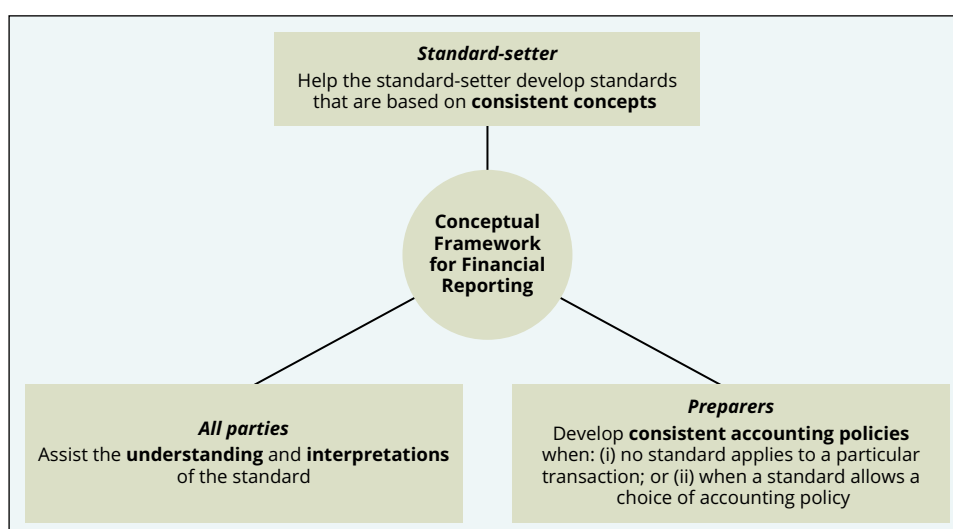
In 1973, professional accountancy bodies from a number of countries formed the International Accounting Standards Committee (IASC) with an objective to develop a common set of accounting standards that are appropriate for global use, known as the International Accounting Standards (IAS). The International Accounting Standards Board (IASB) replaced the IASC in 2001 and has been responsible for issuing the International Financial Reporting Standards (IFRS), which include the existing IASB standards and interpretations and those of the body's predecessor, the IASC.

With the globalisation of capital markets, investors who may previously have only invested in companies in their own countries now often invest in a number of countries. At the same time, entities require funds to finance their operation and may obtain funds from other countries. This globalisation was enabled by the development of a set of global accounting standards, which helped bolster the status of the IASB. Globalisation has led to more countries using the IFRS. Currently, over 140 jurisdictions require or permit the use of the IFRS.

The accounting standards issued by the IASB are influenced by the information needs of global investors. IFRS, from which the HKFRS is derived, address these global information needs which are reflected in the **general purpose financial statements**.

1.2 THE CONCEPTUAL FRAMEWORK FOR FINANCIAL REPORTING

The Hong Kong Institute of Certified Public Accountants (HKICPA) revised and published the *Conceptual Framework for Financial Reporting* in 2018 (Conceptual Framework). The Conceptual Framework outlines the concepts and principles at a high level so that standard-setters can develop uniform and easily understood financial reporting standards such that similar transactions are treated in similar ways. Exhibit 1.1 provides a summary of the purposes of the Conceptual Framework from three different perspectives:



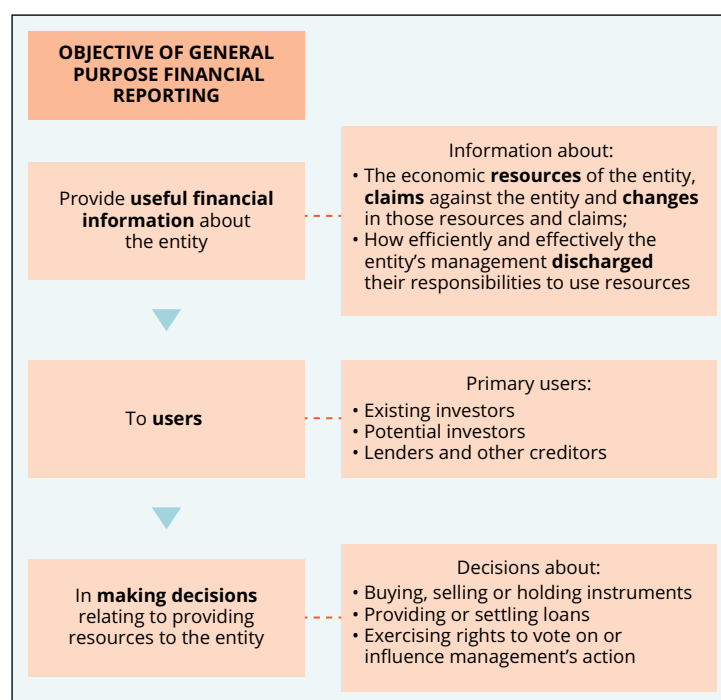
► **EXHIBIT 1.1** Purposes of the Conceptual Framework

The Conceptual Framework is not an accounting standard and nothing in the Conceptual Framework should override any standard (or any requirement in an accounting standard). This section provides an overview of the different chapters in the Conceptual Framework in turn.

1.2.1 Objective of Financial Reporting

The Conceptual Framework starts with the discussion of the objective of **general purpose financial reporting** which forms the foundation of the Conceptual Framework. The objective of general purpose financial reporting is to provide **useful financial information** about an entity to users to make decisions relating to providing resources to the entity. Exhibit 1.2 further elaborates this objective:

HKFRS CF
1.2-1.11



► EXHIBIT 1.2 Objective of general purpose financial reporting

The Conceptual Framework further clarifies that, to make the decisions in Exhibit 1.2, users need to assess:

- prospects for future net cash inflows to the entity (e.g. expected returns, such as dividends, principal and interest payments); and
- the management's stewardship of the entity's **economic resources**. Stewardship generally refers to the careful and responsible management of something entrusted to one's care. Within an entity, the stewardship relates to the entity's assets, such as cash and investments.

1.2.2 Qualitative Characteristics of Useful Financial Information

As discussed in Section 1.2.1, financial reporting aims to provide useful financial information to users. The Conceptual Framework then continues to identify the qualitative characteristics

of useful financial information, which are divided into fundamental and enhancing. These qualitative characteristics (in particular, the fundamental qualitative characteristics) form the guiding principles throughout the Conceptual Framework.

1.2.2.1 Fundamental Qualitative Characteristics

There are two **fundamental qualitative characteristics** for information to be useful:

1. relevance
2. faithful representation

HKFRS CF
2.6–2.11

Relevance

Information is considered relevant if it would make a difference in the decisions users made. Information is relevant if it has predictive value, confirmatory value, or both. Information has predictive value if it assists users in predicting future outcomes. For example, an investor might look at the relationship between net sales and gross profit over a period of time to ascertain whether a trend could be expected to continue. Information has confirmatory value if it confirms or changes previous evaluations. For example, if final sales data for a project matches with the previous forecast, the information has confirmatory value.

Materiality is an entity-specific aspect of relevance based on the nature and/or magnitude of the items to which the information relates in the context of the entity's financial report. Information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial reports make on the basis of those reports, which provide financial information about a specific reporting entity.

HKFRS CF
2.12–2.22

Faithful Representation

To be useful, information must, on top of being relevant, faithfully represent the substance of the phenomena (in words and numbers) that it purports to represent. Information is a faithful representation when it is complete, neutral and free from error:

1. *Complete*: Information is complete if it includes all information necessary for a user to understand the phenomena being depicted, including all necessary descriptions and explanations.
2. *Neutral*: Information is neutral if it is without bias. In other words, it should not be slanted, weighted, emphasised, deemphasised or manipulated. It does not favour the needs of one group of financial statement users over another. Neutral information is supported by **prudence** which refers to the exercise of caution when there is uncertainty. Prudence does not allow for overstatement or understatement of assets, liabilities, income, or expenses.
3. *Free from error*: There are no errors or omissions in describing the phenomenon, and in selecting and applying the appropriate processes to produce information. This does not, however, imply the information is perfectly accurate.

Financial information must faithfully represent an economic phenomenon by showing its economic substance. The substance of a transaction is more important than its (legal) form.

Measurement uncertainty arises when the monetary amounts cannot be observed directly and need to be estimated. This may somehow call into question whether such information is a faithful representation. The Conceptual Framework acknowledges that the use of reasonable estimates is inherent in the preparation of financial statements and does

not undermine the usefulness of the information if the estimates are clearly and accurately described and explained.

Information must *both* be relevant and provide a faithful representation of what it purports to represent if it is to be useful. A good decision cannot be made without either (1) a faithful representation of an irrelevant phenomenon nor (2) an unfaithful representation of a relevant phenomenon.

1.2.2.2 Enhancing Qualitative Characteristics

There are four **enhancing qualitative characteristics**: comparability, verifiability, timeliness, and understandability. These qualities enhance the relevance and faithful representation of an information. Enhancing qualitative characteristics should be maximised to the extent possible. However, these enhancing qualitative characteristic cannot make information useful if that information is irrelevant or is not a faithful representation.

HKFRS CF
2.24–2.29

Comparability

Information about an entity is more useful if it can be compared with:

- similar information about other entities; and
- similar information about the same entity for another period or another date.

Comparability enables users to identify and understand similarities and differences between items. Financial statements of different companies are comparable if the companies adopt the same accounting policies (e.g. when revenue should be recognised).

Consistency refers to the use of the same methods for the same items from period to period. Consistency, although related to comparability, is different. The Conceptual Framework describes comparability as the goal, and consistency helps achieve the goal. For example, the use of the same depreciation method to account for the measurement of office equipment over time (consistency) can make the numbers comparable as these are measured under the same policy.

HKFRS CF
2.30–2.32

Verifiability

Information is verifiable if different knowledgeable and independent observers could reach the same or similar conclusion on whether the particular information is a faithful representation. Verification can be direct (by counting cash to verify the cash balance) or indirect (by checking the inputs to a formula in recalculating the ending inventory balance).

HKFRS CF
2.33

Timeliness

Information is timely, and therefore relevant, if it is made available to decision makers in time to make a difference in their decision making. The older the information, the less useful it is.

HKFRS CF
2.34–2.36

Understandability

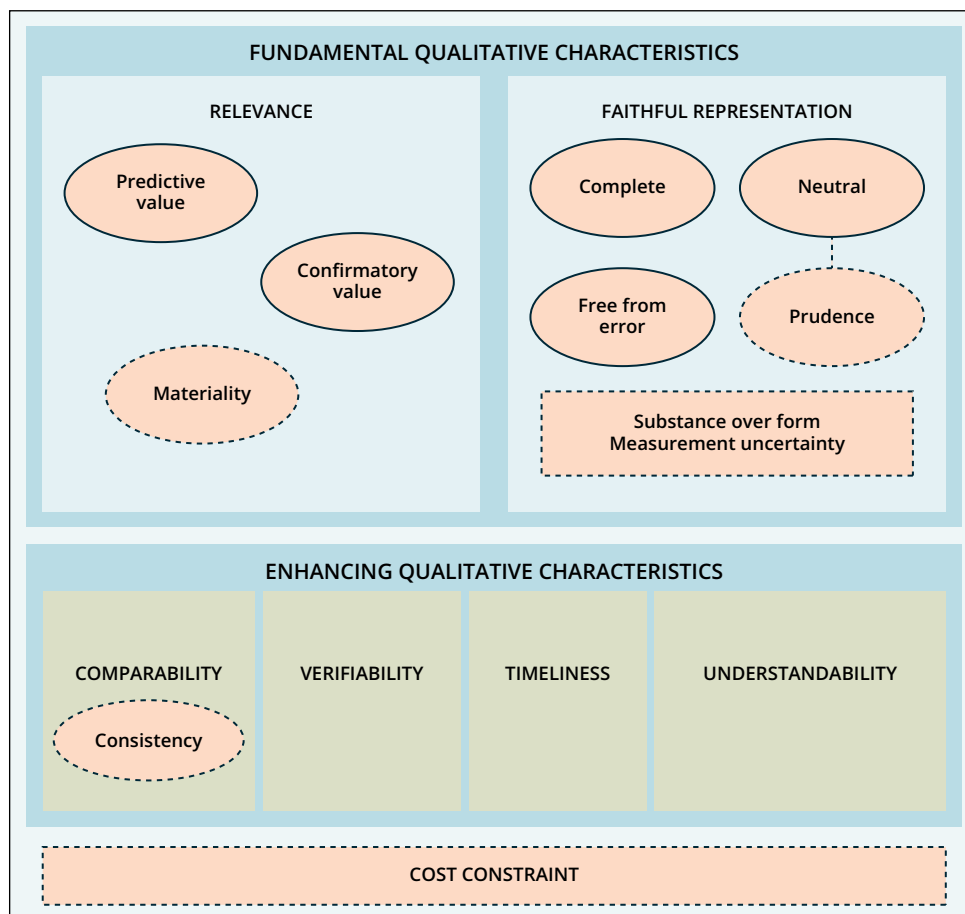
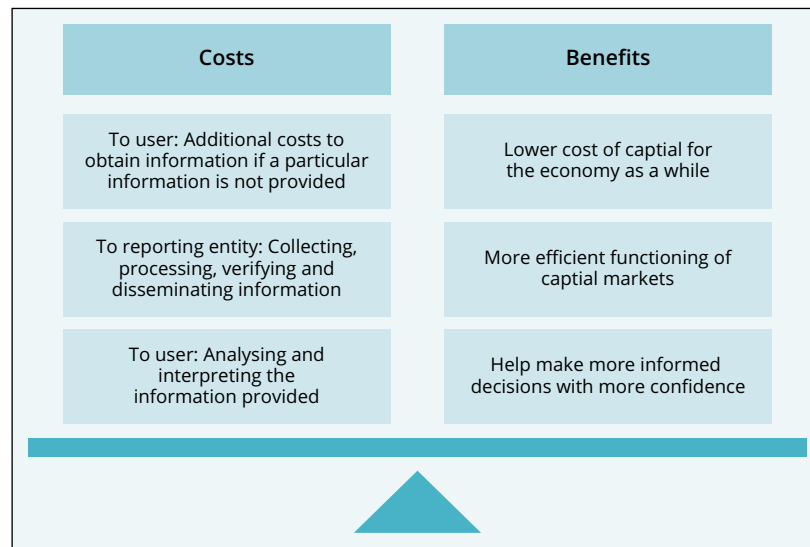
Classifying, characterising and presenting information clearly and concisely makes it understandable. Users are assumed to have a reasonable understanding of business and economic activities and are willing to study the information with reasonable diligence.

HKFRS CF
2.39–2.43

1.2.2.3 Cost Constraint

Reporting financial information imposes costs while reporting useful financial information helps users make decisions with more confidence. It is critical, in the financial reporting

process, to assess whether the benefits of reporting particular information are likely to justify the costs incurred to provide and use that information:



► **EXHIBIT 1.3** Qualitative characteristics of useful financial information

1.2.3 Financial Statements and the Reporting Entity

The previous sections focus on the financial information needed by users and the characteristics of such information. Such information has to be provided in the financial statements, including:

HKFRS CF
3.2–3.3

- statement of financial position, recognising assets, liabilities and equity;
- statement(s) of financial performance, recognising income and expenses; and
- other statements and notes (such as cash flows, contributions from holders of **equity claims** and distributions to them, methods, assumptions and judgements).

HKFRS CF
3.9

1.2.3.1 Going Concern Assumption

In the preparation of the financial statements, the Conceptual Framework includes a single underlying going concern assumption. The going concern assumption is the expectation an entity will remain in operation for the foreseeable future. In practice, the foreseeable future is 12 months. Under this assumption, an entity neither plans to nor has the need to liquidate its operations or to cease trading. In case such an assumption does not hold, the financial statements may have to be prepared on a different basis (e.g. not on an accrual basis).

HKFRS CF
3.10–3.14

1.2.3.2 Reporting Entity Concept

The **reporting entity** is an entity that is required or chooses to prepare financial statements. It is important to determine the boundary of the reporting entity, which is driven by the information needs of the **primary users** of the reporting entity's financial statements. In accordance with the Conceptual Framework, a reporting entity can be:

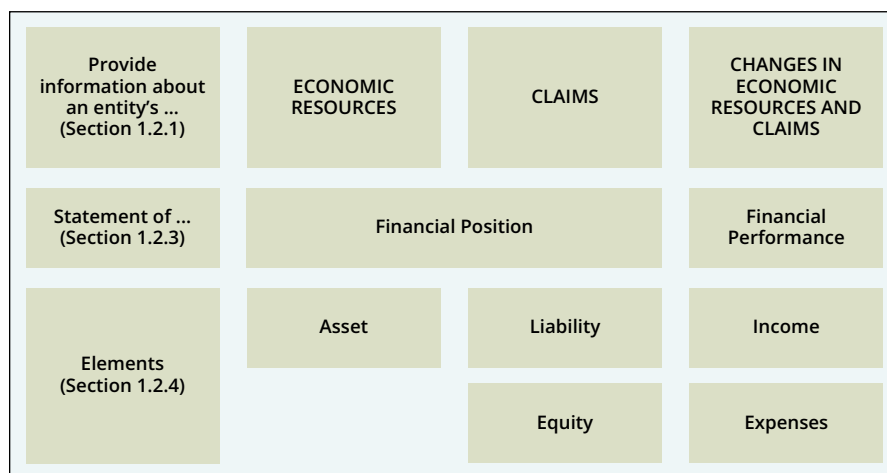
- a single entity;
- a portion of an entity (e.g. a division of an entity); or
- more than one entity (e.g. group of companies).

If more than one entity is in the boundary of the reporting entity, the financial statements provided can be:

- **consolidated** (if the reporting entity comprises both the parent and its subsidiaries) (see Chapter 22 for details relating to parent and subsidiary);
- **unconsolidated** (the reporting entity being the parent alone); or
- **combined** (if the reporting entity comprises two or more entities that are not all linked by a parent-subsidiary relationship).

1.2.4 Elements of Financial Statements

As mentioned in Section 1.2.3, there are two main classes of financial statements: statement of financial position and statement(s) of financial performance. Exhibit 1.4 helps link the concepts discussed in the previous sections to the building blocks of financial statements which are the focus of this section.



► EXHIBIT 1.4 Elements of financial statements

1.2.4.1 Building Blocks of Financial Position

Assets, liabilities and equity relate to a reporting entity's financial position. Understanding the definitions of these elements is critical.

HKFRS CF
4.3–4.25

Asset

An **asset** is defined as 'a present economic resource controlled by the entity as a result of past events'. An economic resource is further defined as a right that has the potential to produce economic benefits. Three elements go with this definition:

1. Right: Such rights can take many forms, such as (1) rights to receive cash, goods, or services, (2) rights over physical objects and (3) rights to use intellectual property. Right to use an item of property, plant and equipment is, therefore, an example.
2. Potential to produce economic benefits: An asset also has the **potential to produce economic benefits**, such as cash flows. To be an asset, the economic benefits do not need to be certain or even likely.
3. Control: A company must have **control of an economic resource** to count it as an asset. An entity controls an economic resource if it has the present ability to direct the use of the economic resource and to obtain the economic benefits that may flow from it. The right to receive employee services is, therefore, not an asset because the reporting entity lacks control over its employee as the employee can leave the company at any time.

HKFRS CF
4.3–4.25

Liability

A **liability** is a 'present obligation of the entity to transfer an economic resource as a result of past events'. To establish a liability, three criteria must be all fulfilled:

1. The entity has an obligation: An obligation is a duty of responsibility that an entity has no practical ability to avoid. Such obligation may be established by contract, legislation or an entity's customary practices or published policies.
2. The obligation is to transfer an economic resource: Such an obligation must have the potential to require the entity to transfer an economic resource (such as paying cash or delivering goods or providing services) to another party. Similar to the definition of asset, it does not need to be certain or even likely that the entity will be required to transfer an economic resource.

3. The obligation is a present obligation that exists as a result of a past event: The present obligation exists only if the entity has obtained economic benefits (such as goods or services) and the entity, as a consequence, will or may have to transfer an economic resource that it would not otherwise have had to transfer. Trade payable is, therefore, an example of such.

HKFRS CF
4.26–4.47

Equity

Equity is the residual interest in an entity's assets after deducting all its liabilities. Similar to liability, equity is referring to claims against the entity's resources. Yet, equity is referring to claims against the entity that do not meet the definition of a liability. Ordinary shares conferring on the shareholders' rights to receive dividends is an example of equity.

HKFRS CF
4.56–4.58

Executory Contract

An **executory contract** is a contract that is equally unperformed. Under an executory contract, neither party has performed, or both parties have partially performed to an equal extent. An executory contract sets out the rights and obligations to exchange economic resources. In other words, if only one of the parties fulfils its obligations under the contract, the contract is no longer executory. For example, assume Entity A and Beauty Forever Limited (in our Opening Case) sign a contract. If Entity A performs first under the contract, it creates a right to receive an economic resource from Beauty Forever Limited (e.g. receive cash) and that right is an asset (e.g. trade receivable) to Entity A. Such contract between Entity A and Beauty Forever Limited is, therefore, not executory anymore.

1.2.4.2 Building Blocks of Financial Performance

Income and expenses relate to a reporting entity's financial performance. One important characteristic of income and expenses is they are defined in terms of *changes* in assets and liabilities discussed in Section 1.2.4.1. Their definitions are discussed below:

HKFRS CF
4.68

Income

Income is defined as increases in assets or decreases in liabilities other than those changes that result from contributions from holders of equity claims (e.g. shareholders), which increases the equity of an entity. The revenue earned by Beauty Forever Limited for selling cosmetic products, for example, is an income.

HKFRS CF
4.69

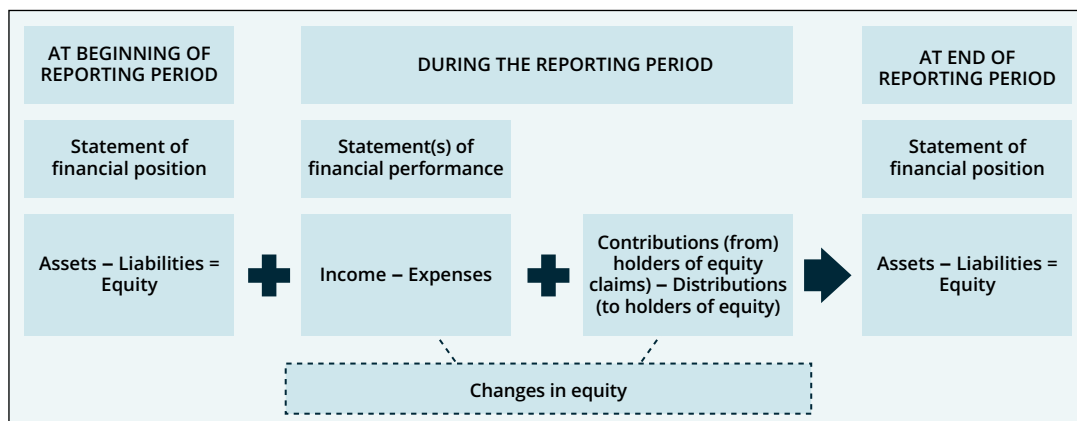
Expenses

Expenses are defined as decreases in assets or increases in liabilities that result in decreases in equity, other than those resulting from distributions to equity holders, of an entity. For example, Beauty Forever Limited incurs costs for the salaries and wages paid to employees and interest cost paid for the borrowed funds. These costs, leading to a decrease in asset (e.g. cash), are examples of expenses.

1.2.5 Recognition and Derecognition

Recognition is the process of identifying items that meet the definition of an element of the financial statements and capturing it for inclusion in the statement of financial position or the statement(s) of financial performance. Recognition, through the depiction of an item in words

and by a monetary amount, links the elements discussed in Section 1.2.4, the statement of financial position and the statement(s) of financial performance as follows (Exhibit 1.5):



► **EXHIBIT 1.5** How recognition links the elements of financial statements

HKFRS CF
5.6–5.23

Once an item meets the definition of an asset or a liability, such item should only be recognised if:

- doing so provides relevant information to financial statement users, and
- it is a faithful representation of what it purports to represent.

The above two recognition conditions aim to provide users of financial statements with useful information and, therefore, are linked explicitly to the fundamental qualitative characteristics of useful information (see Section 1.2.2.1). An item may not be relevant if there is uncertainty about its existence (for example, under dispute whether the entity has a right to receive resource or uncertain how the law applies) or if there is a low probability of having an inflow or outflow of economic benefits. Issues arise with regard to faithful representation when there is measurement uncertainty (see Section 1.2.2.1). The level of measurement uncertainty is high when, for example, the asset or liability is **measured** by cash flow-based techniques and there is an exceptionally wide range of possible outcomes.

The cost constraint (see Section 1.2.2.3) comes into play with regard to recognition as well. The cost of recognising an item should not outweigh the benefits of doing so.

Derecognition is the mirror image of recognition. Derecognition applies to assets and liabilities and refers to their removal from the statement of financial position. In general, derecognition occurs when that item no longer meets the definition of an asset or of a liability.

1.2.6 Measurement

Measurement involves deciding at what amount financial statement elements will be recognised (i.e. what amount will be reported in the financial statements). This involves a selection of a **measurement basis**. The Conceptual Framework specifies two categories of measurement basis: historical cost and current value.

HKFRS CF
6.4–6.9

1.2.6.1 Historical Cost

Historical cost uses information derived from the price of the transaction that gave rise to them and does not in general reflect changes in values. The historical cost refers to:

Historical cost of

Asset	the amount paid on the date of acquisition or creation (e.g. consideration paid plus transaction costs)
Liability	the amount of the consideration received to incur the liability minus transaction costs when the liability is incurred

The historical cost may be updated over time to reflect events, such as the consumption of resources (e.g. depreciation or amortisation) or impairment of the asset or settlement of the liability.

1.2.6.2 Current Value

Current value reflects conditions at the measurement date. One important characteristic of current value is that it is not derived from the price of the transaction that gave rise to the asset or liability. Current value may be based on (1) current cost, (2) fair value, (3) value in use (for assets), or fulfilment value (for liabilities), which are discussed in turn below:

Current cost refers to:

Current cost of

Asset	the amount that would have to be paid if an equivalent item was acquired at the <i>measurement date</i>
Liability	the amount of consideration that would be received for an equivalent liability at the <i>measurement date</i> that would be incurred at that date

Current cost may be determined directly by observing prices in an active market and is adjusted with transaction costs. Similar to historical cost, current cost is an entry value as it reflects prices in the market in which the entity would *acquire* the asset or would *incur* the liability. The difference between the historical cost and current cost, however, is that current cost reflects conditions (e.g. current age and condition of the asset held by the entity) at the measurement date.

HKFRS CF
6.21–6.22

Fair value is the price that would be received to *sell* an asset (or paid to transfer a liability) in an orderly transaction between market participants at the measurement date. Fair value reflects the perspective of market participants and is an exit value. Fair value can be determined directly by observing prices in an active market (e.g. direct quote of stock price for a listed company) or indirectly by using a cashflow-based measurement technique. Fair values are not adjusted for transaction costs. A more in-depth discussion of fair value measurement can be found in Chapter 2.

HKFRS CF
6.12–6.16

Value in use for an asset is the discounted cash flows an entity expects to *receive* as a result of using and disposing of the asset. Fulfilment value for a liability is the discounted cash flows that a company expects to *transfer* in satisfaction of the liability. These measures are determined based on *future* cash flows and are not adjusted for transaction costs incurred on acquiring an asset or a liability. Similar to fair value, value in use (and fulfilment value) is an exit value. Value in use (and fulfilment value) is different from fair value as value in use reflects entity-specific assumptions while fair value reflects the perspective of market participants.

HKFRS CF
6.17–6.20

1.2.6.3 Selection of a Measurement Basis

The choice of a measurement basis for an asset or liability (and the related income and expense) is driven, again, by the need to provide information that is relevant and a faithful representation. Entities commonly use historical cost when preparing financial statements because it is objective and verifiable. Fair value, or current cost, may be more relevant, but measures of fair value in the absence of a direct quote from an active market are more subjective and, therefore, may be less reliable.

1.2.7 Presentation and Disclosure

After recognising and measuring an item, an entity needs to communicate such information to users by presenting and disclosing information in its financial statements. The Conceptual Framework suggests three ways to effectively communicate information in an entity's financial statements:

1. An entity should focus on presentation and disclosure objectives and principles rather than focus on rules. An entity should avoid: (1) 'boilerplate' (i.e. using standardised descriptions) when communicating to users and (2) duplication of information in different parts of the financial statements.
2. An entity should classify information in a manner that groups similar items and separates dissimilar items. For presentation and disclosure purposes, this **classification** should be based on shared characteristics, such as the (1) nature, (2) its role or function within the business activities and (3) its measurement basis.
3. An entity should aggregate information (i.e. adding together of assets, liabilities, equity, income, or expenses having shared characteristics and are included in the same classification) in such a way that it is not obscured either by unnecessary detail or by excessive **aggregation**.

HKFRS CF
7.4-7.6

HKFRS CF
7.7-7.19

HKFRS CF
7.20-7.22

1.2.8 Concepts of Capital and Capital Maintenance

Entities are to select a concept of capital that should be based on the needs of the users of its financial statements. Capital can be defined in two ways: *financial* concept of capital and *physical* concept of capital:

HKFRS CF
8.3

	Financial concept of capital	Physical concept of capital
Capital is regarded as . . .	The net assets (or equity) of an entity	The productive capacity of an entity based on, for example, units of output per day
Profit is earned if . . .	The financial (money) amount of the net assets has increased during an accounting period excluding any distributions to and contributions from the owners of the equity	The physical productive capacity has increased during an accounting period

The choice of the measurement basis and concept of capital maintenance will determine the accounting model used to prepare the financial statements.

Key Learning Point

The Conceptual Framework sets the overall purpose of financial reporting which is to provide useful financial information to primary users for their decision making. The qualitative characteristics of useful information, the elements of the financial statements, recognition, measurement, presentation and disclosure principles all flow logically from this objective.

► Knowledge Check Questions

Question 1

Identify which of the following description is linked to relevance as the fundamental qualitative characteristics in the Conceptual Framework.

- A Completeness
- B Predictive value
- C Neutral
- D Substance over form

Question 2

'Based on the prudence principle in the Conceptual Framework, an entity should be concerned about overstatement of assets and income and understatement of liabilities and expenses but not the reverse'. Do you agree? Explain.

Question 3

'For the purpose of assessing whether a representation is faithful, free from error in the Conceptual Framework means perfectly accurate in all respects'. Do you agree? Explain.

Question 4

Suggest ways to make a depiction of an item (such as a group of assets) complete.

Question 5

Explain why, with reference to the fundamental qualitative characteristics in the Conceptual Framework, information disclosed in the interim financial statements is relevant.

Question 6

Identify which of the following statement(s) is/are correct regarding the Conceptual Framework.

- (I) Comparability means uniformity in the financial statements.
- (II) There may circumstances involving a trade-off between understandability and completeness regarding the usefulness of financial information.

- A I only
- B II only
- C Both statements are correct.
- D None of the statements is correct.

► Knowledge Check Questions (*continued*)

Question 7

Sun Limited is a travel agent. The competition in the industry is keen, and many entities have failed and closed down in recent years. After having net losses in the past few years, Sun Limited reported net losses of HK\$4 million for the year ended 31 December 20X7. Its current assets and current liabilities as of 31 December 20X7 were HK\$8 million and HK\$11 million respectively. Sun Limited breached the loan covenants relating to the borrowings from two financial institutions and was considering selling its key assets to repay the loans. Explain which assumption in the *Conceptual Framework for Financial Reporting* may not hold when preparing Sun Limited's financial statements.

Question 8

Ben Limited signed a contract with Jerry Limited under which Ben Limited will perform cleaning services for Jerry Limited in the coming six months, and Jerry Limited will pay the fee in accordance with the terms of the contract. Identify which of the following situation(s) satisfies/satisfy the definition of an executory contract.

- (I) Neither Ben Limited nor Jerry Limited performed under the contract.
- (II) Ben Limited provided a single cleaning service to Jerry Limited, and Jerry Limited paid for that cleaning service in accordance with the terms in the contract.
- (III) Ben Limited performed a single cleaning service to Jerry Limited while Jerry Limited has not been paying for such service.
- (IV) Ben Limited received the payment from Jerry Limited in advance.

Question 9

In response to Question 8, for those situation(s) that does/do not satisfy the definition of an executory contract, explain whether each of such situations give rise to element(s) of the financial statements. You can illustrate this using Ben Limited as the reporting entity, with reference to the definition of the element(s) in the *Conceptual Framework for Financial Reporting*.

Question 10

In response to Question 9, explain under what circumstances the element(s) identified in Question 9 can be recognised in the financial statements of Ben Limited in accordance with the *Conceptual Framework for Financial Reporting*. You are not required to refer to the respective accounting standards for recognition of such element(s).

Question 11

Identify which of the following measurement basis/bases mentioned in the *Conceptual Framework for Financial Reporting* is/are entry value.

- (I) Historical cost
- (II) Current cost
- (III) Value in use
- (IV) Fair value

► **Knowledge Check Questions (*continued*)**

- A I only
- B I and II
- C III and IV
- D III only

Question 12

'How financial information is classified in financial statements will affect the qualitative characteristics of financial information'. Do you agree? Explain.



1.3 FINANCIAL REPORTING FRAMEWORK IN HONG KONG

The *Conceptual Framework for Financial Reporting* (see Section 1.2) provides an overview discussing the most important topics standard-setters need to think about for the financial reporting process. Yet, a set of principles in a more detailed way compared to the Conceptual Framework is necessary for a consistent treatment relating to a specific transaction over financial periods, which is then expected to lead to a comparable result across different companies. This is why accounting standards, with an aim of providing a standardised way of describing the company's financial performance, have been devised for different types of transactions.

Take the Opening Case as an example. Beauty Forever Limited purchases equipment items for its operation and would like to know how such items should be included in the financial statements. Although the Conceptual Framework discusses the recognition and measurement criteria, it does not address questions like whether fair value can be used to measure the equipment items of Beauty Forever Limited. Such issues are addressed in specific accounting standards (e.g. HKAS 16 *Property, Plant and Equipment* in Hong Kong).

Accounting standards are referred to as Generally Accepted Accounting Principles, or GAAP. In the United States, the accounting standards, known as the U.S. GAAP, are created by the Financial Accounting Standards Board (FASB). Other jurisdictions, such as the European Union (EU), adopt the international version of GAAP, known as the International Financial Reporting Standards (IFRS) promulgated by the International Accounting Standards Board (IASB).

1.3.1 International Financial Reporting Standards

The IFRS has become a globally recognised basis for financial reporting. It is now the primary or alternate basis of financial reporting in more than 140 jurisdictions. Since 2001, the IASB has been responsible for issuing the IFRS. The IFRS Interpretations Committee is responsible for issuing interpretations in support the application of IFRS.

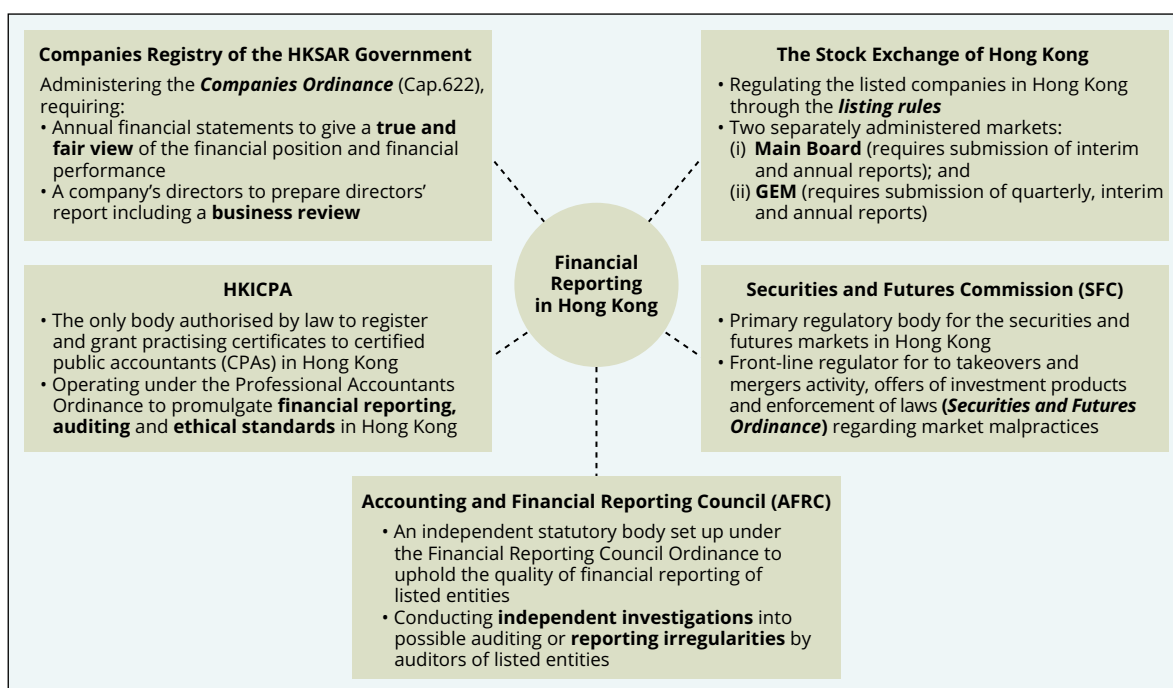
IFRS adopts a principles-based approach to financial reporting because it attempts to set general principles for recognition, measurement, presentation and disclosure. It requires professional judgement in applying these principles. This approach focusses on a fair representation of financial information. This has been contrasted with the U.S. GAAP, which is considered a rules-based approach. Standards under a rules-based approach are usually explicit on the precise rules that must be followed for recognition, measurement, presentation and disclosure.

1.3.2 Hong Kong Financial Reporting Standards

Hong Kong Financial Reporting Standards (HKFRS) are issued by the Hong Kong Institute of Certified Public Accountants (HKICPA). The HKFRS is modelled after the IFRS and is converged with few exceptions. The HKICPA also has a locally developed 'Small and Medium-sized Entity (SME) Financial Reporting Framework and Financial Reporting Standard' which can be used by some smaller entities meeting certain criteria (see Section 1.4).

1.3.2.1 Regulatory Bodies Relating to Financial Reporting

In Hong Kong, financial reporting regulations are enforced by various organisations. Exhibit 1.6 summarises their regulatory duties:



► **EXHIBIT 1.6** Regulatory bodies relating to financial reporting in Hong Kong

A Hong Kong-incorporated company has to follow the Hong Kong Companies Ordinance (HK Companies Ordinance). Part 9 of the Companies Ordinance 'Accounts and Audits' as well as Schedule 4 list out the requirements regarding the preparation of financial statements including accounting disclosures. According to the HK Companies Ordinance, the financial statements must be prepared in accordance with the accounting standards issued by the HKICPA (i.e. HKFRS).

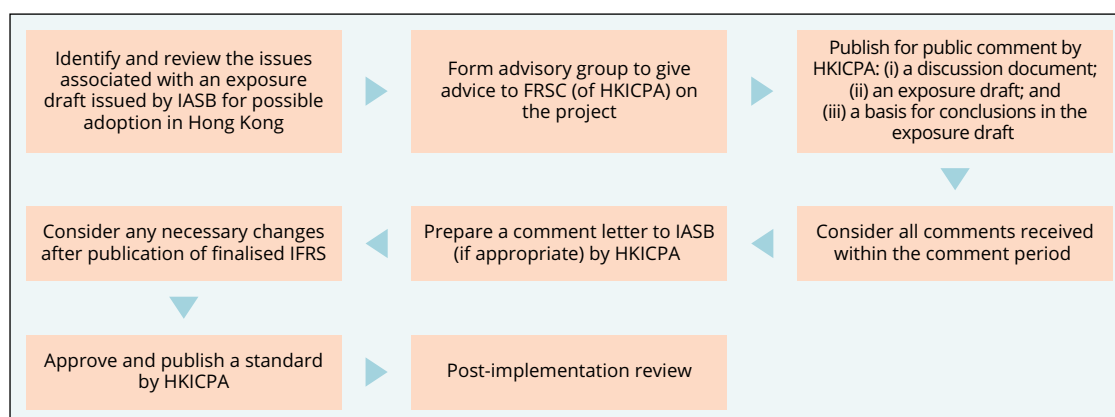
Entities having their shares listed on the Hong Kong Stock Exchange need to publish their financial statements prepared in accordance with the HKFRS, the IFRS, or the China Accounting Standards for Business Enterprises (CASBE) in the case of a mainland China entity (having its shares listed on the Hong Kong Stock Exchange) that has adopted the CASBE for the preparation of its annual financial statements.

1.3.2.2 HKFRS Standard-Setting Process

The policy of the HKICPA is to develop accounting standards that are converged with those issued by the IASB. HKFRS have been fully converged with IFRS since the beginning of 2005.

The HKICPA established the Financial Reporting Standards Committee (FRSC) to develop accounting standards to achieve convergence with the IFRS. FRSC provides timely guidance on newly identified financial reporting issues not specifically addressed in the HKFRSs, which promotes the rigorous and uniform application of the HKFRSs. The Regulatory Oversight Board (ROB) of the HKICPA, with a primary objective to review and advise on the HKICPA's overall strategy, policies and processes for setting accounting standards, will give advice to the FRSC on priorities and on major standard-setting projects. Exhibit 1.7 summarises the due process of setting the HKFRSs:

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para 27–28



► **EXHIBIT 1.7** Standard-setting due process

The standard-setting due process in Exhibit 1.7 involves HKICPA members and member practices, listed companies in Hong Kong, the stock exchange, legal and regulatory authorities, academics and other interested individuals and organisations.

As seen in Exhibit 1.7, before an issuance of a new or amended financial reporting standard, an exposure draft is published by the standard-setting bodies (IASB and HKICPA). Such an exposure draft sets out a specific proposal in the form of a proposed financial reporting standard and is, therefore, generally set out in the same way as a standard. An exposure draft is the main vehicle for consulting the public and, therefore, includes an invitation to comment, setting out the issues that the standard-setting bodies have identified as being of particular interest. There is a comment period for the invitation to comment.

1.3.2.3 Reporting Standards and Other Pronouncements in Hong Kong

The term 'Hong Kong Financial Reporting Standards' refers to standards and interpretations issued by the HKICPA and comprises the following:

- HKFRS;
- Hong Kong Accounting Standards (HKAS);
- Interpretations including: (1) HK(IFRIC) Interpretations, (2) HK Interpretations; and (3) HK(SIC) Interpretations.

Interpretations of HKFRSs give authoritative guidance on:

- newly identified financial reporting issues that are not specifically addressed in the HKFRSs; or
- issues where unsatisfactory or conflicting interpretations have developed or seem likely to develop in the absence of such guidance.

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para 14

Take the Opening Case as an illustration. Beauty Forever Limited incurred internal expenditures on the development and operation of its own web site for external access. The management would like to know how such costs of a website should be accounted for in its financial statements. HKAS 38 *Intangible Assets* does not, however, specifically address how to deal with such costs. The management would then need to refer to an interpretation called HK(SIC)-Int 32 *Intangible Assets – Web Site Costs* to comply with the HKFRSs. Other than the general purpose of the Interpretations, candidates in this module are not required to know the details in the Interpretations.

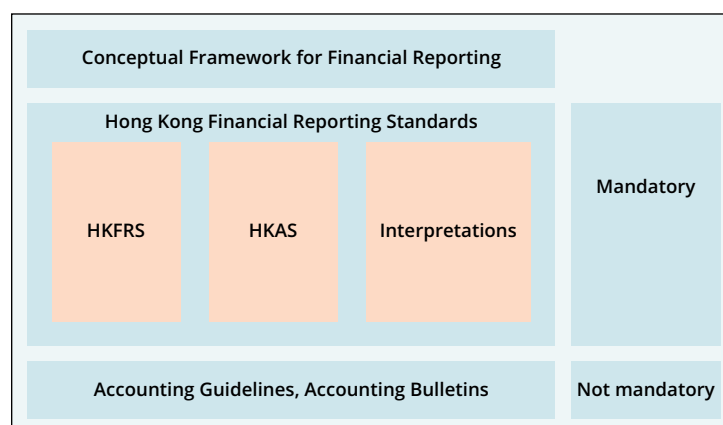
The HKFRSs set out recognition, measurement, presentation and disclosure requirements dealing with transactions and events that are important in general purpose financial statements. The HKFRSs are based on the *Conceptual Framework for Financial Reporting*, which facilitates the consistent and logical formulation of HKFRSs. The HKFRSs are mandatory on members of the HKICPA.

Other than the HKFRSs mentioned above, other pronouncements provide guidance in the financial reporting process. These pronouncements include Accounting Guidelines (AGs) and Accounting Bulletins (ABs) issued by the HKICPA (Exhibit 1.8):

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para 34–36

	AG	AB
Descriptions	• They are guidance statements and indicators of best practice. • Though not mandatory, these guidelines should normally be followed. • AGs have been approved for use by the Council of the HKICPA.	• They are informative publications issued by FRSC on subjects of topical interest. • They are intended: (1) to assist HKICPA members or (2) to stimulate debate on important accounting issues. • They are not mandatory. • Unlike AGs (and the HKFRSs), ABs do not require the approval of the Council of the HKICPA.

	AG	AB
Example	AG 1 <i>Preparation and Presentation of Accounts from Incomplete Records</i> provides guidance of recommended practice for the preparation and presentation of accounts from incomplete records and the submission of such accounts to third parties.	AB 3 <i>Guidance on Disclosure of Directors' Remuneration</i> provides a reference on statutory requirements and practical issues encountered in preparing the required information for directors' remuneration set out in section 383 of the HK Companies Ordinance.



► **EXHIBIT 1.8** Summary of the financial reporting standards and pronouncements in Hong Kong

Illustrative Example 1

KS Holdings Limited (KS) is a Hong Kong-incorporated company having its shares listed on the Main Board of the Hong Kong Stock Exchange. KS has acquired several entities over the years. KS, together with its subsidiaries, principally engage in the healthcare industry.

Because KS was a listed entity, it followed the listing rules of the Main Board regarding the disclosure of financial information, for example, submission of interim and annual financial reports.

KS is a Hong Kong-incorporated company; therefore, it follows the HK Companies Ordinance. It prepares its financial statements using the Hong Kong Financial Reporting Standards (HKFRSs), which include the HKFRS, HKAS and Interpretations. For example, it had to comply with HKAS 1 (Revised) *Presentation of Financial Statements* and HKFRS 10 *Consolidated Financial Statements*. As it was a listed entity, it had to disclose the earnings per share based on the principles in HKAS 33 *Earnings per Share*.

In preparing its annual report, KS might refer to Accounting Bulletin 5 (AB 5) *Guidance for the Preparation and Presentation of a Business Review under the Hong Kong Companies Ordinance Cap.622*. In case there was an emerging issue relating to financial reporting, which were not addressed in any specific financial reporting standard, KS might need to refer to the Interpretations issued by the HKICPA or the *Conceptual Framework for Financial Reporting*.

KS needs to follow the Securities and Futures Ordinance for any issue related to takeovers and mergers. In case the Financial Reporting Council raised any queries regarding financial reporting matters, KS needs to answer the queries.

Key Learning Point

The Financial Reporting Standards Committee (FRSC) of the HKICPA develops accounting standards in Hong Kong to achieve convergence with the IFRS. The HKFRS includes the Hong Kong Financial Reporting Standards, Hong Kong Accounting Standards, and Interpretations.

► Knowledge Check Questions

Question 13

Identify which of the following source(s) of GAAP is/are mandatory in Hong Kong.

- (I) Accounting Guideline
- (II) Accounting Bulletin
- (III) Hong Kong (SIC) Interpretations (HK(SIC)-Int)
- (IV) Hong Kong Accounting Standards

- A** I and IV
- B** II and III
- C** III and IV
- D** II and IV

Question 14

Identify which of the following description(s) is/are correct relating to the financial reporting regulatory framework in Hong Kong.

- (I) Companies listed on the Hong Kong Stock Exchange are required to use the HKFRS to prepare their financial statements.
- (II) Companies registered under the HK Companies Ordinance can choose to use the IFRS or HKFRS to prepare their financial statements.

- A** I only
- B** II only
- C** Both statements are correct.
- D** Neither of the statements is correct.

Question 15

Identify which of the following description is correct relating to the Hong Kong Financial Reporting Standards (HKFRSs).

- (I) When the IFRS are issued globally they are automatically regarded as being part of the HKFRS.
- (II) The HKFRS is more rules-based than principles-based.
- (III) Accounting Guidelines (AGs) cover newly identified financial reporting issues not specifically addressed by HKFRS.

- A** I
- B** II
- C** III
- D** None of the statements is correct.

1.4 HONG KONG SMALL AND MEDIUM-SIZED FINANCIAL REPORTING FRAMEWORK

The Hong Kong Small and Medium-sized Entity Financial Reporting Framework (HK SME-FRF) is an optional framework for small and medium-sized entities (SMEs). Eligible entities comply with the Hong Kong Small and Medium-sized Entity Financial Reporting Standard (HK SME-FRS) instead of full HKFRSs. The HK SME-FRF and HK SME-FRS are home-grown accounting standards developed by the HKICPA that are simpler and briefer than the full HKFRSs.

Qualifying entities may elect to adopt the HK SME-FRF and HK SME-FRS but are not required to do so. The HK SME-FRF and HK SME-FRS are designed for SMEs that publish financial statements for users, including present and potential investors, employees, lenders, suppliers and other creditors (such as banks), customers and the governments (such as the Inland Revenue Department). The most significant users of the financial statements prepared by SMEs (such as owners, government and the banks) may have the power to obtain information additional to that contained in the financial statements prepared using simplified reporting exemption.

HK SME-FRF
para. 4 & 5

1.4.1 Qualifying Entities

Under the Hong Kong Companies Ordinance (HK Companies Ordinance), SMEs may be exempt from the full HKFRS reporting if they meet the requirements of section 359 of the HK Companies Ordinance. These criteria are applicable to companies incorporated and companies not incorporated under the HK Companies Ordinance. However, if a company is not incorporated under the HK Companies Ordinance and would like to report under the HK SME-FRF, the company needs to consider, on top of the requirements of section 359 of the HK Companies Ordinance, the specific requirements imposed by the law of the entity's place of incorporation as well as the entity's constitution.

HK SME-FRF
para. 22 & 23

1.4.1.1 Types of Companies

HK SME-FRF
para. 24–26

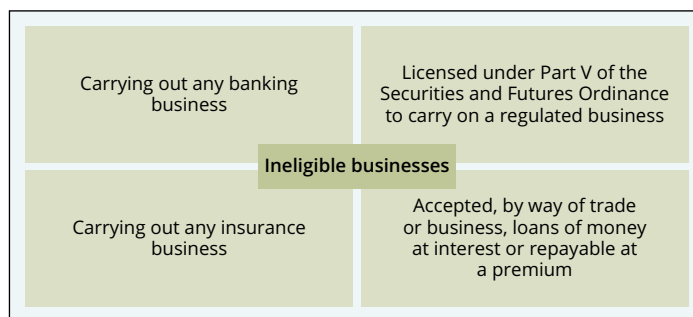
To qualify for the reporting exemption, a company must be private or limited by guarantee. Exhibit 1.9 outlines the characteristics of private companies and companies limited by guarantee in accordance with the HK Companies Ordinance:

Private company	Company limited by guarantee
- Number of members limited to 50. - Members' rights to transfer shares being restricted. - Invitations to the public to subscribe for any shares (or debentures) of the company being prohibited.	- Does not have share capital. - The entity's articles limit the liability of its members to the amount its members undertake, by those articles, to contribute to the assets of the company if it is wound up.

► **EXHIBIT 1.9** Types of companies that qualify for reporting under the HK SME-FRF

HK SME-FRF
para. 27

Companies engaged in certain activities are prohibited from qualifying for the the HK SME-FRF and HK SME-FRS. In other words, these ineligible businesses will not be allowed to adopt simplified reporting even if they are private companies. Exhibit 1.10 identifies such activities:



► **EXHIBIT 1.10** Ineligible businesses for simplified reporting exemption

1.4.1.2 Size Tests

HK SME-FRF
para. 28–43

Company size is another key factor in identifying SMEs for the purpose of simplified reporting. Exhibit 1.11 summarises the size tests used to determine if an entity qualifies for the reporting exemption.

Type of entity	Single-entity size test	Approval from members/ shareholders
Small guarantee company	Must have total annual revenue not exceeding HK\$25 million.	Not required
Small private company	Must not exceed any <i>two</i> of the following: 1. Total annual revenue of HK\$100 million 2. Total assets of HK\$100 million at the end of the reporting period 3. 100 employees	Not required
Larger 'eligible' private company	Must not exceed any <i>two</i> of the following: 1. Total annual revenue of HK\$200 million 2. Total assets of HK\$200 million at the end of the reporting period 3. 100 employees	At least 75% of all the members must pass a resolution that the company is to fall within the reporting exemption for the financial year AND None of the members holding the remaining voting rights in that company vote against the resolution
Private company that does not have subsidiaries and is not a subsidiary of another company	No limit	100% of shareholders approve

► **EXHIBIT 1.11** Size tests for the adoption of HK SME-FRF and HK SME-FRS

In general, it takes two years of meeting the size tests before an entity can qualify for the reporting exemption and two years of failing the tests for an entity to lose its SME status. Assume Emerald Limited has been using the full HKFRS, but it has been getting smaller and approaches SME status. If two out of the three tests in Exhibit 1.11 for larger 'eligible' private company or small private company have been satisfied for two consecutive years (for example, years ended 31 December 20X6 and 31 December 20X7), Emerald Limited qualifies to use simplified reporting for the first time in the immediate following financial year (i.e. in 20X8) after two consecutive years of meeting the size test (subject to any shareholders' approval requirements, if applicable).

The HK Companies Ordinance includes reporting exemption to group companies. The exemptions applicable to holding companies and mixed groups (i.e. groups comprising a mixture of small private companies, eligible private companies and small guarantee companies) are beyond the scope of this module and therefore not covered in Exhibit 1.11.

Illustrative Example 2

Nathan Limited, registered in Hong Kong, was engaging in the manufacture of electronic accessories. Mr. Hung was the sole shareholder of Nathan Limited, and it was not a company within any group. The annual revenue, total assets and average workforce of Nathan Limited in 20X7 and 20X8 were as follows:

	Year ended 31 December 20X7	Year ended 31 December 20X8
Annual revenue	HK\$140 million	HK\$202 million
Total assets	HK\$170 million	HK\$190 million
Average employees	85	95

Nathan Limited was a private company based on the definition in the HK Companies Ordinance. It has been manufacturing electronic accessories and, therefore, did not engage in any ineligible business (such as banking and insurance businesses) in the HK Companies Ordinance for the HK SME-FRF reporting exemption. The next step is to consider whether Nathan Limited was a small private company:

	Year ended 31 December 20X7	Year ended 31 December 20X8
Annual revenue ≤ HK\$100 million?	X	X
Total assets ≤ HK\$100 million?	X	X
Average employees ≤ 100?	√	√
Small private company?	No (satisfied only one of the three tests)	No (satisfied only one of the three tests)

Illustrative Example 2 (continued)

Then, we consider if Nathan Limited was a large 'eligible' private company:

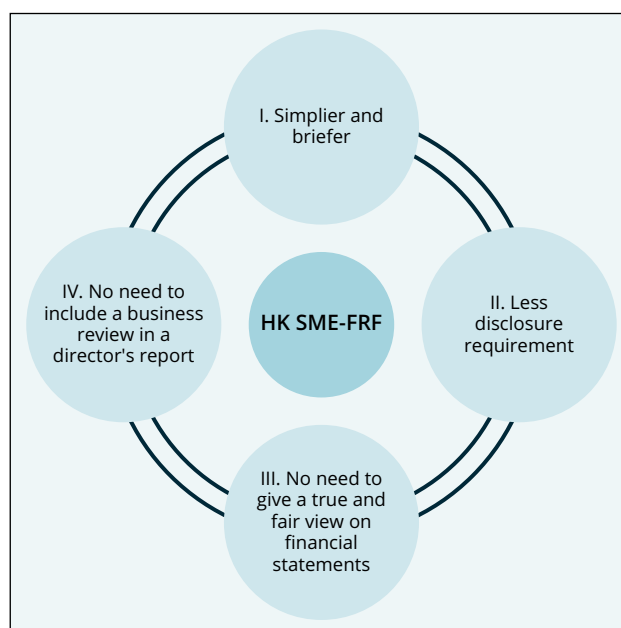
	Year ended 31 December 20X7	Year ended 31 December 20X8
Annual revenue ≤ HK\$200 million?	✓	X
Total assets ≤ HK\$200 million?	✓	✓
Average employees ≤ 100?	✓	✓
Large 'eligible' private company?	Yes (satisfied all three tests)	Yes (satisfied two of the three tests)

Nathan Limited fulfilled the criteria to be a large 'eligible' private company for two consecutive years. It was eligible for adopting the HK SME-FRF and HK SME-FRS for the year ended 31 December 20X9, subject to the satisfaction of the shareholders' approval requirements. Because Mr. Hung was the only shareholder of Nathan Limited, there will be no objection to the selection of the HK SME-FRF. Nathan Limited can, therefore, report under the SME-FRF for the year ended 31 December 20X9, if Mr. Hung chose to do so.

As an extended discussion, because Nathan Limited was a private company that did not have a subsidiary and was not a subsidiary of another company, provided that Nathan Limited could obtain 100% agreement from shareholders each year (i.e. from Mr. Hung), Nathan Limited could adopt the simplified reporting exemption under the HK SME-FRF for the years ended 31 December 20X7, 20X8 and 20X9 without considering the size tests.

1.4.2 Benefits for Adoption of the HK SME-FRF

A number of benefits exist for the adoption of the HK SME-FRF, which are summarised in Exhibit 1.12:



► **EXHIBIT 1.12** Benefits of adopting the HK SME-FRF

Some SMEs complained that the full HKFRS had imposed a significant cost and time burden, especially as the standards have grown more complex over the years. Exhibit 1.13 aims to give candidates a taste of the differences between the relevant standard in the full HKFRS and the simpler requirements in the HK SME-FRS if the HK SME-FRF is adopted:

	Full HKFRS	HK SME-FRS	
HK SME-FRS Section 3	Property, plant and equipment	HKAS 16 – cost or revaluation model allowed (see Chapter 5)	Only one model allowed: carry at cost less accumulated depreciation and impairment losses
	Investment properties	HKAS 40 – cost or fair value model allowed (see Chapter 6)	No separate requirements for investment property (treated as property, plant and equipment)
HK SME-FRS Section 4	Intangible assets	HKAS 38 – intangible assets may have indefinite or finite useful lives (see Chapter 9)	Amortised under a rebuttable presumption that the useful life of any intangible asset will not exceed 10 years
HK SME-FRS Section 9	Impairment of assets	HKAS 36 – detailed requirements including identifying indicators of impairment, identifying cash-generating units and computing recoverable amount (see Chapter 11)	Simplified and discounting of cash flows is permitted but not required
HK SME-FRS Section 14	Income taxes	HKAS 12 – cover both current tax and deferred tax accounting (see Chapter 16)	Deferred tax should not be recognised

► **EXHIBIT 1.13 Examples of differences between full HKFRS and HK SME-FRS**

Disclosure requirements under the HK SME-FRS are narrower, with an understanding that users can likely obtain additional information from the management. An entity adopting the HK SME-FRS, for example, is not required to include a cash flow statement.

A key to the simplified financial reporting regime under the HK SME-FRF is the exemption from the requirement for the financial statements to give a true and fair view. Companies are only required to comply with the HK SME-FRF and HK SME-FRS, which are a much briefer and simpler set of accounting requirements. In short, the HK SME-FRF is based on the accrual assumption (which is similar to the full HKFRS), but it does not permit the use of fair value (i.e. much relying on the historical cost convention). The simplified reporting exemption extends to the exclusion of a business review in directors' report. Details relating to business review are, however, outside the scope of this module.

Key Learning Point

The HK SME-FRF and HK SME-FRS are designed for certain private companies and companies limited by guarantee that publish financial statements for users. The eligibility for adopting the simplified reporting exemption depends on the nature of the company (private company or company limited by guarantee), the businesses it is engaging in, the relevant size tests (if applicable) and shareholders' approval requirements (if applicable).

► Knowledge Check Questions

Question 16

Identify which of the following statement is correct regarding the eligibility of adopting the HK SME-FRF.

- A** A Hong Kong-incorporated private company which is not part of a group can automatically elect to report under the HK SME-FRF.
- B** A small private company meeting the size test requirements in the HK Companies Ordinance can report under the HK SME-FRF without obtaining approval from its shareholders.
- C** A large 'eligible' private company meeting the size test requirements in the HK Companies Ordinance can report under the HK SME-FRF with 80% of its the members agreeing and 20% voting against the resolution.
- D** A company limited by guarantee having total annual revenue of HK\$100 million can report under the HK SME-FRF provided that 100% agreement from its shareholders is obtained.

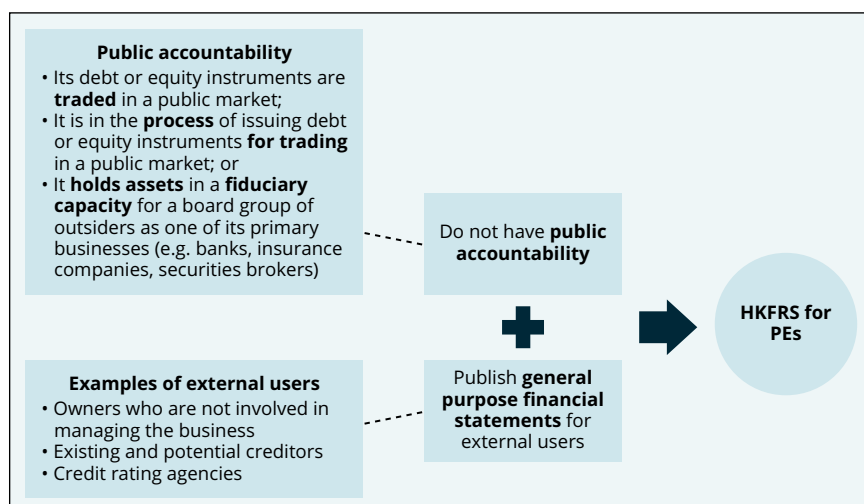
1.5 HONG KONG FINANCIAL REPORTING STANDARD FOR PRIVATE ENTITIES

The Hong Kong Financial Reporting Standard for Private Entities (HKFRS for PEs) is intended for entities that do not have public accountability and do publish general purpose financial statements. A key issue is that small and closely held companies often do not need the types of standards that large and public companies need under frameworks like the full HKFRS. This is especially the case for entities that deal directly with bankers, not outside investors and bondholders, for their financial needs. Most of such entities do not face complicated transactions, and at the same time, these entities usually have less resources as compared to public companies. To cater for the needs of such private entities, which are estimated to account for more than 95% of all companies around the world, a simplified financial reporting framework was devised.

The definition of a private entity in HKFRS for PEs is based on the IFRS for SMEs. The HKICPA replaces the term 'SMEs' in the IFRS for SMEs and uses 'Private Entities' to suit Hong Kong's circumstances with an intention of not confusing with the HK SME-FRF and HK SME-FRS (see Section 1.4). Unlike the HK SME-FRF and HK SME-FRS, which is a home-grown accounting standard developed by the HKICPA, the HKFRS for PEs is modelled after the IFRS.

1.5.1 Qualifying Entities

Similar to the HK SME-FRF, qualifying entities *may* elect to adopt the HKFRS for PEs but are not required to do so. The HKFRS for PEs are designed for private entities. Exhibit 1.14 highlights the eligibility of adopting the HKFRS for PEs:



► **EXHIBIT 1.14** Eligibility for adopting the HKFRS for PEs with relevant definitions

The eligibility criteria for the HKFRS for PEs are simpler than those for the HK SME-FRF in Section 1.4 as it neither involves any size tests nor shareholders' approval requirements.

The following discussions are relevant in considering the eligibility of adopting the HKFRS for PEs in a group context:

- A subsidiary, whose parent uses the full HKFRS (or that is part of a consolidated group that uses the full HKFRS), can still use the HKFRS for PEs in its own financial statements if the subsidiary by itself does not have public accountability.
- A parent assesses its eligibility to use the HKFRS for PEs in its separate financial statements on the basis of its own status without considering whether other group entities have (or the group as a whole has) public accountability.
- If a parent does not have public accountability, it may present its separate financial statements in accordance with the HKFRS for PEs even if it presents its consolidated financial statements in accordance with the full HKFRS.

Illustrative Example 3

Canton Limited has been registered in Hong Kong. Canton Limited was engaged in property development and has had around 400 employees in recent years. Only 30 shareholders existed, and Canton Limited had no plan to float its shares in any stock exchange. The total assets of Canton Limited were HK\$12 billion at its reporting date, and the total annual turnover was HK\$2.6 billion. Canton Limited prepared its general purpose financial statements mainly for tax purpose.

Canton Limited failed to meet the size test of the HK SME-FRF for total assets, total annual revenue and the number of employees for the reporting period. Canton Limited could not report under the HK SME-FRF. Because Canton Limited did not have public accountability and published its general purpose financial statements for external users (i.e. the Inland Revenue Department), it was eligible to adopt the HKFRS for PEs to prepare its financial statements.

1.5.2 Differences Between HK SME-FRF/FRS and HKFRS for PEs

Compared with the full HKFRS, the HKFRS for PEs is less complex. It is around 250 pages and is designed to meet the needs and capabilities of private entities, which are usually smaller in size.

The HK SME-FRF and HK SME-FRS and the HKFRS for PEs differ in a number of ways. Exhibit 1.15 gives candidates a taste of the key differences between the two reporting frameworks:

Section	HK SME-FRF/FRS	HKFRS for PEs
Qualifying Entities	- Entity is a private or guarantee company. - Size criteria is not applicable only if the entity is not a subsidiary and does not have a subsidiary. - Shareholders' approval may be necessary.	- Entity does not have public accountability. - Entity issues general purpose financial statements. - Shareholders' approval not required.
Financial Statement Presentation	- Cash flow statement is optional. - Changes in equity disclosed in notes or as a separate component of the financial statements.	- Cash flow statement is required. - Statement of changes in equity is required.
Investment Property	No separate section on investment property (treat it as property, plant and equipment and reported at book value).	- Fair value allowed if it is reliably measured. - Otherwise reported as property, plant and equipment at book value.
Intangible Assets other than Goodwill	- Research costs expensed as incurred. - Development costs capitalised if certain criteria met. - Useful life not to exceed 10 years.	- Research and development costs expensed as incurred. - Finite lives with maximum of 10 years.
Goodwill	Useful life should not exceed five years (longer life allowed but requires at least annual review).	If reliable estimate of useful life cannot be made, maximum of 10 years is allowed.
Income Tax	Deferred tax assets and liabilities are not recognised.	Recognition and measurement of deferred taxes is similar to HKAS 12 <i>Income Taxes</i>.

► EXHIBIT 1.15 Key differences between the HK SME-FRF/FRS and HKFRS for PEs

The HKFRS for PEs includes an 'undue cost or effort' exemption applicable to a number of requirements. Such an exemption justifies that, if obtaining or determining the information necessary to comply with the requirement would result in an excessive incremental cost (such as valuer's fees) or an excessive additional effort (such as employees' endeavors) for a private entity, then the private entity would be exempt from that specific requirement.

The HKFRS for PEs acknowledges the two most common measurement methods as historical cost and fair value. This makes a difference with the HK SME-FRF which focusses on the historical cost convention.

Key Learning Point

HKFRS for PEs are intended for entities that do not have public accountability and publish general purpose financial statements for external users. Whether an entity has public accountability depends on the nature of its primary business and whether its instruments are traded in a public market (or whether it is in the process of issuing instruments for trading).

► Knowledge Check Questions

Question 17

Identify which of the following meets the description of a private entity under the HKFRS for PEs.

- A** A small company having its shares listed on the Growth Enterprise Market (GEM) of the Hong Kong Stock Exchange and with only 40 employees.
- B** An entity that has submitted to the Hong Kong Stock Exchange to apply for listing its shares for trading on the Main Board.
- C** A small private securities broker.
- D** A private company engaging in catering services with more than HK\$10 billion total assets and over 500 employees.

Question 18

Florida Entertainment Limited (FEL) operates a theme park. FEL has not listed its shares on any stock exchange and does not have any plan to do so. Mr. Nelson Stark, FEL's CFO, heard about the HKFRS for PEs and was considering adopting this simplified reporting framework for the preparation of FEL's financial statements, which was mainly used for regulatory purpose. He made the following statement in an internal meeting, 'FEL qualifies for reporting under the HKFRS for PEs provided that 100% of our shareholders approve this resolution'. Comment on Nelson's statement.



SUMMARY

- The double-entry accounting system from which our bookkeeping is derived was first documented in 1494. The globalisation of capital market drives the need for a common set of accounting standards such as IFRS.
- The *Conceptual Framework for Financial Reporting* (Conceptual Framework) was published so that a standard-setter could develop standards based on consistent concepts. Further, preparers can refer to the Conceptual Framework to develop consistent accounting policies.
- The objective of general purpose financial reporting is to provide useful financial information about the entity to users in making decisions relating to providing resources to the entity.
- The information provided should be useful. To define useful, the Conceptual Framework identifies fundamental and enhancing qualitative characteristics of useful financial information. The two fundamental qualitative characteristics include relevance and faithful representation. The usefulness of financial information is further enhanced by four characteristics:
 1. comparability
 2. verifiability
 3. timeliness
 4. understandability.

The cost constraint, however, has to be taken into consideration when providing useful financial information.

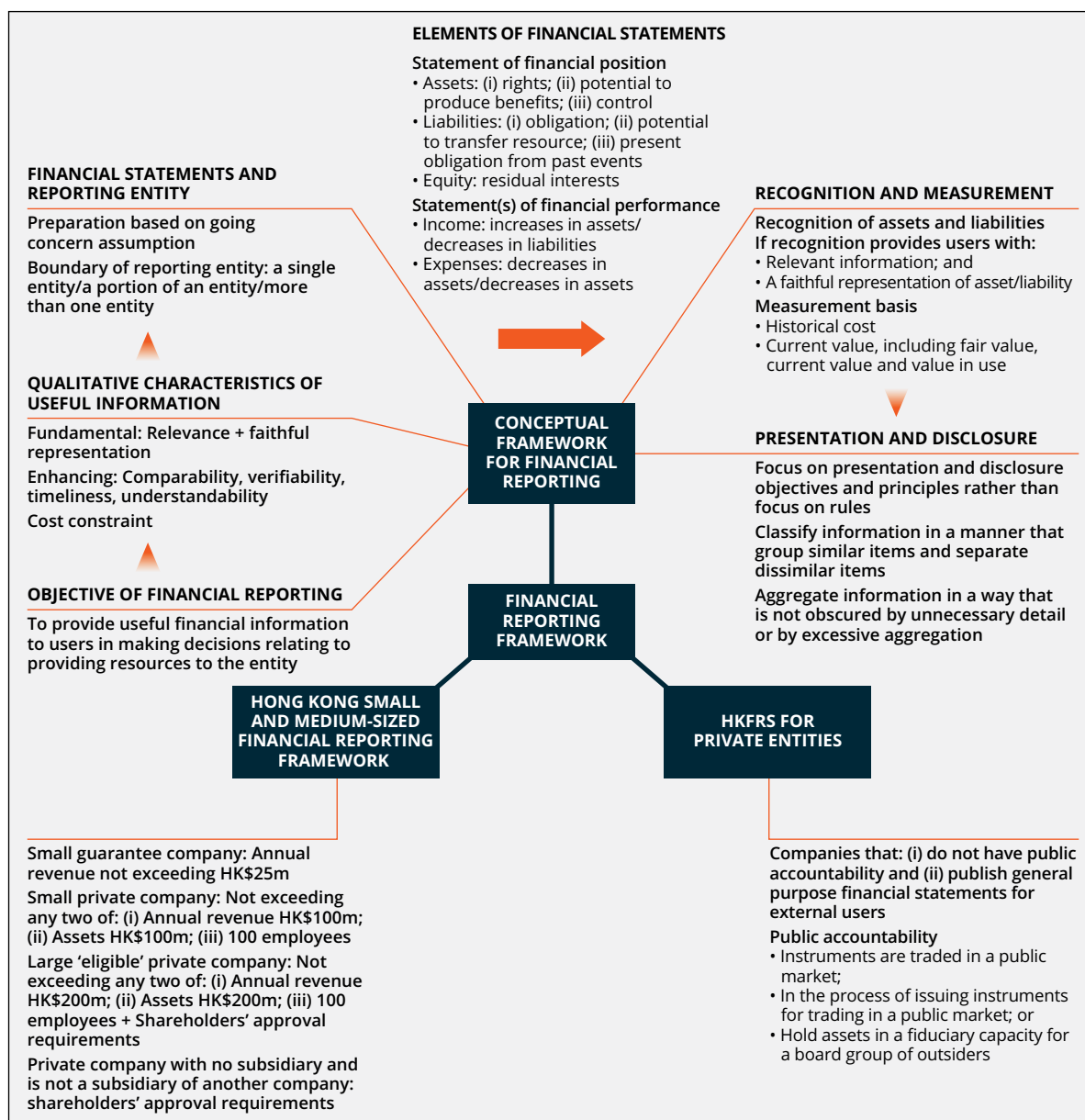
- The Conceptual Framework includes a single underlying going concern assumption, which assumes the entity will remain in operation for the foreseeable future.
- The Conceptual Framework defines the boundary of the reporting entity, which can be a single entity, a portion of an entity, or more than one entity.
- A number of building blocks are in the financial statements. In the statement of financial position, it includes assets, liabilities and equity. In the statement(s) of financial performance, it includes income and expenses. Their definitions are summarised below:

Elements	Definitions
Asset	A present economic resource controlled by the entity as a result of past events
Liability	A present obligation of the entity to transfer an economic resource as a result of past events.
Equity	Residual interest in an entity's assets after deducting all its liabilities
Income	Increases in assets, or decreases in liabilities, that result in increases in equity ^a
Expenses	Decreases in assets, or increases in liabilities, that result in decreases in equity ^a

^a Other than those relating to contributions from holders of equity claims.

- Recognition is the process of capturing the item in the statement of financial position or the statement(s) of financial performance. An asset or liability is recognised only if the recognition of that asset or liability provides users of financial statements with relevant information and a faithful representation of the asset or liability.
- The Conceptual Framework provides two categories of measurement basis historical cost and current value. These two include current cost, fair value and value in use (or fulfillment value).
- The Conceptual Framework acknowledges that presentation and disclosure acts as a communication tool. An entity should focus on objectives and principles rather than on rules. An entity should properly classify information and aggregate information based on these presentation and disclosure principles.
- The Conceptual Framework provides two definitions of capital: a financial concept of capital (regarding net assets as capital) and a physical concept of capital (regarding productive capacity as capital).
- The HKSAR government, the HKICPA, the Hong Kong Stock Exchange, the Securities and Futures Commission and the Financial Reporting Council are the key regulators relating to financial reporting in Hong Kong. The Hong Kong Financial Reporting Standards (including the HKFRS, HKAS and Interpretations issued by the HKICPA) are modelled after the IFRS. The HKICPA also publishes other pronouncements like Accounting Guidelines (AGs) and Accounting Bulletins (ABs). Still, they are not mandatory.
- The HKICPA published its own Hong Kong Small and Medium-sized Entity Financial Reporting Framework and Financial Reporting Standards (HK SME-FRF and HK SME-FRS) for eligible entities. Qualifying entities must be private companies or companies limited by guarantee passing appropriate size tests stipulated in the Hong Kong Companies Ordinance (HK Companies Ordinance) and achieving certain shareholders' approval requirements (if appropriate).
- There is another alternative financial reporting framework called the Hong Kong Financial Reporting Standard for Private Entities (HKFRS for PEs). It is applicable to entities that do not have public accountability and do publish general purpose financial statements.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Completeness is related to faithful representation of financial information.
Answer B is correct. If information has predictive value, it assists users in predicting future outcomes and can, therefore, make a difference in the decisions made by users. Recall the definition of relevance: making a difference in the decisions made by users.

Answer C is incorrect. Being neutral is related to faithful representation of financial information.

Answer D is incorrect. Substance over form is related to the faithful representation of financial information.

Question 2

Prudence refers to the exercise of caution when making judgements when there is uncertainty. Most people will link the exercise of prudence to the objective of not overstating assets and income and not understating liabilities and expenses. However, it should be noted that the exercise of prudence, equally, does not allow for the understatement of assets or income or the overstatement of liabilities or expenses. Such misstatements can lead to the overstatement or understatement of income or expenses in future periods. This concept can be further illustrated by the following example: If currently the asset has been understated (e.g. understatement of the cost of a property), it will lead to a potential understatement of expenses (e.g. understatement of depreciation expense) in the subsequent periods. The statement in question is, therefore, incorrect.

Question 3

Faithful representation does not mean accurate in all respects. For example, an estimate of an unobservable price (e.g. an estimate which is not made by a direct quote from the active market) cannot be determined to be accurate or inaccurate. The representation of such estimate can still be faithful if the amount is described clearly and accurately as being an estimate the nature and limitations of the estimating process are explained and no errors have been made in selecting and applying an appropriate process for developing the estimate. The statement in question is, therefore, incorrect.

Question 4

A complete depiction of a group of assets would include, for example:

- a description of the *nature* of the assets in the group,
- a *numerical* depiction of all of the assets in the group, and
- a description of what the numerical depiction *represents* (for example, historical cost or fair value).

For some items, a complete depiction may also entail *explanations* of significant facts about the quality and nature of the items, *factors* and *circumstances* that might affect their quality and nature, and the *process* used to determine the numerical depiction.

Question 5

To be relevant, the information must have predictive and/or confirmatory value. Revenue information, for example, for the first six month in a current year (disclosed in its interim financial statements) can be used as the basis for predicting the revenues in coming six months and, therefore, has predictive value. At the same time, it can also be compared with revenue predictions for the first six months that were made in past periods, thereby confirming or changing prior expectations.

Question 6

Answer B is correct.

(I) is incorrect. For information to be comparable, like things must look alike and different things must look different. Comparability of financial information is not enhanced by making unlike things look alike. Making unlike things look alike (uniformity) is inappropriate.

(II) is correct. Some phenomena are inherently complex and cannot be made easy to understand. Excluding such information from financial statements might make the information in those financial statements easier to understand. However, those financial statements would be incomplete and, therefore, possibly misleading.

Question 7

A going concern assumption states that the reporting entity will continue in operation for the foreseeable future. It assumes the entity has neither the intention nor the need to enter liquidation or to cease trading. In Sun Limited's case, the going concern assumption may not hold in view of the following:

- the adverse operating environment of the industry with the closure of a number of entities;
- having continuously net losses in recent years;
- having a net liability of HK\$3 million as of the end of the current year;
- failure to fulfil its obligation to repay the loan to the banks; and
- having a need to sell key assets.

Question 8

An executory contract is a contract that is equally unperformed, which include the situations that neither party has fulfilled any of its obligations or both parties have partially fulfilled their obligations to an equal extent. The rights and obligations of Ben Limited and Jerry Limited have been set in the contract. Take Ben Limited as an illustration. Ben Limited had to perform cleaning services to Jerry Limited and had a right to receive cash from Jerry Limited in accordance with the terms of the contract.

Situation (i) satisfies the definition of an executory contract. Neither of the parties performed any of its obligations. Ben Limited has not performed any services and Jerry Limited has not paid anything to Ben Limited.

Situation (ii) satisfies the definition of an executory contract. Ben Limited provided a single service and Jerry Limited paid for that service. Both parties have partially fulfilled their obligations to an equal extent.

Situation (iii) does not satisfy the definition of an executory contract. Ben Limited performed its obligation but Jerry Limited has not performed its obligation (i.e. paying Ben Limited for the services).

Situation (iv) does not satisfy the definition of an executory contract. Jerry Limited performed its obligation (i.e. paying the fee) but Ben Limited has not performed its obligation (i.e. performing the cleaning service).

Question 9

For situation (iii) in Question 8, Ben Limited has performed a single cleaning service to Jerry Limited without receiving the fee. As Ben Limited performed first under the contract, that performance (cleaning service) is the event that changed Ben Limited's right and obligation to exchange economic resources into a right to receive an economic resource (i.e. cash). That *right* is an asset (i.e. trade receivable).

For situation (iv) in Question 8, Ben Limited received the payment from Jerry Limited in advance. As Jerry Limited performed first, that performance (i.e. the payment in advance) was the event that changed Ben Limited's right and obligation to exchange economic resources into an obligation to transfer an economic resource (i.e. performing the cleaning service). That *obligation* was a liability (i.e. contract liability).

Question 10

Although the elements identified in Question 9 satisfied the definitions of asset (for situation (iii)) and liability (for situation (iv)), it did not necessarily mean they could be recognised on the financial statements. The *Conceptual Framework for Financial Reporting* states that an asset or liability can be recognised only if recognition of that asset or liability provides users of financial statements with information that is useful, that is, with:

- relevant information about the asset or liability; and
- a faithful representation of the asset or liability.

Question 11

Answer B is correct.

(I) is correct. The historical cost reflects prices in the market in which the entity *acquired* the asset (or *incurred* the liability). This is an entry value.

(II) is correct. The current cost reflects prices in the market in which the entity would *acquire* the asset or would *incur* the liability. This is an entry value.

(III) is incorrect. The value in use is the discounted cash flows an entity expects to receive as a result of using and *disposing* of the asset, which is an exit value.

(IV) is incorrect. The fair value refers to the price that would be received to *sell* an asset (or paid to *transfer* a liability) at the measurement date, which is an exit value.

Question 12

Classifying dissimilar assets, liabilities, equity, income, or expenses together can obscure relevant information, reduce understandability and comparability. Eventually, it may not provide a faithful representation of what it purports to represent. The statement in question is correct.

Question 13

Answer C is correct.

(I) is incorrect. The Accounting Guideline is not part of HKFRS.

(II) is incorrect. The Accounting Bulletin is not part of HKFRS.

(III) HK(SIC)-Int is part of HKFRS and therefore is mandatory in Hong Kong.

(IV) HKAS is part of HKFRS and therefore is mandatory in Hong Kong.

Question 14

Answer D is correct.

(I) is incorrect. Companies listed on the Hong Kong Stock Exchange may choose to use the IFRS, HKFRS or CASBE (if appropriate).

(II) is incorrect. Companies registered under the Hong Kong Companies Ordinance are required to use HKFRS to prepare their financial statements.

Question 15

Answer D is correct.

(I) is incorrect. Although the HKFRS is adopted from the IFRS, the Financial Reporting Standards Committee (FRSC) will publish a discussion document and an exposure draft with a basis for conclusions and will develop its own views before approving and issuing a new or revised standard. It is not an automatic process for adoption.

(II) is incorrect. The HKFRS is adopted from the IFRS which are considered a principles-based approach to financial reporting. The IFRS and HKFRS allow professional judgement in applying the principles rather than having explicit and precise rules to follow for recognition, measurement, disclosure and measurement.

(III) is incorrect. The Interpretations in the HKFRS cover newly identified financial reporting issues not specifically addressed by the HKFRS.

Question 16

Answer A is incorrect. A private company which has no subsidiary and is not a subsidiary of another company can only report under the HK SME-FRF, without considering the size tests, if the entity obtains a 100% agreement in writing from its shareholders for the financial year.

Answer B is correct. A small private company (meeting any of the two size tests in the HK Companies Ordinance) can adopt the simplified reporting exemption without obtaining shareholders' approval. Approval from shareholders is only required for a large 'eligible' private company and a private company which is not within a group structure and does not want to consider the size test for the adoption of the simplified reporting exemption.

Answer C is incorrect. The shareholders' approval requirement included two parts: at least 75% of its members passing a resolution to agree the reporting exemption and none of the members holding the remaining voting rights vote against the resolution. With 20% of the shareholders disagreeing, such company cannot report under the HK SME-FRF.

Answer D is incorrect. The total annual revenue threshold for the adoption of the HK SME-FRF is set at HK\$25 million. Further, no shareholders' approval is necessary if the annual revenue test is met.

Question 17

Answer A is incorrect. It has public accountability. Its equity instruments are traded in the public market (in this case, the GEM of the Hong Kong Stock Exchange). The size of the entity (i.e. the number of employees) is irrelevant for the purpose of adopting the HKFRS for PEs.

Answer B is incorrect. It has public accountability. It is in the process of issuing equity instruments for trading in a public market (in this case, Main Board).

Answer C is incorrect. It has public accountability. Its primary business (as a securities broker) is to hold assets for outside parties in a fiduciary capacity. Again, the size of the entity is irrelevant.

Answer D is correct. It does not have public accountability. Its equity instruments are not traded in a public market. There is no indication it is in the process of issuing equity instruments for trading in a public market. Further, its primary business (catering) is not

to hold assets for outside parties in a fiduciary capacity. The size of the entity is irrelevant for the purpose of adopting the HKFRS for PEs; therefore, even though it has more than HK\$10 billion assets and over 500 employees, it still qualifies for the adoption of the HKFRS for PEs.

Question 18

Nelson's statement was only partially correct. It is true that Florida Entertainment Limited (FEL) qualified for adopting the HKFRS for PEs based on the following reasons:

- FEL did not have public accountability:
 - FEL's equity instruments were not traded in a public market;
 - FEL was not in the process of issuing equity instruments for trading in a public market; and
 - FEL's primary business (operating a theme park) was not to hold assets for outside parties in a fiduciary capacity.
- FEL published general purpose financial statements for external users (in this case, the regulators).

However, HKFRS for PEs did not contain the requirement for an entity to obtain shareholders' approval for adoption of the standard. Given that FEL is a private entity, it could adopt the HKFRS for PEs for the preparation of its financial statements.

EXAM PRACTICE

QUESTION 1

Identify which of the following organisations *may* be eligible for adopting the *Small and Medium-sized Entity Financial Reporting Framework*.

- A.** A small private bank with fewer than 40 employees.
- B.** A company which is in the process of its initial public offering on the GEM of the Hong Kong Stock Exchange.
- C.** A private company which is not incorporated under the Hong Kong Companies Ordinance and had total annual revenue of HK\$70 million and 85 employees.
- D.** A company limited by guarantee having total revenue of HK\$30 million.

QUESTION 2

Identify which of the following statements is correct regarding the *Conceptual Framework for Financial Reporting* (Framework).

- A.** The Conceptual Framework is a critical document and should override the accounting standard in case inconsistency arises.
- B.** The Conceptual Framework determines that the boundary of a reporting entity must be a single entity.
- C.** Permitting alternative accounting methods for the same economic phenomenon diminishes the enhancing qualitative characteristics of financial information.
- D.** Capital is regarded as the net assets of an entity under the physical concept of capital.

QUESTION 3

The *Conceptual Framework for Financial Reporting* describes the recognition criteria for assets and liabilities, stating that an asset or a liability is recognised if recognition provides users with:

- Criteria (i): relevant information about the asset or liability; and
- Criteria (ii): a faithful representation of the asset or liability.

In assessing the above criteria, an entity considers the following factors:

- Factor 1: **Existence uncertainty**
- Factor 2: Low probability of an inflow or outflow of economic benefits
- Factor 3: Measurement uncertainty

Identify which of the following is a correct matching of the factors to the respective recognition criteria.

Criteria (i)	Criteria (ii)
A. Factors 1, 3	Factor 2
B. Factors 1, 2	Factor 3
C. Factor 3	Factors 1, 2
D. Factor 2	Factors 1, 3

QUESTION 4

Identify which of the following statement(s) is/are correct regarding the definition of the elements of financial statements.

- (I) To be an asset, an economic resource should be able to produce economic benefits to an entity.
 - (II) A dividend leads to a decrease in cash (or other assets) and, therefore, is an example of expenses.
- A.** Statement I only
B. Statement II only
C. Statements I and II
D. None of the above statements

QUESTION 5

HiTech Limited (HTL) had been established as a company providing technological solutions to financial institutions. HTL, upon establishment, signed a two-year contract to lease an office for its operations. Rent would be paid annually in arrears (i.e. at the end of the financial year). HTL did not legally own the premises throughout the two years. HTL also purchased a number of computer hardware and employed a team of programmers for developing solutions for its clients. HTL had a relatively small accounting department handling the recording of transactions and reporting of financial position and financial performance.

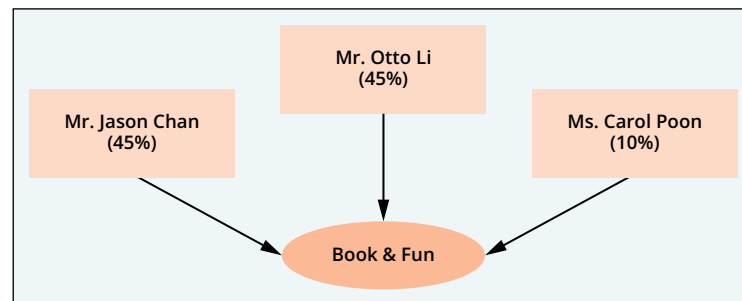
Mr. Sean Chan is leading the accounting department of HTL. During the first meeting, Sean made the following comment to his whole accounting team: 'The *Conceptual Framework for Financial Reporting* (Conceptual Framework) is an important document for our team. It defines the building blocks of financial statements to make sure that preparers like us are able to provide relevant financial information to users. I will strongly encourage you to have a full understanding of the Conceptual Framework'.

Required:

- Describe why the *Conceptual Framework for Financial Reporting* is important to preparers of the financial statements with reference to the objective of financial reporting.
- Explain (i) what 'relevance' in the *Conceptual Framework for Financial Reporting* means and (ii) how financial information can be considered as relevant.
- Define 'asset' in accordance with the *Conceptual Framework for Financial Reporting*. Based on the above definition, justify whether (i) leasing the office; (ii) purchasing the computer hardware and (iii) recruiting the programmers will, in general, give rise to asset(s). You are not required to refer to the specific accounting standards for the discussions.
- Define 'liability' in accordance with the *Conceptual Framework for Financial Reporting*. Based on the above definition, justify whether leasing the office will, in general, give rise to a liability. You are not required to refer to the specific accounting standard for the discussions.
- Describe the building blocks included in the financial statements which relate to an entity's financial performance.

QUESTION 6

Book & Fun Limited (Book & Fun) has been a private publisher of children's books incorporated under the Hong Kong Companies Ordinance. Over the years, the shareholding structure of Book & Fun had not been changed and is depicted below, with the percentage of voting rights of each shareholder in bracket:



Book & Fun did not own any subsidiary. From its audited financial statements, Book & Fun recorded total annual revenue of HK\$160 million and HK\$165 million for the years ended 31 December 20X7 and 20X8 respectively. The total assets on its statement of financial position as of 31 December 20X7 and 20X8 were HK\$144 million and HK\$149 million respectively. Book & Fun consistently had around 120 employees, including its full-time sales representatives and staff members from the administrative departments. Currently, Book & Fun prepared its financial statements using full HKFRS for tax filing purpose.

Required:

- State the advantages of the adoption of the Hong Kong Small and Medium-sized Entity Financial Reporting Framework and Standard (HK SME-FRF and HK SME-FRS).
- Explain how Book & Fun might qualify for adopting the HK SME-FRF and HK SME-FRS for the year ended 31 December 20X9.

- (c) Describe the factors that Book & Fun should have considered before adopting the HK SME-FRF and HK SME-FRS.
- (d) Explain, other than the HK SME-FRF and HK SME-FRS, whether there was any other alternative financial reporting framework that Book & Fun could adopt.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect. A bank is an ineligible business for adopting the HK SME-FRF under the Hong Kong Companies Ordinance (HK Companies Ordinance).

Answer B is incorrect. A company in the process of its initial public offering is not a private company under the definition of the HK Companies Ordinance.

Answer C is correct. Having a total annual revenue of less than HK\$100 million and fewer than 100 employees meets two of the size tests of a small private company. The HK SME-FRF is also applicable to companies not registered under the HK Companies Ordinance, subject to the laws of the company's place of incorporation and its constitution.

Answer D is incorrect. The HK SME-FRF is only applicable to companies limited by guarantee having total revenue of less than HK\$25 million.

QUESTION 2

Answer A is incorrect. The Conceptual Framework is neither a standard nor an accounting guideline, and nothing in the Conceptual Framework overrides any standard, any requirement in a standard or accounting guideline.

Answer B is incorrect. The Conceptual Framework states that the reporting entity can be a single entity, a portion of an entity (a division or a segment), or more than one entity (in case of group companies). A single entity is, therefore, not the only definition of such boundary.

Answer C is correct. The Conceptual Framework acknowledges that allowing alternative accounting methods diminishes comparability although a single economic phenomenon can be faithfully represented in multiple ways.

Answer D is incorrect. The description in question is relating to the financial concept of capital. Under the physical concept of capital, capital is regarded as the productive capacity of the entity based on, for example, units of output per day.

QUESTION 3

Answer B is correct.

Factor 1: Existence uncertainty affects relevance. The Conceptual Framework acknowledges that in some cases it is uncertain whether a right exists (for asset). One of the examples is that an entity and another party might dispute whether the entity has a right to receive an economic resource from that other party. Under such a circumstance, recognition of an asset, necessarily measured at a single amount, would not provide relevant information.

Factor 2: Low probability of an inflow or outflow of economic benefits also affects relevance. If the probability of an inflow or outflow of economic benefits is low, the most

relevant information about the asset or liability may be information about the magnitude of the possible inflows or outflows, their possible timing and the factors affecting the probability of their occurrence. These pieces of information are likely to be in the notes.

Factor 3: Measurement uncertainty affects faithful representation. If the level of uncertainty involved in estimating a measure of an asset or liability is high, it may be questionable whether the estimate would provide a sufficiently faithful representation of that asset or liability.

QUESTION 4

Answer D is correct.

Statement I is incorrect. In accordance with the *Conceptual Framework for Financial Reporting*, an asset should have the potential to produce economic benefits, such as cash flows. However, such benefits need not be certain or even likely. In other words, the definition of asset does not include a probability assessment regarding the generation of economic benefits.

Statement II is incorrect. The definition of expense excludes those effects resulting from distribution to equity holders. Dividends is a distribution to shareholders. Though it leads to a decrease in assets, it should not be classified as an expense. Instead it is a direct deduction from the equity.

QUESTION 5

- (a) The *Conceptual Framework for Financial Reporting* (Framework) confirms the objective of general purpose financial reporting as providing financial information about the reporting entity that is useful to existing and potential investors, lenders and other creditors when deciding whether to provide resources to the entity.

To ensure that preparers can achieve this objective of general purpose financial reporting, the Conceptual Framework assist entities to develop consistent accounting policies when no accounting standard (or accounting guideline) applies to a particular transaction or other event, or when an accounting standard (or accounting guideline) allows a choice of accounting policy.

- (b) Relevance is one of the fundamental qualitative characteristics identified by the Conceptual Framework as useful financial information. Financial information is relevant if it is capable of making a difference in the decisions made by users.

To be capable of making a difference in decisions and, therefore, relevant, the financial information should have predictive value, confirmatory value, or both. Financial information has predictive value if it can be used as an input to processes employed by users to predict future outcomes. Financial information has confirmatory value if it provides feedback about (confirms or changes) previous evaluations. The two values are interrelated, which means, information with predictive value often also has confirmatory value.

- (c) An asset is defined as a present economic resource controlled by the entity as a result of past events. An economic resource is a right with the potential to produce economic benefits.

Leasing an office gives rise to an asset. There is a right to use the leased premises as its office. Such a right has the potential to produce cash inflows, for example, by

using the leased premises for its operations. Hard Times Limited (HTL) controlled the use of the premises as it had the ability to direct the use of the leased premises and obtain the benefits that might flow from it although HTL did not have legal ownership over the property.

Purchasing the computer gives rise to an asset. This is more straightforward than leasing an office as HTL owned the computers, which meant having control as it had the ability to direct the use of the computers and obtain the benefits that may flow from them. There are rights over physical objects (i.e. the hardware) and such rights, again, had the potential to produce cash inflows when HTL used the computers to develop solutions to clients.

Recruiting programmers, however, does not give rise to an asset as it is hard to control the employees. They can leave and work elsewhere.

- (d) A liability is a present obligation of the entity to transfer an economic resource as a result of past events. For a liability to exist, three criteria must all be satisfied and these three criteria are analysed with reference to the leasing transaction:
- (i) the entity has an obligation: HTL had no practical ability to avoid paying rent as it signed the lease agreement (a contract);
 - (ii) the obligation was to transfer an economic resource; HTL had to pay cash;
 - (iii) the obligation was a present obligation that existed as a result of past events; there was an obligation as HTL signed a lease agreement (past event).

The obligation to pay rent gives rise to a liability.

- (e) The two building blocks to be reported on the statement(s) of financial performance are: income and expense.

Income is defined as increases in assets or decreases in liabilities that result in increases in equity other than those relating to contributions from holders of equity claims. On the contrary, expenses are decreases in assets or increases in liabilities that result in decreases in equity, other than those relating to distributions to holders of equity.

QUESTION 6

- (a) A number of benefits exist for adopting the HK SME-FRF and HK SME-FRS: (i) simpler and briefer reporting requirements, which could save much time and effort; (ii) fewer disclosure requirements, including not to prepare the cash flow statements; (iii) exemption from including a business review in the director's report; and (iv) exemption from giving a true and fair view on its financial statements.
- (b) Book & Fun has been a private company with only three shareholders and shares not listed on any stock exchange. It has published children's books and, therefore, did not engage in ineligible businesses (such as banking and insurance businesses) in the Hong Kong Companies Ordinance for the HK SME-FRF reporting exemption. Book & Fun could have used two methods to qualify to adopt the simplified reporting framework:

Method 1: Considering the size tests

First, we consider whether Book & Fun is a small private company:

	Year ended 31 December 20X7	Year ended 31 December 20X8
Annual revenue ≤ HK\$100 million?	X	X
Total assets ≤ HK\$100 million?	X	X
Average employees ≤ 100?	X	X
Small private company?	No (satisfied none of the three tests)	No (satisfied none of the three tests)

Then, we consider if Book & Fun is a large 'eligible' private company:

	Year ended 31 December 20X7	Year ended 31 December 20X8
Annual revenue ≤ HK\$200 million?	✓	✓
Total assets ≤ HK\$200 million?	✓	✓
Average employees ≤ 100?	X	X
Large 'eligible' private company?	Yes (satisfied two of the three tests)	Yes (satisfied two of the three tests)

Book & Fun fulfilled the criteria to be a large 'eligible' private company for two consecutive years, it was eligible for adopting the HK SME-FRF and HK SME-FRS for the year ended 31 December 20X9, subject to the satisfaction of the shareholders' approval requirements.

The shareholders' approval requirements for large 'eligible' private company were as follows:

- At least 75% of all the members had to pass a resolution at a general meeting that the company was to fall within the reporting exemption for the financial year; and
- None of the members holding the remaining voting rights in that company voted against the resolution.

Based on the above approval requirements, if Book & Fun wished to adopt the HK SME-FRF and HK SME-FRS for the year ended 31 December 20X9, Mr. Jason Chan and Mr. Otto Li, holding a total of 90% of the voting rights, had to agree on such adoption (therefore exceeding 75% stipulated in the approval requirements in the Hong Kong Companies Ordinance) and at the same time, Ms. Carol Poon, holding the remaining 10% of the voting rights, did not vote against the resolution.

Method 2: Disregarding the size tests

Book & Fun was a private company that did not own any subsidiary and was not a subsidiary of another company (as only three individuals held the shares of Book & Fun). The Hong Kong Companies Ordinance allowed the adoption of the HK SME-FRF and HK SME-FRS for such a private company provided that it could obtain 100% agreement from shareholders each year. Book & Fun could, therefore, adopt the simplified reporting exemption under HK SME-FRF for the year ended 31 December 20X9 without considering the size tests if Mr. Jason Chan, Mr. Otto Li and Ms. Carol Poon all agree on this adoption.

In fact, Book & Fun could have adopted the simplified reporting framework if all the three shareholders agreed on such reporting framework in prior years (i.e. for the years ended 31 December 20X7 and 20X8).

- (c) Book & Fun needed to consider the pros and cons before shifting to the simplified reporting framework. The following questions might be relevant to Book & Fun:
- How much time and resources could be saved by switching to the HK SME-FRF and HK SME-FRS?
 - Would the financial statements be used by others in the future?
 - How many years was Book & Fun likely to stay eligible and benefit from the change?

Applying these considerations in the case of Book & Fun and assuming the shares of Book & Fun were to be closely held by the three shareholders and assuming no one else other than the Inland Revenue Department would look into their financial statements, shifting to the simplified reporting framework would reduce the complexity of the preparation of Book & Fun's financial statements. However, if it was expected that:

- Book & Fun would keep on expanding in the coming years (say, the total annual revenue and/or the total assets were going to exceed HK\$200 million) under which Book & Fun would not satisfy the size tests of large 'eligible' private company anymore; or
 - Book & Fun was going to float its shares on the public market, then it might be unwise to shift to such simplified reporting framework for only a short period of time.
- (d) Other than the HK SME-FRF and HK SME-FRS suggested in part (b) above, Book & Fun also qualified for adopting the HKFRS for PEs based on the following reasons:
- Book & Fun did not have public accountability:
 - Its equity instruments were not traded in a public market;
 - There was no evidence that Book & Fun was in the process of issuing equity instruments for trading in a public market; and
 - Book & Fun's primary business (publisher of children's books) was not to hold assets for outside parties in a fiduciary capacity.
 - Book & Fun publishes general purpose financial statements for external users (in this case, the Inland Revenue Department).

Shareholders' approval was not required for the adoption of the HKFRS for PEs.

Of course, Book & Fun, although eligible for adopting the HK SME-FRF/FRS and the HKFRS for PEs, could still prepare its financial statements under the full HKFRS as in the current situation.

Part B

Accounting Principles and Concepts in Business Transactions

- 
- Chapter 2** Fair Value Measurement
 - Chapter 3** Revenue Recognition
 - Chapter 4** Inventories
 - Chapter 5** Property, Plant and Equipment
 - Chapter 6** Investment Property
 - Chapter 7** Lease Accounting
 - Chapter 8** Borrowing Costs
 - Chapter 9** Intangible Assets
 - Chapter 10** Financial Assets, Financial Liabilities and Equity Instruments
 - Chapter 11** Impairment of Assets
 - Chapter 12** Non-current Assets Held for Sale and Discontinued Operations
 - Chapter 13** Accounting Policies, Changes in Accounting Estimates and Errors
 - Chapter 14** Events After the Reporting Period
 - Chapter 15** Provisions, Contingent Liabilities and Contingent Assets
 - Chapter 16** Income Taxes
 - Chapter 17** Earnings per Share
 - Chapter 18** Effects of Changes in Foreign Exchange Rates
 - Chapter 19** Related Party Disclosures

2

Fair Value Measurement



CHAPTER TOPIC LIST

2.1 Fair Value Overview

- 2.1.1** Definition of Fair Value
- 2.1.2** Principal (or Most Advantageous) Market
- 2.1.3** Highest and Best Use

2.2 Valuation Techniques

- 2.2.1** Market Approach
- 2.2.2** Cost Approach
- 2.2.3** Income Approach
- 2.2.4** Choice of Approach

2.3 Fair Value Hierarchy

2.4 Applications of Fair Value Measurement

- 2.4.1** Financial Assets
- 2.4.2** Real Estates
- 2.4.3** Intangible Assets

2.5 Fair Value Disclosures



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.18: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to fair value measurement

2.18.01 Define fair value

2.18.02 Explain various appropriate valuation techniques in measuring the fair value of an item

2.18.03 Explain appropriate inputs to valuation techniques in measuring the fair value of an item, with reference to the fair value hierarchy

2.18.04 Illustrate the valuation approach to measure the fair value for key financial and non-financial assets and liabilities, including property, plant and equipment, intangible assets, investment properties and financial instruments

2.18.05 Identify the relevant information for fair value disclosure



OPENING CASE

NEW HORIZONS PROPERTY

New Horizons Property Limited (NHP) is a leading property development with a particular focus on Hong Kong and mainland China. NHP is based in Hong Kong and has its shares listed on the Stock Exchange of Hong Kong. The development focus of NHP is residential, although it is diversified to develop greenfield sites for detached housing aimed at the middle class on the mainland, luxury apartment blocks in Hong Kong, as well as high-end mansions. NHP's vertically integrated business includes project management, construction, property management and financial services supporting its core business of property development and investment.

Last month, NHP acquired a large parcel of land that only has industrial zoning. In recent years, NHP started investing in various companies supporting 'green' initiatives by holding small blocks of ordinary shares of these entities. Most of these entities are private start-ups.

The accountants in NHP are considering how to measure the fair value of various items to be presented on its statement of financial position and in the notes to the financial statements. 

OVERVIEW

A number of HKFRSs require or permit entities to measure or disclose the fair value of assets, liabilities or their own equity instruments. HKFRS 13 *Fair Value Measurement* was issued with the objectives to define fair value, set out a framework for the measurement of fair value and require disclosures about fair value. Such framework is applied consistently to almost all fair value measurements and fair-value-based measurements in financial reporting.

The core principle in HKFRS 13 is that fair value is a market-based measurement, not an entity-specific measurement. This means that when measuring fair value, the entity uses the assumptions that market participants would use when pricing the asset or liability under current market conditions. HKFRS 13 explains *how* to measure fair value, but does not explain *when* to measure assets, liabilities or own equity instruments.

This chapter provides you with a basic understanding of the key principles in HKFRS 13. The chapter is not intended to deal with complex valuation issues. This chapter focuses on the definition of fair value, the common valuation techniques, the inputs to such techniques and the key disclosure requirements in HKFRS 13. You will then understand how to measure the fair value of some simple items on the statement of financial position such as real estates and simple financial instruments as in the Opening Case.

2.1 FAIR VALUE OVERVIEW

Measurement is an integral part of the financial reporting process. Recall what measurement is in the *Conceptual Framework for Financial Reporting* in Chapter 1. Measurement refers to the result of applying a measurement basis to an asset or liability, which leads to a monetary amount reported on the financial statements. Fair value is one of such measurement bases.

A number of HKFRSs require fair value measurement (and disclosure) and HKFRS 13 *Fair Value Measurement* is applied to these situations. This section discusses the definition of fair value and its general principles.

2.1.1 Definition of Fair Value

Fair value is defined as the price that would be received to sell an asset (or paid to transfer a liability) in an orderly transaction between **market participants** at the measurement date.

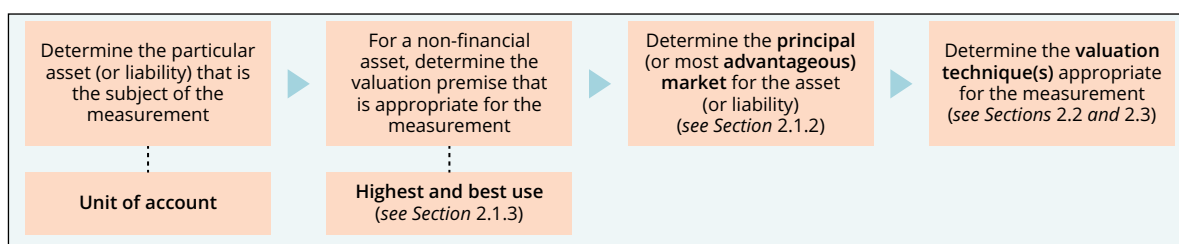
HKFRS
13.9

There are two key principles, derived from the preceding definition, for the understanding of fair value measurement throughout this chapter:

- Fair value is an **exit price** (i.e. the price received to sell an asset) as opposed to entry price (i.e. the price paid to purchase an asset).
- Fair value is a *market-based measurement* but not an entity-specific measurement. The definition of fair value focusses much on 'market participants' and the measurement takes into consideration the assumptions that these market participants would use when pricing the item. The concept of market participants will be discussed further in Section 2.1.2.

HKFRS
13.B2

While the preceding definition requires further elaborations, a fair value measurement generally follows the processes below:



► **EXHIBIT 2.1** Fair value measurement process

HKFRS
13.13–14

The fair value measurement starts with determining the particular asset (or liability), which is the subject of the measurement. The item measured at fair value can either be:

- a stand-alone asset (or liability); or
- a group of assets (or a group of liabilities or a group of assets and liabilities).

HKFRS 13 does not specify the unit of account for measuring fair value (whether the item is a stand-alone item or a group of assets/liabilities). This module focusses on basic principles relating to fair value measurement and will only illustrate the measurement of a stand-alone item.

2.1.2 Principal (or Most Advantageous) Market

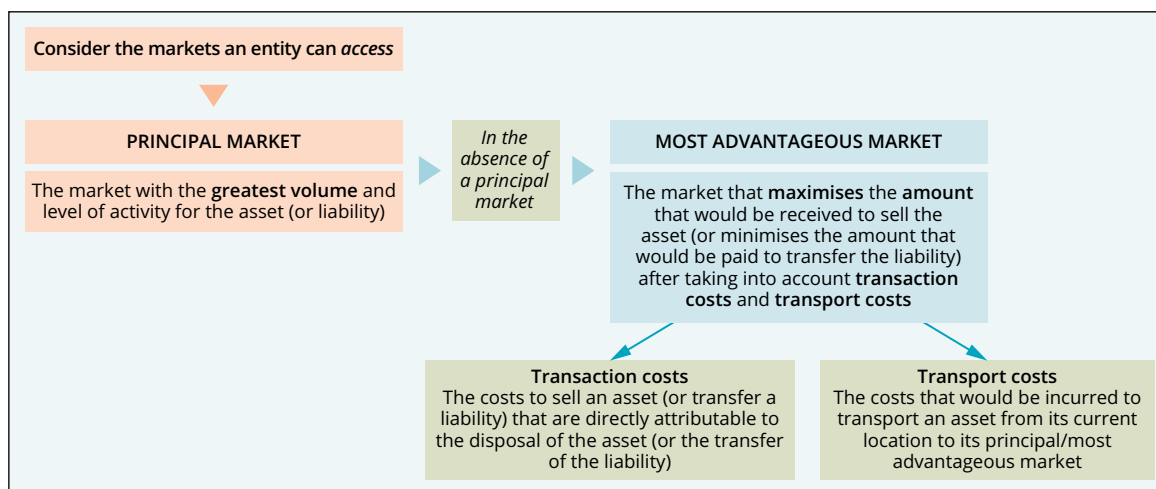
Based on the definition of fair value in Section 2.1.1, fair value is measured using the assumptions that market participants would use when pricing the item which is based on a hypothetical transaction. Such transaction is assumed:

- to be an orderly transaction; and
- to take place either in the principal or **most advantageous market**.

HKFRS 13 defines **orderly transaction** as a transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities. In other words, it should not be forced transaction such as a forced liquidation or distress sale.

HKFRS
13.A

On top of being an orderly transaction, the hypothetical transaction assumes that the asset (or liability) is exchanged in the principal market or the most advantageous market. Exhibit 2.2 summarises the key concepts relating to these markets:



► EXHIBIT 2.2 Principal market vs. most advantageous market

HKFRS
13.19

An entity must have access to the principal (or most advantageous) market at the measurement date. Therefore, depicted in Exhibit 2.2, an entity must consider the markets it can access before determining the principal (or most advantageous) market. HKFRS 13 acknowledges that different entities may have access to different markets. The determination of the principal (or most advantageous) market for the same item might be different for different entities. This determination is therefore entity-specific.

Illustrative Example 1

AW Bank is an investment bank while UY Limited is a commercial entity. AW Bank enters into a swap transaction with UY Limited. AW Bank has free access to both the wholesale markets as well as the retail markets, while UY Limited can have access only to the retail markets.

To AW Bank, the principal (or most advantageous) market of a swap instrument may be either the wholesale or retail markets as AW Bank has access to both of the markets. To UY Limited, the principal (or most advantageous) market of the same swap instrument will be the retail markets as it has access only to such markets. This example illustrates that the determination of the principal (or most advantageous) market is entity-specific and such determination for the same item (i.e. the swap instrument in this example) might be different for different organisations.

Once the accessible markets are identified (which is entity-specific), an entity goes on to determine the **principal market**, which is the market with the greatest volume and level of activity for the item. In this assessment, HKFRS 13 requires the use of market-based volume and activity rather than the volume of the reporting entity. If a principal market is identified, the fair value measurement represents the price in that principal market. It is only when there is no principal market that the most advantageous market is to be identified for fair value measurement.

HKFRS
13.17–18

Apply and Analyse 1

Sleepy Time Limited (STL) manufactures and sells mattresses. It sells its mattresses to three markets, North, Mid and South. STL has access to all the three markets. The following information is relevant for fair value measurement:

	North	Mid	South
Market annual trade volume, based on information in trade magazines	20,000	30,000	24,000
Price per unit (HK\$)	6,200	6,100	6,500
Transport costs per unit (HK\$)	(200)	(250)	(300)
	6,000	5,850	6,200
Transaction costs per unit (HK\$)	(150)	(100)	(400)
Net proceeds per unit (HK\$)	5,850	5,750	5,800

Analysis

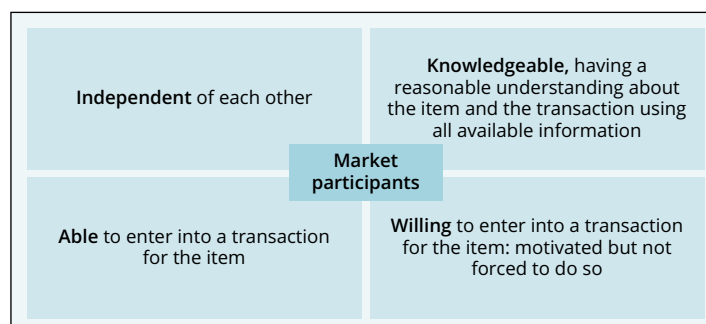
STL has access to all the three markets. The principal market for its mattresses is the Mid market as it has the greatest volume and level of activity. The fair value is then based on the information in this market.

Assume the market information is not available or the market annual trade volume for the three markets is the same such that no principal market can be determined, STL needs to determine which market is the most advantageous market. The most advantageous market is defined as the market that maximises the amount that would be received to sell the asset after taking into account transport costs and transaction costs. Based on the above information, the most advantageous market is the North market as it has the highest net proceeds.

It should be noted that even if the price in a different market is potentially more advantageous (e.g. the North market) at the measurement date, the fair value measurement represents the price in its principal market (i.e. the Mid market) if it can be determined.

Once the principal (or most advantageous) market is determined, an entity identifies the market participants and their assumptions in pricing an item. Market participants are buyers and sellers in the principal (or most advantageous) market who have the following characteristics:

HKFRS
13.A



► EXHIBIT 2.3 Characteristics of market participants

The final step is to measure the fair value, which is the price of the hypothetical transaction in the selected market. When measuring fair value, **transaction costs** and **transport costs** are treated differently. Transaction costs such as brokerage fees will not be adjusted in the measurement of fair value as they are not a characteristic of an asset (or a liability). They are specific to a transaction and will be different depending on how an entity enters into a transaction. This poses a difference compared to the identification of the most advantageous market when transaction costs are taken into consideration. Transport costs, however, are adjusted in measuring fair value as location can be a characteristic of an asset (e.g. a commodity).

HKFRS
13.25–26

Apply and Analyse 2

Following the facts in Apply and Analyse 1, STL measures the fair value of its mattresses when: (i) the principal market can be determined; and (ii) there is an absence of the principal market.

Analysis

If the principal market can be determined (i.e. the Mid market), the fair value of a mattress is HK\$5,850 per unit (without considering the transaction costs).

If the principal market cannot be determined, the fair value of a mattress will be based on the price in the most advantageous market (i.e. the North market), which is HK\$6,000 per unit. This is different from the value used to identify the most advantageous market in Apply and Analyse 1 (which is HK\$5,850 per unit) as transaction cost is adjusted in the fair value measurement.

2.1.3 Highest and Best Use

Fair value measurement of a non-financial asset (such as real estates and intangible assets) takes into account a market participant's ability to generate economic benefits by using the asset in its **highest and best use** (or by selling it to another market participant that would use the asset in its highest and best use). This underlying valuation premise is only applicable to non-financial assets and the highest and best use should be determined from the market participants' perspective, which may be different than an entity's current use.

HKFRS
13.27

HKFRS
13.29

Illustrative Example 2

NHP has a piece of land currently developed for industrial use as a site for a factory. Nearby sites have recently been developed for residential use as sites for high-rise apartment buildings. The value of the land is HK\$3 million if it is developed for industrial use and the value of the land as a vacant site for residential use is HK\$3.6 million, taking into account the costs of demolishing the factory and other costs.

The land is a non-financial asset, and therefore, NHP needs to take into consideration the 'highest and best use' as the valuation premise of the piece of land. The fair value of the land, determined on the basis of the higher of the two values (industrial use and residential use), is then HK\$3.6 million, which does not represent the value of the land for NHP's current use.

Key Learning Point

Fair value is defined as the price that would be received to sell an asset (or paid to transfer a liability) in an orderly transaction between market participants at the measurement date. It is an exit price and takes into consideration the assumptions made by market participants who are buyers and sellers in the principal (or most advantageous) market.

► Knowledge Check Questions**Question 1**

Identify which of the following circumstance is appropriate for fair value measurement.

- A** The seller is near bankruptcy.
- B** The seller was required to sell to meet regulatory requirements.
- C** The transaction price is an outlier when compared with other recent transactions for the same item.
- D** It requires a sufficient exposure to the market before measurement date.

Question 2

Identify which of the following item(s) is/are adjusted in fair value measurement.

- (I) Transport costs
 - (II) Transaction costs
- A** I only
 - B** II only
 - C** Both I and II
 - D** Neither I nor II

 2.2 VALUATION TECHNIQUES

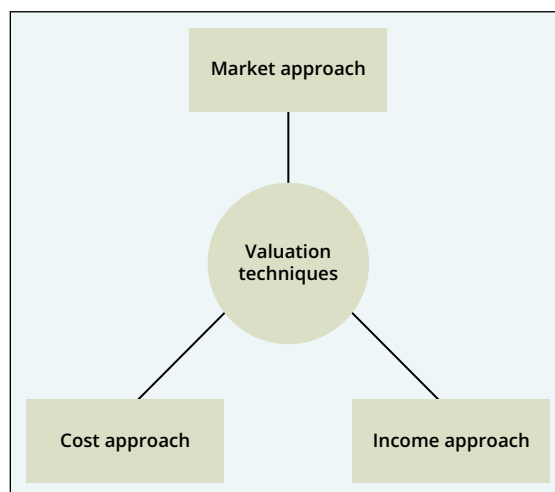
After determining the asset (or liability) to be measured as well as its principal (or most advantageous) market based on the general principles discussed in Section 2.1, an entity needs to measure the fair value of an asset (or liability) by the following two principles:

- (i) selecting valuation techniques that are appropriate in the circumstances and for which sufficient data are available; and
- (ii) maximising the use of observable inputs and minimising the use of unobservable inputs.

HKFRS
13.61

HKFRS
13.62

This section focuses on the first principle while Section 2.3 focuses on the second principle. Valuation techniques fall into three approaches:



► **EXHIBIT 2.4** Three valuation approaches

HKFRS
13.B5–B7

2.2.1 Market Approach

This approach uses prices and other information generated by market transactions involving identical or similar assets or liabilities (or group of assets and liabilities such as a business). The essence of this approach is on comparables in the market and the corresponding market multiples expressing the value of an item with reference to a metric (such as price to earnings (P/E) ratio for an entity in the valuation of a private entity).

Items that are commonly valued using this approach include financial assets such as quoted shares, unquoted shares (with a market comparison) and traded derivatives as well as non-financial assets such as real estates.

HKFRS
13.B8–B10

2.2.2 Cost Approach

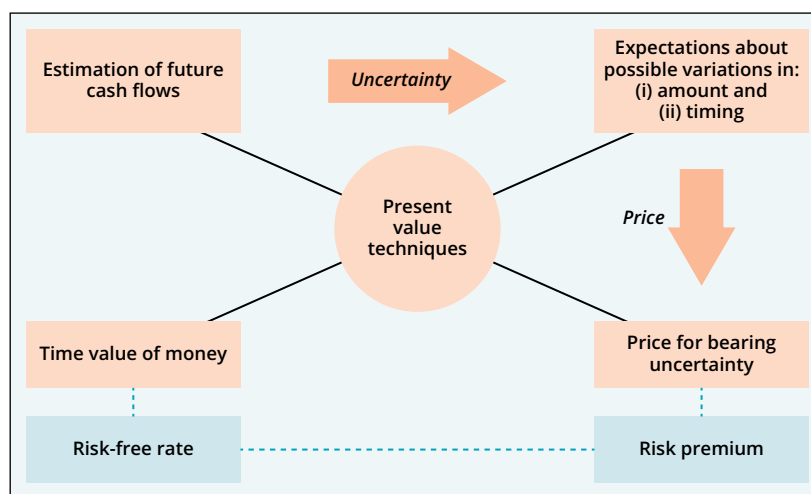
This approach reflects the amount that would be required currently to replace the service capacity of an asset, which is often referred to as current replacement cost. The key concept is that an investor will pay no more for an asset than the cost to purchase a substitute asset of comparable utility. This approach is widely applicable to value non-financial assets in particular factory plant and equipment for an entity's own-use as these items will not generate cash inflows independently (which is compared with the income approach to be discussed in Section 2.2.3).

HKFRS
13.B10–B30

2.2.3 Income Approach

This approach converts future amounts such as cash flows or income streams to a single current amount by using a discount rate. The fair value measurement then reflects current market expectations about those future amounts. One of the typical examples of such valuation techniques is the present value techniques.

The present value technique focusses on the facts and circumstances specific to the asset (or liability) being measured, taking into consideration the following elements in the fair value measurement process:



► EXHIBIT 2.5 Present value techniques

Apply and Analyse 3

NHP needs to measure the fair value of an item of property, plant and equipment, Model X. The possible cash flows and associated probabilities from Model X are as follows (assuming, for simplicity, Model X is to generate cash flows for one year only):

Possible cash flows	Probability
HK\$8,000	20%
HK\$10,000	60%
HK\$14,000	20%

The risk-free interest rate for one year of cash flows is 2.5 per cent and the risk premium for an asset with the same risk profile is assumed to be 1.5%.

Analysis

The measurement of fair value for Model X illustrates the elements in Exhibit 2.5. It starts with the estimation of the future cash flows for Model X. It then incorporates expectations about possible variations in the amount of the cash flows, which leads to the estimation of the *expected* cash flows taking the probabilities into consideration:

Possible cash flows	Probability	Probability-weighted cash flows
HK\$8,000	20%	HK\$8,000 x 20% = HK\$1,600
HK\$10,000	60%	HK\$10,000 x 60% = HK\$6,000
HK\$14,000	20%	HK\$14,000 x 20% = HK\$2,800
Expected cash flows		HK\$10,400

Apply and Analyse 3 (continued)

NPH determines the risk-free rate to incorporate the time value of money into the present value technique. Such a rate is then eventually adjusted with the price of bearing the uncertainty (i.e. risk premium). Integrating all the preceding elements, the fair value of Model X is measured at HK\$10,000 ($\text{HK\$}10,400 \div [1 + (2.5\% + 1.5\%)]$).

This approach is widely used in fair value measurement of financial assets (such as unlisted equity instruments and derivatives) and non-financial assets (such as investment properties and intangible assets), which generates future income streams.

HKFRS
13.63

2.2.4 Choice of Approach

HKFRS 13 does not specify a hierarchy for valuation techniques nor does it stipulate a specific valuation technique. In some cases, a single valuation technique may be sufficient, while in other cases (especially in more complicated situations like valuing a cash-generating unit (see Chapter 11 for what a cash-generating unit is), an entity needs to use more than one valuation technique resulting in a range of valuation results.

Key Learning Point

There are three types of valuation techniques: the market approach, the cost approach and the income approach. An entity should use a valuation technique consistent with one or more of these approaches to measure fair value.

► Knowledge Check Questions

Question 3

'An asset is worth what it is expected to earn, discounted for the time value of money and associated risk'. Identify to which valuation technique the above statement refers.

Question 4

'When using quoted prices for similar assets, adjustments are often necessary for differences between the asset and the comparable assets'. Identify to which valuation technique the above statement refers.

Question 5

Swift Tech Limited needs to measure the fair value of a very specialised, income-producing software asset that is internally developed. Such software is licenced to customers for a fee. Justify which of the valuation technique(s) is/are appropriate for such fair value measurement.

2.3 FAIR VALUE HIERARCHY

The valuation techniques discussed in Section 2.2 need to maximise the use of observable inputs and minimise the use of unobservable inputs. Observable inputs refer to those developed using market data while unobservable inputs refer to those with no available market data. This section focuses on the fair value hierarchy in HKFRS 13 relating to these inputs that are categorised into three levels:

HKFRS
13.72–90;
B35, B36

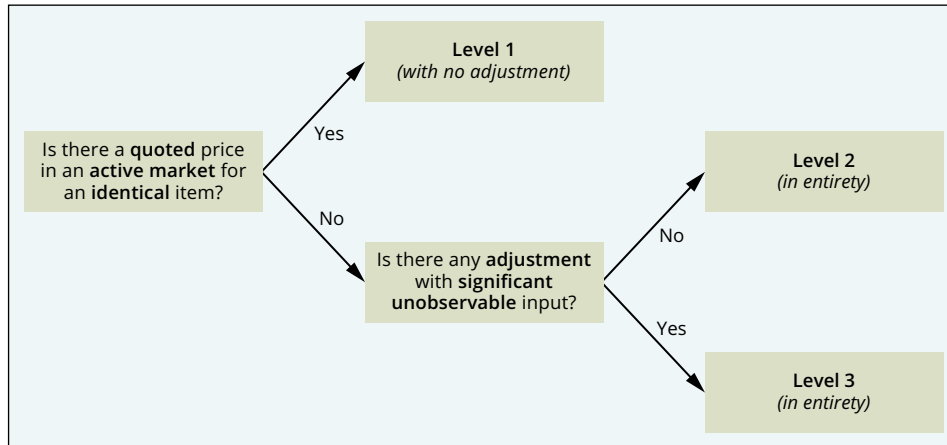
	Examples
LEVEL 1 Unadjusted quoted price in active markets for identical assets (or liabilities) that the entity can access at the measurement date	Prices of financial instruments quoted on the Hong Kong Stock Exchange
LEVEL 2 Other than quoted prices included within Level 1 that are either directly or indirectly observable for the asset (or liability)	- Quoted prices for <i>similar</i> assets in active market (e.g. prices per square metres for real estates) - Quoted prices for identical or similar assets in markets that are <i>not active</i> - Interest rates, credit spreads, yield curve
LEVEL 3 Unobservable inputs for the asset (or liability)	Use of entity's own data (e.g. cash flows estimations)

► **EXHIBIT 2.6** Fair value hierarchy with examples

The fair value hierarchy gives the highest priority to Level 1 inputs and the lowest priority to Level 3 inputs.

One of the central ideas in the fair value hierarchy is on adjustment. Level 1 prices should not be adjusted. If there is no identical item in an **active market**, the input falls into Level 2 or Level 3 with necessary adjustments. Such adjustments include factors such as the condition or location of the asset. If Level 2 inputs are adjusted, an entity then assesses whether the adjustment, if based on unobservable inputs, is *significant* to the entire measurement. If it is significant, then the fair value measurement will be classified into Level 3. HKFRS 13 requires the categorisation of inputs in its *entirety* in the same level of the fair value hierarchy. In other words, if both Level 2 and Level 3 inputs are used to the fair value measurement of an

item, the final categorisation should either be Level 2 *or* Level 3 in its entirety. The following exhibit summarises the determination of the level of inputs in accordance with the fair value hierarchy:



► **EXHIBIT 2.7** Determination of the level of inputs in the fair value hierarchy

Illustrative Example 3

NHP needs to measure the fair value of one of its properties, Property T, located in Tsim Sha Tsui. NHP uses prices per square metre derived from prices observed in transactions involving similar buildings in Tsim Sha Tsui with no significant adjustment.

It is rare for real estate to be classified in Level 1 of the fair value hierarchy as there is no identical Property T in the active market. In the above scenario, since the inputs used for the fair value measurement are observable inputs (i.e. quoted price in active market for similar properties) and the assets in the observed transactions are sufficiently comparable (same geographical location) so that no significant adjustment to the inputs is required, NHP classifies such fair value measurement as a Level 2 measurement.

Now, there is an additional fact relating to Property T. Assume that there is a restriction on the sale of Property T and a market participant would take into account the effect of such restriction when estimating the price for Property T. NHP would adjust the above quoted price (Level 2 input) to reflect the effect of the restriction. Such an adjustment is an unobservable input (Level 3), AND if NHP considers such an adjustment is significant to the entire measurement, NHP classifies such fair value measurement as a Level 3 measurement in its entirety, though both Levels 2 and 3 inputs have been used to measure the fair value of Property T.

Key Learning Point

There are three levels of inputs according to the fair value hierarchy. Level 1 inputs are unadjusted quoted prices in an active market for identical assets (or liabilities). Level 2 inputs are inputs (other than Level 1 inputs) that are directly or indirectly observable for the assets (or liabilities). Level 3 inputs are unobservable inputs for the assets (or liabilities). An entity should maximise the use of observable inputs and minimise the use of unobservable inputs when measuring fair value.

► Knowledge Check Questions**Question 6**

Identify which of the following is an example of an unobservable input.

- A** Stock prices of listed entities
- B** Real estate transactions
- C** Company cash flow projections
- D** Spot prices for oil

Question 7

For the following items, identify the level for the inputs in the fair value hierarchy used to measure the fair value of the item:

- (i) Shares in a listed company.
- (ii) Shares in a private company that are valued using valuation technique utilising earnings multiples from similar listed competitors along with various unobservable inputs that are not considered significant.
- (iii) Listed bonds with infrequent recent transactions, where the last transaction was two weeks prior to measurement date. The valuation technique uses quoted price adjusted for observable market trends in past two weeks.
- (iv) A property that is valued using observable prices per square meter for similar properties with adjustments for specific characteristics.



2.4 APPLICATIONS OF FAIR VALUE MEASUREMENT

This section provides a number of applications of fair value measurement integrating the concepts covered in Sections 2.1 to 2.3. Candidates can use the materials presented in this section to assess understanding of the fair value measurement processes of financial assets, real estates and intangible assets.

2.4.1 Financial Assets

Financial assets can be broadly categorised into quoted securities and unquoted securities for the purpose of fair value measurement. The measurement of fair values for these two types of securities varies significantly from the valuation technique(s) involved and the inputs to the valuation technique(s). It is relatively straightforward to measure the fair value of quoted securities such as shares traded on the Main Board of the Stock Exchange of Hong Kong as well as derivatives traded on the futures market. An entity can easily refer to the quoted price from various platforms such as Bloomberg to measure the fair value of quoted securities. Such a technique falls under the market approach that uses Level 1 inputs. However, fair value measurement of unquoted securities is more complicated as demonstrated in Illustrative Example 4.

Illustrative Example 4

In January 20X7, NHP bought 10,000 outstanding voting shares of Green Development Limited (GDL), representing 5% of the outstanding voting shares of GDL, at HK\$1,000,000. GDL is a private company. In December 20X7, GDL raised funds by issuing new equity capital of 10,000 voting shares to another investor, Sustainable Investment Limited (SIL), for HK\$1,200,000. NHP has to measure the fair value of its investment in GDL at 31 December 20X7 for its annual financial statements. NHP concludes that, since the new equity capital issue to SIL till 31 December 20X7, there has been no significant external or internal change in the environment in which GDL operates.

This new equity capital issue to SIL represents the transaction price paid for an identical instrument (i.e. shares of GDL) by other investors. As both NHP and SIL have shares with the same rights and conditions, such new equity capital issue is a 'comparable' to NHP's investments. Its value (HK\$1,200,000) is therefore representative of the value of NHP's equity interest in GDL at 31 December 20X7, as there has been no significant change in GDL's environment in December 20X7. Such valuation technique falls under the market approach.

NHP has to, again, measure the fair value of its investment in GDL as at 30 June 20X8 for its interim financial statements. This time, NHP concludes that there has been significant external change in the environment in which GDL operates during the first six months of 20X8. NHP therefore identifies some company peers engaging in the same industry as GDL. NHP then selects a performance measure in such company peers (such as revenue or earnings) and derives valuation multiples (such as revenue multiples or earnings multiples) that are then applied to GDL for the valuation of its 10,000 shares.

The valuation in June 20X8 no longer applies the transaction price paid for an identical instrument by other investors (unlike the valuation conducted in December 20X7). Instead, it involves using comparable company valuation multiples. Still, it is based on the concept of comparable assets (company peers engaging in the same industry as GDL). This valuation technique also falls under the market approach.

2.4.2 Real Estates

It is common for entities to use external appraisers to measure the fair value of a property. In general, a property can be classified as owner-occupied property or investment property (see Chapters 5 and 6). As there may be different possible uses for a property, an entity should bear in mind the application of the 'highest and best use' valuation premise, discussed in Section 2.1.3, when measuring the fair value of real estates. For example, a property is currently being used as a carpark. It is likely to have a significantly higher value if it is used as a residential apartment, given the recent growth and demand for residential apartments. Market participants would take this into account when pricing the property. Accordingly, the highest and best use of such property would likely be its potential use as residential apartments rather than as a carpark.

The International Valuation Standards (IVS) are the generally accepted standards for professional appraisal practice in valuing real estates internationally. IVS suggests a number of methods in property valuation which are:

- Market comparison method;
- Income capitalisation/discounted cash flow method; and
- Depreciated replacement cost method.

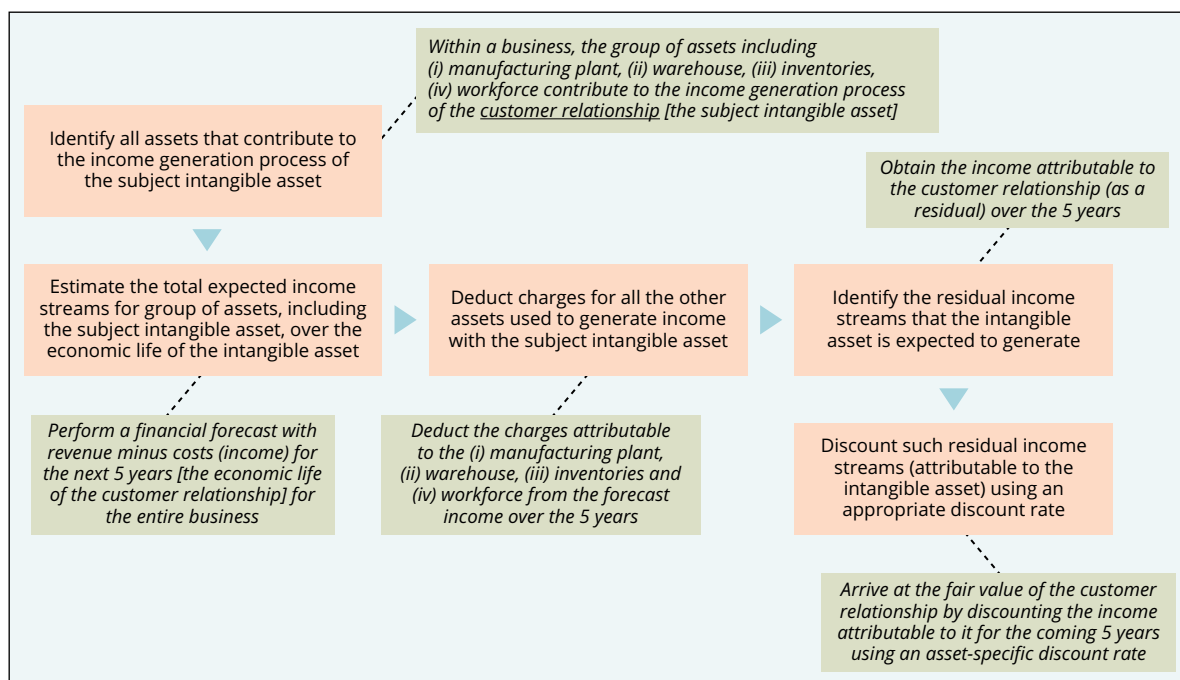
These methods are consistent with the approaches described in HKFRS 13 (see Section 2.2). Take the market comparison method as an illustration. This approach makes reference to recent market transactions of comparable properties and involves an analysis of the sales of such properties. An appraiser will take into consideration such factors as the location, floor, layout, ceiling height, size, view and age (year built) of various comparable properties which pose an effect on the value of the subject property. The appraiser will then come up with an appropriate unit of comparison such as price per square meter that is applied to the subject property. Such a valuation technique is consistent with the market approach discussed in Section 2.2.1. If there is an active property market and no significant adjustment made in the valuation process, the inputs to such a valuation technique are usually classified as Level 2 inputs.

The income capitalisation/discounted cash flow method estimates the rental income of the subject property and discount them at an appropriate rate to produce a value for the property. The discount rate is based on the time value of money as well as the risks and rewards of the income stream generated by the property. This is consistent with the income approach discussed in Section 2.2.3 and is very common for measuring the fair value of commercial properties producing rental income. As the future cash flows arising from the rental income of the subject property are unobservable, the inputs to such a valuation technique are usually classified as Level 3 inputs.

2.4.3 Intangible Assets

Measuring the fair value of intangible assets for financial reporting purpose is complicated. As HKFRS 13 mentions about the use of multi-period excess earnings method for the valuation of some intangible assets, candidates are suggested to have a taste on how such method is applied to intangible asset valuation.

The multi-period excess earnings method is commonly used in the valuation of customer relationship assets and the process can be summarised using the following exhibit:



► **EXHIBIT 2.8** Multi-period excess earnings method for the valuation of customer relationship

► Knowledge Check Questions

Question 8

Exhibit 2.8 demonstrates the basic ideas relating to the multi-period excess earnings method for valuation of intangible assets. Justify under which valuation technique(s) in HKFRS 13 *Fair Value Measurement* such a method falls.

Question 9

Which level of the fair value hierarchy should the inputs used in the multi-period excess earnings method be classified?

2.5 FAIR VALUE DISCLOSURES

HKFRS 13 contains a comprehensive disclosure framework for fair value measurement. This is intended to help users of financial statements assess the valuation techniques and inputs used to develop those measurements.

HKFRS 13 makes a distinction between recurring fair value measurement (i.e. fair value measurement required at each reporting date) and non-recurring measurement (i.e. fair value measurement triggered only in particular circumstances). The extent of disclosures required then depends on the level of the inputs used to measure fair value in the fair value hierarchy, with increased disclosures applying to Level 3 inputs.

Key Requirements	Recurring	Non-recurring
Fair value at the end of the period (Levels 1, 2 and 3)	✓	✓
Reasons for fair value measurement (Levels 1, 2 and 3)		✓
Level of fair value hierarchy within which the valuation falls (Levels 1, 2 and 3)	✓	✓
A description of valuation techniques & inputs used (Levels 2 and 3)	✓	✓
Quantitative information about significant unobservable inputs used (Level 3)	✓	✓
A reconciliation of changes in fair value measurements (Level 3)	✓	
A description of valuation processes and policies (Level 3)	✓	✓
Quantitative effect of changes in unobservable inputs (Level 3 financial assets and financial liabilities only)	✓	
Reasons when highest and best use of a non-financial asset differs from actual use	✓	✓

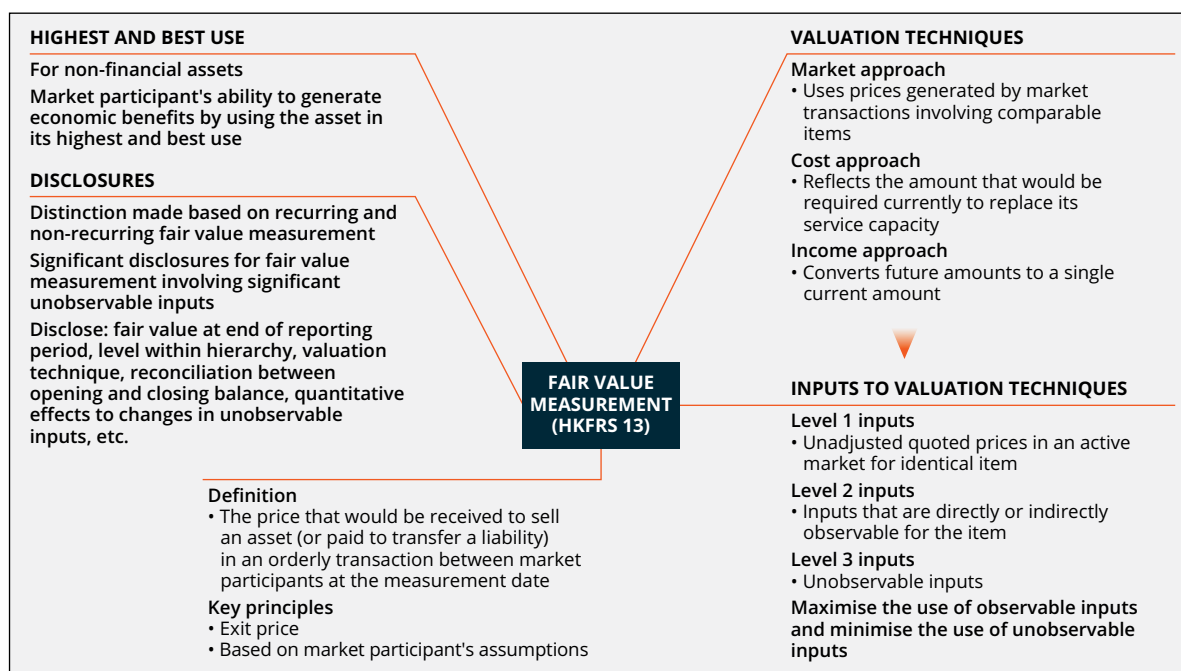
HKFRS
13.93

► **EXHIBIT 2.9** Summary of the key disclosure requirements in HKFRS 13



SUMMARY

- Fair value is the price that would be received to sell an asset (or paid to transfer a liability) in an orderly transaction between market participants at the measurement date.
- Fair value represents an 'exit' price from the market participants' perspective based on a hypothetical transaction at the measurement date in the principal or most advantageous market (in the absence of a principal market).
- Fair value measurement of a non-financial asset takes into account the asset's highest and best use from a market participants' perspective.
- HKFRS 13 envisages three valuation techniques. The market approach uses prices generated by market transactions involving identical or comparable items. The cost approach reflects the amount that would be required currently to replace the service capacity of an item. The income approach converts future amounts to a single current amount.
- HKFRS 13 outlines a fair value hierarchy that categorises inputs to valuation techniques into three levels (Levels 1, 2 and 3). The classification depends on where the input lies in the spectrum between observable inputs such as quoted prices in an active market for identical items (Level 1 inputs) and unobservable inputs (Level 3 inputs).
- There are detailed disclosure requirements in HKFRS 13, with a distinction made based on recurring and non-recurring fair value measurement. The extent of required disclosures is significant for recurring fair value measurement that involves significant unobservable inputs.

 MIND MAP **Answers to Knowledge Check Questions****Question 1**

Answer A is incorrect. This is a distress sale that does not represent an orderly transaction defined in HKFRS 13.

Answer B is incorrect. This is a forced transaction that does not represent an orderly transaction defined in HKFRS 13.

Answer C is incorrect. An outlier in the transaction price is not consistent with the assumption in the definition of an orderly transaction in HKFRS 13.

Answer D is correct. The description is consistent with the definition of an orderly transaction in HKFRS 13, which is a transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities.

Question 2

Answer A is correct.

(I) is correct. Transport costs are adjusted in measuring fair value as location can be a characteristic of an asset.

(II) is incorrect. Transaction costs are not to be adjusted in the measurement of fair value as they are not a characteristic of an asset (or a liability). They are specific to a transaction and will be different depending on how an entity enters into a transaction.

Question 3

This description focusses on two elements: (i) future values, and (ii) a discounting method. The discount rate in the statement reflects the time value of money and risk premium

regarding the uncertainty in the cash flows. As this valuation technique reflects current market expectations about those future amounts, this technique should fall under the income approach.

Question 4

The essence of this statement is on market comparable, which refers to the market approach. The market approach uses prices and other information generated by market transactions involving identical or similar items and make adjustments, if necessary.

Question 5

The income approach is applicable by using a present value technique. The software asset is income-producing and the cash flows reflecting the income stream expected to result from the software asset (i.e. licence fees from customers) over its economic life will be discounted using an appropriate discount rate (reflecting the time value of money and risk premium) to arrive at a fair value for the software asset.

The cost approach is also applicable by estimating the amount that currently would be required to construct a substitute software asset of comparable utility (i.e. taking into account functional and economic obsolescence).

The market approach, however, is not applicable as the software asset is very specialised and it is expected that information about market transactions for comparable software assets will not be available.

Question 6

Answer A is incorrect. Stock price information for listed companies is widely available and regularly updated. This information is developed from market information and is therefore an observable input.

Answer B is incorrect. Real estate transaction information is widely available and updated regularly. This information is developed from market information and is therefore an observable input.

Answer C is correct. Company cash flow projections are developed internally by the company in question and are not developed using market data. This information would not be available readily to those outside the company.

Answer D is incorrect. Spot prices for oil are widely available and updated regularly. This information is developed from market information and is therefore an observable input.

Question 7

- (i) The shares in a listed company uses input in Level 1 as the input represents quoted unadjusted price in an active market for identical assets.
- (ii) This valuation technique uses both Level 2 (quoted shares of comparable) and Level 3 (unobservable adjustments) inputs; however, as the use of unobservable inputs as adjustment are not considered significant, the fair value measurement is classified as Level 2 measurement.
- (iii) This valuation technique involves the use of Level 2 inputs due to observable adjustments made to quoted prices to reflect lack of market activity. There is no unobservable inputs involved in this valuation technique.

- (iv) This valuation technique uses observable prices per square meter for similar properties with adjustments for specific characteristics. These inputs involve the use of both Level 2 (observable prices per square meter) and Level 3 (unobservable adjustments) inputs. It would likely be classified as a Level 2 measurement as the inputs are largely based on observable prices for 'similar' (rather than 'identical') properties in an active market. However, if the adjustments use significant unobservable inputs, the entire measurement might be classified as a Level 3 measurement.

Question 8

The multi-period excess earnings method is consistent with the income approach in HKFRS 13. This method involves discounted cash flows (DCF) analysis that measures the fair value of an asset (i.e. the intangible asset) by isolating the value related to the subject intangible asset among groups of assets. It converts future amounts to a current amount on the measurement date.

Question 9

As the multi-period excess earnings method involves an estimation of the revenue and cost of a group of assets for the coming periods as well as an asset-specific discount rate, the inputs that are unobservable are most likely classified as Level 3 inputs.

 EXAM PRACTICE**QUESTION 1**

Identify which of the following valuation technique(s) is/are applicable to valuing financial assets.

- (I) Market approach
- (II) Income approach
- (III) Cost approach

- A.** I and II
- B.** II and III
- C.** I and III
- D.** I, II and III

QUESTION 2

Identify which of the following statement(s) relating to fair value measurement is/are correct.

- (I) The present value technique focusses on facts and circumstances specific to the asset being measured, and therefore, this is the only valuation technique that should not take into consideration the market participant's assumptions.
- (II) HKFRS 13 provides a fair value hierarchy that prioritises the valuation techniques used to measure the fair value and an entity should choose only one valuation technique in measuring the fair value of an item.

- A.** Statement I
- B.** Statement II
- C.** Both Statement I and Statement II
- D.** Neither Statement I nor Statement II

QUESTION 3

'A depreciated replacement cost valuation considers how much it would cost to reproduce an asset of equivalent utility, taking into consideration physical, functional and economic obsolescence'.

Identify to which valuation technique(s) in HKFRS 13 *Fair Value Measurement* the above description refers.

QUESTION 4

Alko Technology Limited (ATL) is measuring the fair value of one of its products, Model XI, at 31 December 20X7. ATL can access to all the following three markets and sold Model XI regularly in all these markets. The following information has been gathered by the accountant of ATL:

	Market A	Market B	Market C
Total sales volume of Model XI based on industry information (unit)	170,000	120,000	240,000
Sales volume of Model XI sold by ATL (unit)	40,000	32,000	25,000
Sales price per Model XI (HK\$)	42,000	41,100	40,500
Transport costs per Model XI (HK\$)	(1,300)	(1,100)	(750)
Transaction costs per Model XI (HK\$)	(1,450)	(500)	(400)

Required:

- Define fair value in accordance with HKFRS 13 *Fair Value Measurement*.
- Determine, based on the information provided, the principal market of Model XI.
- Determine, with explanations, the fair value per Model XI.
- Explain whether the principal market you suggested in part (b) should be the same for different entities selling Model XI.
- Assume there is an absence of principal market, determine the most advantageous market and the corresponding fair value per Model XI.

QUESTION 5

Luen Limited owns a property, Property K, which is an ten-storey residential building based in the inner city. Property K earns rental income. Discounting such income stream at an appropriate discount rate yields an estimated present value of HK\$6 million.

Over the past few years, there has been increasing demand for office buildings in the inner city area due to commercialisation in the area. A number of nearby houses have been knocked down and multi-storey office buildings have been built. Valuation specialists, based on market comparable in recent transactions in the inner city, value Property K at HK\$8 million. The property market in the region is considered active and transparent.

Required:

- Based on the information provided, identify the possible uses of Property K and describe how this may affect the fair value measurement of Property K.
- Justify the relevant level of the fair value hierarchy for the different inputs relating to Property K mentioned in the question.

QUESTION 6

Overseas Properties Limited (OPL) owns a luxury mansion. OPL rents this mansion to a multinational corporation to use for one of its key management personnel. The property cost HK\$40 million, and to rebuild a similar property on the site would be expected to cost HK\$16 million. Sales of similar properties in the area are in the order of HK\$53 million, excluding transaction costs of HK\$4 million. The net rent on the property is HK\$80,000 per week, and the relevant discount rate for OPL is 8%.

Required:

Identify the issues relating to fair value measurement of the luxury mansion owned by OPL, including a discussion of the possible valuation technique(s), inputs to the valuation technique(s) and possible fair value of this mansion.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer A is correct.

(I) is applicable. The valuation technique falling under the market approach derives market multiples from a set of comparable assets. This is very common for quoted securities. Even for unquoted securities, the fair value can be obtained by making reference to comparable listed securities with necessary adjustments.

(II) is applicable. The valuation technique falling under the income approach converts future amounts such as cash flows or income streams to a current amount. Financial assets, in particular debt securities, generate future cash flows (e.g. interests and principal), which can be discounted at an appropriate discount rate as the fair value. The discounted cash flow model is a typical example under the income approach.

(III) is not applicable. The concept behind the cost approach is that an investor will pay no more for an asset than the cost to purchase or construct a substitute asset of comparable utility. Financial assets cannot be reproduced or constructed in a way with equivalent utility.

QUESTION 2

Answer D is correct.

Statement I is incorrect. Although it is true that the present value technique focusses on facts and circumstances specific to the asset being measured (e.g. the cash flows generated from the subject asset), the estimated cash flows and discount rate should reflect assumptions that market participants would use when pricing the asset in question. Fair value is a market-based measurement but not an entity-specific measurement (with no exceptions).

Statement II is incorrect. The fair value hierarchy in HKFRS 13 prioritises the *inputs* to valuation techniques but not the valuation techniques. HKFRS 13 does not establish requirements for specific valuation technique(s) to be used. An entity can use more than one valuation technique in measuring an item's fair value, especially in complicated scenarios such as measuring the fair value of a cash-generating unit.

QUESTION 3

The description in question refers to the cost approach in HKFRS 13. It reflects the amount that would be required to replace the service capacity of an asset of comparable utility.

QUESTION 4

- (a) Fair value is defined in HKFRS 13 as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. It should be an exit price rather than an entry price.
- (b) ATL has access to all the three markets. A principal market is defined as the market with the greatest volume and level of activity for the asset (or liability). The principal market for Model XI is Market C as it has the greatest volume and level of activity, based on the total sales volume of Model XI in the markets (Market A: 170,000; Market B: 120,000; Market C: 240,000). It should be noted that the sales volume of Model XI sold by ATL is not relevant in such determination.
- (c) After determining the principal market of Model XI, the fair value will be based on the transactions in Market C. The fair value of Model XI is HK\$39,750 (Sales price HK\$40,500 – Transport cost HK\$750). Transaction costs (HK\$400 per unit) are not adjusted in the fair value measurement as they are not a characteristic of an asset (or a liability). They are specific to a transaction and will be different depending on how an entity enters into a transaction. Transport costs (HK\$750 per unit), however, are adjusted in measuring fair value as location is a characteristic of Model XI to transport from its current location to the principal market (i.e. Market C).
- (d) HKFRS 13 acknowledges that different entities may have access to different markets. The determination of the principal market for the same item might be different for different entities. This determination is entity-specific. Take Model XI as an illustration. ATL can have access to all the three markets but some entities may not have access to, for example, Market C, and the determination of the principal market for such entities will be based on other markets (e.g. either Market A or Market B).
- (e) Assume there is an absence of the principal market, ATL needs to determine which market is the most advantageous market. The most advantageous market is defined as the market that maximises the amount that would be received to sell the asset after taking into account transport costs and transaction costs (i.e. net proceeds).

	Market A	Market B	Market C
Sales price per Model XI (HK\$)	42,000	41,100	40,500
Transport costs per Model XI (HK\$)	(1,300)	(1,100)	(750)
	40,700	40,000	39,750
Transaction costs per Model XI (HK\$)	(1,450)	(500)	(400)
Net proceeds	39,250	39,500	39,350

Based on the above analysis, the most advantageous market is Market B as it has the highest net proceeds. With the same arguments in part (c), the fair value (based on the transactions in the most advantageous market) is HK\$40,000 per Model XI (without considering the transaction costs).

QUESTION 5

- (a) There are two possible uses for Property K: for residential purpose or for commercial purpose. These alternative uses may affect the fair value measurement as Property K is a non-financial asset. The valuation premise for a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use. Luen Limited has to consider the values of Property K both being used for residential purpose and for commercial purpose, and take the higher value as the fair value of Property K.
- (b) There are two types of inputs in this question. Discounting the rental income stream at an appropriate discount rate involves inputs that are likely to be classified as Level 3 inputs as they are unobservable and are estimated internally by Luen Limited. Valuation by the specialists in the valuation report involves inputs that are likely to be classified as Level 2 inputs as it is performed based on market comparable and the property market is considered active and transparent. These are observable inputs. Unless there are adjustments involving significant unobservable inputs in the valuation report, the inputs are classified as Level 2 inputs. It should be noted that such inputs are seldom considered as Level 1 inputs as there is no identical property with the same location and characteristics.

QUESTION 6

The valuation technique to be used should maximise the use of observable inputs and minimise the use of unobservable inputs. In this case, there is no quoted price in an active market for an *identical* asset. While the exact same mansion could theoretically be built on another plot of land, the location of that mansion would be not identical, and therefore, there will be different views and characteristics. The valuation technique for real estate typically will not involve Level 1 inputs.

However, there are quoted prices for similar assets in the active markets. This implies that there are Level 2 inputs available. As such, the fair value of the mansion would be HK\$53 million (as transaction costs are not adjusted in the measurement of fair value) using a market approach. It may be, however, necessary to make adjustments to this amount depending on how similar the properties are. The significance of the adjustments using unobservable inputs may affect the overall classification of the fair value measurement of the mansion.

If, however, there is no active market for this mansion, this would necessitate the use of Level 3 inputs, which are unobservable inputs. This would likely require an income approach to the valuation by using the net cash flows from the rental yield and discounting these to a present value. Assuming the net rental yield is a perpetuity, with a discount rate of 8%, the present value using a discounted cash flow analysis would be HK\$52 million ($\text{HK\$80,000} \times 52 \text{ weeks} \div 8\%$).

3

Revenue Recognition

CHAPTER TOPIC LIST

3.1 Revenue Recognition Overview

- 3.1.1** Revenue Defined
- 3.1.2** Terminology

3.2 Revenue Recognition and Measurement

- 3.2.1** Five-Step Revenue Recognition Model – Example
- 3.2.2** Identifying the Contract with a Customer – Step 1
- 3.2.3** Identifying Separate Performance Obligations – Step 2
- 3.2.4** Determining the Transaction Price – Step 3
- 3.2.5** Allocating the Transaction Price to Separate Performance Obligations – Step 4
- 3.2.6** Recognising Revenue When (or as) Each Performance Obligation Is Satisfied – Step 5

3.3 Contract Costs

- 3.3.1** Incremental Costs of Obtaining a Contract

- 3.3.2** Costs to Fulfil a Contract

- 3.3.3** Amortisation

3.4 Other Revenue Recognition Issues

- 3.4.1** Right of Return
- 3.4.2** Warranties
- 3.4.3** Consignments
- 3.4.4** Principal-Agent Relationships

3.5 Presentation and Disclosure of Revenue

- 3.5.1** Contracts with Customers
- 3.5.2** Significant Judgements in the Application of This Standard
- 3.5.3** Assets Recognised from the Costs to Obtain or Fulfil a Contract with a Customer



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.02: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to revenue

2.02.01 Define revenue

2.02.02 Apply the criteria for recognising revenue generated from contracts where performance obligations are satisfied over time

2.02.03 Explain the measurement principles of revenue

2.02.04 Account for revenue arising from specific types of revenue items

2.02.05 Prepare disclosures in respect of revenue



OPENING CASE

NOTEWARE LIMITED

Noteware Limited (Noteware) is a retailer of desktop computers, laptops, other hardware and software solutions. The company's head office is based in Hong Kong, and it operates through various retail stores located throughout Hong Kong and mainland China.

Though Noteware's sales are predominantly made to home computer users and students, the company also offers hardware and software solutions to small and medium-sized companies. Depending on the nature and complexity of the software sold, Noteware offers installation services to the customer. Noteware employees are entitled to commissions for making sales to companies.

Recently, Noteware released a new offering targeted at students. Under the offer, the customer receives the latest model laptop, receives student software, including biannual updates to the software, and technical support for a period of two years. The customer has an option to buy the computer outright or pay two installments at the end of year one and year two.

All desktop and laptop computers are sold with a standard two-year warranty, and customers can pay an additional amount to extend the warranty for an additional two years. Further, Noteware offers a 30-day refund policy, which permits customers to return goods for a full refund within 30 days of purchase. 



OVERVIEW

'Revenue' is a headline figure for reporting, evaluating and forecasting company performance. Revenue is perhaps the most crucial line item for many entities, and therefore, the way in which an entity's recognition and measurement of revenue aligns to that entity's performance is paramount.

Due to the lack of adequate disclosure requirements, revenue recognition has historically been poorly understood. Through the issuance of HKFRS 15 *Revenue from Contracts with Customers*, that is no longer the case.

This chapter focuses on the recognition of revenue from an entity's ordinary activities arising from its contracts with customers. By the end of this chapter, you will be able to apply the recognition criteria and explain the measurement principles, as well as understand treatment of related contract costs. By the end of this chapter, you should also appreciate some of the complexities involved in revenue recognition, and the extent of judgement required, in applying the five-step revenue recognition model. Finally, you will gain an understanding of the disclosures an entity needs to make in relation to its revenue recognition policies to help users of its financial statements understand the way in which revenue is recognised and measured.



3.1 REVENUE RECOGNITION OVERVIEW

This chapter addresses the accounting for revenue from contracts with customers set out in HKFRS 15. Defining revenue first is important, and is the focus of this section.

3.1.1 Revenue Defined

Revenue is a subset of income. **Income** is recognised from increases in economic benefits during the accounting period in the form of inflows or enhancements of assets or decreases of liabilities that result in an increase in equity, other than those relating to contributions from equity participants.

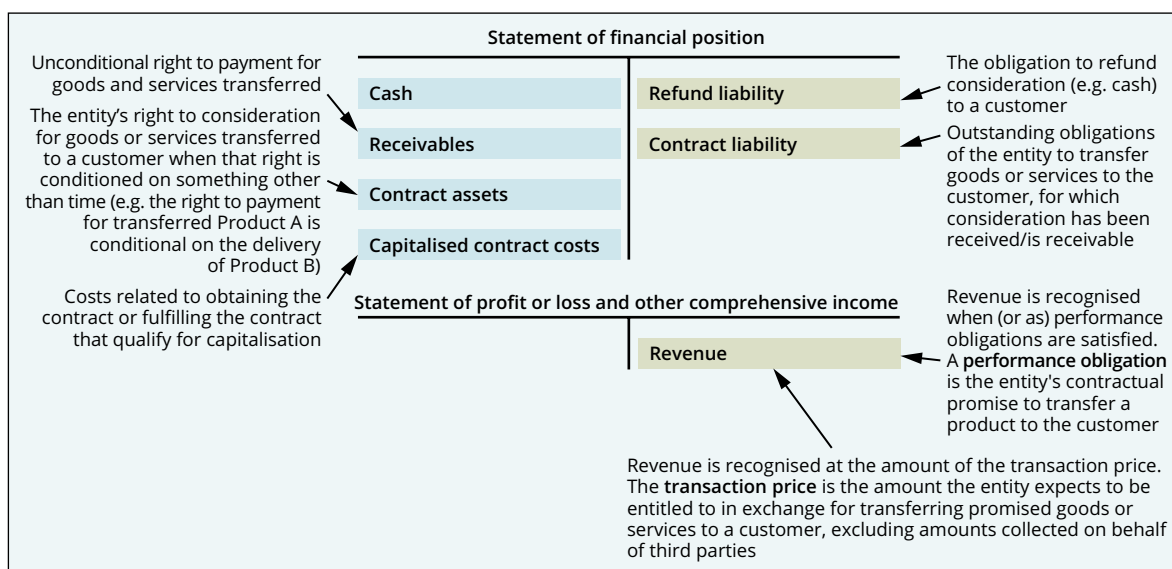
HKFRS
15.App A

An entity generates income from a variety of sources, for example, sales of inventory, rental income, interest on cash holdings, gains on sale of fixed assets and fair value gains on investment property. HKFRS 15 addresses only income arising from sales of goods and services that are outputs of an entity's ordinary activities; such income is **revenue** to the entity.

Revenue from sales of goods and services that are outputs of an entity's ordinary activities arises from transactions involving contracts with customers.

3.1.2 Terminology

Exhibit 3.1 explains some of the language used in HKFRS 15 and in this chapter.



► **EXHIBIT 3.1** Overview of terms used in HKFRS 15

3.2 REVENUE RECOGNITION AND MEASUREMENT

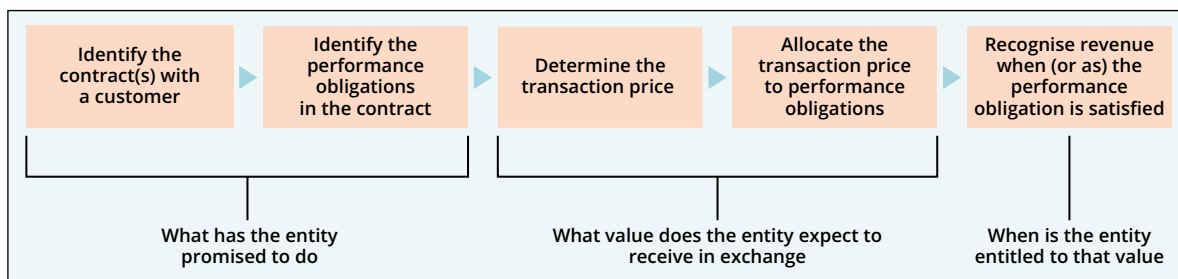
The core principle of HKFRS 15 is for an entity to 'recognise revenue to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services'. An entity recognises revenue in accordance with the core principle by applying a five-step model. The purpose of this section is to introduce you to the model, first by exploring each of the five steps in further detail and then by summarising through a simple example.

HKFRS
15.2

3.2.1 Five-Step Revenue Recognition Model – Example

HKFRS 15 describes a five-step model (see Exhibit 3.2) to assist preparers in recognising and measuring revenue in accordance with this principle. Under the model, an entity identifies:

- what has been promised to the customer;
- the value it expects to receive in exchange; and
- when the promises will be met.



► **EXHIBIT 3.2** Five-step model to recognising revenue

In summary, the model requires revenue to be recognised in profit or loss when (or as) an entity meets each of its obligations to transfer goods or services under a contract. The five-step model must be applied consistently to contracts with similar characteristics and in similar circumstances.

HKFRS
15.3

3.2.2 Identifying the Contract with a Customer – Step 1

In Step 1, the entity identifies the contract with a customer to be accounted for in accordance with HKFRS 15.

Revenue is recognised under HKFRS 15 only where it arises in conjunction with a contract with a customer. Accordingly, Step 1 of the five-step model requires an entity to identify the customer and the contract.

A contract with a customer encompasses a:

- *Contract* – an agreement between two or more parties that creates enforceable rights and obligations; and
- *Customer* – a party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

HKFRS
15.APP A

In many instances, determining whether a business arrangement is a contract with a customer will be straightforward. However, some arrangements are excluded from the accounting requirements set out in HKFRS 15; for example, a 'contract' for the purposes of HKFRS 15 does not yet exist where each party has the unilateral enforceable right to terminate a wholly unperformed contract without penalty.

HKFRS
15.12

Once an entity has determined a contract with a customer exists, the entity then considers whether the contract presently meets the criteria for accounting for the contract in accordance with HKFRS 15. An entity applies the revenue recognition principles in the HKFRS (that is, it proceeds to Step 2) only to contracts with customers that demonstrate all of the features depicted in Exhibit 3.3.

An entity does not apply the revenue recognition principles in HKFRS 15 if, at contract inception, the entity determines it is unlikely to receive the agreed compensation for goods transferred, that is, it must be probable that the customer is able to, and intends to pay, the amount agreed in the contract.

HKFRS
15.9

A contract need not be approved in writing to create enforceable rights and obligations; approval can be given orally or in accordance with other customary business practices.

HKFRS
15.9



► **EXHIBIT 3.3** Criteria for accounting for a contract under HKFRS 15

For example, when Noteware sells a laptop case to a customer, the contract is approved when the purchase is logged at a sales counter and payment is made; there is neither a paper 'contract' signed by both parties nor necessarily a verbal transaction.

3.2.3 Identifying Separate Performance Obligations – Step 2

At contract inception, having identified a contract with a customer exists and presently qualifies for accounting under HKFRS 15, the next step is for the entity to identify its promises to provide goods and services to the customer under the contract; HKFRS 15 refers to these as 'performance obligations'.

A **performance obligation** is defined in HKFRS 15 as a promise in a contract with a customer to transfer to the customer either:

- a good or service (or a bundle of goods or services) that is distinct; or
- a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer

HKFRS
15.App A

Key Learning Point

An obligation in a contract that does not involve the transfer of goods or services to the customer is not a performance obligation.

For example, Noteware provides software support services, which is identified as a performance obligation. To enable the contract to be fulfilled, Noteware will set up the customer's account in its system. The setup of the customer account is an administrative task that does not transfer a good or service to the customer and, therefore, is not a performance obligation.

HKFRS
15.25

As a practical expedient, HKFRS 15 permits an entity to apply its accounting requirements to a portfolio of performance obligations with similar characteristics if the entity reasonably expects that the effects on the financial statements would not differ materially from those determined had the standard been applied on a performance-obligation-by-performance-obligation basis.

HKFRS
15.4

3.2.3.1 Promises in Contracts with Customers

Promises in contracts with customers might be:

- explicit – identified goods or services; or
- implicit – promises implied by customary business practices, published policies or specific statements if those promises create a valid expectation of the customer that the entity will transfer a good or service to the customer.

HKFRS
15.24

IFRS
15.BC84

Certain goods or services to be transferred in a contract might be explicitly identified but considered by some entities to be marketing incentives or incidental to the transaction. For example, Noteware may provide a ‘free’ mousepad when customers purchase a desktop computer. HKFRS 15 adopts a view that all distinct goods and services to be received by the customer are performance obligations of the contract even though an entity might consider certain goods or services to be incidental to the contract.

IFRS
15.BC88-89

3.2.3.2 Distinct Goods or Services

Each distinct promised good or service is usually a separate performance obligation. A good or service that is not distinct is combined with other goods and services until a distinct bundle of goods or services is identifiable; the distinct promised bundle of goods or services is identified as a separate performance obligation. An entity may conclude that a contract contains a single performance obligation representing the bundle of all the promised goods and services.

HKFRS
15.30

A good or service (or bundle of goods or services) is distinct when:

- the customer can benefit from the good or service either on its own or together with other resources readily available to the customer; that is, the good or service could be used, consumed, sold for an amount that is greater than scrap value, or otherwise held in a way that generates economic benefits. A good or service is regularly sold separately would typically indicate that a customer can benefit from that good or service on its own or together with other readily available resources (i.e. the good or service is *capable of being distinct*); and
- the entity's promise to transfer the good or service to the customer is *separately identifiable* from other promises in the contract (i.e. the good or service is *distinct within the context of the contract*).

HKFRS 15
paras. 27–28

To determine whether an entity's promises to transfer goods or services to the customer are separately identifiable from other promises in the contract, an entity considers whether it has promised to transfer a good or service individually or has promised to transfer a combined item or items to which the promised goods or services are inputs. Indicators that goods or services are not separately identifiable include:

- the entity provides a significant service of integrating the goods or services with other goods or services promised in the contract into a bundle of goods or services that represent the combined output or outputs for which the customer has contracted;
- one or more of the goods or services significantly modifies or customises, or are significantly modified or customised by, one or more of the other goods or services promised in the contract; and
- the goods or services are highly interdependent or highly interrelated.

HKFRS
15.29

Illustrative Example 1

Mazota Limited (Mazota) is a car manufacturer with dealerships located throughout mainland China. Mazota regularly sells cars together with a five-year mechanical ‘free’ service period. Mazota also sells cars and the five-year mechanical service period separately (i.e. a customer can purchase the five-year mechanical service period for use with another car).

Mazota sells a new sedan together with the five-year mechanical service period to a customer for HK\$95,000. In this case, Mazota has provided two promises to the customer: the promise to deliver a car and the promise to provide mechanical services for a period of five years.

Mazda identifies each promise to the customer as a separate performance obligation. The promises are:

- capable of being distinct (i.e. the customer can use the car on its own without the mechanical services, and the customer can use the mechanical services together with other readily available cars); and
- distinct within the context of the contract (i.e. Mazota has promised to transfer the car and mechanical services individually and not as inputs to a combined output).

Series of Distinct Goods or Services

IFRS
15.BC113

To simplify the application of the five-step approach and to promote consistency in identification of performance obligations, HKFRS 15 also identifies, as a (single) performance obligation, the promises in a contract to transfer to a customer a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer. An example is a cleaning service contract where the entity provides the same service (cleaning) consecutively over a time period.

HKFRS
15.22

Apply and Analyse 1

Noteware enters into a contract with a university to provide software and installation services. Noteware sells software and installation separately.

As part of the installation, Noteware agrees to substantially customise the software to enable it to interface with the university’s existing software and applications. The installation service, including the customisation, can be performed by other entities.

Determine the distinct performance obligations in this contract.

Analysis

Noteware first identifies it has made two promises to the university: the promise to provide the software and the promise to provide installation services. Noteware must identify as a performance obligation each promise to the university that is capable of being distinct and is distinct within the context of the contract.

Apply and Analyse 1 (continued)

Capable of Being Distinct

Noteware determines that each promise within the contract is capable of being distinct as the university can benefit from each of the promises to provide the software and installation services together with other readily available resources.

Distinct Within the Context of the Contract

Noteware determines that its promise to provide the installation service is not distinct from its promise to transfer the software. This is because, in this instance, Noteware will be providing a significant service of integrating the software into the existing system by performing a customised installation service.

As the promises are not distinct within the context of the contract, Noteware concludes it has one performance obligation, being the combined software and installation service.

3.2.4 Determining the Transaction Price – Step 3

In this step, the entity identifies the total amount of revenue it will eventually recognise. Revenue is measured at the transaction price of the contract. The **transaction price** of a contract is the 'amount of consideration to which an entity *expects to be entitled* in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties'.

HKFRS
15.App A

The nature, timing and amount of consideration promised by a customer will affect an entity's estimate of the transaction price. The consideration promised in a contract may be for a fixed amount (e.g. retail price) or a variable amount (e.g. retail price less a bulk purchase discount) or be a combination of fixed and variable amounts (e.g. base fee plus an on-time performance bonus).

HKFRS
15.48

An entity's estimate of the transaction price of a contract includes the effects of:

- variable consideration;
- the existence of a significant financing component in the contract;
- non-cash consideration; and
- consideration payable to a customer.

HKFRS
15.48

The effect of each of these factors on the transaction price will now be discussed.

3.2.4.1 Variable Consideration

The consideration promised in a contract with a customer can vary because of discounts, rebates, refunds, credits, price concessions, incentives, performance bonuses, penalties or other similar items. 'Variable consideration' refers to any amount that is variable under the contract. For example, an entity may promise to build a factory for a customer in exchange for HK\$2.7million. In addition, the contract includes a penalty of HK\$300,000 if the entity fails to complete the construction by a specified date. Accordingly, the contract includes a variable component, totaling HK\$300,000.

HKFRS
15.51

The variability of consideration may be contingent on the occurrence or non-occurrence of a future event. A sale with a right of return is an example of variable consideration where the variability is contingent on a customer's future actions. (See Section 3.4.1 for further application.)

Expected Value Approach vs. Most Likely Amount Approach

For the purposes of determining the transaction price of a contract, an entity will need to estimate the amount of any variable consideration to which it expects to be entitled. The entity estimates this amount of variable consideration using either the:

- expected value method – the sum of probability-weighted amounts in a range of possible consideration amounts. An expected value may be an appropriate estimate of the amount of variable consideration if an entity has a large number of contracts with similar characteristics; or
- most likely amount method – the single most likely amount in a range of possible consideration amounts. The most likely amount may be an appropriate estimate of the amount of variable consideration if the contract has only two possible outcomes.

HKFRS
15.53

The entity must:

- use the method that it expects to better predict the amount of variable consideration to which it will be entitled;
- apply the same method consistently throughout the contract duration when estimating the effect of an uncertainty on an amount of variable consideration to which it will be entitled; and
- consider all the information (historical, current and forecast) reasonably available to it and identify a reasonable number of possible consideration amounts.

HKFRS
15.53–54

Illustrative Example 2

Diskont Elektricity Limited (Diskont Elektricity) is an electricity retailer with customers throughout the Hong Kong distribution zone. Diskont Elektricity offers discounts ranging from 0% to 20% on electricity bills depending on when a customer pays its account such that customers who pay early receive a higher discount on their electricity bill. Part of the amount of consideration that Diskont Elektricity is entitled to is a form of variable consideration as it depends on when a customer pays its account.

Diskont Elektricity has five years' experience offering the variable discount to approximately 250,000 customers and applies the portfolio approach when accounting for its contracts with customers. Based on historical payment information, Diskont Elektricity determines that the spread of timing of payment by customers is as follows:

Timing of payment	Discount	Percentage of customers
0–5 days	20%	35%
6–10 days	15%	15%
11–20 days	10%	25%
21–30 days	5%	10%
30+ days	0%	15%

Illustrative Example 2 (continued)

As it has a large number of contracts with similar characteristics, Diskont Elektricity uses the expected value method when determining the amount of variable consideration to which it expects to be entitled.

Using the expected value method, Diskont Elektricity determines that, for its portfolio of contracts, customers will on average be entitled to a discount of 12.25% $((0.20 * 0.35) + (0.15 * 0.15) + (0.10 * 0.25) + (0.05 * 0.10) + (0.00 * 0.15))$.

Therefore, for every bill issued to a customer, Diskont Elektricity will recognise 87.75% of revenue (100% – 12.25% expected discount).

3.2.4.2 The Existence of a Significant Financing Component in the Contract

HKFRS 15 requires a significant financing component in a contract with a customer to be separately accounted for from the promise to transfer goods or services. The objective, when adjusting the promised amount of consideration for a significant financing component, is for an entity to recognise revenue at an amount that reflects the price a customer would have paid for the promised goods or services if the customer had paid cash for those goods or services when (or as) they transfer to the customer (i.e. the cash selling price). A contract contains a significant financing component when the timing of payments agreed to by the parties to the contract provides the customer or the entity with a significant benefit of financing the transfer of goods or services to the customer.

A contract with a customer that includes a significant financing component is separated into:

- a revenue component (for the notional cash sales price) calculated by adjusting the nominal consideration for the time value of money using a discount rate reflected in a separate financing transaction between the entity and its customer at contract inception. The discount rate reflects the credit characteristics of the party receiving the financing benefit as well as any collateral or security provided; and
- a loan component (for the effect of the deferred or advance payment terms) calculated as the difference between the nominal consideration and the amount of the revenue component. This difference is recognised as interest revenue (when an entity is financing the customer, e.g. when the customer pays for the good or service after delivery) or interest expense (when the customer is financing the entity, e.g. when the customer pays for the good or service prior to delivery) in accordance with HKFRS 9 *Financial Instruments*. Interest revenue or interest expense only arises from when an asset or liability relating to that contract with a customer arises (e.g. a receivable, a contract asset or a contract liability).

As a practical expedient, an entity need not adjust a contract with a customer for a significant financing component where the financing period is expected to be one year or less.

Illustrative Example 3

Noteware sells a desktop computer to a customer for HK\$6,500 which is payable in 24 months. The cash selling price of the desktop computer is HK\$5,800.

Noteware determines that the difference in the transaction price and the cash selling price provides evidence of a significant financing component (i.e. Noteware is financing the customer). Accordingly, Noteware separates the transaction price into a revenue component (HK\$5,800) which it recognises on transfer of the desktop computer and a loan component (HK\$700) which it recognises as interest over the two-year-financing period. The discount rate used is equal to 5.86%.

Noteware accounts for the revenue and loan component as follows:

Description	Debit	Credit
Year 0	HK\$	HK\$
Receivable	5,800	
Sales revenue		5,800
To recognise sales revenue and a receivable on the sale of the desktop computer		

Description	Debit	Credit
Year 1	HK\$	HK\$
Receivable	340	
Interest revenue		340
To recognise year 1 interest revenue (HK\$5,800 * 5.86%)		

Description	Debit	Credit
Year 2	HK\$	HK\$
Receivable	360	
Interest revenue		360
To recognise year 2 interest revenue (HK\$6,140 * 5.86%)		

Description	Debit	Credit
	HK\$	HK\$
Cash	6,500	
Receivable		6,500
To recognise the cash payment from the customer		

3.2.4.3 Non-cash Consideration

Some contracts with customers may involve a form of barter, completely or together with cash consideration. When the promised consideration is in a form other than cash ('non-cash consideration'), an entity measures the non-cash consideration at its fair value (refer Chapter 2).

For example, an entity may provide professional services to a company in exchange for shares in that company. The shares are a form of non-cash consideration that must be measured by reference to the fair value of each share (i.e. for a listed company that might be the quoted price on a stock exchange).

3.2.4.4 Consideration Payable to a Customer

The consideration payable to a customer includes amounts an entity pays, or expects to pay, to the customer or its customer's customers, in the form of cash, credit or other items (e.g. coupons or vouchers) that can be applied against amounts owed to the entity.

Where a contract with a customer includes consideration payable by the entity to the customer, the contract's transaction price is reduced by the amount of the consideration payable to the customer unless the payment to the customer is in exchange for a distinct good or service the customer transfers to the entity.

HKFRS
15.70

If consideration payable to a customer is a payment for a distinct good or service from the customer, then an entity accounts for the purchase of the good or service in the same way it accounts for other purchases from suppliers (See Exhibit 3.4).

HKFRS
15.71

Nature of consideration payable to customer	Treatment
Not in exchange for a good or service from the customer	Account for as a reduction in the transaction price
In exchange for a good or service from the customer	Account for in the same way as purchase from suppliers

► EXHIBIT 3.4 Accounting treatment for consideration payable to a customer

For example, a wholesaler of televisions may enter into a contract with a retailer to provide a minimum of 500 units during a given year. The wholesaler agrees to make a non-refundable HK\$25,000 payment to the retailer at the contract's inception. The purpose of the payment is to be used by the customer (i.e. the retailer) to purchase shelving to accommodate the televisions to be purchased from the wholesaler. The payment made to the retailer does not transfer a good or service to the wholesaler as the wholesaler does not obtain control of any rights to the customer's shelves. Therefore, the payment is treated as a reduction in the transaction price.

3.2.5 Allocating the Transaction Price to Separate Performance Obligations – Step 4

The objective when allocating the transaction price is for an entity to 'allocate the transaction price to each performance obligation (or distinct good or service) in an amount that depicts the amount of consideration to which the entity expects to be entitled in exchange for transferring the promised goods or services to the customer'.

HKFRS
15.73

The allocation exercise will be straightforward when a contract with a customer includes only a single performance obligation as in many instances when the entire transaction price is allocated to that single performance obligation. However, the allocation exercise becomes more complex when a contract contains more than one performance obligation.

HKFRS 15 requires the allocation of the transaction price to be based on the *stand-alone selling prices* of the distinct promised goods or services. Allocating the transaction price in this

IFRS
15.BC266

manner is considered to faithfully depict the different margins applying to the promised goods or services in most cases.

3.2.5.1 Allocation Based on Stand-Alone Selling Prices

HKFRS
15.76

The transaction price is allocated to each performance obligation in proportion to the **stand-alone selling prices** at contract inception of the distinct promised goods or services.

HKFRS
15.App A

The stand-alone selling price is the 'price at which an entity would sell a promised good or service separately to a customer'.

HKFRS
15.77

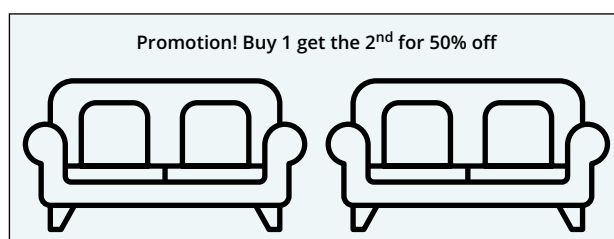
The best evidence of a stand-alone selling price is the observable price of a good or service when the entity sells that good or service separately in similar circumstances and to similar customers. A contractually stated price or a list price for a good or service might be (but shall not be presumed to be) the stand-alone selling price of that good or service.

If a stand-alone selling price is not directly observable, the stand-alone selling price must be estimated.

3.2.5.2 Discounted Transaction Price

HKFRS
15.81

The sale of a bundle of goods or services includes a discount if the sum of the stand-alone selling prices of the promised goods or services exceeds the promised consideration. The discount is allocated proportionately to all performance obligations in the contract on the basis of their relative stand-alone selling prices except where *observable evidence* shows the discount relates to only one or more, but not all, of the performance obligations in a contract. In the promotional offer illustrated in Exhibit 3.5, the customer receives a discount of 50% of the price of the second sofa, if two sofas are purchased as part of the same transaction. As there is no observable evidence that the discount relates to only some, but not all, of the performance obligations in the contract (the promise to transfer a sofa), the discount is allocated proportionately across each sofa based on the relative selling prices. For example, if the entity regularly sells each sofa bed for HK\$2,500, the HK\$2,500 discount is allocated to each sofa bed, resulting in a discount of HK\$1,250 for each sofa bed.



► EXHIBIT 3.5 Discount in a contract with a customer

Where there is observable evidence that the discount relates to only one or more, but not all, of the performance obligations in a contract, the discount is allocated only to those performance obligations.

Illustrative Example 4

CameraTech Limited (CameraTech) is a retailer of a range of DSLR cameras. It offers discounts to customers that purchase multiple goods.

Illustrative Example 4 (continued)

CameraTech sells a camera, tripod and camera case to a customer for HK\$3,500. The stand-alone selling price of each of the three products is as follows:

Product	Stand-alone selling price
Camera	HK\$2,800
Tripod	HK\$700
Camera case	HK\$500
Total	HK\$4,000

CameraTech therefore establishes it is selling the three products at a total discount of HK\$500 (HK\$4,000 – HK\$3,500).

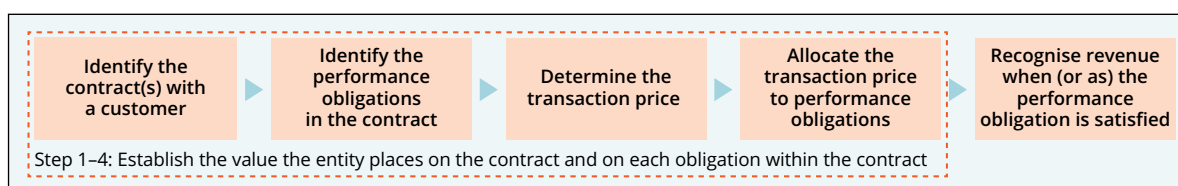
CameraTech regularly sells the camera and tripod at a combined price of HK\$3,000 and the camera case separately for HK\$500.

Because CameraTech sells the camera and tripod together at a discount of HK\$500, it has evidence that the discount should be allocated entirely to the transfer of the camera and tripod. Accordingly, CameraTech allocates the discount to the performance obligation as follows:

Product	Stand-alone selling price	Discount	Transaction price
Camera	HK\$2,800	HK\$400 ($[2,800 / 3,500] * 500$)	HK\$2,400
Tripod	HK\$700	HK\$100 ($[700 / 3,500] * 500$)	HK\$600
Camera case	HK\$500	NA	HK\$500
Total	HK\$4,000	HK\$500	HK\$3,500

3.2.6 Recognising Revenue When (or as) Each Performance Obligation Is Satisfied – Step 5

Exhibit 3.6 shows the five-step model. In Steps 1 to 4 of the five-step method, we established the value the entity places on its contract with a customer and on each promise to transfer distinct goods or services within that contract, noting that the value allocated to a promise may change during the course of a contract. The final step in the five-step method then is when to recognise that value as revenue in profit or loss.



► **EXHIBIT 3.6** Five-step model to recognising revenue

This section discusses how to identify whether a performance obligation is satisfied over time or at a point in time.

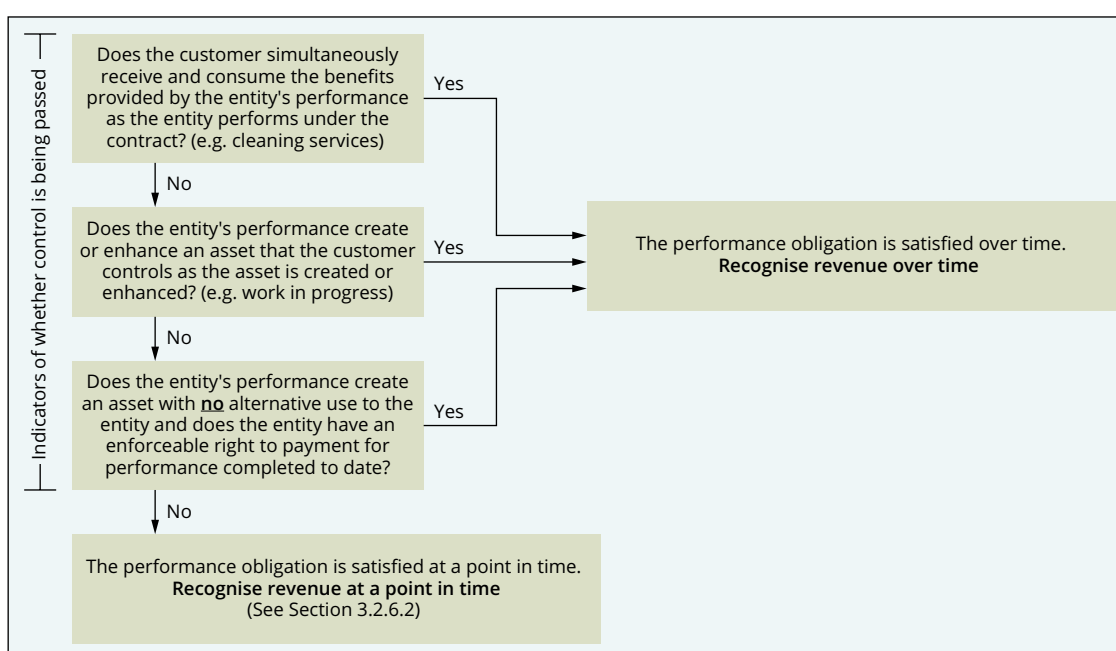
3.2.6.1 Performance Obligations Satisfied over Time

At contract inception, an entity establishes whether it satisfies each identified performance obligation:

- over time; or
- at a point in time.

When an entity transfers control of a promised good or service to the customer over time, it satisfies the performance obligation over time. Revenue is recognised as the performance obligation is satisfied, that is, over time (e.g. over the duration of the contract).

Exhibit 3.7 describes when the transfer of a good or service occurs over time.



► **EXHIBIT 3.7** Evaluating whether the transfer of a good or service occurs over time

In relation to the third condition in Exhibit 3.7, the determination of whether the asset has an alternative use to the entity is made at contract inception and is not changed.

The right to payment for performance completed to date does not need to be for a fixed amount, but the entity must be entitled at all times throughout the duration of the contract to an amount that at least compensates it for performance completed to date if the customer terminates the contract (except where a contract is terminated for performance reasons).

HKFRS
15.B13

An entity uses output or input methods when measuring progress towards complete satisfaction of a performance obligation satisfied over time.

HKFRS
15.B14

Output methods recognise revenue on the basis of direct measurements of the value to the customer of the goods or services transferred to date relative to the remaining goods or services promised under the contract. For example, an entity that contracts with a customer to

HKFRS
15.B15

provide unlimited broadband data for a period of 12 months might measure progress by reference to the time elapsed (i.e. recognise 1/12 of revenue every month).

Input methods recognise revenue on the basis of the entity's efforts or inputs to the satisfaction of a performance obligation relative to the total expected inputs to the satisfaction of that performance obligation. For example, an entity that contracts with a customer to build an extension on the customer's premises might measure progress by reference to the cost materials and labour expended to date relative to the project's total expected cost of materials and labour.

HKFRS
15.B18

3.2.6.2 Performance Obligations Satisfied at a Point in Time

As highlighted in Exhibit 3.7, where a performance obligation is not satisfied over time, it is said to be satisfied at a point in time. Revenue is recognised at the point in time when the customer gains control of the distinct goods or services transferred as this is the time the performance obligation is satisfied. Indicators that control has passed to the customer include, but are not limited to:

- The entity having a present right to payment for the asset;
- The customer having legal title to the asset;
- The entity having passed physical possession of the asset;
- The customer having the significant risks and rewards of ownership of the asset; and
- The customer having accepted the asset.

HKFRS
15.38

Illustrative Example 5

On 15 July 20X8, Noteware enters into a contract with a customer to provide 12 laptops and one server in exchange for HK\$75,000. The contract requires the laptops be delivered on 31 July 20X8 and the server delivered on 31 August 20X8. Furthermore, the contract states that payment for the laptops is conditional on the delivery of the server. Noteware determines the laptops and the server are separate performance obligations and allocates the transaction price as follows:

- Laptops – HK\$50,000; and
- Server – HK\$25,000.

Noteware recognises revenue when control of the goods is transferred to the customer, being the date the customer takes physical possession of the goods. As payment for the laptops is conditional on the transfer of the server, Noteware recognises a contract asset between the date of delivery of the laptops and date of delivery of the server as follows:

Description	Debit	Credit
31 July 20X8	HK\$	HK\$
Contract asset	50,000	
Sales revenue		50,000
To recognise sales revenue and a contract asset on transfer of the laptops to the customer		

Illustrative Example 5 (continued)

Description	Debit	Credit
31 August 20X8	HK\$	HK\$
Receivable	75,000	
Contract asset		50,000
Sales revenue		25,000
To recognise sales revenue and a receivable on transfer of the server to the customer, and transfer the contract asset related to the laptops to a receivable		

Illustrative Example 6

Mobeteq Limited (Mobeteq) is a telecommunications company in Singapore. Mobeteq offers a mobile phone on a two-year plan, which includes 50Mbps of data, for HK\$350 per month. The customer receives the mobile phone on entering the contract and the contract is non-cancellable.

Mobeteq offers the mobile phone on a stand-alone basis, with a sales price of HK\$6,000. The company also provides the 50Mbps data plan stand-alone for HK\$150 per month.

Step 1 Identify the Contract

Mobeteq identifies it has a contract with a customer in the scope of HKFRS 15 as the contract has been approved by both parties, it is non-cancellable, each party's rights and obligations can be identified, the payment terms are identifiable, the contract has commercial substance and the customer will probably pay for the goods and services to be received.

Step 2 Identify the Performance Obligations

Mobeteq identifies the following two promises in the contract:

- Mobile phone – Mobeteq has promised to provide a good being the mobile phone; and
- Data plan – Mobeteq has also promised to provide a service being the customer's right to 50gb of data per month.

Mobeteq identifies each promise as separate performance obligations as they meet both of the distinct criteria:

Capable of Being Distinct

The customer could benefit from the mobile phone and data either on their own or together with other readily available goods or services (i.e. other telecommunications suppliers or other mobile phones).

Illustrative Example 6 (continued)

Distinct Within the Context of the Contract

Mobeteq has promised to transfer the mobile phone and data plan individually and not as inputs to a combined output.

Step 3 Determine the transaction price

Mobeteq determines that the total transaction price is equal to HK\$8,400 (24 months * HK\$350).

Step 4 Allocate the transaction price

Mobeteq has offered a discount to the customer by way of bundling the mobile phone with the data plan. Accordingly, it allocates the total transaction price to each performance obligation on a relative stand-alone selling price basis.

Transaction price	Performance obligation	Relative stand-alone selling price	Allocate the transaction price
HK\$8,400	Mobile phone	HK\$6,000	HK\$5,250 [(HK\$6,000 / HK\$9,600) * HK\$8,400]
	Data plan	HK\$3,600 (24 months * 150)	HK\$3,150 [(HK\$3,600 / HK\$9,600) * HK\$8,400]
		HK\$9,600	HK\$8,400

Step 5 Recognise revenue

Mobile phone – Mobeteq transfers control of the mobile phone on entering the contract as the customer takes physical possession of the mobile and, therefore, recognises HK\$5,250 revenue day one of the contract.

Data plan – Mobeteq provides the data services over time and, therefore, recognises HK\$131.25 revenue each month (HK\$3,150 / 24 months) (i.e. an output method that recognises revenue by reference to time elapsed).

► Knowledge Check Questions

Question 1

On 10 December 20X3, a construction company, Styleesh Homes, enters into an arrangement with an interior design company, Dezipner Homes. Under the arrangement, Styleesh Homes is able to request interior design services at an agreed-upon hourly rate for a period of 24 months.

Styleesh Homes and Dezipner Homes are entitled to cancel the contract at any time without compensating the other party other than in relation to repaying outstanding debts as at the date the contract is cancelled.

As at 31 December 20X3, no service requests had been made by Styleesh Homes. For the purposes of HKFRS 15, does a contract with a customer exist? Explain your response.

► **Knowledge Check Questions (*continued*)**

Question 2

Identify which one of the following criteria is not required to account for a contract with a customer in accordance with HKFRS 15.

- A** The customer has been invoiced for goods or services received.
- B** Consideration will probably be collectible.
- C** The payment terms are identifiable.
- D** The contract has commercial substance.

Question 3

A customer orders a new car from a car dealership. The car is made up of several parts, including the chassis, engine, wheels, tyres, seats and windows.

Identify the performance obligation(s) in this contract. Justify your response.

Question 4

As part of a promotional offer, Whytegoods 2U is offering 'interest-free' financing on the sale of its latest model washing machines. In accordance with the offer, the customer makes one HK\$4,750 payment in 36 months' time. Under normal trading conditions, Whytegoods 2U sells the washing machine for HK\$4,000.

Under the financing offer, determine when Whytegoods 2U should recognise revenue from the sale of each washing machine and at what amount. Justify your answer.

Question 5

A distributor entered into a contract with a retailer to supply designer handbags for HK\$760 per unit. In accordance with the contract, if the retailer purchases over 500 handbags in a given year, the price per handbag (including those handbags already sold) is reduced to HK\$710 per unit.

What must the distributor consider when determining the transaction price per unit sold to the retailer?

Question 6

Kwik Kleen provides daily office cleaning services to a customer with a head office located in Hong Kong. Kwik Kleen invoices the customer every three months for the cleaning services provided during the previous three months. Determine whether Kwik Kleen is likely to recognise revenue from the provision of cleaning services to its customers over time or at a point in time.

Question 7

How should an entity account for consideration paid to a customer where the customer does not return a good or service to the entity?

- A** The same way it accounts for purchases from suppliers.
- B** As a reduction in the transaction price.
- C** Capitalise the cost and amortise it over the expected duration of the contract.
- D** None of the above.

3.3 CONTRACT COSTS

In most cases, an entity will incur costs in transacting with customers. HKFRS 15 specifies the accounting for the costs of obtaining a contract and the costs of fulfilling a contract where the accounting for that cost is not within the scope of another HKFRS.

3.3.1 Incremental Costs of Obtaining a Contract

The costs of obtaining a contract with a customer that is 'consideration payable to a customer' is treated as a reduction of the transaction price in accordance with HKFRS 15. Other costs of obtaining a contract with a customer are capitalised as contract acquisition costs in the statement of financial position when the costs are:

- incremental costs (i.e. the costs would not have been incurred if the contract had not been obtained) and the entity expects to recover the costs (e.g. through reimbursement or the margin on the contract); or
- not incremental costs (i.e. the costs would have been incurred regardless of whether the contract was obtained) but are explicitly on-chargeable to the prospective customer.

HKFRS
15.91-93

HKFRS
15.94

However, as a practical expedient, an entity is permitted to immediately expense incremental costs that would have otherwise been amortised over one year or less.

Other costs to obtain a contract are expensed when incurred unless they qualify for capitalisation in accordance with another HKFRS.

Apply and Analyse 2

Noteware pays its employees commissions where they make sales to companies. For the year ended 31 December 20X8, Noteware incurred the following costs:

Base salaries of sales employees	HK\$2,160,000
Commissions to sales employees	HK\$660,000
Employee travel and accommodation	HK\$178,000

As part of the tender process, the then potential customer agreed it would reimburse Noteware's travel and accommodation costs up to HK\$21,500 as it required Noteware to assess its existing software system for the purposes of providing a quote.

Determine the costs, if any, that must be capitalised in accordance with HKFRS 15.

Analysis

The entity recognises an asset in relation to the HK\$660,000 sales commissions because these costs would not have been incurred if the entity had not obtained the related contracts, and the entity expects to recover the costs through future fees for software support services.

Apply and Analyse 2 (continued)

Description	Debit	Credit
	HK\$	HK\$
Contract acquisition costs (asset)	660,000	
Cash		660,000
To recognise as an asset the incremental costs of obtaining the contract		

The entity also recognises an asset for HK\$21,500 of the employee travel and accommodation costs, and though these costs would have been incurred regardless of whether the contract was obtained, the entity is explicitly able to recover them from the potential customer.

Description	Debit	Credit
	HK\$	HK\$
Contract acquisition costs (asset)	21,500	
Cash		21,500
To recognise as an asset the costs that are recoverable from the customer		

The balance of the employee travel and accommodation costs and the base salaries would have been incurred regardless of whether contracts were obtained and are not recoverable. Accordingly, these costs are expensed as incurred.

Description	Debit	Credit
	HK\$	HK\$
Salaries expense (profit or loss)	2,160,000	
Employee travel and accommodation expense (profit or loss)	156,500	
Cash		2,316,500
To recognise as an expense the non-recoverable costs (HK\$2,160,000 + [HK\$178,000 – HK\$21,500])		

3.3.2 Costs to Fulfil a Contract

Costs to fulfil a contract are costs incurred subsequent to obtaining a contract when carrying out an entity's performance obligations within a contract. Any costs incurred in fulfilling a contract with a customer that are within the scope of another HKFRS (e.g. HKAS 2 *Inventories*, HKAS 16 *Property, Plant and Equipment* and HKAS 38 *Intangible Assets*) are recognised in accordance with that other HKFRS.

Any costs incurred in fulfilling a contract with a customer not within the scope of another HKFRS are recognised as an asset in accordance with HKFRS 15 only when those costs:

- relate directly to a specifically identifiable contract or anticipated contract;
- generate or enhance resources of the entity that will be used in satisfying (or in continuing to satisfy) performance obligations in the future; and
- are expected to be recovered.

HKFRS
15.96

HKFRS
15.95

Costs that 'relate directly' to a contract include:

- direct labour;
- direct materials;
- allocations of costs that relate directly to the contract or to contract activities;
- costs explicitly chargeable to the customer under the contract; and
- other costs incurred only because an entity entered into the contract (e.g. payments to subcontractors).

HKFRS
15.97

Costs incurred in fulfilling a contract with a customer that are expensed as incurred include:

- general and administrative costs unless those costs are explicitly chargeable to the customer under the contract;
- costs of wasted materials, labour, or other resources to fulfil the contract and were not reflected in the price of the contract;
- costs that relate to past performance; and
- costs for which an entity cannot distinguish whether the costs relate to unsatisfied performance obligations or to satisfied (or partially satisfied) performance obligations.

HKFRS
15.98

3.3.3 Amortisation

Capitalised contract costs are subject to amortisation and impairment. Amortisation is made on a systematic basis consistent with the transfer to the customer of the goods or services to which the asset relates. The amortisation profile is updated to reflect a significant change in the entity's expected timing of transfer to the customer of the goods or services to which the asset relates; this is treated as a change in an accounting estimate.

HKFRS
15.99–100

► Knowledge Check Questions

Question 8

ShortTravel Limited (ShortTravel) provides two-month to six-month mobile data plans for travelers visiting Hong Kong. ShortTravel pays its staff a commission for every plan sold to a customer. Identify which one of the following statements is true.

- A** ShortTravel must capitalise the commissions paid to staff.
- B** ShortTravel must expense the commissions paid to staff.
- C** ShortTravel must reduce the transaction price of the associated contract acquired by the amount of the commission paid to staff.
- D** ShortTravel has an accounting policy choice whether to capitalise or immediately expense the commissions paid to staff.

3.4 OTHER REVENUE RECOGNITION ISSUES

As noted in Section 3.2, significant complexities exist in the application of the five-step revenue recognition model. The purpose of this section is to gain an appreciation for specific considerations to be aware of when evaluating the accounting for a contract with a customer. Specifically, this section considers the guidance in HKFRS 15 in relation to:

- Sales with a right of a return;
- Warranties;
- Consignment arrangements; and
- Principal-agent relationships.

3.4.1 Right of Return

An entity may transfer control of a product to a customer and also grant the customer the right to return the product for a refund or a credit note. These rights of return are common in certain industries or jurisdictions (for example, the retail sector).

Recall that the transaction price (and hence, revenue) includes only the amount of consideration to which the entity expects to be entitled in exchange for transferring the promised goods and services. Where an entity expects promised goods and services to be returned, it also does not expect to be entitled to the corresponding amount of consideration. Accordingly, for a sale with a right of return, an entity recognises:

- revenue for the transferred products in the amount of consideration to which the entity expects to be entitled (therefore, revenue is not recognised for the products expected to be returned);
- a refund liability for any amounts received or receivable for which the entity does not expect to be entitled; and
- an asset (and a corresponding adjustment to cost of sales) for its right to recover products from customers on settling the refund liability.

HKFRS
15.B21

Key Learning Point

Revenue is not recognised at the time that control of the product passes to the customer for the products expected to be returned.

For example, on the sale of desktop computers, Noteware will recognise a refund liability in relation to its 30-day refund policy. Noteware applies the portfolio approach when accounting for the refund liability as it expects that applying the right of return requirements on a portfolio basis would not differ materially from applying the requirements to each specific contract within the portfolio.

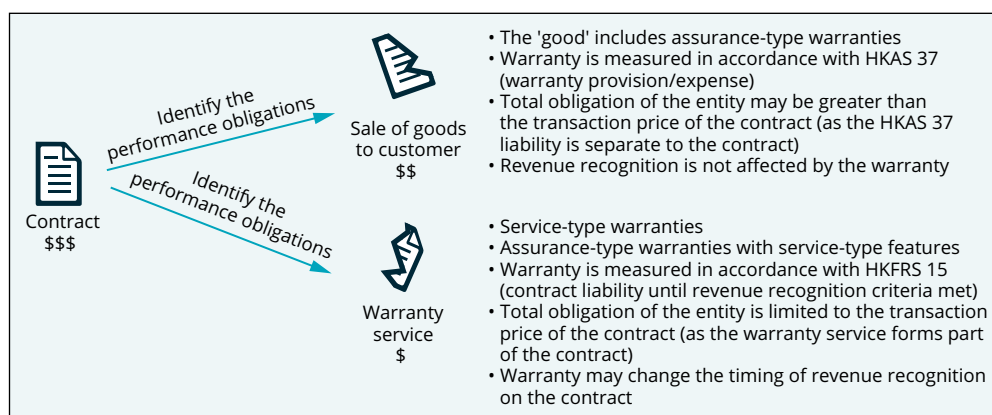
For every 100 desktop computers sold, Noteware estimates that eight will be returned for a refund. Accordingly, for every 100 desktop computers sold, Noteware will not recognise

revenue in relation to eight computers and, instead, will recognise a refund liability along with an asset in relation to its right to recover the computers from its customers.

3.4.2 Warranties

In some industries or jurisdictions, it may be common for the seller to offer a warranty guaranteeing the functionality of the transferred good or service. A warranty is a promise to the customer that a good or service will perform as intended for at least a stated period; that is, it offers the customer *assurance about* the good or service. Some warranties also offer a service to the customer because that warranty extends the functionality of the good or service, for example, a store warranty that can be purchased at the time of buying the good or service to extend the term of the warranty from one year to three years.

The accounting for warranties is summarised in Exhibit 3.8.



► **EXHIBIT 3.8 Accounting for warranties**

Illustrative Example 7

In addition to a 30-day refund policy, Noteware offers its customers the option to purchase its 'True Tech Extended Warranty' service, which extends by two years the existing manufacturer's warranty on an item. The item is replaced or repaired at the discretion of the warranty provider. The True Tech Extended Warranty starts at the end of the manufacturer warranty period.

On 1 May 20X2, Noteware sells a customer a desktop computer. Noteware provides a one-year manufacturer's warranty on the desktop computer, as required by law. Under the terms of the manufacturer's warranty, Noteware must repair or replace a defective desktop and bear the costs of collecting and returning the item to the customer. The customer also purchases Noteware's True Tech Extended Warranty product. The total payment made by the customer is HK\$5,200, comprising HK\$4,400 for the desktop and HK\$800 for the warranty.

Applying Step 2

Noteware identifies the following distinct performance obligations are present in the contract:

- promise to transfer a desktop computer – As the desktop computer is routinely sold separately from the extended warranty, Noteware concludes the customer can benefit from the desktop computer on its own or together with other resources and that the

Illustrative Example 7 (continued)

desktop computer is separately identifiable from the other promises in the contract. Noteware observes that implicit in the promise to transfer a desktop computer is the promise to transfer a manufacturer's warranty; the warranty is an assurance-type warranty that is not distinct from the desktop computer because the warranty provides the customer with the assurance the desktop computer will function as intended for one year, is not sold separately from the desktop computer and does not provide the customer with a good or service in addition to that assurance; and

- promise to transfer the True Tech Extended Warranty – Noteware concludes the warranty is a distinct service-type warranty because the warranty is sold separately from the desktop computer and provides the customer with repair or replacement services for a year beyond the manufacturer guaranteed period.

Noteware concludes the manufacturer's warranty does not provide the customer with a service in addition to the assurance that the desktop computer complies with agreed-upon specifications because the warranty is required by law and the nature of the tasks under the warranty are only tasks necessary to provide assurance that the desktop computer complies with its agreed-upon specifications.

Noteware, therefore, concludes the contract has two separate performance obligations: the promise to transfer the desktop computer and the promise to transfer the True Tech Extended Warranty.

Applying Steps 3 through Step 5

Noteware allocates the transaction price of HK\$5,200 between the promise to transfer a desktop computer and promise to transfer a warranty service, in proportion to its stand-alone selling prices. In this example, this is HK\$4,400 and HK\$800 respectively. The portion of the transaction price allocated to the promise to transfer:

- a desktop computer is recognised as revenue on 1 May 20X2 because Noteware transfers control of the good to the customer on this date (i.e. satisfies the performance obligation). (A refund liability is recognised instead of revenue if Noteware expects the customer to return the product [refer Section 3.4.1]); and
- a True Tech Extended Warranty is recognised as revenue over the period 1 May 20X3 to 30 April 20X5 as the customer simultaneously receives and consumes the benefits provided by Noteware's performance over this period, and as Noteware stands ready during this period to provide repair or replacement services.

That is, on 1 May 20X2, Noteware recognises the following journal entry:

Description	Debit	Credit
	HK\$	HK\$
Cash	5,200	
Contract liability (warranty)		800
Sales revenue (desktop computer)		4,400

Illustrative Example 7 (continued)

Cumulatively over the period 1 May 20X3 to 30 April 20X5, Noteware records the following journal entry to recognise revenue for the warranty service as the service is rendered:

Description	Debit	Credit
	HK\$	HK\$
Contract liability (warranty)	800	
Service revenue (warranty)		800

3.4.3 Consignments

In some industries, an entity may transfer goods to a counterparty, such as a dealer or a distributor in a consignment arrangement. Recall that an entity recognises revenue when or as it satisfies its performance obligation in a contract, being when the customer gains control of the promised good or service. In a consignment arrangement, the customer does not obtain control of the goods, even though it has received delivery of the goods. Hence, the entity cannot recognise revenue upon delivery of the goods to the consignee.

HKFRS
15.B77

Indicators that an arrangement is a consignment arrangement include:

- the goods are controlled by the entity until a specified event occurs, such as the sale of the product to a customer of the dealer or until a specified period expires;
- the entity is able to require the return of the goods or transfer the goods to a third party, such as another dealer; and
- the dealer does not have an unconditional obligation to pay for the goods although it might be required to pay a deposit.

HKFRS
15.B78

Illustrative Example 8

GPS WatchCo, a vendor of smart watches with the latest GPS technology, lacks a retail presence and is looking to penetrate the market and increase brand awareness.

To place its smart watches on store shelves in Hong Kong, it agrees to stock its smart watches in GPS RetailCo's retail stores. In accordance with the terms of the arrangement, GPS RetailCo only pays GPS WatchCo when each smart watch is sold to the end customer and GPS WatchCo has legal title of each smart watch until the sale is made (i.e. GPS WatchCo can request that each smart watch is returned or transferred to another retailer).

In this case, GPS WatchCo does not recognise revenue on delivery of the smart watches to GPS RetailCo (i.e. because GPS WatchCo has not yet transferred control of the goods) but rather recognises revenue when each smart watch is sold to the end customer.

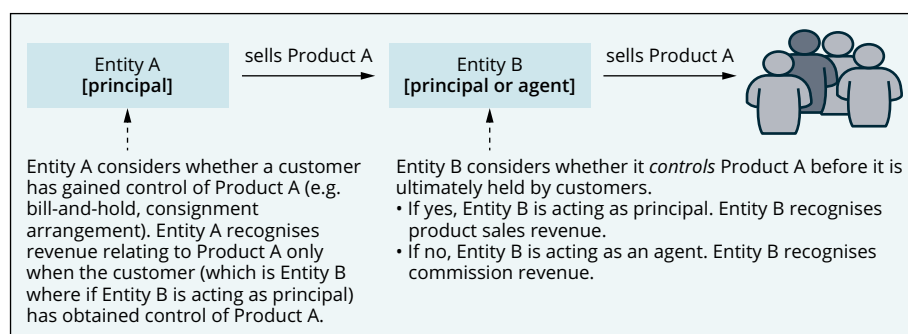
3.4.4 Principal-Agent Relationships

When another party is involved in providing goods or services to a customer, an entity will need to determine whether the nature of its promise is a performance obligation to:

- provide the specified goods or services itself (i.e. the entity is a principal); or
- arrange for those goods or services to be provided by the other party (i.e. the entity is an agent).

HKFRS
15.B34

As illustrated in Exhibit 3.9, an entity acts as a principal if it **controls** the specified good or service before that good or service is transferred to a customer.



► EXHIBIT 3.9 Principal vs. Agent

Indicators that an entity controls a specified good or service before it is transferred to the customer include:

- the entity being primarily responsible for fulfilling the promise to provide the specified good or service (e.g. the entity is responsible for delivering the product even if the entity sub-contracts the job to another party);
- the entity having inventory risk before the specified good or service has been transferred to a customer or after transfer of control to the customer (for example, if the customer has a right of return); and
- the entity having discretion in establishing the price for the specified good or service.

HKFRS
15.B37

Identifying whether an entity conducts a transaction as a principal or agent is important for revenue recognition because misidentifying an entity who is an agent as a principal will result in the entity's reported revenues being overstated (amongst other implications for the financial statements).

Illustrative Example 9

Scapetravel Limited (Scapetravel) is a hotel finder site that operates a website that enables customers to compare and book hotels located throughout mainland China. Scapetravel is entitled to a commission for each booking made with the range of providers. Scapetravel remains entitled to the commission irrespective of whether the customer exercises its right of return (if applicable). The price per hotel is set by each respective hotel.

Illustrative Example 9 (continued)

Once a hotel is booked, Scapetravel has no further obligations in relation to providing the hotel service; this is the responsibility of the hotel owner.

Scapetravel's performance obligation is to arrange for the supplier to provide the service to the customer, rather than to provide the service itself, that is, Scapetravel is acting as the agent in the arrangement. Scapetravel does not obtain control of the service prior to it transferring to the customer (i.e. the hotel provides the service directly to the customer). In reaching the conclusion that Scapetravel is agent, Scapetravel considers the following indicators of control:

- each respective hotel is primarily responsible for fulfilling the promise to provide the service;
- Scapetravel does not have inventory risk before or after the service has been provided; and
- each respective hotel sets the price per hotel stay.

Accordingly, Scapetravel recognises revenue at an amount equal to the commission to which it is entitled (i.e. Scapetravel does not gross up revenue and expenses to include the hotel sales price).

Illustrative Example 10

Mealgiant Limited (Mealgiant) purchases meal vouchers in bulk from restaurants located throughout Hong Kong. Mealgiant receives a 15% discount on the vouchers for purchasing in bulk.

Mealgiant sells the vouchers online to diners with a 10% markup on the purchase price from each restaurant. If Mealgiant determines it is the principal in the arrangement, then it will recognise revenue at the gross amount; if it determines it is the agent in the arrangement, then it will recognise revenue at the net amount (i.e. commission).

For example, Mealgiant purchases a HK\$200 voucher for an Italian restaurant for HK\$170 (15% discount). Mealgiant then sells the voucher online to a diner for HK\$187 (10% markup). Mealgiant will recognise revenue as follows:

	Where Mealgiant determines it is 'Principal' in the arrangement	Where Mealgiant determines it is 'Agent' in the arrangement
Revenue	HK\$187	HK\$17 (commission = HK\$187 – HK\$170)
Expense	HK\$170	nil
Net profit	HK\$17	HK\$17

 Knowledge Check Questions**Question 9**

Identify which one of the following statements is false in relation to a sale with a right of return.

- A** Revenue is not recognised for products expected to be returned.
- B** An entity does not recognise revenue on transferring goods subject to a right of return until the right expires.
- C** An entity recognises a refund liability.
- D** An entity recognises an asset for its right to recover products from a customer on settling the refund liability.

Question 10

Kit Chen Limited (Kit Chen) is a retailer of kitchen appliances. All its products come with a standard two-year manufacturer's warranty required by law. The warranty provides assurance that the product complies with the agreed-upon specifications. Should Kit Chen account for the warranty in accordance with HKFRS 15? Explain your answer.

Question 11

Ten Racquets Limited (Ten Racquets) is a retailer of tennis racquets with retail stores located throughout mainland China. Ten Racquets has an arrangement with Twenty Balls Limited (Twenty Balls) where for every tennis racquet that Ten Racquets sells to customers, for an additional HK\$250 the customer can purchase a one-hour private tennis lesson with a Twenty Balls tennis professional. For every tennis lesson sold by Ten Racquets, Ten Racquets collects the HK\$250 on behalf of Twenty Balls and is entitled to a 10% commission.

Ten Racquets has determined it is the agent in the arrangement with Twenty Balls. Determine the amount of revenue that Ten Racquets should recognise per tennis lesson sold.

 3.5 PRESENTATION AND DISCLOSURE OF REVENUE

To be useful, the financial information included in a general purpose financial report needs to be relevant and faithfully represent what it purports to represent. Accordingly, an entity's disclosures about its contracts with customers should be **entity-specific**, relating to its products and reflecting the way the entity operates. The entity explains its revenue recognition policies and the impact of those policies on the entity's financial position and financial performance. The purpose of this section is to provide a summary of the disclosures required by HKFRS 15.

3.5.1 Contracts with Customers

An entity discloses the following amounts for the reporting period:

- revenue recognised from contracts with customers, separately from other sources of revenue; and

HKFRS 15
para.113

- impairment losses (in accordance with HKFRS 9 *Financial Instruments*) on receivables and contract assets arising from contracts with customers.

In addition, HKFRS 15 requires an entity to disclose the following information about its contract with customers:

- information about the disaggregation of revenue (see Section 3.5.1.1)
- information about contract assets and contract liabilities (see Section 3.5.1.2)
- information about the entity's performance obligations under its contracts (see Section 3.5.1.3); and
- information about the transaction price allocated to remaining performance obligations (see Section 3.5.1.4).

3.5.1.1 Disaggregation of Revenue

To help users of the financial statements understand the composition of the revenue from contracts with customers recognised in the current period, HKFRS 15 requires an entity to disclose revenue disaggregated into relevant categories (for example, geographical region, market or customer type, contract type, contract duration, timing of transfer of goods or services and sales channels).

HKFRS
15.B89

3.5.1.2 Contract Balances

To explain the relationship between the amount of revenue recognised in a reporting period and the entity's contract assets and contract liabilities, an entity must disclose:

- the opening and closing balances of receivables, contract assets and contract liabilities;
- revenue recognised in the reporting period included in the contract liability balance at the beginning of the period; and
- revenue recognised in the reporting period from performance obligations satisfied (or partially satisfied) in previous periods.

HKFRS
15.116

3.5.1.3 Performance Obligations

To explain how an entity's accounting policy relates to its contracts with customers, an entity is required to disclose:

- when the entity typically satisfies its performance obligations;
- the significant payment terms;
- the nature of the goods or services the entity has promised to transfer, highlighting any performance obligations to arrange for another party to transfer goods or services (i.e. if the entity is acting as an agent);
- obligations for returns, refunds and other similar obligations; and
- types of warranties and related obligations.

HKFRS
15.119

3.5.1.4 Transaction Price Allocated to the Remaining Performance Obligations

For users to understand the future amount and timing of revenue expected to be received from existing contracts, an entity discloses the aggregate amount of the transaction price

allocated to the performance obligations unsatisfied as of the end of the reporting period and an explanation of when it will be recognised as revenue; this explanation may be provided qualitatively or quantitatively using appropriate time bands.

Illustrative Example 11

On 1 July 20X4, Noteware sells a suite of desktops and servers to customer Bronze Limited (Bronze). In addition to the hardware, Noteware promises to provide phone support services for a three-year period at a fixed price of HK\$2,000 per month.

In its 31 December 20X4 financial statements, Noteware meets the disclosure requirement using a quantitative basis with one-year time bands as follows:

	20X5	20X6	20X7
Revenue expected to be recognised in relation to this contract as at 31 December 20X4	HK\$24,000	HK\$24,000	HK\$12,000

3.5.2 Significant Judgements in the Application of This Standard

HKAS 1 *Presentation of Financial Statements* requires an entity to disclose its material accounting policy information, judgements and sources of estimation uncertainty.

Because of the importance of understanding ‘revenue’ to a user’s decisionmaking, HKFRS 15 specifically requires an entity to disclose the judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers and the changes in those judgements. These disclosures must include the judgements used in determining the timing of satisfaction of performance obligations and the transaction price and amounts allocated to performance obligations.

3.5.3 Assets Recognised from the Costs to Obtain or Fulfil a Contract with a Customer

HKFRS 15 requires information to be disclosed about any capitalised contract costs. These disclosures help users to understand the types of costs recognised as assets and how those assets are subsequently amortised or impaired.

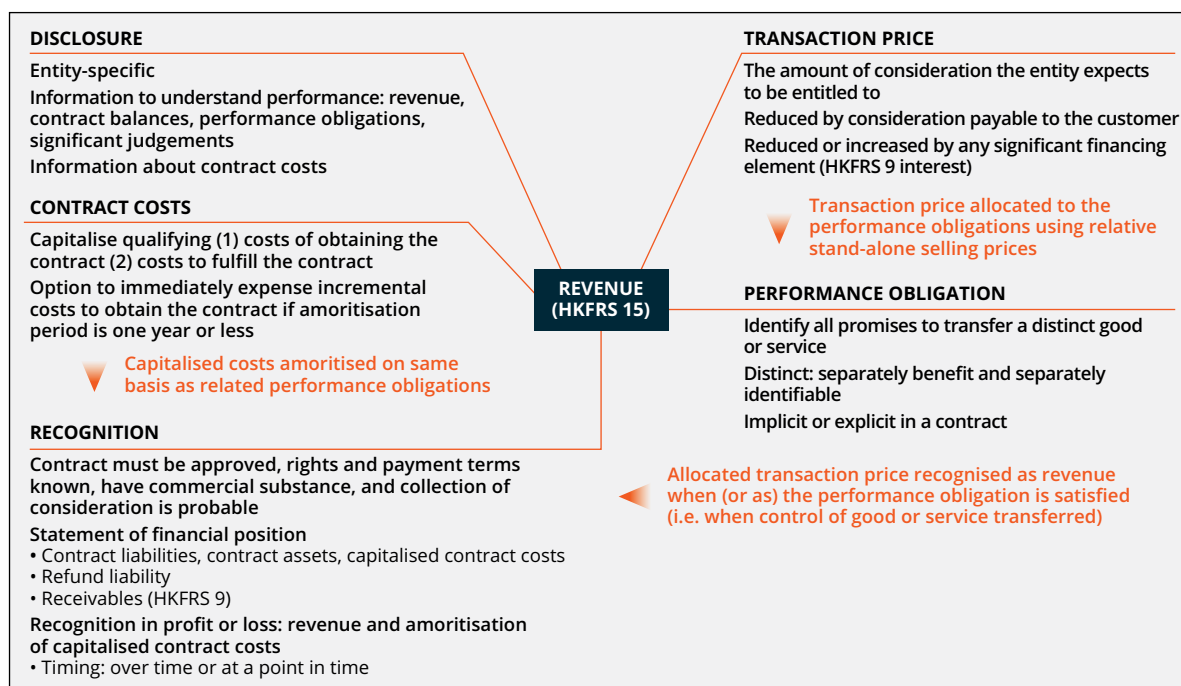
With respect to capitalised contract costs, an entity discloses information in relation to judgements made in determining the amount of costs incurred, the amortisation method, the closing balance of assets recognised and the amount of amortisation and impairment losses recognised.



SUMMARY

- HKFRS 15 specifies the accounting for revenue arising from contracts with customers, and related costs.
- Under HKFRS 15, revenue is recognised when (or as) an entity satisfies a performance obligation by transferring a promised good or service to a customer. Revenue is measured at the amount of consideration the entity expects to be entitled to in exchange for transferring the good or service.
- HKFRS 15 utilises a five-step model as follows:
 1. Identifying the contract with a customer;
 2. Identifying separate performance obligations;
 3. Determining the transaction price;
 4. Allocating the transaction price to separate performance obligations; and
 5. Recognising revenue when (or as) each performance obligation is satisfied.
- Each good or service transferred to the customer in the contract has value, and accordingly, an allocation of the transaction price must be attributed to that good or service.
- A performance obligation is a promise to deliver a good or service that is distinct or a series of distinct goods or services that are substantially the same and that have the same pattern of transfer to a customer.
- The five-step model requires the transaction price of a contract to be allocated to all the performance obligations in the contract.
- A performance obligation may be satisfied over time or at a point in time.
- Certain costs of obtaining a contract or of fulfilling a contract must be capitalised and amortised to profit or loss in a manner consistent with the transfer of the related promised goods or services.
- An entity discloses sufficient information to enable users of its financial statements to understand the nature, amount, timing and uncertainty of revenue and cash flows arising from its contracts with customers.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

The correct answer is No. Though both parties may have signed an agreement, as of 31 December 20X3 each party has the unilateral enforceable right to cancel the wholly unperformed contract without compensating the other party. The contract is wholly unperformed because no services have been provided to Styleesh Homes (the customer), and Designer Homes (the service provider) is not yet entitled to receive any consideration.

Question 2

Answer A is correct. The customer is not required to have received goods or services for the contract criteria to be met. Moreover, goods or services are not required to have been received by the customer. For example, a contract may exist even where goods and services have not yet been received where either or both parties to the contract do not have a unilateral right to cancel the contract without compensating the other party.

Answer B, C or D is incorrect. Such criteria are required for a contract to be accounted for in accordance with HKFRS 15. The parties to the contract must have approved the contract, and the entity must be able to identify each party's rights regarding the goods or services to be transferred.

Question 3

One performance obligation exists in this contract: the promise to deliver a car to the customer. Though the individual parts of the car (e.g. engine, wheels) are capable of being distinct for a customer to benefit from it separately or together with other readily available resources, they are not distinct within the context of this contract. The goods are not distinct within the context of the contract as each good or service is not separately identifiable from other goods and services in the contract because the entity is providing a significant service of integrating the parts (i.e. inputs) into the car (i.e. output).

Question 4

Whytegoods 2U should recognise revenue from the sale of each washing machine when it transfers control of the washing machine to the customer (i.e. when the customer takes possession on day one). As the contract price (HK\$4,750) differs from the cash selling price (HK\$4,000), this indicates a significant financing component exists in the contract (i.e. Whytegoods 2U is providing finance to the customer). This assessment is made even though the advertising campaign states the sale is 'interest free'. Accordingly, Whytegoods 2U must split the consideration between a revenue component and a loan component. The revenue component will be measured by reference to the cash selling price of the washing machine, being HK\$4,000.

Question 5

The consideration promised includes a fixed and a variable component because the price per designer handbag is dependent on the number of units purchased. The entity is required to estimate the amount of variable consideration to which it is expected to be entitled. That is, the entity must estimate whether it expects the customer will purchase 500 or more handbags. If the entity estimates that the customer:

- *Will not* purchase more than 500 designer handbags during the year, the entity will recognise HK\$760 of revenue per unit sold (i.e. recognise the variable component); or
- *Will* purchase more than 500 designer handbags during the year, the entity will recognise HK\$710 of revenue per unit sold (i.e. not recognise the variable component).

If the entity changes its estimate during the year, the amount of revenue recognised in relation to satisfied performance obligations (i.e. previous units sold) should be increased (if the entity no longer expects the customer to purchase 500 or more units) or decreased (if the entity now expects the customer to purchase 500 or more units).

Question 6

Kwik Kleen is likely to recognise revenue from the cleaning service over time. Kwik Kleen's promise to provide cleaning services is satisfied over time as Kwik Kleen's customer simultaneously receives and consumes the benefits of the cleaning service as Kwik Kleen performs under the contract. Though another entity would not need to reperform the cleaning services completed to date provides further evidence that the customer simultaneously receives and consumes the benefits of Kwik Kleen's cleaning service as Kwik Kleen performs.

Question 7

Answer A is incorrect. An entity only accounts for consideration payable to a customer in the same way it accounts for purchases from suppliers if the customer provides the entity with a good or service.

Answer B is correct. An entity accounts for consideration payable to a customer as a reduction in the transaction price unless the payment is in return for goods or services provided by the customer.

Answer C is incorrect. An entity capitalises and amortises eligible contract costs.

Answer D is incorrect. The answer is incorrect by way of choice being correct.

Question 8

Answer A or B is incorrect. Though the commissions paid to staff qualify to be capitalised as they are incremental costs of obtaining a contract, ShortTravel has an accounting policy choice as noted above.

Answer C is incorrect. The commissions paid to staff are not a form of consideration payable to a customer. Only consideration payable to a customer not in exchange for a good or service is treated as a reduction in the transaction price.

The correct answer is D. The amortisation period for ShortTravel's cost to acquire a contract (commissions) is between two and six months (i.e. the length of the contract with the customer). For costs to acquire a contract with an amortisation period of one year or less, an entity may elect to immediately expense the cost.

Question 9

Answer A, C or D is incorrect. When an entity sells products with a right of return, the entity shall recognise revenue at an amount that it expects to be entitled (therefore, revenue would not be recognised for products expected to be returned), a refund liability and an asset for its right to recover products from a customer on settling the refund liability.

The correct answer is B. An entity *does* recognise revenue on transferring the good or service to the customer as the customer gains control of the good. The amount of revenue recognised is reduced by the amount of revenue to assets expected to be returned.

Question 10

No, the warranty should not be accounted for in accordance with HKFRS 15. As Kit Chen's customers do not have the option to purchase the warranty separately and the warranty does not provide a service in addition to the assurance that the product complied with agreed-upon procedures, Kit Chen must account for the warranty in accordance with HKAS 37.

Question 11

As Ten Racquets is agent in the arrangement (i.e. it arranges the service to be provided to the customer), it recognises revenue at the amount of the commission to which it is entitled. Ten Racquets is entitled to a HK\$25 commission per tennis lesson sold (HK\$250 * 10%). The fact that Ten Racquets collects the total amount from the customer on behalf of Twenty Balls (the principal) does not affect the assessment.

EXAM PRACTICE

QUESTION 1

Heatworkz Limited (Heatworkz) is a supplier and installer of modern heating solutions. The company is based in Hong Kong and predominantly supplies restaurants, sporting facilities and convention centres in the region.

Recently, Heatworkz begun operations in Australia. Its newest product offering is an award-winning wood heater, which is capable of heating up to 1,000 square metres of internal floor space. After displaying the unit at a heating and cooling technology event in Melbourne during the Australian winter, the unit is in high demand. On 15 June 20X2, Oakdon, a winery located in the Yarra Valley approximately 50 kilometres east of Melbourne, purchased the wood heater for HK\$320,000. The wood heater was to be used in its new onsite restaurant which was due to be fully constructed by October 20X2. Oakdon was required to pay for the wood heater on 15 June 20X2, and the wood heater was to be delivered during September 20X2.

The wood heater comprises the following three parts:

- Large fire box (where the wood is burned);
- Flue (internal and external chimney); and
- Hearth (non-combustible material, of which the fire box sits atop)

In addition to the cost price, Oakdon will be charged for installation of the wood heater. On entering the Australian market, Heatworkz engaged installers throughout each respective region. On the day of the sale, an installer in the Yarra Valley offered and agreed to install the unit for HK\$30,000. The installer was responsible for the installation, including any subsequent rework of the installation at its own cost. On referral, Heatworkz was entitled to a commission, which was equal to 10% of the installation price. The installation could be provided by any registered roof plumber. Heatworkz assessed that it would be acting as an agent with respect to the promise to provide the installation service.

For being one of the first five customers to purchase the wood heater, Oakdon was entitled to receive the following two items at no additional cost: a sculptured indoor wood rack, to be used for displaying, and storing wood (a 'free' item). The wood rack was due to be delivered to Oakdon in March 20X3 due to a backlog in manufacturing. The wood rack ordinarily sold for HK\$25,000.

Required:

- (a) With respect to the installation, determine the:
 1. nature of Heatworkz's promise; and
 2. amount of revenue that Heatworkz must recognise.
- (b) With respect to the free item, determine whether Heatworkz must identify a performance obligation.
- (c) Explain why the fire box, flue and hearth represented one performance obligation.

- (d) For each performance obligation identified determine:
1. whether the performance obligation was satisfied over time or at a point in time; and
 2. when revenue was recognised.

QUESTION 2

NatSecurity Limited (NatSecurity) is a manufacturer of government defense watercraft. On 1 July 20X3, NatSecurity signed a contract with the Chinese government to construct one military submarine in exchange for HK\$12 billion.

The terms of the contract required the submarine be constructed and fully operational by 30 June 20X9. NatSecurity is entitled to an additional HK\$1 billion if the submarine is constructed and fully operational by 30 June 20X8 (performance bonus). NatSecurity was required to sign various non-disclosure agreements to protect the government's defence intelligence, which the submarine is to be built in accordance with.

In accordance with the contract, if the government was to terminate the contract for reasons other than NatSecurity's failure to perform, the government is required to compensate NatSecurity for its costs incurred to date plus a 10% margin. NatSecurity expects to incur its costs on a straight-line basis over the contract term.

For performance obligations satisfied over time, NatSecurity measures progress to complete satisfaction using costs incurred to date relative to the expected total project costs (i.e. an input method).

Required:

- (a) Determine whether NatSecurity should recognise the revenue over time or at a point in time.
- (b) Determine how NatSecurity should account for the performance bonus. (No computation is required.)
- (c) On the basis that NatSecurity does not expect the submarine to be constructed and fully operation by 30 June 20X8, prepare the disclosure with respect to the allocation of the transaction price to remaining performance obligations in NatSecurity's 31 December 20X3 financial statements.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) 1. The nature of Heatworkz's promise is to arrange for the installation provider to provide installation services; that is, Heatworkz is the agent in the arrangement because Heatworkz does not control the service prior to it being provided to the customer.
2. As Heatworkz is the agent in the arrangement, it recognises revenue in the amount of the commission to which it expects to be entitled. In this case, Heatworkz is entitled to a 10% commission on the installation service, being HK\$3,000 (HK\$30,000 * 10%).

- (b) Even though Heatworkz advertises the wood rack as 'free', this does not preclude the item from being identified as performance obligations to which the transaction price must be allocated. When identifying performance obligations, HKFRS 15 makes no exception for marketing offers or incidental goods or services.

The wood rack is a good promised to the customer, and therefore, Heatworkz must determine whether the promise is a separate performance obligation by considering the distinct criteria. The wood rack is capable of being distinct as it can be used with readily available goods (e.g. wood, wood heaters). Furthermore, the wood heater is distinct within the context of the contract as it is separately identifiable from other promises in the contract (i.e. it is not an input to other goods and services, does not modify or customize other goods or services and is not highly dependent on other goods or services in the contract). As the promise to deliver the wood rack meets both distinct criteria, it is identified as a separate performance obligation.

- (c) Goods and services are recognised as separate performance obligations when they are distinct. For a good or service to be distinct, it must be:
- capable of being distinct; and
 - distinct within the context of the contract.

The fire box, flue and hearth represent one performance obligation as each part does not meet the criteria with respect to being distinct. Though each part is capable of being distinct (for example, the customer could use the fire box together with readily available flues and hearths), each part is not distinct within the contract's context. This is because the nature of the promise is to provide a wood heater and the parts (fire box, flue and hearth) are inputs used to create the combined output.

- (d) Heatworkz's performance obligations are satisfied over time when it meets any one of the three criteria:

1. the customer simultaneously receives and consumes the benefits provided by Heatworkz's performance as Heatworkz performs;
2. Heatworkz's performance creates or enhances an asset the customer controls as the asset is created or enhanced; or
3. Heatworkz's performance does not create an asset with an alternative use to Heatworkz, and Heatworkz has an enforceable right to payment for performance completed to date.

If Heatworkz does not satisfy a performance obligation over time, then it satisfies that performance obligation at a point in time.

Performance obligation	Over time or at a point in time	Timing of revenue recognition
Wood heater	The wood heater does not meet any of the criteria to be recognised over time and is, therefore, recognised at a point in time.	Heatworkz will recognise revenue when it transfers control of the wood heater to the customer. Heatworkz will recognise revenue when the wood heater is delivered to the customer in September 20X2 (i.e. when Oakdon takes physical possession of the wood heater).
Arrange installation	The promise to arrange installation does not meet any of the criteria to be recognised over time and is, therefore, recognised at a point in time.	Heatworkz satisfies its performance obligation when it arranges for the installer to install the wood heater (which is at the date of entering into the contract with the customer). Heatworkz has no further obligations with respect to the installation after this date. Accordingly, Heatworkz recognises commission revenue on 15 June 20X2.
Wood rack	The wood rack does not meet any of the criteria to be recognised over time and is, therefore, recognised at a point in time.	Heatworkz will recognise revenue when it transfers control of the wood rack to the customer. Heatworkz will recognise revenue when the wood rack is delivered to the customer in March 20X3 (i.e. when Oakdon takes physical possession of the wood heater).

QUESTION 2

- (a) An entity considers the following criteria when determining whether it recognises revenue over time or at a point in time.

Criteria	Application to NatSecurity
The customer simultaneously receives and consumes the benefits provided by the entity's performance as the entity performs.	The government does not simultaneously receive and consume the benefits from NatSecurity's performance as NatSecurity. Rather, the government will benefit from the submarine when constructed and fully operational. This criterion is not met.
The entity's performance creates or enhances an asset that the customer controls as the asset is created or enhanced.	No indicators show the government controls the submarine as it is created, and therefore, it is assumed the government obtains control of the submarine when constructed and fully operational. This criterion is not met.
The entity's performance does not create an asset with an alternative use to the entity, and the entity has an enforceable right to payment for performance completed to date.	On the basis that NatSecurity has signed non-disclosure agreements and is building the submarine in line with the government's defence intelligence, an alternative use of the submarine to NatSecurity is unlikely. NatSecurity maintains an enforceable right to payment throughout the duration of the contract that at least compensates NatSecurity for performance completed to date. This criterion is met, and therefore, NatSecurity recognises revenue over time.

- (b) The performance bonus is a form of variable consideration, and therefore, NatSecurity must estimate the amount of variable consideration to which it expects to be entitled; that is, whether NatSecurity expects to deliver the constructed and fully operational submarine by 30 June 20X8.

NatSecurity must estimate the amount of variable consideration to which it expects to be entitled using the expected value method or the most likely amount method. The most likely amount method is the most appropriate method as only two possible outcomes exist (i.e. meeting the performance bonus deadline or not).

- (c) The contract meets the criteria for revenue to be recognised over time. On the basis that NatSecurity recognises revenue in line with its costs incurred to date, NatSecurity would make the following disclosure in its 31 December 20X3 financial statements.

	20X4	20X5	20X6	20X7	20X8	20X9
Revenue expected to be recognised in relation to this contract as at 31 December 20X3	HK\$2b ^a	HK\$2b	HK\$2b	HK\$2b	HK\$2b	HK\$1b ^b

^a HK\$2b = HK\$12b / 6 years

^b HK\$1b = (HK\$12b / 6 years) * 1/2

4

Inventories



CHAPTER TOPIC LIST

4.1 Inventories Overview

- 4.1.1** Characteristics of Inventory
- 4.1.2** Inventory Categories
- 4.1.3** Cost

4.2 Inventory Accounting

- 4.2.1** Inventory Accounting Systems
- 4.2.2** Flow of Costs
- 4.2.3** Cost Formulas

4.3 Lower of Cost and Net Realisable Value (NRV) Overview

- 4.3.1** Rationale for Lower of Cost and NRV
- 4.3.2** Application of Lower of Cost and NRV

4.4 Presentation and Disclosure of Inventories



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.03: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to: Inventories

2.03.01 Describe the scope and definition of inventories

2.03.02 Use acceptable methods of assigning costs including the allocation of overheads to inventories

2.03.03 Calculate the cost of inventories under different types of costing methods

2.03.04 Calculate the net realisable value

2.03.05 Explain the potential impact of net realisable value falling below cost and make the required adjustments

2.03.06 Prepare the disclosures in respect of inventories



OPENING CASE

OPENING CASE: SNOWTEQUE

SnowTeque Limited (SnowTeque) is a snowboard manufacturer operating its manufacturing facility in Guangzhou, China. SnowTeque's snowboards are predominantly sold to retail customers located in Japan, with demand being at its highest prior to the ski season.

SnowTeque sources raw materials and parts locally and internationally. Other than the cost of parts, it pays for transport fees to procure the materials and a range of import duties, depending on the location of the supplier. SnowTeque's suppliers offer trade discounts when the company purchases above a specified amount of materials.

The company manufactures snowboards for beginners to experts. The cost of manufacture is largely dependent on the cost of materials as all snowboards go through the same manufacturing processes. The largest element of cost is attributed to the timber used in the construction of the core of each snowboard, which includes varieties such as paulownia, birch, maple, bamboo and beech. The manufacturing process is split into three key steps:

1. the joining and curving of the timber core
2. the layering of epoxy and paint detailing
3. the mounting of the bindings

Other than the price of procuring materials, SnowTeque's costs include supervisor staff salaries, rent, administration, depreciation of machinery, maintenance, electricity, oil and lubricants, storage and selling costs. As each snowboard is manufactured using the same process noted above, each snowboard is allocated an equal share of indirect costs.

During September 20X1, SnowTeque released a new range of low-cost snowboards constructed with a foam rubber core, as opposed to timber. Following initial high demand for the board, under the manufacturer's warranty, one in three snowboards has been returned due to a defect in the manufacturing process, resulting in the rubber foam core cracking under pressure. 

OVERVIEW

As is the case for SnowTeque, inventories are a material asset for many entities and the way in which they are measured can have a significant impact on an entity's gross profit. SnowTeque is a manufacturer of snowboards, where each line of snowboards is constructed with different materials, particularly with respect to the core. The cost of each snowboard line will vary depending on the material used, and importantly, SnowTeque must employ suitable methods for measuring and allocating costs to its snowboard inventories.

Different methods are used for measuring the cost of inventories, and depending on the circumstances, inventories may be expensed in the statement of profit or loss and other comprehensive income prior to, or when, revenue from the sale of such inventories is recognised.

This chapter considers the types of inventories; measurement of cost of inventories; planning and control of inventories; accounting systems used to record inventories; cost flow assumptions and cost formulas; application of the lower of cost and net realisable value; and disclosures to help users of financial statements understand how and when inventories are recognised in the statement of financial position and statement of profit or loss and other comprehensive income.

4.1 INVENTORIES OVERVIEW

The accounting for inventories is set out in HKAS 2 *Inventories*. The primary issue dealt with in HKAS 2 is establishing the amount recognised as an asset in the statement of financial position.

In this section, you will develop an understanding of the types of inventories to which HKAS 2 applies and of measurement of inventories at cost.

4.1.1 Characteristics of Inventory

Though inventories might typically be thought of as finished goods that an entity holds for sale to its customers, the term is more encompassing. HKAS 2 defines **inventories** as assets that are:

- held for sale in the ordinary course of business;
- in the process of production for such sale; or
- in the form of materials or supplies to be consumed in the production process or in the rendering of services.

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Though any company may hold inventories, inventories are generally held by:

- manufacturers (for example, SnowTeque); and
- merchandisers (retailers and wholesalers).

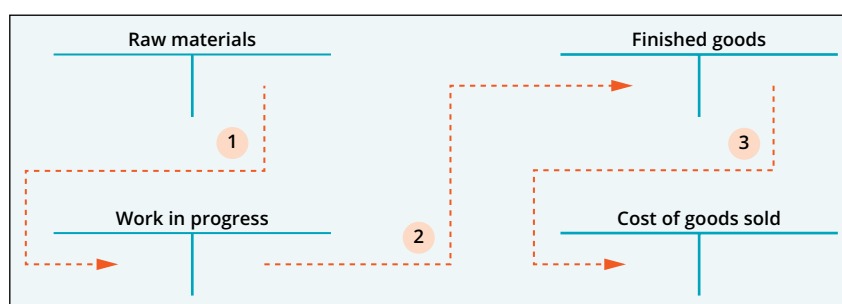
4.1.2 Inventory Categories

Inventories can be categorised into three separate degrees of completeness:

1. inventories ready for sale (commonly known as finished goods);
1. inventories being converted into finished goods (commonly known as work in progress); and
1. inventories that haven't begun to be converted into finished goods (commonly known as raw materials).

Manufacturers will likely have all three categories of inventories in their statement of financial position (raw materials, work in progress and finished goods); merchandisers will generally record only finished goods. Tracking the cost of inventories is, therefore, more challenging for manufacturers, which is the main focus of this chapter.

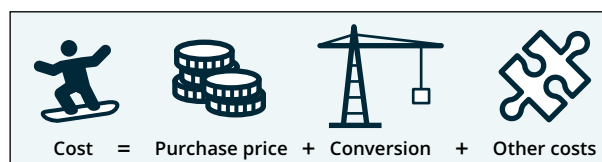
Exhibit 4.1 demonstrates the way in which inventories flow through a manufacturing entity and their interaction with cost of goods sold.



► **EXHIBIT 4.1** The flow of inventories through a manufacturing entity

4.1.3 Cost

As shown in Exhibit 4.2, the cost of inventories includes all costs of purchase, costs of conversion and other costs incurred in bringing the inventories to their present location and condition. The three types of costs are considered in more detail below.



► **EXHIBIT 4.2** Components of the cost of inventories

Costs of purchase

The costs of purchase of inventories include the purchase price, import duties and other taxes, transport, handling and other costs directly attributable to the acquisition of finished goods, materials and services.

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To the extent that an entity receives a trade discount, rebate or other similar item, the entity must deduct that item when determining the cost of the purchase. For SnowTeque, in the opening case, costs of purchase would include the acquisition of timber and bindings.

Costs of conversion

Costs of conversion of inventories include costs:

- *directly* related to the units of production (e.g. direct materials and direct labour); and
- *indirectly* related and systematically allocated to the units of production (i.e. production overheads).

Production overheads may be fixed production overheads or variable production overheads.

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Fixed production overheads are those indirect costs that remain relatively stable regardless of the level of production activity, e.g. costs of managing a factory and administrative activities. Variable production overheads are those indirect costs that vary directly, or close to directly, with the volume of production activity, e.g. indirect materials and indirect labour.

For SnowTeque, in the opening case, costs of conversion include items such as labour, depreciation of manufacturing equipment and a share of overheads.

Other costs

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Other costs are included in the costs of inventories to the extent that they are incurred in bringing the inventories to their present location and condition, e.g. certain non-production overheads or costs of designing products for specific customers.

The following are examples of costs not included in the cost of inventories, but would be recognised as an expense in the period in which they are incurred:

- abnormal amounts of wasted materials, labour, or other production costs;
- storage costs, unless those costs are necessary in the production process before a further production stage;
- administrative overheads that do not contribute to bringing inventories to their present location and condition; and
- selling costs, for example, marketing costs, costs of sales staff or distribution costs (freight outwards).

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For SnowTeque, in the opening case, other costs may include the cost of designing new models, such as the rubber foam core snowboard. Examples of costs that would not be included in SnowTeque's cost of inventories are:

Costs expensed in the period incurred	Examples
Abnormal costs	Wasted rubber foam in the production of newly developed rubber foam core snowboards
Storage costs	Warehouse costs for storage of finished snowboards
Administrative overheads	Depreciation and costs for office space dedicated to supporting administrative teams (human resources, finance)
Selling costs	Bonuses/commissions paid to sales teams based on contracts signed with retailers and the costs of shipping snowboards to retail stores located in Japan

4.1.3.1 Allocation of Overheads to Inventories

The allocation of fixed production overheads to inventories is based on the normal capacity of an entity's production facilities. Normal capacity is the expected production on average over several periods under normal operating conditions, taking into account routine maintenance.

To the extent that a plant is idle or experiences low production, the amount of fixed production overhead allocated to each unit of production is not increased. Rather, unallocated overhead (or unused capacity) is recognised as an expense in the period it is incurred. When an entity experiences abnormally high production, the amount of fixed production overhead allocated to each unit of production is decreased, such that inventories are not measured above cost.

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Variable production overheads are allocated to each unit of production on the basis of actual use.

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Apply and Analyse 1

SnowTeque produces a range of snowboards for beginners to experts. One of the company's best sellers, targeted at the expert market, is constructed with paulownia timber. SnowTeque incurs several costs in the procurement of the timber, manufacturing the board and the distribution to retailers located in Japan. During the month of February 20X1, Snowteque's costs of manufacturing 500 units were:

Item	Cost (HK\$)
Purchase price per unit of timber	800 per unit
Total trade discount received	(40,000)
Freight inwards	5 per unit
Import duties	15 per unit
Purchase price of bindings, epoxy and paint	350 per unit
Direct labour	250 per unit
Variable production overhead	300 per unit
Total fixed production overhead	50,000
Storage of finished goods	20,000
Freight outwards	10 per unit
Sales commissions	70 per unit

Apply and Analyse 1 (continued)

The fixed production overhead was budgeted to total HK\$50,000 and the normal capacity for the production facility is output of 400 units per month.

Determine the cost per unit for the month of February 20X1 in accordance with HKAS 2.

Analysis

In the cost of its snowboard units, SnowTeque must include the cost of purchases, costs of conversion and other costs incurred in bringing the units to their present location and condition.

The following costs will be included in the cost of each snowboard:

Costs	Amount per unit (HK\$)
<i>Purchase costs</i>	
Purchase price per unit of timber	800
Trade discount	(80) [HK\$40,000/500 units]
Freight inwards	5
Import duties	15
Purchase price of bindings, epoxy and paint	350
<i>Costs of conversion</i>	
Direct labour	250
Variable production overhead	300
Fixed production overhead	100 [HK\$50,000/500 units]
Total cost per unit	1,740

Purchase price of parts (timber, bindings, epoxy, paint), freight inwards and import duties are included in the cost of each snowboard as they are all costs directly attributable to the acquisition of the parts. In accordance with HKAS 2, the trade discount must be deducted from the purchase costs.

Direct labour, variable production overhead and fixed production overhead are added to the cost of units as they are incurred to convert the parts into finished goods.

During the period, fixed production overheads are allocated based on the normal capacity of the production facility. In SnowTeque's case, normal capacity is 400 snowboards per month. Therefore, the allocation of fixed overhead based on normal capacity would be equal to HK\$125 per unit (HK\$50,000/400 units). However, when the level of production is abnormally high, HKAS 2 requires that the amount of fixed overhead allocated to each unit be reduced so inventories are not measured above cost. Because the normal capacity on which fixed overhead per unit is based is 80 per cent of the actual production for February 20X1 (i.e. $400 \div 500$ units), the fixed overhead to be allocated per unit of production in February 20X1 is 80 per cent of the normal amount, i.e. HK\$100 (calculated as $\text{HK\$125} \times 0.8$).

Apply and Analyse 1 (continued)

The costs to store finished goods is not allocated to the snowboards because finished goods storage is not required prior to production. The freight outwards and sales commissions are not included in the cost of snowboard units because these are sales costs and are not required to bring the units to their present location and condition.

► Knowledge Check Questions**Question 1**

Mills Limited (Mills) is a bicycle manufacturer operating a production facility in Mainland China. Mills' 20X7 annual budgeted fixed overhead is HK\$840,000, which includes supervisor salaries, utilities and facility rent. The normal capacity of the facility is 6,000 bicycles annually. Due the machinery fault, the production of bicycles was significantly below plan for the month of April, resulting in a total of 300 bicycles being manufactured. Determine the amount of fixed overhead that should be allocated to each bicycle for the month of April.

Question 2

Cassin and Sons Limited (Cassin and Sons) is a manufacturer of billiard tables. A manager of the company was provided the following information in relation to production for February 20X9.

	HK\$
Purchase price of materials and supplies	900,000 (before rebate)
Supplier rebate	45,000
Import duties	75,000
Freight inwards	45,000
Freight outwards	80,000
Direct labour	400,000
Variable production overheads	75,000
Storage of finished goods (non-essential)	25,000
Fixed production overhead (year)	600,000
	Units
Actual output (February)	120
Normal capacity (year)	1,500

Calculate the total cost of inventories manufactured during February 20X9.

4.2 INVENTORY ACCOUNTING

The method of accounting for the purchase or manufacture and sale of inventories can significantly impact the statement of profit or loss and other comprehensive income and the statement of financial position.

The purpose of this section is to discuss the timing at which the inventory accounts are updated and the formulas used to assign cost to inventories.

4.2.1 Inventory Accounting Systems

The two main methods for accounting for inventories are the perpetual method and the periodic method. The choice of method can impact the amount recognised in cost of sales and the inventory balance in the statement of financial position.

4.2.1.1 Perpetual

The perpetual method is the more onerous of the two methods. Under the perpetual method, the inventory accounts are updated each time an inventory transaction (e.g. purchase, sale or return) takes place.

When using the perpetual method:

- information about the number of inventories on hand at any point in time is available;
- purchases of inventories and returns of inventories are adjusted each time a purchase or return takes place; and
- cost of sales is recorded at the point the sale is made.

The perpetual method results in more accurate and timely information when compared to the periodic method.

4.2.1.2 Periodic

The periodic method is easier to apply than the perpetual method. Under the periodic method, the inventory accounts are updated periodically (e.g. monthly, annually).

When using the periodic method:

- the number of inventories on hand is determined periodically by way of a physical stock count;
- purchases and returns of inventories are recognised in the expense account; and
- cost of sales during a period is determined as follows:
 - $\text{Cost of sales} = \text{Opening inventory balance} + \text{purchases} - \text{purchase returns} - \text{closing inventory balance}.$

The periodic method is less accurate but less costly when compared to the perpetual method.

4.2.2 Flow of Costs

For entities with large quantities of similar or identical inventories, tracking the flow of costs with respect to each unit is often impracticable. For example, a retailer of woollen blankets might purchase the blankets in bulk from a wholesaler and sell each unit individually to its customers. Identifying each individual unit is difficult, particularly with every new order from the wholesaler. Where the wholesale price remains stable, tracking each unit individually would not add value or accuracy to inventory recording in any case. However, where the costs of purchase change over time, the method of tracking of inventories becomes more important as it will influence the inventory accounts.

The **flow of costs** (or cost flow assumption) is a key assumption impacting the measurement of inventory accounts. Specifically, the cost flow assumption determines the way in which the costs of goods available for sale (opening inventories plus goods manufactured/purchased) are allocated to cost of sales and closing inventories. The formulas underlying the cost assumptions are discussed in Section 4.2.3.

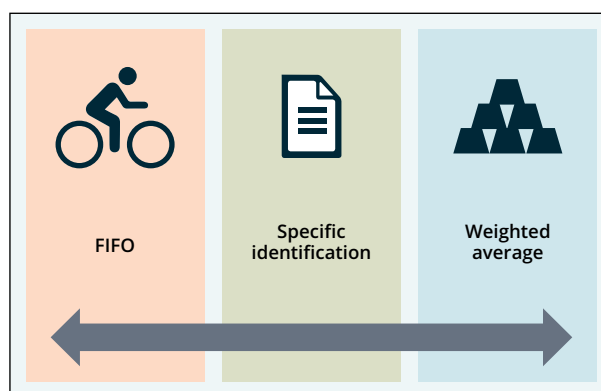
4.2.3 Cost Formulas

As illustrated in Exhibit 4.3, three different possible cost formulas exist. The cost formula used is dependent on the nature of the inventories. Where inventories are not ordinarily interchangeable, or goods or services are produced and segregated for specific projects, the cost of inventories should be specifically identified. Where inventory items are interchangeable, the costs are assigned to inventories using either weighted average cost formula or the first-in, first-out (FIFO) formula. The last-in, first-out (LIFO) formula is not permitted. The same cost formula is applied to all inventories of a similar nature and use to the entity.

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IAS 2 para. BC 9

HKAS 2.25



► EXHIBIT 4.3 Cost formulas

4.2.3.1 Specific Identification

Specific identification of cost results in specific costs being attributed to identified items of inventory. This treatment of costs is appropriate for items segregated for a specific project irrespective of whether the items have been bought or produced. Similarly, where inventory items have different features and, therefore, are not ordinarily interchangeable, specific identification is necessary to faithfully represent the cost of inventory at the beginning and end of the period and the cost of inventory sold during the period.

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2.24

4.2.3.2 Weighted Average Cost

Under the weighted average cost formula, the cost of inventories is determined from the weighted average cost of similar items on hand at the beginning of the period and the cost of similar items purchased or produced during the period. Depending upon the circumstances of the entity, the weighted average cost may be calculated periodically or as each purchase is made. The weighted average cost formula is suited to inventories with stable input costs and that are not perishable.

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2.27

For example, a retailer of bathroom tiles with a long-term fixed price supply contract may use the weighted average cost formula.

Illustrative Example 1

Apart from the manufacturer of snowboards, SnowTeque purchases snowboarding gloves for resale to its retail customers. The following information relates to SnowTeque's purchases and sales of gloves for the month of June 20X1.

Date	Details	No. of units	Unit cost (HK\$)	Total cost (HK\$)
1 June	Opening balance	1,000	20	20,000
4 June	Sold @ HK\$32 per unit	(200)		
7 June	Purchased @ HK\$21 per unit	400	21	8,400
9 June	Purchased @ HK\$22 per unit	500	22	11,000
14 June	Sold @ HK\$34 per unit	(700)		
19 June	Sold @ HK\$33 per unit	(200)		
23 June	Purchased @ HK\$24 per unit	400	24	9,600
26 June	Sold @ HK\$35 per unit	(400)		
28 June	Sales returns*	50		

* Sales returns are tracked to the sales invoices. The 50 units returned were not damaged and were part of the most recent units sold.

Assuming SnowTeque used the weighted average cost formula, its cost of sales and closing inventory would be calculated as follows:

Date	Details	Purchases			Cost of sales			Balance		
		No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)
1 June	Opening balance							1,000	20	20,000
4 June	Sold @ HK\$32 per unit				200	20	4,000	800	20	16,000
7 June	Purchased @ HK\$21 per unit	400	21	8,400				1,200	20.33	24,400
9 June	Purchased @ HK\$22 per unit	500	22	11,000				1,700	20.82	35,400
14 June	Sold @ HK\$34 per unit				700	20.82	14,576	1,000	20.82	20,824
19 June	Sold @ HK\$33 per unit				200	20.82	4,165	800	20.82	16,659
23 June	Purchased @ HK\$24 per unit	400	24	9,600				1,200	21.88	26,259
26 June	Sold @ HK\$35 per unit				400	21.88	8,753	800	21.88	17,506
29 June	Sales returns				(50)	21.88	(1,094)	850	21.88	18,600
	Total	1,300		29,000	1,450		30,400			18,600

4.2.3.3 First-in, First-out (FIFO)

Unlike the weighted average cost formula, the FIFO formula for costing inventories assumes that inventories purchased or produced first are sold first. Accordingly, inventories on hand at the end of the period consist of items most recently purchased or produced. The FIFO

formula may be appropriate for fast-moving or perishable inventories. For example, the FIFO formula may be suitable for a company selling seasonal plants where the cost of plants varies significantly depending on the time of year and the availability of the plants.

Illustrative Example 2

Assume instead that SnowTeque adopts the FIFO cost approach. The cost of sales and closing inventory of SnowTeque would then be calculated as follows:

Date	Details	Purchases			Cost of sales			Balance		
		No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)
1 June	Opening balance							1,000	20	20,000
4 June	Sold @ HK\$32 per unit				200	20	4,000	800	20	16,000
7 June	Purchased @ HK\$21 per unit	400	21	8,400				800	20	16,000
9 June	Purchased @ HK\$22 per unit							400	21	8,400
		500	22	11,000				500	22	11,000
14 June	Sold @ HK\$34 per unit				700	20	14,000	100	20	2,000
								400	21	8,400
								500	22	11,000
19 June	Sold @ HK\$33 per unit				100	20	2,000	300	21	6,300
					100	21	2,100	500	22	11,000
23 June	Purchased @ HK\$24 per unit							300	21	6,300
		400	24	9,600				500	22	11,000
								400	24	9,600
26 June	Sold @ HK\$35 per unit				300	21	6,300	400	22	8,800
					100	22	2,200	400	24	9,600
28 June	Sales returns				(50)	22	(1,100)	450	22	9,900
								400	24	9,600
Total		1,300		29,000	1,450		29,500			19,500

4.2.3.4 Choice of Cost Formula

HKAS
2.25

HKAS 2 does not prescribe a cost formula that must be used; rather, it is a policy choice. However, an entity is required to use the same cost formula for inventories of a similar nature. Despite the choice permitted in HKAS 2, to provide useful information to users of financial statements, an entity should align its choice of cost formula to the nature of the inventory and its practice of managing the inventory. For example, as noted in Section 4.2.3.3, the FIFO method would be most appropriate for certain perishable consumables.

► Knowledge Check Questions

Question 3

Auto XYZ Limited (Auto XYZ) is a retailer of automotive parts, lubricants and oils. For the month of October 20X8, the wholesale price of oil has increased due to a shortage, increasing the cost price of engine oil.

Determine the impact the choice of cost formula has on Auto XYZ's cost of goods sold for the month of October 20X8.

Question 4

Camera LMN Limited (Camera LMN) is a distributor of digital SLR cameras. The following information relates to Camera LMN's purchases and sales of its line of digital SLR cameras for the month of June 20X9.

Date	Details	No. of units	Unit cost (HK\$)	Total cost
1 June	Opening balance	75	3,500	262,500
8 June	Purchased @ HK\$3,250 per unit	50	3,250	162,500
14 June	Sold @ HK\$4,100 per unit	40		
19 June	Sold @ HK\$4,200 per unit	50		
28 June	Purchased @ HK\$3,300 per unit	35	3,300	115,500
29 June	Sold @ HK\$4,150 per unit	20		

Calculate the cost of inventories on hand at 30 June 20X9 using:

- the FIFO cost formula; and
- the weighted average cost formula (updating for every purchase made).

➤ 4.3 LOWER OF COST AND NET REALISABLE VALUE (NRV) OVERVIEW

Inventories are required to be carried at the lower of cost and net realisable value. **Net realisable value (NRV)** is the estimated selling price in the ordinary course of business less the estimated costs of completion (e.g. conversion costs, such as direct labour) and the estimated costs necessary to make the sale (e.g. marketing and distribution costs).

HKAS
2.6

4.3.1 Rationale for Lower of Cost and NRV

Assets are required not to be overstated, and in the case of inventories, this means they should not be measured at an amount exceeding the price expected to be realised from their sale. The cost of inventories may not be fully recoverable when, for example:

- the inventories are damaged or obsolete;
- there has been a decline in the sales price; and
- the estimated costs of completion or costs to make a sale have increased.

HKAS
2.28

4.3.2 Application of Lower of Cost and NRV

Where the estimated sales price is less than the cost of inventories, the inventories are carried at NRV. An entity records a write-down of inventory as follows:

DR Loss on write-down of inventories	x,xxx	
CR Inventories		x,xxx

An entity estimates the NRV based on the most reliable evidence available at the time of the assessment. The estimates take into account the fluctuations in sales price or cost that directly relate to events occurring after the end of the reporting period to the extent that they confirm conditions existing at the end of the reporting period.

HKAS
2.30

At the end of each period, a new assessment of NRV is made. Where a previous circumstance that caused inventories to be written down to below cost no longer exists or there is clear evidence of an increase in NRV, the amount of any previous write-down is reversed but only to the extent of the original write-down:

DR Inventories	x,xxx	
CR Loss on write-down of inventories		x,xxx

HKAS
2.33

Illustrative Example 3

Due to the significant number of returns of SnowTeque's rubber foam core snowboards and a decrease in the number of sales, SnowTeque has decided to discontinue selling the snowboards to retailers. Following a detailed investigation that included structural integrity tests, SnowTeque determined that each unit could not be reworked to rectify the defect.

SnowTeque undertook a stocktake of its impacted boards and found that it had 150 units on hand at a cost price of HK\$1,200 per unit. The company determined the bindings on each snowboard could be recovered, but the board itself had nil scrap value. The bindings were to be redirected to future snowboards manufactured, with a value of HK\$150 per unit. The labour cost of removing the bindings was HK\$25 per unit.

SnowTeque assessed that the NRV (reuse value less the costs of removal) was HK\$1,075 below cost (HK\$1,200 – (HK\$150 – HK\$25)) and, therefore, wrote down inventories by HK\$161,250 (150 units * HK\$1,075).

► Knowledge Check Questions

Question 5

Identify which of the following statements best defines 'net realisable value'.

- A** The estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.
- B** The price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.
- C** The estimated selling price in the ordinary course of business less marketing and sales costs.
- D** The estimated selling price less transportation costs.

Question 6

Explain whether it is permissible to revalue inventories upwards.

4.4 PRESENTATION AND DISCLOSURE OF INVENTORIES

HKAS 2 requires an entity to make the following disclosures in its financial statements:

- the accounting policies adopted in measuring inventories, including the cost formula used;
- the total carrying amount of inventories and the carrying amount in classifications appropriate to the entity;
- the amount of inventories recognised as an expense during the period;
- the amount of any write-down of inventories recognised as an expense in the period;
- the amount of any reversal of any write-down recognised as a reduction in the amount of inventories recognised as expense in the period;
- the circumstances or events that led to the reversal of a write-down of inventories; and
- the carrying amount of inventories pledged as security for liabilities.

HKAS
2.36

Information about the carrying amounts on hand and the movements in those carrying amounts by classification (e.g. supplies, work in progress and finished goods inventory) is useful to users of financial statements.

HKAS
2.37

Inventories recognised as an expense in a period, often referred to as 'cost of sales', consists of:

- the costs previously included in the measurement of inventories that have been sold;
- unallocated production overheads; and
- abnormal amounts of production costs of inventories.

HKAS
2.38

An entity may present a format of profit or loss that results in amounts being disclosed other than the cost of inventories. Under this format, an entity classifies expenses by their nature (e.g. raw materials and consumables, labour costs and other costs together with the amount of the net change in inventories for the period).

HKAS
2.39

► Knowledge Check Question

Question 7

Identify which one of the following is not a required disclosure of HKAS 2.

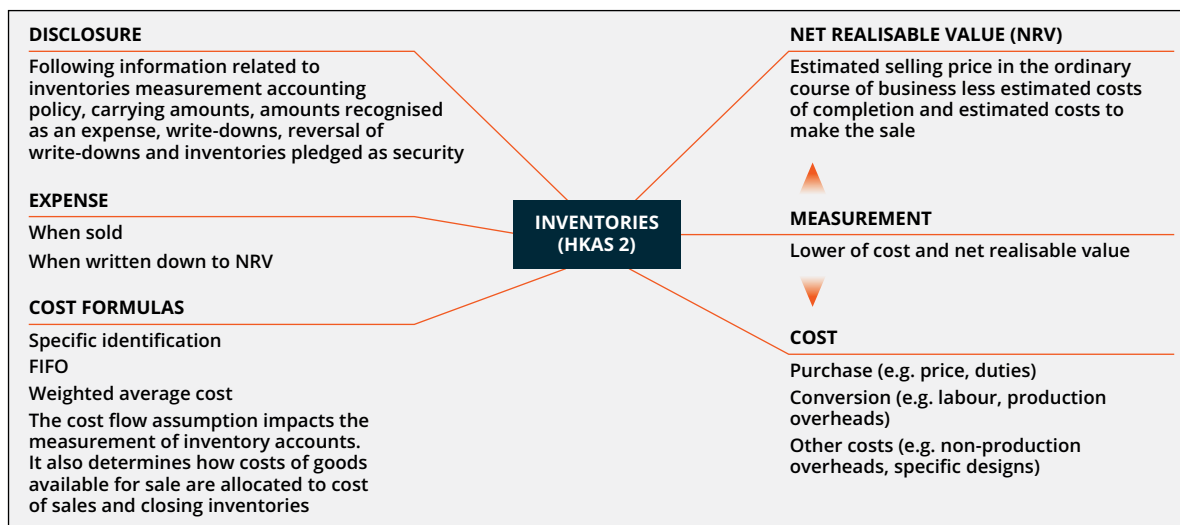
- A** The total carrying amount of inventories and the carrying amount in classifications appropriate to the entity.
- B** The amount of any write-down of inventories recognised at an expense in the period.
- C** The carrying amount of inventories pledged as security for liabilities.
- D** A reconciliation of the movements between raw materials, work in progress and finished goods inventory.



SUMMARY

- HKAS 2 specifies the accounting for inventories.
- Inventories are measured at the lower of cost and net realisable value.
- Cost of inventories includes the purchase price, costs of conversion and other acquisition costs.
- Where inventories are not ordinarily interchangeable, the cost of inventories is specifically identified.
- Where inventories are ordinarily interchangeable, the costs of inventories are assigned using either the first-in, first-out method (FIFO) cost formula or weighted average cost formula.
- Net realisable value (NRV) is the estimated selling price in the ordinary course of business less estimated costs of completion and estimated costs to make the sale.
- A reversal of a write-down of inventories is recognised as a reduction in the amount of inventories recognised as an expense in the period in which the reversal occurs.
- When inventories are sold, the carrying amount of those inventories is recognised as an expense in the same period in which the related revenue is recognised.
- An expense would also have been recognised earlier to the extent of any write-down of those inventories to NRV.
- Required disclosures about inventories include the measurement policies, carrying amounts, amounts recognised as an expense, write-downs, reversals of write-downs and amounts pledged as security for liabilities.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Under normal operating conditions, Mills Limited (Mills) allocates HK\$140 of fixed overhead to each unit (HK\$840,000/6,000 units). However, for the month of April, the production of bicycles was significantly below plan. Regardless of the lower level of production, Mills must still allocate HK\$140 of fixed overhead per unit, totalling HK\$42,000 (HK\$140 * 300 units). The unallocated fixed overhead totalling HK\$28,000 [(HK\$840,000/12] – HK\$42,000) is recognised as an expense in the April month.

Question 2

Cost of materials and supplies	HK\$855,000*
Import duties	HK\$75,000
Freight inwards	HK\$45,000
Direct labour	HK\$400,000
Variable production overheads	HK\$75,000
Fixed production overheads allocated	HK\$48,000 [(HK\$600,000 ÷ 1,500) * 120]
Total cost of inventories	HK\$1,498,000

* Cost (HK\$855,000) = Purchase price (HK\$900,000) less supplier rebate (HK\$45,000).

Freight outwards and non-essential storage costs are not included in the cost of inventories because they are not incurred in bringing the inventories to their present location and condition. Rather, these costs are written off as an expense in the period incurred.

Question 3

Auto XYZ Limited (Auto XYZ) has two choices with respect to the cost formula used for calculating the cost of sales, either the first-in, first-out (FIFO) formula or weighted average cost formula. (Note that specific identification is not appropriate in this case because items in Auto XYZ's inventories are interchangeable.) Under the FIFO method, cost of sales for the month will be lower when compared to the weighted average method. This is because the first inventories purchased (including any opening balance) would be recognised as being sold first and the first inventories were purchased at a lower cost. Whereas, under the weighted average cost method, the weighted average cost of all inventories (including inventories purchase at a higher price) would be used when calculating the cost of goods sold.

Question 4**FIFO cost formula**

Date	Details	Purchases			Cost of sales			Balance		
		No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)
1 June	Opening balance							75	3,500	262,500
8 June	Purchased @ HK\$3,250 per unit	50	3,250	162,500				75	3,500	262,000
								50	3,250	162,500
14 June	Sold @ HK\$4,100 per unit				40	3,500	140,000	35	3,500	122,500
								50	3,250	162,500
19 June	Sold @ HK\$4,200 per unit				35	3,500	122,500	35	3,250	113,750
					15	3,250	48,750			
28 June	Purchased @ HK\$3,300 per unit	35	3,300	115,500				35	3,250	113,750
								35	3,300	115,500
29 June	Sold @ HK\$4,150 per unit				20	3,250	65,000	15	3,250	48,750
								35	3,300	115,500
	Total	85		278,000	110		376,250	50		164,250

The cost of inventories on hand on 30 Jun 20X9 is HK\$164,250.

Weighted average cost formula

Date	Details	Purchases			Cost of sales			Balance		
		No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)
1 June	Opening balance							75	3,500	262,500
8 June	Purchased @ HK\$3,250 per unit	50	3,250	162,500				125	3,400	425,000
14 June	Sold @ HK\$4,100 per unit				40	3,400	136,000	85	3,400	289,000
19 June	Sold @ HK\$4,200 per unit				50	3,400	170,000	35	3,400	119,000
28 June	Purchased @ HK\$3,300 per unit	35	3,300	115,500				70	3,350	234,500
29 June	Sold @ HK\$4,150 per unit				20	3,350	67,000	50	3,350	167,500
	Total	85		278,000	110		373,000	50		167,500

The cost of inventories on hand on 30 June 20X9 is HK\$167,500.

Question 5

Answer A is correct. Net realisable value (NRV) is defined in HKAS 2 as 'The estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale'.

Answer B is incorrect. Answer B is the definition of fair value.

Answer C is incorrect. The estimated cost of completion is also considered when determining the NRV of inventory.

Answer D is incorrect. The estimated costs of completion and other costs necessary to make a sale are also considered when determining the NRV of inventory.

Question 6

Yes, it is permissible to revalue inventories upwards but only to the extent it reverses a previous write-down.

Inventories are carried at the lower of cost and net realisable value (NRV). Though inventories are measured at cost on initial recognition, where NRV is lower than cost, inventories are written down to NRV. This write-down can be reversed when an entity makes an assessment that the NRV has increased but only to the extent of any previous write-down so that inventories are not measured at above cost. If there had been no previous write-down of inventory value, there would be no increase permitted under HKAS 2.

Question 7

Answer A is incorrect. HKAS 2 requires the disclosure of the total carrying amount of inventories and the carrying amount in classifications appropriate to the entity (HKAS 2 para. 36(b)).

Answer B is incorrect. HKAS 2 requires the disclosure of the amount of any write-down of inventories recognised at an expense in the period (HKAS 2 para. 36(e)).

Answer C is incorrect. HKAS 2 requires the disclosure of the carrying amount of inventories pledged as security for liabilities (HKAS 2 para. 36(h)).

Answer D is correct. Though the carrying amount of inventories by classification is required, HKAS 2 does not require a reconciliation of the movements between each classification.

EXAM PRACTICE

QUESTION 1

Washa Limited (Washa) sells washing machines to retail stores. Washa made the following disclosure in its year ended 31 December 20X5 financial statements.

X.X Summary of material accounting policy information (extract)**X.X(x) Inventories**

Inventories are measured at the lower of cost and net realisable value (NRV).

Costs of inventories include the purchase price (net of supplier rebates), import duties and freight inwards. Inventories are allocated a portion of manufacturing overheads, with the share of fixed overheads based on the normal operating capacity of manufacturing facilities. Costs are assigned to inventories using the weighted average formula. NRV is the estimated selling price in the ordinary course of business, less estimated costs of completion and the estimated costs necessary to make the sale.

...

X Inventories

	20X5	20X4
	HK\$m	HK\$m
Raw materials (at cost)	1.2	0.9
Work in progress (at cost)	2.3	2.1
Finished goods (at cost)	1.1	3.2
Finished goods (at NRV)	1.4	–
	6.0	6.2

During the year 20X5, the amount of inventories recognised as an expense totalled HK\$8.3 million. In addition, a write-down of HK\$0.5 million to NRV was recognised in respect of finished goods inventories. The write-down was recognised as an expense in the period. Inventories with a carrying amount of HK\$1.2 million are pledged as security for Washa's working capital facility.

During the 20X6 year, a new buyer for the inventories written down during the 20X5 was found. Washa determined that the inventories would be sold for HK\$2.1 million, and the costs to make the sale totalled HK\$50,000.

Required:

Determine how Washa should treat the inventories as a result of the identifying the new buyer.

QUESTION 2

Kheezee distributes a variety of cheeses, including brie, camembert, gorgonzola and stilton. During early 20X7, Kheezee struck a contract with an organic dairy farmer operating in New Zealand. Under the contract, Kheezee will purchase organic brie at a purchase price dependent on the local farming conditions. The dairy farmer uses no additives in the production process and its products are certified organic. The wheels of brie have a relatively short shelf life of 45 days due to the absence of preservatives.

The following information relates to Kheezee's purchases and sales of organic brie for the month of September 20X7.

Date	Details	No. of units	Unit cost (HK\$)	Total cost (HK\$)
1 September	Opening balance	300	25	7,500
7 September	Sold @ HK\$40 per unit	(250)		
9 September	Purchased @ HK\$27 per unit	100	27	2,700
11 September	Purchased @ HK\$28 per unit	200	28	5,600
14 September	Sold @ HK\$39 per unit	(150)		
19 September	Sold @ HK\$43 per unit	(100)		
28 September	Purchased @ HK\$23 per unit	900	23	20,700

Kheezee's purchase of 900 units on 28 September was to fill an order from a new specialty store operating in Hong Kong. A condition precedent in the contract with the new specialty store was that the specialty store would be opened by 5 October 20X7. On 2 October 20X7, the specialty store has communicated to Kheezee that, due to a delay in the government's food safety site inspection, the specialty store will not be opened until 12 October 20X7.

Required:

- Determine the most appropriate cost formula that Kheezee should use in relation to the organic brie.
- Using the formula identified in question (a), calculate:
 - the cost of organic brie inventories as at 30 September 20X7; and
 - the cost of organic brie sold during the month of September 20X7.
- Discuss the potential impact of the delay in the opening of the specialty store on the measurement of Kheezee's organic brie inventories.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Washa Limited (Washa) is required to carry its inventories at the lower of cost and net realisable value (NRV). The inventories in question were written down by HK\$0.5 million during 20X5 and, therefore, have a cost of HK\$1.9 million (HK\$1.4 million NRV + HK\$0.5 million write down).

HKAS 2 requires that when there is clear evidence of an increase in the NRV of inventories, any previous write-down must be reversed but only to the extent of that write-down. In Washa's case, the NRV of the finished goods provided in the case is equal to HK\$2.05 million (HK\$2.1 million sales price less HK\$0.05 million costs required to make the sale). The net realisable value is higher than the written-down amount. Accordingly, Washa is required to reverse the HK\$0.5 million write-down.

Washa does not increase inventories by the entire amount of the HK\$0.65 million increase in the NRV (HK\$2.05 million – HK\$1.4 million) as this would result in Washa measuring inventories above cost.

QUESTION 2

(a) Kheezee has two choices with respect to the cost formula used for calculating the cost of inventories: the first-in, first-out (FIFO) formula or weighted average cost formula. Kheezee should use the FIFO formula as this will reflect the way in which the physical inventories are managed. That is, due to the short shelf life of the organic brie, operational staff will manage the inventories such that the first inventories purchased are also sold first to reduce the risk of spoilage.

(b) FIFO formula:

Date	Details	Purchases			Cost of sales			Balance		
		No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)	No. of units	Unit cost (HK\$)	Total cost (HK\$)
1 September	Opening balance							300	25	7,500
7 September	Sold @ HK\$40 per unit				250	25	6,250	50	25	1,250
9 September	Purchased @ HK\$27 per unit	100	27	2,700				50	250	1,250
								100	27	2,700
11 September	Purchased @ HK\$28 per unit	200	28	5,600				50	25	1,250
								100	27	2,700
								200	28	5,600
14 September	Sold @ HK\$39 per unit				50	25	1,250	200	28	5,600
					100	27	2,700			
19 September	Sold @ HK\$43 per unit				100	28	2,800	100	28	2,800
28 September	Purchased @ HK\$23 per unit	900	23	20,700				100	28	2,800
								900	23	20,700
	Total	1,200		29,000	500		13,000	1,000		23,500

Accordingly, the cost of organic brie inventories as of 30 September 20X7 is equal to HK\$23,500. The cost of organic brie sold during the month of September 20X7 is equal to HK\$13,000.

(c) Kheezee's contract to sell the organic brie to the new speciality store might not be legally enforceable due to the condition present (i.e. the store being opened by 5 October 20X7) not being met. Kheezee's bulk purchase of 900 wheels of organic brie might result in an overstocking of inventories that cannot be sold prior to spoiling or might have to be sold at a lower than anticipated price, potentially below cost. In the event the net realisable value (NRV) is less than the cost of the inventories (HK\$20,700), Kheezee is required to write down its stock of organic brie to that NRV.

5

Property, Plant and Equipment



CHAPTER TOPIC LIST

5.1 Overview of Property, Plant and Equipment

5.1.1 Characteristics of Property, Plant and Equipment

5.2 Recognition of Property, Plant and Equipment

5.3 Measurement at Recognition

5.3.1 Cost Elements

5.3.2 Measurement of Cost

5.4 Depreciation

5.4.1 Depreciable Amount

5.4.2 Depreciation Period

5.4.3 Depreciation Methods

5.5 Impairment

5.6 Measurement After Recognition

5.6.1 Cost Model

5.6.2 Revaluation Model

5.7 Derecognition

5.8 Presentation and Disclosure of Property, Plant and Equipment



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.04: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to property, plant and equipment
--

2.04.01 Apply the recognition principles in respect of property, plant and equipment

2.04.02 Account for property, plant and equipment under the cost model and revaluation model

2.04.03 Account for subsequent measurement, including impairment and derecognition of property, plant and equipment
--

2.04.04 Prepare the disclosure in respect of property, plant and equipment



OPENING CASE

CHINA DEEPPSEA EXTRACTION

China Deepsea Extraction Ltd (CDE) is an oil and gas producer based in Hong Kong. It operates offshore platforms extracting these natural resources from reserves lying in rock formations beneath the seabed. The offshore platforms operate 24 hours per day, using three crews of workers rostered on in eight-hour shifts. When not on duty, workers remain on the platform and are free to spend time in an area dedicated to accommodation and recreational facilities. Every two weeks, the crews are flown back to Hong Kong by a helicopter that flies in the replacement crew.

Recently, CDE acquired a purpose-built platform that will enable it to extract oil from a well in the South China Sea. Geological reports have identified this well as a proven and probable reserve that is likely to sustain profitable extraction for the next 40 years. 



OVERVIEW

Entities often invest in long-term assets, such as plant and equipment and machinery, to create or enhance their productive capacity. Other long-term assets may not necessarily relate directly to the primary revenue-generating activities, but instead contribute to the administrative function of the entity. The investment in these types of assets can be significant and a line item for Fixed assets or Property, plant and equipment will invariably appear in the statement of financial position within the non-current assets.

The specific nature and use of items of property, plant and equipment can vary widely. CLP Holdings Limited (also known as China Light and Power) disclosed, as fixed assets, in its financial statements for the year ended 31 December 2021 various types of property, plant and equipment, including land, buildings and structures at power stations, generating plant, cables, lines, cable tunnels, switchgear, transformers, substations, meters, furniture and fittings, motor vehicles and crafts.

Other types of property, plant and equipment include aircraft, computers and office equipment.

In this chapter, you will gain an understanding of the nature and types of assets that are within the scope of HKAS 16 *Property, Plant and Equipment*, the recognition criteria for items of property, plant and equipment and how those items are measured upon initial recognition. You will also gain an understanding of how to account for the consumption and disposal of those items. Furthermore, you will gain an understanding of the disclosures for property, plant and equipment required by HKAS 16.

This chapter explores the different depreciation methods of property, plant and equipment and briefly discusses the accounting treatment in the event an item of property, plant and equipment is identified as impaired (see Chapter 11).

Subsequent to their initial recognition, items of property, plant and equipment can be measured under two different models: either the cost model or the revaluation model. The measurement basis adopted affects the carrying amount in the statement of financial position. It also affects the depreciation expense and the gain or loss recognised upon the asset's disposal.

Throughout this chapter, we will refer to our case study, China Deepsea Extractions Ltd (CDE), to demonstrate the requirements of HKAS 16 by applying them to CDE's purpose-built platform and other assets that form part of their property, plant and equipment.



5.1 OVERVIEW OF PROPERTY, PLANT AND EQUIPMENT

This chapter addresses the accounting requirements of HKAS 16 *Property, Plant and Equipment*. The objective of HKAS 16 is to prescribe the accounting treatment for **property, plant and equipment** so that users of financial statements can discern information about an entity's investment in its property, plant and equipment and the changes in that investment.

HKAS
16.1

The principal issues in accounting for items of property, plant and equipment are:

- the recognition of those items, including identifying the unit of account for recognition;
- the determination of their **carrying amounts**, both on initial recognition and subsequently (including the choice of measurement basis for subsequent recognition); and
- the determination of **depreciation** charges and the period over which those charges are recognised.

Items of property, plant and equipment are subject to the recognition of impairment losses, whether measured under the cost model or the revaluation model subsequent to initial recognition. The requirements for the recognition and measurement of those losses are set out in HKAS 36 *Impairment of Assets*. In addition, disclosure requirements about impairments are set out in HKAS 16.

HKAS
16.1

In this section, you will gain an understanding of the types of assets to which HKAS 16 applies and be introduced to some of the terminology relevant to applying the principles in that HKFRS.

Terminology

Property, plant and equipment – tangible items held for use in the production or supply of goods or services, for rental to others, or for administrative purposes, and that are expected to be used for more than one period.

Cost – the amount of cash or cash equivalents paid, or the fair value of the consideration transferred to acquire, purchase or construct an asset.

Depreciable amount – the cost of an asset less its expected residual value.

Residual value – the estimated amount that would currently be obtained from disposal of the asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.

Useful life – the period over which the asset is expected to be available for use by an entity or the number of production units expected to be obtained from the asset by the entity.

Economic life – the period over which the asset is expected to be economically usable by one or more users or the number of production units expected to be obtained from the asset by one or more users.

Depreciation – the systematic allocation of the depreciable amount of an asset over its useful life.

Impairment loss – the amount by which the carrying amount of an asset exceeds its recoverable amount (see Chapter 11 for details on recoverable amount).

Carrying amount – the amount at which the asset is presented in the financial statements, determined by the asset's cost less accumulated depreciation and accumulated impairment losses.

5.1.1 Characteristics of Property, Plant and Equipment

The key characteristics of property, plant and equipment are that they are non-current (or fixed) and are physical in nature. An item of property, plant and equipment may contribute directly to the generation of the entity's primary source of revenue. However, its future benefit may be by way of generating a secondary source of revenue, such as a retail business generating rental income from unused office space or by way of contributing to the overall activities of the entity by hosting the administrative function of the entity.

Because items of property, plant and equipment are tangible items expected to be used during multiple periods, they are subject to depreciation.

► Knowledge Check Questions

Question 1

Identify which one of the following is a characteristic of property, plant and equipment within the scope of HKAS 16.

- A** It must be capable of generating revenue.
- B** It must be owned by the entity.
- C** It must have an expected useful life greater than one period.
- D** It may be physical or non-physical in nature.

Question 2

Identify which one of the following assets is outside the scope of HKAS 16.

- A** A delivery van owned by the entity.
- B** A delivery van leased to the entity.
- C** A delivery van that was acquired by the entity using debt finance which is still outstanding.
- D** A delivery van purchased four years ago, at which time it had an expected useful life of five years.

5.2 RECOGNITION OF PROPERTY, PLANT AND EQUIPMENT

HKAS 16 specifies that the **cost** of an item of property, plant and equipment is recognised as an asset if, and only if:

- it is probable that future economic benefits associated with that item will flow to the entity; and
- the item's cost can be measured reliably.

HKAS
16.7

The cost of an item that fails the criteria for recognition as an asset is recognised as an expense when it is incurred. In practice, many entities set a monetary threshold whereby costs that exceed the threshold and qualify for recognition as an asset are capitalised, but costs below the threshold are expensed regardless of whether they qualify for recognition as an asset.

5.3 MEASUREMENT AT RECOGNITION

HKAS
16.15

Where an item of property, plant and equipment meets the criteria for recognition as an asset, it is measured upon recognition at its cost.

The components comprising the cost of an asset (the 'elements of cost') are discussed in Section 5.3.1. Section 5.3.2 discusses how to measure those components comprising an asset's cost.

5.3.1 Cost Elements

HKAS
16.16

The cost of an item of property, plant and equipment includes:

- its purchase price;
- any costs directly attributable to making the asset ready for its intended use (i.e. bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management); and
- the initial estimate of the cost of extinguishing obligations for dismantling and removing the asset and restoring the site on which the asset is located when those obligations are incurred either:
 - upon acquiring the asset; or
 - because of using the item during a particular period for purposes other than producing inventories during that period.

These elements of cost are discussed in Sections 5.3.1.1–5.3.1.3.

5.3.1.1 Purchase Price

An asset's purchase price includes the cash or cash equivalents (or the fair value of other consideration) paid by the entity to the vendor of that asset and includes any import duties and non-refundable purchase taxes. The purchase price is calculated after deducting trade discounts and purchase rebates.

HKAS
16.16(a)

5.3.1.2 Directly Attributable Costs

Costs directly attributable to bringing an asset to the location and condition necessary for it to be capable of operating in the manner intended by management include:

- costs of employee benefits arising directly from constructing or acquiring the asset;
- costs of site preparation;
- initial delivery and handling costs;
- installation and assembly costs;
- costs of testing whether the asset is functioning properly, where such testing involves assessing whether the technical and physical performance of the asset is capable of operating in the intended manner (e.g., being used in the production or supply of goods or services, for rental to others, or for administrative purposes); and
- professional fees.

HKAS
16.17

In addition, borrowing costs directly attributable to an asset that necessarily takes a substantial period of time to prepare for its intended use (a qualifying asset) must be capitalised as part of the asset's cost until the asset is substantially ready for use. Chapter 8 discusses when these costs are capitalised and the measurement of such costs.

HKAS
16.22

When an existing structure or other impediment (such as site contamination) needs to be removed to enable construction of an asset, the removal cost is directly attributable to making the asset ready for its intended use. This is because the removal cost is necessarily incurred in the asset's construction and does not relate to acquiring other assets.

Once an asset is ready for its intended use, any further costs incurred in relation to that asset are not part of the initial cost of acquiring the asset and, therefore, are not directly attributable costs.

5.3.1.3 Dismantling and Restoration Costs

In some situations, an entity may acquire or construct an asset knowing it is obliged to incur costs to remove the asset (often called 'make good' obligations). For example, CDE has acquired the rights to mine the site at which the oil platform is located. Under this agreement, CDE must remove the platform at the end of the project and restore the seabed to the condition it was in prior to the erection of the platform. The obligations for these costs are recognised and measured in accordance with HKAS 37 (*Provisions, Contingent Liabilities and Contingent Assets*) (see Chapter 15).

HKAS
16.18

However, rather than recognising an expense for these obligations on initial recognition of the provision, HKAS 16 requires the cost of an item of property, plant and equipment to include the entity's initial estimate of the cost of extinguishing obligations for dismantling and removing that item and restoring the site on which that item is located.

The cost of extinguishing both the legal and constructive obligations is a cost necessarily incurred in acquiring the capacity of the asset to generate future cash inflows. This is because the entity has no choice but to incur those costs to obtain the asset's capacity to generate future cash inflows. Hence, HKAS 16 requires these costs to form part of the cost of the item of property, plant and equipment.

Apply and Analyse 1

CDE has estimated that the costs to remove the oil platform and rehabilitate the surrounding seabed in 40 years' time when the exploration rights expire will be HK\$20 million. CDE's weighted average cost of capital is 8%.

Prepare the accounting entry CDE should make in relation to the removal and rehabilitation costs in accordance with HKAS 16.

Analysis

The capitalised cost should be measured according to the discounted cash flow of the removal and rehabilitation costs.

The discount factor is determined as follows:

$1 / (1 + i)^n$ where i = the discount rate (8%) and n = the number of years (40)

$1 / 1.08^{40} = 0.046031$

The discounted future cash flow is calculated as HK\$20 million $\times$ 0.046031 = HK\$920,619

The entry to record the capitalisation would be:

	Debit	Credit
	HK\$m	HK\$m
Oil platform	920,619	
Provision for make good obligations		920,619

5.3.1.4 Excluded Items

Costs related in some way to an item of property, plant and equipment but which are not part of the item's purchase price are not directly attributable to making the item ready for its intended use and do not result from incurring a 'make good' obligation, and are thus excluded from the measurement of the item's cost. Examples of such excluded costs are:

- costs incurred in using the item;
- costs incurred in redeploying the item;
- costs incurred when an item capable of operating as intended by management has yet to be put to use or is operated at less than full capacity;
- initial operating losses, such as those incurred while demand for outputs from the asset is growing;
- costs of relocating or reorganising part or all of the entity's operations;
- costs of opening a new facility;

- costs of introducing a new product or service (e.g. costs of advertising and promotion);
- costs of conducting business in a new location or with a new class of customer (e.g. costs of staff training to adjust to the change);
- abnormal wastage; and
- administration and other general overheads.

HKAS
16.19–20

These costs arise from operating assets rather than from acquiring the future economic benefits embodied in assets and, therefore, are costs of current operations.

In addition, items may be produced while bringing an item of property, plant and equipment to the location and condition necessary for it to be capable of operating in the manner intended by management (e.g. samples produced when testing whether the asset is functioning properly). The proceeds from selling any such items, and the cost of those items, are to be recognised in profit or loss in accordance with applicable Standards. The cost of those items is to be measured applying the measurement requirements of HKAS 2 *Inventories*.

HKAS
16.20A

► Knowledge Check Question

Question 3

Identify which one of the following items should be excluded from the cost of constructing a new administrative headquarters.

- A** The legal fees incurred in drafting the building contract
- B** The architect's fee
- C** The cost to deliver building materials to the site
- D** The cost of the function to celebrate the official opening of the building

Apply and Analyse 2

CDE took delivery of the oil platform from its supplier at a cost of HK\$625 million. It then incurred the following 11 costs in relation to the purchase, the drilling site and the installation of the platform:

1. The 40-year drilling rights for the site.
2. Value Added Tax (VAT) charged on the purchase price.
3. Stamp duty charged on the purchase price.
4. Site inspection prior to the installation.
5. The cost to tow the platform to the drilling site.
6. Transit insurance to cover the cost of any loss or damage incurred during the towing of the platform.
7. Annual insurance to cover the cost of any loss or damage incurred during drilling operations.
8. The cost to secure the platform to the seabed.

Apply and Analyse 2 (continued)

9. Costs incurred for initial testing to ensure all equipment was operational.
10. Final safety inspection of the platform.
11. The cost to fly in the initial crew who will operate the platform.

Identify whether each of these costs should be capitalised as part of the cost of the oil platform.

Analysis

Costs	Comments
(a) the 40-year drilling rights	Capitalised, but not to the oil platform. It should be classified as an intangible asset under HKAS 38 (see Chapter 9)
(b) VAT on the purchase price	Not capitalised – VAT is a refundable tax
(c) stamp duty on the purchase price	Capitalised – stamp duty is a non-refundable tax and is included in the cost of an item of PROPERTY, PLANT AND EQUIPMENT under HKAS 16 para 16(c)
(d) site inspection	Capitalised – site preparation is an example of a directly attributable cost under HKAS 16 para 17(b)
(e) towing costs	Capitalised – it is a cost directly attributable to bringing the platform to the location necessary for it to be capable of operating in the manner intended by CDE
(f) transit insurance	Capitalised – it is a cost directly attributable to bringing the platform to the location necessary for it to be capable of operating in the manner intended by CDE
(g) annual insurance	Not capitalised – this is a recurring cost incurred after the platform is in the location and condition necessary for it to be capable of operating in the manner intended by CDE. This is a recurring cost that should be recognised as an expense.
(h) cost to secure the platform	Capitalised – it is a cost directly attributable to bringing the platform to the condition necessary for it to be capable of operating in the manner intended by CDE
(i) initial equipment testing	Capitalised – it is a cost directly attributable to bringing the platform to the condition necessary for it to be capable of operating in the manner intended by CDE
(j) final safety inspection	Capitalised – it is a cost directly attributable to bringing the platform to the condition necessary for it to be capable of operating in the manner intended by CDE
(k) cost to fly in initial crew	Not capitalised – this is a cost incurred after the platform is in the location and condition necessary to operate in the manner intended by CDE. This will be a recurring cost that should be recognised as an expense.

5.3.1.5 Subsequent Costs

Costs related to items of property, plant and equipment incurred after the asset is ready for use are referred to as 'subsequent costs', and HKAS 16 provides guidance as to whether some specific examples of such costs should be capitalised or recognised immediately as an expense. Capitalisation may occur either by adding the costs to the carrying amount of the related item

of property, plant and equipment or by recognising a separate asset. The choice between these two methods of capitalisation will be a matter of judgement in the circumstances because HKAS 16 does not specify what constitutes a separate 'item' of property, plant and equipment.

In principle, costs that increase an asset's capacity to generate future cash inflows are capitalised whereas costs that maintain a given level of capacity (e.g. day-to-day servicing/maintenance of an item) are expensed when incurred.

A cost is identified as increasing an asset's capacity to generate future cash flows if it increases the asset's **useful life** or the quality or quantity of outputs the asset is expected to produce. The subsequent cost may be for either a physical part or a major inspection that enables the item of property, plant and equipment to be operated until the next major inspection.

Parts of some items of property, plant and equipment may require replacement more frequently than others. For example, the engine and seats of a commercial aircraft may require replacement several times during the life of the aircraft. HKAS 16 adopts a 'component approach' under which different components of an item of property, plant and equipment (e.g. aircraft engines and seats) are accounted for as if they were separate items of property, plant and equipment. Subject to the components providing benefits beyond the current period, the costs of replacing them are capitalised when they are incurred.

Apply and Analyse 3

Soon after the oil platform became operational, CDE incurred the following costs:

HK\$500,000 to upgrade the drilling equipment after it became apparent that the existing equipment was not operating as efficiently as hoped due to the geological reports underestimating the ease with which the seabed at the drilling site could be penetrated.

HK\$50,000 to perform a routine safety inspection of the oil platform.

HK\$100,000 to conduct a safety training course for employees at the mainland facility.

Identify which of these three costs, if any, should be capitalised as part of the cost of the oil platform.

Analysis

The HK\$500,000 upgrade should be capitalised to the oil platform because:

- the cost is expected to increase (or prevent a decrease in) the output of the platform;
- it is probable that the costs will generate future economic benefits through enabling the platform to operate efficiently; and
- the cost can be measured reliably (HK\$500,000).

The cost of the routine inspection and the safety training should be recognised as expenses when incurred because:

- the costs are not expected to increase the quality or quantity of output of the oil platform; and therefore,
- it is not probable that the costs will generate future economic benefits; instead, they are a cost of operating the oil platform in the current period.

► Knowledge Check Question

Question 4

Identify which of the following subsequent costs relating to an item of property, plant and equipment cannot be capitalised.

- A** An expenditure that increases the operating capacity of the asset.
- B** An expenditure that extends the useful life of the asset.
- C** An expenditure of repair that restores the asset to its operating capacity.
- D** An expenditure that reduces the operating costs of the asset.

5.3.2 Measurement of Cost

The cost of an item of property, plant and equipment is the cash price equivalent at the recognition date. This measurement principle is applied to an item of property, plant and equipment, (such as a machine) whether it is acquired as a single item or through the acquisition of multiple components that compose the item (e.g. where the item is self-constructed). In the latter case, the cost of the item is the aggregate of the costs of the components.

If an item of property, plant and equipment is acquired through debt finance and payment is deferred beyond normal credit terms, the difference between the cash price equivalent and the total payment is recognised as interest over the period of credit unless such interest is capitalised into the item's carrying amount in accordance with HKAS 23 *Borrowing Costs*.

HKAS
16.23

Apply and Analyse 4

By 31 December 20X1, CDE had determined the total cost of the oil platform was HK\$680 million. To that point, CDE had paid HK\$50 million to the various suppliers relating to the purchase and the other services necessary to get the oil platform into the location and condition ready to commence operations. CDE had also received an invoice from the towing company for HK\$5 million which was due for settlement in 30 days. CDE had arranged for the balance to be financed by a loan from a major finance company to be repaid over 10 years at an interest rate of 7.5% per year.

Prepare the necessary accounting entries to record a summary of the events for CDE up to and including 31 December 20X1.

Analysis

The accounting entries summarising the events up to 31 December 20X1 are:

	Debit	Credit
	HK\$m	HK\$m
Oil platform	680	
Cash		50
Towing fees payable		5
Loan payable		625
(Recognition of acquisition of oil platform)		

5.3.2.1 Asset Exchange Transactions

One or more items of property, plant and equipment may be exchanged for similar or dissimilar non-monetary assets, with or without additional monetary consideration provided by either or both parties to the exchange. (Non-monetary assets are assets other than cash and amounts receivable in fixed or determinable amounts of money.) These exchanges might occur to minimise sales commissions and other similar transaction costs, to minimise transportation costs (e.g. where similar assets in different locations are exchanged), or because both parties to the transaction have surplus assets they wish to dispose of. For example, a construction company might exchange an item of lifting equipment in one location for a similar item held by another entity in a different location so both entities can minimise the cost of relocating both items.

The cost of an item of property, plant and equipment acquired through an exchange is measured at the fair value of the acquired item at the time of acquisition.

Apply and Analyse 5

In October 20X5, CDE decided to sell an unimproved freehold land parcel (Land Parcel A) which had a carrying amount of HK\$22.5 million) and acquire a different parcel of unimproved freehold land (Land Parcel B) in a location more advantageous to its business. On 23 December 20X5, an independent valuer assessed the fair value of Land Parcel A at HK\$25 million and Land Parcel B at HK\$30 million. The vendor of Land Parcel B agreed to enter into an exchange of land parcels with CDE as part of the transaction.

On 31 December 20X5, CDE entered into a contract to purchase Land Parcel B in exchange for Land Parcel A and make a cash payment of HK\$5 million.

Analyse the information provided to determine how CDE should measure the cost of Land Parcel B and prepare the accounting entry HRC should make on 31 December 20X5 in relation to the acquisition in accordance with HKAS 16.

Analysis

In determining the cost of Land Parcel B acquired on 31 December 20X5, CDE applies the measurement principles in HKAS 16 to each component of the consideration it provided.

The fair value of Land Parcel A	HK\$25 million
Cash	HK\$5 million

The fair value of the land acquired is HK\$30 million, which equals the sum of the fair value of the assets given up in exchange, i.e. the Land Parcel A (HK\$25 million) and the cash consideration (HK\$5 million).

Therefore, the cost of CDE's new parcel of unimproved land is HK\$30 million. The fair value of the consideration given and received in the exchange of assets was also HK\$30 million. A gain of HK\$2.5 million arose from the initial recognition of Land Parcel B and derecognition of Land Parcel A because Land Parcel A had a fair value of HK\$25 million but a carrying amount of HK\$22.5 million.

Apply and Analyse 5 (continued)

Accounting entries for the acquisition is:

Date	Particulars	Debit	Credit
20X5		HK\$m	HK\$m
31 December	Land Parcel B	30	
	Land Parcel A		22.5
	Cash		5.0
	Gain on exchange of land parcels		2.5
	(Recognition of exchange of Land Parcels A and B and the related gain)		

5.3.2.2 Self-Constructed Assets

The same principles used to determine the cost of an acquired asset are used to determine the cost of a self-constructed asset. If an entity's self-constructed asset is similar to the inventory it produces in the normal course of business, the cost of the asset is usually the same as the cost of constructing the item of inventory. The interest component of borrowings may be included in the carrying amount of a self-constructed asset. The criteria for capitalising such costs are contained in HKAS 23 *Borrowing Costs*.

HKAS
16.22

► Knowledge Check Question**Question 5**

A service delivery firm purchased a delivery van from a supplier for HK\$70,000. Stamp duty of HK\$5,000 was charged on this transaction. The van was then modified to suit the specific requirements of the service firm's activities at a further cost of HK\$10,000. Annual registration of HK\$2,000 was then paid to enable the van to be driven for commercial purposes. Calculate the cost of the delivery van on initial recognition.

- A** HK\$77,000
- B** HK\$82,000
- C** HK\$85,000
- D** HK\$87,000

**5.4 DEPRECIATION**

By their very nature, items of property, plant and equipment are long-term assets. Consideration needs to be given to how such assets are measured subsequent to acquisition and the accounting treatment applicable throughout their useful lives.

By definition, items of property, plant and equipment are assets expected to be used during more than one period. The future benefits embodied in most items of property, plant and equipment are finite and are consumed over the life of the asset. In accounting, this decline in future benefits is referred to as depreciation.

Under HKAS 16, an entity is required to recognise depreciation of its property, plant and equipment. Depreciation is the systematic allocation of the **depreciable amount** of an asset over its useful life. An asset's depreciable amount is its cost, or other amount substituted for cost, such as a revalued amount (which will be discussed later) less its residual value. Depreciation depicts the consumption over time of the service potential or future economic benefits embodied in an item of property, plant and equipment, which by definition, is long-lived in nature.

HKAS
16.6, 50

Depreciation of an asset is recognised as an expense in the determination of profit or loss and generally occurs concurrently with the recognition of revenues generated by using the asset in the entity's operations.

Where an asset is considered to have an indefinite useful life, such as the case with some holdings of freehold land, it is not depreciated. Repairs and maintenance of an asset do not obviate the need to depreciate that asset.

HKAS
16.52

Depreciation is accounted for separately for each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item. However, different parts of the same item of property, plant and equipment may be grouped for depreciation purposes if they have the same useful life and the same depreciation method is applied to them.

HKAS
16.43–47

For example, CDE's oil platform has an estimated useful life of 40 years whereas the equipment components, such as the crane, the drilling equipment and the fixtures and fittings in the workers' quarters have lives significantly less than this. The cost of each component would be disaggregated, and depreciation would be allocated during each period according to their respective estimated useful lives.

The depreciation charge for each period is recognised as an expense unless that charge is included in the carrying amount of another asset. The accounting entry for recognising the depreciation charge for a period in respect of an item of equipment is:

HKAS
16.48

	Debit	Credit
	HK\$	HK\$
Depreciation expense – equipment	XXX	
Accumulated depreciation – equipment		XXX

Accumulated depreciation is an adjustment to the item's initial cost of acquisition in determining the item's carrying amount. Although accumulated depreciation is a credit balance, it is seen as a contra asset, not a liability.

Sometimes, the future economic benefits embodied in an asset are absorbed in producing other assets: for example, in converting raw materials into inventories, in self-constructing an item of plant, or in carrying on development activities that lead to the recognition of an intangible asset. Where this occurs, the depreciation charge constitutes part of the cost of the other asset and, rather than being recognised as an expense, is included in that other asset's carrying amount.

HKAS
16.49

A manufacturing firm that uses equipment as part of its production process would capitalise the depreciation cost to its inventories as follows:

	Debit	Credit
	HK\$	HK\$
Inventories	XXX	
Accumulated depreciation – equipment		XXX

5.4.1 Depreciable Amount

To calculate the depreciation for an asset, an entity needs to estimate the asset's depreciable amount which requires estimating its residual value and its useful life. Estimating an asset's useful life involves judgements about uncertain future events. Consideration also needs to be given to determining the appropriate methods of depreciation from the alternatives available under HKAS 16.

An asset's **residual value** is the estimated amount that an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal, if the asset were of the age and in the condition expected at the end of its useful life. For example, an entity holds a vehicle with a cost of HK\$25,000 and useful life of five years. Based on direct market comparison, the current disposal value of an almost identical vehicle that is five years old is estimated as HK\$5,000. The residual value is deducted from the asset's cost to determine its depreciable amount. In the case of the vehicle, the depreciable amount is HK\$20,000.

HKAS
16.6

5.4.2 Depreciation Period

Depreciation of an asset commences when the asset is in the location and condition necessary for it to be capable of operating in the manner intended by management. Depreciation of an asset ceases at the earlier of when the asset is held for sale in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* (see Chapter 12) and when the asset is derecognised. Otherwise, depreciation does not cease while an asset is idle or retired from active use unless the asset is fully depreciated. However, in those circumstances, the depreciation charge can be zero even though there is no production if a usage method of depreciation is applied to the asset.

HKAS
16.55

Depending on the circumstances, an asset's useful life might be measured in terms of units of production or a period of time. Hence, HKAS 16 defines 'useful life' as:

- the period over which an asset is expected to be available for use by an entity; or
- the number of production or similar units expected to be obtained from the asset by an entity.

The future economic benefits embodied in an item of property, plant and equipment are consumed principally through using that item. However, other factors can also cause diminution of those future economic benefits. Therefore, all the following factors are considered in determining an asset's useful life:

- the asset's expected usage, assessed by reference to the asset's expected capacity or physical outputs;
- expected wear and tear, which depends on the intensity of use of the asset, the repairs and maintenance programme and maintenance of the asset while being idle (physical deterioration can occur even as an asset is idle);

HKAS
16.56

- technical or commercial obsolescence arising from improvements or other changes in production, or from a change in market demand for the asset's outputs; and
- legal or similar limits on the asset's period of use, such as expiry dates of related leases.

The most important factor is the one that causes an asset's useful life to expire the soonest.

HKAS
16.57

The useful life of an asset takes into account the asset's expected usage by the entity, which is an entity-specific factor. An entity's asset management policy might, for example, involve disposing of assets after a specified time or after consumption of a specified proportion of the asset's output capacity. Therefore, an asset's useful life might be shorter than its economic life.

HKAS
16.58–59

As mentioned earlier, land would normally be considered to have an unlimited useful life and, therefore, is typically not depreciated. However, some land holdings, such as quarries, landfill sites and land parcels exposed to coastal erosion, have a limited useful life and, therefore, are depreciated. In addition, the cost of some land holdings includes the costs of site dismantlement, removal and restoration. That portion of the land's cost is depreciated over the period of benefits obtained by incurring those costs.

Apply and Analyse 6

On 1 January 20X1, CDE purchased vehicles for its senior executives. Each vehicle is thought to be capable of providing reliable service for seven to 10 years. CDE has a policy of providing new cars to its senior executives every four years. Determine an appropriate useful life over which CDE should depreciate the vehicles.

Analysis

The useful life of an asset may be shorter than its economic life because an entity intends to use the asset for that shorter period. This is the case with CDE, which expects its senior executives to have the vehicles for a shorter period than they are expected to remain capable of providing reliable service. Therefore, the vehicle's period of expected use of four years is more relevant. For the purpose of determining depreciation, each vehicle's useful life should be four years.

5.4.3 Depreciation Methods

The depreciation method used to recognise depreciation depicts the pattern of consumption of the future economic benefits embodied in the asset over the asset's useful life. Under HKAS 16, the three depreciation methods that can be used to allocate an asset's depreciable amount over its useful life are:

1. the straight-line method, which results in a constant charge over the asset's useful life if neither the asset's useful life nor residual value are adjusted.
2. the diminishing balance method, which results in decreasing charges over the asset's useful life.
3. the units of production method, which results in a charge based on the asset's expected use or outputs.

Note that the first two methods allocate depreciation on a time-basis.

HKAS
16.62–62A

It is inappropriate to apply a depreciation method based on revenue generated by an activity in which the asset is used.

The depreciation method chosen for a particular asset is:

- that which most closely reflects the expected pattern of consumption of the future economic benefits embodied in the asset; and
- is applied consistently from period to period unless and until there is a change in the expected pattern of consumption of those future economic benefits.

Illustrative Example 1

On 1 January 20X1, CDE acquired an AW189 helicopter to carry its employees to and from its oil platforms. Details of the helicopter are as follows:

Cost of helicopter	HK\$16 million
Estimated residual value	HK\$4 million
Estimated useful life (years)	20 years
Estimated useful life (flying hours)	32,000 hours

The straight-line method results in a constant charge to depreciation expense during each period of an asset's useful life unless the useful life or residual value is re-estimated. Applying this method to CDE's helicopter, the depreciation charge for each year of its useful life is calculated as follows:

$$\begin{aligned}
 \text{Depreciation charge} &= \frac{\text{depreciable amount (cost less estimated residual value)}}{\text{estimated useful life (periods)}} \\
 &= \frac{\text{HK\$16 million less HK\$4 million}}{20 \text{ years}} \\
 &= \text{HK\$600,000 per year}
 \end{aligned}$$

The diminishing balance method, also known as the accelerated depreciation method, applies a higher percentage rate of diminution to the asset's carrying amount than the straight-line method as illustrated below. For example, for an asset with an estimated useful life of 20 years, a rate of 7.5% per annum (rather than the 5% rate under the straight-line method) might be applied, which is the rate illustrated below. This accelerated rate of depreciation results in a higher depreciation charge during the early years of an asset's useful life than in the asset's later years.

This accelerated rate of depreciation is applied to the asset's written-down carrying amount (i.e. cost, or revalued carrying amount less subsequent depreciation and any subsequent impairment losses) at the beginning of the period. The estimated residual value is ignored in determining the depreciation charges in all periods but the last period of an asset's useful life; instead, it is taken into account by serving as the floor below which the asset's carrying amount is not written down. Thus, the same amount of depreciation is charged over the asset's useful life under both the straight-line and diminishing balance methods as, indeed, is the case with the units of production method (see below).

Illustrative Example 1 (continued)

Applying a depreciation rate of 7.5% to CDE's helicopter, the depreciation charges under the diminishing balance method for the first two years of its useful life are calculated as follows:

	Beginning of the year carrying mount	×	Rate on diminishing balance	=	Depreciation charge
Year 1	HK\$16 million	×	7.5%	=	HK\$1.2 million
Year 2	HK\$14.8 million	×	7.5%	=	HK\$1.11 million

The units of production method of depreciation results in a depreciation charge based on each period's actual proportion of the expected units of use of, or expected units of output from, the asset. Assume CDE's helicopter was used for 1,800 hours in the first year of its useful life. Under the units of production method, its depreciation charge for that year would be calculated as follows:

$$\begin{aligned}
 \text{Depreciation charge} &= \text{Depreciable amount} \times \frac{\text{actual hours flown for period}}{\text{estimated useful life flying hours}} \\
 &= \text{HK\$12 million} \times \frac{1,800}{32,000} \\
 &= \text{HK\$675,000}
 \end{aligned}$$

The residual value, useful life and depreciation method for an asset are reviewed at least every financial year-end and:

- if expectations differ from previous estimates of the residual value or useful life, those estimates are revised accordingly; and
- if a significant change occurs in the expected pattern of consumption of the future economic benefits embodied in the asset, the depreciation method is changed to reflect the changed pattern.

A change in residual value, useful life or depreciation method is accounted for as a change in an accounting estimate in accordance with HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* (see Chapter 13). That requires the change to be made without making a cumulative catch-up adjustment to account as if the revision had always been applied to the asset. Therefore, such a change is accounted for prospectively, by:

- allocating the revised depreciable amount resulting from a revised residual value over the asset's remaining useful life from when the residual value was re-estimated;
- allocating the remaining depreciable amount over a revised remaining useful life, by accelerating or decelerating (as appropriate) the recognition of the depreciable amount as depreciation from when the useful life was re-estimated; and
- applying a changed depreciation method to the remaining depreciable amount over the asset's remaining useful life from when that method was changed.

This concept will be applied in Apply and Analyse 7.

HKAS 16.51,
60–62A
HKAS 8.36, 38



► Knowledge Check Questions

Question 6

Identify which one of the following statements is correct in relation to the depreciation expense calculated in the first year of an asset's life under the different methods of depreciation.

- A** Depreciation in the first year is likely to be greater under the diminishing balance method than under the straight-line method.
- B** Depreciation in the first year is likely to be greater under the units of production method than under the straight-line method.
- C** Depreciation in the first year is likely to be greater under the units of production method than under the diminishing balance method.
- D** The choice of method has no bearing on the depreciation expense calculated in the first year of an asset's life.

Question 7

Identify which one of the following statements is correct in relation to the depreciation expense of a motor vehicle in the first year of its useful life.

- A** Under the straight-line method, an increase in the estimate of the vehicle's useful life will result in a greater depreciation expense in the first year.
- B** Under the units of production method, an increase in the estimate of the vehicle's residual value will result in a lesser depreciation expense in the first year.
- C** Under the straight-line method, the decision to incorrectly write off a directly attributable cost of the vehicle to profit or loss will result in a greater depreciation expense in the first year.
- D** Under the diminishing balance method, an increase in the estimate of the vehicle's residual value will result in a lesser depreciation expense in the first year.

Question 8

On 1 January 20X1, a delivery van was purchased for a cost of HK\$40,000. The van was estimated to have a residual value of HK\$10,000 at the end of its useful life. The entity decided to apply the diminishing balance method of depreciation applying a rate of 20% per year.

Identify which one of the following amounts would be the depreciation expense for the delivery van for the year ended 31 December 20X2, the second year of the delivery van's useful life.

- A** HK\$4,800
- B** HK\$6,000
- C** HK\$6,400
- D** HK\$8,000

5.5 IMPAIRMENT

HKAS
16.63

As stated earlier, items of property, plant and equipment are subject to impairment. An entity applies HKAS 36 *Impairment of Assets* to determine whether an item of property, plant and equipment is impaired. An item of property, plant and equipment is impaired when its recoverable amount falls below its carrying amount. HKAS 36 provides guidance as to how the recoverable amount of an asset is determined and how an impairment loss, or any subsequent reversal, is recognised (see Chapter 11).

For the purposes of this chapter, the key points regarding how to account for impairment in relation to property, plant and equipment are:

- the entity must recognise an impairment loss for the amount by which the carrying amount exceeds the recoverable amount and must write down the asset to its recoverable amount
- The entry to recognise an impairment loss is:
 DR Impairment loss (profit or loss)
 CR Accumulated impairment losses
- Like accumulated depreciation, accumulated impairment losses is a contra asset item creating a valuation adjustment to the item's gross amount in determining its carrying amount
- Subsequent depreciation is calculated applying the asset's remaining useful life

5.6 MEASUREMENT AFTER RECOGNITION

HKAS
16.29

HKAS
16.37

After the initial recognition as an asset, an item of property, plant, and equipment is measured using the cost model or the revaluation model. That accounting policy choice must be applied consistently to each asset in a class of property, plant and equipment. A class of property, plant and equipment is a grouping of assets of a similar nature and use in an entity's operations (e.g. land, machinery, motor vehicles, office equipment). The cost model and revaluation model are explained in Sections 5.6.1 and 5.6.2, respectively.

5.6.1 Cost Model

HKAS
16.30

Under the cost model, after recognition as an asset an item of property, plant and equipment is carried at its cost less any accumulated depreciation and any accumulated impairment losses. Consequently, the carrying amounts of assets are based primarily on actual acquisition prices.

For example, CDE acquired an item of plant for HK\$100 million. At the reporting date, the plant's accumulated depreciation is HK\$20 million and its accumulated impairment losses are HK\$5 million. Under the cost model, the plant's carrying amount is HK\$75 million (i.e. HK\$100 million – HK\$20 million – HK\$5 million).

Apply and Analyse 7

During 20X0, CDE received a geological report concerning an oil reserve it was exploring. The report identified that this well was a proven and probable reserve likely to sustain profitable extraction for at least 40 years. Accordingly, CDE successfully applied for 40-year drilling rights to the well commencing on 1 January 20X1.

By 1 January 20X1, CDE had incurred total costs of HK\$680 million in getting a custom-made oil platform into the location and condition ready to exploit the well. The oil platform had an estimated useful life of 50 years. Due to the custom-made nature of the platform and the expected use of the platform, it was considered to have no residual value beyond its use at this oil well.

After four years of operations, CDE determined that the rate of extraction from the well was greater than expected. Based on this rate of extraction being maintained, it is estimated the profitable reserves would be fully extracted within the next 30 years.

At 31 December 20X6, a substantial drop in world crude oil prices meant the recoverable amount of the oil platform was measured at HK\$555 million.

It is CDE's accounting policy to carry this class of asset under the cost model and to charge depreciation using the straight-line method.

Required

Prepare the relevant accounting entries to account for the events noted above for each of the following dates, and state the corresponding carrying amount of the oil platform for:

- 31 December 20X4
- 31 December 20X5
- 31 December 20X6

Analysis

Accounting entries

Date	Particulars	Debit	Credit
20X4		HK\$	HK\$
31 December	Depreciation expense – oil platform	17,000,000	
	Accumulated depreciation – oil platform		17,000,000
	(Recognition of depreciation for the period)		
	(Calculation: Cost HK\$680 million ÷ Estimated useful life 40 years)		

Apply and Analyse 7 (continued)

Notes:

- Despite the oil platform having a potential useful life of 50 years, the custom-made nature of the platform restricts its economic life to the 40 years of the drilling rights.
- The drilling rights would be recognised as a separate intangible asset.

Carrying amount

Cost	HK\$680 million
less Accumulated depreciation (HK\$17 million × 4)	<u>HK\$68 million</u>
Carrying amount	<u>HK\$612 million</u>

Accounting entries

Date	Particulars	Debit	Credit
20X5		HK\$	HK\$
31 December	Depreciation expense – oil platform ¹	20,400,000	
	Accumulated depreciation – oil platform		20,400,000
	(Recognition of depreciation for the period after adjusting for the reduced useful life of the asset)		
	(Calculation: Carrying amount at time of change in estimate HK\$612 million ÷ Adjusted estimated useful life 30 years)		

Notes:

- Despite the drilling rights having a further 36 years to run, the efficiency of the extraction process dictates the remaining economic life of the platform (and the drilling rights) will be 30 years.
- This does not constitute an impairment of the asset. Though the estimated timeframe over which the economic benefits will be fully consumed has decreased, the value of the future economic benefit of the well has not changed.

Carrying amount

Cost	HK\$680.0 million
less Accumulated depreciation (HK\$68 million + HK\$20.4 million)	<u>HK\$88.4 million</u>
Carrying amount	<u>HK\$591.6 million</u>

Accounting entries

Date	Particulars	Debit	Credit
20X6		HK\$	HK\$
31 December	Depreciation expense – oil platform	20,400,000	
	Accumulated depreciation – oil platform		20,400,000
	(Recognition of depreciation for the period)		

Apply and Analyse 7 (continued)

Date	Particulars	Debit	Credit
20X6		HK\$	HK\$
31 December	Impairment loss – oil platform	16,200,000	
	Accumulated impairment losses – oil platform		16,200,000
	(Recognition of impairment loss for the period)		

Calculation of impairment loss:

Carrying amount prior to impairment HK\$680 million – HK\$108.8 million = HK\$571.2 million

Recoverable amount of HK\$555 million < Carrying amount above = Impairment

Impairment loss = HK\$571.2 million – HK\$555 million = HK\$16.2 million

Carrying amount

Cost	HK\$680.0 million
less Accumulated depreciation (see calculation above)	HK\$108.8 million
less Accumulated impairment losses	<u>HK\$16.2 million</u>
Carrying amount	<u>HK\$555.0 million</u>

5.6.2 Revaluation Model

Under the revaluation model, after recognition as an asset, the carrying amount of an item of property, plant and equipment is periodically adjusted to reflect its fair value. An asset's fair value reflects market participants' current expectations about the amount, timing and uncertainty of future cash flows the asset will generate. (See Chapter 2 for an elaboration on fair values and how they are determined.) Use of the revaluation model is restricted to assets for which a fair value can be reliably measured. Where the fair value of an item of property, plant and equipment cannot be reliably measured, the asset must be carried under the cost model.

After an item of property, plant and equipment is revalued to its fair value, subsequent depreciation of the asset is recalibrated based on the revalued amount, any residual value and the remaining useful life of the asset. Assets carried under the revaluation model are also subject to impairment.

The carrying amount of a revalued item of property, plant and equipment is measured at its fair value at the date of the previous revaluation less any subsequent accumulated depreciation and subsequent impairment losses.

Revaluation increases, on the one hand, are not typically associated with the conventional measure of profit or loss and are credited to equity as other comprehensive income under the heading of revaluation surplus. Revaluation decreases, on the other hand, are recognised in profit or loss. However, HKAS 16 identifies exceptions to these treatments where revaluation increases offset prior revaluation decreases and vice versa. A revaluation increase shall be recognised in profit or loss to the extent that it reverses a revaluation decrease of the same asset previously recognised in profit or loss. A revaluation decrease shall be recognised in other comprehensive income to the extent of any credit balance existing in the revaluation surplus in respect of that asset.

HKAS
16.39HKAS
16.40

If an item of property, plant and equipment is revalued, the entire class of assets to which it belongs must be revalued. Revaluations must be made with sufficient regularity to ensure that the item's carrying amount does not differ materially from its fair value at the end of the reporting period.

HKAS
16.31, 36

When an item of property, plant and equipment is revalued, the entity makes an accounting policy choice to use either of the following methods to adjust that asset's carrying amount to its revalued amount:

- by adjusting the gross carrying amount (i.e. the amount before deducting accumulated depreciation and accumulated impairment losses) in a manner consistent with the revaluation of the asset's carrying amount (hereafter referred to as the gross method); or
- by eliminating the existing balance of accumulated depreciation against the gross carrying amount of the asset (hereafter referred to as the net method).

To adjust an asset's gross carrying amount in a manner consistent with the revaluation of that asset's carrying amount, the gross carrying amount may, for example, be restated by reference to observable market data or restated proportionately to the change in the carrying amount. The accumulated depreciation at the revaluation date is adjusted to equal the difference between the gross carrying amount and the carrying amount of the asset after also taking into account accumulated impairment losses.

HKAS
16.35

Under either method of adjusting a revalued asset's carrying amount to its revalued amount, the amount by which accumulated depreciation is adjusted forms part of the increase or decrease in carrying amount that is accounted for in the entries shown below.

HKAS
16.35

As mentioned above, revaluations of items of property, plant and equipment are performed on a whole-of-class basis. However, the accounting entries for recognising an upwards or downwards revaluation are determined on an asset-by-asset basis.

HKAS
16.39, 40

The accounting entries for a revaluation of an item of property, plant and equipment under both the net and gross methods, in accordance with HKAS 16, are set out below:

Illustrative Example 2

Net Method

Assume that the property, plant and equipment of an entity includes a piece of equipment with a gross amount of HK\$200,000 and a carrying amount of HK\$150,000. This class of equipment is carried under the revaluation model and, at the reporting date, the entity has determined its fair value to be HK\$168,000.

Under the net method, the accounting entries required to recognise the revaluation would be:

	Debit	Credit
	HK\$'000	HK\$'000
Accumulated depreciation	50	
Property, plant and equipment (to eliminate accumulated depreciation)		50
Property, plant and equipment	18	
Revaluation surplus (other comprehensive income) (to recognise the revaluation increase)		18

Assume the same information as above, but now consider that there was a revaluation decrease of HK\$5,000 recognised for that same piece of equipment in a prior period. The entry to eliminate the accumulated depreciation remains the same, but the second entry recognising the revaluation adjustment becomes:

	Debit	Credit
	HK\$'000	HK\$'000
Property, plant and equipment	18	
Revaluation gain (profit or loss)		5
Revaluation surplus (other comprehensive income) (to recognise the revaluation increase)		13

Now assume the original information except that, at the reporting date, the entity determines the equipment's fair value to be HK\$141,000. The entry to eliminate the accumulated depreciation remains the same, but the second entry recognising the revaluation adjustment becomes:

	Debit	Credit
	HK\$'000	HK\$'000
Revaluation loss (profit or loss)	9	
Property, plant and equipment (to recognise the revaluation decrease)		9

Illustrative Example 2 (continued)

Now assume, as well, that the entity determining the equipment's fair value to be HK\$141,000 at the reporting date and that there was a credit balance of HK\$15,000 in the revaluation surplus arising from a revaluation increase in a prior period. The entry to eliminate the accumulated depreciation remains the same, but the second entry recognising the revaluation adjustment becomes:

	Debit	Credit
	HK\$'000	HK\$'000
Revaluation surplus (other comprehensive income)	9	
Property, plant and equipment (to recognise the revaluation decrease)		9

Only HK\$9,000 of the HK\$15,000 credit balance in the revaluation surplus has been reversed. A credit balance of HK\$6,000 remains in the revaluation surplus.

Gross Method

Assuming a fair value of HK\$168,000 and no prior revaluation decrease, the equivalent entries for each of the four scenarios presented above under the gross method are:

	Debit	Credit
	HK\$'000	HK\$'000
Property, plant and equipment	24 ¹	
Accumulated depreciation		6 ²
Revaluation surplus (other comprehensive income) (to recognise the revaluation increase)		18

Assuming a fair value of HK\$168,000 and a prior revaluation decrease of HK\$5,000

	Debit	Credit
	HK\$'000	HK\$'000
Property, plant and equipment	24	
Accumulated depreciation		6
Revaluation gain (profit or loss)		5
Revaluation surplus (other comprehensive income) (to recognise the revaluation increase)		13

Calculations:

- Adjustment = New gross amount HK\$224,000 (HK\$200,000 × HK\$168,000/HK\$150,000) less Old gross amount HK\$200,000 = HK\$24,000 increase

Illustrative Example 2 (continued)

2. Adjustment = New gross amount HK\$224,000 less Revalued amount HK\$168,000 less Old accumulated depreciation HK\$50,000 = HK\$6,000 increase

Assuming a fair value of HK\$141,000 and no prior revaluation increase, the adjustments to the revaluation surplus and for any revaluation gain are the same under the net and gross methods.

	Debit	Credit
	HK\$'000	HK\$'000
Accumulated depreciation	3 ⁴	
Revaluation loss (profit or loss)	9	
Property, plant and equipment		12 ³
(to recognise the revaluation decrease)		

Assuming a fair value of HK\$141,000 and a prior revaluation increase of HK\$15,000

	Debit	Credit
	HK\$'000	HK\$'000
Accumulated depreciation	3	
Revaluation surplus (other comprehensive income)	9	
Property, plant and equipment		12
(to recognise the revaluation decrease)		

Calculations:

3. Adjustment = New gross amount HK\$188,000 ($200,000 \times 141,000/150,000$) less Old gross amount HK\$200,000 = HK\$12,000 decrease
4. Adjustment = New gross amount HK\$188,000 less Revalued amount HK\$141,000 less Old accumulated depreciation HK\$50,000 = HK\$3,000 decrease

The adjustments to the revaluation surplus and for any revaluation loss are the same under the net and gross methods.

The balance of revaluation surplus included in equity in respect of a revalued item of property, plant and equipment may be transferred directly to retained earnings (i.e. not through profit or loss):

- as the asset is used by the entity in the amount of the periodic difference between depreciation based on the asset's revalued carrying amount and depreciation based on the asset's original cost (see Section 5.4.3 for discussion of depreciation and an example of how revaluations affect the measurement of depreciation); and/or
- when the asset is derecognised.

Illustrative Example 3

An item of machinery with a gross amount of HK\$95,000 reaches the end of its depreciable life. There is a credit balance of HK\$15,000 in the revaluation surplus account arising from revaluations of this machine. As management believes the asset has no future benefit or residual value, the machine is derecognised.

The accounting entries required to derecognise the machine are:

	Debit	Credit
	HK\$'000	HK\$'000
Accumulated depreciation	95	
Property, plant and equipment (to derecognise machinery)		95
Revaluation surplus	15	
Retained earnings (to transfer balance of revaluation surplus upon derecognition)		15

HKAS 36 *Impairment of Assets* requires any impairment loss of a revalued item of property, plant and equipment to be treated as a revaluation decrease in accordance with HKAS 16. HKAS 36 states that a reversal of an impairment loss of a revalued item of property, plant and equipment is treated as a revaluation increase in accordance with HKAS 16.

Apply and Analyse 8

On 31 December 20X1, the property, plant and equipment of CDE included a specialised item of safety equipment. The cost of the equipment at acquisition two years ago was HK\$550,000 and its current carrying amount was HK\$400,000

The fair value of this equipment was measured using the cost approach, with the equipment's fair value measured at current replacement cost. The new asset price at 31 December 20X1 was HK\$605,000, and the new fair value was HK\$440,000 after deducting 'obsolescence' (i.e. depreciation) of HK\$165,000. At this date, the equipment was estimated to have a remaining useful life remaining of eight years.

Required

Prepare the entries required to account for the revaluation of CDE's specialised item of safety equipment as at 31 December 20X1 under each of the two methods (the gross and net methods) permitted under HKAS 16.

Compare the balances of the asset, the contra asset and the carrying amount of the safety equipment after the revaluation under the two methods.

Apply and Analyse 8 (continued)**Analysis**

Accounting entries as at 31 December 20X1

Gross method:

Date	Particulars	Debit	Credit
20X1		HK\$'000	HK\$'000
31 December	Equipment	55	
	Accumulated depreciation – equipment		15
	Revaluation surplus (other comprehensive income)		40
	(Recognition of revaluation of asset from HK\$550,000 carrying amount to fair value of HK\$605,000)		

Net method:

	Debit	Credit
	HK\$'000	HK\$'000
Accumulated depreciation – safety equipment	150	
Safety equipment		150
Safety equipment	40	
Revaluation surplus (other comprehensive income)		40
(Recognition of revaluation of asset's fair value from HK\$400,000 to fair value of HK\$440,000)		

Comparison

Account	Gross method HK\$'000	Net method HK\$'000
Safety equipment	605	440
Accumulated depreciation	(165)	0
Carrying amount	440	440

Accounting entries as at 31 December 20X2

Date	Particulars	Debit	Credit
20X2		HK\$'000	HK\$'000
31 December	Depreciation expense – safety equipment	55	
	Accumulated depreciation – safety equipment		55
	(Recognition of annual depreciation: Calculation = HK\$440 000 ÷ 8 years = HK\$55,000)		
	Revaluation surplus (other comprehensive income)	5	
	Retained earnings		5

Apply and Analyse 9

Note: This exercise has been adapted from Apply and Analyse 7 with some of the information repeated.

During 20X0, CDE received a geological report concerning an oil reserve it was exploring. The report identified that this well was a proven and probable reserve likely to sustain profitable extraction for at least 40 years. Accordingly, CDE successfully applied for 40-year drilling rights to the well commencing on 1 January 20X1.

By 1 January 20X1, CDE had incurred total costs of HK\$680 million in getting a custom-made oil platform into the location and condition ready to exploit the well. The oil platform had an estimated useful life of 50 years. Due to the custom-made nature of the platform and the expected use of the platform, it was considered to have no residual value.

Due to the specialised nature of the oil platform, replacement cost is seen as the most appropriate measure of fair value. On 31 December 20X3, the replacement cost of the oil platform was \$666 million, which included obsolescence confined to the effects of depreciation.

On 31 December 20X4, CDE determined that the rate of extraction from the well was greater than expected. Based on this rate of extraction being maintained, the profitable reserves are now estimated to be fully extracted within the next 30 years.

At 31 December 20X6, a substantial drop in world crude oil prices meant the recoverable amount of the oil platform was measured at HK\$555 million.

It is CDE's accounting policy to carry this class of asset under the revaluation model and to charge depreciation using the straight-line method. When revaluing assets, CDE eliminates accumulated depreciation against the gross carrying amount of the asset (i.e. the net method).

Required

Prepare the relevant accounting entries to account for the events noted above for each of the following dates, and state the corresponding carrying amount of the oil platform for:

31 December 20X3

31 December 20X4

31 December 20X5

31 December 20X6

Analysis

Accounting entries

Date	Particulars	Debit	Credit
20X3		HK\$	HK\$
31 December	Depreciation expense – oil platform	17,000,000	
	Accumulated depreciation – oil platform		17,000,000
	(Recognition of depreciation for the period)		
	(Calculation: Cost HK\$680 million ÷ Estimated useful life 40 years)		

Apply and Analyse 9 (continued)

Date	Particulars	Debit	Credit
20X3		HK\$	HK\$
31 December	Accumulated depreciation – oil platform ¹	51,000,000	
	Oil platform		51,000,000
	(Elimination of accumulated against gross carrying amount)		
	Oil platform ²	37,000,000	
	Revaluation surplus (other comprehensive income)		37,000,000
	(Recognition of revaluation to fair value)		

Calculations:

- Three periods' depreciation = $3 \times \text{HK\$}17 \text{ million}$
- Carrying amount prior to revaluation = $\text{HK\$}680 \text{ million} - \text{HK\$}51 \text{ million} = \text{HK\$}629 \text{ million}$
Fair value = $\text{HK\$}666 \text{ million}$
Revaluation increase = $\text{HK\$}666 \text{ million} - \text{HK\$}629 \text{ million} = \text{HK\$}37 \text{ million}$

Carrying amount

Gross carrying amount	HK\$666 million
less Accumulated depreciation	nil
Carrying amount	<u>HK\$666 million</u>

Accounting entries

Date	Particulars	Debit	Credit
20X4		HK\$	HK\$
31 December	Depreciation expense – oil platform	18,000,000	
	Accumulated depreciation – oil platform		18,000,000
	(Recognition of depreciation for the period)		
	(Calculation: Gross carrying amount HK\$666 million ÷ Original estimated remaining useful life 37 years)		

Carrying amount

Gross carrying amount	HK\$666 million
less: Accumulated depreciation	<u>HK\$18 million</u>
Carrying amount	<u>HK\$648 million</u>

Apply and Analyse 9 (continued)

Accounting entries

Date	Particulars	Debit	Credit
20X5		HK\$	HK\$
31 December	Depreciation expense – oil platform	21,600,000	
	Accumulated depreciation – oil platform		21,600,000
	(Recognition of depreciation for the period after adjusting for the reduced useful life of the asset)		
	(Calculation: Carrying amount at time of change in estimate HK\$648 million ÷ Adjusted estimated useful life 30 years)		

Carrying amount

Gross carrying amount	HK\$666 million
less Accumulated depreciation (HK\$18 million + HK\$21.6 million)	HK\$39.6 million
Carrying amount	HK\$626.4 million

Accounting entries

Date	Particulars	Debit	Credit
20X6		HK\$	HK\$
31 December	Depreciation expense – oil platform	21,600,000	
	Accumulated depreciation – oil platform		21,600,000
	(Recognition of depreciation for the period after adjusting for the reduced useful life of the asset)		
	Accumulated depreciation – oil platform ¹	61,200,000	
	Oil platform		61,200,000
	(Elimination of accumulated depreciation)		
	Revaluation surplus (other comprehensive income)	37,000,000	
	Impairment loss	12,800,000	
	Oil platform		49,800,000
	(Impairment Loss for the year)		

Calculations:

- Accumulated depreciation = HK\$39.6 million + HK\$21.6 million = HK\$61.2 million

Carrying amount prior to impairment HK\$626.4 million – HK\$21.6 million = HK\$604.8 million

Recoverable amount of HK\$555 million < Carrying amount above = Impairment

Impairment loss = HK\$604.8 million – HK\$555 million = HK\$49.8 million

Apply and Analyse 9 (continued)

Under revaluation model, impairment loss to be treated as revaluation decrease

First offset balance in revaluation surplus of HK\$37 million from revaluation on 31/12/20X3

Excess taken to profit or loss as a loss.

Carrying amount

Gross carrying amount	HK\$555 million
less Accumulated depreciation	<u>nil</u>
Carrying amount	<u>HK\$555 million</u>

► Knowledge Check Questions**Question 9**

An item of property, plant and equipment is carried under the cost model and depreciation is charged under the straight-line method. On 31 December 20X1, the asset is identified as impaired and written down to its recoverable amount. Its useful life and residual value remain unchanged. Identify which one of the following statements is correct in relation to subsequent depreciation.

- A** Depreciation will cease to be charged on this asset.
- B** Depreciation will continue to be charged on this asset, but the amount of annual depreciation expense will be less.
- C** Depreciation will continue to be charged on this asset, and the amount of annual depreciation expense will be the same.
- D** Depreciation will continue to be charged on this asset, but the amount of annual depreciation expense will be greater.

Question 10

An entity currently carries all property, plant and equipment, including several items of land and buildings, under the cost model. The entity is considering adopting the revaluation model to a single item of land and buildings acquired in a prior period. Identify which one of the following statements is correct regarding this accounting policy decision under HKAS 16.

- A** The entity cannot adopt the revaluation model for this single item because that decision must be made at the time of acquisition.
- B** The entity can choose to adopt the revaluation model for this single item of land and buildings without having to revalue any other items of property, plant and equipment.
- C** The entity can adopt the revaluation model for this item of land and buildings provided it adopts the revaluation model for all its land and buildings.
- D** The entity can adopt the revaluation model for this item of land and buildings provided it adopts the revaluation model for all classes of property, plant and equipment.

► Knowledge Check Questions (*continued*)

Question 11

Identify which one of the following statements is correct under HKAS 16.

- A** Depreciation and impairment losses apply to items of property, plant and equipment carried under the cost model but not to those carried under the revaluation model.
- B** Depreciation applies to items of property, plant and equipment carried under the cost and revaluation models, but impairment losses only apply to items of property, plant and equipment carried under the cost model.
- C** Impairment losses apply to items of property, plant and equipment carried under the cost and revaluation models, but depreciation only applies to items of property, plant and equipment carried under the cost model.
- D** Depreciation and impairment losses apply to items of property, plant and equipment carried under the cost and revaluation models.

Question 12

An item of property, plant and equipment is revalued upwards by HK\$40,000 in 20X3. This is the first time this asset has been revalued. The same asset is then revalued downwards by HK\$50,000 in 20X6. Identify which one of the following amounts would be carried in the revaluation surplus after adjusting for the revaluation entry in 20X6.

- A** HK\$50,000 debit
- B** HK\$10,000 debit
- C** Zero
- D** HK\$40,000 credit

5.7 DERECOGNITION

The carrying amount of an item (or component) of property, plant and equipment is derecognised when the criteria for recognition (see Section 5.2) are no longer met. That occurs when:

- that item is disposed of; or
- no future economic benefits are expected from the asset's use or disposal.

HKAS
16.67

An asset might be disposed of in various ways, including by selling it or scrapping it. Disposal occurs when the entity relinquishes control of the asset. Any gain or loss arising from disposal of the asset is generally recognised in determining the profit or loss for the period when the item is derecognised. That gain or loss is measured as follows:

Gain/loss on derecognition = net proceeds on disposal – derecognised item's carrying amount

The derecognised item's carrying amount takes into account depreciation for the current period until the derecognition date.

The proceeds of disposal are measured as the amount of consideration to which an entity *expects to be entitled* in exchange for transferring the promised goods, excluding amounts collected on behalf of third parties. The requirements for determining the transaction price are set out in HKFRS 15 *Revenue from Contracts with Customers* and discussed in Chapter 3.

HKAS
16.68, 71, 72

Gains on derecognition of property, plant and equipment are not classified as revenue but are included in other income.

HKAS
16.68

The gain or loss on derecognition of a revalued asset is measured by reference to that asset's revalued carrying amount. Therefore, the entity does not reverse an existing balance of revaluation surplus in respect to that asset and does not recognise the amount of gain or loss that would have arisen if the asset had been measured under the cost model. As mentioned in Section 5.6.2, when a revalued asset is derecognised, the balance of revaluation surplus included in equity in respect of that asset may be transferred to retained earnings. However, such a transfer is made directly to retained earnings (i.e. not recycled through profit or loss). Consequently, for a revalued asset, the amount of income recognised in profit or loss over the asset's life is reduced to the extent of the existing revaluation surplus when the asset is derecognised (refer to Illustrative Example 2).

Apply and Analyse 10

CDE acquired an item of plant on 1 January 20X1 for HK\$800,000, which it measured on the cost basis. The estimated useful life of the plant at acquisition date was five years, the residual value was estimated as HK\$50,000, and the straight-line method of depreciation was applied. The company sold the plant on 30 June 20X4 for HK\$250,000. On that date, the buyer obtained control of the sold item of plant. Costs to sell the item were immaterial.

Present the accounting entries required on 30 June 20X4.

Analysis

Accounting entries

Step 1: Recognise depreciation up to date of derecognition/sale

Calculation: $(\text{HK\$}800,000 - \text{HK\$}50,000) \div 5 \times \frac{1}{2} = 75,000$

	Debit	Credit
	HK\$	HK\$
Depreciation expense	75,000	
Accumulated depreciation		75,000
(Recognition of 6 months depreciation)		

Apply and Analyse 10 (continued)

Step 2: Recognise gain or loss on sale

Carrying amount of plant at 30 June 20X4:

Cost	HK\$800,000
less Accumulated depreciation $[(HK\$800,000 - HK\$50,000) \div 5 \times 3\frac{1}{2} \text{ years}]$	<u>HK\$525,000</u>
Carrying amount	HK\$275,000
Proceeds from sale	<u>HK\$250,000</u>
Gain/(loss) on sale	(<u>HK\$25,000</u>)

	Debit	Credit
	HK\$	HK\$
Cash	250,000	
Accumulated depreciation	525,000	
Loss on sale	25,000	
Plant		800,000
(Derecognition of plant for a loss)		

Apply and Analyse 11

CDE acquired an item of plant on 1 July 20X1 for HK\$800,000, which it measured using the revaluation basis.

On 30 June 20X4, CDE sold the plant for HK\$350,000. Costs to sell the plant were immaterial. At that date, the gross carrying amount of the plant was HK\$900,000, and the accumulated depreciation, adjusted for depreciation up to the date of sale, was HK\$575,000. The balance of revaluation surplus in respect of the plant was HK\$100,000.

Present the accounting entries required on 30 June 20X4.

Accounting entries

Particulars	Debit	Credit
	HK\$	HK\$
Cash	350,000	
Accumulated depreciation	575,000	
Plant		900,000
Gain on sale		25,000
(Derecognition of plant for a gain)		
Revaluation surplus	100,000	
Retained profits		100,000
(Transfer of revaluation surplus to retained profits)		

 Knowledge Check Questions**Question 13**

CDE's property, plant and equipment included a vehicle that was provided to one of its senior executives as part of their remuneration package. The vehicle was acquired on 1 January 20X1 for HK\$60,000. It had an estimated useful life of five years and an estimated residual value of HK\$10,000. CDE carries vehicles under the cost model and applies the straight-line method of depreciation.

On 30 June 20X3, half-way through its estimated useful life, the vehicle was involved in an accident and was damaged beyond repair or salvage. Due to the circumstances of the accident, CDE had no claim for insurance on the vehicle.

Identify which of the following amounts corresponds to the correct loss on derecognition of the vehicle.

- A** HK\$60,000
- B** HK\$40,000
- C** HK\$35,000
- D** HK\$25,000

Question 14

Identify which one of the following is the appropriate way to recognise a gain on sale of an item of property, plant and equipment.

- A** In profit or loss and classified within revenue
- B** In profit or loss but excluded from revenue
- C** in other comprehensive income
- D** In the statement of cash flows



5.8 PRESENTATION AND DISCLOSURE OF PROPERTY, PLANT AND EQUIPMENT

Property, plant and equipment often form a significant part of an entity's assets, and depreciation associated with them a significant expense. Therefore, information about an entity's property, plant and equipment is particularly important to users of financial statements in making resource allocation decisions about an entity. HKAS 16 specifies, for each class of property, plant and equipment, disclosures about their carrying amounts and the accounting judgements applied to them, including the choice of measurement basis and assumptions made about uncertain future events such as their useful lives.

An entity discloses for each class of property, plant and equipment:

- a reconciliation of the carrying amount at the beginning and end of the period (see Exhibit 5.1);
- the measurement basis (cost model or revaluation model);
- the depreciation methods used;
- the useful lives or the depreciation rates used;
- depreciation for the period;
- accumulated depreciation; and
- the gross carrying amount and the accumulated depreciation (aggregated with accumulated impairment losses) at the beginning and end of the period.

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The following disclosures are made about items of property, plant and equipment stated at revalued amounts:

- the effective date of the revaluation;
- whether an independent valuer was involved;
- for each revalued class of assets, the carrying amount that would have been recognised had the assets been carried under the cost model;
- the revaluation surplus, showing the change for the period and any restrictions on the distribution of the balance to shareholders; and
- the information required by HKFRS 13 *Fair Value Measurement*, e.g. the valuation techniques and inputs used to develop the fair value measurements, including the level of the fair value hierarchy within which the fair value measurements are categorised in their entirety (see Chapter 2).

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Disclosures about property, plant and equipment are not limited to those set out in HKAS 16. For example, an entity must also disclose information about:

- impairment losses (or reversals thereof) in relation to property, plant and equipment, specified by HKAS 36 *Impairment of Assets* (see Chapter 11);
- changes in accounting estimates (e.g. changes in useful lives), specified by HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* (see Chapter 13); and
- assumptions and other major sources of estimation uncertainty with a significant risk of subsequent adjustments, specified by HKAS 1 *Presentation of Financial Statements* (see Chapter 20).

Exhibit 5.1 is an extract from the note to the financial statements of CDE disclosing the depreciation method used and the range of useful lives for each class of property, plant and equipment.

Depreciation

Land and buildings, and drilling structures and equipment are measured subsequent to recognition under the revaluation model and, therefore, are measured at fair value at the date of the revaluation less any subsequent accumulated depreciation and subsequent accumulated impairment losses. All other items of property, plant and equipment are measured subsequent to recognition under the cost model and, therefore, are measured at cost less any accumulated depreciation and accumulated impairment losses.

All items of property, plant and equipment other than freehold land are depreciated over their useful lives. Drilling equipment is depreciated using the diminishing balance method. All other classes are depreciated using the straight-line method. The estimated useful lives for each class (excluding the freehold land component of land and buildings) are set out below:

Buildings	40 years
Drilling platforms and equipment:	
Drilling platforms	30–50 years
Drilling equipment	15–20 years
Aircraft and vehicles	10–20 years
Non-drilling equipment	3–15 years
Furniture and fittings	5–10 years

► **EXHIBIT 5.1 CDE – principal accounting policies**

Exhibit 5.2 is an extract from the property, plant and equipment note in CDE's financial statements presenting its reconciliation of the carrying amount of its classes of property, plant and equipment at the beginning and end of the financial year. Comparative information that would be presented is not shown here.

CDE- Property, plant and equipment	Freehold land and buildings	Drilling platforms and equipment	Aircraft and vehicles	Non-drilling equipment, fixtures and fittings	Total
	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m
Gross carrying amount					
At 1 January 20X8	2,662	62,073	10,754	1,648	77,137
Additions	–	1,315	122	68	1,505
Disposals/write-offs	–	(231)	(2)	(5)	(238)
Revaluations	91	–	–	–	91
At 31 December 20X8	2,753	63,157	10,874	1,711	78,495
At cost	–	63,157	10,874	1,711	75,742
At 31 December 20X8 valuation	2,753	–	–	–	2,753

► **EXHIBIT 5.2 Reconciliation of carrying amounts at the beginning and end of financial year**

CDE- Property, plant and equipment	Freehold land and buildings	Drilling platforms and equipment	Aircraft and vehicles	Non-drilling equipment, fixtures and fittings	Total
	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m
Accumulated depreciation and impairment					
At 1 January 20X8	136	20,432	3,912	851	25,331
Charges for the year	77	1,585	263	65	3,957
Written back on disposals	–	(209)	(2)	–	(211)
Written back on revaluation	(60)	–	–	–	(60)
At 31 December 20X8	153	21,808	4,173	916	27,050
Net carrying amount at 31 December 20X8	2,600	41,349	6,701	795	51,445

► **EXHIBIT 5.2** (Continued)

The exhibit above contains reconciling items commonly seen in the Notes. Other events disclosure of which would be required under HKAS 16 should they occur include:

- acquisitions through business combinations;
- disposals other than transfers of assets to the 'held for sale' category; and
- changes resulting from the recognition or reversal of impairment losses through other comprehensive income.

Apply and Analyse 12

NTT Limited reports the following two classes of property, plant and equipment in its financial statements:

- Land and buildings
- Plant and equipment

All figures that follow are in HK\$ million.

At 31 December 20X1, the respective carrying amounts of both classes were HK\$1,920 (gross carrying amount HK\$2,080) and HK\$5,485 (gross carrying amount of HK\$12,620).

During the 20X2 reporting period, the following events in relation to property, plant and equipment occurred:

- Land and buildings of HK\$185 were acquired;
- Plant and equipment acquisitions were HK\$1,105;

Apply and Analyse 12 (continued)

- Plant and equipment with a gross carrying amount of HK\$475 was sold. This plant and equipment had been depreciated by an aggregate amount of HK\$300 up to the date of disposal;
- Depreciation of buildings for the year was HK\$20 while depreciation and impairment charges on plant and equipment were HK\$2,140; and
- On 30 June 20X2, land and buildings were revalued upwards by HK\$230 after eliminating HK\$5 accumulated depreciation relating to the revalued buildings.

Required

Prepare a reconciliation between the carrying amounts of property, plant and equipment at the beginning and end of the 20X2 financial year that forms part of NNT Limited's property, plant and equipment note disclosure in the annual financial statements.

Analysis

	Land and buildings	Plant and equipment	Total
	HK\$m	HK\$m	HK\$m
Gross carrying amount			
At 1 January 20X2	2,080	12,620	14,700
Additions	185	1,105	1,290
Disposals	–	(475)	(475)
Revaluations	230	–	230
At 31 December 20X2	2,495	13,250	15,745
Accumulated depreciation & impairment			
At 1 January 20X2	160	7,135	7,295
Depreciation and impairment charges	20	2,140	2,160
Written back on disposal	–	(300)	(300)
Written back on revaluation	(5)	–	(5)
At 31 December 20X2	175	8,975	9,150
Net Carrying amount at 31 December 20X2	2,320	4,275	6,595

► Knowledge Check Questions

Question 15

Identify which of the following statements is *not* correct regarding disclosure of property, plant and equipment in accordance with HKAS 16.

- A** HKAS 16 requires disclosure of the gross carrying amounts and net carrying amounts of individual items of property, plant and equipment.
- B** HKAS 16 requires disclosure of the useful lives, or the depreciation rate used, for each class of property, plant and equipment.
- C** HKAS 16 requires disclosure of the measurement basis used for each class of property, plant and equipment.
- D** HKAS 16 requires disclosure of the carrying amount that would have been recognised under the cost model for each class of asset carried under the revaluation model.

Question 16

Identify which one of the following details could be ascertained from the disclosure requirements in HKAS 16 regarding the disposal of assets during the period for each class of property, plant and equipment.

- A** The aggregate proceeds from the disposals of assets within the class of property, plant and equipment.
- B** The net gain or loss from the disposal of assets within the class of property, plant and equipment.
- C** The carrying amount relating to the disposal of assets within the class of property, plant and equipment.
- D** Management's justification for the disposal of the assets within the class of property, plant and equipment.

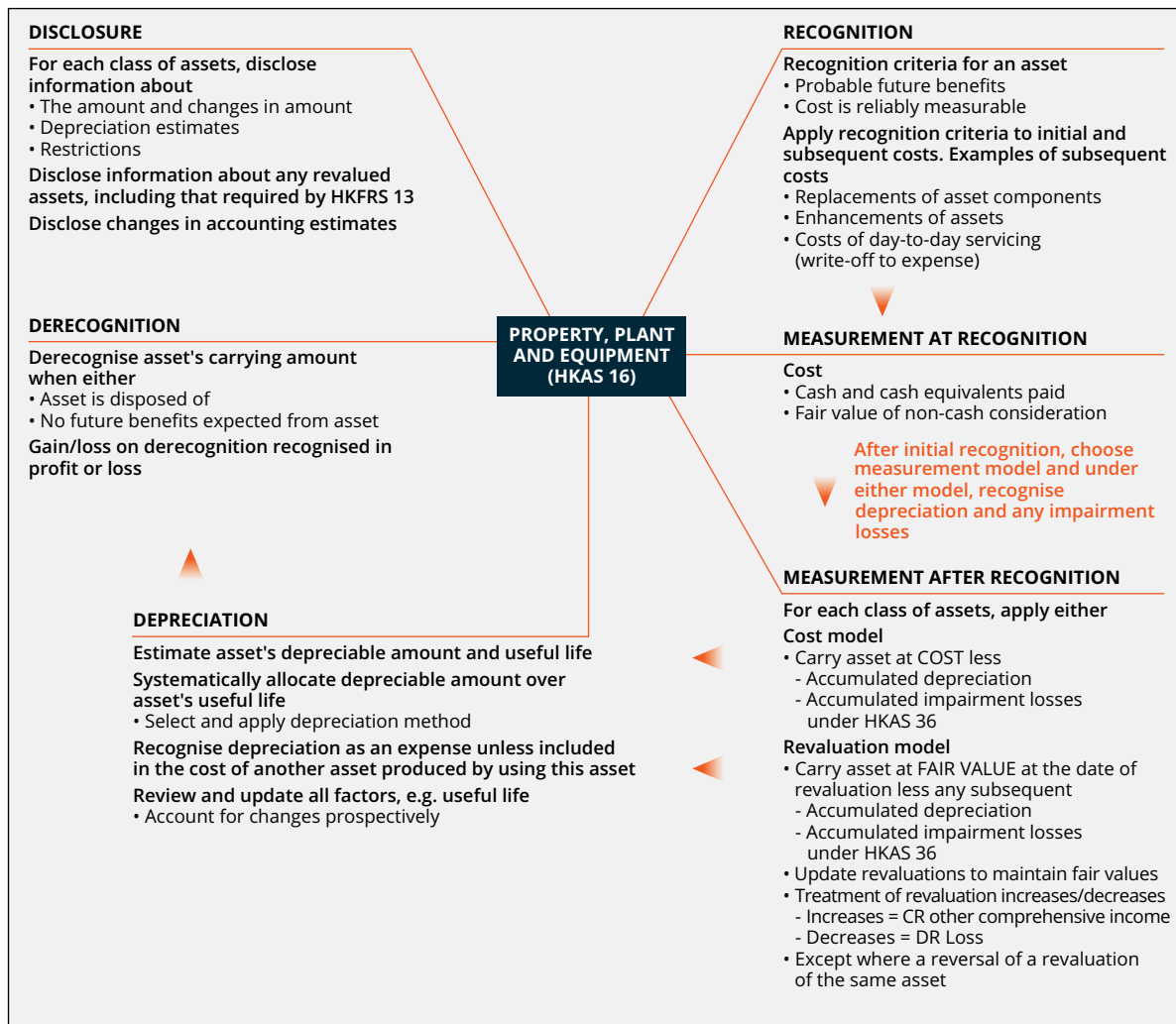


SUMMARY

- HKAS 16 specifies the accounting for property, plant and equipment.
- Property, plant and equipment are tangible items:
 - held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and
 - expected to be used during more than one period.
- An item of property, plant and equipment is recognised as an asset if:
 - it is probable that the item will generate future economic benefits; and
 - the item's cost can be measured reliably.
- When an item of property, plant and equipment is initially recognised, it is measured at its cost.
- The cost of an asset includes its purchase price, costs directly attributable to making the asset ready for its intended use, and the costs of extinguishing obligations to remove the asset and restore the site on which it is located.
- An asset's cost is measured as the cash or cash equivalents paid to acquire it, plus the fair value of any non-cash consideration paid as at the time of the asset's acquisition or construction.
- Subsequent to its initial recognition, an asset may be measured using either the cost model or revaluation model:
 - Under the cost model, an asset is measured at its original cost less any accumulated depreciation and accumulated impairment losses; and
 - Under the revaluation model, an asset is measured at its fair value at the date of revaluation less any subsequent accumulated depreciation and accumulated impairment losses, with all assets in the same class of assets revalued and revaluations updated sufficiently regularly to avoid material misstatement of the assets' fair values.
- Revaluation increases are credited to revaluation surplus through other comprehensive income.
- Revaluation decreases are recognised as expenses in profit or loss except to the extent that the revaluation decrease reverses a previous revaluation of the same asset, in which case the adjustment to equity is made through the same section of comprehensive income (i.e. profit or loss; or other comprehensive income) as the previous revaluation entry.
- An item of property, plant and equipment is depreciated over its useful life by systematically allocating its depreciable amount over that period.
 - An asset's depreciable amount is its cost (or other amount substituted for cost) less its residual value.

- Depreciation commences when the asset is ready for its intended use and ceases at the earlier of when the asset is held for sale or derecognised.
- Depreciation charges are recognised as expenses of the current period, unless they are included in the cost of another asset produced by using the asset being depreciated.
- An entity reviews the residual value, useful life and depreciation method (pattern of consumption) at least every financial year-end for changes, and accounts for any changes prospectively (i.e. over the asset's remaining useful life).
- The carrying amount of an asset is derecognised when the asset is disposed of or no future economic benefits are expected from the asset's use or disposal.
 - The resulting gain or loss is recognised in profit or loss when the asset is derecognised.
- An entity discloses sufficient information to enable users of its financial statements to assess, for each class of property, plant and equipment:
 - its amount and changes in that amount during the period (including their nature, e.g. revaluations);
 - the extent to which the costs of assets have been consumed through use or impairment;
 - the judgements made affecting estimates of depreciation (e.g. useful lives); and
 - the existence and amount of restrictions over assets.
- An entity discloses information about any revalued property, plant and equipment, including:
 - the effective date of the revaluation and whether an independent valuer was involved; and
 - information required by HKFRS 13 *Fair Value Measurement*, e.g. the valuation techniques and inputs used in fair value measurements.
- An entity also discloses any changes in accounting estimates regarding assets if those changes have an effect in the current period or are expected to have an effect in subsequent periods.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Though an item of property, plant and equipment may generate revenue, an item that is used for administrative purposes also satisfies the definition (HKAS 16.6(a)) property, plant and equipment

Answer B is incorrect. Under the Conceptual Framework, control, not ownership, is the characteristic that satisfies the definition of an asset. Though ownership may demonstrate control, control can exist without the entity necessarily owning the asset.

Answer C is correct. HKAS 16.6(b) states that property, plant and equipment are tangible items expected to be used for more than one period.

Answer D is incorrect. Under HKAS 16.6, property, plant and equipment are tangible (i.e. physical) items. Intangible (i.e. non-physical) assets are covered under a separate HKAS.

Question 2

Answer A is incorrect. A delivery van is a tangible fixed asset and that it is owned, rather than leased, by the entity falls within the scope of HKAS 16.

Answer B is correct. A lessee's right-of-use asset under a lease of a delivery van falls within the scope of HKFRS 16 *Leases*, not HKAS 16 (Chapter 7).

Answer C is incorrect. The nature of the consideration to acquire the delivery van does not alter the characteristics of the asset that satisfies the scope of HKAS 16.

Answer D is incorrect. Although based on original estimates, the asset is expected to have only one year of remaining useful life, the asset not only is expected to, it has been used for more than one period.

Question 3

Answer A is incorrect. The legal fees related to the building contract are an example of a professional fee that is a cost directly attributable to bringing the new asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Therefore, it qualifies as a cost of the new asset in accordance with HKAS 16.16(b).

Answer B is incorrect. The architect's fee is an example of a professional fee that is a cost directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Answer C is incorrect. The building materials are integral to the construction, and the delivery to the site of these is an example of a cost directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Answer D is correct. HKAS 16.19(a) identifies the costs of opening a new facility as an example of a cost that is not a cost of an item of property, plant and equipment. Such costs are not necessary to bring the item to the location and condition necessary for it to be capable of operating in the manner intended by management.

Question 4

Answer A is incorrect. An expenditure that improves the operating capacity of an item of property, plant and equipment would be considered to enhance the future benefit of the asset and would justify capitalisation.

Answer B is incorrect. An expenditure that extends the useful life of an item of property, plant and equipment would be considered to enhance the future benefit of the asset and would justify capitalisation.

Answer C is correct. Such an expenditure would be seen as merely restoring the asset to its operating capacity. HKAS 16.12 makes specific reference that expenditures seen as repairs and maintenance should be recognised in profit or loss as incurred.

Answer D is incorrect. An expenditure that reduces operating costs improves the net operating capacity of an item of property, plant and equipment would be considered to enhance the future benefit of the asset and would justify capitalisation.

**Question 5**

Answer A is incorrect. The cost of the modifications should be included as a directly attributable cost. The annual registration should be excluded because it is an operating cost incurred on a recurring basis and should be taken to profit or loss as an expense.

Answer B is incorrect. The stamp duty should be included as part of the purchase price. The annual registration should be excluded because it is an operating cost incurred on a recurring basis and should be taken to profit or loss as an expense.

Answer C is correct. The cost of the delivery van is the purchase price (HK\$70,000) and includes stamp duty (HK\$5,000) plus the modification costs (HK\$10,000) directly attributable to bringing the van to the condition necessary for it to be capable of operating in the manner intended by management.

Answer D is incorrect. The annual registration should be excluded because it is an operating cost incurred on a recurring basis and should be taken to profit or loss as an expense.

Question 6

Answer A is correct. The diminishing balance method allocates a higher amount of depreciation than the straight-line method in the early years of an asset's life. This is because the annual depreciation rate under the diminishing balance rate is greater than the straight-line rate. Under the diminishing balance method, the depreciation rate is applied to the reducing balance of the asset, which in the first year, is the asset's purchase price. Under the straight-line method, the depreciation rate is applied to the depreciable amount, which is the cost net of the estimated residual value. The depreciation charge under the diminishing balance method must always be greater than the straight-line charge in the first year.

Answer B is incorrect. The units of production method allocates depreciation on the basis of the asset's usage, which will not necessarily result in a charge greater than that under the straight-line method.

Answer C is incorrect. Though this statement is unlikely to be true, it is possible that the units of output in the first year could result in the depreciation charge being greater than the charge under the diminishing balance method.

Answer D is incorrect. The choice of depreciation method does have a bearing on the depreciation calculation. Each method of depreciation is most likely to result in a different amount of depreciation being charged in not just the first year of an asset's life, but in each subsequent year.

Question 7

Answer A is incorrect. Under the straight-line method, a higher estimate of an asset's useful life will result in a depreciable amount being allocated over more periods (or more units of production under the units of production method) and, therefore, a lower depreciation charge in the first year.

Answer B is correct. Under the units of production method (and the straight-line method), a higher estimate of an asset's residual value will result in a lower depreciable amount and, therefore, a lower depreciation charge in the first year.

Answer C is incorrect. A directly attributable cost incorrectly written off to profit or loss instead of being capitalised to the vehicle will result in a lesser depreciable amount of the asset and, therefore, a lesser amount of depreciation charged in the first year.

Answer D is incorrect. The calculation of depreciation under the diminishing balance method ignores the estimated residual value, so it has no impact.

Question 8

Answer A is incorrect. You have included the residual value in your calculations and this should be ignored under the diminishing balance method.

Answer B is incorrect. This would be the annual depreciation charge under the straight-line method $[(HK\$40,000 - HK\$10,000) \times 20\%]$.

Answer C is correct. Under the diminishing balance method, the depreciation rate is applied to the reduced balance from the start of each period. Depreciation in Year 1 = $HK\$40,000 \times 20\% = HK\$8,000$. Reduced balance at end of Year 1/start of Year 2 is $HK\$32,000$ ($HK\$40,000$ less $HK\$8,000$) and depreciation for Year 2 = $HK\$32,000 \times 20\% = HK\$6,400$.

Answer D is incorrect. You have either calculated the depreciation rate in Year 1, or you have applied the rate to the cost instead of the reduced balance in Year 2.

Question 9

Answer A is incorrect. Depreciation continues to be charged after an asset is identified as impaired although the basis for calculating depreciation will change.

Answer B is correct. After an asset has been adjusted by an impairment charge, depreciation in subsequent periods is recalibrated according to the new carrying amount (i.e. the recoverable amount at the time of the impairment) and the new estimates of remaining useful life and residual value. As these two estimates remain unchanged, only the 'cost' has changed, which because it is lower than the cost used from the date of acquisition, will mean depreciation in subsequent years will be less.

Answer C is incorrect. After an item of property, plant and equipment is impaired, subsequent depreciation will be re-calibrated according to the carrying amount after the impairment and any adjustment to the estimates of useful life and residual value, meaning the annual depreciation charge post-impairment will differ from that pre-impairment.

Answer D is incorrect. This alternative is the inverse of the correct response. Subsequent depreciation will be less, not greater.

Question 10

Answer A is incorrect. Upon initial recognition, all items of property, plant and equipment are measured at cost. The adoption of the revaluation model can only occur post-acquisition.

Answer B is incorrect. The revaluation model cannot be selectively applied to a single item of property, plant and equipment; it must be applied to an entire class of property, plant and equipment.

Answer C is correct. Under HKAS 16.36, if an item of property, plant and equipment is revalued, the entire class to which that asset belongs shall be revalued.



Answer D is incorrect. The revaluation model does not have to be applied consistently across all items of property, plant and equipment, only to all items within the same class. It does mean, therefore, that an entity may carry some classes of property, plant and equipment under the revaluation model and other classes under the cost model.

Question 11

Answer A is incorrect. Depreciation and impairment apply to items of property, plant and equipment carried under the revaluation model.

Answer B is incorrect. Impairment losses apply to items of property, plant and equipment carried under the revaluation model.

Answer C is incorrect. Depreciation applies to items of property, plant and equipment carried under the revaluation model.

Answer D is correct. Depreciable items of property, plant and equipment are subject to depreciation regardless of the model under which they are carried. An entity shall assess at the end of each reporting period whether there is any indication that an asset may be impaired. The difference is that any impairment of an item of property, plant and equipment carried under the revaluation model is treated as a revaluation decrease. So, though the treatment differs, impairment is still applicable.

Question 12

Answer A is incorrect. A revaluation decrease is taken to profit or loss, not to the revaluation surplus as other comprehensive income. You have also ignored the earlier revaluation increase, which still resides in the revaluation surplus.

Answer B is incorrect. The net decrease of HK\$10,000 across the two revaluations would be taken to profit or loss, not to the revaluation surplus as other comprehensive income.

Answer C is correct. At the time of the revaluation decrease in 20X6, a credit balance of \$40,000 is in the revaluation surplus in respect to that asset from the revaluation increase in 20X3. Under HKAS 16.40, the revaluation decrease shall be recognised in profit or loss except to the extent of this credit balance, which shall be recognised in other comprehensive income. Because the revaluation decrease exceeds the earlier revaluation increase, the credit balance is entirely offset, or reversed, and the balance becomes zero.

Answer D is incorrect. The HK\$50,000 revaluation decrease offsets, or reverses, the HK\$40,000 from the previous revaluation.

Question 13

Answer A is incorrect. This amount represents the derecognition of the gross carrying amount of the asset but not the loss on derecognition.

Answer B is incorrect. This is the carrying amount of the vehicle at the end of the 20X2. An adjustment for depreciation up to the date of derecognition must be made before recognising any gain or loss on derecognition. In this case, an adjustment for six months' depreciation up to 30 June 20X3 must be made which reduces the carrying amount by HK\$5,000.

Answer C is correct. The amount corresponding to the loss on derecognition is the carrying amount of the vehicle at the time of the accident, after allowing for depreciation up to that point. The depreciation charge is HK\$10,000 per year $((\text{HK\$}60,000 - \text{HK\$}10,000) \div 5)$ and the accident occurred $2\frac{1}{2}$ years into its useful life. The carrying amount is, therefore, HK\$35,000, calculated by HK\$60,000 less HK\$25,000.

Answer D is incorrect. You have included the residual value in the carrying amount of the vehicle by subtracting it. The residual value is incorporated into the depreciation calculation, but it reduces the depreciable amount of the asset, not its carrying amount.

Question 14

Answer A is incorrect. Although Answer A correctly identifies that the gain is recognised in profit or loss, it conflicts with the prohibition in HKAS 16 on recognising the gain within revenue.

Answer B is correct. HKAS 16 requires a gain arising from the derecognition of an item of property, plant and equipment to be included in profit or loss but further states that gains should not be included in revenue. Typically, this will be included as part of other income. This is consistent with the definition of income in the Conceptual Framework which makes the distinction between revenue and gains.

Answer C is incorrect. HKAS 16 requires a gain arising from the derecognition of an item of property, plant and equipment to be included in profit or loss, not other comprehensive income.

Answer D is incorrect. A gain on sale is not a cash flow. The proceeds from the sale would be recognised as an inflow from investing activities in the statement of cash flows.

Question 15

Answer A is correct. HKAS 16 does require such disclosure but only for each class of property, plant and equipment, not each item of property, plant and equipment.

Answer B is incorrect. This disclosure is specifically required under HKAS 16.73(c) and would appear in the notes as part of material accounting policy information disclosure.

Answer C is incorrect. This disclosure is specifically required under HKAS 16.73(a) and would appear in the notes as part of material accounting policy information disclosure.

Answer D is incorrect. This disclosure is specifically required under HKAS 16.77(e) and would appear in the property, plant and equipment note.

Question 16

Answer A is incorrect. The proceeds from disposals would be included as part of the disclosure of investing activities in the statement of cash flows, but even then, it would be an aggregate of the proceeds from disposing all items of property, plant and equipment, not disaggregated by classes of property, plant and equipment.

Answer B is incorrect. The net gain or loss from disposals of property, plant and equipment would, subject to materiality, be disclosed elsewhere under notes relating to income or expenses.

Answer C is correct. This detail could be found as part of the outward movements of each class of property, plant and equipment in the reconciliation of the carrying amount at the beginning and end of the period required under HKAS 16.73.

Answer D is incorrect. The standards do not require management to provide justification of their decision to dispose of items of property, plant and equipment.

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EXAM PRACTICE

QUESTION 1

Golden 88 Resorts Limited operates a chain of hotel resorts throughout Hong Kong and mainland China. Its latest hotel resort, Dragon Point, recently opened after an 18-month construction period.

The project manager, who was responsible for overseeing the construction phase of the project, is required to prepare a report for senior management.

She has provided you with the following summary of costs related to the project:

Item of cost	HK\$
Purchase price of land (paid in cash)	10,000,000
Stamp duty and legal fees	350,000
Removal of pre-existing buildings from site (see note below)	100,000
Application to local authorities for development	20,000
Expenses incurred in evaluating a different site found to be unsuitable	30,000
Architects' fees	75,000
Construction of resort	15,000,000
Reception costs to celebrate grand opening of resort	200,000
Salary of project manager for duration of construction	180,000

Additional information:

The cost of constructing the resort was financed entirely by borrowings that incur an annual interest charge of 4% per year.

She is required to present to senior management a report identifying costs as:

- depreciable capitalised costs;
- non-depreciable capitalised costs; and
- non-capitalised costs.

She is unfamiliar with these terms and is unsure why these distinctions are relevant.

Required:

Provide a brief explanation of the above terms and explain the significance of these distinctions in the context of HKAS 16 *Property, Plant and Equipment*.

Show how each of the costs should be allocated in line with the classifications required by the project manager's report to senior management.

QUESTION 2

Details regarding the classes of property, plant and equipment of Yang Consulting Services Limited (YCS) at 31 December 20X5 are as follows:

	HK\$
Equipment – cost	750,000
/less: Accumulated depreciation and impairment	(300,000)
Carrying amount	<u>450,000</u>
 Vehicles – cost	 1,300,000
/less: Accumulated depreciation and impairment	(290,000)
Carrying amount	<u>1,010,000</u>
 Land, at director's valuation 20X3	 <u>5,500,000</u>
 Building, at director's valuation 20X3	 2,200,000
/less: Accumulated depreciation and impairment	(210,000)
Carrying amount	<u>1,990,000</u>

YCS Limited's accounting policies relating to property, plant and equipment are as follows:

Depreciation

Class	Method	Annual rate
Equipment	Diminishing balance	15%
Vehicles	Straight-line	20% of depreciable amount
Buildings	Straight-line	2.5% of revalued amount
Land	Not applicable	

Vehicles are estimated to have residual values of 25% of their cost at the end of their useful lives.

Measurement bases

Land and buildings are carried under the revaluation model.

All other classes are carried under the cost model.

Revaluations

Revaluations are carried out every three years or earlier if there is any indication that the fair value differs materially from the asset's carrying amount.

Revaluation adjustments are made by eliminating any existing balance of accumulated depreciation against the gross carrying amount of the asset.

The balance of revaluation surplus at the reporting date is HK\$600,000, which is comprised of HK\$500,000 relating to previous revaluations of land and HK\$100,000 relating to previous revaluations of buildings.

No additions or disposals of property, plant and equipment occurred during the year ended 31 December 20X6.

On 31 December 20X6, the directors of YCS Limited obtained the following valuations for its classes of property, plant and equipment:

Land	HK\$6.2 million
Building	HK\$1.7 million

Both valuations are net of disposal costs.

All items of property, plant and equipment were considered to have recoverable amounts in excess of their carrying amounts except for one item of equipment whose recoverable amount was HK\$20,000 less than its carrying amount.

Required:

- Determine the depreciation expense that would be reported for property, plant and equipment for the year ended 31 December 20X6.
- Prepare the entries necessary to account for all relevant adjustments (other than depreciation) relating to property, plant and equipment on 31 December 20X6.
- Prepare the appropriate disclosure note that reconciles the carrying amount (including the gross carrying amount and the accumulated depreciation) at the beginning and end of the period.

QUESTION 3

CDE purchased a vehicle for HK\$75,000 on 1 January 20X1 as part of the salary package of one of its senior managers. In line with its accounting policy, the vehicle was depreciated on a straight-line basis using an estimated useful life of five years and a residual value 20% of its cost.

On 31 December 20X3, the vehicle was sold for HK\$35,000.

The senior manager who had been given the car was embarrassed to observe the loss arising from the sale of his vehicle. 'If only we had depreciated the vehicle under the diminishing balance method at a rate of 25%. We might have made a gain on the sale instead of a loss.'

Required:

- Prepare the entries to account for the derecognition of the vehicle on the date of disposal.
- Prepare the entry to account for the derecognition of the vehicle if the diminishing balance method at a rate of 25% had been used.
- Explain which of the two methods would have had the more favourable impact on profit or loss over the three years.

QUESTION 4

- Describe three events that would account for an increase in the carrying amount of a class of property, plant and equipment disclosed in the reconciliation of the carrying amount at the beginning and end of the period required under HKAS 16.
- Describe three events that would account for a decrease in the carrying amount of a class of property, plant and equipment disclosed in the reconciliation of the carrying amount at the beginning and end of the period required under HKAS 16.
- Describe two aspects of accounting policies in relation to property, plant and equipment that require disclosure under HKAS 16.

ANSWERS TO EXAM PRACTICE

QUESTION 1

In broad terms, the project costs should be capitalised or written off (non-capitalised). Costs that enable Golden 88 Resorts Limited to derive future benefits beyond the current period are capitalised by being recognised as an asset. Costs consumed during the current period and from which no future benefits are derived are not capitalised but are instead written off as expenses in determining profit or loss.

Costs capitalised as assets with a limited useful life are systematically allocated over the life of the asset as an expense called depreciation.

Costs capitalised as assets with an unlimited useful life are not subject to depreciation.

The Dragon Point project has given rise to land and buildings. However, the land and the buildings are separable assets and this distinction is important. The land has an unlimited useful life whereas the buildings have a limited useful life, and their cost will be subject to an annual depreciation charge.

In the context of the report to senior management, the costs allocated to the land would be identified as non-depreciable capitalised costs. Costs allocated to buildings would be identified as depreciable capitalised costs. Costs that are allocated as expenses rather than assets would be identified as non-capitalised.

Specifically, the costs provided in the summary should be allocated as follows:

Item of cost		Land	Buildings	Expense
	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Purchase price of land (paid in cash)	10,000	10,000	–	–
Stamp duty and legal fees ^a	350	350	–	–
Removal of pre-existing buildings from site ^b	100	–	100	–
Application to local authorities for development	20	–	20	–
Expenses incurred in evaluating a different site found to be unsuitable ^c	30	–	–	30
Architects' fees	75	–	75	–
Construction of resort	15,000	–	15,000	–
Reception costs to celebrate grand opening of resort ^d	200	–	–	200
Salary of project manager for duration of construction ^e	180	–	180	–
Borrowing costs ^f	900	–	900	–
Total	26,855	10,350	16,275	230

Notes:

- Stamp duty only applies on the transfer of land and buildings; the buildings were constructed after the land was acquired.
- The land was acquired for its location as a resort. The presence of the pre-existing buildings would not have been a factor in the purchase decision, so there is no justification to

capitalise their removal to the land. Once acquired, the land would be deemed to be in the location and condition ready to operate in the manner intended by management, which was to develop a resort. The construction of the new buildings could not occur without the pre-existing buildings being removed. The removal of the pre-existing buildings would be seen as a cost necessarily incurred to prepare the site for the construction of the new buildings. Therefore, it is a cost directly attributable to preparing the location as the initial stage of getting the new buildings ready to operate in the manner intended by management.

- c. Though these costs were incurred while searching for the most suitable site, these costs were not directly attributable to the acquisition of the land.
- d. Costs of opening a facility are specifically prohibited from being capitalised. Such costs are not necessary in bringing the building to the condition necessary for it to be capable of operating in the manner intended by management.
- e. Assumes the project manager's sole role over the period was managing the construction and is, therefore, capitalised as a directly attributable cost as it was incurred as part of bringing the building to the condition necessary for it to be capable of operating in the manner intended by management.
- f. The borrowings are directly attributable to the construction of the buildings. The buildings satisfy the definition of a qualifying asset because the 18-month construction period would constitute a 'substantial period of time' to get the buildings ready for their intended use. The borrowing costs shall be capitalised as part of the cost of the buildings. These costs are calculated as $\text{HK\$}15 \text{ million} \times 4\% \times 1.5 \text{ years} = \text{HK\$}900,000$.

HKAS
16.19(a)HKAS
23.8

QUESTION 2

- (a) Depreciation calculations:

Equipment	HK\$67,500 (HK\$450,000 × 15%)
Vehicles	HK\$195,000 (HK\$1.3 million × 75%)
Building	<u>HK\$55,000</u> (HK\$2.2 million × 2.5%)
TOTAL	<u>HK\$317,500</u>

- (b) Accounting entries on 31 December 20X6

Particulars	Debit	Credit
	HK\$	HK\$
Impairment loss equipment	20,000	
Accumulated impairment losses		20,000
(Impairment loss on equipment)		
Land	700,000 ¹	
Revaluation surplus		700,000
(Revaluation increase of land)		
Accumulated depreciation – building	265,000 ²	
Building		265,000
(Writeback of accumulated depreciation)		

Particulars	Debit	Credit
	HK\$	HK\$
Revaluation surplus (OCI ^a)	100,000 ³	
Loss on revaluation (profit or loss)	135,000 ⁴	
Building		235,000
(Revaluation decrease of building)		

Calculations:

1. Fair value of land HK\$6.2 million less carrying amount of land HK\$5.5 million
2. Accumulated depreciation at 31 December 20X6 (HK\$210,000) + depreciation charge for period (HK\$55,000)
3. Balance of revaluation surplus from prior revaluation which must be offset prior to recognising any revaluation decrease in profit or loss
4. Revaluation decrease = carrying amount of buildings HK\$1.935 million less fair value HK\$1.7 million = HK\$235,000; excess after reversal of balance in revaluation surplus above = HK\$135,000

a OCI = other comprehensive income

(c) Disclosure Note

	Equipment	Vehicles	Land	Buildings	Total
	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Gross carrying amount					
Balance at 1 January 20X6	750	1,300	5,500	2,200	9,750
Revaluations	-	-	700	(500)	200
Balance at 31 December 20X6	750	1,300	6,200	1,700	9,950
Accumulated depreciation & impairment					
Balance at 1 January 20X6	300	290	0	210	800
Depreciation charges	68	195	-	55	318
Impairment losses	20	-	-	-	20
Writeback on revaluation	-	-	-	(265)	(265)
Balance at 31 December 20X6	388	485	0	0	873
Net carrying amount at 31 December 20X6	362	815	6,200	1,700	9,077

QUESTION 3

(a) Accounting entry

	Debit	Credit
	HK\$	HK\$
Cash	35,000	
Accumulated depreciation	36,000	
Loss on sale	4,000	
Vehicle		75,000
(Derecognition of vehicle upon sale)		

Calculations:

Straight-line depreciation charge

Cost (HK\$75,000) less Residual value (HK\$15,000) ÷ Life (5 years) = HK\$12,000 per year

After three years, accumulated depreciation = HK\$36,000 and carrying amount = HK\$39,000 (depreciation is charged up to and including the date of disposal)

(b) Accounting entry

Particular	Debit HK\$	Credit HK\$
Cash	35,000	
Accumulated depreciation	43,360	
Vehicle		75,000
Gain on sale		3,360
(Derecognition of vehicle upon sale)		

Calculations:

Diminishing balance depreciation charges

20X1: HK\$75,000 × 25% = HK\$18,750; Carrying amount = HK\$56,250

20X2: HK\$56,250 × 25% = HK\$14,063; Carrying amount = HK\$42,187

20X3: HK\$42,187 × 25% = HK\$10,547; Carrying amount = HK\$31,640

After three years, accumulated depreciation = HK\$43,360 and carrying amount is HK\$31,640

- (c) The cost of the vehicle at acquisition was HK\$75,000 and the proceeds from its disposal three years later was HK\$35,000. The net cost of the benefit derived from the use of the vehicle over the three years was HK\$40,000. Regardless of the depreciation method used and the resulting gain or loss on disposal, the net effect on profit or loss over the three years will be the same.

Consider the following calculations comparing the two methods:

	HK\$	HK\$
<i>Straight-line method</i>		
Annual depreciation charge	12,000	[(75,000 less 15,000)/5 yr]
Carrying amount at disposal	39,000	[75,000 less (12,000 × 3 yr)]
Gain/(loss) on disposal	(4,000)	[35,000 less 39,000]
+ Depreciation charges Years 1 to 3	(36,000)	
Net effect on profit or loss Years 1 to 3	(40,000)	
<i>Diminishing balance method</i>		
Depreciation charge Year 1	18,750	[75,000 × 25%]

	HK\$	HK\$
Depreciation charge Year 2	14,063	[75,000 less 18,750) × 25%]
Depreciation charge Year 3	<u>10,547</u>	[(75,000 less 32,813) × 25%]
	<u>43,430</u>	
Carrying amount at disposal	31,640	[75,000 less 43,360]
Gain/(loss) on disposal	3,360	[35,000 less 31,640]
+ Depreciation charges Years 1 to 3	<u>(43,360)</u>	
Net effect on profit or loss Years 1 to 3	<u>(40,000)</u>	

Ultimately, a gain or loss on sale is simply accounting for the estimation error in over- or under-providing for depreciation over the life of the asset.

QUESTION 4

- (a) Events that would account for an increase in the carrying amount of property, plant and equipment (any three):
- Additions – the purchase or construction of individual items of property, plant and equipment, or expenditures that improve property, plant and equipment
 - Acquisitions through business combinations – the purchase of an item of property, plant and equipment as part of a business
 - Revaluation increases – if the revalued amount exceeds the carrying amount at the time of the revaluation, the carrying amount is adjusted up to the revalued amount
 - Reversals of impairment losses – impairment reversals reinstate previous decreases to the carrying amount of property, plant and equipment
- (b) Events that would account for a decrease in the carrying amount of property, plant and equipment (any three):
- Depreciation charges – depreciation charges increase the accumulated depreciation offset against the gross carrying amount
 - Impairment losses – impairment losses increase the accumulated impairment losses offset against the gross carrying amount
 - Revaluation decreases – if the carrying amount exceeds the revalued amount at the time of the revaluation, the carrying amount is adjusted down to the revalued amount
 - Derecognition due to sale – the carrying amount of any property, plant and equipment sold during the period is derecognised from the carrying amount
- (c) Accounting policies (any two)
- For each class of property, plant and equipment:
 - The measurement bases used – either the cost method or the revaluation method
 - The depreciation methods used – either straight-line, diminishing balance, or units of production
 - The estimated useful lives or depreciation rates

6

Investment Property



CHAPTER TOPIC LIST

6.1 Investment Property Overview

- 6.1.1** Investment Property
- 6.1.2** Owner-Occupied Property
- 6.1.3** Inventory

6.2 Recognition and Initial Measurement of Owned Investment Property

- 6.2.1** Recognition of Investment Property at Acquisition
- 6.2.2** Elements of Cost

6.3 Measurement After Recognition

- 6.3.1** Cost Model
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6.4 Transfers

- 6.4.1** Change in Use
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6.5 Presentation and Disclosure of Investment Property

- 6.5.1** Fair Value Model
- 6.5.2** Cost Model



LEARNING OUTCOMES

PRINCIPAL LO2 APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.06 Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to investment property

2.06.01 Define investment property

2.06.02 Explain when a property should be classified as investment property

2.06.03 Account for investment property under the cost model and fair value model

2.06.04 Account for a change in use of investment property

2.06.05 Prepare the disclosure in respect of investment property



OPENING CASE

PLATINUM PROPERTIES LIMITED

Platinum Properties Limited (Platinum) is a Hong Kong-based property development and investment company that:

- develops and redevelops property for sale as office buildings or residential dwellings, for use as administrative offices and for rental as offices or luxury private residences;
- manages properties it leases to tenants; and
- provides a range of property-related services to lessees, such as maintenance, cleaning, security and facility management.

Platinum's operations are vertically integrated, from land acquisition, project planning, project management, material sourcing and construction to marketing and sales (for properties developed for sale) and property management (for properties developed for rental).

Platinum holds various types of property, including:

- undeveloped land, some holdings of which were acquired for a particular purpose and other holdings held for a purpose yet to be determined;
- construction work-in-progress, in relation to properties held for sale in the ordinary course of business, properties to be held for rental and properties to be used as administrative offices; and
- completed properties, some held for sale in the ordinary course of business, some held for rental as offices or private residences, and others held for use as administrative offices. 



OVERVIEW

Investment property (IP) is property held to earn rentals, for capital appreciation, or both. It generates cash flows largely independently of the entity's other assets. Some entities managing investment property acquire land and develop part of it for sale in the ordinary course of business and hold the remainder for investment by leasing it out to earn rental income (i.e. not all their properties are investment properties). In addition, entities with investment property often generate income from property-related services, such as cleaning and security.

In this chapter, you will gain an understanding of the types of assets within the scope of HKAS 40 *Investment Property*, the recognition criteria for owned investment property, and how investment property is measured at recognition. You will also gain an understanding of how, subsequent to initial recognition, investment property may be measured, how to account for remeasurements of investment property, and when and how to account for transfers of property between investment property and other categories of asset. Furthermore, you will gain an understanding of the disclosures about investment property that HKAS 40 requires.

Investment property can be measured under either of two different models after recognition (one model is selected for all of an entity's investment properties). The measurement basis adopted affects the carrying amount in the statement of financial position and whether remeasurement gains and losses are recognised while the property is held.

In our case study of Platinum, its properties include undeveloped land, construction work-in-progress and completed properties (land and buildings) held for sale, occupation by Platinum or rental to others.

Throughout this chapter, examples are provided regarding Platinum's properties and the issues that Platinum needs to consider in:

- identifying, and accounting for, its investment properties; and
- accounting for transfers between investment property and other category of asset.

These examples provide a practical appreciation of how the requirements of HKAS 40 are applied.



6.1 INVESTMENT PROPERTY OVERVIEW

This chapter addresses the accounting for **investment property** in accordance with HKAS 40 *Investment Property*. HKAS 40 prescribes the recognition, measurement and disclosure requirements for investment property.

The principal issues in accounting for investment properties are:

- determining when a property qualifies as investment property, **owner-occupied property**, or inventory;
- recognising investment properties and accounting for subsequent expenditures to replace parts of an investment property;
- determining the **carrying amounts** of investment properties, both on initial recognition and subsequently (including choosing the measurement model for subsequent recognition); and
- determining when a change in a property's use occurs, giving rise to a transfer between an investment property and another category of asset (e.g. owner-occupied property or inventory) and accounting for that change.

In this section, you will gain an understanding of the types of assets to which HKAS 40 applies and be introduced to some of the terminology relevant to applying the principles in that HKFRS.

6.1.1 Investment Property

HKAS 40 defines 'investment property' as property (land or a building – or part of a building – or both) held (by the owner or by the lessee as a right-of-use asset) to earn rentals or for capital appreciation or both, rather than for:

- use in the production or supply of goods or services or for administrative purposes; or
- sale in the ordinary course of business.

Investment property generates cash flows largely independent of the entity's other assets. Examples of investment property are:

- land held for long-term capital appreciation rather than for short-term sale in the ordinary course of business;
- land held for a currently undetermined future use;
- a building owned by the entity or held as a right-of-use asset by the entity as a lessee and, in either case, leased out by the entity as a lessor under one or more operating leases;
- a vacant building held to be leased out by the entity as a lessor under one or more operating leases; and
- property being constructed or developed for future use as investment property.

HKAS
40.8

Land and/or buildings composing an investment property might be owned by the entity or be the entity's right-of-use asset as a lessee of the property (sometimes called 'leased investment property' in this chapter). An investment property might be leased out by an entity as a lessor in an operating lease. (See Chapter 7 for full coverage of leases.) This chapter sometimes calls investment property leased out by the entity as a lessor under an operating lease 'leased-out investment property'.

Exhibit 6.1 summarises the implications of whether investment property is owned or held as a right-of-use asset as a lessee and, in turn, whether the property is leased out by the entity under an operating lease or finance lease for identifying which HKFRS (or HKFRSs) applies to the property. In some cases, requirements of different HKFRSs apply to an investment property depending on the aspect (e.g. recognition or measurement) to be accounted for.

Category of investment property ('IP')	Is the property leased out?	Applicable HKFRS(s)
Owned IP	Not leased out or Leased out in an operating lease	HKAS 40
	Leased out in a finance lease	HKFRS 16: The investment property has been disposed of and the entity's interest in the property is a lease receivable
Leased IP (right-of-use asset)	Not leased out or Leased out in an operating lease	The recognition and initial measurement requirements in HKFRS 16. The subsequent measurement requirements in HKAS 40.
	Leased out in a finance lease	HKFRS 16: The investment property has been disposed of and the entity's interest in the property is a lease receivable

► **EXHIBIT 6.1** Applicability of HKFRSs to owned and leased investment property

In addition, the disclosure requirements of HKAS 40 apply to all investment property.

6.1.2 Owner-Occupied Property

Owner-occupied property is property held for use in the production or supply of goods or services or property held for administrative purposes. Owner-occupied property falls within the scope of HKAS 16 *Property, Plant and Equipment* or HKFRS 16 *Leases* rather than HKAS 40.

As noted in Section 6.1.1, an investment property might be owned by the entity or a right-of-use asset held by the entity as a lessee of the property. Similarly, an owner-occupied property might be owned by the entity or a right-of-use asset held by the entity as a lessee of the property, albeit different from investment property. Thus, owner-occupied property is not necessarily owned by the entity ('entity-occupied property' would be a more accurate term): *Occupied* is the key word here. The key distinguishing feature of owner-occupied property is that it generates cash flows jointly with other assets used in the production or supply process or jointly with assets in activities administered through using the owner-occupied property (e.g. this is the case with the entity's own administrative offices).

Examples of owner-occupied property are:

- property held for future use as owner-occupied property;
- property held for future development and subsequent use as owner-occupied property;

HKAS
40.9

- property occupied by employees (regardless of whether they pay rent at market rates); and
- owner-occupied property awaiting disposal.

6.1.3 Inventory

Property held for sale in the ordinary course of business or in the process of construction or development for such sale is classified as inventory and falls within the scope of HKAS 2 *Inventories* rather than HKAS 40. For example, property acquired exclusively:

- with a view to subsequent disposal in the near future; or
- for development and resale

is classified as inventory.

Apply and Analyse 1

As indicated in the Opening Case, Platinum Properties Limited (Platinum) is a property development and investment company with activities that include developing and redeveloping property for sale as office buildings or residential dwellings.

The following table shows an application of how to classify different properties of Platinum in accordance with various relevant accounting standards:

The properties of Platinum:	Determine the classification of each of these categories of property (as investment property, owner-occupied property or inventory):
1. Properties partly or completely developed (or redeveloped) for sale as office buildings or residential dwellings;	Inventory. HKAS 40.9(a) states that property intended for sale in the ordinary course of business or in the process of construction or development for such sale is inventory.
2. Undeveloped land acquired for future development and sale as office buildings or residential dwellings;	Inventory, because its purpose is to be developed and sold in the ordinary course of business.
3. Properties being rented out as offices or luxury private residences to tenant lessees under operating leases;	Investment property, because they are held to earn rentals. HKAS 40.8(c) identifies a building leased out under one or more operating leases as an example of investment property.
4. Properties being developed for rental as offices or luxury private residences to tenant lessees under operating leases;	Investment property. HKAS 40.8(e) states that property being constructed or developed for future use as investment property is an example of investment property.
5. Residential properties (e.g. condominiums) owned by Platinum to provide accommodation to expatriate employees;	Owner-occupied, property because HKAS 40.9(c) identifies property occupied by employees as an example of owner-occupied property.
6. Properties being developed for future use as administrative offices; and	Owner-occupied, property because HKAS 40.9(c) states that property held for future use as owner-occupied property should be classified as owner-occupied property.
7. Undeveloped land held for a purpose yet to be determined.	Investment property, consistent with HKAS 40.8(b), which states that land held for a currently undetermined future use is an example of investment property because the land is regarded as held for capital appreciation.

► Knowledge Check Question

Question 1

Identify which one of the following properties does not qualify as an investment property under HKAS 40:

- A** Land held for a currently undetermined future use.
- B** A vacant apartment held to be leased out by the entity as a lessor under an operating lease.
- C** A residential building leased out by the entity as a lessor to employees under operating leases at market rates of rent.
- D** An office tower being constructed to earn future rental income under operating leases in which the entity is the lessor.

6.2 RECOGNITION AND INITIAL MEASUREMENT OF OWNED INVESTMENT PROPERTY

Section 6.2.1 discusses the recognition of owned investment property at acquisition. Acquisition of owned investment property can occur when a property is initially acquired, when components of that property are replaced as they wear out, or when components are added to that property.

An owned investment property is measured initially at its cost. Section 6.2.2 describes the elements included in the measurement of that cost.

6.2.1 Recognition of Investment Property at Acquisition

Consistent with the recognition criteria for an item of property, plant and equipment in HKAS 16 *Property, Plant and Equipment* (see Chapter 5), HKAS 40 specifies that an owned investment property is recognised as an asset when, and only when:

- it is probable that the future economic benefits associated with the property will flow to the entity; and
- the property's cost can be measured reliably.

HKAS
40.16

A subsequent cost incurred to replace a component of an investment property would rarely fail the recognition criteria for capitalisation.

An entity evaluates under this recognition principle all its investment property costs when they are incurred. In practice, only some subsequent costs incurred in relation to an investment property might fail these recognition criteria and consequently be recognised as an expense when incurred.

The same recognition criteria apply to subsequent costs on additions to, replacements of, or servicing of an investment property as those applying to costs incurred initially to acquire the property.

HKAS
40.17

Typically, some components of an investment property require replacement more frequently than other components. For example, in an investment property building, the lifts and internal fittings will need replacing during the life of the building's superstructure. HKAS 40 adopts a 'component approach' under which subsequent costs incurred to replace components of an existing investment property (e.g. lifts and fittings) are capitalised as part of the property if those costs meet the recognition criteria set out above. Consequently, the carrying amount of the replaced part is derecognised.

HKAS
40.19

The costs of day-to-day servicing ('repairs and maintenance') of an investment property are excluded from the property's carrying amount and recognised as an expense when incurred. This treatment of these costs is the same as their treatment in relation to property, plant and equipment under HKAS 16 (see Chapter 5).

HKAS
40.18

The recognition criteria in HKAS 40 apply to owned investment property because, as specified in HKFRS 16, an investment property held by a lessee as a right-of-use asset is recognised in accordance with HKFRS 16 *Leases*.

6.2.2 Elements of Cost

An owned investment property is measured initially at its **cost**, which includes:

- its purchase price; and
- any directly attributable expenditure, which includes transaction costs, such as legal fees and property transfer taxes.

HKAS
40.20–21

The cost of an owned investment property is determined consistently with the cost of an owner-occupied property. For example, the cost of an owned investment property excludes:

- start-up costs (unless they are necessary to bring the property to the condition necessary for it to be capable of operating in the manner intended by management), for example, costs of advertising newly constructed rental accommodations for lease;
- operating losses incurred before the investment property achieves the planned level of occupancy; and
- abnormal amounts of wasted material, labour and other resources incurred in constructing or developing the property.

HKAS
40.23

The initial measurement of leased investment property held as a right-of-use asset by the entity as a lessee is determined in accordance with HKFRS 16 *Leases* (see Chapter 7).

Illustrative Example 1

Platinum Properties Limited (Platinum) has constructed Building A, which it intends to hold to earn rental income. In constructing the building, Platinum incurred the following costs during the year ending 31 December 20X0:

- architect's fees for drawings for new building – HK\$2 million
- payments to construction sub-contractors – HK\$25 million

Illustrative Example 1 (*continued*)

- cost of repairs of major damage to construction work-in-progress caused by a typhoon – HK\$3 million

Platinum classifies Building A as investment property because the building will be held to earn rentals. Building A is not classified as owner-occupied property because it will not be used in the production or supply of Platinum's goods or services or for administrative purposes. Building A is not inventory of Platinum because it is not intended for sale in the ordinary course of business or in the process of construction or development for such sale.

Platinum recognises an asset for Building A measured at cost of HK\$27 million, being the sum of the architect's fees and its payments to the construction sub-contractors (HK\$2 million + HK\$25 million). The cost of repairs of major damage to construction work-in-progress caused by a typhoon is not capitalised as part of the cost of the investment property because the cost is an abnormal outlay incurred in constructing the property. Instead, the cost of HK\$3 million is expensed to profit or loss.

Note: If Building A had been classified as owner-occupied property and consequently accounted for in accordance with HKAS 16, the initial measurement of the building would also have been HK\$27 million.

► Knowledge Check Questions

Question 2

Identify which one of the following statements is true under HKAS 40.

- A** The recognition criteria for costs incurred in relation to owned investment properties differ from the recognition criteria for property, plant and equipment in other HKFRSs.
- B** Costs incurred to replace a separate part of an investment property (e.g. a lift in an office building) are capitalised, and the carrying amount of the replaced part is derecognised.
- C** Costs incurred to replace a separate part of an investment property (e.g. a lift in an office building) are capitalised as part of that property only if they extend the period over which the entire property is expected to be used.
- D** The criteria for recognising investment property as an asset apply to investment property held as a right-of-use asset by the entity as a lessee.

Question 3

Identify which one of the following types of cost should be excluded from the cost of an investment property under HKAS 40.

- A** Costs of removing a derelict building on a new building site.
- B** The cost of obtaining regulatory approval to construct a new shopping centre to be held to earn rental income from shopkeeper tenants.
- C** Abnormal amounts of labour incurred during interruption of construction due to a typhoon.
- D** Property transfer taxes.

6.3 MEASUREMENT AFTER RECOGNITION

HKAS
40.30

An entity chooses the cost model or the fair value model to subsequently measure its investment properties (whether owned or leased) after initial recognition. This accounting policy option is discussed below. The cost model and fair value model are discussed in Sections 6.3.1 and 6.3.2, respectively.

Where permitted by HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* (see Chapter 13), an entity may change its accounting policy for investment property from the cost model to the fair value model after applying the cost model for one or more periods.

Although a change from the fair value model to the cost model is not explicitly prohibited, HKAS 40 makes it clear that it is highly unlikely that it would be permitted under HKFRSs.

6.3.1 Cost Model

If an entity chooses to apply the cost model to its investment properties, it applies the requirements for the cost model in HKAS 16 *Property, Plant and Equipment*. Under the cost model, an asset is carried at its cost less any accumulated depreciation and any accumulated impairment losses (see Chapter 5). Impairment losses are recognised and measured in accordance with HKAS 36 *Impairment of Assets* (see Chapter 11).

Apply and Analyse 2

Heron Properties Limited (Heron) self-constructed an office building, which it completed on 31 December 20X2 and, as a lessor, leases out to a tenant under an operating lease. Heron adopts the cost model to measure its investment properties and depreciates the components of the building on a straight-line basis. The cost, useful life and residual value for each significant component of the building are set out in the table below.

Component	Cost HK\$'000	Useful life (Years)	Residual value HK\$'000
Foundations	45,000	55	–
Exterior walls	35,000	35	4,000
Interior walls, ceiling and windows	20,000	15	–
Roof	18,000	25	–
Lifts	9,000	18	–
Technical systems (air conditioning, water and electrical)	<u>22,000</u>	8	–
Total	149,000		

Apply and Analyse 2 (continued)

Calculate the carrying amount of the building at 31 December 20X6 and demonstrate the accounting entry that records the building's depreciation for the year ending 31 December 20X6.

Analysis

The carrying amount of each significant component of the building and the carrying amount of the building are determined as follows:

Component	Cost	Useful life	Residual value	Annual depreciation (cost – residual value/useful life)	Carrying amount at 31 Dec 20X6 (cost – 4 years of depreciation)
	HK\$'000	(Years)	HK\$'000	HK\$'000	HK\$'000
Foundations	45,000	55	–	818	41,728
Exterior walls	35,000	35	4,000	886	31,456
Interior walls, ceiling and windows	20,000	15	–	1,333	14,668
Roof	18,000	25	–	720	15,120
Lifts	9,000	18	–	500	7,000
Technical systems (air conditioning, water and electrical)	22,000	8	–	2,750	11,000
Total	149,000			7,007	120,972

The building's carrying amount as at 31 December 20X6 under the cost model would be HK\$120,972,000. During the year, Heron records the following accounting entry:

Date	Particulars	Debit	Credit
20X6		HK\$'000	HK\$'000
	Depreciation expense	7,007	
	Accumulated depreciation – building		7,007
	(Depreciation of building for the year ending 31 December 20X6)		

6.3.2 Fair Value Model

HKAS
40.33

Under the fair value model, all of the entity's investment properties (whether owned or leased) are measured at fair value after initial recognition. The fair value of an investment property is determined in accordance with HKFRS 13 *Fair Value Measurement* (see Chapter 2).

HKAS
40.35

Under the fair value model, all changes in the **fair value** of investment property are recognised as gains or losses in profit or loss for the period in which each change occurs. This model is contrasted with the revaluation model for property, plant and equipment

in HKAS 16 in Exhibit 6.2, which sets out the difference in accounting entries between revaluations of items of property, plant and equipment (see Chapter 5), right-of-use assets that are not investment properties (see Chapter 7) and intangible assets (see Chapter 9) against fair value gains and losses under the fair value model for investment property.

Change in asset's carrying amount	Property, plant and equipment (revaluation model)		Investment property (fair value model)
Increase i.e. DR asset	CR revaluation surplus in other comprehensive income (OCI)	To the extent that the revaluation increase reverses a revaluation decrease of the same asset previously recognised in profit or loss: CR gain in profit or loss For the remainder of the increase: CR revaluation surplus in OCI	CR fair value gain in profit or loss
Decrease i.e. CR asset	DR loss in profit or loss	To the extent that any credit balance exists in the revaluation surplus (within equity) in respect of the same asset: DR revaluation surplus in OCI For the remainder of the decrease: DR loss in profit or loss	DR fair value loss in profit or loss

► **EXHIBIT 6.2 Accounting entries for revaluations of items of property, plant and equipment (revaluation model) vs. fair value gains and losses in relation to investment property (fair value model)**

The requirement to continue measuring investment property at fair value while it is remaining as investment property applies even if comparable market transactions become less frequent or market prices become less readily available.

HKAS
40.55

Each fair value estimate of investment property must reflect rental income from current leases and other assumptions that market participants would use when pricing investment property under current market conditions.

HKAS
40.40

Apply and Analyse 3

In contrast to the accounting policy adopted in the Apply and Analyse 2, assume that Heron Properties Limited (Heron) adopts the fair value model to measure its investment properties and, therefore, measures the self-constructed office building at fair value through profit or loss. Assume also that the fair value of the office building was HK\$152 million as at 31 December 20X3.

Heron obtained an independent valuation of the building's fair value as at 31 December 20X4. Due to a downturn in the market for office accommodation, the building's fair value was estimated to be HK\$143 million.

After a swift rebound in the market for office accommodation during 20X5, Heron obtained an independent valuation of the building's fair value as at 31 December 20X5. The building's fair value as at that date was estimated to be HK\$156 million.

Apply and Analyse 3 (continued)

Determine the accounting entries Heron should make to account for the building for the years ending 31 December 20X4 and 31 December 20X5.

Analysis

In applying the fair value model, Heron recognises in profit or loss the change in the building's fair value for each of the two financial years.

The building's fair value decreased by HK\$9 million (from HK\$152 million to HK\$143 million) during the year ending 31 December 20X4. Heron records the following accounting entry for that year:

Date	Particulars	Debit	Credit
20X4		HK\$m	HK\$m
	Fair value loss (profit or loss)	9	
	Building (investment property)		9
	(Fair value loss for the year ending 31 December 20X4)		

During the year ending 31 December 20X5, the building's fair value increased by HK\$13 million (from HK\$143 million to HK\$156 million). Heron records the following accounting entry for that year:

Date	Particulars	Debit	Credit
20X5		HK\$m	HK\$m
	Building (investment property)	13	
	Fair value gain (profit or loss)		13
	(Fair value gain for the year ending 31 December 20X5)		

► Knowledge Check Questions

Question 4

Identify which one of the following statements is untrue under HKAS 40.

- A** If an entity applies the cost model to its investment properties after initial recognition, those properties are measured at their cost less any accumulated depreciation.
- B** It is highly unlikely that HKFRSs would permit a change from the fair value model to the cost model to measure investment properties after initial recognition.
- C** If an entity has adopted the fair value model for subsequent measurement of its investment properties, any changes in the fair value of the investment properties are recognised as gains or losses in profit or loss for the period in which each change occurs.

► **Knowledge Check Questions (continued)**

D If an entity adopted the fair value model for subsequent measurement of its investment properties, it must do so for all investment properties and, as a result, cannot use the cost model for any investment properties after initial recognition.

Question 5

Sunburst Limited (Sunburst) adopts the fair value model to measure its investment property. The investment property was purchased for HK\$60 million on 1 January 20X0. The fair value of the investment property at 31 December 20X0 and 31 December 20X1 was:

- 31 December 20X0 – HK\$100 million
- 31 December 20X1 – HK\$85 million

Determine the accounting entry that Sunburst records during the year ended 31 December 20X1.

A	Debit	Credit
	HK\$m	HK\$m
Investment property	25	
Fair value gain (profit or loss)		25

B	Debit	Credit
	HK\$m	HK\$m
Fair value loss (profit or loss)	15	
Investment property		15

C	Debit	Credit
	HK\$m	HK\$m
Investment property	15	
Fair value gain (profit or loss)		15

D	Debit	Credit
	HK\$m	HK\$m
Fair value loss (other comprehensive income)	15	
Investment property		15

6.4 TRANSFERS

An entity may change its mind about how it uses a property and take steps to redeploy or dispose of the asset (without or without modification). In these cases, HKFRSs require the entity to reclassify the property so the financial statements faithfully depict the nature of each asset held and the asset is measured under the appropriate rules. Consequently, the accounting treatment of the asset might change.

To achieve this objective, an entity transfers a property between investment property and another category of asset (e.g. owner-occupied property or inventory) in either direction when, and only when:

- there is evidence of a change in the property's use; and
- that change in use causes the property to meet, or cease to meet, the definition of investment property.

HKAS
40.57

Evidence of a change in a property's use and the accounting treatments of transfers between investment property and either owner-occupied property or inventory are discussed in Sections 6.4.1 and 6.4.2.

6.4.1 Change in Use

Examples of evidence of a change in a property's use include:

For a change in use to investment property

- the end of owner occupation (transfer from owner-occupied property)
- inception of an operating lease to another party by the entity as a lessor (transfer from inventories)

For a change in use from investment property to owner-occupied property or inventory

- the commencement of owner occupation, or of development with a view to owner occupation (transfer to owner-occupied property)
- commencement of development with a view to sale (transfer to inventories).

These examples are not an exhaustive list of the events that provide evidence of a change in use of a property. In isolation, a change in management's intentions for the use of a property does not provide evidence of a change in use.

HKAS
40.57

When an entity decides to dispose of an investment property without development, it continues to treat the property as an investment property until it is derecognised and does not reclassify it as inventory.

HKAS
40.58

6.4.2 Recognition and Measurement of Transfers

When an asset is transferred into or out of investment property, its measurement model is conformed at the date of transfer to that of the asset category into which the asset is transferred. This will be:

- in the case of property, plant and equipment, the cost model or revaluation model, following that adopted for the class of assets it now belongs to;
- in the case of inventory, the lower of cost and net realisable value; and
- in the case of investment property, whichever of the cost model or fair value model was adopted for all investment properties.

The accounting requirements in HKAS 40 for transfers into or out of investment property specify how an entity achieves this basic principle. Those requirements are summarised in Exhibit 6.4.

Category of asset		Pre-transfer measurement model	Post-transfer measurement model and accounting treatment of transfer
Pre-transfer	Post-transfer		
HKAS 40.59	Owner-occupied property	Investment property	Cost
			<i>Cost:</i> Carrying amount of the property remains unchanged <i>Fair value:</i> (1) Update depreciation and any impairment losses up to when the change in use occurs, under the cost model, in accordance with HKAS 16 or HKFRS 16 (as applicable); and (2) Revalue the property to fair value upon the change in use. The component of comprehensive income arising from the revaluation increase/decrease is determined under the rules in HKAS 16 for revaluations of property, plant and equipment (see Chapter 5)
HKAS 40.61–62		Revaluation	<i>Cost:</i> HKAS 40 is silent about this circumstance.
HKAS 40.59	Inventory	Investment property	Cost
HKAS 40.63–64			<i>Cost:</i> The asset's carrying amount remains unchanged <i>Fair value:</i> Remeasure the asset to fair value upon the change in use. The resulting change in carrying amount is recognised in profit or loss (consistent with a sale of inventory)

► **EXHIBIT 6.4** Recognition and measurement of transfers between investment property and owned-occupied property, and between investment property and inventory, in either direction

	Category of asset		Pre-transfer measurement model	Post-transfer measurement model and accounting treatment of transfer
	Pre-transfer	Post-transfer		
HKAS 40.59	Investment property	Owner-occupied property	Cost	Cost: Carrying amount of the property remains unchanged
HKAS 40.59				Revaluation: (1) Carrying amount of the property remains unchanged when the change in use occurs; and (2) Revalue the asset as owner-occupied property at the end of the reporting period in which the transfer occurred, in accordance with HKAS 16
HKAS 40.60			Fair value	Cost: The property's fair value at the date of change in use becomes the property's deemed cost Revaluation: HKAS 40 is silent about this circumstance.
HKAS 40.59	Investment property	Inventory	Cost	Cost: Carrying amount of the property remains unchanged
HKAS 40.60			Fair value	Cost: The property's fair value at the date of change in use becomes the inventory item's deemed cost

► **EXHIBIT 6.4 (Continued)**

When an asset's measurement model changes from fair value to cost upon reclassifying the asset, the entity does not reverse the cumulative amount of fair value gains or losses to measure the asset as if it had always been classified in that manner. The asset's fair value at the date of change in use is the asset's deemed cost for subsequent accounting.

Apply and Analyse 4

Platinum Properties Limited (Platinum) operated a building ('Building B') as an office as of 31 December 20X4. Platinum classified the office building as an owner-occupied property on that date because it was used for administrative purposes. Platinum carried the building on the cost model. The building had a cost of HK\$85 million, a useful life of 35 years and a residual value of HK\$8 million. Platinum used the straight-line method of depreciation for the building. As at 31 December 20X4, after 15 years of use, the building's carrying amount was HK\$52 million (calculated as HK\$85 million – [(HK\$85 million – HK\$8 million) × (15 ÷ 35 years)]).

The management of Platinum formally decided on 30 November 20X5 to convert the building to apartments that would be leased out by the entity as a lessor in operating leases to earn rental income. On 31 December 20X5, the company vacated occupancy of the office building. The conversion works were carried out from January to April 20X6 at a cost of

Apply and Analyse 4 (continued)

HK\$30 million. Platinum carried its investment properties under the fair value model.

The fair value of the building on 30 November 20X5 was HK\$53 million, on 31 December 20X5 was HK\$57 million and on 31 December 20X6 was HK\$92 million.

Analyse the information provided to determine whether and, if so, when the building should be transferred to investment property. Demonstrate the accounting entries for Platinum's building for the year ending 31 December 20X5, including the effects of any reclassification of that building. Demonstrate the accounting entry for Platinum's building for the year ending 31 December 20X6.

Analysis

The management of Platinum formally decided on 30 November 20X5 to change the building's use from owner-occupation to being held to earn rental income, i.e. to change the building's use to an investment property.

HKAS 40 states that a change in a property's use to 'investment property' requires evidence of that change in use, and in isolation, a change in management's intentions for the use of a property does not provide evidence of a change in use. Therefore, the decision by the management of Platinum on 30 November 20X5 is not treated as changing the building's use to an investment property at that time.

HKAS 40 states that an example of a change in use from owner-occupied property to investment property is the end of owner-occupation. This event occurred on 31 December 20X5. Therefore, the property transferred from owner-occupied property to investment property on 31 December 20X5. The following paragraphs analyse these developments and explain the related accounting entries for the building for the years ending 31 December 20X5 and 31 December 20X6.

The building should be depreciated up to the date of change in use. Depreciation of the building for the year ending 31 December 20X5 should be calculated as the building's cost minus residual value (i.e. HK\$77 million) $\div$ 35 because the building has a useful life of 35 years and is depreciated on a straight-line basis. Therefore, the depreciation charge for the year ending on the date of the change in the property's use should be HK\$2,200,000. The building's carrying amount under HKAS 16 on 31 December 20X5 would be calculated as the balance at 31 December 20X4 (i.e. HK\$52 million) minus HK\$2,200,000 depreciation, i.e. HK\$49,800,000.

The building should then be revalued to fair value (using the entries specified by HKAS 16) on 31 December 20X5. The fair value of the investment property on 31 December 20X5 was HK\$57 million. Therefore, the building should be revalued from HK\$49,800,000 to HK\$57 million, a revaluation increase of HK\$7,200,000. Because the building had previously been measured under the cost model, it had not previously been revalued downwards through profit or loss. Therefore, the credit entry corresponding to the revaluation increase for the building (HK\$7,200,000) on 31 December 20X5 should be recognised as an increase in revaluation surplus through other comprehensive income.

Apply and Analyse 4 (continued)

The cost of converting the building into an apartment tower (HK\$30 million) incurred during January to April 20X6 should be capitalised as part of the building's carrying amount. Consequently, the building should be carried at HK\$87 million (i.e. HK\$57 million + HK\$30 million) after the conversion is completed.

As of 31 December 20X6, the building should be remeasured to its fair value (i.e. HK\$92 million), resulting in an increase of HK\$5 million over the building's post-conversion carrying amount. The credit entry corresponding to the HK\$5 million fair value increase for the building should be recognised as a gain in profit or loss, in accordance with the fair value model in HKAS 40.

The accounting entries are:

Date	Particulars	Debit	Credit
20X5		HK\$'000	HK\$'000
31 December	Depreciation expense	2,200	
	Accumulated depreciation – building		2,200
	(Depreciation of building up to the date of its transfer from owner-occupied property to investment property)		
	Property, plant and equipment (building)	7,200	
	Revaluation surplus (other comprehensive income)		7,200
	(Revaluation of owner-occupied property upon change in use)		
	Investment property (building)	57,000	
	Property, plant and equipment (building)		57,000
	(Transfer of owner-occupied property to investment property)		
January – April 20X6 (composite entry)			
Date	Particulars	Debit	Credit
20X6			
	Investment property (building)	30,000	
	Cash		30,000
	(Capitalise cost of converting office building to an apartment tower)		
Date	Particulars	Debit	Credit
20X6			
31 December	Investment property (building)	5,000	
	Fair value gain (profit or loss)		5,000
	(Remeasurement of investment property at the end of the financial year)		

► Knowledge Check Questions

Question 6

Identify which one of the following events is treated as a transfer of property between investment property and property, plant and equipment (in either direction) under HKAS 40.

- A** A decision by the entity's management that a building presently leased out to a tenant to earn rental income under an operating lease will be occupied by the entity as a head office after the lease expires.
- B** Unimproved land held for undetermined purposes commenced to be developed for sale.
- C** A building occupied by the entity's employees is vacated for redevelopment as apartments that will be leased out to tenants to earn rental income under operating leases.
- D** Land held for long-term capital appreciation commences to be developed for leasing out to tenants to earn rental income under operating leases.

Question 7

Identify which one of the following statements is untrue regarding the measurement implications of a transfer between investment property and another category of property.

- A** When a property transfers from investment property measured under the fair value model to inventory, fair value gains and losses since initial recognition of the property at cost are reversed to measure the inventory at the lower of cost and net realisable value.
- B** When an owned-occupied property measured under the cost model in HKAS 16 *Property, Plant and Equipment* transfers to investment property that will be measured under the fair value model, its depreciation and any impairment losses are updated to when that change in use occurs, and it is revalued to fair value when the change in use occurs. The resulting revaluation increase or decrease is recognised in the component of comprehensive income specified by the revaluation rules for property, plant and equipment in HKAS 16.
- C** When an investment property measured under the fair value model becomes owner-occupied property that will be measured under the cost model in HKAS 16 or HKFRS 16 *Leases*, the property's deemed cost for subsequent accounting in accordance with HKAS 16 or HKFRS 16 is the property's fair value at the date of change in use.
- D** When an item of inventory is transferred to investment property measured under the fair value model, the item is remeasured to fair value upon the change in use and the resulting change in its carrying amount is recognised in profit or loss.

Question 8

Platinum Properties Limited (Platinum) held a parcel of vacant land for a currently undetermined future use at 31 December 20X0. The company adopted the fair value model to measure its investment properties. As of 31 December 20X0, the land's fair value was HK\$50 million.

► **Knowledge Check Questions (*continued*)**

On 31 December 20X1, Platinum commenced construction of an office tower on the land to be used by Platinum's employees for administrative activities upon completion. On that date, the land's fair value was HK\$55 million. The company adopted the cost model to measure its owner-occupied properties.

Explain the impact of these events on the property held by Platinum for the year ended 31 December 20X1 in accordance with HKAS 40. Prepare the accounting entries demonstrating these impacts.

6.5 PRESENTATION AND DISCLOSURE OF INVESTMENT PROPERTY

The disclosures immediately below apply to investment properties regardless of whether they are measured under the fair value model or the cost model. Disclosures specifically required when the entity adopts the fair value model are identified in Section 6.5.1. Disclosures specifically required when the entity adopts the cost model are identified in Section 6.5.2.

The disclosures in this section apply in addition to:

- those applicable to lessors or lessees of investment properties in HKFRS 16 *Leases* (see Chapter 7);
- those in HKFRS 13 *Fair Value Measurement*, for properties measured or disclosed at fair value (e.g. the valuation techniques and inputs used to develop the fair value measurements, including the relevant level of the fair value hierarchy: see Chapter 2); and
- those in HKAS 36 *Impairment of Assets*, for impaired properties measured under the cost model (see Chapter 11).

In view of the choice of measurement models for measuring investment properties, HKAS 40 requires an entity to disclose whether it applies the fair value model or the cost model to measure its investment properties.

HKAS
40.75(a)

To enable users of financial statements to assess the nature and amount of all changes in an entity's investment properties during the period, an entity discloses a reconciliation of the carrying amount of investment properties at the beginning and end of the period. Regardless of which measurement model is adopted, that reconciliation discloses:

- additions;
- assets classified as held for sale (or included in a disposal group classified as held for sale) in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*;
- transfers to and from inventories and owner-occupied properties; and
- other changes.

HKAS
40.76, 79(d)

Other line items disclosed in the reconciliation (which are types of income and expense) depend on the measurement model adopted. They are identified in Sections 6.5.1 and 6.5.2.

Other disclosures required for investment properties measured under the fair value model or the cost model are:

- whether investment properties have been valued by an independent valuer who holds a recognised and relevant professional qualification and has recent experience in the location and category of the investment property being valued and, if so, the extent to which the fair value of investment property is based on such a valuation (in Section 6.5.2, the fair value of investment properties must be disclosed if the entity adopts the cost model);
- rental income from investment property;
- direct operating expenses (including repairs and maintenance) arising from investment property;

6.5.1 Fair Value Model

When an entity applies the fair value model to measure its investment properties, it also discloses:

HKAS
40.76(d)

- net gains or losses from fair value adjustments in its reconciliation of the carrying amount of investment properties at the beginning and end of the period;
- a reconciliation between the external valuation and the valuation included in the financial statements where an external valuation obtained was adjusted significantly (e.g. to avoid double-counting).

HKAS
40.78(d)

6.5.2 Cost Model

In view of the need to exercise judgements and make assumptions about uncertain future events when calculating depreciation in respect of investment property measured under the cost model, an entity applying the cost model to investment properties discloses:

- the depreciation methods used;
- the useful lives or depreciation rates used;
- depreciation for the period (within the reconciliation of the carrying amount: see below); and
- the gross carrying amount and the accumulated depreciation (aggregated with accumulated impairment losses) at the beginning and end of the period.

HKAS
40.79(a)–(d)

When an entity applies the cost model to measure its investment properties, it must also disclose:

- the following two items in its reconciliation of the carrying amount of investment properties at the beginning and end of the period:
 - depreciation
 - recognised impairment losses and reversals of impairment losses
- the fair value of the investment properties.

HKAS
40.79(d)(iv)–(v)

Illustrative Example 2

Platinum Properties Limited (Platinum) owns and rents out 'Building A', as described in Illustrative Example 1, which is an apartment tower investment property. Platinum measures under the fair value model in HKAS 40. In its financial statements for the year ended 31 December 20X4, in relation to the apartment tower, Platinum recognised 'Building HK\$75 million'.

In addition, Platinum owns 'Building B' as described in Apply and Analyse 4, which transferred from owner-occupied property (property, plant and equipment) to investment property on 31 December 20X5.

Platinum obtained a valuation of both buildings from an independent valuer, dated 31 December 20X5, and measured Buildings A and B at the valuations provided by the valuer (HK\$80 million and HK\$57 million, respectively) in its financial statements for the year ended 31 December 20X5.

Platinum had a loan with an outstanding principal of HK\$35 million secured over Building A as of 31 December 20X5, whereby the lender had rights to satisfy the loan from the proceeds from any sale of the building.

An illustration of the disclosures HKAS 40 required Platinum to make in relation to the information provided above regarding its investment properties for the year ending 31 December 20X5 is set out below.

Platinum applied the fair value model to measure its investment properties.

Reconciliation of the carrying amount of Building A and Building B (measured at fair value) between the beginning and end of the period (*these amounts would be incorporated in the totals disclosed for all investment properties measured at fair value*):

Beginning of the period	HK\$75 million
Transfer from owner-occupied property	HK\$57 million
Fair value adjustment (gain: recognised in profit or loss)	<u>HK\$5 million</u>
End of the period	<u>HK\$137 million</u>

The fair values of Building A (HK\$80 million) and Building B (HK\$57 million) as of 31 December 20X5 were based, without adjustment, on valuations by an independent valuer who held a recognised and relevant professional qualification and had recent experience in the location and category of those buildings.

Building A, which was measured at HK\$80 million on 31 December 20X5, was subject to a restriction under a loan agreement, whereby the lender was entitled to apply the proceeds from any sale of the building to extinguish the company's loan. The outstanding principal of the loan on 31 December 20X5 was HK\$35 million.

► Knowledge Check Question

Question 9

Panoramic Villas Limited (Panoramic) held an investment property throughout the current period to earn rental income as a lessor through operating leases and refurbished the property during that period. Panoramic adopted the fair value model for subsequent measurement of its investment properties. Assume the following information in relation to its refurbished investment property:

- Fair value at the beginning of the period: HK\$95 million
- Expenditure on refurbishment: HK\$15 million
- Carrying amount of parts of property replaced in refurbishment: HK\$4 million
- Rental income for the period: HK\$13 million
- Operating expenses for the period:
 - Direct (e.g. repairs and maintenance, insurance): HK\$3 million
 - Indirect (e.g. share of general administration costs): HK\$800,000
- Fair value at the end of the period: HK\$115 million

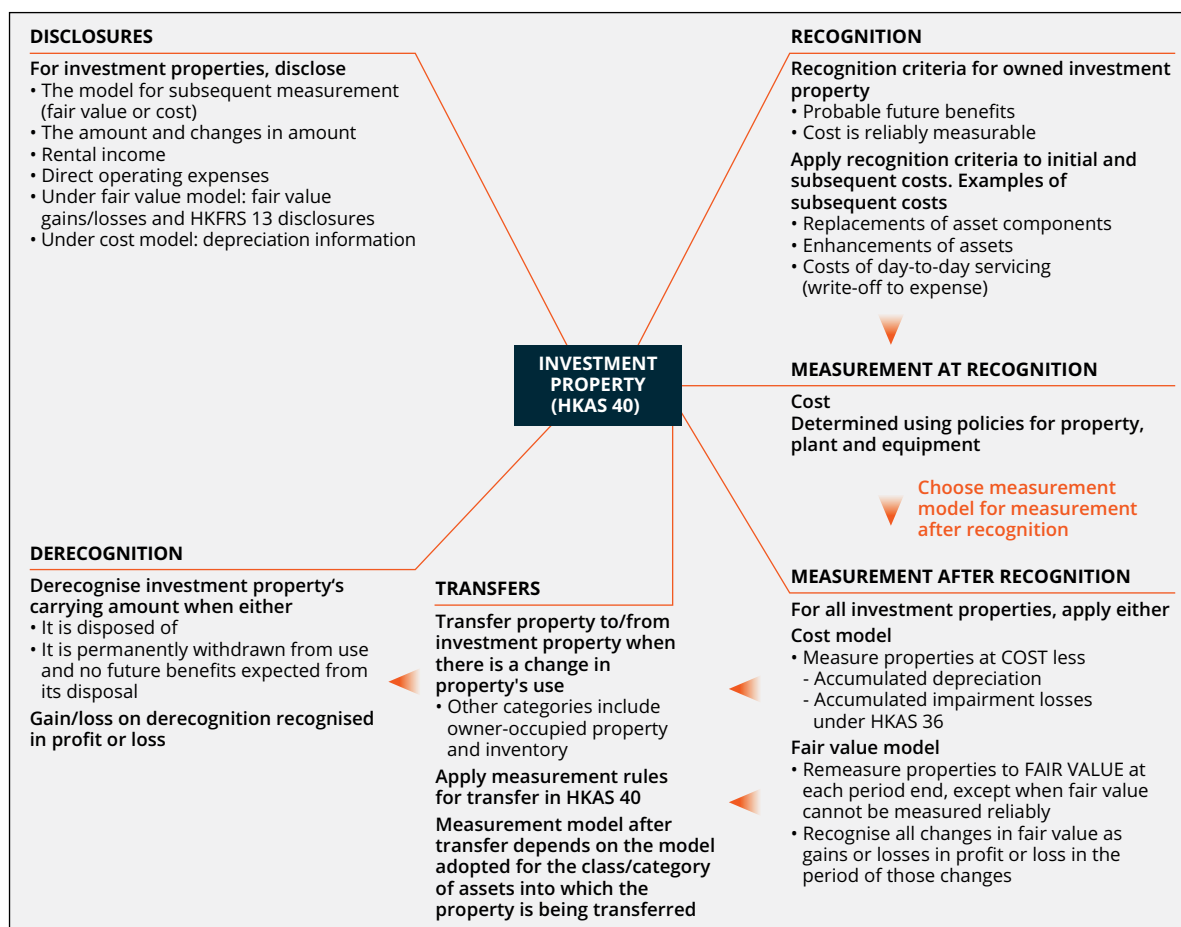
Demonstrate the disclosure requirements of HKAS 40 applicable to this information by preparing illustrative disclosures for the period in respect of Panoramic's refurbished investment property. Assume all amounts are material.



SUMMARY

- Investment property is property (land or a building, or part of a building, or both) held (by the owner or by the lessee as a right-of-use asset) to earn rentals or for capital appreciation or both.
- Owned investment property is recognised as an asset (at its cost) when, and only when:
 - it is probable that the property will generate future economic benefits; and
 - the property's cost can be measured reliably.
- An entity chooses the fair value model or the cost model to measure all its investment properties subsequent to initial recognition:
 - Under the fair value model, investment properties are measured at fair value at each reporting date, with changes in fair value recognised immediately as gains or losses in profit or loss.
 - Under the cost model, investment properties are measured at their original cost less accumulated depreciation and any accumulated impairment losses in accordance with the requirements of HKAS 16 *Property, Plant and Equipment*.
- If an entity holds leased investment property as a lessee, it applies the requirements of HKFRS 16 *Leases* to the recognition and initial measurement of its right-of-use asset. Subsequently:
 - if that entity applies the cost model to all its investment properties, the right-of-use asset is measured in accordance with HKFRS 16; or
 - if that entity applies the fair value model to all its investment properties, the right-of-use asset is measured at fair value in accordance with HKAS 40.
- An entity transfers a property to, or from, investment property when, and only when:
 - there is a change in the property's use; and
 - that change in use causes the property to meet, or cease to meet, the definition of investment property.
- An entity's disclosures about its investment properties include:
 - whether it applies the fair value model or the cost model;
 - the amount of investment property and changes in that amount, by source;
 - rental income from investment property; and
 - direct operating expenses arising from investment property.
- If the entity uses the fair value model for its investment properties, it also discloses:
 - fair value gains and losses; and
 - information required by HKFRS 13 *Fair Value Measurement*.
- If the entity uses the cost model for its investment properties, it also discloses:
 - some of the information required by HKAS 16 for property, plant and equipment; and
 - the fair value of investment property.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Even though the entity has yet to determine the future use of the property, while the property is being held, it effectively is held for capital appreciation unless and until a different use has been determined. HKAS 40 states that land held for a currently undetermined future use is classified as investment property.

Answer B is incorrect. A vacant building held to be leased out by the entity as a lessor under an operating lease is identified by HKAS 40 as an example of investment property.

Answer C is correct. Property occupied by employees does not generate cash flows largely independently of the entity's production processes and, therefore, lacks a key characteristic of investment property. This is the case even if employee tenants pay market rates of rent under the operating leases in which the entity is a lessor. Property occupied by employees is owner-occupied property.

HKAS
40.8(b)

HKAS
40.8(d)

HKAS
40.9(c)

HKAS
40.8(e)

Answer D is incorrect. Property being constructed or developed for future use as investment property (e.g. by earning future rental income) is identified by HKAS 40 as an example of investment property.

Question 2

HKAS
40.16

Answer A is incorrect. The recognition criteria in HKAS 40 for costs incurred in relation to owned investment properties are consistent with those for an item of property, plant and equipment in HKAS 16.

Answer B is correct. HKAS 40.19 indicates that costs incurred to replace a part of an investment property are capitalised, and the carrying amount of the replaced part is derecognised.

HKAS
40.19

Answer C is incorrect. HKAS 40 takes a 'component' approach to the recognition and derecognition of assets. Regardless of the period over which an entire property is expected to be used, if a part of that property (e.g. a lift in an office building) has reached the end of its life and is replaced, the accounting for the costs of replacement is unaffected by the larger property. The unit of account for the derecognition of the part and the recognition of the replacement is the part. This reflects the fact that the lives of parts can be shorter than the life of the property to which they belong.

Answer D is incorrect. Leased investment property held as a right-of-use asset by the entity as a lessee is recognised under HKFRS 16 *Leases*, without needing to satisfy recognition criteria.

Question 3

Answer A is incorrect. The cost of removing an impediment to a redeveloped investment property is a cost directly attributable to acquiring or constructing that property. Therefore, it qualifies as a cost of the investment property in accordance with HKAS 40.21.

Answer B is incorrect. The cost of obtaining regulatory approval to construct a new shopping centre is a transaction cost necessarily incurred in and, therefore, directly attributable to acquiring or constructing that property. Therefore, it qualifies as a cost of the investment property in accordance with HKAS 40.21.

Answer C is correct. HKAS 40.23(c) identifies abnormal amounts of wasted material, labour and other resources incurred in constructing or developing a property as a cost excluded from the cost of an investment property.

Answer D is incorrect. HKAS 40.21 identifies property transfer taxes as a directly attributable expenditure included in the cost of an investment property.

Question 4

HKAS 40.56(c)
HKAS 16.30

Answer A is correct. It is untrue that, under the cost model, investment properties are measured at their cost less any accumulated depreciation because that description is incomplete. Under HKAS 40, any accumulated impairment losses are also deducted from the cost of an investment property.

Answer B is incorrect. HKAS 40.31 indicates it is highly unlikely that a change from the fair value model to the cost model to measure investment properties would be permitted under HKFRSs. This is because it is highly unlikely that such a voluntary change in accounting policy would result in presenting more relevant information about the effects

of transactions, other events or conditions on the entity's financial position, financial performance or cash flows, as required by HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*. Therefore, the statement in B is true.

Answer C is incorrect. HKAS 40.35 states a gain or loss arising from a change the fair value of investment property is to be recognised in profit or loss in the period that the change occurs. Therefore, the statement in C is true.

Answer D is incorrect. HKAS 40.33 states that after initial recognition an entity that chooses the fair value model shall measure all of its investment property at fair value. Therefore, the statement in D is true.

Question 5

Answer A is incorrect. This is the cumulative fair value gain on the property since acquisition.

Answer B is correct. The fair value movement from the investment property's fair value at the end of the previous reporting period (HK\$15 million = HK\$100 million – HK\$85 million) is recognised as a loss in profit or loss.

Answer C is incorrect. The fair value movement from the end of the previous reporting period is a fair value loss because the fair value of the property has decreased from HK\$100 million to HK\$85 million.

Answer D is incorrect. The fair value loss should not be recognised in other comprehensive income because, under the fair value model, all fair value gains and losses on investment property are recognised in profit or loss.

Question 6

Answer A is incorrect. HKAS 40 indicates that, in isolation, a change in management's intentions for the use of a property does not provide evidence of a change in the property's use (i.e. a transfer). A transfer from investment property (the building's present use to earn rental income) to owner-occupied property (the building's use as a head office) is treated as occurring when evidence exists of the change in use, e.g. the commencement of occupancy of the building by the entity's staff.

Answer B is incorrect. Under HKAS 40, land held for a currently undetermined future use is classified as an investment property. Commencing development of that land for sale is a change in the property's use; however, that change in use is a transfer from investment property to inventories rather than to property, plant and equipment.

Answer C is correct. A building occupied by the entity's employees is classified as an owner-occupied property under HKAS 40 and falls within the scope of HKAS 16 *Property, Plant and Equipment*. Vacating occupancy constitutes the end of owner-occupation, which HKAS 40 identifies as evidence of a change in use. Being held to earn rentals after redevelopment qualifies the building as an investment property. Therefore, that change in use is a transfer of the building from property, plant and equipment to investment property.

Answer D is incorrect. Under HKAS 40, land held for long-term capital appreciation is classified as an investment property. Property (whether land or a building) developed for leasing out to tenants to earn rental income under operating leases is also classified as investment property. Therefore, commencing development of the land is not a change in use for the purposes of HKAS 40.57; i.e. the property does not cease to meet the definition of an investment property. Therefore, no transfer from investment property occurred.

HKAS
40.57(a)

HKAS
40.57(b)

HKAS
40.57(c)

HKAS
40.8(a)

HKAS
40.8(c),(e)

Question 7

Answer A is correct. When a property transfers from investment property measured under the fair value model to inventory, there is no need to restate the property to its original cost. HKAS 40.60 states that, for a transfer from investment property carried at fair value to inventories, the property's fair value at the date of change in use is the property's deemed cost for subsequent accounting in accordance with HKAS 2. Therefore, the statement in A is untrue.

Answer B is incorrect. When an owned-occupied property measured under the cost model in HKAS 16 transfers to investment property measured under the fair value model, in accordance with HKAS 40.61–40.62, the entity:

- updates depreciation and any impairment losses up to when the change in use occurs in accordance with HKAS 16; and
- remeasures the property to fair value upon the change in use. The component of comprehensive income arising from the revaluation increase/decrease (i.e. either profit or loss, or other comprehensive income [increase in revaluation surplus]) is determined under the rules in HKAS 16 for revaluations of property, plant and equipment. Therefore, the statement in B is true.

Answer C is incorrect. HKAS 40.60 states that, for a transfer from investment property carried at fair value to owner-occupied property or inventories, the property's deemed cost for subsequent accounting in accordance with HKAS 16 *Property, Plant and Equipment*, HKFRS 16 *Leases* or HKAS 2 *Inventories* is the property's fair value at the date of change in use. Therefore, the statement in C is true.

Answer D is incorrect. When an item of inventory is transferred to investment property measured under the fair value model, the item is remeasured to fair value upon the change in use. The resulting change in the item's carrying amount is recognised in profit or loss, consistent with the treatment of a sale of inventory. Therefore, the statement in D is true.

Question 8

Platinum's property (land) held for a currently undetermined future use as of 31 December 20X0 should, in accordance with HKAS 40.8(b), have been classified as an investment property. In accordance with HKAS 40.9(c), an office tower under construction for future administrative purposes classified as owner-occupied property. Evidence of the change in the use of Platinum's property, from investment property to owner-occupied property, is the commencement of the tower's construction with a view to owner-occupation on 31 December 20X1. HKAS 40 requires Platinum to:

- transfer the property from investment property to property, plant and equipment on 31 December 20X1; and
- measure the property as an item of property, plant and equipment from that date onward. Consistent with the measurement of the company's owner-occupied properties on the cost model, the property should be measured under the cost model in HKAS 16 *Property, Plant and Equipment* from 31 December 20X1 onwards.

HKAS
40.63–64

HKAS 40.60 requires the property's deemed cost for subsequent accounting in accordance with HKAS 16 to be its fair value at the date of change in use (transfer), i.e. HK\$55 million. To apply this requirement, Platinum needs to remeasure the property from its previous carrying amount of HK\$50 million to its fair value as at 31 December 20X1 (the date of transfer) of HK\$55 million: an increase of HK\$5 million. This remeasurement recognises a change in fair value when the property remained an investment property, which therefore, is recognised as a fair value gain in profit or loss in accordance with HKAS 40.35.

The accounting entries should be:

Date	Particulars	Debit	Credit
20X1		HK\$m	HK\$m
31 December	Investment property (land)	5	
	Fair value gain (profit or loss)		5
	(Remeasurement of investment property immediately before its transfer to owner-occupied property)		
	Property, plant and equipment (land)	55	
	Investment property (land)		55
	(Transfer of investment property to owner-occupied property)		

Question 9

The following disclosures illustrate the requirements in HKAS 40 pertaining to Panoramic's refurbished investment property. Where amounts exist for other investment properties affected by these disclosures, the disclosures for the refurbished investment property would be incorporated within the disclosures for all investment properties.

The company adopts the fair value model to measure its investment properties.

Reconciliation of the refurbished investment property's carrying amount between the beginning and end of the period:

Beginning of the period		HK\$95 million
Increase from refurbishment:		
Gross expenditure	HK\$15 million	
Carrying amount of replaced parts	<u>HK\$(4) million^a</u>	HK\$11 million
Fair value adjustment (gain: recognised in profit or loss)		<u>HK\$9 million</u>
End of the period		<u>HK\$115 million</u>

^a HKAS 40 does not specify whether the addition resulting from the refurbishment should be disclosed net of the carrying amount of the parts of the property replaced in the refurbishment (HK\$4 million) or whether the carrying amount of those derecognised parts should be disclosed separately under 'other changes' (which are referred to in HKAS 40.76(g)).

Rental income from refurbished investment property (*included in the total rental income from all investment properties*) – recognised in profit or loss: HK\$13 million

Direct operating expenses from refurbished investment property (*included in the total of direct operating expenses from all investment properties*) – recognised in profit or loss: HK\$3 million

(HKAS 40 does not require disclosure of the indirect operating expenses for the refurbished investment property (i.e. HK\$800,000).)

EXAM PRACTICE

QUESTION 1

Flexible Capital Corporation (Flexible), a property development and investment company, adopts the fair value model for investment property. One of its investment properties is a parcel of land held with the intention of future development in the construction of residential dwellings that will be held to earn rental income through operating leases.

The land's fair value on 31 December 20X0 was HK\$70 million, and on 31 December 20X1 its fair value was HK\$73 million. On 30 September 20X1, the management of Flexible decided to sell the land without developing it and commenced active marketing of the land. As at 31 December 20X1, the land was still unsold.

Assume that the parcel of land meets the criteria for classification as a non-current asset held for sale under HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*. The land is available for immediate sale in its present condition, and its sale is highly probable. The estimated costs to sell the parcel of land are HK\$4 million.

Required:

Analyse the information provided about the events affecting the parcel of land during the financial year ended 31 December 20X1. Prepare a note documenting your analysis and conclusions regarding how to account for those events in accordance with HKFRSs, and demonstrate your conclusions by presenting the accounting entry or entries (including their date(s)) for those events.

QUESTION 2

Platinum Properties Limited (Platinum), a property development and investment company, has the following properties on 31 December 20X0 and 31 December 20X1:

Property	Original cost HK\$ million	Carrying amount as at 31 December 20X0 HK\$ million
Office tower	70	45
Unimproved land at 31 December 20X0	48	55

The company adopts the cost model for owner-occupied property and the fair value model for investment property. Its inventories are measured at the lower of cost and net realisable value. For simplicity, assume that the inventories' net realisable value exceeds their cost at each measurement date.

The office tower has a useful life of 35 years. Owner-occupied buildings are depreciated on a straight-line basis. The residual value of each depreciable asset is zero.

Part (a) – Classification and measurement as at 31 December 20X0

The use of each property on 31 December 20X0 was:

- Office tower: Occupied by the company as its head office
- Unimproved land on 31 December 20X0: Held for a currently undetermined future use

Required:

Identify how each property would have been classified by Platinum as of 31 December 20X0 and the measurement basis underlying its carrying amount at that date, assuming HKFRSs were correctly applied to the property. Justify your conclusions.

Part (b) – Events occurring during the year ended 31 December 20X1

Office tower: The office tower was vacated by Platinum on 30 April 20X1. It was refurbished during May to June 20X1 at a cost of HK\$22 million. For simplicity, assume that no parts of the tower were replaced when it was refurbished. The tower was leased by Platinum as a lessor under an operating lease to earn rental income: the lease inceptioned on 10 July 20X1. The fair value of the office tower on 30 April 20X1 was HK\$60 million, on 10 July 20X1 was HK\$90 million, and on 31 December 20X1 was HK\$94 million.

Land: Platinum's management decided on 31 July 20X1 to develop for sale the unimproved land on 31 December 20X0. Development for sale commenced on 15 August 20X1. The land's fair value on 31 July 20X1 was HK\$60 million and on 15 August 20X1 was HK\$61 million. On 31 December 20X1, the fair value of the property under development was HK\$123 million.

Required:

Assume you are the audit senior on the Platinum audit. Analyse the potential changes in use of the two properties and other economic events affecting these properties during the financial year ending 31 December 20X1. Prepare a file note documenting your analysis and conclusions regarding how to account for those events in accordance with HKAS 40, and demonstrate your conclusions by presenting the accounting entries (including their dates) for those events. Include the accounting entries for:

- depreciation that arises for any property measured under the cost model during the year ended 31 December 20X1; and
- any remeasurements of property appropriate as of 31 December 20X1.

Show a composite accounting entry for the total cost of refurbishing the office tower during May to June 20X1.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Although the parcel of land satisfies the criteria in HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* to be classified as 'held for sale', the measurement provisions of that HKFRS do not apply to non-current assets accounted for in accordance with the fair value model in HKAS 40 *Investment Property*. If the measurement provisions of HKFRS 5 had applied to the parcel of land, on 31 December 20X1, it would have been measured at the lower of its carrying amount (HK\$70 million) and fair value less costs to sell (HK\$69 million, calculated as HK\$73 million – HK\$4 million). However, because those measurement provisions do not apply, the parcel of land is measured at its fair value on 31 December 20X1 (HK\$73 million) in accordance with HKAS 40.

During the year ending 31 December 20X1, the land's fair value increased by HK\$3 million (from HK\$70 million to HK\$73 million). In accordance with HKAS 40, Flexible recognises the increase as a fair value gain in profit or loss and does this by recording the following accounting entry for the year ending 31 December 20X1:

Date	Particulars	Debit	Credit
20X1		HK\$m	HK\$m
31 December	Land (investment property)	3	
	Fair value gain (profit or loss)		3
	(Fair value gain for the year ending 31 December 20X1)		

QUESTION 2

Part (a) – The office tower would have been classified as an owner-occupied property on 31 December 20X0 in accordance with the definition of 'owner-occupied property' because it was occupied as the company's head office. Consistent with the measurement of the company's owner-occupied properties on the cost model, the office tower would have been measured under the cost model on 31 December 20X0 (i.e. at cost less accumulated depreciation and any accumulated impairment losses).

The land holding that was unimproved on 31 December 20X0 would have been classified as an investment property on that date because HKAS 40 states that land held for a currently undetermined future use is an example of investment property. Consistent with the measurement of the company's investment properties at fair value, the property would have been measured at fair value on 31 December 20X0.

Part (b) – *Office tower*

The office tower should be reclassified from owner-occupied property to investment property on 30 April 20X1 when owner-occupation by the company ceased. This is because that event provides evidence that the office tower was held to earn rental income after refurbishment and the change in use causes the office tower to meet the definition of investment property. Platinum should account for the transfer by:

- depreciating the office tower up to the date of change in use. Depreciation of the office tower for the four-month period to 30 April 20X1 should be calculated as (the tower's cost of HK\$70 million minus residual value of zero) ÷ 35 × 4/12 because the tower has a useful life of 35 years and is depreciated on a straight-line basis. Therefore,

the depreciation charge for the 4-month period until the change in the property's use should be HK\$666,667. The office tower's carrying amount under HKAS 16 on 30 April 20X1 would be calculated as the balance on 31 December 20X0 (i.e. HK\$45 million) minus HK\$666,667 depreciation, i.e. HK\$44,333,333;

- revaluing the office tower to fair value (using the entries specified by HKAS 16) on that date. The fair value of the investment property on 30 April 20X1 was HK\$60 million. Therefore, the office tower should be revalued from HK\$44,333,333 to HK\$60 million, a revaluation increase of HK\$15,666,667. Because owner-occupied properties have previously been measured under the cost model, the office tower has not previously been revalued downwards through profit or loss. Therefore, the credit entry corresponding to the revaluation increase for the office tower (HK\$15,666,667) should be recognised as an increase in revaluation surplus through other comprehensive income; and
- reclassifying the revalued carrying amount of the owner-occupied property as investment property.

The cost of refurbishing the office tower (HK\$22 million) incurred during May-June 20X1 is capitalised as part of the tower's carrying amount. Consequently, the office tower is carried at HK\$82 million after the refurbishment is completed.

As of 31 December 20X1, the office tower should be remeasured to its fair value (i.e. HK\$94 million), resulting in an increase of HK\$12 million over the tower's post-refurbishment carrying amount. The credit entry corresponding to the HK\$12 million fair value increase for the office tower should be recognised as a gain in profit or loss.

Date	Particulars	Debit	Credit
20X1		HK\$	HK\$
30 April	Depreciation expense	666,667	
	Accumulated depreciation – land and buildings		666,667
	(Depreciation of building up to the date of its transfer from owner-occupied property to investment property)		
	Property, plant and equipment (land and buildings)	15,666,667	
	Revaluation surplus (other comprehensive income)		15,666,667
	(Revaluation of owner-occupied property upon change in use)		
	Investment property	60,000,000	
	Property, plant and equipment (land and buildings)		60,000,000
	(Transfer of owner-occupied property to investment property)		

May – June 20X1 (composite entry)

Date	Particulars	Debit	Credit
20X1		HK\$	HK\$
	Investment property	22,000,000	
	Cash		22,000,000
	(Capitalise cost of refurbishing investment property)		

As at 31 December 20X1

Date	Particulars	Debit	Credit
20X1		HK\$	HK\$
30 December	Investment property	12,000,000	
	Fair value gain (profit or loss)		12,000,000
	(Remeasurement of investment property at the end of the financial year)		

Land that was unimproved at 31 December 20X0

The decision taken by the company's management on 31 July 20X1 to develop the property for sale is not evidence of a change in use, and there is no other evidence mentioned in the fact pattern at that time. Therefore, the property should not be reclassified from investment property at that time. Instead, the property should be reclassified as inventories when development with a view to sale commenced (on 15 August 20X1) because that event provides evidence that the land is not being held for rentals and/or capital appreciation. Platinum should account for this transfer by:

- remeasuring the property to its fair value on the date of change in use. This would give rise to a fair value increase of HK\$6 million (being the fair value on 15 August 20X1 of HK\$61 million minus the property's carrying amount of HK\$55 million as of 31 December 20X0). Because the property is remeasured as an investment property, the fair value increase (HK\$6 million) should be recognised as a gain in profit or loss;
- reclassifying the remeasured carrying amount of the investment property as inventory; and
- measuring the property as an item of inventory from 15 August 20X1 onwards. The property should be measured at the lower of cost and net realisable value from that date onwards. HKAS 40 specifies that, for a transfer from investment property carried at fair value to inventories, the property's deemed cost for subsequent accounting in accordance with HKAS 2 *Inventories* is the property's fair value at the date of change in use (i.e. HK\$61 million). Therefore, the cost of the property for its measurement in accordance with HKAS 2 should be measured at HK\$61 million. *(Note to candidates: Although the information provided includes the fair value of the property as of 31 December 20X1 (which is HK\$123 million), that amount is irrelevant to Platinum's accounting for the property. This is because, as of 31 December 20X1 and under HKAS 2, the property will not be carried at an amount exceeding its deemed cost of HK\$61 million.)*

Date	Particular	Debit	Credit
20X1		HK\$m	HK\$m
15 August	Investment property	6	
	Fair value gain (profit or loss)		6
	(Remeasurement of investment property upon change in use)		
	Inventories	61	
	Investment property		61
	(Transfer of property from investment property to inventories)		

7

Lease Accounting



CHAPTER TOPIC LIST

7.1 Leasing Overview

- 7.1.1** Identifying a Lease
- 7.1.2** Components of a Contract

7.2 Lessee Accounting

- 7.2.1** Recognition and Initial Measurement
- 7.2.2** Subsequent Measurement

7.3 Lessor

- 7.3.1** Classification of Leases by the Lessor
- 7.3.2** Recognition and Measurement

7.4 Presentation and Disclosure

- 7.4.1** Lessee Presentation and Disclosure
- 7.4.2** Lessor Presentation and Disclosure



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.10 Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to leases

- 2.10.01** Determine whether a contract contains a lease
- 2.10.02** Explain the reasons for the separation of the components of a lease contract into lease and non-lease elements
- 2.10.03** Account for leases from the perspective of the lessee, including measurement of right-of-use assets and lease liabilities
- 2.10.04** Illustrate the recognition exemptions from the perspective of the lessee
- 2.10.05** Explain the classification criteria of leases as operating and finance leases from the perspective of the lessor
- 2.10.06** Account for leases from the perspective of the lessor
- 2.10.07** Prepare the disclosure in respect of leases



OPENING CASE

HONG KONG PROPERTY DEVELOPMENT

Hong Kong Property Development Limited (HK Property) is a property fund that focuses on the development and leasing of office buildings. It currently owns the rights to 34 properties in Hong Kong, Shenzhen and Guangzhou. Its centre of operations is the headquarters located in a high-rise in Hong Kong Central which is also owned by the company. In addition, it operates a branch office in Guangzhou.

The process of value creation in HK Property is as follows. After obtaining the rights of use of land from the People's Republic of China (government lease), HK Property hires an architect to design the office building. Then the construction of the building begins. HK Property's construction branch oversees the construction process, typically from an on-site office that is leased from another property owner in the vicinity of the development project. After completion, the property is then leased out by HK Property to clients.

In this process, the company not only leases out properties to others but also leases properties for its own use. Currently, there exists a long-term lease contract on the branch office in Guangzhou. There are also lease contracts in relation to the on-site offices for a shorter duration (between two months and three years).

HK Property's clients mainly include financial institutions, professional accounting firms and technology companies. 



OVERVIEW

Leasing is an important activity for many entities, as it is a way in which an entity can use an asset without owning it. To purchase an asset, an acquirer needs to have sufficient cash upfront to purchase the asset or have the ability to obtain debt financing. Leasing is an attractive alternative, as the large cash outlay to purchase the asset is replaced by smaller monthly repayments and gaining access to the asset is not subject to some of the disadvantages of debt financing, such as requirements for additional collateral, deposit payment and restrictive covenants.

In a lease agreement one entity (the lessee) promises to pay another entity (the lessor) for the right to use the lessor's asset for a specified period of time. As leasing an asset has become an increasingly common alternative to owning it, it is important to understand how to account for leases from both the lessee's and the lessor's perspectives. Leasing an asset has impacts on the key financial ratios especially ratios related to leverage and profitability which can be used to evaluate and forecast financial performance and position. It is essential for investors to have a complete and understandable picture of an entity's leasing activities.

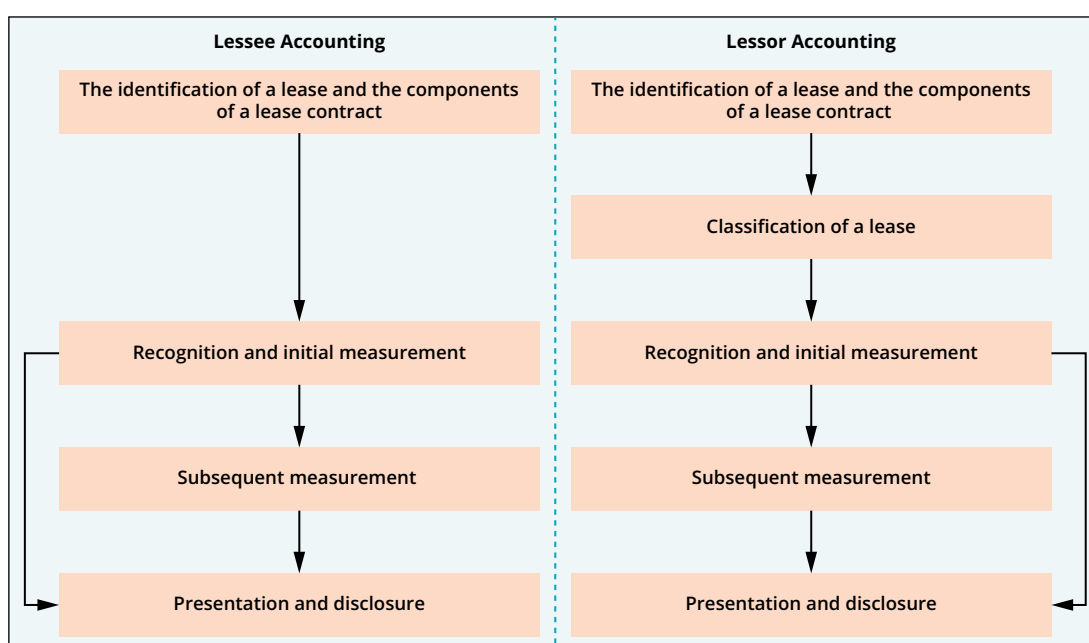
But how are leases recognised and measured in financial statements? Consider the case of HK Property which leases all its office buildings to clients and all its on-site construction offices from other property owners. When and how should HK Property recognise, measure, present and disclose the assets arising from the leases (i.e. its rights to use the on-site offices) and the liabilities arising from the leases (i.e. its obligations to make lease payments in return)? How should HK Property recognise, measure, present and disclose the leases it grants to its clients? In general, should the same rules apply to all kinds of leases, irrespective of the terms of the leases or the values of the underlying assets? Refer to the opening case, should HK Property be allowed to account for the long-term lease of its Guangzhou branch office differently from the short-term leases of the on-site offices?

This chapter addresses the recognition and measurement of leases from the perspective of both the lessee and the lessor. In particular, you will gain an understanding of the complexities in recognising and measuring leases in the financial statements of lessees and lessors. By the end of this chapter you should be able to identify when a lease exists and how leases are required to be recognised, measured and presented in financial statements, together with the types of information disclosed, and how the disclosures help to ensure lessees and lessors provide relevant information that faithfully represents the lease agreements.

7.1 LEASING OVERVIEW

This chapter examines the definition, recognition, measurement, presentation and disclosure requirements relating to lease agreements specified in HKFRS 16 *Leases*. HKFRS 16 is an accounting standard that is effective for annual reporting periods beginning on or after 1 January 2019. The objective of HKFRS 16 is to ensure lessees and lessors provide relevant information in a manner that faithfully represents the lease arrangements. Under HKFRS 16, a single lessee accounting model is introduced (this model will be discussed in Section 7.2). It intends to provide a basis for users of financial statements to assess the effect that leases have on the financial position, financial performance and cash flows of the lessee.

Exhibit 7.1 provides a flowchart illustrating the process of lease accounting from the lessee's and the lessor's perspectives. According to HKFRS 16 Appendix A, a **lessee** is defined as an entity that obtains the right to use an **underlying asset** for a period of time in exchange for consideration. A **lessor** is defined as an entity that provides the right to use an underlying asset for a period of time in exchange for consideration. First, both lessee and lessor have to identify whether a lease exists and they have to extract its components from the lease contract. After that, the lessor needs to classify a lease into finance lease or operating lease based on the classification criteria specified in HKFRS 16. The lessee does not need to make that distinction as the lessee has to record the lease in the same manner unless it fulfills one of the two exceptions stated in HKFRS 16 (recognition exemptions will be discussed in Section 7.2.1.3). After that, both lessees and lessors decide on recognition, initial measurement and subsequent measurement. Both end the process by making decisions regarding the presentation and disclosure of the impact of leases on their financial position.



► **EXHIBIT 7.1** Flowchart to illustrate lessee and lessor accounting

The prescribed approach for lease accounting has important implications for leases's impact on lessee and lessor financial statements.

In this section, you will gain an understanding of the lease agreements to which HKFRS 16 applies and learn to identify a lease and understand its components and terms.

7.1.1 Identifying a Lease

When a customer and supplier enter into a contractual arrangement, it is important to determine the nature of the contract. By determining the nature of the contract, each party is better able to identify their rights and obligations arising from the contractual relationship and how to account for these rights and obligations. For example, if the supplier promises to transfer goods or services to the customer, the obligation to fulfil this promise, and the revenue that is generated as the promise is fulfilled, is to be accounted for under HKFRS 15 *Revenue from Contracts with Customers*. If, however, the supplier (i.e. the lessor) promises the customer (i.e. the lessee) the right to use one of the lessor's assets for a period of time, the terms of that contract are likely governed by HKFRS 16.

Given the different accounting treatments for various types of contracts, it is important for the contracting parties to accurately identify whether the contractual arrangement is, or contains, a lease.

To determine whether HKFRS 16 applies, an entity must assess whether a contract is, or contains, a **lease**. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration at the inception date of a contract. **Inception date** refers to the earlier of the date of a lease agreement and the date of commitment by the parties to the principal terms and conditions of the lease. If the terms and conditions are changed after the inception date, reassessment is required to determine if a contract still contains a lease.

HKFRS
16.App A

HKFRS
16.9, 11

For the purposes of the following discussion, the two parties to the contract are referred to as the supplier (the potential lessor) and the customer (the potential lessee).

7.1.1.1 Identified Asset

An entity must assess whether there is an identified asset, for which there is:

- a right to control its use;
- for a period of time.

HKFRS
16.B13

An asset is typically identified by being explicitly specified in a contract. For example, a motor vehicle lease contract may explicitly specify a particular car by its vehicle identification number. This number is unique to one particular car, and that is the only vehicle to which the lease applies. The lessee will be supplied one specific vehicle; not even an identical or similar car could fulfill the lease contract.

Despite an asset being specified, a customer does not have the right to use the asset if the supplier has the substantive right to substitute the asset at any time throughout the period of use. A supplier's substantive right to substitute the asset exists when:

- the supplier has the practical ability to substitute alternative assets throughout the period of use; and

HKFRS
16.B14

- the supplier would benefit economically from such asset substitution (i.e. the economic benefits of substitution exceed the costs of substitution).

For example, consider a lease in which a shopping mall owner has a right to relocate a retailer to another store within the mall if the mall owner is able to lease out the original store to another retailer for a greater return. The mall owner has the practical ability to do so when another store is available for use. In this example, the shopping mall owner is able to substitute alternative assets throughout the period of use, as they have the right to relocate a lessee to another store, and benefit economically from such asset substitution as it can generate greater returns by doing so.

For the supplier's substitution right to be substantive at contract inception, it must exist for the duration of the contract and thus for the entire period of use. For example, if the supplier is only able to substitute an asset after a particular date in the future or the occurrence of a future event, the supplier's substitution right is not substantive. In addition, if the asset is to be replaced if it becomes faulty or a technical upgrade becomes available, this does not prevent the customer from having the right to use an 'identified asset'.

HKFRS 16.B15,
16.B18

If the asset is not located at the supplier's premises (e.g. at the customer's premises) it is unlikely the supplier would economically benefit from substituting the asset. This is because the costs associated with substituting the asset are generally higher when the asset is not located at the supplier's premises and are likely to exceed the benefits derived by substituting the asset.

HKFRS
16.B17

Illustrative Example 1

MicroDerm Limited (MicroDerm) enters into a 10-year contract with ACT Telecommunications Limited (ACT Telecommunications) for the right to use the full capacity of seven of the 25 fibres within a fibre optic cable connecting Hong Kong and Singapore. The seven fibres are dedicated solely to MicroDerm's data for the contract's duration, and MicroDerm has the right to use the fibres for whatever purpose it wants. ACT Telecommunications has an obligation to substitute MicroDerm's fibres for others within the fibre optic cable in the event of a fault or damage.

The seven fibres constitute identified assets as they are explicitly specified in the contract. ACT Communications further does not have a substantive substitution right as substitution will only arise upon the fibres becoming faulty or damaged.

7.1.1.2 Right to Control Use

A customer has a right to control the use of an identified asset if it has the right to:

- obtain substantially all of the economic benefits from the use of the identified asset; and
- direct the use of the identified asset.

HKFRS
16.B9

Because the term 'substantially all' is not defined in HKFRS 16 or other HKFRSs, professional judgement is required. In applying professional judgement, it is notable that a customer can derive economic benefits from the use of an asset either directly or indirectly, such as by using, holding or subleasing the asset (e.g. a machine). As such, the economic benefits of an asset include its primary outputs (e.g. goods produced with the machine) and by-products (e.g. renewable energy credits generated through the use of the machine), and other economic benefits from using the asset that could be obtained from a commercial transaction with a third party (e.g. subleasing the machine during idle season).

HKFRS
16.B21

A customer has the right to direct the use of an identified asset throughout the period of use if:

- the customer has the right to direct how and for what purpose the asset is used throughout the period of use such that the economic benefits accrue to the customer; or
- these decisions are predetermined either by including operating instructions in the contract and the supplier does not have the right to change these instructions or the asset was designed in a way that predetermines how it is used.

HKFRS
16.B24–B26

A customer has the right to direct how and for what purpose the asset is used if it can change and how and for what purpose the asset is used throughout the period of use. To illustrate, if the contract allows a customer to make any of the following changes it has the right to direct how and for what purpose the asset is used:

- the type of output that is produced by the asset;
- when the output is produced;
- where the output is produced; and

HKFRS
16.B26

whether the output is produced and the quantity of that output.

Note that decision-making rights in relation to operating or maintaining the asset are not decision-making rights that grant the right to change how and for what purpose the asset is used. In other words, even if the supplier has the decision-making rights in relation to operating or maintaining the asset, this does not hinder the customer from possessing the right to control the use of the asset.

HKFRS
16.B27

A contract may contain terms and conditions to protect the supplier's interests. Known as protective rights, examples of these terms and conditions include:

- specifying the maximum amount of use of an asset or limiting where or when the customer can use the asset;
- requiring a customer to follow certain operating procedures; or
- requiring a customer to inform the supplier of changes in how the asset will be used.

HKFRS
16.B30

Protective rights do not prevent the customer from having the right to direct the use of an asset.

7.1.1.3 Period of Use

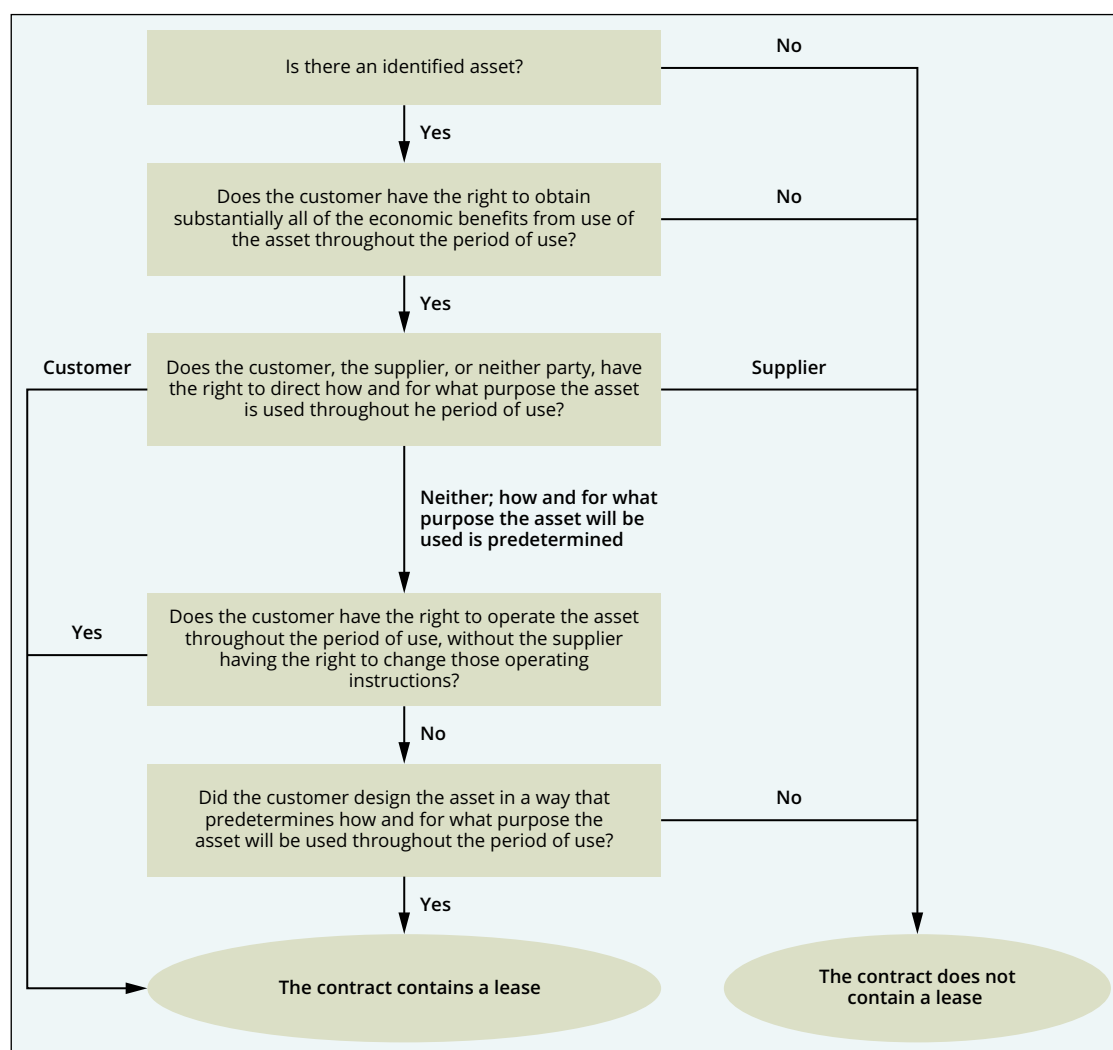
HKFRS
16.B10

A contract contains a lease only in the period for which the customer has the right to control the use of an identified asset. If the customer only has such right for a portion of the term of the contract, the contract contains a lease for that portion of the term.

HKFRS
16.10

Period of use is commonly described in terms of time (e.g. months or years), it may also be described in terms of the amount of use of an identified asset (e.g. the number of production units that an identified asset will be used to produce).

The flowchart in Exhibit 7.2 can assist entities in assessing whether a contract is, or contains a lease:



► **EXHIBIT 7.2** Flowchart to determine the presence of a lease at date of inception

(Source: HKFRS 16.B31.)

Apply and Analyse 1

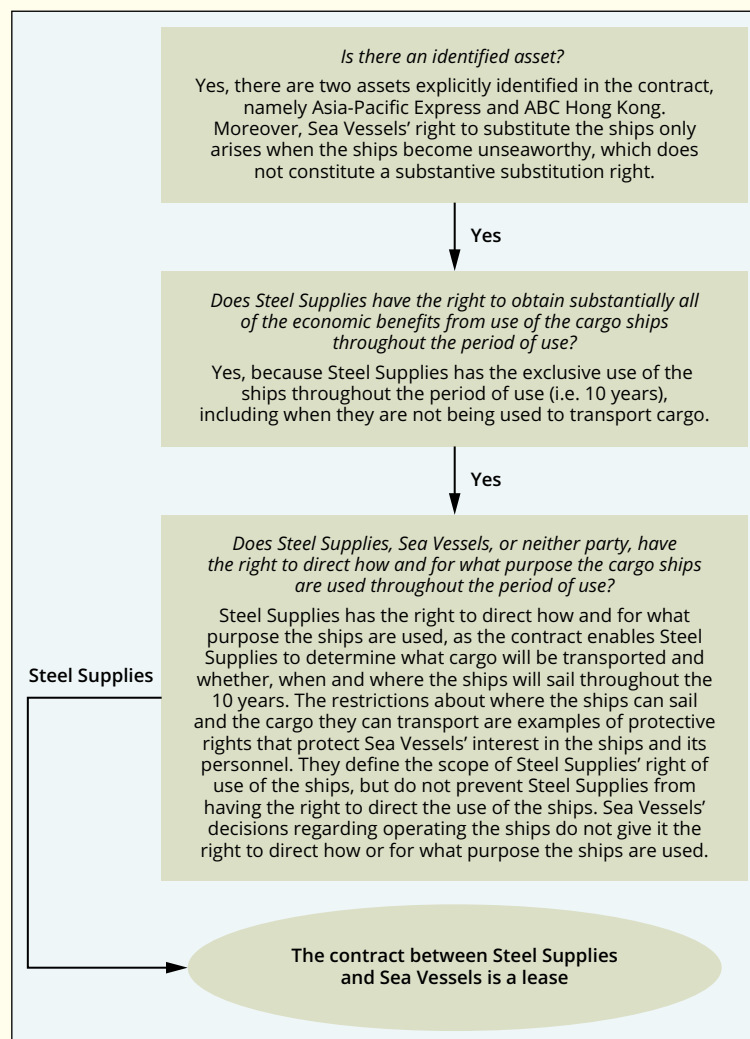
Steel Supplies Limited (Steel Supplies) enters into a contract with a ship owner, Sea Vessels Limited (Sea Vessels) for the exclusive use of two cargo ships, Asia-Pacific Express and ABC Hong Kong, for 10 years. Steel Supplies determines what cargo will be transported, and whether, when and where the ships will sail throughout the 10 years. However, the contract specifies Steel Supplies cannot carry hazardous materials as cargo, nor can it sail the ships into dangerous waters.

If either of the cargo ships become unseaworthy at any time throughout the 10 years, Sea Vessels is obliged to replace the cargo ship with another. The contract also requires Sea Vessels to operate the cargo ships and is responsible for the safe passage of the cargo on board.

Determine whether the contract between Sea Vessels and Steel Supplies is a lease.

Analysis

The following shows the analysis of whether the contract between Sea Vessels and Steel Supplies is, or contains, a lease:



Key Learning Point

A lease is a contractual arrangement between an asset owner (lessor) and an entity that intends to use the asset (lessee). HKFRS 16 applies if a contract specifies an identifiable asset and the lessee is granted the control over the use of the asset for a specified period of time as long as no other accounting standards apply.

7.1.2 Components of a Contract

A **contract** that contains a lease may include a number of parts, including one or more of the following:

- a lease component or components (e.g. the lessee has the right to use one or multiple assets over the contract's duration);
- a non-lease component or components (e.g. maintenance services from lessor with a fee); and
- other charges that do not transfer a good or service to the lessee (e.g. administrative fees charged by the lessor to the lessee).

HKFRS
16.B33

HKFRS 16 requires the lessor and the lessee to separately account for lease and non-lease components of the contract. It is important to note that the practical expedient does not extend to the lessor, who must separately account for each lease and non-lease component.

HKFRS
16.12

The right to use an underlying asset constitutes a separate lease component if both of the following conditions are satisfied:

- the lessee can benefit from use of the underlying asset either on its own or together with other resources that are readily available to the lessee (i.e. goods or services that are sold or leased separately by the lessor or other suppliers, or resources that the lessee has already obtained from the lessor or from other transactions or events); and
- the underlying asset is neither highly dependent on, nor highly interrelated with, the other underlying assets in the contract.

HKFRS
16.B32

Depending on circumstances, it is necessary to separate the components of a contract, and allocate the 'contract consideration' accordingly, because each component may not necessarily be accounted for in the same way. As such, by disaggregating a contract into its components, an entity is able to apply the appropriate accounting treatment for each component.

Illustrative Example 2

Quality Furnishings Limited (Quality Furnishings) produces and sells high-quality furniture. As part of its business operations, Quality Furnishings offers a delivery service to its customers. Quality Furnishings enters into a five-year contract with Storage Limited (Storage) for the right to exclusively use a warehouse in Hong Kong as its storage and distribution centre. As part of the agreement, Quality Furnishings also has the right to

Illustrative Example 2 (continued)

use the adjoining loading area, which enables the items to be delivered and Quality Furnishings' trucks to be loaded for distribution and parked overnight.

From the perspective of Quality Furnishings, the contract contains only one lease component. The warehouse is highly interrelated with the adjoining loading area, as haulage could not gain access to the warehouse without having use of the loading area. Further Quality Furnishings benefits from access to the loading area due to the trucks it owns.

Illustrative Example 3

Green Gables is a growing landscaping company. Recently it has started building retaining walls, so it needs an excavator but does not wish to purchase one. It enters into an 18-month contract with Mow Town, a company that leases landscaping equipment. The excavator is large and two of Green Gables' trailers are currently being repaired, so the company does not have a trailer available to move the excavator to worksites. Since Mow Town also leases flatbed trailers, Green Gables decides to lease one from Mow Town for the delivery of excavator in the same contract. Green Gables also plans to use it to move other equipment between worksites.

In this situation, there are two underlying assets in the contract – the excavator and the trailer. They are considered two separate lease components due to the following reasons:

- The company can benefit from use of these two assets separately. The company can use the excavator by moving it to worksites with its own trailers (after repairs) or other suppliers' trailers. The company also plans to use the leased trailer to move other equipment between worksites.
- The excavator and trailer are not highly dependent or interrelated.

7.1.2.1 Lessee and Lessor

The lessee allocates total consideration payable under the contract (i.e. total contract consideration) between each separate lease component and an aggregated non-lease component (i.e. all non-lease components are aggregated into one single non-lease component). Such allocation is made based on the relative stand-alone price for each separate lease component and the aggregated non-lease component.

HKFRS
16.13

The relative stand-alone price of a separate lease component or an aggregated non-lease component is determined based on the price the lessor, or a similar supplier, would charge an entity for that, or a similar, component. An observable stand-alone selling price is preferred, but if one is not readily available stand-alone prices are estimated, maximising the use of observable information.

HKFRS
16.14

As such, lease components are accounted for in accordance with HKFRS 16 and non-lease components with other relevant Standards.

Unlike a lessee, a lessor must allocate total contract consideration between each lease and non-lease component. That is, the lessor does not have the option for a practical expedient. Lessor shall account for each lease component in accordance with HKFRS 16 and each non-lease component in accordance with other relevant Standards.

7.1.2.2 Lease Term

The **commencement date** of a lease is the date the lessor makes an underlying asset (i.e. the asset subject to the lease) available for use by the lessee. For example, at the lease's inception the lessor has a contractual obligation to make an underlying asset available for use to the lessee. Such availability can occur either immediately or on a designated future date. The lease commencement date is when the underlying asset first becomes available for use by the lessee. Although HKFRS 16 requires a number of assessments to be made as at inception date, the accounting for leases does not start until the commencement date.

The **lease term** begins at the commencement date of the lease and extends to:

- the non-cancellable period of the lease, i.e. the period for which the contract is enforceable. If either of the parties has the right to terminate without permission from the other party, a lease is no longer enforceable;
- periods covered by an option to extend the lease, but only if the lessee is reasonably certain to extend under the option; and
- periods covered by an option to terminate the lease, but only if the lessee is reasonably certain not to terminate under the option.

HKFRS
16.B34

HKFRS
16.18

HKFRS
16.B37

The assessment of whether a lessee is reasonably certain to exercise an option to extend, or not to exercise an option to terminate, is made at the commencement date of the lease.

Whether a lessee is reasonably certain to exercise an option to extend, or not to exercise an option to terminate, determines in part on whether there is an economic incentive. This assessment is made at the commencement date of the lease, and considers all relevant facts and circumstances, including any expected changes in facts and circumstances from the commencement date until the exercise date of the option.

HKFRS
16.B37–B40

Such facts and circumstances might include the following:

- market rates over the optional periods (e.g. lease payments during the optional period discounted below market prices);
- significant leasehold improvements undertaken, or expected to be undertaken, over the term of the contract;
- the costliness of terminating the lease to the lessee (e.g. negotiation costs, relocation costs, termination penalties);
- the importance of the underlying asset to the lessee's operations;
- the conditions that must exist for the option to be exercised, and the likelihood of those conditions existing; and
- the lessee's past practice with similar assets (whether owned or leased).

Following the commencement of the lease, the lessee should reassess the lease term if significant events or changes occurred that are within the control of lessee and will affect the decision to exercise the extension option which is not included in the lease term determined previously.

HKFRS
16.20

Illustrative Example 4

Thought Leaders Limited (Thought Leaders) enters into a lease for office space that includes a six-year non-cancellable period and an option to extend the lease for three years. The office space is one of many that Thought Leaders leases from various lessors. History shows that Thought Leaders tends to occupy offices for five years, after which it moves to alternative premises.

Two years after the lease commences, Thought Leaders decides to undertake improvements to the office space at its own expense. The leasehold improvements are expected to provide significant benefits to Thought Leaders over a number of years but can only be obtained through continued tenancy of the leased office space.

At the time of commencing the lease, the lease term is determined to be six years which is the non-cancellable period of the lease. The option to extend the lease for three years is not considered part of the lease term. This is because it cannot be concluded with reasonable certainty that Thought Leaders (the lessee) will exercise the option to extend the lease, considering all relevant facts and circumstances. Such facts and circumstances include that the office space is not of significant importance to Thought Leaders' operations, as it is one of many leased premises, and Thought Leaders' past practice is typically to occupy office spaces for a period of time (i.e. five years) that would not require the lease to be extended.

Following the leasehold improvements, Thought Leaders must reassess whether it is still reasonably certain it will not exercise the extension option. The decision to undertake leasehold improvements is a significant event within Thought Leaders' control. Given the leasehold improvements bring significant economic benefits to Thought Leaders over a number of years, including the point in time when the option is exercisable, it would seem reasonably certain Thought Leaders will now exercise the extension option. As such, the lease term becomes nine years, with seven years remaining.

► Knowledge Check Questions

Question 1

An airline company enters into a three-year contract with an aircraft owner for the use of a specific aircraft for a return flight between Hong Kong and Hawaii that operates each week on Monday, Wednesday and Saturday. The aircraft owner uses the aircraft for the remaining days and is unable to substitute the aircraft for another over the three-year period unless it requires repair.

Explain whether the airline company has the right to control the use of an identified asset.

► Knowledge Check Questions (continued)**Question 2**

Label Limited (Label, as lessee) enters into a five-year contract with TechSpace Limited (TechSpace, as lessor) for the lease of a retail store. The contract is signed on 1 July 20X9, and provides Label with the right to occupy the premises from 1 August 20X9. Label then undertakes minor modifications to the retail space, which has its grand opening on 1 September 20X9. Label has the unconditional option to terminate the lease after two years, without penalty. Lease payments are HK\$1,000,000 per annum, which is based on the current market price per square metre of retail space in the local area, plus 25% compounding each year of the lease.

Identify which one of the following is the correct lease term.

- A** 1 August 20X9 – 31 July 20Y1
- B** 1 September 20X9 – 31 August 20Y1
- C** 1 July 20X9 – 30 June 20Y4
- D** 1 August 20X9 – 31 July 20Y4



7.2 LESSEE ACCOUNTING

HKFRS 16 broadly requires lessees to apply a single lease accounting model to all lease agreements.

If a recognition exemption (see Section 7.2.1.3) does not apply, a lessee is required to recognise a lease liability and a right-of-use asset in its financial statements. HKFRS 16 provides guidance to the lessee on how to initially measure the values of the lease liability and the right-of-use asset, how both should subsequently be measured, and how adjustments to their values will impact the statement of profit or loss and other comprehensive income. These points will be the focus of this section.

7.2.1 Recognition and Initial Measurement

HKFRS 16 requires a lessee to recognise a right-of-use asset and a lease liability for all leases, other than those to which a recognition exemption applies, at the commencement date of the lease. The lessee should recognise the lease at the commencement date rather than inception date as it is not until this point that the lessee controls the right to use the underlying asset and has a present obligation to make payments in return for using the underlying asset.

We will begin by considering the initial measurement of the lease liability, as it is used as an input to the determination of the measurement of the right-of-use asset.

HKFRS
16.22

7.2.1.1 Lease Liability

The lease liability represents the lessee's obligation to make lease payments to the lessor over the lease term. The lessee measures the lease liability at the present value of future lease payments. **Interest rate implicit in the lease** should be used to determine the present value of the future lease payments. Implicit rate is defined as the rate of interest that causes the present value of (a) the **lease payments** and (b) the **unguaranteed residual value** to equal the sum of (i) the **fair value** of the underlying asset and (ii) any **initial direct costs** of the lessor.

HKFRS
16.26HKFRS
16.App A

Present value of lease payments	+	Present value of unguaranteed residual value	=	Fair value of the underlying asset	+	Initial direct costs of the lessor
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► **EXHIBIT 7.3** Interest rate implicit in the lease is that which causes the following equation to be true

If the implicit interest rate cannot be readily determined, the lessee's incremental borrowing rate should be applied. Lessee's incremental borrowing rate is defined as the rate of interest that a lessee would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment.

HKFRS
16.26HKFRS
16.App A

Those lease payments other than those already paid at the commencement date are included in the initial measurement of the lease liability. The payments comprise the following:

HKFRS
16.27

- fixed payments less any lease incentives receivable;
- variable payments that depend on an index or rate;
- amounts payable under residual value guarantees;
- the exercise price of a purchase option, but only if it is reasonably certain to be exercised by the lessee; and
- penalties to terminate the lease, but only if the lease term reflects the lessee exercising the option to terminate.

Regular or ongoing lease payments made by the lessee to the lessor for the right to use the underlying asset may comprise a fixed and variable portion. Fixed portion (less any lease incentives receivable) is included in the measurement of a lease liability. Variable portion will be included only if it varies because it is linked to an index or rate, such as a consumer price index, benchmark interest rate (e.g. LIBOR), or market rental rates. Such variable lease payments are initially measured based on the index or rate at the commencement date.

HKFRS 16.28

HKFRS 16.27

If the variable portion is linked to other factors, such as the lessee's performance or usage of the underlying asset, it does not form part of the measurement of the lease liability. For example, if a lease agreement specifies annual lease payments of HK\$600,000 plus 0.5% of lessee sales from the previous year, only the fixed annual portion of HK\$600,000 is included in measuring the lease liability. This is because the lessee has a degree of influence over their sales performance or asset usage, thereby enabling them to potentially manipulate the

measurement of their lease liability through their performance. Excluding a variable portion linked to performance or asset usage limits the ability of the lessee to manipulate their lease liability, while an index or rate is independently determined beyond the influence of the lessee.

HKFRS
16.App A

A **residual value guarantee** is a guarantee made to a lessor that the value (or part thereof) of an underlying asset at the end of a lease will be at least a specified amount. The amount expected to be payable under the residual value guarantee made by lessee should be included in lessee's lease liability as lessee has the obligation to pay for this amount if asset value falls below the guaranteed residual value at the end of the lease.

Illustrative Example 5

On 1 January 20X6, Lessee Ltd entered into a lease of a machine, Model X, with Lessor Ltd for three years. Lessee Ltd and Lessor Ltd agreed that, if the fair value of Model X at the end of the lease term (i.e. 31 December 20X8) was below HK\$45,000, Lessee Ltd would pay to Lessor Ltd an amount equal to the difference between HK\$45,000 and the fair value of Model X. On 1 January 20X8, Lessee Ltd assessed the fair value of Model X at 31 December 20X8. Consider the following three estimated values:

- (i) HK\$48,000;
- (ii) HK\$45,000;
- (iii) HK\$39,000.

The potential payment should the fair value of Model X at 31 December 20X8 fall below HK\$45,000 is an example of residual value guarantees. In situations (i) and (ii), no payment is expected regarding the residual value guarantee.

In situation (iii), it is expected that Lessee Ltd would need to pay to Lessor Ltd HK\$6,000 (HK\$45,000 – HK\$39,000) under the residual value guarantee. Lessee Ltd therefore should include the expected payment of HK\$6,000 (but not the guaranteed value of HK\$45,000) in the lease payments.

7.2.1.2 Right-of-Use Asset

The **right-of-use asset** reflects the lessee's right to use the underlying asset over the lease term. The right-of-use asset is distinct from the underlying asset: the lessee does not recognise the underlying asset (e.g. Equipment) in its statement of financial position, but rather recognises an asset that reflects its right to use the underlying asset (e.g. Right-of-use asset – Equipment).

Exhibit 7.3 illustrates the initial measurement of a right-of-use asset. At the commencement date of the lease, the lessee measures the right-of-use asset at cost, which comprises the following:

HKFRS
16.23–24

- the amount of the initial measurement of the lease liability, as explained in Section 7.2.1.1;
- any lease payments at or before the commencement date, less any lease incentives received;

- any initial direct costs incurred by the lessee (i.e. costs of obtaining a lease which would not been incurred if the lease is not obtained, such as commissions and legal fees); and
- the estimated costs in dismantling and removing the underlying asset, restoring the site on which it is located or restoring the underlying asset to the condition required by the terms of the lease.

Lease incentives is defined as enticements provided by the lessor to the lessee to sign the lease agreement, and might include up-front cash payments, the reimbursement of costs of the lessee (e.g. moving expenses) or the assumption by the lessor of costs otherwise borne by the lessee (e.g. termination penalties on an existing lease with another lessor). The lease incentives received should be excluded from the cost of right-of-use asset.

HKFRS
16.App A

A lessee may incur the obligation for dismantling, removal and restoration costs either at the lease's commencement date or during the lease term. The costs are to be included in the cost of the right-of-use asset when the obligation first arises. As such, if a lessee incurs an obligation subsequent to the lease's commencement date, they are not included in the initial measurement of the right-of-use asset but rather in the subsequent measurement of the right-of-use asset. The obligation to incur these costs is recognised and measured in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. For example, a landlord leases land to a franchisee of a fuel station chain. At the end of the lease term, the lessee (franchisee) is required to restore the land and remove all contaminated soil from the land. Since the contamination occurs over time, a restoration obligation is not initially recognised but only when after the first period of use.

Present value of right-of-use asset	=	Fair value of lease liability	+	Initial lease payments and direct costs of the lessee	+	Fair value of dismantling, removal, and restoration
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► EXHIBIT 7.4 Initial measurement of right-of-use asset

Apply and Analyse 2

Management of HK Property decides to open a new branch office in Xiamen. It enters into a contract with SZ Business Services Limited (SZ Business Services) to lease the second floor of a low-rise office building for a six-year period. HK Property has the option to terminate the lease after four years at a penalty of HK\$200,000 but is not reasonably certain it will exercise the option to terminate the lease. Under the terms of the agreement, HK Property makes all decisions about the use of the branch office during the period of use.

HK Property derives substantially all of the economic benefits from the use of the office during that period, as it has exclusive use of the office, and is able to direct the use of the office, including decisions on the types of operations, the services provided, and the price that is charged to clients.

The lease was entered on 1 January 20X9. Before signing the agreement, HK Property hired local solicitors to review the terms of the agreement, who charged HK\$20,000 for their services and such amount remained outstanding as at 1 January 20X9.

Apply and Analyse 2 (continued)

The office is currently vacant and is available for use immediately. HK Property undertakes leasehold improvements totaling HK\$100,000 to adjust it to the layout and interior design of its other offices. At the commencement of the lease, HK Property has an obligation to dismantle the leasehold improvements at the end of the lease term, which it estimates to cost HK\$50,000 in today's dollars.

Annual payments are in advance, commencing on 1 January 20X9 (being the commencement date of the lease) with a payment of HK\$250,000. Each subsequent annual payment equals HK\$250,000. All components in the lease agreement are fixed and do not vary with changes in Consumer Price Index. The interest rate implicit in the lease is 4% per annum. There is no residual value guaranteed by HK Property at the end of the lease term.

The lease agreement stipulates that ownership of the office will be retained by SZ Business Services at the end of the lease term. The useful life of the office is estimated to be 25 years. HK Property expects to consume the economic benefits from the office evenly over the lease term.

Determine whether HK Property is required to recognise a right-of-use asset and lease liability in relation to the contract with SZ Business Services. If required, show how they are measured and prepare all relevant journal entries.

Analysis

Before measuring the right-of-use asset and lease liability, the characteristics of the contract need to be established as at inception date. First and foremost, a lease exists as there is an identified asset (i.e. a specific floor within an office building) that HK Property has a right to control the use of over a period of time. The lease term is six years, as HK Property is not reasonably certain about whether it will exercise its option to terminate the lease early.

The initial measurement of the lease liability equals the present value of future lease payments. The first annual payment of HK\$250,000 is not included in this measurement as it is not a 'future' lease payment. As the lease term does not reflect HK Property's option to terminate, the termination penalties are excluded from the initial measurement of the lease liability.

Based on an implicit interest rate of 4% per annum, the initial measurement of the lease liability is HK\$1,112,956, calculated as follows:

	Payment	Discount rate	Present value
1 January 20Y0	HK\$250,000	1/1.04	HK\$240,385
1 January 20Y1	HK\$250,000	1/1.04 ²	HK\$231,139
1 January 20Y2	HK\$250,000	1/1.04 ³	HK\$222,249
1 January 20Y3	HK\$250,000	1/1.04 ⁴	HK\$213,701
1 January 20Y4	HK\$250,000	1/1.04 ⁵	HK\$205,482
Lease Liability			<u>HK\$1,112,956</u>

Apply and Analyse 2 (continued)

Initial measurement of the right-of-use asset includes the lease liability, as calculated above, as well as the lease payment made upon commencement of the lease. Initial direct costs include the legal fees of HK\$20,000, as the fees are an incremental cost incurred as a consequence of obtaining the lease. Finally, the estimated dismantling costs (HK\$50,000) are also included, as HK Property incurs this obligation upon commencement of the lease. In sum, the initial measurement of the right-of-use asset in accordance with HKFRS 16 comprises the following:

Cost item	Amount
Lease liability	HK\$1,112,956
Lease payment at commencement date	HK\$250,000
Initial direct costs	HK\$20,000
Estimated dismantling costs	HK\$50,000
Right-of-use asset	<u>HK\$1,432,956</u>

The journal entry on 1 January 20X9 (being the commencement date) to record the recognition and initial measurement of the lease liability and the right-of-use asset is as follows:

	Debit	Credit
	HK\$	HK\$
Right-of-use asset	1,432,956	
Lease liability		1,112,956
Cash		250,000
Legal fees payable		20,000
Provision for dismantling costs		50,000

Key Learning Point

Lessees account for a lease arrangement by recognising one or more right-of-use assets and a lease liability. The measurement of the lease liability is the sum of the discounted periodic lease payments and the measurement of the right-of-use assets builds on the value of the lease liability and adds upfront direct costs as well as any costs of removing at the end of usage associated with the right-of-use assets.

7.2.1.3 Recognition Exemptions

In general, a lessee is required to recognise a right-of-use asset and a lease liability for all leases. There are, however, exemptions to this requirement. A lessee can elect not to recognise a right-of-use asset and lease liability for:

- short-term leases; and
- leases for which the underlying asset is of low value.

HKFRS
16.5

The existence of these recognition exemptions reflects the view that the financial reporting benefits of requiring lessees to apply the recognition requirements of HKFRS 16 to short-term leases and leases of low-value assets do not outweigh the costs incurred by lessees in complying with the recognition requirements.

HKFRS
16.BC89

Short-term Leases

A short-term lease is a lease that, at the commencement date, has a lease term of 12 months or less and does not contain an option to purchase the underlying asset. The election to not recognise a right-of-use asset and lease liability for short-term leases is made by class of underlying asset to which the right of use relates. A class of underlying asset is a grouping of underlying assets of a similar nature and use in the lessee's operations.

HKFRS
16.App A

HKFRS
16.8

When determining whether a lease is short-term, a lessee applies the definition of lease term (see Section 7.1.2.3).

If a lessee elects not to recognise a right-of-use asset and a lease liability for a short-term lease, it recognises the lease payments associated with the lease as an expense on either a straight-line basis over the lease term, or another systematic basis if it is more representative of the pattern of the benefit derived by the lessee from using the underlying asset. For example, if the benefits derived by the lessee from using the underlying asset systematically decline over time the lessee will recognise lease payments as an expense using a diminishing balance basis.

HKFRS
16.6

Leases for which the Underlying Asset is of Low Value

Another exemption applies to leases for which the underlying asset is of low value. The lessee's assessment of whether an underlying asset is of low value is based on the value of the asset when it is new, regardless of the age of the asset being leased. For example, an assessment of the value of a leased second-hand car is not based on the current value of the car, but rather what its value was when it was new.

HKFRS
16.B3

The assessment of whether an underlying asset is of low value is performed on an absolute basis, regardless of whether the lease is material to the lessee. HKFRS 16 does not attach a monetary threshold to 'low value'. However, at the time of reaching a decision about this recognition exemption in 2015, the International Accounting Standards Board (IASB) had in mind asset with a low value, when new, as US\$5,000 or less. In today's terms, this approximately equates to HK\$40,000 or less. HKFRS 16 identifies examples of typical low-value underlying assets as including tablet and personal computers, small items of office furniture and telephones.

HKFRS
16.B4

IFRS
16.BC100

HKFRS
16.B8

The accounting treatment for low-value assets is the same as short-term lease if a lessee elects to apply recognition exemption. Lessee shall recognise the lease payments as an expense on either a straight-line basis over the lease term or another systematic basis when appropriate.

HKFRS
16.6

Apply and Analyse 3

As part of its expansion plans, HK Property has introduced a client portal. The client portal is operated out of a designated room in its headquarters. HK Property enters into a contract with Tech Savvy Limited (Tech Savvy) to lease one new personal computer (hardware only) accessed by staff to receive client requests and to answer any online queries. The lease has a two-year non-cancellable period, at the end of which HK Property has the option to extend it for a further 12 months.

HK Property pays HK\$500 per month for the use of the personal computer. At the commencement of the lease, the personal computer had a value of HK\$10,000.

Determine whether HK Property is required to recognise a right-of-use asset and lease liability in relation to the personal computer. If not, explain how HK Property would account for the lease payments to Tech Savvy.

Analysis

The lease agreement between HK Property and Tech Savvy is not a short-term lease given the non-cancellable period of two years. As such, for HK Property to be able to elect not to recognise a right-of-use asset and lease liability, the lease would need to relate to a low-value underlying asset.

The personal computer is an underlying asset. HK Property would view it as low value, corresponding with the examples listed in HKFRS 16. Based on this, HK Property can elect to apply the recognition exemption on low-value underlying assets.

Management of HK Property considered the costs of applying the recognition requirements of HKFRS 16 and concluded it would outweigh the financial reporting benefits and, as such, elects to apply the recognition exemption, meaning the lease payments are to be expensed. Presuming HK Property's pattern of benefit from using the personal computer is constant over the lease term, the lease payments would be expensed on a straight-line basis.

The monthly journal entry is:

	Debit	Credit
	HK\$	HK\$
Lease expense	500	
Cash		500

7.2.2 Subsequent Measurement

Following the commencement date of the lease, the lessee continues to recognise a right-of-use asset and a lease liability at their carrying amounts over the term of the lease. The lessee needs to account for accumulated depreciation and any accumulated impairment losses when subsequently measuring the right-of-use asset, while the carrying amount of the lease liability will change over the duration of the lease due to interest accretion and lease payments made by the lessee. The subsequent measurement of the right-of-use asset and the lease liability will also reflect adjustments due to changes to the terms of the lease.

7.2.2.1 Lease Liability

HKFRS
16.36

Following the commencement date of the lease, in measuring a lease liability a lessee is required to:

- increase the carrying amount to reflect interest on the lease liability;
- reduce the carrying amount to reflect lease payments made; and
- remeasure the carrying amount to reflect any reassessment or lease modifications.

HKFRS
16.BC182

According to HKFRS 16, lessee should use an effective interest method to measure lease liabilities. By adopting an effective interest method, the carrying amount of the lease liability is measured on an amortised cost basis and interest expense is allocated over the lease term. In calculating interest expense, the interest rate should be the same as the one used to determine the present value of the lease liabilities at the commencement date.

7.2.2.2 Right-of-Use Asset

Following the commencement date of the lease, a right-of-use asset is measured at cost:

HKFRS
16.30

- less any accumulated depreciation and any accumulated impairment losses; and
- adjusted for any remeasurement of the lease liability.

A lessee depreciates a right-of-use asset in accordance with HKAS 16 *Property, Plant and Equipment*, meaning that the depreciation method chosen should reflect the pattern in which the future economic benefits of the right-of-use asset are expected to be consumed by the lessee (see Chapter 5).

HKFRS
16.32

If the lease transfers ownership to the lessee at the end of the lease term, or it is reasonably certain the lessee will exercise an option to purchase the underlying asset, the right-of-use asset is depreciated from the lease's commencement date to the end of the underlying asset's useful life. Otherwise, the depreciation period is from the commencement date to the earlier of the end of the useful life of the right-of-use asset; or the end of the lease term.

HKFRS
16.33

HKAS 36 *Impairment of Assets* applies to determine whether a right-of-use asset is impaired and how to account for any impairment loss. Refer to Chapter 11 to gain an understanding of impairment of assets.

Generally, a lessee continues to measure right-of-use assets at cost (i.e. the cost model), except the lessee applies the revaluation model in HKAS 16 *Property, Plant and Equipment* or the lessee applies the fair value model in HKAS 40 *Investment Property*.

Apply and Analyse 4

We continue with the analysis of the lease agreement about an office in Xiamen between HK Property and SZ Business Services. Applying HKFRS 16, determine the subsequent measurements of the lease liability and right-of-use asset of HK Property. Prepare the journal entries to record those subsequent measurements by HK Property for the first year of the lease term (including the lease payment on 1 January 20Y0).

Analysis

According to HKFRS 16.36, carrying amount of the lease liability should be increased to reflect interest on the lease liability. In the first year 20X9, interest on the lease liability should be HK\$44,518 ($\text{HK\$1,112,956} \times 0.04$). Therefore, the carrying amount of the lease liability on 31 December 20X9 is HK\$1,157,474 ($\text{HK\$1,112,956} + \text{HK\$44,518}$). Journal entry to record the interest on 31 December 20X9 is as follows:

	Debit	Credit
	HK\$	HK\$
Interest expense	44,518	
Lease liability		44,518

HK Property is also required to depreciate the right-of-use asset for the year ended 31 December 20X9. As ownership does not transfer to HK Property at the end of the lease term, HK Property will depreciate over the shorter of the lease term (six years) or the useful life of the retail store (25 years). As such, depreciation period should be six years.

On 1 January 20X9 the right-of-use assets carrying amount was HK\$1,432,956 (as computed in the previous analysis). There is no guaranteed residual value and, as HK Property expects to consume the economic benefits from the office evenly over the lease term, depreciation is calculated on a straight-line basis. As such, depreciation expense equals ($\text{HK\$1,432,956} / 6 \text{ years} = \text{HK\$238,826}$) and is represented by the following journal entry on 31 December 20X9:

	Debit	Credit
	HK\$	HK\$
Depreciation – Right-of-use asset	238,826	
Accumulated depreciation – Right-of-use asset		238,826

There is no indication of impairment of the right-of-use asset.

On 1 January 20Y0, HK Property recognises the lease payment as follows:

	Debit	Credit
	HK\$	HK\$
Lease liability	250,000	
Cash		250,000

After the lease payment on 1 January 20Y0, the carrying amount of the lease liability is HK\$907,474 ($\text{HK\$1,157,474} - \text{HK\$250,000}$).

7.2.2.3 Changes to, and Modifications of, a Lease

After the commencement date, changes to and modifications of a lease may arise. HKFRS 16 implicitly distinguishes between changes and modifications. Changes are due to either new information or a change in the lessee's decisions. These affect the future lease payments to be paid by the lessee, but the lease contract remains unaffected. Modifications adjust the lease contract and either alter, add, or remove terms and conditions (i.e. they modify the lease's scope).

HKFRS
16.40, 16.42

Changes include the following:

- the lease term;
- whether the lessee is reasonably certain about exercising a purchase option;
- amounts to be paid under a residual value guarantee; or
- variable lease payments due to a change in a rate used to determine those payments.

If any of the above changes occur, the lessee is required to remeasure the lease liability. Upon remeasurement, any increase or decrease to the lease liability is recognised with a corresponding adjustment to the right-of-use asset. If, however, the carrying amount of the right-of-use asset is reduced to zero and there is a further reduction in the measurement of the lease liability, any remaining amount is recognised by the lessee in profit or loss.

HKFRS
16.30(b), 16.39

Please note that only changes to variable lease payments due to a change in an index or a rate used to determine those payments will be tested for the purposes of this chapter.

Illustrative Example 6

On 1 January 20X6, HK Property enters a three-year lease with Space Creators Limited (Space Creators) for 1,000 square metres of office space. Annual payments are in arrears, commencing on 31 December 20X6. Each annual payment equals HK\$100,000 + (HK\$100,000 × the annual inflation rate for the previous calendar year). The annual inflation rate for the year ended 31 December 20X5 is 5%. The interest rate implicit in the lease is 4% per annum. There is no residual value guaranteed by HK Property at the end of the lease term.

The initial measurement of the lease liability equals the present value of future lease payments. The future annual lease payments include the fixed plus variable portions. The variable portion of the future annual payments is included, as it varies based on inflation rates, with all future variable lease payments initially measured using the annual inflation rate as at 31 December 20X5. Based on this inflation rate, the future annual lease payments equal HK\$105,000 (HK\$100,000 + (HK\$100,000 × 0.05)).

Illustrative Example 6 (continued)

Based on an implicit interest rate of 4% per annum, the initial measurement of the lease liability is HK\$291,385, calculated as follows:

	Payment	Discount rate	Present value
31 December 20X6	HK\$105,000	1/1.04	HK\$100,962
31 December 20X7	HK\$105,000	1/1.04 ²	HK\$97,078
31 December 20X8	HK\$105,000	1/1.04 ³	HK\$93,345
Lease Liability			HK\$291,385

On 31 December 20X6, prior to the first annual lease payment, the carrying amount of the lease liability is HK\$303,040 (HK\$291,385 plus interest accretion at 4%). Once the first lease payment of HK\$105,000 is made, the carrying amount of the lease liability is reduced to HK\$198,040 (HK\$303,040 – HK\$105,000).

On 31 December 20X6, the annual inflation rate has increased to 7.5%. The change in the annual inflation rate causes a change to the variable portion of the remaining annual lease payments, which now equal HK\$107,500 (HK\$100,000 + (HK\$100,000 × 0.075)). The remeasurement of the lease liability is calculated as follows:

	Payment	Discount rate	Present value
31 December 20X7	HK\$107,500	1/1.04	HK\$103,365
31 December 20X8	HK\$107,500	1/1.04 ²	HK\$99,390
Lease Liability			HK\$202,755

The interest rate implicit in the lease remains at 4% per annum, as the remeasurement of the lease liability is necessitated by a change in variable lease payments due to a change in the annual inflation rate. As such, the original discount rate is used.

Due to the change in variable lease payments, HK Property is to increase the lease liability by HK\$4,715, which is the difference between the remeasured lease liability (HK\$202,755) and its existing carrying amount (HK\$198,040). There is a corresponding adjustment to the right-of-use asset, assuming it is not reduced below zero, as reflected in the following journal entry on 31 December 20X6:

	Debit	Credit
	HK\$	HK\$
Right-of-use asset	4,715	
Lease liability		4,715

► Knowledge Check Questions

Question 3

On 1 January 20X7 Quality Products Limited (Quality Products) enters into a lease with Efficient X Limited (Efficient X) for the exclusive use of manufacturing equipment for four years. Quality Products has the unconditional option to terminate the lease after three years (i.e. on 31 December 20X9) at a penalty of HK\$50,000. Quality Products is reasonably certain that option to terminate the lease will be exercised. Annual lease payments of HK\$100,000 each are made in advance, commencing on 1 January 20X7. Each subsequent annual payment equals HK\$100,000 plus 2% of Quality Products' last quarter sales. The interest rate implicit in the lease is 3% per annum and lessee knows the implicit interest rate.

Applying HKFRS 16, calculate the lease liability at the commencement date.

Question 4

On 1 January 20X6, Bambling Limited (Bambling) enters into a lease with Vertical Limited (Vertical) for the exclusive use of a motor vehicle for three years. Annual lease payments are HK\$25,000, paid in arrears on 31 December. Bambling guarantees a residual value for the motor vehicle at the end of the lease term and it is expected that Bambling would need to pay to Vertical HK\$7,500 under the residual value guarantee. The interest rate implicit in the lease is 5% per annum.

Applying HKFRS 16, determine what is the subsequent measurement of the lease liability in each of the three years.

Question 5

On 1 January 20X9, Clear Communications Limited (Clear) enters into a lease with Signal Limited (Signal) for the exclusive use of a mobile phone tower for 15 years. The agreement contains a purchase option, enabling Clear to purchase the tower at the end of the lease term. Clear is reasonably certain it will exercise the purchase option. The useful life of the tower is 25 years with no residual value. Clear expects to consume the economic benefits from the tower evenly over the period of use.

Based on the above and other information, the lease liability is initially measured at HK\$5,000,000, excluding an initial lease payment of HK\$450,000 upon commencement of the lease.

Clear adopts the cost model in relation to its property, plant and equipment. At 31 December 20X9, there is no indication the mobile phone tower is impaired.

Applying HKFRS 16, identify which of the following is the carrying amount of the right-of-use asset at 31 December 20X9.

- A HK\$4,666,667
- B HK\$4,800,000
- C HK\$5,086,667
- D HK\$5,232,000

7.3 LESSOR

While a single lease accounting model is adopted by a lessee in accounting for the lease agreement, HKFRS 16 adopts a dual lease accounting model for lessors. Under a dual lease accounting model, lessors are required to classify their leases as either operating or financing leases and, upon doing so, account for each type of lease differently.

This section explores how a lessor is required to account for a lease in accordance with HKFRS 16.

7.3.1 Classification of Leases by the Lessor

HKFRS
16.61, 66

At the inception of a lease, a lessor is required to classify it as either an **operating lease** or a **finance lease**. Whether a lease is an operating or finance lease depends on whether the lease agreement transfers substantially all the risks and rewards incidental to ownership of the underlying asset to the lessee or not. If it does, it is a finance lease. If it does not, it is an operating lease. Classification of the lease occurs at inception date as this date coincides with when the risks and rewards incidental to ownership of the underlying asset are first transferred to the lessee.

HKFRS
16.62

HKFRS
16.B53

Risks incidental to ownership of the underlying asset include:

- the possibility of suffering losses due to idle capacity or technological obsolescence; and
- variations in return due to changing economic conditions.

HKFRS
16.B53

Rewards incidental to ownership of the underlying asset include:

- the expectation of profitable operation of the underlying asset over its economic life; and
- the expectation of any gain from appreciation in value of the underlying asset or realisation of its residual value.

If the above risks and rewards rest with the lessee, the lessor should regard the lease as a finance lease. In this case, the lessor should derecognise the asset and record a lease receivable, capturing the discounted future lease payments it expects to receive. In contrast, if the risks and rewards are retained by the lessor, the lessor should regard the lease as an operating lease. The lessor should continue to record the asset in the statement of financial position and the lease payments are reported in the statement of profit or loss and other comprehensive income when they occur.

HKFRS
16.63

HKFRS 16 also provides more specific criteria according to which the risks and rewards incidental to ownership of the underlying asset would normally be regarded as having been transferred to the lessee (i.e. a finance lease). These are as follows:

- the lease transfers ownership of the underlying asset to the lessee by the end of the lease term;
- the lessee has the option to purchase the underlying asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at inception date, that the option will be exercised;

- the lease term is for the major part of the economic life of the asset even if title is not transferred;
- at inception date, the present value of the lease payments amounts to at least substantially all of the fair value of the underlying asset; and
- the underlying asset is of such a specialised nature that only the lessee can use it without major modifications.

HKFRS
16.64

HKFRS 16 also provides indicators of situations that could lead to a lease being classified as a finance lease. These are as follows:

- if the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (e.g. in the form of a rent rebate equalling most of the sales proceeds at the end of the lease); and
- the lessee can continue the lease for a secondary period at a rent that is substantially lower than the market rent.

HKFRS
16.63, 64

These examples and indicators may individually, or collectively, indicate the existence of a finance lease. The assessment depends on the substance of the transaction rather than the form of the contract.

Illustrative Example 7

COC Ltd leased a machine to Stick Co. The fair value of the machine is HK\$210,000. Lease payments are HK\$30,000 per year, payable at the end of each year, for 10 years. The interest rate implicit in the lease is 9%. At the end of 10 years, the lessor will repossess the equipment. The lease does not include a purchase option for lessee to purchase the machine at the end of the lease term. The machine has an economic life of 15 years.

Classification of Leases by the Lessor:

Whether a lease should be classified as an operating or finance lease by a lessor depends on whether the lease agreement transfers substantially all the risks and rewards incidental to ownership of the underlying asset to the lessee. If risks and rewards rest with the lessee, the lessor should regard the lease as a finance lease. Risks and rewards transfer to lessee if one of the criteria provided in HKFRS 16.63 is satisfied. In this example, COC Ltd will repossess the equipment at the end of 10 years. This implies that ownership of the machine does not transfer at the end of the lease term. Under the lease agreement, there is no purchase option for Stick Co to purchase the machine at the end of the lease term. The lease term only covers 66% (10 years/15 years) of the economic life of the asset. Thus, the lease term does not represent the major part of the economic life of the asset. Also, there is no information stating that the underlying asset is of a specialised nature.

Illustrative Example 7 (continued)

However, the present value of the lease payments represents substantially all of the fair value of the underlying asset. Since annual lease payments is HK\$30,000, payable at the end of each year, for 10 years and implicit rate is 9%, present value of the lease payments is equaled to HK\$192,530 (PMT: HK\$30,000, $I = 9\%$, $n = 10$). Present value of lease payments covers 91.68% of the fair value of machine and 91.68% should be viewed as substantially all of the fair value of the underlying asset (based on professional judgement). Therefore, with the risks and rewards of the assets regarded as having been transferred to the lessee, COC Ltd should classify the lease as finance lease in this case.

Key Learning Point

Lessors account for a lease arrangement by first classifying a lease into a finance or operating lease. In principle, if rewards and risks from the use of the asset are sufficiently transferred to the lessee, then the lease represents a finance lease, whereas if the rewards and risks rest with the lessor, then the lease represents an operating lease.

7.3.2 Recognition and Measurement

7.3.2.1 Accounting for Finance Leases

If a lease transfers substantially all the risks and rewards incidental to ownership of the underlying asset to a lessee, it is a finance lease. How a lessor accounts for a finance lease in accordance with HKFRS 16 depends upon the nature of the lessor. In particular, there are two types of lessor:

1. **Financier lessors**, who acquire the underlying asset at fair value to lease it to the lessee. Financier lessors derive their profit from the financing arrangements within the lease agreement (i.e. through earning finance income) rather than make a gain from the sale.
2. **Manufacturer or dealer lessors** who may lease out assets they have produced, rather than sell them. Similarly, dealers may acquire assets for resale, but instead choose to lease them to others. Manufacturer or dealer lessor generally recognised the underlying asset at an amount less than its fair value. For example, the manufacturer or dealer will typically recognise the underlying asset at cost. As the manufacturer or dealer seeks to make profit from the underlying asset, the amounts recovered from the lease of the underlying asset would exceed the asset's cost. A manufacturer or dealer lessor, therefore, will generate two types of income through a lease:
 - Profit from sales, being the difference between the cost and fair value of the underlying asset; and
 - Finance income (e.g. interest revenue).

This section begins with the discussion of lessor accounting with respect to a financier or manufacturer or dealer in accordance with HKFRS 16. This is followed by a discussion of the additional HKFRS 16 requirements specific to manufacturer or dealer lessors.

Initial Measurement

Because a finance lease transfers substantially all the risks and rewards incidental to ownership of the underlying asset to the lessee, a lessor must first, at commencement date, derecognise the underlying asset from its statement of financial position.

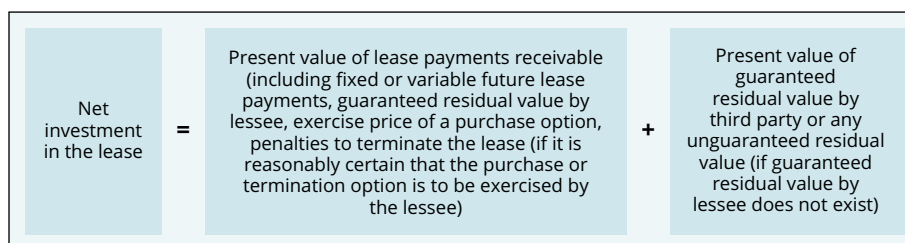
On the other hand, the lessor should recognise a receivable to reflect the future payments from the lessee as a result of the lease. The receivable is first recognised at commencement date, and is measured at an amount equal to the net investment in the lease.

HKFRS
16.67

In particular, the lessor's net investment in the lease equals the present value of the following estimated amounts receivable in the future:

HKFRS
16.70

- fixed payments less any lease incentives payable;
- variable payments that depend on an index or rate;
- amounts receivable under residual value guarantees;
- the exercise price of a purchase option, but only if it is reasonably certain to be exercised by the lessee;
- penalties to terminate the lease, but only if the lease term reflects the lessee exercising the option to terminate; and
- any unguaranteed residual value accruing to the lessor.



► **EXHIBIT 7.5** Initial measurement of the net investment in the lease by lessor

The initial measurement of the **net investment in the lease** by a lessor is almost the same as the lease liability by a lessee except the following two notable differences:

1. the net investment in the lease includes the present value of any unguaranteed residual value accruing to the lessor, which is not included in the lessee's lease liability – because it is not a present obligation of the lessee.
2. the net investment in the lease includes any residual value guaranteed to the lessor by any party (e.g. the lessee, a party related to the lessee or an unrelated third party), while the lessee only includes any residual value it guarantees in the measurement of the lease liability.

The lessor uses the interest rate implicit in the lease to discount the future cash inflows to present value terms. The interest rate implicit in the lease is that which makes the net investment in the lease equal to the fair value of the underlying asset plus initial direct costs of the lessor.

HKFRS
16.68–69

Subsequent Measurement

HKFRS
16.75

After lease commencement, the lessor recognises finance income (in profit or loss) over the lease term, based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. This is achieved by allocating the lease payments received by the lessor between finance income to the lessor and the repayment of the 'principal' (i.e. the lease receivable, being the net investment in the lease) using the interest rate implicit in the lease.

This approach is consistent with the subsequent measurement of a lease liability of a lessee (described in Section 7.2.2.1), the carrying amount of the net investment in the lease will:

- increase to reflect interest accrued (i.e. finance income); and
- decrease to reflect lease payments received.

Derecognition and impairment requirements in HKFRS 9 shall be applied to a lessor's net investment in the lease because it is a financial asset. Any unguaranteed residual values included in the investment shall be reviewed regularly. Lessor shall revise the income allocation over the lease term if there has been a reduction in the estimated unguaranteed residual value.

HKFRS
16.77

Apply and Analyse 5

On 1 January 20X8, HK Delivery Limited (HK Delivery) enters into a three-year non-cancellable lease with professional leasing company GT Finance Limited (GT Finance) for a delivery truck. The truck is immediately ready for use with no initial direct cost. HK Delivery can make decisions on how to use the truck and HK Delivery agrees to take care of all maintenance during the lease term. The current market purchase price of the truck is HK\$373,028. There is no unguaranteed residual value and HK Delivery assumes ownership of the vehicle at the end of the lease period. Annual lease payments of HK\$150,000 are payable on 31 December each year. The implicit interest rate is 10%.

Determine how GT Finance should account for the lease with HK Delivery. Prepare relevant journal entries for GT Finance to record the lease on 1 January 20X8 and 31 December 20X8.

Analysis

Since HK Delivery assumes ownership of the delivery truck at the end of the lease period, all risks and rewards from the truck are transferred to HK Delivery. From the perspective of GT Finance, the lease is classified as a finance lease. On 1 January 20X8, GT Finance derives the present value of the lease payments which results in a value of the lease receivable in the amount of HK\$373,028 (PMT: HK\$150,000, $I = 10\%$, $n = 3$). The relevant journal entry is:

	Debit	Credit
	HK\$	HK\$
Lease receivables	373,028	
Vehicles		373,028

Apply and Analyse 5 (continued)

On 31 December 20X8, GT Finance accounts for the lease payment received and the interest income. A lease payment will result in the reduction of the net investment in the lease while interest income will result in an increase in net investment in the lease. Journal entry to record the least payment and interest income on 31 December 20X8 is as follows:

	Debit	Credit
	HK\$	HK\$
Cash	150,000	
Lease receivables		112,697
Finance income (HK\$373,028 x 10%)		37,303

Manufacturer or Dealer Lessors

When a manufacturer or dealer enters into a finance lease with a lessee, there are additional HKFRS 16 requirements (specific to the manufacturer or dealer lessor) to be applied.

HKFRS
16.72

HKFRS 16 treats a finance lease for manufacturer or dealer lessors as an outright sale of the underlying asset to the lessee to better reflect the economics of the transaction. As such, the lessor shall recognise revenue, which is the lower of the fair value of the underlying asset and the present value of the lease payments accruing to the lessor discounted using a market rate of interest and derecognise the underlying asset at cost, or carrying amount if different. Also, the lessor shall recognise the net investment in the lease as a receivable at the commencement date. The difference between revenue and cost of sale is the selling profit (i.e. gain on sale) which should be recognised by manufacturer or dealer lessors in accordance with HKFRS 15 *Revenue from Contracts with Customers*.

HKFRS
16.71

In measuring revenue, it equals the lower of the fair value of the underlying asset and the present value of lease payments. Requiring the lessor to recognise revenue as the lower of these two amounts is to avoid lessors overstating revenue at commencement date, e.g. inflating the underlying asset's selling price (i.e. fair value).

Similarly, in measuring revenue, lease payments are discounted to present value using a market rate of interest. This is to overcome situations where a manufacturer or dealer lessor quotes an artificially low rate of interest to attract customers and, if using this low rate of interest as the discount rate, results in the lessor recognising an excessive portion of the total income from the transaction as revenue at the commencement date.

HKFRS
16.73

Costs incurred in connection with obtaining a finance lease are recognised by a manufacturer or dealer lessor as an expense at the commencement date, including those that would otherwise constitute initial direct costs, since they are mainly related to earning the manufacturer or dealer's selling profit. As such, the measurement of the net investment in the lease differs for a financier lessor and a manufacturer or dealer lessor, as the latter's will not include any incremental costs of obtaining a lease that would not have been incurred if the lease were not obtained.

HKFRS
16.74

HKFRS
16.App A

After lease commencement, a manufacturer or dealer lessor measures a finance lease in accordance with the approach outlined in 'Initial Measurement' and 'Subsequent Measurement' (following Section 7.3.2.1).

Apply and Analyse 6

On 1 January 20X8, Ziva Limited (Ziva) enters into a two-year non-cancellable lease with vehicle-manufacturer GW Limited (GW) for a motor vehicle. The vehicle is immediately ready for use with no initial direct cost. Ziva can make decisions on how to use the vehicle during the lease term. Ziva also agrees to undertake necessary maintenance on the motor vehicle. The present value of the lease payments is HK\$190,000. The carrying value of the vehicle is HK\$170,000 and its fair value is HK\$200,000. There is no guaranteed or unguaranteed residual value and Ziva assumes ownership of the motor vehicle at the end of the lease period.

Determine how GW should account for the lease with Ziva. Prepare relevant journal entries for GW to record the lease on 1 January 20X8.

Analysis

Since Ziva assumes ownership of the motor vehicle at the end of the lease period, all risks and rewards from the vehicle are transferred to Ziva. From the perspective of GW, the lease is classified as a finance lease. Since GW is a manufacturer of the leased asset, it accounts for the lease as an asset sale. GW should derecognise the motor vehicle and establish a receivable at the commencement date. GW also has to account for the revenues and costs of goods sold arising from the lease. The revenues are HK\$190,000, resulting from the lower of the present value of lease payments (HK\$190,000) and the fair value (HK\$200,000). Further, cost of goods sold corresponds to the carrying amount of the motor vehicle. The journal entry on 1 January 20X8 is:

	Debit	Credit
	HK\$	HK\$
Lease receivables	190,000	
Cost of Goods Sold	170,000	
Vehicles		170,000
Revenues		190,000

7.3.2.2 Accounting for Operating Leases

If a lessor retains substantially all the risks and rewards incidental to ownership of the underlying asset, an operating lease exists. How a lessor accounts for an operating lease in accordance with HKFRS 16 is considered next.

The accounting treatment of operating leases by a lessor can be summarised as follows:

- lease payments receivable from the lessee are recognised as income on either a straight-line basis over the lease term, or another systematic basis if it is more representative of the pattern in which benefits from the use of the underlying asset by the lessor is diminished;
- the underlying asset subject to the operating lease continues to be recognised as an asset in the statement of financial position, and depreciated in accordance with HKAS 16 or HKAS 38;

HKFRS
16.81

HKFRS
16.84

HKFRS
16.83HKFRS
16.85

- initial direct costs incurred are added to the carrying amount of the underlying asset, and depreciated over the lease term on the same basis as the lease income; and
- the underlying asset is subject to impairment in accordance with HKAS 36.

Apply and Analyse 7

HK Property leased a new personal computer from Tech Savvy (a financier lessor) for a monthly lease payment of HK\$500 payable at the end of each month. The lease has a two-year non-cancellable period which HK Property has the option to extend for a further 12 months. The lease agreement indicates there is no option for HK Property to purchase the computer, nor does ownership automatically transfer to HK Property at the end of the lease term. Implicit interest rate is 10%. Tech Savvy hired local solicitors to review the terms of the agreement, who charged HK\$3,000 for their services. HK Property settle the legal fee of HK\$3,000 at the commencement date.

HK Property intends on exercising the extension option, the lease term is three years.

The personal computer was acquired by Tech Savvy at a cost of HK\$20,000. The estimated economic life of the computer is six years with zero residual value at the end of six years. The depreciation policy of Tech Savvy is to depreciate all depreciable assets on a straight-line basis. There is no indication the personal computer is impaired.

Applying HKFRS 16, determine how Tech Savvy, the lessor, would classify the lease with HK Property. Prepare the journal entries for the first year of the lease.

Analysis

Looking at the substance of the transaction, the lease should be classified as an operating lease by Tech Savvy. While the lease term (three years including the highly likely extension beyond the non-cancellable period) comprises a considerable part of the economic life (six years) of the personal computer, this does not constitute a 'major part' of the computer's economic life. In addition, the following facts indicate that an operating lease exists:

- HK Property does not have an option to purchase the computer at the end of the lease term;
- ownership does not transfer to HK Property at the end of the lease term;
- present value of the lease payments [HK\$15,496 (monthly payment = HK\$500, monthly interest rate = 10%/12, $n = 36$)] at inception date does not represent substantially all of the fair value of the underlying asset (HK\$20,000); and
- the underlying asset is not of a specialised nature.

Upon weighing up all relevant facts, and focusing on the substance of the contract, the risks and rewards incidental to ownership of the personal computer remains with Tech Savvy. As such, an operating lease exists and the following journal entries are required for the first year of the lease.

Apply and Analyse 7 (continued)

With regard to the legal fees, the amount of HK\$3,000 constitutes initial direct costs and is added to the carrying amount of the personal computer and depreciated over the lease term on a straight-line basis. The journal entry to record the legal fee at commencement date is:

	Debit	Credit
	HK\$	HK\$
Computer	3,000	
Cash		3,000

A lease payment should be recognised as lease income by the lessor under operating lease. The journal entry to record the first lease payment should be (note that this journal entry is to be done for 12 months):

	Debit	Credit
	HK\$	HK\$
Cash	500	
Lease income		500

Carrying amount of the computer and legal fee paid at the commencement date $\text{HK\$}20,000 + \text{HK\$}3,000 = \text{HK\$}23,000$ should be depreciated over the economic life (six years). The journal entry for the annual depreciation of the personal computer is as follows:

	Debit	Credit
	HK\$	HK\$
Depreciation expense – Computer	3,833	
Accumulated depreciation – Computer		3,833

► Knowledge Check Questions

Question 6

On 1 January 20X9, Ahoy Ltd (Ahoy) leased a cargo ship to TransPacific Ltd (TransPacific) for 30 years. While the lease is for the exclusive use of a specific cargo ship over the term of the lease, the design of the cargo ship is generic to meet the varying transportation needs of distributors such as TransPacific. For the duration of the lease term, TransPacific is required to make annual lease payments in arrears of HK\$200,000. While ownership does not automatically transfer to TransPacific at the end of the lease term, it has the option to purchase the cargo ship for HK\$500,000. It is estimated the fair value of the cargo ship at the end of the lease term will be HK\$750,000. Using an implicit interest rate of 5% per annum, the present value of the annual fixed payments and the exercise price for the purchase option is HK\$3,190,179. On 1 January 20X9, the fair value of the cargo ship is HK\$3,200,000. The estimated economic life of the cargo ship is 35 years.

Applying HKFRS 16, determine how Ahoy should classify the lease agreement with TransPacific.

► Knowledge Check Questions (*continued*)

Question 7

On 1 January 20X9, Plus Signs Limited (Plus Signs) enters into an agreement to lease a 3D printer to Prime Success Limited (Prime Success) for four years. Prime Success has the unconditional option to terminate the lease after two years at a penalty of HK\$15,000. Plus Signs is reasonably certain Prime Success will not exercise the option to terminate the lease. Annual lease payments of HK\$12,000, payable in advance, commence on 1 January 20X9. Plus Signs estimates the residual value of the 3D printer at the end of the lease term to be HK\$10,000 which is not guaranteed by Prime Success. The economic life of the 3D printer is six years. The interest rate implicit in the lease is 4% per annum.

Since the lease term (four years) constitutes the major part of the economic life (six years) of the 3D printer, the lease agreement therefore features a finance lease. Applying HKFRS 16, calculate the initial measurement of the net investment in the lease for Plus Signs.

7.4 PRESENTATION AND DISCLOSURE

Both the lessee and the lessor are subject to financial statement presentation and disclosure requirements under HKFRS 16.

7.4.1 Lessee Presentation and Disclosure

Under HKFRS 16, the presentation requirements for lessees for each financial statement can be summarised as in Exhibit 7.5.

Financial statement type	Presentation
Statement of financial position	<i>Right-of-use assets (that are not investment property)</i>
	Separately from other assets; or
	Within the same line item as that within which the corresponding underlying assets would be presented if they were owned, with disclosure of which line items include right-of-use assets.
	<i>Right-of-use assets (that are investment property)</i>
	Presented as investment property.
	<i>Lease liabilities</i>
	Separately from other liabilities; or
	Together with other liabilities, with disclosure of which line items include lease liabilities.

► EXHIBIT 7.5 Presentation requirements for lessees under HKFRS 16

HKFRS
16.47, 48

Financial statement type	Presentation
HKFRS 16.49 Statement of profit or loss and other comprehensive income	Interest expense on lease liability and depreciation charge on right-of-use asset presented separately. Interest expense as a component of finance costs.
HKFRS 16.50 Statement of cash flows	Cash payments for the principal portion of the lease liability presented within financing activities. Cash payments for the interest portion of the lease liability presented according to how the lessee classifies interest paid in accordance with HKAS 7 <i>Statement of Cash Flows</i> . Lease payments for short-term leases and low-value asset leases (for which the recognition exemption applies) are presented within operating activities. Variable lease payments that do not depend on an index or rate are presented within operating activities.

► **EXHIBIT 7.5 Presentation requirements for lessees under HKFRS 16 (Continued)**

HKFRS 16.52

HKFRS 16.53

HKFRS 16 requires lessee disclosures to be a single note or a separate section in the lessee's financial statements. Lessee shall disclose the following amounts (where applicable):

- depreciation charge for right-of-use assets by class of underlying asset;
- interest expense on lease liabilities;
- the expense relating to short-term leases (for which the recognition exemption applies). This expense need not include the expense relating to leases with a lease term of one month or less;
- the expense relating to low-value asset leases (for which the recognition exemption applies). This expense shall not include the expense relating to short-term leases of low-value assets included above;
- the expense relating to variable lease payments not included in the measurement of lease liabilities;
- income from subleasing right-of-use assets;
- total cash outflow for leases;
- additions to right-of-use assets; and
- the carrying amount of right-of-use assets at the end of the reporting period by class of underlying asset.

HKFRS 16.54

The above disclosures should be provided in tabular format, unless another format is more appropriate.

7.4.2 Lessor Presentation and Disclosure

The disclosures required by a lessor under HKFRS 16 depend on the types of the lease.

7.4.2.1 Finance Leases

HKFRS
16.90(a)

For finance leases, a lessor shall disclose the following amounts for the reporting period:

- selling profit or loss (if it is a manufacturer or dealer lessor);
- finance income on the net investment in the lease; and
- income relating to variable lease payments not included in the measurement of the net investment in the lease.

HKFRS
16.91

The above disclosures are to be provided in tabular format, unless another format is more appropriate.

In addition to the above disclosures, a lessor is also required to disclose qualitative and quantitative information about its leasing activities. This additional information includes:

HKFRS
16.92(a)

- the nature of the lessor's leasing activities and

HKFRS
16.92(b)

- how the lessor manages the risk associated with any rights it retains in underlying assets.

7.4.2.2 Operating Leases

HKFRS
16.95, 96

Underlying assets under operating leases are presented in the lessor's statement of financial position according to the nature of the underlying asset. Lessor should disclose lease income, separating that related to variable lease payments that do not depend on an index or rate.

HKFRS
16.90(b)

In addition, a lessor is also required to disclose the qualitative and quantitative information about the lessor's leasing activities that contribute to achieving the objective of lessor disclosures qualitative and quantitative information about the lessor's leasing activities that contribute to achieving the objective of lessor disclosures.

HKFRS
16.92(a)

► Knowledge Check Questions

Question 8

A company has lease contracts for its vehicles, computer equipment and premises. Identify which of the following statement is correct.

- A** None of the required disclosures are to be split by class of asset.
- B** All the required disclosures are to be split by class of asset.
- C** Only the carrying amount of right-of-use assets at the end of the reporting period is required to be split by class of asset.
- D** The carrying amount of right-of-use assets at the end of the reporting period and the depreciation charge for right-of-use assets are required to be split by class of asset.

► **Knowledge Check Questions (*continued*)**

Question 9

A company leases vehicles and premises for its own use. Identify which of the following statement is correct.

- A** Leased assets are required to be separately presented from the company's owned assets.
- B** Leased assets are required to be presented within the same line item of the company's owned assets.
- C** Leased assets are required to be presented within the same line item of the company's owned assets, with disclosure of which line items include such leased assets.
- D** Leased assets can optionally be presented separately from or within the same line item of the company's owned assets, with disclosure of which line items include such leased assets.

Question 10

A leasing company only has operating leases for the vehicles it leases to customers. Identify which of the following statement is correct.

- A** The asset to be shown in the statement of financial position is an item of property, plant and equipment; the related depreciation charge is also to be disclosed.
- B** The asset to be shown in the statement of financial position is a trade receivable; the related finance income is also to be disclosed.
- C** The asset to be shown in the statement of financial position is an item of property, plant and equipment; the related finance income is also to be disclosed.
- D** The asset to be shown in the statement of financial position is a trade receivable; the related depreciation charge is also to be disclosed.



SUMMARY

- HKFRS 16 sets out the principles for the definition, recognition, measurement, presentation and disclosure of leases from both the lessee's and lessor's perspective.
- Under HKFRS 16, a lease exists if there is a contract whereby the lessee has the right to control the use of an identified asset for a period of time in exchange for consideration payable to the lessor.
- If the contract contains non-lease aspects, the lessee (subject to a practical expedient) and lessor allocate the total contract consideration between the lease and non-lease components of the contract.
- If a lease exists, the term of the lease commences when the underlying asset becomes available for use by the lessee and comprises any non-cancellable period and periods covered by an option to extend or terminate the lease depending on the likelihood of the option being exercised by the lessee.
- A lessee and lessor disclose information that, together with the information provided in the financial statements, enables users to assess the effect of leases on the financial position, financial performance and cash flows of lessee and lessor, respectively.

Lessee

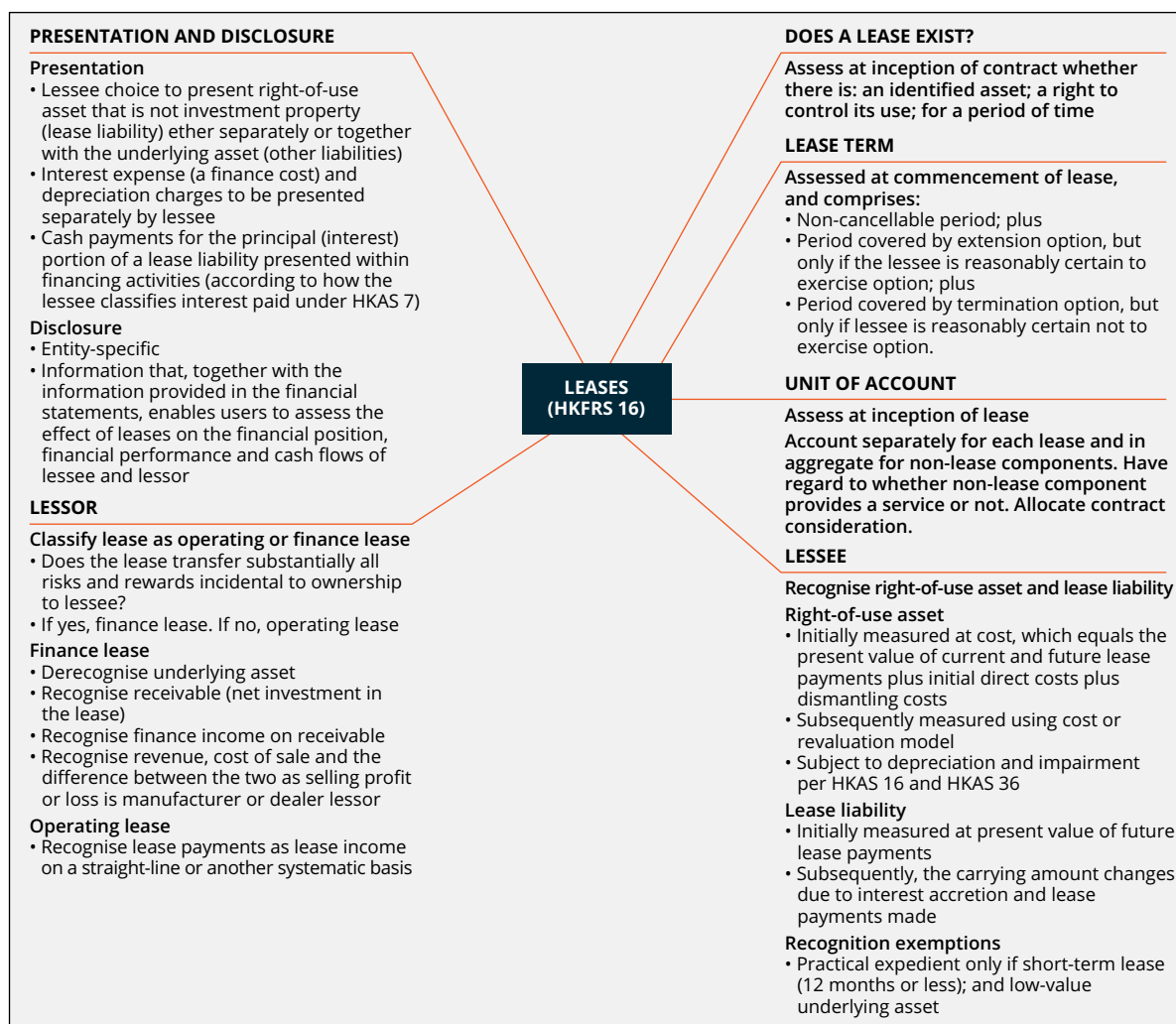
- A lessee is required to recognise a right-of-use asset and a lease liability arising from the lease.
- The right-of-use asset is initially measured at cost but can be subsequently revalued if the right-of-use asset relates to a class of property, plant and equipment to which the lessee applies the revaluation model. It is also subject to depreciation and impairment requirements.
- The lease liability is initially measured at the present value of lease payments payable to the lessor, and changes in value over the lease term when interest expense accrues on the liability and when lease payments are made or revised. The lease liability is discounted to present value terms using the interest rate implicit in the lease or, if the implicit interest rate cannot be readily determined by the lessee, the discount rate to use is the lessee's incremental borrowing rate.
- In its statement of financial position, a lessee is required to present (or at least disclose) its right-of-use assets separately from other assets, and its lease liabilities separately from other liabilities.
- A lessee can elect not to recognise a right-of-use asset and a lease liability for short-term leases (12 months or less) or leases of low-value assets.

Lessor

- At the inception of the lease, a lessor must classify a lease as an operating or finance lease according to whether substantially all of the risks and rewards incidental to ownership of the leased asset are transferred to the lessee or not.

- If substantially all of the risks and rewards are transferred to the lessee, a finance lease exists and the lessor recognises a receivable equal to the net investment in the lease.
- The net investment in the lease is initially measured at the present value of future lease payments and any unguaranteed residual value accruing to the lessor. Subsequently, it changes in value over the lease term when finance income accrues on the receivable, when lease payments are received, the receivable is impaired, or certain lease modifications occur.
- If it is an operating lease, the lessor recognises income over the lease term on a straight-line basis or another systematic basis.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

No. This is despite the fact that the aircraft owner's substitution rights are not substantive – the aircraft owner is only able to substitute the identified asset if it requires repair.

However, although it is an 'identified asset', the airline company does not have a right to obtain substantially all of the economic benefits from use of the identified asset over the three-year period. This is because the airline company can only use the aircraft for three days a week, with the aircraft owner benefitting from the use of the aircraft on the other four days.

Question 2

Answer A is correct. The lease term begins at the commencement date of the lease, which is when the retail space becomes available to Label for use. This is 1 August 20X9. While the lease is for a five-year period, Label has the right to terminate the lease after two years. At the commencement of the lease it seems reasonably certain that Label will terminate the lease as the right to terminate is unconditional, significant amounts have not been spent on the retail space by Label as only minor modifications have been made, there are no penalties to terminate, and Label has an economic incentive to terminate the lease to avoid the above-market impending variable lease payment increase.

Answer B is incorrect. The lease term begins at the commencement date of the lease, which is when the retail space becomes available to Label for use, not when it is first used.

Answer C is incorrect. The lease term does not begin at the inception date of the lease (1 July 20X9) but rather the commencement date of the lease (1 August 20X9).

Answer D is incorrect. While the lease term commences when the retail space becomes available to Label for use (1 August 20X9), at the commencement of the lease it seems reasonably certain Label will terminate the lease after two years for the abovementioned reasons.

Question 3

The initial measurement of the lease liability is equal to the present value of future lease payments. The first annual payment of HK\$100,000 is not included in this measurement, as it occurred on commencement date (i.e. it is not a 'future' lease payment). Moreover, the variable component of the future annual payments is excluded, as the variable portion is not dependent on an index or a rate, but rather Quality Products' sales performance.

As Quality Products is reasonably certain it will exercise the option to terminate, the lease term is only three years. Based on an implicit interest rate of 3% per annum, the initial measurement of the lease liability is HK\$250,831, calculated as follows:

	Payment	Discount rate	Present value
1 January 20X8	HK\$100,000	1/1.03	HK\$97,087
1 January 20X9	HK\$100,000	1/1.03 ²	HK\$94,260
31 December 20X9	HK\$50,000	1/1.03 ³	HK\$45,757
31 December 20X9	HK\$15,000	1/1.03 ³	HK\$13,727
Lease Liability as at 1 January 20X7			<u>HK\$250,831</u>

Question 4

To determine the subsequent measurement of the lease liability, it is first necessary to determine initial measurement. The present value of future lease payments includes the fixed annual lease payments of HK\$25,000 plus the amount expected to be payable under the residual value guarantee made by Bambling of HK\$7,500, and is calculated as follows:

	Payment	Discount rate	Present value
31 December 20X6	HK\$25,000	1/1.05	HK\$23,810
31 December 20X7	HK\$25,000	1/1.05 ²	HK\$22,676
31 December 20X8	HK\$25,000	1/1.05 ³	HK\$21,596
31 December 20X8	HK\$7,500	1/1.05 ³	HK\$6,479
Lease Liability as at 1 January 20X6			HK\$74,561

Accordingly, the lease liability is initially measured at HK\$74,561. Subsequently, the carrying amount of the lease liability will increase due to annual interest accretion and decrease when the annual lease payments are paid. The carrying amount of the lease liability at the end of each year following lease commencement is as follows:

	Beginning balance (1/1 each year)	Payment	Interest expense (5%)	Ending balance (31/12 each year)
	(1)	(2)	(3) = (1) x 5%	(4) = (1) – (2) + (3)
31 December 20X6	HK\$74,561	HK\$25,000	HK\$3,728	HK\$53,289
31 December 20X7	HK\$53,289	HK\$25,000	HK\$2,664	HK\$30,953
31 December 20X8	HK\$30,953	HK\$32,500	HK\$1,547*	0

*Balancing item that contains rounding error of HK\$1

To illustrate, at the end of the first year of the lease (31 December 20X6) the lease payment reduces the lease liability by HK\$25,000. However, interest accretion for the year is HK\$3,728 (HK\$74,561 x 5%), giving rise to a 'net' reduction in the lease liability of HK\$21,272 (HK\$25,000 – HK\$3,728). This reduces the carrying amount of the lease liability to HK\$53,289 and would be reflected in the following journal entry on 31 December 20X6:

	Debit	Credit
	HK\$	HK\$
Lease liability	21,272	
Interest expense	3,728	
Cash		25,000

Question 5

Answer A is incorrect. The initial measurement of the right-of-use asset ignores the lease payment made at commencement date. Also, the right-of-use asset should be depreciated over 25 years instead of 15 years as the lease agreement contains a purchase option.

Answer B is incorrect. The initial measurement of the right-of-use asset ignores the lease payment made at commencement date.

Answer C is incorrect. the right-of-use asset should be depreciated over 25 years instead of 15 years as the lease agreement contains a purchase option.

Answer D is correct. The initial measurement of the right-of-use asset is equal to the lease liability plus the lease payment made at commencement date (i.e. HK\$5,000,000 + HK\$450,000 = HK\$5,450,000). As the lease agreement contains a purchase option that Clear will, with reasonable certainty, exercise, the right-of-use asset should be depreciated until the end of the tower's useful life (i.e. the depreciation period is 25 years). Moreover, as Clear is expected to consume the economic benefits of the tower equally over the tower's useful life, the straight-line basis of depreciation should be used by Clear. Using the straight-line basis, depreciation expense for the year ended 31 December 20X9 equals HK\$218,000 ($\text{HK\$5,450,000} / 25 \text{ years} = \text{HK\$218,000}$), giving rise to a carrying amount of HK\$5,232,000 ($\text{HK\$5,450,000} - \text{HK\$218,000}$).

Question 6

Looking at the substance of the transaction, the lease should be classified as a finance lease by Ahoy. While there are some factors that suggest an operating lease exists (e.g. ownership does not transfer to TransPacific at the end of the lease term; and the cargo ship is not custom-designed for TransPacific), the following factors, in combination and on balance, indicate a finance lease exists:

- TransPacific has an option to purchase the cargo ship at the end of the lease term, and it is reasonably certain this option will be exercised given the exercise price (HK\$500,000) is substantially lower than the estimated fair value (HK\$750,000) of the cargo ship when the option is exercisable;
- the lease term (30 years) comprises 85.71% of the economic life (35 years) of the cargo ship, thereby constituting a 'major part' of the ship's economic life; and
- the present value of the lease payments (HK\$3,190,179) amounts to 99.7% of the fair value (HK\$3,200,000) of the cargo ship at inception date, thereby representing substantially all of the cargo ship's fair value.

Question 7

The initial measurement of the net investment in the lease is equal to the present value of the sum of: (1) future lease payments; and (2) any unguaranteed residual value accruing to the lessor. The first annual payment of HK\$12,000 is not included in this measurement, as it occurred on commencement date. The remaining annual lease payments are included as 'future lease payments'. As Plus Signs is reasonably certain Prime Success will not terminate the option, the lease term is four years and the termination penalties are excluded from the initial measurement of the net investment in the lease.

Based on an implicit interest rate of 4% per annum, the initial measurement of the net investment in the lease is HK\$41,849, as calculated as follows:

	Payment	Discount rate	Present value
1 January 20X0	HK\$12,000	1/1.04	HK\$11,538
1 January 20X1	HK\$12,000	1/1.04 ²	HK\$11,095
1 January 20X2	HK\$12,000	1/1.04 ³	HK\$10,668
31 December 20X2	HK\$10,000	1/1.04 ⁴	HK\$8,548
Net investment in the lease			<u>HK\$41,849</u>

Question 8

Answer A is incorrect. Some kinds of disclosures are required to be split by class of asset.

Answer B is incorrect. Only some but not all disclosures are required to be split by class of asset.

Answer C is incorrect. This disclosure (carrying amount of right-of-use assets at the end of the reporting period) is not the only disclosure required to be split by class of asset.

Answer D is correct. These disclosures (carrying amount of right-of-use assets at the end of the reporting period and depreciation charge for right-of-use assets) are required to be split by class of asset.

Question 9

Answer A is incorrect. Leased assets (non-investment property) can be presented within the same line item of the company's owned assets.

Answer B is incorrect. Leased assets (non-investment property) can be presented separately from the company's owned assets.

Answer C is incorrect. Leased assets (non-investment property) can be presented separately from the company's owned assets.

Answer D is correct. HKFRS 16 allows leased assets (non-investment property) to be presented separately from or within the same line item of the company's owned assets.

Question 10

Answer A is correct. An operating leased asset is shown as an item of property, plant and equipment and the related depreciation charge is also to be disclosed.

Answer B is incorrect. An operating leased asset is shown as an item of property, plant and equipment and not as a trade receivable; also finance income is shown for a finance lease and not an operating lease.

Answer C is incorrect. While an operating leased asset is shown as an item of property, plant and equipment, finance income is shown for a finance lease and not an operating lease.

Answer D is incorrect. An operating leased asset is shown as an item of property, plant and equipment and not as a trade receivable.

EXAM PRACTICE

QUESTION 1

What is the variable portion of which of the following annual lease payments would not be included in the measurement of the corresponding lease liability?

- A. HK\$50,000 + (HK\$50,000 × Hong Kong's average consumer price index for the previous 12 months).
- B. HK\$75,000 + (HK\$75,000 × Hong Kong's average benchmark interest rate for the previous 12 months).
- C. HK\$100,000 + (HK\$100,000 × HK\$/S\$ exchange rate as at the end of the previous 12 months).
- D. HK\$125,000 + (HK\$125,000 × 1% of lessee sales for the previous 12 months).

Refer to the following for Questions 2-5

Flight+Bus Travel Limited (F+B Travel) is a company based in Hong Kong offering guided tours to European countries. Due to increased demand for its services, F+B Travel plans to expand its business by offering a tour in Spain. On 1 January 20X9, the company enters into an agreement with Vehiculo Rental Limited (Vehiculo Rental), a company based in Spain specialising in the short-term and long-term rental of vehicles. The contract is over the use of one MAN XT4 bus for the tour. The contract specifies that F+B Travel receives control over all aspects of operating the bus. During times of maintenance, Vehiculo Rental agrees to provide a replacement bus for unconstrained use by F+B Travel. F+B Travel hired a local solicitor to review the terms of the agreement. The fee charged by the lawyers is HK\$10,000.

Under the terms of the contract, F+B Travel has the exclusive use of the bus for a period of five years, after which time F+B Travel can extend the contract for five years. To encourage F+B Travel to extend the contract, the contract stipulates that amounts payable by F+B Travel during the optional period will be recalculated below market rates. The management of F+B Travel is uncertain whether it will extend the contract as it is too early to forecast the success of the new tour. Due to such uncertainty, F+B Travel has the option to terminate the contract after three years at a cost of HK\$200,000. The management of F+B Travel expect that the long-term sustainability of the business expansion can only be determined after four to five years.

Under the terms of the contract, F+B Travel commits to pay Vehiculo Rental HK\$360,000 per annum (payable at the beginning of a year) for the use of the bus. F+B Travel is able to establish that the fair value of the bus is HK\$2,700,000.

QUESTION 2

Advise F+B Travel whether the contractual arrangement with Vehiculo Rental constitutes a lease and, if so, determine the lease term.

QUESTION 3

Calculate the initial measurement of the lease liability and the right-of use asset. Prepare journal entries for F+B Travel for the accounting treatment at the lease commencement date.

QUESTION 4

Calculate the subsequent measurement of the lease liability and the right-of use asset after the first lease year. Prepare journal entries for F+B Travel for the accounting treatment after the first lease year.

QUESTION 5

Suppose that F+B Travel has the option to purchase the bus at the end of the lease term (instead of extending the lease) at the current market value of the bus. Advise Vehiculo Rental on the classification of the lease as either an operating lease or a finance lease, assuming that the useful life of the bus is either (1) 6 years or (2) 25 years. Note that Vehiculo Rental is based in Spain, a country also applying International Financial Reporting Standards (IFRS). Assume that the lease standard is qualitatively identical under IFRS 16 as under HKFRS 16.

 ANSWERS TO EXAM PRACTICE**QUESTION 1**

Answer A is incorrect. The initial measurement of a lease liability may include variable lease payments that depend on an index such as the consumer price index.

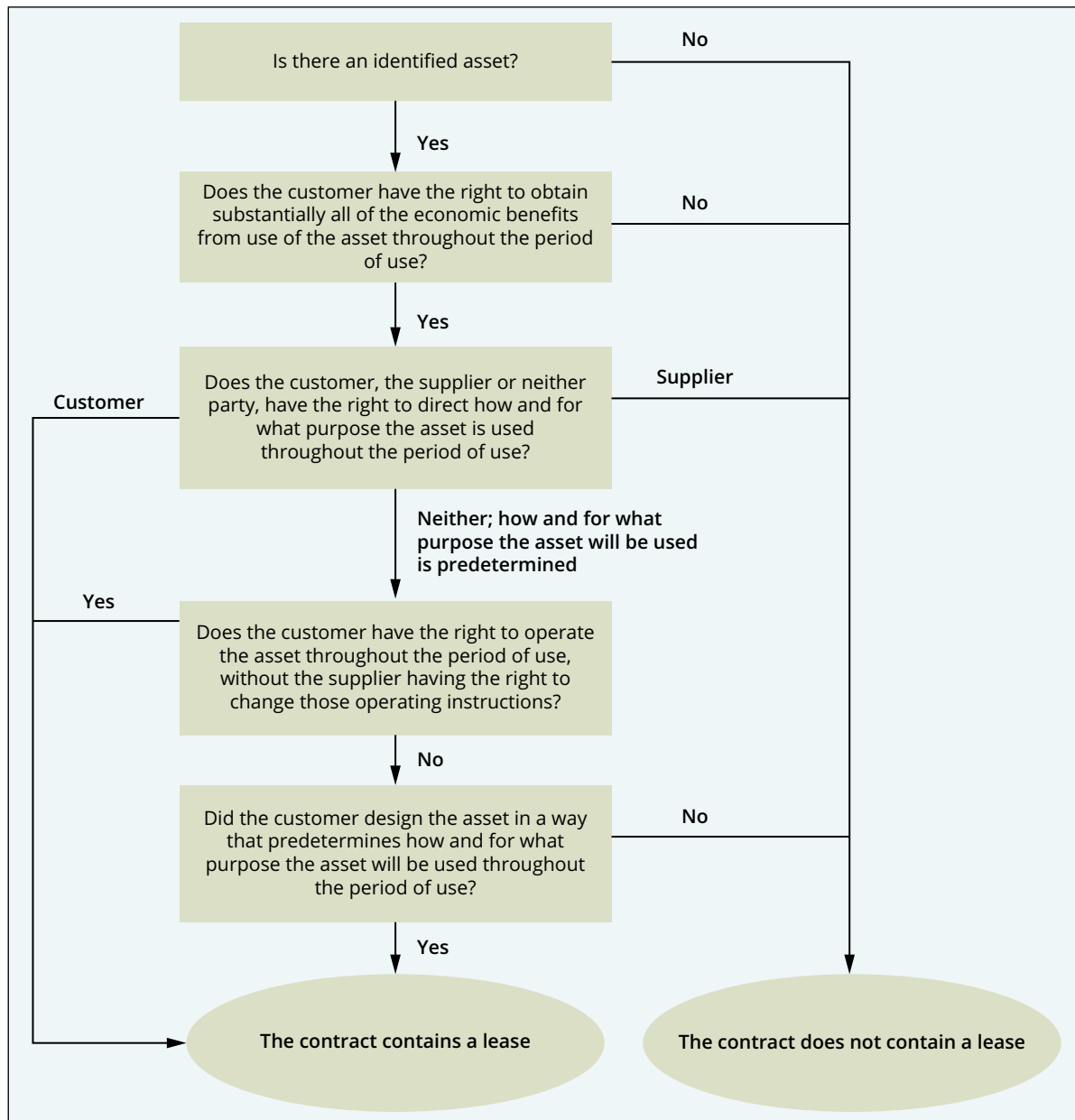
Answer B is incorrect. The initial measurement of a lease liability may include variable lease payments that depend on a rate such as a benchmark interest rate.

Answer C is incorrect. The initial measurement of a lease liability may include variable lease payments that depend on a rate such as a foreign exchange rate.

Answer D correct. HKFRS 16.27 specifies that the lease payments included in the initial measurement of a lease liability may include those variable payments that depend on an index or rate. This does not extend to lessee performance indicators.

QUESTION 2

In advising F+B Travel as to whether the contractual arrangement constitutes a lease, the following flowchart provided by HKFRS 16 is considered:



Is there an identified asset?

As the contract has explicitly specified which MAN XT4 bus is to be used by F+B Travel, the bus constitutes an identified asset. Vehiculo Rental's right to replace the bus during times of maintenance does not constitute a substantive substitution right preventing F+B Travel from having the right to use the identified asset.

Does F+B Travel have the right to obtain substantially all of the economic benefits from use of the bus throughout the period of use?

As F+B Travel has the exclusive use of the bus for the period specified in the contract, they obtain substantially all of the economic benefits from use of the bus over the contract's duration.

Does F+B Travel, Vehiculo Rental, or neither party, have the right to direct how and for what purpose the bus are used throughout the period of use?

Only F+B Travel has the right to direct how and for what purpose the bus is used, because it has control over all aspects of operating the bus.

Therefore, a lease agreement exists between F+B Travel and Vehiculo Rental.

Having established the existence of a lease, it is now necessary to advise F+B Travel on the lease term.

Lease Term

The lease term comprises:

- the non-cancellable period of the lease;
- periods covered by the extension option, but only if F+B Travel is reasonably certain it will exercise that option; and
- periods covered by the termination option, but only if F+B Travel is reasonably certain it will not exercise that option.

In assessing with reasonable certainty whether the extension and/or termination options will be exercised or not, consideration is given to whether an economic incentive exists for F+B Travel to exercise, or not to exercise, the option. This assessment takes into account all relevant facts and circumstances. With regard to the extension option, it cannot be concluded with reasonable certainty that F+B Travel will exercise the extension option. While lease payments during the extended lease period will be below market rates, the management of F+B Travel is unable to ascertain at the commencement date of the lease the success of their new tour in Spain. As such, they cannot be reasonably certain they will extend the lease beyond the non-cancellable period.

With regard to the termination option, it can be concluded with reasonable certainty that F+B Travel will not exercise its termination option for several reasons. First, there is a significant termination penalty, creating an economic incentive not to terminate. Second, the termination option becomes exercisable after three years, which management feels too early to determine the long-term sustainability of its business expansion. Finally, the leased bus is important to F+B Travel's operations, as it is crucial for the operation of its bus tour in Spain.

Overall, F+B Travel should be advised that the lease term is five years – being simply the non-cancellable period of the lease. Based on the above findings, the lease is not a short-term lease and the underlying asset in the lease are not of low value (stand-alone price of the bus is HK\$2,700,000 at the inception date), no recognition exemption applies.

QUESTION 3

In the initial measurement of the lease liability first note that F+B Travel pays the first lease payment in cash on 1 January 20X9. In addition, the solicitor fees are also paid at this point. Thus, there are four more payments to be made and the lease liability therefore is:

	Payment	Discount rate	Present value
1 January 20Y0	HK\$360,000	1/1.04	HK\$346,154
1 January 20Y1	HK\$360,000	1/1.04 ²	HK\$332,840
1 January 20Y2	HK\$360,000	1/1.04 ³	HK\$320,039
1 January 20Y3	HK\$360,000	1/1.04 ⁴	HK\$307,730
Lease Liability as at 1 January 20X9			<u>HK\$1,306,763</u>

Further the right-of-use asset's book value as at 1 January 20X9 is computed as follows:

Cost item	Amount
Lease liability	HK\$1,306,763
Lease payment at commencement date	HK\$360,000
Initial direct costs	HK\$10,000
Right-of-use asset	<u>HK\$1,676,763</u>

The journal entry on 1 January 20X9 is:

	Debit	Credit
	HK\$	HK\$
Right-of-use asset	1,676,763	
Lease liability		1,306,763
Cash		360,000
Legal fees payable		10,000

QUESTION 4

First note that the value of the lease liability on 31 December 20X9 is HK\$1,359,033 (HK\$1,306,763 x 1.04) and accrued interest is HK\$52,271 (HK\$1,306,763 x 0.04). The journal entry on 31 December 20X9 is as follows:

	Debit	Credit
	HK\$	HK\$
Interest expense	52,271	
Lease liability		52,271

Further the right-of-use asset is depreciated over the lease period. For the sake of simplicity, we shall assume straight-line depreciation and thus an annual depreciation expense of HK\$335,353 (HK\$1,676,763/5 years). The journal entry to account for the subsequent measurement of the right-of-use asset on 31 December 20X9 would be:

	Debit	Credit
	HK\$	HK\$
Depreciation expense – Right-of-use asset	335,353	
Accumulated depreciation – Right-of-use asset		335,353

On 1 January 20X0, F+B Travel recognises the lease payment as follows:

	Debit	Credit
	HK\$	HK\$
Lease liability	360,000	
Cash		360,000

After the first lease year, the lease liability and the right-of-use asset is subsequently measured at HK\$999,033 (HK\$1,359,033 – HK\$360,000) and HK\$1,341,410 (HK\$1,676,763 – HK\$335,353) respectively.

QUESTION 5

Vehiculo Rental transfer substantially all the risks and rewards incidental to ownership of the bus to F+B Travel, but only for the lease period of five years. After the lease period F+B Travel has the option to purchase the bus at its fair value. However, according to HKFRS 16 a sufficient condition to suggest a finance lease would be that the price for which the bus is purchased is sufficiently below its fair value. This is not the case.

Further note that the bus is not specialised in nature and could also be reasonably leased to another party. Further note that the present value of the lease payments is HK\$1,666,763 (HK\$1,306,763 + HK\$360,000). The present value of the lease payments is not ‘substantially all’ of the fair value of the bus of HK\$2,700,000.

Lastly, note that in case (i) the lease term represents a major part of the economic life of the bus, whereas the same cannot be concluded for case (ii). Looking at the substance of the transaction, it can therefore be stated that under (i) a finance lease exists, whereas under (ii) an operating lease exists.

8

Borrowing Costs



CHAPTER TOPIC LIST

8.1 Borrowing Costs Overview

- 8.1.1** Qualifying Assets
- 8.1.2** Borrowing Costs

8.2 Recognition

- 8.2.1** Capitalisation Period
- 8.2.2** Borrowing Costs Eligible for Capitalisation



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.08: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to borrowing costs
--

2.08.01 Explain the criteria for capitalisation of borrowing costs

2.08.02 Illustrate, with simple calculation, how the borrowing costs in respect of specific borrowings and general borrowings are to be capitalised
--



OPENING CASE

WALTON MARINE GROUP

Walton Marine Group (WMG) is a luxury shipbuilder based primarily in Hong Kong but has in recent years begun to extend its operations by acquiring and developing shipyards in China and South East Asia.

WMG began three decades ago with a small Hong Kong shipyard to build small vessels primarily for local and expat finance workers in the city. WMG's expansion began when it acquired and revamped additional shipyards throughout the mainland, particularly in Shanghai, Shenzhen and Qingdao.

The majority of the yachts built by WMG are in the 12- to 26-metre range although with its new shipyard in Hai Phong, Vietnam, it is building mega yachts (those over 30 metres). Though the smaller yachts are built and then sold to distributors, the mega yachts are designed and built to order.

In early 20X8 and with demand growing, WMG is considering building a new shipyard in Jakarta, Indonesia. 

OVERVIEW

Accounting for borrowing costs may, at first, appear to be relatively straightforward. Users can see an expense line in profit or loss, so it would seem obvious that whatever borrowing costs an entity has would end up being recognised there. However, when you also consider that costs for most assets include any costs directly attributable to making the asset ready for its intended use and when you also take into account that borrowing to finance the acquisition or construction of many assets is required, the situation becomes less straightforward.

But how does this determination of whether a borrowing cost is capitalised or an expense occur? Consider the case of Walton Marine Group (WMG), which has expanded substantially in recent years. Some of this expansion has taken place through the acquisition of rival sites, and some has taken place through the construction and development of new sites. The time taken to acquire or construct the site and the way in which the borrowing was arranged are major factors which will influence whether the borrowing costs are capitalised or expensed.

This chapter focuses on the recognition of borrowing costs. You will gain an understanding of the types of assets that entities are required to capitalise borrowing costs against, when these borrowing costs can be capitalised as opposed to expensed and how to prepare the journal entries required for borrowing costs.



8.1 BORROWING COSTS OVERVIEW

This chapter addresses the accounting for borrowing costs in accordance with HKAS 23 *Borrowing Costs*. The core principle of HKAS 23 is that borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset form part of the costs of that asset. Other borrowing costs are recognised as an expense.

HKAS
23.1

The principal issues in accounting for borrowing costs are:

- identifying which borrowing costs are eligible for capitalisation; and
- determining when the capitalisation of borrowing costs will occur.

Entities can obtain funds from a variety of external sources, but ultimately, the sources of these funds are equity holders (i.e. shareholders) or debt holders (e.g. banks, bondholders). HKAS 23 applies to accounting for essentially all borrowing costs in relation to debt. This could include the costs in relation to a bank loan, an overdraft, or public debt, such as a bond issue.

The cost of equity, whether actual or imputed (i.e. opportunity cost) is not within the scope of HKAS 23. For example, if Walton Marine Group (WMG from the opening case) was to borrow funds to build a new shipyard (assuming it is a qualifying asset), the cost of these funds would be within the scope of HKAS 23. However, if WMG were to issue new shares to the market to raise funds to build the shipyard, the cost relating to the shares would not be within the scope of the standard.

8.1.1 Qualifying Assets

HKAS
23.5

A **qualifying asset** takes a substantial time period to get ready for its intended use or sale. For example, if WMG were to spend 18 months building a new shipyard, this would probably be a qualifying asset. Depending on the circumstances, any of the following may be qualifying assets:

- inventories
- manufacturing plants
- power generation facilities
- intangible assets
- investment properties

HKAS
23.7

Financial assets, and inventories that are manufactured or otherwise produced over a short time period, are not qualifying assets. Assets ready for their intended use or sale when acquired are not qualifying assets. For example, the purchase of a completed luxury yacht ready for use would not be a qualifying asset.

8.1.2 Borrowing Costs

HKAS
23.5

Borrowing costs are interest and other costs an entity incurs in connection with the borrowing of funds.

In this chapter, we will focus on simplified examples of interest expense arising from bank loans or bonds issued at par.

► Knowledge Check Question

Question 1

Identify which of the following assets is within the scope of HKAS 23.

- A** office supplies
- B** soft drink cans manufactured on a production line
- C** a new administration building which will take three years to build
- D** an acquired delivery vehicle

8.2 RECOGNITION

Entities will often need to borrow funds to undertake activities, such as inventory purchases, machinery acquisition, or building construction. Whether entities are required to capitalise or expense the cost related to the borrowed funds is determined by the relationship among the funds borrowed, the asset and the nature of the asset. When the borrowing costs are directly attributable to the acquisition, construction, or production of a qualifying asset, the entity is required to capitalise the borrowing costs as part of the cost of that asset. Otherwise, the entity recognises the borrowing costs as an expense in the period in which it incurs them.

HKAS
23.8

The underlying rationale for the inclusion of directly attributable borrowing costs as part of the asset cost is that the expenditures required for the development of an asset must be financed, and this financing has a cost. As the asset cost should include all costs necessarily incurred to get the asset ready for its intended use or sale, the costs of finance should also be included in the asset cost.

IAS
23.BC9

8.2.1 Capitalisation Period

An entity shall capitalise borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset. Before we look at borrowing costs, it is important to understand when an entity can capitalise borrowing costs, when it is required to suspend capitalising borrowing costs and when it must cease capitalising borrowing costs.

An entity shall begin capitalising borrowing costs as part of the cost of a qualifying asset on the commencement date. The commencement date for capitalisation is when the entity first meets all of the following conditions:

- it incurs expenditures for the asset. These only include expenditures, which have resulted in the payment of cash, transfers of other assets, or the assumption of interest bearing liabilities;
- it incurs borrowing costs; and
- it undertakes activities necessary to prepare the asset for its intended use or sale. Activities don't just mean the asset's physical construction. They can also include the technical and administrative work prior to the physical construction (i.e. seeking development permits or approvals). However, holding the asset when no production or development that changes the asset's condition is taking place, for example land-banking, is not an activity for the purposes of determining the commencement date.

HKAS
23.17

Because an entity is able to commence capitalising borrowing costs may not mean it will be able to continue capitalising borrowing costs until the qualifying asset is ready for its intended use or sale. Depending on the circumstances, an entity may be required to suspend the capitalisation of borrowing costs. This will occur during extended periods in which an entity suspends active development of a qualifying asset. An example of a suspension in active development would be if an entity building a manufacturing plant decides to put construction on hold due to a downturn in the economy.

HKAS
23.20

HKAS
23.22

Once an entity has substantially completed all the activities necessary to prepare the qualifying asset for its intended use or sale, it will be required to cease capitalising borrowing costs. This will normally occur when the asset's physical construction has been completed even if routine administrative work or minor modifications still need to be finalised.

8.2.2 Borrowing Costs Eligible for Capitalisation

HKAS
23.10

The borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset are those borrowing costs that would have been avoided if the expenditure on the qualifying asset had not been made.

This is relatively straightforward to determine when the entity borrows funds specifically for the purpose of obtaining a particular qualifying asset. However, determining the borrowing costs to be allocated to a qualifying asset is more difficult when the entity centrally coordinates its financing activity. For example, companies may issue bonds to help finance their operations. These issues may not be linked to the acquisition of a specific qualifying asset but for the entity more broadly. Section 8.2.2.1 will cover how an entity recognises borrowing costs for a qualifying asset when the entity borrows funds for a specific qualifying asset. Section 8.2.2.2 will cover how an entity recognises borrowing costs when the entity borrows funds generally.

8.2.2.1 Specific Borrowings

HKAS
23.12

When the entity has borrowed specifically to fund the acquisition of a qualifying asset, the borrowing costs for the purposes of the standard are the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investments of those borrowings. So for example, when WMG borrows funds at 5% to acquire a qualifying asset and the total cost of the borrowing for the period is HK\$250,000, that HK\$250,000 is the borrowing cost for the purpose of HKAS 23.

The entity will likely obtain the borrowed funds in advance of needing to use them for expenditures on the qualifying asset. In those cases, the funds will often be temporarily invested until they can be used on the qualifying asset. Any investment income earned on those funds will be netted off against the borrowing costs eligible for capitalisation.

Illustrative Example 1

Chee Entertainment Company borrowed HK\$20 million from Downtown Bank on 1 July 20X7 to construct a virtual reality games centre. Construction was expected to take 18 months to complete. Construction began on 1 July 20X7, with the first payment of HK\$5 million taking place at that time. By 30 June 20X8, a total of HK\$12 million had been incurred in construction expenditure. Construction costs were expected to total approximately HK\$20 million. The loan is interest-only, at a rate of 5.80% per annum. Chee did not invest the surplus funds.

The first step is to determine whether the virtual reality games centre is a qualifying asset. A qualifying asset is one that takes a substantial time period to get ready for its intended use or sale. In this case, the centre is expected to take 18 months. Though a substantial time period is not defined in the standard, we can assume that 18 months is a substantial time period, and therefore, the site centre is a qualifying asset.

Illustrative Example 1 (continued)

This means borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset are included as part of that asset's cost. Because the funds borrowed were done for the construction of the centre, the borrowing costs eligible for capitalisation are the actual borrowing costs.

Chee Entertainment Company can only begin capitalising borrowing cost when the following three conditions are met:

1. it has incurred expenditures for the asset;
2. it incurs borrowing costs; and
3. it is undertaking activities necessary to prepare the centre for its intended use.

As the borrowing, work, and initial payment for the centre occurred on 1 July 20X7, capitalisation can begin on this date.

The amount of borrowing costs eligible to be capitalised are the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. This amounts to HK\$1.16 million [HK\$20,000,000 × 5.80% × 12/12] as at 30 June 20X8.

The journal entry of Chee Entertainment Company to record the interest cost on the borrowings on 30 June 20X8 is as follows:

Date	Particulars	Debit	Credit
20X8		HK\$	HK\$
30 June	Games centre	1,160,000	
	Cash		1,160,000
	(Recognition of borrowing costs)		

The above calculation and entry is based on Chee Entertainment Company not investing any of the unused borrowings. If, however, the company had invested these surplus funds, this income would be not be recorded as revenue but rather a reduction in the borrowing costs capitalised to the games centre. Assuming that HK\$8 million had been invested over the 12-month period at 4.00%, the investment income would total HK\$320,000 [HK\$8 million × 4.00% × 12/12] and would provide net borrowing costs to be capitalised of HK\$840,000 [HK\$1,160,000 – HK\$320,000].

8.2.2.2 General Borrowings

Not all entities will need to borrow specifically for a project. They may have existing borrowed funds to draw on to be able to acquire, construct or produce a qualifying asset. If so, it would be impossible for the entity to identify which of the borrowings and, therefore, the rate, were used for the acquisition. As such, HKAS 23 requires that the entity determine the amount of borrowing costs eligible for capitalisation by applying a **capitalisation rate** to the expenditures on the asset acquired. The concept of capitalisation rate is shown in the Illustrative Example that follows.

The amount of borrowing costs that an entity capitalises during a period cannot exceed the amount of borrowings it incurred during that period.

Illustrative Example 2

Walton Marine Group (WMG) decides to build the new shipyard in Jakarta, and it has the following existing borrowing at the start of the year:

- HK\$80 million at 4.25%
- HK\$60 million at 3.95%
- HK\$75 million at 4.60%

To determine the capitalisation rate, WMG first excludes any borrowings it has made specifically for the purpose of obtaining a qualifying asset. Once that is done, a weighted average of the borrowing costs applicable to the borrowings of WMG that are outstanding during the period is calculated. The capitalisation rate for WMG would be calculated as follows (rounded to two decimal places):

Interest rate	Borrowing HK\$ million	Calculation	Weighted average rate
4.25%	80	$4.25\% \times 80/215$	1.58%
3.95%	60	$3.95\% \times 60/215$	1.10%
4.60%	75	$4.60\% \times 75/215$	1.60%
Total	215		4.28% (rounded)

Assuming WMG spent HK\$25 million on the shipyard and that four months have elapsed since the commencement date and the end of the 20X8 financial year, the total borrowing cost for WMG in relation to the shipyard for 20X8 would be HK\$356,666 (calculated as HK\$25 million $\times$ 4.28% $\times$ 4/12).

► Knowledge Check Questions

Question 2

Beeston Biotech borrows HK\$785 million to have a new research and development facility built. The funds were borrowed on 1 June 20X7, the full payment for the facility of HK\$785 million was made on 1 July 20X7 and construction began on 1 July 20X7. Construction is expected to take 15 months. The interest rate on the loan was 4.75% per annum. Assume the facility meets the definition of a qualifying asset.

For the year ended 31 December 20X7, prepare journal entries for the borrowing costs including expensed and capitalised borrowing costs.

► Knowledge Check Questions (*continued*)

Question 3

In light of increased demand for solar energy, Marshall Green Energy decided to build an additional solar power plant. The total cost of the plant was HK\$65 million, with construction begun on 1 March 20X7. Half of the cost of power plant construction was paid at the time construction began. Marshall Green Energy's borrowings as of 30 June 20X7 were:

- 6.25% 5-year note with interest paid annually, with the debt outstanding at 30 June 20X7 was HK\$90 million and remained unchanged during the year; and
- 5.40% 5-year note with interest paid annually, with the debt outstanding at 30 June 20X7 was HK\$55 million and remained unchanged during the year.

No borrowings had been used for specific projects, and you can assume the power plant met the definition of a qualifying asset. Assume no other transactions occurred during the year.

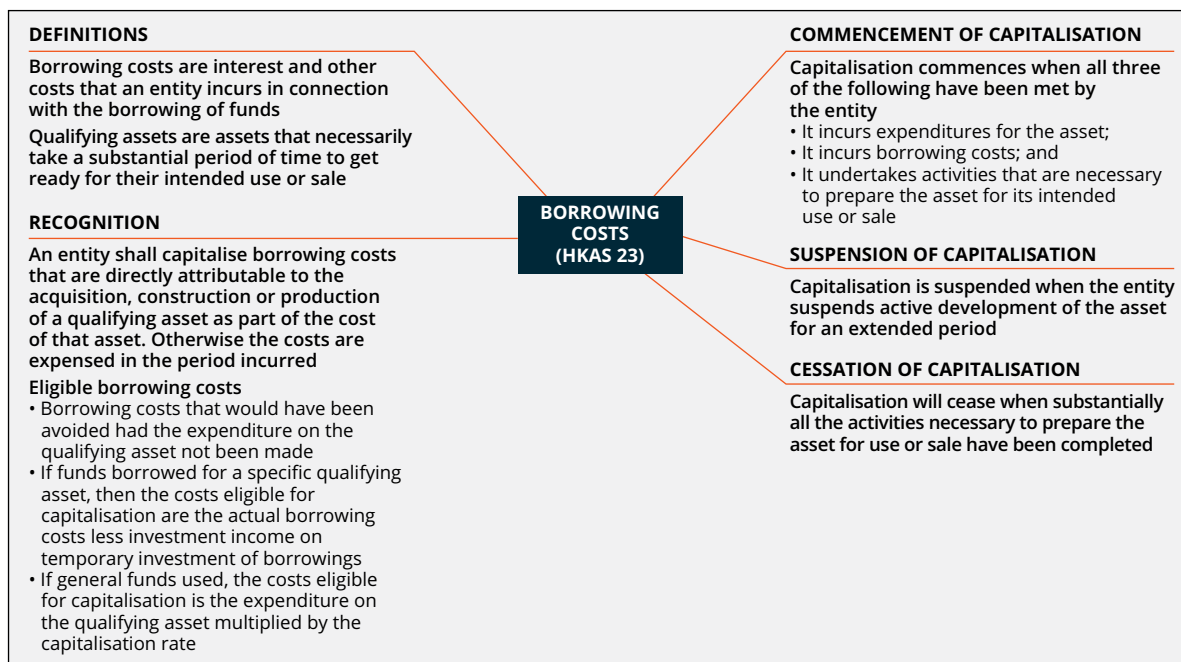
For the year end 30 June 20X7, prepare journal entries for the borrowing costs, including expensed and capitalised borrowing costs.



SUMMARY

- HKAS 23 specifies the accounting for borrowing costs.
- Borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset form part of the cost of that asset. Other borrowing costs are recognised as an expense.
- If the borrowing costs have been incurred in relation to a specific qualifying asset, the borrowing costs eligible for capitalisation are the actual borrowing costs incurred less any investment income on the temporary investment of those borrowings.
- If an entity borrows funds generally and then uses a portion of them to obtain a qualifying asset, the entity shall determine the borrowing costs eligible for capitalisation by applying a capitalisation rate to the expenditures on the asset.
- Capitalisation of borrowing costs shall begin when the entity meets the three following criteria:
 1. It incurs expenditures for the asset;
 2. It incurs borrowing costs; and
 3. It undertakes activities that are necessary to prepare the asset for its intended use or sale.
- Capitalisation of borrowing costs shall be suspended when the entity suspends the active development of a qualifying asset for an extended period.
- Capitalisation of borrowing costs shall cease when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Office supplies do not take a substantial time period to get ready for their intended use and, as such, do not meet the definition of a qualifying asset.

Answer B is incorrect. An entity does not have to apply the standard to inventories that are manufactured or otherwise produced in large quantities on a repetitive basis. Inventory, such as soft drink cans, being manufactured on a production line can be assumed to be manufactured in large quantities on a repetitive basis.

Answer C is correct. HKAS 23 requires that borrowing costs directly attributable to the construction, acquisition, or production of a qualifying asset are capitalised. A qualifying asset takes a substantial time period to get ready for its intended use or sale. The three-year construction for the new administration building would satisfy the definition of a substantial time period.

Answer D is incorrect. An acquired delivery vehicle does not take a substantial time period to get ready for its intended use and, as such, does not meet the definition of a qualifying asset.

Question 2

The total borrowing costs for the period ended 31 December 20X7 is HK\$21,751,042 (calculated as HK\$785 million $\times$ 7/12 $\times$ 4.75%). However, borrowing costs can only be capitalised from the commencement date, which is when the following three conditions are met:

1. Beeston Biotech has incurred expenditures for the facility;
2. Beeston Biotech has incurred borrowing costs; and
3. Beeston Biotech has undertaken activities necessary to prepare the facility for its intended use or sale.

HKAS
23.4(b)

Though the funds were borrowed on 1 June 20X7, the commencement date is 1 July 20X7 when expenditures had been incurred and activities to prepare the facility for its use or sale had taken place. As such, the total borrowing costs for the period ended 31 December 20X7 which could be capitalised were HK\$18,643,750 (calculated as HK\$785 million $\times$ 6/12 $\times$ 4.75%).

Date	Particulars	Debit	Credit
20X7		HK\$	HK\$
31 December	R&D facility	18,643,750	
	Interest expense	3,107,092	
	Cash		21,751,042
	(Recognition of borrowing costs)		

Question 3

The total borrowing costs for the period ended 30 June 20X7 is HK\$8.595 million (calculated as HK\$90 million $\times$ 6.25% + HK\$55 million $\times$ 5.40%). However, borrowing costs can only be capitalised from the commencement date, which is when the following three conditions are met:

1. Marshall Green Energy has incurred expenditures for the power plant;
2. Marshall Green Energy has incurred borrowing costs; and
3. Marshall Green Energy has undertaken activities necessary to prepare the power plant for its intended use or sale.

Though the funds had been borrowed since at least before the start of the financial year, the commencement date is 1 March 20X7, when construction of the power plant began. In addition, as the funds used were borrowed generally, Marshall Green Energy had to determine the amount of borrowing costs eligible for capitalisation. The capitalisation rate was the weighted average of the borrowing costs of Marshall Green Energy, which in this case was 5.93% per annum (calculated as 6.25% $\times$ HK\$90 million/HK\$145 million + 5.40% $\times$ HK\$55 million/HK\$145 million). This capitalisation rate was then applied to the expenditures on the asset.

As such, the total borrowing costs for the period ended 30 June 20X7 which could be capitalised were HK\$642,155 (calculated as HK\$32.5 million $\times$ 4/12 $\times$ 5.93%). Only half of the HK\$65 million cost of the power plant had been incurred by 30 June 20X7.

Date	Particulars	Debit	Credit
20X7		HK\$	HK\$
30 June	Solar power plant	642,155	
	Interest expense	7,952,845	
	Cash		8,595,000
	(Recognition of borrowing costs)		

EXAM PRACTICE

QUESTION 1

On 30 March 20X8, Windon Electronics (Windon) signed a HK\$150 million contract with Pod Manufacturing (Pod) to construct a new corporate headquarters. The terms of the contract were that Windon would pay 25% upon signing the contract, 65% upon delivery, and the remainder four months after delivery. Construction began immediately upon signing the contract, and Windon's corporate headquarters was completed on 30 September 20X9.

Windon was able to draw on existing borrowings to fund the construction of the corporate headquarters. The following provides details of the outstanding balances of the debt as of 31 December 20X7:

- 6.25% 5-year note with interest paid annually, with HK\$100 million with this amount remaining unchanged through to 31 December 20X8; and
- 5.50% 20-year interest-only loan through City Bank, with interest paid annually, with HK\$150 million with this amount remaining unchanged through to 31 December 20X8.

Required:

You are the financial accountant of Windon and have been charged with preparing the journal entries relating to Windon's capitalised borrowings for the year ended 31 December 20X8.

QUESTION 2

Brown Limited purchased land on 1 June 20X8 for HK\$10 million on the outskirts of the city for the purpose of building a manufacturing plant. Consideration for the land was paid at time of purchase. Construction on the plant began on 1 September 20X8. The total cost of the plant construction was HK\$240 million, and it was completed on 31 December 20X9. The first payment in relation to construction occurred on 1 November 20X8 and totalled HK\$50 million. The remaining payments took place in 20X9.

To assist with funding the construction of the manufacturing plant, Brown Limited organised a HK\$250 million facility on 1 June 20X8 with East Sea Bank. Brown Limited only drew down on the facility as funds were required. The interest rate was a fixed 6.25% per annum during the period of construction.

Required:

You are the financial accountant of Brown Limited and have been charged with preparing the journal entries relating to Brown Limited's capitalised borrowings for the year ended 31 December 20X8.

ANSWERS TO EXAM PRACTICE

QUESTION 1

The first step is to determine whether the corporate headquarters is a qualifying asset. A qualifying asset is one that necessarily takes a substantial time period to get ready for its intended use or sale. In this case, the corporate headquarters is expected to take 18 months to completely construct and make ready for use. Though a substantial time period is not

defined in the standard, we can assume that 18 months is a substantial time period, and therefore, the corporate headquarters is a qualifying asset. This means the borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset are included as part of the cost of that asset.

The second step is to determine when Windon could begin capitalising the borrowing costs. As noted previously, this occurred when the following conditions were met:

- Windon incurred expenditures for the construction of the corporate headquarters;
- Windon incurred borrowing costs; and
- Windon undertook activities necessary to prepare the corporate headquarters for its intended use. The first date these conditions were met is 30 March 20X8.

The third step is to determine the amount of borrowing costs to be capitalised against the corporate headquarters. In this case, no funds had been borrowed specifically for the construction of the corporate headquarters. As such, Windon needed to multiply the capitalisation rate to the expenditures made during the period. The capitalisation rate was calculated as the weighted average of the borrowing cost applicable to the borrowings of the entity outstanding during the period other than borrowings made specifically for the purpose of obtaining a qualifying asset.

During the period ended 31 December 20X8, Windon had two separate borrowings: a HK\$100 million 5-year note and a HK\$150 million loan from City Bank. The capitalisation rate was the weighted average of the borrowing cost of the note and loan, which in this case was 5.80% per annum (calculated as $6.25\% \times \text{HK\$}100 \text{ million} / \text{HK\$}250 \text{ million} + 5.50\% \times \text{HK\$}150 \text{ million} / \text{HK\$}250 \text{ million}$).

Between the commencement date and 31 December 20X8, the only expenditure made on the manufacturing plant was the HK\$37.5 million payment made on the commencement date. As such, the total borrowing costs for the period ended 31 December 20X8 which could be capitalised to the manufacturing plant were HK\$1,631,250 (calculated as $\text{HK\$}37.5 \text{ million} \times 9/12 \times 5.80\%$).

Windon recorded the following journal entry:

Date	Particulars	Debit	Credit
20X8		HK\$	HK\$
31 December	Corporate headquarters	1,631,250	
	Cash		1,631,250
	(Recognition of capitalised borrowing costs)		

The remaining borrowing costs were to be expensed in profit or loss and were not illustrated here.

QUESTION 2

The first step is to determine whether the manufacturing plant is a qualifying asset. In this case, the development took 19 months (1 June 20X8 through to 31 December 20X9), and as such, we can assume it was a qualifying asset. The land and manufacturing plant were considered together as the land could not be used independently of the plant.

This means the borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset were included as part of the asset's cost. Because the funds borrowed were specifically done so for the construction of the manufacturing plant, the borrowing costs eligible for capitalisation were the actual borrowing costs.

Brown Limited could only begin capitalising borrowing costs when the following three conditions were met:

1. Brown Limited had incurred expenditures for the asset;
2. Brown Limited incurred borrowing costs; and
3. Brown Limited was undertaking activities necessary to prepare the development for its intended use.

As the borrowing, work and initial payment for the development all occurred on 1 June 20X8, this is the date on which capitalisation can begin.

Because the funds were borrowed specifically for the facility, the amount of borrowing costs that were eligible for Brown Limited to capitalise were the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. As Brown Limited only drew down on the loan facility as it required the funds, it did not temporarily invest any of the borrowings related to the manufacturing plant.

	Period	Calculation	Amount (HK\$)
Actual borrowing costs relating to land purchase	1 June 20X8 – 31 December 20X8	HK\$10,000,000 × 6.25% × 7/12	HK\$364,583
Actual borrowing costs relating to plant construction	1 November 20X8 – 31 December 20X8	HK\$50,000,000 × 6.25% × 2/12	HK\$520,833
Eligible borrowing costs			HK\$885,417

Thus, the total borrowing costs eligible to be capitalised against the Brown Limited manufacturing plant construction as of 31 December 20X8 were HK\$885,417.

Brown Limited records the following journal entry:

Date	Particulars	Debit	Credit
20X8		HK\$	HK\$
31 December	Manufacturing plant	885,417	
	Cash		885,417
	(Recognition of borrowing costs)		

9

Intangible Assets



CHAPTER TOPIC LIST

9.1 Intangible Assets Overview

- 9.1.1** Identifiability
- 9.1.2** Control
- 9.1.3** Future Economic Benefits

9.2 Initial Recognition and Measurement of Intangible Assets

- 9.2.1** Initial Recognition and Measurement at Acquired Intangible Assets
- 9.2.2** Initial Recognition and Measurement of Internally Generated Intangible Assets

9.2.3 Subsequent Recognition and Measurement after Acquisition

- 9.2.4** Cost Model
- 9.2.5** Revaluation Model
- 9.2.6** Useful Life
- 9.2.7** Intangible Assets with Finite Lives
- 9.2.8** Intangible Assets with Indefinite Useful Lives

9.3 Presentation and Disclosure Overview



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS FOR BUSINESS TRANSACTIONS

LO2.05: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to intangible assets

2.05.01 Define intangible asset

2.05.02 Apply the recognition criteria for intangible assets

2.05.03 Account for subsequent measurement of intangible assets, including:

- cost model and revaluation model
- amortisation and impairment

2.05.04 Explain the accounting treatment for internally generated intangible assets

2.05.05 Identify and explain the difference between research and development phases

2.05.06 Explain and apply the accounting treatment for research costs and the recognition criteria for development costs

2.05.07 Account for separately acquired intangible asset

2.05.08 Explain the difference between internally generated goodwill and goodwill arising on business combination

2.05.09 Prepare the disclosure in respect of intangible assets



OPENING CASE

CITY FLEET LIMITED

City Fleet Limited (CFL) is a transportation company based in Hong Kong. CFL began business in 25 years ago with only two taxis and has grown to a fleet of over 450. This growth in urban taxis has purely been organic, with CFL taking the opportunity to purchase licences and vehicles when available in the market, and it has the cash to do so.

With customer tastes changing, CFL purchased Luxury Limousines (LL) in 20X5 so as to be able to service the premium end of the market. LL is a well-known brand in the market and came with a large, established customer base. The 'frequent flyer' style program employed by LL means that customers exhibit strong brand loyalty.

In the past two years, CFL has embarked upon a research and development program to create a real-time route optimisation system for its fleet. To do so, it will utilise GPS data for all of its vehicles, as well as information from other sources to provide more efficient route data to its drivers. Currently, it is still in the research phase. 

OVERVIEW

Most assets used by entities to generate income are commonly occurring and readily identifiable as they are physical (tangible) assets or clearly defined contractual financial assets. However, intangible assets are often unique by their very nature. The various sources of intangible assets and their complex nature are demonstrated in the opening case, which describes the range of different types of intangible assets recognised by CFL. Though the accounting principles from HKAS 38 *Intangible Assets* are relatively straightforward, the bespoke nature of intangible assets (such as CFL's) requires preparers and users to exercise significant experience and judgement to apply those principles.

Accounting for these more unusual assets is compounded by the fact that they are often more difficult to identify and define, are high in value (particularly if acquired as part of a business combination) and often have greater uncertainty about their capacity to generate future economic benefits compared to tangible and financial assets.

Three main types of intangible assets are recognised in the financial statements:

1. Goodwill arising from business combinations
2. Externally acquired intangible assets
3. Intangible assets created by entities (internally generated intangible assets)

In this chapter, you will gain an understanding of the different types of intangible assets, the recognition criteria for intangible assets, and how these items are measured upon initial recognition. You will also gain an understanding of how to account for the consumption of those items. Furthermore, you will gain an understanding of the disclosures for intangible assets as required by HKAS 38.

9.1 INTANGIBLE ASSETS OVERVIEW

This chapter addresses the accounting requirements of HKAS 38 *Intangible Assets*. The objective of HKAS 38 is to prescribe the accounting treatment for intangible assets and requires an entity to recognise an **intangible asset** if, and only if, specific criteria are met.

The principal issues in accounting for intangible assets are:

- the recognition of intangible assets;
- the determination of their carrying amounts on initial recognition and subsequently (including the choice of measurement basis for subsequent recognition); and

- the determination of amortisation charges and the period over which those charges are recognised.

Intangible assets are subject to the recognition of impairment losses, whether measured under the cost model or the revaluation model, subsequent to initial recognition. The requirements for the recognition and measurement of those losses are set out in HKAS 36 *Impairment of Assets*.

In this section, you will gain an understanding of the types of assets to which HKAS 38 applies and will be introduced to some of the terminology relevant to applying the principles within the Standard.

HKAS
38.8

Intangible assets are identifiable non-monetary assets without physical substance. There are three types of intangible assets:

1. Acquired intangible assets
2. Internally generated intangible assets
3. Acquired goodwill

The overall accounting framework for intangible assets, together with examples of different types of intangible assets, are shown below in Exhibit 9.1. These intangible assets are accounted for under HKAS 38 *Intangible Assets* except for acquired goodwill, which is addressed in HKFRS 3 (Revised) *Business Combinations*.

Intangible assets		
HKAS 38		HKFRS 3
Acquired intangible assets (including exchanges of assets and government grants)	Internally generated intangible assets (see Section 9.2.2)	Acquired goodwill (see Section 9.2.1.2 and Chapter 22)
- Marketing related Intangible assets (e.g. brands, trademarks) - Customer related Intangible assets (e.g. customer lists) - Artistic related Intangible assets (films, musical works) - Contract based Intangible assets (e.g. licences and rights) - Technology based Intangible assets (patents, software, recipes)	Technology based Intangible assets, including development of innovative software, design specifications/recipes of new products, pharmaceutical products (eligible development cost only)	Represents the future economic benefits arising from assets acquired in a business combination that are not individually identified and separately recognised

► **EXHIBIT 9.1** Intangible asset accounting framework

9.1.1 Identifiability

The most important characteristic of an intangible asset is its identifiability. An asset is identifiable if it:

- is separable, meaning is capable of being separated or divided from the entity and sold, transferred, licenced, rented, or exchanged individually or together with a related contract, identifiable asset, or liability regardless of whether the entity intends to do so. For example, a trademark because it can be separated from an entity and sold to

another party. By contrast, goodwill (internally generated by an entity) is not separable because it cannot be transferred to another entity in a typical transaction; or

- arises from contractual or other legal rights regardless of whether those rights are transferable or separable from the entity or from other rights and obligations. An example of an intangible asset arising in this manner are broadcast rights an entity has received from the government (even if that these rights cannot be transferred as prohibited by the government).

HKAS
38.12

9.1.2 Control

In addition to being identifiable, intangible assets must satisfy the two key attributes of an asset, being control and an expectation of future economic benefits.

Control of an asset can be shown by the entity having the right to:

- directly or indirectly receive all the cash and other earnings generated by that asset; and
- prevent others from accessing that cash or other earnings generated by the asset.

HKAS
38.13

HKAS
38.13

Generally speaking, control will stem from legal rights that are enforceable in a court of law. However, this is not the only way an entity is able to demonstrate control.

It will be, however, more difficult for certain items to satisfy the control test because the entity has insufficient control over the future economic benefits arising from the items. Possible assets that fall into this category include a skilled workforce, market share, or a portfolio of (uncontracted) customers. Taking the skilled workforce as an example, while having more highly qualified staff may lead to economic benefits for the entity, the entity may be unlikely to prevent these staff from leaving, and as such, it doesn't control them per se.

HKAS
38.15–16

9.1.3 Future Economic Benefits

Economic benefits flowing from an intangible asset may include revenue from the sale of products and services, cost savings, or other benefits resulting from the use of the asset by the entity. Examples of future economic benefits derived from intangible assets are sales expected to be generated by customers on a mailing list, licencing revenue generated from the use of a song in television advertisements, income from franchisees and the use of intellectual property in a production process to save on future production costs.

HKAS
38.17

The expectation of future economic benefits should be assessed by the entity using reasonable and supportable assumptions. Those assumptions should represent management's best estimate of the set of economic conditions that will exist over the useful life of the asset.

Key Learning Point

An intangible asset is defined as an identifiable non-monetary asset without physical substance. In addition to being identifiable, intangible assets must satisfy the two key attributes of an asset: control and an expectation of future economic benefits.

► Knowledge Check Questions**Question 1**

Identify which of the following items could be expected to meet the criterion for recognition as an identifiable intangible asset acquired in a business combination:

- A** regular customers
- B** royalty agreements
- C** brand names
- D** strong and favourable employee relations

Question 2

What are the key characteristics of an intangible asset?

Question 3

Identify which of the following explanations is the reason why items, such as market knowledge, effective advertising programs, fundraising capabilities and trained staff do not meet the definition of intangible asset.

- A** They are monetary items.
- B** They cannot be measured.
- C** The future economic benefits expected to be generated by the item are not controlled by the entity.
- D** They are too difficult to manage.

9.2 INITIAL RECOGNITION AND MEASUREMENT OF INTANGIBLE ASSETS

HKAS 38 specifies that an item that meets the definition of an intangible asset shall be recognised by an entity as an asset if, and only if:

- it is probable that the expected future economic benefits attributable to the asset will flow to the entity; and
- the cost of the asset can be measured reliably.

All intangible assets (regardless of origin) are measured initially at cost.

HKAS
38.21

HKAS
38.24

As the initial recognition and measurement principles varies for different types of intangible assets, they will be examined separately in Sections 9.2.1 and 9.2.2. Section 9.2.3 will cover the subsequent measurement of intangible assets after acquisition.

9.2.1 Initial Recognition and Measurement for Acquired Intangible Assets

One way in which an entity can obtain an intangible asset is to purchase that asset from another entity. In this context, we will discuss the accounting treatment for when an entity acquires an individual intangible asset (e.g. a patent) as well as the acquisition of intangible assets (including goodwill) as part of a business combination.

9.2.1.1 Separately Acquired Intangible Assets

Acquiring an individual intangible asset in a separate acquisition (not through a business combination) gives rise to the most straightforward form of recognising and measuring an intangible asset.

The fact an intangible asset has been acquired from a third party with an agreed price demonstrates that:

- the expected future economic benefits embodied in the asset will probably flow to the entity (meets test 1 of the intangible asset recognition criteria); and
- the acquisition cost can be measured reliably (meets test 2 of the intangible asset recognition criteria).

HKAS
38.25–26

As such, separately acquired intangible assets shall be recognised on the financial statements.

The cost of an intangible asset that was acquired separately comprises:

- (a) its purchase price, which includes import duties, non-refundable purchase taxes, trade discounts and rebates; and
- (b) any cost that can be attributed directly to preparing the asset for its intended use.

HKAS
38.27

The cost of an intangible asset is determined similarly as in the cost of a PPE item. See Chapter 5 for a full discussion of the recognition and measurement of property, plant and equipment (PPE).

Illustrative Example 1

To assist with its development of a route optimisation system, CFL acquired the patent to a unique GPS-based technology from a U.S.-based technology company. At the time of the acquisition of the patent, CFL incurred the following costs to acquire the patent:

- the agreed final purchase price;
- legal costs to draw up the acquisition contract; and
- time costs for senior executives of CFL to travel to the United States to negotiate the purchase.

Illustrative Example 1 (continued)

CFL has determined that the following costs should be included in the cost of the patent (a separately acquired intangible asset) in accordance with HKAS 38:

- the agreed final purchase price; and
- legal costs to draw up the acquisition contract.

The legal costs to draw up the acquisition contract are considered directly attributable costs. These are professional fees arising directly from bringing the patent to its working condition.

The following costs are ineligible for inclusion in the cost of the patent:

- the time incurred by senior executives of CFL, as these costs would have been incurred regardless of the purchase of the patent. They are considered to be a general cost of running CFL, and therefore, not directly related to the purchase of the patent. These costs are, therefore, expensed.

HKAS
38.28

9.2.1.2 Intangible Assets Purchased in a Business Combination, Including Goodwill

Intangible assets purchased in a business combination are required to be measured at fair value. Accordingly, some intangible assets acquired in a business combination may not be recognised in the acquiree's own statement of financial position prior to business combination. Some of the intangible assets were not eligible for recognition in the statement of financial position of the acquiree before the business combination (e.g. internally generated brand name). This will be further discussed in Section 9.2.2.

Intangible assets acquired as part of a business combination are required to be measured at the **fair value** at acquisition date, in accordance with the requirements of HKFRS 13 *Fair Value Measurement* (as contrasted with the measurement requirements for intangible asset separately acquired – see Section 9.2.1.1).

Once net assets have been identified and recognised, the net assets acquired are measured at fair value. If the acquirer has paid more than the fair value of the net assets acquired, the difference is goodwill. Goodwill represents the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised. See Chapter 22 for a full discussion of the recognition of Intangible assets purchased in a business combination, including goodwill.

As with separately acquired intangible assets, any subsequent expenditure incurred on intangible assets acquired in a business combination is generally recognised as an expense.

HKAS
38.68

Illustrative Example 2

CFL was recently acquired by Lux Ltd (Lux) so that Lux could expand its market presence into the premium end of the market in Hong Kong. CFL statement of financial position, which was released just before the acquisition, included the fair value and carrying value of a number of assets:

Account	Carrying value immediately prior to acquisition	Fair value
	HK\$m	HK\$m
Cash	8	8
Property, plant and equipment	19	19
Patent – GPS	13	26
Total assets	40	53
Creditors	6	6
Loans	7	7
Total liabilities	13	13
Net assets	27	40

The patent was recognised at cost in CFL's statement of financial position (see Section 9.2.1.1). However, as a patent is now an intangible asset purchased in a business combination, it is required to be measured at fair value. Accordingly, the patent would be recognised by Lux as part of the business combination at its fair value of HK\$26 million, rather than the previous carrying value in CFL's financial statements of HK\$13 million.

9.2.2 Initial Recognition and Measurement of Internally Generated Intangible Assets

HKAS 38 includes specific guidance on the recognition of internally generated intangible assets in recognition that, in the absence of a transaction with an external party, an entity will often face difficulty in:

- determining whether the item has the capacity to generate expected future economic benefits; and
- reliably measuring the cost of the item. This is because the expenditures on internally generated intangible assets cannot be readily distinguished from those on developing the business as a whole.

HKAS
38.63

HKAS 38 explicitly prohibits a number of internally generated intangible assets from being recognised as assets. These include internally generated brands, mastheads, publishing titles and customer lists. For the remainder of this section, we will focus on the accounting treatment for internally generated goodwill (Section 9.2.2.1), and in-house research and development activities (Sections 9.2.2.2–9.2.2.4).

9.2.2.1 Internally Generated Goodwill

An entity may incur expenditure from time to time with the ultimate objective of improving future cash flows. Some examples include:

- costs incurred in training employees of the company;
- marketing costs incurred to attract and retain customers;
- advertising the achievements of the company, environmental accreditation, or its contribution to community service;
- the cost of employee welfare and well-being programs; and
- entertainment and gifts provided to customers.

Such expenditure creates firm value and contributes to internally generated goodwill. However, HKAS 38 does not permit its recognition as an intangible asset because it does not give rise to an identifiable resource (i.e. it is not separable nor does it arise from contractual or other legal rights) controlled by the entity that can be measured reliably at cost.

HKAS
38.49

There is often a difference between the fair value of an entity (e.g. its market capitalisation) and the **carrying amount** of the recognised identifiable net assets. However, that difference does not necessarily dictate the amount of the entity's internally generated goodwill. Some or all of the difference between an entity's overall fair value and the carrying amount of its recognised identifiable net assets could be related to unidentifiable intangible assets. This can be a difficult concept. For example, suppose an entity's market capitalisation, as determined by share price, is HK\$2 billion, but its statement of financial position shows recognised identifiable net assets of HK\$1.5 billion. The difference (HK\$500 million) may be attributed to intangible assets that are restricted from recognition based on HKAS 38. Such assets (e.g. internally generated brand names) would not be recognised on the statement of financial position.

9.2.2.2 Identifying In-house Research and Development Activities

As noted in Section 9.2.2.1, internally generated goodwill cannot be recognised according to HKAS 38. However, certain expenditures on in-house research and development activities (in-house R&D) are allowed to be capitalised and recognised as an intangible asset if they are qualified (i.e. if they meet the recognition criteria). To assess whether an in-house R&D expenditure meets the criteria for recognition, it is required to classify such expenditure in relation to activities inside:

- a research phase, or
- a development phase.

HKFRS
38.52

If an entity is unable to reliably allocate costs between the research phase and the development phase, all expenditures incurred on an internal R&D project must be treated as if they were incurred in the research phase. This must continue until costs can be reliably allocated.

HKFRS
38.53

The accounting treatment for costs incurred in the research phase will be discussed in Section 9.2.2.3 and the accounting treatment for costs incurred in the development phase will be discussed in Section 9.2.2.4.

9.2.2.3 Accounting for Costs in Research Phase

HKAS
38.8

Research is defined as original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding.

Examples of research activities are:

- activities aimed at obtaining new knowledge (e.g. research into new materials that can be used in smartphones);
- the search for and evaluation and final selection of applications of research findings or other knowledge (e.g. review of all available research on new materials being considered, evaluating those findings and determining the most relevant research and knowledge for a smartphone maker's purpose);
- the search for alternatives for materials, devices, products, processes, systems or services (e.g. the development of a new type of acrylic that could be used in crack-resistant touchscreens); and
- the formulation, design, evaluation and final selection of possible alternatives for new or improved materials, devices, products, processes, systems, or services (e.g. fine-tuning the design solution involving the new acrylic screen material to ensure it works and is viable).

HKAS
38.54

Because research activities are investigative and high risk in nature, HKAS 38 takes the view that future economic benefits will probably not be generated. Expenditure incurred in the research phase of a project is, therefore, recognised as an expense.

Illustrative Example 3

In the past two years, CFL has embarked upon a research and development (R&D) program to create a real-time route optimisation system for its fleet. To do so, it will utilise GPS data for all of its vehicles as well as information from other sources to provide more efficient route data to its drivers. Currently, it is still in the research phase as the team researches different software and hardware options.

Costs incurred during the research phase include the following:

- employee costs of the dedicated project team;
- development of an initial set of algorithms;
- deposits paid on long lead time specialist equipment; and
- research costs to investigate hardware options for signalling and display.

Because of the prohibition on recognising research costs as an intangible asset in HKAS 38, none of these costs can be capitalised by CFL and must therefore be expensed as incurred. Under the standard, CFL cannot demonstrate in the research phase that the project will generate probable future economic benefits.

9.2.2.4 Accounting for Costs in Development Phase

Development is defined as the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems, or services before the start of commercial production or use.

HKAS
38.8

Examples of development activities are:

- the design, construction and testing of pre-production or pre-use prototypes and models;
- the design of tools, jigs, moulds and dies involving new technology;
- the design, construction and operation of a pilot plant that is not of a economically feasible scale for commercial production; and
- the design, construction and testing of a chosen alternative for new or improved materials, devices, products, processes, systems, or services.

HKAS
38.59

A good example of costs incurred on activities during a development phase is the development of a new smart phone. An entity would incur costs on the various development activities as follows:

- construction of a prototype of the new phone and associated testing;
- design of the manufacturing equipment required to produce the new smart phone that may be a different size, made of different materials and be available in different colours from previous models; and
- depending on how different the new smart phone will be from existing products and the ongoing manufacturing requirements of other products made by the company, a new pilot plant may be required to be developed to ensure the company has the capability to manufacture on a full scale.

An intangible asset arising from the development phase is recognised if all of the following six criteria are met:

1. It is technically feasible the intangible asset will be completed to a stage that it will be available for use or sale.
2. The entity intends to complete the intangible asset and use or sell it.
3. The entity has the ability to use or sell the intangible asset.
4. The entity can demonstrate how the intangible asset will generate probable future economic benefits.
5. The availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset.
6. The ability to measure reliably the expenditure attributable to the intangible asset during its development.

HKAS
38.57

An entity may be able to meet the intangible asset recognition tests during the development of an internal project. This is because the development phase occurs after the research phase and an entity is more likely to have sufficient information to meet the requirements of the standard.

Illustrative Example 4

After extensive research, the route optimisation project is continuing to progress. CFL management provided detailed costing and budgets for the Board, at which time the Board approved the project funding for five years.

During the year, CFL completed in-house testing of prototype software for the GPS, the end result of which was that management were confident that the software was technically feasible. However, before moving to finalise the prototype, management needed to be confident that the GPS software would work within the existing vehicles, and that there was a market for the product.

To achieve this, CFL then tested the prototype software with a pool of drivers. At the end of the prototype testing, all drivers had provided positive feedback on the software, with a number of drivers indicating that they would purchase the software.

For CFL to be permitted to capitalise expenditures on the project it must be able to demonstrate that it has the intention and ability to complete the project, can demonstrate how the project will generate probable future economic benefits and that it has the capability to reliably measure the expenditure on the project.

CFL would meet the criteria for capitalisation of costs in the development phase if CFL can demonstrate the intention and technical feasibility of completing the GPS, in addition, also that a market exists for the product and they have the resources to complete the project. CFL is able to meet these criteria once the prototype software had been tested with the pool of drivers, and a number of drivers indicated they would be purchase the software. Prior to this time, there were not difficult indicators met for the development phase, and as such, any amounts would be expensed.

Key Learning Point

- Intangible assets acquired separately would normally be recognised at their cost of acquisition.
- Identifiable intangible assets acquired in a business combination are measured at fair value.
- Costs incurred on internal projects that may generate an intangible asset must first be classified into a research phase or a development phase. Costs incurred in the research phase are expensed and costs incurred in the development phase are capitalised if they can meet the recognition criteria.

► Knowledge Check Questions**Question 4**

Goodwill may only be recognised as an asset if it:

- A** Arises as a result of creating a new asset within the normal business operation.
- B** Its value exceeds the consideration paid of it.
- C** Is internally generated.
- D** Is acquired as part of a business combination.

Question 5

With increasing global concerns regarding single-use plastic shopping bags, Future Packages Limited is developing a new biodegradable shopping bag. The company has so far spent HK\$1.6 million researching the demand for the bags and HK\$2.6 million to create a new biodegradable material from which to make the bags. Once it was able to create the compound, HK\$2.1 million was spent on a pilot plant to produce test production runs. Determine how much of this expenditure may qualify to be capitalised as an intangible asset.

Question 6

Identify which of the following can be capitalised as an intangible asset (as a separate intangible asset or as part of another intangible asset).

- A** Investment (non-controlling) in another company.
- B** Legal costs incurred in acquiring a patent.
- C** An internally generated customer list.
- D** Training costs associated with a new product.

Question 7

Identify which of the following statements describes the activities undertaken in the 'development' phase of the generation of an intangible asset.

- A** The search for alternatives for materials, devices, products, processes, systems or services.
- B** Original and planned investigation with the prospect of gaining new scientific knowledge.
- C** The use of research findings to create a substantially improved product.
- D** The evaluation and final selection of applications of research findings.

9.2.3 Subsequent Recognition and Measurement after Acquisition

After initial recognition, an intangible asset is subsequently measured using the cost model or revaluation model. The accounting policy choice must be applied consistently to each asset in a particular class of intangible asset.

HKAS
38.72

A class of intangible assets is defined as a grouping of assets of a similar nature and use in an entity's operations. The standard provides the following examples of separate classes of intangible assets:

- brand names
- mastheads and publishing titles
- computer software

- licences and franchises
- copyrights, patents and other industrial property rights, service and operating rights
- recipes, formulae, models, designs and prototypes
- intangible assets under development

HKFRS
38.119

The cost model and revaluation model are explained in more detail below.

As intangible assets are long-term assets, in addition to the choice of measurement models, an entity must consider how to account for the benefits embodied within the intangible asset consumed over the life of the asset. To do this, an entity must first determine whether the intangible asset has a definite or indefinite life as intangible assets with indefinite lives cannot be amortised. For those intangible assets with definite lives, an entity is required to recognise amortization expense. This will be covered in more detail after discussion of the cost model and revaluation model.

Unlike tangible assets, such as property, plant and equipment, it is rare that an entity will add to or replace part of an intangible asset to increase the expected future economic benefits to be derived from the intangible asset. Even if subsequent expenditure on an intangible asset does occur, it is often difficult to know that this expenditure relates specifically to the intangible asset rather than to developing the business as a whole. As such, subsequent expenditure on intangible assets, such as brands, mastheads, publishing titles, customer lists and other similar items, is recognised in profit or loss as an expense when incurred rather than being included with the carrying amount of the intangible asset. This applies whether the intangible asset is externally acquired or internally generated.

HKAS
38.20

9.2.4 Cost Model

HKAS
38.74

The cost model requires an intangible asset to be carried at its cost less any accumulated amortisation and accumulated impairment losses. Refer to Chapter 11 for a full overview of accounting for impairment.

9.2.5 Revaluation Model

HKFRS
13.App A

The revaluation model is only permitted to be applied to a class of intangible assets if an active market exists for the asset. An active market is a market in which transactions for the asset take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

If the revaluation model is adopted for an intangible asset (and its associated class), the standard requires the asset to be carried at:

- its fair value at the date of revaluation;
- less any subsequent accumulated amortisation; and
- less any subsequent accumulated impairment losses.

The revaluation model does not permit:

- the revaluation of intangible assets that have not previously been recognised as assets (e.g. costs incurred in the research phase of an internal project as these have already been expensed); or
- the initial recognition of intangible assets at amounts other than cost (e.g. intangible assets acquired in a business combination).

HKAS
38.76

Given the unique nature of most intangible assets, an active market rarely exists for intangible assets. In practice, entities have difficulty adopting the revaluation model for most intangible assets. Active markets do not exist for intangible assets, such as brands, newspaper mastheads, music and film publishing rights, patents, or trademarks. Although these assets are bought and sold, contracts are negotiated between individual buyers and sellers, sale prices are often not publicly available, and transactions are infrequent.

However, there are more common and homogenous intangible assets, such as contractually based intangible assets for which an active market does exist. These include licences, production quotas, lease agreements, franchise agreements, water rights and broadcast rights.

HKAS
38.78

For those intangible assets that can be carried at a revalued amount, the frequency of revaluations depends on the volatility of the fair values of the intangible assets being revalued. If the intangible assets in question have a fair value that experiences significant and volatile movements, the entity will likely require annual revaluations to ensure the carrying value does not differ materially from fair value. However, for intangible assets with insignificant movements in fair value, revaluations will be required less frequently.

HKAS
38.79

When an intangible asset is revalued, the carrying amount of the asset is adjusted to the revalued amount.

If an intangible asset within a class cannot be revalued, as there is no active market for that asset, the asset must be carried at its cost less any accumulated amortisation and impairment losses.

HKAS
38.81

If an active market no longer exists for an intangible asset and the intangible asset can no longer be measured at fair value, the carrying amount of the asset is its:

- most recent revalued amount (by reference to the active market);
- less any subsequent accumulated amortisation, and
- less any subsequent accumulated impairment losses.

However, if an active market no longer exists, this could be an indicator that the asset is impaired, and therefore, needs to be tested for impairment in accordance with HKAS 36. If an active market re-emerges at a later date, the revaluation model is applied from that date.

Revaluation increases applied to an intangible asset are recognised in other comprehensive income (OCI) and accumulated in equity under the heading of revaluation surplus. For a full discussion of the revaluation model, see Chapter 5.

Revaluation decrements applied to an intangible asset are recognised in profit or loss. However, if a previous revaluation increase has been recognised in OCI, the revaluation decrease is recognised in OCI to the extent that it reduces any credit balance in the revaluation surplus in respect of that asset to nil. Any remaining decrement is recognised in profit or loss.

HKAS
38.86

Illustrative Example 5

XYZ Limited had a licence, which originally cost HK\$240,000 and had accumulated amortisation of HK\$90,000. The licence had a finite life, and the remaining life was assessed to be five years. On 1 July, 20X8, it was decided that the item should be revalued to its current fair value, which was assessed at HK\$270,000.

Gross Method

Using the gross method, the gross carrying amount and the accumulated amortisation account need to be restated proportionately. This is done in the following way:

Step 1: Calculate the ratio of the accumulated amortisation over the gross amount of the asset immediately prior to the revaluation. The calculation is $\text{HK\$}90,000 / \text{HK\$}240,000 = 0.375$. This indicates the proportion of accumulated amortisation to the gross amount of the licence, and this proportion must be maintained after the revaluation.

Step 2: Calculate the new gross amount of the asset after the revaluation. This is done by solving, and with the knowledge that the accumulated amortisation represents 37.5% of the gross amount of the asset:

$$\text{Gross amount of asset} - \text{accumulated amortisation} = \text{HK\$}270,000$$

$$\text{Gross amount of asset} - (37.5\% \times \text{Gross amount of asset}) = \text{HK\$}270,000$$

$$62.5\% \times \text{Gross amount of asset} = \text{HK\$}270,000$$

$$\text{Gross amount of asset} = \text{HK\$}432,000$$

Step 3: Calculate the accumulated amortisation of the asset after revaluation. As the accumulated amortisation represents 37.5% of the gross amount, it is then equal to $37.5\% \times \text{HK\$}432,000 = \text{HK\$}162,000$.

Step 4: Complete the journal entries:

	Debit	Credit
	HK\$	HK\$
Licence	192,000	
Accumulated amortisation		72,000
Revaluation Surplus		120,000

Net Method

The net method is a simpler method and only requires the entity net out any accumulated amortisation against the account in question and then make the necessary revaluation adjustment. In this case, the following two steps would be required:

Step 1: Net out accumulated amortisation against the licence

	Debit	Credit
	HK\$	HK\$
Accumulated amortisation	90,000	
Licence		90,000

Illustrative Example 5 (continued)

Step 2: The second, and final, step is to make the revaluation adjustment to the licence. After the accumulated amortisation has been netted out against it, the licence account has a HK\$150,000 debit balance (HK\$240,000 – HK\$90,000). The fair value is HK\$270,000, which is an upwards adjustment of HK\$120,000.

	Debit	Credit
	HK\$	HK\$
Licence	120,000	
Revaluation Surplus		120,000

Illustrative Example 6

Active Fitness Limited is a medium-sized company operating a number of gymnasiums throughout Hong Kong. Though the original site it opened was an independent location, three years ago, it purchased four franchise rights from Fitness30 at a cost of HK\$160,000 each. Since the original purchase, the worldwide appeal of Fitness30 increased significantly, and the franchise rights were now worth HK\$225,000 each. No time limits existed in relation to the franchise rights and there was an active market for the franchise rights. Active Fitness Limited adopted the revaluation model to account for the franchise rights subsequent to initial recognition.

In accordance with the revaluation model, Active Fitness Limited would recognise the increase in the value of the franchise rights. If it had adopted the cost model, the increase in value of the franchise rights would not be reflected in the financial statements. Because the franchise rights could not be amortised due to their indefinite life, the entity did not need to make a choice between the net or gross method when revaluing the carrying amount of the asset.

In this instance, the total value of the franchise rights increased by HK\$260,000 (HK\$65,000 (HK\$225,000 – HK\$160,000) × 4). The entry to record the revaluation is:

	Debit	Credit
	HK\$	HK\$
Franchise Rights	260,000	
Revaluation Surplus (other comprehensive income)		260,000

9.2.6 Useful Life

In accounting for an intangible asset subsequent to initial recognition, an entity is required to assess whether the **useful life** of the intangible asset is finite or indefinite. This decision will determine how the consumption of economic benefits embodied in the intangible asset will be recognised in the financial statements.

HKAS
38.88

If it is determined that the intangible asset has a finite life, the entity is required to assess the length of, or number of production or similar units constituting, that useful life.

HKAS
38.88, 91

An asset is rarely considered to have an indefinite useful life. HKAS 38 states this would only be the case when, based on an analysis of all the relevant factors, there is no foreseeable limit to the period over which the asset is expected to generate net cash flows for the entity. In this context, it is important to understand that 'indefinite' does not mean 'infinite'.

The factors to be considered when determining the useful life of an intangible asset include:

- how the asset is expected to be used by the entity and if the asset could be managed efficiently by another management team;
- typical expected product life cycles for the asset as well as public information on estimates of useful lives of similar assets used in a similar way;
- technical, technological, commercial or other types of obsolescence;
- the stability of the industry in which the asset operates and whether changes in the market demand for the products or services output from the asset are expected during the expected life time of the asset;
- business plans and strategies of competitors or potential competitors;
- the level of maintenance expenditure necessary to maintain the asset at its current operational capacity and the ability and intention of the entity to maintain the asset as required;
- the period of control over the asset and legal or any other limits on the use of the asset, such as expiry dates of related leases;
- dependencies on the useful life of other assets of the entity; and
- expected future reductions in the selling price of an item that was produced using an intangible asset.

HKAS
38.90, 92

The useful life of an intangible asset could be indefinite, very long, or relatively short. No general rule or principle can be applied in the useful life assessment as most intangible assets are unique. In addition, even if an intangible asset is similar to other intangible assets, it may be used differently by an entity or in different environments. Management must, therefore, apply its expert knowledge of the asset and the market in which it operates to determine the useful life.

HKAS 38 states the useful life of an intangible asset that arises from contractual or other legal rights shall be the shorter of the expected useful life of the asset or the period of the contractual or legal rights. The period of the contractual or legal right may include a renewal period but only if this is at the option of the holder of the right; any renewal conditions will be satisfied and can be supported without significant additional cost (compared with the future economic benefits expected to flow to the entity from renewal).

HKAS
38.94, 96

Illustrative Example 7

Summer Ltd (Summer) has disclosed the following intangible assets on its statement of financial position:

Intangible Asset	HK\$m
Taxi licences	1,900
Brand name acquired	26
Patent	6

The following assessments of the useful lives of these intangible assets was made by Summer management following its recognition on the Summer statement of financial position:

- A taxi license is required to be able to operate a taxi in Hong Kong. These have been acquired over a number of years and, once purchased, can be used in perpetuity. Management believed they will continue to provide economic benefits into the foreseeable future. Accordingly, management decided the taxi licenses had an indefinite useful life.
- Management concluded the brand names had an indefinite useful life because of the strong position in the premium end of the market. There were no known commercial, legal or technical reasons why this should change in the foreseeable future.
- The patent had a contractual life of eight years, and management believed it would continue to provide economic benefits over this period. Accordingly, management decided the useful life was eight years.

9.2.7 Intangible Assets with Finite Lives

Most intangible assets will be assessed as having finite useful lives, particularly those that are contractual in nature. It can be difficult to determine the appropriate useful life of an intangible asset with a finite useful life. Entities will need to use their judgement and experience to assess this on a reasonable basis and ensure outcomes are consistent with estimates of useful lives for similar assets.

9.2.7.1 Amortisation Period and Amortisation Method

HKFRS
38.8

The **depreciable amount** of an asset is its cost less its residual value. For an intangible asset with a finite useful life, the standard requires the depreciable amount is to be allocated on a systematic basis over its useful life and in a manner that reflects the pattern in which the asset's future economic benefits are expected to be realised by the entity (e.g. using a diminishing balance method or some form of units of production method). If the pattern of use cannot be determined reliably, then the assets should be amortised using the straight-line method of amortisation.

HKAS
38.97

HKSA 38 also states that amortisation should start when the asset is in the condition and location necessary for it to be capable of operating in the manner intended by management and should cease at the earlier of:

- the date that the asset is classified as held for sale in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* (for more information on held for sale, see Chapter 12); and
- the date the asset is derecognised.

HKAS
38.97

The amortisation charge for each reporting period is to be recognised in profit or loss unless another standard permits it to be included in the carrying amount of another asset. For example, the amortisation of intangible assets used in the production process is included in the carrying amount of inventories.

HKAS
38.97, 99

9.2.7.2 Residual Value

The **residual value** of an intangible asset with a finite useful life is assumed to be zero unless:

- a third party has contractually committed to buy the asset at the end of its useful life; or
- there is an active market (as defined in HKFRS 13) for the asset and:
 - the market provides sufficient information to indicate what the residual value will be; and
 - the active market will likely exist at the end of the asset's useful life.

HKAS
38.100

For an intangible asset with a finite useful life to be considered to have a residual value, an entity must be able to demonstrate it will be able to dispose of the asset in an active market for the asset or to an external party in accordance with a contractual agreement. The entity should have appropriate evidence to support its conclusions.

An intangible asset's residual value should be reviewed to ensure it remains appropriate at least at each financial year end or when significant facts and circumstances surrounding its use or value change. Any change in residual value is considered to be a change in an accounting estimate and should be accounted for and disclosed in accordance with HKAS 8. (HKAS 8 will be covered in more detail in Chapter 13.)

HKAS
38.102

Illustrative Example 8

Following the facts in Illustrative Example 7 of the intangible assets Summer has on its books, only the patent has a finite useful life. To determine the amount of amortisation during each period, Summer will need to estimate the patent's depreciable amount. To do this, Summer will need to determine the cost of the patent and the patent's residual value. In addition, Summer must estimate the patent's useful life and the systematic basis by which the depreciable amount will be amortised.

In the case of the patent, there is also no active market or contractually committed third party, so the residual value is HK\$0. This means that the depreciable amount is HK\$6 million (HK\$6 million – HK\$0). Summer is also unable to determine a systematic basis reliably, which means the straight-line method must be used to allocate the depreciable amount over the eight years of useful life. Therefore, the annual amortisation of the patent is HK\$750,000 (HK\$6 million/8 years).

9.2.8 Intangible Assets with Indefinite Useful Lives

HKAS
38.107

An intangible asset with an indefinite useful life is not to be amortised.

HKAS
38.108

However, entities are required to test the carrying amount of an intangible asset with an indefinite useful life for impairment both annually *and* if there is any indication the asset may be impaired.

9.2.8.1 Review of Useful Life Assessment

HKAS
38.109

An intangible asset not being amortised shall have its useful life reviewed each reporting period to ensure the indefinite life assessment remains valid. If events and circumstances no longer support the indefinite life assessment, useful life assessment is changed to finite. This change is considered to be a change in an accounting estimate and should be accounted for and disclosed in accordance with HKAS 8.

HKAS
38.110

Furthermore, a change from an indefinite life assessment to a finite life assessment is an indicator the asset may be impaired, and an impairment test should be conducted by the entity.

Key Learning Point

- Intangible assets may be measured subsequent to initial recognition in accordance with the cost model or the revaluation model.
- The useful lives of all recognised intangible assets must be reviewed to determine if they are finite or indefinite.
- Intangible assets with finite lives are amortised over the useful life to the entity.

► Knowledge Check Questions

Question 8

How is the useful life of an intangible asset determined?

Question 9

On 1 January 20X8, InTune Limited (InTune) acquired a patent for a new audio recording technology. The patent cost HK\$150,000 and, as a standard patent, has a legal life of 20 years. However, due to rapid changes in technology InTune believes the underlying technology will obsolete within six years. What would be the amortisation amount recorded for this patent for the annual period ending 31 December 20X8?

Question 10

For which of the following intangible assets could an entity choose to use the revaluation model?

- A goodwill (acquired through a business combination)
- B taxi licence
- C patent
- D brand name (acquired through a business combination)

► Knowledge Check Questions (*continued*)

Question 11

An intangible asset with an active market and an indefinite life is revalued downwards by HK\$250,000 in 20X5. This is the first time this asset has been revalued. The same asset is then revalued upwards by HK\$300,000 in 20X7. How much would be carried in the revaluation surplus after adjusting for the revaluation entry in 20X7.

9.3 PRESENTATION AND DISCLOSURE OVERVIEW

HKAS 38 requires entities to disclose the following for each class of intangible assets, distinguishing between internally generated intangible assets and other acquired or granted intangible assets:

- whether the useful lives are indefinite or finite, and if finite, the useful lives or the amortisation rates used;
- the amortisation methods used for intangible assets with finite useful lives;
- the gross carrying amount and any accumulated amortisation (aggregated with accumulated impairment losses) at the beginning and end of the period;
- the line item(s) of the statement of comprehensive income in which any amortisation of intangible assets is included; and
- a reconciliation of the carrying amount at the beginning and end of the period showing:
 - additions, indicating separately those from internal development, those acquired separately, and those acquired through business combinations (Chapter 22);
 - assets classified as held for sale or included in a disposal group classified as held for sale in accordance with HKFRS 5 and other disposals (Chapter 12);
 - increases or decreases during the period resulting from revaluations and from impairment losses recognised or reversed in other comprehensive income in accordance with HKAS 36 (if any) (Chapter 11);

- impairment losses recognised in profit or loss during the period in accordance with HKAS 36 (if any) (Chapter 11);
- impairment losses reversed in profit or loss during the period in accordance with HKAS 36 (if any) (Chapter 11);
- any amortisation recognised during the period (Chapter 13); and
- other changes in the carrying amount during the period.

HKAS
38.118

The recognition, measurement and subsequent accounting for intangible assets often involves entities making significant judgements. Users of the financial statements would wish to be informed of any material changes in those judgements. Accordingly, any changes in the assessment of the intangible asset's useful life, the amortisation method or residual values that may have a material effect on the current or future periods must be disclosed in the financial statements, together with the nature and impact of the change.

HKAS
38.121

In addition, the standard requires an entity to disclose:

- for an intangible asset assessed as having an indefinite useful life, the carrying amount of that asset and the reasons supporting the assessment of an indefinite useful life. In giving these reasons, the entity shall describe the factor(s) that played a significant role in determining that the asset has an indefinite useful life.
- a description, the carrying amount and remaining amortisation period of any individual intangible asset that is material to the entity's financial statements.

If intangible assets are accounted for at revalued amounts, an entity is required to disclose the following:

- by class of intangible assets:
 - the effective date of the revaluation;
 - the carrying amount of revalued intangible assets; and
 - the carrying amount that would have been recognised had the revalued class of intangible assets been measured after recognition using the cost model; *and*
- the amount of the revaluation surplus that relates to intangible assets at the beginning and end of the period, indicating the changes during the period and any restrictions on the distribution of the balance to shareholders.

HKAS
38.124

Exhibit 9.2 provides an example of how an entity may comply with these disclosure requirements.

Note X: Intangible Assets				
	Goodwill	Brand Names	Licences	Total
Carrying amounts of and movements in intangible assets (HK\$ millions)				
Cost	25,560	1,506	13,644	40,710
Less: accumulated amortisation	(630)	(6)	(1,284)	(1,920)
Carrying amount at end of period	24,930	1,500	12,360	38,790
<i>Movement:</i>				
Carrying amount at start of period	24,876	1,494	12,366	38,748
Acquisition of businesses	102	6	144	252
Disposals, transfers and other	(48)	0	(42)	(90)
Amortisation	0	0	(108)	(108)
Carrying amount at end of period	24,930	1,500	12,360	38,790

Goodwill

Goodwill represents the excess of the cost of acquisition over the fair value of the share of the net identifiable assets acquired. Following initial recognition, goodwill is measured at cost less any accumulated impairment losses.

Other intangible assets

Other intangible assets are measured at cost less accumulated amortisation and impairment losses (if any). Where acquired in a business combination, cost represents the fair value at the date of acquisition.

Intangible assets with finite lives are amortised on a straight-line basis over their estimated useful lives. Useful lives are reassessed each period. The useful lives of intangible assets have been assessed as follows:

Brand names	Generally indefinite useful life
Liquor Licences	Indefinite useful life
Gaming Licences	Life of the gaming entitlement (10 yr)

Impairment

Intangible assets are tested for impairment in accordance with the policy for impairment of non-financial assets disclosed in Note Y.

► EXHIBIT 9.2 Illustrative disclosure

Key Learning Point

- A detailed reconciliation by class of intangible asset must be disclosed in the financial statements
- The nature and amount of material changes in accounting estimates relating to the recognition, initial measurement and subsequent measurement of intangible assets must be disclosed in accordance with HKAS 38
- Additional disclosures are required for intangible assets measured after recognition using the revaluation model



► Knowledge Check Questions

Question 12

Identify which of the following statements is correct.

- A** HKAS 38 requires disclosures about an entity's intangible assets, with disclosures being made on an asset by asset basis.
- B** Disclosures regarding the reasons why an intangible asset has been assessed to have a finite useful life.
- C** Where the cost model is used, specific disclosures are required including assumptions made on estimating fair values.
- D** Separate disclosures are required for internally generated Intangible assets.

Question 13

Identify which of the following disclosures is not required for intangible assets measured after recognition using the revaluation model.

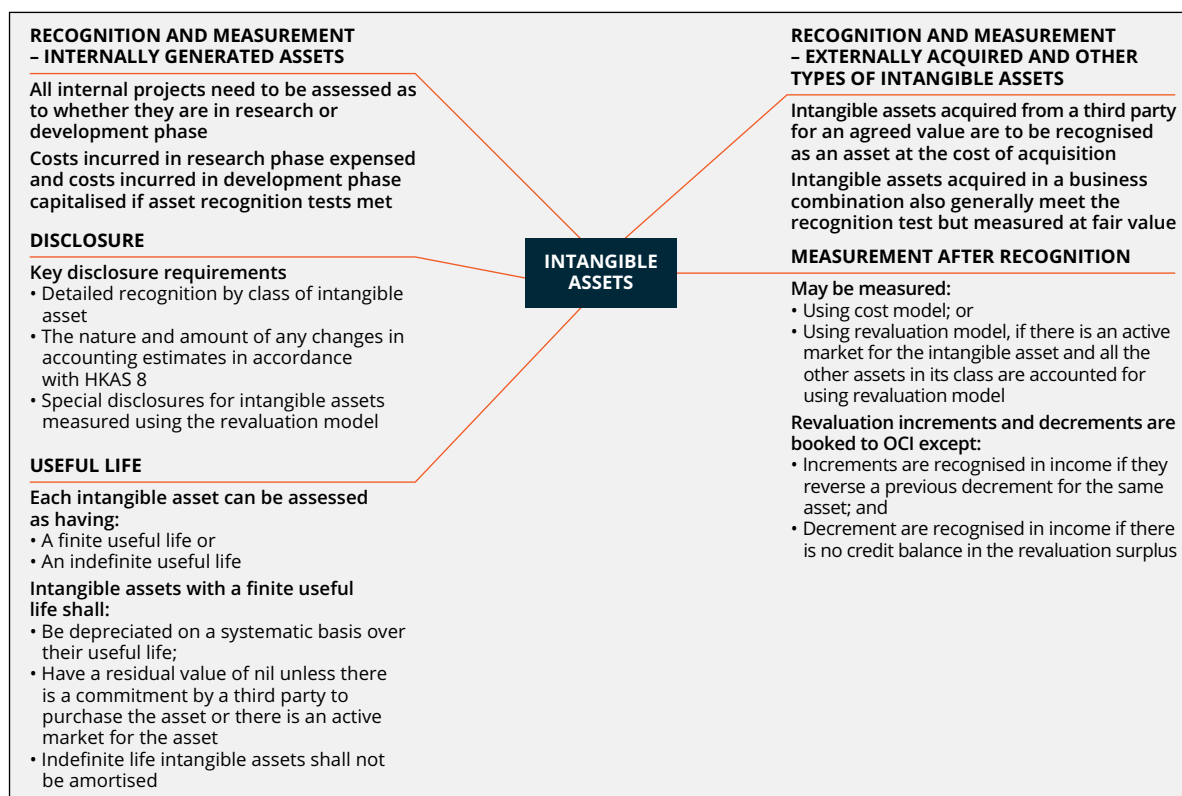
- A** By class of intangible asset, the carrying amount of revalued intangible assets.
- B** By class of intangible asset, the effective date of the revaluation.
- C** The amount of the revaluation surplus that relates to intangible assets at the beginning and end of the period.
- D** The methods and significant assumptions applied in estimating the assets' fair value.



SUMMARY

- An intangible asset is defined as an identifiable non-monetary asset without physical substance.
- Goodwill (acquired) is an asset representing the future economic benefits arising from non-identifiable intangible assets acquired in a business combination.
- Externally acquired intangible assets are measured initially as the direct costs incurred in getting the asset in the condition necessary for it to be capable of operating in the manner intended by management.
- Identifiable intangible assets acquired in a business combination are measured at fair value at the acquisition date.
- Internal projects that may generate an intangible asset must be classified into one of two phases: a research phase or a development phase. Costs incurred in the research phase are expensed, and costs incurred in the development phase may be capitalised if certain asset recognition tests are met.
- Intangible assets may be measured subsequent to initial recognition in accordance with the cost model or the revaluation model.
- The useful lives of recognised acquired or internally developed intangible assets must be assessed as finite or indefinite.
- All recognised intangible assets must be assessed for impairment either annually (indefinite life assets) or if an impairment trigger is evident (finite life assets).
- A detailed reconciliation by class of intangible asset must be disclosed in the financial statements, and additional disclosures are required for intangible assets measured after recognition using the revaluation model.
- The nature and amount of material changes in accounting estimates relating to the recognition, initial measurement and subsequent measurement of intangible assets must be disclosed in accordance with HKAS 8.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Regular customers are an item that does not satisfy the control test because the entity has insufficient control over the future economic benefits arising from the customers (unless they are all under contractual arrangements).

Answer B is correct. Royalty agreements are identifiable in accordance with HKAS 38.12 as they are separable and arise from a contractual right. They also have control and future economic benefits.

Answer C is incorrect. Brand names do not meet the identifiable criteria of being able to be separated or arising from a contractual or other legal right.

Answer D is incorrect. Strong and favourable employee relations is an item that does not satisfy the control test because the entity has insufficient control over the future economic benefits arising from the workforce. Despite the favourable relations with the employees, they could leave the entity at any time.

Question 2

The three characteristics of an intangible asset are (1) it is identifiable – that is the asset is either separable or it arises from contractual or other legal rights; (2) the entity has control over the asset whether by receiving (directly or indirectly) the earnings generated from the asset or by denying others access to those earnings; and (3) it can generate future economic benefits.

HKAS
38.12

Question 3

Answer A is incorrect. These items are not monetary items.

Answer B is incorrect. These items may be able to be measured.

Answer C is correct. As an entity has insufficient control over the future economic benefits expected to be generated by these assets. (Lack of sufficient control means an asset cannot be directed or managed by the entity to ensure that associated future economic benefits flow to the entity.)

Answer D is incorrect. Being difficult to manage is not a criterion for recognition of an intangible asset.

Question 4

Answer A is incorrect. Goodwill does not arise as a result of creating a new asset (i.e. this would be internally generated goodwill which is not permitted to be recognised).

Answer B is incorrect. Goodwill is measured as the difference between the value of the consideration transferred (and the value of any pre-existing interest and any non-controlling interest) and the value of the net assets acquired. Accordingly, goodwill is measured as a residual and may not represent the actual value of the total goodwill of the acquired entity.

Answer C is incorrect. HKAS 38.48 explicitly states that internally generated goodwill shall not be recognised as an asset.

Answer D is correct. HKAS 38.10 states that if the item does not meet the definition of an intangible asset, expenditure to acquire it or generate it internally is recognised as an expense as incurred unless the item was acquired as part of a business combination in which case it forms part of goodwill recognised at acquisition date.

Question 5

HKAS 38 requires spending during the research phase to be expensed; the expenditure during the development phase may be capitalised. Research is defined as the original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding. The research phase for Future Packages Limited would include the time spent on understanding the market and creating the bag compound, meaning that HK\$4.2 million would be expensed. Once market understanding and research of options are complete, Future Packages Limited enters the development phase, and the HK\$2.1 million spent on developing a pilot plant would qualify to be capitalised as an intangible asset, as long as all criteria in HKAS 38.57 are met. That is:

- Technical feasibility of completing the intangible asset so that it will be available for use or sale
- Intention to complete the intangible asset and use or sell it
- Ability to use or sell the intangible asset
- How the intangible asset will generate probable future economic benefits
- The availability of adequate technical, financial and other resources to complete the development and to use or sell the intangible asset
- Ability to measure reliably the expenditure attributable to the intangible asset during its development.

HKAS
38.8

Question 6

Answer A is incorrect. An investment (non-controlling) in another company would be recognised as a financial asset, not an intangible asset.

Answer B is correct. The costs associated with acquiring a patent satisfies the criteria required by Para. 27 of HKAS 38 as a directly attributable cost of preparing the asset for its intended use.

Answer C is incorrect. Expenditure on internally generated customer lists is prohibited from being recognised as an intangible asset in accordance with Para. 64 of HKAS 38 as the expenditure cannot be distinguished from the cost of developing business as a whole.

Answer D is incorrect. Expenditure on staff training is prohibited from being recognised as an intangible asset in accordance with Para 29. of HKAS 38 as the expenditure cannot be distinguished from the cost of developing business as a whole.

Question 7

Answer A is incorrect. Original and planned investigation with the prospect of gaining new scientific knowledge is part of the definition of research activities, being original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding, rather than development activities.

Answer B is incorrect. The use of research findings to create a substantially improved product is part of the definition of research activities, being original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding, rather than development activities.

Answer C is correct. As this is in accordance with the definition of development, being the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use.

Answer D is incorrect. The evaluation and final selection of applications of research findings is part of the definition of research activities, being original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding, rather than development activities.

Question 8

The first step for an entity in determining the useful life of an intangible asset is to assess whether the intangible asset has a definite or indefinite life. If the determination is that no foreseeable limit exists to the period over which the asset is expected to generate net cash inflows for the entity, then the intangible asset has an indefinite useful life.

If, however, a foreseeable limit exists to the period over which the asset is expected to generate net cash inflows for the entity, then the intangible asset has a finite useful life and the entity needs to determine the length or the number of production (or similar) units constituting that useful life. To do that would take into account a range of factors.

These include:

- how the asset is expected to be used by the entity and if the asset could be managed efficiently by another management team;
- typical expected product life cycles for the asset as well as public information on estimates of useful lives of similar assets used in a similar way;

HKAS
38.8

HKAS
38.8

HKAS
38.8

HKAS
38.8

HKAS
38.90–92

- technical, technological, commercial, or other types of obsolescence;
- the stability of the industry in which the asset operates and whether changes in the market demand for the products or services output from the asset are expected during the expected life time of the asset;
- business plans and strategies of competitors or potential competitors;
- the level of maintenance expenditure necessary to maintain the asset at its current operational capacity and the ability and intention of the entity to maintain the asset as required;
- the period of control over the asset and legal or any other limits on the use of the asset, such as expiry dates of related leases;
- dependencies on the useful life of other assets of the entity; and
- expected future reductions in the selling price of an item that was produced using an intangible asset.

Question 9

To calculate the amortisation for the patent, InTune Limited (InTune) required to first determine the depreciable amount, the useful life and the amortisation method. In this case, the depreciable amount was HK\$150,000. The cost of the acquired patent was HK\$150,000, and based on the facts in the case, the residual value could be assumed to be zero. Two potential useful lives were provided: the 20-year legal length of the patent and the six-year time frame prior to obsolescence. According to HKAS 38.94, the six year period should have been used as this was the period over which InTune expected to benefit from using the patent. No information was provided in the case regarding the pattern of usage of the patent over time, and as per HKAS 38.97, the straight-line method was used. Combined, this meant the amortisation amount in the first year for the patent acquired by InTune was HK\$25,000, calculated as $(HK\$150,000 - HK\$0)/6$.

Question 10

Answer A is incorrect. Acquired goodwill is not a separable asset so there is no active market. This means an entity is prohibited from using the revaluation model as per HKAS 38.72.

Answer B is correct. Generally speaking, taxi licences are traded in markets where sufficient frequency and volume provides pricing information on an ongoing basis, that is an active market. As such, an entity could choose to use the revaluation model for this type of intangible asset.

Answer C is incorrect. A patent is a unique asset. As such, it would not have an active market. This means an entity is prohibited from using the revaluation model for patent as per HKAS 38.72.

Answer D is incorrect. An acquired brand name is, by nature, a unique asset. As such, it would not have an active market per HKAS 38.78. This means an entity is prohibited from using the revaluation model as per HKAS 38.72. Even if it has an active market, it cannot use the revaluation model as it is acquired in a business combination and recorded at fair value.

HKAS
38.100

HKAS
38.72

Question 11

According to HKAS 38.85, if an asset's carrying amount is increased as a result of a revaluation, the increase is generally recognised in other comprehensive income (OCI) and accumulated in equity as part of the revaluation surplus. A scenario where it isn't is when the asset has previously been revalued downwards and that revaluation had been recognised in profit or loss.

The revaluation in 20X5 was the first revaluation for this asset, so the HK\$250,000 decrease would have been recognised in profit or loss as a loss. All of the second revaluation, the HK\$300,000 increase, would have usually been recognised as a credit to the revaluation surplus. However, because of the initial HK\$250,000 downwards revaluation in 20X5, the first HK\$250,000 of the upwards revaluation in 20X7 was recognised in profit or loss. The remaining HK\$50,000 upwards revaluation in 20X7 is recognised as a credit to the revaluation surplus.

Question 12

Answer A is incorrect. HKAS 38.118 does not require disclosures on an asset by asset basis. Answer B is incorrect. HKAS 38.122 only requires detailed disclosure about the assessment of an intangibles asset's useful life when the asset is assessed as having an indefinite life. No such details are required when the intangible asset is assessed as having a finite life although other disclosures regarding the useful life and amortisation rates, for example, are required.

Answer C is incorrect. The cost model does not involve the use of fair values.

Answer D is correct. HKAS 38.118 requires disclosure by class of asset, distinguishing between internally generated Intangible assets and other intangible assets.

Question 13

Answer A is incorrect. This is required by HKAS 38.124 (a)(ii).

Answer B is incorrect. This is required by HKAS 38.124 (a)(i).

Answer C is incorrect. This is required by HKAS 38.124 (b).

Answer D is correct. Though HKAS 38.124 (c) did previously require this, this subsection was deleted in June 2014.

 EXAM PRACTICE**QUESTION 1**

Inner Sight Limited (Inner Sight) was an early stage technology company based in Wan Chai. The company received initial funding of HK\$12 million to develop a wayfinding system for vision impaired people inside major buildings, such as shopping malls and office buildings. This required the development of hardware (physical beacons deployed in buildings) and software to optimise routes and communicate them to the user.

Inner Sight was still in the research phase it had working prototypes, and was looking to move into the development phase. This required additional funding. You are the Chief Financial Officer of Inner Sight and the financial statements were being reviewed by the

Board. One of the directors, Ms. Sarah Yat, noticed that a patent that Inner Sight acquired in relation to the beacons was recognised in the financial statements at its original cost, yet none of the HK\$7.6 million in expenditure on research so far had been included.

Even though Inner Sight had not begun the development phase, Ms Yat felt extremely positive about the success of the company and with the upcoming round of funding, felt it would be more appropriate to capitalise some, if not all, of the research costs expended.

Required

Draft a memo to Ms. Yat explaining the correct approach to recognising intangible assets in accordance with HKAS 38 *Intangible Assets*.

QUESTION 2

On 1 July 20X4, Game Zone Limited (Game Zone), purchased 100 gaming entitlements for HK\$55 million. The gaming entitlements had a useful life of eight years, and an active market existed for them. On 30 June 20X5, the market value of the entitlements had declined to HK\$45 million. A year later, with changing economic conditions the market value of the entitlements had increased to HK\$62 million.

Required

Assuming Game Zone used the revaluation model (gross method) to account for the gaming entitlements, provide the journal entries related to the entitlements on the acquisition date, 1 July 20X4, and for the years ended 30 June 20X5 and 30 June 20X6.

QUESTION 3

TVOne Limited (TVOne) has two intangible assets: (1) A television licence that allows TVOne to transmit television programs to Hong Kong and parts of China and (2) Broadcasting rights to broadcast the 2020 Summer Olympics. Currently measured using the cost model, TVOne wishes to adopt the revaluation model to subsequently measure these intangible assets. Each has an active market. It is expected that, upon adopting the revaluation model, the carrying amount of the television licence will be increased, while the carrying amount of the broadcasting rights will be decreased.

In accordance with HKAS 38, how should TVOne account for the revaluation increase and decrement, respectively?

Increase (Television licence)	Decrement (Broadcasting rights)
a. Other comprehensive income	Other comprehensive income
b. Profit or loss	Other comprehensive income
c. Other comprehensive income	Profit or loss
d. Profit or loss	Profit or loss

QUESTION 4

Which of the following intangible assets may be capitalised by an entity?

- (a) Internally generated mastheads.
- (b) Goodwill acquired in a business combination.
- (c) Publishing titles developed within the entity.
- (d) Customer lists produced by the entity's marketing department.

ANSWERS TO EXAM PRACTICE

QUESTION 1

To: Ms. Sarah Yat, Director of Inner Sight Limited

From: Chief Financial Officer

Date: dd/mm/yyyy

Subject: Intangible asset recognition

I refer to your queries regarding the capitalisation of the research expenditure to date. Though expenditures on research and development activities are often considered together, from an accounting point of the view, there is a substantial difference in the accounting treatment for activities within the research phase and the development phase.

Though the relevant accounting standard HKAS 38 *Intangible Assets* goes into great detail, from a general perspective, research activities are undertaken with the prospect of gaining new scientific or technical knowledge and understanding whilst development activities are those that take research findings or other knowledge and applies them to improve materials, devices, products, etc.

HKAS38 requires that expenditure during the research phase is to be expensed as incurred because of the inability to demonstrate that future economic benefits will flow to the entity from the research activities. However, once in the development phase, under strict conditions, capitalisation may occur. (These conditions include: the reasonable ability, resources and intention to complete the intangible asset so it may be used or available for sale; how the asset will yield future economic benefits; and the ability to accurately measure spending attributable to the asset during development.)

In general terms, these conditions relate to whether it is probable the development activities will generate future economic benefits for Inner Sight and whether the cost of undertaking the development activities can be measured with reliability. More specifically, development activities can be capitalised if Inner Sight can demonstrate all of the following:

1. The technical feasibility of completing the wayfinding system so that it will be available for use or sale;
2. Inner Sight's intention to finish developing the wayfinding system for use or sale;
3. Inner Sight's ability to use or sell the wayfinding system;
4. How the wayfinding system will generate future economic benefits for Inner Sight;
5. The availability of adequate technical, financial and other resources to complete the development and to use or sell the wayfinding system; and
6. Inner Sight's ability to measure reliably the expenditure related to the wayfinding system during its development.

In this instance, we are still in the research phase and as such all expenditures are required to be expensed as incurred.

While the expenditure related to the wayfinding system cannot be capitalised, under HKAS 38 *Intangible Assets*, the patent is to be recognised as an intangible asset in Inner Sight's statement of its financial position. This is because it has been acquired from another entity. The patent is to be recognised at the amount it cost Inner Sight to acquire the patent.

Regards

CFO

QUESTION 2

1 June 20X4

As the licences were acquired, separately (not through a business combination), Game Zone was required to recognise these assets as intangible assets at their cost at the time of purchase. Therefore, the entry at 1 June 20X4 would be:

	Debit	Credit
	HK\$	HK\$
Gaming entitlement	55,000,000	
Cash		55,000,000

30 June 20X5

The gaming entitlements have a finite life, based on the information provided, which means they were to be amortised. The only relevant information regarding the length of the useful life was that the entitlements were able to be used for eight years. No information regarding the pattern of use was present, so the straight-line method was chosen.

The amortisation entry at 30 June 20X5 would be HK\$55,000,000 divided by 8 years:

	Debit	Credit
	HK\$	HK\$
Amortisation expense	6,875,000	
Accumulated amortisation		6,875,000

The net carrying value was, therefore, HK\$48,125,000 (HK\$55,000,000 – HK\$6,875,000). This was materially different to the fair value as at 30 June 20X5, and the asset required a downwards revaluation.

As Game Zone was using the gross method, the following steps are used:

Step 1: Calculate the ratio of the accumulated amortisation over the gross amount of the asset immediately prior to the revaluation. The calculation is HK\$6,875,000 / HK\$55,000,000 = 0.125.

Step 2: Calculate the new gross amount of the asset after the revaluation. This is done by solving the following, and with the knowledge that the accumulated amortisation represents 12.5% of the gross amount of the asset:

Gross amount of asset – accumulated amortisation = HK\$45,000,000
Gross amount of asset – (12.5% × Gross amount of asset) = HK\$45,000,000
87.5% × Gross amount of asset = HK\$45,000,000
Gross amount of asset = HK\$51,428,571

Step 3: Calculate the accumulated amortisation of the asset after revaluation. As the accumulated amortisation represents 12.5% of the gross amount, it is then equal to: $12.5\% \times \text{HK\$}51,428,571 = \text{HK\$}6,428,571$.

Step 4: Complete the journal entries for the revaluation as at 30 June 20X5.

$$\text{Accumulated amortisation} = (\text{HK\$}55,000,000 - \text{HK\$}51,428,571) \times 12.5\% = \text{HK\$}446,429$$

$$\text{Loss on revaluation} = \text{HK\$}446,429 \times 12.5\% = \text{HK\$}3,125,000$$

$$\text{Gaming entitlement} = \text{HK\$}446,429 + \text{HK\$}3,125,000 = \text{HK\$}3,571,429$$

	Debit	Credit
	HK\$	HK\$
Accumulated amortisation	446,429	
Loss on revaluation (P&L)	3,125,000	
Gaming entitlement		3,571,429

30 June 20X6

The amortisation entry at 30 June 20X6 would be:

	Debit	Credit
	HK\$	HK\$
Amortisation expense	6,428,571	
Accumulated amortisation		6,428,571

This has been calculated as the depreciable amount of HK\$45 million divided by the remaining seven-year useful life.

The net carrying value is, therefore, HK\$38,571,429 ($\text{HK\$}51,428,571 - (\text{HK\$}6,428,571 + \text{HK\$}6,428,571)$). This is materially different to the fair value as of 30 June 20X6, and the asset requires an upwards revaluation. To do this, the following steps are followed:

Step 1: Calculate the ratio of the accumulated amortisation over the gross amount of the asset immediately prior to the revaluation. The calculation is $\text{HK\$}12,857,143 / \text{HK\$}51,428,571 = 0.25$.

Step 2: Calculate the new gross amount of the asset after the revaluation. This is done by solving the following and with the knowledge that the accumulated amortisation represents 25.0% of the gross amount of the asset:

Gross amount of asset – accumulated amortisation = HK\$62,000,000
Gross amount of asset – (25% × Gross amount of asset) = HK\$62,000,000
75.0% × Gross amount of asset = HK\$62,000,000
Gross amount of asset = HK\$82,666,667

Step 3: Calculate the accumulated amortisation of the asset after revaluation. As the accumulated amortisation represents 25.0% of the gross amount, it is used: $25.0\% \times \text{HK\$}82,666,667 = \text{HK\$}20,666,667$.

Step 4: Complete the journal entries for the revaluation as at 30 June 20X6

Gaming entitlement = HK\$82,666,667 – HK\$51,428,571 = HK\$31,238,095

Accumulated amortization = HK\$20,666,667 – HK\$12,857,143 = HK\$7,809,524

Gain on revaluation = HK\$31,238,095 – HK\$7,809,524 = HK\$23,428,571

Revaluation surplus (OCI) = HK\$23,428,571 – HK\$3,125,000 = HK\$20,303,571

	Debit	Credit
	HK\$	HK\$
Gaming entitlement	31,238,095	
Accumulated amortisation		7,809,524
Gain on revaluation (P&L)		3,125,000
Revaluation surplus (OCI)		20,303,571

The increase in the gaming entitlement is the change from the carrying value prior to the revaluation of HK\$51,428,571 to the new amount of HK\$82,666,667. The increase in the accumulated amortisation account is the change in the carrying value prior to the revaluation of HK\$12,857,143 to the new amount of HK\$20,666,667. The net change to then be credited due to the revaluation is therefore HK\$23,428,571. Ordinarily, this would be recognised completely through other comprehensive income through the revaluation surplus, but because there has been a previous downwards revaluation that was taken through profit or loss, the same amount (HK\$3,125,000) can be credited to gain. The remainder (HK\$20,303,571) is then credited to the revaluation surplus.

QUESTION 3

Answer A is incorrect. The revaluation of the broadcasting rights should be recognised in profit or loss, as it is the first-time revaluation decrement of the rights.

Answer B is incorrect. The revaluation of the television licence is to be recognised in other comprehensive income, as it is the first-time revaluation increment of the licence.

Answer C is correct. In accordance with HKAS 38, if an intangible asset's carrying amount is increased due to a revaluation, it is recognised in other comprehensive income unless it reverses a previous revaluation decrease, in which case it is recognised in profit or loss. In this case, the upward revaluation of the television licence is not the reversal of a previous downward revaluation because the licence is currently measured using the cost model. As such, it is the first time the licence has been revalued and the increment should be recognised in other comprehensive income.

HKAS
38.85

In accordance with HKAS 38, if an intangible asset's carrying amount is decreased due to a revaluation it is recognised in profit or loss unless it reverses a previous revaluation increase, in which case it is recognised in other comprehensive income. In this case, the downward revaluation of the broadcasting rights does not reverse a previous upward revaluation because the rights are currently measured using the cost model. As it is the first time the rights have been revalued, the decrement should be recognised in profit or loss.

HKAS
38.86

Answer D is incorrect. The revaluation of the television licence is to be recognised in other comprehensive income, as it is the first-time revaluation increment of the licence.

QUESTION 4**HKAS
38.63**

Answer A is incorrect. HKAS 38 explicitly prohibits a number of internally generated intangible assets from being recognised as assets, including internally generated mastheads.

Answer B is correct. Intangible assets acquired in a business combination, including goodwill, are to be recognised as intangible assets by the acquirer.

**HKAS
38.63**

Answer C is incorrect. HKAS 38 prohibits internally generated publishing titles from being recognised as an intangible asset.

**HKAS
38.63**

Answer D is incorrect. HKAS 38 prohibits internally generated customer lists from being recognised as an intangible asset.

10

Financial Assets, Financial Liabilities and Equity Instruments

CHAPTER TOPIC LIST

10.1 Characteristics of Financial Assets, Financial Liabilities and Equity Instruments

- 10.1.1** Financial Assets
- 10.1.2** Financial Liabilities
- 10.1.3** Equity Instruments

10.2 Recognition of Financial Assets and Financial Liabilities

- 10.2.1** Initial Recognition

10.3 Measurement of Financial Assets

- 10.3.1** Initial Measurement
- 10.3.2** Subsequent Measurement
- 10.3.3** Gains and Losses
- 10.3.4** Impairment: Expected Credit Loss Model

10.4 Measurement of Financial Liabilities

- 10.4.1** Initial Measurement
- 10.4.2** Subsequent Measurement
- 10.4.3** Gains and Losses

10.5 Derecognition of Financial Assets and Financial Liabilities

- 10.5.1** Derecognition of Financial Assets
- 10.5.2** Derecognition of Financial Liabilities

10.6 Presentation of Financial Instruments

- 10.6.1** Overview
- 10.6.2** Offsetting Financial Assets and Financial Liabilities



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.07: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to financial assets, financial liabilities and equity instruments

2.07.01 Define:

- financial asset
- financial liability
- equity instrument

2.07.02 Describe the classification principle of financial assets, financial liabilities and equity instruments

2.07.03 Account for financial assets and financial liabilities with simple structure on their initial recognition and subsequent measurement

2.07.04 Explain the accounting treatment for the derecognition of financial assets and financial liabilities

2.07.05 Explain the classification of a financial asset to an appropriate stage in the expected credit loss model

2.07.06 Explain the accounting treatment for the recognition of an expected credit loss for a financial asset

2.07.07 Describe the underlying accounting principles and rules for offsetting financial assets and financial liabilities



OPENING CASE

GREEN CLEAN CHEMICALS

Green Clean Chemicals (Green Clean) is a Hong Kong-based company that manufactures and distributes environmentally friendly industrial cleaning products. The company operates a large-scale state of the art manufacturing plant to produce and package a range of cleaning products that are free from harmful chemicals. Green Clean sources various cleaning agents and chemicals from many local suppliers for use in the manufacturing process. It distributes its products throughout Hong Kong and exports to a number of large international customers. Green Clean provides extended payment terms to its largest customers, which means pressure is often on the company's working capital.

The research division of Green Clean recently discovered a new innovative material that can be used for the packaging of its cleaning products. The material is safe to house the Green Clean's products and is fully biodegradable. Green Clean aims to roll out the new packaging as soon as possible; however, this will require significant upgrades to the existing packaging equipment at the manufacturing plant. Byron, Green Clean's Chief Financial Officer, is currently looking into options to raise the debt required to finance the required upgrades to the plant. 



OVERVIEW

Financial instruments are a core feature of almost every business. They are not just encountered by financial institutions like banks. The simplest financial instrument comes with delayed payment terms. When an entity agrees to exchange a good or service for a promise of future compensation, a financial instrument may be created in the form of a payable or receivable. For the counter party, a payable (which is also a type of financial instrument) will be created. For a long time, this type of transaction was often an entity's greatest exposure to financial instruments. Most financial instruments in Green Clean's financial statements will be these types of receivables and payables, that is, trade debtors and trade creditors.

In recent decades, however, more complicated financial instruments have become prevalent, even in otherwise simple businesses. These include financial instruments, such as derivatives and compound financial instruments and those which have been specifically tailored to meet an entity's particular business requirements. These more complex instruments are beyond the scope of the study material for this module.

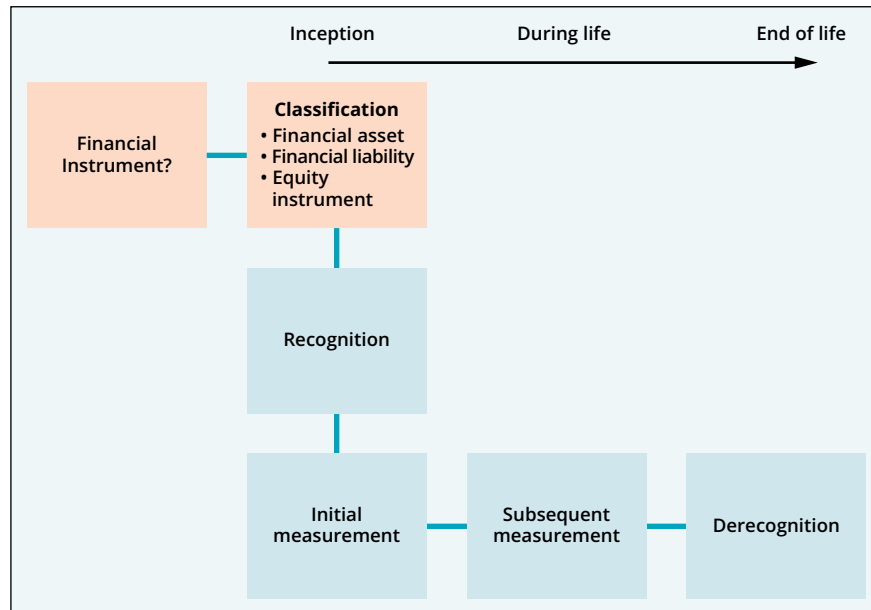
This chapter will introduce simple financial instruments and cover the fundamental principles of recognition, classification, measurement, presentation and derecognition. An understanding of the core concepts underpinning financial instruments is now expected from any accounting professional. Whereas, in the past, financial instruments were the focus of specialists such as treasury accountants, they now affect most accountants and finance professionals in one way or another. The basics of financial instruments are now part of the core knowledge required.



10.1 CHARACTERISTICS OF FINANCIAL ASSETS, FINANCIAL LIABILITIES AND EQUITY INSTRUMENTS

This chapter addresses the accounting for **financial instruments**. This section will discuss the definitions of financial assets, financial liabilities and equity instruments and will introduce the principles for classifying financial instruments into one of these categories.

Throughout this chapter, the following graphic (Exhibit 10.1) will be used to help illustrate where the content being covered fits into the broader topic of accounting for financial instruments. This graphic represents the typical life cycle of a financial instrument.



► EXHIBIT 10.1 Life cycle of a financial instrument

HKAS
32.11

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity. As can be seen from this definition, whether an item is a financial instrument will hinge on whether the contract creates a financial asset, financial liability or equity instrument for the parties to the transaction. The remainder of this section discusses each of these types of financial instruments in detail.

Financial instruments are primary instruments (which are the focus of this chapter) or derivative instruments. A primary instrument has value because of the cash flows it generates as a result of an exchange of value at contract commencement. Derivative instruments, as their name suggests, derive their value from another variable. A derivative will always refer to another asset, liability or event from which the value of the derivative instrument is derived. For example, Company A may enter into a contract which gives it the right, but not the obligation, to purchase 100 shares in Company B at HK\$25 per share. This type of contract is referred to as a call option. If the share price of Company B increases to HK\$30 per share, then the option will be 'in the money' for Company A with a value of at least HK\$500 $[(HK\$30 - HK\$25) \times 100]$. As can be seen from the above example, the value of the option contract is derived from another variable (i.e. the share price of Company B).

Though knowledge of derivative instruments is beyond the scope of the study material for this module, it is still useful to understand the concept explained above to be able to apply the definitions of primary financial instruments.

Key Learning Point

Financial instruments are agreements that give rise to a financial asset for one party and a financial liability or equity instrument for another party. If an agreement does not create this 'symmetry' between the parties, then it will not be a financial instrument.

10.1.1 Financial Assets

A **financial asset** is any asset that is:

1. cash;
2. an equity instrument of another entity;
3. a contractual right:
 - (a) to receive cash or another financial asset from another entity; or
 - (b) to exchange financial assets or financial liabilities with another entity under conditions that are potentially favourable to the entity; or
4. a contract that will or may be settled in the entity's own equity instruments and is a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments.

HKAS
32.11

The definition of a financial asset also includes a reference to derivatives that meet certain requirements. This aspect of the definition is beyond the scope of the study material for this module and has, therefore, been omitted.

Though financial assets clearly include items, such as cash and shares held in other entities, they also include trade receivable, loans receivable and certain contracts which will be settled by the entity receiving its own shares.

10.1.2 Financial Liabilities

A **financial liability** is any liability that is:

1. A contractual obligation:
 - (a) to deliver cash or another financial asset to another entity; or
 - (b) to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity; or
2. A contract that will or may be settled in the entity's own equity instruments and is a non-derivative financial instrument for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments.

HKAS
32.11

The definition of a financial liability also includes a reference to derivatives that meet certain requirements. This aspect of the definition is beyond the scope of the study material for this module and has, therefore, been omitted.

Financial liabilities include trade payable, loans, issued bonds and debentures and certain contracts that will be settled by the entity issuing its own shares.

10.1.3 Equity Instruments

An **equity instrument** is any contract that evidences a residual interest in the assets of an entity after deducting all its liabilities.

HKAS
32.11

HKAS 32 further clarifies that a financial instrument will only be an equity instrument rather than a financial liability when the following two conditions are met:

1. The instrument includes no contractual obligation to deliver cash or another financial asset to another entity or to exchange financial assets or financial liabilities with another entity under conditions that are potentially unfavourable to the entity.

2. If it is a non-derivative financial instrument that will or may be settled in the entity's own equity instruments, it includes no contractual obligation for the entity to deliver a variable number of its own equity instruments.

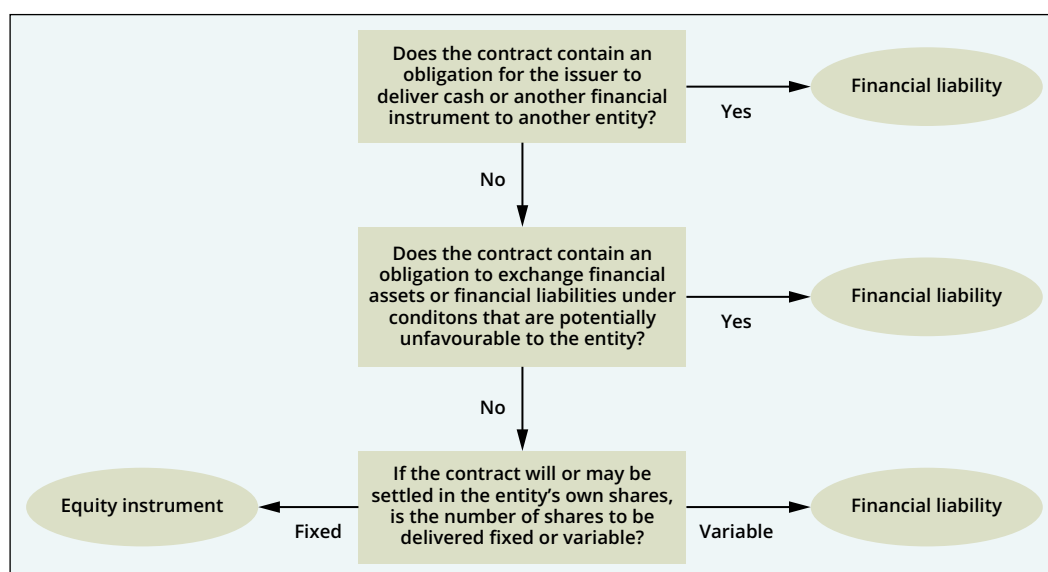
You will notice the obvious parallels between the conditions above and the definition of a financial liability. The intention of including these requirements for equity instruments is to ensure the financial instrument in question does not meet the definition of a financial liability before it is concluded it should be classified as an equity instrument.

One type of instrument referred to in the previous definition is a contract that will or may be settled in the entity's own equity instruments. From the issuer's perspective, the key factor in determining whether such an instrument would be classified as a financial liability or an equity instrument is whether the number of equity instruments to be delivered is fixed or variable. If the number is variable, the instrument will be classified as a financial liability. If the number of equity instruments to be delivered is fixed, then the instrument will be classified as an equity instrument.

This concept is best illustrated by means of a simple example. Suppose a contract requires the issuer to deliver a fixed number (e.g. 100) of its own ordinary shares in exchange for fixed consideration of say HK\$100. The instrument will be classified as an equity instrument in the issuer's financial statements. The holder of the instrument faces the same price risk as existing holders of ordinary shares. If prices go up, they will enjoy the benefit of the gain in value over what they pay. If the prices go down, they will lose.

On the other hand, if the contract required the issuer to deliver a variable number of its own ordinary shares to ensure that the holder will always receive HK\$100 worth of shares, that contract would be classified as a financial liability in the issuer's financial statements. In this scenario, the holder is not at risk like an equity holder. The holder will always get HK\$100 worth of shares by the issuance of more or fewer shares. There is no residual risk to the holder.

Exhibit 10.2 provides an overview of the decisions required when considering whether a simple financial instrument is a financial liability or an equity instrument.



► **EXHIBIT 10.2** Classifying financial instruments as financial liabilities or equity instruments

Apply and Analyse 1

Sunshine Investments Limited ('Sunshine') issued non-redeemable preference shares with a par value of HK\$100 each. The shares paid a dividend of 6% on their par value and the dividends were non-discretionary (i.e. the company did not have the ability to elect not to pay dividends on the shares).

Identify how Sunshine should classify the preference shares.

Analysis

Referring to Exhibit 10.2, the first step in classifying the preference shares is to determine whether Sunshine has a contractual obligation to deliver cash or another financial asset to the holders of the preference shares. In this case, Sunshine was required to pay dividends at 6% on the par value of the shares and did not have the ability to avoid making this payment by choosing not to pay a dividend. Therefore, Sunshine had a contractual obligation to deliver cash to the shareholders in the form of dividend payments, and the preference shares would be classified as financial liabilities.

► Knowledge Check Questions

Question 1

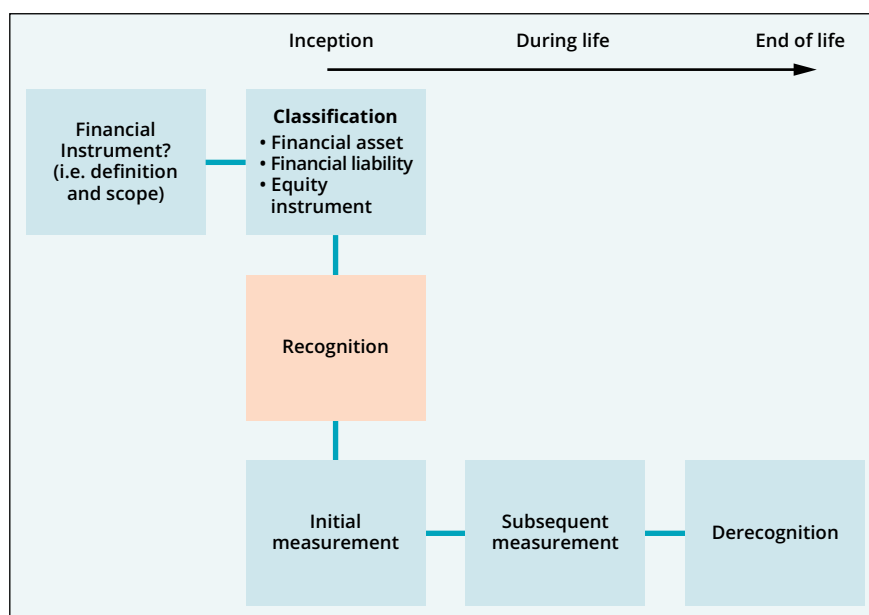
Extra Limited (Extra) entered into the following transactions during the year. Explain how these arrangements would be classified in the statement of financial position of Extra:

- Extra sold inventories to a customer on delayed payment terms. In terms of the agreement, the customer had to repay the amount owing within 30 days of the invoice date.
- Extra issued a preference share that had a stated dividend payment of 5%. The payment of dividends was discretionary and any unpaid dividends did not accumulate. On liquidation, the preference shares ranked equally with the ordinary shareholders of Extra (i.e. they were subordinate to the company's debts).

10.2 RECOGNITION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

To this point, we have been concerned with identifying and classifying financial assets, financial liabilities and equity instruments that stem from financial instruments. The next step is to recognise these elements in the financial statements (refer to Exhibit 10.3).

Recognition involves timing (when to recognise the financial instrument) and drives the fundamental issue of measurement (i.e. what basis of measurement to apply: cost or fair value). The measurement of financial assets is dealt with in Section 10.3, while the measurement of financial liabilities is discussed in Section 10.4.



► EXHIBIT 10.3 Life cycle of a financial instrument

10.2.1 Initial Recognition

HKFRS
9.3.1.1

An entity must recognise a financial asset or financial liability in its statement of financial position when it becomes party to the contractual provisions of the instrument. This is usually straightforward and often coincides with legal execution of the contract. As with other areas of accounting, one must be careful this is when the definitions discussed earlier are first met.

Apply and Analyse 2

On 1 November 20X8, Green Clean commenced discussions with a potential major new customer to supply a large quantity of cleaning products on a recurring basis. As of 31 December 20X8, negotiations were ongoing and the parties had yet to agree on the quantity and price of the products to be supplied. On 15 January 20X9, the parties reached agreement on the pertinent terms of the arrangement. In addition to payment for the on-going supply of cleaning products, Green Clean is also entitled to an upfront payment of HK\$1,000 which represents a new customer establishment fee. On 5 February 20X9, a final version of the supply contract was prepared, and on 10 February 20X9, both parties signed the contract.

Explain when Green Clean will recognise a financial asset based on the fact pattern above.

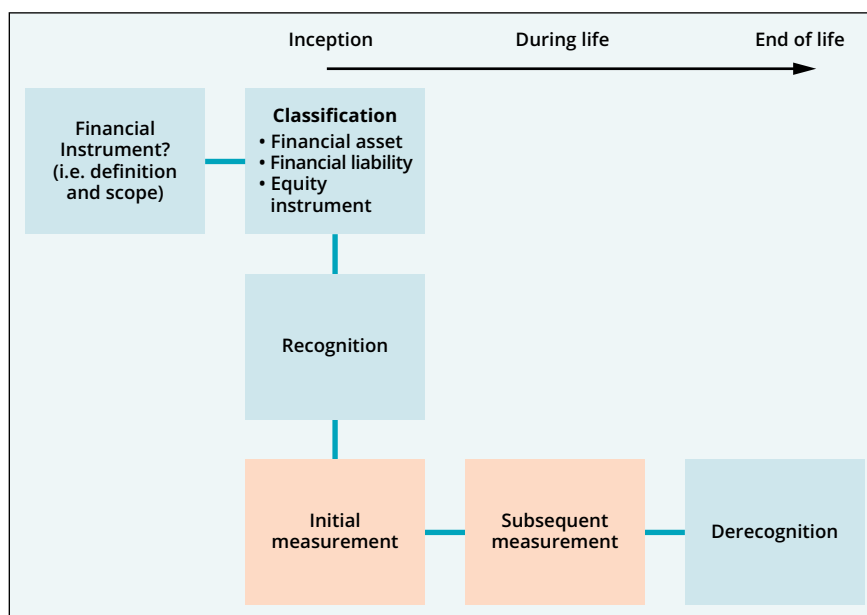
Analysis

Green Clean will recognise any financial asset that arises from the arrangement once it becomes a party to the contractual provisions of the agreement. This will be on 10 February 20X9 once the contract has been duly executed (i.e. signed by both parties). On this date Green Clean will recognise a financial asset of HK\$1,000 in respect of the new customer establishment fee.

10.3 MEASUREMENT OF FINANCIAL ASSETS

Once an entity has classified a financial instrument as a financial asset and recognised it in the financial statements, the entity must measure it initially and subsequently.

As shown in Exhibit 10.4, this section discusses the initial and subsequent measurement of financial assets, including the associated impairment requirements.



► EXHIBIT 10.4 Life cycle of a financial instrument

10.3.1 Initial Measurement

Financial assets are measured at fair value on initial recognition. For financial assets that will be subsequently measured at amortised cost (refer to Section 10.3.2.1) or fair value through other comprehensive income (OCI) (refer to Section 10.3.2.2), the initial measurement will include **transaction costs** directly attributable to the acquisition of the financial asset. For financial assets subsequently measured at fair value through profit or loss (refer to Section 10.3.2.3), the initial measurement will exclude transaction costs.

Transaction costs are the incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset (or financial liability). An incremental cost is one that would not have been incurred if the entity had not acquired, issued or disposed of the financial instrument.

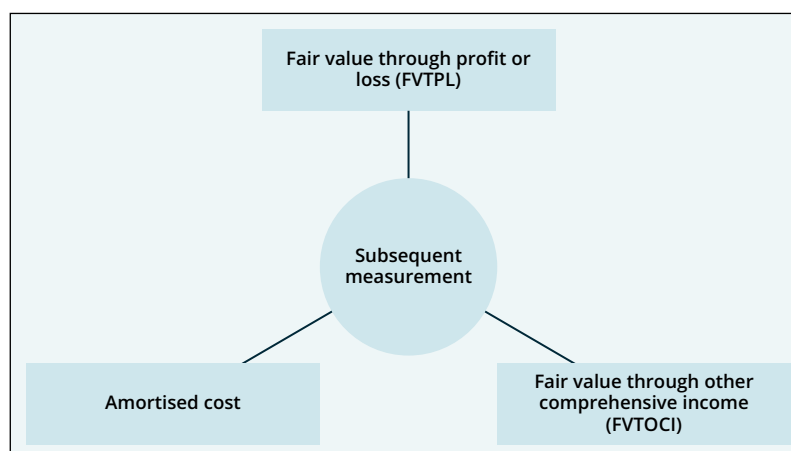
10.3.2 Subsequent Measurement

The subsequent measurement of financial assets is determined on the basis of both:

- the entity's business model for managing the financial assets; and
- the contractual cash flow characteristics of the financial asset.

This approach is intended to provide users of the financial statements with useful information that enables them to understand how various financial assets are used within the entity's operations.

There are three classifications of subsequent measurement for financial assets under HKFRS 9, which are dependent on the above two considerations. Exhibit 10.5 highlights the three subsequent measurement classifications.



► **EXHIBIT 10.5** Subsequent measurement classifications for financial assets

The entity's business model can be any one of the following three:

- *Hold to collect* – under this model, the entity is primarily holding the asset to collect the contractual cash flows. However, the entity does not need to hold all the assets until maturity, and there may be infrequent or insignificant sales of assets within this business model. For example, such sales may occur to manage **credit risk** or as a result of unanticipated funding needs. Essentially, the sales must be incidental to the overall business model.

For example, Green Clean may hold a portfolio of financial assets to collect its contractual cash flows. The funding needs of Green Clean are predictable, and the maturity of the assets is matched to these estimated funding needs. Green Clean may sell some of the assets if their credit risk increases such that they no longer meet the company's documented investment policy. Green Clean concludes that its objective is to hold the assets to collect contractual cash flows. Sales as a result of increases to credit risk or to meet unexpected funding requirements would not contradict this objective.

- *Hold to collect and sell* – Similar to the hold to collect model, the entity achieves its objectives through collecting contractual cash flows. However, assets under this business model may also be sold to achieve the entity's objectives. Such sales will occur more frequently than in a hold to collect model and will not be incidental to the model but instead be integral to it.

For example, Green Clean may anticipate it will incur capital expenditure in a few years. The company may invest its excess cash in short-term and long-term financial assets so it can fund the capital expenditure when the need arises. Many of the financial assets that Green Clean invests in have maturities that exceed the anticipated investment period (i.e. Green Clean will sell a significant portion of these assets before their contractual maturity). Green Clean makes decisions on an ongoing basis about whether to continue to hold the assets to collect the contractual cash flows or to sell the assets and reinvest the cash in other assets with a higher return.

HKFRS
9.B4.1.1–B4.1.6

- *Not held to collect* – In this business model, the entity does not manage the asset in a business model that considers contractual cash flows at all, and the primary consideration is realisation through sale. Here, the collection of contractual cash flows is incidental to the overall business model.

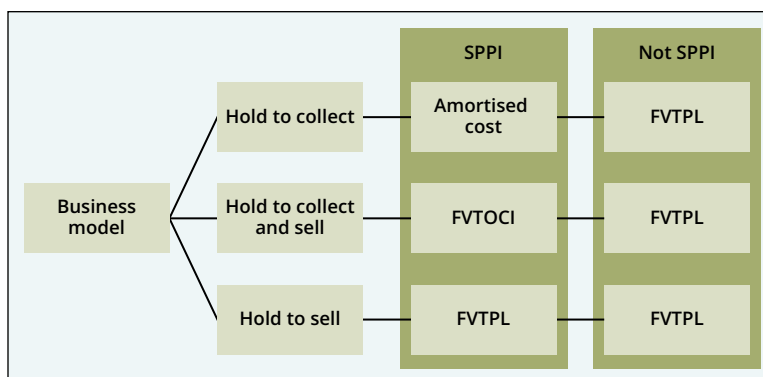
For example, Green Clean may invest in a portfolio of financial assets with the objective of realising cash flows through the sale of the assets. Green Clean makes decisions based on the assets' fair values and manages the assets to realise those fair values. In this case, Green Clean's objective will likely result in active buying and selling of the assets. Even though Green Clean will collect contractual cash flows while it is holding the assets, the collection of cash flows is not integral to achieving the business model's objective.

The business model must be considered in conjunction with the cash flow characteristics of the financial asset. Cash flows need to represent *solely payments of principal and interest* (SPPI) on the principal amount outstanding to potentially be classified as anything other than subsequently measured at fair value through profit or loss (FVTPL).

HKFRS
9.B4.1.7A

HKFRS 9 states that SPPI cash flows are consistent with a basic lending arrangement. In a basic lending arrangement, time value of money and credit risk are the most significant elements of the interest rate charged.

Exhibit 10.6 illustrates how the entity's business model and the characteristics of the asset's cash flows determine which classification must be used.



► **EXHIBIT 10.6** Effect of business model and cash flows on subsequent measurement

Exhibit 10.6 illustrates the relationship between the entity's business model for managing a class of assets and the cash flow characteristics of the asset being classified. For example, if an asset is managed in a hold to collect business model and meets the SPPI test, it will be subsequently measured at amortised cost. If the cash flow characteristics of the asset do not meet the SPPI test, then the asset must be measured at fair value through profit or loss regardless of the business model applicable to that asset.

Key Learning Point

The subsequent measurement of financial assets will be determined with reference to the entity's business model for managing the asset and to the contractual cash flow characteristics of the asset.

Illustrative Example 1

Green Clean purchased a portfolio of U.S. Treasury Bonds. Green Clean held these instruments for the purpose of collecting cash flows to ensure there was a regular inflow of cash for use in the business. The instruments paid periodic fixed interest payments and repaid the principal amount invested at their maturity. Green Clean concluded the instruments were held within a business model that had the objective of collecting contractual cash flows and that the cash flows on the instruments were solely payments of principal and interest. Based on these facts (and following Exhibit 10.6) Green Clean classified the instrument as a financial asset measured at amortised cost.

10.3.2.1 Amortised Cost and the Effective Interest Method

A financial asset will be measured at amortised cost if both of the following conditions are met:

- the financial asset is held within a business model whose objective is to hold financial assets in order to collect contractual cash flows, and
- the contractual terms of the financial asset give rise on specific dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

HKFRS
9.4.1.2

Financial assets subsequently measured at amortised cost are measured using the **effective interest method**. The effective interest method relies on the **effective interest rate**, which exactly discounts the estimated future cash flows over the expected life of the financial asset back to the gross carrying amount of the financial asset.

HKFRS
9.App A

When calculating the effective interest rate, an entity must account for any transaction costs, premiums or discounts paid to purchase the financial asset. The effective interest rate is adjusted for these items, which results in these costs being amortised over the life of the instrument as opposed to being recognised in profit or loss on initial recognition.

The above explanation of the effective interest rate is an important concept to understand. The effective interest rate of a financial asset will usually differ from the contractual interest rate. One way to think of these two different rates is that the contractual interest rate determines the cash flows to be received from the asset, and the effective interest rate determines the amount of interest revenue to be recognised in profit or loss. This concept applies equally to financial liabilities although, in this case, it will be cash flows paid and interest expense.

Apply and Analyse 3

Interstar Limited (Interstar) purchased 3-year Hong Kong government bonds with a face value of HK\$2,000,000 but only paid HK\$1,950,000. The bonds paid a fixed annual coupon of 2.5% and Interstar paid HK\$30,000 in directly attributable incremental transaction costs in the form of brokerage fees to acquire the bonds.

Assume the bonds will be subsequently measured at amortised cost. Calculate the initial carrying amount of the bonds and the effective interest rate that will apply.

Apply and Analyse 3 (continued)

Analysis

The first step Interstar had to complete was to determine the initial carrying amount of the bonds, which was their face value, adjusted for any premiums, discounts and any transaction costs.

Calculating the initial carrying amount of the bond gives

	HK\$
Face value	2,000,000
Less:	
Discount	(50,000)
Brokerage costs	30,000
Carrying amount	1,980,000

Next, Interstar had to determine the cash flows arising on the financial asset over their expected life, which in this case is three years. These cash flows are illustrated in the table below.

Cash flows arising from the bond are

Year	1	2	3	Total
	HK\$	HK\$	HK\$	HK\$
Interest (at coupon rate of 2.5%)	50,000	50,000	50,000	150,000
Principal	–	–	2,000,000	2,000,000
Total	50,000	50,000	2,050,000	2,150,000

The interest rate used for purposes of determining the interest cash flows arising from the bond was the coupon rate of 2.5%, i.e. the contractual rate at which interest was paid over the life of the bond. This differs from the effective interest rate (refer below).

Over the life of the instrument, Interstar expected to receive HK\$2,150,000 on an undiscounted basis. To determine the effective interest rate (EIR) of the instrument Interstar had to solve for the discount rate to apply to each cash flow that would discount those cash flows to the initial carrying amount of the instrument of HK\$1,980,000. This operation is illustrated with the present value formula shown below.

Calculating EIR

$$1,980,000 = \left[\frac{50,000}{1 + RATE} \right] + \left[\frac{50,000}{(1 + RATE)^2} \right] + \left[\frac{2,050,000}{(1 + RATE)^3} \right]$$

Unfortunately, the rate cannot be solved without the use of trial and error, software or a financial calculator. Using software (e.g. the IRR function in Microsoft Excel), Interstar would determine that the effective interest rate was 2.853%.

The interest rate that was used to discount the future cash flows of the bond was the effective interest rate of 2.853%. This differed from the contractual interest rate of 2.5% as a result of the discount to the face value of the bond and the brokerage costs incurred, both of which were taken into account in the initial measurement of the bond.

Illustrative Example 2

Green Clean's Financial Controller purchased HK\$8,000,000 worth of bonds at par value. The bonds had a stated 4% interest rate and interest was paid annually. The bonds matured in three years' time. Brokerage costs incurred were HK\$125,000.

The table below shows the cash flows associated with the bonds. A negative number represented a cash outflow, and positive numbers were cash inflows. Interest is shown at the contractual amount receivable, which was 4% of the face value of the bonds.

Cash flows arising from the bond are:

Year	0	1	2	3
	HK\$	HK\$	HK\$	HK\$
Principal	(8,125,000)	–	–	8,000,000
Interest (at coupon rate of 4%)	–	320,000	320,000	320,000
Total	(8,125,000)	320,000	320,000	8,320,000

Utilising the Microsoft Excel IRR function returns an effective interest rate of 3.4429%. A financial calculator can determine this rate. However, an effective interest rate can only be determined manually through trial and error.

The following table summarises the amortisation schedule for the bonds:

Year	Opening amortised cost	Effective interest method (EIM) interest	Contractual interest	Difference between EIM interest and contractual interest	Closing amortised cost
	A	B = A × EIR	C	D = C – B	E = A – C
	HK\$	HK\$	HK\$	HK\$	HK\$
0	–	–	–	–	8,125,000
1	8,125,000	279,736	320,000	40,264	8,084,736
2	8,084,736	278,349	320,000	41,651	8,043,085
3	8,043,085	276,915	320,000	43,085	8,000,000
Total		835,000	960,000	125,000	

The table above illustrates the interest revenue Green Clean recorded in each year it held the bond in comparison to the contractual interest it received in cash from the counterparty. In total, the interest revenue recognised under the effective interest method was HK\$125,000 less than the contractual interest received. This difference represents the amortisation of the brokerage cost incurred when Green Clean acquired the bonds.

In year three, Green Clean received the principal amount of HK\$8,000,000 when the bonds matured. Throughout the life of these bonds, Green Clean recorded the following journal entries.

Illustrative Example 2 (continued)

Upon purchase

	Debit	Credit
	HK\$	HK\$
Investment in bonds	8,125,000	
Cash		8,125,000
(Initial recognition of bonds plus transaction cost)		

At the end of year 1

	Debit	Credit
	HK\$	HK\$
Cash	320,000	
Investment in bonds		40,264
Interest revenue		279,736
(Year 1 interest revenue and amortisation of transaction cost)		

At the end of year 2

	Debit	Credit
	HK\$	HK\$
Cash	320,000	
Investment in bonds		41,651
Interest revenue		278,349
(Year 2 interest revenue and amortisation of transaction cost)		

At the end of year 3

	Debit	Credit
	HK\$	HK\$
Cash	320,000	
Investment in bonds		43,085
Interest revenue		276,915
(Year 3 interest revenue and amortisation of transaction cost)		
Cash	8,000,000	
Investment in bonds		8,000,000
(Year 3 maturity of bonds)		

10.3.2.2 Fair Value through Other Comprehensive Income

A financial asset will be measured at fair value through other comprehensive income (OCI) if the following two conditions are met:

1. The financial asset is held within a business model whose objective is achieved by collecting contractual cash flows and selling financial assets.
2. The contractual terms of the financial asset give rise on specific dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

HKFRS
9.4.1.2A

When a financial asset is measured at fair value through OCI, an entity must calculate interest revenue using the effective interest method, but the carrying amount of the financial asset will be based on its fair value. In practice, this means an entity must recognise interest revenue on the basis of an amortised cost measurement and then make an adjustment for fair value movements to arrive at a carrying amount that reflects the fair value of the financial asset (see Illustrative Example 3).

In addition, an entity may make an irrevocable election at initial recognition for investments in equity instruments that would otherwise be measured at fair value through profit or loss to present subsequent changes in fair value in OCI. This election can only be made if the equity instruments will not be held for trading purposes. If this election is made, then all fair value movements will be recognised through OCI, but any dividends received on the equity instrument will still be recognised in profit or loss. Refer to the Illustrative Example 4 for an illustration of the application of this election to measure an equity instrument at fair value through OCI.

HKFRS
9.4.1.4

HKFRS
9.5.7.5

HKFRS
9.5.7.1A

Illustrative Example 3

Assume the same facts as Illustrative Example 2 except that the bonds are classified as at fair value through OCI because Green Clean could sell the bonds before their maturity to meet the business's cash flow requirements. The fair value of the bonds is as shown below at the end of the indicated year.

Fair value of bonds

Year 1	Year 2	Year 3
HK\$	HK\$	HK\$
7,900,000	8,050,000	8,000,000

The table below repeats the interest revenue and cash receipts information from the previous example but includes the fair value adjustment necessary to report the closing balance of the bonds at the fair values quoted here. The table below presents values according to their effect on the carrying amount of the financial asset, i.e. a positive number represents an increase to the carrying amount of the bonds and a negative number represents a decrease to the carrying amount of the bonds.

Illustrative Example 3 (continued)

Amortisation schedule of bonds

Year	Opening balance	EIM interest revenue	Contractual interest	Balance before fair value change	Fair value adjustment	Closing balance
	HK\$	HK\$	HK\$	HK\$	HK\$	HK\$
1	8,125,000	279,736	(320,000)	8,084,736	(184,736)	7,900,000
2	7,900,000	278,349	(320,000)	7,858,349	191,651	8,050,000
3	8,050,000	276,915	(320,000)	8,006,915	(6,915)	8,000,000

Although the opening balance in the above table reflects the fair value of the bonds, the interest revenue recognised under the effective interest method remains unchanged (i.e. is still calculated with reference to the amortised cost of the bonds).

Green Clean would record the following journal entries to record the above information.

Upon purchase

	Debit	Credit
	HK\$	HK\$
Investment in bonds	8,125,000	
Cash		8,125,000
(Initial recognition of bonds plus transaction cost)		

At the end of year 1

	Debit	Credit
	HK\$	HK\$
Cash	320,000	
Investment in bonds		40,264
Interest revenue		279,736
(Year 1 interest revenue and amortisation of transaction cost)		
Fair value movement (OCI)	184,736	
Investment in bonds		184,736
(Year 1 fair value adjustment)		

Illustrative Example 3 (continued)

At the end of year 2

	Debit	Credit
	HK\$	HK\$
Cash	320,000	
Investment in bonds		41,651
Interest revenue		278,349
(Year 2 interest revenue and amortisation of transaction cost)		
Investment in bonds	191,651	
Fair value movement (OCI)		191,651
(Year 2 fair value adjustment)		

At the end of year 3

	Debit	Credit
	HK\$	HK\$
Cash	320,000	
Investment in bonds		43,085
Interest revenue		276,915
(Year 3 interest revenue and amortisation of transaction cost)		
Fair value movement (OCI)	6,915	
Investment in bonds		6,915
(Year 3 fair value adjustment)		
Cash	8,000,000	
Investment in bonds		8,000,000
(Year 3 maturity of bonds)		

10.3.2.3 Fair Value through Profit or LossHKFRS
9.4.1.4

A financial asset must be measured at fair value through profit or loss unless it is measured at amortised cost or at fair value through OCI.

As can be seen from the above, fair value through profit or loss is the 'fall back' measurement classification that captures all financial assets that do not fall within another classification. The key difference from the other measurement classifications is that the effective interest rate is not used to calculate interest revenue, and transaction costs are recognised in profit or loss on initial recognition. All subsequent movements in the fair value of the financial asset are also recognised in profit or loss.

Illustrative Example 4

The Financial Controller of Green Clean wanted to diversify the company's current investment portfolio and decided to acquire 5,000 ordinary shares in Fresh Air Limited (Fresh Air). The shares were acquired on 16 September 20X8 for a total consideration of HK\$57,000, which included brokerage costs of HK\$2,000. Green Clean did not intend to actively trade in the shares of Fresh Air. At year end on 30 June 20X9, the shares of Fresh Air were trading at HK\$13 per share.

The shares would be classified as measured at fair value through profit or loss because they did not meet the contractual cash flow characteristics for either of the other measurement categories (i.e. the cash flows to be received in respect of the shares did not represent solely payments of principal and interest).

The shares would initially be measured at fair value of HK\$55,000 (i.e. excluding transaction costs). Subsequently, the shares would be measured at fair value with changes in fair value recognised in profit or loss.

The following journal entries would be made for the year ended 30 June 20X9:

Upon purchase

	Debit	Credit
	HK\$	HK\$
Investment in shares	55,000	
Transaction costs (profit or loss)	2,000	
Cash		57,000
(Initial recognition of shares at fair value and expensing of transaction costs)		

At year end

	Debit	Credit
	HK\$	HK\$
Investment in shares	10,000	
Fair value gain (profit or loss)		10,000
(Recognition of movement in fair value of shares through profit or loss [(5,000 × HK\$13) – HK\$55,000])		

Assume instead that Green Clean elected on initial recognition to measure the shares at fair value through OCI. Such an election was available to Green Clean as the shares represent equity instruments which were not held for trading (Green Clean did not intend to actively trade in the shares). The shares would initially be measured at fair value, plus transaction costs (i.e. HK\$57,000). Subsequently, the shares would be measured at fair value, with changes in fair value recognised in other comprehensive income.

Illustrative Example 4 (continued)

The following journal entries would be made for the year ended 30 June 20X9:

Upon purchase

	Debit	Credit
	HK\$	HK\$
Investment in shares	57,000	
Cash		57,000
(Initial recognition of shares at fair value plus transaction costs)		

At year end

	Debit	Credit
	HK\$	HK\$
Investment in shares	8,000	
Fair value gain (OCI)		8,000
(Recognition of movement in fair value of shares through other comprehensive income [(5,000 × HK\$13) – HK\$57,000])		

10.3.3 Gains and Losses

Gains and losses on financial assets arise from multiple sources, such as market movements and other factors affecting parties to the contract. The treatment of these gains and losses depends on which measurement classification the financial asset belongs to.

Exhibit 10.7 summarises the requirements of HKFRS 9 as they relate to gains and losses on financial assets.

Measurement classification	Recognition of gains or losses
Financial assets subsequently measured at amortised cost	Recognised in profit or loss when the financial asset is derecognised through the effective interest method or as part of an impairment gain or loss (see discussion under Section 10.3.4).
Financial assets subsequently measured at fair value through OCI	For debt instruments, generally, through OCI, except for impairment gains and losses which are recognised in profit or loss. Equity instruments designated as measured at fair value through OCI have all gains and losses recognised in OCI. Dividends on equity instruments are recognised in profit or loss.
Financial assets subsequently measured at fair value through profit or loss	All gains or losses are recognised in profit or loss.

HKFRS
9.5.7.2

HKFRS
9.5.7.10

HKFRS
9.B5.7.3

HKFRS
9.5.7.1A

HKFRS
9.5.7.1

► **EXHIBIT 10.7 Summary of requirements to recognise gains and losses on financial assets**

Before moving onto the impairment of financial assets and the expected credit loss model, let's recap with a summary of the three different measurement categories for financial assets:

1. Financial assets subsequently measured at amortised cost are measured using the effective interest method. This means interest revenue and the carrying amount of the financial asset are dependent on the effective interest rate. Refer to Section 10.3.2.1.
2. This contrasts with assets measured at fair value through OCI where only the interest revenue on the instrument is calculated using the effective interest method and the carrying amount is based on fair value. Refer to Section 10.3.2.2.
3. Assets measured at fair value through profit or loss are not affected at all by the effective interest method; even interest earned on those assets is captured purely in their fair value movements, which are presented in profit or loss. Refer to Section 10.3.2.3.

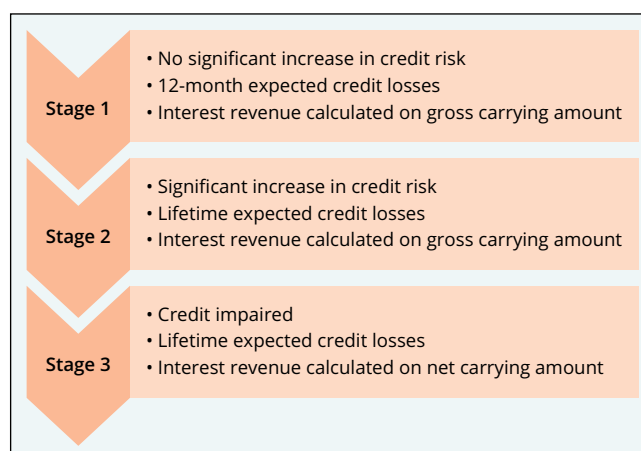
10.3.4 Impairment: Expected Credit Loss Model

HKFRS 9 requires an entity to recognise an expected credit loss provision (sometimes referred to as an allowance for credit impairment or, simply, a loss allowance) on all financial assets measured at amortised cost or at fair value through OCI. As an exception, equity instruments that have been designated as measured at fair value through OCI (refer to Section 10.3.2.2) are not subject to the impairment requirements of HKFRS 9.

HKFRS 9 defines the term '**credit loss**' as 'the difference between all contractual cash flows due to an entity in accordance with the contract and all the cash flows the entity expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate.'

The general approach to expected credit loss impairment follows a three-stage approach. The stage a financial asset belongs to is dependent on its credit risk at the reporting date compared to its credit risk at initial recognition. Credit risk is the risk that one party to a financial instrument will cause a financial loss to another party. For example, a highly leveraged entity will have a higher credit risk than an entity that is not leveraged at all.

Exhibit 10.8 illustrates the three-stage model and the key features of each stage. As a financial asset migrates through the three stages, the loss provision held against the asset is adjusted.



► **EXHIBIT 10.8** Summary of the three-stage impairment model

Exhibit 10.8 and the discussion that follows in this section require an understanding of the following concepts:

HKFRS
9.App A

Expected credit losses are the weighted average of credit losses with the respective risks of a default occurring as the weights.

HKFRS
9.App A

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of a financial instrument.

HKFRS
9.App A

12-month expected credit losses are the portion of lifetime expected credit losses that represent the expected credit losses resulting from default events on a financial instrument possible within the 12 months after the reporting date.

HKFRS
9.App A

Gross carrying amount is the amortised cost of a financial asset before adjusting for any loss allowance.

Net carrying amount is the **gross carrying amount of a financial asset** less the loss allowance in respect of that asset.

10.3.4.1 Stage One

A financial asset that has not experienced a significant increase in credit risk since initial recognition will belong to Stage 1 of the general impairment model. Generally, this means, that when an asset is first recognised, that financial asset will begin in Stage 1. In this stage of the expected credit loss model, the entity measures the loss allowance at an amount equal to 12-month expected credit losses.

HKFRS
9.5.5.5

10.3.4.2 Stage Two

If, after initial recognition, the financial asset experiences a significant increase in credit risk, the financial asset will migrate to Stage 2 of the expected credit loss model.

HKFRS
9.5.5.3

Some factors that may indicate a significant increase in credit risk include:

- an actual or expected significant change in the financial instrument's external credit rating;
- an actual or expected significant change in the operating results of the borrower, such as a reduction in revenue or margins, increased operating costs or increased leverage; and
- significant increases in credit risk on other financial instruments of the same borrower.

HKFRS
9.B5.5.17

Furthermore, there is a rebuttable presumption that, when a financial asset becomes more than 30 days past due, a significant increase in credit risk has occurred.

HKFRS
9.5.5.11

In Stage 2, the entity measures the loss allowance at an amount equal to the lifetime expected credit losses.

10.3.4.3 Stage Three

When one or more events occur that have a detrimental impact on the cash flows of the financial asset (such as a breach of contract or the borrower becomes bankrupt), the asset becomes **credit impaired** and it enters Stage 3 of the expected credit loss model.

In Stage 3, the amount of interest revenue recognised on the asset is measured with reference to the net carrying amount of the asset; in other words, the gross carrying amount less the loss allowance in respect of that asset.

HKFRS
9.5.4.1(b)

Key Learning Point

Stage 3 of the expected credit loss model is unique from the earlier stages in the model in terms of the basis on which interest revenue is calculated. Interest revenue is calculated with reference to the net carrying amount of the asset in Stage 3, whereas it is calculated with reference to the gross carrying amount of the asset in Stages 1 and 2.

10.3.4.4 Recognition of Expected Credit Losses

An entity must recognise an impairment loss (or gain) in profit or loss for the amount of the expected credit losses (or reversal) required to adjust the loss allowance to the amount required to be recognised at the reporting date.

HKFRS
9.5.5.8

The corresponding adjustment to the statement of financial position is reflected in:

HKFRS
9.5.5.1

- a loss allowance for financial assets measured at amortised cost; and

HKFRS
9.5.5.2

- equity for financial assets measured at fair value through OCI.

The simplified approach is beyond the scope of the study material for this module and has, therefore, been omitted.

Apply and Analyse 4

Green Clean recently introduced a new financing arrangement for its largest customers. Under the arrangement, the customer was able to make a large, one-off purchase under a 3-year loan facility which required fixed principal and interest payments on a monthly basis. This option was useful for customers that wanted to order enough cleaning supplies to meet their usage requirements for the next few years but that did not have the cash flow to purchase all of these products upfront. Green Clean only provided this facility to customers who had a long history with the company, excellent credit ratings and who had passed external credit checks.

One such customer decided to finance the acquisition of a HK\$100,000 order of cleaning products. On initial recognition, Green Clean estimated the lifetime expected credit losses on the loan facility to be HK\$10,000. Of that amount, HK\$2,000 related to expected credit loss events that could occur in the next 12 months.

In year 2, the customer informed Green Clean it had to significantly reduce the profit margins on its own products due to an increase in competition in the industry. This reduced the customer's profitability and cash flow, and as a result, repayments to Green Clean became increasingly late. At this point, Green Clean re-estimated the lifetime expected credit losses to be HK\$14,000. Later that year, the customer informed Green Clean it was experiencing significant financial difficulties and that it would be unable to repay the facility to Green Clean in full on time. Instead, the customer was only able to pay HK\$35,000 of the HK\$65,000 outstanding.

Explain in which stage of the expected credit loss model the loan is categorised at initial recognition, at the first communication from the customer and at the final communication. Also explain what amount should be recognised for the expected credit loss provision at each point and the corresponding effect on profit or loss.



Apply and Analyse 4 (continued)

Analysis

The loan facility provided to customers would be classified as a financial asset measured at amortised cost because the payments on the facility would represent solely payments of principal and interest, and Green Clean's objective would be to hold the assets to collect the contractual cash flows. Therefore, Green Clean was required to recognise an allowance for expected credit losses in respect of this asset. On initial recognition, Green Clean categorised the loan into Stage 1 of the expected credit loss impairment model. Though the lifetime expected credit losses are estimated at HK\$10,000 on initial recognition, Green Clean only recognised a provision for HK\$2,000 because the loss allowance should have been measured at an amount equal to 12-month expected credit losses. This provision was raised via a loss recognised in profit or loss.

Green Clean noticed that payments from the customer had been coming later than due in recent months and when the customer first informed Green Clean it was having cash flow difficulties, Green Clean determined this represented a significant increase in credit risk. Factors in this decision included the customer indicating it was experiencing a reduction in profit margins as a result of increased competition and, therefore, was making late repayments. Accordingly, Green Clean transferred the loan to Stage 2 of the expected credit loss model. At this stage, Green Clean still anticipated collecting the entire loan amount outstanding and, therefore, did not consider a credit impairment event had occurred. In Stage 2, Green Clean increased the provision to lifetime expected credit losses at the re-estimated amount of HK\$14,000. Thus, the provision was increased with a HK\$12,000 loss recognised in profit or loss.

The final communication from the customer indicated that Green Clean would only recover HK\$35,000 of the outstanding HK\$65,000. This notification signalled a significant detrimental impact to the cash flows Green Clean was expecting to receive. Accordingly, the loan was transferred into Stage 3 of the expected credit loss model. At this stage, the loss on the loan was expected to be HK\$30,000, being the difference between the balance outstanding and the amount the customer was able to repay. Accordingly, the expected credit loss provision needed to be increased from HK\$14,000 to HK\$30,000, requiring a loss of HK\$16,000 to be recognised in profit or loss.

► Knowledge Check Questions

Question 2

List the subsequent measurement classifications available for financial assets.

Question 3

Splash Limited (Splash) acquired bonds for an amount of HK\$950,000 on 1 April 20X8. Splash paid a brokerage fee of HK\$19,800 to acquire the bonds. The bonds had a face

value of HK\$1,000,000, paid 4% interest annually at the end of each year and matured in three years' time. Splash would hold the bonds for the purposes of collecting contractual cashflows and had, therefore, classified the bonds as measured at amortised cost. Splash had a year-end on 31 March.

Calculate the amount at which Splash would initially measure the bonds on 1 April 20X8.

- A** HK\$950,000
- B** HK\$1,000,000
- C** HK\$930,200
- D** HK\$969,800

Question 4

Assume the same information as described in Question 3.

Set out the equation that Splash would use to calculate the effective interest rate of the bonds.

Question 5

Using the same information from Question 3, prepare the journal entries to account for the bonds in the financial statements of Splash for the year ended 31 March 20X9. The effective interest rate to be used for the bonds is 5.1113%.

Question 6

Dynamo Limited (Dynamo) acquired a portfolio of listed ordinary shares. The shares would be held within a business model whose objective is to collect cash flows (dividend payments) and to actively trade in the shares. Outline how the shares should be subsequently measured in the financial records of Dynamo.

Question 7

During the 20X8 financial year, Sugar Limited (Sugar) acquired bonds issued by Spice Limited (Spice). The bonds were measured at amortised cost in the financial statements of Sugar. At initial recognition, Sugar determined the 12-month expected credit losses in respect of the bonds amounted to HK\$5,000 and the lifetime expected credit losses amounted to HK\$15,000. During the 20X9 financial year, Spice had its external credit rating downgraded. Following the rating downgrade, the lifetime expected credit losses were calculated by Sugar as HK\$25,000.

Explain which stage of the expected credit loss model the bonds would be classified within by Sugar for the financial year ended 20X9.

Question 8

Using the same information as provided for Question 7, outline the impact to Sugar's profit or loss for the financial year ended 20X9.

10.4 MEASUREMENT OF FINANCIAL LIABILITIES

This section is still discussing measurement but now turns its attention to financial liabilities. Financial liabilities represent an entity's obligations to deliver cash or another financial asset to another entity. This includes exchanging financial assets and financial liabilities in a manner potentially unfavourable to the entity. (Refer to Exhibit 10.4 for illustration of these concepts.)

Financial liabilities are merely the opposite of financial assets. Therefore, it follows that the measurement requirements in HKFRS 9 are similar, but without the requirements to consider the nature of the cash flows arising from the liability and the entity's intentions for holding the financial liability.

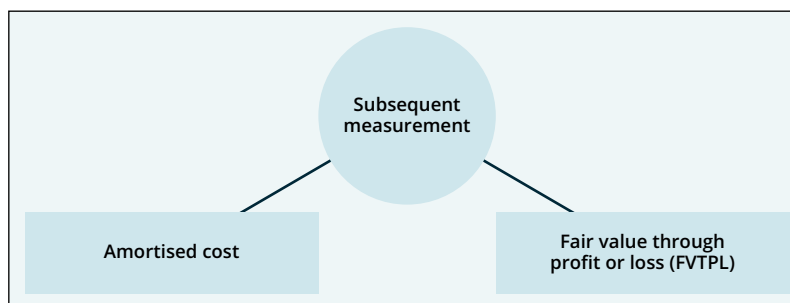
10.4.1 Initial Measurement

Similar to financial assets, financial liabilities are initially measured at fair value. If the financial liability is to be subsequently measured at amortised cost, the initial measurement will include directly attributable transaction costs paid or received.

HKFRS
9.5.1.1

10.4.2 Subsequent Measurement

There are two classifications of subsequent measurement for financial liabilities under HKFRS 9, which are highlighted in Exhibit 10.9.



► **EXHIBIT 10.9** Subsequent measurement classifications for financial liabilities

A financial liability is subsequently measured at amortised cost unless it falls within one of the exceptions provided below:

- financial liabilities designated as measured at fair value through profit or loss on initial recognition;
- financial liabilities that arise when a transfer of a financial asset does not qualify for derecognition (see Section 10.5.1.2);
- a derivative;^a
- financial guarantee contracts; and^a

- commitments to provide a loan at a below-market interest rate^a
- contingent consideration within the scope of HKFRS 3 *Business Combinations*^a

^aThese topics are not within the scope of the study material for this module but are included here for completeness.

Amortised cost measurement for financial liabilities is identical to financial assets (see Section 10.3.2.1). The only difference is that the cash flows of the instrument are paid instead of received, and interest expense is recognised through profit or loss instead of interest revenue.

Illustrative Example 5

To finance the required upgrades to its manufacturing plant, Green Clean agreed to borrow HK\$5,000,000 from a bank at a fixed interest rate of 5.13386%. Green Clean agreed to repay the loan over three years in equal instalments, paying off the principal and interest in each annual payment of HK\$1,840,650. The bank charged Green Clean an origination fee of HK\$130,000, which was deducted from the funds advanced on the drawdown of the loan. The table below shows the loan amortisation schedule in respect of this arrangement.

Year	Opening balance	Repayment	Interest charged	Principal repaid	Closing balance
	HK\$	HK\$	HK\$	HK\$	HK\$
0	N/A	N/A	N/A	N/A	5,000,000
1	5,000,000	(1,840,650)	(256,693)	(1,583,957)	3,416,043
2	3,416,043	(1,840,650)	(175,375)	(1,665,275)	1,750,768
3	1,750,768	(1,840,650)	(89,882)	(1,750,768)	–
Total		(5,521,950)	(521,950)	(5,000,000)	

The interest charged in the table above is the actual interest cash flows on the loan at the contractual interest rate of 5.13386%. The table below shows the interest expense using the effective interest rate and the closing balance of the loan at the end of each year. The cash flows on the loan yield is an effective interest rate of 6.5549%. The interest expense is calculated as the effective interest rate multiplied by the opening balance in each year.

Year	Opening balance	Cash paid	EIM interest expense	Principal reduction and fee amortisation	Closing balance
	HK\$	HK\$	HK\$	HK\$	HK\$
1	4,870,000	(1,840,650)	319,224	(1,521,426)	3,348,574
2	3,348,574	(1,840,650)	219,496	(1,621,154)	1,727,420
3	1,727,420	(1,840,650)	113,230	(1,727,420)	–
Total		(5,521,950)	651,950	(4,870,000)	

Over the life of the loan, the interest expense recognised for accounting purposes was HK\$651,950 whereas the total interest expense per the loan agreement in the first table was HK\$521,950. Therefore, over the life of the loan, Green Clean recognised an additional



Illustrative Example 5 (continued)

expense of HK\$130,000 representing the origination fee. Because the origination fee was a transaction cost integral to the loan, it was recognised over the life of the loan as opposed to a lump sum at the beginning.

Green Clean would record the following journal entries in respect of the loan:

Upon initial drawdown of the loan

	Debit	Credit
	HK\$	HK\$
Cash	4,870,000	
Bank loan		4,870,000
(Initial loan drawdown)		

At the end of year 1

	Debit	Credit
	HK\$	HK\$
Interest expense	319,224	
Bank loan	1,521,426	
Cash		1,840,650
(First repayment)		

At the end of year 2

	Debit	Credit
	HK\$	HK\$
Interest expense	219,496	
Bank loan	1,621,154	
Cash		1,840,650
(Second repayment)		

At the end of year 3

	Debit	Credit
	HK\$	HK\$
Interest expense	113,230	
Bank loan	1,727,420	
Cash		1,840,650
(Third repayment)		

10.4.3 Gains and Losses

The treatment of gains or losses on financial liabilities is generally aligned to the treatment of gains or losses on financial assets with the same measurement classification.

Exhibit 10.10 summarises the requirements of recognising gains and losses on financial liabilities.

	Measurement classification	Recognition of gains or losses
HKFRS 9.5.7.2	Financial liabilities subsequently measured at amortised cost	Recognised in profit or loss when the financial liability is derecognised or through the effective interest method.
HKFRS 9.5.7.1	Financial liabilities subsequently measured at fair value through profit or loss	All gains or losses are recognised in profit or loss. For financial liabilities designated as at fair value through profit or loss, changes in fair value attributable to changes in the entity's own credit are recognised in other comprehensive income.
HKFRS 9.5.7.7		

► **EXHIBIT 10.10** Summary of requirements to recognise gains and losses on financial liabilities

Apply and Analyse 5

Green Clean decided to issue bonds to provide further funding for its manufacturing plant upgrades. Assume that Green Clean made an irrevocable designation on initial recognition for the bonds to be measured at fair value through profit or loss, and the bonds met the requirements to be measured on this basis.

At initial recognition, the bonds had a fair value of HK\$1,000,000. At the end of year 1, the bonds had a fair value of HK\$900,000. Of this movement, HK\$20,000 was attributable to an increase in Green Clean's credit risk.

Explain how the bonds were accounted for in the first year.

Analysis

The bonds would initially be measured at their fair value of HK\$1,000,000. Green Clean had made an irrevocable designation to measure the bonds at fair value through profit or loss. Subsequently, the bonds would be measured at fair value with changes in fair value recognised in profit or loss.

The portion of the change in fair value of HK\$20,000 attributable to changes in Green Clean's own credit risk would be recognised in OCI. The remainder of the fair value movement of HK\$80,000 would be recognised in profit or loss.

The journal entries to account for the bonds in year 1 are:

	Debit	Credit
	HK\$	HK\$
Cash	1,000,000	
Bonds payable		1,000,000
(Initial recognition of bonds at fair value)		

Apply and Analyse 4 (continued)

	Debit	Credit
	HK\$	HK\$
Bonds payable	100,000	
Changes in own credit risk (OCI)		20,000
Fair value gain (profit or loss)		80,000
(Remeasurement of bonds to fair value at the end of year 1)		

► Knowledge Check Questions**Question 9**

List the subsequent measurement classifications available for financial liabilities.

Question 10

Phoenix Limited (Phoenix) issued debt which it designated as a financial liability measured at fair value through profit or loss. At the end of the year, the total fair value of the debt decreased by HK\$50,000. Of this amount, HK\$45,000 is related to fair value changes attributable to an increase in Phoenix's own credit risk. Identify which one of the below statements is correct with regards to the recognition of fair value movements by Phoenix:

- A** HK\$50,000 will be recognised in profit or loss.
- B** HK\$45,000 will be recognised in profit or loss.
- C** HK\$5,000 will be recognised in profit or loss, and HK\$45,000 will be recognised in OCI.
- D** HK\$5,000 will be recognised in OCI.

Question 11

On 1 July 20X8, Astro Limited (Astro) entered into an amortising loan agreement with a financial institution for an amount of HK\$1,500,000. The contractual interest rate was 5.3686% and Astro would repay the loan in five equal annual instalments of HK\$350,000 on 30 June each year. Astro incurred an origination fee of HK\$20,000, which was deducted from the funds advanced. Astro correctly calculated the effective interest rate for the loan as 5.859%. Astro had a December financial year-end.

Calculate the amount of interest expense that would be recognised in Astro's statement of profit or loss for the year ended 31 December 20X8.

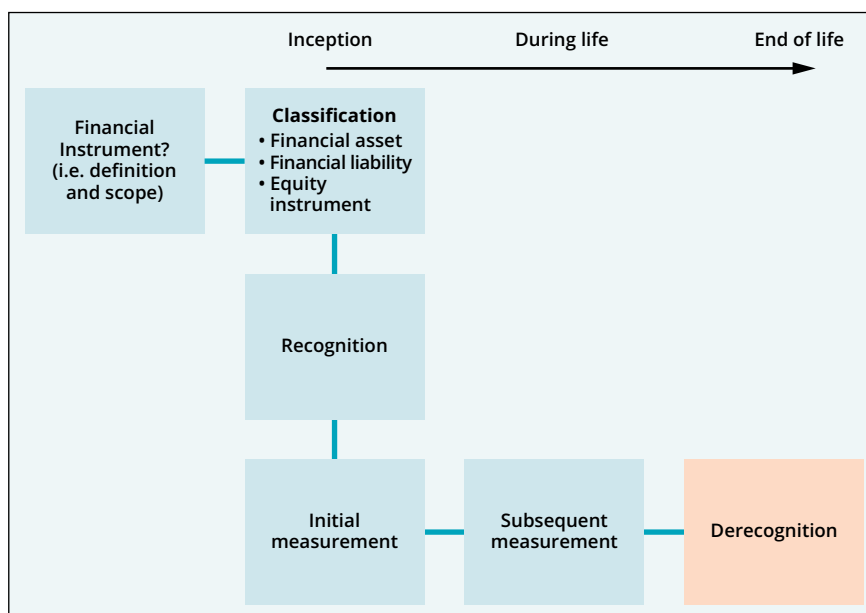
- A** HK\$80,529
- B** HK\$39,728
- C** HK\$86,713
- D** HK\$43,357

10.5 DERECOGNITION OF FINANCIAL ASSETS AND FINANCIAL LIABILITIES

While the recognition requirements in HKFRS 9 are the same for financial assets and financial liabilities (refer to Section 10.2), they differ significantly when it comes to derecognition; that is, when their recording as assets or liabilities is to cease. Derecognition recognises the expiration of rights and obligations.

It is fair to say that current accounting rules will see assets derecognised when their recognition criteria are no longer met. For liabilities, accounting is more conservative and tends to be later.

As illustrated in Exhibit 10.11, derecognition occurs at the end of the lifecycle of a typical financial instrument.



► **EXHIBIT 10.11** Lifecycle of a financial instrument

10.5.1 Derecognition of Financial Assets

Derecognition refers to the removal of a previously recognised financial asset from the entity's statement of financial position. One reason that a financial asset may be derecognised is if the entity's right to receive cash flows from the instrument has expired. For example, this would be the case where a trade receivable has fully repaid the amount outstanding and has therefore extinguished their obligation owing to the entity. Another way in which a financial asset may be derecognised is if the entity transfers the asset to another party. For example, an entity may decide to factor its receivables (i.e. sell its receivables to a financial institution at a discount) in order to raise short-term funding.

A financial asset is derecognised only when the contractual cash flows arising from that asset expire (e.g. through collection of the cash flows) or when the entity successfully transfers the risks and rewards of ownership of the financial asset to another entity. Such transfers are further discussed below.

10.5.1.1 Transfers that Qualify for Derecognition

HKFRS 9 explains that a transfer of a financial asset may take place by the entity transferring the contractual rights to the cash flows of the asset to another entity. If it is concluded that the entity has transferred substantially all the risks and rewards of ownership of the financial asset as a result of the transfer then the asset must be derecognised.

HKFRS
9.3.2.6(a)

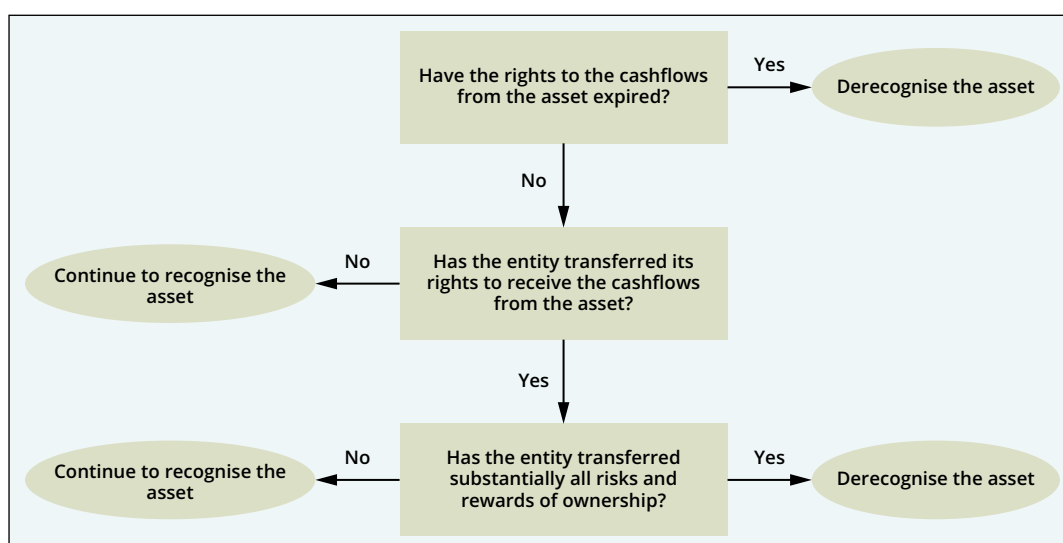
On derecognition, the difference between the carrying amount of the financial asset and the consideration received must be recognised in profit or loss.

HKFRS
9.3.2.12

Key Learning Point

The assessment of whether a financial asset should be derecognised is based on whether or not the entity has transferred substantially all risks and rewards of ownership of the financial asset.

The flow chart at Exhibit 10.12 below may assist in understanding the derecognition requirements for financial assets. Note that this chart only covers situations that are relevant to this Module. Further requirements that are beyond the scope of the study material for this Module have been omitted.



► **EXHIBIT 10.12** Derecognition of financial assets

Illustrative Example 6

Green Clean ordinarily provides generous payment terms of 90 days to its customers. Given the recent pressures on the company's working capital, Green Clean decides to sell the rights to the future cash flows on its receivables. This will allow Green Clean to obtain cash flows upfront, instead of having to wait for a few months for its customers to settle their outstanding balances.

Illustrative Example 6 (continued)

Green Clean approaches a bank and enters into an agreement under which it will transfer all contractual cash flows received from the customers to the bank. The bank will assume the risk of receivables being uncollectible and will not have any recourse to Green Clean for amounts that are not collected. Green Clean receives HK\$480,000 from the bank for the transfer, and the carrying amount of the receivables on the date of transfer is HK\$500,000.

Green Clean has transferred substantially all of the risks and rewards of ownership of the receivables to the bank. Should a particular receivable not perform, the bank would be exposed to any losses incurred due to that non-performance. Consequently, Green Clean derecognises the receivables and recognises the difference between the carrying amount of the receivables and the consideration received in profit or loss.

Green Clean would recognise the following journal entry:

	Debit	Credit
	HK\$	HK\$
Cash	480,000	
Loss on transfer (profit or loss)	20,000	
Trade receivables		500,000

10.5.1.2 Transfers that Do Not Qualify for Derecognition

HKFRS
9.3.2.6(b)

If an entity transfers a financial asset in a manner that results in the entity retaining substantially all the risks and rewards of ownership of the asset, then the asset will continue to be recognised.

This would be the case, for example, where an entity sells a financial asset and at the same time enters into an agreement to repurchase the asset for a fixed price in the future. In this scenario, the entity would remain exposed to fluctuations in the value of the asset due to the obligation to repurchase it at a fixed price. Consequently, substantially all the risks and rewards of ownership remain with the entity and the financial asset will not be derecognised.

HKFRS
9.3.2.15

If a transfer does not result in derecognition, the entity must continue to recognise the transferred asset in its entirety and must separately recognise a financial liability for the consideration received. The financial asset and financial liability must not be offset (refer to discussion in Section 10.6.2). In subsequent periods the entity must recognise any income on the transferred asset and any expense incurred on the financial liability.

10.5.2 Derecognition of Financial Liabilities

HKFRS
9.3.3.1

A financial liability is derecognised when the entity is discharged from its obligations under the contract, the liability expires or is otherwise cancelled. A financial liability expires when the entity has fulfilled its obligations under the contract, such as when a loan is fully repaid.

HKFRS
9.3.3.3

The difference between the carrying amount of the financial liability that is derecognised and any consideration paid is recognised in profit or loss.

► Knowledge Check Questions

Question 12

Invictus Limited ('Invictus') holds a portfolio of financial assets with a carrying amount of HK\$200,000. Invictus agrees to transfer the future cash flows associated with the portfolio of assets to a bank for consideration of HK\$170,000. In terms of the agreement, Invictus must repay the amount advanced of HK\$170,000 regardless of the timing and amount of collections on the assets that have been transferred. Explain whether the financial assets will be derecognised by Invictus.



10.6 PRESENTATION OF FINANCIAL INSTRUMENTS

Up to this point, we have looked at how financial instruments should be classified, recognised and measured in financial statements. The final topic to be considered is how financial instruments should be presented within the financial statements.

10.6.1 Overview

The presentation of financial instruments is dealt with in HKAS 32 *Financial Instruments: Presentation*. In addition to prescribing the requirements for classifying a financial instrument as a financial asset, financial liability or equity instrument from the perspective of the issuer, the standard establishes the principles for presenting financial instruments as liabilities or equity within the financial statements.

Furthermore, HKAS 32 prescribes when financial assets and financial liabilities must be offset (netted) against one another in the financial statements, which is not ordinarily permitted under HKAS 1 *Presentation of Financial Statements*. This is further discussed in Section 10.6.2.

HKAS
1.32

10.6.2 Offsetting Financial Assets and Financial Liabilities

In general, financial assets and financial liabilities are separately presented in the statement of financial position. Offsetting assets and liabilities can detract from the ability of users of the financial statements to understand the transactions that have taken place and to assess the entity's future cash flows. HKAS 1, therefore prohibits the offsetting of assets and liabilities unless offsetting is permitted or required by another accounting standard. HKAS 32 is one accounting standard that provides an exemption from this general rule.

A financial asset and a financial liability must be offset, and the net amount presented in the statement of financial position only when the entity:

- currently has a legally enforceable right to set off the recognised amounts, and
- intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

HKAS
32.42

In accounting for a transfer of a financial asset that does not qualify for derecognition (see Section 10.5.1.2), the entity must not offset the transferred asset and the associated liability.

HKAS
32.43

Presentation of financial assets and financial liabilities on a net basis is only appropriate when it reflects the entity's expected future cash flows from settling two or more separate financial instruments.

Apply and Analyse 6

Green Clean purchased chemicals for use in the manufacture of its cleaning products from Enviro Chem, one of the largest eco-friendly chemical suppliers in Hong Kong. Enviro Chem was also a long-standing customer of Green Clean, regularly purchasing a large volume of cleaning products for use in its commercial office space.

The supply agreements of Green Clean and Enviro Chem provided the parties with a right to set off amounts owing in the event that either company defaulted on its obligations under the contract. To date, both parties performed under the agreements, and no events of default have occurred.

As at 31 December 20X4, Green Clean had a receivables balance of HK\$300,000 and a payables balance of HK\$180,000 in respect of transactions with Enviro Chem.

Explain how the balances with Enviro Chem would be presented in the financial statements of Green Clean for the year ended 31 December 20X4.

Analysis

The receivables balance from Enviro Chem was a financial asset as it represented a contractual right to receive cash from another entity. The payables balance to Enviro Chem was a financial liability as it represented a contractual right to deliver cash to another entity.

Green Clean had to offset the financial asset and financial liability and presented the net amount in the statement of financial position if it had a legally enforceable right to set off the amounts as well as the intention to settle net or to realise the asset and settle the liability simultaneously. The right of set off provided in the contracts was contingent on a future event (i.e. a default by one of the parties to the agreement) and was, therefore, not a currently enforceable legal right. Green Clean would present a financial asset (receivable) of HK\$300,000 and a financial liability (payable) of HK\$180,000 in the statement of financial position as at 31 December 20X4.

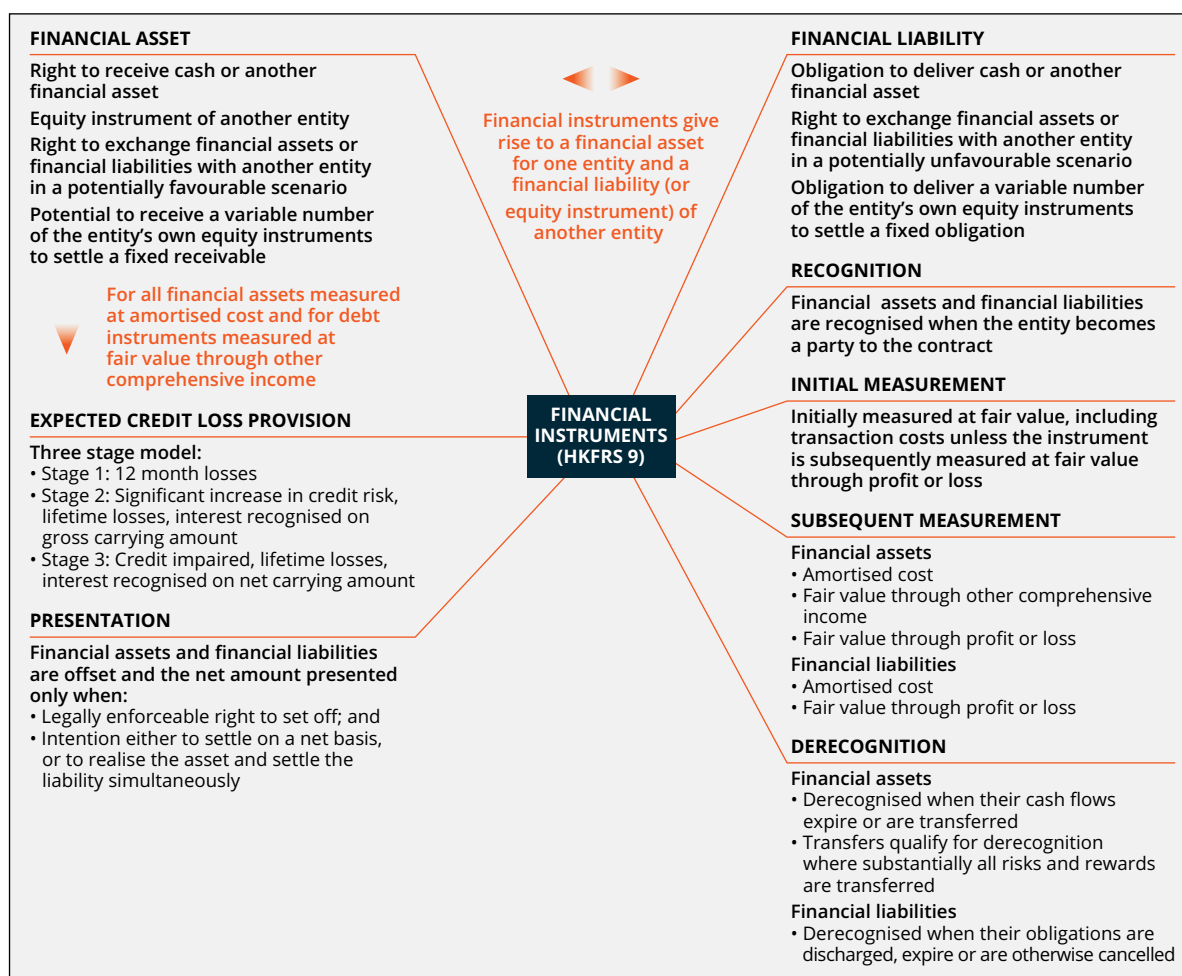


SUMMARY

- An entity must recognise a financial instrument once it becomes party to a contract that requires the transfer of financial assets, financial liabilities or equity instruments to settle an obligation.
- All financial instruments are initially measured at fair value, including transaction costs in the case of financial instruments not subsequently measured at fair value through profit or loss.
- The subsequent measurement of financial assets depends on the cash flow characteristics of the instrument and the entity's business model for holding that instrument:
- Where the cash flow characteristics of the asset represent solely payments of principal and interest and the entity holds the asset to collect its contractual cash flows, the asset will be measured at amortised cost.
- Where the cash flow characteristics of the asset represent solely payments of principal and interest and the entity holds the asset to collect its contractual cash flows and to sell, the asset is measured at fair value with any changes in fair value being recognised in other comprehensive income.
- Finally, if the asset's cash flows are not solely payments of principal and interest or the entity intends to trade the asset, it will be measured at fair value through profit or loss.
- An entity must recognise a provision for expected credit losses for all financial assets measured at amortised cost or at fair value through other comprehensive income (OCI) except for equity instruments that have been designated as measured at fair value through OCI.
- There are three stages in the expected credit loss model:
 1. Stage 1 – All financial assets initially carry a provision equal to losses probably occurring in the next 12 months.
 2. Stage 2 – If a significant increase in credit risk is observed, the entity will increase the provision to cover all losses probable over the lifetime of the financial asset. Interest revenue continues to be recognised based on the gross carrying amount of the financial asset.
 3. Stage 3 – Finally, if a financial asset becomes credit impaired, the entity only recognises interest revenue based on the net carrying amount of the financial asset.
- Financial liabilities are subsequently measured at amortised cost, subject to certain exclusions, in which case they will be measured at fair value.
- Financial instruments are derecognised when their associated cash flows expire, terminate or are otherwise transferred to another party.
- Financial assets are only derecognised if the risks and rewards incidental to ownership of the financial asset are transferred to another party.

- If a transfer of a financial asset does not qualify for derecognition, then the entity will recognise a separate financial liability for the consideration received.
- Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when the entity has a legal right to set off the amounts and intends to settle on a net basis or to realise the asset and settle the liability simultaneously.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

- The sale of goods on credit gave rise to a right for Extra Limited (Extra) to receive cash from the customer in future in settlement of the amount owing. Therefore, a trade receivable would be recognised which would be classified as a financial asset in the statement of financial position of Extra.
- The preference shares did not impose an obligation on Extra to deliver cash or another financial asset as the dividends were discretionary and did not accumulate. In addition, the preference shareholders ranked equally with ordinary shareholders on liquidation, meaning that Extra would have no obligation on liquidation to deliver cash or another financial asset to the shareholders to ensure they received the value of their original investment. Therefore, the preference shares would be classified as equity in the statement of financial position of Extra.

Question 2

The three subsequent measurement classifications available for financial assets are:

1. Amortised cost
2. Fair value through other comprehensive income
3. Fair value through profit or loss

Question 3

Answer A is incorrect. This is the fair value of the bonds but does not include the brokerage fee of HK\$19,800. The initial measurement of a financial asset includes transaction costs if the asset is subsequently measured at amortised cost or fair value through other comprehensive income.

Answer B is incorrect. The bonds are initially recognised at their fair value, which does not equal their face value of HK\$1,000,000.

Answer C is incorrect. The brokerage costs of HK\$19,800 are added to the fair value of the asset for initial measurement purposes (not deducted).

Answer D is correct. The bonds have been classified as held at amortised cost; therefore, they are initially measured at their fair value of HK\$950,000, plus the brokerage fee of HK\$19,800.

Question 4

The cash flows of the bond are summarised below:

Year	Principal HK\$	Interest HK\$	Total cash flow HK\$
0	(969,800)	–	(969,800)
1	–	40,000	40,000
2	–	40,000	40,000
3	1,000,000	40,000	1,040,000

Using the cash flows above, the effective interest rate would be calculated using the following equation:

$$969,800 = \left[\frac{40,000}{1 + RATE} \right] + \left[\frac{40,000}{(1 + RATE)^2} \right] + \left[\frac{1,040,000}{(1 + RATE)^3} \right]$$

Question 5

Below is the amortisation table for the bonds:

Year	Opening balance HK\$	EIR interest HK\$	Contractual interest HK\$	Closing balance HK\$
Year 0	–	–	–	969,800
Year 1	969,800	49,569	(40,000)	979,369
Year 2	979,369	50,058	(40,000)	989,427
Year 3	989,427	50,573	(40,000)	1,000,000

Splash Limited (Splash) would record the following journal entries for the year ended 31 March 20X9:

	Debit	Credit
	HK\$	HK\$
Investment in bonds	969,800	
Cash		969,800
(Initial recognition of bonds)		
Cash	40,000	
Investment in bonds	9,569	
Interest revenue		49,569
(Year 1 recognition of interest revenue using the effective interest method)		

Question 6

The cash flows to be received on the shares would take the form of dividend payments. Therefore, the contractual terms of the asset did not give rise on specified dates to cash flows that are solely payments of principal and interest. Consequently, the shares had subsequently to be measured at fair value through profit or loss. This applied regardless of the business model within which Dynamo Limited (Dynamo) held the shares. Dynamo might not make an election to present changes in fair value in other comprehensive income as the shares would be held for trading (as well as for collecting cash flows).

Question 7

The downgrade of Spice's external credit rating was an indicator there was a significant increase in the credit risk of the bonds since their initial recognition. Therefore, Sugar would classify the bonds within Stage 2 of the expected credit loss model.

Question 8

During the 20X8 financial year, no significant increase occurred in the credit risk of the bonds, and consequently, Sugar Limited (Sugar) would have classified the bonds within Stage 1 of the expected credit loss model, with a loss allowance of HK\$5,000 representing the 12-month expected credit losses. For the financial year ended 20X9, the bonds were classified within Stage 2 of the expected credit loss model and would have a loss allowance equal to the lifetime expected credit losses of HK\$25,000. For the 20X9 financial year, Sugar would recognise an impairment loss in profit or loss for the amount of the expected credit losses that was required to adjust the loss allowance to the amount required to be recognised at the reporting date. Therefore, an amount of HK\$20,000 (HK\$25,000 – HK\$5,000) would be recognised as an impairment loss by Sugar in profit or loss for the financial year ended 20X9.

Question 9

The two subsequent measurement classifications available for financial liabilities are:

1. Amortised cost
2. Fair value through profit or loss

Question 10

Answer A is incorrect. It was inappropriate to recognise the entire fair value movement of HK\$50,000 through profit or loss. A portion of this movement was attributable to changes in Phoenix's own credit risk and should, therefore, have been recognised in other comprehensive income (OCI).

Answer B is incorrect. The fair value movement attributable to changes in Phoenix's own credit risk of HK\$45,000 was not recognised in profit or loss, but in OCI.

Answer C is correct. The fair value movement attributable to changes in Phoenix's own credit risk of HK\$45,000 was recognised in OCI. The remainder of the fair value movement of HK\$5,000 (HK\$50,000 – HK\$45,000) was recognised in profit or loss.

Answer D is incorrect. The portion of the fair value movement that was not attributable to changes in Phoenix's own credit risk of HK\$5,000 should have been recognised in profit or loss and not OCI.

Question 11

Calculation of initial measurement amount:

Gross amount advanced	HK\$1,500,000
Less: origination fee	(HK\$20,000)
Initial measurement amount	<u>HK\$1,480,000</u>

Answer A is incorrect. It was incorrect to calculate interest expense using the contractual interest rate and without taking into account the origination fee. In addition, the expense should have been calculated for six months and not for a full year. $\text{HK\$1,500,000} \times 5.3686\% \times 12/12 = \text{HK\$80,529}$.

Answer B is incorrect. It was incorrect to calculate interest expense using the contractual interest rate. $\text{HK\$1,480,000} \times 5.3686\% \times 6/12 = \text{HK\$39,728}$.

Answer C is incorrect. The interest expense calculated using the effective interest rate needed to be apportioned for the period that fell within Astro's financial year (i.e. 1 July 20X8 to 31 December 20X8). $\text{HK\$1,480,000} \times 5.8590\% \times 12/12 = \text{HK\$86,713}$.

Answer D is correct. Interest expense was calculated based on the initial measurement amount of HK\$1,480,000 and effective interest rate of 5.8590% and was apportioned for 6/12 months (i.e. 1 July 20X8 to 31 December 20X8). $\text{HK\$1,480,000} \times 5.8590\% \times 6/12 = \text{HK\$43,357}$.

Question 12

Invictus has agreed to transfer an interest in the cash flows from the assets. However, Invictus is obliged to fully repay the amount advanced from the bank regardless of the timing and amount of collections from the assets. This means that Invictus is still exposed to the risks and rewards of ownership of the assets, because if the receivables do not perform then Invictus may collect less cash flows from the asset but will still have the same obligation to pay a fixed amount of cash flows to the bank. Therefore the conditions for the derecognition of a financial asset have not been met and consequently Invictus will continue to recognise the assets at their carrying amount of HK\$200,000. Invictus will recognise a separate financial liability for the consideration received of HK\$170,000. The asset and liability must not be offset.

 EXAM PRACTICE**QUESTION 1**

Ace Limited (Ace) was busy drafting the financial instruments accounting policy note for its 20X8 financial statements. The accounting policy note included an explanation of the different measurement classifications for financial assets under HKFRS 9 *Financial Instruments*.

Identify which of the following was not a measurement classification to discussed in this accounting policy note:

- A.** Amortised cost
- B.** Historical cost
- C.** Fair value through profit or loss
- D.** Fair value through other comprehensive income

QUESTION 2

On 1 March 20X8, Snap Limited (Snap) purchased bonds with a face value of HK\$3,000,000. Snap acquired the bonds at a discount of HK\$20,000 and incurred a broker commission charge of 3% on the face value of the bonds. The bonds were held within a business model with the objective of collecting contractual cashflows.

Calculate the amount at which the bonds would be initially measured in the statement of financial position of Snap.

- A.** HK\$3,000,000
- B.** HK\$2,980,000
- C.** HK\$3,070,000
- D.** HK\$2,890,000

QUESTION 3

On 1 July 20X8, Power Services Limited (PSL) acquired bonds with a face value of HK\$2 million at a premium of 2%. The bonds paid a coupon interest rate of 4% per annum and were redeemable at face value on 30 June 20Y1. The effective interest rate for the bonds had been calculated as 3.289%. The bonds would be subsequently measured at amortised cost.

Calculate the carrying amount of the bonds to be recognised in the statement of financial position of PSL as at 30 June 20Y0.

- A.** HK\$2,040,000
- B.** HK\$2,040,424
- C.** HK\$2,027,096
- D.** HK\$2,013,767

QUESTION 4

Global Investments Limited (GIL) acquired a bond issued by Risky Business Limited (RBL) during the 20X6 financial year. The bond was measured at amortised cost in the financial statements of GIL. During the 20X7 financial year, the external credit rating of RBL was downgraded, and RBL issued a trading update that noted difficult market conditions and a decline in profitability across all of its operations. During the 20X8 financial year, RBL communicated to all bond holders it did not anticipate being able to fully repay the bonds that it had issued.

GIL has compiled the following expected credit loss information in respect of RBL:

Financial year	12 mth expected credit losses HK\$	Lifetime expected credit losses HK\$
20X6	10,000	80,000
20X7	60,000	500,000
20X8	100,000	2,000,000

Calculate the impairment loss that GIL would recognise in profit or loss for the 20X8 financial year in respect of the RBL bonds.

- A. HK\$1,500,000
- B. HK\$2,000,000
- C. HK\$1,940,000
- D. HK\$1,900,000

QUESTION 5

You are Brian Tan, the Accounting Manager of Worldwide Enterprises Limited (WEL). WEL is a large global organisation with a range of diversified operations. The following transactions took place during the financial year ended 31 December 20X8.

Acquisition of shares in Fruit Canners Limited

On 1 November 20X8, WEL made an investment in shares for the first time by acquiring 10,000 ordinary shares in Fruit Canners Limited (FCL) for their quoted market price of HK\$25 per share. WEL incurred transaction costs of HK\$20,000 on the purchase. WEL intended to hold the shares for long-term strategic purposes and would like to avoid any volatility in profit or loss. On 31 December 20X8, the share price of FCL had risen to HK\$28 per share.

Transfer of cashflows from bonds issued by Laser Lighting Limited

WEL held bonds issued by Laser Lighting Limited (LLL), which were redeemable on 31 December 20Y5. On 1 June 20X8, WEL entered into an agreement with Globe Holdings Limited (GHL) for which WEL would transfer all contractual cash flows from the LLL bonds to GHL for an amount of HK\$720,000. WEL had no obligation to repurchase the LLL bonds from GHL in the future or to cover any losses that GHL might incur as a result of non-performance by LLL.

The carrying amount of the LLL bonds on 1 June 20X8 was HK\$750,000.

Receivable from Hard Times Limited

As at 31 December 20X8, WEL had a long-term receivable in its statement of financial position in respect of an amount owing from Hard Times Limited (HTL). The receivable was measured at amortised cost and was initially recognised on 1 September 20X7. As at 31 December 20X7, there had been no significant increase in the credit risk of HTL. WEL calculated the lifetime expected credit losses as HK\$50,000 and the 12-month expected credit losses as HK\$20,000 on 31 December 20X7.

On 1 October 20X8, HTL made an announcement that it was discontinuing a major product line and that it forecasted its future profitability to deteriorate significantly as a result. This would likely put pressure on HTL's key financial ratios, and it was expected the company might have its external credit rating downgraded as a result. Since the announcement, HTL had not made any scheduled payments to WEL, and the balance had become overdue.

WEL calculated the lifetime expected credit losses as HK\$150,000 and the 12-month expected credit losses as HK\$40,000 at 31 December 20X8.

Balances outstanding with Simplified Solutions Limited

Simplified Solutions Limited (SSL) was a major customer of WEL and SSL's statement of financial position typically included a significant receivables balance in respect of SSL. SSL was also the provider of WEL's Information Technology (IT) services, including phone and internet services, server hosting and technical support.

During the 20X8 financial year, WEL and SSL amended the terms of their master supply agreements with one another. The new agreements allowed for SSL and WEL to set off any amounts owing between them. Every month since the new agreements came into effect, WEL had been receiving a net amount from SSL or paying a net amount to SLL.

As at 31 December 20X8, the receivables ledger reflected an amount owing from SSL of HK\$245,000 and the payables ledger reflected an amount owing to SSL of HK\$210,000.

Shortly after the preparation of the draft financial statements of WEL for the year ended 31 December 20X8, you received the email below from the Chief Financial Officer, who was unfamiliar with accounting for financial instruments:

To: Brian Tan, Accounting Manager
 From: Lisa Chu, Chief Financial Officer
 Date: 20 January 20X9 11:16PM
 Subject: Financial Instruments Queries

Hi Brian,

I have the following questions on the financial instruments that will be included in our financial statements:

- (a) Can you please explain how our investment in FCL has been classified and measured? I know that the FCL share price has been doing well, but I don't see any gains in our profit or loss for this.
- (b) I can't see where the LLL bonds have been presented in the statement of financial position. I also see an amount in profit or loss related to these bonds, which I don't understand as I thought the bonds would be measured at cost. Please describe how the transaction with GHL might have had an impact on this?
- (c) I have read in the news that HTL has been experiencing financial difficulties, and I am interested to understand what impact this will have on the receivable balance that we have with the company. Please explain how we measured the expected credit losses in respect of HTL in 20X7 and 20X8 and what the impact is on profit or loss for each year?
(Assume WEL had already adopted HKFRS 9 during the 20X7 financial year)
- (d) What has happened to our receivable and payable balances with SSL? Looking at the statement of financial position, these seem to have decreased significantly from 20X7. Please explain how the new agreements with SSL might have contributed to this?

Thank you,
 Lisa

Required:

Write a memorandum to Lisa Chu to address the questions raised in her email.

QUESTION 6

Feel Good Pharma Limited (FGPL) is a pharmaceutical company that produces a range of prescription medications. The company recently completed its first bond issuance to raise funding for a new research laboratory.

The bonds were issued on 1 July 20X8 and FGPL raised HK\$3,500,000 from the issuance before the incurrence of legal consulting costs of HK\$162,000. The funding manager of FGPL earned a monthly salary of HK\$60,000 and he worked exclusively on the bond issuance for two months. The bonds were redeemable on 30 June 20Y2 at a premium of 5% on the issue value. The bonds paid interest at the rate of 3% per annum on their face value and interest was paid annually on 30 June each year. The effective interest rate for similar bonds with equivalent risk was 5.4716%.

FGPL had a 30 June year-end.

Required:

- Explain how the bonds issued will be classified in the financial statements of FGPL.
- Calculate the amount at which the bonds will be initially measured on 1 July 20X8.
- Calculate the closing amount of the bonds for each year from 20X8 to 20Y2 (before redemption). Prepare the amortisation table for the bonds to answer this part of the question.
- Prepare the journal entries to account for the bonds for the year ended 30 June 20X9.
- Assume that FGPL made an election at initial recognition to measure the bonds at fair value through profit or loss. The fair value of the bonds at 30 June 20X9 is HK\$3,800,000. Prepare the journal entries to account for the bonds for the year ended 30 June 20X9. Ignore fair value changes attributable to changes in FGPL's credit risk.

 ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer B is correct.

The three subsequent measurement classifications for financial assets under HKFRS 9 *Financial Instruments* are:

- Amortised cost
- Fair value through profit or loss
- Fair value through other comprehensive income

QUESTION 2

Answer C is correct.

The bonds will be subsequently measured at amortised cost as they are held for the purposes of collecting contractual cash flows, and the cash flows represent solely payments of principal and interest. Therefore, the bonds are initially measured at fair value, including transaction costs.



	HK\$
Face value	3,000,000
Less: Discount	(20,000)
Plus: Transaction costs ($\text{HK\$}3,000,000 \times 3\%$)	90,000
Initial measurement amount	3,070,000

QUESTION 3

Answer D is correct.

The cash flows over the life of the bond are as follows:

	HK\$
Initial cash outflow ($\text{HK\$}2,000,000 \times 1.02$)	(2,040,000)
Interest for year ended 30 June 20X9	80,000
Interest for year ended 30 June 20Y0	80,000
Interest and principal for year ended 30 June 20Y1	2,080,000

Amortisation table (up until redemption):

Year	Opening balance HK\$	Contractual interest HK\$	Interest at EIR HK\$	Closing balance HK\$
20X9	2,040,000	(80,000)	67,096	2,027,096
20Y0	2,027,096	(80,000)	66,671	2,013,767
20Y1	2,013,767	(80,000)	66,233	2,000,000

The balance of the bonds to be recognised in the statement of financial position as at 30 June 20Y0 was HK\$2,013,767.

QUESTION 4

Answer A is correct.

The amount to be recognised as an impairment loss for the 20X8 financial year was HK\$1,500,000. During the 20X7 financial year, Risky Business Limited (RBL) had its external credit rating downgraded and communicated it was experiencing difficult market conditions and a decrease in profitability. For Global Investments Limited (GIL), these factors indicate that there had been a significant increase in the credit risk of the RBL bonds since initial recognition. Therefore, in the 20X7 financial year, the bonds would have been classified within Stage 2 of the expected credit loss model, and the loss allowance would have been measured equal to the lifetime expected credit losses of HK\$500,000. During the 20X8 financial year, RBL communicated to bondholders that it did not anticipate being able to repay the bonds. This would have a detrimental impact on the estimated future cash flows that GIL would receive from the bond. GIL, therefore, considered the financial asset to be credit-impaired. The bonds would now be classified in Stage 3 of the expected credit loss model, and the loss allowance would be measured equal to the lifetime expected credit losses of HK\$2,000,000. The movement in the loss allowance of HK\$1,500,000 ($\text{HK\$}2,000,000 - \text{HK\$}500,000$) represented an impairment loss which was recognised in profit or loss for the 20X8 financial year.

QUESTION 5

Memorandum

To: Lisa Chu, Chief Financial Officer
 From: Brian Tan, Accounting Manager
 Date: DD/MM/YYYY
 Subject: Financial Instrument Queries

Dear Lisa,

Please refer below for responses to your questions on financial instruments.

Investment in Fruit Cannery Limited ordinary shares

The investment in FCL ordinary shares meets the definition of a financial asset as they are equity instruments of another entity.

On initial recognition, financial assets should be classified as measured at amortised cost, fair value through profit or loss, or fair value through other comprehensive income.

The measurement classification is made on the basis of:

- (a) the entity's business model for managing the financial assets, and
- (b) the contractual cash flow characteristics of the financial asset

A financial asset is measured at amortised cost only when:

- (a) the financial asset is held within a business model whose objective is to hold financial assets to collect contractual cash flows, and
- (b) the contractual terms of the financial asset give rise on specific dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

The ordinary shares do not meet the criteria to be classified as measured at amortised cost as they do not give rise on specific dates to cash flows that are solely payments of principal and interest.

The ordinary shares would, therefore, be measured at fair value through profit or loss. However, an entity may make an irrevocable election at initial recognition for investments in equity instruments that would otherwise be measured at fair value through profit or loss to present subsequent changes in fair value in other comprehensive income. This election is only available for equity instruments not held for trading.

WEL would make this election at initial recognition as the shares are being held for long-term strategic purposes (not held for trading) and WEL would like to minimise volatility in profit and loss.

The shares will initially be measured at their fair value of HK\$250,000 (10,000 shares at HK\$25 per share) plus transaction costs of HK\$20,000. The shares will, therefore, have an initial carrying amount of HK\$270,000.

At year-end, the shares will be measured at their fair value of HK\$280,000 (10,000 shares at HK\$28 per share). The fair value movement of HK\$10,000 (HK\$280,000 – HK\$270,000) will be recognised in other comprehensive income.



Derecognition of Laser Lighting Limited bonds

In terms of the agreement between WEL and GHL, WEL has transferred the rights to the contractual cash flows from the LLL bonds to GHL. It should, therefore, be assessed whether WEL has substantially transferred all of the risks and rewards of ownership of the bonds to GHL to determine whether the bonds can be derecognised by WEL.

WEL has no obligation to repurchase the bonds from GHL in future or to cover any losses that may be incurred as a result of non-performance by LLL. Consequently, it is concluded that WEL has transferred substantially all risks and rewards of ownership of the LLL bonds to GHL. WEL will therefore derecognise the bonds on 1 June 20X8.

On derecognition, the difference between the carrying amount of the financial asset and the consideration received must be recognised in profit or loss. This will give rise to a loss of HK\$30,000 (HK\$750,000 – HK\$720,000).

Expected credit losses in respect of Hard Times Limited

As at 31 December 20X7, no significant increase in the credit risk of the asset has occurred since initial recognition, so the receivable from HTL would be categorised within Stage 1 of the expected credit loss model. A loss allowance would have been recognised equal to the 12-month expected credit losses of HK\$20,000, with a corresponding impairment loss recognised in profit or loss for the year ended 31 December 20X7.

The announcement from HTL of the discontinuation of a major product line that will negatively impact profitability as well as the expectation of a credit rating downgrade factors that indicate there has been a significant increase in credit risk since initial recognition. Furthermore, HTL has not been making scheduled payments since 1 October 20X8 and the balance is overdue. There is a rebuttable presumption that a significant increase in credit risk has occurred when a financial asset becomes more than 30 days past due.

The receivable will, therefore, migrate into Stage 2 of the expected credit loss model. The loss allowance is now measured at an amount equal to the lifetime expected credit losses of HK\$150,000. An impairment loss of HK\$130,000 (HK\$150,000 – HK\$20,000) will be recognised in profit or loss for the year ended 31 December 20X8.

Offsetting balances with Simplified Solutions Limited

Offsetting of assets and liabilities is generally not permitted under HKAS1 *Presentation of Financial Statements*. However, HKAS 32 *Financial Instruments: Presentation* provides specific criteria for when financial assets and financial liabilities must be offset.

A financial asset and a financial liability must be offset, and the net amount presented in the statement of financial position only when the entity:

- currently has a legally enforceable right to set off the recognised amounts, and
- intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously.

WEL has a legally enforceable right to set off the amounts under the new master supply agreements entered into with SSL. In addition, WEL clearly has the intention to settle on a net basis, as it has been doing so every month since the agreements came into effect.

Therefore, the requirements for offsetting financial assets and financial liabilities have been met. The receivable balance and payable balance will be offset, and the net amount

presented in the statement of financial position. The statement of financial position as at 31 December 20X8 consequently reflects a receivable of HK\$35,000 (HK\$245,000 – HK\$210,000) as opposed to a receivable of HK\$245,000 and payable of HK\$210,000.

Yours sincerely,

Brian

QUESTION 6

- (a) The bonds issued met the definition of a financial liability as they represented a contractual obligation to deliver cash (interest payments and repayment of principal) to another entity (the bond holders). The bonds would be classified as measured at amortised cost as they do not fall within one of the exceptions of HKFRS 9 to be measured at fair value through profit or loss.
- (b)

	HK\$
Face value	3,500,000
Less: legal consulting costs	(162,000)
Less: funding manager salary (HK\$60,000 × 2)	–
Initial measurement amount	3,338,000

The funding manager's salary did not meet the definition of transaction costs as it was not an incremental cost that was directly attributable to the issue of the financial liability (the salary costs would be incurred regardless of whether the bonds were issued or not).

- (c) The cashflows over the life of the bond were as follows:

	HK\$
Initial cash inflow	3,338,000
20X9 Interest (HK\$3,500,000 × 3%)	(105,000)
20Y0 Interest (HK\$3,500,000 × 3%)	(105,000)
20Y1 Interest (HK\$3,500,000 × 3%)	(105,000)
20Y2 Interest and principal (HK\$3,500,000 × 3%) + (HK\$3,500,000 × 1.05)	(3,780,000)

Amortisation table (up until redemption):

Year	Opening balance HK\$	Contractual interest HK\$	Interest at EIR HK\$	Closing balance HK\$
20X9	3,338,000	(105,000)	182,642	3,415,642
20Y0	3,415,642	(105,000)	186,890	3,497,532
20Y1	3,497,532	(105,000)	191,371	3,583,903
20Y2	3,583,903	(105,000)	196,097	3,675,000



(d)		Debit	Credit
	On 1 July 20X8	HK\$	HK\$
	Cash	3,338,000	
	Bonds payable		3,338,000
	(Initial recognition of bonds issued at fair value including transaction costs [HK\$3,500,000 – HK\$162,000])		
	For the year ended 30 June 20X9		
	Interest expense	182,642	
	Bonds payable		77,642
	Cash		105,000
	(Recognition of interest expense at the effective interest rate and payment of interest)		
(e)		Debit	Credit
	On 1 July 20X8	HK\$	HK\$
	Cash	3,338,000	
	Legal costs (profit or loss)	162,000	
	Bonds payable		3,500,000
	(Initial recognition of bonds issued at fair value and recognition of transaction costs in profit or loss)		
	For the year ended 30 June 20X9		
	Fair value loss (profit or loss)	300,000	
	Bonds payable		300,000
	(Recognition of fair value movements in profit or loss [HK\$3,800,000 – HK\$3,500,000])		

11

Impairment of Assets

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11.1 Impairment Overview

11.2 Impairment Testing Overview

11.3 Measurement of Recoverable Amount

11.3.1 Situations Where Only One Value Is Required for Recoverable Amount Purpose

11.3.2 Measuring the Recoverable Amount of an Intangible Asset with an Indefinite Useful Life

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11.4.1 Assets Measured Using the Cost Model

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11.5 Cash-Generating Units (CGUs) and Goodwill

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11.7 Presentation and Disclosure of Impairment



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.09: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards (HKFRSs) as they relate to impairment of assets

2.09.01 Identify an asset that may be impaired by reference to common external and internal indicators

2.09.02 Illustrate when an impairment test should be performed for various types of non-current assets and give examples of indicators of impairment

2.09.03 Apply the impairment test for individual assets and for cash-generating units

2.09.04 Describe how goodwill impairment should be performed

2.09.05 Identify external or internal indication for reversal of impairment loss on assets

2.09.06 Account for impairment losses for different types of non-current assets

2.09.07 Account for the subsequent reversal of impairment loss recognised in prior periods

2.08.08 Describe the accounting treatment for reversal of impairment loss and illustrate the calculation of the amount of reversal allowed

2.09.09 Prepare the disclosure in respect of impairment of assets



OPENING CASE

INFO LIMITED

TV One is a major free-to-air television network. It has a number of channels through which it broadcasts mainstream television content as well as a streaming service through which it provides on demand content. In 20X7, TV One acquired a major national newspapers publication, Info Limited. Info Limited has a large circulation daily newspaper, *The Daily Herald*, which is published in print and online. Info Limited also has a digital classified business, InfoOnline, with a focus on real estate and jobs. InfoOnline has developed a patented data algorithm, which allows it to better match customers with relevant houses, apartments and employment. Reviewing the potential financial impact of the acquisition of Info Limited on the financial statements of TV One, the CFO of TV One, observed, amongst other matters, that the recognition of goodwill and the acquisition of new lines of business create particular accounting challenges with respect to asset impairment. The CFO noted that there will be more regular impairment testing due to the existence of goodwill and the rapidly changing market conditions facing newspaper publishers. The CFO also noted, in this context, that care will need to be taken in identifying relevant events that may trigger an impairment review and in identifying the level within the Group at which an impairment review should be performed. 

OVERVIEW

Users of an entity's financial statements require information to enable them to assess whether tangible and intangible assets are carried at amounts that can be recovered from future net cash inflows generated by the assets. It is important, therefore, that preparers of financial statements understand when and how to apply the principles for testing whether assets are impaired, in order to ensure that such assets are not carried at amounts that exceed their **recoverable amount**.

Accounting for asset impairment is one of the most commonly applied processes required of entities. Simply speaking, impairment arises when an asset's market value is less than its book value and the difference is determined to be unrecoverable.

An entity's assets may be particularly vulnerable to impairment when an entity operates in a cyclical or disrupted business or where an entity has undertaken a business combination where assets are acquired and recognised at their fair value.

Given the significant range of assets to which impairment testing applies and the need to estimate uncertain future cash flows in impairment tests, the impairment process will often be highly subjective and time consuming.

This chapter will cover the key components of the asset impairment process, including understanding when an impairment review should be performed, the level at which an impairment review should be conducted (including the concept of cash-generating units), guidance on how to perform an impairment review, how to identify when reversals of impairment occur and the judgements needed in preparing disclosures about impairment.



11.1 IMPAIRMENT OVERVIEW

This chapter addresses the accounting for impairment of assets as set out in HKAS 36 *Impairment of Assets*.

The objective of HKAS 36 is to prescribe the procedures aimed at ensuring assets are not carried at amounts that exceed their recoverable amount. HKAS 36 provides guidance on: when to conduct impairment testing; the level within the entity at which to perform an impairment test; the principles to use when calculating an asset's recoverable amount (i.e. the amount recoverable through sale or use of the asset); when and where an entity should recognise an

impairment loss; and, what disclosures should be provided in the financial statements about impairments and reversals of impairments.

It is important to note that a number of assets are not covered by HKAS 36, and these include inventory, deferred tax assets, investment property measured at **fair value** and biological assets within the scope of HKAS 41. For more information on what other assets are not covered, refer to HKAS 36.2.

HKAS
36.12

After completing this section, you will understand the scope of HKAS 36 and have been introduced to key terminology used in the standard.



11.2 IMPAIRMENT TESTING OVERVIEW

To determine whether an asset is impaired, an impairment test must be conducted. As impairment tests are costly exercises, they do not always take place every year. For most assets, an impairment test is generally only required when there is an indication of impairment. However, for certain types of assets, impairment testing must be undertaken every year. These are:

- indefinite life intangible assets;
- intangible asset not yet available for use; and
- goodwill

HKAS
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HKAS 36 does not prescribe the timing for impairment tests to be undertaken for assets other than those previously identified. Rather, the test is undertaken when an indication of impairment exists as assessed by the entity.

HKAS
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Impairment indicators may be provided by internal sources of information or external sources of information, and HKAS 36 provides examples of such indicators:

- Internal indicators – declining sales or net profit being observed over a number of periods, loss of a significant customers or groups of customers, identification of environmental issues, increasing maintenance costs for equipment or limited supplies of key inputs.
- External indicators – changes in legislation requiring additional costs to be incurred, unfavourable foreign exchange fluctuations, new competitors entering the market place or changes to foreign trade agreements.

HKAS
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If an indication of impairment is present, then an entity is required to conduct an impairment test on the asset or **cash-generating unit** (CGU) whereby the entity makes a formal estimate of recoverable amount. The asset or CGU is impaired when its recoverable amount is lower than the carrying amount. CGU will be defined and discussed in later sections.

Condition of the asset	Evidence is available of obsolescence or physical damage of an asset
Significant internal operation changes	Significant changes with an adverse effect on the entity have taken place or are expected to take place in the near future which will impact the extent or manner in which, an asset is used or is expected to be used. These could include the asset becoming idle, plans to discontinue or restructure the operation to which an asset belongs, plans to dispose of an asset before the previously expected date, and reassessing the useful life of an asset as finite rather than indefinite.
Internal reporting indicates declining economic performance	- Cash flows for acquiring the asset, or subsequent cash needs for operating or maintaining it, that are significantly higher than those originally budgeted; - Actual net cash flows or operating profit or loss flowing from the asset that are significantly worse than those budgeted - A significant decline in budgeted net cash flows or operating profit, or a significant increase in budgeted loss, flowing from the asset - Operating losses or net cash outflows for the asset, when current period amounts are aggregated with budgeted amounts for the future
Dividends received from an investment in a subsidiary, joint venture or associate	- In relation to an investment in a subsidiary, joint venture or associate, the investor recognises a dividend from the investment and evidence is available that - The carrying amount of the investment in the separate financial statements exceeds the carrying amounts in the consolidated financial statements of the investee's net assets, including associated goodwill; and - The dividend exceeds the total comprehensive income of the subsidiary, joint venture or associate in the period the dividend is declared

► **EXHIBIT 11.1** Internal sources of information that are indications of possible impairment

Illustrative Example 1

Pegasus Limited (Pegasus) owns a fleet of airlines that service airline travel to more than 190 destinations in 60 countries across the globe. The type and number of airplanes used for each route depend upon the length of the journey, the popularity of the route, the size of the destination airport/runway and the type of traveller (e.g. business or leisure) travelling on the route. The airplanes constitute the majority of Pegasus's non-financial assets. For each of the following scenarios, identify whether an indicator of impairment exists in relation to Pegasus's assets:

Scenario	Response
A Chinese-owned competitor airline, Beijing Airlines commenced flying on the route from Hong Kong to Beijing. Given that the government of mainland China heavily subsidised Beijing Airlines, airfares were half the price of that offered by Pegasus, and this was expected to continue for the indefinite future.	Yes. An indicator of impairment exists. This is a significant external adverse change to the entity that is an external source of information indicating possible impairment.
Due to a newly released forecast trend of increasing fuel prices, the market capitalisation of Pegasus on the Hong Kong Stock Exchange (HKSE) dropped by 25%. This resulted in the market capitalisation being less than the carrying amount of the company's net assets.	Yes. An indicator of impairment exists. The entity's market capitalisation is less than its net assets is an external source of information indicating possible impairment.

Illustrative Example 1 (continued)

Scenario	Response
Due to poor demand on the route from Hong Kong to Cebu in the Philippines, Pegasus's management decided to no longer service this route directly and to code share through Icarus Airlines. The change will commence in 18 months.	Yes. This is a significant operational change that is an internal source of information indicating possible impairment.
A number of airplanes used on routes into airports that have harsh winters (including snow and ice) were showing signs of greater deterioration than the airplanes not used on those routes.	No. This indicates that depreciation of the airplanes used on those routes should be reviewed and possibly accelerated.

Key Learning Point

At the end of each reporting period, an entity will assess whether indications show that an asset may be impaired.

► Knowledge Check Questions**Question 1**

Identify which of the following assets do not need to be tested for impairment every year.

- A** A taxi licence with an indefinite useful life
- B** Software that is under development
- C** A 20-year franchise agreement
- D** Goodwill acquired in a business combination

Question 2

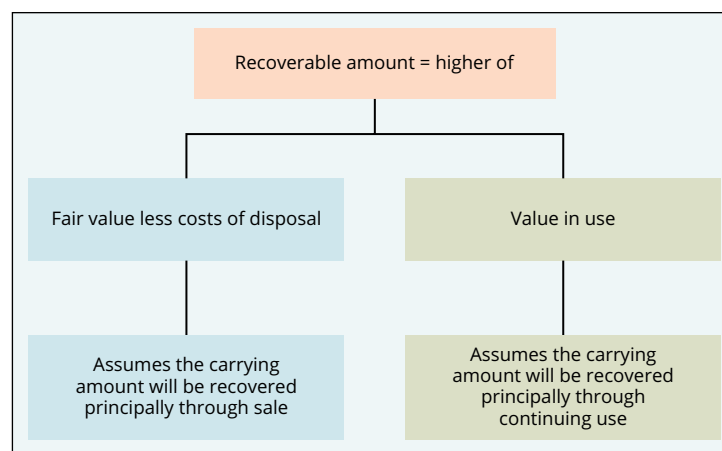
Identify when the impairment test must be applied to tangible assets.

- A** Annually
- B** Every two years
- C** Every reporting period, including interim reporting periods
- D** When there is an indication of impairment

11.3 MEASUREMENT OF RECOVERABLE AMOUNT

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If it has been determined an asset is to be tested for impairment, the next step is for the entity to assess the recoverable amount of the asset. The recoverable amount of an asset is the higher of the asset's value in use and fair value less **costs of disposal**. Value in use is the benefit the entity will get by using the asset; fair value less costs of disposal is the net benefit the entity will get by disposing of the asset. For example, the value in use of a commercial apartment building to the owner would be the net present value of the future rental cash flows whereas the fair value is the estimated amount the owners would receive for selling the building.



► EXHIBIT 11.2 Determination of Asset's Recoverable Amount

11.3.1 Determining Fair Value Less Costs of Disposal

The requirements for measuring fair value are set out in HKFRS 13 *Fair Value Measurement* (see Chapter 2). Under those requirements, fair value less costs of disposal can be measured even if there is not a quoted price in an active market for an identical asset.

Costs of disposal are incremental costs directly attributable to the disposal of an asset, excluding finance costs and income tax expense (HKAS 36.6), and include the costs of selling, retiring or scrapping an asset, whichever is the most likely scenario. Examples of disposal costs are legal costs, stamp duty and similar transaction taxes, costs of dismantling and removing the asset and direct incremental costs to bring an asset into condition for its sale.

11.3.2 Determining Value in Use

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Value in use is defined as the present value of the future cash flows expected to be derived from an asset.

Estimating the value in use of an asset involves the following steps:

1. Estimating the future cash inflows and outflows to be derived from the asset's continuing use and ultimate disposal; and
2. Discounting those future cash flows to their present value by applying an appropriate discount rate.

Cash flow projections are to be based on reasonable and supportable assumptions and should represent management's best estimate of the range of economic conditions that will exist over the remaining useful life of the asset. The estimated future cash flows include both those arising during the estimated useful life of the asset and the net cash flows, if any, estimated to be received (or paid) for the disposal of the asset at the end of its useful life, after deducting the estimated costs of disposal.

The discount rate is a pre-tax rate that reflects current market assessments of:

- the time value of money and
- the risks specific to the asset for which the future cash flow estimates have not been adjusted.

The key principle in determining the discount rate is to identify a rate that provides the return that investors would require if they were to choose an investment that would generate cash flows of amounts, timing and risk profile equivalent to those expected to be derived from the asset.

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Illustrative Example 2

Disc Limited is a manufacturer of vinyl records. The machinery used to manufacture the records originally cost HK\$600,000 and as of 30 June 20X6, there was total accumulated depreciation of HK\$200,000 in relation to the machinery.

On 30 June 20X6, it was deemed that the fair value in the market for that type of machinery was approximately HK\$170,000 and the likely costs associated with the sale would be HK\$20,000. If the machinery was able to continue to be used, the expected net cash flows (ignoring inflation) would equate to HK\$45,000 per year for five years. Disc Limited used an 8% discount rate for calculating value in use.

Analysis

The recoverable amount is the higher of fair value less costs of disposal and value in use. The fair value less costs of disposal in this instance is HK\$150,000, calculated as the fair value of HK\$170,000 less the costs of disposal of HK\$20,000.

Value in use is calculated as the sum of the present value of the future net cash flows. In this case, it is HK\$179,672, calculated by:

Year	Cash flow	Present value (at 8%)
	HK\$	HK\$
1	45,000	41,667
2	45,000	38,580
3	45,000	35,722
4	45,000	33,076
5	45,000	30,626
Total		179,672 (rounded)

Therefore, the recoverable amount is HK\$179,672.

Entities will often calculate value in use first as it is based mostly on internal information, such as internal budgets and forecasts and is, therefore, easier to calculate. Entities may have generic assets, which are easy to source a market valuation for or may have received a genuine offer from an independent third party for an asset, and therefore, fair value less costs of disposal is a more expedient value to use.

Where obtaining inputs is difficult or performing exact calculations is time consuming, using estimates, averages and computational short cuts is acceptable as reasonable approximations for determining fair value less costs of disposal or value in use providing they are well founded and are used on a consistently. For example, in estimating future revenue growth in cash flow projections, it is acceptable to use an average of the revenue growth of an earlier time period, which is deemed to be representative of future sale growth.

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11.3.3 Measuring the Recoverable Amount of an Intangible Asset with an Indefinite Useful Life

HKAS 36 requires that intangible assets with an indefinite **useful life** be tested for impairment at least annually by comparing its carrying amount with its recoverable amount irrespective of any indication it may be impaired. Indefinite life intangible assets are non-amortising assets, and therefore, imposing a requirement for a mandatory annual impairment test provides users of the financial statement with some assurance against the asset's carrying amount exceeding its recoverable amount.

Although the impairment test for indefinite life intangible assets is required at least annually, HKAS 36 permits a shortcut approach of using the most recent detailed calculation of an asset's recoverable amount from a preceding period in the impairment test for an asset in the current period, provided all of the following criteria are met:

- if the intangible asset is tested for impairment as part of a cash-generating unit (CGU), the assets and liabilities making up that unit have not changed significantly since the most recent recoverable amount calculation;
- the most recent recoverable amount calculation resulted in an amount that exceeded the asset's carrying amount by a substantial margin; and
- based on an analysis of events that have occurred and circumstances that have changed since the most recent recoverable amount calculation, the likelihood that a current recoverable amount determination would be less than the asset's carrying amount is remote.

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Apply and Analyse 1

TransWay Limited (TransWay) is an infrastructure company that specialises in partnering with the Hong Kong government to build tollroads, tunnels and bridges. In return for providing the capital and expertise to build these pieces of infrastructure, it is contracted to charge a toll to the users of that infrastructure. The Hong Kong government had to approve any increases in toll charges.

One of its core assets is the Tsing Ma Bridge, which links Lantau Island to mainland Hong Kong. Due to the high traffic being experienced on the Tsing Ma Bridge, the

Apply and Analyse 1 (continued)

government proposed a tunnel also be built linking Lantau Island with Hong Kong and a TransWay competitor, FirstChoice has been the successful tenderer.

The Tsing Ma Bridge was built in 20X4 at a cost of HK\$2.3 billion. Its current carrying value was HK\$1.6 billion

Apply and Analyse 2

TransWay has identified that there has been an indication of impairment (from an external source) and has commenced the determination of the recoverable amount. TransWay has determined a fair value less costs of disposal of HK\$1.325 billion and is now required to calculate the value in use.

Management have provided the following inputs for the value in use calculation:

- The earnings before interest, tax and depreciation (EBITDA) for the Tsing Ma Bridge asset as stated in the Transway 20X7 actuals will be used as a proxy for future cash flows. It does not include the impact of any restructures or enhancements of the bridge.
- The 20X7 actual EBITDA for the bridge was HK\$80 million, calculated as the net amount of revenue of HK\$640 million and costs of HK\$560 million.
- Revenue in the five-year forecast is assumed to increase at the rate of 4% per annum and costs have been assumed to increase at the rate of 3% per annum, which is in line with the trends experienced in the prior three years.
- There is no surrogate discount rate available for this asset, and therefore, Weighted Average Cost of Capital (WACC) will be used. It has been calculated as 10.3%.

The terminal value, reflecting the aggregate of the present value of EBITDA in the years beyond the forecast period is estimated to be HK\$780.6m.

Required:

- (a) Discuss the process of calculating value in use.
- (b) Calculate the value in use of the Tsing Ma Bridge at the end of 20X7 (show all workings).

The other measure of recoverable amount is the asset's value in use. Value in use is defined as the present value of the future cash flows expected to be derived from an asset or cash-generating unit (CGU).

Unlike fair value less costs of disposal, which is a market-based measure, value in use is an entity-specific measure as it is based on internal information and management's judgement.

Estimating the value in use of an asset involves the following two steps:

1. Estimating the future cash inflows and outflows of the asset.
2. Applying the appropriate discount rate to those future cash flows.

Apply and Analyse 2 (continued)

To estimate the future cash inflows and outflows and discount rate, the following elements are taken into account:

- an estimate of the future cash flows the entity expects to derive from the asset;
- expectations about possible variations in the amount or timing of those future cash flows;
- the time value of money, represented by the current market risk-free rate of interest. The risk-free rate of return is the return an investor would expect to earn on a risk-free investment, such as the interest rate paid by a stable government on its government bonds (over the equivalent period of the asset's future cash flows);
- the price for bearing the uncertainty inherent in the asset. This is an adjustment to the discount rate or the cash flow projections, which reflect the risk of the entity achieving the projected cash flow from that asset. The adjustment factor will vary depending upon the certainty of the asset's performance, the contracted revenue flows and the volatility of the industry and/or market in which the asset operates; and
- other factors, such as illiquidity, that market participants would reflect in pricing the future cash flows the entity expects to derive from the asset.

Expectations, the price for bearing the uncertainty, and other factors are reflected in the calculation of value in use as either an adjustment to the:

- future cash flows; or
- discount rate.

Regardless of which approach is adopted to reflect expectations about possible variations in the amount or timing of future cash flows, the overall result must reflect the expected present value of the future cash flows, that is the weighted average of all possible outcomes.

Value in use of the Tsing Ma Bridge as at the end of 20X7, showing all workings.

	20X7 Actual	20X8 Forecast	20X9 Forecast	20Y0 Forecast	20Y1 Forecast	20Y2 Forecast	Terminal value
	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m
Revenue	640.0	665.6	692.2	719.9	748.7	778.7	–
Cash costs	(560.0)	(576.8)	(594.1)	(611.9)	(630.3)	(649.2)	–
EBITDA	80.0	88.8	98.1	108	118.4	129.5	
Discount factor at 10.3%	–	0.907	0.822	0.745	0.676	0.613	
PV	–	80.5	80.6	80.5	80	79.4	780.6
NPV	–	1,181.6					

(1) Calculated as $1/(1 + \text{discount rate})^{\text{discount period}}$

The value in use of the Tsing Ma bridge is HK\$1.182 billion.

Therefore, the recoverable amount is HK\$1.325 billion as the recoverable amount is the higher of the fair value less costs of disposal and value in use.

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Key Learning Point

If it has been determined an asset is to be tested for impairment, the entity will be required to determine the recoverable amount of the asset. The recoverable amount of the asset will be the higher of the asset's value in use and fair value less costs of disposal.

► Knowledge Check Questions**Question 3**

Calculate the value in use of an asset that has been estimated to receive the following future cash flows.

- (a) End of year 1 HK\$10,000
- (b) End of year 2 HK\$50,000
- (c) End of year 3 HK\$20,000

The discount rate was determined as 8%.

Question 4

The fair value less costs of disposal of an asset is HK\$650,000. The expected future cash flows of the asset are as follows:

End of Year 1	HK\$145,000
End of Year 2	HK\$145,000
End of Year 3	HK\$145,000
End of Year 4	HK\$145,000
End of year 5	HK\$145,000

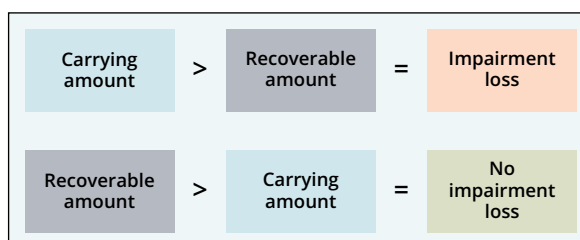
The discount rate was determined as 5%. Calculate the recoverable amount of this asset.

- A** HK\$627,774
- B** HK\$650,000
- C** HK\$661,113
- D** HK\$725,000

11.4 RECOGNITION AND MEASUREMENT OF IMPAIRMENT LOSS

This section addresses the requirements for recognising and measuring impairment losses for an individual asset. Recognising and measuring impairment losses for cash-generating units (CGUs) and goodwill will be dealt with in Section 11.5.

After determining the asset's recoverable amount (the higher of the value in use and fair value less costs of disposal), the recoverable amount is compared to the asset's carrying amount. Where the carrying amount is greater than the recoverable amount, the carrying amount of the asset is reduced to its recoverable amount. This reduction in value is called the impairment loss. The relationship of an asset's carrying amount to its recoverable amount is shown in Exhibit 11.3.

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► **EXHIBIT 11.3** Analysis of carrying amount to recoverable amount for impairment testing purposes

The recognition of an impairment loss will differ depending upon whether the asset is measured using the cost model or the revaluation model.

Following the recognition of an impairment loss, the **depreciation (amortisation)** charge for the asset is adjusted in future periods to allocate the asset's revised carrying amount, less its residual value (if any), on a systematic basis over its remaining useful life.

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11.4.1 Assets Measured Using the Cost Model

For assets measured using the cost model, an impairment loss is recognised immediately in profit or loss. The journal entries to account for the impairment loss are:

DR Impairment loss	xxx	
CR Accumulated impairment losses		xxx
(record impairment based on difference between carrying amount and recoverable amount)		

Illustrative Example 3

Continuing with the facts in Illustrative Example 2, Assume an entity has determined one of its buildings has an impairment loss to be recorded. The building has a carrying value of HK\$350 million, which is the net of the cost of HK\$600 million and accumulated depreciation of HK\$250 million. The recoverable amount has been determined as HK\$250 million.

The journals to recognise the impairment loss are as follows:

	Debit	Credit
	HK\$	HK\$
Impairment loss	100,000,000	
Accumulated impairment losses		100,000,000
(record impairment based on difference between carrying amount and recoverable amount)		

11.4.2 Assets Measured Using the Revaluation Model

If an asset is measured using the revaluation model, the impairment loss is treated as a revaluation decrease in accordance with the relevant standard (see e.g. Chapter 5: Property, Plant and Equipment).

An impairment loss on a revalued asset is recognised as a downwards revaluation in other comprehensive income (OCI) to the extent that the impairment loss does not exceed the amount in the revaluation surplus for that same asset.

If the impairment loss exceeds the revaluation surplus, the excess is recognised in profit and loss.

Illustrative Example 4

Ragot Limited (Ragot) owns an airplane subject to a revaluation model, which has an impairment loss to be recognised with the following facts:

- The airplane was acquired at a cost of HK\$600 million in 20X2 and had a useful life of 12 years;
- In 20X4, after two years of use, the airplane had a carrying value of HK\$500 million, being the original cost of HK\$600 million less accumulated depreciation of HK\$100 million;
- At the same time, in 20X4, management decided to change to a revaluation model, and accordingly, the airplane was revalued to HK\$650 million. At the time of revaluation, the useful life of the airplane was changed to be 13 years. The revaluation increment of HK\$150 million was booked to OCI in a revaluation surplus;
- In 20X6, following two more years of depreciation, the carrying value of the airplane was HK\$550 million, being the revalued amount of HK\$650 million less accumulated depreciation of HK\$100 million; and

Illustrative Example 4 (continued)

- Following an impairment review, the recoverable amount was determined to be HK\$375 million and an impairment loss of HK\$175 million was to be recognised.

The journals to recognise the impairment loss in 20X6 are as follows:

	Debit	Credit
	HK\$	HK\$
Accumulated depreciation	100,000,000	
Airplane		100,000,000
(eliminate depreciation accumulated to date)		
Revaluation surplus (OCI)	150,000,000	
Impairment loss (Profit and loss)	25,000,000	
Airplane		175,000,000
(record impairment based on difference between carrying amount and recoverable amount)		

The total impairment loss is HK\$175 million. However, as there was a HK\$150 million revaluation increment taken to OCI in 20X4, the same amount can be taken as a reduction in the revaluation surplus in OCI in 20X6. The remaining HK\$25 million is included in profit and loss in 20X6.

Apply and Analyse 3

Following the acquisition of Info Limited in 20X7, TV One decided to adopt a revaluation model for plant and equipment in 20X8. In 20X9, an impairment review was required for Info Limited's News division. The following information was provided for the News division's plant and equipment at 20X9:

Plant and equipment	Cost as at 20X7	Carrying amount at 20X8	Revalued Amount at 20X8	Recognised in OCI	Carrying amount at 20X9	Recoverable Amount at 20X9
	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m
Printing presses	450	420	510	90	460	450
Computing and IT	210	190	230	40	220	170
Delivery	40	30	55	25	40	20
	710	640	895	155	720	660

Determine the journal entries to recognise the impairment losses for the News division's plant and equipment in 20X9.

Apply and Analyse 3 (continued)

Analysis

Printing Presses

The printing presses had a carrying value of HK\$460 million at the end of the 20X9 year, with HK\$50 million of accumulated depreciation (HK\$510 million – HK\$460 million). The accumulated depreciation was netted off against the asset account. The recoverable amount of the printing presses was HK\$450 million, which was HK\$10 million less (HK\$460 million – HK\$450 million) than their carrying value. This difference was the impairment loss but taken through OCI as there had been a previous upwards revaluation:

	Debit	Credit
	HK\$	HK\$
Accumulated depreciation	50,000,000	
Printing press		50,000,000
Revaluation surplus (OCI)	10,000,000	
Printing press		10,000,000

Computing and IT

The computing and information technology (IT) assets had a carrying value of HK\$220 million at the end of the 20X9 year, with HK\$10 million of accumulated depreciation (HK\$230 million – HK\$220 million). The accumulated depreciation was netted off against the asset account. The recoverable amount of the computers and IT assets was HK\$170 million, which was HK\$50 million less (HK\$220 million – HK\$170 million) than their carrying value. This difference was the impairment loss with HK\$40 million taken through OCI as there had been a previous upwards revaluation of that amount, with the remainder (HK\$10 million) being taken through profit loss.

	Debit	Credit
	HK\$	HK\$
Accumulated depreciation	10,000,000	
Computing and IT		10,000,000
Revaluation surplus (OCI)	40,000,000	
Impairment loss	10,000,000	
Computing and IT		50,000,000

Apply and Analyse 3 (continued)

Delivery

The delivery assets had a carrying value of HK\$40 million at the end of the 20X9 year, with HK\$15 million of accumulated depreciation (HK\$55 million – HK\$40 million). The accumulated depreciation was netted off against the asset account. The recoverable amount of the delivery assets was HK\$20 million, which was HK\$20 million less (HK\$40 million – HK\$20 million) than their carrying value. This difference was the impairment loss but taken through OCI as there had been a previous upwards revaluation:

	Debit	Credit
	HK\$	HK\$
Accumulated depreciation	15,000,000	
Delivery		15,000,000
Revaluation surplus (OCI)	20,000,000	
Delivery		20,000,000

Key Learning Point

An impairment loss is recognised immediately in profit or loss, unless the asset is carried at revalued amount in accordance with another standard, in which case, the impairment loss is recognised against the revaluation surplus in OCI, if any.

► Knowledge Check Questions

Question 5

An asset has a carrying value of HK\$11 million. After conducting an impairment test, the following information is available: The asset's value in use is negative HK\$15 million and its fair value less costs of disposal is negative HK\$22 million. Advise what is the recoverable amount and impairment loss to be recognised, if any.

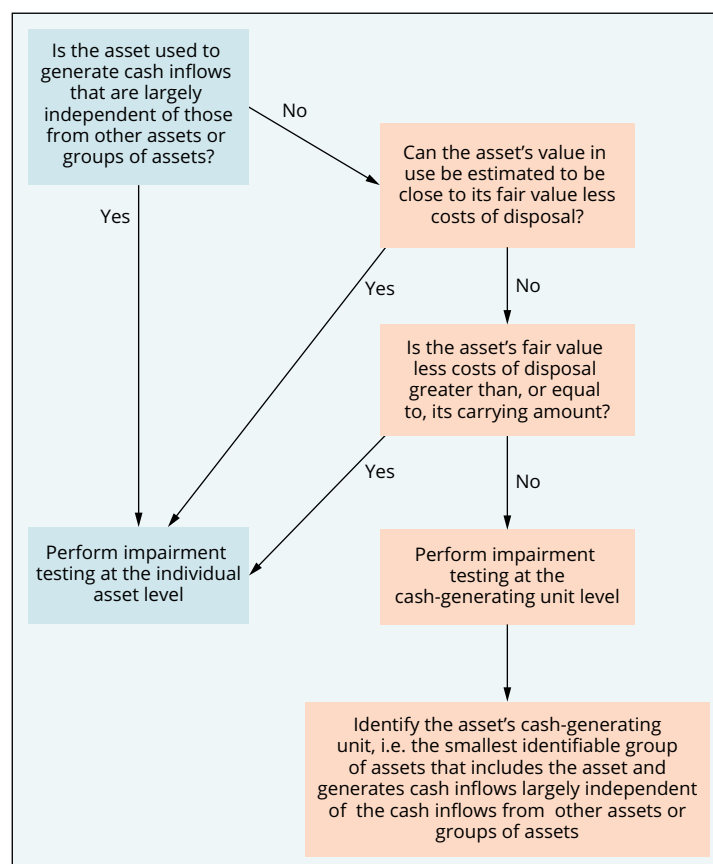
11.5 CASH-GENERATING UNITS (CGUS) AND GOODWILL

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Where possible, impairment testing is undertaken for individual assets. If the recoverable amount of an individual asset cannot be determined (e.g. when an asset does not generate cash flows by itself as it is used in conjunction with other assets), an entity is required to assess the recoverable amount of the cash-generating unit (CGU) to which the asset belongs. A CGU is defined by HKAS 36 as the smallest identifiable group of assets that generate cash inflows largely independent of the cash inflows from other assets.

Furthermore, in some cases where an entity has multiple business units (and particularly where some of those operations are horizontally or vertically integrated), it is not always easy to define which assets should be included in the CGU as assets may be shared across those CGUs. For example, for Info Limited in the Opening Case, customer lists may exist that can be used by the News and Digital divisions, and a determination needs to be made as to which CGU the customer list is allocated.

The decision-making process for determining the level of impairment testing is explained in Exhibit 11.4.



► **EXHIBIT 11.4** Determination of level of impairment testing (asset or cash-generating unit)

In determining the smallest group of assets that work together to generate a cash flow (a CGU), it must be demonstrated no active market exists for the output produced by each individual asset in the CGU.

If there is a wholesale, retail or quoted market price or some other form of public market indicator of value for a particular output produced by an asset, an active market exists for that product. The CGU, therefore, consists of all the assets required to generate that output assuming there is no active market for any output created earlier in the production process.

Illustrative Example 5

XYZ Company, located in Hong Kong, operates factories in Hong Kong and Australia and manufactures two products, Product A and Product B. Product A is manufactured in Australia and all of the items produced are transferred to the factory in Hong Kong and are used to produce Product B. XYZ company does not sell product A externally. An active market for product A exists in Australia.

The decision tree in Exhibit 11.3 shows the decision-making process in determining the appropriate level of impairment testing within XYZ Company for the assets used to produce product A.

Because there is an active market in Australia for Product A, the factory located in Australia would be treated as a separate CGU because the assets *could* generate cash flows that would be largely independent of the cash flows generated by the other assets of XYZ Company. Accordingly, when determining the value in use of the factory located in Australia, management estimates the expected market price of the factory output. In turn, management uses the estimate of the market price of the Australian factory's output when determining the value in use of the Hong Kong factory that is using Product A as an input to the production of Product B. This means that rather than using internal transfer prices in determining the recoverable amount of a CGU, management uses market prices.

Illustrative Example 6

Mineralia is a mining company located in Hong Kong. In order to support its business activities, it owns a private railway. The railway does not generate its own cash inflows, which are independent of the rest of the mine. Because the railway is so specialised for the specific business needs of Mineralia, if the company decided to sell it, it could be sold only for scrap (i.e. the value of the materials).

The actual value of the private railway is probably different from its scrap value, but this recoverable amount is not possible to estimate because the only value that can be determined is the scrap value. In order to estimate the recoverable amount of the railway, Mineralia must estimate the recoverable amount of the entire mine. This is because the mine is the cash-generating unit to which the railway belongs.

The assessment as to whether an asset is used to generate independent cash inflows requires the application of professional judgement. The outcome of that assessment can be a key determinant as to whether an impairment is recognised or not. The assessment will be

based on a number of factors that are outlined in HKAS 36.69, including how management monitors the entity's operations or how management makes decisions about continuing or disposing of the entity's assets and operations.

11.5.1 Recoverable Amount and Carrying Amount of a CGU

When comparing the recoverable amount to the carrying value of the CGU, the correct assets of the CGU must be included in the assessment of carrying value to provide a meaningful comparison. This means the assets and liability, if permitted in certain circumstances (refer below) included in the carrying amount of the asset or CGU must be consistent with the basis of inclusion of cash inflows and cash outflows included in the determination of the recoverable amount.

HKAS
36.76–79

Accordingly, the following guidelines outlined in Exhibit 11.5 should be applied.

	Assets	Liabilities
Principle	Include the carrying amount of only those assets that can be attributed directly, or allocated on a reasonable and consistent basis, to the CGU and will generate the future cash inflows used in determining the CGU's value in use	Not include the carrying amount of any recognised liability. The only exception to this is where the recoverable amount of the CGU cannot be determined without consideration of this liability as they are integrated and will always be sold together

► **EXHIBIT 11.5 Guidelines to be applied to determine the assets and liabilities to be included in the carrying amount of a CGU**

There are assets, however, that cannot be allocated to the CGU on a reasonable and consistent basis even though they contribute to the estimated future cash flows of a CGU. Examples include corporate assets and goodwill.

HKAS
36.77

Recognition of an Impairment Loss for a CGU

Given the number and different types of assets that may form part of a cash-generating unit (including goodwill), it is important to understand the rules that apply to the allocation of any impairment loss that may arise.

An impairment loss is to be recognised for a cash-generating unit or group of cash-generating units to which goodwill or a corporate asset has been allocated when the carrying amount exceeds the recoverable amount of that cash-generating unit or group of cash-generating units.

HKAS
36.104

The impairment loss is allocated to reduce the carrying amount of the assets of the cash-generating unit or group of cash-generating units in the following order:

1. Reduce the carrying amount of any goodwill allocated to the cash-generating unit or group of cash-generating units and
2. Reduce the carrying amount of other assets of the cash-generating unit or groups of cash-generating units on a pro rata basis.

HKAS
36.10

When allocating the impairment loss to the non-goodwill assets, the carrying amount of any asset is not to be reduced below the highest of:

- (a) its fair value less costs of disposal (if measurable);
- (b) its value in use (if determinable); and
- (c) zero.

The amount of the impairment loss that would otherwise have been allocated to the asset is allocated pro rata to the other assets of the cash-generating unit or group of cash-generating units.

HKAS
36.105

11.5.2 Corporate Assets

Corporate assets include group or divisional assets, such as the group headquarters building. The distinctive features of corporate assets are that they do not generate cash inflows independently of other assets or groups of assets, and their carrying amounts cannot be fully attributed to the CGU under review.

HKAS
36.100

As they do not generate separate cash inflows, the recoverable amount of a corporate asset is not determined individually but rather as part of a CGU.

HKAS
36.101

If the entity is able, allocate a portion of the carrying amount of the corporate asset on a reasonable and consistent basis to a cash-generating unit. The entity compares the carrying amount of the unit plus the portion of the corporate asset allocated to the unit, with its recoverable amount. Any impairment loss is recognised in accordance with Section 11.5.2.

HKAS
36.102(a)

Illustrative Example 7

Jam Pty Limited has two cash-generating units. CGU A has a carrying amount of HK\$700 million and a recoverable amount of HK\$750 million. CGU B has a carrying amount of HK\$900 million and a recoverable amount of HK\$800 million. The carrying amount of the head office assets is HK\$400 million. CGUs A and B utilise the head office equally.

Jam allocates the carrying amount of the head office assets in equal portions to CGUs A and B. The impairment loss for CGU A is HK\$150 million (HK\$700 million + HK\$200 million – HK\$750 million). The impairment loss for CGU B is HK\$300 million (HK\$900 million + HK\$200 million – HK\$ 800 million).

11.5.3 Goodwill

Goodwill is recognised only in a business combination. It is an intangible asset, which represents the future economic benefits arising from acquired assets not individually identified and separately recognised in accordance with HKFRS 3 (Revised) *Business Combinations*. (For more on goodwill and intangible assets, see Chapter 9.) When goodwill is recognised at the date of acquisition, it must be allocated:

HKAS
36.81

- to each of the CGUs, which are expected to benefit from the synergies of the acquisition; or
- to a collection of CGUs, which are expected to benefit from the synergies of the acquisition.

When it comes to impairment testing, testing goodwill independently from other assets is impossible as goodwill does not generate cash flows of its own but works in conjunction with other CGUs or groups of CGUs. Accordingly, HKAS 36 contains specific requirements for the approach to be taken when testing CGUs to which goodwill has been allocated.

The process and timing of the impairment test for goodwill specifically prescribed by HKAS 36 as shown in Exhibit 11.4:

HKAS 36 requires that CGUs to which goodwill has been allocated to be tested at the same time every year. However, it also permits different CGUs to perform this annual impairment test at different times during the year. For example, if CGUs A, B and C all had goodwill allocated to them, they could perform their annual impairment tests in March, July and October, respectively.

Furthermore, CGUs to which goodwill was allocated during the current reporting period due to a business combination, are required to perform an impairment test before the end of the current reporting period.

	Relationship of goodwill to a CGU	Impairment testing process	Timing of testing to be performed
HKAS 36.90	Goodwill has been allocated to a CGU	Impairment test to be performed by comparing the carrying amount of the CGU, including the goodwill with the recoverable amount of the unit	Test annually (at any time during the year, providing it is at the same time each year) <i>and</i> whenever an indicator exists
HKAS 36.90			If an asset within the CGU is to be tested at the same time as the cash-generating unit, the asset is to be tested for impairment first
HKAS 36.97			

► **EXHIBIT 11.6** Timing of impairment testing for CGUs with goodwill

Apply and Analyse 4

A beverage company, TopDrop acquired the premium champagne business Bubbles in 20X1. Bubbles was acquired at a cost of HK\$150 million with tangible assets of HK\$120 million and goodwill of \$30 million, and will be considered a CGU for TopDrop. The tangible assets acquired include a vineyard with a fair value of HK\$40 million, champagne brewing equipment of HK\$50 million and an exclusive cellar door tasting facility fair valued at HK\$30 million.

In 20X2, TopDrop was required to perform an impairment test for Bubbles and has calculated an impairment loss of HK\$50 million. At the time of the impairment test the Vineyard asset had HK\$8 million of accumulated depreciation, the Brewing asset had HK\$10 million and the Cellar Door asset had HK\$6 million. It has received an offer from a competitor to acquire the vineyard HK\$32 million.

Apply and Analyse 4 (continued)

Required

Advise management on how the impairment should be applied to Bubbles' assets.

Analysis

The impairment loss is applied as follows:

- reduce the value of goodwill to nil (HK\$30 million) and
- then reduce the value of the other assets by the balance of HK\$20 million.

The remaining HK\$20 million would be allocated on a pro rata basis to the vineyard HK\$6.7 million ($32/96 \times \text{HK\$20 million}$), the brewing equipment HK\$8.3 million ($40/96 \times \text{HK\$20 million}$) and the cellar door facility HK\$5 million ($24/96 \times \text{HK\$20 million}$).

	Original acquisition cost at 20X1 HK\$ million	Accumulated Depreciation HK\$ million	Carrying value at 20X2 HK\$ million	Allocated Impairment Loss HK\$ million	Carrying value at 20X2 post impairment loss allocation HK\$ million
Vineyard	40	8	32	0	32
Brewing	50	10	40	12.5	27.5
Cellar Door	30	6	24	7.5	16.5
Goodwill	30	0	30	30	0
	150		126		76

However, since the fair value less costs of disposal for the vineyard is HK\$32 million (the same value it is currently carried at), the vineyard cannot be impaired and the impairment must be allocated only to the champagne brewing equipment HK\$12.5 million ($40/64 \times \text{HK\$20 million}$) and the cellar door facility HK\$7.5 million ($24/64 \times \text{HK\$20 million}$).

Key Learning Point

Though impairment testing should be undertaken for individual assets, this is not always possible. In this case, impairment testing is performed on the basis of a CGU, which is the smallest identifiable group of assets that generate cash inflows largely independent of the cash inflows from other assets.

► Knowledge Check Questions

Question 6

At reporting date, the carrying amount of a CGU was considered to be impaired by HK\$800. The unit included the following assets:

- Land HK\$4,000
- Plant HK\$3,000
- Goodwill HK\$1,000

Determine the carrying amount of goodwill after the impairment loss is allocated.

- A** HK\$0
- B** HK\$200
- C** HK\$900
- D** HK\$1,000

Question 7

Ceramics Ltd has determined that its dining division is a cash-generating unit. The cost and carrying value of assets in the dining division at 30 June 20X7 are as follows:

Asset	Cost HK\$	Carrying value HK\$
Factory	1,890,000	1,260,000
Land	900,000	900,000
Equipment	960,000	720,000
Inventories	360,000	360,000
Goodwill	300,000	300,000

Ceramics Ltd calculated the recoverable amount of the division to be HK\$3,060,000.

Determine the impairment loss for the equipment asset.

- A** HK\$39,999
- B** HK\$97,627
- C** HK\$245,255
- D** HK\$293,878

11.6 REVERSALS OF IMPAIRMENT

Wherever an impairment of assets has been recognised, management must consider whether indications show the impairment loss needs to be reversed.

External sources of information, which are to be considered in assessing whether any indication shows an impairment loss recognised in prior periods for an asset other than goodwill no longer exists or has decreased, include but are not limited to the following:

- external public evidence shows the asset's value has increased significantly during the period;
- favourable technological, market, economic or legal changes have occurred or are expected to occur in the environment in which the entity operates or in the market which the asset operates in; and
- favourable changes to interest rates or other inputs used to determine the discount rate (e.g. inputs to WACC) that would lead to lower discount rate used in calculating the asset's value in use, and thus, result in a significant increase to the asset's recoverable amount.

HKAS
36.111(a)–(c)

Internal sources of information, which are to be considered in assessing whether any indication shows an impairment loss recognised in prior periods for an asset (other than goodwill) no longer exists or has decreased, include but are not limited to the following:

- the asset has been improved or enhanced in a way expected to increase cash inflows or reduce cash outflows in future periods;
- major inputs have reduced in price due to renegotiations of contracts resulting in an improvement in net cash flows; and
- new customers or markets have been negotiated resulting in an increase in cash inflows.

HKAS
36.111(d)–(e)

11.6.3 Reversing an Impairment Loss for an Individual Asset

If there is an indication that an impairment recognised previously no longer exists or has decreased, an impairment test is required to be performed following the same process as that described in Sections 11.3 and 11.4. The resulting recoverable amount is compared to the carrying value of the asset.

If the recoverable amount is greater than the carrying amount, the previous impairment will be reversed for the difference between the recoverable amount and the carrying value but only to the extent of the asset's previous unimpaired value, net of amortisation or depreciation.

HKAS
36.117

At the beginning of 20X1, WeHaul Logistics Limited (WLL) acquires a new purpose-built heavy-duty road transport vehicle for HK\$3 million as it seeks to broaden the transportation options available to its customers. WLL estimates the useful life of the vehicle to be 10 years. The vehicle generates cash flows that are largely independent of the cash flows of other assets or groups of assets. At the beginning of 20X4 a major new competitor enters the industry. At the end of 20X4, when the carrying amount of the vehicle is HK\$1.8 million, WLL realises that the increased competition has resulted in an impairment loss of HK\$300,000 and writes down the asset to HK\$1.5 million. As the useful life of the vehicle has not been affected by the changed market circumstances, WLL commences depreciating the vehicle at HK\$250,000 per annum and would depreciate the vehicle over its remaining useful life as follows:

	20X1 HK\$ '000	20X2 HK\$ '000	20X3 HK\$ '000	20X4 HK\$ '000	20X5 HK\$ '000	20X6 HK\$ '000	20X7 HK\$ '000	20X8 HK\$ '000	20X9 HK\$ '000	201X HK\$ '000
Carrying amount (CA) beginning year	3000	2700	2400	2100	1500	1250	1000	750	500	250
Depreciation	(300)	(300)	(300)	(300)	(250)	(250)	(250)	(250)	(250)	(250)
Impairment				(300)						
CA end of year	2700	2400	2100	1500	1250	1000	750	500	250	–
CA end of year without impairment	2700	2400	2100	1800	1500	1200	900	600	300	–

During 20X5 WLL learns that the new competitor has gone into administration and significantly reduced its operating capacity. At the end of the 20X5 WLL estimates that the recoverable amount of the vehicle, after taking into account the estimated impact on expected future cash flows of the significant reduction in capacity of the major competitor, is HK\$1.6 million. Since the asset's recoverable amount of HK\$1.6 million is greater than the asset's carrying amount of HK\$1.25 million at the end of 20X5, WLL is able to recognise a reversal of the impairment that was recognised in 20X4, but only to the extent that the revised carrying amount does not exceed the amount at which the asset would have been carried had the 20X4 impairment not occurred.

From the table above, the asset's carrying amount at the end of 20X5 would have been HK\$1.5 million absent from the previous impairment, which is higher than the carrying amount but less than the recoverable amount. Accordingly, WLL is able to recognise a reversal of 83.3% of the previous impairment of HK\$300,000, i.e. HK\$250,000, being the difference between the carrying amount had there been no previous impairment of HK\$1.5 million and the carrying amount of the asset at the end of 20X5 of HK\$1.25 million. The asset's revised carrying amount at the end of 20X5 of HK\$1.5 million will be depreciated over the asset's remaining useful life of 5 years.

A reversal of an impairment loss for an asset (other than goodwill) is required to be recognised immediately in profit or loss, unless the asset is carried at a revalued amount in accordance with another Standard (for example, the revaluation model in HKAS 16 *Property, Plant and Equipment* or HKAS 38 *Intangible Assets*), in which case the reversal is recognised as an increase in the revaluation reserve in OCI.

HKAS
36.120

If previous impairments on a revalued asset had used the entire balance of the revaluation reserve and an amount was recognised in profit and loss, the amount recognised in profit and loss is reversed before any surplus is recognised in the revaluation reserve.

HKAS
36.121

The reversal of an impairment loss should trigger a review of the useful life, depreciation method and other depreciation assumptions.

11.6.4 Reversing an Impairment Loss for a CGU

HKAS
36.122

A reversal of an impairment loss for a CGU is allocated to the assets of the unit, except for goodwill, on a pro-rata basis consistent with the carrying values of the assets within the CGU. A reversal of an impairment loss for a CGU (other than goodwill) is recognised immediately in profit or loss unless the assets in the CGU are carried at revalued amount in accordance with another standard (e.g. the revaluation model in HKAS 16 or HKAS 38), in which case the reversal is recognised as an increase in the revaluation reserve in other comprehensive income (OCI).

HKAS
36.123

As with the recognition of an impairment reversal for individual assets, when allocating a reversal of an impairment loss for a CGU, the carrying amount of any asset in the CGU is not increased above the lower of: its recoverable amount (if determinable) and the carrying amount that would have been determined (net of amortisation or depreciation) had no impairment loss been recognised for the asset in prior periods.

HKAS
36.124

11.6.5 Reversing an Impairment Loss for Goodwill

Impairment losses previously recognised for goodwill cannot be reversed.

HKAS
36.125

Any increase in the recoverable amount of goodwill in the periods following the recognition of an impairment loss for that goodwill is most likely to be an increase in internally generated goodwill rather than a reversal of the impairment loss recognised for the acquired goodwill. As HKAS 38 prohibits the recognition of internally generated goodwill, there is no accounting required if this situation arises.

Apply and Analyse 5

A beverage company, TopDrop, acquired premium champagne business Bubbles in 20X1. Bubbles was acquired at a cost of HK\$150 million with tangible assets of HK\$120 million and goodwill of HK\$30 million. Bubbles is considered a CGU for TopDrop. The tangible assets acquired included a vineyard with a fair value of HK\$40 million, champagne brewing equipment of HK\$50 million and an exclusive cellar door tasting facility fair valued at HK\$30 million. Each of the assets acquired was expected to have a five-year useful life.

In 20X2, TopDrop was required to perform an impairment test for Bubbles and calculated an impairment loss of HK\$50 million. It received an offer from a competitor to acquire the vineyard HK\$40 million.

Apply and Analyse 5 (continued)

The impairment loss was applied in two ways:

1. Reduce the value of goodwill to nil (HK\$30 million); and
2. Pro rata the remaining HK\$20 million to the Brewing and Cellar Door facility. As shown in the following table, Vineyard did not receive any of the impairment loss as its fair value less costs of disposal (HK\$40 million) is in excess of its carrying value (HK\$32 million). Therefore, Brewing received 62.5% ($40/(40+24)$) or HK\$12.5 million of the total impairment loss, and the Cellar Door facility received 37.5% ($24/(40+24)$) or HK\$7.5 million. This reduced their carrying values to HK\$27.5 million and HK\$16.5 million, respectively.

	Original acquisition cost at 20X1	Accumulated Depreciation	Carrying value at 20X2	Allocated Impairment Loss	Carrying value at 20X2 post impairment loss allocation
	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m
Vineyard	40	(8)	32	(0)	32
Brewing	50	(10)	40	(12.5)	27.5
Cellar Door	30	(6)	24	(7.5)	16.5
Goodwill	30	(0)	30	(30)	0
	150		126		76

In 20X4, TopDrop identified the market for locally grown champagne had significantly improved and calculated a revised recoverable amount for Bubbles of HK\$160 million. The HK\$160 million recoverable amount was in excess of the carrying value of HK\$38 million, which is indicated in the following table.

As any impairments to goodwill could not be reversed, the entire amount of the impairment reversal of HK\$122 million (HK\$160 million – HK\$38 million) could only be applied to other assets.

Therefore, the impairment reversal of HK\$122 million was applied as follows.

- Ignore goodwill, as goodwill impairments could not be reversed, and
- Ignore the carrying value of the the Vineyard in this case, as the Vineyard was not impaired in 20X2.

Apply and Analyse 5 (continued)

- Pro rata the impairment reversal to the brewing and cellar door, based on their carrying amounts as at 20X4. This is 62.5% ($13.75 / (13.75 + 8.25)$) and 37.5% ($8.25 / (13.75 + 8.25)$) for the brewing and cellar door, respectively. This meant HK\$76.25 million ($\text{HK\$122 million} \times 62.5\%$) and HK\$45.75 million ($\text{HK\$122 million} \times 37.5\%$) could be allocated to the two assets within the CGU, respectively.
- However, impairment reversals could only be allocated up to what the asset would have been carried as if no impairment had previously taken place. This would be HK\$20 million for brewing ($\text{HK\$50 million} - 3 \text{ years} \times \text{HK\$10 million per year depreciation expense}$) and HK\$12 million for cellar door ($\text{HK\$30 million} - 3 \text{ years} \times \text{HK\$6 million per year depreciation expense}$). Therefore, only HK\$6.25 million could be allocated to brewing ($\text{HK\$20 million} - \text{HK\$13.75 million}$) and HK\$3.75 million to cellar door ($\text{HK\$12 million} - \text{HK\$8.25 million}$).
- The remaining HK\$112 million of the impairment reversal cannot be included against the assets of Bubbles.

	Carrying value at 20X2 post impairment loss	Accumulated Depreciation since 20X2 (for 2 years of depreciation)	Carrying value at 20X4	Impairment Reversal allocation	Carrying value at 20X4 post impairment reversal allocation
	HK\$m	HK\$m	HK\$m	HK\$m	HK\$m
Vineyard	32	(16)	16	0	16
Brewing	27.5	(13.75)	13.75	6.25	20
Cellar Door	16.5	(8.25)	8.25	3.75	12
Goodwill	0	(0)	0	0	0
	76		38		48

Key Learning Point

When the recoverable amount becomes greater than the carrying amount, the previous impairment should be reversed. The reversed amount is the difference between the recoverable amount and the carrying value. The reversal can only be made to the extent of the asset's previous unimpaired value, net of amortisation or depreciation.

► Knowledge Check Questions

Question 9

When assessing the recoverable amount of assets previously subject to an impairment loss, identify which of the following indicators assist in providing external evidence that an impairment loss has reversed.

- A** The asset's market value has decreased significantly during the period.
- B** Significant changes with an adverse effect on the entity have taken place.
- C** Market interest rates have decreased during the period.
- D** Internal reporting sources indicate that the economic performance of the asset will not be as good as expected.

Question 10

Identify which of the following statements is not correct in relation to the reversal of an impairment loss of an individual asset.

- A** When reversing an impairment loss, the carrying amount cannot be increased to an amount in excess of the carrying amount that would have been determined had no impairment loss been recognised.
- B** For a depreciable asset, a calculation of carrying amount using the depreciation variables needs to be applied before the impairment loss to determine what the carrying amount would have been if there had been no impairment loss.
- C** If the individual asset is recorded under the cost model, then the increase in the carrying amount is recognised immediately in profit or loss.
- D** Where the recoverable amount is less than the carrying amount of an individual asset, the reversal of a previous impairment loss requires adjusting the carrying amount of the asset to recoverable amount.

Question 11

Plant was purchased on 1 July 20X6 for HK\$1,250,000. At the time of purchase the plant had a 10-year useful life with an estimated residual value of HK\$100,000. On the 30 June 20X8, an impairment test was conducted and the recoverable amount was determined to be HK\$750,000. On the 30 June 20X9 indicators of a reversal were present, and the recoverable amount was determined to be HK\$950,000. Determine the value of the impairment reversal on 30 June 20X9.

- A** HK\$227,222
- B** HK\$236,250
- C** HK\$270,000
- D** HK\$315,000

11.7 PRESENTATION AND DISCLOSURE OF IMPAIRMENT

HKAS 36 includes extensive disclosure requirements when an impairment loss has been recognised by an entity.

When an impairment is recognised by an entity, HKAS 36 requires disclosure, by class of assets, of:

- the amount of impairment losses recognised in profit or loss during the period and the line item(s) of the statement of comprehensive income in which those impairment losses are included; and
- the amount of impairment losses on revalued assets recognised in other comprehensive income (OCI) during the period.

HKAS
36.126

When a previously recognised impairment is reversed by an entity, HKAS 36 requires disclosure, by class of assets, of:

- the amount of reversals of impairment losses recognised in profit or loss during the period and the line item(s) of the statement of profit or loss and other comprehensive income in which those impairment losses are reversed; and
- the amount of reversals of impairment losses on revalued assets recognised in OCI during the period.

HKAS
36.126

HKAS 36 also includes detailed requirements in relation to the circumstances giving rise to the recognition or reversal of an impairment, including:

- the amount;
- the events and circumstances that led to the recognition or reversal of the impairment loss;
- the nature of the asset or a description of the CGU; and
- the recoverable amount and whether the recoverable amount is its fair value less costs of disposal or its value in use.

HKAS
36.130

If the recoverable amount is fair value less costs of disposal, the level of the fair value hierarchy is required to be disclosed (see chapter 2 for discussion of HKFRS 13 *Fair Value Measurement*). In addition, HKAS 36 requires the following disclosures if the fair value measurement is categorised as Level 2 or 3 of the fair value hierarchy:

- a description of the valuation technique(s) used to measure fair value less costs of disposal;
- if there has been a change in valuation technique, the change and the reason(s);
- each key assumption upon which management has based its determination of fair value less costs of disposal; and
- the discount rate(s) used in the current measurement and previous measurement if fair value less costs of disposal is measured using a present value technique.

If the recoverable amount is value in use, the discount rate(s) used in the current estimate and previous estimate (if any) of value in use.

For example, airline company Pegasus Limited (see Illustrative Example 1) may disclose the information in Exhibit 11.5 to comply with these requirements.

Note X: Impairment testing of cash-generating units

Identification of an asset's CGU involves judgement based on how Management monitors the Group's operations and how decisions to acquire and dispose of the assets and operations are made. Management has identified the lowest identifiable group of assets that generates largely independent cash inflows as being Pegasus International, Pegasus Domestic, Pegasus Loyalty, Pegasus Freight and the Pegasus Budget CGUs.

The value in use was determined by discounting the future cash flows forecast to be generated from the continuing use of the units and was based on the following assumptions:

- Cash flows were projected based on the approved financial plan
- Discount rate: a pre-tax discount rate of 10% per annum has been used in projected cash flows of the cash-generating units, reflecting a market estimate of the weight average cost of capital of the Pegasus Group.

	20X8	20X7
	HK\$m	HK\$m
Goodwill		
Pegasus Domestic	60	60
Pegasus Loyalty	78	78
Pegasus Freight	294	294
Pegasus Budget	810	810
Total Goodwill	1,242	1,242
Other intangible assets with indefinite useful lives		
Pegasus International	366	360
Total other intangible assets with indefinite useful lives	366	360

No impairment was recognised for the identified cash-generating units during the year ended 30 June 20X8 (20X7: nil).

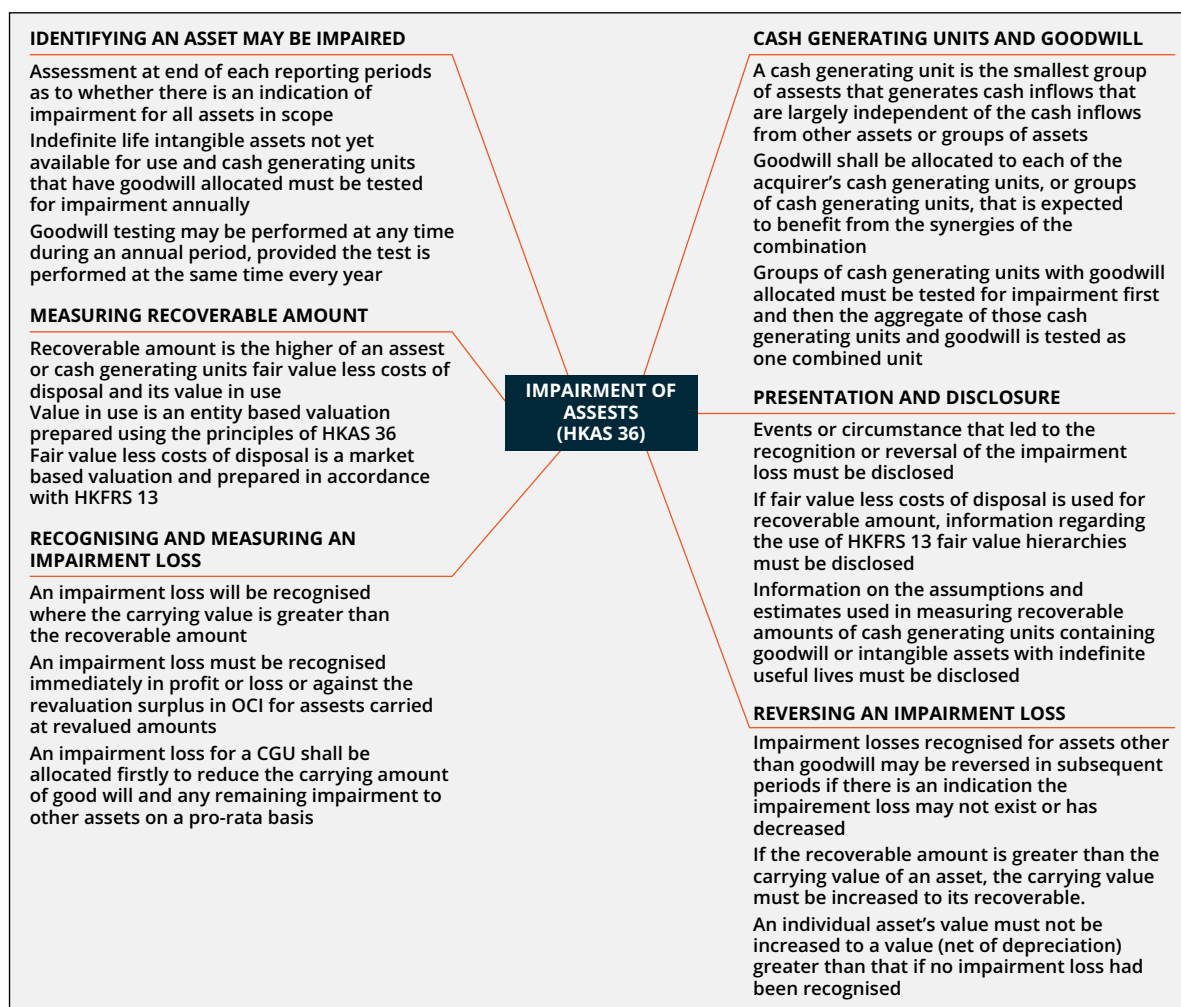
► EXHIBIT 11.7 Illustrative disclosure



SUMMARY

- An assessment is made at the end of each reporting period as to whether an indication of an impairment exists for all assets scoped in to HKAS 36 or a reversal of the impairment of all assets except goodwill.
- Indefinite life intangible assets, intangible assets not yet available for use and CGUs, which have goodwill allocated must also be tested for impairment annually.
- Recoverable amount is the higher of an asset's or CGU's fair value less costs of disposal and its value in use.
- Where the carrying amount is greater than the recoverable amount, the carrying amount of the asset is reduced to its recoverable amount by recognising an impairment loss immediately in profit or loss or against the revaluation surplus in OCI for assets carried at revalued amount.
- An asset's CGU is the smallest group of assets that includes the asset and generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.
- Goodwill acquired in a business combination is allocated to each of the acquirer's CGUs, or groups of CGUs, that is expected to benefit from the synergies of the combination.
- Goodwill testing may be performed at any time during an annual period, provided the test is performed at the same time every year.
- The impairment loss for a CGU, or group of CGUs, is allocated to first to reduce the carrying amount of goodwill and any remaining impairment to other assets on a pro-rata basis.
- If the recoverable amount is higher than the carrying amount of an asset, the carrying amount of the asset must be increased to its recoverable amount providing in the case of an individual asset this does not exceed the value net of depreciation if no impairment loss had been recognised.
- In addition to various information disclosed on the impairment loss or reversal by segment, class, CGU or asset, there must be disclosure of the events or circumstances that led to the recognition or reversal of the impairment loss.
- If fair value less costs of disposal is used for recoverable amount, additional information regarding the use of HKFRS 13 fair value hierarchies is disclosed.
- A range of information regarding the assumptions and estimates is used in measuring recoverable amounts of CGUs containing goodwill or intangible assets with indefinite useful lives.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. A taxi licence is an indefinite life intangible asset that must be tested for impairment annually.

Answer B is incorrect. Software under development is an intangible asset not yet available that must be tested for impairment annually.

Answer C is correct. A 20-year franchise agreement as this is subject to impairment testing if there is an indication of impairment.

Answer D is incorrect. Goodwill must be tested for impairment annually.

HKAS
36.10(a)

HKAS
36.10(a)

HKAS
36.9

HKAS
36.10(b)

HKAS
36.9

HKAS
36.9

Question 2

Answer A, B or C is incorrect. Tangible assets are not subject to testing at a predetermined time or time period.

Answer D is correct. D is correct when there is an indication of impairment.

Question 3

The calculation of the net present value (NPV) of the asset can be shown as follows:

	Year 1 Forecast HK\$	Year 2 Forecast HK\$	Year 3 Forecast HK\$
Net cash flow	10,000	50,000	20,000
Discount factor at 8%	.926	.857	.794
PV	9,259	42,867	15,877
NPV	68,003		

The value in use of the asset is: HK\$68,003.

Question 4

Answer A is incorrect. This is the value in use of the asset, which is lower than the HK\$650,000 fair value less costs of disposal. The recoverable amount is the higher of these two figures.

Answer B is correct. The recoverable amount an asset is the higher of the asset's value in use and fair value less costs of disposal (HKAS 36.6). The fair value less costs of disposal were given in the question at HK\$650,000. The value in use is a calculated in the table below and is the total of the cash flows discounted at 5% and total HK\$627,774. The higher figure is HK\$650,000, and therefore, the recoverable amount of the asset is HK\$650,000.

	Cash flow	Discounted Cash flow
End of Year 1	HK\$145,000	HK\$138,095
End of Year 2	HK\$145,000	HK\$131,519
End of Year 3	HK\$145,000	HK\$125,257
End of Year 4	HK\$145,000	HK\$119,292
End of year 5	HK\$145,000	HK\$113,611
		HK\$627,774

Answer C is incorrect. HK\$661,113 is the average of the fair value less costs of disposal and the recoverable amount. The recoverable amount is the higher of these two figures, rather than the average.

Answer D is incorrect, as you have not discounted the cash flows to determine the value in use.

HKAS
36.6**Question 5**

The recoverable amount is the higher of the value in use and the fair value less costs of disposal, and therefore, the recoverable amount is value in use amount of negative HK\$15 million (as this is greater than negative HK\$22 million).

The impairment loss, however, is HK\$11 million as an asset can only be impaired to a nil value unless a liability is required to be recognised by another standard HKAS 36.62.

Question 6

Answer A is incorrect. Although you have correctly applied the impairment initially to goodwill, you have discounted goodwill to HK\$0 from HK\$1000 when the impairment was only HK\$800.

Answer B is correct. HK\$200. Goodwill is allocated to any impairment before other assets, and therefore, the carrying amount of goodwill of HK\$1,000 is reduced by the full amount of the impairment of HK\$800.

Answer C is incorrect. You have applied the impairment to goodwill on a pro-rata basis ($\text{HK\$1,000} / \text{HK\$8,000} \times \text{HK\$800} = \text{HK\$100}$) across all the assets rather than applying it initially to goodwill and then to other assets on a pro-rata basis in accordance with HKAS 36.104.

Answer D is incorrect. You have not applied any impairment to goodwill, which does not comply with HKAS 36.104.

Question 7

Answer A is correct. The total impairment loss for the cash-generating unit is calculated by comparing the carrying value of the assets within the cash-generating unit with the recoverable amount of the cash-generating unit. This difference is HK\$480,000 ($\text{HK\$3,540,000} - \text{HK\$3,060,000}$).

The first step is to apportion as much of the impairment loss to the goodwill asset, with any remaining impairment loss apportioned to the remaining assets in the cash-generating unit based on their carrying values. In this case there is HK\$300,000 of goodwill, which reduces the remaining impairment loss to HK\$180,000.

The amount of the impairment loss allocated to equipment is $\text{HK\$720,000} / (\text{HK\$3,540,000} - \text{HK\$300,000}) = 22.2\% \times \text{HK\$180,000} = \text{HK\$39,999}$.

Answer B is incorrect. Whilst you used the carrying values to work out the pro-rata allocations of the impairment loss to the assets in the cash-generating unit, you did not first reduce goodwill to zero.

Answer C is incorrect. You used the cost figures to determine both the impairment loss as well as the pro-rata allocations of the impairment loss to the assets in the cash-generating unit. You did however impair goodwill to HK\$0 before making the pro-rata allocations.

Answer D is incorrect. You used the cost figures to determine both the impairment loss as well as the pro-rata allocations of the impairment loss to the assets in the cash-generating unit.

Question 8

Answer A is incorrect. HKAS 36.123 states that in allocating a reversal of an impairment loss, the carrying amount of an asset cannot be increased above the lower of the recoverable amount and the carrying amount that would have been determined had not impairment loss being previously recognised.

Answer B is incorrect. This statement described the procedure a preparer would follow to comply with HKAS 36.123.

Answer C is incorrect. Any impairment reversal for an asset accounted for under the cost model is recognised in profit and loss under HKAS 36.119.

Answer D is correct. Where the recoverable amount is less than the carrying amount of an individual asset, the reversal of a previous impairment loss requires adjusting the carrying amount of the asset to recoverable amount. This statement is not correct because the reversal of an impairment arises from the recoverable amount being greater than the carrying amount.

Question 9

Answer A is incorrect. You have done everything correctly, except you only assumed there had been one year of depreciation at the time of the initial impairment, not two years.

Answer B is correct. The asset was purchased for HK\$1,250,000 and two years of depreciation were incurred prior to the impairment on 30 June 20X8. Annual depreciation over this period was HK\$115,000 $((HK\$1,250,000 - HK\$100,000)/10)$. The carrying value was therefore HK\$1,020,000 at the time of the impairment, and the impairment loss was HK\$270,000 $(HK\$1,020,000 - HK\$750,000)$.

The depreciation expense for the third year was HK\$81,250 $((HK\$750,000 - HK\$100,000)/8)$, leaving the carrying value at 30 June 20X9 at HK\$668,750. Whilst the recoverable amount is higher than the carrying value, the impairment can only be reversed to the extent that the asset is carried at what it would otherwise have been at without any impairment (HKAS 36.117). This is HK\$905,000 $(HK\$1,250,000 - (3 \times HK\$115,000))$.

Therefore, the reversal is HK\$236,250 $(HK\$905,000 - HK\$668,750)$.

Answer C is incorrect. You have done everything correctly, except that you have completely reversed the initial impairment of HK\$270,000. This would take the carrying value of the asset to HK\$938,750, which is higher than the HK\$905,000 that would otherwise have been on the books. This is in contravention of HKAS 36.117.

Answer D is incorrect. You did not adjust the depreciation expense after the initial impairment loss and kept it at HK\$115,000 per year. This meant that the carrying value as at 30 June 20X9 was HK\$635,000. In addition, you have incorrectly used the recoverable amount which is higher than the carrying value, the impairment can only be reversed to the extent that the asset is carried at what it would otherwise have been at without any impairment. The difference between the carrying value (HK\$635,000) and the recoverable amount (HK\$950,000) is HK\$315,000.

EXAM PRACTICE

QUESTION 1

On 1 January 20X0, Pharmakon Limited (PL) acquired new precision-built equipment to be used to develop and manufacture a highly sought-after vaccine. The equipment generates cash flows that are largely independent of the cash flows of other assets or groups of assets. The cost of the equipment was HK\$1.5 million. PL estimated that the equipment would have a useful life of 5 years with no residual value. The equipment is depreciated over its useful life on a straight-line basis.

During 20X1, PL conducted Stage 1 clinical trials of the drug, which were not promising. In light of the results of the clinical trials, on 31 December 20X1 PL conducted an impairment test of the equipment and estimated the asset's recoverable amount to be HK\$600,000. In 20X2, Stage 2 clinical trials of the drug were conducted and the results were very promising. In light of the results of the Stage 2 clinical trials, on 31 December 20X2 PL conducted another impairment test of the equipment and estimated the asset's recoverable amount to be HK\$700,000. Assume that any impairment will not result in any change in useful life of the equipment and identify which of the following is the amount of impairment reversal that PL would recognise in 20X2:

- A HK\$100,000
- B HK\$200,000
- C HK\$250,000
- D HK\$300,000

QUESTION 2

Ecofit Limited (EL) is a manufacturer of biodegradable containers. EL acquired the machinery used to manufacture the containers in 20X1 for HK\$850,000. EL estimated that the useful life of the equipment is 6 years and that the residual value of the equipment would be negligible after that time. In 20X2 the government introduced a subsidy for companies who produce biodegradable containers as part of an environmental sustainability policy initiative. In 20X3, EL decided to test the equipment for impairment as a result of a significant increase in competition, precipitated by the government subsidy program.

On 31 December 20X3, EL estimated that the fair value of the equipment was HK\$420,000 and the costs of disposing of the equipment would be HK\$20,000. EL estimated that if they were to continue using the equipment, it would generate net cash inflows of HK\$150,000 per year for the remaining period of its useful life. EL used a discount rate of 5% to calculate the present value of the estimated future net cash inflows as follows:

Year	Net Cash inflow	Discounted Cash flow
	HK\$	HK\$
20X4	150,000	142,857
20X5	150,000	136,055
20X6	150,000	129,576
Total	450,000	408,488

Identify which of the following amounts is the recoverable amount of EL's equipment:

- A HK\$400,000
- B HK\$408,488
- C HK\$420,000
- D HK\$450,000

QUESTION 3

Lawson Limited had two divisions, May and Gibbs, each of which was a separate cash-generating unit (CGU). Ariana Henry, CEO of Lawson Limited, adopted a decentralised management approach and required all divisional managers to effectively autonomously operate their divisions. As at 30 June 20X8, the net assets of each division were as follows:

	May HK\$'000	Gibbs HK\$'000
Land	2,700	1,740
Plant	7,860	5,760
Accumulated depreciation	(5,502)	(2,304)
Goodwill	276	192
Patent	1,260	1,530
Accumulated amortisation	(126)	(612)
Cash	120	72
Inventories	72	480
Receivables	204	240
Assets	6,864	7,098
Liabilities	(1,656)	(1,134)
Net Assets	5,208	5,964

Additional information as of 30 June 20X8 was:

- Plant for both divisions was depreciated straight-line over five years.
- Patents for both divisions were amortised straight-line over 10 years.
- Gibb's patent had a carrying amount below fair value less costs of disposal.
- Gibb's plant had a fair value less costs of disposal of HK\$3,420,000.
- Receivables were considered collectible.

Required:

Impairment testing was undertaken at 30 June 20X8, and the recoverable amount of cash-generating unit was as follows:

- May = HK\$5,580,000
- Gibbs = HK\$7,290,000

Prepare any required journal entries to record the results of the impairment testing for each of the cash-generating units.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect. The amount of the reversal of a previous impairment is not calculated as the difference between the carrying amount that would have been determined had the previous impairment loss not been recognised and the recoverable amount.

Answer B is correct. The carrying amount of the equipment at 31 December 20X2 before reversal of the previous impairment is HK\$400,000, after accounting for depreciation of HK\$300,000 (HK\$1.5 million/5) in 20X0 and 20X1 each, an impairment loss of HK\$300,000 in 20X1 and revised depreciation of HK\$200,000 (HK\$0.6 million/3) in 20X2. As the recoverable amount of HK\$700,000 is greater than the carrying amount of HK\$400,000, in accordance with HKAS 36.117, the previous impairment will be reversed for the difference between the recoverable amount and the carrying amount, but only to the extent of the asset's previous unimpaired value, net of depreciation. The asset's previous unimpaired value at 31 December 20X2 is HK\$600,000, after accounting for depreciation of HK\$300,00 per year. Therefore, the reversal of the previous impairment of HK\$300,000 in 20X1 is limited to HK\$200,000 (HK\$600,000 – HK\$400,000).

Answer C is incorrect. HKAS 36.117 states that in allocating a reversal of an impairment loss, the carrying amount of an asset cannot be increased above the lower of the recoverable amount and the carrying amount that would have been determined had the previous impairment loss not been recognised.

Answered D is incorrect. HKAS 36.117 states that in allocating a reversal of an impairment loss, the carrying amount of an asset cannot be increased above the lower of the recoverable amount and the carrying amount that would have been determined had the previous impairment loss not been recognised;

QUESTION 2

Answer A is incorrect. This amount is the fair value of the asset less the costs of disposal, which is less than the value in use of the asset.

Answer B is correct. The recoverable amount of an asset is the higher of the asset's value in use and fair value less costs of disposal (HKAS 36.6). The fair value of the asset less costs of disposal is HK\$400,000. The value in use of the asset is calculated in the table provided in the question and is the total of the net cash inflows expected to be generated by the asset over its remaining useful life, discounted at 5%, i.e. HK\$408,488. The higher amount is HK\$408,488 and therefore the recoverable amount of the asset is HK\$408,488.

Answer C is incorrect. This is the fair value of the asset before deducting the costs of disposal. After deducting these costs, the resulting amount is less than the value in use of the asset.

Answered D is incorrect. This amount is the expected gross net cash inflows from the use of the asset over its remaining useful life. In order to compare the amount expected to be generated from the use of the asset with its fair value less costs of disposal, the gross cash flows must be discounted to their present value.

QUESTION 3

The first step was to determine whether either cash-generating unit (CGU) had an impairment loss. This was done by comparing the carrying amount of the assets of each CGU with the recoverable amount of these assets (HKAS 36.104). In this case, May suffered an impairment loss as its carrying amount of assets was greater than the recoverable amount (HK\$6,864,000 vs. HK\$5,580,000). However, Gibbs had not suffered an impairment loss as the carrying amount of its assets (HK\$7,098,000) was less than the recoverable amount (HK\$7,290,000).

The next step was to calculate the total amount of the impairment loss. The total impairment loss suffered by May is HK\$1,284,000, which was calculated as HK\$6,684,000 – HK\$5,580,000.

The third step was to allocate this impairment loss to the assets of May based on their carrying values. The first stage of this allocation was to write off goodwill. Goodwill totals HK\$276,000, and was, therefore, completely written off. The remaining HK\$1,008,000 was allocated to the remaining assets of May based on their carrying values.

Though all assets were included to determine whether May was impaired, only those assets that were written down as part of the loss were included in the determination of the allocation of that loss. For example, cash and receivables were not written down as they were recorded at amounts equal to fair value. Inventories were recorded under HKAS 2 at the lower of cost and net realisable value (please refer to Chapter 4 Inventories for more details), and as such, were excluded from impairment test write-down under HKAS 36.

The allocation for May looks like the following:

Asset	Carrying value	Proportion	Allocation of loss	Adjusted carrying value
	HK\$		HK\$	HK\$
Land	2,700,000	43.6%	(439,535)	2,260,465
Plant	2,358,000	38.1%	(383,860)	1,974,140
Patent	1,134,000	18.3%	(184,605)	949,395
Total	6,192,000		(1,008,000)	5,184,000

The final stage is to complete the journal entries for the impairment of the May CGU:

	Debit	Credit
	HK\$	HK\$
Impairment loss	1,284,000	
Accumulated impairment – goodwill		276,000
Accumulated impairment – land		439,535
Accumulated impairment – plant		383,860
Accumulated impairment – patent		184,605

The value in use of the airplane is: HK\$68,003.

12

Non-current Assets Held for Sale and Discontinued Operations

CHAPTER TOPIC LIST

12.1 Non-current Assets Held for Sale Overview

12.1.1 Classification

12.2 Measurement and Recognition of Non-current Assets Held for Sale

12.2.1 Measurement of Non-current Assets (or Disposal Groups) Classified as Held for Sale

12.2.2 Recognition of Impairment Losses and Reversals

12.3 Discontinued Operations

12.4 Presentation and Disclosure Overview

12.4.1 Presentation and Disclosures of Discontinued Operations

12.4.2 Presentation and Disclosures of Non-current Assets Held for Sale

12.4.3 Additional Disclosures



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.16: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to non-current assets held for sale and discontinue operations

- 2.16.01** Describe the classification criteria for non-current assets (or disposal groups) held for sale or distribution to owners
- 2.16.02** Define disposal groups
- 2.16.03** Explain the measurement principles of non-current assets (or disposal groups) held for sale or distribution to owners
- 2.16.04** Describe the key requirements of presentation and disclosures in respect of a non-current asset (or disposal group) held for sale or distribution to owners
- 2.16.05** Define and identify a discontinued operation
- 2.16.06** Describe the key requirements of presentation and disclosure in respect of a discontinued operation



OPENING CASE

TOY PALACE

Toy Palace Limited (Toy Palace) is a manufacturer and retailer of toys, sold through small family-run outlets.

To increase sales, Toy Palace purchased a number of larger outlets that were set out like a large supermarket in 20X2. However, this was unsuccessful as buyers did not receive the same personal attention compared with the smaller outlets. Due to a downturn in sales and projected sales, Toy Palace decided during April 20X6 to sell these larger outlets.

Toy Palace recently relocated its head office from Hong Kong to Macau. During May 20X6, Toy Palace decided to sell the Hong Kong office building and land and began looking for a potential buyer.

In July 20X3, Toy Palace decided to acquire a number of manufacturing plants to control the quality and supply of toys. However, due to changes in technology, fewer plants were required to supply the quantity of toys being sold by Toy Palace. Accordingly, during 20X5, Toy Palace decided to sell one of these manufacturing plants. As at 31 December 20X6, the company had yet to find a buyer for this manufacturing plant.

OVERVIEW

Businesses are commonly faced with decisions to sell major assets or discontinue operations. Such decisions can have a significant impact on an entity's statement of financial position and future cash flows. Therefore, financial statements must sufficiently disclose relevant information. Applying HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* requires significant judgement. This is especially true when a decision is made to discontinue use of non-current assets and classifying the non-current assets as held for sale. That classification can have material effects on an entity's financial statements.

This chapter considers the classification, measurement and disclosure requirements for non-current assets classified as held for sale and the presentation and disclosure requirements for discontinued operations. Further details related to Toy Palace's operations will be provided and used to illustrate the application of HKFRS 5.

In this chapter, you will develop an understanding of the terminology relevant to the application of the standard and the items to which the classification, presentation and measurement of HKFRS 5 applies. Sections 12.1 and 12.2 of this chapter deal with the accounting for non-current assets held for sale, Section 12.3 deals with discontinued operations and Section 12.4 covers presentation and disclosure requirements.

12.1 NON-CURRENT ASSETS HELD FOR SALE OVERVIEW

The decision to sell a major asset or discontinue a business can have a significant impact on an entity's financial position. Users of financial statements should be provided with sufficient information about such decisions. The relevant accounting standard is *Non-current Assets Held for Sale and Discontinued Operations*. The objective is to specify the accounting for assets held for sale, and the presentation and disclosure of **discontinued operations**. In particular, HKFRS 5 states:

HKFRS
5.1

- assets that meet the criteria to be classified as held for sale to be measured at the lower of carrying amount and **fair value** less **costs to sell**, and depreciation on such assets to cease; and
- assets that meet the criteria to be classified as held for sale to be presented separately in the statement of financial position and the results of discontinued operations to be presented separately in the statement of comprehensive income.

12.1.1 Classification

HKFRS 5 requires that a **non-current asset** (or **disposal group**) be classified as held for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use. Typically, non-current assets cannot be easily or quickly liquidated into cash. Examples of non-current assets include property, plant and equipment (such as a manufacturing plant) and intangibles (such as patents). A disposal group is a group of assets that will be sold as a bundle in a single transaction. It also includes the liabilities directly associated with those assets that will be transferred in the transaction.

HKFRS
5.4

12.1.1.1 Held for Sale

HKFRS 5 requires certain non-current assets or disposal groups to be classified as held for sale, hereinafter simply referred to as non-current assets held for sale. Such classification has accounting implications, including for measurement, presentation and disclosure. Before considering those implications it is necessary to understand under what circumstances such a classification is made, and when it is to be made.

An entity classifies a non-current asset or disposal group as held for sale if its carrying amount will be recovered principally through a sales transaction rather than through continuing use. The non-current asset is first classified as held for sale on the date at which the criteria below are met.

HKFRS
5.6

To satisfy paragraph 6 of HKFRS 5, the asset or disposal group must be:

- available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such asset or disposal group; and
- **highly probable** of being sold.

HKFRS
5.7

Determining whether a non-current asset meets the requirement to be available for immediate sale in its present condition can require judgement. Generally, the criterion is met if the asset could be placed on the market and that any attendant terms and conditions for the sale would not be unusual for the asset in question.

Illustrative Example 1

Due to increasing competition in the supermarket retail industry, during April 20X6, Toy Palace began the process to sell its large retail outlets. Toy Palace had a number of supply contracts with wholesaler suppliers and employment contracts with senior staff. Notwithstanding that legally enforceable contracts are in place between Toy Palace and suppliers and staff which could prevent the sale of the large retail stores, the suppliers and staff agreed in principle to transfer their respective contracts to the purchaser of the large retail outlets and this would not affect the timing of the sale. A question arose as to whether those contracts rendered the large retail outlets not 'available for immediate sale in its present condition'.

It was reasonable to conclude the large retail outlets were available for sale in their present condition providing the contracts with suppliers and senior staff could be successfully negotiated (which was highly likely) and transferred to the purchaser.

HKFRS 5 defines highly probable as 'significantly more likely than probable', and it defines probable as 'more likely than not'. HKFRS 5 specifies criteria for determining when a sale is highly probable.

In particular, HKFRS 5 requires that for a sale to be highly probable:

- the appropriate level of management must be committed to a plan to sell the asset;
- an active programme to locate a buyer and complete the plan must have been initiated;
- the asset must be actively marketed for sale at a price that is reasonable in relation to its current fair value;
- the sale should be expected to qualify for recognition as a completed sale within one year from the date of classification;
- actions required to complete the plan should indicate that it is unlikely that significant changes to the plan will be made or that the plan will be withdrawn; and
- shareholder approval (if required) is likely to be obtained.

Illustrative Example 2

The Board of Directors (Board) of Toy Palace met on 2 April 20X6 and discussed a proposal from the Chief Executive Officer (CEO) to sell the large retail outlets. The proposal included an indicative sales price that is reflective of the fair value of the large retail outlets, and detailed the programme to locate a purchaser and complete the sale. The Board of Toy Palace approved the CEO's proposal and programme to sell the large retail outlets, and initiated the programme immediately, including appointing a broker. It was not necessary to seek shareholders' approval.

On average, comparable sales are completed 10 months after being placed on the market. Accordingly, Toy Palace should classify the large retail outlets as held for sale on 2 April 20X6.

Management of Toy Palace concluded that the large retail outlets were available for immediate sale in their present condition (refer Illustrative Example 1) and the sale was highly probable because the appropriate HKFRS 5 criteria were met as follows:

- the Board had approved the plan to sell the large retail outlets;
- the plan to locate a buyer had been initiated;
- the large retail outlets had been priced at an amount that was reflective of fair value;
- comparable sales are completed within 10 months;
- there was no evidence to suggest the plan would change significantly or would be withdrawn; and
- shareholder approval is not required.

Accordingly, Toy Palace should classify the large retail outlets as held for sale.

HKFRS
5.8



To meet the classification of held for sale, a reasonable expectation must exist that a non-current asset will be sold within one year from the date of classification. It may be the case that completion of the sale extends beyond one year. This does not preclude a non-current asset from continuing to be classified as held for sale. However, such a delay must be due to events or circumstances outside of the entity's control and there must be sufficient evidence that the entity remains committed to the sale.

HKFRS
5.9

Illustrative Example 3

As at 31 December 20X6, Toy Palace had yet to find a buyer for the manufacturing plant that met the criteria to be classified as held for sale during the year 20X5. Though management remained committed to the sale, the market for the specific type of manufacturing plant had declined because the government required such plants to emit lower pollution levels. To position the manufacturing plant for sale, during September 20X6, Toy Palace undertook the necessary modifications to the plant to reduce pollution and meet the government requirements.

Management of Toy Palace concluded that the manufacturing plant should continue to be classified as held for sale as at 31 December 20X6. Though the time expected to complete the sale extended beyond one year since its initial classification as held for sale, the delay was due to unforeseen circumstances and Toy Palace had shown continued commitment to the sale by responding to the government's requirements by modifying the pollution levels of the manufacturing plant to maintain its saleability.

12.1.1.2 Held for Distribution to Owners

Instead of deciding to sell a non-current asset (or disposal group), an entity might decide to distribute the non-current asset (or disposal group) to its owners. The accounting treatment for a non-current asset (or disposal group) held for distribution is essentially the same as that for a non-current asset (or disposal group) held for sale. Accordingly, the focus of this chapter will be on the discussion on a non-current asset (or disposal group) held for sale. Discussion of a non-current asset (or disposal group) held for distribution to owners is covered in Module 11, Chapter 15.

12.1.1.3 To Be Abandoned

It might be the case that an entity intends to abandon an asset rather than sell or distribute it.

Where an entity intends to abandon an asset, the entity shall *not* classify the asset as held for sale because its carrying amount will be recovered principally through continuing use. However, where a disposal group to be abandoned meets the definition of a discontinued operation, an entity must present the results and cash flows as discontinued operations at the date on which it ceases to be used (refer Section 4.4). Non-current assets to be abandoned include non-current assets that are to be:

- used to the end of their economic life; and
- closed rather than sold.

HKFRS
5.13

► Knowledge Check Questions

Question 1

Identify which of the following meets the criteria for a non-current asset to be classified as held for sale.

- A** The asset is likely to be sold within 12 months.
- B** The asset must be available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets and the sale must be highly probable.
- C** The asset must be available for immediate sale in its present condition and the sale must be significantly likely to occur.
- D** The asset must be available for sale within 12 months and the sale must be highly probable.

Question 2

Earth Digger Limited was considering whether to continue using a large excavator or sell it. Explain, in what criteria, this non-current asset can be classified as held for sale in the financial statements.

12.2 MEASUREMENT AND RECOGNITION OF NON-CURRENT ASSETS HELD FOR SALE

Once a non-current asset or disposal group is classified as held for sale, it is subject to the specific measurement requirements of HKFRS 5 as set out below.

HKFRS
5.15

In general, under HKFRS 5, a non-current asset (or disposal group) is measured at the lower of carrying amount and fair value less costs to sell. However, the measurement requirements of HKFRS 5 do not apply to all recognised non-current assets. These exceptions include:

- assets carried at fair value with changes in fair value recognised in profit or loss, e.g. financial assets within the scope of HKFRS 9 *Financial Instruments* (see Chapter 10)
- assets for which there might be difficulties in determining their fair value, e.g. deferred tax assets HKAS 12 *Income Taxes* (see Chapter 16)
- non-current assets accounted for in accordance with the fair value model in HKAS 40 *Investment Property* (see Chapter 6)

HKFRS
5.5

12.2.1 Measurement of Non-current Assets (or Disposal Groups) Classified as Held for Sale

HKFRS
5.15

Non-current assets (or disposal groups) classified as held for sale are measured at the lower of carrying amount and fair value less costs to sell.

HKFRS
5.App A

Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (see Chapter 2, Fair Value Measurement).

HKFRS
5.App A

Costs to sell is defined as the incremental costs directly attributable to the disposal of an asset, excluding finance costs and income tax expense (for example, due diligence costs and commissions).

HKFRS
5.25

Moreover, as the entity is going to sell the non-current asset but is not using it, the entity shall not depreciate (or amortise) such non-current asset while it is classified as held for sale or while it is part of a disposal group classified as held for sale. However, interest and other expenses attributable to the liabilities of a disposal group classified as held for sale shall continue to be recognised.

Illustrative Example 4

Toy Palace's manufacturing plant had a carrying amount of HK\$5 million. As of 30 June 20X5, the plant was classified as held for sale. Management had determined that the fair value of the plant was HK\$5 million, and HK\$0.5 million in marketing costs would be required to make the sale. (Toy Palace's manufacturing plant had a carrying amount of HK\$5 million as at 30 June 20X5, which was the date when Toy Palace classified it as held for sale.)

The manufacturing plant was measured at fair value less costs to sell (HK\$4.5 million [HK\$5 million – HK\$0.5 million]) as this was lower than the carrying amount (HK\$5 million). Toy Palace had to cease depreciation of the asset when it was classified as held for sale even though it was recognised at the current carrying amount or remeasured to fair value less costs to sell.

12.2.2 Recognition of Impairment Losses and Reversals

Entities are required to recognise an impairment loss for any initial or subsequent write-down of an asset to fair value less costs to sell but only to the extent it is not recognised in accordance with other standards. That is, in relation to disposal groups which are held for sale, the impairment loss (if any) is only determined after those disposal group assets that do not fall within the scope of the measurement requirements of HKFRS 5 are remeasured.

In practice, this results in the following three steps being applied when accounting for disposal groups:

1. Remeasure those disposal group assets not within the scope of the measurement requirements of HKFRS 5 in accordance with their specific measurement requirements.

2. Add those remeasured assets to the carrying amounts of other disposal group assets that are within the measurement scope of HKFRS 5.
3. Determine the fair value less costs to sell of the disposal group and compare it with the total carrying amount of all assets inside the disposal group as determined in step 2. An impairment loss is to be recognised when total carrying amount exceeds the fair value less costs to sell.

Illustrative Example 5

Tower Studios owns non-current assets within a disposal group that is classified as held for sale in accordance with HKFRS 5. As of 31 December 20X8, the carrying amount of the assets within the disposal group was HK\$22 million, which consisted of the following assets:

	Carrying amount (HK\$m)
<i>Asset</i>	
Investment property	7
Other non-current assets	15
	<u>22</u>

Investment property was carried at fair value in accordance with HKAS 40 *Investment Property*. As of 31 December 20X8, an independent valuer determined the fair value of the property was HK\$6 million.

Tower Studios determined the fair value less costs to sell of the disposal group was HK\$16 million.

All other non-current assets were within the measurement scope of HKFRS 5.

Any impairment loss was determined as follows:

Step 1

The investment property was carried at fair value in accordance with HKAS 40 and, therefore, was not within the measurement scope of HKFRS 5. It first had to be remeasured from carrying amount (HK\$7 million) to fair value (HK\$6 million) on 31 December 20X8 following HKAS 40 (i.e. a HK\$1 million impairment loss is recognised under HKAS 40).

Step 2

The remeasured investment property was added to the carrying amounts of other non-current assets that were within the measurement scope of HKFRS 5:

HKFRS
5.5(d)



Illustrative Example 5 (continued)

	HK\$m
<i>Asset</i>	
Investment property	6
Other non-current assets	15
	<u>21</u>

Step 3

The fair value less costs to sell of the disposal group (which was HK\$16 million according to given information) was determined and compared with the total carrying amount of the disposal group assets (which was HK\$21 million) as determined in step 2. The disposal group were required to be written down by HK\$5 million as the carrying amount exceeded the fair value less costs to sell and a HK\$5 million (HK\$21 million – HK\$16 million) impairment loss is to be recognised under HKFRS 5.

Consistent with HKAS 36 *Impairment of Assets* (see Chapter 11), the entity allocates the impairment loss:

- to any goodwill within the disposal group; and
- then to the other non-current assets within the disposal group (but only to those that are within the measurement scope of HKFRS 5) on a pro rata basis.

Illustrative Example 6

Toy Palace has determined its larger outlets were a disposal group that was classified as held for sale. As of 2 April 20X6, the fair value less costs to sell of the disposal group was determined to be HK\$8 million. The carrying amount of the assets within the disposal group was HK\$12 million, which consisted of the following assets:

	Carrying amount (HK\$m)
<i>Asset</i>	
Goodwill	1
Other intangibles	2
Property, plant and equipment	6
Cash	2
Trade receivables	1
	<u>12</u>

Illustrative Example 6 (continued)

Consistent with HKFRS 5 Toy Palace has identified that:

- the disposal group was required to be written down by HK\$4 million as the carrying amount exceeded the fair value less costs to sell (HK\$12 million – HK\$8 million);
- other intangibles and Property, plant and equipment are within the scope of HKFRS 5; and
- the write-down was allocated to the goodwill (HK\$1 million) and then, on a pro-rata basis, to the other disposal group non-current assets within the measurement scope of HKFRS 5 (HK\$3 million).

The write-down was allocated to the assets within the disposal group as follows:

	Pre-write-down (HK\$m)	Write down (HK\$m)	Post-write-down (HK\$m)
<i>Asset</i>			
Goodwill	1	(1)	–
Other intangibles	2	(0.75) ^a	1.25
Property, plant and equipment	6	(2.25) ^b	3.75
Cash	2	–	2
Trade receivables	1	–	1
	12	(4)	8

^a HK\$3 million x (HK\$2 million/[HK\$2 million + HK\$6 million]) = HK\$0.75 million.

^b HK\$3 million x (HK\$6 million/[HK\$2 million + HK\$6 million]) = HK\$2.25 million.

In subsequent periods, an entity shall recognise a gain for any increase in the fair value less costs to sell of an asset, but not in excess of the cumulative impairment loss that has been recognised either in accordance with HKFRS 5 or previously in accordance with HKAS 36 *Impairment of Assets*. Recognition of such a gain is regarded as a ‘reversal’ of a previous impairment loss.

HKFRS
5.21–22

The reversal of any past write-down is applied only to the assets within the measurement scope of HKFRS 5. No reversal is applied to goodwill (in accordance with HKAS 36 – see Chapter 11). The reversal of the impairment loss allocated to each non-current asset cannot exceed the cumulative impairment loss on that specific non-current asset. More discussion on reversals will be covered in Module 11, Chapter 15.

HKFRS
5.22

Key Learning Point

Non-current assets included in a disposal group not within the measurement scope of HKFRS 5 must be remeasured in accordance with the applicable standard prior to comparing the disposal group’s carrying amount to its fair value less costs to sell.

► Knowledge Check Questions

Question 3

Identify which of the following would fall under the measurement requirements of HKFRS 5.

- A** Assets arising from insurance contracts
- B** Deferred tax assets
- C** Property, plant and equipment
- D** Financial assets within the scope of HKFRS 9 *Financial Instruments*

Question 4

Art Form Limited (Art Form) had a non-current asset with a carrying amount of HK\$7.5 million. On 31 December 20X7, the non-current asset was classified as held for sale. Management had determined that the fair value of the non-current asset was HK\$7.5 million and HK\$0.75 million in marketing costs would be required to make the sale. Advise the value that the non-current asset held for sale should be measured.

Question 5

Presto Corporation owned non-current assets within a disposal group that was classified as held for sale in accordance with HKFRS 5. As of 31 December 20X7, the carrying amount of the assets within the disposal group was HK\$13 million, which consisted of the following assets:

	Carrying amount (HK\$m)
<i>Asset</i>	
Goodwill	2
Investment property	4
Property, plant and equipment	5
Cash	1
Trade receivables	1
	<u>13</u>

The investment property was carried at fair value in accordance with HKAS 40 *Investment Property*. As of 31 December 20X7, an independent valuer determined the fair value of the property was HK\$3 million.

Presto determined the fair value less costs to sell of the disposal group was HK\$8 million.

Calculate the impairment loss to be allocated to the assets within the disposal group.

12.3 DISCONTINUED OPERATIONS

A discontinued operation is a component of an entity that has been disposed of or is classified as held for sale and:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

HKFRS
5.32

A **component of an entity** comprises operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity. HKFRS 5 clarifies that a component of an entity will have been a cash-generating unit (CGU) or a group of CGUs while being held for use. Note, a 'cash-generating unit' is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash flows from other assets or groups of assets. For discussion of cash-generating units see Chapter 11.

HKFRS
5.31

HKFRS
5.App A

The definition of discontinued operation does not require the component of the entity to have been disposed of yet; it is enough for it to be merely classified as held for sale. Although 'discontinuing operation' might more accurately describe such circumstances, HKFRS 5 refers to them as 'discontinued operations'.

Determining whether a particular component of an entity represents a discontinued operation often requires judgement. Not every cessation or planned cessation of an activity will represent a discontinued operation. For example, consider the following:

HKFRS
5.13

Illustrative Example 7

Company M, which had a 31 December year end, announced a plan to abandon the operations of its subsidiary, Company E, on 15 December 20X2. Company M has determined that E represents a component of the entity as defined in HKFRS 5. Under the plan for abandonment, E would cease to accept any new business as of 31 December 20X2. Company M anticipated that E would be able to wrap up production of all remaining orders, ancillary operations and close both the plant and office facilities by 15 March 20X3. Should M classify the operations of E as discontinued operations in its 31 December 20X2 financial statements?

HKFRS 5 states that though assets or disposal groups to be abandoned may not be classified as held for sale (see Section 12.1.1.3), a disposal group may be classified as a discontinued operation if the group represents a component of an entity and meets the criteria. It requires a component to be disposed of, or classified as held for sale, prior to being presented as a discontinued operation. Because an item to be abandoned cannot be classified as held for sale, it will not meet the criteria until it is abandoned (by 15 March 20X3). Therefore, in the circumstances described, M should not classify the operations of E as discontinued operations in its 31 December 20X2 financial statements.

HKFRS
5.13

12.4 PRESENTATION AND DISCLOSURE OVERVIEW

Classification of non-current assets as held for sale not only has implications for measurement, but it also has implications for presentation and disclosure. Indeed, HKFRS 5 not only specifies presentation and disclosure requirements for non-current assets held for sale, but it also includes presentation and disclosure requirements for what it refers to as discontinued operations.

HKFRS
5.30

12.4.1 Presentation and Disclosures of Discontinued Operations

HKFRS 5 prescribes the presentation and disclosure requirements for discontinued operations.

Entities are required to present discontinued operations separately from continuing operations in an entity's statement of profit or loss and other comprehensive income and to prepare specific disclosures. This requirement enables users to make economic decisions regarding a company knowing what operations have been discontinued, what operations are continuing into the future and the impact this will have on a company's future performance.

The disclosures required for discontinued operations are presented in the financial statements or in the notes to the financial statements. The presentation and disclosures required by HKFRS 5 are summarised below.

Para.	Required Disclosure
33(a)(i)	Single amount comprising the post-tax profit or loss of discontinued operations (to be disclosed in the statement of profit or loss and other comprehensive income)
33(a)(ii)	Single amount comprising the post-tax gain or loss recognised on the measurement to fair value less costs to sell or on the disposal of the assets or disposal group(s) constituting the discontinued operation (to be disclosed in the statement of profit or loss and other comprehensive income)
33(b)	Analysis of the disclosure required by Para. 33(a) into: - the revenue, expenses and pre-tax profit or loss of discontinued operations; - the gain or loss recognised on the measurement to fair value less costs to sell or on the disposal of the assets or disposal group(s) constituting the discontinued operation; and - the related income tax consequences separately for each of the above. (to be disclosed in the statement of profit or loss and other comprehensive income or in the notes)
33(c)	Net cash flows attributable to the operating, investing and financing activities of discontinued operations (to be disclosed in the financial statements or in the notes)
33(d)	Amount of income from continuing operations and from discontinued operations attributable to owners of the parent (to be disclosed in the statement of profit or loss and other comprehensive income or in the notes)

Any gain or loss on the remeasurement of a non-current asset or disposal group classified as held for sale that does not meet the definition of a discontinued operation shall be included in profit or loss from continuing operations.

Illustrative Example 8

During April 20X6, Toy Palace planned for the sale of its larger outlets which have been classified as a disposal group held for sale. The company's larger outlets operated independently of its other retail businesses and represented a separate cash-generating unit (CGU).

As these larger outlets were CGUs (representing a separate major line of business of Toy Palace) held for sale, they met the definition of a discontinued operation. Toy Palace had to prepare additional disclosures related to the discontinued operation of these larger outlets and present the results of their activities separately from the results of other continuing operations.

Toy Palace made the following disclosures in relation to the discontinued operation in its statement of profit or loss and other comprehensive income and the notes to the financial statements for the year ended 31 December 20X6.

Toy Palace Limited		
Statement of Profit or Loss and Other Comprehensive Income (Year ended 31 December 20X6)		
	20X6 (HK\$m)	20X5 (HK\$m)
<i>Continuing operations</i>		
Revenue	60	58
Cost of sales	(45)	(48)
Gross profit	15	10
Other income	2	2
Administrative expenses	(3)	(2)
Other expenses	(1)	(1)
Finance costs	(2)	(1)
Profit before tax	11	8
Income tax expense	(3)	(2)
Profit from continuing operations	8	6
<i>Discontinued operations</i>		
Loss for the period from discontinued operations	(5)	(4)
Profit for the period	3	2

Illustrative Example 8 (continued)

Toy Palace Limited Statement of Profit or Loss and Other Comprehensive Income (Year ended 31 December 20X6)		
	20X6 (HK\$m)	20X5 (HK\$m)
Profit attributable to:		
<i>Owners of the parent</i>		
Profit from continuing operations	6	4
Loss from discontinued operations	(4)	(3)
Profit attributable to owners of the parent	2	1
<i>Non-controlling interests</i>		
Profit from continuing operations	2	2
Loss from discontinued operations	(1)	(1)
Profit attributable to non-controlling interests	1	1

12.4.2 Presentation and Disclosures of Non-current Assets Held for Sale

Entities are required to present non-current assets classified as held for sale and assets that are part of a disposal group classified as held for sale separately from other assets in the statement of financial position. Also, the liabilities of a disposal group classified as held for sale are required to be presented separately from other liabilities in the statement of financial position. Separate presentation of such assets and liabilities provides more relevant information to users of financial statements. Furthermore, users can identify those assets not being depreciated. The assets and liabilities shall not be offset.

HKFRS
5.38

Entities are also required to present separately any cumulative income or expense recognised in other comprehensive income (OCI) relating to a non-current asset classified as held for sale. For example, revaluations of property, plant and equipment pursuant to HKAS 16 (see Chapter 5).

HKFRS
5.38

When a non-current asset is initially classified as held for sale, an entity shall not reclassify or re-present prior periods to reflect the classification. In other words, comparative figures for non-current assets held for sale in the statement of financial position for the prior period are not reclassified or re-presented to reflect the classification, i.e. non-current assets held for sale are not reclassified retrospectively.

HKFRS
5.40

Illustrative Example 9

As at 31 December 20X6, Toy Palace Limited owned the following non-current assets that were classified as held for sale:

	20X6 (HK\$m)	20X5 (HK\$m)
<i>Larger outlets disposal group classified as held for sale:</i>		
Other intangibles	1.25	–
Property, plant and equipment	3.75	–
<i>Other non-current assets classified as held for sale:</i>		
Manufacturing plant	4.5	5
Office buildings	3	–
Land	5	–
	<u>17.5</u>	<u>5</u>

Below is an extract of Toy Palace's statement of financial position as at 31 December 20X6.

Toy Palace Limited Statement of Financial Position (As at 31 December 20X6)		
	20X6 (HK\$m)	20X5 (HK\$m)
Current assets		
Cash	24	20
Receivables	54	55
Inventories	28	26
	<u>106</u>	<u>101</u>
Non-current assets		
Property, plant and equipment	90	82
Intangibles	60	52
Deferred tax assets	26	26
	<u>176</u>	<u>160</u>
Non-current assets classified as held for sale	17.5	5
Total assets	<u>299.5</u>	<u>266</u>



HKFRS
5.38

Illustrative Example 9 (continued)

Because Toy Palace did not separately disclose the non-current assets classified as held for sale in the statement of financial position, it had to provide a breakdown of the non-current assets in the notes to the financial statements.

The presentation requirements of HKFRS 5 did not apply retrospectively and, therefore in 20X6, the HK\$5 million (HK\$1.25 million + HK\$3.75 million) related to the non-current assets of the larger outlets disposal group and the HK\$8 million (HK\$3 million + HK\$5 million) related to the office building and land located in Hong Kong were not re-presented in the comparative period for 20X5. As the manufacturing plant was classified as held for sale during 20X5, the comparative amount was disclosed.

12.4.3 Additional Disclosures

An entity shall disclose the following information in the notes in the period in which a non-current asset (or disposal group) has been classified as held for sale or as sold:

- a description of the non-current asset (or disposal group);
- a description of the facts and circumstances of the sale, or for an expected disposal, the expected manner and timing of that disposal;
- the impairment loss for any write-down of the non-current asset (or disposal group) to fair value less costs to sell, or gain from any subsequent increase in fair value less costs to sell the non-current asset (or disposal group).

► Knowledge Check Questions

Question 6

Identify which one of the following does *not* represent a discontinued operation.

A component of an entity that either has been disposed of or is classified as held for sale and:

- A** is a subsidiary acquired exclusively with a view to resale
- B** represents a separate major line of business or geographical area of operations
- C** is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations
- D** is accounted for using the equity method

► **Knowledge Check Questions (continued)**

Question 7

ABC Manufacturing Limited (ABC) was disposing of its farm equipment manufacturing line of business. The line of business was first classified as held for sale on 1 May 20X5 and was assessed as being a discontinued operation. As at 31 December 20X5, the discontinued operation consisted of HK\$7 million in assets and HK\$3 million in liabilities.

Identify and justify two errors relating to HKFRS 5 requirements in the statement of financial position of ABC below.

ABC Manufacturing Limited Statement of Financial Position (As at 31 December 20X5)		
	20X5 (HK\$m)	20X4 (HK\$m)
Current assets		
Cash	11	20
Receivables	18	14
Prepayments	5	4
Contract assets	4	3
Inventories	17	26
	<u>55</u>	<u>67</u>
Non-current assets		
Property, plant and equipment	62	69
Intangibles	56	48
Deferred tax assets	18	15
	<u>136</u>	<u>132</u>
Net non-current assets classified as held for sale	4	4
	<u>195</u>	<u>203</u>
Total assets		
Current liabilities		
Payables	16	14
Contract liabilities	2	2
	<u>18</u>	<u>16</u>
Non-current liabilities		
Loans	56	58
Lease liabilities	28	27
	<u>84</u>	<u>85</u>
Total liabilities	<u>102</u>	<u>101</u>
Net assets	<u>93</u>	<u>102</u>



► Knowledge Check Questions (*continued*)

ABC Manufacturing Limited Statement of Financial Position (As at 31 December 20X5)		
	20X5 (HK\$m)	20X4 (HK\$m)
Equity		
Contributed equity	50	50
Reserves	18	16
Retained earnings	25	36
Total equity	93	102



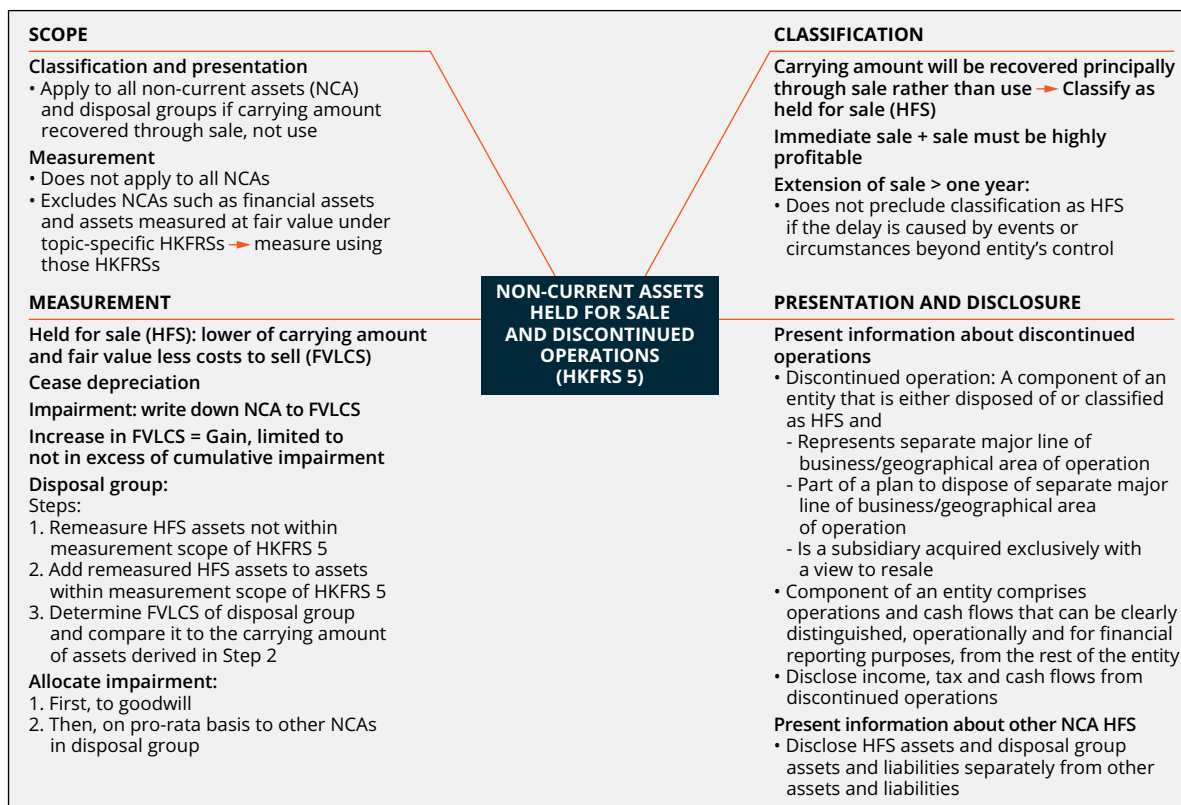
SUMMARY

- HKFRS 5 specifies the accounting for non-current assets and disposal groups classified as held for sale or distribution to owners and discontinued operations.
- A non-current asset (or disposal group) is classified as held for sale when its carrying amount will be recovered principally through a sale or distribution transaction rather than through continuing use.
- To be classified as held for sale, the asset (or disposal group) must be available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets (or disposal groups) and the sale must be highly probable.
- An asset (or disposal group) classified as held for distribution to owners is measured at fair value less costs to distribute.
- When measuring the fair value less costs to sell of a disposal group, an entity follows three steps:
 1. Remeasure those disposal group assets not within the measurement scope of HKFRS 5;
 2. Add those remeasured assets to the carrying amounts of the other disposal group assets that are within the measurement scope of HKFRS 5; and
 3. Determine the fair value less costs to sell of the disposal group and compare it with the total carrying amount of all assets inside the disposal group as determined in step 2. An impairment loss is to be recognised when total carrying amount exceeds the fair value less costs to sell.
- Recognise an impairment loss for any initial or subsequent write-down of an asset to fair value less costs to sell but only to extent it is not recognised in accordance with other standards.
- When allocating an impairment loss to a disposal group, an entity first allocates the impairment to any goodwill within the disposal group. And then to the other non-current assets within the disposal group on a pro rate basis.
- When recognising a gain on remeasurement of fair value less costs to sell (that is, a reversal of an impairment), an entity only recognises the gain to the extent of any previous cumulative impairment loss.
- A discontinued operation is a component of an entity that either has been disposed of, or is classified as held for sale, and
 - Represents a separate major line of business or geographical area of operations;
 - Is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
 - Is a subsidiary acquired exclusively with a view to resale.
- A component of an entity comprises operations and cash flows clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.



- Any gain or loss on the remeasurement of a non-current asset (or disposal group) classified as held for sale that does not meet the definition of a discontinued operation shall be included in profit or loss from continuing operations
- Non-current assets classified as held for sale or are part of a disposal group classified as held for sale or distribution are presented separately from other assets
- An entity makes additional disclosures in relation to discontinued operations in the financial statements and the notes to the financial statements.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. The asset must be available for sale in its present condition, and the sale must be highly probable (being expected to occur within 12 months is only a requirement for the sale to be highly probable).

Answer B is correct. HKFRS 5 requires that for a non-current asset to be classified as held for sale, the asset must 'be available for immediate sale in its present condition subject only to terms that are usual and customary for sales of such assets and the sale must be highly probable'.

Answer C is incorrect. The sale must be highly probable to occur, not significantly likely.

Answer D is incorrect. Though the sale must be expected to occur within 12 months, this is just a part of the criterion that makes the sale highly probable.



Question 2

The non-current asset (a large excavator) could not be classified as 'held for sale' if it was continuing to be used. The asset would only be classified as 'held for sale' if the carrying amount would be recovered principally through a sale transaction. For this to be the case, the large excavator had to be:

- available for immediate sale in its present condition subject only to terms that were usual and customary for sales of such kind of assets; and
- highly probable of being sold. Criteria for highly probable were outlined in HKFRS 5.8.

Question 3

Answer A is incorrect. The measurement requirements of HKFRS 5 explicitly exclude assets arising from insurance contracts, which are subject to measurement requirements in HKFRS 17.

Answer B is incorrect. The measurement requirements of HKFRS 5 explicitly exclude deferred tax assets, which are subject to measurement requirements in HKAS 12.

Answer C is correct. The measurement requirements apply to property, plant and equipment.

Answer D is incorrect. The measurement requirements of HKFRS 5 explicitly exclude financial assets which are subject to measurement requirements in HKFRS 9.

Question 4

According to HKFRS 5, the non-current asset was measured at fair value less costs to sell (HK\$7.5 million – HK\$0.75 million = HK\$6.75 million) as this was lower than the carrying amount (HK\$7.5 million). Furthermore, the company had to cease depreciation of the non-current asset during its classification as held for sale.

Question 5

The investment property was carried at fair value in accordance with HKAS 40 and, therefore, was not within the measurement scope of HKFRS 5. It first had to be remeasured from carrying amount (HK\$4 million) to fair value at 31 December 20X7 (HK\$3 million) and then added to the carrying amounts of the other assets within the disposal group. The revised carrying amount for the disposal group was HK\$12 million (HK\$13 million – HK\$1 million).

It should be determined that:

1. the disposal group was required to be written down by HK\$4 million as the carrying amount exceeded the fair value less costs to sell (HK\$12 million – HK\$8 million);
2. the write-down could only be allocated to assets within the measurement scope of HKFRS 5. Accordingly, the write-down could not be allocated to;
 - (a) cash and trade receivables, as financial assets within the scope of HKFRS 9 were excluded from the measurement scope of HKFRS 5; or
 - (b) the investment property measured at fair value; and

HKFRS
5.6

HKFRS
5.7

3. the write-down was allocated to the goodwill and then on a pro-rata basis to the other disposal group non-current assets within the measurement scope of HKFRS 5 *Property, plant and equipment*.

The write-down was allocated to the assets within the disposal group as follows:

	Pre-write-down (HK\$m)	Write-down (HK\$m)	Post-write-down (HK\$m)
<i>Asset</i>			
Goodwill	2	(2)	–
Investment property (fair value)	3	–	3
Property, plant and equipment	5	(2) ^a	3
Cash	1	–	1
Trade receivables	1	–	1
	<u>12</u>	<u>(4)</u>	<u>8</u>

^a HK\$2 million = HK\$4 million – HK\$2 million (goodwill).

Question 6

Answer A is incorrect. A subsidiary acquired exclusively with a view to resale is a type of discontinued operation.

Answer B is incorrect. A discontinued operation may represent a separate major line of business or geographical area of operations.

Answer C is incorrect. A discontinued operation may be a part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations.

Answer D is correct. It is not a requirement that a discontinued operation be accounted for using the equity method.

Question 7

ABC Manufacturing Limited made the following two errors in its presentation:

- The disposal group assets and liabilities had been offset (HK\$7 million – HK\$3 million = HK\$4 million) which was not permitted; and
- The line of business was first classified as held for sale in the 20X5; however, the comparative period was also re-presented, which was not permitted.

EXAM PRACTICE

QUESTION 1

TMD Trading Limited (TMD) is a listed company headquartered in Hong Kong. The company operated in two principal markets, being toy stores and general department stores.

TMD determined that each line of business was a separate cash-generating unit (CGU).

The company's toy stores CGU was primarily engaged selling toys. On 31 December 20X3, TMD had classified a parcel of land as held for sale with a carrying amount of HK\$3,400,000. As of 31 December 20X3, the fair value of the land was HK\$3,440,000 and estimated costs to sell were HK\$60,000.

The general department stores CGU sold a variety of consumer products. TMD had committed to a plan to sell the general department stores business during September 20X3 and the business presented the disposal group as held for sale in its 31 December 20X3 financial statements. As of 31 December 20X3, the carrying amount of the assets within the disposal group was HK\$57 million, which consisted of the following assets:

Asset	Carrying amount (HK\$)
Goodwill	12m
Other intangibles	6m
Property, plant and equipment	30m
Cash	5m
Trade receivables	4m
	<u>57m</u>

The company determined the fair value less costs to sell of the general department stores business was HK\$35,000,000.

Calculate the impairment loss (if any) for: (1) the parcel of land within the toy stores CGU and (2) the general department stores CGU. Allocate the impairment loss (if any) to the assets within the general department stores CGU.

QUESTION 2

Identify which of the following assets would not fall under the measurement provisions of HKFRS 5.

- A. Motor vehicles
- B. Buildings
- C. Deferred tax assets
- D. Land

QUESTION 3

According to HKFRS 5, an entity shall classify a non-current asset for sale

- A. if the asset is available for sale
- B. if the asset is available for sale and the sale is probable
- C. if its carrying amount will be recovered principally through a sale transaction rather than through continuing use
- D. if the sale is probable

QUESTION 4

According to HKFRS 5, which of the following statements is not correct in relation to discontinued operations?

- A.** A discontinued operation is a component of an entity with operations and cash flows clearly distinguishable from the rest of the entity.
- B.** A component of an entity is either a cash-generating unit or a group of cash-generating units while being held for use.
- C.** To be a discontinued operation, a component of an entity must already be disposed of.
- D.** To be a discontinued operation, a component of an entity, if yet to be disposed of, must be classified as held for sale.

ANSWERS TO EXAM PRACTICE

QUESTION 1

This suggested answer has been set out by cash-generating unit (CGU) of TMD Trading Limited (TMD).

Toy stores CGU

As the parcel of land was classified as being held for sale, then in accordance with HKFRS 5, TMD would measure the land at the lower of its carrying amount and fair value less costs to sell. TMD would recognise an impairment loss of HK\$20,000, being the difference between the carrying amount of HK\$3,400,000 and fair value less costs to sell of HK\$3,380,000 (HK\$3,440,000 – HK\$60,000) as of 31 December 20X3.

General department stores CGU

As the general department store's business was classified as being held for sale, then in accordance with HKFRS 5, TMD would measure the business at the lower of its carrying amount and fair value less costs to sell. TMD would recognise an impairment loss of HK\$22,000,000, being the difference between the carrying amount of HK\$57,000,000 and fair value less costs to sell of HK\$35,000,000.

It should be determined that:

1. The write-down can only be allocated to assets within the measurement scope of HKFRS 5. Accordingly, the write-down cannot be allocated to cash and trade receivables, as financial assets within the scope of HKFRS 9 were excluded from the measurement scope of HKFRS 5.
2. The write-down is initially allocated to goodwill and then on a pro-rata basis to the other disposal group of non-current assets within the measurement scope of HKFRS 5 (i.e. 'Other intangibles' and 'Property, plant and equipment').

The write-down was allocated to the assets within the disposal group as follows:

Asset	Pre-write-down	Write-down	Post-write-down
Goodwill	12m	(12m)	—
Other intangibles	6m	(1.67m) ^a	4.33m
Property, plant and equipment	30m	(8.33m) ^b	21.67m
Cash	5m	—	5m
Trade receivables	4m	—	4m
	<u>57m</u>	<u>(22m)</u>	<u>35m</u>

QUESTION 2

Answer A is incorrect. The measurement provisions of HKFRS 5.5 which exclude certain assets do not exclude motor vehicles.

Answer B is incorrect. The measurement provisions of HKFRS 5.5 which exclude certain assets do not exclude buildings.

Answer C is correct. The measurement requirements of HKFRS 5.5 explicitly exclude deferred tax assets, which are subject to measurement requirements in HKAS 12.

Answer D is incorrect. The measurement provisions of HKFRS 5.5 which exclude certain assets do not exclude land.

QUESTION 3

Answer A is incorrect. In addition to being available for sale, the sale must also be highly probable. If these requirements are not met, it is more likely that the carrying amount will be recovered principally through continuing use.

Answer B is incorrect. Even if the asset is available and the sale is probable, the asset must be immediately available. If it is not, the carrying amount could be recovered principally through continuing use, at least for the foreseeable future. In accordance with HKFRS 5, 'probable' sale is not sufficient to be classified as non-current asset held for sale. It requires 'highly probable' sale.

Answer C is correct. An entity shall classify a non-current asset for sale if its carrying amount will be recovered principally through a sale transaction rather than through continuing use.

Answer D is incorrect. Even if the sale is probable, the asset must be immediately available for sale.

QUESTION 4

Answer A is incorrect. A discontinued operation is a component of an entity and a component of an entity comprises operations and cash flows that can be clearly distinguished from the rest of the entity.

Answer B is incorrect. A component of an entity will have been a cash-generating unit or a group of cash-generating units while being held for use.

Answer C is correct. A discontinued operation is a component of an entity that has either been disposed of, or is yet to be disposed of, and is classified as held for sale. As such, a component of an entity is not required to be disposed of to be a discontinued operation.

Answer D is incorrect. If a component of an entity is yet to be disposed of, for it to be a discontinued operation it must be classified as held for sale.

13

Accounting Policies, Changes in Accounting Estimates and Errors

CHAPTER TOPIC LIST

13.1 Changes in Accounting Policies and Estimates and in Errors Overview

13.1.1 Materiality

13.1.2 Types of Accounting Changes

13.2 Changes in Accounting Policies

13.2.1 Retrospective Application

13.2.2 Disclosure for Changes in Accounting Policies

13.3 Accounting Estimates

13.3.1 Prospective Recognition

13.3.2 Disclosure for Changes in Accounting Estimates

13.4 Correction of a Prior Period Error

13.4.1 Retrospective Restatement

13.4.2 Disclosure for Correction of Errors



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.01: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to accounting policies, changes in accounting estimates and errors

2.01.01 Define and explain the difference between accounting policies, accounting estimates and correction of prior period errors

2.01.02 Account for the change in accounting policy, accounting estimate and correction of prior period error

2.01.03 Prepare the disclosure in respect of the change in accounting policy, accounting estimate and correction of prior period error



OPENING CASE

QUALITY BATHROOM SUPPLIES LIMITED

Quality Bathroom Supplies Limited (Quality Bathroom Supplies) is a retail company selling high-quality, up-market bathroom supplies, such as baths, basins, tapware, showers, shower screens, spa baths, toilets and bathroom accessories. It has 10 retail stores located in Hong Kong, and sources its products from several manufacturers from mainland China. Quality Bathroom Supplies is the largest customer of each manufacturer. Each manufacturer manufactures the bathroom supplies according to the design, type and quantity requested by Quality Bathroom Supplies, and it delivers the supplies.

Since its commencement, Quality Bathroom Supplies has accounted for its inventories on hand at the end of each reporting period using the first-in, first-out (FIFO) method. Under the FIFO method, it is assumed that the first items of bathroom supplies purchased from the manufacturers are the first items sold to customers, resulting in the most recently purchased items of supplies being on hand at the end of each reporting period.

For each sale, Quality Bathroom Supplies offers its customers a written warranty against defects. Under this warranty, Quality Bathroom Supplies agrees to replace the defective bathroom supplies or offer a full refund if returned within 60 days from the time of sale.



OVERVIEW

An entity's financial statements cannot be prepared without first selecting and then applying accounting policies to the transactions it entered into or other events or conditions it experienced during the reporting period. Accounting policies are the principles, rules and practices an entity follows in preparing and presenting its financial statements. Some accounting policies are prescribed by accounting standards. Others can, in the absence of an accounting standard, be developed by management based on their judgement and experience, but they must provide relevant and reliable information for financial statement users.

Within an entity's financial statements, not all items can be measured with precision. Measurement uncertainty arises because of inherent uncertainties in the entity's activities, including the inability to predict future events beyond the entity's control with exactness. In the presence of uncertainty, the accountant makes an 'accounting estimate' to measure the financial statement item, drawing upon judgement and experience and using up-to-date and reliable information.

An entity may change an accounting policy relating to a transaction, other event or condition, or change an accounting estimate when measuring a financial statement item. In addition, when preparing an entity's financial statements, errors may be detected that arose in prior periods for a variety of possible reasons, including mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts or fraud. Once detected, these errors must be corrected to ensure the financial statements are reliable.

13.1 CHANGES IN ACCOUNTING POLICIES AND ESTIMATES AND IN ERRORS OVERVIEW

HKAS
8

This chapter distinguishes between and discusses how an entity is to account for a change in accounting policy, a change in an accounting estimate and a correction of an error. Such issues are governed by HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*. The objective of HKAS 8 is to prescribe:

- the criteria for selecting and changing accounting policies; and
- the accounting treatment and disclosure of changes in accounting policies, changes in accounting estimates and corrections of errors.

HKAS
8.1

HKAS
8.1

HKAS 8 aims to enhance the relevance and reliability of an entity's financial statements and the comparability of those financial statements over time and with the financial statements of other entities. Relevance and reliability are important features of financial statements for users as this enables users to confidently compare financial statements of an entity over time and among entities when making economic decisions regarding the allocation of scarce resources.

Throughout this chapter, you will be introduced to definitions from HKAS 8. At this point, defining the key terms used within HKAS 8 would be beneficial to understand the meaning of materiality, accounting policies and prior period errors and to understand how a change in accounting policy or a correction of a prior period error differs from a change in accounting estimate. Knowing these definitions will assist in your later understanding of the appropriate accounting treatment and disclosure of changes in accounting policies, changes in accounting estimates and corrections of prior period errors.

13.1.1 Materiality

'Material' is defined in HKAS 1 and refers to information that, if omitted, misstated, or obscured, could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

HKAS 8 stipulates that:

- the accounting policies in the Hong Kong Financial Reporting Standards (HKFRSs) need not be applied when the effect of applying them is immaterial (i.e. disclosures required by HKFRSs need not be made if the information is immaterial);
- financial statements do not comply with HKFRSs if they contain material errors; and
- material prior period errors are to be corrected retrospectively in the first set of financial statements authorised for issue after their discovery.

HKAS
8.IN7

13.1.2 Types of Accounting Changes

HKAS
8.5

HKAS 8 defines 'accounting policies' as the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements. For example, an accounting standard may:

- stipulate a specific accounting policy is to be applied to the transaction, event or condition (e.g. a cash-generating unit for which goodwill has been allocated is to be tested annually for impairment per HKAS 36 *Impairment of Assets*); or
- give management the choice between alternate accounting policies (e.g. entities can choose between the first-in, first-out (FIFO) or weighted average cost formulas in valuing inventory per HKAS 2 *Inventories*).

Alternatively, some transactions an entity enters into or other events or conditions experienced by an entity may not be specifically governed by a HKFRS. In these instances, the entity's management is to exercise its judgement in developing a policy to account for the transaction, other event or condition to generate information that is:

- relevant to the economic decision-making needs of users; and
- reliable to the financial statements.

An entity applies the requirements of HKAS 8 in the selection and application of accounting policies to a transaction, other event, or condition only if no other HKFRS specifically applies to the transaction, event, or condition. For example, this may be applied when an entity formulates an accounting policy to determine the entity's warranty provision as there is no HKFRS-prescribed accounting policy in this situation. When a HKFRS specifically applies to a transaction, other event or condition, the accounting policy or policies applied to that item are to be determined by applying the HKFRS and not HKAS 8. For example, all assets, subject to certain exceptions, are subject to impairment testing in accordance with HKAS 36 *Impairment of Assets*.

HKAS
8.7

When an entity changes its accounting policies, various details regarding the change are required by HKAS 8. These disclosure requirements are covered in more details in Section 13.2 of this chapter.

HKAS 8 also specifies how to account for a change in accounting estimate and a correction of a prior period error. A change in accounting estimate adjusts the carrying amount of an asset or a liability or adjusts the amount of the periodic consumption of an asset (e.g. depreciation or amortisation of an asset) due to a reassessment of the present status of, and future benefits and obligations associated with, the asset or liability. For example, a decrease (increase) in the estimated useful life of a depreciable asset will lead to higher (lower) future depreciation charges (see Section 13.3 for more discussion and examples).

HKAS
8.5

In contrast, a **prior period error** is an omission from and misstatement in an entity's financial statements for one or more prior periods due to a failure to use, or the misuse of, reliable information that:

- was available when financial statements for those prior periods were authorised for issue; and
- could reasonably be expected to have been obtained and taken into account in the preparation and presentation of those financial statements.

HKAS
8.5

Examples of errors include mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts and fraud. For example, the incorrect classification in previous periods of expenditure to repairs and maintenance expense instead of capitalising the expenditure as an asset will impact on expenses, profit, assets and possibly future depreciation charges (see Section 13.4 for more discussion and examples).

HKAS
8.5

In summary, accounting changes can arise from:

- a change in accounting policy
- a change in accounting estimate
- a correction of prior period error

Key Learning Point

It is necessary to determine whether an entity is following principles, rules and practices in preparing and presenting its financial statements or measuring financial statement items through estimation due to the presence of uncertainty. This establishes whether the entity is applying an accounting policy or making an accounting estimate, respectively.

► Knowledge Check Question**Question 1**

The accountant for Quality Bathroom Supplies Limited (Quality Bathroom Supplies) has been unable to find a HKFRS dealing with an accounting policy for the determination and calculation of its warranty provision it provides for the products it sells.

Required

Advise Quality Bathroom Supplies regarding the appropriate policy for warranty provision.

13.2 CHANGES IN ACCOUNTING POLICIES

Financial statement users often compare an entity's financial statements across reporting periods to identify trends in the entity's financial position, financial performance and cash flows. To support such trend analysis, a change in accounting policy should only occur in limited circumstances. An accounting policy is to be consistently applied to a transaction or other event or condition over time; however, there may be instances when a change to an existing accounting policy is necessary. An entity is permitted to change an accounting policy only if the change:

- is required by a HKFRS; or
- results in the financial statements providing reliable and more relevant information about the effects of transactions or other events or conditions on the entity's financial position, financial performance or cash flows.

HKAS
8.14

It is important to distinguish between the application of a new accounting policy and a change in accounting policy due to the different reporting requirements of each. To help clarify the distinction, HKAS 8 states the following are not changes in accounting policy:

- the application of an accounting policy for transactions or other events or conditions that differ in substance from those previously occurring; and
- the application of a new accounting policy for transactions or other events or conditions that did not occur previously or were immaterial. For example, if previously immaterial leasing arrangements became material, the requirements of HKFRS 16 *Leases* would need to be followed.

HKAS
8.16

HKAS 16
HKAS 38
HKAS 8.17

An entity's first-time adoption of a policy to revalue its assets in accordance with HKAS 16 *Property, Plant and Equipment* or HKAS 38 *Intangible Assets* is considered as a change in accounting policy. (The revaluation measurement models available under HKAS 16 and HKAS 38 are applied when the move from the cost model to the revaluation model results in the financial statements providing reliable and more relevant information. Under the initial application of the revaluation model, the carrying amount of the asset is increased with the increase being recognised in other comprehensive income and accumulated in equity as a revaluation surplus.) However, this accounting policy change is to be dealt with as a revaluation under HKAS 16 or HKAS 38. As such, paras. 19–31 of HKAS 8 (which are discussed below), do *not* apply to these types of changes in accounting policy. Refer to Chapter 5: *Property, Plant and Equipment* and Chapter 9: *Intangible Assets* for a discussion of asset revaluations in accordance with HKAS 16 and HKAS 38, respectively.

HKAS 16.39
HKAS 38.85

HKAS 8
paras 17–18

Once a change in accounting policy has been identified, it is necessary to determine how to account for such a change. Accounting for a change in accounting policy varies according to why the change was made (i.e. a mandatory requirement of a HKFRS or a voluntary change to provide relevant and more reliable information about the entity) and, if required by a HKFRS, whether the HKFRS contains transitional provisions on the initial application of the HKFRS.

More specifically, when a change in accounting policy results from a mandatory requirement for an initial application of a HKFRS the entity is required to:

- account for the accounting policy change in accordance with the specific transitional provisions, if any, in that HKFRS. Depending on the specific transitional provisions, the entity may be required to apply the change in accounting policy either retrospectively (i.e. as if that policy had always been in effect – see Section 13.2.1) or prospectively (i.e. from the earliest date possible which may be the current year – see Section 13.2.2); and
- apply the accounting policy change retrospectively when the HKFRS does not include specific transitional provisions applying to that change.

HKAS
8.19

When a change in accounting policy is voluntarily undertaken by management to provide reliable and more relevant information, the entity is required to apply the change retrospectively.

HKAS
8.19

Retrospective application of accounting policies changes as required by HKAS 8 are outlined in Section 13.2.1.

Illustrative Example 1

HKAS
16

A lease arrangement is when one entity (the lessee) promises to pay another entity (the lessor) for the right to use the lessor's asset for a specified time period. HKFRS 16 *Leases* is an accounting standard that significantly changed how a lessee accounts for leasing arrangements in its financial statements. Prior to HKFRS 16, some leasing arrangements (termed 'operating leases') did not require the lessee to recognise its right to use the

Illustrative Example 1 (continued)

lessor's asset as an asset, nor the obligation to make lease payments to the lessor as a liability, in its statement of financial position. Under HKFRS 16, a lessee must now recognise a leased asset and lease liability in its statement of financial position for operating leases. In accordance with HKAS 8, this change in accounting for operating leases constitutes a change in accounting policy as mandatorily required by a HKFRS. HKFRS 16 contains transitional provisions relating to leases previously classified as operating leases, which require a lessee to account for such accounting policy change retrospectively.

HKAS
8.14(a)HKFRS
16.C5–C10HKAS
8.19(a)**13.2.1 Retrospective Application**HKAS
8.5

To apply a change in accounting policy retrospectively, an entity is to apply the new accounting policy to transactions or other events and conditions as if that policy had always been in effect. In essence, this means the new accounting policy is to be applied from the earliest date the transactions, events, or other conditions occurred. To achieve this outcome, an entity must adjust:

- the opening balance of each affected component of equity (e.g. retained earnings) for the earliest prior period presented; and
- the other comparative amounts disclosed for each prior period presented as if the new accounting policy had always been applied.

HKAS
8.22**Illustrative Example 2**

During the reporting period ended 31 December 20X4, Quality Bathroom Supplies changed its cost formula to value its inventory. In previous periods, Quality Bathroom Supplies used the FIFO cost formula. The management of Quality Bathroom Supplies has now decided to use the weighted average cost formula. Management judges that the weighted average cost formula provides more relevant information about the cost of inventories and cost of goods sold, as it more accurately captures inventory flow from acquisition from manufacturers to point of sale to customers. In addition, the adoption of a weighted average cost formula is consistent with industry practice, enhancing the comparability of the financial statements of Quality Bathroom Supplies.

Management is able to determine that the change in cost formula will result in a HK\$1,500,000 increase (decrease) in cost of goods sold (inventories on hand) for the reporting period ended 31 December 20X3. For all reporting periods prior to 20X3, the change in cost formula results in an HK\$5,700,000 increase (decrease) in cost of goods sold (inventories on hand).

Illustrative Example 2 (continued)

The following amounts are available for 20X3 (as reported) and 20X4 (draft, after implementing the change in cost formula):

	(draft) 20X4	(reported) 20X3
	HK\$'000	HK\$'000
Sales	34,600	43,600
Cost of goods sold	(10,420)	(16,560)
Profit before income taxes	24,180	27,040
Income taxes	(3,990)	(4,462)
Profit	20,190	22,578
Inventories on hand	8,702	7,570

The following additional information is also available:

- Retained earnings and inventories on hand at 1 January 20X3 were HK\$12,250,000 and HK\$5,920,000, respectively;
- The income tax rate is 16.5%;
- No dividends have been declared or paid; and
- The change in inventory cost formula has a corresponding effect on the accounting and taxable profits of Quality Bathroom Supplies.

Applying HKAS 8, determine how Quality Bathroom Supplies will account for the change in inventory cost formula.

Applying HKAS 8, a change in accounting policy has occurred as Quality Bathroom Supplies has altered its principle for measuring inventories on hand. Under HKAS 8, as the change in inventory cost formula is voluntarily undertaken by management, it is to be applied retrospectively to the extent it is practicable to do so. Based on the facts provided, management is able to determine the period-specific effect (20X3) and the cumulative effect (pre-20X3) of the change in inventory cost formula. Quality Bathroom Supplies is required to adjust the opening balance of retained earnings for the earliest prior period presented (20X3), and other comparative amounts disclosed for each prior period presented (20X3), in the financial statements of the current period (20X4), which is the period the change in accounting policy occurred.

An extract of the statement of profit or loss and other comprehensive income for the 20X4 reporting period would look as follows:

Quality Bathroom Supplies Limited		
Extract from the statement of profit or loss and other comprehensive income		
	20X4	(restated) 20X3
	HK\$'000	HK\$'000
Sales	34,600	43,600
Cost of goods sold	(10,420)	(18,060) ^a

Illustrative Example 2 (continued)

Quality Bathroom Supplies Limited
Extract from the statement of profit or loss and other comprehensive income

	20X4	(restated) 20X3
	HK\$'000	HK\$'000
Profit before income taxes	24,180	25,540
Income taxes	(3,990)	(4,215) ^b
Profit	20,190	21,325

^aHK\$18,060,000 = HK\$16,560,000 + HK\$1,500,000

^bHK\$4,215,000 = HK\$4,462,000 – (HK\$1,500,000 × 16.5%)

An extract of the statement of financial position for the 20X4 reporting period:

Quality Bathroom Supplies Limited
Extract from the statement of financial position

	20X4	(restated) 20X3
	HK\$'000	HK\$'000
Inventories on hand	8,702	6,070 ^c

^cHK\$6,070,000 = HK\$7,570,000 – HK\$1,500,000

The retrospective application of the change in inventory cost formula for the 20X3 reporting period requires an adjustment to both cost of goods sold and inventories on hand. In particular, cost of goods sold (inventories on hand) is increased (decreased) by HK\$1,500,000, which reflects the 20X3-specific effects of changes to the inventory flow assumptions management adopts when switching from FIFO to weighted average cost formula. Due to the increase in cost of goods sold, restated profit before income taxes is lower, as illustrated above, which has two effects. First, income tax expense is restated to a lower amount as fewer taxes are payable on lower taxable profits. Second, retained earnings as at 31 December 20X3 is lower due to a lower restated profit figure for the 20X3 reporting period.

An extract of the statement of changes in equity for the 20X4 reporting period would be:

Quality Bathroom Supplies Limited
Extract from the statement of changes in equity

	Retained earnings HK\$'000
Balance as at 31 December 20X2 as previously reported	12,250
Change in accounting policy for the shift from FIFO to weighted average cost formula (net of incomes taxes of HK\$940,000 ^d)	(4,760) ^e
Balance as at 31 December 20X2 as restated	7,490
Profit for the year ended 31 December 20X3 as restated	21,325

Illustrative Example 2 (continued)

Quality Bathroom Supplies Limited Extract from the statement of changes in equity	
	Retained earnings HK\$'000
Balance as at 31 December 20X3	28,815
Profit for the year ended 31 December 20X4	20,190
Balance as at 31 December 20X4	49,005

^dHK\$940,000 = 16.5% x HK\$5,700,000

^eHK\$4,760,000 = HK\$5,700,000 – HK\$940,000

The retrospective application of the change in inventory cost formula pre-20X3 is reflected in the restatement of the retained earnings balance as at 31 December 20X2. The cumulative effect of the change in inventory cost formula pre-20X3 is an increase in cost of goods sold for HK\$5,700,000, with a corresponding reduction (before taxes) in profits of pre-20X3 prior periods. After tax, the reduction in profits of pre-20X3 prior periods is HK\$4,760,000, requiring a restatement of retained earnings as at 31 December 20X2 by the same amount. The 20X3-specific effect of the change in inventory cost formula on retained earnings is captured by the inclusion of the restated 20X3 profit figure.

13.2.2 Disclosure for Changes in Accounting Policies

In accordance with HKAS 8, an entity is required to disclose information about a change in accounting policy (irrespective of whether it was voluntary or due to the initial application of a HKFRS) when the change has:

- an effect on the current or any prior period;
- would have such an effect except that it is impracticable to determine the amount of the adjustment; or
- might have an effect on future periods.

HKAS
8.28, 29

The disclosures are to be provided by an entity in the period in which the change in accounting policy occurs (i.e. the current period). Financial statements of subsequent periods need not repeat the disclosures.

HKAS
8.28, 29

The type of information to be disclosed does depend on what caused the change. When a change in accounting policy is due to initial application of a HKFRS, an entity must disclose:

- the title of the HKFRS;
- that the change in accounting policy is made in accordance with its transitional provisions (if the HKFRS contains transitional provisions);
- the nature of the change in accounting policy;

HKAS
33

- a description of the transitional provisions (if applicable);
- the transitional provisions that might have an effect on future periods (if applicable);
- for the current period and each prior period presented, to the extent practicable, the amount of the adjustment:
 - for each financial statement line item affected; and
 - if HKAS 33 *Earnings per Share* applies to the entity, for basic and diluted earnings per share (EPS);
- the amount of the adjustment relating to periods before those presented, to the extent practicable; and

When an entity has not applied a new HKFRS that has been issued but remains ineffective, an entity is required to disclose:

HKAS
8.30

- this fact; and
- known or reasonably estimable information relevant to assessing the possible impact the application of the new HKFRS will have on the entity's financial statements in the period of initial application.

When a change in accounting policy is voluntary an entity must disclose:

- the nature of the change in accounting policy;
- the reasons why applying the new accounting policy provides reliable and more relevant information;
- for the current period and each prior period presented, to the extent practicable, the amount of the adjustment:
 - for each financial statement line item affected; and
 - if HKAS 33 *Earnings per Share* applies to the entity, for basic and diluted earnings per share
- the amount of the adjustment relating to periods before those presented, to the extent practicable.

Apply and Analyse 1

Based on the above analysis regarding Quality Bathroom Supplies, apply the disclosure requirements of HKAS 8 and prepare the note Quality Bathroom Supplies will disclose for the reporting period ended 31 December 20X4.

Analysis

In accordance with HKAS 8, the note disclosure in the financial statements of Quality Bathroom Supplies for the reporting period ended 31 December 20X4 for the change in accounting policy will look as follows:

Apply and Analyse 2 (continued)

Note XX: Change in Accounting Policy

During 20X4, Quality Bathroom Supplies changed its accounting policy relating to the assumed flow of inventory. Previously, Quality Bathroom Supplies used the first-in first-out (FIFO) cost formula. Now, Quality Bathroom Supplies uses the weighted average cost formula. Management believes the weighted average cost formula more accurately captures inventory flow from acquisition from manufacturers to point of sale to customers, thereby providing more relevant information about the cost of inventories and cost of sales to financial statement users. In addition, the adoption weighted average cost formula is consistent with industry practice, enhancing the comparability of the financial statements of Quality Bathroom Supplies.

This change in accounting policy has been accounted for retrospectively, and the comparative statements for 20X3 have been restated. The effect of the change on 20X3 is presented below. Opening retained earnings for 20X3 have been reduced by HK\$4,760,000, which is the amount of the adjustment relating to periods prior to 20X3.

	HK\$'000
Profit and Retained Earnings	
Effect on 20X3	
	HK\$'000
(Increase) in cost of sales	(1,500)
Decrease in income tax expense	248
(Decrease) in profit	(1,252)
Effect on periods prior to 20X3	
(Decrease) in profit (HK\$5,700 cost of sales less income tax expense of HK\$940)	(4,760)
(Decrease) in retained earnings as at 31 December 20X3	(6,012)
Assets and Liabilities	
Effect on 20X3	
	HK\$'000
(Decrease) in inventories	(1,500)
Decrease in income tax payable	248
(Decrease) in net assets	(1,252)
Effect on periods prior to 20X3	
(Decrease) in net assets (HK\$5,700 inventories reduction less HK\$940 income tax payable reduction)	(4,760)
(Decrease) in net assets as at 31 December 20X3	(6,012)

Key Learning Point

It is important to identify whether a change in accounting policy has been voluntarily undertaken by an entity or imposed by the introduction of a HKFRS and, if the latter, whether the HKFRS contains transitional provisions as this determines whether the change in accounting policy is within the scope of HKAS 8.

► Knowledge Check Question**Question 2**

For all changes in accounting policy, an entity is required to disclose:

- A** A description of the transitional provisions of the HKFRS that caused the change in accounting policy.
- B** The reasons why applying the new accounting policy provides reliable and more relevant information.
- C** For the current period and each prior period presented, the amount of the adjustment for each financial statement line item affected.
- D** The title of the HKFRS that caused the change in accounting policy.

13.3 ACCOUNTING ESTIMATES

Accounting estimates are monetary amounts in financial statements that are subject to uncertainty.

An accounting estimate is not the same as an accounting policy. Accounting policies are the principles, bases, conventions, rules and practices that an entity applies to prepare and present its financial statements. For example, under HKAS 16, an entity's accountant may choose to measure property, plant and equipment by applying the cost model or the revaluation model. Such a choice establishes an accounting policy. Under the cost and revaluations models, accounting estimates are required, e.g. estimates of the property, plant and equipment's useful life, and the expected pattern of consumption of the future economic benefits used to calculate depreciation. The revaluation model may also require estimates to determine the fair value of the property, plant and equipment.

In certain circumstances, uncertainty makes it difficult for an entity to precisely measure items in their financial statements. When such uncertainty exists, the entity must estimate the financial statement item. Such 'accounting estimates' require the entity to use up-to-date and reliable information to render a judgement. For example, the following accounting estimates may be required in the measurement of financial statement items:

- a loss allowance for expected credit losses;
- the net realisable value of an item of inventory;

- a provision for warranty obligations;
- the fair value of an asset or liability; and
- the depreciation expense for an item of property, plant and equipment.

In developing accounting estimates, an entity will often use measurement techniques and inputs (for example when measuring an expected credit loss under IFRS 9 *Financial Instruments* or fair value under HKFRS 13 *Fair Value*). Over time, with experience and new knowledge those techniques may need to be refined. This is simply an ongoing aspect of the process of estimation. However, when the purpose of an estimation changes, an accounting policy change is involved.

HKAS
8.32A

Because it is impossible to avoid uncertainty in many activities and transactions, the use of accounting estimates is essential for financial statements preparation. As long as the accounting estimates are reasonable, using them does not undermine the reliability of an entity's financial statements.

HKAS
8.32, 33

An entity may revise an accounting estimate. This may be warranted due to:

- changes in circumstances on which the estimate was based;
- new information becoming available that the entity can refer to; and
- the entity becoming more experienced and accurate in their estimations.

HKAS
8.34

Such a revision constitutes a change in an accounting estimate and is not a change in an accounting policy.

By its nature, the revision of an accounting estimate does not relate to prior periods and is not treated as the correction of an error. For the treatment regarding correction of errors, see Section 13.4.

HKAS
8.34

According to HKAS 8, a change in the measurement basis applied is a change in an accounting policy, and is not regarded as an accounting estimate change. For example, a change in the measurement basis for inventories from FIFO to weighted average is a change in accounting policy as highlighted in Illustrative Example 2. If it is difficult to distinguish an accounting policy change from an accounting estimate change, the change is treated as a change in an accounting estimate.

HKAS
8.35

The following section discusses how to account for a change in accounting estimate under HKAS 8.

13.3.1 Prospective Recognition

A change in accounting estimate must be recognised prospectively, which means the change is to be applied to transactions and other events and conditions from the date of the change in estimate. This means that the revised accounting estimate does not apply to past transactions and other events and conditions. It applies only to those that occur after the change in accounting estimate.

HKAS
8.38

An accounting estimate may relate to one only period, or it may extend over multiple periods. For example, estimating an allowance for future bad debts (i.e. an allowance for receivables) is done annually. As such, a change in how the allowance is estimated will only affect one period (i.e. the current period). Estimates of the useful life of, or the expected pattern of consumption of the future economic benefits embodied in, a depreciable asset are long-term because they influence the calculation of depreciation expense over the estimated useful life of the asset. A change in either of these estimates affects depreciation expense for the current period and for each future period during the asset's remaining useful life.

HKAS
8.38

How to account for a change in accounting estimate depends upon whether the estimate itself relates to one or multiple periods. The effect of a change in an accounting estimate is included in the determination of profit or loss (by recognising it as income or an expense) in:

- the period of the change, if the change affects only one period; or
- the period of the change and future periods, if the change affects both.

HKAS
8.36

To the extent that a change in an accounting estimate gives rise to changes in assets and liabilities or relates to an item of equity it is recognised by adjusting the carrying amount of the related asset, liability, or equity item in the period of the change.

HKAS
8.37

Illustrative Example 3

For the 20X2 reporting period, Quality Bathroom Supplies estimated its warranty expense as equal to 2% of current period sales, with the percentage being derived based on past experience (specifically, the proportion of products sold in the previous period (20X1) that were returned for repair under warranty). Sales in 20X2 amounted to HK\$13,000,000. An analysis undertaken by the Quality Bathroom Supplies revealed a dramatic increase in the number of products returned under warranty during the 20X2 reporting period. Because of this analysis, for the 20X3 reporting period, Quality Bathroom Supplies decided to re-estimate the warranty expense as equalling 3% of sales. Sales in 20X3 amounted to HK\$18,000,000. Quality Bathroom Supplies' reporting period ended 31 December.

In 20X2, Quality Bathroom Supplies' warranty provision totalled HK\$260,000 (HK\$13,000,000 × 2%). The total value of warranty claims accepted and paid by Quality Bathroom Supplies during 20X3 was HK\$350,000 and are reflected in the following journal entry:

	Debit	Credit
	HK\$	HK\$
Warranty provision	350,000	
Cash		350,000

In 20X3, the estimated warranty expense was HK\$540,000 (HK\$18,000,000 × 3%). In accordance with HKAS 8, the increase in the percentage of products sold that were expected to be returned for repair under warranty constituted a change in an accounting estimate. The revised accounting estimate was to be applied prospectively, meaning that it applied to the 20X3 reporting period and prior periods were not adjusted. The effect of the revised estimate and the warranty claims paid was included in the determination of profit or loss for the 20X3 reporting period via the following journal entry recorded at 31 December 20X3:

	Debit	Credit
	HK\$	HK\$
Warranty expense	540,000	
Warranty provision		540,000

Illustrative Example 3 (continued)

The above journal entry restored the warranty provision from an underprovision of HK\$90,000 (HK\$260,000 – HK\$350,000) to a credit balance of HK\$450,000. The warranty provision was recorded at an amount of HK\$180,000 higher using 3% of sales rather than the previous two percent of sales (i.e. HK\$540,000 [based on 3%] – HK\$360,000 [based on 2%]).

Any prior period comparative information presented in the 20X3 financial statements was not adjusted for the change in accounting estimate.

Apply and Analyse 2

On 1 January 20X0, Worthy Bicycles Limited (Worthy Bicycles) acquired machinery at a cost of HK\$2,000,000. At the time of acquisition, the estimated useful life of the machinery was 10 years and the residual value HK\$100,000. Worthy Bicycles depreciates all depreciable assets on a straight-line basis.

Due to technological obsolescence, on 1 January 20X4, the accountant of Worthy Bicycles revised the remaining useful life to be four years and estimated the residual value to be nil.

Applying HKAS 8, determine how Worthy Bicycles will account for the revised estimates in relation to the machinery's useful life and residual value assuming financial year ends of 31 December.

Analysis

Prior to the revised estimates, the annual depreciation charge equalled HK\$190,000 ((HK\$2,000,000 – HK\$100,000)/10 years). Based on this annual depreciation charge, the subsequent measurement of the machinery as of 31 December 20X3 was:

	HK\$
Cost	2,000,000
Accumulated depreciation	(760,000 ^a)
	1,240,000

^aHK\$760,000 = 4 years x HK\$190,000

In accordance with HKAS 8, the reduced useful life and residual value of the machinery constituted changes in accounting estimates. The revised accounting estimates were to be applied prospectively. As the estimates relate to multiple periods (i.e. four years), prospective application meant the revised estimates would impact profit or loss in the period of change (20X4) and future periods (20X5, 20X6 and 20X7, being the remaining three years' useful life).

Apply and Analyse 2 (continued)

Due to the revised estimates, the annual depreciation charge became HK\$310,000 ((HK\$1,240,000 – HK\$0)/4 years). The effect of the revised estimates was included in the determination of profit or loss for the 20X4-20X7 reporting periods via the following journal entry recorded each year (assuming no further changes to the useful life of the machinery):

	Debit	Credit
	HK\$	HK\$
Depreciation – machinery	310,000	
Accumulated depreciation – machinery		310,000

The changes in accounting estimates were also reflected in the adjusted carrying amount of the machinery as of 31 December 20X4:

	HK\$
Cost	2,000,000
Accumulated depreciation	(1,070,000) ^a
	930,000

^aHK\$1,070,000 = HK\$760,000 [balance 20X3] + HK\$310,000 [depreciation expense 20X4]

13.3.2 Disclosure for Changes in Accounting Estimates

The disclosure requirements for changes in accounting estimate differ depending on whether the change has an effect in the current period only or whether the accounting estimate is expected to have an effect on future periods as well.

HKAS
8.39

When a change in an accounting estimate has an effect in the current period only, an entity is required to disclose the nature and the amount of the change.

HKAS
8.39

If the change is expected to have an effect in future periods, an entity is required to disclose the nature and the amount of the change.

Illustrative Example 4

As previously indicated, Quality Bathroom Supplies estimated its warranty provision annually based on the proportion of last period's products sold that were returned under warranty. Moreover, in the previous Illustrative Example, this proportion was revised upward in 20X3 to equal 3% of sales. As Quality Bathroom Supplies estimated its warranty provision annually, the change in accounting estimate that occurred in 20X3 only affected the 20X3 reporting period.

Illustrative Example 4 (continued)

In accordance with HKAS 8, the note disclosure in the financial statements for the reporting period ended 31 December 20X3 relating to the change in accounting estimate may look as follows:

Note XX: Change in Accounting Estimate

Due to an increase in the number of products sold that were returned for repair under warranty for the reporting period ended 31 December 20X2, the proportion of sales during the current period expected to be returned for repair under warranty was revised upward from 2% to 3%. This revised estimate increased the warranty provision as at, and corresponding warranty expense for the period ended, 31 December 20X3 by HK\$180,000.

Key Learning Point

If an entity alters its estimation when measuring a financial statement item, this constitutes a change in accounting estimate. It is crucial that this change in accounting estimate is applied prospectively from the date of the change in estimate.

► Knowledge Check Questions

Question 3

During the current year, Heat Limited considered the estimated useful life for a depreciable asset was no longer appropriate due to a change in the way the asset was being used. The correct accounting treatment of this change is to:

- A** Treat it as a change in accounting policy
- B** Treat it as an error and adjust retrospectively
- C** Treat it as a change in an accounting estimate and adjust prospectively
- D** Treat it as a change in an accounting estimate and adjust retrospectively

Question 4

When a change in an accounting estimate is expected to have an effect in future periods, an entity shall disclose:

- A** Only the nature of the change
- B** Only the amount of the change in future periods
- C** The nature and the amount of the change if it is practicable to quantify the effect of the change in future periods
- D** The amount of the change if it is practicable to quantify the effect of the change in future periods

► Knowledge Check Questions (*continued*)

Question 5

Winter Limited (Winter) traditionally estimated its allowance for expected credit losses as 2% of credit sales for the year. For the year ended 30 June 20X2, credit sales were HK\$20,000,000. Based on this estimate, net receivables were reported as follows:

	HK\$
Receivables	4,000,000
Allowance for expected credit losses	(400,000)
Net receivables	3,600,000

An analysis by Winter revealed an underestimation in expected credit losses. Moreover, given a downturn in the economy, it was anticipated there would be an increase in actual credit losses in the current reporting period. Consequently, Winter decided to estimate allowance for expected credit losses based on an aged analysis of receivables as at the end of each reporting period. The aged analysis estimated the allowance for expected credit losses at HK\$700,000 as of 30 June 20X3. Credit sales for the reporting period ended 30 June 20X3 were HK\$25,000,000. Outstanding receivables as at 30 June 20X3 were HK\$3,600,000. Actual credit losses during the reporting period ended 30 June 20X3 were HK\$500,000.

Required

Applying HKAS 8, determine how Winter will account for the revised estimate in its allowance for expected credit losses for the reporting period ended 30 June 20X3.

Question 6

Based on your answer to Question 5, apply the disclosure requirements of HKAS 8 and prepare the note Winter will disclose for the reporting period ended 30 June 20X3.

➤ 13.4 CORRECTION OF A PRIOR PERIOD ERROR

An entity's accountant may make errors in respect of the recognition, measurement, presentation, or disclosure of financial statement elements. Recall, errors may arise due to:

- mathematical mistakes;
- mistakes in applying accounting policies;
- oversight of facts;

HKAS
8.5

- misinterpretation of facts; or
- fraud.

If these mistakes are not corrected, the entity's financial statements may not comply with HKFRSs. Errors may be detected in the period in which occur (i.e. the current period) and are corrected before the financial statements are authorised for issue. Other errors, however, may not be detected until a subsequent period. These types of errors are called prior period errors and, if material, are to be corrected in the financial statements for that subsequent period.

HKAS
8.41

Correcting an error is distinct from changing an accounting estimate. Accounting estimates require accountants to exercise judgement based on information available at the time. By their nature, accounting estimates are approximations. As additional information becomes known, accountants may revise their approximation, giving rise to a change in an accounting estimate. This is distinct from an error, which arises due to a failure to use or the misuse of information available at the time.

HKAS
8.48

The following section discusses how to account for the correction of a prior period error under HKAS 8.

13.4.1 Retrospective Restatement

A material prior period error must be corrected in the first set of financial statements with a **retrospective restatement**, issued after their discovery:

- by restating the comparative amounts for the prior period or periods presented in which the error occurred; or
- if the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for the earliest prior period presented.

HKAS
8.42

As such, if the entity's financial statements contain comparative information for a prior period or periods in which the error occurred, the entity adjusts the affected prior period comparative amounts to correct for the error. If, however, the error occurred before the earliest prior period for which comparative information is provided, the entity adjusts the opening balances of assets, liabilities and equity for the earliest prior period for which comparative information is provided to correct for the error. For an example of these adjustments, see Illustrative Example 5.

The purpose of the above restatements is to ensure that by the commencement of the current period, which is the period in which the error was detected, the prior period error has already been corrected. As such, the current period financial statements are presented as if the error never occurred.

HKAS
8.46

Illustrative Example 5

During the reporting period ended 31 December 20X6, Quality Bathroom Supplies discovered that some products that had been sold during the reporting period ended 31 December 20X5 were incorrectly included in inventory as of 31 December 20X5 at an amount of HK\$9,000,000.

The following amounts are available for 20X5 (as reported) and 20X6 (draft):

	(draft) 20X6	(reported) 20X5
	HK\$'000	HK\$'000
Sales	122,800	103,600
Cost of goods sold	<u>(85,880)</u>	<u>(72,560)</u>
Profit before income taxes	36,920	31,040
Income taxes	<u>(6,092)</u>	<u>(5,122)</u>
Profit	<u>30,828</u>	<u>25,918</u>

The following additional information was also available:

- Retained earnings at 1 January 20X5 was HK\$17,000,000;
- The cost of goods sold for 20X6 included the HK\$9,000,000 error in opening inventory;
- The income tax rate was 16.5%;
- No dividends were declared or paid;
- The error correction had a corresponding effect on the accounting and taxable profits of Quality Bathroom Supplies; and
- Assume that all amounts were material.

Applying HKAS 8, a prior period error exists as inventory was incorrectly overstated by HK\$9,000,000 for the 20X5 reporting period. Moreover, it is reasonable to presume that the prior period error was 'material' as the failure to correct the error could have influenced the economic decisions that users made on the basis of the 20X6 financial statements.

Under HKAS 8, the prior period error was to be corrected retrospectively, which required Quality Bathroom Supplies to restate the comparative amounts for the prior period in which the error occurred (20X5) in the financial statements of the current period (20X6), being the period the error was detected.

Illustrative Example 5 (continued)

Following the correction, an extract of the statement of profit or loss and other comprehensive income for the 20X6 reporting period would look as follows:

Quality Bathroom Supplies Limited		
Extract from the statement of profit or loss and other comprehensive income		
	20X6	(restated) 20X5
	HK\$'000	HK\$'000
Sales	122,800	103,600
Cost of goods sold	(76,880) ^a	(81,560) ^b
Profit before income taxes	45,920	22,040
Income taxes	(7,577) ^c	(3,637) ^d
Profit for the year	38,343	18,403

^aHK\$76,880,000 = HK\$85,880,000 – HK\$9,000,000

^bHK\$81,560,000 = HK\$72,560,000 + HK\$9,000,000

^cHK\$7,577,000 = HK\$6,092,000 + (16.5% × HK\$9,000,000 = HK\$1,485,000)

^dHK\$3,637,000 = HK\$5,122,000 – (16.5% × HK\$9,000,000 = HK\$1,485,000)

Due to the error, cost of goods sold reported in 20X5 was understated, and inventory as of 31 December 20X5 (which becomes opening inventory as at 1 January 20X6) was overstated by HK\$9,000,000. Therefore, cost of goods sold in the 20X6 accounting records of Quality Bathroom Supplies was overstated prior to the error's detection by HK\$9,000,000, as it included the HK\$9,000,000 error in opening inventory.

To correct for the error, cost of goods sold in 20X5 was restated upward, and inventory was restated downward by HK\$9,000,000. Due to the increase in cost of goods sold, restated profit before income taxes was lower, as illustrated above, which had two effects. First, income tax expense and income tax payable were restated to a lower amount as less taxes were payable on lower taxable profits. Second, retained earnings as of 31 December 20X5 was lower due to a lower restated profit figure for the 20X5 reporting period.

The 20X6 accounting records were also adjusted (prior to financial statement finalisation) by reducing cost of goods sold, and increasing inventory, by HK\$9,000,000. As the adjustment to the 20X6 accounting records occurred prior to finalising the financial statements, the financial statement figures for 20X6 were presented as if the error did not occur.

Following the correction, an extract of the statement of changes in equity for the 20X6 reporting period would be:

Quality Bathroom Supplies Limited	
Extract from the statement of changes in equity	
	Retained earnings HK\$'000
Balance as at 31 December 20X4	17,000
Profit for the year ended 31 December 20X5 as restated	18,403

Illustrative Example 5 (continued)

Quality Bathroom Supplies Limited Extract from the statement of changes in equity	
	Retained earnings HK\$'000
Balance as at 31 December 20X5	35,403
Profit for the year ended 31 December 20X6	38,343
Balance as at 31 December 20X6	<u>73,746</u>

In addition to the above adjustments, Quality Bathroom Supplies was required to disclose information about the error and the financial impact of its correction, which will be discussed further in Section 13.4.3 below.

13.4.2 Disclosure for Correction of Errors

HKAS 8 requires additional disclosures when correcting a material prior period error. For corrections of prior period errors, an entity is required to disclose:

- the nature of the prior period error;
- for each prior period presented, to the extent practicable, the amount of the correction:
 - for each financial statement line item affected; and
 - if HKAS 33 applies, for basic and diluted EPS;
- the amount of the correction at the beginning of the earliest prior period presented.

The disclosures are to be provided by an entity in the period in which the error is corrected. Financial statements of subsequent periods need not repeat the disclosures.

HKAS
8.49

Apply and Analyse 3

Based on the Illustrative Example about Quality Bathroom Supplies, apply the disclosure requirements of HKAS 8 and prepare the note Quality Bathroom Supplies will disclose for the reporting period ended 31 December 20X6.

Analysis

In accordance with HKAS 8, the note disclosure in the financial statements of Quality Bathroom Supplies for the reporting period ended 31 December 20X6 for the correction of the material prior period error will be presented as follows:

Apply and Analyse 3 (continued)

Note XX: Correction of Prior Period Error

Some products sold during the reporting period ended 31 December 20X5 were incorrectly included in inventory as at 31 December 20X5 at an amount of HK\$9,000,000. The 20X5 financial statements were restated to correct this error. The effect of the restatement on the 20X5 financial statements is summarised below. There is no effect for the reporting period ended 31 December 20X6.

	Effect on 20X5
	HK\$'000
(Increase) in cost of goods sold	(9,000)
Decrease in income tax expense	1,485
(Decrease) in profit	(7,515)
(Decrease) in inventory	(9,000)
Decrease in income tax payable	1,485
(Decrease) in equity	(7,515)

► Knowledge Check Questions

Question 7

The correction of a material error that occurred in a prior period must be accounted for by:

- A** Disclosure in the notes to the financial statements
- B** An adjustment in future accounting periods, but within five years of the error being discovered
- C** A prospective adjustment to the financial statements
- D** A retrospective restatement in the first financial statements issued after the discovery of the error

Question 8

During the reporting period ended 31 December 20X8, management of Sky Limited (Sky) discovered an invoice processing oversight. An invoice of HK\$6,000,000 for services provided by Sky during the reporting period ended 31 December 20X7 was incorrectly processed during the 20X8 reporting period, i.e. HK\$6,000,000 was included (incorrectly) in the sales for the 20X8 reporting period. At the time of detecting the error, the customer still owed the amount.

► **Knowledge Check Questions (*continued*)**

The following amounts were available for 20X7 (as reported) and 20X8 (draft):

	(draft) 20X8	(reported) 20X7
	HK\$'000	HK\$'000
Sales	36,800	38,600
Cost of sales	(5,600)	(7,400)
Selling and administrative expenses	<u>(4,300)</u>	<u>(5,380)</u>
Profit before income taxes	26,900	25,820
Income taxes	<u>(4,439)</u>	<u>(4,260)</u>
Profit	<u>22,461</u>	<u>21,560</u>

The following additional information was also available:

- Retained earnings at 1 January 20X7 was HK\$14,300,000;
- The income tax rate was 16.5%;
- No dividends were declared or paid; and
- Assume the error was material.

Required

Applying HKAS 8, determine how Sky will account for the prior period error for the reporting period ended 31 December 20X8. In doing so, provide an extract of:

- the statement of profit or loss and other comprehensive income; and
- the statement of changes in equity.

Question 9

Based on your answer to Question 8, apply the disclosure requirements of HKAS 8 and compose the note Sky will disclose for the reporting period ended 31 December 20X8.



SUMMARY

- An entity applies the requirements of HKAS 8 in the selection and application of accounting policies to a transaction or other event or condition only if no other HKFRS specifically applies to the transaction, event or condition.
- An entity is permitted to change an accounting policy but only if the change is required by a HKFRS or results in the financial statements providing reliable and more relevant information.
- If a change in accounting policy is required by a HKFRS and the HKFRS contains transitional provisions on the initial application of the HKFRS, an entity is required to account for the accounting policy change in accordance with the transitional provisions.
- If a change in accounting policy is required by a HKFRS and the HKFRS does not contain transitional provisions or the change is voluntarily undertaken to provide reliable and more relevant information, an entity is required to apply the accounting policy change retrospectively.
- In accordance with HKAS 8, an entity is required to disclose information about a change in accounting policy in the period the change occurs with the type of information to be disclosed dependent on whether the accounting policy change was required by a HKFRS or voluntarily undertaken.
- Due to the presence of uncertainty, estimates will form the basis of measuring some financial statement items. A change in accounting estimate is to be recognised prospectively, which means the change is to be applied to transactions, other events and conditions from the date of the change in estimate.
- The effect of a change in an accounting estimate is required to be included in the determination of profit or loss in the period of the change if the change affects only one period or the period of the change and future periods if the change affects both.
- Should a material prior period error be detected, the error is to be corrected retrospectively by restating comparative information contained in the financial statements of the detection period.
- If the entity's financial statements contain comparative information for a prior period or periods in which the error occurred, the entity adjusts the affected prior period comparative amounts to correct for the error.
- If the error occurred before the earliest prior period for which comparative information is provided, the entity adjusts the opening balances of assets, liabilities and equity for the earliest prior period for which comparative information is provided to correct for the error.
- An entity is to disclose information about a material prior period error in the financial statements for the period in which the error is corrected, including the nature of the error and the amount of the correction.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Certain transactions, events or conditions are not covered by HKFRS, and a warranty provision is an example where no HKFRS-prescribed accounting policy follows. However, such a situation is addressed by HKAS 8. In the absence of an applicable HKFRS, management should use its judgement in developing and applying an accounting policy that results in information that is relevant to the economic decision-making needs of users and ensures the financial statements are reliable.

To illustrate, management may use its judgement in selecting the basis on which the entity's warranty provision is calculated, such as the proportion of last period's sales that were returned by customers while still under warranty, and express its accounting policy as follows:

'Our warranty provision will be calculated based on last period's products sold that were returned under warranty'.

This statement constitutes an accounting policy under HKAS 8, as it represents a rule or practice that is going to be applied in preparing and presenting its financial statements.

Question 2

HKAS
8.28

Answer A is incorrect. This information is to be disclosed only if the change in accounting policy is required due to the initial application of a HKFRS.

HKAS
8.29

Answer B is incorrect. This information is required to be disclosed only for a voluntary accounting change.

HKAS 8.28;
HKAS 8.29

Answer C is correct. Irrespective of whether accounting change has been made voluntarily, or upon the initial application of a HKFRS, or the current period and each prior period presented, the amount of the adjustment for each financial statement line item affected is to be disclosed.

HKAS
8.28

Answer D is incorrect. This information is to be disclosed only if the change in accounting policy is required due to the initial application of a HKFRS.

Question 3

Answer A is incorrect. The change is not a change in accounting policy but a change in an accounting estimate (useful life).

Answer B is incorrect. The change is not an error but a change in an accounting estimate (useful life).

HKAS
8.36

Answer C is correct. The change is a change in an accounting estimate (useful life) and should be adjusted prospectively.

Answer D is incorrect. The change is a change in an accounting estimate (useful life) and should be adjusted prospectively, not retrospectively.

Question 4

Answer A is incorrect. The amount of the change if it is practicable to quantify the effect of the change in future periods must also be disclosed.

Answer B is incorrect. The nature of the change must also be disclosed.

HKAS
8.39

Answer C is correct. The nature and the amount of the change if it is practicable to quantify the effect of the change in future periods shall be disclosed.

Answer D is incorrect. The nature of the change must also be disclosed.

Question 5

In accordance with HKAS 8, the change in the method of calculating allowance for expected credit losses, which was necessitated by the ongoing underestimation of the allowance in previous years coupled with the economic downturn in the current period, constitutes a change in an accounting estimate. The revised accounting estimate is to be applied prospectively. As the allowance is estimated annually, a prospective application means the revised estimate will impact profit or loss in the period of change (year ended 30 June 20X3) only.



Actual credit losses during the 20X3 reporting period totalled HK\$500,000 and are reflected in the following journal entry:

	Debit	Credit
	HK\$	HK\$
Allowance for expected credit losses	500,000	
Receivables		500,000

Due to the revised estimate, the allowance for expected credit losses becomes HK\$700,000. Without the revised estimate, the allowance would have been HK\$500,000 (HK\$25,000,000 × 2%). Following the actual credit losses for the 20X3 reporting period, the allowance for expected credit losses has a negative balance of HK\$100,000 (HK\$400,000 – HK\$500,000), necessitating a HK\$800,000 increase in the allowance for the 20X3 reporting period to reach the HK\$700,000 estimated balance. The effect of the revised estimate together with the actual credit losses written off against the allowance is included in the determination of profit or loss for the 20X3 reporting period via the following journal entry:

	Debit	Credit
	HK\$	HK\$
Expected credit losses	800,000 ^a	
Allowance for expected credit losses		800,000

^a800,000 = 700,000 [allowance balance 20X3] – 400,000 [allowance balance 20X2] + 500,000 [actual credit losses during 20X3].

The change in the accounting estimate is also reflected in the adjusted carrying amount of receivables as of 30 June 20X3, demonstrated as follows:

	HK\$
Receivables	3,600,000
Allowance for expected credit losses	(700,000)
	2,900,000

The allowance for expected credit losses is recorded at an amount of HK\$200,000 higher using the aged analysis of receivables (HK\$700,000) rather than the previous 2% of credit sales (HK\$500,000).

Question 6

In accordance with HKAS 8, the note disclosure in the financial statements of Winter for the reporting period ended 30 June 20X3 may be as follows:

Note XX: Change in Accounting Estimate

Due to a downturn in the economy, and a change in the manner allowance for expected credit losses is calculated due to the ongoing underestimation of credit losses that eventuate, the allowance for expected credit losses has been revised upward for the current reporting period. Previously, Winter estimated its allowance for expected credit losses as 2% of credit sales for the year. Winter has now decided to estimate allowance for expected credit losses based on an aged analysis of receivables as at the end of each reporting period. This revised estimate has increased the allowance for expected credit losses, and corresponding expected credit losses expense for the period ended, on 30 June 20X3 by HK\$200,000.

Question 7

Answer A is incorrect. Material prior period errors must be corrected in the financial statements.

Answer B is incorrect. Material prior period errors must be corrected in the first set of financial statements issued after their discovery.

Answer C is incorrect. Material prior period errors must be corrected retrospectively by restating prior period comparative amounts.

Answer D is correct. Material prior period errors must be corrected retrospectively by restating prior period comparative amounts in the first set of financial statements issued after their discovery.

Question 8

Applying HKAS 8, a prior period error exists as revenue earned in the 20X7 reporting period was incorrectly recorded as sales in the 20X8 reporting period.

Under HKAS 8, the prior period error is to be corrected retrospectively, which requires Sky Limited (Sky) to restate the comparative amounts for the prior period in which the error occurred (20X7) in the financial statements of the current period (20X8), being the period the error was detected.

Following the correction, an extract of the statement of profit or loss and other comprehensive income for the 20X8 reporting period would look as follows:

Sky Limited		
Extract from the statement of profit or loss and other comprehensive income		
	20X8	(restated) 20X7
	HK\$'000	HK\$'000
Sales	30,800 ^a	44,600 ^b
Cost of sales	(5,600)	(7,400)
Selling and administrative expenses	(4,300)	(5,380)
Profit before income taxes	20,900	31,820
Income taxes	(3,449) ^c	(5,250) ^d
Profit	17,451	26,570

^aHK\$30,800,000 = HK\$36,800,000 – HK\$6,000,000

^bHK\$44,600,000 = HK\$38,600,000 + HK\$6,000,000

^cHK\$3,449,000 = HK\$4,439,000 – (16.5% × HK\$6,000,000 = HK\$990,000)

^dHK\$5,250,000 = HK\$4,260,000 + (16.5% × HK\$6,000,000 = HK\$990,000)

Due to the error, sales and receivables reported in 20X7 were understated by HK\$6,000,000. In addition, sales in the 20X8 accounting records of Sky was overstated prior to the error's detection by HK\$6,000,000, as it included the HK\$6,000,000 earned in the prior period (i.e. 20X7).

To correct for the error, sales and receivables were restated upward for the 20X7 reporting period by HK\$6,000,000. Due to the restatement of sales, restated profit before income taxes was higher, as illustrated above, resulting in the restated figures for income tax expense, income tax payable, and retained earnings as of 31 December 20X7 also being higher.

The 20X8 accounting records were also adjusted (prior to financial statement finalisation) by reducing sales and receivables by HK\$6,000,000 to avoid double counting of the same sales invoice. As the adjustment to the 20X8 accounting records occurred prior to finalising the financial statements, the financial statement figures for 20X8 were presented as if the error did not occur.

Following the correction, an extract of the statement of changes in equity for the 20X8 reporting period would be:

Sky Limited Extract from the statement of changes in equity	
	Retained earnings HK\$'000
Balance as of 31 December 20X6	14,300
Profit for the year ended 31 December 20X7 as restated	26,570
Balance as of 31 December 20X7	40,870
Profit for the year ended 31 December 20X8	17,451
Balance as of 31 December 20X8	58,321

Question 9

In accordance with HKAS 8, the note disclosure in the financial statements of Sky for the reporting period ended 31 December 20X8 for the correction of the material prior period error will look as follows:

Note XX: Correction of Prior Period Error

An invoice for services performed during the reporting period ended 31 December 20X7 was processed during the 20X8 reporting period, resulting in HK\$6,000,000 being incorrectly recorded as sales in 20X8 rather than in 20X7. The 20X7 financial statements have been restated to correct this error. The effect of the restatement on the 20X7 financial statements is summarised below. There is no effect for the reporting period ended 31 December 20X8.

	Effect on 20X7
	HK\$'000
Increase in sales	6,000
(Increase) in income tax expense	(990)
Increase in profit	5,010
Increase in receivables	6,000
(Increase) in income tax payable	(990)
Increase in equity	5,010

EXAM PRACTICE

Exclusive Furniture Limited (Exclusive Furniture) is a manufacturer and retailer of home furniture operating in Hong Kong. During the reporting period ending 31 December 20X8, the following events occurred:

- *Investment property:* It was decided that, in order to provide more relevant information in Exclusive Furniture's financial statements, its sole investment property should be accounted for using the fair value model per HKAS 40 *Investment Property* (HKAS 40). Previously, Exclusive Furniture elected to apply the cost model to account for the investment property. The change is to apply from 31 December 20X8. As the investment property was a parcel of land it was not depreciable in accordance with HKAS 16 *Property, Plant and Equipment*. The non-depreciable investment property was acquired on 1 January 20X6 for HK\$400,000,000. The property had a fair value of HK\$410,000,000, HK\$416,000,000 and HK\$420,000,000 on 31 December 20X6, 20X7 and 20X8 respectively;
- *Machinery:* Exclusive Furniture decided to revise the useful life and residual value of its machinery due to wear and tear. The equipment was purchased on 1 January 20X4 at a cost of HK\$3,000,000. At the time of acquisition, the estimated useful life of the machinery was ten years and the residual value HK\$350,000. On 31 December 20X7 the remaining useful life is now estimated to be four years and residual value is estimated to be HK\$100,000. Exclusive Furniture depreciates its machinery on a straight-line basis;
- *Receipt oversight:* Management discovered a receipt processing oversight. A sales invoice of HK\$500,000 was issued on 1 October 20X7 being recorded as sales and receivables at the time of issue. The amount of HK\$500,000 was paid by the customer on 20 December 20X7, banked and recorded in the cash account. However, the amount of HK\$500,000 received from the customer was incorrectly recorded as a cash sale, meaning the amount was still showing as outstanding as at 31 December 20X7 for the customer. Sales and receivables were adjusted during 20X8 following the discovery of the receipt processing oversight.



The following amounts are available for 20X7 (as reported) and 20X8 (draft which includes all the necessary changes resulting from revisions to useful life and residual value for the machinery from 1 January 20X8, but before implementing changes for the investment property and the receipt oversight):

Exclusive Furniture Ltd		
Statement of profit or loss and other comprehensive income		
	(draft) 20X8	(reported) 20X7
	HK\$'000	HK\$'000
Sales	52,700	42,960
Cost of sales	(7,780)	(5,820)
Selling and administrative expenses, including depreciation	(12,420)	(11,380)
Profit before income taxes	32,500	25,760
Income taxes	(5,360)	(4,250)
Profit	27,140	21,510

Exclusive Furniture Ltd		
Statement of financial position (extract)		
	(draft) 20X8	(reported) 20X7
	HK\$'000	HK\$'000
Cash at bank	7,820	6,480
Receivables, net	3,300	3,440
Property, plant and equipment	22,300	21,560
Accumulated depreciation and impairment losses	(3,700)	(2,820)
Property, plant and equipment, carrying amount	18,600	18,740
Investment property	400,000	400,000

The following additional information is also available:

- Retained earnings at 1 January 20X7 was HK\$11,700,000;
- The income tax rate is 16.5%;
- No dividends have been declared or paid; and
- Assume all amounts are material.

QUESTION 1

In accordance with HKAS 8, categorise the above events as a change in accounting policy, a change in an accounting estimate or the detection of a prior period error. Justify your answer.

QUESTION 2

Applying HKAS 8, determine how Exclusive Furniture will account for each event for the reporting period ended 31 December 20X8. In doing so, provide an extract of:

- the statement of profit or loss and other comprehensive income;
- the statement of financial position; and
- the statement of changes in equity,

which collectively incorporate the accounting treatment of each bullet point.

QUESTION 3

Apply the disclosure requirements of HKAS 8 to compose the note(s) Exclusive Furniture will disclose for the reporting period ended 31 December 20X8 for the above events.

QUESTION 4

A change in accounting policy that does not result from the initial application of HKFRSs is to be accounted for:

- A** Prospectively.
- B** Prospectively to the extent it is practicable to do so.
- C** Retrospectively.
- D** Retrospectively to the extent it is practicable to do so.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Investment property

HKAS 40 allows investment property to be measured using the cost model or the fair value model. As each model is a basis to be used in the measurement of investment property, the cost model and the fair value model constitute accounting policies. A change from the cost model to the fair value model, therefore, would be a change in accounting policy under HKAS 8.

Machinery

Determining the expected useful life and residual value of the machinery are accounting estimates under HKAS 8 as judgement has been exercised in estimating the expected time period the machinery will be used by Exclusive Furniture Limited (Exclusive Furniture) and in estimating the residual value at the end of the useful life of the machinery. Revision of this expected time period and residual value by Exclusive Furniture would, therefore, constitute a change in accounting estimates.

Receipt oversight

The misstatement in Exclusive Furniture's 20X7 financial statements was due to an incorrect recognition of HK\$500,000 as cash sales rather than as a reduction in receivables, and this constituted a prior period error under HKAS 8. Thus, the incorrect treatment of the receipt of HK\$500,000 overstated sales and receivables in the 20X7 financial statements.

QUESTION 2

Investment property

In accordance with HKAS 40, Exclusive Furniture initially measured its investment property at cost (HK\$400,000,000). Subsequently, on 31 December 20X8, Exclusive Furniture elected to apply the fair value model to its investment property. Under the fair value model, investment property was to be recognised at fair value in the statement of financial position, and any change in fair value from one reporting period to the next was to be recognised in the statement of profit or loss and other comprehensive income as a gain or loss. Shifting from the cost model to the fair value model was a voluntary change in accounting policy, which was to be applied retrospectively. As such, Exclusive Furniture was to restate its financial statements as if the fair value model had always been in effect.

Retrospective application required Exclusive Furniture to restate the opening balance of retained earnings for the earliest prior period presented (which is 20X7 in this case) to reflect the impact of the change in fair value of investment property in prior periods (i.e. to reflect the impact in prior periods up to 31 December 20X6). Exclusive Furniture had to restate relevant comparative amounts disclosed for each prior period presented to recognise the change in fair value during in these periods (there is only one comparative prior period presented in this case which is 20X7).

The measurement of the investment property under both models is:

	1 January 20X6	31 December 20X6	31 December 20X7	31 December 20X8
Cost model	HK\$400,000,000	HK\$400,000,000	HK\$400,000,000	HK\$400,000,000
Fair value model	N/A	HK\$410,000,000	HK\$416,000,000	HK\$420,000,000
Annual change in fair value	–	HK\$10,000,000	HK\$6,000,000	HK\$4,000,000

Machinery

Prior to the revised estimates of useful life and residual value, the annual depreciation charge equaled HK\$265,000 ((HK\$3,000,000 – HK\$350,000)/10 years). Based on this annual depreciation charge, the subsequent measurement of the machinery as of 31 December 20X7 was:

	HK\$
Cost	3,000,000
Accumulated depreciation	(1,060,000) ^a
	1,940,000

^aHK\$1,060,000 = 4 years x HK\$265,000

Effective 1 January 20X8, the revised estimates resulted in an annual depreciation charge of HK\$460,000 ((HK\$1,940,000 – HK\$100,000)/4 years). The changes in the accounting estimates for useful life and residual value were reflected in the adjusted carrying amount of the machinery as at 31 December 20X8:

	HK\$
Cost	3,000,000
Accumulated depreciation	(1,520,000)
	1,480,000

The effect of the revised estimates was to increase depreciation expense by HK\$195,000 (HK\$460,000 – HK\$265,000) in the determination of profit or loss for the 20X8–20Y1 reporting periods.

As stated in the question, the required changes as a consequence of the revisions to useful life and residual value had been incorporated into the 20X8 draft financial statements.

As the change in accounting estimate was to be applied prospectively, a restatement of the 20X7 financial statements was not required.

Receipt oversight

Due to the error in 20X7, receivables and cash sales were overstated by HK\$500,000. To correct for the error, receivables and (cash) sales were restated downwards as at 31 December 20X7 by HK\$500,000. The impact on profit was to reduce revenue by HK\$500,000 as sales were incorrectly recorded (overstated) and to reduce income tax expense by HK\$82,500 (16.5% × HK\$500,000) at 31 December 20X7.

Based on the above, retrospective restatement of the 20X7 financial statements was required to correct for the prior period error. No adjustment was required to the figures presented in the 20X8 draft financial statements, as the relevant figures in 20X8 were already adjusted before year end and the 20X8 financial statements were presented as if the error did not occur.

Financial statement extracts

Extracts from the financial statements for the 20X8 reporting period are:

Exclusive Furniture Limited		
Extract from the statement of profit or loss and other comprehensive income		
	(draft) 20X8	(restated) 20X7
	HK\$'000	HK\$'000
Sales	52,700	42,460 ^a
Cost of sales	(7,780)	(5,820)
Selling and administrative expenses, including depreciation	(12,420)	(11,380)
Gain on remeasurement of investment property	4,000 ^b	6,000 ^b
Profit before income taxes	36,500	31,260
Income taxes	(6,020) ^c	(5,158) ^d
Profit	30,480	26,102
Total comprehensive income	30,480	26,102



Exclusive Furniture Limited
Extract from the statement of financial position

	(draft) 20X8	(restated) 20X7
	HK\$'000	HK\$'000
Cash at bank	7,820	6,480
Receivables, net	3,300	2,940 ^e
Property, plant and equipment	22,300	21,560
Accumulated depreciation and impairment losses	(3,700)	(2,820)
Property, plant and equipment, carrying amount	18,600	18,740
Investment property	420,000 ^b	416,000 ^b

Exclusive Furniture Limited
Extract from the statement of changes in equity

	Retained earnings HK\$'000
Balance as at 31 December 20X6 as previously reported	11,700
Change in accounting policy for the shift from the cost model to the fair value model in measuring investment property (net of income taxes of HK\$1,650,000)	8,350 ^b
Balance as at 31 December 20X6 as restated	20,050
Total comprehensive income for the year ended 31 December 20X7 as restated	26,102
Balance as at 31 December 20X7	46,152
Total comprehensive income for the year ended 31 December 20X8	30,480
Balance as at 31 December 20X8	76,632

^aRestate sales relative to the original 20X7 reported amount (i.e. HK\$42,960,000 – HK\$500,000 = HK\$42,460,000).

^bUpon adopting the fair value model, changes in fair value are recognised in profit or loss (HKAS 40.35 – see Chapter 6). For 20X7, restate the statement of profit or loss and other comprehensive income by including HK\$6,000,000 (HK\$416,000,000 – HK\$410,000,000) as a gain. Investment property is restated in the statement of financial position to HK\$416,000,000. For 20X8, update the draft statement of profit or loss and other comprehensive income by including HK\$4,000,000 (HK\$420,000,000 – HK\$416,000,000) as a gain. Investment property is recognised in the statement of financial position at HK\$420,000,000. Pre-20X7 retrospective application of the accounting policy change requires the restatement of retained earnings as of 31 December 20X6 for the change in fair value that occurred during the 20X6 reporting period. The change in fair value (before tax) is HK\$10,000,000 (HK\$410,000,000 – HK\$400,000,000). After tax, the increase in retained earnings as of 31 December 20X6 is HK\$8,350,000 (HK\$10,000,000 – HK\$1,650,000).

^cHK\$6,020,000 = HK\$5,360,000 + (16.5% × HK\$4,000,000 = HK\$660,000)

^dHK\$5,158,000 = HK\$4,250,000 + (16.5% × [HK\$6,000,000 – HK\$500,000] = HK\$908,000)

^eRestate receivables relative to the original 20X7 reported amount (i.e. HK\$3,440,000 – HK\$500,000 = HK\$2,940,000).

QUESTION 3

Investment property

Note XX: Change in Accounting Policy

During 20X8, Exclusive Furniture changed its accounting policy related to the measurement of its investment property. Previously, Exclusive Furniture used the cost model. Now, Exclusive Furniture used the fair value model. Management believed the fair value model would provide more relevant information about the value of its investment property than the cost model.

This change in accounting policy has been accounted for retrospectively, and the comparative statements for 20X7 have been restated. The effect of the change on 20X7 is presented below. Opening retained earnings for 20X7 have been increased by HK\$8,350,000, which is the amount of the adjustment relating to periods prior to 20X7.

	HK\$'000
Effect on 20X7	
Increase in gain on remeasurement of investment property	6,000
(Increase) in income tax expense	(990)
Increase in total comprehensive income	5,010
Effect on periods prior to 20X7	
Increase in total comprehensive income (HK\$10,000,000 gain on remeasurement of investment property less tax of HK\$1,650,000)	8,350
Increase in retained earnings as of 31 December 20X7	13,360

Machinery

Note XX: Change in Accounting Estimate

Due to accelerating wear and tear, the estimated useful life and residual value of machinery have been revised downwards for the current reporting period and each future reporting period for the remaining three years of the machinery's estimated useful life. This revision of estimated useful life and residual value has increased depreciation expense for the period ended 31 December 20X8 and will increase depreciation expense for each future reporting period up to 31 December 20Y1, by HK\$195,000.

Receipt oversight

Note XX: Correction of Prior Period Error

Cash received from a customer during the previous reporting period was recorded as sales instead of receivables as at 31 December 20X7. This resulted in HK\$500,000 being incorrectly recorded as sales instead of reducing receivables in 20X7. The 20X7 financial statements have been restated to correct this error. The effect of the restatement on the 20X7 financial statements is summarised below. There is no effect for the reporting period ended 31 December 20X8.



	<i>Effect of 20X7</i>
	HK\$'000
Decrease in sales	500
Decrease in receivables	500

QUESTION 4

HKAS
8.23

Answer A is incorrect. A voluntary change in accounting policy is to be applied retrospectively, not prospectively.

HKAS
8.23

Answer B is incorrect. A voluntary change in accounting policy is to be applied retrospectively, not prospectively.

HKAS
8.24

Answer C is incorrect. While a voluntary change in accounting policy is to be applied retrospectively, there is a limitation that an entity is to apply the new accounting policy to prior periods as far back as is practicable.

HKAS
8.24

Answer D is correct. A voluntary change in accounting policy is to be applied retrospectively, but only to those prior periods to which it is practicable to do so.

14

Events after the Reporting Period



CHAPTER TOPIC LIST

14.1 Events after the Reporting Period Overview

14.1.1 Definition

14.2 Recognition and Measurement

14.2.1 Adjusting Events after the Reporting Period

14.2.2 Non-adjusting Events after the Reporting Period

14.3 Going Concern

14.4 Disclosure

14.4.1 Date of Authorisation for Issue

14.4.2 Updating Disclosure About Conditions at the End of the Reporting Period

14.4.3 Non-adjusting Events after the Reporting Period



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.11: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to events after the reporting period
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2.11.01 Define events after the reporting period

2.11.02 Define and explain the difference between adjusting and non-adjusting events

2.11.03 Apply the accounting treatment for adjusting and non-adjusting events
--

2.11.04 Prepare the disclosure in respect of events after the reporting period



OPENING CASE

STYLISH SHOES

Stylish Shoes Limited (Stylish Shoes) is a manufacturing and retail company producing and selling fashion shoes throughout Hong Kong and mainland China. Stylish Shoes owns manufacturing plants in Hong Kong and mainland China where the raw materials are stored.

Stylish Shoes sources most of the ingredients for shoes from various local suppliers, each of whom deliver their respective ingredients to the Stylish Shoes plant on a weekly basis. Leather, the major component of the finished product, is obtained from Australia and the United States. Once delivered, the leather is stored in a climate-controlled storage area until the manufacturing process begins. The climate-controlled storage area is to ensure the temperature and humidity for the leather is suitable so the leather does not age and crack prematurely, which would make the leather unsuitable to use in the manufacturing process.

The reporting period for Stylish Shoes ends on 30 June and it is anticipated the financial statements for the 20X4 reporting period will be authorised for issue on 30 September 20X4. 

OVERVIEW

Entities prepare financial statements to present their financial performance over a specified time period (i.e. the reporting period) and the financial position of the entity as of the last day of the reporting period. However, preparing statements takes time, so there is a delay between the end of the reporting period and the date when the financial statements are completed and made available to users.

During this time, business and economic events may occur that help clarify how items within the financial statements should have been measured at the end of the reporting period. These types of events are called 'adjusting events'. Alternatively, business and economic events may occur that relate to circumstances that occur after the end of the reporting period. When such events are material, an entity must disclose information about them in its financial statements. This must be done in the interest of full disclosure and to ensure users of financial statement can make informed economic decisions. These are called 'non-adjusting events'.

This chapter addresses the accounting treatment of adjusting and non-adjusting events. Initially, you will gain an understanding of the time window during which adjusting and non-adjusting events can occur. Subsequently, you will gain an understanding of how to distinguish between adjusting and non-adjusting events and how an entity is to account for them. In particular, by the end of this chapter, you should gain an understanding of how an entity is to recognise adjusting events in its financial statements, and the types of information to disclose in relation to events after the reporting period. You should also have an understanding that adjusting and non-adjusting events may cause the going concern assumption to be violated.



14.1 EVENTS AFTER THE REPORTING PERIOD OVERVIEW

This chapter examines when an entity should adjust its financial statements for events that occur after the end of the reporting period but before the date when the financial statements are authorised to be issued. The accounting treatment of events that occur within this time window is governed by HKAS 10 *Events after the Reporting Period*.

The objective of HKAS 10 is to prescribe:

- when an entity should adjust its financial statements for events after the reporting period; and
- the disclosures that an entity should give about the date when the financial statements were authorised for issue and about events after the reporting period.

HKAS
10.1

In addition, HKAS 10 also requires that an entity should not prepare its financial statements on a going concern basis if events after the reporting period indicate the going concern assumption is inappropriate.

HKAS
10.1

This section covers the time window within which, if an event occurs, HKAS 10 applies. It also introduces the terminology used to describe the different types of events that may occur within, and the key dates that outline, the time window to which HKAS 10 applies.

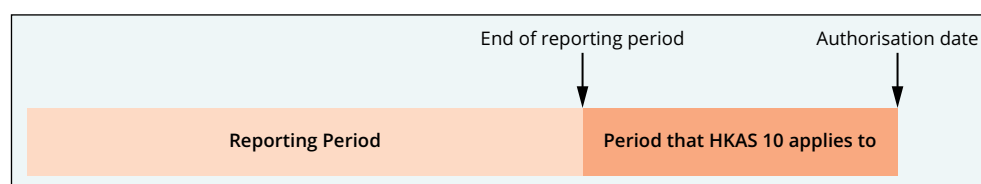
14.1.1 Definition

HKAS 10 defines 'events after the reporting period' as those favourable or unfavourable events that occur between the end of the reporting period and the date when the financial statements are authorised for issue.

HKAS
10.3

The definition of events after the reporting period refers to favourable events (e.g. an event that increases profit) or unfavourable events (e.g. an event that decreases profit). The term 'authorised for issue' is found within HKAS 10 but is not defined.

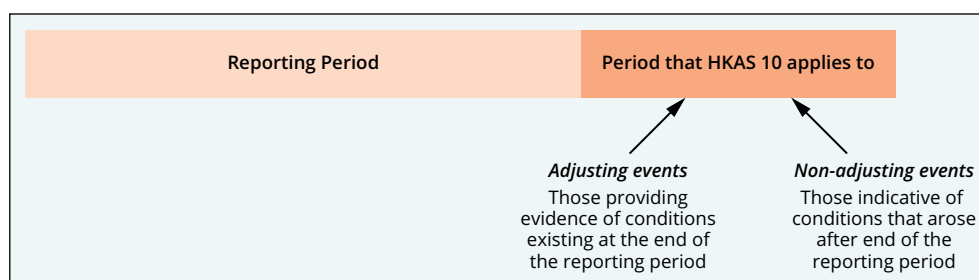
The following exhibit depicts the time window that HKAS 10 applies to:



► **EXHIBIT 14.1** Scope of HKAS 10

As shown in Exhibit 14.1, events that occur within the shaded area are within the scope of HKAS 10.

As Exhibit 14.2 indicates, events that occur between the end of the reporting period and the date when the financial statements are authorised for issue fall into two categories: adjusting events and non-adjusting events. As you will learn in Section 14.2, there are different accounting treatments for these two types of events.



► **EXHIBIT 14.2** Types of events after the reporting period

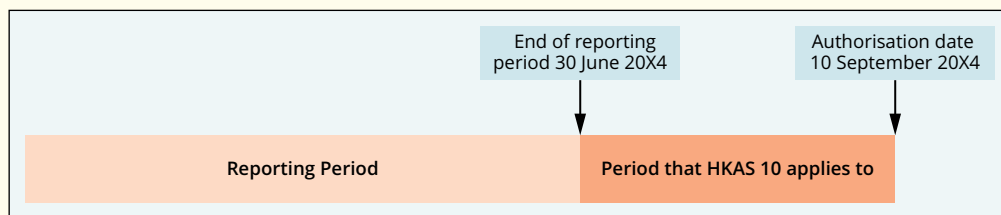
Apply and Analyse 1

On 10 September 20X4, the management of Stylish Shoes authorises the financial statements for the reporting period ended 30 June 20X4. The financial statements are made available to shareholders and the general public on 27 September 20X4. The financial statements are then filed with the Companies Registry on 12 November 20X4.

Applying HKAS 10, identify the time period within which 'events after the reporting period' may occur for Stylish Shoes.

Analysis

HKAS 10 applies to those events that occur between the end of the reporting period and the date the financial statements are authorised for issue. The end of the reporting period is 30 June 20X4. In accordance with HKAS 10, the date of authorisation is 10 September 20X4 as this is the date management authorises the financial statements for issue. As such, if an event occurs between 30 June 20X4 and 10 September 20X4 (i.e., in the period after 30 June 20X4 up to 10 September 20X4), Stylish Shoes must apply HKAS 10. Any events that occur outside this time period are beyond the scope of HKAS 10. This is depicted in Exhibit 14.3.



► **EXHIBIT 14.3** Applicability of HKAS 10

► Knowledge Check Questions

Question 1

According to HKAS 10, events occurring after the end of the reporting period that provide evidence of conditions that existed at the end of the reporting period are known as:

- A** Non-adjusting events.
- B** Reporting events.
- C** Adjusting events.
- D** Disclosing events.

Question 2

A company's workforce went on strike for an indefinite period commencing on 5 August 20X4. The strike was expected to cause severe financial conditions for the company. The financial statements for the year ended 30 June 20X4 were expected to be finalised and

► **Knowledge Check Questions (*continued*)**

authorised for issue on 10 August 20X4. In accordance with HKAS 10, the appropriate treatment regarding this event (i.e. the indefinite strike) is:

- A** To not adjust the financial statements as it is a non-adjusting event.
- B** To adjust the financial statements as it is an adjusting event.
- C** To adjust the financial statements as it is a non-adjusting event.
- D** To adjust the financial statements as it is an adjusting event.

14.2 RECOGNITION AND MEASUREMENT

Whether an entity should recognise the accounting consequences of events after the reporting period in the financial statements relating to that reporting period depends upon the type of event that occurs. That is, the accounting treatment of events after the reporting period depends upon whether the event is an adjusting or non-adjusting event after the reporting period. Each will be considered in turn.

HKAS
10.3(a)

14.2.1 Adjusting Events after the Reporting Period

HKAS
10.8

Adjusting events provide evidence of conditions that *existed* at the end of the reporting period. In accordance with HKAS 10, an entity shall adjust amounts recognised in its financial statements to reflect adjusting events after the reporting period.

Adjusting events (both favourable and unfavourable) after the reporting period adds to an entity's understanding of, and provides clarity in, how it should have recognised and measured these transactions at reporting period-end. As such, HKAS 10 requires the entity to revise its financial statements in light of this additional information. The entity may be required to:

- adjust an existing balance; or
- recognise an amount not previously recognised.

The following are examples of adjusting events after the reporting period that require an entity to adjust the amounts recognised in its financial statements or to recognise items that were not previously recognised:

- the settlement after the reporting period of a court case that confirms that the entity had a present obligation at the end of the reporting period;
- the bankruptcy of a customer that occurs after the reporting period usually confirms the customer was credit-impaired at the end of the reporting period;
- the sale of inventories after the reporting period (where inventories are sold below cost) may give evidence about their net realisable value at the end of the reporting period;
- the determination after the reporting period of the cost of assets purchased, or the proceeds of asset sold, before the end of the reporting period;
- the discovery of fraud or errors that show that the financial statements are incorrect.

HKAS
10.9

Illustrative Example 1

On 12 July 20X4 the purchasing manager of Stylish Shoes discovered an invoice from Quality Leather Limited (Quality Leather), the main supplier of leather to Stylish Shoes. The leather (as well as the accompanying invoice) was delivered by Quality Leather on 25 June 20X4. Stylish Shoes had not begun using the leather in the shoe-making process as of 30 June 20X4. Prior to its discovery, the purchasing department had not processed the invoice, which totals HK\$150,000.

The discovery of the invoice is an adjusting event, as it provides Stylish Shoes with information on conditions that existed at the end of the reporting period. Stylish Shoes purchased and took delivery of the leather during the 20X3–X4 reporting period, and the leather was still on hand by end of the reporting period (30 June 20X4). The discovery of the Quality Leather invoice (which had not been recorded by Stylish Shoes), for a purchase that occurred during 20X3–X4 sheds light on conditions that arose during the reporting period. As such, it is an adjusting event.

In accordance with HKAS 10, Stylish Shoes should adjust recognised amounts in the financial statements for the 20X3–X4 reporting period. To do this, Stylish Shoes would record the following journal entry as of 30 June 20X4:

	Debit	Credit
	HK\$	HK\$
Inventory – raw materials (leather)	150,000	
Trade payable		150,000

Apply and Analyse 2

On 15 July 20X3 an employee of Stylish Shoes suffered a personal injury while working at the Hong Kong plant of Stylish Shoes. As a consequence of the injuries, the employee was no longer able to work. On 1 November 20X3 the former employee commenced legal action against Stylish Shoes, claiming the injury was caused by an unsafe work environment. At 30 June 20X4 the former employee was undergoing an independent medical assessment to verify the severity of the injuries sustained. Findings were released on 1 September 20X4, with the medical assessment finding the former employee's injury was severe and the employee was unable to return to work. On 8 September 20X4 Stylish Shoes reached an out-of-court settlement with the former employee, and agreed to pay damages of HK\$2,000,000.

Applying HKAS 10, determine how Stylish Shoes should account for the settlement of the personal injury claim.

Analysis

The settlement of the personal injury claim is an adjusting event as it provides Stylish Shoes with evidence in relation to a condition that existed at the end of the reporting period. The injury, and the commencement of the legal action, occurred during the 20X3–X4 reporting period, with the claim yet to be resolved at the end of the reporting period (30 June 20X4). The settlement of the personal injury claim (on 8 September 20X4) sheds light on conditions that arose during the reporting period and, as such, it is an adjusting event.

Apply and Analyse 2 (continued)

Upon examining the medical assessment being released on 1 September 20X4 and the out-of-court settlement on 8 September 20X4 enables the amount payable to be determined. The obligation to pay damages constitutes a liability and, in accordance with HKAS 10, Stylish Shoes should recognise this in the financial statements for the 20X3–X4 reporting period. To do this, Stylish Shoes would record the following journal entry as of 30 June 20X4:

	Debit	Credit
	HK\$	HK\$
Compensation expense	2,000,000	
Claims payable		2,000,000

14.2.2 Non-adjusting Events after the Reporting PeriodHKAS
10.3(b)

A non-adjusting event provides information on circumstances that have arisen *after* the end of the reporting period. Unlike adjusting events that require an adjustment to the financial statements (as noted in 14.2.1), HKAS 10 requires the exclusion of non-adjusting events from the related financial statements. Instead, the accounting consequences of these events will be recognised in the reporting period in which they occur.

HKAS
10.10

In accordance with HKAS 10, an entity shall not adjust amounts recognised in its financial statements to reflect non-adjusting events after the reporting period.

Given their different accounting treatments, a distinction needs to be drawn between whether an event constitutes an adjusting or non-adjusting event after the reporting period. An adjusting event after the reporting period adds clarity to how transactions or events should be recognised and measured at the end of the reporting period. Though non-adjusting events may relate to certain recognised transactions, events or balances when they do not relate to the conditions of those transactions, events, or balances as they existed at the end of the reporting period. For example, a building existed at the end of the reporting period (31 December 20X5) with a carrying amount of HK\$1 million, but was burned down on 1 February 20X6. The destruction of the building does not relate to the condition of the building at the end of the reporting period (i.e. the building was not destroyed and was in usual condition on 31 December 20X5), but reflects the circumstances that have arisen subsequently. Therefore, the entity does not adjust any amounts recognised for the building in its financial statements for the period ending 31 December 20X5 (i.e. the carrying amount of the building remains HK\$1 million in the 20X5 financial statement). Instead, the fire happened on 1 February 20X6 constitutes a non-adjusting event and its accounting consequences (e.g. impairment of the building) should be recognised in the period in which it occurred (i.e. in the reporting period ending 31 December 20X6).

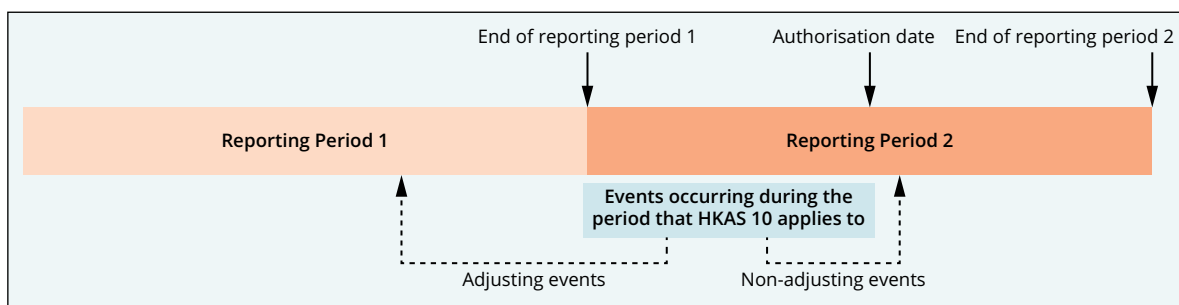
More examples of non-adjusting events include:

- a decline in the fair value of investments held at the end of the reporting period
 - no adjustment shall be made to the amounts already recognised for the investments.

HKAS
10.11

- a declaration of dividends payable to shareholders
 - the dividends declared are not recognised as a liability at the end of the reporting period.

As demonstrated in Exhibit 14.4, when adjusting and non-adjusting events occur after the end of reporting period 1 but before reporting period 1's financial statements are authorised for issue, the events are recognised in different reporting periods. Adjusting events are recognised in reporting period 1 by either changing amounts recognised or by recognising amounts not previously recognised in reporting period 1's financial statements.



► **EXHIBIT 14.4** When to recognise adjusting and non-adjusting events

Non-adjusting events are recognised in the financial statements in the reporting period they occur, that is, reporting period 2 (Usually non-adjusting events will be recognised in reporting period 2, but in some cases, this may extend to reporting periods 3 or 4 [or beyond] if the non-adjusting events relate to events that are not finalised with 12 months, e.g. a lengthy court case involving a claim for financial damages.). Though non-adjusting events are recognised in reporting period 2, as discussed in Section 14.4.3 of this chapter, an entity is required to disclose information about a non-adjusting event in reporting period 1's financial statements if it is material (usually in the notes to the financial statements).

Apply and Analyse 3

On 10 July 20X4, Hong Kong experienced a severe electrical storm, causing power outages in many regions, including the region where the Hong Kong plant of Stylish Shoes was located. Due to the power outage, the climate control system failed at the Hong Kong plant of Stylish Shoes, exposing the raw materials, leather, in storage to excessive humidity and temperature, making the leather unsuitable for use in the shoe-making process. Accordingly, Stylish Shoes had to throw out the leather as it could no longer be used. The damaged leather thrown out was recorded at HK\$3,000,000.

Applying HKAS 10, determine whether the electrical storm is an adjusting or non-adjusting event and how it should be accounted for in the financial statements for the year ended 30 June 20X4.

Analysis

In accordance with HKAS 10, the occurrence of the electrical storm was a non-adjusting event as it related to conditions that arose after the reporting period. The electrical



Apply and Analyse 3 (continued)

storm occurred on 10 July 20X4, which was after the end of the reporting period and was unrelated to circumstances present as of 30 June 20X4. This means that the amounts for unusable inventory (leather) should not be recognised as of 30 June 20X4. Nevertheless, if material, disclosure of this non-adjusting event would need to be shown in the notes to the financial statements for the year ended 30 June 20X4 (refer to Section 14.4 of this chapter for the discussion of disclosures on non-adjusting events).

► Knowledge Check Questions

Question 3

Plane Supplies Limited (Plane Supplies) is a manufacturer and distributor of small jet engine planes. On 6 July 20X7, Plane Supplies sold a plane to a customer for HK\$20,000,000. On 10 March 20X8, Plane Supplies received notification that the customer was in liquidation and the entire HK\$20,000,000 outstanding became uncollectible. The reporting period for Plane Supplies ended 31 December 20X7 and the financial statements were authorised for issue on 31 March 20X8.

Applying HKAS 10, determine whether the liquidation of the customer is an event after the reporting period for Plane Supplies. If so, explain whether it is an adjusting or non-adjusting event and how it should be accounted for in the financial statements for the year ended 31 December 20X7.

Question 4

Global Investment Limited (Global Investment) is an investment company that invests in global equities. On 1 May 20X5, Global Investment bought HK\$30,000,000 worth of shares in Mining Resources Limited (Mining Resources), a listed mining company in Australia, in anticipation of Mining Resources receiving exclusive rights to mine for uranium in the North-West region of Australia. On 15 July 20X5, the Australian government decided to ban uranium mining for the next five years, which resulted in the value of Global Investment's shareholding in Mining Resources declining by HK\$12,000,000 on that day. Global Investment's reporting period-end was 30 June 20X5, and the financial statements were authorised for issue on 30 September 20X5.

Applying HKAS 10, determine whether the decline in value of Global Investment's shareholding in Mining Resources is an event after the reporting period for Global Investment. If so, explain whether it is an adjusting or non-adjusting event and how it should be accounted for in the financial statements for the year ended 30 June 20X5.

14.3 GOING CONCERN

Due to deterioration in operating results and financial position after the reporting period, management may determine (between the end of the reporting period and the date when the financial statements are authorised for issue) that it intends to liquidate the entity or to cease trading or that it has no realistic alternative but to do so. In this case, the entity shall not prepare its financial statements on a going concern basis (see Chapter 1).

HKAS
10.14

The deterioration in business may stem from conditions that existed at the end of the reporting period (i.e. an adjusting event) or from conditions that arose after the reporting period (i.e. a non-adjusting event). Nevertheless, such deterioration may indicate the going concern assumption is no longer appropriate.

If an entity's inability to continue as a going concern causes pervasive effect on the entity's financial conditions, HKAS 10 requires a fundamental change in the basis of accounting for the preparation of a new set of financial statements rather than making adjustments to amounts recognised in the original set of financial statements.

HKAS
10.15

If the financial statements of an entity are not prepared on a going concern basis, HKAS 1 *Presentation of Financial Statements* specifies the required disclosures (refer to Chapter 20).

Illustrative Example 2

Premium Cars Limited (Premium Cars) is a Hong Kong registered company that assembles and manufactures cars at its manufacturing plant in Indonesia. While preparing its financial statements for the reporting period ended 30 June 20X7, on 1 August 20X7, a major earthquake occurred in Indonesia that destroyed the entire plant. The insurance policy of Premium Cars does not cover this type of natural disaster. As the management of Premium Cars could not raise sufficient capital to recommence the business, management decided to liquidate the company, i.e. Premium Cars would cease operation, sell its assets, pay all liabilities and distribute any remaining funds to shareholders. At the time of the decision to liquidate, the financial statements for the reporting period ended 30 June 20X7 had not been authorised for issue.

Following the earthquake, management's decision to liquidate means the going concern assumption is no longer appropriate in preparation of the financial statements for the reporting period ended 30 June 20X7. Because the entity's inability to continue as a going concern causes pervasive effect on the entity's financial conditions, HKAS 10 requires a fundamental change in the basis of accounting rather than an adjustment to amounts recognised within the original basis of accounting. Disclosure requirements of HKAS 1 would also need to be complied with by Premium Cars as of 30 June 20X7.

HKAS
10.15

HKAS
1.25

14.4 DISCLOSURE

HKAS 10 prescribes a number of disclosures to be made by entities in relation to events after the reporting period. Specifically, HKAS 10 requires an entity to disclose the date of authorisation for financial statements to be issued, to update disclosures about conditions existing at the end of the reporting period and to disclose specific information on non-adjusting events should they occur. Each will be considered in turn.

14.4.1 Date of Authorisation for Issue

HKAS
10.18

Users must know when the financial statements were authorised for issue because the financial statements do not reflect events after this date. As such, HKAS 10 requires an entity to disclose the date of authorisation and the persons who make such authorisation.

HKAS
10.17

14.4.2 Updating Disclosure about Conditions at the End of the Reporting Period

As discussed in Section 14.2.1, an adjusting event is when an entity receives information on conditions that existed at the end of the reporting period, which requires an entity to adjust amounts recognised in its financial statements or to recognise items not previously recognised.

HKAS
10.3, (a) 8, 9

An entity may also receive (after the reporting period) information about conditions that existed at the end of the reporting period but which do not affect the amounts it recognises in its financial statements. For example, information may become available after the reporting period about a contingent liability that exists at the end of the reporting period. Because the contingent liability may not have been recognised in the entity's financial statements (as the liability is not probable or the liability cannot be reliably measured), new information on the contingent liability does not affect any recognised amounts in the financial statements (except when the information results in the contingent liability now being recognised as a liability).

HKAS
10.20

No matter what information the entity receives, it must revise the amounts recognised or must recognise amounts that were not previously recognised in its financial statements, or it does not affect any recognised amounts at all, HKAS 10 requires an update of the related disclosures based on the information received.

HKAS
10.19

14.4.3 Non-adjusting Events after the Reporting Period

Though non-adjusting events do not result in adjustment to an entity's financial statements, if they are material, their non-disclosure could reasonably be expected to influence the decisions that the primary users of general purpose financial statements make on the basis of those financial statements. As such, HKAS 10 requires an entity to disclose the following for each material category of non-adjusting event after the reporting period:

- the nature of the event; and
- an estimate of its financial effect, or a statement that such an estimate cannot be made.

HKAS
10.21

The following are examples of non-adjusting events after the reporting period that would generally result in disclosure:

- entering into a major business combination or disposing of a major subsidiary
- announcing a plan to discontinue an operation
- major purchases of assets, classification of assets as held for sale in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations*, disposal of assets, or expropriation of major assets by government
- the destruction of a major production plant by natural disaster after reporting date;
- an announcement of or commencement of a major restructuring
- a major new share issue with no relationship to the past period
- abnormally large changes after the reporting period in asset prices or foreign exchange rates
- a change in tax rates or tax laws enacted or announced after the reporting period that have a significant effect on current and deferred tax assets and liabilities per HKAS 12 Income Taxes
- entering into significant commitments or contingent liabilities (e.g., issuing a significant guarantee); and
- commencing major litigation arising solely out of events that occurred after the reporting period.

HKAS
10.11, 12, 22

In addition, as stated in HKAS 1, an entity shall disclose in the notes the amount of dividends proposed or declared before the financial statements were authorised for issue but not recognised as a distribution to owners during the period, and the related amount per share.

Apply and Analyse 4

Continuing with the analysis of the electrical storm and its impact on Stylish Shoes, in accordance with HKAS 10, determine how Stylish Shoes should disclose the above event.

Analysis

Unusable leather:

As it is a non-adjusting event, details of the nature of the event and an estimate of its financial effect are to be disclosed if it is deemed to be material.

Presuming discarding the unusable leather is material, the note disclosure relating to the electrical storm may look as follows:

HKAS
10.21

Apply and Analyse 4 (continued)**Note XX: Events Occurring after the Reporting Period**

On 10 July 20X4, an electrical storm caused a power outage in the Hong Kong plant of Stylish Shoes, causing leather to be damaged and become unusable. As a result, leather worth HK\$3,000,000 was discarded.

Some of the damaged leather was used by mistake in the manufacturing of shoes. Several customers who purchased these shoes sued Stylish Shoes for damages they suffered while wearing the shoes. On 1 September 20X4, customers lodged a lawsuit against Stylish Shoes seeking damages of HK\$1,000,000. At this early stage, it was uncertain whether any amount of damages would be payable.

► Knowledge Check Questions**Question 5**

Home Care Limited (Home Care) is a global distributor of household products whose reporting period ends 30 June 20X6. Identify which of the following is a non-adjusting event required to be disclosed in Home Care's financial statements for the period ended 30 June 20X6 assuming the financial statements are authorised for issue on 30 September 20X6.

- A** On 8 July 20X6 Home Care received invoices from creditors totalling HK\$40,000 for the provision of information technology services for the month of June 20X6
- B** On 20 July 20X6, it was discovered the accounting department overstated sales revenue by HK\$800,000 for the reporting period ended 30 June 20X6
- C** Home Care acquired 100% ownership of a competitor on 20 September 20X6, which increased Home Care's market share by 20%
- D** Home Care has recently established a distribution centre in Singapore, and on 20 August 20X6 the foreign exchange rate between the Hong Kong Dollar and the Singapore Dollar changed from HK\$1 = S\$0.170 to HK\$1 = S\$0.172

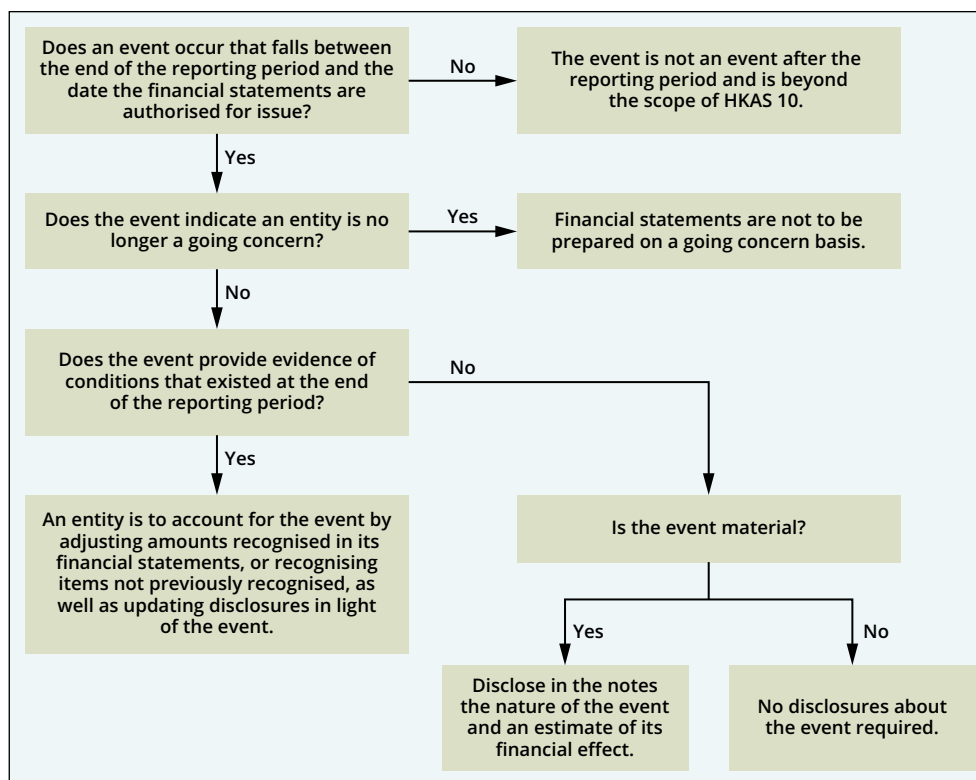
Question 6

The reporting period of Jet Limited (Jet) ended 31 December 20X7. Prior to the financial statements being authorised for issue on 31 March 20X8, the following events occurred:

- (1) On 8 February 20X8, 4,000,000 ordinary shares worth HK\$10 each were issued by Jet following a public share offer. This share issue doubled Jet's number of ordinary shares outstanding; and
- (2) On 1 March, Jet declared a final dividend of HK\$1.50 per share to all shareholders holding shares prior to 8 February 20X8.

In accordance with HKAS 10, determine how Jet should account for each event in its financial statements for the period ended 31 December 20X7.

Below is a decision tree (Exhibit 14.5) for you to follow in the application of HKAS 10:



► **EXHIBIT 14.5** How to apply HKAS 10

Key Learning Point

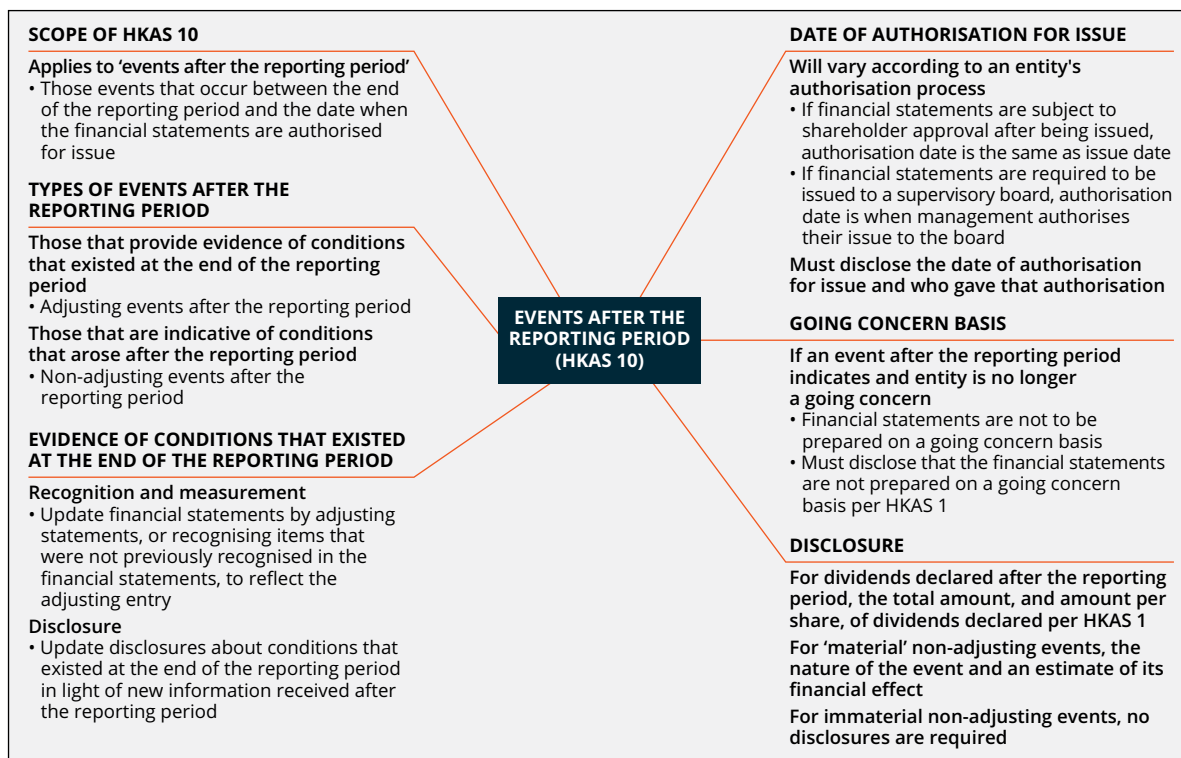
It is necessary to determine whether the event after the reporting period provides evidence of conditions that existed at the end of the reporting period or not. This establishes whether the event is an adjusting or non-adjusting event, which has different accounting implications under HKAS 10.



SUMMARY

- HKAS 10 sets out how to account for events after the reporting period.
- HKAS 10 defines events after the reporting period as those that occur between the end of the reporting period and the date when the financial statements are authorised for issue.
- The date when the financial statements are authorised for issue is dependent on an entity's authorisation process, but the date must be disclosed by an entity along with the name of the person who gave authorisation for the financial statements to be issued. If an entity's owners have the power to amend the financial statements after issue, HKAS 10 also requires the entity to disclose that fact.
- HKAS 10 categorises the events after reporting period into adjusting entries and non-adjusting entries.
- Adjusting events provide evidence of conditions that existed at the end of the reporting period, an entity shall adjust amounts recognised in its financial statements to reflect adjusting events after the reporting period.
- Non-adjusting events are indicative of conditions that arose after the reporting period. If a non-adjusting event occurs, an entity is not required to adjust amounts recognised in its financial statements to reflect the non-adjusting event.
- The declaration of dividends by an entity after the reporting period is a non-adjusting event, as there is no obligation to pay at the end of the previous reporting period.
- If an event after the reporting period (whether adjusting or non-adjusting) indicates an entity is no longer able to operate as a going concern, the entity is not to prepare its financial statement on a going concern basis and is to disclose this fact under HKAS 1.
- An entity is to update disclosures in the notes to account for new information on conditions that existed at the end of the reporting period.
- If a non-adjusting event is material, an entity should disclose the nature of the event and an estimate of its financial effect in the notes to the financial statements.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Non-adjusting events are indicative of conditions that arose after the reporting period.

Answer B is incorrect. The term 'reporting events' is not used in HKAS 10.

Answer C is correct. Adjusting events occur between the end of the reporting period and the date when the financial statements are authorised for issue that provide evidence of conditions that existed at the end of the reporting period.

Answer D is incorrect. The term 'disclosing events' is not used in HKAS 10.

Question 2

Answer A is correct. A non-adjusting event is an event that occurs between the end of the reporting period and the date when the financial statements are authorised for issue and the event was indicative of conditions that arose after the reporting period. In this case, the strike commenced on 5 August 20X4 while the financial statements were expected to be authorised for issue on 10 August 20X4. The strike did not provide any evidence of conditions existing at the period-end of 30 June 20X4 but reflected conditions after the reporting period. Therefore, it is a non-adjusting event and the company shall not adjust the amounts recognised in its financial statements to reflect a non-adjusting event.

Answer B is incorrect. The indefinite strike was a non-adjusting event. An adjusting event provides evidence of conditions that existed at the end of the reporting period, but the strike commenced on 5 August 20X4, which was after the end of the reporting period (30 June 20X4).

HKAS
10.2

HKAS
10.5

HKAS
10.3a

Answer C is incorrect. Though the strike is a non-adjusting event, the financial statements were not adjusted.

Answer D is incorrect. The strike was non-adjusting event and the financial statements were not adjusted.

Question 3

HKAS
10.3

In accordance with HKAS 10, the liquidation of the customer is an event after the reporting period. An event after the reporting period occurred as it took place on 10 March 20X8, which was between the end of the reporting period (31 December 20X7) and the date when the financial statements were authorised for issue (31 March 20X8).

The event provides evidence of conditions that existed at the end of the reporting period and, as such, constitutes an adjusting event. Though Plane Supplies did not become aware of the customer's inability to repay the debt until after the end of the reporting period, the sale occurred during the reporting period and the debt was in existence at reporting period-end. As such, the liquidator's notice provided additional information to Plane Supplies on the status of the HK\$20,000,000 as of the end of the reporting period. In accordance with HKAS 10, Plane Supplies had to adjust its financial statements (i.e. write off the HK\$20,000,000 trade receivable) for the period ended 31 December 20X7.

HKAS
10.8

To do this, Plane Supplies would record the following journal entry as of 31 December 20X7:

	Debit	Credit
	HK\$	HK\$
Credit loss	20,000,000	
Trade receivable		20,000,000

Question 4

HKAS
10.3

The decline in value of Global Investment Limited's (Global Investment) shareholding in Mining Resources Limited (Mining Resources) was an event after the reporting period, as the decline in value took place on 15 July 20X5, which was between the end of the reporting period (30 June 20X5) and the date when the financial statements were authorised for issue (30 September 20X5).

The decline in value of Global Investment's shareholding in Mining Resources on 15 July 20X5 does not relate to the condition of such shareholding at the end of the reporting period (30 June 20X5) and, as such, it is not an adjusting event.

Instead, this event reflects circumstances that arose after the end of the reporting period and, as such, constitutes a non-adjusting event (HKAS 10.3b, 11). In this instance, the circumstances that arose after the end of the reporting period were the Australian government's decision to ban uranium mining on 15 July 20X5. Since it is a non-adjusting event, Global Investment shall not adjust the amounts recognised for its equity investment in Mining Resources as at the end of the reporting period (30 June 20X5), although it may need to give additional disclosure.

HKAS
10.10–21

Question 5

HKAS
10.3, 21

Answer A is incorrect. The receipt of invoices from creditors for services performed during the 20X6 reporting period was an adjusting event, as it provided evidence of conditions that existed at the end of the reporting period (i.e. it provided evidence of amounts owing to creditors as of 30 June 20X6).

Answer B is incorrect. The detection of an error in revenue recognised for the reporting period ended 30 June 20X6 was an adjusting event, as it provided evidence of conditions that existed at the end of the reporting period (i.e. it provided evidence of the correct amount of revenue earned for the 20X6 reporting period).

Answer C is correct. The acquisition of the competitor occurred on 20 September 20X6, which was after the end of the 20X6 reporting period. Despite negotiations potentially occurring during the 20X6 reporting period, the acquisition reflects circumstances that had subsequently arisen and, as such, is a non-adjusting event. In addition, as the acquisition would increase Home Care Limited's (Home Care) market share by 20%, it was reasonable to assume the acquisition was a material non-adjusting event, thereby requiring Home Care to disclose the nature of the event and an estimate of its financial effect in its 20X6 financial statements.

HKAS
10.3, 21

Answer D is incorrect. The exchange rate fluctuation on 20 August 20X6 constituted a non-adjusting event, as it related to new conditions created after reporting period-end. However, it can be argued that the fluctuation was not material given it was small in magnitude. HKAS 10 requires disclosure of exchange rate fluctuations after the reporting period only when they are 'abnormally large'. As it was not material, disclosure of this event by Home Care was not required.

HKAS
10.22(g)

Question 6

The issue of ordinary shares by Jet Limited (Jet) on 8 February 20X8 was a non-adjusting event, as it related to conditions that arose subsequent to reporting period-end (i.e. the creation and issuance of new shares after the end of the reporting period). In addition, given the share issue doubled Jet's number of shares outstanding, it is reasonable to assume the share issue is material. As such, Jet should have accounted for the share issue by disclosing the nature of the event (i.e. a share issue) and an estimate of its financial effect (i.e. an increase in share capital by HK\$40,000,000) in the financial statements for the reporting period ended 31 December 20X7.

HKAS
10.21, 22(f)

The declaration of dividends on 1 March 20X8 is a non-adjusting event. The declaration of dividends was indicative of conditions that arose subsequent to the reporting period because there was no present obligation for the entity to pay the dividends at the end of the reporting period). In accordance with HKAS 1 Jet was required to disclose the total amount (4,000,000 shares × HK\$1.50 per share = HK\$6,000,000), and amount per share (HK\$1.50), of dividends declared in the financial statements for the reporting period ended 31 December 20X7.

HKAS
10.12-13

HKAS
1.137

Overall, the note disclosure relating to the above non-adjusting events may look as follows:

Note XX: Events Occurring after the Reporting Period

On 8 February 20X8, a public share issue of 4,000,000 ordinary shares at HK\$10 per share occurred, raising HK\$40,000,000 in share capital

On 1 March 20X8, dividends of HK\$1.50 per share were declared, totalling HK\$6,000,000 dividends payable to shareholders

EXAM PRACTICE

QUESTION 1

Fishing Limited (Fishing) is a business that operates a fleet of boats for commercial fishing in the waters surrounding Hong Kong. The following events took place after the end of the 31 December 20X4 reporting period but before the financial statements were authorised for issue on 31 March 20X5:

On 31 January 20X5, Fishing took delivery of fishing net for use in one its trawlers. The net was purchased from a manufacturer based in Thailand and was paid for in full on 28 December 20X4 prior to shipping to Hong Kong. The fishing net was in transit at the end of the reporting period. Upon arrival in Hong Kong, an inspection of the fishing net revealed significant structural flaws and the fishing net was returned to the supplier on 30 January 20X5. Fishing was to receive a full refund of the HK\$750,000 purchase price.

On 15 February 20X5, one of Fishing's boats was sunk during a storm. Though the boat was insured, Fishing experienced losses of HK\$500,000 as it took until 15 March 20X5 to purchase another replacement boat.

On 25 March 20X5, Fishing issued 10,000,000 ordinary shares at an issue price of HK\$10 each following a public share offer. This share issue doubled the number of ordinary shares on issue for Fishing.

- Advise Fishing on whether, in accordance with HKAS 10, the above events are adjusting or non-adjusting events after the end of the reporting period. Justify your advice.
- Based on your answer to Question (a), determine how the events should be accounted for in the financial statements of Fishing for the reporting period ended 31 December 20X4.

QUESTION 2

Best Viewing Limited (Best Viewing) is a manufacturer and retailer of TVs. The manufacturing plant is located in Shenzhen, China. The following took place in relation to the 30 June 20X6 reporting period.

On 29 June 20X6, a new model TV (LED 5), which was the latest version of TVs manufactured and sold by Best Viewing, was released for sale. The release of LED 5 meant demand for its predecessor (LED 4) declined dramatically. In an effort to sell its remaining stock of LED 4, on 3 July 20X6 Best Viewing reduced its selling price to 50% below cost. Inventories of LED 4 on hand at 30 June 20X6 (at cost) were HK\$500,000.

Best Viewing's workforce went on strike for an indefinite period commencing on 5 August 20X6. The strike was expected to cause severe financial conditions for Best Viewing. The financial statements for the 20X6 reporting period were authorised for issue on 30 September 20X6:

In accordance with HKAS 10, the appropriate classification of these events is:

Inventory valuation	Workforce strike
a. Adjusting	Adjusting
b. Non-adjusting	Non-adjusting
c. Adjusting	Non-adjusting
d. Non-adjusting	Adjusting

QUESTION 3

Management of Cat Limited (Cat) completes draft financial statements for the year ended 31 December 20X6 on 13 February 20X7. On 3 March 20X7, management of Cat amends the draft financial statements for the year ended 31 December 20X6. On 5 March 20X7, the board of directors reviews the financial statements and authorises them for issue. The financial statements are placed on Cat's website for shareholders and others to access on 30 March 20X7. Shareholders approve the financial statements at the annual general meeting on 2 June 20X7.

Applying HKAS 10, identify the time period within which HKAS 10 will apply to any events that might occur to Cat.

- A. between 31 December 20X6 and 13 February 20X7
- B. between 31 December 20X6 and 3 March 20X7
- C. between 31 December 20X6 and 5 March 20X7
- D. between 31 December 20X6 and 2 June 20X7

QUESTION 4

HKAS 10 requires disclosure of the following information for non-adjusting events:

- A. The financial effect of the event.
- B. For each material and immaterial category, the nature of the event and an estimate of its financial effect, or a statement that such an estimate cannot be made.
- C. For each material category, the nature of the event and an estimate of its financial effect, or a statement that such an estimate cannot be made.
- D. For each material category, the nature of the event.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) Determining adjusting or non-adjusting events

In accordance with HKAS 10, the receipt and subsequent return of the fishing net provided evidence of conditions that existed at the end of the reporting period and, as such, constituted an adjusting event. Though Fishing did not become aware of the fault in the fishing net until after the end of the reporting period, the purchase of, and payment for, the fishing net occurred during the reporting period with the asset existing at reporting period-end. The discovery of structural flaws upon receipt of the fishing net provided information to Fishing on the status of the asset as of the end of the reporting period. As such, it was an adjusting event.

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The sunk of fishing boat related to conditions that arose after the end of the reporting period and, as such, constituted a non-adjusting event. The storm occurred on 15 February 20X5, which is after the end of the reporting period, and is unrelated to circumstances present as of 31 December 20X4. As such, it was a non-adjusting event.

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The share issue arose as a consequence of the public share offer on 25 March 20X5. The share issue, therefore, reflects circumstances that arose after the end of the reporting period (31 December 20X4) and, as such, constituted a non-adjusting event.

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(b) Accounting for the events after the reporting period

1. Fishing net

As it is an adjusting event, Fishing had to adjust amounts recognised in its statement of financial position for the return of the fishing net and the subsequent cash refund. To do this, Fishing would record the following journal entry as of 31 December 20X4:

	Debit	Credit
	HK\$	HK\$
Receivable (fishing net refund)	750,000	
Fishing net		750,000

2. Sunk fishing boat

As it was a non-adjusting event, details of the nature of the event and an estimate of its financial effect were to be disclosed if it was deemed to be material.

3. Share issue

As it was a non-adjusting event, details of the nature of the event and an estimate of its financial effect were to be disclosed if it was deemed to be material.

Presuming events (2) and (3) were deemed material, the note disclosure relating to the storm and the share issue may have looked as follows:

Note XX: Events Occurring after the Reporting Period

On 15 February 20X5, a storm occurred that resulted in a fishing boat being sunk. Losses of HK\$500,000 resulted.

On 25 March 20X5, a public share issue of 10,000,000 ordinary shares at HK\$10 per share occurred, raising HK\$100,000,000 in share capital.

QUESTION 2

Answer A is incorrect. The indefinite strike was a non-adjusting event. An adjusting event provides evidence of conditions that existed at the end of the reporting period, but the strike commenced on 5 August 20X6, which was after the end of the reporting period (30 June 20X6).

Answer B is incorrect. The reduced selling price of LED 4 provided evidence of conditions that existed at the end of the reporting period and, as a result, constitutes an adjusting event.

Answer C is correct. In accordance with HKAS 10, the reduced selling price of LED 4 provided evidence of conditions that existed at the end of the reporting period and constitutes an adjusting event. Due to the release of LED 5 on 29 June 20X6, the amount recognised as inventory on hand as of 30 June 20X6 is overstated. As such, the release of LED 5, and the subsequent need to reduce the selling price of LED 4, provided information to Best Viewing on the value of inventory as of the end of the reporting period. As such, it was an adjusting event (HKAS 10.3, 9(b)(ii)). As it was an adjusting event, Best Viewing had to adjust amounts recognised in its statement of financial position for the inventory write down to net realisable value. To do this, Best Viewing would record the following journal entry as of 30 June 20X6:

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10.3, 9(b)(ii)

	Debit	Credit
	HK\$	HK\$
Loss on inventory write down	250,000	
Finished goods inventory		250,000
(50% write down of inventory [LED 4] from cost [HK\$500,000] to net realisable value)		

A non-adjusting event (the indefinite strike) is an event that occurs between the end of the reporting period and the date when the financial statements are authorised for issue, and the event was indicative of conditions that arose after the reporting period (HKAS 10.3). In this case, the strike commenced on 5 August 20X6, the financial statements were authorised for issue on 30 September 20X6 and the strike did not provide any evidence of conditions existing at 30 June 20X6. As such, it constitutes a non-adjusting event.

Answer D is incorrect. The strike was a non-adjusting event as it did not provide any evidence of conditions existing at 30 June 20X6.

QUESTION 3

Answer A is incorrect. Though the end of the reporting period is 31 December 20X6, on 13 February 20X7, the financial statements are in draft form only and are not ready to be authorised for issue.

Answer B is incorrect. Though the end of the reporting period is 31 December 20X6, on 3 March 20X7, amendments are made to the draft financial statements and are not ready to be authorised for issue.

Answer C is correct. HKAS 10 is to be applied by entities in the accounting for, and the disclosure of, events that occur after the end of the reporting period, but before the financial statements that relate to the reporting period are authorised for issue. In this case, the end of the reporting period is 31 December 20X6 and the date of authorisation is 5 March 20X7, as this is the date the board of directors authorises the financial statements for issue.

Answer D is incorrect. Yes, the end of the reporting period is 31 December 20X6, but the date of authorisation is not when the shareholders approve the financial statements (in this case on 2 June 20X7).

QUESTION 4

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Answer A is incorrect. For each material category of non-adjusting event, an entity shall disclose the nature of the event in addition to its estimated financial effect.

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Answer B is incorrect. For each material (but not immaterial) category of non-adjusting event, an entity shall disclose the nature of the event and an estimate of its financial effect, or a statement that such an estimate cannot be made.

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Answer C is correct. For each material category of non-adjusting event, an entity shall disclose the nature of the event and an estimate of its financial effect, or a statement that such an estimate cannot be made.

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Answer D is incorrect. For each material category of non-adjusting event, an entity shall disclose an estimate of its financial effect in addition to the nature of the event.

15

Provisions, Contingent Liabilities and Contingent Assets

CHAPTER TOPIC LIST

15.1 Provisions, Contingent Liabilities and Contingent Assets Overview

- 15.1.1** Provisions and Other Liabilities
- 15.1.2** Relationship Between Provisions and Contingent Liabilities

15.2 Recognition

- 15.2.1** Provisions
- 15.2.2** Contingent Liabilities
- 15.2.3** Contingent Assets

15.3 Measurement of Provisions

- 15.3.1** Best Estimate
- 15.3.2** Present Value

15.4 Application of Recognition and Measurement Guidelines

- 15.4.1** Future Operating Losses
- 15.4.2** Onerous Contracts
- 15.4.3** Restructuring Costs
- 15.4.4** Decommissioning and Restoration Costs

15.5 Presentation and Disclosure of Provisions, Contingent Liabilities and Contingent Assets Overview

- 15.5.1** Presentation and Disclosure of Provisions
- 15.5.2** Disclosure of Contingent Liabilities
- 15.5.3** Disclosure of Contingent Assets



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.12: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to provisions, contingent liabilities and contingent assets

- 2.12.01** Explain the difference between provisions and other types of liabilities such as trade payables
- 2.12.02** Define provisions, contingent liabilities and contingent assets
- 2.12.03** Describe the accounting treatment for onerous contracts
- 2.12.04** Apply the recognition criteria and accounting treatment for provisions
- 2.12.05** Describe the accounting treatment for contingent liabilities and contingent assets
- 2.12.06** Prepare the disclosure in respect of provisions, contingent liabilities and contingent assets



OPENING CASE

LADDERS-R-US

Ladders-R-US Limited (Ladders-R-US) is a retail company offering a range of ladders, including step ladders, retractable ladders, extension ladders and telescopic ladders. It predominantly operates an online retail business, with an online shopping platform offered on the company's website. As part of its marketing campaign, Ladders-R-US also promotes its products through regular segments on Hong Kong's television shopping channel. In addition, Ladders-R-US has two physical retail stores located in Hong Kong.

Ladders-R-US' most recent product innovation is the 'RetractaLad', which is a motorised retractable ladder. As part of its product launch, Ladders-R-US has extensively advertised that it will offer a money back guarantee to any dissatisfied customer.

Though the management of Ladders-R-US is optimistic about the success of the RetractaLad, it has concerns about the ongoing viability of its timber ladder division. Due to the popularity of aluminium ladders, sales of timber ladders have declined dramatically. 



OVERVIEW

An entity may be subject to a liability of uncertain amount or timing (e.g. warranty claims – we don't know when the customers will come and what costs will be incurred for the warranty). A liability with such uncertain timing is unique because, though the entity may have determined it has an obligation, it is uncertain about when it will need to settle the obligation and how much will be required. Such a liability is called a provision.

An entity may also establish that a liability may exist but does not meet the criteria for recognition in the financial statements. This can arise due to:

- uncertainty about whether an obligation exists,
- insufficient probability that an outflow of economic benefits would be required to settle the obligation, or
- an inability to reliably measure the amount of the obligation.

Such a liability constitutes a contingent liability.

Similarly, an entity may have a potential entitlement to receive an economic benefit (e.g., cash) in the future, but may be uncertain that it will receive any economic benefit. As distinct from many of an entity's other assets (e.g., trade receivables or cash holdings), a potential entitlement to an economic benefit is uncertain. In such cases, a 'possible' asset exists and is referred to as a contingent asset.

This chapter discusses the nature of provisions, contingent liabilities, and contingent assets, how an entity is to account for each, and the types of information to disclose in relation to each.

Initially, you will gain an understanding of how to evaluate provisions and distinguish them from contingent liabilities and other liabilities of an entity. Subsequently, you will gain an understanding of the recognition and measurement criteria pertaining to provisions and apply the criteria to a range of specific circumstances an entity may face. You will also gain an understanding of how to account for contingent assets and contingent liabilities. Finally, you will be able to prepare note disclosures pertaining to provisions, contingent liabilities and contingent assets.



15.1 PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS OVERVIEW

This chapter outlines the characteristics of provisions, contingent liabilities and contingent assets. The chapter then explains how to account for and disclose each respective item. Such

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issues are governed by HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*. The objective of HKAS 37 is to ensure that:

- appropriate recognition criteria and measurement bases are applied to provisions, contingent liabilities and contingent assets; and
- sufficient information is disclosed in the notes to the financial statements to enable users to understand their nature, timing and amount.

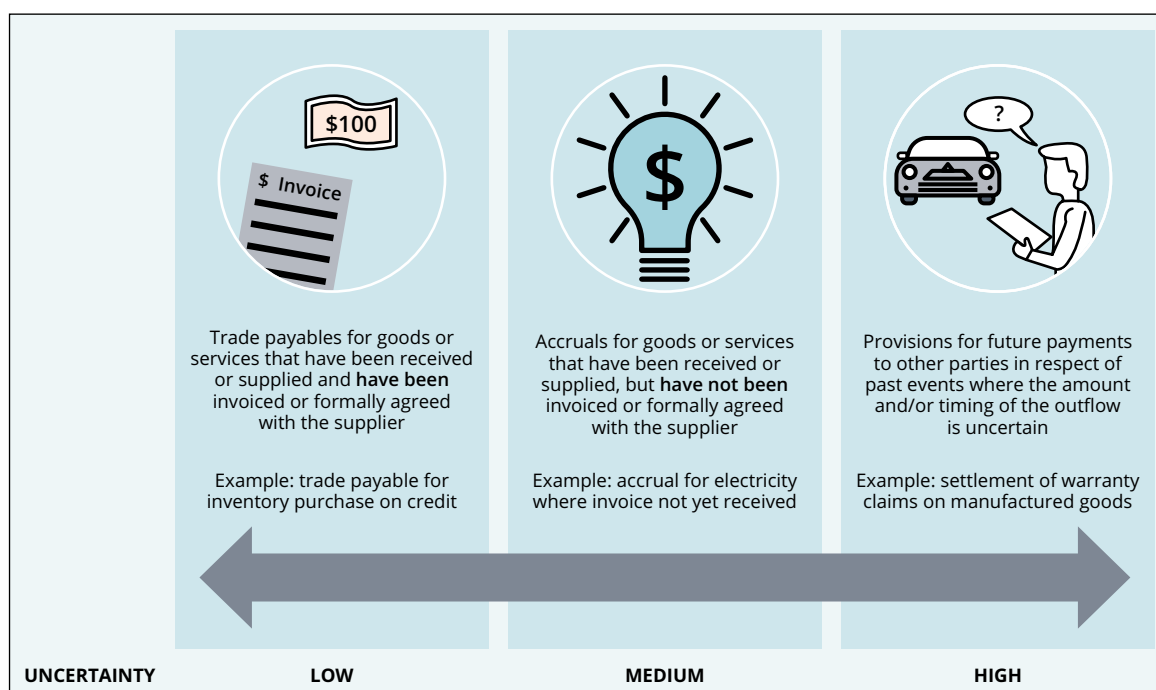
HKAS 37
Objective

In this section, you will be introduced to terminology that will build your understanding of what constitutes a provision, contingent liability and a contingent asset. You will also develop an understanding of what distinguishes provisions from other liabilities, and contingent liabilities.

15.1.1 Provisions and Other Liabilities

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A provision is a liability that is distinguishable from other liabilities because uncertainty exists about the timing or amount of the future expenditure required in settlement. Exhibit 15.1 below compares provisions to other common classes of liabilities.



► EXHIBIT 15.1 Distinguishing provisions from other liabilities

In Exhibit 15.1, the level of uncertainty (both in terms of timing and amount) for the trade payable for inventory and the accrual for electricity is relatively low. In contrast the timing and amount for a warranty payment can be much higher. For example, if a car manufacturer offers a five year warranty on the sale of a new motor vehicle, settlement could take place at any time over the five year period and the costs incurred to meet the warranty claim could also range widely. As provisions exhibit greater uncertainty than certain other liabilities, they become more distinct from those other liabilities and accounted for separately. In the case of the transactions discussed in Exhibit 15.1, the provision for warranties will be disclosed separately in the statement of financial position from trade payables and accruals.

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15.1.2 Relationship Between Provisions and Contingent Liabilities

In a general sense, all provisions are contingent because they are uncertain in timing and amount. However, within HKAS 37, the term contingent liabilities is used for items that are not recognised on the statement of financial position because their existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity. In addition, this term is used for liabilities that do not meet the recognition criteria.

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According to HKAS 37, the following distinctions are clearly made between provisions and contingent liabilities:

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- (a) provisions – which are recognised as liabilities (assuming that a reliable estimate can be made) because they are present obligations and it is probable that an outflow of resources embodying economic benefits will be required to settle the obligations (Exhibit 15.1).
- (b) contingent liabilities – which are not recognised as liabilities because they are either:
 - (i) possible obligations, as it has yet to be confirmed whether the entity has a present obligation that could lead to an outflow of resources embodying economic benefits. For example, a company is being sued for negligence but it is not likely that the company will lose the lawsuit and need to pay damages. While an obligation is still possible, the potential damages would be considered contingent only as a present obligation has yet to be confirmed by the court.
 - (ii) present obligations that do not meet the recognition criteria in HKAS 37 (because either it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or a sufficiently reliable estimate of the amount of the obligation cannot be made). For example, a former employee commenced legal action against a corporation for a breach of an implied duty of trust and confidence owed to the employee. The court has found in favour of the former employee but has yet to award damages. While the corporation has a present obligation to pay damages to the former employee, the amount of damages is considered contingent because a reliable estimate of the amount of the obligation cannot be made.

No liabilities are to be recognised for contingent liabilities but in most cases, they will require disclosures (which will be discussed in Section 15.5).

► Knowledge Check Question

Question 1

Identify which of the following statements is false.

- A** Provisions are not recognised in an entity's statement of financial position due to the uncertainty associated with them.

► Knowledge Check Questions (*continued*)

- B** Provisions are recognised in an entity's statement of financial position but are accounted for separately due to the uncertainty associated with them.
- C** The uncertainty associated with provisions may relate to timing, amount or both.
- D** Estimates of payments owing to supplier where a service has been provided but an invoice is yet to be received are not accounted for as a provision.

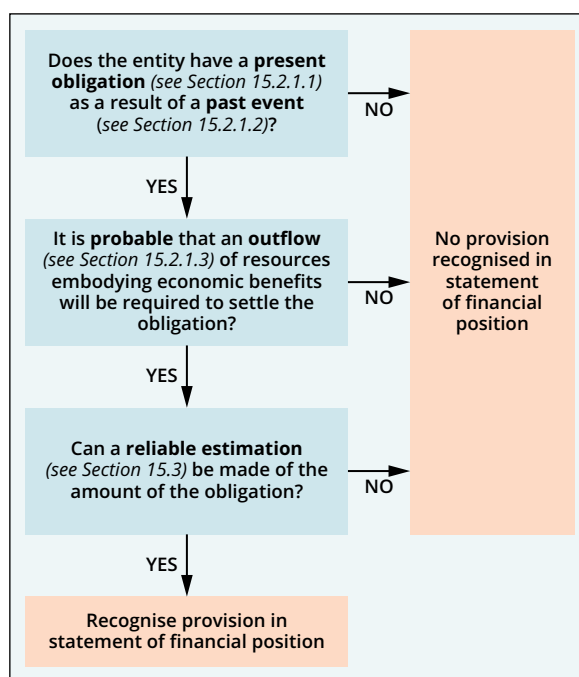
► 15.2 RECOGNITION

Having discussed the concepts of provisions and contingencies, it is now appropriate to examine the recognition requirements pertaining to each item.

15.2.1 Provisions

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HKAS 37 sets out the recognition criteria for provisions. These criteria are summarised in Exhibit 15.2.



► **EXHIBIT 15.2** Recognition criteria for provisions

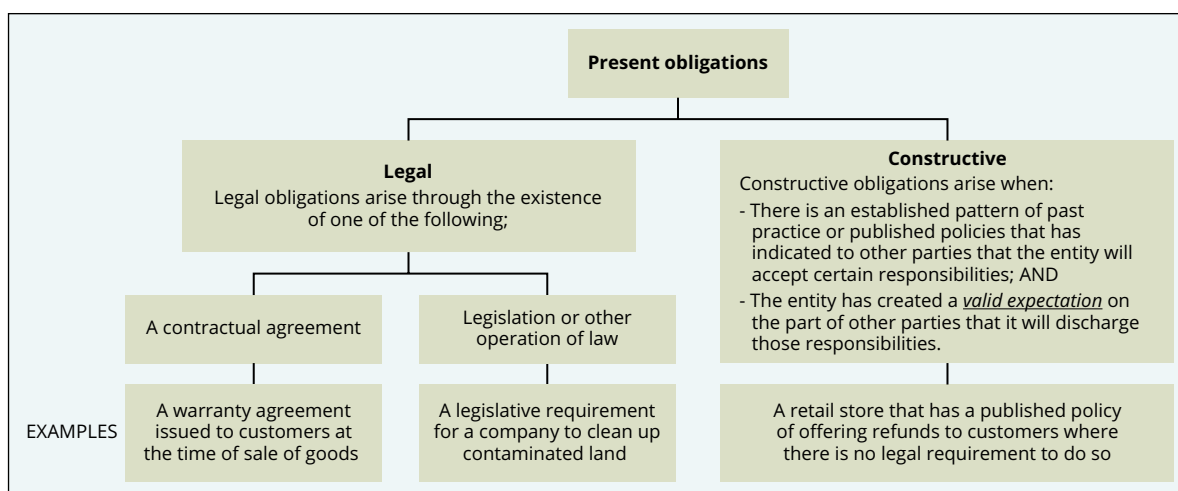
In Exhibit 15.2, that all three criteria must be met before a provision can be recognised in an entity's statement of financial position.

15.2.1.1 Present Obligation: Legal and Constructive Obligations

The first condition that must be satisfied to recognise a provision in the statement of financial position is that an entity has a present obligation as a result of a past event (the concept of a past event is discussed in Section 15.2.1.2).

A present obligation may be legal or constructive. A **legal obligation** arises when an entity is bound by a legal duty to act or perform in a certain way, whereas in a **constructive obligation** an entity's business practice or policies compels the entity to act or perform in a certain way beyond what it is legally bound to do.

Exhibit 15.3 summarises the key characteristics of each of these types of present obligations and provides an example of each.



► **EXHIBIT 15.3** Types of present obligations – legal and constructive

In rare instances, for example in a lawsuit, it may be unclear whether there is a present obligation because a decision is yet to be confirmed by the court. In these rare instances, an entity must consider all available evidence, including, for example the opinion of experts, and make a judgement as to whether it is more likely than not a present obligation exists. This judgement is to occur at the end of the reporting period, and if it is deemed:

- more likely than not that a present obligation exists, the first condition to recognise a provision will be satisfied; or
- more likely than not that no present obligation exists, a contingent liability will exist as the entity has a possible obligation as a result of a past event. Contingent liabilities are discussed in Section 15.2.2.

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15.2.1.2 Past Event

A past event may or may not give rise to a present obligation. A past event that creates a present obligation is called an **obligating event**.

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According to HKAS 37, obligating events arise if an entity has no realistic alternative to settling the obligation created by the event. This is the case only:

- (a) where the settlement of the obligation can be enforced by law;

For example, an entity has a commitment in a warranty contract (the obligating event) to undertake all repairs during the first year of sale. The entity has no realistic alternative to settling the warranty obligation because the contract is enforced by law; or

- (b) in the case of a constructive obligation, where the event (which may be an action of the entity) creates valid expectations in other parties that the entity will discharge the obligation.

For example, an entity has a commitment in a published policy (the obligating event) to have a full refund to customers when the good is returned within seven days of sale. The entity has no realistic alternative to settling the refund obligation because the published policy has created valid expectation to the customers that the entity will fulfil the promise. Exhibit 15.4 gives examples of past events that may or may not give rise to present obligations, depending on the particular circumstances:

Past event	HKAS 37 para ref	Discussion
A management or board decision made by an entity	20	- Only becomes an obligating event once it has been communicated to other parties in a sufficiently specific manner to raise a valid expectation that the entity will discharge the responsibilities stemming from its decision. - Prior to its communication, the decision is an internal one that may be altered or reversed (i.e. realistic alternatives other than settlement still exist)
Environmental damage caused by an entity where there is no legislative requirement to remedy the damage	21	- Such an event will not give rise to a present obligation immediately but may do so at a later date. - For example, if a retrospective change occurs in the law or the entity publicly accepts responsibility (creating a constructive obligation), then a present obligation will arise.
Details of a proposed new law have yet to be finalised	22	A present obligation will arise when enactment of the law is virtually certain.

► **EXHIBIT 15.4** Past events that may or may not give rise to present obligations

An intention to incur expenditure in the future is not a past event, as the entity can avoid the future expenditure at its own discretion (e.g. by deciding not to undertake the expenditure). In this instance, no provision is recognised. For example, an entity may have a policy whereby it overhauls its factory equipment every three years. Because the entity can avoid the future

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expenditure by its future actions, for example by changing its method of operation, it has no present obligation for the future expenditure, and therefore no provision will be recorded.

Illustrative Example 1

Petro Search Limited (PSL) is an entity involved in the exploration for and the extraction of petroleum. PSL is currently undertaking a project drilling for petroleum in the Bay of Bengal. On 20 November 20X2, a ruptured pipeline caused the spillage of millions of litres of petroleum into the bay before the leak was stopped. At the time of the spillage, there was no legal requirement in the jurisdiction in which PSL was drilling to rectify the contamination caused. It was PSL's business custom to not rectify contamination unless there was a legal responsibility to do so. Mindful of the public's perception of PSL as an environmentally responsible corporate citizen, on 30 December 20X2, the CEO of PSL issued a public pledge to clean up the petroleum spillage and any future petroleum spills that the company caused.

Accounting for Petroleum Spill at 20 November 20X2

At the time of the petroleum spill, neither a legal nor a constructive obligation existed for PSL to clean up the petroleum spill. PSL had no legal obligation, as there was no law requiring contamination to be rectified. There was no constructive obligation because PSL's pattern of past practice was to not clean up petroleum spills unless it was legally required to do so. As such, at the time of its occurrence the petroleum spill was not an obligating event.

Accounting for Petroleum Spill at 30 December 20X2

Upon making a public announcement that it would rectify the contamination caused by the petroleum spill, a constructive obligation was created. PSL altered its business practice and indicated to the public that, as an environmentally responsible corporate citizen, it would accept responsibility for the petroleum spill and clean it up. Upon making this announcement, the public validly expected PSL would clean up the petroleum spill, and as a result, no reasonable alternative existed for PSL other than to rectify the environmental damage caused.

Therefore, the past event, being the petroleum spill, became an obligating event on 30 December 20X2.

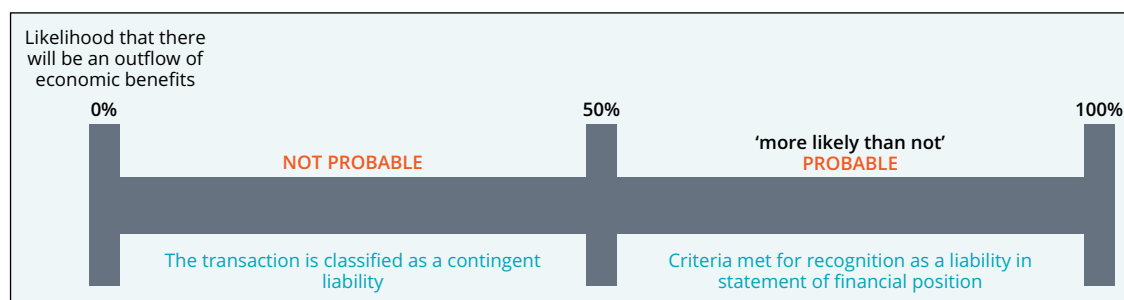
15.2.1.3 Probable Outflow of Economic Resources

Once it is established that a present obligation exists as a result of a past event, the second condition that must be satisfied to recognise a provision in the statement of financial position is



that it is probable an outflow of resources embodying economic benefits will be required to settle the present obligation. An outflow of resources is regarded as probable if it is more likely than not to occur. That is, the probability it will occur is greater than the probability that it will not. Where it is improbable an outflow of resources will be required, this recognition criterion will not be satisfied and, consequently, liability (provision) in the statement of financial position is not recognised but a contingent liability exists (see Section 15.2.2). These requirements are summarised in Exhibit 15.5.

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► **EXHIBIT 15.5** Determining whether an outflow is probable

In situations where there are a number of similar obligations (e.g. product warranties), an entity assesses the probability that an outflow will be required by considering the population as a whole. When an entity sells products with a warranty, the entity has an obligation to fulfil the warranty conditions for each individual product sold under warranty. The likelihood that the entity will be required to repair or replace a particular product, as part of the warranty conditions, because it is faulty may be small. However, it is probable that some other products sold under warranty will be faulty and require repair or replacement. As such, when considering individual warranty obligations collectively it is probable that an outflow of resources will be required by the entity, thereby satisfying this recognition criterion. Measurement of provision will be further elaborated in section 15.3.

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Apply and Analyse 1

As part of Ladders-R-Us' product launch of the 'RetractaLad', it is offering a money-back guarantee to any dissatisfied customer if the product is returned within four months of the date of purchase. Ladders-R-Us has offered a similar refund policy in the past on other products and, thus, is able to reliably estimate the number of refunds it will need to provide.

Determine whether Ladders-R-Us should recognise a provision in its statement of financial position in relation to its refund policy.

Analysis

To determine whether Ladders-R-Us should recognise a provision for refunds the elements of a provision in Exhibit 15.2 need to be considered.

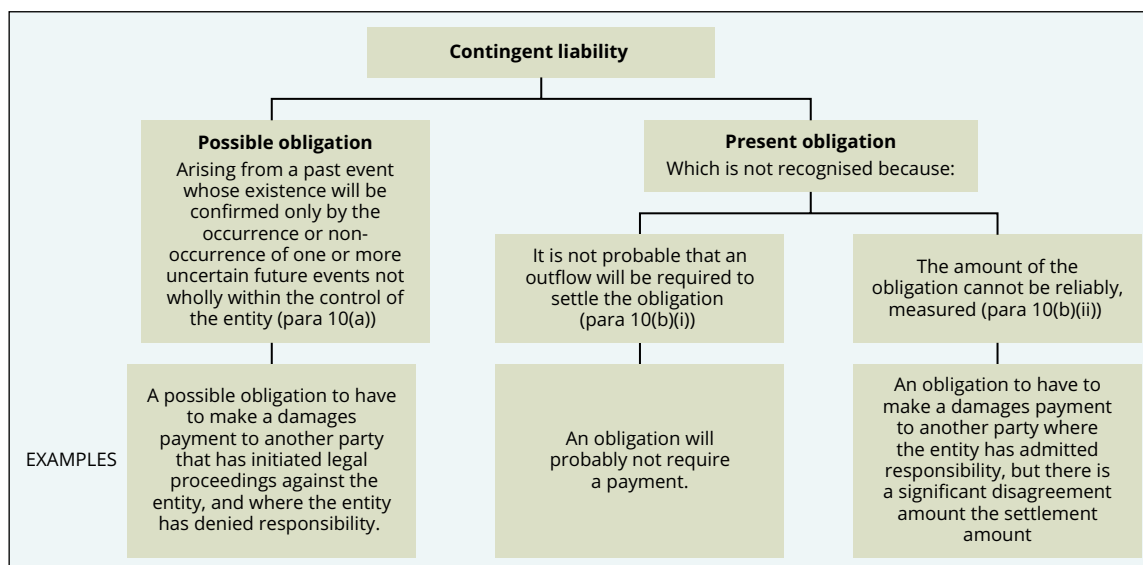
Apply and Analyse 1 (continued)

Element of provision definition	Application to Ladders-R-Us
Present obligation as a result of a past event	The sale of the Retractalad is the obligating event. Though Ladders-R-Us is under no legal obligation to offer a full refund to any dissatisfied customer, a constructive obligation arises at the point of sale.
Probable outflow of resources embodying economic benefits to settle the obligation	Considering individual refund obligations as a collective, it is more likely than not that some customers will return their Retractalad purchases and seek their money back. As such, it is probable that an outflow of resources (i.e. cash) will be required to settle the constructive obligation.
Reliable estimate can be made of the amount of the obligation	Based on past experience, Ladders-R-Us will be able to make a reliable estimate of the cost of its refund policy.

Conclusion: As all three elements of the definition of a provision in HKAS 37 have been met Ladders-R-Us will be required to recognise a provision for refunds in its statement of financial position.

15.2.2 Contingent Liabilities

A contingent liability arises in the circumstances set out in Exhibit 15.6.

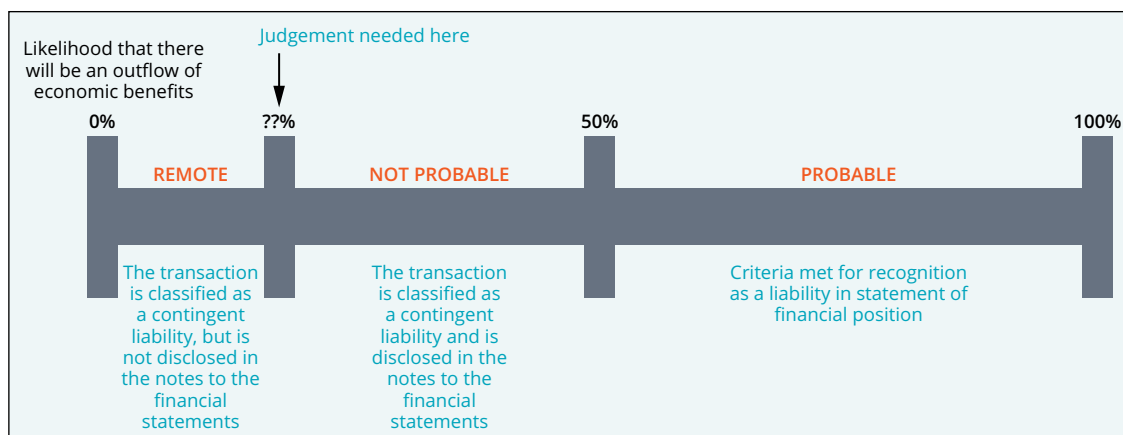


► EXHIBIT 15.6 How does a contingent liability arise?

Unlike provisions, contingent liabilities are not recognised in the financial statements. Instead, contingent liabilities are disclosed in the notes to the financial statements unless the possibility of

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an outflow of resources embodying economic benefits is remote. The term 'remote' is not defined within HKAS 37 and determining whether or not an outflow is remote is a matter of professional judgement. Exhibit 15.7 summarises the accounting treatment of contingent liabilities.



► **EXHIBIT 15.7** Accounting treatment of contingent liabilities

Illustrative Example 2

On 1 July 20X6, while using his recently-purchased 'RetractaLad' to reach a storage box on the top of a wardrobe, an elderly gentleman fell and suffered personal injury. Upon recovering, the customer commenced legal action against Ladders-R-Us, seeking damages of HK\$500,000 for pain and suffering.

Ladders-R-Us's lawyers advised that it was unlikely that Ladders-R-Us would be found liable as the fall could be attributed to several factors including the customer's age and the uneven floor on which the ladder was placed. Such legal advice was provided on 15 December 20X6 and continued to be the lawyers' advice up to the release of Ladders-R-Us's 20X6 financial statements.

Determination of Accounting Treatment at 31 December 20X6

In rare instances, such as a lawsuit, Ladders-R-Us was required to make a judgement about whether a present obligation existed based on all available evidence. On the basis of the evidence available, Ladders-R-Us might conclude that a present obligation did not exist. Such a conclusion could be reached according to the legal advice Ladders-R-Us obtained, attributing the fall to factors other than the RetractaLad.

As such, Ladders-R-Us was considered to have a possible obligation whose existence was confirmed by the occurrence or non-occurrence of an uncertain future event (namely, the court deciding in favour of the customer and awarding damages).

Conclusion

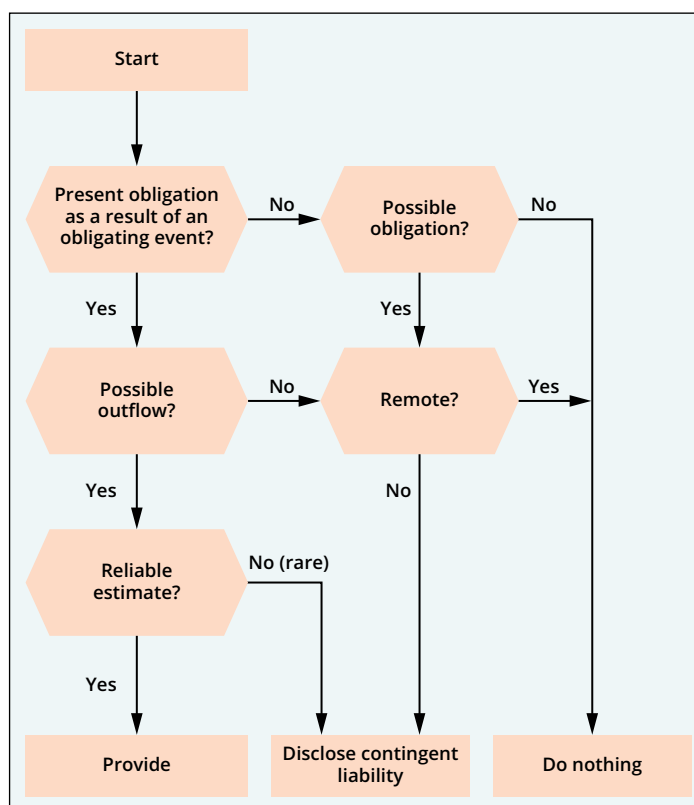
As at 31 December 20X6, the legal claim against Ladders-R-Us would be classified as a contingent liability and would be disclosed in the notes to Ladders-R-Us financial statements unless the likelihood of an outflow of resources embodying economic benefits was considered remote.

Key Learning Point

Due to their differing accounting treatment, distinguishing between provisions and contingent liabilities is important.

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Exhibit 15.8 is a reproduction of a flowchart from HKAS 37 that will assist with the classification decision.



► **EXHIBIT 15.8** Recognition requirements for provisions and contingent liabilities

15.2.3 Contingent Assets

A contingent asset is defined as a 'possible' asset that arises from past events and whose existence will only be confirmed by the occurrence or non-occurrence of one or more uncertain future events not wholly within the entity's control. A common example of a contingent asset is a potential right to receive compensation from a third party. Contingent assets are not recognised in an entity's financial statements because of the uncertainty relating to the expected inflow of future economic benefits, which may result in the recognition of income that may never be realised. However, if the inflow of economic benefits becomes virtually certain, the asset is no longer contingent and should be recognised in the statement of financial position. The term 'virtually certain' is not defined within HKAS 37 and determining whether or not an inflow is virtually certain is a matter of professional judgement.

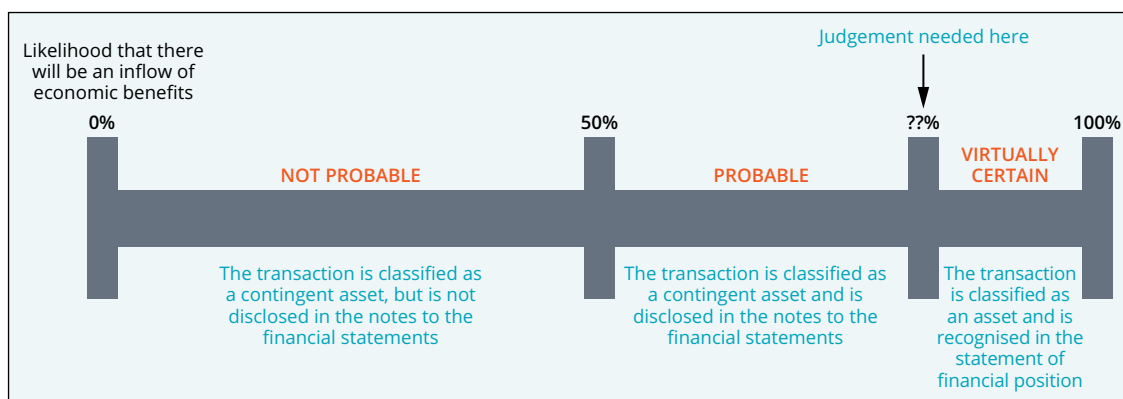
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Since contingent assets cannot satisfy the recognition criteria within the *Conceptual Framework for Financial Reporting*, an entity is not permitted to recognise any contingent assets in its financial statements. Rather, contingent assets are disclosed in the notes to the financial statements when an inflow of economic benefits is probable. Exhibit 15.9 summarises the treatment of contingent assets.

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HKAS 37.34



► **EXHIBIT 15.9** Accounting treatment of contingent assets

Illustrative Example 3

Footbridge Limited (Footbridge) specialises in the construction of pedestrian footbridges throughout Asia. The materials used to construct each footbridge vary according to specifications provided by the consulting engineer. In 20X5, Footbridge constructed a footbridge in mainland China based on the designs provided by Pedestrian Designs Limited (Pedestrian). On 1 October 20X6, the footbridge collapsed. Thankfully, the collapse occurred at 2am, and no injuries occurred.

As a result of the collapse, Footbridge commenced litigation against Pedestrian for negligence and was requesting compensation of HK\$150 million, claiming the collapse was due to an inferior design provided by Pedestrian. Pedestrian disputed the claim, arguing the collapse of the bridge was attributable to Footbridge using inferior materials.

The court's decision on Footbridge's claim was pending when Footbridge's 31 December 20X6 financial statements were authorised for issue. On 1 April 20X7, the court found in favour of Footbridge and ordered Pedestrian to make a compensation payment of HK\$120 million to Footbridge by 30 June 20X7.

Accounting Treatment at 31 December 20X6

As the likelihood of receiving compensation was uncertain, there was no asset recognised in Footbridge's statement of financial position at 31 December 20X6.

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37.10

Illustrative Example 3 (continued)

To determine whether a contingent asset existed, the definition from HKAS 37 has been applied to below.

Element of contingent asset definition	Application to Footbridge
A possible asset exists	The potential right to receive compensation from Pedestrian
Arising from a past event	The collapse of the bridge
whose existence will be confirmed by the occurrence or no-occurrence of one or more uncertain events not within control of the entity	The court finding in favour of Footbridge

Conclusion: On 31 December 20X6, Footbridge had a contingent asset.

If the likelihood of receiving compensation was considered to be probable (this could be determined based on the opinion of legal experts), Footbridge would be required to disclose information about the contingent asset in the notes to its 20X6 financial statements.

Accounting Treatment at 1 April 20X7

On 1 April 20X7, the likelihood of receiving the compensation from Pedestrian became virtually certain and Footbridge had to, therefore, recognise a receivable of HK\$120 million owing from Pedestrian in its statement of financial position.

Key Learning Point

The required likelihood for recognition and disclosure for contingent liabilities and contingent assets differs under HKAS 37. Exhibit 15.10 summarises the criteria.

Likelihood of inflow/outflow of economic benefits	Remote	Not probable	Probable	Virtually certain
Assets	No asset is recorded and no disclosure is required		No asset is recorded but disclosure of a contingent asset is required	Asset is recorded
Liabilities	No liability is recorded and no disclosure is required	No liability is recorded but disclosure of a contingent liability is required	Liability is recorded (unless the amount is unable to be reliably measured, in which case a contingent liability will be disclosed)	

► **EXHIBIT 15.10** Recognition criteria for contingent assets and liabilities

► Knowledge Check Questions

Question 2

Talent Seekers Limited (Talent Seekers) is an agency that represents professional footballers. On 1 July 20X4, Talent Seekers dismissed a senior employee for gross misconduct after a major newspaper published disparaging comments about Talent Seekers' most prominent client, which the newspaper attributed to the senior employee. Talent Seekers immediately dismissed the employee upon becoming aware of the comments. The employee did not receive a termination payment as Talent Seekers asserted the employee breached their employment contract upon making the comments.

On 1 December 20X4, the employee commenced legal proceedings against Talent Seekers, denying he/she made the comments. The employee sought damages of HK\$5 million for Talent Seekers' breach of an implied duty of trust and confidence owed to the employee. Talent Seekers sought legal advice, with Talent Seekers' lawyers advising that it was unlikely (but not remote) that Talent Seekers would be found liable.

Talent Seekers' reporting period ended 31 December.

Advise Talent Seekers on how it should account for the legal action taken against it in the 31 December 20X4 financial statements.

Question 3

Continuing with the above facts, on 1 November 20X5, the court found in favour of the employee but delayed a decision on damages until 1 March 20X6. Although the court is able to award damages of a different amount, Talent Seekers' lawyers have now advised that it is likely that the court will award the HK\$5 million damages requested by the employee.

Advise Talent Seekers on how it should account for the legal action taken against it in the 31 December 20X5 financial statements and prepare any journal entry required at that date.

► 15.3 MEASUREMENT OF PROVISIONS

As outlined earlier a provision is a liability of uncertain timing or amount. Such uncertainty necessitates that an entity 'estimate' the amount of the underlying obligation. Provided the entity can estimate the amount of the obligation with reliability, the provision is recognised in the entity's statement of financial position. The purpose of this section is to discuss the considerations an entity faces when trying to determine a reliable estimate of the amount of the obligation.

15.3.1 Best Estimate

HKAS
37.36

The amount to be recognised as a provision is the entity's 'best estimate' of the expenditure required to settle the present obligation at the end of the reporting period. The best estimate is an estimate of the amount the entity would rationally pay to settle the obligation at the end of the current reporting period or to transfer it to a third party at that time. This is achieved by

HKAS
37.37

HKAS
37.38

identifying the range of possible outcomes, the associated probabilities and financial consequences of them occurring based on management's judgement, experience and, in some cases, independent expert reports.

How an entity calculates the 'best estimate' depends upon the nature of the provision.

Where the provision involves a number of similar obligations (e.g. product warranties), the provision is estimated by considering the population as a whole. That is, the entity weighs all possible outcomes by their associated probabilities to derive an 'expected value' of the collective obligation. If each possible outcome is as likely to occur as the other is (i.e. the probability of each possible outcome occurring is equal), the mid-point of the range of possible outcomes is used as the expected value of the collective obligation.

HKAS
37.39

Illustrative Example 4

This Illustrative Example follows on from the question in Apply & Analyse 1.

Having previously established that Ladders-R-Us was to recognise a provision for its refund policy on the 'RetractaLad', Ladders-R-Us had to reliably estimate the amount to be recognised. The retail price of the RetractaLad was HK\$400. Between 1 September 20X7 and 31 December 20X7, Ladders-R-Us sold 500,000 RetractaLads. Based on experience, the management of Ladders-R-Us estimate there was:

- an 80% likelihood that no customers will seek a full refund;
- a 15% likelihood that 10,000 customers will seek a full refund; and
- a 5% likelihood that 20,000 customers will seek a full refund.

Ladders-R-Us measured the expected value of refunds on 31 December 20X7 in relation to sales made since 1 September 20X7 as follows:

Likelihood	Number of customers	Refund required	Expected value of refunds at 31 December 20X7
		HK\$	HK\$
80%	0	400	0
15%	10,000	400	600,000
5%	20,000	400	400,000
			1,000,000

On 31 December 20X7, refunds of HK\$375,000 had been made in relation to sales made since 1 September 20X7.

The journal entry to record Ladders-R-Us's provision for refunds on 31 December 20X7 was as follows:

Date	Description	Debit	Credit
20X7		HK\$	HK\$
31 December	Sales refunds (profit and loss)	625,000	
	Provision for refunds (current liability)		625,000
Recognition of provision for refunds as at 31 December 20X7 (HK\$1,000,000 – HK\$375,000)			

Where the provision involves a single obligation (e.g. rectifying a fault in a building constructed for a customer), the individual most likely outcome may be the best estimate of the amount to be recognised. Despite there being a most likely outcome, the entity is to consider other possible outcomes and their respective amounts. Where the amounts of these other possible outcomes are mostly higher (mostly lower) than the most likely outcome amount, the best estimate will be a higher (lower) amount than the most likely outcome amount. For example, if an entity has to rectify a major fault in a building that it has constructed for a customer, the individual most likely outcome may be for the repair to succeed at the first attempt at a cost of HK\$5 million, but a provision for a larger amount will be made if there is a significant chance that further repair attempts will be necessary.

Apply and Analyse 2

This Apply & Analyse question follows on from Illustrative Example 2 in Section 15.2.2.

Continuing with the facts presented regarding damages being sought against Ladders-R-Us, on 1 May 20X7, the court found in favour of the customer but, on 30 June 20X7, had yet to reach a decision on damages. The management and legal team of Ladders-R-Us believes it was likely that the full amount of damages requested by the customer would be awarded to him (HK\$500,000) although a higher or lower awarded amount was possible.

Explain how Ladders-R-Us will account for the legal action against it at 30 June 20X7.

Analysis

On 30 June 20X7, Ladders-R-Us recognised a provision based on the following analysis:

Element of provision definition	Application to Ladders-R-Us
Present obligation as a result of a past event	The customer falling after using the 'RetractaLad' was the obligating event. Due to the court finding in favour of the customer, Ladders-R-Us now had a present (legal) obligation to compensate the customer for the personal injuries he sustained due to using the RetractaLad.
Probable outflow of resources embodying economic benefits to settle the obligation	An outflow of resources would probably be required to settle the legal obligation, as Ladders-R-Us had no realistic alternative but to pay the damages.
Reliable estimate can be made of the amount of the obligation	As the most likely outcome was that Ladders-R-Us would be required to pay HK\$500,000 damages, Ladders-R-Us recognised an amount of HK\$500,000 as a provision.

The journal entry to record Ladders-R-Us's provision for damages on 30 June 20X7 was as follows:

Date	Description	Debit	Credit
20X7		HK\$	HK\$
30 June	Damages expense (profit and loss)	500,000	
	Provision for damages (current liability)		500,000
	Recognition of provision for damages as at 30 June 20X7		

15.3.2 Present Value

The time value of money is a concept that a sum of money now differs in value to an identical sum of money in the future. In the context of provisions, the time value of money establishes that cash outflows required to settle an obligation at the end of the current reporting period are more onerous to an entity than cash outflows of the same amount required to settle the obligation in future reporting periods.

HKAS
37.46

Where the effect of the time value of money is material, HKAS 37 requires an entity to discount provisions to their present value. That is, the recognised amount of a provision is to be the present value of the expenditures expected to be required to settle the obligation. HKAS 37 does not offer guidance to the entity in determining when the effect of the time value of money is material, but for the purposes of this chapter, we will assume the time value of money is considered to be material where settlement will take place more than 12 months after the reporting date. On this basis, where settlement is more than 12 months after the reporting date, the nominal value of provisions will need to be discounted to their present value.

HKAS
37.45

Where an entity discounts a provision to present value, any subsequent increase in the provision due to the passage of time will be recognised as an interest expense (see Section 15.4.4).

HKAS
37.60

► Knowledge Check Questions

Question 4

EBike Limited (EBike) sells a range of electric bicycles. It offered customers a warranty at the time of sale for all bicycles, which obliged EBike to cover the cost of repairs of any manufacturing defects on bicycles returned by customers within six months from the date of purchase.

EBike estimated that if minor defects existed in all bicycles sold during the period from 1 February 20X6 to 31 December 20X6, repair costs of HK\$3,000,000 would result. If major defects exist in all bicycles sold during that eleven-month period, estimated repair costs would be HK\$5,000,000.

Based on experience, management of EBike estimated that 65% of bicycles sold since 1 February 20X6 would have no defects, 25% of bicycles sold would have minor defects and 10% of bicycles sold would have major defects.

As of 31 December 20X6, repairs costing HK\$350,000 had been made in relation to bicycle sales made since 1 February 20X6.

Determine whether EBike was required to recognise a provision in relation to their warranty commitments and, if so, calculate the amount to be recognised as a provision for warranties as of 31 December 20X6.



15.4 APPLICATION OF RECOGNITION AND MEASUREMENT GUIDELINES

An entity is required to apply the general recognition criteria to establish whether a provision exists and, if so, the general measurement rules to determine the amount at which it is recognised. There is, however, additional guidance offered to entities in the application of the general recognition and measurement requirements of HKAS 37 in three specific areas:

1. future operating losses
2. onerous contracts
3. restructuring costs.

Each of these are discussed in the following sections, along with decommissioning and restoration costs.

15.4.1 Future Operating Losses

An entity may expect to incur operating losses in the future. Though a future operating loss will result in the sacrifice of future economic benefits, HKAS 37 states that a provision is not to be recognised for future operating losses. A provision is not recognised because an obligating event has not occurred. There is no present obligation because the entity's management has realistic alternatives available to avoid incurring a future operating loss (e.g. restructuring business operations). The expectation of future operating losses is an indication that certain assets may be impaired, in which case, the requirements of HKAS 36 *Impairment of Assets* will apply.

HKAS
37.63

HKAS
37.65

Illustrative Example 5

Due to the popularity of aluminium ladders, sales of timber ladders produced by Ladders-R-Us declined dramatically. The timber ladder division recorded operating losses for each of the last two financial years and management expected that losses would continue to be incurred in the next financial year.

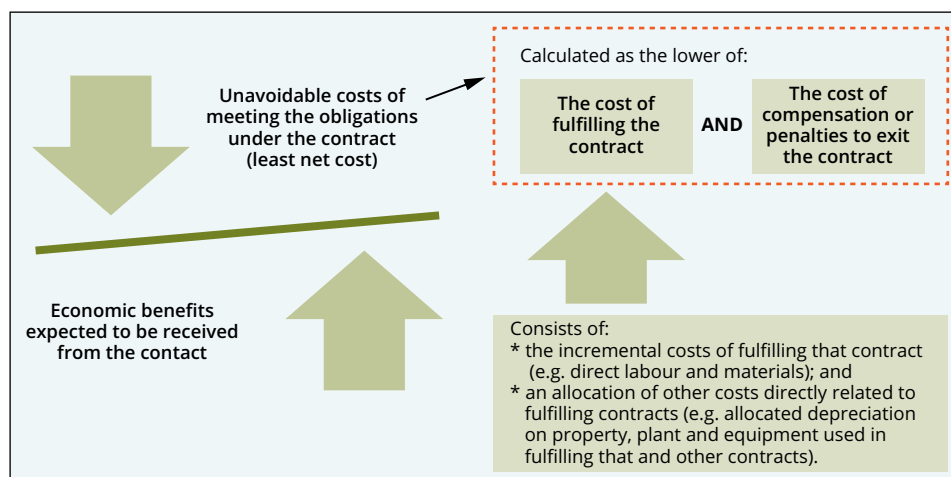
Ladders-R-Us was not able to recognise a provision for the future operating losses it expected to occur because an obligating event had not occurred.

Management had realistic alternatives available to it to avoid incurring those future losses, such as closing the timber ladder division.

15.4.2 Onerous Contracts

HKAS
37.68–68A

An **onerous contract** is a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it. Exhibit 15.11 demonstrates this concept in more detail.



► **EXHIBIT 15.11** Identifying an onerous contract

HKAS
37.66

If an entity is party to an onerous contract, the present obligation under the contract is to be recognised and measured as a provision.

Apply and Analyse 3

On 1 November 20X8, Carrier Limited (Carrier) entered into a supply agreement with a major customer. The terms of the agreement include the following:

- Carrier would supply 10,000 backpacks (made to the customer's specifications) at a price of HK\$150 per backpack.
- If Carrier could not deliver the backpacks on time and under the terms of the contract it had to pay the customer, a penalty of HK\$750,000 would be incurred.
- The delivery date was 31 March 20X9.

Prior to commencing manufacturing of the backpacks, the production manager determined that due to a recent sharp increase in the cost of the fabric required to manufacture the backpacks in accordance with the customer's specifications, the direct labour and materials costs, and the allocation of depreciation charges on the machinery used to manufacture the customised backpacks, equal HK\$200 per backpack. Production was suspended pending a decision on whether or not to go ahead with the order. At 31 December 20X8 no inventory had been recognised by Carrier.

Determine how Carrier should account for the contract at 31 December 20X8.

Apply and Analyse 3 (continued)**Analysis**

The cost of fulfilling the contract if Carrier goes ahead with the order = $(\text{HK\$}200 - 150) \times 10,000$
= HK\$500,000.

The penalty for failure to fulfil the contract if the order is cancelled = HK\$750,000.

Least net cost = lower of the two amounts = HK\$500,000.

The company will go ahead with the order but it will incur an unavoidable cost of HK\$500,000.

The expected economic benefits are HK\$0, as this is a loss contract if the company goes ahead with the order. This means no economic benefits are to be generated, even if the company fulfills the contract.

Since $\text{HK\$}500,000 > \text{HK\$}0$, it is an onerous contract. The obligation under the contract is the unavoidable cost of HK\$500,000 and this is the amount of provision to be made.

15.4.3 Restructuring Costs

For the purposes of HKAS 37, a **restructuring** is a programme planned and controlled by management, and materially changes either:

- the scope of a business undertaken by an entity; or
- the manner in which that business is conducted.

The forms of restructuring that fall within this definition include, but are not limited to, are:

- the sale or termination of a line of business;
- the closure of business locations in a country or region;
- the relocation of business activities from one country or region to another;
- changes in management structure (e.g. removing a layer of management); and
- fundamental reorganisations that have a material effect on the nature and focus of the entity's operations.

Consistent with the recognition requirements for other types of provisions, HKAS 37 permits an entity to recognise a provision for the restructuring costs that will arise upon the restructuring occurring when the recognition criteria discussed in Section 15.2.1 have been met. HKAS 37 details how these general recognition criteria apply specifically to restructuring. These recognition criteria, along with the measurement criteria, are presented in Exhibit 15.12.

HKAS
37.10

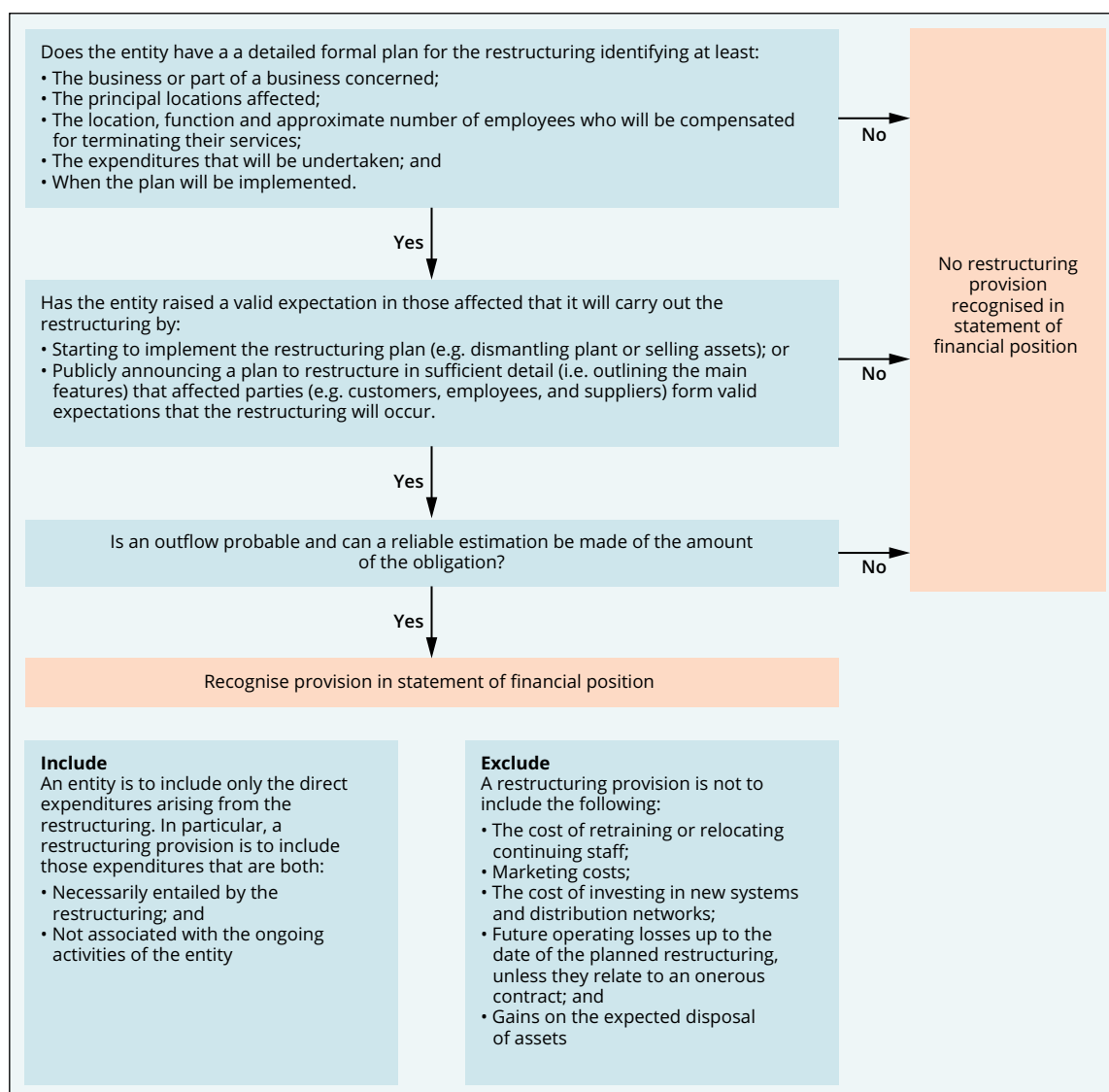
HKAS
37.70

HKAS
37.720(a)

HKAS
37.72(b)–73

HKAS
37.80

HKAS
37.80–84



► **EXHIBIT 15.12 Recognition and measurement criteria for restructuring provisions**

Illustrative Example 6

As a result of the decline in timber ladders sales and the ongoing operating losses that have been incurred by that division, management of Ladders-R-Us recommended to the Board of Directors the closing of the timber ladder division.

Upon considering management's recommendation to close the timber ladder division, on 1 December 20X8, Ladders-R-Us' Board decided to support the closure. As part of that decision, the Board directed management to develop a closure plan. At a Board meeting on 14 December 20X8, the directors unanimously voted in favour of the proposed plan to close the division. The plan included information on:

Illustrative Example 6 (continued)

- the number of employees who would receive redundancy payments due to the closure;
- an estimate of the direct expenditures that Ladders-R-Us would incur to close down the division (HK\$2,500,000);
- the implementation date of the plan (1 May 20X9); and
- the length of time needed to close the division (8 weeks).

Upon the Board's approval of the division closure plan, on 15 December 20X8, an announcement was made to all customers on Ladders-R-Us's website and via email, explaining the division closure and advising customers to seek an alternate supplier. On the same day, redundancy notices were sent to all staff within the division.

As of 31 December 20X8, Ladders-R-Us would recognise a provision for restructuring based on the following analysis:

Element of provision definition	Application to Ladders-R-Us
Present obligation as a result of a past event	Ladders-R-Us had a constructive obligation because: • a formal plan for the restructuring existed that was sufficiently detailed; and • a valid expectation existed among those affected by the closure that the restructuring would be carried out given Ladders-R-Us had communicated the decision to customers and staff within the division. The communication of the decision to the employees and customers was the obligating event with the constructive obligation created on that date (15 December 20X8).
Probable outflow of resources embodying economic benefits to settle the obligation	Because a constructive obligation existed, the outflow of resources embodying economic benefits would probably be required to implement the restructuring plan.
Reliable estimate can be made of the amount of the obligation	The estimated direct expenditures arising from the restructuring were HK\$2,500,000.

15.4.4 Decommissioning and Restoration Costs

When an entity closes down all or part of its operations, it may be obliged to restore the site on which it operated to its original condition. Similarly, when an asset reaches the end of its useful life, an entity may be obliged to dismantle and remove the asset from its current location. The obligation to do so may be either a constructive or a legal obligation. For example, if it is widely known that an entity's business practice is to rehabilitate the environment for any contamination caused by the entity's operations, a constructive obligation exists to rectify the environmental damage caused. Alternatively, there may be a legislative requirement for an

entity to dismantle and remove (i.e. decommission) an item of property, plant and equipment (e.g. an oil rig) at the end of its useful life.

Under HKAS 37, an entity is required to recognise a provision for its obligation to undertake decommissioning and restoration activities, measured at the entity's best estimate of the expected costs it will incur to carry out these activities and settle the obligation.

HKAS 16 Property, Plant and Equipment (HKAS 16) requires the cost of an item of property, plant and equipment to include the initial estimate of the costs of dismantling and removing an asset and restoring the site on which it is located. On this basis, rather than being recognised as an expense, the present value of decommissioning and restoration costs are included in the cost of the capitalised item of property, plant and equipment in accordance with HKAS 16.

Illustrative Example 7

On 1 January 20X2, Windy Limited (Windy) purchased a wind farm for HK\$25,000,000. Under local law, Windy was required to decommission the windmills at the end of their useful life, which was estimated to be 50 years. Other relevant information in relation to the windmills included:

- Windy estimated it will incur HK\$5,000,000 to decommission the windmills. Applying a discount rate of 4%, the present value of this future decommissioning cost was HK\$703,563 ($\text{HK\$5,000,000} \times 1/1.04^{50}$).
- Windy's reporting date was 31 December.

The journal entry to recognise the provision for decommissioning on 1 January 20X2 was:

Date	Description	Debit	Credit
20X2		HK\$	HK\$
1 January	Property, plant & equipment – windmills	703,563	
	Provision for decommissioning		703,563
	Recognition of provision for decommissioning on 1 January 20X2		

On 31 December 20X2, the provision for decommissioning needed to be remeasured to HK\$731,706 ($\text{HK\$5,000,000} \times 1/1.04^{49}$) due to the change in the time value of money. The journal entry to recognise the increase in the provision for decommissioning due to the change in the time value of money on 31 December 20X2 was:

Date	Description	Debit	Credit
20X2		HK\$	HK\$
31 December	Interest expense	28,143	
	Provision for decommissioning		28,143
	Recognition of increase in provision for decommissioning on 31 December 20X2 due to change in the time value of money		

► Knowledge Check Questions

Question 5

Blues Brothers Ltd (BBL) has recently announced that it plans on closing down its music production division and has met all requirements under HKAS 37 to recognise a provision for restructuring. BBL expects to incur the following costs in relation to the closure:

	HK\$
Employee redundancy costs	250,000
Cost of retraining employees who will be remaining with BBL	65,000
Cost of terminating lease of premises used by music production division	100,000
Cost of modifying accounting systems for remaining business after closure	25,000

Calculate the amount the BBL should recognise as a provision for restructuring.

- A HK\$190,000
- B HK\$275,000
- C HK\$350,000
- D HK\$445,000

Question 6

On 1 January 20X2, Rigged Limited (Rigged) constructed an oil rig in the South China Sea. Under local law, Rigged is required to decommission the oil rig at the end of its useful life, which is estimated to be 15 years. Rigged estimates that it will incur HK\$5,000,000 to decommission the oil rig. The relevant discount rate is 5%.

The journal entry to recognise the provision for decommissioning at 1 January 20X2 is as follows:

A	Date	Description	Debit	Credit
	20X2		HK\$	HK\$
	1 January	Property, plant & equipment – oil rig	5,000,000	
		Provision for decommissioning		5,000,000
		Recognition of provision for decommissioning at 1 January 20X2		

B	Date	Description	Debit	Credit
	20X2		HK\$	HK\$
	1 January	Property, plant & equipment – oil rig	2,405,085	
		Provision for decommissioning		2,405,085
		Recognition of provision for decommissioning at 1 January 20X2		

► **Knowledge Check Questions (continued)**

C	Date	Description	Debit	Credit
	20X2		HK\$	HK\$
1 January		Property, plant & equipment – oil rig	2,500,000	
		Decommissioning expense	2,500,000	
		Provision for decommissioning		5,000,000
		Recognition of provision for decommissioning at 1 January 20X2		
D	Date	Description	Debit	Credit
	20X2		HK\$	HK\$
1 January		Decommissioning expense	2,405,085	
		Provision for decommissioning		2,405,085
		Recognition of provision for decommissioning at 1 January 20X2		

15.5 PRESENTATION AND DISCLOSURE OF PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS OVERVIEW

In addition to an entity recognising provisions in its statement of financial position, additional information about the provisions is required to be disclosed in the accompanying notes to the financial statements. Moreover, though contingent liabilities and contingent assets are not recognised in an entity's statement of financial position, the entity may be required to disclose information in the notes accompanying the financial statements about such contingencies to inform financial statement users about their existence, their nature and their estimated financial effect.

15.5.1 Presentation and Disclosure of Provisions

In accordance with HKAS 37, an entity is to disclose quantitative and qualitative information about each class of provision. For each class of provision, an entity is to disclose the following:

HKAS 37 paragraph	Disclosure
84(a)	The carrying amount at the beginning and end of each period
84(b)	Additional provisions made in the period, including increases to existing provisions
84(c)	Amounts used (i.e. incurred and charged against the provision) during the period
84(d)	Unused amounts during the period
84(e)	The increase during the period in the discounted amount arising from the passage of time and the effect of any change in the discount rate



HKAS 37 paragraph	Disclosure
85(a)	A brief description of the nature of the obligation and the expected timing of any resulting outflows of economic benefits
85(b)	An indication of the uncertainties about the amount or timing of those outflows. Where necessary to provide adequate information, the major assumptions made concerning future events
85(c)	The amount of any expected reimbursement, stating the amount of any asset that has been recognised for that expected reimbursement

Comparative information relating to prior periods is not required in respect of items disclosed under paragraph 84.

Exhibit 15.13 shows an extract of the disclosure made by CHTC Fong's International Company Limited (Fong's) in their 2018 Annual Report in response to these requirements.

24 Warranty Provision

	2018	2017
	HK\$'000	HK\$'000
At beginning of the year	15,963	16,287
Provision for the year	29,478	21,609
Utilisation of provision	(28,913)	(22,691)
Currency realignment	(337)	758
At end of the year	16,191	15,963

The warranty provision represents management's best estimate of the Group's liability under a 12-month warranty period granted on sale of dyeing and finishing machines based on past experience.

► **EXHIBIT 15.13** Fong's 2018 Annual Report disclosures for provisions

15.5.2 Disclosure of Contingent Liabilities

As discussed in Section 15.2.2 and illustrated in Exhibit 15.7, details of contingent liabilities are required to be disclosed in the notes to the financial statements unless the likelihood of an outflow of economic benefits is remote, in which case no disclosure is required.

Where disclosure is required, for each class of contingent liability, an entity shall disclose a brief description of the nature of the contingent liability and, where practicable, the following:

HKAS 37 paragraph	Disclosure
86(a)	An estimate of its financial effect
86(b)	An indication of the uncertainties relating to the amount or timing of any outflow, and
86(c)	The possibility of any reimbursement

HKAS
37.91

Where it is impracticable for an entity to disclose any of the required information, that fact is to be disclosed by the entity.

It may be, albeit in rare cases, that some or all of the above disclosures seriously prejudices an entity's position in a dispute on the subject matter of the contingent liability. In such cases, an entity is not required to disclose such information, but is required to disclose:

HKAS
37.92

- the general nature of the dispute; and
- that the information has not been disclosed and the reason why.

Exhibit 15.14 shows an extract of the disclosure made by Hong Kong Exchanges and Clearing Limited (HKEx) in its 2019 Annual Report in response to these requirements.

49. CONTINGENT LIABILITIES (CONTINUED)

At 31 December 2019, the Group's material contingent liabilities were as follows:

- The Group had a contingent liability in respect of potential calls to be made by the SFC to replenish all or part of compensation less recoveries paid by the Unified Exchange Compensation Fund established under the repeated Securities Ordinance up to an amount not exceeding \$71 million (31 December 2018: \$71 million). Up to 31 December 2019, no calls had been made by the SFC in this connection.
- The Group had undertaken to indemnify the Collector of Stamp Revenue against any underpayment of stamp duty by its Participants of up to \$200,000 for each Participant (note 35(a)). In the unlikely event that all of its 658 trading Participants (31 December 2018: 640) covered by the indemnity at 31 December 2019 defaulted, the maximum contingent liability of the Group under the indemnity would amount to \$132 million (31 December 2018: \$128 million).
- HKEX has given an undertaking in favour of HKSCC to contribute up to \$50 million in the event of HKSCC being wound up while it is a wholly-owned subsidiary of HKEX or within one year after HKSCC ceases to be a wholly-owned subsidiary of HKEX, for payment of the liabilities of HKSCC contracted before HKSCC ceases to be a wholly-owned subsidiary of HKEX, and for the costs of winding up.

► EXHIBIT 15.14 HKEX's 2019 Annual Report disclosures for contingent liabilities

15.5.3 Disclosure of Contingent Assets

As discussed in Section 15.2.3 and illustrated in Exhibit 15.9, details of contingent assets are required to be disclosed in the notes to the financial statements if the likelihood of an inflow of economic benefits is probable.

If an inflow of economic benefits will probably be received (but not virtually certain as this would give rise to an asset being recognised), an entity is to disclose:

HKAS
37.89

- a brief description of the nature of the contingent asset; and
- where practicable, an estimate of its financial effect.

HKAS
37.91

Where it is not practicable for an entity to disclose any of the required information, the entity must disclose that fact.

It may be, albeit in rare cases, that some or all of the above disclosures seriously prejudice an entity's position in a dispute on the subject matter of the contingent asset. In such cases, an entity is not required to disclose such information, but is required to disclose:

- the general nature of the dispute; and
- that the information has not been disclosed and the reason why.

HKAS
37.92

Exhibit 15.15 shows an extract of the disclosure made by Greater China Financial Holdings Limited in their 2016 Annual Report in response to these requirements.

45. CONTINGENT ASSETS AND LIABILITIES

In connection with the acquisition of Oriental Credit Group on 21 January 2015, the Group is subject to contingent liabilities including settlement of additional consideration by issuance of convertible notes arising after 21 January 2015 on basis of 2016 Performance Target.

In connection with the acquisition of Intraday Financial Group on 8 July 2015, the Group may subject to contingent assets including receivable of cash compensation from Long Tu Limited arising on the basis of 2016 Performance Target.

Except for the matter described above, the Group had no significant contingent liabilities as at 31 December 2016 and 2015.

► **EXHIBIT 15.15** Greater China Financial Holdings Limited's 2016 Annual Report disclosures for contingent assets

► Knowledge Check Questions

Question 9

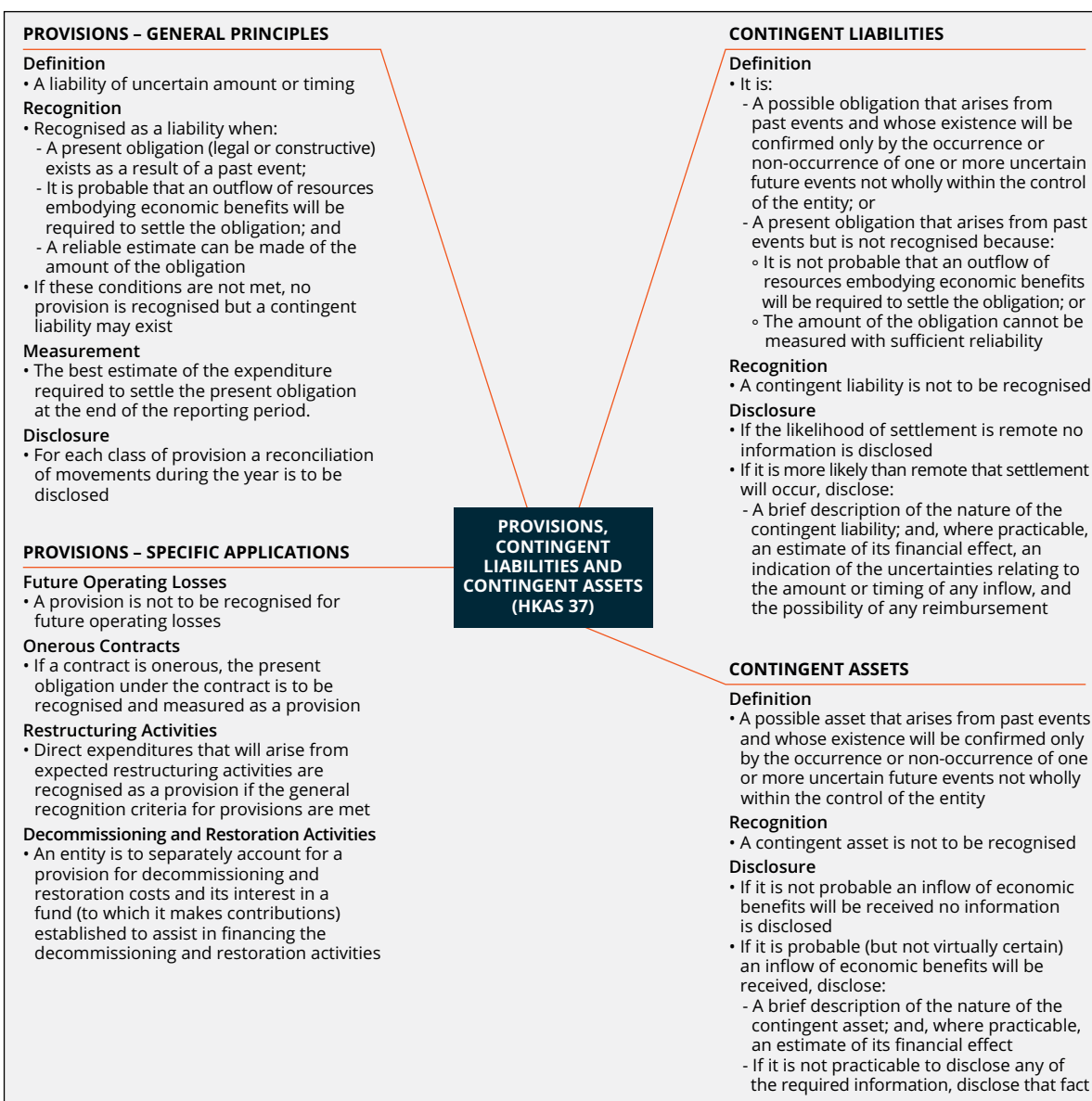
Identify which of the following disclosures are not required by HKAS 37.

- A** An entity's policy on accounting for provisions.
- B** Additional provisions made in the period, including increases to existing provisions.
- C** A brief description of the nature of any contingent asset and where practicable, an estimate of its financial effect.
- D** For contingent liabilities, an indication of the uncertainties relating to the amount or timing of any outflow.

SUMMARY

- A provision is distinguishable from certain other liabilities because there is uncertainty about the timing or amount of the future expenditure required to settle the liability.
- An entity recognises a provision as a liability when:
 - a) the entity has a present obligation (legal or constructive) as a result of a past event;
 - b) it is probable an outflow of resources embodying economic benefits will be required to settle the obligation; and
 - c) a reliable estimate can be made of the amount of the obligation.
- An entity recognises a provision at an amount that is the best estimate of the expenditure required to settle the present obligation at the end of the reporting period.
- Where the effect of the time value of money is material, provision are to be discounted to their present value. Where discounting is applied, the increase in the provision due to the passage of time is recognised as a borrowing cost.
- An entity is not to recognise provisions for future operating losses.
- If an entity has an onerous contract, the present obligation under the contract is to be recognised and measured, by an entity, as a provision.
- An entity is to recognise a provision for restructuring costs only when the specific recognition criteria are met. A restructuring provision is to be measured by including only those direct expenditures arising from the restructuring.
- For each class of provision, an entity is to disclose details of all movements during the year.
- A contingent liability is distinguishable from a provision in two potential ways:
 - A contingent liability is a 'possible' obligation of an entity whereas a provision is a 'present' obligation of the entity; or
 - A contingent liability (like that of a provision) is a 'present' obligation of an entity but fails the general recognition criteria that a provision satisfies (i.e. probable outflow of resources embodying economic benefits and/or reliable estimate of the obligation).
- An entity is not to recognise a contingent liability but is to disclose details of the contingent liability in the notes to the financial statements unless the likelihood of an outflow is remote.
- An entity is not to recognise a contingent asset but is to disclose details of the contingent asset in the notes to the financial statements if the likelihood of an inflow is probable.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is correct. Provisions are recognised in an entities statement of financial position. Estimates of payments owing to supplier where a service has been provided but an invoice is yet to be received are accounted for as accruals.

Answer B is incorrect. It is true that provisions are recognised in an entities statement of financial position but are accounted for separately due to the uncertainty associated with them.

Answer C is incorrect. It is true that the uncertainty associated with provisions may relate to timing, amount, or both.

Answer D is incorrect. It is true that estimates of payments owing to supplier where a service has been provided but an invoice is yet to be received should not be accounted for as a provision but accruals instead.

Question 2

HKAS 37.16 acknowledges that in rare instances, such as a lawsuit, it may be unclear whether a present obligation exists, and an entity is to make a judgement about whether a present obligation exists based on all available evidence. If Talent Seekers Limited (Talent Seekers) believed it dismissed the former employee in accordance with the employment contract, it might conclude that a present obligation did not exist.

On this basis, the legal claim against Talent Seekers represented a possible obligation whose existence would be confirmed by the occurrence or non-occurrence of an uncertain future event (namely, the court deciding in favour of the former employee, and awarding damages).

Conclusion: On 31 December 20X4, Talent Seekers would account for the legal claim against it as a contingent liability. This contingent liability would be disclosed in the notes to the financial statements for the year ended 31 December 20X4.



Question 3

On 31 December 20X5, Talent Seekers would recognise a provision for damages payable in its statement of financial position based on the following analysis:

Element of provision definition	Application to Talent Seekers
Present obligation as a result of a past event	The termination of the employee is the obligating event. By terminating the former employee in the manner in which it did, Talent Seekers created a legal obligation to compensate the former employee for breaching an implied duty of trust and confidence.
Probable outflow of resources embodying economic benefits to settle the obligation	An outflow of resources will probably be required to settle the legal obligation, as Talent Seekers had no realistic alternative but to pay the damages.
Reliable estimate can be made of the amount of the obligation	Even though the court had not decided on the amount of damages payable, Talent Seekers lawyers have advised that it is likely that the court will award the HK\$5 million damages requested by the employee. On this basis Talent Seekers are able to make an estimate that was sufficiently reliable.

The journal entry to record the provision for damages at 31 December 20X5 is as follows:

Date	Description	Debit	Credit
20X5		HK\$	HK\$
31 December	Damages expense	5,000,000	
	Provision for damages		5,000,000
	Recognition of provision for damages at 31 December 20X5		

Question 4

On 31 December 20X6, EBike Limited (EBike) would recognise a provision for warranties in its statement of financial position based on the following analysis:

Element of provision definition	Application to EBike
Present obligation as a result of a past event	The sale of the bicycles was the obligating event. EBike was subject to a legal obligation to fulfil the warranty commitments that arose at the time of sale.

Element of provision definition	Application to EBike
Probable outflow of resources embodying economic benefits to settle the obligation	When considering the population of warranty obligations as a whole, some bicycles probably sold under warranty would be faulty and require repair. As such, it was probable an outflow of resources (i.e. the cost of labour and materials) would be required to settle the legal obligation.
Reliable estimate can be made of the amount of the obligation	Based on past management experience, EBike was able to reliably estimate the amount of the obligation.

EBike would measure the expected value of warranties on 31 December 20X6 in relation to bicycle sales made since 1 February 20X6 as follows:

Likelihood	Costs	Expected value of warranties on 31 December 20X6
	HK\$	HK\$
65%	0	0
25%	3,000,000	750,000
10%	5,000,000	500,000
		1,250,000

As warranty repair costs totalling HK\$350,000 had been made in relation to bicycle sales made since 1 February 20X6, the amount to be recognised as a provision for warranties was HK\$900,000 (HK\$1,250,000 – HK\$350,000).

Question 5

Answer A is incorrect. Only direct expenditure arising for the restructuring is able to be included within the provision. If you selected this option, you likely erroneously included the cost of modifying the accounting systems and cost of retraining, and excluded employee redundancy costs must be included.

Answer B is incorrect. Only direct expenditure arising for the restructuring is able to be included within the provision. If you selected this option, you likely erroneously included the cost of modifying accounting systems and excluded the cost of terminating the lease.



Answer C is correct. Only direct expenditure arising for the restructuring is able to be included within the provision. The direct expenditure to be incurred by BBL includes employee redundancy costs and cost of terminating the lease.

Answer D is incorrect. Only direct expenditure arising for the restructuring is able to be included within the provision. If you selected this option, you likely included all costs, when only costs related to employee redundancy and terminating the lease should have been included.

Question 6

Answer A is incorrect. This answer fails to consider discount the provision to its present value. The provision is measured at present value ($\text{HK\$}5,000,000/(1.05^{15})$) and is included in the cost of the capitalised oil rig under HKAS 16 *Property, Plant and Equipment*.

Answer B is correct. The provision is measured at present value ($\text{HK\$}5,000,000/(1.05^{15})$) and is included in the cost of the capitalised oil rig under HKAS 16 *Property, Plant and Equipment*.

Answer C is incorrect. This answer incorrectly allocates the decommissioning cost equally between the property, plant and equipment, and decommissioning expense. The answer also fails to discount the provision to its present value. The provision is measured at present value ($\text{HK\$}5,000,000/(1.05^{15})$) and is included in the cost of the capitalised oil rig under HKAS 16 *Property, Plant and Equipment*.

Answer D is incorrect. This answer incorrectly includes the decommissioning cost as an expense. HKAS 16 *Property, Plant and Equipment* (HKAS 16) requires the cost of an item of property, plant and equipment to include the initial estimate of the costs of dismantling and removing an asset and restoring the site on which it is located. On this basis, rather than being recognised as an expense, the present value of decommissioning and restoration costs are included in the cost of the capitalised item of property, plant and equipment in accordance with HKAS 16.

Question 7

Answer A is correct. Disclosure of an entity's accounting policies is required under HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors*.

Answer B is incorrect. This disclosure is required under HKAS 37.84(b).

Answer C is incorrect. This disclosure is required under HKAS 37.89.

Answer D is incorrect. This disclosure is required under HKAS 37.86(b).

EXAM PRACTICE

QUESTION 1

Copy Mate Limited (Copy Mate) is a manufacturer of photocopiers. Equip Limited (Equip) operates a chain of office supplies stores throughout Asia.

On 1 January 20X1, Copy Mate entered into a three-year contract with Equip to supply its 'A1' photocopier, in all Equip stores at a discounted wholesale price of HK\$950 per photocopier. The cost of manufacturing the A1 photocopier was HK\$925.

As part of the agreement, Copy Mate offered a 12-month warranty, whereby Copy Mate would repair any defects free to Equip customers within the first 12 months of purchase. Based on past experience, Copy Mate estimated that 0.5% of 20X1 sales made by Equip would be returned by Equip customers for repair and estimated the cost of repairs for each unit to be equal to the unit's wholesale price.

Equip sold 1,000,000 A1 photocopiers during the first 12 months of the contract. By 31 December 20X1, Copy Mate had incurred HK\$4,500,000 on materials and labour costs to repair A1 photocopiers returned during the warranty period.

On 1 January 20X2, Copy Mate sourced a new supplier for the drum component of the A1 photocopier, which was the main cause of 20X1 defects. Upon sourcing the new supplier, the cost of manufacturing the A1 photocopier increased to HK\$945. Copy Mate approached Equip about renegotiating the wholesale price of the A1 photocopier for the final two years of the contract, but Equip did not agree to an amendment of the contract.

As a result of changing suppliers for the drum component, Copy Mate now estimated that 0.3% of 20X2 sales would be returned by Equip customers for repair.

For the year ended 31 December 20X2, Equip sold 900,000 A1 photocopiers and Copy Mate incurred the following costs for repairing photocopiers.

- HK\$210,000 in respect of 20X1 sales; and
- HK\$2,250,000 in respect of 20X2 sales.

Equip has indicated it would order 800,000 A1 photocopiers in 20X3.

Required:

Prepare the journal entry to recognise the provision for warranties arising from the contract with Equip in the financial statements of Copy Mate for the reporting periods ended 31 December 20X1 and 20X2. Show all workings.

QUESTION 2

On 1 January 20X4, Petro HK Limited (Petro HK) entered into a production sharing agreement with the government of Pomel, a Pacific Island nation, to construct an offshore drilling rig and extract petroleum off the coast of Pomel for a period of 25 years. The coastal waters where the rig is to be constructed was within the jurisdiction of Pomel.



Construction was completed on 31 December 20X4 at a cost of HK\$75,000,000. As part of the agreement, Petro HK was to remove the drilling rig when extraction ceased. Petro HK estimated it would cost HK\$12,500,000 to dismantle and remove the rig.

Petroleum extraction began on 31 December 20X4.

On 1 May 20X5, a ruptured pipeline causes the spillage of millions of litres of petroleum into the neighbouring waters before the leak was stopped. At the time of the spillage, there was no legal requirement for Petro HK to rectify the contamination caused. It was Petro HK's business custom not to rectify contamination unless there was a legal responsibility to do so.

On 1 November 20X5, the government of Pomel introduced a legislative bill requiring oil and gas companies to rehabilitate any existing environmental damage caused by extracting Pomel's natural resources. The legislative bill was enacted as law on 1 March 20X6 and was to be applied retrospectively.

Petro HK estimated it would cost HK\$10,000,000 to rectify the damage caused by the 1 May 20X5 spillage.

Petro HK's reporting period end date was 31 December and its discount rate was 5%.

Required:

Advise Petro HK how it is to account for its commitments stemming from the agreement with Pomel for the reporting periods ended 31 December 20X4 and 20X5 and prepare any journal entries required.

QUESTION 3

Forest Electricity Limited (FEL) is a manufacturer of electrical appliances. FEL owned two manufacturing plants in mainland China and one retail shop in Hong Kong. Recently, FEL had incurred losses in its operation of manufacturing and retailing businesses. During its financial year ended 31 December 20X4, the following transactions occurred:

- (a) Due to the poor performance of FEL, on 1 December 20X4, management decided to terminate the operation of one of the manufacturing plants. As of 31 December 20X4, this decision had not been communicated to employees. During the 20X5 year, this plant was expected to incur operational costs of HK\$8 million, staff relocations costs of HK\$1 million and costs to dismantle plant of HK\$4 million.
- (b) FEL provided a refund policy on Product Y when these products were sold to customers. For every defective unit of Product Y returned for repair, FEL would pay HK\$10 per unit to the customer. FEL sold 800,000 units of Product Y during the 20X4 year. Refunds of HK\$550,000 were incurred during 20X4 in relation to these sales, and it was estimated that 10% of the units are defective based on the historical pattern.

Required:

For (a) and (b) above, determine the accounting treatment under HKAS 37 and calculate any amounts to be recognised in the financial statements for FEL for the year ended 31 December 20X4 and prepare all relevant entries.

QUESTION 4

Identify which of the following statements about contingent liabilities and contingent assets is not correct.

- A.** Contingent assets are disclosed in the notes to the financial statements where an inflow of economic benefits is higher than remote.
- B.** Contingent liabilities are disclosed in the notes to the financial statements where an outflow of economic benefits is higher than remote.
- C.** When the realisation of income relating to a contingent asset can be reliably measured and is virtually certain, the event is no longer a contingent asset and is recognised as a receivable in the statement of financial position.
- D.** When the outflow of economic benefits relating to a contingent liability can be reliably measured and is probable, the event is no longer classified as a contingent liability and a liability is recognised in the statement of financial position.

QUESTION 5

Identify which of the following will give rise to a provision.

- A.** An entity in the oil industry causes contamination on land in a country where there is currently no environmental legislation. At reporting date, it is anticipated that law requiring clean-up of the contaminated land will be enacted after the reporting date.
- B.** The government has recently introduced changes to the tax system. As a result of the changes, the entity in the financial services sector will need to retrain a large proportion of its workforce to ensure continued compliance with regulations. At the reporting date retraining is yet to commence.
- C.** A retail store has a well-known policy of refunding purchases by dissatisfied customers, even though it has no legal obligation to do so.
- D.** As a result of products sold by a food manufacturer possible being contaminated, ten people have died of food poisoning. A court case is in progress against the food manufacturer at the reporting date. Lawyers have advised that it is possible that the entity will be found liable.

QUESTION 6

Rain Limited (Rain) sells umbrellas with a one-year warranty. Management estimates that, for umbrellas sold in the current financial year there is a:

- 20% probability that the umbrellas sold will require minor repairs, at a cost of HK\$1 million.
- 5% probability that the umbrellas sold will require major repairs, at a cost of HK\$3 million.
- 75% probability that umbrellas sold will require no repairs.

The best estimate of the provision to be recognised by Rain at the end of the financial year is:

- A. HK\$nil
- B. HK\$150,000
- C. HK\$200,000
- D. HK\$350,000

ANSWERS TO EXAM PRACTICE

QUESTION 1

31 December 20X1

In measuring the warranty provision, Copy Mate's best estimate of the expenditure required to settle its warranty obligations in respect of 20X1 sales was HK\$4,750,000 ($\text{HK\$}950 \times 1,000,000 \text{ sales} \times 0.5\%$).

The journal entry to record Copy Mate's provision for warranties on 31 December 20X1 was:

Date	Description	Debit	Credit
20X1		HK\$	HK\$
31 December	Warranty expense	4,750,000	
	Provision for warranties		4,750,000
	Recognition of provision for warranties for 20X1 sales		

Warranty claims of HK\$4,500,000 in respect of 20X1 sales were made during the 20X1 year. The journal entry to record warranty claims made during the year ended 31 December 20X1 is as follows:

Date	Description	Debit	Credit
20X1		HK\$	HK\$
31 December	Provision for warranties	4,500,000	
	Cash / Spare Parts Inventory		4,500,000
	Recognition of warranty claims for 20X1 sales		

A summary of the movement in the provision for warranties account was:

	HK\$
Opening balance 1.1.X1	0
Increase in provision for best estimate of expenditure required	4,750,000
Payments made for warranty claims	(4,500,000)
Closing balance 31.12.X1	250,000

31 December 20X2

During 20X2, warranty claims made in relation to 20X1 sales totalled HK\$210,000. As HK\$250,000 was recorded in the provision for warranties account at 31 December 20X1, there is an overprovision of HK\$40,000.

The journal entry to record warranty claims made during the year ended 31 December 20X2 and reverse the overprovision is as follows:

Date	Description	Debit	Credit
20X2		HK\$	HK\$
31 December	Provision for warranties	250,000	
	Warranty expense		40,000
	Cash		210,000
	Recognition of warranty claims for 20X1 sales and reversal of 20X1 overprovision		

For the 20X2 reporting period, Copy Mate revised its best estimate of its warranty obligations under the contract with Equip. Copy Mate's current best estimate was that 0.3% of current period sales would be returned by Equip customers for repair.

In measuring the warranty provision, Copy Mate's best estimate of the expenditure required to settle its warranty obligations in respect of 20X2 sales was HK\$2,565,000 (HK\$950 × 900,000 sales × 0.3 %).

The journal entry to record Copy Mate's provision for warranties on 31 December 20X2 was:

Date	Description	Debit	Credit
20X2		HK\$	HK\$
31 December	Warranty expense	2,565,000	
	Provision for warranties		2,565,000
	Recognition of provision for warranties for 20X2 sales		



Warranty claims of HK\$2,250,000 in respect of 20X2 sales were made during the 20X2 year. The journal entry to record warranty claims made during the year ended 31 December 20X2 is as follows:

Date	Description	Debit	Credit
20X2		HK\$	HK\$
31 December	Provision for warranties	2,250,000	
	Cash		2,250,000
	Recognition of warranty claims for 20X2 sales		

A summary of the movement in the provision for warranties account was:

	HK\$
Opening balance 1.1.X2	250,000
Payments made for warranty claims on 20X1 sales	(210,000)
Reversal of 20X1 overprovision	(40,000)
Increase in provision for best estimate of expenditure required	2,565,000
Payments made for warranty claims on 20X2 sales	(2,250,000)
Closing balance 31.12.X2	315,000

QUESTION 2

31 December 20X4

Decommissioning activities

Petro HK Limited (Petro HK) was to recognise a provision for decommissioning costs estimated to be incurred when the rig was dismantled. This assessment was reached based on applying the general recognition criteria of HKAS 37:

Element of provision definition	Application to Petro HK
Present obligation as a result of a past event	The construction of the drilling rig created a contractual (legal) obligation to remove the rig when extraction ceased. The construction of the rig was, therefore, the obligating event creating the present obligation.
Probable outflow of resources embodying economic benefits to settle the obligation	An outflow of resources would probably be required to settle the legal obligation. Petro HK was legally obliged to incur costs to remove the rig when extraction ceased.
Reliable estimate can be made of the amount of the obligation	Petro HK estimated it would cost HK\$12,500,000 to dismantle and remove the rig.

Petro HK estimated that it would incur HK\$12,500,000 to decommission the rig. Applying a discount rate of 5%, the present value of this future decommissioning cost was HK\$3,691,285 ($\text{HK\$}12,500,000 \times 1/1.05^{25}$).

The journal entry to recognise the provision for decommissioning of 31 December 20X4 was:

Date	Description	Debit	Credit
20X4		HK\$	HK\$
31 December	Property, plant & equipment – drilling rig	3,691,285	
	Provision for decommissioning		3,691,285
	Recognition of provision for decommissioning at 31 December 20X4		

31 December 20X5

Decommissioning activities

On 31 December 20X5, the provision for decommissioning needed to be remeasured to HK\$3,875,849 ($\text{HK\$}12,500,000 \times 1/1.05^{24}$) due to the change in the time value of money. The journal entry to recognise the increase in the provision for decommissioning due to the change in the time value of money at 31 December 20X5 was:

Date	Description	Debit	Credit
20X5		HK\$	HK\$
31 December	Interest expense	184,564	
	Provision for decommissioning		184,564
	Recognition of increase in provision for decommissioning on 31 December 20X5 due to change in the time value of money ($\text{HK\$}3,875,849 - \text{HK\$}3,691,285$)		

Petroleum spillage

At the time of the spillage, there was no legal requirement for Petro HK to rectify the contamination caused. Furthermore, it is Petro HK's business custom not to rectify contamination unless there is a legal responsibility to do so. On this basis there is no legal or constructive obligation, and therefore no present obligation. As a result, Petro HK will not recognise a provision for restoration.



As of 31 December 20X5, Petro HK was however subject to a contingent liability. This is because a possible obligation existed (i.e. to clean the petroleum spill) that arose from a past event (i.e. the spill itself) whose existence would be confirmed only by the occurrence of an uncertain future event (namely, the legislation being enacted as law).

Whether Petro HK was to disclose information about the contingent liability in the notes to its 20X5 financial statements depends upon whether the likelihood of an outflow to rectify the environmental damage was remote or more likely than remote.

Given the legislation was enacted on 1 March 20X6 and was retrospective, it was reasonable for Petro HK to assess (as at 31 December 20X5) that the likelihood of an outflow was more than remote. On this basis, Petro HK would be required to disclose details of the contingent liability in the notes to the financial statements for the year ended 31 December 20X5.

QUESTION 3

(a) *Plant closure*

According to HKAS 37.70(b) the closure of a manufacturing plant was an example of an even that falls under the definition of restructuring. In order for a provision for restructuring to be recognised there are two principal requirements to be met under HKAS 37.72. Firstly, the entity must have had a detailed formal plan and secondly, they must have raised a valid expectation in those affected that the plan would be carried out by starting to implement that plan or by announcing its main features to those affected by it.

Even though FEL had decided on the closure of one of the manufacturing plants, without a public announcement to all its employees, no formal plan with sufficient details existed to give rise to valid expectations in other parties that the entity would carry out the restructuring.

The management decision to restructure taken on 1 December 20X4 was irrelevant as FEL had not started to implement the restructuring plan or announced the main features of the restructuring plan to those affected with sufficient details. Accordingly, FEL should not have made any provision or disclosure as of 31 December 20X4 in respect of the restructuring plan.

However, if the restructuring plan, or announcement of the main features of the restructure is announced to those affected after the reporting period, disclosure is required under HKAS 10 *Events after the Reporting Period*, if the restructuring is material and non-disclosure could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

HKAS 10
para.75

(b) *Product Y refund policies*

A provision should be recognised by FEL for the refund policy given to customers as past experience shows FEL probably would pay certain claims.

In measuring the provision for refunds, FEL's best estimate of the expenditure required to settle its refund obligations in respect of 20X4 sales was HK\$800,000 (HK\$10 × 800,000 units sold × 10%).

HK\$550,000 had been incurred during 20X4 in relation to refunds for units of Product Y sold during 20X4.

Date	Description	Debit	Credit
20X4		HK\$	HK\$
31 December	Refund expense	800,000	
	Provision for refunds		800,000
	Recognition of provision for refunds for 20X4 sales		

Date	Description	Debit	Credit
20X4		HK\$	HK\$
31 December	Provision for refunds	550,000	
	Cash		550,000
	Recognition of refunds for 20X4 sales		

QUESTION 4

Answer A is correct. HKAS 37.34 requires that contingent assets are only disclosed where an inflow of economic benefits is probable, but not virtually certain.

Answer B is incorrect. HKAS 37.28 requires that contingent liabilities are disclosed in the notes to the financial statements where an inflow of economic benefits is higher than remote.

Answer C is incorrect. HKAS 37.33 requires that when the realisation of income relating to a contingent asset can be reliably measured and is virtually certain, the event is no longer a contingent asset and is recognised as a receivable in the statement of financial position.

Answer D is incorrect. HKAS 37.30 requires that when the outflow of economic benefits relating to a contingent liability can be reliably measured and is probable, the event is no longer classified as a contingent liability and a liability is recognised in the statement of financial position.

**QUESTION 5**

Answer A is incorrect. This is an example of a contingent liability, rather than a provision required to be recognised in the financial statements.

Answer B is incorrect. There is no present obligation as a result of a past event. Accordingly, no provision is recognised.

Answer C is correct. A well-known policy of refunding purchases by dissatisfied customers, even with no legal obligation, is an example of a constructive obligation. HKAS 37.17 notes that an entity may have a constructive obligation through normal business practice or custom. An established pattern of past practice, published policies or sufficiently specific current statements indicates that an entity will accept certain responsibilities. As a result, the entity has created a valid expectation on the part of the other parties that it will discharge those responsibilities.

Answer D is incorrect. No provision is recognised. This would be disclosed as a contingent liability as the probability of any outflow is higher than remote.

QUESTION 6

Answer A is incorrect. This option does not apply the expected value method, rather it applies the most likely amount (being the 70% likelihood). HKAS 37 requires the expected value method to be applied to sale of larger populations of items.

Answer B is incorrect. This option only takes into account the potential impact of major defects during the year. The provision for warranty expense needs to take into account the probability of warranty claims as calculated in Answer D.

Answer C is incorrect. This option only takes into account the potential impact of minor defects during the year. The provision for warranty expense needs to take into account the probability of warranty claims as calculated in Answer D.

Answer D is correct. This is calculated as: $(75\% \times \text{nil}) + (20\% \times \text{HK\$1 million}) + (5\% \times \text{HK\$3 million}) = \text{HK\$350,000}$.

16

Income Taxes



CHAPTER TOPIC LIST

16.1 Current Income Tax Overview

16.1.1 Accounting Income and
Taxable Income

16.2 Deferred/Future Income Taxes Overview

16.2.1 Temporary Tax Differences

16.2.2 Tax Base

16.2.3 Deferred Tax Liabilities

16.2.4 Deferred Tax Assets

16.2.5 Initial Recognition Exemption

16.3 Future Tax Rates and Future Revision



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.13: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to income taxes

- 2.13.01** Define and explain the difference between current tax and deferred tax
- 2.13.02** Explain the accounting treatment for current tax liabilities and current tax assets
- 2.13.03** Explain why deferred tax adjustments are required
- 2.13.04** Define and explain the difference between the tax base and the carrying amount for assets and liabilities for a single entity
- 2.13.05** Identify the tax base for assets and liabilities for a single entity
- 2.13.06** Define and explain the difference between taxable and deductible temporary differences
- 2.13.07** Describe a temporary difference that results in a future taxable and deductible amount for a single entity
- 2.13.08** Explain when and how deferred tax assets and liabilities should be recognised



OPENING CASE

DRAGON LIMITED

Dragon Limited (Dragon) is a Hong Kong-based software development company that develops apps for retail customers.

Dragon has invested a significant amount of money in research and development since its start-up five years ago.

There is difference between accounting treatment and tax treatments for the research and development costs. Dragon carries on a business in Hong Kong and is subject to Hong Kong profits tax at rate of 16.5%. 

The graphic consists of a large, light grey chevron pointing downwards, with the word 'OVERVIEW' in orange capital letters positioned to its right.

OVERVIEW

Paying income taxes on business profits is a necessary part in operating a business. The amount of income taxes payable on business profits generated (or income taxes recoverable if a loss has been incurred) is determined in accordance with taxation legislation. Specifically, income taxes payable for a tax year is the difference between income earned by the business that is assessable for tax purposes and expenses incurred by the business that are deductible for tax purposes, multiplied by the appropriate income tax rate. In Hong Kong, an entity calculates its taxable income (or taxable profit), and income tax payable, through filing an income tax return that is prepared in accordance with the relevant tax law. For accounting purposes, the amount of income taxes payable (or income taxes recoverable) by the entity for the current tax year is to be recognised as a current tax liability (or current tax asset) in the entity's financial statements.

Some transactions and events an entity has engaged in may also have future tax consequences. For example, the economic benefits an entity will derive from using an existing asset (e.g. using machinery to produce inventory for resale) in future periods will likely increase the entity's future taxable income, and consequently, increase future income taxes payable. Similarly, the economic benefits an entity will sacrifice upon settling an existing liability (e.g. paying annual leave entitlements to employees) in future periods will increase the entity's future deductible expenses and reduce future income taxes payable. These future tax consequences stem from temporary differences in the accounting and taxation treatment of such assets and liabilities over their remaining existence. Such future tax consequences are referred to as deferred tax. A temporary difference that will increase an entity's future income taxes payable is referred to as a taxable temporary difference, with the additional future tax payable called a deferred tax liability. A temporary difference that decreases an entity's future income taxes payable is referred to as a deductible temporary difference and gives rise to a deferred tax asset. In addition to recognising current tax liabilities and assets, an entity is to also recognise future tax consequences in its current period financial statements as deferred tax liabilities and deferred tax assets accordingly.

This chapter addresses how an entity is to account for the income tax consequences of its transactions. In particular, you will gain an understanding of the difference between current tax and deferred tax and how an entity is to account for each in turn. More specifically, you should be able to explain the accounting treatment for current tax liabilities and current tax assets. Moreover, by the end of this chapter you should be able to explain why it is important to account for the deferred tax consequences of business transactions and explain when and how deferred tax assets and liabilities should be recognised.



16.1 CURRENT INCOME TAX OVERVIEW

The financial reporting of an entity's income tax commitments and entitlements is governed by HKAS 12 *Income Taxes*. More specifically, HKAS 12 prescribes how to account for the current and future tax consequences of:

- (a) the future recovery (settlement) of the carrying amount of assets (liabilities) recognised in an entity's statement of financial position; and
- (b) transactions and other events of the current period that are recognised in an entity's financial statements.

HKAS
12.Objective

HKAS
12.5

An entity's **tax expense** comprises its current tax expense and deferred (future) tax expense. Current and deferred tax expenses are calculated separately. The aim of this section is to outline how an entity determines its current tax commitments, and how these are reported in accordance with HKAS 12. To understand this, it is necessary to discuss the relationship between an entity's accounting income and taxable income and how these two income amounts differ, for any given period, due to varying recognition rules between financial reporting and tax reporting.

We will discuss deferred taxes in Section 16.3.

16.1.1 Accounting Income and Taxable Income

Accounting income (i.e. **accounting profit**) is the difference between revenues earned and expenses incurred during the current period, calculated in accordance with the accounting rules and principles contained within accounting standards (e.g. HKFRSs in Hong Kong); and taxable income (i.e. **taxable profits**) is the difference between income that is assessable, and expenses that are deductible, for tax purposes under taxation rules (e.g. Inland Revenue Ordinance (IRO) in Hong Kong).

In other words, an entity calculates its accounting profit and taxable income separately in accordance with the accounting standards and taxation rules. Accounting profit is to be reported in the financial statements for scrutiny by stakeholders (e.g. investors, creditors) while taxation income is to be reported in the tax return submitted to the taxation authority (e.g. Inland Revenue Department in Hong Kong) for tax payments.

Financial reporting standards and taxation rules are not always the same. Consistency between the two over the respective treatment of business transactions will result in commonalities in the calculation of an entity's accounting profit and taxable income. Divergence between the two, however, will result in departures between an entity's accounting profit and taxable income. For example, in the context of Hong Kong:

- Dividend income is recognised when earned (i.e. when dividend is declared by payer) under HKFRS, and thus, included in the computation of accounting profit. However, dividend is not taxable under IRO, and therefore, is not included in taxable income.
- Warranty is recognised as an expense on an accrual basis (no matter paid or not) under HKFRS. However, under IRO, expenditure on warranty is only deductible when it is paid in the period.

Illustrative Example 1

The following information relates to LOG Ltd (LOG) for the year ended 31 March 20X9.

		HK\$'000
	Notes	
Revenues		1,000
Dividend income	a	200
Warranty expense	b	150

- Dividend income is not taxable in Hong Kong under IRO.
- The \$150,000 warranty expense recognised is the provision for warranty in relation to product sales made in 20X8/X9 and it is expected to be paid next year. Under IRO, expenditure on warranty is only deductible when it is paid in the period.
- No other income or expenses are recognised during the year.

LOG's accounting and taxable income for the year ended 31 March 20X9 is determined as follows:

	Statement of Profit or Loss and Other Comprehensive Income	Tax return
	HK\$'000	HK\$'000
Revenues	1,000	1,000
Add: Dividend income	200	0
Less: Warranty expenses	(150)	0
Income before tax	1,050	1,000

Accounting profit of HK\$1,050,000 computed based on HKFRS is reported in the Statement of Profit or Loss and Other Comprehensive Income.

Taxable income of HK\$1,000,000 computed based on IRO is reported in the tax return.

There are other differences between HKFRS and IRO. The following show more illustrative examples of these differences.

Illustrative Example 2

ACE Ltd (ACE) reported pretax accounting profit (before deducting depreciation expense) of HK\$1 million in 20X9. During 20X9, ACE purchased an equipment for HK\$100,000. The equipment is depreciated for financial reporting purposes over four years on a straight-line basis (no residual value). For tax purposes, capital allowance deduction for the equipment in the current year amounted to HK\$40,000. The company does not have other depreciable assets.

Illustrative Example 2 (continued)

ACE's accounting and taxable income for the year 20X9 is determined as follows:

	Statement of Profit or Loss and Other Comprehensive Income	Tax return
	HK\$'000	HK\$'000
Profit before depreciation expense	1,000	1,000
Less: depreciation expense	(25)*	(40)
Income before tax	975	960

*Depreciation expense = (HK\$100,000 – 0) / 4 years = HK\$25,000

Accounting profit of HK\$975,000 computed based on HKFRS is reported in the Statement of Profit or Loss and Other Comprehensive Income.

Taxable income of HK\$960,000 computed based on IRO is reported in the tax return.

Key Learning Point

Differences between financial reporting standards and taxation rules in the treatment of transactions or events mean that accounting profit will generally not equal taxable income.

16.1.1.1 Calculation of Taxable Income

Instead of preparing the tax return from scratch, in practice, the taxable income of each tax year are calculated by adjusting accounting profit in accordance with the IRO. To illustrate, an entity may recognise revenue for accounting purposes (i.e. increase accounting profit), but for tax purposes the amount may not be assessable (i.e. does not increase taxable income). As such, an adjustment will be made by the entity to exclude (i.e. subtract) the amount from accounting profit to derive taxable income. Similarly, an expense recognised for accounting purposes may not be deductible for tax purposes, requiring the entity to adjust (i.e. add back to accounting profit) the amount to calculate taxable income. Upon making all necessary adjustments to accounting profits in accordance with the Inland Revenue Ordinance, an entity's taxable income is calculated.

The following formula can be used as a simple guide to convert accounting profit to taxable income for a given period:

Accounting profit for the current period	
Plus	Non-deductible expenses (i.e. expenses recognised for accounting purposes but are not deductible for tax purposes)
Minus	Deductible charges and allowances not recognised in accounting profit (i.e. deductions for tax purposes but not are recognised as expenses for accounting purposes)

Accounting profit for the current period	
<i>Minus</i>	Non-assessable income (i.e. revenues recognised for accounting purposes but are not assessable for tax purposes)
<i>Plus</i>	Assessable income not recognised in accounting profit (i.e. revenues assessable for tax purposes but are not recognised as revenues for accounting purposes)
<i>Equals</i>	Taxable income for the current period

Illustrative Example 3

The following information relates to Dragon Ltd (Dragon) for the year ended 31 March 20X9.

	20X9 HK\$'000	20X8 HK\$'000
Capitalised development costs	2,500	2,000
Accumulated amortisation – development costs	(750)	(500)
Carrying amount of capitalised development costs	1,750	1,500

Other information

- Amortisation expense for development costs for the year is HK\$250,000.
- Research costs of HK\$542,000 were incurred during the year ended 31 March 20X9.
- Research and development costs qualify for a 200% deduction for taxation purposes in the year incurred.
- Accounting profit before tax was HK\$3,971,000 and there were no other items where the accounting and tax treatment were different.

To compute:

- tax deduction available for research and development expenditures; and
- taxable income of Dragon for the year ended 31 March 20X9.

- Under tax rule, research and development expenditures are deductible only when they are incurred. Amortisation expense of HK\$250,000 (HK\$750,000 – HK\$500,000) is not tax deductible as it is only an expense accrued under financial reporting but not an actual expenditure incurred in the year. For the research costs of HK\$542,000, it is an amount actually incurred during the year, and thus, should be qualified for tax deduction. In addition, the increase in capital development costs of HK\$500,000 (HK\$2,500,000 – HK\$2,000,000) also represents an actual expenditure incurred during the year and this amount is therefore deductible for tax purpose.

As research and development costs qualify for a 200% deduction for taxation purposes, total tax deduction for research and development expenditures should

Illustrative Example 3 (continued)

be 200% on the sum of research and development costs incurred. As a result, tax deduction of HK\$2,084,000 will be claimable for research and development expenditures incurred during the year. This is calculated as:

	HK\$'000	
Research costs	542	
Capitalised development costs	500	HK\$2.5 million – HK\$2 million
Total expenditures incurred	1,042	
200% deduction available	2,084	

- (b) To determine taxable income, amortisation expense of HK\$250,000 should be added back to pretax accounting profit as it is not deductible for tax purposes. Also, research cost is qualified for a 200% deduction for taxation purposes, so the original expensed amount of HK\$542,000 is added back to the accounting profit first and the 200% deduction will be adjusted below.

Applying 200% deduction, we subtract a total tax deduction of HK\$2,084,000 (computed in part a) from the profit and this gives rise to a taxable income of HK\$2,679,000 for the year ended 31 March 20X9.

	HK\$'000
Accounting profit before tax	3,971
Add: Amortisation expenses – development costs	250
Add: Research costs	542
Less: Research and development expenditure deduction (part a)	(2,084)
Taxable income	2,679

16.1.1.2 Recognition of Current Tax Liabilities and Current Tax Assets

Upon determining taxable income for the period, income tax is payable based on the applicable income tax rate. As the amount of tax reflects the tax consequences of transactions or events within the current period, it is referred to as '**current tax**'.

While an entity is expected to settle its current tax commitments in a timely manner, there may be instances when, at the end of the current period, an entity has not paid all of its current tax from a prior period. In accordance with HKAS 12, an entity is to recognise in its current period financial statements a current tax liability for any unpaid current tax from the current and prior periods. The current tax liability is to be measured using the income tax rate that was in effect at the end of the relevant reporting period.

HKAS
12.12

HKAS
12.46

Illustrative Example 4

During 20X8–20X9, its first year of operations, BRICK Ltd shows a net profit of HK\$1,000,000 and taxable income of HK\$850,000. The tax rate is 16.5%.

Current tax liabilities represent the income tax payable to the tax authority during the current period. It is determined based on taxable income in the current year and current year tax rate. In this example, current tax liabilities should be HK\$140,250 (HK\$850,000 x 16.5%). Journal entries to record current tax liabilities would be:

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Income tax expense	140,250	
	Income tax payable		140,250
	(To record current tax liabilities in 20X8–20X9.)		

HKAS
12.12

In cases where the amount already paid in respect of current and prior periods exceeds the amount due for those periods, the excess shall be recognised as a current tax asset. And the excess would give rise to current tax income. Moreover, when an entity has a tax loss that can be carried back to recover current tax of a previous period, such benefit shall also be recognised as a current tax asset because it is probable that the benefit will flow to the entity and the benefit can be reliably measured.

HKAS
12.13–14



16.2 DEFERRED/FUTURE INCOME TAXES OVERVIEW

Future recovery (settlement) of assets (liabilities) currently held by an entity may have future tax consequences for the entity. Such future tax consequences are referred to as deferred tax, and HKAS 12 requires an entity to recognise, in its current period financial statements, the deferred tax consequences of the future recovery (settlement) of all assets (liabilities) recognised at current period-end.

The future tax (i.e. deferred tax) consequences of recognised assets and liabilities stems from differences in the accounting and taxation treatment of such assets and liabilities over their remaining existence.

16.2.1 Temporary Tax Differences

The adjustments made to accounting profit to calculate taxable income reflect differences between the accounting and taxation treatment of transactions or events of the current period.

Temporary difference reflects the timing difference of recognising a transaction or event under financial reporting standards and taxation regulations. A transaction may give rise to

the same impact being ultimately included in an entity's accounting profit and taxable income, however, the timing of such impact is different on the financial statements and tax return across the years.

For example, interest income is recognised when earned under HKFRS (no matter received or not) but it is only taxable when cash is received under tax laws. In the case that interest income is earned but cash is not received at the end of the reporting period, temporary difference arises. This temporary difference is the difference between the recognised interest income and interest not yet received by the period end. The temporary difference will reverse in the future upon cash received.

Illustrative Example 5

Excel Corporation computed an income before tax of HK\$1,000,000 for the first year of its operations ended 31 March 20X9. The reported income before tax includes the following three items:

1. Dividend income of HK\$30,000 that is not taxable under IRO.
2. Warranty provision of HK\$18,000 that is recognised as expense in the current period. Warranty cost is tax deductible when it is incurred.
3. Expected credit losses provision of HK\$20,000 that is recognised as expense in the current period. Credit losses are tax deductible when the trade receivable is written off as credit impaired.

Identify any temporary differences in relation to the above items.

1. Since dividend income of HK\$30,000 is always included in the computation of accounting profit under HKFRS but it is never assessable in the computation of taxation income under IRO, therefore, not a temporary difference arises in relation to this dividend income.
2. An expense of HK\$18,000 is recognised for a warranty provision when the goods are sold (in the current year), whereas the deduction for tax purpose is available when the warranty claims are actually made (in future years). There is a timing difference which is temporary in nature. Assume expenditures of HK\$18,000 in relation to this warranty are incurred next year, the temporary difference is then wholly reversed by next year, resulting no difference between accounting expense and tax deduction arising from the warranty provision.
3. There is also a timing difference in credit loss recognition – an expense of HK\$20,000 is recognised for accounting purpose but it is deductible for tax purpose only when the credit loss eventuates (i.e. an actual credit loss has been incurred because the trade receivable is credit impaired). The difference is temporary in nature. Assume HK\$15,000 of the trade receivable is written off as credit impaired in 20Y0 and HK\$5,000 is written off in 20Y1. The temporary difference of HK\$20,000 is fully reversed after two years, resulting no difference between accounting expense and tax deduction arising from the expected credit loss provision.

Key Learning Point

A temporary difference arises due to the timing difference of recognising a transaction or event under financial reporting standards and taxation regulations. Temporary differences will reverse over time.

► Knowledge Check Questions

Question 1

ABC Ltd acquired an item of equipment on 1 April 20X8 for HK\$1 million. The equipment has been assessed to have a useful life of five years and a residual value of HK\$100,000 for accounting purposes. For tax purposes, ABC Ltd is able to claim a capital allowance deduction of 60% on the equipment for the year ended 31 March 20X9. Identify which of the following statements is NOT correct.

- A** ABC Ltd will claim a capital allowance deduction of HK\$600,000 in respect of the equipment for the year ended 31 March 20X9.
- B** ABC Ltd will record accounting depreciation expense of HK\$180,000 for the year ended 31 March 20X9.
- C** When calculating current tax, ABC Ltd will add back the capital allowance deduction and deduct the accounting depreciation expense from accounting profit before tax to determine taxable income.
- D** The difference in the accounting and tax treatment of the item of equipment is a temporary difference for ABC Ltd.

The following information relates to Questions 2-3

The Statement of Profit or Loss of Adele Ltd (Adele) for the year ended 31 March 20X9 (before the posting of year-end tax entries) is as follows:

Adele Ltd Statement of Profit or Loss For the year ended 31 March 20X9		
	Notes	HK\$'000
Service revenue		4,000
Interest revenue	a	500
Expected credit losses expense	c	50
Fines and penalties	b	130
Depreciation – property, plant and equipment	d	125
Annual leave expense	c	105
Salary and wages expense		450
Other operating expenses		825
Profit before tax		2,975

► Knowledge Check Questions (*continued*)

Notes:

- Interest revenue is exempt from tax.
- Fines and penalties are non-deductible expenses.
- Details of related statement of financial position accounts are set out below:

	20X9 HK\$'000	20X8 HK\$'000
Trade receivable	3,500	3,350
Allowance for expected credit losses	(345)	(300)
Net trade receivable	3,155	3,050
Provision for annual leave	85	270

- Credit losses are tax deductible when trade receivable is written off as credit impaired.
 - Annual leave expenditures are tax deductible when incurred.
- A capital allowance deduction of HK\$200,000 is available for taxation purposes for the current year.
 - Tax rate is 15%.

Question 2

Identify which of the following is the amount that Adele will claim for a tax deduction regarding actual credit losses arising from trade receivable credit impairment for the year ended 31 March 20X9.

- HK\$5,000
- HK\$45,000
- HK\$50,000
- Unable to determine

Question 3

Identify which of the following is the amount that will be recognised by Adele as the current tax liability as at 31 March 20X9 is.

- HK\$358,500
- HK\$402,000
- HK\$433,500
- Unable to determine

16.2.2 Tax Base

Differing accounting and taxation treatments will result in the amount an asset or liability recognised for accounting purposes (i.e. its 'carrying amount') differs from that recognised for tax purposes (i.e. its '**tax base**'). As such, HKAS 12 defines a temporary difference as the difference 'between the carrying amount of an asset or liability in the statement of financial position and its tax base'.

HKAS 12 has provided guidelines on how to compute tax base for assets and liabilities. The following examples are extracted from the Standard for illustration.

16.2.2.1 Computation for tax base of assets

The tax base of an asset may be calculated as the asset's carrying amount, less any future taxable amounts plus any future deductible amounts that are expected to arise from recovering the asset's carrying amount as at the end of the reporting period. That is,

$$\text{Carrying amount} - \text{Taxable amounts} + \text{Deductible amounts} = \text{Tax base}$$

Example (1):

Trade receivables has a carrying amount of HK\$100, for which general expected credit losses provisions amounting to HK\$20 have been made. These provisions have not yet been deducted for tax purposes but are expected to give rise to future deductible amounts.

The tax base of the trade receivables is:

Carrying amount	- Taxable amounts	+ Deductible amounts	= Tax base
HK\$100	- Nil ¹	+ HK\$20 ²	= HK\$120

Notes:

1. Taxable amount is nil because the sales revenue in relation to these trade receivables are already taxed in the current period (i.e. the sales revenue is already included in the taxable income in the current period). Nothing will be taxed in future periods when the carrying amount of this receivable is recovered.
2. Deductible amount is HK\$20 because when the estimated HK\$20 trade receivables is written off in future periods, this amount is tax deductible.

Example (2):

A machine cost HK\$100 and is expected to be ultimately disposed of for an amount that is equal to or less than cost. For tax purposes, depreciation of HK\$30 has already been deducted in the current and prior periods and the remaining cost will be deductible in future periods, either as depreciation or through a deduction on disposal. Revenue generated by using the machine (i.e. revenue generated from recovering the carrying amount of the machine) is taxable, any gain or loss on disposal will be subject to a balancing adjustment (such as for recouped depreciation) for tax purposes. The machine has been depreciated for accounting purposes by HK\$20.

The tax base of the machine is:

Carrying amount	- Taxable amounts	+ Deductible amounts	= Tax base
HK\$80	- HK\$80 ¹	+ HK\$70 ²	= HK\$70

Notes:

1. When the carrying amount of the machine HK\$80 (which is HK\$100 cost - HK\$20 accumulated depreciation) is recovered, this amount is taxable. Therefore, taxable amount is HK\$80.
2. Deductible amount = Cost HK\$100 - Accumulated capital allowance deduction HK\$30 = HK\$70.

Apply and Analyse 1

On 1 April 20X3, Victoria Limited (Victoria) acquired a machine. Information about the machine was:

- Cost: HK\$6 million.
- Useful life for accounting purposes: six years.
- Estimated residual value: Nil.
- Capital allowance deduction available for tax purposes: initial allowance of 60%, with a subsequent deduction of 20% on the reduced value.

Prepare a table summarising the accounting and tax treatment for the machine to demonstrate that the temporary difference arising over the life of the machine due to the differing accounting depreciation and tax capital allowance deduction will reverse over the machine's useful life.

Analysis

	Year ended 31 March (all amounts HK\$'000)					
	20X3	20X4	20X5	20X6	20X7	20X8
Accounting						
Annual expense (A)	1,000	1,000	1,000	1,000	1,000	1,000
Cost	6,000	6,000	6,000	6,000	6,000	6,000
Accumulated depreciation	(1,000)	(2,000)	(3,000)	(4,000)	(5,000)	(6,000)
Carrying amount	5,000	4,000	3,000	2,000	1,000	NIL
Tax						
Capital allowance deduction (B)	3,600 ¹	480 ²	480	480	480	480
Cost	6,000	6,000	6,000	6,000	6,000	6,000
Accumulated capital allowance	(3,600)	(4,080)	(4,560)	(5,040)	(5,520)	(6,000)
Tax carrying amount	2,400	1,920	1,440	960	480	NIL
Temporary difference						
Opening	0	2,600	2,080	1,560	1,040	520
Current year movement (B) – (A)	2,600	(520)	(520)	(520)	(520)	(520)
Closing	2,600	2,080	1,560	1,040	520	NIL

Notes:

1. HK\$6 million × 60%
2. HK\$2.4 million × 20%

As can be seen above, a temporary difference arose in 20X6 and then reversed over the remaining five-year life of the machine. By the time the machine was fully depreciated for accounting purposes, the temporary difference had reduced to nil.

16.2.2.2 Computation for tax base of liabilities

The tax base of a liability may be calculated as the liability's carrying amount as at the end of the reporting period less any future deductible amounts, plus any future taxable amounts, that are expected to arise from settling the liability's carrying amount as at the end of the reporting period. That is,

$$\text{Carrying amount} - \text{Deductible amounts} + \text{Taxable amounts} = \text{Tax base}$$

Example (3):

An interest payable has a carrying amount of HK\$100. The related interest will be deductible for tax purposes only when it is paid.

The tax base of the interest payable is:

Carrying amount	- Deductible amounts	+ Taxable amounts	= Tax base
HK\$100	- HK\$100 ¹	+ Nil ²	= Nil

Notes:

1. The interest amount \$100 is deductible when it is paid in future periods.
2. There is no amount to be taxable in relation to this interest expense.

Example (4):

Current liabilities include accrued fines and penalties with a carrying amount of HK\$100. Fines and penalties are not deductible for tax purposes.

The tax base of the accrued fines and penalties is:

Carrying amount	- Deductible amounts	+ Taxable amounts	= Tax base
HK\$100	- Nil ¹	+ Nil ²	= HK\$100

Notes:

1. Fines and penalties are not tax deductible.
2. There is no amount to be taxable in relation to fines and penalties.

16.2.3 Deferred Tax Liabilities

A potential future tax consequence of the future recovery (settlement) of assets (liabilities) currently held by an entity is an increase in the entity's future taxable income, resulting in larger future tax payments. The increase in future taxable income constitutes a taxable temporary difference, and the tax payable on the increased taxable income is recognised and measured as a deferred tax liability.

16.2.3.1 Taxable Temporary Differences

Under HKAS 12, taxable temporary differences are defined as 'temporary differences that will result in taxable amounts in determining taxable income (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled'.

To identify whether a taxable temporary difference exists, the carrying amount and tax base of the asset or liability in question needs to be compared. Upon making that comparison, the identified temporary difference constitutes a taxable temporary difference in Exhibit 16.1.

Asset	Carrying amount	>	Tax base
Liability	Carrying amount	<	Tax base

► **EXHIBIT 16.1** Identifying a taxable temporary difference

In both cases, the taxable amounts are greater than the deductible amounts when the carrying amount of the asset or liability is recovered or settled. This results in an increase in future taxable income, and thus, a taxable temporary difference arises.

Illustrative Example 6

As a continuation of Illustrative Example 5, the taxable temporary difference arising from the capitalised development costs by end of 31 March 20X9 can be calculated as follows (all amounts are in HK\$'000):

	Carrying Amount (CA)		Tax Base ¹ (TB)		Taxable Temporary Difference (TTD)
Capitalised development costs	1,750	–	NIL ²	=	1,750

Notes:

- For assets, Tax base = Carrying amount – Taxable amount + Deductible amount.
- For capitalised development costs,
 Taxable amount = Cost – Accumulated amortisation = HK\$2,500 – HK\$750 = HK\$1,750.
 Deductible amount = Nil. (R&D cost is tax deductible in the year incurred, so there is no further deductions allowed in future periods.)
 Tax base = HK\$1,750 – HK\$1,750 + Nil = Nil.

16.2.3.2 Calculation of Deferred Tax Liability

HKAS
12.5

Under HKAS 12, a **deferred tax liability** is the amount of income tax payable (i.e. profits tax payable) in respect of a taxable temporary difference. An entity is to recognise a deferred tax liability in its current period statement of financial position for all taxable temporary differences.

The calculation of the deferred tax liability in respect of a taxable temporary difference can be expressed as follows:

Taxable temporary difference

= Carrying amount of asset – Tax base of asset (or Tax base of liability – Carrying amount of liability)

Deferred tax liability

= Taxable temporary difference x tax rate

Deferred tax liability (DTL) is calculated based on the taxable temporary difference exists at the year end. Therefore, the amount calculated is the outstanding (closing) balance of the DTL for the year.

When DTL increases over the year (i.e. Closing DTL > Opening DTL), income tax expense should be accrued (i.e. increase) accordingly for the future tax consequences (i.e. higher future tax payments) arising from transactions or events recognised in the current period.

Illustrative Example 7

According to Illustrative Example 6, the taxable temporary differences for Dragon as at 31 March 20X9 were calculated as below:

	Carrying Amount (CA)	Tax Base (TB)	Taxable Temporary Difference (TTD)
	HK\$'000	HK\$'000	HK\$'000
Capitalised development costs	1,750	NIL	1,750

Additional information:

1. The balance of the deferred tax liability account at 31 March 20X8 was \$138,000.
2. The tax rate is 16.5%.

The deferred tax liability at 31 March 20X9 and current year movement in the deferred tax liability are calculated as follows (all amounts are in HK\$'000):

	Carrying Amount (CA)	Tax Base (TB)	Taxable Temporary Difference (TTD)
	HK\$'000	HK\$'000	HK\$'000
Capitalised development costs	1,750	NIL	1,750
Total taxable temporary difference (Total TTD)			1,750
Closing balance of deferred tax liability (DTL) (Total TTD x 16.5%)			289
Less: Opening balance of deferred tax liability			(138)
Current year movement in deferred tax liability			151

Illustrative Example 7 (continued)

The journal entry required to record the deferred tax liability for the year ended 31 March 20X9 in the books of Dragon will be as follows:

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Income tax expense – deferred	151,000	
	Deferred tax liability		151,000
	Movement in deferred tax liability for the year ended 31 March 20X9		

16.2.4 Deferred Tax Assets

Under HKAS 12, deferred tax assets are the amounts of income taxes recoverable in respect of deductible temporary differences.

16.2.4.1 Deductible Temporary Differences

Another potential future tax consequence of the future recovery (settlement) of assets (liabilities) currently held by an entity is a decrease in the entity's future taxable income, resulting in smaller future tax payments. The decrease in future taxable income constitutes a deductible temporary difference, and the tax savings on the reduced taxable income is recognised and measured as a deferred tax asset.

Under HKAS 12, deductible temporary differences are defined as 'temporary differences that will result in amounts that are deductible in determining taxable income (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled'.

To identify whether a deductible temporary difference exists, the carrying amount and tax base of the asset or liability is compared. From that comparison, Exhibit 16.2 identifies when a deductible temporary difference exists.

Asset	Carrying amount	<	Tax base
Liability	Carrying amount	>	Tax base

► **EXHIBIT 16.6** Identifying a deductible temporary difference

In both cases, the taxable amounts are less than the deductible amounts when the carrying amount of the asset or liability is recovered or settled. This results in a decrease in future taxable income, and thus, a deductible temporary difference arises.

HKAS
12.5

Illustrative Example 8

The following information relates to Arrow Ltd (Arrow) as at 31 March 20X9.

	Note	20X9 HK\$'000	20X8 HK\$'000
Assets			
Trade receivable		11,045	9,675
Allowance for expected credit losses	1	(1,768)	(809)
Carrying amount of trade receivable		9,277	8,866
Liabilities			
Provision for warranties	2	956	804
Provision for annual leave	3	403	380

Additional information:

1. Credit losses are tax deductible when the trade receivable is written off as credit impaired.
2. Warranty costs are tax deductible when incurred.
3. Annual leave expenditures are tax deductible when incurred.

The deductible temporary differences arising from these assets and liabilities can be calculated as follows (all amounts are in HK\$'000):

	Carrying Amount (CA)	Tax Base ¹ (TB)	Deductible Temporary Difference (DTD)
Trade receivable	9,277	11,045 ²	1,768
Provision for warranties	956	NIL ³	956
Provision for annual leave	403	NIL ⁴	403

Notes:

1. For assets, Tax base = Carrying amount – Taxable amount + Deductible amount
For liabilities, Tax base = Carrying amount – Deductible amount + Taxable amount.
2. For trade receivable,
Taxable amount = Nil (The sales in relation to this trade receivable is already taxed in the current year, so no amount is to be taxable in future periods.)
Deductible amount = allowance for expected credit losses = HK\$1,768 (When this estimated credit loss of HK\$1,768 is written off in future periods, this amount is tax deductible.)
Tax base = HK\$9,277 – Nil + HK\$1,768 = HK\$11,045.
3. For warranties provision,
Taxable amount = Nil.

Illustrative Example 8 (continued)

Deductible amount = HK\$956.

Tax base = HK\$956 – HK\$956 + Nil = Nil.

4. For annual leave provision,

Taxable amount = Nil.

Deductible amount = HK\$403.

Tax base = HK\$403 – HK\$403 + Nil = Nil.

16.2.4.2 Unused Tax Losses and Unused Tax Credits

A Hong Kong entity that incurs an adjusted loss in a tax year may carry that loss forward and offset it against future taxable profit, thereby reducing future profits tax payable. Similarly, a Hong Kong entity may be entitled to a tax credit that can be deducted from future profits tax payable. A tax credit may arise, for example, when a Hong Kong entity pays tax on income sourced from another country. As the income has been derived in another country, tax will be payable to the taxation authority of that country. As the tax has been paid on the income, the Inland Revenue Department grants the Hong Kong entity a foreign tax credit equal to the foreign tax paid. This ensures that tax is not paid twice (once overseas and once in Hong Kong) on the same income.

The remainder of this section discusses how to identify and calculate deductible temporary differences and how to calculate deferred tax assets in relation to deductible temporary differences and unused tax losses/credits.

16.2.4.3 Calculation of Deferred Tax Assets

Under HKAS 12, a **deferred tax asset** is the amount of income tax recoverable in respect of a deductible temporary difference, the carryforward of unused tax losses and the carryforward of unused tax credits.

The calculation of deferred tax assets in respect of a deductible temporary difference can be expressed as follows:

Deductible temporary difference

= Tax base of asset – Carrying amount of asset (or Carrying amount of liability – Tax base of liability)

Deferred tax asset

= Deductible temporary difference x tax rate

HKAS
12.5

Recall that a deferred tax asset in respect of a deductible temporary difference or the carryforward of unused tax losses/credits will only be recognised in an entity's financial statements if it is probable that there will be sufficient future taxable income to enable the entity to utilise the deductible temporary difference or the unused tax loss/credit.

Illustrative Example 9

According to Illustrative Example 8, the deductible temporary differences for Arrow as at 31 March 20X9 were as calculated below (all amounts are in HK\$'000):

	Carrying Amount (CA)	Tax Base (TB)	Deductible Temporary Difference (DTD)
Trade receivable	9,277	11,045	1,768
Provision for warranties	956	NIL	956
Provision for annual leave	403	NIL	403

Additional information:

- The balance of the deferred tax asset account at 31 March 20X8 was \$299,000.
- The tax rate is 16.5%.
- It is probable that there will be sufficient future taxable income to fully utilise the total deductible temporary differences.

The deferred tax asset at 31 March 20X9 and current year movement in the deferred tax asset are calculated as follows (all amounts are in HK\$'000):

	Carrying Amount (CA)	Tax Base (TB)	Deductible Temporary Difference (DTD)
Trade receivable	9,277	11,045	1,768
Provision for warranties	956	NIL	956
Provision for annual leave	403	NIL	403
Total deductible temporary difference (Total DTD)			3,127
Closing balance of deferred tax asset (DTA) (Total DTD x 16.5%)			516
Less: Opening balance of deferred tax asset			(299)
Current year movement in deferred tax asset			217

Illustrative Example 9 (continued)

The journal entry required to record the deferred tax asset for the year ended 31 March 20X9 in the books of Arrow will be as follows:

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax asset	217,000	
	Income tax expense – deferred		217,000
	Movement in deferred tax asset for the year ended 31 March 20X9		

16.2.5 Initial Recognition Exemption

A temporary difference between the carrying amount of an asset or liability and its tax base generally arises after the asset or liability is first recognised by an entity. To illustrate, consider the purchase of a building. At the time of initially recognising the building, its carrying amount and tax base are generally equal to its cost price. The temporary difference subsequently arises due to differences between the depreciation rate for accounting purposes and the capital allowance rate for tax purposes.

There may be instances, however, when a temporary difference may arise on the initial recognition of an asset or liability. If the transaction that has led to the initial recognition of an asset or liability:

- is not a business combination;
- affects neither accounting profit nor assessable profits; and
- does not give rise to equal taxable and deductible temporary differences,

an entity is not permitted to recognise a deferred tax liability or deferred tax asset on any temporary difference that may arise on the initial recognition of the asset or liability.

The reason for this is as follows. If an entity was permitted to recognise the deferred tax consequences of this immediate temporary difference, it would adjust the carrying amount of the asset or liability by the deferred tax amount. Such adjustments would render the entity's financial statements less transparent. As such, HKAS 12 does not allow an entity to recognise the resulting deferred tax liability or deferred tax asset, either on initial recognition or subsequently.

HKAS
12.15(b),
22(c), 24

HKAS
12.22(c)

► Knowledge Check Questions

The following information relates to questions 4–5.

On 1 April 20X5 Beckham Ltd (Beckham) acquired a machine. Information about the machine is as follows:

1. Cost: HK\$6 million
2. Useful life for accounting purposes: 6 years
3. Estimated residual value: NIL
4. Straight-line method is adopted to account for the machine.
5. Capital allowance deduction available for tax purposes: HK\$3.6 million in year 1, followed by HK\$480,000 in each of year 2 to 6
6. The tax rate is 15%.

Question 4

Complete the table below in relation to the taxable temporary difference and related deferred tax liability that will arise in relation to the machine.

Year ended 31 March (all amounts are in HK\$'000)						
	20X6	20X7	20X8	20X9	20Y0	20Y1
Accounting						
Cost						
Accumulated depreciation						
Carrying amount (CA)						
Tax						
Cost						
Accumulated capital allowance						
Tax base (TB)						
Taxable temporary difference						
Deferred tax liability						
Opening balance						
Current year movement						
Closing balance						

► Knowledge Check Questions (*continued*)

Question 5

Determine which of the following is the correct journal entry to record the movement in the deferred tax liability account for the year ended 31 March 20X9.

A

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax liability	78,000	
	Deferred tax expense		78,000
	Recognition of movement in deferred tax liability for the year ended 31 March 20X9		

B

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax expense	78,000	
	Deferred tax liability		78,000
	Recognition of movement in deferred tax liability for the year ended 31 March 20X9		

C

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax liability	156,000	
	Deferred tax expense		156,000
	Recognition of movement in deferred tax liability for the year ended 31 March 20X9		

D

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax expense	1,040,000	
	Deferred tax liability		1,040,000
	Recognition of movement in deferred tax liability for the year ended 31 March 20X9		

Question 6

Identify which of the following statements is NOT correct.

- A** Where the carrying amount of an asset is greater than its tax base a taxable temporary difference will arise.
- B** Where the carrying amount of a liability is greater than its tax base a deferred tax liability will arise.

► **Knowledge Check Questions (continued)**

- C** Where the carrying amount of an asset is less than its tax base a deferred tax asset will arise.
- D** Where the carrying amount of a liability is less than its tax base a taxable temporary difference will arise.

The following information relates to questions 7-9.

The Statement of Financial Position of Adele Ltd (Adele) includes the following account balances:

	Notes	31 March 20X9 HK\$'000	31 March 20X8 HK\$'000
Trade receivable		3,500	3,350
Allowance for expected credit losses	a	(345)	(400)
Inventories	d	180	260
Property, plant and equipment (cost)	b	4,450	4,000
Accumulated depreciation – PPE		(1,625)	(1,500)
Trade payables	d	890	940
Provision for annual leave	c	85	90

Additional information:

- During the year a customer of Adele was placed into liquidation and the total HK\$105,000 outstanding from that customer was written off as credit impaired.
- A capital allowance deduction of HK\$200,000 is available for property, plant and equipment for taxation purposes for the current year. The tax base of the property, plant and equipment at 31 March 20X8 was HK\$1.5 million.
- Annual leave payments totalling HK\$50,000 were paid to employees during the year.
- The tax base of inventories and trade payables is equal to the carrying amount.
- The balance of the deferred tax asset at 31 March 20X8 was HK\$74,000.
- The balance of the deferred tax liability at 31 March 20X8 was HK\$150,000.
- Tax rate is 15%.
- It is probable that there will be sufficient future taxable income to fully utilise the total deductible temporary differences.

Question 7

The total deductible temporary differences for Adele at 31 March 20X9 are:

- A** HK\$85,000
- B** HK\$240,000
- C** HK\$345,000
- D** HK\$430,000

► **Knowledge Check Questions (continued)**

Question 8

The movement in the deferred tax liability account during the year ended 31 March 20X9 is:

- A** an increase of HK\$11,250
- B** an increase of HK\$64,400
- C** a decrease of HK\$9,500
- D** a decrease of HK\$76,000

Question 9

Determine which of the following is the correct journal entry to record the movement in deferred taxes for the year ended 31 March 20X9.

A

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax expense	20,750	
	Deferred tax asset		9,500
	Deferred tax liability		11,250
	Recognition of movement in deferred taxes for the year ended 31 March 20X9		

B

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax asset	9,500	
	Deferred tax expense	1,750	
	Deferred tax liability		11,250
	Recognition of movement in deferred taxes for the year ended 31 March 20X9		

C

Date	Description	Debit	Credit
20X9		HK\$	HK\$
31 March	Deferred tax asset	11,250	
	Deferred tax liability	9,500	
	Deferred tax expense		20,750
	Recognition of movement in deferred taxes for the year ended 31 March 20X9		

► **Knowledge Check Questions (continued)**

D	Date	Description	Debit	Credit
	20X9		HK\$	HK\$
	31 March	Deferred tax asset	11,250	
		Deferred tax expense		1,750
		Deferred tax liability		9,500
		Recognition of movement in deferred taxes for the year ended 31 March 20X9		

Question 10

For which type of transaction would the deferred tax exemption on the initial recognition of an asset or liability apply?

- A** The initial recognition of the assets and liabilities of another entity upon acquiring that entity.
- B** The purchase of machinery for HK\$250,000 whose carrying amount and tax base equal its cost price.
- C** The purchase of a computer for HK\$1,000, where the entity obtains an immediate tax deduction equal to its cost price.
- D** The purchase of land for HK\$1,000,000 that the entity intends disposing in five years' time. The entity is not entitled to either a capital allowance deduction or depreciation deduction in relation to the land and will pay capital gains tax upon its disposal.

16.3 FUTURE TAX RATES AND FUTURE REVISION

In calculating the deferred tax liability, the tax rate to use is dependent on when, and the manner in which, the entity expects to recover or settle the carrying amount of its assets and liabilities.

Under HKAS 12, deferred tax liabilities are to be measured at the tax rates that are expected to apply to the period when the asset is realised or the liability is settled, based on tax rates (or tax laws) that have been enacted or substantively enacted by the end of the current reporting period. For example, if a change to the income tax rate was enacted in the Inland Revenue Ordinance, and is effective in a future reporting period that corresponds with when a recognised asset is realised or a recognised liability is settled, an entity will measure the deferred tax liability on any taxable temporary difference associated with the asset or liability using the income tax rate applicable in the future, but not the current income tax rate.

HKAS
12.47

Illustrative Example 10

Intent Limited (Intent) has a deferred tax liability balance of HK\$64,000 for the year ended 30 June 20X8.

On 5 August 20X8, the government of Utopia reduced the average income tax rate from 15% to 10%, effective from 1 July 20X8.

Accordingly, the deferred tax balances for Intent need to be adjusted to reflect the new average income tax rate as follows:

Deferred tax liability	
	HK\$
Opening balance	64,000
Restated deferred tax balance	42,667
	(64,000 x 10%/15%)
Adjustment for changes in tax rate	<u>(21,333)</u>

The journal entry to reflect this adjustment would be as follows:

Date	Description	Debit	Credit
20X8		HK\$	HK\$
30 June	Deferred tax liability	21,333	
	Income tax expense – deferred		21,333

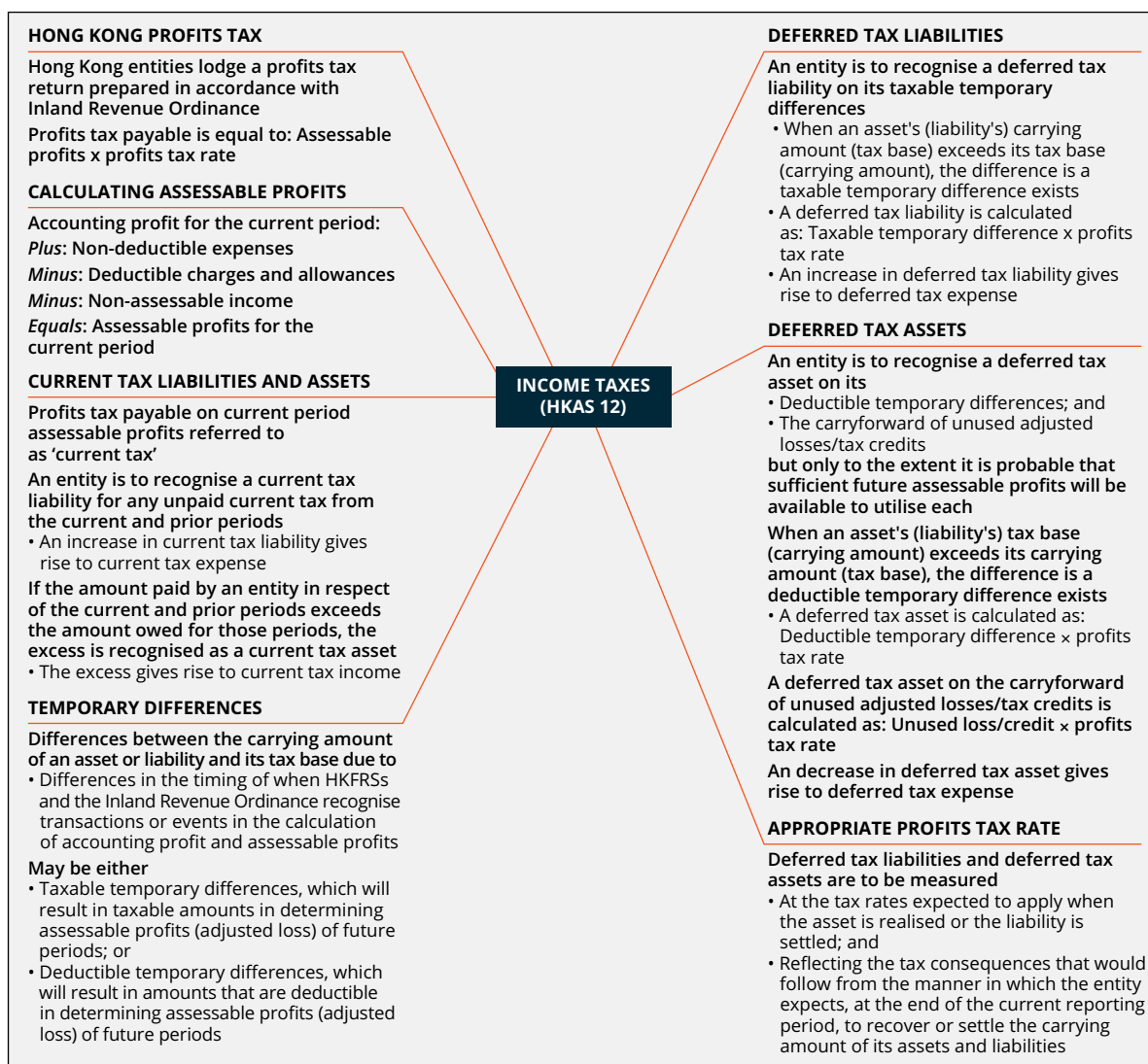


SUMMARY

- Income tax is payable on an entity's taxable income for the period and is referred to as 'current tax'.
- An entity's taxable income for a tax year is the difference between income that is assessable, and expenses that are deductible, for tax purposes.
- Taxable income is calculated by making adjustments to accounting profit for differences between accounting standards (e.g. HKFRSs) and taxation rules (e.g. the Inland Revenue Ordinance) in the treatment of transactions or events. In particular, adjustments should be made for:
 - expenses for accounting purposes that are not deductible for tax purposes;
 - revenue for accounting purposes that is not assessable for tax purposes; and
 - items deductible for tax purposes that are not expenses for accounting purposes.
- Under HKAS 12, an entity is to recognise a current tax liability for any unpaid current tax from the current and prior periods. An increase in current tax liability from the immediately preceding prior period to the current period would give rise to current tax expense.
- Under HKAS 12, if the amount paid by an entity in respect of the current and prior periods exceeds the amount owed for those periods, the excess is recognised as a current tax asset. The excess would give rise to current tax income.
- Temporary differences reflect differences in the timing of recognising transactions or events between accounting standards and taxation rules for calculation of accounting profit and taxable income respectively.
- Temporary differences may give rise to future tax consequences upon the future recovery (settlement) of assets (liabilities) currently held by an entity.
- To the extent the future recovery (settlement) of assets (liabilities) currently held by an entity increases the entity's future taxable income, resulting in larger future tax payments, a taxable temporary difference exists.
- To the extent the future recovery (settlement) of assets (liabilities) currently held by an entity decreases the entity's future taxable income, resulting in lower future tax payments, a deductible temporary difference exists.
- The future tax consequences of temporary differences are measured as the difference between the amount an asset or liability is recognised for accounting purposes (i.e. its 'carrying amount') and the amount at which the asset or liability is recognised for tax purposes (i.e. its 'tax base').
- A taxable temporary difference is identified as existing when an asset's (liability's) carrying amount (tax base) exceeds its tax base (carrying amount). The taxable temporary difference is equal to the difference between the carrying amount and tax base.

- A deductible temporary difference is identified as existing when an asset's (liability's) tax base (carrying amount) exceeds its carrying amount (tax base). The deductible temporary difference is equal to the difference between the carrying amount and tax base.
- Under HKAS 12, an entity is to recognise a liability that encapsulates the future tax consequences of its taxable temporary differences. It is called a deferred tax liability and is calculated as:
 - Taxable temporary difference x Tax rate
- Under HKAS 12, an entity is to recognise an asset that encapsulates the future tax consequences of its deductible temporary differences but only to the extent it is probable that taxable income will be available against which the deductible temporary difference can be utilised. It is called a deferred tax asset and is calculated as:
 - Deductible temporary difference x Tax rate
- An entity also recognises a deferred tax asset for the carryforward of unused tax losses and unused tax credits, but only to the extent it is probable that future taxable income will be available against which the unused tax losses and unused tax credits can be utilised.
- As to the appropriate tax rate to use, deferred tax liabilities and deferred tax assets are to be measured:
 - at the tax rates expected to apply to the period when the asset is realised or the liability is settled; and
 - reflecting the tax consequences that would follow from the manner in which the entity expects, at the end of the current reporting period, to recover or settle the carrying amount of its assets and liabilities.
- An increase (decrease) in deferred tax liability (asset) from the immediately preceding prior period to the current period would give rise to deferred tax expense.
- Income tax expense is the composition of current tax expense and deferred tax expense.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. A capital allowance deduction of HK\$1 million $\times$ 60% = HK\$600,000 will be claimable by ABC Ltd for the year ended 31 March 20X9 in respect of the equipment.

Answer B is incorrect. Accounting depreciation expense of (HK\$1 million – HK\$100,000)/5 years = HK\$180,000 will be recorded by ABC Ltd for the year ended 31 March 20X9 in respect of the equipment.

Answer C is correct. ABC should add back the accounting depreciation expense and deduct the capital allowance deduction from accounting profit before tax to determine taxable income.

Answer D is incorrect. The difference is temporary in nature. Once the asset is fully depreciated the cumulative accounting depreciation expense will be equal to the cumulative capital allowance deduction.

Question 2

Answer A is correct. The credit losses written off (which is deductible for tax purpose) can be determined by reconstructing the movements through the allowance for expected credit losses account as follows:

Opening balance + Expected credit losses expense – Amounts written off =
Closing balance

Amounts written off = HK\$300,000 + HK\$50,000 – HK\$345,000 = HK\$5,000

Answer B is incorrect. This is the movement in the Allowance for expected credit losses account during the year – not the amount that has been written off as credit impaired.

Answer C is incorrect. This is the amount for expected credit losses expense during the year, not the amount written off as credit impaired.

Answer D is incorrect. The credit losses written off can be determined by reconstructing the movements through the allowance for expected credit losses account.

Question 3

Answer A is correct. The calculation of current tax liability is as follows:

	Note	HK\$'000
Accounting profit before tax		2,975
Add: Non-deductible expenses		
Expected credit losses expense		50
Fines and penalties		130
Depreciation – property, plant and equipment		125
Annual leave expense		105
Less: Deductible charges and allowances		
Credit losses written off	1	(5)
Capital allowance deduction- property, plant and equipment		(200)
Annual leave payments made	2	(290)
Less: Non-assessable revenue		
Interest revenue	3	(500)
Taxable income		2,390
Current tax expense (x 15% tax rate)		358.5
Less: provisional tax payments made		(350)
Current tax liability		8.5

Notes:

1. Refer workings in question 3.
2. Calculated as follows:

$$\text{Opening balance} + \text{Annual leave expense} - \text{Closing balance} = \text{annual leave paid}$$

$$\text{HK\$270,000} + \text{HK\$105,000} - \text{HK\$85,000} = \text{HK\$290,000}$$
3. As interest revenue is exempt from tax it needs to be deducted from accounting profit when determining taxable income.

Answer B is incorrect. You have not deducted the annual leave paid from taxable income.
 Answer C is incorrect. You have not deducted the exempt interest revenue from accounting profit.
 Answer D is incorrect. Current tax liability can be calculated as shown above.

Question 4

Year ended 31 March (all amounts are in HK\$'000)						
	20X6	20X7	20X8	20X9	20Y0	20Y1
Accounting						
Cost	6,000	6,000	6,000	6,000	6,000	6,000
Accumulated depreciation	(1,000)	(2,000)	(3,000)	(4,000)	(5,000)	(6,000)
Carrying amount	5,000	4,000	3,000	2,000	1,000	NIL
Tax						
Cost	6,000	6,000	6,000	6,000	6,000	6,000
Accumulated capital allowance	(3,600)	(4,080)	(4,560)	(5,040)	(5,520)	(6,000)
Tax base	2,400	1,920	1,440	960	480	NIL
Taxable temporary difference/TTD (CA-TB)	2,600	2,080	1,560	1,040	520	NIL
Deferred tax liability						
Opening balance	0	390	312	234	156	78
Current year movement	390	(78)	(78)	(78)	(78)	(78)
Closing balance (TTD x 15%)	390	312	234	156	78	NIL

Question 5

Answer A is correct. The deferred tax liability has reduced by HK\$78,000 (HK\$234,000 – HK\$156,000) during the 20X9 year.
 Answer B is incorrect. The deferred tax liability has reduced by HK\$78,000 during the year – requiring a debit to the deferred tax liability account.
 Answer C is incorrect. The figure in this entry is the closing balance of deferred tax liability at the end of 20X9.
 Answer D is incorrect. HK\$1,040,000 is the amount of the taxable temporary difference at 20X9. The journal entry needs to be for the movement in the deferred tax liability account.

Question 6

Answer A is incorrect. Where the carrying amount of an asset is greater than its tax base a deferred tax liability will arise.
 Answer B is correct. Where the carrying amount of a liability is greater than its tax base a deferred tax asset (not liability) will arise.

Answer C is incorrect. Where the carrying amount of an asset is less than its tax base a deferred tax asset will arise.

Answer D is incorrect. Where the carrying amount of a liability is less than its tax base a taxable temporary difference will arise.

Question 7

Answer A is incorrect, as this amount relates only to the provision for annual leave and ignores the deductible temporary difference relating to trade receivable.

Answer B is incorrect, as this amount deducts the credit losses write off from gross trade receivable (i.e. HK\$3,500,000 – HK\$105,000) to derive tax base. The amount of HK\$105,000 has already been deducted to derive gross trade receivable of HK\$3,500,000.

Answer C is incorrect, as this amount relates only to trade receivable and ignores the deductible temporary difference relating to provision for annual leave.

Answer D is correct. Total deductible temporary differences at 31 March are as follows (all amounts are in HK\$'000):

	Carrying Amount (CA)	Tax Base (TB)	Deductible Temporary Difference (DTD)
Trade receivable	3,155	3,500	345
Provision for annual leave	85	–	<u>85</u>
Total deductible temporary difference (DTD)			<u>430</u>

Question 8

Answer A is correct. The increase of HK\$11,000 in the deferred tax liability (DTL) is calculated as follows (all amounts are in HK\$'000):

	Carrying Amount (CA)	Tax Base (TB)	Taxable Temporary Difference (TTD)
Property, plant and equipment	2,825	1,750*	<u>1,075</u>
Total taxable temporary difference (Total TTD)			<u>1,075</u>
Closing balance of DTL (Total TTD x 15%)			<u>161.25</u>
Less: Opening balance of DTL			<u>(150)</u>
Current year movement in DTL			<u>11.25</u>

*Tax Base at 31 March 20X8 = HK\$1.5 million

Tax Base = Cost – Accumulated capital allowance deductions

Therefore, accumulated capital allowance deductions at 31 March 20X8 = HK\$4 million – HK\$1.5 million = HK\$2.5 million.

Accumulated capital allowance deductions at 31 March 20X9 = HK\$2.5 million + HK\$0.2 million = HK\$2.7 million

Tax Base at 31 March 20X9 = HK\$4.45 million – HK\$2.7 million = HK\$1.75 million.

Answer B is incorrect. This answer represents current year deferred tax asset.

Answer C is incorrect. This is the decrease in the deferred tax asset, not the deferred tax liability

Answer D is incorrect. This answer represents the difference between opening balance of the deferred tax asset and the opening balance of the deferred tax liability.

Question 9

Answer A is correct. The calculation of movement in the deferred tax asset and deferred tax liability account is set out below (all amounts are in HK\$'000):

	Carrying Amount (CA)	Tax Base (TB)	Taxable Temporary Difference (TTD)	Deductible Temporary Difference (DTD)
Trade receivable	3,155	3,500	–	345
Property, plant and equipment	2,825	1,750	1,075	–
Provision for annual leave	85	–	–	85
Total temporary difference (TD)			1,075	430
Closing balance of DTL/DTA (TD x 15%)			161.25	64.5
Less: Opening balance of DTL/DTA			(150)	(74)
Current year movement in DTL/DTA			11.25	(9.5)

Answer B is incorrect. The deferred tax asset account decreased during the year.

Therefore, the HK\$9,500 should have been credited to the deferred tax asset account.

Answer C is incorrect. You have confused the deferred tax asset and liability columns in the deferred tax worksheet. The first column shows the movement in the deferred tax liability and the second column shows the movement in the deferred tax asset.

Answer D is incorrect. You have confused the deferred tax asset and liability columns in the deferred tax worksheet. The first column shows the movement in the deferred tax liability and the second column shows the movement in the deferred tax asset. Furthermore, when the movement is a negative, it means that the account has reduced during the year.

Question 10

Answer A is incorrect. The acquisition of another entity's assets and liabilities is a transaction that gives rise to a business combination. The deferred tax exemption does not apply to the initial recognition of an asset or liability in a business combination transaction.

Answer B is incorrect. Upon initial recognition of the machinery, its carrying amount and tax base are equal (i.e. HK\$250,000). There is no temporary difference and, as such, the exemption does not need to be applied.

Answer C is incorrect. At the time of the purchase of the computer, taxable income is affected given that the entity is entitled to an immediate tax deduction of HK\$1,000. The deferred tax exemption does not apply to the initial recognition of an asset or liability which, at the time of the transaction, affects taxable income.

Answer D is correct. At the time of acquisition, a taxable temporary difference exists equal to the difference between the land's carrying amount (HK\$1,000,000) and its tax base (Nil). The land's tax base is calculated as follows:

Carrying amount HK\$1,000,000	–	Future taxable amounts HK\$1,000,000	+	Future deductible amounts Nil	=	Tax base Nil
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When the entity recovers the carrying amount of the land it will earn future taxable amounts of HK\$1,000,000. However, it is not entitled to future deductible amounts in relation to the land, giving rise to a tax base of nil.

It is evident from the journal entry upon acquisition of the land that the transaction does not affect accounting profit (as the entry relates to statement of financial position items only):

	Debit	Credit
	HK\$	HK\$
Land	1,000,000	
Cash/Payables		1,000,000

The transaction also does not affect taxable income, as no adjustment would be made to accounting profit for that transaction to derive taxable income. As the land acquisition is not part of a business combination, the acquisition itself affects neither accounting profit nor assessable profits and does not give rise to equal taxable and deductible temporary differences, the deferred tax exemption applies, and the entity is not able to recognise a deferred tax liability in relation to the initial recognition of the land. In addition, the entity is not permitted to recognise a deferred tax liability at any stage over the land's useful life.

EXAM PRACTICE

QUESTION 1

For the year ended 31 March 20X6, Trap Limited (Trap) reports an accounting profit of HK\$8,150,000. The following item was included in the determination of accounting profit for the 20X5–20X6 financial reporting period:

- Trap purchases a building on 1 January 20X6. Depreciation expense of HK\$610,000 related to this building is not deductible for tax purposes. A capital allowance of HK\$195,000 on the building is deductible for tax purposes. At the end of 20X5–20X6 financial reporting period, carrying amount of building is HK\$5,000,000 and tax base is HK\$2,400,000.
- The balance of the deferred tax liability account as at 31 December 20X5 was nil.

A tax rate of 15% applies.

Required:

- Determine taxable income for the 20X5–X6 reporting period.
- Determine current tax expense for the 20X5–X6 reporting period.
- Prepare the journal entry to record current tax expense for the 20X5–X6 reporting period.
- Explain whether a temporary difference arises and, if so, the type of temporary difference it is.
- Depending on your answer to (d), calculate the amount of the temporary difference for the 20X5–X6 reporting period.

- (f) Determine whether a deferred tax asset or deferred tax liability should be recognised and, if so, calculate its amount as at the end of the 20X5–X6 reporting period.
- (g) Depending on your answer to (f), prepare the journal entry to record the deferred tax asset or deferred tax liability as at the end of the 20X5–X6 reporting period.

QUESTION 2

The following information relates to Mac Ltd (Mac) for the year ended 31 March 20X9.

	20X9 HK\$'000	20X8 HK\$'000
Capitalised development costs	4,700	4,000
Accumulated amortisation – development costs	(1,900)	(1,500)
Carrying amount of capitalised development costs	2,800	2,500

Additional information:

- Research costs of HK\$750,000 were expensed during the year ended 31 March 20X9.
- Research and development costs qualify for a 250% deduction for taxation purposes in the year incurred.
- Accounting profit before tax was HK\$5,000,000 and there were no other items where the accounting and tax treatment were different.
- The balance of the deferred tax liability account as at 31 March 20X8 was HK\$375,000.

A tax rate of 15% applies.

Required:

Determine which of the following is deferred tax expense for the year ended 31 March 20X9.

- A. HK\$45,000.
 B. HK\$379,000.
 C. HK\$420,000.
 D. HK\$2,800,000.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) Computation of taxable income is as follows:

	HK\$8,150,000 (Accounting profit)
<i>Plus</i>	HK\$610,000 (i.e. expenses for accounting purposes that are not deductible for tax purposes)
<i>Minus</i>	HK\$195,000 (i.e. deductions for tax purposes that were not expenses for accounting purposes)
<i>Equals</i>	HK\$8,565,000 (Taxable income)

- (b) Profits tax payable on HK\$8,565,000 is HK\$1,284,750 ($\text{HK\$}8,565,000 \times 15\%$) and represents current tax expense for the 20X5–X6 reporting period.
- (c) Current tax expense would be recorded with the following journal entry:

	Debit	Credit
	HK\$	HK\$
Income tax expense	1,284,750	
Income tax liability		1,284,750

- (d) A temporary difference arises due to the timing difference of recognising a transaction or event under financial reporting standards and taxation regulations and exists if there is a difference between the carrying amount and tax base of the asset or liability in question. In this case, the building has a carrying amount of HK\$5,000,000 and a tax base of HK\$2,400,000. As there is a difference between the building's carrying amount and tax base, a temporary difference exists.

As the carrying amount of the building exceeds its tax base, the temporary difference constitutes a taxable temporary difference.

- (e) The amount of the taxable temporary difference is HK\$2,600,000 ($\text{HK\$}5,000,000 - \text{HK\$}2,400,000$).
- (f) As the taxable temporary difference will result in future taxable amounts when the carrying amount of the building is recovered, a deferred tax liability is to be recognised.

The deferred tax liability as at the end of the 20X5–X6 reporting period is HK\$390,000 ($\text{HK\$}2,600,000 \times 15\%$).

- (g) Deferred tax liability would be recorded with the following journal entry:

	Debit	Credit
	HK\$	HK\$
Income tax expense – deferred	390,000	
Deferred tax liability		390,000

QUESTION 2

Answer A is correct. The calculation of deferred tax expense can be demonstrated as follows:

Deferred tax expense:

	Carrying Amount HK\$'000	Tax Base HK\$'000	Taxable Temporary Difference(TTD) HK\$'000
Capitalised development costs	2,800	Nil	2,800
Closing balance of DTL (TTD x 15%)			420
Less: Opening balance of DTL			(375)
Current year movement in DTL			45

The carrying amount of capitalised development costs is greater than its tax base; the taxable temporary difference of HK\$2,800,000 (as shown in the above table) arises. The taxable temporary difference gives rise to a deferred tax liability of HK\$420,000 at the end of the reporting period. Compare with the balance of the deferred tax liability reported in the prior period, there is an increase in the deferred tax liability of HK\$45,000 and the increase in the deferred tax liability should be recorded as the deferred tax expense in 20X9.

Therefore, the deferred tax expense for the year was \$45,000.

Answer B is incorrect. This is the amount of current tax expense as shown below:

Current tax expense:

	20X9 HK\$'000
Accounting profit before tax	5,000
Add: Amortisation expense (HK\$1.9 million – HK\$1.5 million)	400
Add: Research expense	750
Less: Research and development expenditure deduction	(3,625) ¹
Taxable income	2,525
Current tax expense (HK\$2,525 x 15%)	379

Note:

- Total current year research and development
 - = Development expenditure during current year + current year research costs expensed
 - = (HK\$4.7million – HK\$4.0 million) + HK\$750,000 = HK\$1.45 million
 - Research and development expenditure deduction
 - = HK\$1.45 million x 250% = HK\$3.625 million

Current tax expense in 20X9 is HK\$379,000.

Answer C is incorrect. This amount represents the closing balance of the deferred tax liability as at 31 March 20X9, as evident from the deferred tax calculations above.

Answer D is incorrect. This amount represents the taxable temporary difference for the year ended 31 March 20X9, as evident from the deferred tax calculations above.

17

Earnings per Share



CHAPTER TOPIC LIST

17.1 Earnings per Share (EPS) Overview

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17.1.2 Potential Ordinary Share

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LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.17: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to earnings per share (EPS)

2.17.01 Explain the scope to apply the disclosure of EPS

2.17.02 Explain the concepts of basic EPS and diluted EPS
--

2.17.03 Describe the limitations of using EPS as a performance measure

2.17.04 Describe the disclosure requirements in respect of EPS



OPENING CASE

WEST PLATES LIMITED

West Plates Limited (West Plates) produces and sells designer plates to hotels and restaurants. It operates in Hong Kong and sells its products around the Asia-Pacific region.

As of 1 January 20X2, West Plates had five million ordinary shares on issue that are traded on the Hong Kong Stock Exchange. On 1 April 20X2, West Plates issued another two million ordinary shares at the prevailing market value. As of 31 December 20X2, West Plates has seven million ordinary shares on issue.

To proceed with a lucrative project, West Plates raised funds on 1 July 20X0 by issuing 500,000 converting preference shares (CPSs) with a face value of HK\$250 and a nine-year duration. The CPSs convert to ordinary shares on 30 June 20X9. The terms of conversion provide for one ordinary share to be issued in place of each CPS. The holders of CPSs are entitled to receive a fixed return of 3% per annum plus an amount equal to any dividend rate paid to ordinary shareholders. For tax purposes, the 3% return is deductible when paid.

West Plates has made moderate profits in recent years that have all been reinvested in the business. West Plates has not paid a dividend to its ordinary shareholders for three years because it is in a growth phase and decided to retain the funds rather than issue new capital. 

OVERVIEW

Earnings per share (EPS) is an indicator often used by users of financial statements, such as securities analysts to gain a better understanding of an entity's profitability. It is a ratio of company earnings to the number of the company's shares, usually expressed as a number of cents per share. It is calculated as an entity's profits, that is, 'earnings' – the numerator for a period (usually a year or half-year) divided by a measure of the number of an entity's units of ownership, that is, 'shares' – the denominator.

EPS is sometimes used to help assess an entity's performance over time, and some investors generally prefer to see steady growth in EPS. Investors may use EPS to assess whether one entity's shares are over-priced or under-priced relative to another entity's shares. For example, all other things being equal, if Entities A and B report similar EPSs and Entity A has a market value 20% higher than Entity B, it might indicate that Entity A is over-priced relative to Entity B. EPS might also be used to help measure senior company executives' performance and may form part of the formula for determining their performance-based remuneration.

Two types of EPS are reported by entities in the financial reports: basic EPS and diluted EPS. Basic EPS might be compared with share price to provide a broad indication of the extent to which earnings (past earnings and expected future earnings) are reflected in the market's assessment of the shares. Diluted EPS seeks to indicate how earnings would be diluted if new shares from the exercise of existing derivatives, such as options or convertible bonds, were to be issued.

This chapter addresses the determination of EPS under HKAS 33 *Earnings per Share*. You will gain an understanding of different types of financial instruments commonly issued by entities that may affect the calculation of EPS, and when issued financial instruments are 'dilutive' or 'anti-dilutive'. You will learn about the limitations of using EPS to measure an entity's performance. You will gain an understanding of how basic and diluted EPS are determined and the presentation and disclosure requirements of EPS under HKAS 33.



17.1 EARNINGS PER SHARE (EPS) OVERVIEW

This chapter addresses the determination of earnings per share (EPS) under HKAS 33 *Earnings per Share*. The objective of HKAS 33 is to establish the principles that facilitate a common basis for determining EPS, which facilitates the comparability of EPS across companies. Other HKFRSs address the manner in which earnings (that is, profits or losses) are determined; accordingly,

the focus of HKAS 33 and, therefore, this chapter is on the denominator (the number of shares) in the EPS calculation.

HKAS
33.31

In addition to the basic EPS, HKAS 33 requires an entity to calculate and present 'diluted EPS', which takes into account the effects of all dilutive potential ordinary shares. A 'potential ordinary share' is a financial instrument or other contract that may entitle its holder to ordinary shares.

HKAS
33.5

The requirements of HKAS 33 apply to each entity whose ordinary shares or potential ordinary shares are traded in a public market or that is in the process of arranging to have its ordinary shares traded in a public market. Public markets include the Stock Exchange of Hong Kong or foreign stock exchange or an over-the-counter market, including local and regional markets.

HKAS
33.2

17.1.1 Ordinary Share

HKAS
33.5

'Ordinary shares' are equity instruments subordinate to all other classes of an entity's issued securities. Ordinary shareholders are typically entitled to vote at the entity's general meeting but do not carry any special or preferred rights, such as predetermined dividend amounts; that is, ordinary shareholders only participate in profit for the period after other types of shares have participated.

17.1.2 Potential Ordinary Share

HKAS
33.5

'Potential ordinary shares' are financial instruments or other contracts that may entitle its holders to ordinary shares. This may include options, warrants or instruments, such as convertible notes issued by the company to acquire ordinary shares.

HKAS
33.41

Potential ordinary shares can be 'dilutive' if they provide the holders entitlement to ordinary shares, which would decrease EPS or increase loss per share from continuing operations. The potential dilution effect is determined by assuming that convertible instruments are converted, that options or warrants are exercised, or that ordinary shares are issued upon the satisfaction of certain conditions. To determine which potential ordinary shares are dilutive, entities are required to analyse the effect of conversion to ordinary shares on profit or loss from continuing operations attributable to the parent entity.

Potential ordinary shares can be considered as 'anti-dilutive' if the conversion of potential ordinary shares decrease loss per share or increase EPS from continuing operations, and as such anti-dilutive potential ordinary shares are not included in the calculation of diluted EPS. Section 17.4 will discuss the details.



17.2 BASIC EPS

Basic EPS indicates the interests of each ordinary share of a parent entity in the performance of the entity over the period. It is measured by dividing 'profit or loss', which is attributable to ordinary shareholders (or, where the entity is a group of entities with non-controlling interests,

'profit or loss attributable to ordinary shareholders of the parent entity') by the 'weighted average number of ordinary shares on issue' during the reporting period:

$$\frac{\text{Profit/loss attributable to ordinary shareholders of the parent entity}}{\text{Weighted average number of ordinary shares on issue}}$$

Entity capital structures range in their complexity. A simple capital structure is when an entity has only ordinary shares in its capital structure; a complex capital structure is when an entity has issued various types of financial instruments that are potentially convertible into ordinary shares. If an entity has a simple capital structure, the entity will only need to report basic EPS.

17.2.1 Income Available to Common/Ordinary Shareholders

The numerator used in measuring basic EPS is 'profit or loss attributable to ordinary shareholders of the parent entity'. In the case of a consolidated group, the shareholders for the purposes of HKAS 33 do not include any minority shareholders that might exist as a result of one of the company's subsidiaries being partly owned by another entity. This is because the focus of EPS is on the parent entity shareholders and their interests in the group's earnings.

When an entity makes a loss, the EPS would be measured using that loss and could be referred to as a loss per share.

In accordance with HKFRS 5 *Non-current Assets held for Sale and Discontinued Operations*, two separate earnings amounts are used to measure two separate basic EPS amounts:

1. profit or loss from continuing operations attributable to ordinary shareholders of the parent entity; and
2. profit or loss from the discontinued operations attributable to ordinary shareholders of the parent entity.

Refer to Chapter 12 for information about identifying and determining discontinued operations.

For the purpose of calculating basic EPS, the profit or loss attributable to ordinary shareholders of the parent entity includes all items of income and expense attributable to ordinary shareholders of the parent entity recognised in a period in accordance with accounting standards. This includes tax expense and any 'dividends' on those preference shares classified as liabilities in accordance with HKAS 32. Other preference shares might have characteristics that lead them to be classified as equity instruments in accordance with HKAS 32; however, they also represent a competing class of equity to ordinary shareholders from an EPS perspective. Accordingly, as illustrated in Exhibit 17.1, any non-principal payments on preference shares, whether classified as liabilities or equity in accordance with HKAS 32, represent an expense (akin to interest expense) for the purpose of determining the numerator.

The after-tax amounts of any preference dividends are deducted from the profit or loss attributable to ordinary shareholders of the parent entity because these dividends are not income attributable to ordinary shareholders.

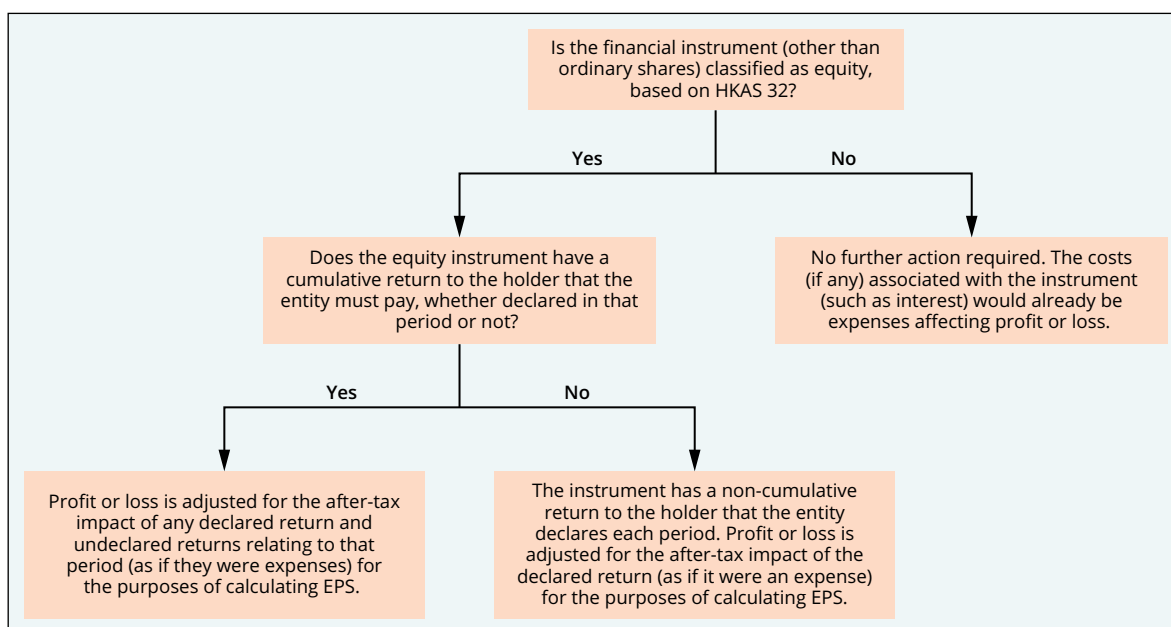
HKAS
33.12

HKAS
33.13

Two types of preference shares exist: cumulative preference shares and non-cumulative preference shares. An entity has an obligation to pay the stated dividends on cumulative preference shares, no matter the dividends have been declared or not in the current reporting period. In the event that the entity is not able to pay the dividends in the current year (e.g. due to shortage of cash flows), the dividends are cumulative and payable in future reporting periods. On the other hand, an entity is not obligated to pay dividends on non-cumulative preference shares if the entity does not declare dividends in the year. The undeclared dividends are not cumulative and the entity is not liable to any undeclared dividends.

In determining earnings for the purposes of calculating basic EPS, any return on preference shares, that is paid from retained earnings and does not have tax deducted, is adjusted for tax. This is because, had ordinary shares been the only source of equity, the return on the preference shares would have been a tax-deductible interest cost.

This is demonstrated in the flowchart in Exhibit 17.1.



► **EXHIBIT 17.1** Flowchart of determining earnings for calculating basic EPS

Accordingly, in calculating basic EPS, an entity that has 'preference shares' cannot simply use the profit or loss attributable to ordinary shareholders of the parent entity presented in the financial statements (Exhibit 17.2). Adjustments are required to acknowledge the entitlements to earnings for the period attributable to any shareholders other than ordinary shareholders in order to determine the earnings that are relevant to ordinary shares.

Profit attributable to the ordinary shareholders of the parent company		
	2017 HK\$m	2016 HK\$m
Profit attributable to shareholders of the parent company	10,798	2,479
Dividend payable on preference shares classified as equity	(90)	(90)
Coupon payable on capital securities classified as equity	(1,025)	(1,090)
Year ended 31 Dec	9,683	1,299

From statement of profit or loss and other comprehensive income

Adjustments necessary to determine 'earnings'

'Earnings' used in the calculation of basic EPS

► **EXHIBIT 17.2** Example earnings used in the calculation of EPS

For example, in some cases, an adjustment is needed to income available to common/ordinary shareholders when there are mandatorily convertible instruments that carry a guaranteed return to the holders prior to their conversion.

HKAS
33.23

Illustrative Example 1

West Plates Limited (West Plates) had 500,000 converting preference shares (CPSs).

Assuming that the CPSs are, based on HKAS 32, to be classified as liability, West Plates do not need to take any further action relating to the CPSs in determining the income available to ordinary shareholders in basic EPS as the interest expenses associated with the CPSs have already been taken into consideration in profit or loss.

Assuming that the CPSs are, based on HKAS 32, to be classified as equity, West Plates need to further evaluate whether the CPSs have a cumulative return to the holders of the CPSs that West Plates must pay, whether declared in that period or not.

If the CPSs has a non-cumulative return to the CPS holders, for the purpose of calculating basic EPS, profit or loss will only be adjusted with the after-tax impact of the return, as an expense, when the return was declared during the period.

17.2.2 Weighted Average Common/Ordinary Shares

HKAS 33 requires the denominator for basic EPS to be determined as the weighted average number of ordinary shares on issue during the reporting period where shares issued during the period are weighted for the portion of the period during which they have been on issue.

The weighted average number of ordinary shares outstanding during a period accounts for the number of ordinary shares outstanding when the period begins, adjusted for ordinary shares bought back or issued during the period based on a time-weighting.

HKAS
33.20

The weighting occurs from the time the consideration for shares acquired or redeemed is due, which would ordinarily be the date of issue or redemption.

HKAS
33.21

Illustrative Example 2

In respect of West Plates Limited (West Plates) for the year from 1 January 20X2 to 31 December 20X2:

- as of 1 January 20X2, 5 million ordinary shares were on issue
- on 1 April 20X2, another 2 million ordinary shares at the then prevailing market value were issued
- as of 31 December 20X2, 7 million ordinary shares were on issue.

	Time weighting	Shares × weighting	Weighted average
5 million ordinary shares on issue as of 1 January 20X2	100%	5 million shares	6,506,000 ordinary shares for the purpose of calculating basic EPS
2 million shares issued on 1 April 20X2	275 days divided by 365 days ^a = 75.3% (rounded)	1,506,000 shares	
500,000 CPSs on issue as of 1 January 20X2 [#]	100%	500,000 shares	

^a This example uses the number of days outstanding in a year to determine the time weighting; however, for simplicity, the number of months outstanding in a year can be used when relevant, such as when the transactions take place at beginning or end of a month.

[#] Calculating basic EPS, the denominator will NOT take into consideration.

Sometimes ordinary shares are issued as consideration for the acquisition of a business. These are included in the weighted average number of ordinary shares from the date of acquisition of the business because this is the time from which earnings from the business would be included in the acquirer's earnings.

HKAS
33.22

Illustrative Example 3

KoTech Limited (KoTech) acquired a business from Chapo Limited (Chapo) on 1 July 20X1. Part of the consideration for acquiring the business was 25,000 ordinary shares in KoTech

To calculate its basic EPS, for the year from 1 January 20X1 to 31 December 20X1, KoTech would include 12,534 shares (25,000 shares × 183 days divided by 365 days) in determining the weighted average number of ordinary shares for measuring basic EPS.

Entities often issue or buy-back ordinary shares at amounts that correspond to their prevailing market value when they are issued or bought back. Alternatively, entities might issue or buy-back ordinary shares at amounts that do not correspond to their prevailing market value when they are issued or bought back. The distinction between the different circumstances is important because there are different impacts on determining the weighted average number of ordinary shares used in comparative information.

If the number of ordinary shares on issue changes at amounts that correspond to their prevailing market values when they are issued or bought back (e.g. issued ordinary shares at full market price for cash), under HKAS 33, the resulting EPS for the current period of the changed number of shares is regarded as being comparable with EPS amounts reported in the past. In these circumstances, HKAS 33 assumes the additional resources from a share issue, or the reduction of resources resulting from a share buy-back, compensate appropriately for the increased, or reduced, number of shares on issue. That is HKAS 33 assumes the numerator and denominator in the EPS are affected proportionately.

In contrast, the number of ordinary shares on issue can change without a corresponding change in resources, that is, without consideration.

HKAS
33.28

Some transactions involve an increase in the number of shares on issue and no change in the resources made available to the entity.

Examples of changes in the number of ordinary shares without a corresponding change in resources include:

- a share 'split' such that, for example, for every one share held shareholders receive two shares – the directors of a company might decide to do this when the share price is high in the context of the market in which the shares are traded because, all else being equal, a share split should result in a proportionate decrease in share price; and
- a rights issue with a bonus element, for example, for every five shares held, shareholders will receive one share on payment of an amount (i.e. the exercise price) that is less than the market value (i.e. fair value) of the share – the directors of a company might decide to do this when the company requires a quick injection of capital.

HKAS
33.27

In these circumstances, under HKAS 33 the current period EPS is not regarded as being comparable with EPS amounts reported in the past. This is because any additional resources from a share issue, or any reduction of resources resulting from a share buy-back, are disproportionate and do not compensate appropriately for the increased, or reduced, number of shares on issue. In these cases, the weighted average number of ordinary shares outstanding during the period and, importantly, for all comparative periods presented need to be adjusted to take account of the changed number of shares, to enable a meaningful comparison of EPS over the periods reported.

HKAS
33.A2

For example, in a rights issue when the exercise price is less than the fair value of the shares, the rights include a 'bonus element'. Rights issues are often offered to all existing shareholders, in which case the number of shares used in calculating EPS for all periods before the rights issue is the number of ordinary shares outstanding before the issue, multiplied by an adjustment factor, determined as the fair value of the shares prior to the rights issue divided by the theoretical ex-rights price per share.

Theoretical ex-rights price per share	=	$\frac{\text{Fair value of shares immediately prior to exercise of rights plus proceeds from exercise of rights}}{\text{Number of shares outstanding after the exercise of the rights}}$
Adjustment factor	=	$\frac{\text{Fair value of per share prior to exercise of rights}}{\text{Theoretical ex-rights price per share}}$

Illustrative Example 4

TaoSo Limited (TaoSo) reported profit or loss attributable to ordinary shareholders of the parent entity of HK\$100m in the year ending 31 December 20X0 and presented one comparative year of profit or loss information in its financial statements. TaoSo's share price as of 1 January 20X1 is HK\$50.

As of 1 January 20X1, TaoSo issued one ordinary share for every three shares owned for a price of HK\$40 per share: that was, a bonus element of HK\$10 or one fifth of the market price (fair value). (The HK\$10 per share represented the disproportionate change in resources resulting from the share issue.) Prior to the rights issue, there were 70 million ordinary shares on issue. All shareholders took up all their rights taking the number of shares on issue from 70 million to 80 million.

In its 20X0 financial statements, TaoSo reported basic EPS of HK\$1.43 (HK\$100 million divided by 70 million shares). However, in its 20X1 financial statements, TaoSo would show restated basic EPS for 20X0 (that is, now the comparative year) of HK\$1.39 with calculation (in accordance to HKAS 33.A2) as follows:

Theoretical ex-rights price per share	=	Fair value of shares immediately prior to exercise of rights plus proceeds from exercise of rights = HK\$3,900,000,000 (70 million shares × HK\$50 plus 10 million shares × HK\$40)	=	HK\$48.75
		Number of shares outstanding after the exercise of the rights = 80 million shares		
Adjustment factor	=	Fair value of per share prior to exercise of rights of HK\$50	=	1.025641 ^a
		Theoretical ex-rights price per share of HK\$48.75		

^a rounded

The 20X0 reported basic EPS of HK\$1.43 would be adjusted as follows for inclusion as the 20X0 comparative EPS in the 20X1 financial statements.

Earnings of HK\$100 million divided by 70 million shares adjusted by 1.025641. That is, HK\$100 million divided by 71,794,872 shares (70 million × 1.025641) = HK\$1.39.

Apply and Analyse 1

Ozon Limited (Ozon) was developing a promising new product and decided to fund the necessary research and development (R&D) through a rights issue to all of its ordinary shareholders.

Ozon's shares last trade with the rights on 15 July 20X2 when the share price was HK\$15 and one right was available for every five shares held. Each right was priced at HK\$5. Ozon had five million ordinary shares as of 15 July 20X2.

Ozon's financial year ended on 31 December 20X2 and the rights had to be taken up by 31 July 20X2. The last date to exercise rights is 31 July 20X2. All the rights were taken up in the end.

Apply and Analyse 1 (continued)

Ozon's profit or loss attributable to ordinary shareholders was HK\$50,500,000 in 20X2 (HK\$35,600,000 in 20X1)

Explain the impact of the rights issue in the current year and for the 20X1 EPS presented as comparative information.

Analysis

The current financial year was affected by the rights issue in proportion to the time the rights were outstanding and the prior year EPS presented in the financial statements needed to be adjusted to be comparable with the current year EPS. The calculations necessary could be performed by determining the relevant theoretical ex-rights price of Ozon's shares.

Theoretical ex-rights price per share	Fair value of shares immediately prior to exercise of rights plus proceeds from exercise of rights = HK\$80,000,000 (five million shares × HK\$15 plus one million shares × HK\$5)	
	=	
Adjustment factor	Number of shares outstanding after the exercise of the rights = 6 million shares	
	=	
Fair value of per share prior to exercise of rights of HK\$15		
Theoretical ex-rights price per share of HK\$13.33		
		= 1.125281 ^a

^a rounded, but with a sufficient number of decimal places to achieve an accurate calculation

20X2 EPS

5,783,007 shares would be used in calculating the 20X2 EPS, determined as:

Period before the shares are issued in respect to the rights	Period after the shares are issued in respect to the rights	
5 million shares × 1.125281 (the factor) × 212 days/365 days	6 million shares × 153 days/365 days	
3,267,939 shares	2,515,068 shares	5,783,007 shares

EPS for 20X2 would be HK\$8.73 [rounded] (HK\$50,500,000 profit or loss attributable to ordinary shareholders divided by 5,783,007 shares).

20X1 adjusted EPS

The original 20X1 calculation would have resulted in EPS of HK7.12 (HK\$35,600,000 profit or loss attributable to ordinary shareholders divided by five million shares).

The adjusted 20X1 calculation to be used as a comparative number in the 20X2 financial statements was HK\$6.33. [rounded] (HK\$35,600,000 profit or loss attributable to ordinary shareholders divided by the product of five million shares multiplied by the 1.125281 [the factor]).

► Knowledge Check Questions

Question 1

Identify which of the following amounts is used as 'earnings' for the purposes of measuring EPS in accordance with HKAS 33.

- A** Profit or loss attributable to ordinary shareholders of the parent entity.
- B** Profit or loss before tax attributable to ordinary shareholders of the parent entity.
- C** Profit or loss attributable to ordinary and preference shareholders of the parent entity.
- D** Profit attributable to ordinary shareholders of the parent entity, but not a loss attributable to ordinary shareholders of the parent entity.

Question 2

A company had 10,000 non-cumulative preference shares on which it paid a 4.5% dividend from retained earnings at the end of each year. Identify which of the following explains how the preference shares affected earnings used to calculate EPS in accordance with HKAS 33.

- A** Earnings were not adjusted because the 4.5% dividend on the preference shares was not cumulative.
- B** Earnings were adjusted for the after-tax impact of the 4.5% dividend as if it had been a tax-deductible interest payment.
- C** Earnings were adjusted for the 4.5% dividend without alteration for the impact of tax because dividends were not tax deductible.
- D** The preference shares did not affect earnings used to measure EPS because the dividend was distributed from retained earnings.

Question 3

5,000 new ordinary shares were issued at prevailing market value 60 days before the end of the reporting period. Identify which of the following statements explains how the new ordinary shares were factored into the existing number of ordinary shares to measure EPS in accordance with HKAS 33.

- A** By adding the 5,000 newly issued ordinary shares to the existing number of shares.
- B** The 5,000 newly issued ordinary shares would be ignored for the purposes of the current period EPS because they were issued so late in the period.
- C** By adding the 5,000 newly issued ordinary shares weighted for the 60 days they had been on issue over the total number of days in the period to the existing number of shares.
- D** By assuming that the 5,000 newly issued ordinary shares had been issued in the middle of the period and, therefore, adding 2,500 ordinary shares to the existing number of shares.

17.3 DILUTED EPS

Diluted EPS is measured by dividing 'profit or loss attributable to ordinary shareholders of the parent entity', which is adjusted by the effect of converting dilutive potential ordinary shares, by the total of the 'weighted average number of ordinary shares on issue' during the reporting period plus the dilutive effect of potential ordinary shares. That is, as follows:

$$\frac{\text{Profit/loss attributable to ordinary shareholders of the parent entity } -/+ \text{ Effect of converting dilutive potential ordinary shares}}{\text{Weighted average number of ordinary shares on issue + dilutive potential ordinary shares}}$$

17.3.1 Complex Capital Structure

A complex capital structure involves an entity raising capital by issuing financial instruments that are potentially convertible into ordinary shares, such as convertible bonds, options and warrants. Entities that have complex capital structures are more likely to report basic EPS and diluted EPS.

17.3.1.1 Adjustment to Earnings

In determining adjusted profit or loss attributable to ordinary shareholders of the parent entity for the purpose of measuring diluted EPS, an entity adjusts for the after-tax effect of:

- any 'dividends' or other similar returns on dilutive potential ordinary shares already deducted in arriving at profit or loss attributable to ordinary shareholders of the parent entity;
- any interest on dilutive potential ordinary shares that has been recognised in finance costs; and
- any other income or expense impacts that would result from assuming the conversion of dilutive potential ordinary shares.

HKAS
33.33

These adjustments are made because, in the event that dilutive ordinary shares were converted, the above impacts on earnings would no longer occur. The ordinary shares into which they would have been converted would instead participate in profit or loss attributable to ordinary shareholders of the parent entity.

Illustrative Example 5

Sauropod Limited (Sauropod) had 300,000 convertible preference shares (CPSs) on issue for the whole of 20X2 with a face value of HK\$50 that might convert to 300,000 ordinary shares. The CPS holders were entitled to receive a fixed return each year of 4%, which is tax deductible. The 4% return paid to CPS holders would have been recognised as an expense in determining profit or loss for 20X2.

For the purposes of this example, the relevant tax rate was 16.5%.

Illustrative Example 5 (continued)

Assuming for the purposes of this illustration that the CPSs were dilutive, in measuring the 20X2 diluted EPS, Sauropod's after-tax earnings would be adjusted upwards by HK\$501,000 (300,000 CPSs multiplied by face value of HK\$50 multiplied by 4% = HK\$600,000 less 16.5% tax of HK\$99,000).

17.3.1.2 Adjustment to Shares

In determining the adjusted weighted average number of shares for the purpose of calculating diluted EPS, an entity adjusts for the number of ordinary shares that would have been on issue had all the dilutive potential ordinary shares been converted. In making this calculation, the entity:

- deems the conversion to have taken place at the beginning of the reporting period; or the date the dilutive potential ordinary shares were issued if that occurred during the period
- determines dilutive potential ordinary shares independently for each period presented
- adjusts for dilutive potential ordinary shares that lapsed during the period based on the proportion of the reporting period before they lapsed

The above factors are all designed to show a dilutive EPS that takes a 'worst-case' view of how EPS would be affected if dilutive derivatives were exercised/converted. Diluted EPS can be regarded as a form of 'warning sign' for existing and potential ordinary shareholders because it helps them to identify what the impact of potential ordinary shares might be on EPS.

Illustrative Example 6

Sharpo Limited (Sharpo) is preparing its financial statements for the year ending 31 December 20X0 and has, or had, on issue the following dilutive potential ordinary shares:

- 10,000 options (issued in previous year) that were convertible into 10,000 ordinary shares but lapsed on 31 May 20X0 (assuming there were 151 days between 1 January 20X0 and 31 May 20X0)
- 16,000 options that are convertible into 32,000 ordinary shares and these options were issued on 1 November 20X0

As at 31 December 20X0, Sharpo's ordinary shares traded for HK\$11.50.

In respect of the 10,000 options that lapsed on 31 May 20X0, Sharpo would include 4,137 additional shares relating to the number of days the options were outstanding in 20X0 [(151 days / 365 days) multiplied by 10,000 options] for calculating diluted EPS. [Alternatively, determined as [(5 months / 12 months) multiplied by 10,000 options] which then Sharpo would include 4,167 additional shares relating to the number of months the options were outstanding in 20X0.]

Illustrative Example 6 (continued)

In respect of the 32,000 options that commenced on 1 November 20X0, Sharpo would include 5,348 additional shares relating to the number of days the options were outstanding in 20X0 [(61 days / 365 days) multiplied by 32,000 shares] for calculating diluted EPS. [Alternatively, determined as [(2 months / 12 months) multiplied by 32,000 shares] which then Sharpo would include 5,333 additional shares relating to the number of months the options were outstanding in 20X0.]

17.3.2 Options and Warrants

In the context of HKAS 33, options and warrants are both instruments that provide the holder with a right to ordinary shares, usually on payment of a contractually identified exercise price. (Note that the term 'options' and 'warrants' could mean different thing in different contracts or jurisdiction. For the purpose of this chapter, we refer 'options' and 'warrants' to instruments that provide holder with a right to ordinary shares.)

To calculate diluted earnings per share, an entity assumes that dilutive options and warrants will be exercised. The assumed proceeds are treated as having been received from issuing ordinary shares at the average market price during the reporting period. The difference between the number of ordinary shares that would be issued under the options or warrants and the number of ordinary shares that would have been issued for the proceeds based on the average market price represents the number of ordinary shares issued for no consideration. This reflects an assumption underpinning HKAS 33 that consideration received would earn a return equivalent to the EPS on existing ordinary shares. Instead of adjusting both earnings and the number of ordinary shares, HKAS 33 requires shares issued for the average market price to be ignored and only shares issued for no consideration are included in calculating diluted EPS.

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Number of shares that would be issued to option-holders based on the consideration they pay to the company to exercise the options	Number of shares that would actually be issued to option-holders based on the terms of the options they hold	Shares assumed to be issued to option-holders on exercising their options, effectively for no consideration
Example: \$900 is paid to have 90 shares issued when the average market price is \$10	Example: the options when exercised entitle the option-holders to receive 100 shares by paying \$900	Example: 10 shares effectively issued for no consideration
90 shares	100 shares	10 shares

► EXHIBIT 17.3 Shares issued for no consideration

Put another way, each dilutive option or warrant is effectively being regarded as constituting both of the following:

- one contract for ordinary shares issued at average market price, which are not included in the denominator to measure diluted EPS. This is because these ordinary shares are assumed to be fairly priced and to be neither dilutive nor antidilutive. As such, entities can ignore them in the calculation of diluted earnings per share.
- one contract for ordinary shares issued for no consideration, which are included in the denominator to measure diluted EPS. These ordinary shares generate no proceeds and have no effect on profit or loss attributable to ordinary shares outstanding, and as such they are dilutive.

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Illustrative Example 7

PatCat Limited (PatCat) has 50,000 options outstanding (issued before 1 January 2020) that can be converted into one ordinary share per option on payment of HK\$8 by 31 December 20X0.

PatCat had 750,000 ordinary shares on issue throughout 20X0. PatCat's profit from continuing operations attributable to the parent entity for the year ending 31 December 20X0 is HK\$4 million. PatCat's average share price over the year to 31 December 20X0 was HK\$10.

$50,000 \text{ options} \times \text{HK\$8 exercise price} = \text{HK\$400,000}$

$\text{HK\$400,000 divided by the HK\$10 average share price for 20X0} = 40,000 \text{ shares}$

Accordingly, the 50,000 options effectively constitute two contracts:

- one contract to acquire 40,000 ordinary shares at the HK\$10 average share price for the period
- another contract to receive 10,000 ordinary shares for no consideration.

That is, notionally, if the 50,000 options had been exercised at a price of HK\$8 per ordinary share, there would have been 10,000 more ordinary shares on issue for which no consideration had been received because the option exercise price per share is below the average share price for 20X0.

Basic EPS is HK\$5.33 (HK\$4 million divided by 750,000 ordinary shares).

Diluted EPS would be HK\$5.26 (HK\$4 million divided by 760,000 ordinary shares), which means the options are dilutive, because HK\$5.26 is less than HK\$5.33.

17.3.3 Convertible Securities

Convertible securities (or convertible instruments) are financial instruments that can be converted to another form of instrument. For example, convertible preference shares may give the holder entitlements to convert preference shares to ordinary shares. As such, they are also considered to be 'potential ordinary shares' as described in Section 17.1.1.

Convertible instruments typically pay a return to the holder. The return may be paid periodically or accumulated to be paid at a later stage.

HKAS
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These instruments are only dilutive when their total contractual return divided by the total number of ordinary shares to which they would convert is less than basic EPS. That is, if the assumed return from converting the instruments, using basic EPS as a benchmark, is greater than the return from not converting them, the holders would rationally want to hold the ordinary shares rather than the convertible instruments.

Illustrative Example 8

As at 1 January 20X2, West Plates had 5 million ordinary shares on issue that are traded on the Hong Kong stock exchange. On 1 April 20X2, West Plates issued another 2 million ordinary shares at the then prevailing market value. As at 31 December 20X2, West Plates has 7 million ordinary shares on issue.

West Plates Limited (West Plates) had on issue 500,000 convertible preference shares (CPSs) with a face value of HK\$250 and a nine-year duration. The terms of conversion provided for one ordinary share to be issued in place of each CPS. The CPS holders were entitled to receive a fixed return of 3%. The fixed return is treated as interest expense in the financial statements in accordance with the requirements of HKAS 32 *Financial Instruments: Presentation*. The 3% return is to be paid each year, regardless of whether a dividend is paid to ordinary shareholders.

In the year ending 31 December 20X2, West Plates made a profit attributable to ordinary shareholders of the parent entity of HK\$25 million.

Assume that the 3% return on CPSs in 20X2 is regarded as a tax deduction by the Inland Revenue Department and, therefore, adjusted for tax.

Required

- Calculate the weighted average number of ordinary shares
- Calculate basic EPS and diluted EPS

Solution

Calculate weighted average number of ordinary shares

Illustrative Example 8 (continued)

By using the given information above, we can compute the weighted average number of ordinary shares:

	Time weighting	Shares × weighting	Weighted average number of ordinary shares
5 million ordinary shares on issue as of 1 January 20X2	100%	5 million	6,506,000 ordinary shares for the purpose of calculating basic EPS
2 million shares issued on 1 April 20X2	275 days divided by 365 days = 75.3% (rounded)	1,506,000 shares	

Determining basic EPS

West Plates made a profit attributable to ordinary shareholders of the parent entity of HK\$25m and the weighted average number of ordinary shares calculated above for West Plates in 20X2 is 6,506,000 shares.

As such, Basic EPS is HK\$3.84 (HK\$25 million divided by 6,506,000 ordinary shares).

Determining diluted EPS

The 3% return on CPSs in 20X2 (assuming here that it is regarded as a tax deduction by the Inland Revenue Department and, therefore, adjusted for tax) was HK\$3,131,250 (500,000 CPSs multiplied by face value of HK\$250 multiplied by 3% = HK\$3,750,000 less 16.5% tax of HK\$618,750). In measuring the 20X2 diluted EPS, West Plate's earnings would be adjusted upwards by HK\$3,131,250 because, once the CPSs are converted, that amount would no longer be recognised as an expense.

Adjusted profit for the purpose of calculating diluted EPS would be HK\$25 million plus HK\$3,131,250 = HK\$28,131,250

Adjusted share base for the purpose of calculating diluted EPS would be 6,506,000 shares plus 500,000 shares on CPSs conversion = 7,006,000 shares

'Diluted' EPS, as if the CPSs were converted, would be the adjusted profit of HK\$28,131,250 divided by the adjusted share base of 7,006,000 shares = HK\$4.02. However, HK\$4.02 is greater than HK\$3.84. Accordingly, in 20X2, the CPSs were antidilutive and, therefore, their potential impact on the number of ordinary shares would not be included in measuring diluted EPS.

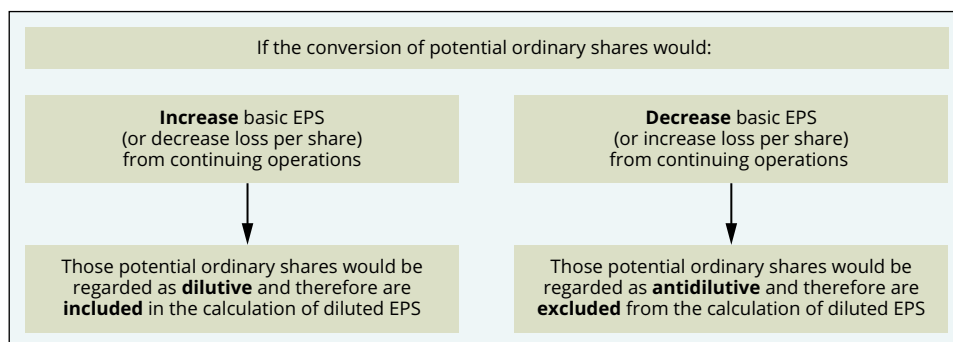
17.3.4 Dilutive/Anti-dilutive Potential Ordinary Shares

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Not all potential ordinary shares will impact on the calculation of diluted EPS. Only those potential 'dilutive' ordinary shares are factored into the calculation. That is, potential ordinary shares that would be 'anti-dilutive' would not be factored into the calculation of diluted EPS.

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The benchmark for determining whether potential ordinary shares are dilutive or anti-dilutive is the potential impact of conversion on profit or loss from continuing operations attributable to the parent entity. (See Exhibit 17.4)



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► EXHIBIT 17.4 Conversion of potential ordinary shares

If there is more than one series of potential ordinary shares, each series is considered separately (HKAS 33.44) and not in aggregate. The sequence in which they are considered is also important; HKAS 33 requires the most dilutive potential ordinary shares (based on 'earnings per incremental share') to be considered first, followed by the next most dilutive, with the least dilutive to be considered last. This has the effect of maximising the dilutive impact on EPS for diluted EPS to be most effective as a form of 'warning sign' for existing and potential ordinary shareholders in identifying what the impact of potential ordinary shares might be.

Apply and Analyse 2

You have been asked to identify and explain the order in which potential ordinary shares that were dilutive would be factored into the calculation of diluted EPS for FuturePan Limited (FPL).

FPL provides the following information:

- Profit or loss attributable to ordinary shareholders of HK\$1,200,000
- 300,000 ordinary shares outstanding throughout the year
- HK\$30 average market price of shares during the period
- 90,000 options to acquire ordinary shares (one for one) at an exercise price of HK\$25
- 60,000 convertible bonds with a face value of HK\$200 that convert to five ordinary shares and were paid a return of 3% (tax deductible)
- 30,000 convertible preference shares with a par value of HK\$60 that converted into three ordinary shares and each received a dividend of HK\$8 per year (not tax deductible)
- the prevailing tax rate was 16.5%.

All the potential ordinary shares were on issue for the whole of the period.

Apply and Analyse 2 (continued)

Analysis

Increase in earnings and ordinary shares on assumed conversion of potential ordinary shares

	Calculations	Earnings increase HK\$	Ordinary shares increase	Earnings per incremental share
Options		nil		nil
	$90,000 \times (\text{HK\$}30 - \text{HK\$}25)$ divided by HK\$30		15,000 (shares issued for no consideration)	
Convertible bonds	$60,000 \times \text{HK\$}6^a \times (1 - 0.165)$ $^a\$200 \times 3\%$	HK\$300,600		HK\$1.002
	$60,000 \times 5$ shares		300,000	
Convertible preference shares	$30,000 \times \text{HK\$}8$	HK\$240,000		^a HK\$2.667
	$30,000 \times 3$ shares		90,000	

^a rounded

Accordingly, the order in which the potential ordinary shares would be included in calculating diluted EPS from most dilutive to least dilutive was: (1) the options; (2) the convertible bonds; and (3) the convertible preference shares.

Calculation of diluted EPS

	Earnings	Ordinary shares	Per share	
As reported	HK\$1,200,000	300,000	HK\$4	
Options	nil	15,000	^a HK\$3.81	dilutive
	HK\$1,200,000	315,000		
Convertible bonds	HK\$300,600	300,000	^a HK\$2.5	dilutive
	HK\$1,500,600	615,000		
Convertible preference shares	HK\$240,000	90,000	^a HK\$2.52	anti-dilutive
	HK\$1,740,600	705,000		

^a rounded

Because the convertible preference shares increased the EPS, they were anti-dilutive and were not included in the calculation of diluted EPS.

► Knowledge Check Questions

Question 4

An entity had 25,000 convertible bonds on issue that paid a fixed return to bondholders. Identify the steps that were taken in calculating diluted EPS in accordance with HKAS 33.

- A** Convertible bonds are always dilutive, thus add the fixed return into the numerator and include 25,000 shares in the denominator.
- B** Determine whether the convertible bonds are dilutive, and if so, add the fixed return into the numerator and include 25,000 shares in the denominator.
- C** Add the amount of dividends that would have been paid to bondholders as if they had been converted into ordinary shares into the numerator and include 25,000 shares in the denominator.
- D** Determine whether the convertible bonds are dilutive, and if so, include 25,000 shares in the denominator; there is no need to adjust for the fixed return because that will not be paid once the bonds convert.

Question 5

An entity with a calendar-year reporting period issued options to acquire its shares on 30 June 20X1 (half-way through its reporting period). Those options had an exercise price that was 60% of the average share price for the reporting period. Identify how the options were factored into the calculation of diluted EPS in accordance with HKAS 33 for the period ending 31 December 20X1.

- A** The number of shares that would effectively be issued for no consideration would be wholly included in the denominator.
- B** The number of shares that would effectively be issued for no consideration would be included in the denominator, weighted by 50% for the period they were outstanding during the reporting period.
- C** The number of shares that would be issued when the options were converted would be included in the denominator and the numerator would be adjusted for the earnings that would have been generated on the proceeds from the options being exercised.
- D** The number of shares that would be issued when the options were converted would be included in the denominator, weighted by 50% for the period they were outstanding during the reporting period, and the numerator would be adjusted for the earnings that would have been generated on the proceeds from the options being exercised.

► 17.4 PRESENTATION AND DISCLOSURE OF EPS

HKAS 33 has some specific requirements on where, and how prominently, EPS amounts must be presented.

17.4.1 Presentation

As illustrated in Exhibit 17.5, basic and diluted EPS from continuing operations attributable to the ordinary shareholders of the parent entity must be presented with equal prominence

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on the face of the statement of profit or loss and other comprehensive income. This reflects the significance investor's attach to EPS amounts and the importance of evaluating EPS amounts in conjunction with the financial statements.

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Basic and diluted EPSs must be presented with equal prominence and for all periods for which statements of profit or loss and other comprehensive income are presented.

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When an entity has discontinued operations, separate basic and diluted EPSs are shown for the discontinued operations; this may be presented on the face of the statement of profit or loss and OCI or in the notes to the financial statements.

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The same presentation requirements apply whether the amounts are positive EPS or negative EPS (losses per share).

	Note	2016 US\$'000	2015 US\$'000 (Restated)
Profit attributable to owners of the Company arises from:			
– Continuing operations		9,000	14,661
– Discontinuing operations		9,472	(1,892)
		18,472	12,769
Earning per share from continuing and discontinued operations attributable to owners of the company for the year (expressed in US cent per share)			
Basic and diluted EPS are presented with equal prominence, showing separately (1) EPS relating to the continuing operations attributable to the ordinary shareholders of the parent entity and (2) EPS relating to the discontinued operations	29	Basic earnings per share	
		From continuing operations	0.9
		From discontinued operations	0.9
		From profit for the year	1.8
	29	Diluted earnings per share	
		From continuing operations	0.9
		From discontinued operations	0.9
		From profit for the year	1.8

EPS is disclosed for all periods presented

► **EXHIBIT 17.5** Example disclosure on the face of the statement of comprehensive income

17.4.2 Disclosure

As illustrated in Exhibit 17.6, an entity must disclose the building blocks used in calculating EPS. These include:

- amounts used as the numerators in calculating basic and diluted EPSs, that is, earnings amounts, which must be reconciled to profit or loss attributable to the parent entity for the period; and
- the numbers of shares used as the denominators in calculating basic and diluted EPS, that is, the weighted average numbers of ordinary shares, which must be reconciled between basic and diluted EPSs showing the effect of each class of instruments affecting EPS.

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An entity must also disclose the following:

- any instruments that might potentially dilute basic EPS in the future but were not included in measuring diluted EPS (because they were anti-dilutive in the period(s) presented); and
- a description of ordinary share transactions or potential ordinary share transactions not disclosed that happened after the reporting period end and would have changed

significantly the numbers of shares used to measure either or both of basic and diluted EPS if the transactions had occurred before the reporting period ended. This might include a large share issue or large conversion of potential ordinary shares into ordinary shares early in the new year. Most entities would include this information with their statement of changes in equity.

9 Earnings per share									
Basic earnings per ordinary share is calculated by dividing the profit attributable to ordinary shareholders of the parent company by the weighted average number of ordinary shares outstanding, excluding own shares held. Diluted earnings per ordinary share is calculated by dividing the basic earnings, which require no adjustment for the effects of dilutive potential ordinary shares, by the weighted average number of ordinary shares outstanding, excluding own shares held, plus the weighted average number of ordinary shares that would be issued on conversion of dilutive potential ordinary shares.									
Profit attributable to the ordinary shareholders of the parent company									
				2021			2020		2019
				\$m			\$m		\$m
Profit attributable to shareholders of the parent company				13,917			5,229		7,383
Dividend payable on preference shares classified as equity				(7)			(90)		(90)
Coupon payable on capital securities classified as equity				(1,303)			(1,241)		(1,324)
Year ended 31 Dec				12,607			3,898		5,969
Basic and diluted earnings per share									
				2021			2020		
				Profit	Number of shares	Per share	Profit	Number of shares	Per share
				\$m	(millions)	\$	\$m	(millions)	\$
Basic ¹				12,607	20,197	0.62	3,898	20,169	0.19
Effect of dilutive potential ordinary shares					105			73	
Diluted ¹				12,607	20,302	0.62	3,898	20,242	0.19
							5,969	20,233	0.30

¹ Weighted average number of ordinary shares outstanding (basic) or assuming dilution (diluted).

The number of anti-dilutive employee share options excluded from the weighted average number of dilutive potential ordinary shares is 8.6 million (2020: 14.6 million; 2019: 1.1 million).

► **EXHIBIT 17.6 Example EPS disclosures in the notes to the financial statements** (Source: Extract from the HSBC Plc 2021 Annual Report.)

► Knowledge Check Questions

Question 6

An entity had profit from continuing operations attributable to the ordinary shareholders of the parent entity of HK\$2 million and a loss from a discontinued operation of HK\$800,000. Identify which of the following best describes the way in which basic and diluted EPSs should be presented in accordance with HKAS 33.

- A** Four EPS amounts would need to be presented on the face of the statement of profit or loss and OCI: basic EPS for continuing operations; diluted EPS for continuing operations; basic EPS for the discontinued operation; and diluted EPS for the discontinued operation.
- B** Basic EPS for continuing operations and diluted EPS for continuing operations need to be presented on the face of the statement of profit or loss and other comprehensive income. Basic EPS for the discontinued operation and diluted EPS for the discontinued operation need to be presented on the face of the statement of profit or loss and other comprehensive income or in a note.

► **Knowledge Check Questions (*continued*)**

- C** Basic EPS for continuing operations and diluted EPS for continuing operations need to be presented on the face of the statement of profit or loss and other comprehensive income. Only basic EPS for the discontinued operation needs to be presented on the face of the statement of profit or loss and other comprehensive income or in a note; diluted EPS for the discontinued operation is not relevant.
- D** Four EPS amounts would need to be presented on the face of the statement of profit or loss and OCI or presented in a note: basic EPS for continuing operations; diluted EPS for continuing operations; basic EPS for the discontinued operation; and diluted EPS for the discontinued operation.

17.5 LIMITS OF EPS AS A PERFORMANCE MEASURE

EPS is only one metric that is widely used as an indicator of an entity's performance.

An important thing to note is that EPS is unlikely to be useful on its own as a financial analysis tool.

In addition, depending on the circumstances, there are some significant criticisms of EPS that could limit its usefulness, including the following.

- The weighted average number of an entity's ordinary shares during the year may be irrelevant in some circumstances, particularly when the number of shares as of the reporting date is materially higher or lower than the weighted average and investors has taken forward-looking view of earnings per share. This could occur when large share issues or large share buy-backs occur late in the reporting period;
- Some investors question the relevance of including a weighting for shares that lapsed during the reporting period in determining the weighted average number of an entity's ordinary shares. They consider that, because it is known at the reporting date that those shares have lapsed, they should be ignored in measuring EPS;
- The weighted average market price of an entity's ordinary shares during the year, which is used in a number of ways as an input to calculating diluted EPS, might not be representative of the share's recent price, because that price may have been adversely affected, or favourably affected, by recent events; and
- EPS is often not a useful way in which to compare entities operating in different industries or different geographic locations. A biotechnology company in a growth phase might have a low EPS or a loss per share because it has high research spending; whereas an established retailer might have a high EPS because it has a solid customer base and is using fully depreciated fixtures and fittings. It would be unwise to place too much reliance on the relative EPS for the biotechnology company and retailer as a basis for investment decisions.

Ethics in Practice

As noted in the Overview, EPS is sometimes used to help measure senior company executives' performance and may form part of the formula for determining their performance-based remuneration. Accordingly, there can be heightened awareness among senior managers around the EPS calculation.

Basic EPS and diluted EPSs are particularly sensitive to judgements made about the numerator and denominator. A relatively small change to earnings or the weighted average number of ordinary (or potential ordinary) shares can make a significant difference to the trendline of performance based on EPS.

It is important that professional accounting judgements made about the factors that can affect the EPS calculation are made with utmost objectivity. It is also important that senior management, including when relevant those responsible for establishing performance benchmarks for an entity, are made aware of the relative significance of basic EPS and diluted EPS.

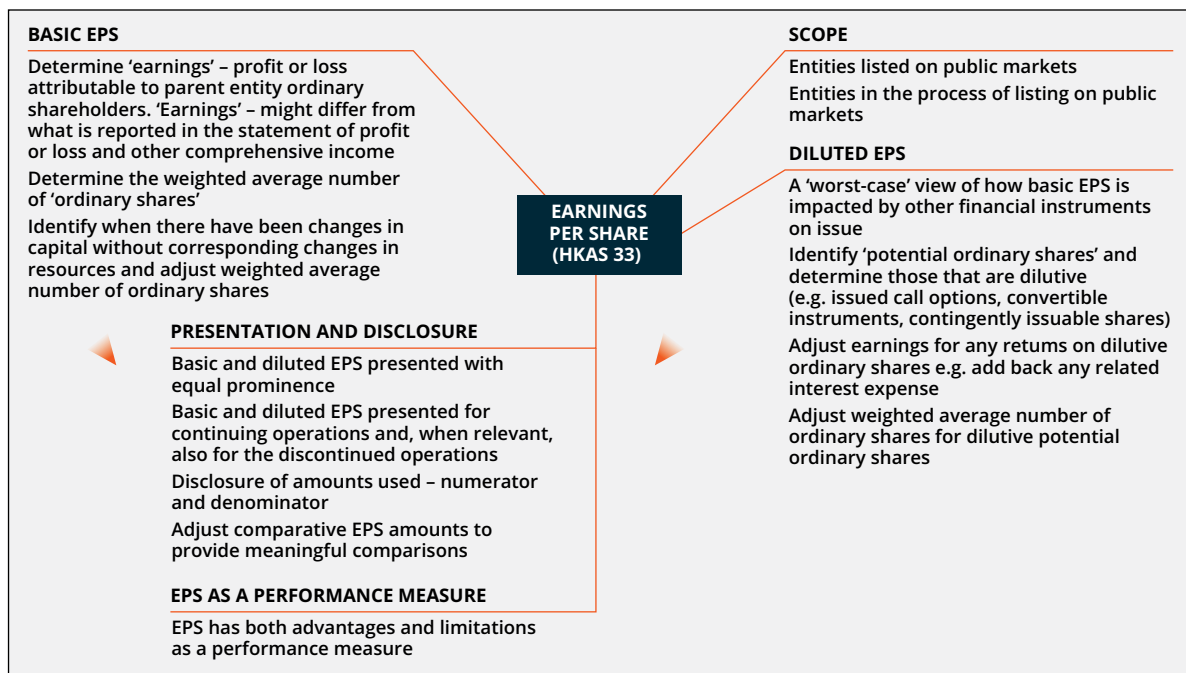
When the accountant is asked to advise on using EPS measures as a basis for assessing management performance, it is relevant to identify the different perspectives on performance that can be gained by examining not just one measure of performance but potentially multiple measures. In doing so, the accountant would need to be aware of the potential shortcomings of basic EPS and diluted EPS as performance measures.



SUMMARY

- HKAS 33 requires any entity, such as a company or unit trust, that has publicly traded shares or is planning to.
- Diluted EPS is calculated by dividing an adjusted earnings by the weighted average number of ordinary shares on issue during the reporting period adjusted for dilutive potential ordinary shares.
 - Earnings are adjusted by removing the impact of any dividends or interest included in determining earnings.
 - Potential ordinary shares are dilutive when they would reduce basic EPS (or increase loss per share). Potential ordinary shares include bonds, preference shares and options that would result in the issued of more ordinary shares if they were converted.
- When there is a rights issue at less than the prevailing market price of ordinary shares or a share split, past EPS amounts presented are adjusted to reflect the watering down of the ordinary share base to make them comparable with the current year's EPS amounts.
- Basic EPS is calculated by taking:
 - 'profit or loss attributable to ordinary shareholders of the parent entity' (earnings), adjusted for the after-tax impacts of any preference share dividends and other similar items classified as equity; divided by
 - the weighted average number of ordinary shares on issue during the reporting period.
- Diluted EPS is a form of warning to potential and existing shareholders designed to show a 'worst-case' view of how EPS would be affected if all dilutive potential ordinary shares were exercised/converted into ordinary shares.
- Basic and diluted EPSs are used as performance indicators by potential and existing shareholders and may be used as a benchmark for senior management performance.
- If discontinued operations exist, basic and diluted EPSs must be calculated for continuing operations and for the discontinued operations (that is, four EPS amounts).
 - Basic and diluted EPS from continuing operations must be presented with equal prominence on the face of the statement of profit or loss and other comprehensive income (OCI), and basic and diluted EPSs from the discontinued operations can be presented with equal prominence on the face or in a note.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is correct. HKAS 33 specifies that the amount included as earnings is the profit or loss attributable to ordinary shareholders of the parent entity.

Answer B is incorrect. The amount included as earnings is after-tax net profit or loss attributable to ordinary shareholders of the parent entity.

Answer C is incorrect. HKAS 33 specifies that the amount included as earnings is the profit or loss attributable to only ordinary shareholders of the parent entity and not preference shareholders of the parent entity.

Answer D is incorrect. The calculated EPS may be negative (a loss per share), reflecting that the entity has made a loss during the period.

Question 2

Answer A and D are incorrect. The earnings need to be adjusted for any distribution of profit to any group of stakeholders other than ordinary shareholders.

Answer B is correct. HKAS 33 specifies that EPS is calculated from the perspective of the ordinary shareholders, and distribution of profit to any other group of stakeholders (in this case non-cumulative preference shareholders) is treated as if it were an expense.

Answer C is incorrect. If the preference dividend had been an expense, it would have been deductible for tax purposes, and the impact on earnings attributable to ordinary shareholders would have been the net-of-tax impact.

Question 3

Answer A is incorrect. Answer A would imply the new ordinary shares were on issue for the entire reporting period, which is not the case.

Answer B is incorrect. The impact of the new ordinary shares needs to be incorporated into the EPS calculation in the period in which the issue takes place (even if this occurs late in the year).

Answer C is correct. HKAS 33 specifies that EPS is calculated using the weighted average number of ordinary shares outstanding, with the weighting based on the amount of time they have been on issue relative to the whole reporting period.

Answer D is incorrect. Answer D would imply that the new ordinary shares were on issue since the middle of the reporting period, which is not the case.

Question 4

Answer A is incorrect. Answer A fails to acknowledge the need to assess whether the convertible bonds are dilutive in order to determine whether they are included in calculating EPS.

Answer B is correct. HKAS 33 specifies that, diluted EPS is measured by dividing 'profit or loss attributable to ordinary shareholders of the parent entity', which is adjusted by the effect of converting dilutive potential ordinary shares, by the total of the 'weighted average number of ordinary shares on issues' during the reporting period plus the dilutive effect of potential ordinary shares.

Answer C is incorrect. Answer C fails to acknowledge the need to assess whether the convertible bonds are dilutive in order to determine whether they are included in calculating EPS. Answer C also adds the wrong amount (notional dividends) to 'earnings' – the correct approach is to add the actual fixed return to 'earnings' on the basis that it would not need to be paid if the bonds were converted.

Answer D is incorrect. Answer D fails to consider the fixed return which needs to add into the numerator under the calculation of diluted EPS as per HKAS 33.

Question 5

Answer A is incorrect. Answer A fails to acknowledge the need for the impact of conversion to be weighted for the time the dilutive potential ordinary shares have been on issue.

Answer B is correct. HKAS 33 specifies that to the extent shares would have been issued for no consideration in the event that dilutive potential ordinary shares were converted into ordinary shares, they are incorporated in the denominator used to calculate diluted EPS. HKAS 33 also specifies that impact of conversion would be weighted for the time the dilutive potential ordinary shares have been on issue.

Answer C is incorrect. Answer C fails to acknowledge the need for the impact of conversion to be weighted for the time the dilutive potential ordinary shares have been on issue.

In addition, Answer C wrongly suggests that the total number of ordinary shares (rather than only those issued for no consideration) are included in the denominator to calculate diluted EPS and also wrongly suggests that the numerator would be adjusted.

Answer D is incorrect. Answer D wrongly suggests that the total number of ordinary shares (rather than only those issued for no consideration) are included in the denominator to calculate diluted EPS and also wrongly suggests that the numerator would be adjusted.

Question 6

Answer A is incorrect. Answer A wrongly suggests that basic and diluted EPSs for the discontinued operation must be presented on the face of the statement of profit or loss and other comprehensive income.

Answer B is correct. HKAS 33 specifies that basic EPS and diluted EPS for continuing operations are presented on the face of the statement of profit or loss and other comprehensive income (OCI), and basic and diluted EPSs for the discontinued operation can be presented on the face of the statement of profit or loss and other comprehensive income or in a note.

Answer C is incorrect. Answer C wrongly suggests that diluted EPS for the discontinued operation need not be disclosed.

Answer D is incorrect. Answer D wrongly suggests that basic EPS and diluted EPS for continuing operations can be presented in a note.

EXAM PRACTICE

QUESTION 1

EuroStyle wallpaper is currently the biggest selling brand in Hong Kong. On 1 July 20X0, Panda Star Limited (PSL) acquired the EuroStyle wallpaper manufacturing business from LeLaBong Limited (LeLaBong) for cash and 30 million PSL ordinary shares.

PSL made a rights issue in 20X1 that was taken up by all shareholders on 1 May 20X1. For every six ordinary shares held, one additional share could be acquired for HK\$7. The PSL share price on 1 May 20X1 was HK\$9.

Further information:

- PSL had 65 million ordinary shares on issue as of 1 January 20X0.
- PSL's profit from continuing operations attributable to ordinary shareholders of the parent entity for the financial year ended 31 December 20X0 is HK\$75 million.

Required:

- (a) Calculate PSL's basic and diluted earnings per share (EPS) attributable to ordinary shareholders for the consolidated financial statements for the financial year ended 31 December 20X0.
- (b) Management of PSL asserted to you that the rights issue has no impact on the comparative basic EPS disclosed in PSL's consolidated financial statements for the year ending 31 December 20X1. Analyse whether this assertion is true.

QUESTION 2

CoolChange Limited (CoolChange) has experienced strong profit growth and expects this to continue. It operated in a rapidly growing industry and had paid a steady dividend of HK\$5 per share per year for many years.

CoolChange had 20 million ordinary shares on issue as of 1 January 20X1. CoolChange's capital structure also included one million convertible bonds issued on 1 June 20X0, which have a face value of HK\$50. Each bond converted to one ordinary share on 31 May 20X9. The convertible bonds were entitled to receive a cumulative return of 4% each year when a dividend was paid to ordinary shareholders. However, if no dividends were paid to ordinary shareholders, the preference bondholders would not receive their 4% return and that amount would accumulate and would be due to bondholders whenever there was a dividend to ordinary shareholders or when they were converted (in 20X9). The 4% return was tax deductible to CoolChange.

On 1 July 20X1, CoolChange issued 1.2 million options to acquire ordinary shares that had an exercise price of HK\$70 and an exercise date of 30 June 20X8. CoolChange also issued 800,000 additional options to acquire ordinary shares on 2 January 20X2.

Other information:

- The weighted average price of CoolChange's ordinary shares over the year to 31 December 20X1 was HK\$82.
- CoolChange's profit attributable to ordinary shareholders for the financial year ended 31 December 20X1 from continuing operations was HK\$60m and its loss attributable to ordinary shareholders from discontinued operations was HK\$2m.
- CoolChange has had a policy of presenting three statements of comprehensive income: one for the current year and two prior period statements of comprehensive income.
- The relevant tax rate applying to CoolChange was 16.5%.

Required:

- (a) Determine which, if any, of the potential ordinary shares on issue were dilutive for the financial year ended 31 December 20X1.
- (b) Calculate diluted EPS for the financial year ended 31 December 20X1 for profit attributable to ordinary shareholders from continuing operations and for profit attributable to ordinary shareholders from discontinued operations.
- (c) Chung, a new member of CoolChange's finance team, was responsible for preparing the EPS disclosures in CoolChange's financial statements for the year ended 31 December 20X1, and he asked if you would be able to assist by identifying for him:
 - (i) the key considerations CoolChange needed to be aware of to present its basic and diluted EPS in its financial statements for the year ended 31 December 20X1 in accordance with HKAS 33 *Earnings per Share*
 - (ii) at least three key disclosures that CoolChange would need to make in the notes to the financial statements in respect to the presented EPS amounts under HKAS 33.
- (d) Mr Yuan, a board director of CoolChange, commented to you the analysts did not appear to be overly interested in CoolChange's EPS during the recently held analyst presentation. Draft an email to explain to Mr Yuan the significance and limitations of EPS for an analyst of CoolChange's financial statements.

ANSWERS TO EXAM PRACTICE

QUESTION 1

- (a) Calculation of basic and diluted EPS for the year ended 31 December 20X0

To calculate its basic EPS, Panda Star Limited (PSL) will need to determine its weighted average number of ordinary shares outstanding for the year ended 31 December 20X0 and its earnings for the period:

Weighted average number of ordinary shares outstanding for the year ended 31 December 20X0

Time	Shares	Calculation	Weighting	Result
As of 1 January 20X0	65,000,000	365 days/365 days	100.00%	65,000,000
From 1 July 20X0	30,000,000	183 days/365 days	^a 50.137%	15,041,096
				80,041,096

^a rounded

Earnings for the year ended 31 December 20X0

HK\$75m, being PSL's profit or loss from continuing operations attributable to ordinary shareholders of the parent entity for the year

Calculation – basic EPS

Basic EPS = HK\$75,000,000 divided by 80,041,096 ordinary shares = HK\$0.937

To calculate its diluted EPS, in addition to the information above, PSL needed to determine the weighted average number of potential ordinary shares and the impact of those potential ordinary shares on earnings for the period.

- (b) Calculation of adjusted basic EPS

To determine WHETHER or NOT management's assertion was true that the rights issue had no impact on its comparative EPS calculation, the adjusted basic EPS would need to be calculated. The analysis below establishes that the management's assertion WAS NOT TRUE.

To calculate the adjusted basic EPS, PSL would need to determine the adjustment to the weighted ordinary shares shown in the consolidated financial statements for the period ended 31 December 20X1 in respect to the comparative period ended 31 December 20X0.

In terms of the factor described in HKAS 33.A2, the calculation would be as follows.

Theoretical ex-rights price per share	=	Fair value of shares immediately prior to exercise of rights plus proceeds from exercise of rights = HK\$965,833,331 (95 million shares × HK\$9 plus 15,833,333 shares ^a × HK\$7)	=	HK\$8.71
		Number of shares outstanding after the exercise of the rights = 110,833,333 shares (95 million + 15,833,333)		
Adjustment factor	=	Fair value of per share prior to exercise of rights of HK\$9	=	1.03279
		Theoretical ex-rights price per share of HK\$8.71		

^aNote: Each six shares is entitled to one right: 95 million shares/6 = 15,833,333 rights (rounded)

The 20X0 reported basic EPS of HK\$0.94 would be adjusted as follows for inclusion as the 20X0 comparative EPS in subsequent financial statements.

Earnings of HK\$75,000,000 divided by 80,041,096 shares adjusted by 1.03279. That is, HK\$75,000,000 divided by 82,665,644 (80,041,096 shares × 1.03279) = HK\$0.907 (rounded).

The adjusted basic EPS under this approach was not exactly the same as the method above. This may be due to rounding differences.

IMPORTANTLY: The rights issue results in a change to the number of shares without a corresponding change in resources – that is, a number of shares are effectively issued for no consideration. The calculations above show that basic EPS for 20X0 as shown in the 20X0 consolidated financial statements is HK\$0.937 (HK\$75,000,000 divided by 80,041,096), management's assertion that the rights issue has no impact on its comparative EPS calculation is NOT TRUE.

QUESTION 2

- (a) Determining which series of potential ordinary shares were dilutive

The potential ordinary shares on issue in respect to year ended 31 December 20X1 were the 1.2 million options issued on 1 July 20X1 and the 1 million convertible bonds issued on 1 June 20X0. For the potential ordinary shares to be dilutive, they had to decrease CoolChange's basic earnings per share (EPS) from continuing operations. Accordingly, the basic EPS first had to be calculated:

CoolChange's basic EPS = the profit attributable to ordinary shareholders for the financial year ended 31 December 20X1 of HK\$60m divided by 20 million ordinary shares = HK\$3

In accordance with HKAS 33, in determining whether potential ordinary shares are dilutive, each issue or series of potential ordinary shares is considered separately and in sequence from the most dilutive to the least dilutive (based on the impact per incremental share). Hence, the options were assessed first as they did not affect the numerator of the calculation:

Options to acquire ordinary shares	
(1) 1.2 million options × HK\$70 exercise price = HK\$84 million	HK\$84,000,000
(2) HK\$84 million divided by the HK\$82 average share price for 20X1	^a 1,024,390
(3) The 1.2 million options effectively constitute two contracts:	175,610
• one contract to acquire 1,024,390 ordinary shares at the HK\$82 average share price for the period	
• another contract to receive 175,610 ordinary shares for no consideration	
	1,200,000
(4) Issued ordinary shares of 20 million plus shares for no consideration	20,175,610
(5) EPS diluted by the 175,610 ordinary shares for no consideration would be profit of HK\$60 million divided by (4)	^a HK\$2.9739
The amount at (5) was less than basic EPS – so the options are dilutive	

^a rounded

Next, the convertible bonds were assessed to determine if they were dilutive:

Convertible bonds	
(1) 1 million convertible bonds with a face value of HK\$50	HK\$50,000,000
(2) Bond annual interest = HK\$50m multiplied by 4%	HK\$2,000,000
(3) Adjust for tax at 16.5%	HK\$330,000
(4) Adjustment for bond return net of tax ((2) minus (3))	HK\$1,670,000
(5) Adjusted profit of HK\$60m plus net of tax adjustment for bond return	HK\$61,670,000
(6) Issued ordinary shares of 20 million plus shares for no consideration in respect to options plus converted bonds (20m + 1m + 175,610)	21,175,610
(7) EPS diluted by the converted bonds ((5) divided by (6))	^a HK\$2.9123
The amount at (7) was less than basic EPS, so the convertible bonds were dilutive	

^a rounded

- (b) Calculation of diluted EPS for the financial year ended 31 December 20X1 in respect to profit attributable to ordinary shareholders from continuing operations and from discontinued operations.

Based on the answers to question 2(a), we know that the options and the convertible bonds were dilutive.

Diluted EPS	Continuing operations	Discontinued operations
(1.1) Profit attributable to ordinary shareholders	HK\$60,000,000	HK\$2,000,000
(1.2) Impact on earnings of assumed exercise of options	nil	nil
(1.3) Impact on earnings of assumed bond conversion [see Q2(a) answer]	HK\$1,670,000	nil
(1.3) Adjusted earnings	HK\$61,670,000	HK\$2,000,000
(2.1) Ordinary shares on issue as of 1 January 20X1	20,000,000	20,000,000
(2.2) Incremental shares from assumed exercise of options [see Q2(a) answer]	175,610	175,610
(2.3) Incremental shares from assumed bond conversion [see Q2(a) answer]	1,000,000	1,000,000
(2.3) Adjusted weighted ordinary shares	21,175,610	21,175,610
(3) Diluted EPS attributable to ordinary shareholders	^{a,c} HK\$2.9213	^{b,c} HK\$0.0944

^a HK\$61,670,000 divided by 21,175,610 shares

^b HK\$2,000,000 divided by 21,175,610 shares

^c rounded

(c) Presentation and disclosure of EPS in the financial statements

(i) Main factors that CoolChange needed to be aware of in presenting its basic and diluted EPSs for the financial year ended 31 December 20X1:

- Basic and diluted EPSs needed to be presented on the face of the statement of profit or loss and other comprehensive income
- Basic and diluted EPSs needed to be presented with equal prominence
- Basic and diluted EPSs needed to be presented for continuing operations and basic and diluted EPSs needed to be presented for the discontinued operations with equal prominence for all periods presented
- Basic and diluted EPSs needed to be presented for three years because CoolChange presented two prior year statements of comprehensive income

(ii) Disclosures that had to be presented include:

- CoolChange's issue of 800,000 additional options to acquire ordinary shares on 2 January 20X2
- The amount of earnings used in calculating basic EPS
- The amount of earnings used in calculating diluted EPS
- The number of shares CoolChange used in calculating basic EPS
- The number of shares CoolChange used in calculating diluted EPS

(d) Significance and limitations of EPS for an analyst of CoolChange's financial statements

Subject: Analysts' interest in CoolChange's EPS

Dear Mr Yuan,

For an analyst of CoolChange's financial statements, the significance and limitations of EPS include:

- Diluted EPS, relative to Basic EPS, can be a useful gauge of the possible impacts of potential ordinary shares on existing ordinary shareholders' interests in CoolChange's future earnings;
- The focus of EPS is existing and potential ordinary shareholders and EPS does not cater directly for analysts taking the perspectives of other types of existing and potential equity-holders or debtholders;
- Basic and Diluted EPS are only one type of metric that would be used by an analyst with an interest in CoolChange's ordinary shares and would be used in conjunction with all the other financial information available to the analyst;
- CoolChange is operating in a rapidly growing industry and EPS uses past profits and can be regarded as being a backward-looking measure of performance and may be limited in its relevance since CoolChange is experiencing strong profit growth; and
- A comparison of EPS between CoolChange with other companies within the same industry may be a useful indicator of relative performance; however, a comparison of EPS between CoolChange and companies in different industries may not be useful because they face different operating conditions and different capital requirements

Kind regards,

[Candidate]

18

Effects of Changes in Foreign Exchange Rates



CHAPTER TOPIC LIST

18.1 Foreign Exchange Overview

- 18.1.1** Functional Currency
- 18.1.2** Presentation Currency
- 18.1.3** Monetary Items and
Non-monetary Items

18.2 Recognition and Measurement of Foreign Currency Transactions

- 18.2.1** Initial Recognition
- 18.2.2** Reporting at the End of
Subsequent Reporting Dates



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.14: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to the effects of changes in foreign exchange rates

2.14.01 Define and explain the difference between functional currency and presentation currency

2.14.02 Explain the factors to be considered when determining the functional currency

2.14.03 Explain the accounting treatment for foreign currency transactions

2.14.04 Define and explain the difference between monetary and non-monetary items

2.14.05 Describe the accounting treatment of foreign currency monetary and non-monetary items at the reporting date



OPENING CASE

WIDESPREAD LIMITED

Widespread Limited (Widespread) is a retail company based in Hong Kong. Widespread purchases inventories from local suppliers and from other countries. Amounts owed for inventories purchased from other countries are normally denominated in the currency of the country from which the goods are acquired.

Widespread sells inventories locally and internationally. Where inventories are sold to other countries, the amount owed is normally denominated in the currency of the country from which the goods are sold.

The number of foreign shareholders of Widespread has increased in recent years. At the latest annual general meeting, a shareholder requested the company to present its financial statements in U.S. dollars (USD) rather than Hong Kong dollars (HKD) due to the number of shareholders who are familiar with that currency. The company still needs to decide in this regard. 



OVERVIEW

Companies that engage in foreign activities may have transactions including purchases, sales and loans in foreign currencies (foreign currency transactions). They may also have foreign operations or subsidiaries that require foreign currency translation as part of the consolidation process. The objective of HKAS 21 *The Effects of Changes in Foreign Exchange Rates* is to provide guidance on how foreign currency transactions and foreign operations should be accounted for and reported in the financial statements and how to translate financial statements into its chosen currency for presentation (known as a presentation currency). (Note that foreign operations and translation of financial statements is not within the scope of Module 6.)

A foreign currency transaction is a transaction denominated in or requires settlement in a foreign currency. The principal issues in accounting for foreign currency transactions are:

- the initial recognition of the transaction;
- any unrealised gain or loss caused by fluctuations in foreign exchange rates if the transaction has not been settled at the reporting dates, and
- any realised gain or loss on settlement.

To address these issues, the following three questions need to be addressed:

1. What is the functional currency of the entity? This is important as a foreign currency is defined as one which is not the functional currency.
2. What foreign exchange rate(s) should be used to translate transactions denominated in a foreign currency? This is important as foreign exchange rates fluctuate over time and identifying which particular rate should be used can have a material impact on the financial statements.
3. How should the effects of changes in foreign exchange rates be reported in the financial statements? Once a change has been identified, how and where it is reported in the financial statements can have an impact on both the statement of financial position and statement of profit or loss and other comprehensive income of the entity.



18.1 FOREIGN EXCHANGE OVERVIEW

A foreign **exchange rate** expresses the relationship between two different currencies, specifically between the prices at which the currencies are traded. Exchange rates are quoted as the relationship between a base currency (the domestic currency) and a counter currency (the foreign currency). Exchange rates can be expressed in two ways. A quote can be given in

terms of how many unit(s) of the domestic currency can be converted into one unit of foreign currency, or can be expressed in terms of converting one unit of the domestic currency into units of a foreign currency.

For example, the exchange rate between the Hong Kong Dollar (HK\$), and the U.S. Dollar (US\$), can be written as HK\$7.83 equals US\$1 or HK\$1 = US\$0.128. (Unrealised foreign currency gain or loss will be covered in Section 18.2.)

Illustrative Example 1

Widespread Limited (Widespread) imported an item from the United States costing US\$1,000. The supplier gave Widespread 60 days to pay the invoice. The exchange rate at the date Widespread purchased the item was HK\$7.83 = US\$1. This meant that had Widespread paid for the item immediately, it would have paid HK\$7,830 (US\$1,000 × HK\$7.83). The financial year-end of Widespread occurred before it had paid the supplier. The exchange rate at the date of the financial year-end was HK\$7.97 = US\$1.

This meant, that at the financial year-end, Widespread owed HK\$7,970 (US\$1,000 × HK\$7.97) to the supplier. The HK\$ value of the liability had, therefore, increased from HK\$7,830 to HK\$7,970, and the difference of HK\$140 (HK\$7,970 – HK\$7,830) was accounted for as an unrealised foreign exchange loss in the statement of profit or loss and other comprehensive income.

Two concepts are crucial to understanding foreign currency transaction: functional currency and presentation currency. HKAS 21 defines functional currency as the currency of the primary economic environment in which the entity operates and presentation currency as the currency in which financial statements are presented. HKAS 21 also provides guidance on determining the entity's functional and presentation currencies. These concepts are discussed further in Sections 18.1.1 and 18.1.2.

HKAS
21.8

In such a case, a company must understand two concepts that are crucial to understanding foreign currency translation: functional currency and presentation currency. HKAS 21 provides guidance on determining an entity's functional and presentation currencies. These concepts are discussed further in Sections 18.1.1 and 18.1.2.

18.1.1 Functional Currency

The functional currency of an entity is the currency of the primary economic environment in which it operates. The primary economic environment is normally the one in which the entity primarily generates and expends cash.

HKAS
21.8

Identifying the functional currency of an entity is a matter of professional judgement. In some cases, identifying the functional currency of an entity is relatively straightforward. For example, TransOps Japan is a subsidiary of TransOps Limited, which operates primarily in Japan. It is therefore highly likely that the functional currency of TransOps Japan will be the Japanese yen. In other cases, identifying the functional currency is more challenging. This will be explored in more detail in Section 18.1.1.1.

18.1.1.1 Determining Functional Currency

HKAS
21.9

HKAS 21 requires an entity to consider the following three primary factors when determining its functional currency:

1. Which currency mainly influences the entity's sales prices for its goods and services. This is often the currency in which sales prices are denominated and settled.
2. Which currency of the country whose competitive forces and regulations mainly determine the sales prices of the entity's goods and services.
3. Which currency mainly influences labour, material and other costs of providing goods or services. Generally, this is the currency in which such costs are denominated and settled.

The factors below may also provide evidence regarding a functional currency:

- the currency in which funds from financing activities (i.e. the issuance of debt and equity securities) are denominated, and
- the currency in which receipts from operating activities are usually retained.

HKAS
21.10

If the functional currency is not determinable, management must exercise judgement to determine the currency that most faithfully represents the economic effects of the underlying transactions, events and conditions. In this situation, the three primary factors should be given priority.

HKAS
21.12

Illustrative Example 2

Widespread Limited (Widespread) is based in Hong Kong, and it purchases and sells inventories both locally and internationally. 70% of the goods are sold in Hong Kong, while the remaining 30% of goods are sold internationally. Most of the raw materials are sourced locally in Hong Kong. Amounts owed by Widespread for inventories purchased are denominated in the currency of the country from which the goods are acquired, while the amounts owed to Widespread for inventories sold are denominated in the currency of the country to which the goods are sold.

In determining its functional currency, Widespread is to consider its operations in the context of the three primary factors specified in HKAS 21.9 as follows:

Factors	Application
1. In which currency are the entity's sales prices for its goods and services denominated and settled?	Widespread's sales prices were denominated in the currency of the country to which the goods were sold. The majority of goods were sold in Hong Kong. As such, local sales were denominated in HKD while international sales were in the currency of the relevant country.
2. Which country's competitive forces and regulations mainly determine the sales prices of the entity's goods and services?	Being based in Hong Kong, Widespread was required to comply with the regulations of local authorities. In addition, its sales prices were first set in HKD and, for international sales, then converted to the currency of the relevant country.



Illustrative Example 2 (continued)

Factors	Application
3. Which currency mainly influences labour, material and other costs of providing goods or services?	Generally, this is the currency in which such costs are denominated and settled. As Widespread is based in Hong Kong, labour was primarily sourced locally and, as a result, denominated and settled in HKD. In addition, most of the raw materials were sourced locally. Administrative costs were also denominated and settled in HKD given Widespread is based in Hong Kong.

Based on the above, and weighing up all factors, the functional currency of Widespread is the HKD.

18.1.2 Presentation Currency

The presentation currency is the currency in which the financial statements of the entity are presented. Entities can choose any currency (or currencies) to present their financial statements.

HKAS 21.8

HKAS 21.38

Illustrative Example 3

Widespread Limited (Widespread) is incorporated in Hong Kong and trades regularly with suppliers and customers in markets all around the world. Widespread is able to choose any currency in which to present its financial statements. Given that Widespread is incorporated in Hong Kong, it would make sense to use HK dollars, but if a large proportion of its shareholders are foreigners who are more familiar with having investments in USD, then it may decide to use USD as its presentation currency.

18.1.3 Monetary Items and Non-monetary Items

The way in which an entity accounts for foreign currency items at the end of the reporting period depends on whether the items are monetary or non-monetary items.

Monetary items are units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency. Examples include foreign currency cash holdings, trade and notes payable, accrued liabilities (such as interest payable and salaries payable), dividends payable.

HKAS
21.8

Non-monetary items are not explicitly defined in the standard. However, HKAS 21 notes that the essential feature of non-monetary items is the absence of a right to receive (or an obligation to deliver) a fixed or determinable number of units of currency. Examples include prepaid expenses (such as prepaid rent or prepaid insurance); goodwill and other intangible assets; inventories; and property, plant and equipment.

HKAS
21.16

The difference in the accounting treatment of monetary and non-monetary items will be discussed in Section 18.2.

Key Learning Point

An entity can choose to present its financial statements in any currency. The currency chosen is called the presentation currency. The functional currency is the currency of the economic environment in which an entity operates.

► Knowledge Check Questions

Question 1

Morrison Limited is an Australian domiciled property development company. Morrison Limited's activities were purely in Australia, its bank accounts and all receipts and payments were in the Australian Dollar (AUD).

Determine the functional currency for Morrison Limited.

Question 2

On 1 June 20X8, Collective Limited (Collective) exported an item to Canada for CA\$2,000, payable in 90 days. The financial year-end is 30 June 20X8. The following table provides the exchange rates of HKD/CAD at the two points in time:

Date	HKD/CAD Exchange Rate
1 June 20X8	HK\$5.87 = CA\$1
30 June 20X8	HK\$5.95 = CA\$1

What is the amount of trade receivable and associated gain or loss Collective would recognise at 30 June 20X8?

	Trade Receivable	Gain/Loss
A	HK\$11,740	HK\$0 gain
B	HK\$11,740	HK\$160 gain
C	HK\$11,900	HK\$160 gain
D	HK\$11,900	HK\$160 loss

Question 3

ABC Limited had the following assets on its statement of financial position: cash and cash equivalents, share investments in unlisted companies and inventory. Identify which of the following statements is true.

- A** All of these assets were monetary items.
- B** None of these assets were monetary items.
- C** Only the cash and cash equivalents was a monetary item.
- D** Only the cash and cash equivalents and the share investments were monetary items.

18.2 RECOGNITION AND MEASUREMENT OF FOREIGN CURRENCY TRANSACTIONS

HKAS 21.20

A foreign currency transaction is denominated in or requiring settlement in a foreign currency.

HKAS 21.8

A **foreign currency** is defined as a currency other than the functional currency of the entity. For instance, assume Widespread Limited's functional currency is HK\$. Then, all currencies other than HK\$ (e.g. US\$, RMB) are deemed to be foreign currency for Widespread.

Examples of foreign currency transactions include:

- The purchase or sale of goods or services whose price is denominated in a foreign currency;
- Borrowing or lending funds when the amounts payable or receivable are denominated in a foreign currency;
- The acquisition or disposal of long-term assets whose price is denominated in a foreign currency, and
- The incurrence or settlement of liabilities denominated in a foreign currency.

HKAS
21.20

In the remainder of this section, we will examine how to initially account for a foreign currency transaction (Section 18.2.1), how to report foreign currency monetary and non-monetary items at the end of the reporting period (Section 18.2.2) and finally how to account for any differences arising because of changes in the foreign exchange rates.

18.2.1 Initial Recognition

When an entity enters into a foreign currency transaction, the transaction needs to be translated from the foreign currency to the functional currency used by the entity.

18.2.1.1 Translating Foreign Currency into Functional Currency

An entity is required to record a foreign currency transaction, on initial recognition, in the functional currency. This is done by applying the spot exchange rate between the functional currency and the foreign currency at the date of the transaction. The **spot exchange rate** is the exchange rate for immediate delivery of the currency.

HKAS
22.21

Illustrative Example 4

Widespread Limited (Widespread) purchased a US\$ 15,000 piece of equipment on 15 May 20X8. The exchange rate, the spot rate, to be used for recording this asset purchase was the HKD/USD exchange rate on 15 May 20X8. At the time, the exchange rate was HK\$7.829 = US\$1.00. The asset, and associated liability (as the invoice has yet to be paid) was recorded at HK\$117,435 ($\text{US\$15,000} \times 7.829$) in the accounting records of Widespread at the time of the transaction.

Illustrative Example 4 (continued)

Journal entry at 15 May 20X8

	Debit	Credit
	HK\$	HK\$
Machinery	117,435	
Account payable (foreign currency US\$)		117,435
(Recognition of asset purchase)		

18.2.2 Reporting at the End of Subsequent Reporting Dates

Subsequent to the initial measurement of foreign currency transactions, HKAS 21 requires that financial statement items arising from foreign currency transactions are to be translated again at each subsequent reporting date.

For example, consider the US\$15,000 in equipment purchased by Widespread Limited (Widespread) on 15 May 20X8, and assume that on 30 June 20X8, which was the end of its financial year, Widespread Limited still owed the full amount. On 15 May 20X8, when the USD liability was initially recorded, the USD/HKD exchange rate was HK\$7.829 = US\$1.000. This meant that a liability of HK\$117,435 was initially recorded. However, though Widespread owed US\$15,000 at the end of its financial year-end, it was highly unlikely that the amount owed when translated to HKD was HK\$117,435. This was because foreign exchange rates fluctuate over time.

The translation of foreign currency items in subsequent reporting dates differs depending on whether the item is monetary or non-monetary. We will discuss monetary items in Section 18.2.2.1, and non-monetary items in Section 18.2.2.2.

18.2.2.1 Monetary Items

HKAS
21.23(a)

Foreign currency monetary items are translated from the foreign currency to the functional currency using the closing rate for the reporting period. The closing rate is the spot exchange rate at the end of the reporting period. Any exchange differences arising from this translation are recognised in the profit or loss for the period in which they arise.

HKAS 21.8

Illustrative Example 5

Continuing with the previous example, Widespread Limited (Widespread) settled its accounts payable in USD. If the USD/HKD exchange rate had moved to HK\$7.841 = US\$1.000 as of 30 June 20X8, the amount recorded against the account payable would need to be adjusted to reflect the closing rate. This meant the account payable would now need to be recorded at HK\$117,615 ($\text{US\$15,000} \times 7.841$), which was an increase of HK\$180.

Illustrative Example 5 (continued)

This amount is an **exchange difference**, and the requirements of HKAS 21.28 stipulate that exchange differences arising on translating monetary are recorded in profit or loss in the period they arise. The HK\$180 increase in the liability would also lead to a HK\$180 foreign exchange loss being recorded. The journal entry required for Widespread would be as follows:

Entry at 30 June 20X8

	Debit	Credit
	HK\$	HK\$
Loss on foreign exchange difference (p/l)	180	
Account payable (US\$)		180
(Recognition of loss on foreign currency translation)		

When monetary items are settled, i.e. when an account payable denominated in a foreign currency is repaid, any exchange differences arising on settlement are recognised in profit or loss in the period in which they arise.

HKAS
21.28

Illustrative Example 6

Continuing with the previous example, Widespread Limited settles the account with the equipment supplier on 16 July 20X8. At that date the US\$/HK\$ exchange rate was HK\$7.835 = US\$1.000. That means to pay the US\$15,000 which was owing, Widespread Limited paid HK\$117,525. This amount is HK\$90 less than the recorded liability, resulting in a foreign exchange gain. The journal entry required for Widespread would be as follows:

Entry at 16 July 20X8

	Debit	Credit
	HK\$	HK\$
Account payable (US\$)	117,615	
Cash		117,525
Gain on foreign exchange difference (p/l)		90
(Recognition of gain on foreign currency translation and settlement of account payable)		

18.2.2.2 Non-monetary Items

Non-monetary items can be recorded at historical cost or fair value (although not every item has those choices). Whether historical cost or fair value is used will have an impact on the accounting treatment for foreign currency translations at subsequent reporting dates. The details of the exchange rates used for the foreign currency translation of non-monetary items as required by HKAS 21 are provided below:

HKAS
21.23

Non-monetary item measurement base	Foreign currency translation exchange rate used
Historical cost	Exchange rate in effect at the date of the transaction (i.e. the date when the transaction was initially recorded)
Fair value	Exchange rate in effect at the date when the fair value was measured. This is usually the closing rate at the reporting date (i.e. the financial year-end).

The carrying amounts of non-monetary items are determined in conjunction with other relevant accounting standards. For example, property, plant and equipment is reported at fair value or historical cost in accordance with HKAS 16 *Property, Plant and Equipment*. If the asset's carrying amount is determined on the basis of historical cost, the foreign currency amount will be translated into the functional currency using the exchange rate in effect at the acquisition date of the asset. If the entity elects to use fair value, the foreign currency amount will then be translated into the functional currency using the exchange rate in effect at the time that fair value was determined (generally the closing rate at the end of the reporting period as in most cases, items are remeasured to fair values at financial year-end).

When a revaluation gain or loss on a non-monetary item is recognised in other comprehensive income (OCI), any foreign exchange component of such gain or loss is also recognised in OCI. Conversely, when a revaluation gain or loss on a non-monetary item is recognised in profit or loss, any foreign exchange component of that gain or loss is also be recognised in profit or loss.

HKAS
21.30

As historical cost items are translated using the exchange rate as at the date of acquisition, there will be no exchange difference.

Illustrative Example 7

The management of Widespread Limited (Widespread) often have to fly to Europe for business. To assist with the travel, the company recently purchased a luxury apartment in Dubai for stopovers. The apartment was purchased for AED5.9 million on 1 January 20X8 and was depreciated on a straight-line basis over 25 years. Widespread used the revaluation model for property, plant and equipment and the fair value of the apartment at 30 June 20X8 is AED6.1 million.

Date	Exchange Rate
1 January 20X8	HK\$2.062 = AED1.000
30 June 20X8	HK\$2.132 = AED1.000



Illustrative Example 7 (continued)

The apartment would have been initially recognised at HK\$12,165,800, which was calculated by applying the spot rate as of 1 January 20X8 (HK\$2.062 = AED1.000) to the foreign currency transaction amount of AED5.9 million. Depreciation expense for the six-month period ended June 20X8 was calculated by applying the spot rate as of 1 January 20X8 (as the apartment was still being recorded at historical cost at the time of the calculation) and equaled HK\$243,316 $[(\text{AED}5,900,000/25 \text{ years} \times 6/12 \text{ months}) \times \text{HK\$}2.062]$.

The journal entry on 30 June 20X8 to record depreciation was:

Journal entry at 30 June 20X8

	Debit	Credit
	HK\$	HK\$
Depreciation – Apartment	243,316	
Accumulated depreciation – Apartment		243,316
(Recognition of depreciation on apartment)		

Upon the recognition of depreciation, the carrying amount of the apartment was HK\$11,922,484 (HK\$12,165,800 – HK\$243,316). As the apartment was subsequently accounted for using the revaluation model, the measurement base was fair value, and Widespread needed to use the exchange rate in effect at the date the fair value was measured. In this instance, that was 30 June 20X8 when the exchange rate was HK\$2.132 = AED1.000. This leads to the apartment being recognised at an amount of HK\$13,005,200 $(\text{AED}6,100,000 \times \text{HK\$}2.132)$ on 30 June 20X8.

The revaluation increment of HK\$1,082,716 $(\text{HK\$}13,005,200 - \text{HK\$}11,922,484)$ was accounted for through OCI. As such, HKAS 16 stipulated this increase be recognised in OCI. The journal entry for the recognition of the revaluation increment would be as follows:

Journal entry at 30 June 20X8

	Debit	Credit
	HK\$	HK\$
Apartment	1,082,716	
Revaluation surplus (OCI)		1,082,716
(Recognition of revaluation increment on apartment)		

In some accounting standards, the carrying amount of an asset is determined by comparing two or more values. For example, inventories are carried at the lower of cost and net realisable value in accordance with HKAS 2, *Inventories*. When the asset is non-monetary and is measured in a foreign currency, the carrying amount is determined by comparing:

1. the cost (or carrying amount) translated at the exchange rate in effect at the date when that amount is determined. This exchange rate will generally be the exchange rate at the acquisition date for items carried at cost, or the exchange rate at the date of valuation for items carried at fair value, and
2. the net realisable value (or recoverable amount) translated at the exchange rate in effect at the date when that value is determined. This is generally the closing rate at the end of the reporting period.

HKAS
21.25

The effect of this comparison may be that an impairment loss is recognised in the functional currency, but not recognised in the foreign currency, or vice versa.

Illustrative Example 8

Widespread Limited (Widespread) had a warehouse in Switzerland which was used to distribute goods to its customers in Europe. The inventory items were purchased and sold in the currency of the European Union, Euros. The cost of the inventory items on hand at the end of the financial year (30 June 20X8) was EUR 100,000, and their net realisable value is EUR 120,000.

Date	Exchange rate
Period over which ending inventory was purchased	HK\$9.956 = EUR 1.000
30 June 20X8	HK\$8.266 = EUR 1.000

The first step was to determine the HKD value of the cost as well as net realisable value of the inventory. The cost of the inventory on hand was HK\$995,600 ($9.956 \times \text{EUR } 100,000$), and the net realisable value of the inventory was HK\$991,920 ($8.266 \times \text{EUR } 120,000$).

The second step was to determine whether the inventory is impaired.

Although the inventory was not impaired from a foreign currency (EUR) perspective (as net realisable value is greater than cost by EUR 20,000), it was to be written down from a functional currency (HKD) perspective because the net realisable value was less than cost by HK\$3,680 ($\text{HK\$}995,600 - \text{HK\$}991,920$). The inventory is impaired in Widespread's accounts.

Journal Entry at 30 June 20X8

	Debit	Credit
	HK\$	HK\$
Loss on inventory write-down	3,680	
Inventories		3,680
(Recognition of inventory write-down)		



Key Learning Point

A foreign currency transaction is one that will be settled in a foreign currency so that the domestic firm is exposed to the possibility of favourable or unfavourable fluctuations in exchange rates that may occur between the date the transaction is entered into and the date the account is settled.

► Knowledge Check Questions

Question 4

On 1 June 20X4 Ironwood Limited imported an item of machinery into Hong Kong from the United States, which was to be included in property, plant and equipment. The price of the equipment was US\$250,000 and was payable 60 days after acquisition. The equipment is accounted for using the cost model in accordance with HKAS 16 *Property, Plant and Equipment* and was depreciated on a straight-line basis over 10 years. The financial year-end fell between the date of the purchase of the equipment (1 June 20X4) and the time the payment was made (31 July 20X4). The exchange rate on the date of purchase was HK\$7.85 = US\$1.000 and on the date of the financial year-end (30 June 20X4) it was HK\$7.92 = US\$1.000.

Prepare the journal entries to reflect the acquisition of the equipment and subsequent accounting at the end of the financial year assuming Ironwood Limited has a HK\$ functional currency.

Question 5

Greenhalgh Limited is an Australian-based logistics company. It owns land in New Zealand which was purchased during the 20X7 financial year for 400,000 New Zealand Dollars (NZD). At the time of purchase, the AUD/NZD exchange rate was 0.950 AU\$ = 1.000 NZ\$. Greenhalgh opted for the revaluation model, and at the end of the 20X7 financial year, the land was worth NZ\$ 420,000 and the exchange rate was 0.900 AU\$ = 1.000 NZ\$. At the end of the 20X8 financial year, the land had increased in value again to NZ\$ 450,000 and the exchange rate had moved to 1.02 AU\$ = 1.000 NZ\$.

Prepare the journal entries to reflect the acquisition of the land and subsequent accounting at the end of the 20X7 and 20X8 financial years. Assume Greenhalgh Limited's functional currency is AUD.

Question 6

Jax Limited is a UK-based taxi company. It expanded into the European market and, in 20X4, purchased EUR2.5 million worth of taxi licenses in France. At the time of purchase, the exchange rate was EUR 1.49 = GBP 1.000. The taxi licenses had an indefinite life, so there was no amortisation and Jax Limited opted to use the cost model.

Due to the recent explosion in ride sharing apps, the value of taxi licenses in France declined. At the end of 20X8, value of the taxi licenses held by Jax Limited had declined to EUR1,900,000. The exchange rate at that time was EUR 1.12 = GBP 1.000.

Prepare the journal entry to reflect the subsequent accounting at the end of the 20X8 financial year assuming Jax Limited has a GBP functional currency.

► **Knowledge Check Questions (*continued*)**

Question 7

Widespread Limited (Widespread) had inventory stored in an offshore warehouse, which was purchased with foreign currency. By applying the requirements of HKAS 21 for the translation of foreign currency amounts, determine which of the following statements was correct.

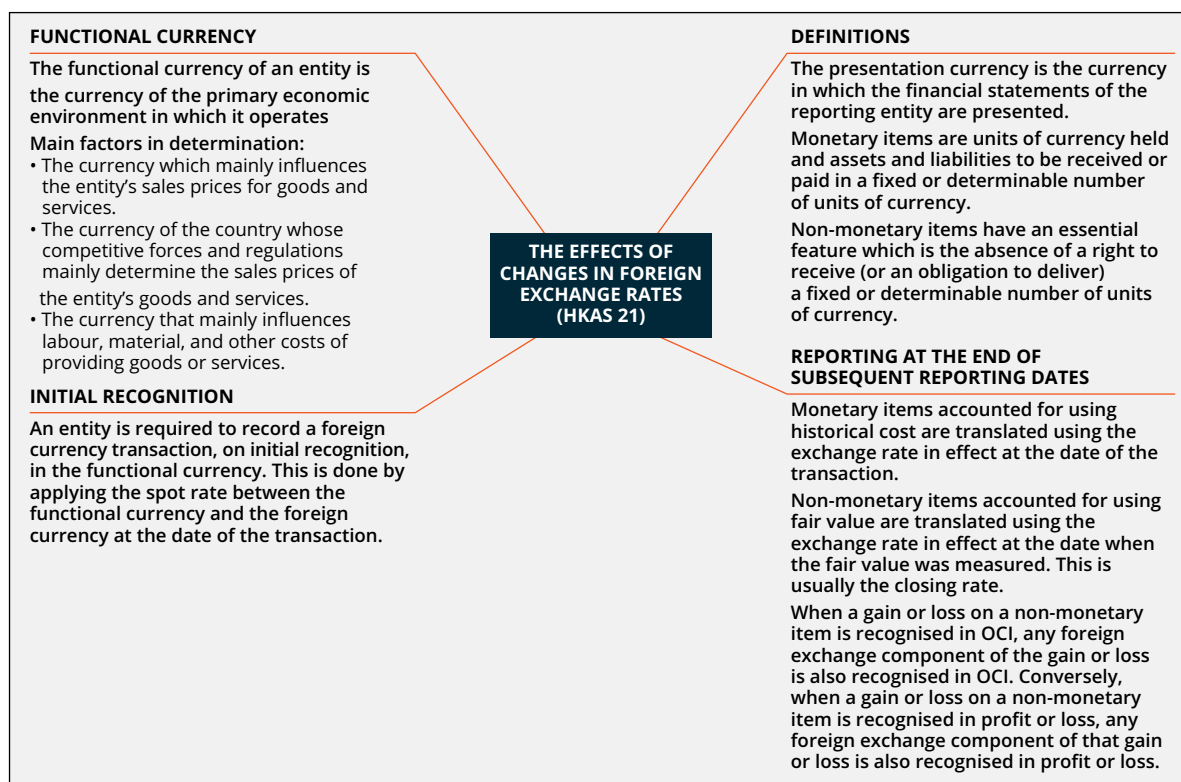
- A** If the net realisable value of the inventory exceeded its cost in the foreign currency, there would be no need to convert the cost and net realisable value to the functional currency to determine whether the inventory needs to be written down in the functional currency.
- B** There was only a need to convert the cost and net realisable value to the functional currency to determine whether the inventory needs to be written down if the net realisable value of the inventory is lower than its cost in the foreign currency.
- C** If the net realisable value of the inventory had exceeded its cost in the foreign currency, there would still be a need to convert the cost and net realisable value to the functional currency to determine whether inventory needs to be written down in the functional currency.
- D** All of the company's inventory would be considered onshore because the company is registered in Hong Kong.



SUMMARY

- HKAS 21 provides guidance on how foreign currency transaction should be accounted for and reported in the financial statement.
- The functional currency of an entity is the currency of the primary economic environment in which the entity operates. This is determined by three main factors:
 1. The currency which mainly influences the entity's sales prices for goods and services.
 2. The currency of the country whose competitive forces and regulations mainly determine the sales prices of the entity.
 3. The currency which mainly influences labour, material and other costs of providing goods and services.
- The presentation currency is the currency in which the financial statements of the reporting entity are presented.
- A monetary item is a right to receive (or an obligation to deliver) a fixed or determinable number of units of currency. Monetary items are translated from the functional currency to the presentation currency using the closing rate for the reporting period.
- A non-monetary item is the absence of a right to receive (or an obligation to deliver) a fixed or determinable number of units of currency. Non-monetary items are valued at either historical cost or fair value.
- Foreign currency transactions are initially recorded in the entity's functional currency. This is done by applying the spot exchange rate to the foreign currency amount.
- Monetary items are translated at the end of accounting periods at the closing rate. Any exchange differences are included in profit or loss for the period.
- Non-monetary items accounted for using historical cost are translated from the foreign currency to the functional currency using the exchange rate in effect at the date of the transaction.
- Non-monetary items accounted for using fair value are translated from the foreign currency to the functional currency using the exchange rates in effect at the date the fair value was measured.
- When gains or losses on non-monetary items are recognised in other comprehensive income (OCI), any exchange differences are also recognised in OCI. Conversely, when gains or losses on non-monetary items are recognised in profit or loss, the exchange differences are also recognised in profit or loss.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

The primary factors an entity needs to consider when determining its functional currency are:

1. (a) the currency which influences sales price,
(b) the currency of the country whose competitive forces and regulations mainly determine the sales price; and
2. the currency which influences the costs of providing goods and services.

HKAS21.9(a)(i) notes that the currency which mainly influences the sales prices for goods and services is often the one in which sales prices for the goods are denominated and settled. In this case the sales price is AUD and as such the currency which influences sales prices is the AUD.

As all business activity of Morrison Limited occurs in Australia, it can be assumed that Australia is the country whose competitive forces and regulations mainly affect sales price.

HKAS21.9(b) notes that the currency that mainly influences costs will often be the currency in which those costs are denominated and settled. As all costs are denominated and settled in AUD the currency which influences costs is the AUD.

All the evidence when considering the primary factors in HKAS21.9 indicate that the functional currency for Morrison Limited is the AUD.

HKAS
21.9

HKAS
21.9(a)(ii)

Question 2

Answer A is incorrect. As trade receivable is a monetary item, it is to be translated at the closing rate and not using the exchange rate at the time of the transaction. As such, the carrying amount of trade receivable as at 30 June 20X8 should be HK\$11,900 ($\text{HK\$}5.90 \times \text{CA\$}2,000$) and not HK\$11,740 ($\text{HK\$}5.87 \times \text{CA\$}2,000$).

Answer B is incorrect. As trade receivable is a monetary item, its carrying amount as at 30 June 20X8 should be HK\$11,900 ($\text{HK\$}5.90 \times \text{CA\$}2,000$) and not HK\$11,740 ($\text{HK\$}5.87 \times \text{CA\$}2,000$).

Answer C is correct. Being a monetary item, the carrying amount of trade receivable as at 30 June 20X8 was determined using the closing rate (i.e. $\text{HK\$}5.90 \times \text{CA\$}2,000 = \text{HK\$}11,900$). At the time of the transaction, the carrying amount of trade receivable was HK\$11,740 ($\text{HK\$}5.87 \times \text{CA\$}2,000$). The HK\$ value of the asset had, therefore, increased from HK\$11,740 to HK\$11,900, and the difference of HK\$160 ($\text{HK\$}11,900 - \text{HK\$}11,740$) was an unrealised foreign exchange gain in the statement of profit or loss and other comprehensive.

Answer D is incorrect. The HK\$ value of the trade receivable had increased from HK\$11,740 to HK\$11,900, meaning Collective was to receive more than it otherwise would if the HKD/CAD exchange rate did not change. An increase in trade receivable by HK\$160 due to exchange rate movements does not constitute an unrealised foreign exchange loss in the statement of profit or loss and other comprehensive. Rather, it is an unrealised foreign exchange gain.

Question 3

Answer A is incorrect. Inventory and share investments are not assets to be received in a determinable number of units of currency.

Answer B is incorrect. Cash and cash equivalents is a monetary asset.

Answer C is correct. Cash and cash equivalents are the only item which are to be received in a fixed or determinable number of units of currency. Neither inventory nor share investments meet that definition. A share investment is not a determinable number of units of currency held (i.e. a share investment is not a right to receive cash but the right to hold or sell a share in a company, in the same way as a company has the right to hold or sell land it owns).

Answer D is incorrect. Though cash and cash equivalents are a fixed amount of currency held, a share investment is not.

Question 4

The requirements of HKAS21 are that foreign currency transactions are to be recorded on initial recognition in the functional currency. In addition, the machinery constituted a non-monetary item under HKAS21 that was recorded at historical cost, reiterating that the exchange rate in effect at the time of the transaction was to be used for initial recognition. This is done by applying the spot rate on the date of the acquisition. The spot rate on the date of the acquisition of the machinery was $\text{HK\$}7.85 = \text{US\$}1.000$. With the acquisition price of US\$250,000, it meant the transaction was recorded at HK\$1,962,500 ($\text{US\$}250,000 \times \text{HK\$}7.85$).

Journal entry at acquisition (1 June 20X4)

	Debit	Credit
	HK\$	HK\$
Machinery	1,962,500	
Trade Payable (FX)		1,962,500
(Recognition of acquisition of machinery)		

Depreciation expense for the one-month period ended June 20X4 was calculated by applying the spot rate as of 1 June 20X4 and equaled HK\$16,354 [(US\$250,000/10 years × 1/12 months] × HK\$7.85). The journal entry on 30 June 20X8 to record depreciation was:

Journal entry to record depreciation (30 June 20X4)

	Debit	Credit
	HK\$	HK\$
Depreciation – Machinery	16,354	
Accumulated depreciation – Machinery		16,354
(Recognition of depreciation on machinery)		

The trade payable was a foreign currency item, specifically a foreign currency monetary item. This meant that it needed to be recognised at the end of the financial year at the closing rate, and any changes were required to be included in the statement of profit or loss for the period.

The new carrying amount of the trade payable was HK\$1,980,000 (US\$250,000 × HK\$7.92). This was an increase of HK\$17,500 and was included in the statement of profit or loss as a foreign exchange loss.

Journal entry at the end of financial year (30 June 20X4)

	Debit	Credit
	HK\$	HK\$
Foreign Exchange Loss (p/l)	17,500	
Trade Payable (FX)		17,500
(Recognition of loss on change in foreign exchange rate on trade payable)		

Question 5

The requirements of HKAS21 are that foreign currency transactions are to be recorded on initial recognition in the functional currency. This is done by applying the spot rate on the date of the transaction. The spot rate on the date of the acquisition of the land was AUD0.95 = NZD1.000. With the acquisition price of NZD400,000, this meant the transaction was recorded at AUD380,000 (NZD400,000 × 0.950).



Journal entry at acquisition

	Debit	Credit
	AUD	AUD
Land	380,000	
Cash		380,000
(Recognition of acquisition of land)		

The land was a foreign currency item, specifically a foreign currency non-monetary item. As Greenhalgh Limited chose the revaluation model, the land was translated at the exchange rate at the time of the revaluation, which in this case was the same as the end of the financial year. For the 20X7 financial year-end, the land was now to be carried at AUD 378,000 ($\text{NZD}420,000 \times 0.900$). There was a revaluation loss of AUD 2,000, and HKAS21 required this loss to be included in profit or loss as it would be under HKAS16.

Journal entry at the end of 20X7 financial year

	Debit	Credit
	AUD	AUD
Loss on revaluation	2,000	
Land		2,000
(Recognition of loss on change in foreign exchange rate land)		

For the 20X8 financial year-end, the land was now to be carried at AUD 459,000 ($\text{NZD}450,000 \times 1.02$). There was a revaluation gain (p/l) of AUD 81,000. Under the revaluation model, an increment was taken to other comprehensive income (OCI) unless it reversed a prior decrement. As there had been a prior decrement of AUD 2,000 in 20X7, among the AUD 81,000 foreign exchange gain the current year 20X8, AUD 2,000 was included in the profit or loss even though the remaining AUD 79,000 was included in OCI.

Journal entry at the end of 20X8 financial year

	Debit	Credit
	AUD	AUD
Land	81,000	
Gain on revaluation		2,000
Revaluation surplus (OCI)		79,000
(Recognition of gain on change in foreign exchange rate land)		

Question 6

Jax Limited was not required to make any entry at the end of the 20X8 financial year. Though the EUR value of the taxi licenses, a non-monetary item, had declined from EUR 2.5 million to EUR 1.9 million. This was not the focus for Jax Limited. What was relevant to Jax Limited was whether the GBP value had declined or not. This in accordance with HKAS21.25 which states that the carrying amount is determined by comparing the cost or carrying amount, as appropriate, translated at the exchange rate at the date when the amount was determined.

The taxi licenses would have initially been recognised at GBP 1,677,852 (EUR2,500,000/1.49). The GBP value of the taxi licenses at the end of 20X8 was GBP 1,696,429 (EUR1,900,000/1.12). This was GBP 18,576 higher than the initial cost of the licenses due to the strengthening of the EUR against the GBP over that time period. The taxi licenses were not impaired from the functional currency (GBP) perspective, and as such, Jax Limited did not record an entry.

Question 7

Answer A is incorrect. Whilst both the net realisable value and cost of the inventory are determined in the same foreign currency, they still both need to be converted to the functional currency to determine whether the inventory is impaired. The reason for this is the exchange rate used to translate the net realisable value may be different to that used for cost as they will have occurred on different dates. The net realisable value will be translated using the exchange rate at the date when the value was determined, whilst cost will be translated upon initial recognition.

Answer B is incorrect. There is a need to convert cost and net realisable value to the local currency regardless of whether the net realisable value is lower or higher than the cost in foreign currency. The reason for this is the exchange rate used to translate the net realisable value may be different to that used for cost as they will have occurred on different dates. The net realisable value will be translated using the exchange rate at the date when the value was determined, whilst cost will be translated upon initial recognition.

Answer C is correct. Even if the net realisable value exceeds cost when they are determined in the foreign currency, the net realisable value might be less than cost when cost and net realisable are translated to the functional currency. The reason for this is the exchange rate used to translate the net realisable value may be different to that used for cost as they will have occurred on different dates. The net realisable value will be translated using the exchange rate at the date when the value was determined, whilst cost will be translated upon initial recognition.

Answer D is incorrect. It is possible to have offshore inventory which isn't included in a foreign operation; for example, goods could be kept on a foreign supplier's premises for delivery to customers, without this premises being regarded as part of a foreign operation.

EXAM PRACTICE

QUESTION 1

Happy Stretch Limited (Happy Stretch) is a Hong Kong-based luxury sportswear company. It had established a number of factories throughout South East Asia, including Vietnam, Indonesia and Thailand. All materials and labour were generally acquired in local currencies. Acquisition of plant and machinery was done centrally through Hong Kong, so denominated in Hong Kong Dollars (HK\$). Currently, Happy Stretch only sold in the Hong Kong market, so sales were in HK\$. Borrowing was primarily from Hong Kong-based banks.

Required:

Determine the functional currency of Happy Stretch Limited.



QUESTION 2

An entity based in Europe with a Euro (EUR) functional currency made a sale of US\$1,000 to a customer based in the United States. The sale took place on 12 November 20X7 and was payable in USD on 11 January 20X8. The year-end for the entity was 31 December 20X7, and the customer settled the invoice on the due date. The following exchange rates were relevant:

Date	Rate EUR 1.00 = US\$
12 November 20X7	1.129
31 December 20X7	1.135
11 January 20X8	1.133

Required:

Record the journal entries the entity should make in relation to the sale:

- (a) At the date of the transaction
- (b) At year-end 31 December 20X7
- (c) At the date of settlement

QUESTION 3

XYZ Limited has the following liabilities on its statement of financial position: trade payable, borrowings and unearned revenue. Identify which of the following statements is true.

- A. All of these liabilities are monetary items
- B. None of these liabilities are monetary items
- C. Only the trade payable is a monetary item
- D. Only the trade payable and borrowings are monetary items

QUESTION 4

Carter Limited, a New Zealand domiciled company purchases land in Brisbane, Australia for AUD800,000. Carter Limited uses the cost model to account for property, plant and equipment. At the time of purchase the exchange rate was NZD0.971 = AUD1.000. As at the end of the financial year the property has reduced in value to AUD750,000 and the exchange rate is NZD1.085 = AUD1.000. Carter Limited has a NZD functional currency.

What would be the required entry as at the end of the financial year in relation to this property?

A.		Debit	Credit
		AUD	AUD
	Impairment loss	54,250	
	Accumulated impairment		54,250
B.		Debit	Credit
		AUD	AUD
	Impairment loss	50,000	
	Accumulated impairment		50,000

C.	Debit	Credit
	AUD	AUD
Land	36,950	
Other comprehensive income (AUD)		36,950

D. No entry required

ANSWERS TO EXAM PRACTICE

QUESTION 1

The primary factors an entity needs to consider when determining its functional currency are:

- (a) the currency which influences sales price,
(b) the currency of the country whose competitive forces and regulations mainly determine the sales price; and
- the currency which influences the costs of providing goods and services.

HKAS
21.9

HKAS21.9(a)(i) notes that the currency which mainly influences the sales prices for goods and services is often the one in which sales prices for the goods are denominated and settled. In this case sales only occur in Hong Kong and all sales are denominated in HK\$. As such the currency which mainly influences the sale prices for goods and services for Happy Stretch Limited is the HK\$.

HKAS
21.9(a)(ii)

As all sales activity of Happy Stretch Limited occur in Hong Kong, it can be assumed that Hong Kong is the country whose competitive forces and regulations main affect sales price.

HKAS21.9(b) notes that the currency that mainly influences costs will often be the currency in which those costs are denominated and settled. Costs for Happy Stretch are settled in a number of different currencies. Plant and machinery costs are incurred and settled in HK\$, whilst material and labour costs are denominated in the currencies of the countries in which the factories are located.

HKAS
21.12

When the indicators are mixed, management need to use its judgement to determine a functional currency that most faithfully represents the economic effects of the underlying transactions, events and conditions. In doing so, primacy would be given to the factors in HKAS21.9. Based on the evidence when considering the primary factors in HKAS21.9 as well as the additional factor regarding borrowing costs being HK\$ denominated, the functional currency for Happy Stretch Limited is likely to be the HK\$.

QUESTION 2

As the entity had a EUR functional currency and the sale was denominated in USD, this was a foreign currency transaction. HKAS21.21 required the entity to initially record this transaction in the functional currency by applying the spot rate at the date of the transaction. The sale took place on 12 November 20X7, so the exchange rate at that point in time (1 EUR = US\$ 1.129) was used. The US\$10,000 sale amount was the equivalent of EUR 8,857 (US\$10,000/1.129). The entry was as follows:



Date	Particulars	Debit	Credit
20X7		EUR	EUR
12 November	Trade receivable (FX)	8,857	
	Sales revenue		8,857
	(Initial recognition of sale)		

The US\$10,000 owed to the entity was a monetary item, which meant that at the end of the financial year, the trade receivable (FX) needed to be recognised in the financial statements by applying the closing rate to the foreign currency amount. The closing rate was the exchange rate at the financial year-end. In this case, that was 1 EUR = US\$ 1.135. This meant that EUR value of the trade receivable as of 31 December 20X7 was EUR8,811 (US\$10,000/1.135). The EUR 46 reduction in the trade receivable was an exchange difference, and because it was a monetary item, this difference was recognised in profit and loss for the period. The entry was as follows:

Date	Particulars	Debit	Credit
20X7		EUR	EUR
31 December	Loss on revaluation (p/l)	46	
	Trade receivable (FX)		46
	(Recognition of foreign exchange difference)		

When the customer settled the account, the entity received US\$10,000. This amount was recognised at the spot rate on the date it was settled: 11 January 20X8. The rate at this time was 1 EUR = US\$ 1.333. This meant that the entity recognised the receipt of EUR 8,826 to settle the trade receivable of EUR 8,811. An exchange difference of EUR 15 arose. HKAS21.28 required that this difference also be recognised in profit and loss for the period. The journal entry was as follows:

Date	Particulars	Debit	Credit
20X8		EUR	EUR
11 January	Cash	8,826	
	Gain on foreign exchange difference		15
	Trade receivable (FX)		8,811
	(Settlement of trade receivable and recognition of foreign exchange difference)		

QUESTION 3

Answer A is incorrect. Whilst trade payable and borrowings are both monetary items, unearned service revenue is a non-monetary item. Monetary items are assets and liabilities to be received or paid in a fixed or determinable amount of currency. Unearned service revenue represents an obligation to provide a service for monies which have already been received. It does not represent a fixed amount of currency to be paid.

Answer B is incorrect. Both trade payable and borrowings are monetary items.

Answer C is incorrect. While trade payable is a monetary item, borrowings are as well.

HKAS
21.8

HKAS
21.8

Answer D is correct. Monetary items are assets and liabilities to be received or paid in a fixed or determinable amount of currency. Both trade payable and borrowings represent a fixed amount of currency to be paid in the future, and are therefore, monetary items.

QUESTION 4

HKAS
21.25

Answer A is incorrect. If you calculated NZD54,250 you multiplied the AUD50,000 reduction in value by the foreign exchange rate ($\text{NZD}1.085 = \text{AUD}1.000$) at the end of the financial year. The correct process is to translate both cost and recoverable amount at the dates those value were determined and then compare them.

Answer B is incorrect. If you calculated NZD50,000 you took the AUD difference between the recoverable amount and cost. Any entry must take place in the NZD functional currency and also compare the cost and recoverable amount using the foreign exchange rate at the date when the value was determined.

Answer C is incorrect. Whilst the land has appreciated in value by NZD36,950, the cost model does not allow for the asset to be carried at an amount greater than cost. As such, no entry is required.

HKAS
21.25

Answer D is correct. When the carrying amount is determined by comparing two amounts, then the cost and recoverable amount must be translated at the exchange rate at which that value was determined before being compared. In this case the AUD800,000 cost would be translated at the exchange rate at the time of purchase ($\text{NZD}0.971 = \text{AUD}1.000$). This equates to NZD776,800. The AUD750,000 recoverable amount would be translated using the exchange rate at the end of the financial year ($\text{NZD}1.085 = \text{AUD}1.000$). This equates to NZD 813,750. Whilst the land is impaired in AUD, in the functional currency it has appreciated in value. As the cost model does not allow for the asset to be carried at an amount greater than cost, no entry is recorded.

19

Related Party Disclosures



CHAPTER TOPIC LIST

19.1 Related Party Disclosure Overview

19.2 Definitions

19.2.1 Person (or a Close Member of that Person's Family)

19.2.2 Entity

19.2.3 Not Related Parties

19.3 Disclosure

19.3.1 All Entities

19.3.2 Key Management Personnel



LEARNING OUTCOMES

PRINCIPAL LO2: APPLY APPROPRIATE ACCOUNTING PRINCIPLES AND CONCEPTS TO ACCOUNT FOR BUSINESS TRANSACTIONS

LO2.15: Describe and account for business transactions in accordance with Hong Kong Financial Reporting Standards as they relate to related party disclosures

2.15.01 Define and identify related parties

2.15.02 Explain the significance of sufficient disclosure of related party transactions

2.15.03 Describe the disclosure requirements in respect of the related party relationships and transactions

OPENING CASE

MYLKCHOK

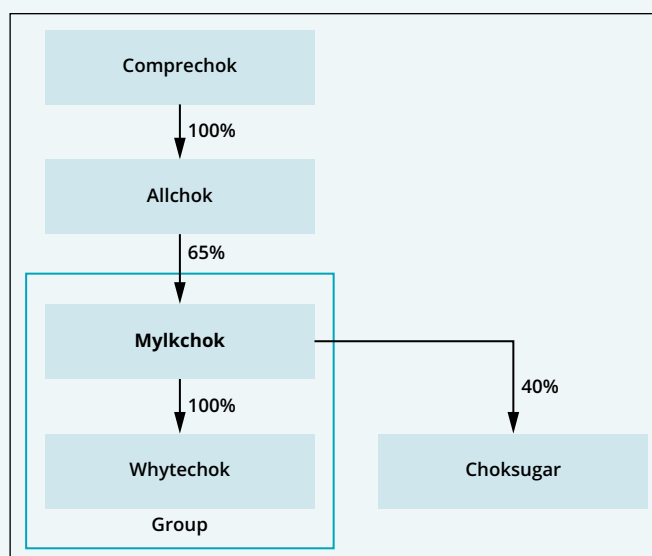
Mylkchok Co. (Mylkchok) is a manufacturer of milk chocolate operating in China. The shares of Mylkchok are 65% owned by Allchok Co. (Allchok), the largest distributor of a variety of chocolates operating in Asia, resulting in Allchok controlling Mylkchok. Allchok is wholly owned and controlled by Comprechok Co. (Comprechok).

Mylkchok holds 100% of the shares issued by Whytechok Co. (Whytechok), and controls Whytechok. Furthermore, Mylkchok owns 40% of the shares issued by Choksugar Co. (Choksugar) and has significant influence over Choksugar.

Throughout the year ended 31 December 20X4, Choksugar sold sugar stocks to Mylkchok. Mylkchok sold milk chocolate blocks to Allchok in exchange for the settlement of a loan provided to Mylkchok. Finally, during the period, Whytechok transferred white chocolate to Mylkchok in exchange for nil consideration.

T. Jones and M. Montgomery are directors on the board of Mylkchok.

The Mylkchok group structure, of which Mylkchok is the head entity with its own reporting requirements, is shown in Exhibit 19.1, with the indicated proportionate shareholdings.



► **EXHIBIT 19.1** Mylkchok group structure

OVERVIEW

An entity might have a broad spectrum of possible relationships with other parties, and those relationships can manifest themselves in different ways. HKAS 24 (Revised) *Related Party Disclosures* identifies particular types of relationships (those with 'related parties') about which it requires specific minimum information to be disclosed in financial statements.

Entities commonly conduct parts of their business through subsidiaries, joint ventures and associates. Through its investment, an entity can affect the financial and operating policies of such investees. These investments create a related party relationship, which can affect the profit or loss and financial position of the investee and investor. A related party is not limited to a business entity; a related party can also be a person (including a close member of that person's family) who controls or has significant influence over an entity or can be a member of an entity's key management personnel.

The relationship between an entity and a related party might cause the entity to transact with the related party on terms that are different when compared to terms of transactions with unrelated parties (i.e. arm's length transactions). That is, related parties might enter into transactions that unrelated parties would not (e.g. a parent may provide an interest-free loan to a subsidiary). Conversely, they might refrain from certain transactions because of relationships; for example, a subsidiary may no longer transact with an external trading partner where its parent acquires a fellow subsidiary engaged in the same activities as the former trading partner. Consider the exercise of comparing the financial results of two entities operating in the same industry, where one entity enters into significantly more related party transactions. Knowledge of such related party transactions is necessary when determining and comparing the value of each entity.

This chapter explores the disclosures required in relation to related parties and related party transactions.



19.1 RELATED PARTY DISCLOSURE OVERVIEW

HKAS 24 (Revised) *Related Party Disclosures* sets out disclosure requirements for related party relationships, transactions and outstanding balances with related parties. The purpose of the disclosures is to draw attention to the possibility that the entity's reported financial position and performance may have been affected by the existence of related parties and by material transactions or outstanding balances with them.

19.2 DEFINITIONS

HKAS 24 (Revised) provides guidance on identifying which persons and entities are a related party of an entity. Based on the facts and circumstances of a relationship, an entity is required to determine whether it is dealing with a related party, and if so, provide disclosures in relation to transactions with that related party.

HKAS
24.9

A **related party** is a person or entity related to the entity preparing its financial statements ('reporting entity'). Although not explicitly stated in HKAS 24 (Revised), that person or entity (e.g. a newly appointed director) might be related for the entire period or for only part of the period.

HKAS
24.9

A **related party transaction** is a transfer of resources, services or obligations between a reporting entity and a related party regardless of whether a price is charged. As specifically identified in the definition, a related party transaction might be made with no charge (e.g. a parent entity might gift inventories to its subsidiary).

As detailed in Sections 19.2.1 and 19.2.2, the term 'related' is effectively defined by way of a list of relationships that would indicate one entity (a person or an entity) is related to the reporting entity. Though HKFRSs are principles-based standards, the list of relationships noted might be thought of as a practical solution to dealing with a complex issue and achieving a reasonable level of consistency across entities within the context of the objective of HKAS 24 (Revised).

HKAS
24.10

The following lists are not the only instances in which a related party relationship exists; there might be other examples of related party relationships. An entity must direct its attention to the substance of the relationship and not merely the legal form.

This section outlines which persons and entities are considered related parties of an entity and which are not related parties for the purposes of HKAS 24 (Revised).

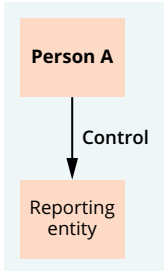
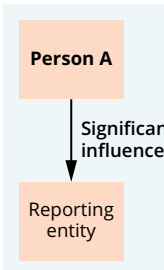
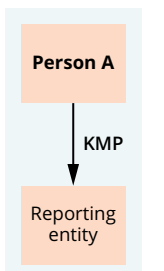
Key Learning Point

An entity's related parties may change from period to period.

19.2.1 Person (or a Close Member of that Person's Family)

HKAS
24.9, (a)

A person or a close member of that person's family is related to a reporting entity in the following scenarios. In the accompanied examples, Person A is a related party of the reporting entity.

Related party relationship	Example
1. The person has control or joint control of the reporting entity. A person has control over the reporting entity when the person is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity (see Chapter 23)	 <pre> graph TD A[Person A] -- Control --> B[Reporting entity] </pre>
2. The person has significant influence over the reporting entity. A person has significant influence over the entity when the person has the power to participate in the financial and operating policy decisions of the entity, but that power is insufficient to give the person control or joint control over those policies (see Chapter 24)	 <pre> graph TD A[Person A] -- Significant influence --> B[Reporting entity] </pre>
3. The person is a member of the key management personnel (KMP) of the reporting entity or of a parent of the reporting entity.	 <pre> graph TD A[Person A] -- KMP --> B[Reporting entity] </pre>

Key management personnel (KMP) are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

HKAS
24.9

Close members of the family of a person are those family members who may be expected to influence, or be influenced by, that person in their dealings with the entity and will always include:

- that person's children and spouse or domestic partner;
- children of that person's spouse or domestic partner; and
- dependents of that person or that person's spouse or domestic partner.

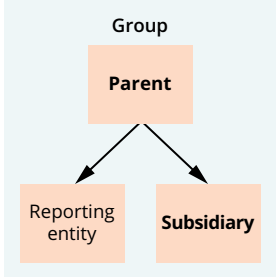
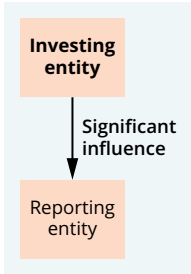
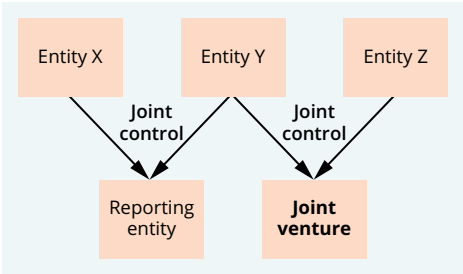
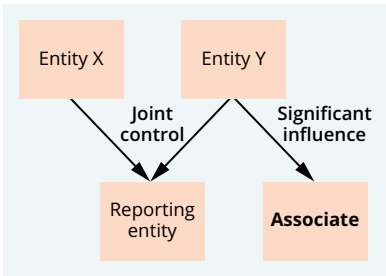
HKAS
24.9

This definition is expressed in a principles-based manner and does not provide an exhaustive list of all possible persons who might be 'close members'. For example, other family members, including parents and grandparents, could qualify depending on the assessment of specific facts and circumstances.

19.2.2 Entity

HKAS
24.9, b

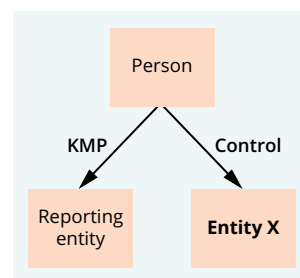
An entity, as distinct from a person, is related to a reporting entity if any of the following conditions applies. In the accompanying example, those entities in bold text are related parties of the reporting entity. (Please note that there may be other related parties in each illustrated scenario.)

Related party relationship	Example
1. The entity and the reporting entity are members of the same group, which means that each parent, subsidiary and fellow subsidiary is related to the others.	
2. One entity is an associate or joint venture of the other entity (or an associate or joint venture of a member of a group of which the other entity is a member).	
3. Both entities are joint ventures of the same third party.	
4. One entity is a joint venture of a third entity, and the other entity is an associate of the third entity.	

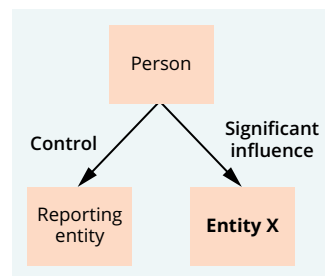
Related party relationship (continued)

Example

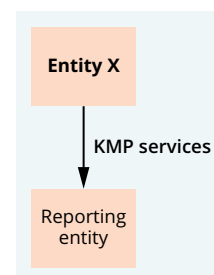
5. The entity is controlled or jointly controlled by a person identified in Section 19.2.1.



6. A person identified in Section 19.2.1 (1) (i.e. a person) or a close member of that person's family who has control or joint control of the reporting entity has significant influence over the entity or is a member of the key management personnel of the entity (or of a parent of the entity).



7. The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.



Illustrative Example 1

The following are related parties of Mylkchok:

- Allchok – because Allchok and Mylkchok are members of the same group;
- Whytechok – because Mylkchok and Whytechok are members of the same group;
- Choksugar – because Choksugar is an associate of Mylkchok;
- Comprechok – because Mylkchok, Allchok, and Comprechok are members of the same group; and
- T. Jones and M. Montgomery and close members of their respective families (e.g. a spouse) – because the directors are members of the key management personnel of the reporting entity (Mylkchok).

HKAS 24 (Revised)
para 9(b)(i)

HKAS 24 (Revised)
para 9(b)(i)

HKAS 24 (Revised)
para 9(b)(ii)

HKAS 24 (Revised)
para 9(b)(i)

HKAS 24 (Revised)
para 9(a)(iii)

19.2.3 Not Related Parties

HKAS 24 (Revised) clarifies the following are not related parties:

- two entities simply because they have a director or other member of key management personnel in common or because a member of key management personnel of one entity has significant influence over the other entity;
- two joint venturers simply because they share joint control of a joint venture;
- a customer, supplier, franchisor, distributor or general agent with whom an entity transacts a significant volume of business by virtue of the resulting economic dependence. (However, other standards might require separate disclosure of significant transactions and resulting economic dependence where such disclosure is relevant to an understanding of an entity's financial statements.)

HKAS
24.11

The exclusions have the effect of narrowing the scope of parties that might otherwise be thought to meet the definition of a 'related party', thereby reducing the level of disclosure that might otherwise be thought to be required by HKAS 24 (Revised).

Illustrative Example 2

Mylkchok purchases all of its supplies of dark chocolate from Darkchok Co. (Darkchok). To manufacture milk chocolate, Mylkchok mixes the dark chocolate with white chocolate transferred from Whytechok, in return for nil consideration.

Though Mylkchok is dependent on Darkchok for 100% of its supply of dark chocolate, this dependency does not create a related party relationship between Mylkchok and Darkchok.

In contrast, Mylkchok and Whytechok are related parties by virtue of the entities being members of the same group (i.e. Whytechok is a subsidiary of Mylkchok). Accordingly, Mylkchok is required to disclose the nature of the related party relationship and the terms of the transfer of the white chocolate from Whytechok (refer to Section 9.3 for further information).

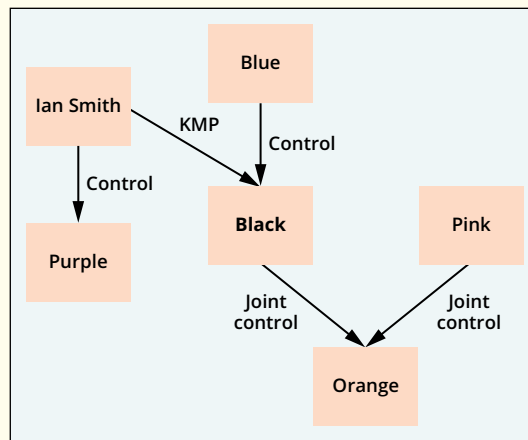
Apply and Analyse 1

Blue Limited (Blue) holds 100% of the shares in Black Limited (Black). Ian Smith is the CEO of Black and also owns 100% of the shares in Purple Limited (Purple). Black has joint control over Orange Limited (Orange), where Pink Limited (Pink) is the other joint venture partner.

Determine the related parties of Black.

Apply and Analyse 1 (continued)

Analysis



Black determines that the following are its related parties:

- Blue – because Black and Blue are members of the same group;
- Ian Smith – because Ian Smith is a member of the key management personnel of Black;
- Purple – because Purple is controlled by Ian Smith, who is a member of the key management personnel of Black; and
- Orange – because Orange is a joint venture of Black.

Black identifies that Pink is not a related party as Black and Pink simply share joint control (are joint venturers) of Orange.

► Knowledge Check Questions

Question 1

AB Farms Co. (AB Farms) operates in the agriculture industry, and its main customer is Produce & Permaculture Co. (Produce & Permaculture), which purchases approximately 75% of AB Farms' produce. AB Farms owns 80% of the share capital issued by CD Supplies & Stores Co. (CD Supplies & Stores), which it consolidates. AB Farms refinanced a HK\$7,585,000 loan with Finance For Farms Co. (Finance For Farms) to receive a fixed interest rate discount of 0.5%. B. Jordan is the CEO of AB Farms.

Identify which entities are related parties of AB Farms.

- A** Finance For Farms, CD Supplies & Stores, Produce & Permaculture and B. Jordan
- B** CD Supplies & Stores and B. Jordan
- C** Finance For Farms, CD Supplies & Stores and Produce & Permaculture
- D** CD Supplies & Stores only

► Knowledge Check Questions (*continued*)

Question 2

K. Vince has been the chair of the board of directors of Farmasooticals Co. (Farmasooticals), a pharmaceuticals company, for a period of four years. K. Vince is due to retire and relinquish her role as chair, effective 28 August 20X9. P. Stryth is due to take over the role on the same date.

For the purposes of Farmasooticals' financial statements for the year ended 31 December 20X9, identify which person/persons will be related parties?

- A** K. Vince only
- B** Neither K. Vince nor P. Stryth
- C** P. Stryth only
- D** Both K. Vince and P. Stryth

Question 3

Tenace Distribution Co. (Tenace Distribution) and Soccer Nets Co. (Soccer Nets) each have equal 50% share interests in Manufactured Sports Co. (Manufactured Sports), a joint venture established for the purpose of manufacturing custom-made sports equipment.

Determine whether Tenace Distribution and Soccer Nets' equal ownership in Manufactured Sports is evidence of a related party relationship between Tenace Distribution and Soccer Nets.

➤ 19.3 DISCLOSURE

HKAS 24 (Revised) *Related Party Disclosures* is a disclosure standard. The required disclosures supplement the disclosures required by national company legislation (e.g. Section 383 of the Hong Kong Companies Ordinance (HK Companies Ordinance) requires the disclosure of director emoluments, and Chapter 14A of the Hong Kong Listing Rules requires disclosure of connected transactions with connected persons) and other accounting standards (e.g. HKAS 1 *Presentation of Financial Statements* and HKFRS 12 *Disclosure of Interests in Other Entities*).

As noted in Section 19.1, given that related parties may affect the financial position and profit or loss of an entity, users of financial statements must be aware of related party relationships and transactions, outstanding balances and commitments with such parties.

This section considers the required disclosures regarding all entities and key management personnel (KMP).

19.3.1 All Entities

19.3.1.1 Parent-subsidary Relationships

The standard requires the disclosure of relationships between a parent (the reporting entity) and its subsidiaries irrespective of whether transactions have existed between them.

On the other hand, a subsidiary is also required to disclose the name of its parent entity and if different from the parent, the name of the ultimate controlling party. Where the parent entity or ultimate parent entity do not produce consolidated financial statements available for public use, an entity must disclose the name of its next most senior parent that does. The next most senior parent is the first parent in the group above the immediate parent that produces consolidated financial statements available for public use.

HKAS
24.13

HKAS
24.16

As the parent of Mylkchok is not the ultimate controlling party, Mylkchok must disclose the name of its parent (Allchok) and ultimate controlling party (Comprechok).

19.3.1.2 Related Party Transactions

Where transactions with a related party have occurred during a period, an entity must disclose the nature of the related party relationship as well as information about the transactions and outstanding balances (including commitments) necessary for users of the financial statements to understand the effects of such related party transactions on the financial statements. At a minimum, an entity must disclose:

- the amount of the transactions;
- the amount of outstanding balances, including commitments, and:
 - their terms and conditions, including whether they are secured, and the nature of the consideration to be provided in settlement; and
 - details of any guarantees given or received;
- provisions for doubtful debts related to the amount of outstanding balances; and
- the expense recognised during the period in respect of bad or doubtful debts due from related parties.

HKAS
24.18

Examples of related party transactions include:

- purchases or sales of goods (finished or unfinished);
- purchases or sales of property and other assets;
- rendering or receiving of services;
- leases;
- transfers of research and development;
- transfers under licence agreements;
- transfers under finance arrangements (including loans and equity contributions in cash or in kind);



- provision of guarantees or collateral;
- commitments to do something if a particular event occurs or does not occur in the future; and
- settlement of liabilities on behalf of the entity or by the entity on behalf of that related party.

HKAS
24.21

Key Learning Point

Related party transactions include transactions between related parties on arm's length or non-arm's length price.

Apply and Analyse 2

Throughout the year ended 31 December 20X4, Choksugar sold sugar stocks to Mylkchok at a cost of HK\$1.7 million, and HK\$1.2 million remained outstanding at the end of the year. Furthermore, Whytechok transferred white chocolate blocks to Mylkchok in exchange for nil consideration.

At the beginning of the year, Mylkchok had a HK\$2.6 million loan payable to Allchok. During the period, Mylkchok settled the loan issued by Allchok in exchange for the transfer of milk chocolate blocks.

The HK\$1.2 million payable to Choksugar is due to be settled by 31 March 20X5.

Explain why adequate disclosure in relation to the transfer of white chocolate from Whytechok to Mylkchok is required in Mylkchok's financial statements. Describe the related party transactions disclosures required to be made by Mylkchok in its 31 December 20X4 financial statements.

Analysis

Mylkchok determines that Allchok, Whytechok and Choksugar are related parties (refer to Illustrative Example 1). Accordingly, it must disclose details of the related party transactions.

Though Whytechok transferred white chocolate to Mylkchok in exchange for nil consideration, adequate disclosure of the transaction is required for users of Mylkchok's financial statements to make informed assessments in relation to Mylkchok's financial performance and position. When assessing Mylkchok's stand-alone performance, Mylkchok's cost of sales and inventories balance may be significantly lower when compared to a competitor that purchases its inventories at arm's length prices. Knowledge of such transactions may impact decisions made by users of Mylkchok's financial statements (e.g. the profitability of Mylkchok may be impacted if Allchok decided that Mylkchok is to be spun-off from the group, that is, Mylkchok might then be required to source white chocolate from another party, likely at arm's length prices).

Apply and Analyse 2 (continued)

Mylkchok is required to:

- disclose the purchase of sugar stocks (HK\$1.7 million) from Choksugar and the amount outstanding (HK\$1.2 million), the terms and conditions of the purchase (the date the balance is due, i.e. 31 March 20X5), whether the outstanding is secured and the nature of the consideration to settle the outstanding (i.e. cash);
- the acquisition of white chocolate from Whytechok at nil consideration and any related terms and conditions; and
- the settlement of the loan from Allchok (HK\$2.6 million), including the form of consideration provided to Allchok (i.e. milk chocolate blocks).

19.3.2 Key Management Personnel

An entity is required to disclose the total **compensation** of its key management personnel (KMP) and for each of the following:

- short-term employee benefits (e.g. wages and salaries);
- post-employment benefits (e.g. retirement benefits);
- other long-term benefits (e.g. long-term leave or sabbatical leave);
- termination benefits (e.g. severance payments); and
- share-based payment (e.g. share options and share appreciation rights).

HKAS
24.17

Under HKAS 24 (Revised), an entity is not required to disclose the amount of compensation of each individual key management person.

Illustrative Example 3

Mylkchok made the following disclosure in relation to compensation of KMP in its consolidated financial statements for the year ended 31 December 20X4.

Compensation of KMP

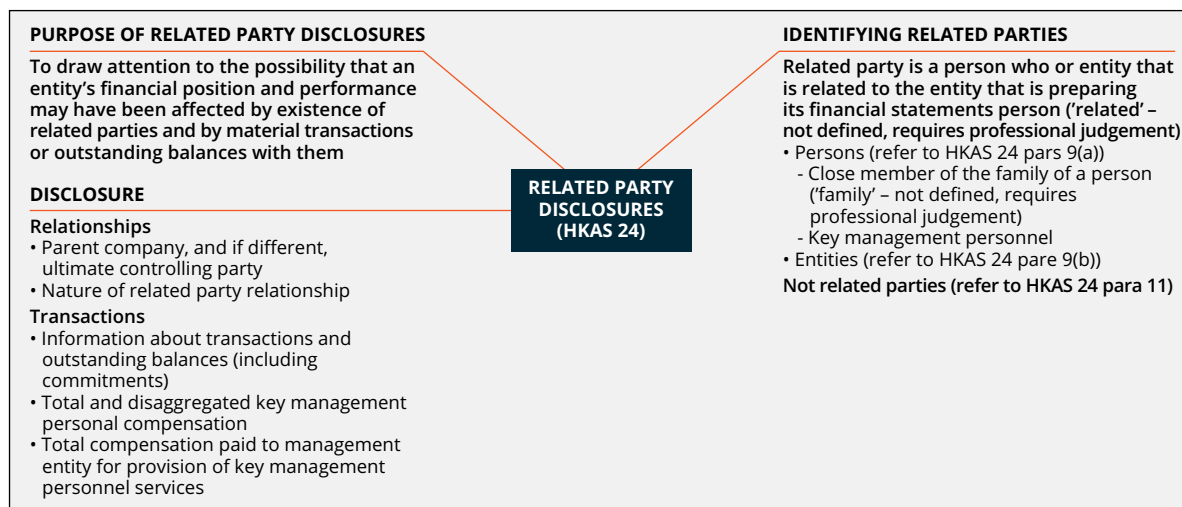
	20X4 HK\$000	20X3 HK\$000
Short-term benefits	2,782	2,679
Post-employment benefits	319	360
Other long-term benefits	43	29
Termination benefits	380	367
Share-based payment	540	511
	<u>4,064</u>	<u>3,946</u>



SUMMARY

- HKAS 24 (Revised)'s objective is to ensure disclosures necessary to draw attention to the possibility that an entity's financial position and profit or loss may have been affected by the existence of related parties and by transactions and outstanding balances (including commitments) with related parties.
- HKAS 24 (Revised) specifies the disclosure requirements for related party relationships.
- A related party is a person or entity related to the entity preparing its financial statements. The relationship can arise through various means, including control, joint control, significant influence, common control, key management and familial connections.
- A related party transaction is a transfer of resources, services or obligations between a reporting entity and a related party regardless of whether a price is charged.
- Key management personnel (KMP) are those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.
- Entities are required to disclose the name of its parent company, and if different from the parent, the name of the ultimate controlling party. Where the parent company or ultimate parent company do not produce consolidated financial statements available for public use, an entity must disclose the name of its next most senior parent that does.
- Where a related party transaction occurs, an entity must disclose the nature of the related party transaction and information about the transaction and outstanding balances (including commitments).
- Entities must disclose the total compensation of its KMP and separately by:
 - short-term employee benefits;
 - post-employment benefits;
 - other long-term benefits;
 - termination benefits; and
 - share-based payments.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. Finance For Farms and Produce & Permaculture are not related parties of AB Farms. Though Finance For Farms provides finance to AB Farms and terms attached to the loan (e.g. interest coverage covenants) may impact decisions made by AB Farms, such financing arrangements do not constitute a related party relationship. Similarly, though AB Farms might be economically dependent on Produce & Permaculture by virtue of the significance of sales to the entity, such arrangements do not constitute a related party relationship.

Answer B is correct. CD Supplies is a related party of AB Farms as it is a subsidiary of AB Farms. B. Jordan is a related party of AB Farms as B. Jordan is a member of the key management personnel of AB Farms.

Answer C is incorrect. Produce & Permaculture is not a related party of AB Farms. Though AB Farms might be economically dependent on Produce & Permaculture by virtue of the significance of sales to the entity, such arrangements do not constitute a related party relationship.

Answer D is incorrect. B. Jordan is also a related party of AB Farms as B. Jordan is a member of the key management personnel of AB Farms.

Question 2

Answer A is incorrect. P. Stryth is also a related party of Farmasooticals. This is because P. Stryth was a member of the key management personnel (KMP) of Farmasooticals for part of the year.

Answer B is incorrect. K. Vince and P. Stryth are related parties of Farmasooticals. This is because both persons were members of the KMP of Farmasooticals' during the year of 20X9.

HKAS 24 (Revised)
para 11

HKAS 24 (Revised)
para 9 (b)(i)

HKAS 24 (Revised)
para 9 (a)(iii)

HKAS 24 (Revised)
para 11

HKAS 24 (Revised)
para 9 (a)(iii)

HKAS 24 (Revised)
para 9 (a)(iii)

Answer C is incorrect. K. Vince is also a related party of Farmasooticals. This is because P. Stryth was a member of the KMP of Farmasooticals for part of the year. The fact that K. Vince is no longer a member of the KMP as at 31 December 20X9 does not impact the assessment.

Answer D is correct. K. Vince and P. Stryth are related parties of Farmasooticals. This is because both persons were members of the KMP of Farmasooticals' during the year of 20X9. The fact that both chairs did not serve the entire year does not impact the assessment as to whether they are related parties of Farmasooticals.

Question 3

Tenace Distribution and Soccer Nets' equal ownership in Manufactured Sports does not result in a related party relationship between the two joint venture partners. Therefore, in the absence of further information, Tenace Distribution and Soccer Nets' are not related parties.

HKAS 24 (Revised)
para 9 (a)(iii)

HKAS 24 (Revised)
para 11

EXAM PRACTICE

QUESTION 1

Identify which of the following is not a related party transaction.

- A. The grant of share options to the CEO of an entity.
- B. The transfer of inventories from a parent entity to its subsidiary at no charge.
- C. An annual bonus paid to sales staff of an entity.
- D. An interest-free HK\$120,000 loan made to a director of an entity.

QUESTION 2

Identify which of the following statements is false.

- A. The financial performance and financial position of a subsidiary can be impacted by its parent, even when no transactions occur between the two entities.
- B. Arm's length transactions between related parties do not require disclosure.
- C. Entities are not required to disclose compensation separately for each key management person.
- D. The lease of vehicle from a subsidiary to its parent is a related party transaction.

QUESTION 3

Clothes 'N' All Co. (Clothes 'N' All) is a manufacturer of discounted clothing in Hong Kong. Clothes 'N' All sells clothes to several retail outlets operating in the region. The Chair of the Board of Clothes 'N' All was B. Humphreys, who had held the position for a period of three years. Other than B. Humphreys, three independent and two executive directors are on the Board of Clothes 'N' All.

Clothes 'N' All granted a HK\$3 million interest-free loan to B. Humphreys' spouse, N. Humphreys. The purpose of the loan was to provide funding for N. Humphreys' start-up business. The loan was due for repayment by 31 October 20X9.

Clothes 'N' All owned 30% of the issued shares in AllClothesRetailed Co. (AllClothesRetailed), which resulted in Clothes 'N' All having significant influence over AllClothesRetailed. Attached to its largest manufacturing facility, Clothes 'N' All leased a retail space to AllClothesRetailed. AllClothesRetailed pays HK\$400,000 per year for the space, with a 4% fixed price increase per every third year. The lease expired on 31 December 20Y0, and in accordance with HKFRS 16 *Leases*, Clothes 'N' All recognised a lease receivable from AllClothesRetailed of HK\$1.5 million at 31 December 20X3.

Clothes 'N' All provided a 20% discount to all its sales staff (staff chiefly responsible for procuring sales contracts with retail outlets). For the year ended 31 December 20X3, sales to sales staff totalled HK\$1.2 million (net of the discount received).

During a planning meeting related to the preparation of the 31 December 20X3 financial statements, the financial accountant of Clothes 'N' All was alerted that the board's compensation structure had changed at the beginning of the year. The effect of the change resulted in board members forgoing 20% of their salary in exchange for other long-term incentives.

Required:

- Identify which parties are related to Clothes 'N' All in accordance with the definition and lists of relationships in HKAS 24 (Revised).
- Identify the impact of the change the Board's remuneration on Clothes 'N' All's financial statements relating to disclosure under HKAS 24 (Revised).
- Prepare the related party disclosures that Clothes 'N' All must make in its 31 December 20X3 financial statements.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect. The CEO of an entity is a member of the entity's key management personnel, and therefore, transactions with a CEO, including share-based payments, are related party transactions.

Answer B is incorrect. A parent and subsidiary are members of the same group, and therefore, are related parties. The transfer of inventories is a related party transaction. The fact that the transfer was made at no charge does not impact the assessment.

Answer C is correct. In the absence of any information to the contrary, sales employees are not related parties of an entity (i.e. are not key management personnel), and therefore, transactions with sales staff are not related party transactions.

Answer D is incorrect. B. Directors of an entity are considered key management personnel, and therefore, the loan to the director is a related party transaction.

HKAS 24 (Revised)
para 9

HKAS 24 (Revised)
para 17(e)

HKAS 24 (Revised)
para 9(b)(i)

HKAS 24 (Revised)
para 21(a)

HKAS 24 (Revised)
para 9

HKAS 24 (Revised)
para 9

HKAS 24 (Revised)
para 21(g)

QUESTION 2

Answer A is incorrect. The financial performance and financial position of an entity can be impacted by a related party even where no transactions between the related parties take place. For example, a subsidiary might discontinue a line of business as that line of business is conducted by another subsidiary of the parent.

Answer B is correct. All transactions between related parties are required to be disclosed, irrespective of whether they are made on an arm's length or non-arm's length basis.

Answer C is incorrect. Entities are only required to disclose key management personnel in total and for each of the five compensation categories.

Answer D is incorrect. A parent and subsidiary are related parties, and leases between related parties are a type of related party transaction.

QUESTION 3

(a) Related parties of Clothes 'N' All

Based on the definition of 'related party', which includes lists of related parties in paragraph 9 of HKAS 24 (Revised), the following are related parties of Clothes 'N' All:

- The Board of Directors (including the Chair of the Board B. Humphreys, the three independent directors and the two executive directors) – because the Directors are members of Clothes 'N' All's key management personnel;
- N. Humphreys – because N. Humphreys is a close member of B. Humphreys' family (spouse), and B. Humphreys is a member of Clothes 'N' All's key management personnel; and
- AllClothesRetailed – because AllClothesRetailed is an associate of Clothes 'N' All.

Although the question has not asked you to identify which parties would not be captured by the relationships listed in HKAS 24 (Revised), the sales staff of Clothes 'N' All are not considered related parties of Clothes 'N' All. It is unlikely that the sales staff would meet the definition of key management personnel (KMP), and therefore, the staff would not be related parties of Clothes 'N' All.

(b) Change in Board of Directors' remuneration

As identified in the scenario information, the structure of the Board's remuneration has changed such that the directors will forgo cash remuneration in exchange other for long-term incentives. Accordingly, Clothes 'N' All's KMP compensation disclosure will change through a reduction in short-term employee benefits and an increase in other long-term incentives.

(c) Related party disclosures

Related party transactions

During the year, the company provided an unsecured HK\$3 million interest-free loan to the Chair's spouse, N. Humphreys. The loan was repayable in cash by 31 October 20X9.

The company received HK\$400,000 in rental payments from an associate, AllClothesRetailed, for the lease of retail space. The lease expired on 31 December 20Y0. The terms of the lease agreement included a 4% increase in rental payments every third year, with the next increase effective from 1 January 20X5. As of 31 December 20X3, the total lease receivable was HK\$1.5 million.

Though the amounts were not provided in the scenario information, the compensation of directors (being KMP of Clothes 'N' All) was required to be disclosed. Clothes 'N' All was required to categorise the compensation of directors into five categories;

- short-term employee benefits
- post-employment benefits
- other long-term benefits
- termination benefits
- share-based payment

Part C

Financial Statements



Chapter 20 Financial Statements Introduction

Chapter 21 Statement of Cash Flows

20

Financial Statements Introduction

CHAPTER TOPIC LIST

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LEARNING OUTCOMES

PRINCIPAL LO3: PREPARE AND PRESENT FINANCIAL STATEMENTS IN ACCORDANCE WITH HONG KONG FINANCIAL REPORTING STANDARDS

LO3.01: Explain the basis of preparation and presentation of financial statements

3.01.01 Define the elements of financial statements

3.01.02 Explain the classification, presentation and disclosures required for the following financial statements:

- a statement of financial position
- a statement of profit or loss and other comprehensive income
- a statement of changes in equity
- a statement of cash flows
- notes comprising material accounting policy information and other explanatory notes

3.01.03 Explain the requirements of relevant accounting standards in relation to the minimum content and layout for financial statements and disclosures

LO3.02: Prepare financial statements in accordance with selected Hong Kong Financial Reporting Standards for a single entity

3.02.01 Apply the appropriate accounting treatment for a given scenario in accordance with Hong Kong Financial Reporting Standards

3.02.02 Account for transactions and prepare financial statements including disclosures in accordance with Hong Kong Financial Reporting Standards



OPENING CASE

OPENING CASE: FINANCIAL REPORTING CONSULTANTS

Financial Reporting Consultants (FRC) is a firm that specialises in providing financial reporting advice on complex financial reporting issues faced by Hong Kong companies. FRC has been established in Hong Kong for over 20 years and has developed extensive knowledge of Hong Kong Financial Reporting Standards (HKFRSs) and the application of these standards by Hong Kong companies. FRC also offers litigation support services and has appeared as an expert witness in court hearings for clients.

You are a university graduate and have completed the Qualification Programme of the Hong Kong Institute of Certified Public Accountants (HKICPA) and are now a qualified Certified Public Accountant (CPA). You have been employed by FRC to assist the firm with providing services to the clients of FRC. You are often engaged by Hong Kong companies to review their draft financial statements and provide advice on certain transactions and events involving these companies. 

OVERVIEW

Financial statements prepared for internal reporting purposes may not satisfy the requirements of external general purpose financial reporting, so they must be converted into financial statements prepared in accordance with the requirements of HKAS 1 *Presentation of Financial Statements*.

HKAS 1 prescribes the presentation requirements for a complete set of financial statements, including guidelines as to their structure and content. These financial statements include statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows.

Although HKAS 1 does not prescribe a specific order or format for these financial statements, HKAS 1 does require the disclosure of certain items in the financial statements. In addition, notes comprising a summary of accounting policies and other information must also be disclosed. By prescribing a basis for the presentation of financial statements, HKAS 1 attempts to improve the comparability with an entity's financial statements from previous periods and with the financial statements prepared by other entities. The information required by HKAS 1 to be provided in a complete set of financial statements is designed to make the statements useful to a wide range of users for decision-making purposes. HKAS 1 requires certain information to be presented in the notes and prescribes the order in which notes are normally presented.

 20.1 FINANCIAL STATEMENTS OVERVIEW

This chapter discusses the reporting requirements of HKAS 1 *Presentation of Financial Statements* which prescribes the basis for the presentation of a statement of financial position, a statement of profit or loss and other comprehensive income and a statement of changes in equity and related notes. While HKAS 1 states that a complete set of financial statements includes a statement of cash flows, this statement is not discussed in this chapter, but can be found in Chapter 21.

20.1.1 Objective

HKAS 1 prescribes the presentation requirements of financial statements to ensure the entity's financial statements are comparable from year to year and are also comparable with the financial statements of other entities. HKAS 1 provides requirements for the presentation of the financial statement, guidelines for its structure and minimum requirements for its content. Companies can provide more details than the minimum requirements of HKAS 1 and other standards.

HKAS
1.1



20.1.1.1 Scope

HKAS
1.2

HKAS 1 applies to an entity when preparing and presenting general purpose financial statements in accordance with Hong Kong Financial Reporting Standards (HKFRSs).

HKAS
1.3

HKAS 1 is not the only standard a company must follow when presenting financial statements. Other HKFRSs set out the recognition, measurement and disclosure requirements for specific transactions and other events. For example, when interim financial statements are prepared in accordance with HKAS 34 *Interim Financial Reporting*, HKAS 1 does not apply, apart from the general features of financial statements, such as, going concern, and accrual basis of accounting.

HKAS
1.4

20.1.2 Components

According to HKAS 1, a **complete set of financial statements** comprises:

- a statement of financial position as at the end of the period;
- a statement of profit or loss and other comprehensive income for the period;
- a statement of changes in equity for the period;
- a statement of cash flows for the period (discussed in Chapter 21);
- notes, comprising material accounting policy information and other explanatory information;
- comparative information in respect of the preceding period; and
- a statement of financial position as at the beginning of the preceding period when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements.

20.1.3 True and Fair View and Compliance with HKFRS

HKAS
1.16

HKAS 1 requires entities that comply with HKFRSs to make an explicit and unreserved statement of such compliance in the notes.

HKAS
1.15

Financial statements are required to present a true and fair view of an entity's financial position, financial performance and cash flows. Applying HKFRSs, with additional disclosures if necessary, is presumed to result in financial statements providing a true and fair view. However, in extremely rare circumstances, compliance by a company with a HKFRS may cause the financial statements to be so misleading that it would conflict with the objectives of financial statements set out in the *Framework*, but the relevant regulatory framework prohibits departure from the requirement.

In these circumstances, the company is required, to the maximum extent possible, to reduce the perceived misleading aspects of compliance by disclosing:

- the title of the HKFRS in question, the nature of the requirement and the reason why management has concluded that complying with that requirement is so misleading in the circumstances that it conflicts with the objective of financial statements set out in the *Framework*; and
- for each period presented, the adjustments to each item in the financial statements that management has concluded would be necessary to achieve a true and fair view.

HKAS
1.23

20.1.4 Going Concern

Financial statements are normally prepared on the assumption that the reporting entity will continue to operate for the foreseeable future. This is known as the going concern assumption.

20.1.5 Accrual Basis of Accounting

HKAS
1.27

Financial statements are to be prepared using the accrual basis of accounting except for cash flow information. Under accrual accounting, elements of the financial statements (income, expenses, assets, liabilities and equity) are recognised when they satisfy the definition and recognition criteria of those elements in the *Framework* (see Chapter 1 for more details).

HKAS
1.28

20.1.6 Consistency

According to HKAS 1, there must be consistency of presentation and classification of items in the financial statements from one period to the next unless:

- there has been a significant change in the entity's operations;
- a review of its financial statements indicates a change in presentation or classification is warranted to provide more relevant information; or
- a change in presentation or classification is required by another accounting standard.

HKAS
1.45

A change in the presentation of the financial statements by an entity should be made only if the revised presentation provides information that is reliable and more relevant to users and is likely to continue. When the presentation is changed, comparative information is reclassified. For more information, see Section 20.1.8.

HKAS
1.46

20.1.7 Materiality and Aggregation

In HKAS 1, the term 'material' refers to information that, if omitted, misstated, or obscured, could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity. The materiality of information is assessed in the context of the financial statements taken as a whole. Information may be material: due to its nature and/or magnitude; and either individually, or in combination with other information. When assessing whether information is material, an entity considers the characteristics of its primary users as well as its own circumstances. Consequently, the Hong Kong Institute Certified Public Accountants (HKICPA) cannot specify a uniform quantitative threshold for materiality or predetermine what could be material in a particular situation.

FRAMEWORK
2.11

Material information is obscured if it is communicated in a way that would have a similar effect for primary users of financial statements to omitting or misstating that information. The next three paragraphs illustrate how information might be included in financial statements to avoid obscuring material information.

HKAS
1.29 (see
Chapter 1,
Section
1.2.3.1).

Each material class of similar items must be presented separately in the financial statements. Items of a dissimilar nature or function are to be presented separately unless they are immaterial.

Financial statements result from processing a number of transactions. The final stage in the process of aggregation and classification is the presentation of condensed and classified data in the form of line items in the financial statements or in the notes. If the amount for these line



items is immaterial, it is aggregated with other similar items in the financial statements or in the notes. An entity must decide, taking into consideration all relevant facts, how it aggregates information in the financial statements.

HKAS 1.30

HKAS 1.30A

Furthermore, some HKFRSs specify information required to be disclosed in the financial statements and notes. However, an entity is not required to provide these disclosures if the information resulting from that disclosure is not material. For example, HKAS 38 *Intangible Assets* requires a company to provide various disclosures regarding its intangible assets (see Chapter 9). If its intangible assets comprised a brand name with a fair value of HK\$1,000 and its total assets were HK\$100 million, the entity might assess that the disclosures specified by HKAS 38 cannot reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements (i.e., the disclosure is immaterial).

HKAS
1.31

Alternatively, an entity may also provide additional disclosure if compliance with a HKFRS is considered to be insufficient to enable users to understand the impact of particular transactions on the entity's financial performance and financial position.

HKAS
1.31

20.1.8 Comparative Information

Comparability refers to information that enables users to identify similarities and differences between two (or more) sets of financial statements. Making decisions, for example to buy/sell shares in a company, may be enhanced if comparable information is available for the company. Disclosure of comparative financial information is required in respect of the preceding period (i.e. the previous reporting period) for all amounts required to be reported in the current period's financial statements. Comparative information for narrative and descriptive information is also required if relevant to understanding the current period's financial statements. The requirement to present comparative information means that an entity will, as a minimum, present two statements for each financial statement. For example, the statement of financial position will disclose information for two years, i.e., the current year and the previous year.

HKAS
1.38HKAS
1.38A

In some cases, events disclosed as narrative information in previous periods may still be unresolved in the current period, such as details of a legal dispute. Even though the current period may have had no developments, this continues to be relevant and users need to know about steps taken to resolve the uncertainty. For example, an entity may be subject to a claim for damages from customers due to defective goods sold in the past. The court case may not have been resolved during the current year as the results of tests on the goods have not been provided by experts to the court. In this case the company should explain in the notes reasons why the court case remains unresolved at the current period-end.

HKAS
1.38B

In some circumstances, comparative information needs to be reclassified or adjusted. For example, if the presentation or classification of items in the financial statements is changed, comparative information must be reclassified and the nature, amount of and reason for the reclassification must be disclosed.

HKAS
1.42

In addition, comparative information is adjusted for changes in accounting policy or corrections of errors in accordance with HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* (see Chapter 13).

20.1.8.1 Change in Accounting Policy, Retrospective Restatement or Reclassification

A third statement of financial position at the beginning of the preceding period is to be presented (in addition to the minimum comparative financial statements requirement) if:

- a company applies an accounting policy retrospectively;

- makes a retrospective restatement of items in its financial statements; or
- reclassifies items in its financial statements.

HKAS
1.40A

In all cases, there is a material effect on the information in the statement of financial position at the beginning of the preceding period.

These three statements of financial position must be presented at:

- the end of the current period;
- the end of the preceding period; and
- the beginning of the preceding period.

HKAS
1.40B

Accordingly, if the reporting period ends on 31 December 20X9, the three statements of financial position must be presented on 31 December 20X9, 31 December 20X8 and 1 January 20X8. However, related notes are not required for this third statement of financial position, that is, 1 January 20X8. As noted previously in Section 20.1.1, the third statement of financial position (the beginning of the preceding period) forms part of a complete set of financial statements.

HKAS
1.40C

Apply and Analyse 1

A client of FRC, ABC Limited, purchased plant and machinery at a cost of HK\$200,000 in 20X6. The plant and machinery had an anticipated useful life of six years. However, the cost of the plant and machinery was recorded incorrectly as repairs and maintenance. This error was discovered during 20X8 by ABC Limited, and the client is uncertain regarding the appropriate treatment of this information. What advice would you give ABC Limited?

Analysis

ABC Limited should have presented a third statement of financial position at the beginning of the preceding period when the retrospective restatement had a material effect on the information in the statement of financial position at the beginning of the preceding period.

Accordingly, the financial statements of ABC Limited for the year ended 31 December 20X8 should include three statements of financial position as at 1 January 20X7, 31 December 20X7 and 31 December 20X8.

ABC Limited should also disclose the information required by HKAS 1, namely the nature, amount of and reason for the reclassification. However, the related notes for the opening statement of financial position on 1 January 20X7 were not required. Certain disclosures were also required by HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* following the discovery of this error (see Chapter 13).

HKAS
1.40A

HKAS 1.41

HKAS 1.40C

20.1.9 General Statement of Format and Content

Entities often use their Annual Report as a public relations document and provide information in addition to the financial statements. This may include a chairman's report and a review of the company operations. Annual Reports are usually available from a company's website, and it is worth noting the type of information they provide in addition to financial statements.



HKAS
1.49, 50

The financial statements of an entity are to be clearly identified and distinguished from other information in the same published document because accounting standards apply only to information in the financial statements.

An entity is required to clearly identify each financial statement and the notes. In addition, the following information must be displayed prominently:

- the name of the entity, or some other means of identification, and any change of name since the preceding reporting period;
- whether the financial statements cover the individual entity or a group of entities;
- the date of the end of the reporting period or the period covered by the set financial statements or notes;
- the presentation currency as defined in HKAS 21 *The Effects of Changes in Foreign Exchange Rates*, that is, currency used in the financial statements (usually Hong Kong Dollars, however some companies present their financial statements in other currencies, such as U.S. Dollars); and
- the level of rounding used in the presentation of amounts in the financial statements.

HKAS
1.51

20.1.10 Reporting Period

HKAS
1.36

HKAS 1 requires an entity to prepare a complete set of financial statements (including comparative information) at least annually. In some cases, instead of using a financial year-end of 30 June or 31 December, for instance, some entities may prefer to report for a 52-week period, which is permitted.

HKAS
1.37

If an entity changes the end of its reporting period and presents financial statements for a period longer or shorter than one year, the entity must disclose:

- the reason for using a longer or shorter period; and
- that comparative amounts for the financial statements are not entirely comparable because of the different lengths of reporting periods.

HKAS
1.36

20.1.11 Offsetting

HKAS
1.32

Assets and liabilities, and income and expenses are not permitted to be offset unless required or permitted by an HKFRS. For example, HKAS 32 *Financial Instruments: Presentation* does permit in some cases when various conditions are satisfied, the offsetting of a financial asset with a financial liability. Offsetting, it is argued, detracts from the ability of users to understand the entity's transactions and to assess the entity's future cash flows. However, measuring assets net of valuation allowances, for example trade receivable less provision for expected credit loss, is *not* offsetting.

HKAS
1.33

Offsetting is appropriate when netting any income with related expenses arising from the same transaction or from similar transactions, for example:

- gains and losses on the disposal of a non-current asset (i.e. sale proceeds less the carrying amount of the asset and related selling expenses);

- expenditures relating to a provision recognised in accordance with HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets* and reimbursed under a contractual arrangement with a third party (such as a supplier's warranty agreement) may be netted against the related reimbursement; and
- netting gains and losses from a number of similar transactions, such as foreign exchange gains and losses. However, if the gains and losses are material, they cannot be offset but must be reported separately

HKAS
1.34, 35

20.1.12 Notes

Notes are provided to help users understand the information provided in the financial statements. The notes that accompany the financial statements must be presented in a systematic manner, with appropriate cross-referencing to each related item in the financial statements.

HKAS
1.113

According to HKAS 1, the notes must present information about the basis of preparation of the financial statements and the specific accounting policies used and must disclose information required by HKFRSs not presented elsewhere in the financial statements. For example, disclosure of non-adjusting events in accordance with HKAS 10 *Events after the Reporting Period* (see Chapter 17) relates to information not presented elsewhere in the financial statements.

HKAS
1.112(a), (b)

The notes must also disclose information not presented in the financial statements but which is relevant to an understanding of the financial statements.

HKAS
1.112(c)

Examples of systematic ordering or grouping of the notes include:

- giving prominence to the activities the entity considers to be most relevant to understand its financial performance and financial position;
- grouping together information about assets measured similarly, e.g. assets measured at fair value; and
- following the order of line items as presented in the financial statements;
 - statement of compliance with HKFRSs;
 - material accounting policy information applied;
 - supporting information for items presented in the financial statements in the order in which each financial statement and each line item is presented; and
 - other disclosures, such as contingent liabilities; see Chapter 18

HKAS
1.114

The material accounting policy information applied in the preparation of the financial statements are usually presented as the first note (note 1) to the financial statements. This note should include the following information in addition to a statement of compliance with HKFRSs:

- the measurement basis (or bases) used in preparing the financial statements; and
- the other accounting policies used that are relevant to an understanding of the financial statements.

HKAS
1.117

It is important to disclose the measurement basis used in the financial statements (such as historical cost, current cost, fair value) because this significantly affects the analysis by users. Some standards specifically require disclosure of choices made by management. For example,

HKAS 16 *Property, Plant and Equipment* requires disclosure of measurement bases used (see Chapter 7 for more details).

HKAS
1.122

Any judgements made by management when applying the entity's accounting policies that have the most significant effect on amounts recognised in the financial statements must also be disclosed, such as whether a lease is an operating lease or a finance lease (see Chapter 7 for more details).

Key Learning Point

- A complete set of financial statements includes the following financial statements: statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows.
- A complete set of financial statements also includes notes comprising a summary of material accounting policy information and other explanatory material.

► Knowledge Check Questions

Question 1

Identify which one of the following is *not* required to be displayed by HKAS 1 in the financial statements.

- A** The name of the company.
- B** The level of rounding used in the presentation of amounts in the financial statements.
- C** The currency used in the financial statements.
- D** The names of the company's major competitors.

Question 2

According to HKAS 1, there must almost always be consistency of presentation and classification of items in the financial statements from one period. Identify which of the following is a reason for exception.

- A** There has been a minor change in the entity's operations.
- B** A change in presentation is required by a HKFRS.
- C** The auditors approve the change in presentation or classification.
- D** The directors approve the change in presentation or classification.

Question 3

Identify which of the following statements is correct in relation to offsetting in accordance with HKAS 1.

- A** Financial assets and liabilities must be offset.
- B** Borrowing and lending activities such as interest revenue and interest expense must be offset.
- C** Items can be offset when required or permitted by a HKFRS.
- D** Items can be offset if the auditors approve the offset.



20.2 OVERVIEW OF STATEMENT OF FINANCIAL POSITION

The **statement of financial position** provides information regarding the financial position of the entity as at the end of the reporting period. Asset, liability and equity items are summarised in the statement of financial position to determine an entity's financial position. The HKAS 1 disclosure requirements for the statement of financial position are considered below.

The statement of financial position provides information for evaluating an entity's capital structure and liquidity. To facilitate the presentation of useful information to users, detailed disclosures of asset, liability and equity categories and subcategories are required.

HKAS
1.54, 55

20.2.1 Items to Be Reported and Presentation

HKAS 1 requires the following items to be presented in the statement of financial position as line items:

- (a) property, plant and equipment (see Chapter 5 for details on HKAS 16 *Property, Plant and Equipment*);
- (b) investment property;
- (c) intangible assets (see Chapter 9 for details on HKAS 38 *Intangible Assets*);
- (d) financial assets (excluding amounts shown under (e), (h) and (i) as follows);
- (e) investments accounted for using the equity method (see Chapter 24 for details on HKAS 28 (2011) *Investments in Associates and Joint Ventures* which deals with the equity method);
- (f) inventories (see Chapter 4 for details on HKAS 2 *Inventories*);
- (g) trade and other receivables;
- (h) cash and cash equivalents;
- (i) the total of assets classified as held for sale and assets included in disposal groups classified as held for sale in accordance with HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* (see Chapter 12);
- (j) trade and other payables;
- (k) provisions;
- (l) financial liabilities (excluding amounts shown under trade and other payables and under provisions above);
- (m) liabilities and assets for current tax, as defined in HKAS 12 *Income Taxes* (see Chapter 16);
- (n) deferred tax liabilities and deferred tax assets, as defined in HKAS 12;

- (o) liabilities included in disposal groups classified as held for sale in accordance with HKFRS 5;
- (p) non-controlling interests, presented within equity (see Chapter 23 for details on HKFRS 10 *Consolidated Financial Statements* which deals with non-controlling interests); and
- (q) issued capital and reserves attributable to owners of the parent (see Chapter 23 for details on HKFRS 10 which deals with a parent entity).

HKAS
1.54

Items required to be disclosed by HKAS 1 are those sufficiently different in nature or function to warrant separate presentation as line items. Furthermore, descriptions used and the order of items may be changed to provide relevant information regarding the entity's financial position.

HKAS
1.57

HKAS 1 requires the presentation of additional items, headings and subtotals when it is considered relevant to an understanding of the company's financial position. Whether to present additional items separately is based on an assessment of:

HKAS
1.55

- the nature and liquidity of assets;
- the function of assets within the entity; and
- the amounts, nature and timing of liabilities

HKAS
1.58

HKAS 1 does not prescribe a required order or format for the statement of financial position (Exhibit 20.1). However, guidance can be found in HKAS 1. The format followed in the guidance is just one acceptable presentation format. An example for an understanding of the entity's financial position.

HKAS
1.57

XYZ Group Statement of Financial Position As at 31 December 20X9		
	31 Dec 20X9 HK\$'000	31 Dec 20X8 HK\$'000
ASSETS		
Non-current assets		
Property, plant and equipment	350,700	360,020
Goodwill	80,800	91,200
Other intangible assets	227,470	227,470
Investments in associates	100,150	110,770
Investments in equity instruments	<u>142,500</u>	<u>156,000</u>
	<u>901,620</u>	<u>945,460</u>

► **EXHIBIT 20.1 Presentation of the statement of financial position, including comparative amounts**
(Source: Adapted from HKAS 1 *Presentation of Financial Statements, Implementation Guidance*, September 2018, pp. 96–97.)

XYZ Group Statement of Financial Position As at 31 December 20X9		
	31 Dec 20X9 HK\$'000	31 Dec 20X8 HK\$'000
Current assets		
Inventories	135,230	132,500
Trade receivables	91,600	110,800
Other current assets	25,650	12,540
Cash and cash equivalents	<u>312,400</u>	<u>322,900</u>
	<u>564,880</u>	<u>578,740</u>
Total assets	<u>1,466,500</u>	<u>1,524,200</u>
EQUITY AND LIABILITIES		
Equity attributable to owners of the parent		
Share capital	650,000	600,000
Retained earnings	243,500	161,700
Other components of equity	<u>10,200</u>	<u>21,200</u>
	903,700	782,900
Non-controlling interests	<u>70,050</u>	<u>48,600</u>
Total equity	<u>973,750</u>	<u>831,500</u>
Non-current liabilities		
Long-term borrowings	120,000	160,000
Deferred tax	28,800	26,040
Long-term provisions	<u>28,850</u>	<u>52,240</u>
Total non-current liabilities	<u>177,650</u>	<u>238,280</u>
Current liabilities		
Trade and other payables	115,100	187,620
Short-term borrowings	150,000	200,000
Current portion of long-term borrowings	10,000	20,000
Current tax payable	35,000	42,000
Short-term provisions	<u>5,000</u>	<u>4,800</u>
Total current liabilities	<u>315,100</u>	<u>454,420</u>
Total liabilities	<u>492,750</u>	<u>692,700</u>
Total equity and liabilities	<u>1,466,500</u>	<u>1,524,200</u>

► **EXHIBIT 20.1** Presentation of the statement of financial position, including comparative amounts (*continued*)

A few observations can be made from Exhibit 20.1:

- In presenting the statement of financial position of a particular company, it is helpful if the headings and subheadings are followed to the extent that the items exist in the company under consideration. Additional subheadings could be provided (such as a subheading in non-current assets for development costs capitalised), but this is not necessary. Provision of additional subheadings depends on the disclosure policies of the company concerned;
- In accordance with the statement of financial position format illustrated in Exhibit 20.1, a company's statement of financial position shows the accounting equation in the form:

$$\text{Total assets} = \text{Total equity} + \text{Total liabilities}$$

An alternative method of presentation can show the statement of financial position in the following form:

$$\text{Total assets} - \text{Total liabilities} = \text{Total equity}$$

20.2.1.1 Current and Non-current Classification

HKAS
1.60

All assets and liabilities are required to be classified as current or non-current unless a liquidity presentation is appropriate to provide more relevant and reliable information.

Current and non-current asset classification	Current and non-current liability classification
HKAS 1 requires an entity to classify an asset as current when: • it expects to realise the asset, or intends to sell or consume it, in its normal operating cycle; • it holds the asset primarily for the purpose of trading; • it expects to realise the asset within 12 months after the reporting period; or • the asset is cash or a cash equivalent (as defined in HKAS 7 <i>Statement of Cash Flows</i>) unless the asset is restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period.	HKAS 1 requires an entity to classify a liability as current when: • it expects to settle the liability in its normal operating cycle; • it holds the liability primarily for the purpose of trading; • the liability is due to be settled within 12 months after the reporting period; or • it does not have the right at the end of the reporting period to defer settlement of the liability for at least 12 months after the reporting period.
An entity shall classify all other assets as non-current.	An entity shall classify all other liabilities as non-current.

HKAS
1.66

HKAS
1.69

HKAS 1 defines the **operating cycle** as the time between the acquisition of assets for processing and their realisation into cash or cash equivalents (i.e. short-term, highly liquid investments readily convertible to known amounts of cash and subject to an insignificant risk of changes in value). The operating cycle is usually completed within 12 months, but it may be

HKAS
1.68

HKAS
1.61

longer than 12 months after the reporting period. Similarly, current liabilities may include amounts to be settled 12 months or more after the reporting period provided the settlement is within the entity's normal operating cycle. In view of this, HKAS 1 requires an entity to provide additional disclosure about the amount expected to be recovered or settled after more than 12 months for each asset and liability line item. For example, an entity involved in property development may have an operating cycle of 18 months. Inventories of the entity may include items that will be recovered within 12 months and other items that will be recovered after more than 12 months (i.e. between 12 and 18 months). While a single amount of inventories would be presented as a current asset, the entity would need to additionally disclose the amount of those inventories that are expected to be recovered after more than 12 months of the reporting period.

HKAS
1.63

For some entities, such as financial institutions, assets and liabilities may be presented in increasing or decreasing order of liquidity if this provides information that is reliable and more relevant than a current/non-current presentation because these entities do not supply goods and services within a clearly defined operating cycle.

Illustrative Example 1

Stanley Limited (Stanley) has operated in Hong Kong for a number of years. However, the Financial Accountant of Stanley resigned suddenly prior to the completion of the Stanley financial statements for 20X8. As there is no staff with accounting qualifications currently employed by Stanley, Financial Reporting Consultants (FRC) has been engaged by Stanley to complete the financial statements for 20X8. As you are CPA qualified and have recently commenced employment with FRC, you have been tasked with the responsibility to assist Stanley in the completion of their 20X8 financial statements. You have been provided with internal statements that have been prepared prior to the resignation of the Financial Accountant. The internal statement of financial position is provided in Exhibit 20.2.

STANLEY LTD Internal Statement of Financial Position as at 31 December 20X8		
	HK\$'000	HK\$'000
Current assets		
Cash		128
Trade receivable	436	
Provision for expected credit loss	(22)	414
Inventory		500
Prepaid insurance		8
Prepayment expenses		4
<i>Total current assets</i>		<u>1,054</u>

► **EXHIBIT 20.2** Internal Statement of Financial Position of Stanley Ltd

Illustrative Example 1 (continued)

STANLEY LTD Internal Statement of Financial Position as at 31 December 20X8		
	HK\$'000	HK\$'000
Non-current assets		
Land (at cost)		200
Retail store (at fair value)		870
Motor vehicles (at cost)	600	
Accumulated depreciation	(360)	240
Store equipment (at cost)	120	
Accumulated depreciation	(54)	66
Office furniture (at cost)	180	
Accumulated depreciation	(76)	104
Goodwill (at cost)		280
Development costs		<u>200</u>
<i>Total non-current assets</i>		<u>1,960</u>
<i>Total assets</i>		<u>3,014</u>
Current liabilities		
Trade payable		136
Salaries payable		18
Interest payable		1
Current tax liability		84
Ordinary dividend payable		160
Preference dividend payable		<u>80</u>
<i>Total current liabilities</i>		<u>479</u>
Non-current liabilities		
Loan payable		<u>24</u>
<i>Total non-current liabilities</i>		<u>24</u>
<i>Total liabilities</i>		<u>503</u>
<i>Net assets</i>		<u>2,511</u>
Equity		
Share capital		
400,000 ordinary shares issued and paid to HK\$2		800
500,000 preference shares issued and paid to HK\$2		<u>1,000</u>
		1,800

► **EXHIBIT 20.2** Internal Statement of Financial Position of Stanley Ltd (Continued)

Illustrative Example 1 (continued)

STANLEY LTD Internal Statement of Financial Position as at 31 December 20X8		
	HK\$'000	HK\$'000
Less: Share issue costs		(26)
Net share capital		1,774
Reserves		
Revaluation surplus ¹	320	
General reserve (includes transfer from Retained earnings of HK\$20,000 during 20X8)	150	
Retained earnings	267	
Total reserves		737
Total equity		2,511

¹Revaluation surplus HK\$320,000 = HK\$200,000 (1 January 20X8) + HK\$120,000 (Gain on revaluation of retail store).

► EXHIBIT 20.2 Internal Statement of Financial Position of Stanley Ltd (Continued)

Question

Prepare the statement of financial position as at 31 December 20X8 for Stanley in accordance with the requirements of HKAS 1 *Presentation of Financial Statements* (ignoring notes, comparative amount and deferred tax effect on gain on revaluation).

Assuming an income tax rate of 16.5%, this results in a deferred tax liability of HK\$19,800 and an increase in the revaluation surplus during the current period of HK\$100,200.

Answer

The information in the internal statement of financial position, aggregated where necessary, provides the information for various line items in the statement of financial position prepared in accordance with the requirements of HKAS 1 as outlined in this chapter.

Exhibit 20.3 illustrates the statement of financial position. Details regarding the calculation of amounts are provided, where appropriate.

Illustrative Example 1 (continued)

STANLEY LTD Statement of Financial Position as at 31 December 20X8	
	HK\$'000
ASSETS	
Non-current assets	
Property, plant and equipment ¹	1,480
Goodwill	280
Other intangible assets ²	<u>200</u>
Total non-current assets	<u>1,960</u>
Current assets	
Inventories	500
Trade and other receivables ³	426
Cash and cash equivalents	<u>128</u>
Total current assets	<u>1,054</u>
Total assets	<u>3,014</u>
EQUITY AND LIABILITIES	
Equity	
Share capital	1,774
Retained earnings	267
Reserves ^{4,5}	<u>450</u>
Total equity	<u>2,491</u>
Non-current liabilities	
Long-term borrowings	24
Deferred tax liabilities ⁵	<u>20</u>
Total non-current liabilities	<u>44</u>
Current liabilities	
Trade and other payables ⁶	395
Current tax payable	<u>84</u>
Total current liabilities	<u>479</u>
Total liabilities	<u>523</u>
Total equity and liabilities	<u>3,014</u>

► **EXHIBIT 20.3** Statement of financial position for Stanley Ltd

Illustrative Example 1 (continued)

Note, the format of the statement of financial position is the same as presented in the illustrative example in Exhibit 20.1 which is based on the guidance found in HKAS 1 (i.e. assets = liabilities + equity). However, it is equally acceptable to use the format as provided in Exhibit 20.4 (i.e. assets – liabilities = equity).

1. *Property, plant and equipment* of HK\$1,480,000 was calculated as HK\$1,960,000 (total non-current assets according to the internal statement of financial position) less HK\$280,000 (goodwill) less HK\$200,000 (development costs).
2. *Other intangible assets* of HK\$200,000 represents development costs.
3. *Trade and other receivables* of HK\$426,000 was calculated as HK\$414,000 (trade receivable, net) plus HK\$8,000 (prepaid insurance) plus HK\$4,000 (prepaid expenses).
4. *Reserves* of HK\$450,200 were calculated as HK\$150,000 (general reserve) plus HK\$300,200 (revaluation surplus, comprising HK\$200,000 [beginning] plus HK\$100,200 [increase during the current period net of income tax]).
5. *Trade and other payables* of HK\$395,000 was calculated as HK\$136,000 (trade payable) plus HK\$18,000 (salaries payable) plus HK\$1,000 (interest payable) plus HK\$160,000 (ordinary dividends payable) and HK\$80,000 (preference dividends payable).

Key Learning Point

HKAS 1 does not prescribe a required order or format for the statement of financial position, but the standard provides guidance requiring the disclosure of certain assets, liabilities and equity items. Assets and liabilities are usually classified as either current or non-current based upon the entity's operating cycle (which is usually 12 months).

20.2.2 Disclosures for the Statement of Financial Position

As noted previously, the statement of financial position is presented in a form that provides a summary of assets, liabilities and equity. However, aggregated amounts for these items do not necessarily provide all the information users may require. Hence notes are required that provide disaggregation and narrative descriptions of the line items presented in the statement of financial position (and all the other financial statements).

20.2.2.1 Share Capital and Reserves

A company is required to disclose as line items in the statement of financial position, issued capital and reserves. In addition, HKAS 1 requires disclosure of certain details for each class of capital:

- number of shares authorised;
- number of shares issued, fully paid and partly paid;
- par value per share or that the shares have no par value; and
- reconciliation of the number of shares outstanding at the beginning and at the end of the period.

HKAS
1.54(r)

HKAS
1.79(a)



HKAS
1.79(b)

Furthermore, a company must provide a description of the nature and purpose of each reserve.

The disclosures required by HKAS 1 may be presented in the statement of financial position, the statement of changes in equity, or in the notes. Exhibit 20.4 provides an example of some of the disclosures of share capital required by HKAS 1.

	20X8		20X9	
	No. of Shares ('000)	HK\$'000	No. of Shares ('000)	HK\$'000
Ordinary shares, issued and fully paid				
At 1 January	90,000	175,000	90,000	175,000
Bonus issue	9,000	-	-	-
Shares repurchased	(500)	-	-	-
Shares issued under share option scheme and transfer from capital reserve	1,000	6,400	-	-

In accordance with Section 135 of the Hong Kong Companies Ordinance, the ordinary shares of the company do not have a par value.

► **EXHIBIT 20.4 Example of disclosure of share capital (extract only)** (Source: Adapted from *Illustrative Annual Financial Statements under Hong Kong Financial Reporting Standards*, KPMG, 2018, p. 159.)

20.2.2.2 Additional Disclosures

HKAS
1.77

HKAS
1.78

A company is required to disclose, in the statement of financial position or in the notes, further subclassifications of the line items presented. The details provided in the subclassifications depend on the requirements of HKFRSs and on the size, nature and function of the amounts involved. The factors outlined in HKAS 1 noted previously are used to decide the basis of subclassification. Exhibit 20.5 provides examples of additional disclosures required for statement of financial position line items.

Statement of Financial Position line item	Disclosures required
Property, plant and equipment	Items classified by class as described by HKAS 16 <i>Property, Plant and Equipment</i> : for example, land, land and buildings, machinery, ships, aircraft, motor vehicles, furniture and fittings, and office equipment (see Chapter 7)
Receivables	Disaggregated into receivables from trade customers, receivables from related parties, prepayments and other amounts
Inventories	Disaggregated into classifications, such as merchandise purchased for resale, finished goods produced, work in progress, supplies and materials awaiting use in the production process, in accordance with HKAS 2 <i>Inventories</i> (see Chapter 6)

HKAS
16.37

► **EXHIBIT 20.5 Examples of additional disclosures for items presented in the Statement of Financial Position**

► Knowledge Check Questions

Question 4

Identify which of the following statements is incorrect.

- A** HKAS 1 requires entities to report subheadings of different types of property, plant and equipment, such as machinery, land and buildings, in the statement of financial position.
- B** For entities with diverse operations, such as retail and banking activities, a mixed basis of presentation may be appropriate.
- C** An entity's operating cycle is usually completed within 12 months but may be longer than 12 months after the reporting period.
- D** Current assets are those assets that are realised or consumed within an entity's operating cycle.

Question 5

Identify which statement below is correct. The format of the statement of financial position is:

- A** Prescribed by HKAS 1 for assets only but not prescribed for liabilities or equity items disclosed in the statement of financial position.
- B** Prescribed by HKAS 1.
- C** Determined by the auditor.
- D** Not prescribed in HKAS 1 but guidance is provided in the accompanying Implementation Guidance (IG) from IAS 1 in HKAS 1.

HKAS
1 IG

➤ 20.3 STATEMENT OF PROFIT OR LOSS AND COMPREHENSIVE INCOME

The **statement of profit or loss and other comprehensive income** provides information regarding the financial performance of the entity for the reporting period. Income, expenses and other comprehensive income (e.g. movements in asset revaluation surplus) are summarised in the statement of profit or loss and other comprehensive income to determine an entity's total comprehensive income, the usual measure of an entity's financial performance.

20.3.1 Concepts of Profit or Loss and Other Comprehensive Income

Profit or loss is the total of income less expenses, *excluding* the items of other comprehensive income. HKAS 1 has taken an all-inclusive approach to the determination of a company's profit or loss. This means that all items of income and expense recognised in a period must be included in the company's profit or loss.

HKAS
1.7

HKAS
1.88

20.3.1.1 Other Comprehensive Income Items

Other comprehensive income comprises items of income and expenses (including reclassification adjustments) not recognised in profit or loss as required or permitted by other HKFRSs. In other words, some standards require certain items that meet the *Framework*

HKAS
1.7



definition of 'income' or 'expenses' (and would normally be included in the determination of profit or loss) to be recognised in other comprehensive income.

20.3.2 Presentation

According to HKAS 1, an entity has a choice as to how to present the statement of profit or loss and other comprehensive income. The choices are as a single statement or two separate statements.

20.3.2.1 Single Statement

HKAS
1.10A

An entity may present a single statement of profit or loss and other comprehensive income with two sections: profit or loss, followed directly by other comprehensive income.

20.3.2.2 Separate Statements

HKAS
1.10A

Alternatively, separate statements of profit or loss and comprehensive income may be presented with the separate statement of profit or loss immediately preceding the statement of comprehensive income, which shall begin with the profit or loss figure.

Key Learning Point

Entities may present either a single statement of profit or loss and other comprehensive income or two separate statements, a statement of profit or loss and a statement of comprehensive income.

20.3.3 Items to Be Reported

The disclosure requirements for the two sections of the statement of profit or loss and other comprehensive income (or statement of profit or loss and statement of comprehensive income) are now considered separately.

20.3.3.1 Profit or Loss Section or Statement of Profit or Loss

Disclosure requirements for a company's profit or loss section or the statement of profit or loss are provided in HKAS 1. According to Para. 82 of HKAS 1, the following items shall be included:

- revenue (see Chapter 3);
- gains and losses arising from the derecognition of financial assets measured at amortised cost (see Chapter 10);
- finance costs (see Chapter 8);
- impairment losses (including reversals of impairment losses or impairment gains) (see Chapter 11);
- share of the profit or loss of associates and joint ventures accounted for using the equity method (see Chapter 24);
- tax expense (see Chapter 16); and
- a single amount for the total of discontinued operations (see Chapter 12).

However, HKAS 1 does not prescribe a required order or format for the profit or loss section or the statement of profit or loss (the same as was noted previously with the statement of financial position). Additional line items, headings and subtotals can be included in the profit or loss section and or the statement of profit or loss (and other comprehensive income – see Section 20.3.3.2 for discussion regarding other comprehensive income) when it is considered relevant to an understanding of the entity's financial performance.

HKAS
1.85

Separate disclosure of the nature and amount of material items of income and expenses is required by HKAS 1. HKAS 1 provides circumstances that would give rise to the separate disclosure of such items of income and expense:

HKAS
1.97

- the write-down of inventories to net realisable value or of property, plant and equipment to recoverable amount, and any reversal of such write-downs;
- restructuring of company operations and reversals of any provisions for restructuring costs;
- disposals of items of property, plant and equipment;
- disposals of investments;
- discontinued operations;
- litigation settlements; and
- other reversals of provisions.

HKAS
1.98

Analysis of Expenses

Although details of all expenses are not included as line items in the profit or loss section or the statement of profit or loss (except finance costs) according to HKAS 1, entities are required to present an analysis of expenses recognised in profit or loss using a classification based on their nature or their function, whichever provides reliable and relevant information as follows:

HKAS
1.82

HKAS
1.99

- the **nature of expense method** – for example, depreciation, purchases of materials, transport costs, employee benefits and advertising costs. This method is simple to apply because no allocations of expenses to functional classification are required; or
- the **function of expense (or 'cost of sales') method** – for example, expenses classified according to their function as part of cost of sales or, for example, as distribution costs or administrative expenses. This method may provide more relevant information to users, but allocating costs to functions may require arbitrary allocations and judgement.

HKAS
1.102

HKAS
1.103

An example of a classification using the nature of expense method follows in Exhibit 20.6.

	HK\$	HK\$
Revenue		x
Other income		x
Changes in inventories of finished goods and work in progress	(x)	
Raw materials and consumables used	(x)	
Employee benefits expense	(x)	
Depreciation and amortisation expense	(x)	
Other expenses	(x)	
Total expenses		(x)
Profit before income tax		<u>x</u>

► **EXHIBIT 20.6 Classification of expenses using the nature of expense method**

(Source: HKAS 1 Presentation of Financial Statements, paragraph 102.)

An example of a classification using the function of expense or 'cost of sales' method follows in Exhibit 20.7.

	HK\$
Revenue	x
Cost of sales	(x)
Gross profit	x
Other income	x
Distribution costs	(x)
Administrative expenses	(x)
Other expenses	(x)
Profit before income tax	<u>x</u>

► **EXHIBIT 20.7 Classification of expenses using the function of expense method**

(Source: HKAS 1 Presentation of Financial Statements, paragraph 103.)

Which Classification of Expenses Method Should an Entity Use?

According to HKAS 1, the choice between the function of expense method and the nature of expense method depends on historical and industrial factors and the nature of the entity. Both methods provide information, and each method has merit for different types of entities. Management should select the method that provides the most relevant and reliable information.

HKAS
1.105

20.3.3.2 Other Comprehensive Income Section or Statement of Comprehensive Income

Components of other comprehensive income may include:

- changes in a revaluation surplus (see Chapters 5 and 9); and
- gains and losses from investments in equity instruments and financial assets measured at fair value (see Chapter 10).

A company is required to disclose the amount of income tax relating to each item of other comprehensive income either in the statement of profit or loss and other comprehensive income or in the notes. However, the company may present items of other comprehensive income either:

HKAS
1.90

- net of related tax effects; or
- before related tax effects, with one amount shown for the aggregate of income tax relating to the items. As items of profit or loss are generally disclosed before tax, this approach is followed for items of other comprehensive income in this chapter (unless stated otherwise).

HKAS
1.91

Companies are required, when disclosing items in the other comprehensive income, to present as separate line items:

- items of other comprehensive income classified by nature (except for (b) below); and
- the share of the other comprehensive income of associates and joint ventures accounted for by using the equity method (see Chapters 24 and 25),

Additionally, disclosure is also required (for both (a) and (b)) whether:

- (i) the items will be reclassified subsequently to profit or loss at some time in the future when specific conditions are met (reclassification adjustments are covered next), or
- (ii) the items will not be reclassified subsequently to profit or loss.

HKAS
1.82A

Reclassification Adjustments

A company is required to disclose reclassification adjustments relating to components of other comprehensive income. **Reclassification adjustments** are amounts that are recognised in other comprehensive income in previous years (or the current year) but are reclassified (or 'recycled') to the current period's profit or loss.

HKAS
1.92

HKAS
1.7

A reclassification adjustment is included with the related component of other comprehensive income in the period that the adjustment is reclassified to profit or loss. Those 'unrealised' gains (for past periods) must be deducted from other comprehensive income in the period in which the 'realised' gains are reclassified to profit or loss (in the current period) to avoid 'double counting' of the gain, i.e. including them in total comprehensive income twice.

HKAS
1.93

According to HKAS 1, reclassification adjustments do not arise on changes in a revaluation surplus. For example, an increase in the carrying amount of an asset is recognised in other comprehensive income and accumulated in equity as a revaluation surplus in accordance with HKAS 16 *Property, Plant and Equipment*, paragraph 39 (see Chapter 5). The revaluation surplus is recognised in other comprehensive income and is not reclassified to profit or loss in subsequent periods. When the asset is derecognised, the revaluation surplus may be transferred directly.

HKAS
1.96, 41

In addition to the profit or loss and other comprehensive income sections, the statement of profit or loss and other comprehensive income (or statement of comprehensive income) shall present the following:

1. profit or loss;
2. total other comprehensive income;
3. comprehensive income for the period, being the total of profit or loss and other comprehensive income.

HKAS
1.81A

Furthermore, disclosure of the following allocations of profit or loss and other comprehensive income is also required:

- profit or loss attributable to the non-controlling interests and owners of the parent; and
- comprehensive income attributable to the non-controlling interests and owners of the parent (see Chapter 23 which deals with non-controlling interests and parent entity).

HKAS
1.81B

Total Comprehensive Income

The aggregation of 'profit or loss' and 'other comprehensive income' is referred to as **total comprehensive income** and represents the change in equity during a period resulting from transactions and other events, other than those changes resulting from transactions with owners in their capacity as owners or shareholders.

HKAS
1.7

In summary, this may be expressed as:

Total comprehensive income (changes in equity other than transactions with shareholders)
= profit or loss (income-expenses) + other comprehensive income (income and expense items not recognised in profit or loss)

20.3.4 Disclosures for the Statement of Profit or Loss and Other Comprehensive Income

In this section we consider the disclosures outlined previously that are required for the statement of profit or loss and other comprehensive income.

Exhibit 20.8 provides an example of a statement of profit or loss and other comprehensive income contained in HKAS 1 (adapted from IAS 1 *Presentation of Financial Statements*, Implementation Guidance). The example is based on:

- a single statement of profit or loss and other comprehensive income;
- expenses classified according to function; and
- items of other comprehensive income are disclosed before the related tax effects.

XYZ Group Statement of Profit or Loss and Other Comprehensive Income For the year ended 31 December 20X9		
	20X9 HK\$'000	20X8 HK\$'000
Revenue	390,000	355,000
Cost of sales	(245,000)	(230,000)
Gross profit	145,000	125,000
Other income	20,667	11,300
Distribution costs	(9,000)	(8,700)
Administrative expenses	(20,000)	(21,000)
Other expenses	(2,100)	(1,200)
Finance costs	(8,000)	(7,500)
Share of profit of associates	<u>35,100</u>	<u>30,100</u>
Profit before tax	161,667	128,000
Income tax expense	(40,417)	(32,000)
Profit for the year from continuing operations	121,250	96,000
Loss for the year from discontinued operations	—	<u>(30,500)</u>
PROFIT FOR THE YEAR	121,250	65,500

► **EXHIBIT 20.8 Presentation of statement of profit or loss and other comprehensive income**

(Source: Adapted from HKAS 1 IAS 1 *Presentation of Financial Statements*, Implementation Guidance, 2018, pp. 98–107.)

* Indicates that these topics are not required knowledge for the M6 exam.

XYZ Group Statement of Profit or Loss and Other Comprehensive Income For the year ended 31 December 20X9		
	20X9 HK\$'000	20X8 HK\$'000
Other comprehensive income:		
Items that will not be reclassified to profit or loss:		
Gains on property revaluation	933	3,367
Investments in equity instruments	(24,000)	26,667
Remeasurements of defined benefit pension plans*	(667)	1,333
Share of gain (loss) on property revaluation of associates	400	(700)
Income tax relating to items that will not be reclassified	<u>5,834</u>	<u>(7,667)</u>
	(17,500)	23,000
Items that may be reclassified subsequently to profit or loss:		
Exchange differences on translating foreign operations*	5,334	10,667
Cash flow hedges*	(667)	(4,000)
Income tax relating to items that may be reclassified	<u>(1,167)</u>	<u>(1,667)</u>
	<u>3,500</u>	<u>5,000</u>
Other comprehensive income for the year, net of tax	<u>(14,000)</u>	<u>28,000</u>
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	<u><u>107,250</u></u>	<u><u>93,500</u></u>
Profit attributable to:		
Owners of the parent	97,000	52,400
Non-controlling interests	<u>24,250</u>	<u>13,100</u>
	<u><u>121,250</u></u>	<u><u>65,500</u></u>
Total comprehensive income attributable to:		
Owners of the parent	85,800	74,800
Non-controlling interests	<u>21,450</u>	<u>18,700</u>
	<u><u>107,250</u></u>	<u><u>93,500</u></u>
Earnings per share (HK\$):		
Basic and diluted	<u>0.46</u>	<u>0.30</u>

► **EXHIBIT 20.8** Presentation of statement of profit or loss and other comprehensive income
(Continued)

Details of earnings per share are disclosed pursuant to the requirements of HKAS 33 *Earnings per Share* (see Chapter 17 for more details).

Alternatively, Items of other comprehensive income could be presented in the statement of profit or loss and other comprehensive income *net of tax* as follows:

Other comprehensive income for the year, after tax:	20X9	20X8
	HK\$'000	HK\$'000
Items that will not be reclassified to profit or loss:		
Gains on property revaluation	600	2,700
Investments in equity instruments	(18,000)	20,000
Remeasurements of defined benefit pension plans	(500)	1,000
Share of gain (loss) on property revaluation of associates	400	(700)
	(17,500)	23,000
Items that may be reclassified subsequently to profit or loss:		
Exchange differences on translating foreign operations	4,000	8,000
Cash flow hedges	(500)	(3,000)
	3,500	5,000
Other comprehensive income for the year, net of tax	<u>(14,000)</u>	<u>28,000</u>

Exhibit 20.9 provides an example of a statement of profit or loss and a statement of comprehensive income contained in HKAS 1 (adapted from IAS 1 *Presentation of Financial Statements*, Implementation Guidance). The example is based on:

- two statements: a statement of profit or loss and a statement of comprehensive income;
- expenses classified according to nature; and
- items of other comprehensive income are disclosed before the related tax effects.

XYZ Group Statement of Profit or Loss For the year ended 31 December 20X9		
	20X9 HK\$'000	20X8 HK\$'000
Revenue	390,000	355,000
Other income	20,667	11,300
Changes in inventories of finished goods and work in progress	(115,100)	(107,900)
Work performed by the entity and capitalised	16,000	15,000
Raw material and consumables used	(96,000)	(92,000)
Employee benefits expense	(45,000)	(43,000)
Depreciation and amortisation expense	(19,000)	(17,000)
Impairment of property, plant and equipment	(4,000)	-
Other expenses	(6,000)	(5,500)
Finance costs	(15,000)	(18,000)
Share of profit of associates	35,100	30,100
Profit before tax	161,667	128,000
Income tax expense	(40,417)	(32,000)

► **EXHIBIT 20.9 Presentation of a statement of profit or loss and a statement of comprehensive income** (Source: Adapted from HKAS 1 *Presentation of Financial Statements*, Implementation Guidance, 2018, pp. 98–107.)

XYZ Group Statement of Profit or Loss For the year ended 31 December 20X9		
	20X9 HK\$'000	20X8 HK\$'000
Profit for the year from continuing operations	121,250	96,000
Loss for the year from discontinued operations	–	(30,500)
PROFIT FOR THE YEAR	<u>121,250</u>	<u>65,500</u>
Profit attributable to:		
Owners of the parent	97,000	52,400
Non-controlling interests	<u>24,250</u>	<u>13,100</u>
	<u>121,250</u>	<u>65,500</u>
Earnings per share (HK\$):		
Basic and diluted	<u>0.46</u>	<u>0.30</u>

XYZ Group Statement of Comprehensive Income For the year ended 31 December 20X9		
	20X9 HK\$'000	20X8 HK\$'000
Profit for the year	121,250	65,500
Other comprehensive income:		
Items that will not be reclassified to profit or loss:		
Gains on property revaluation	933	3,367
Investments in equity instruments	(24,000)	26,667
Remeasurements of defined benefit pension plans*	(667)	1,333
Share of gain (loss) on property revaluation of associates	400	(700)
Income tax relating to items that will not be reclassified	<u>5,834</u>	<u>(7,667)</u>
	(17,500)	23,000
Items that may be reclassified subsequently to profit or loss:		
Exchange differences on translating foreign operations*	5,334	10,667
Cash flow hedges*	(667)	(4,000)
Income tax relating to items that may be reclassified	<u>(1,167)</u>	<u>(1,667)</u>
	<u>3,500</u>	<u>5,000</u>
Other comprehensive income for the year, net of tax	<u>(14,000)</u>	<u>28,000</u>
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	<u>107,250</u>	<u>93,500</u>
Total comprehensive income attributable to:		
Owners of the parent	85,800	74,800
Non-controlling interests	<u>21,450</u>	<u>18,700</u>
	<u>107,250</u>	<u>93,500</u>

► **EXHIBIT 20.9** Presentation of a statement of profit or loss and a statement of comprehensive income (*Continued*) * Indicates that these topics are not required knowledge for the M6 exam.

Illustrative Example 2

Refer to the illustrative Example in Section 20.2 of this chapter for background details. For this illustrative example the internal profit and loss account is provided in Exhibit 20.10.

STANLEY LTD Profit and Loss Account For the year ended 31 December 20X8			
	HK\$'000	HK\$'000	HK\$'000
Income			
<i>Revenues</i>			
Sales		3,090	
Less: Sales returns		<u>10</u>	3,080
Services revenue			520
<i>Other income</i>			
Proceeds on sale of office furniture			<u>40</u>
Total income			3,640
Expenses			
<i>Selling expenses</i>			
Cost of sales	1,886		
Freight inwards	<u>12</u>		
Total cost of sales		1,898	
Freight outwards		14	
Advertising expense		20	
Sales staff salaries expense		410	
Sales staff vehicle expense		30	
Telephone expense		25	
Depreciation – motor vehicles		60	
Depreciation – store equipment		24	
Depreciation – retail store		<u>50</u>	
Total selling expenses		<u>2,531</u>	
<i>Administrative expenses</i>			
Rates expense		30	
Insurance expense		32	
Administrative staff salaries expense		394	
Carrying amount of office furniture sold		34	
Depreciation – office furniture		<u>36</u>	
Total administrative expenses		<u>526</u>	

► **EXHIBIT 20.10** Profit and Loss Account of Stanley Limited for internal purposes

Illustrative Example 2 (continued)

STANLEY LTD Profit and Loss Account For the year ended 31 December 20X8			
	HK\$'000	HK\$'000	HK\$'000
<i>Financial expenses</i>			
Prepaid expenses		33	
Interest expense		23	
Bad debts expense		<u>16</u>	
Total financial expenses		<u>72</u>	
Total expenses			<u>3,129</u>
Profit before income tax			511
Income tax expense (16.5%)			<u>(84)</u>
Profit for the year			427
Gain on revaluation of retail store			<u>120</u>
Total income			<u>547</u>

► **EXHIBIT 20.10** Profit and Loss Account of Stanley Limited for internal purposes (*Continued*)

Question

Prepare the statement of profit or loss and other comprehensive income (classify expenses according to function) for the year ended 31 December 20X8 for external disclosure by Stanley in accordance with the requirements of HKAS 1 *Presentation of Financial Statements* (ignoring notes and comparative amounts).

An adjustment is required regarding the income tax treatment of the gain on revaluation of the retail store during 20X8, pursuant to HKAS 12 *Income Taxes*. Assuming an income tax rate of 16.5%, the income tax expense is HK\$84,000.

Answer

The information in the internal profit and loss account, aggregated where necessary, provides the information for various line items in the statement of profit or loss and other comprehensive income prepared in accordance with the requirements of HKAS 1 as outlined in this chapter.

Exhibit 20.11 illustrates the statement of profit or loss and other comprehensive income. Details regarding the calculation of amounts are provided, where appropriate.

Illustrative Example 2 (continued)

STANLEY LTD Statement of Profit or Loss and Other Comprehensive Income For the year ended 31 December 20X8	
	HK\$'000
Revenue ^a	3,080
Cost of sales	(1,898)
Gross profit	1,182
Services revenue	520
Other income ^b	6
Selling expenses ^c	(633)
Administrative expenses ^d	(492)
Other expenses ^e	(49)
Finance costs ^f	(23)
Profit before income tax	511
Income tax expense	(84)
Profit for the year	<u>427</u>
Other comprehensive income	
Items that will not be reclassified to profit or loss	
Gain on revaluation of retail store	120
Income tax relating to items not reclassified	(20)
Other comprehensive income for the year, net of tax	<u>100</u>
Total comprehensive income for the year	527

^a Revenue of HK\$3,080,000 was calculated as HK\$3,090,000 (sales, net) less HK\$10,000 (sales returns).

^b Other income of HK\$6,000 represented a gain from disposal of office furniture calculated as HK\$40,000 (sale proceeds) less HK\$34,000 (carrying amount).

^c Selling expenses of HK\$633,000 were calculated as HK\$2,531,000 (total selling expenses according to the internal profit and loss account) less HK\$1,898,000 (cost of sales).

^d Administrative expenses of HK\$492,000 were calculated as HK\$526,000 (total administrative expenses according to the internal profit and loss account) less HK\$34,000 (carrying amount of office furniture sold).

^e Other expenses of HK\$49,000 were calculated as HK\$72,000 (total financial expenses according to the internal profit and loss account) less HK\$23,000 (interest expense).

^f Finance costs expense of HK\$23,000 represented interest expense.

► **EXHIBIT 20.11 Statement of profit or loss and other comprehensive income for Stanley Limited**

► Knowledge Check Questions

Question 6

Identify which statement below is correct. The format of the statement of profit or loss and other comprehensive income is:

- A** prescribed by HKAS 1 for revenue only
- B** prescribed by HKAS 1
- C** determined by the auditor
- D** not prescribed in HKAS 1 but guidance is provided in the accompanying Implementation Guidance (IG) from IAS 1 in HKAS 1.

Question 7

Identify which of the following items is required to be disclosed separately on the face of the statement of profit or loss and other comprehensive income by HKAS 1.

- (I) Rent expense
 - (II) Revenue
 - (III) Finance costs
 - (IV) Share of the profit or loss from associates and joint ventures accounted for using the equity method
 - (V) Audit and non-audit fees
 - (VI) Tax expense
 - (VII) Profit or loss
- A** I, II, VI and VII only
 - B** I, II, III and V only
 - C** I, III, V and VII only
 - D** II, III, IV, VI and VII only

Question 8

Identify which of the following methods categorises distribution costs and administration expenses.

- A** Nature of expense method
- B** Purpose of expense method
- C** Function of expense method
- D** Auditor's selection method

► 20.4 STATEMENT OF CHANGES IN EQUITY

The statement of changes in equity provides details, as the name implies, of the changes in the company's equity over the reporting period. In other words, the statement of changes in equity provides a reconciliation of the opening and closing amounts of each component of equity for a company.

Transactions with shareholders are disclosed in the statement of changes in equity. A **statement of changes in equity** is prepared to provide information to users regarding changes in an entity's net assets (i.e. equity). A complete picture of an entity's performance between the end of two reporting periods is reflected in the change (increase or decrease) in its net assets during the period.

20.4.1 Presentation of the Statement of Changes in Equity

As noted previously in this chapter, HKAS 1 requires all items of income and expense to be included in the determination of a company's profit or loss unless another standard requires or permits otherwise. Other comprehensive income (e.g. revaluation increases or decreases of property, plant and equipment) plus profit or loss for the reporting period aggregates to total comprehensive income. The overall change in equity (or net assets) during a period represents the total comprehensive income generated by the company's activities during that period apart from changes resulting from:

- transactions with shareholders (owners) – for example, equity contributions and dividends; and
- costs directly related to such transactions – for example, share issue costs.

HKAS
1.109

20.4.2 Items to Be Reported

The statement of changes in equity forms part of a complete set of financial statements, and includes the following information:

- total comprehensive income for the period, showing separately the total amounts attributable to owners of the parent and to non-controlling interests;
- for each component of equity, the effects of retrospective application or retrospective restatement recognised in accordance with HKAS 8; and
- for each component of equity, a reconciliation between the carrying amount at the beginning and the end of the period, separately disclosing changes resulting from:
 - profit or loss;
 - other comprehensive income; and
 - transactions with owners in their capacity as owners, showing separately contributions by and distributions to owners and changes in ownership interests in subsidiaries that do not result in a loss of control.

HKAS
1.106

The components of equity referred to in HKAS 1 include:

- each class of share capital (such as preference shares and ordinary shares);
- the accumulated balance of each class of other comprehensive income; and
- retained earnings.

HKAS
1.108

The total equity in the statement of changes in equity should agree with the total equity amount in the statement of financial position.

HKAS 1 also requires disclosure in the statement of changes in equity of retrospective adjustments and restatements to each component of equity as a result of compliance with HKAS 8 when accounting for changes in accounting policies and correction of errors (see Chapter 13). These retrospective adjustments and retrospective restatements are not changes in equity, but they are adjustments to the opening balance of retained earnings except when a standard requires retrospective adjustment of another component of equity. Changes in accounting policies and corrections of errors must be disclosed separately.

HKAS
1.106(b), 1.110

Dividends

An entity must disclose both the amount of dividends recognised as distributions to owners (shareholders) during the period and the related amount per share:

- in the statement of changes in equity; or
- in the notes.

HKAS
1.107

The requirement is to provide details of an owner-related equity transaction (e.g. dividends) in the statement of changes in equity or notes and not as part of the statement of profit or loss and other comprehensive income.

20.4.3 Disclosures for the Statement of Changes in Equity

Exhibit 20.12 provides an example of a statement of changes in equity contained in HKAS 1 (adapted from IAS 1 *Presentation of Financial Statements*, Implementation Guidance).

Note the following regarding Exhibit 20.12:

- Using the totals from Exhibit 20.12, 3,200 [Investments in equity instruments] + 2,200 [Revaluation surplus] = 5,400 [other components of equity], balance as per statement of financial position as of 31 December 20X9 in Exhibit 20.1;
- Dividend distributions to shareholders are disclosed in the statement of changes in equity. The related amount of dividends per share is to be presented in the statement of changes in equity or in the notes.

HKAS
1.107

In summary, the statement of changes in equity can be expressed as:

Total equity(at the beginning of the period) + Total comprehensive income for the year(profit or loss + other comprehensive income) + / – Transactions with shareholders (e.g. share issues, dividends) = Total equity(at the end of the period)

XYX Group Statement of Changes in Equity for the year ended 31 December 20X9							
	Share capital	Retained earnings	Investments in equity instruments	Revaluation surplus	Total	Non-controlling interests	Total equity
	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Balance at 1 January 20X7	600,000	118,100	1,600	—	719,700	29,800	749,500
Changes in accounting policy	—	400	—	—	400	100	500
Restated balance	600,000	118,500	1,600	—	720,100	29,900	750,000
Changes in equity for 20X7/20X8							
Dividends	—	(10,000)	—	—	(10,000)	—	(10,000)
Total comprehensive income for the year	—	53,200	16,000	1,600	70,800	18,700	89,500
Balance at 31 December 20X8	600,000	161,700	17,600	1,600	780,900	48,600	829,500
Changes in equity for 20X8/20X9							
Issue of share capital	50,000	—	—	—	50,000	—	50,000
Dividends	—	(15,000)	—	—	(15,000)	—	(15,000)
Total comprehensive income for the year	—	96,600	(14,400)	800	83,000	21,450	104,450
Transfer to retained earnings	—	200	—	(200)	—	—	—
Balance at 31 December 20X9	650,000	243,500	3,200	2,200	898,900	70,050	968,950

► **EXHIBIT 20.12 Statement of changes in equity** (Source: Adapted from HKAS 1, IAS 1 Presentation of Financial Statements, Implementation Guidance, 2018, pp. 111.)

Illustrative Example 3

Refer to the Illustrative Examples in Sections 20.2 and 20.3 of this chapter for background details. The Chief Executive Officer (CEO) of Stanley Limited advised Financial Reporting Consultants (FRC) that the statement of changes of equity had not been prepared by the Financial Accountant prior to his resignation.

Question

Prepare the statement of changes in equity for the year ended 31 December 20X8 for external disclosure by Stanley in accordance with the requirements of HKAS 1 *Presentation of Financial Statements* (ignoring notes and comparative amounts).

Answer

The information in the statement of profit or loss and other comprehensive income and statement of financial position provides the information for the various items necessary to prepare the statement of changes in equity.

Exhibit 20.13 illustrates the disclosures required for the statement of changes in equity that would need to be prepared for Stanley Limited.

STANLEY LTD Statement of Changes in Equity For the year ended 31 December 20X8					
	Share capital	General reserve	Revaluation surplus ^a	Retained earnings	Total equity
	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Balance at 1 January 20X8	1,774 ^b	130 ^c	200 ^d	100 ^e	2,204
Total comprehensive income for the year	–	–	100 ^f	427 ^f	527
Dividend declared – ordinary	–	–	–	(160) ^g	(160)
Dividend declared – preference	–	–	–	(80) ^g	(80)
Transfer to general reserve	–	20 ^h	–	(20) ^h	–
Balance at 31 December 20X8	<u>1,774</u>	<u>150</u>	<u>300</u>	<u>267</u>	<u>2,491</u>
Ordinary dividends: 40 cents per share					
Preference dividends: 16 cents per share					

^a Stanley Limited revalued its retail store upwards by HK\$120,000. Applying HKAS 12 *Income Taxes* and using the tax rate of 16.5%, this resulted in:

- a deferred tax liability of HK\$19,800 (16.5% × HK\$120,000)
- an increase in the revaluation surplus during the current period of HK\$100,200 [HK\$120,000 × (1 – 16.5%)].

► **EXHIBIT 20.13** Statement of changes in equity for Stanley Ltd

Refer to Chapter 5 for the treatment of revaluation increases. Please note that calculating the deferred tax consequences of asset revaluations are beyond the scope of this chapter.

- ^b Opening balance for share capital is the same as closing balance as no details provided in the illustrative example (see Exhibit) regarding movement in share capital during 20X8.
- ^c Opening balance of general reserve of HK\$130,000 was calculated by working backwards from closing balance, i.e. HK\$150,000 (closing balance) – HK\$20,000 (transfer from retained earnings during 20X8).
- ^d Opening balance of revaluations surplus of HK\$200,000 was provided in footnote 1 of Exhibit 20.2.
- ^e Opening balance of retained earnings of HK\$100,000 was calculated by working backwards from closing balance, i.e. HK\$267,000 (closing balance) + HK\$20,000 (transfer to general reserve) + HK\$80,000 (dividend declared – preference) + HK\$160,000 (dividend declared – ordinary) – HK\$427,000 (profit for the 20X8).
- ^f HK\$100,000 is the gain on revaluation in other comprehensive income; HK\$427,000 is the profit for the year transferred to retained earnings. See Exhibit 20.11 for details.
- ^g HK\$160,000 is the ordinary dividend payable; HK\$80,000 is the preference dividend payable. See Exhibit 20.3, note 6 Trade and other payables for details.
- ^h HK\$20,000 is the transfer from retained earnings to general reserve in the current year. See Exhibit 20.2 for details.

► **EXHIBIT 20.13** Statement of changes in equity for Stanley Ltd (*Continued*)

Key Learning Point

The purpose of the statement of changes in equity is to report transactions with owners such as the issue of shares and the payment of dividends. The statement of changes in equity provides a reconciliation of the opening and closing amounts of each component of equity for the period.

► Knowledge Check Question

Question 9

Identify which of the following items are included in a statement of changes in equity.

- (I) Opening and closing balances
- (II) Total comprehensive income for the period
- (III) New share issues
- (IV) Dividends paid
- (V) For each component of equity, the effects of retrospective application or retrospective restatement in accordance with HKAS 8

- A** I, II, III and V only
- B** II, III and IV only
- C** I, II, III, IV and V
- D** I, IV and V only

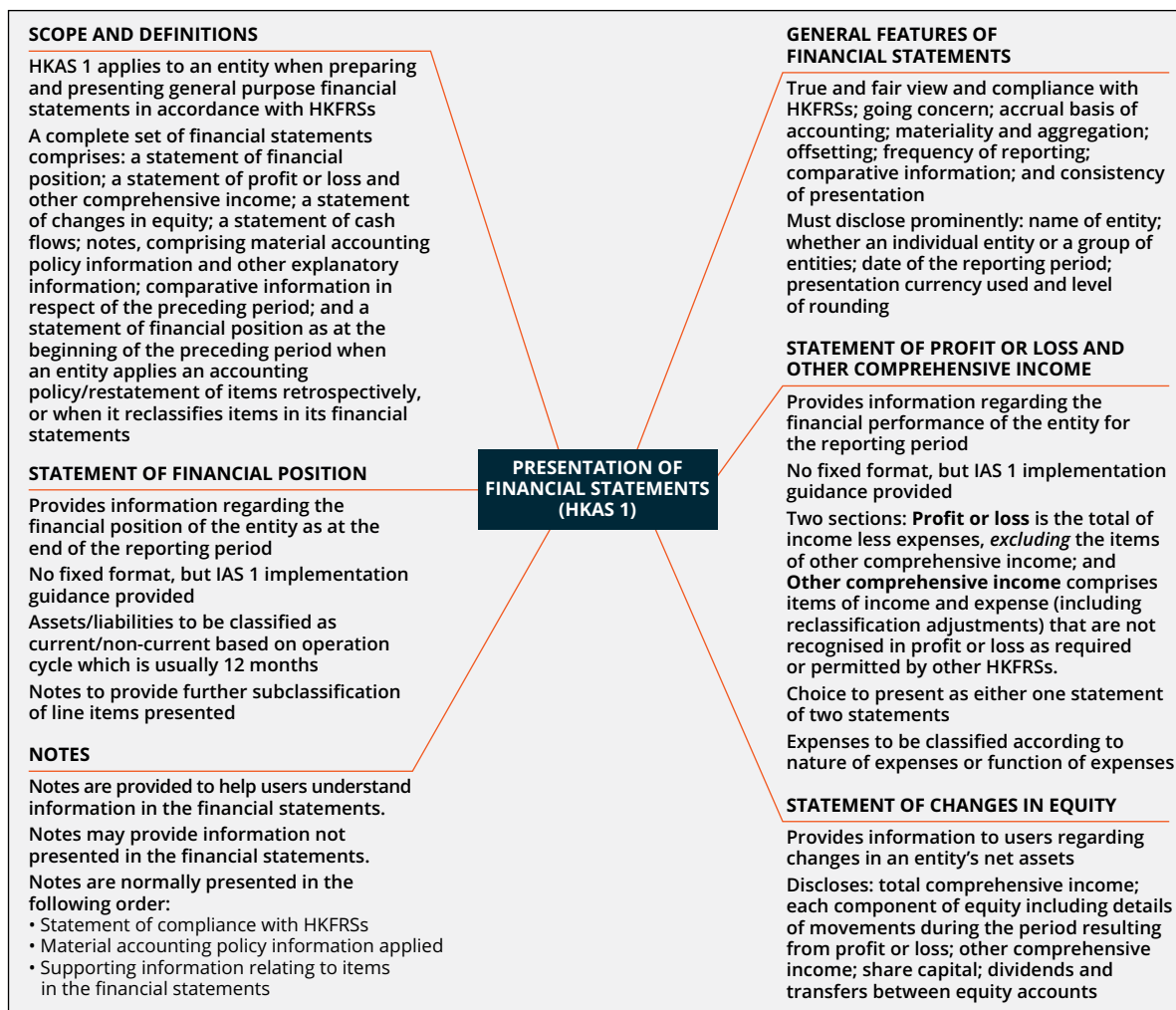


SUMMARY

- A complete set of financial statements includes the following financial statements: statement of financial position, statement of profit or loss and other comprehensive income, statement of changes in equity and statement of cash flows.
- A complete set of financial statements includes notes comprising a summary of material accounting policy information and other explanatory material.
- A complete set of financial statements may include a statement of financial position at the beginning of the earliest comparative period when certain retrospective adjustments and reclassifications are made.
- The following are the eight general features of financial statements:
 1. true and fair view and compliance with HKFRSs
 2. going concern
 3. accrual basis of accounting
 4. materiality
 5. offsetting
 6. frequency of reporting
 7. comparative information
 8. consistency of presentation.
- Notes are provided to help users understand information in the financial statements.
- Notes are required by a number of standards in addition to HKAS 1.
- Notes are normally presented in the following order:
 - statement of compliance with HKFRSs;
 - material accounting policy information applied;
 - information relating to items in the financial statements; and
 - other disclosures.
- The information to be presented in the statement of financial position includes prescribed asset, liability and equity items.
- All assets and liabilities are usually classified as current or non-current. An entity's operating cycle, which is the key to classification as current or non-current, may be longer than 12 months.

- HKAS 1 has taken an all-inclusive approach to the determination of profit or loss.
- Entities may present either a single statement of profit or loss and other comprehensive income or two separate statements: a statement of profit or loss and a statement of comprehensive income.
- Information to be presented either in the statement of profit or loss and other comprehensive income or in the notes includes:
 - 'profit or loss' and 'other comprehensive income';
 - each material income and expense item;
 - an analysis of expenses using a classification based on either the nature of expenses method or the function of expenses (or 'cost of sales') method; and
 - items of other comprehensive income, including reclassification adjustments.
- The statement of changes in equity provides details of the entity's changes in equity items for the period, that is, total comprehensive income, each component of equity including details of movements during the period resulting from profit or loss, other comprehensive income, share capital, dividends and transfers between equity accounts.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. The name of the company is required to be displayed in the financial statements.

Answer B is incorrect. The level of rounding used in the presentation of amounts in the financial statements is required to be displayed in the financial statements.

Answer C is incorrect. The currency used in the financial statements is required to be displayed in the financial statements.

Answer D is correct. The names of the company's major competitors are not required to be displayed in the financial statements by HKAS 1.

HKAS
1.51(a)

HKAS
1.51(e)

HKAS
1.51(d)

Question 2HKAS
1.45

Answer A is incorrect. Only a significant change in the entity's operations may cause a change in presentation and classification of items in the financial statements.

HKAS
1.45

Answer B is correct. A change in presentation is required if another HKFRS requires a change in presentation.

Answer C is incorrect. Auditors have no power to change the presentation and classification of items in the financial statements under HKAS 1.

Answer D is incorrect. Directors have no power to change the presentation and classification of items in the financial statements under HKAS 1 other than in accordance with Paras. 45 and 46.

Question 3HKAS
1.32

Answer A is incorrect. An entity shall not offset assets and liabilities unless required or permitted by a HKFRS.

HKAS
1.32

Answer B is incorrect. An entity shall not offset income and expenses unless required or permitted by a HKFRS.

HKAS
1.32

Answer C is correct. Assets, liabilities, income and expenses are not to be offset unless required or permitted by a HKFRS.

see HKAS
1.32

Answer D is incorrect. An auditor has no authority under HKAS 1 to approve any offset; an entity makes the decision to offset in accordance with HKAS 1.

Question 4HKAS
1.56

Answer A is correct. An entity is not required to provide subheadings for different types of property, plant and equipment in the statement of financial position. Additional subheadings could be provided but this is not necessary. Provision of additional subheadings depends on the disclosure policies of the company concerned. Specifically for the different types of property, plant and equipment, the subtotals are disclosed in the notes to the financial statements.

HKAS
1.64

Answer B is incorrect. In the case of an entity with diverse operations, such as an entity with retail and banking activities, a mixed basis of presentation may be appropriate. In these cases, an entity may present some of its assets and liabilities using a current/non-current classification and other assets in order of liquidity when this provides reliable and relevant information.

HKAS
1.68

Answer C is incorrect. The operating cycle is usually completed within 12 months but it may be longer than 12 months after the reporting period according to HKAS 1. Current assets include assets (such as inventories and trade receivables) that are sold, consumed or realised as part of the normal operating cycle even when they are not expected to be realised within 12 months after the reporting period. Some current liabilities, such as trade payables and some accruals for employee and other operating costs, are part of the working capital used in the entity's normal operating cycle. An entity classifies such operating items as current liabilities even if they are due to be settled more than 12 months after the reporting period. The same normal operating cycle applies to the classification of an entity's assets and liabilities.

HKAS
1.70HKAS
1.66(a)

Answer D is incorrect. An entity shall classify an asset as current when it expects to realise the asset, or intends to sell or consume it, in its normal operating cycle.

Question 5

HKAS
1.57

Answer A is incorrect. HKAS 1 does not prescribe the format for any asset, liability and equity items disclosed in the statement of financial position. However, guidance can be found in HKAS 1 (pp. 95–112).

HKAS
1.57

Answer B is incorrect. HKAS 1 does not prescribe a required format for the statement of financial position.

Answer C is incorrect. The format of the statement of financial position is not determined by the auditor.

HKAS
1.57

Answer D is correct. HKAS 1 does not prescribe a required format for the statement of financial position. Rather HKAS 1, Para. 54, lists items that warrant separate disclosure in the statement of financial position. However, guidance can be found in HKAS 1 (pp. 95–112). The guidance in HKAS 1 refers to the Implementation Guidance (IG) on implementing IAS 1 *Presentation of Financial Statements* which accompanies, but is not part of, IAS 1. IAS 1 is an international accounting standard issued by the International Accounting Standards Board (IASB) and HKAS 1 is the Hong Kong equivalent of IAS 1.

Question 6

HKAS
1.82

Answer A is incorrect. HKAS 1 does not prescribe a required format for the presentation of revenue in the statement of profit or loss and other comprehensive income.

Answer B is incorrect. HKAS 1 does not prescribe a required format for the statement of profit or loss and other comprehensive income. However, guidance can be found in HKAS 1 (pp. 95–112).

Answer C is incorrect. The format of the statement of profit or loss and other comprehensive income is not determined by the auditor.

HKAS
1.82

Answer D is correct. HKAS 1 does not prescribe a required format for the statement of profit or loss and other comprehensive income, other than noting the items to be disclosed. However, guidance can be found in HKAS 1 (pp. 95–112). The guidance in HKAS 1 refers to the Implementation Guidance (IG) on implementing IAS 1 *Presentation of Financial Statements* which accompanies, but is not part of, IAS 1. IAS 1 is an international accounting standard issued by the International Accounting Standards Board (IASB) and HKAS 1 is the Hong Kong equivalent of IAS 1.

Question 7

HKAS
1.82

Answer A is incorrect. Rent expense (shown as (I)) is not required to be disclosed separately on the face of the statement of profit or loss and other comprehensive income.

HKAS
1.82

Answer B is incorrect. Rent expense (shown as (I)) and audit and non-audit fees (shown as (V)) are not required to be disclosed separately on the face of the statement of profit or loss and other comprehensive income.

HKAS
1.82

Answer C is incorrect. Rent expense (shown as (I)) and audit and non-audit fees (shown as (V)) are not required to be disclosed separately on the face of the statement of profit or loss and other comprehensive income.

HKAS 1.82(a)

HKAS 1.82(b)

HKAS 1.82(c)

HKAS 1.82(d)

HKAS 1.81A(a)

Answer D is correct. The following items are required to be disclosed by HKAS 1:

- II Revenue
- III Finance costs
- IV Share of the profit or loss from associates and joint ventures accounted for using the equity method
- VI Tax expense
- VII Profit or loss

Question 8

Answer A is incorrect. The nature of expense method aggregates expenses within profit or loss according to their nature e.g. depreciation, purchases of materials, transport costs, employee benefits and advertising costs. This method is simple to apply because no allocations of expenses to functional classification is required.

Answer B is incorrect. The purpose of expense method is not referred to in HKAS 1.

Answer C is correct. The function of expense (or 'cost of sales') method classifies expenses according to their function as part of cost of sales or, for example, as distribution costs or administrative expenses. This method may provide more relevant information to users, but allocating costs to functions may require arbitrary allocations and judgement.

Answer D is incorrect. The auditor's selection method is not referred to in HKAS 1.

HKAS
1.102HKAS
1.103HKAS
1.106(d)(iii)

HKAS 1.106(d)

HKAS
1.106(b)

Question 9

Answer A is incorrect. Dividends paid (IV) must be disclosed.

Answer B is incorrect. Opening and closing balances (I) must be disclosed and for each component of equity, the effects of retrospective application or retrospective restatement in accordance with HKAS 8 (V) must be disclosed.

Answer C is correct. The following items are all required to be disclosed by HKAS 1:

- I Opening and closing balances
- II Total comprehensive income for the period
- III New share issues
- IV Dividends paid
- V For each component of equity, the effects of retrospective application or retrospective restatement in accordance with HKAS 8

Answer D is incorrect. Total comprehensive income for the period (II; see above) must be disclosed and new share issues (III) must be disclosed.

HKAS 1.106(d)

HKAS 1.106(a)

HKAS 1.106(d)(iii)

HKAS 1.106(d)(iii)

HKAS
1.106(b)

HKAS 1.106(a)

HKAS 1.106(d)(iii)

EXAM PRACTICE

QUESTION 1

Identify which of the following is not required to be disclosed separately on the face of the statement of profit or loss in accordance with HKAS 1.

- A. Finance costs
- B. Profit before income taxes
- C. Tax expense
- D. Share of profits of associate

QUESTION 2

Identify which of the following item would not be classified as 'current' in accordance with HKAS 1.

- A. Entity A has an operating cycle of 18 months. It has prepayment on its premises for the next 12 months.
- B. Entity B has an operating cycle of 18 months. Its inventories are sold as part of its normal operating cycle.
- C. Entity C has an operating cycle of six months. It expects to settle its income taxes payable in 18 months.
- D. Entity D has an operating cycle of 9 months. Its trade payables are due to be settled as part of its normal operating cycle.

QUESTION 3

HKAS 1 *Presentation of Financial Statements* requires certain information to be disclosed in financial statements and in the notes. The following accounts appeared in the financial records of Nathan Limited:

- (a) provision for warranty repairs;
- (b) accumulated depreciation;
- (c) issue of ordinary shares;
- (d) finance expenses;
- (e) contingent liabilities;
- (f) deferred tax asset;
- (g) gain on revaluation of land (not reversing any previous devaluation);
- (h) change to the opening balance of retained earnings due to a correction of a prior period error; and
- (i) dividends paid and declared.

Required:

In respect of each of the above items, specify whether each item was reported in:

- the statement of financial position
- the profit or loss section of the statement of profit or loss and other comprehensive (statement of profit or loss)

- other comprehensive income of the statement of profit or loss and other comprehensive (statement of comprehensive income)
- the statement of changes in equity
- the notes to the financial statements

QUESTION 4

The trial balance of Peak Limited (Peak) at 30 June 20X8 was as follows:

	Debit	Credit
	HK\$'000	HK\$'000
Share capital (HK\$2 ordinary shares fully paid)		400
General reserve		50
Retained earnings (1/7/X7)		257
Revaluation surplus		170
Mortgage loan		500
Bank overdraft (at call)		138
7% debentures		160
Interest payable		5
Trade payable		140
Dividend payable		20
Current tax liability		104
Provision for employee benefits		68
Deferred tax liability		37
Provision for expected credit loss		26
Accumulated depreciation – plant and equipment		85
Accumulated impairment – goodwill		20
Cash	1	
Trade receivable	116	
Inventory	175	
Prepaid insurance	14	
Plant and equipment	445	
Land	440	
Buildings	760	
Goodwill	210	
Deferred tax asset	20	
Sales revenue		1,650
Cost of sales	900	
Administrative expenses	530	
Other expenses	20	
Interest revenue		5

	Debit	Credit
	HK\$'000	HK\$'000
Dividends revenue		7
Income tax expense	101	
Dividends paid	40	
Dividends declared	20	
Transfer to general reserve	50	
	<u>3,842</u>	<u>3,842</u>

Additional information:

1. Administrative expenses for the year included interest expense of HK\$57,000.
2. All assets were carried at cost, except for land and buildings which were carried at valuation.
3. During the year, 100,000 shares were issued at an issue price of HK\$2 each, payable in full on application.
4. On 30 June 20X8, the directors revalued land and buildings. The revaluation was based on an independent valuation and was based on fair values. The carrying amounts of land and buildings before the revaluation were HK\$390,000 and HK\$700,000 respectively.
5. The mortgage loan was repayable in annual instalments of HK\$100,000 due on 1 November each year.
6. The 7% debentures were to be redeemed on 31 December 20X8. There was no plan to refinance these debentures in the future.
7. The provision for employee benefits consisted of HK\$36,000 expected to be paid in the next 12 months and HK\$32,000 expected to be paid beyond the next 12 months.
8. The company tax rate was 16.5%.

Required:

- (a) Prepare a statement of profit or loss and other comprehensive income for Peak for the year ended 30 June 20X8, according to the requirements of HKAS 1 (classify expenses by function).
- (b) Prepare a statement of financial position for Peak as at 30 June 20X8 to comply with HKAS 1.
- (c) Prepare a statement of changes in equity for Peak for the year ended 30 June 20X8, according to the requirements of HKAS 1.

ANSWERS TO EXAM PRACTICE

QUESTION 1

HKAS
1.82(b)

Answer A is incorrect. Finance costs are required to be disclosed separately on the face of the statement of profit or loss.

HKAS
1.82

Answer B is correct. While profit before income tax expense is commonly disclosed by entities on the face of their statement of profit or loss it is not a required line item.

HKAS
1.82(d)

Answer C is incorrect. Tax expense is required to be disclosed separately on the face of the statement of profit or loss and other comprehensive income.

HKAS
1.82(c)

Answer D is incorrect. Share of profits of associate is required to be disclosed separately on the face of the statement of profit or loss and other comprehensive income.

QUESTION 2

HKAS
1.66(c)

Answer A is incorrect. An asset expected to be realised within 12 months is to be classified as current. As the paid in advance for the next 12 months it should, therefore, be classified as current.

HKAS
1.66(a); 68

Answer B is incorrect. An asset expected to be sold in an entity's normal operating cycle is to be classified as current, which includes, for example, inventories. This is even if the operating cycle exceeds 12 months.

HKAS
1.69(c)

Answer C is correct. A liability expected to be settled within 12 months is to be classified as current. In this case, the income taxes payable are expected to be settled in 18 months and, as such, are to be classified as non-current.

HKAS
1.69(a); 70

Answer D is incorrect. A liability expected to be settled in an entity's normal operating cycle is to be classified as current, which includes, for example, trade payables.

QUESTION 3

Item	Name of financial statement or notes
(a) provision for warranty repairs	Statement of financial position
(b) accumulated depreciation	Notes
(c) issue of ordinary shares	Statement of changes in equity
(d) finance expenses	Statement of profit or loss and other comprehensive income (profit or loss section)
(e) contingent liabilities	Notes
(f) deferred tax asset	Statement of financial position
(g) gain on revaluation of land (not reversing any previous devaluation)	Statement of profit or loss and other comprehensive income (other comprehensive income section)
(h) change to the opening balance of retained earnings due to a correction of a prior period error	Statement of changes in equity
(i) dividends paid and declared	Statement of changes in equity

QUESTION 4

(a)

PEAK LTD Statement of Profit or Loss and Other Comprehensive Income For the year ended 30 June 20X8	
	HK\$'000
Sales revenue	1,650
Cost of sales	(900)
Gross profit	750
Other income ^a	12
Administrative expenses ^b	(473)
Other expenses	(20)
Finance costs	(57)
Profit before income tax	212
Income tax expense	(101)
Profit for the year	<u>111</u>
Other comprehensive income	
Items that will not be reclassified to profit or loss	
Gain on revaluation of land	50
Gain on revaluation of buildings	60
Income tax relating to items not reclassified	(18)
Other comprehensive income for the year, net of tax	<u>92</u>
Total comprehensive income for the year	<u><u>203</u></u>

Workings:

^a Other income:

	HK\$
Interest	5,000
Dividends	7,000
	<u>12,000</u>

^b Administrative expenses:

	HK\$
Administrative expenses	530,000
Less Interest expense	(57,000)
	<u>473,000</u>

(b)

PEAK LTD Statement of Financial Position As at 30 June 20X8	
	HK\$'000
ASSETS	
Non-current assets	
Property, plant and equipment ^a	1,560
Goodwill ^b	190
Deferred tax asset	20
Total non-current assets	1,770
Current assets	
Inventories	175
Trade and other receivables ^c	104
Cash and cash equivalents	1
Total current assets	280
Total assets	2,050
EQUITY AND LIABILITIES	
Equity	
Share capital	400
Reserves ^d	220
Retained earnings	258
Total equity	878
Non-current liabilities	
Long-term borrowings ^e	400
Deferred tax liability	37
Long-term provisions ^f	32
Total non-current liabilities	469
Current liabilities	
Trade and other payables ^g	165
Short-term borrowings ^h	298
Current portion of long-term borrowings	100
Current tax payable	104
Short-term provisions ⁱ	36
Total current liabilities	703
Total liabilities	1,172
Total equity and liabilities	2,050

Workings:

^a Property, plant and equipment:

		HK\$
Land		440,000
Buildings		760,000
Plant and equipment	HK\$	
	445,000	
Accumulated depreciation	(85,000)	360,000
		<u>1,560,000</u>

^b Goodwill:

		HK\$
Goodwill		210,000
Accumulated impairment		(20,000)
		<u>190,000</u>

^c Trade and other receivables:

		HK\$
Trade receivable		116,000
Provision for expected credit loss		(26,000)
Prepaid insurance		14,000
		<u>104,000</u>

^d Reserves:

		HK\$
General reserve		50,000
Revaluation surplus		170,000
		<u>220,000</u>

^e Long-term borrowings:

		HK\$
Mortgage loan		500,000
Less instalment payable 1 November 20X8		(100,000)
		<u>400,000</u>

^f Long-term provisions:

Provision for employee benefits	HK\$32,000
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^g Trade and other payables:

		HK\$
Interest payable		5,000
Trade payable		140,000
Dividend payable		20,000
		<u>165,000</u>

^h Short-term borrowings:

	HK\$
Bank overdraft (at call)	138,000
7% Debentures	160,000
	<u>298,000</u>

ⁱ Short-term provisions:

Provision for employee benefits	HK\$36,000
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(c)

PEAK LTD Statement of Changes in Equity For the year ended 30 June 20X8					
	Share capital	General reserve	Revaluation surplus	Retained earnings	Total
	HK\$'000	HK\$'000	HK\$'000	HK\$'000	HK\$'000
Balance at 1 July 20X7	200 ^a	-	78 ^b	257	535
Total comprehensive income for the year	-	-	92	111	203
Issue of share capital	200	-	-	-	200
Dividend paid – ordinary	-	-	-	(40)	(40)
Dividend declared – ordinary	-	-	-	(20)	(20)
Transfer to general reserve	-	50	-	(50)	-
Balance at 30 June 20X8	<u>400</u>	<u>50</u>	<u>170</u>	<u>258</u>	<u>878</u>

^a Share capital at 1 July 20X7 of HK\$200,000 was calculated by working backwards from closing balance, i.e. HK\$400,000 (closing balance) – HK\$200,000 (shares issued during 20X7/X8)

^b Revaluation surplus at 1 July 20X7 of HK\$78,000 was calculated by working backwards from closing balance, i.e. HK\$170,000 (closing balance) – HK\$92,000 (gains on the revaluation of land and buildings, net of tax – see statement of profit or loss and other comprehensive income)

[Comparative information must be disclosed in respect of the preceding period for all amounts reported in the current period's financial statements in accordance with HKAS 1 paragraph 38. However, this information is not provided in the question].

21

Statement of Cash Flows



CHAPTER TOPIC LIST

21.1 Statement of Cash Flows Overview

- 21.1.1** Objective of the Statement of Cash Flows
- 21.1.2** Cash and Cash Equivalents

21.2 Presentation

- 21.2.1** Operating Activities
- 21.2.2** Investing Activities
- 21.2.3** Financing Activities
- 21.2.4** Non-cash Transactions

21.3 Methods of Calculating Operating Cash Flows

- 21.3.1** Direct Method
- 21.3.2** Indirect Method
- 21.3.3** Dividends and Interest
- 21.3.4** Income Taxes



LEARNING OUTCOMES

Principal LO3: Prepare and present financial statements in accordance with Hong Kong Financial Reporting Standards

LO3.03: Prepare a statement of cash flows for a single entity

3.03.01 Explain the difference between operating, investing and financing activities

3.03.02 Describe cash and cash equivalents

3.03.03 Define the components of a statement of cash flows

3.03.04 Explain the importance of a statement of cash flows

3.03.05 Prepare a statement of cash flows for a single entity



OPENING CASE

HONG KONG VICTORY

Hong Kong Victory (HKV) are a professional football team who play their home matches at Mong Kok Stadium. They have been a part of the Premier League of the Hong Kong Football Association since it began in 20X4. In 20X7 they qualified for the AFC Champions League, where they made the Round of 16.

HKV do not own their home ground and currently pay for access to the Leisure and Cultural Services Department of Hong Kong for matches played there. They do own the land where their training facility is located. They recently borrowed a substantial amount as they look to develop a public leisure and fitness club to diversify their revenue streams. 



OVERVIEW

HKAS
1.10

The statement of cash flows is a required statement in a complete set of financial statements under HKAS 1. This statement provides useful information for financial statements users to understand the ability of the entity to generate future cash flows.

Whilst the statement of profit or loss and other comprehensive income is a helpful guide to this information, many users feel that accrual accounting choices entities make can potentially mask the cash generating ability of the entity. This issue is resolved by the preparation of a statement of cash flows.

The purpose of a statement of cash flows is to disclose detailed information about the changes in cash and cash equivalents of an entity. Cash flows are classified based on the sources of the cash flows, namely operating, investing and financing activities. Accordingly, it is not just a question of how much cash and cash equivalents are generated (or used) in a particular period, the source of the cash flows is also important.

Consider the opening case of Hong Kong Victory (HKV), they recently borrowed money to develop a public leisure and fitness club. This borrowing would appear as a cash inflow. However, from a business perspective, cash flows that are borrowed for funding activities are not the same as cash flows that are generated from sales to customers. As such, it is important that HKV make the source of funds clear to users. To enhance the value of cash flow information, HKAS 7 provides different guidelines for the classification of cash flows based on their sources (operating, investing and financing activities).

This chapter focuses on the how the statement of cash flows is developed and presented. You will gain an understanding of what cash and cash equivalents are, be able to calculate cash flows for operating, financing and investing activities as well as to prepare a statement of cash flows. By the end of this chapter, you will also be able to prepare the required note disclosures.



21.1 STATEMENT OF CASH FLOWS OVERVIEW

HKAS
1.111

HKAS
1.10

This chapter addresses the preparation and presentation of the statement of cash flows in accordance with HKAS 7 *Statement of Cash Flows*. HKAS 1 *Presentation of Financial Statements* notes that cash flow information provides users with a basis to assess an entity's ability to generate cash and the needs of the entity to utilise those cash flows. The statement of cash flows forms part of a complete set of financial statements.

21.1.1 Objective of the Statement of Cash Flows

The statement of **cash flows** explains the movement in the cash balance of the entity for the reporting period; that is, the movement from the opening balance of cash to the closing balance of cash. The statement separately discloses the cash receipts and cash payments – the inflows and outflows of cash – that have occurred during the reporting period. In contrast to the other financial statements, the statement of cash flows is based on the cash basis of accounting rather than the accrual basis of accounting. The role of this statement is to explain the extent to which those changes are associated with inflows and outflows of cash.

For financial statements users, understanding the ability of an entity to generate cash and cash equivalents is crucial. The objective of HKAS 7 is to 'require the provision of information about the historical changes in cash and cash equivalents of an entity by means of a statement of cash flows which classifies cash flows during the period from operating, investing and financing activities'.

An entity can generate cash in different ways. HKAS 7 not only requires entities to show the change in the balance of cash and cash equivalents, but also requires entities to categorise the change of cash and cash equivalents into their different functional activities. This helps users to have a better understanding of the ability of the entity to generate cash and cash equivalents and the timing and certainty of their generation. For example, in the opening case, HKV could generate cash flows from selling tickets to customers, selling the training facility land or borrowing from a bank. However, the impacts of these decisions for HKV's ability to generate future cash flows are different.

The information in a statement of cash flows, when used in conjunction with the other financial statements, enables users to do the following:

- evaluate the change in net assets of the entity by reference to its operating, investing and financing activities;
- evaluate the financial structure of the entity, including its liquidity and solvency, by reference to whether sufficient cash is being generated to meet future obligations or borrowing commitments;
- evaluate the entity's ability to affect the amount and timing of cash flows in order to adapt to changing circumstances and opportunities;
- forecast the amount, timing and riskiness of future cash flows using historical cash flow information;
- compare the performance of an entity with other entities because cash flow information eliminates the effects of using different accounting treatments (e.g. depreciation methods) for the same transactions and events;
- check the accuracy of past assessments of future cash flows;
- examine the relationship between profitability and net cash flows from operations; and
- develop models that allow comparisons between the present value of future cash flows of different entities.

HKAS
7.4, 7.5

21.1.2 Cash and Cash Equivalents

To prepare the statement of cash flow, it is necessary to understand the components of cash and cash equivalents.

**HKAS
7.6**

Cash and cash equivalents are defined in HKAS 7 as follows:

- Cash comprises cash on hand and demand deposits; and
- Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

The underpinning idea of what is included in cash and cash equivalents is that these items must be easily and quickly accessible by the entity and the amount recognised has an extremely low risk of change. Cash on hand, as well as cash in transaction accounts are both considered cash as they are highly liquid and there is essentially no risk of value change. Investments in listed securities may be readily convertible into cash (if they are in a liquid market), but generally security prices have a level of volatility that would mean there is more than an insignificant risk of value change. As such, these investments would not be considered cash and cash equivalents.

Examples of cash and cash equivalents:

Item	Examples
Cash	• Notes • Coins • Demand deposits (redeemable on demand)
Cash equivalents	• Commercial papers • Deposits on short-term money market • Treasury bills or short-term government bonds

Apply and Analyse 1

BTB Ltd has the following account balances as at 31 December 20X8:

	HK\$
Cash on hand	150,000
Cash in transaction accounts	340,000
3-month government bond	500,000
High-return money market fund	2,000,000
Investments in listed entities (shares)	5,000,000

Determine which of the above item(s) are regarded as cash and cash equivalents in accordance with HKAS 7.

Analysis

We have to determine which items fit the definition of cash and cash equivalents. According to HKAS 7, cash is defined as cash on hand and demand deposits, whilst cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

In the case of BTB Ltd, both cash on hand and cash in transaction accounts are clearly within the definition of cash.

**HKAS
7.6**

Apply and Analyse 1 (continued)

The 3-month government bond is considered a cash equivalent because it is a short-term, highly liquid investment with an insignificant risk of value change. However, the HK\$2 million placed in a high-return money market fund would not be considered a cash equivalent. Although it is liquid and easily convertible into cash, the riskiness embedded in the portfolio indicates a possibility of variable returns and would mean that it is subject to a significant risk of changes in value.

For similar reasons the investments in listed entities also would not be considered a cash equivalent. Assuming these stocks have a liquid market, BTB would be able to convert these investments to cash easily. However, listed entity shares generally show a level of price volatility that would mean there is a significant risk of changes in value.

In sum, cash on hand, cash in transaction accounts and 3-month government bond would be considered cash and cash equivalents, whilst high-return money market fund and investments in listed entities would not.

Key Learning Point

- The statement of cash flows explains the movement in the cash balance of the entity for the reporting period.
- Both cash and cash equivalents are included in the cash balance.

► Knowledge Check Questions**Question 1**

Given that entities provide the opening and closing balances of cash and cash equivalents in the statement of financial position, as well as a statement of profit or loss and other comprehensive income, why should they provide a statement of cash flows as well?

Question 2

Identify which of the following items would be considered a cash and cash equivalent.

- A** Trade receivables
- B** Gold bullion
- C** Deposits that are available at call
- D** Long-term bond investment

21.2 PRESENTATION

As noted in Section 21.1.1, there are three major items in the statement of cash flows being operating cash flows, investing cash flows and financing cash flows. Whilst cash inflows are beneficial to the entity, users of financial statements are interested to know how these cash inflows are generated and whether the entity can sustain these cash inflows in the future.

To enable users to compare cash flow information with different entities, it is necessary to have a standardised approach for cash flows presentation. Whilst HKAS 7 allows a degree of flexibility on certain items in the presentation of statement of cash flow, the guidelines in HKAS 7 generally assure comparability of cash flow information is not affected.

In the following subsections, classification and computation of the cash flows from the three primary categories (operating, investing and financing activities) will be discussed. More explanations on the computation of cash flows from operating activities under two alternative methods (direct and indirect) will be given in Section 21.3.

21.2.1 Operating Activities

HKAS
7.6

HKAS 7 defines **operating activities** as the principal revenue-producing activities of the entity and other activities that are not investing or financing activities. As such, the operating activities are a key indicator as to how successful the entity is able to generate cash flows to sustain its business. Without the ability to generate cash from operations, the entity will be reliant on either selling off non-current assets, raising additional equity or borrowing money to continue as a going concern, none of which is a viable long term strategy.

Examples of cash inflows and cash outflows from operating activities.

	Cash inflows	Cash outflows
OPERATING ACTIVITIES (generally associated with principal revenue-producing activities)	- From sale of goods or services - From royalties, fees, commission and other revenue	- To suppliers for goods - To employees for services - To other persons/entities for other operating costs - To other persons/entities for materials and contracts

Direct and indirect method

Cash flows from operating activities can be presented in two alternative formats within the statement of cash flows – the direct or indirect method. Details of the presentation and calculation of operating cash flows under these two approaches will be discussed in Section 21.3.

21.2.2 Investing Activities

HKAS
7.6

Whereas operating activities are concerned with the principal revenue-producing activities of the entity, **investing activities** are those activities relating to the acquisition or disposal of long-term assets and other investments. These long-term assets include property, plant and

equipment, investment of other entities as well as intangible assets. For example, if HKV were to purchase land for a new training field, this cash outflow would be considered one arising from an investing activity. HKAS 7 provides a range of examples of cash flows arising from investing activities.

Examples of cash inflows and outflows from investing activities.

	Cash inflows	Cash outflows
Investing Activities (generally movements of non-current assets)	• From sale of property, plant and equipment • From sale of shares and debentures of other entities • From repayment of advances and loans by other entities	• To purchase property, plant and equipment • To purchase shares and debentures of other entities • To make loans or advances to other entities

If direct cash flow information of the investing activities is not readily available, we will need to calculate the cash flows by reconstructing a number of the related ledger accounts. This is to separate out the non-cash movements in the accounts due to accrual accounting and isolate the cash flows. There are different ways to do this, including the T-account approach and the equation approach. In this chapter, equation approach will be used. Here are some examples.

Calculation of cash receipts from disposal of non-current assets (NCAs)

In simple cases, cash receipts from disposal of NCAs

= Sales proceeds of the disposed NCAs

= Net book value of the disposed NCAs +/- Gains/(Losses) on disposal

where

Net book value = cost – accumulated depreciation

In more complicated cases, the company may not have received the full amount of the sales proceeds from the buyer in the current period. In these cases, the related receivable should be taken into account when computing the cash actually received in the current year. That is,

Cash receipts from disposal of NCAs

= Net book value of the disposed NCAs +/- Gains/(Losses) on disposal + Opening balance of related receivable – Closing balance of related receivable

Calculation of cash payments for acquisition of non-current assets (NCAs)

In simple cases, where NCAs are recorded at historical costs, cash payments from acquisition of NCAs

= Purchase costs of the acquired NCAs

= Closing balance of NCA account – Opening balance of NCA account

In more complicated cases, where:

- there are NCA disposals during the reporting period, costs of the disposed NCAs should be subtracted from the opening balance of the NCA account.
- there are NCAs acquired through non-cash transactions, such amounts should be deducted as there is no cash flows involved.
- the company has not paid the full amount of the purchase costs to the seller in the current period, the related payable should be taken into account when computing the cash actually paid in the current year.
- where there are revaluation increases on the NCAs, such amounts should be deducted as there is no cash flows involved.

That is:

Cash payments for acquisition of NCAs

= Closing balance of NCA account – Opening balance of NCA account (net of disposals in the current period) – NCA acquired through non-cash transactions + Opening balance of related payable – Closing balance of related payable – Revaluation increases

Illustrative Example 1

Shark Ltd is a manufacturer of high quality fishing gear. Due to changes in manufacturing technology as well as increased demand, they have disposed of a significant proportion of their obsolete equipment and invested in new equipment in 20X9. During the year equipment with a cost of HK\$3,780,000 and net book value of HK\$1,250,000 was sold for a loss of HK\$354,000. Shark Ltd purchased two equipment items during 20X9. An equipment of HK\$1,000,000 was purchased in exchange for the company's shares. The company adopts the cost model in accounting for property, plant and equipment. The following information is extracted from Shark Ltd's statement of financial position for the year 20X8 and 20X9.

	20X9 HK\$	20X8 HK\$
Equipment	7,503,000	5,450,000
Accumulated depreciation – Equipment	(2,340,000)	(3,560,000)
Notes receivables (related to the disposal of equipment)	100,000	0
Notes payables (related to the acquisition of equipment)	(200,000)	0

To determine the cash receipts from the disposal of obsolete equipment:

Cash receipts from disposal of equipment

= Net book value of the disposed NCAs +/- Gains/(Losses) on disposal + Opening balance of related receivable – Closing balance of related receivable

= HK\$1,250,000 – HK\$354,000 + HK\$0 – HK\$100,000

= HK\$796,000

Notes:

1. Cash to be received from selling the obsolete equipment equals to the net book value of the equipment disposed minus the loss on disposal (i.e. HK\$1,250,000 – HK\$354,000 = HK\$896,000).
2. There is no opening balance of receivable related to disposal of equipment. The closing balance of notes receivables (HK\$100,000) represents the amount not yet received from the disposal in 20X9, and this amount is deducted to determine the cash actually received for disposal of equipment in the current year.

To determine the cash payments for the acquisition of new equipment:

Cash payments for acquisition of equipment

= Closing balance of NCA account – Opening balance of NCA account (net of disposals in the current period) – NCA acquired through non-cash transactions + Opening balance of related payable – Closing balance of related payable – Revaluation increases

= HK\$7,503,000 – HK\$1,670,000* – HK\$1,000,000 + HK\$0 – HK\$200,000 – HK\$0

= HK\$4,633,000

*The adjusted opening balance is the opening balance of HK\$5,450,000 less the costs of disposed equipment in the current year which amounts to HK\$3,780,000.

Notes:

1. As there is disposal of equipment during 20X9, the cost of the disposed equipment should be taken out from the opening balance of the equipment account.
2. Purchase cost of the new equipment is equal to the difference between opening balance of the equipment account (after adjustment for disposal in the current year) and closing balance of the equipment account (i.e. HK\$7,503,000 – (HK\$5,450,000 – HK\$3,780,000) = HK\$5,833,000).
3. An equipment of \$1,000,000 was purchased in exchange for the company's shares. There is no cash outflow for the acquisition of this equipment and this amount should be deducted.
4. There is no opening balance of payable related to disposal of equipment. The closing balance of notes payables (HK\$200,000) represents the amount not yet paid by Shark Ltd during 20X9, and this amount is deducted to determine the cash actually paid for acquisition of equipment in the current year.

Cash receipts from the disposal of obsolete equipment and cash payments for the acquisition of new equipment are related to investment in non-current assets. The cash inflows and outflows should be reported under investing activities in the statement of cash flow. The presentation of these cash flows are as follows:

Cash Flows from Investing Activities	
Sale of equipment	HK\$796,000
Purchase of equipment	(HK\$4,633,000)

► Knowledge Check Questions

Question 3

The following information is extracted from Ash Ltd's statement of financial position for the year 20X7 and 20X8.

	30 June 20X8	30 June 20X7
Property, Plant and Equipment	HK\$3,705,000	HK\$2,850,000
Accumulated depreciation – Property, Plant and Equipment	(HK\$1,197,000)	(HK\$1,140,000)

Ash Ltd records property, plant and equipment at cost. The company reported HK\$285,000 in depreciation expense for the current period, and property, plant and equipment with a carrying value of HK\$513,000 was sold, for cash, with a gain of HK\$114,000. There were no payables or receivables in relation to non-current assets for the year.

Based on the above information of Ash Ltd, prepare the cash flows from investing activities section of the statement of cash flows for the year ended 30 June 20X8.

Question 4

The following information is extracted from Harley Ltd's financial statements for the year 20X7 and 20X8.

	30 June 20X8	30 June 20X7
Plant	HK\$510,000	HK\$420,000
Accumulated depreciation	(HK\$168,000)	(HK\$120,000)
Land	HK\$820,000	HK\$600,000
Land revaluation surplus	(HK\$220,200)	(HK\$120,000)

Harley adopts the cost model and revaluation model to account for its plant and land respectively.

During the current year, plant with a cost of HK\$40,000 and accumulated depreciation of HK\$25,000 was sold, for cash, with a gain of HK\$3,000. There was no disposal of land during the period. There were no payables or receivables in relation to non-current assets for the year.

Based on the above information of Harley Ltd, prepare the cash flows from the investing activities section of the statement of cash flows for the year ended 30 June 20X8.

21.2.3 Financing Activities

The final category of cash flows is associated with financing activities. According to HKAS 7 **financing activities** are those activities that result in a change to the size and composition of the contributed equity and borrowings of the entity.

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Examples of cash inflows and cash outflows from financing activities.

	Cash inflows	Cash outflows
FINANCING ACTIVITIES (generally movements in non-current liabilities and equity)	• From issuance of shares • From issuance of debentures or notes • From borrowings (e.g. loans, mortgages)	• To shareholders for share buy-backs and redemption of preference shares • To debenture holders for redemption of debt • To lenders for repayment of borrowings • To lessors for reduction of a lease liability

Recall from the opening case, the money borrowed by HKV in order to build the planned public leisure and fitness club would be a financing activity cash flow.

If the direct cash flows information of the financing activities is not readily available, we need to calculate the cash flows by reconstructing a number of the related ledger accounts. For example, to calculate the amount of cash proceeds or repayments in relation to issued equity or debt, we can refer to the opening and closing balances of the relevant accounts in the statement of financial position. Simply speaking, an increase in the account (e.g. share capital account and long-term loan account) would indicate a cash inflow from financing activities, whereas a decrease in the account would indicate a cash outflow from financing activities.

Dividends paid to shareholders is commonly found in the financing activities section of a statement of cash flow (although, dividends paid may also be classified as an operating cash flow, as will be discussed in Section 21.3.3). The following shows how we compute dividends paid by reconstructing the related accounts.

Calculation of cash paid for dividends

Dividends declared and net profit will affect retained earnings at the end of the year.

In simple cases:

$$\text{Opening retained earnings} +/(-) \text{ Net profit/(loss)} - \text{Dividends declared} = \text{Closing retained earnings}$$

i.e.

$$\text{Dividends declared} = \text{Opening retained earnings} +/(-) \text{ Net profit/(loss)} - \text{Closing retained earnings}$$

Usually dividends declared are not fully paid in the reporting period. In these cases, we need to consider the balances in the dividend payable account when computing the cash actually paid for dividends in the current year. It's also important to note that not all dividends are cash dividends. For example, some entities may have a dividend reinvestment program which means that rather than having dividends paid out in cash, additional shares are issued to those shareholders who have opted into the programme.

To calculate the cash paid for dividends, the following equation is relevant:

Cash paid for dividends

$$= \text{Dividends declared} + \text{Opening dividends payable} - \text{Closing dividends payable} - \text{Non-cash dividends}$$

$$= \text{Opening retained earnings} +/(-) \text{Net profit/(loss)} - \text{Closing retained earnings} + \text{Opening dividends payable} - \text{Closing dividends payable} - \text{Non-cash dividends}$$

Illustrative Example 2

Ferrous Ltd (Ferrous) earned a net profit of HK\$2,150,000 for the year ended 30 June 20X8. In addition, the following information is provided.

	30 June 20X8	30 June 20X7
Retained earnings*	HK\$1,440,000	HK\$430,000
Dividends payable	HK\$600,000	HK\$0
Bank loan	HK\$100,000	HK\$120,000
Lease liabilities	HK\$74,946	HK\$48,754

*Movement of retained earnings represents net profit and cash dividends declared in the year

- During the year, Ferrous took out a new bank loan of HK\$50,000. The interest accretion charged under the effective interest method on the bank loans for the year was HK\$2,000.
- On 1 July 20X7 Ferrous entered into a new motor vehicle lease. Ferrous made an initial payment of HK\$25,000. The motor vehicle lease liability was initially measured at HK\$70,242. During the year, Ferrous made further lease repayments of HK\$50,000. The total interest accretion on the lease liability during the year was HK\$5,950.

The following shows the computation regarding the cash paid for dividends in the year ended 30 June 20X8:

Cash paid for dividends

$$= \text{Opening retained earnings} +/(-) \text{Net profit/(loss)} - \text{Closing retained earnings} + \text{Opening dividends payable} - \text{Closing dividends payable} - \text{Non-cash dividends}$$

$$= \text{HK\$430,000} + \text{HK\$2,150,000} - \text{HK\$1,440,000} + \text{HK\$0} - \text{HK\$600,000} - \text{HK\$0}$$

$$= \text{HK\$540,000}$$

Notes:

- Based on the given Information, retained earnings increased by HK\$1,010,000 (HK\$1,440,000 – HK\$430,000) in the current year. Increase in retained earnings

Illustrative Example 2 (continued)

is the result of net profit (HK\$2,150,000) and the dividends declared for the year. Thus, dividend declared for the year equals to HK\$1,140,000 (HK\$2,150,000 – HK\$1,010,000).

2. There is no opening balance in dividends payable. The closing balance of the dividends payable (HK\$600,000) represents the amount not yet paid by Ferrous Ltd in the current year, and this amount is deducted to determine the cash actually paid for dividends in the year.

Therefore, HK\$540,000 cash was actually paid out as dividends for the year ended 30 June 20X8. The cash inflows for new bank loans during the period is HK\$50,000. To calculate the cash outflows for bank loans repaid during the period, the following equation was used:

$$\begin{aligned}\text{Cash repayments of bank loans} &= \text{Opening bank loan balance} + \text{New bank loans} \\ &\quad + \text{Interest accretion} - \text{Closing bank loan balance} \\ &= \text{HK\$120,000} + \text{HK\$50,000} + \text{HK\$2,000} - \text{HK\$100,000} \\ &= \text{HK\$72,000}\end{aligned}$$

There are no cash inflows associated with entering into a lease as the lessee, as the lessee acquires a (non-cash) right-of-use asset. A lessee's cash outflow during the period relating to its leases is equal to the sum of its lease payments made per the contract terms, less any outstanding rentals. Hence, the cash outflows relating to Ferrous' lease liabilities is HK\$75,000 (HK\$25,000 + HK\$50,000).

Ferrous' lease liabilities can be reconciled as:

$$\begin{aligned}\text{Closing lease liability} &= \text{Opening lease liability balance} + \text{New leases} + \text{Interest accretion} \\ &\quad - \text{Lease repayments during the period} \\ &= \text{HK\$48,754} + \text{HK\$70,242}^* + \text{HK\$5,950} - \text{HK\$50,000} \\ &= \text{HK\$74,946}\end{aligned}$$

*The initial lease payment of HK\$25,000 on the lease entered into during the period is not included in the initial measurement of the lease liability in accordance with HKFRS 16.

21.2.4 Non-cash Transactions

As highlighted in the previous sections, non-cash transactions do not impact the statement of cash flows. As such, non-cash movements affecting account balances during the period must be identified so that the cash flows during the period can be isolated. Examples of non-cash transactions include the acquisition of assets through entering into a lease, acquiring an entity through issue of equity rather than a cash payment, and conversions of debt to equity.

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Investing and financing transactions that do not require the use of cash or cash equivalents are excluded from a statement of cash flows. However, HKAS 7 requires relevant information about these transactions to be disclosed elsewhere (i.e. in the notes) in the financial statements.

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Key Learning Point

- Cash flows are presented in the statement of cash flows in one of three categories: operating activities, investing activities or financing activities.
- Operating activities are the principal revenue-producing activities of the entity.
- Investing activities are those related to the acquisition or disposal of long-term assets.
- Financing activities are those activities that result in the change in size or composition of debt or equity.
- Non-cash transactions are excluded from the statement of cash flows.

► Knowledge Check Questions

Question 5

The following information has been extracted from the accounting records of Iron Ltd for the year ended 31 December 20X8:

Net profit	HK\$2,830,000
Opening retained earnings	HK\$5,750,000
Closing retained earnings	HK\$6,140,000
Additional cash borrowing	HK\$3,600,000
Issue of shares – cash	HK\$4,350,000
Issue of shares – dividend reinvestment plan	HK\$1,460,000

There is no payable balance in relation to dividends to shareholders.

Based on the above information of Iron Ltd, prepare the cash flows from financing activities section of the statement of cash flows for the year ended 31 December 20X8.

➤ 21.3 METHODS OF CALCULATING OPERATING CASH FLOWS

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As noted in Section 21.2, HKAS 7 permits two methods for an entity to present its cash flows from operating activities in the statement of cash flows. The direct method of presentation requires the entity to report individual operating cash inflows and outflows (by major classes) on the statement of cash flows. For example, entities will show the cash receipts from customers as well as cash paid to suppliers under the direct method.

In contrast, the indirect method is the reconciliation between the cash flows from operations and the profit or loss of the entity. Under the indirect method, individual operating cash inflows or outflows will not be shown. Instead, cash flows from operating activities is

derived by making adjustments to the profit or loss for the year. These adjustments are to filter out those non-operating transactions from the profit or loss and to unscrew the accrual basis of accounting to cash basis.

The two methods are outlined as follows:

Direct method	Major classes of cash receipts and cash payments are disclosed
Indirect method	Profit or loss is adjusted for the effects of: • transactions of a non-cash nature; • any deferrals or accruals of past or future operating cash receipts or payments; and • items of income or expense associated with investing or financing cash flows

Although both methods are permitted by HKAS 7, the standard states that the use of the direct method is encouraged because this method provides more useful information for financial statement users to estimate future cash flow.

Direct method and indirect method will be discussed in Section 21.3.1 and Section 21.3.2 respectively. The calculation of cash flows from operating activities under these two methods will also be explained.

21.3.1 Direct Method

Cash flows from operating activities are those cash flows that relate to an entity's principal revenue generating activities and other activities that are neither investing nor financing activities. These would include cash received from customers for sale of goods or services, as well as payments to suppliers for the purchase of goods or services.

In many cases, direct cash flows information of the operating activities is not readily available. We, therefore, will need to calculate the cash flows by reconstructing a number of the related ledger accounts. The following shows a few common examples.

Cash receipts from customers

To determine cash receipts from customers, we start with net sales (gross sales net of sales discounts and sales returns and allowances). Since sales may be made on credit, cash is not received from customers in the period when the sales are recognised. Therefore, the related accounts receivable will need to be considered. That is,

Cash receipts from customers

$$= \text{Net sales} + \text{Opening balance of accounts receivables} - \text{Closing balance of accounts receivables (adjusted for bad debt write-offs)}$$

It should be noted that, when there are accounts that become uncollectible, the uncollectible amounts are eliminated against accounts receivable. However, in this case, the deduction in accounts receivable does not reflect any cash receipts from customers. Therefore, the closing balance of accounts receivable has to be adjusted for (add back) any bad debt write-offs.

Illustrative Example 3

Morrow Ltd provides the following information:

Net sales	HK\$11,700,000
Bad debts expense	HK\$200,000
Opening balance of accounts receivable	HK\$2,000,000
Closing balance of accounts receivable	HK\$2,200,000
Opening balance of allowance for doubtful debts	(HK\$360,000)
Closing balance of allowance for doubtful debts	(HK\$400,000)

The cash receipts from customers for Morrow Ltd is determined as follows:

Cash receipts from customers

= Net sales + Opening balance of accounts receivables – Closing balance of accounts receivables (adjusted for bad debt write-offs)

= HK\$11,700,000 + HK\$2,000,000 – (HK\$2,200,000 + HK\$160,000*)

= HK\$11,340,000

* Bad debt write-offs can be derived from the allowance for doubtful debts account as below:

Opening balance of allowance for doubtful debts + Bad debts expense accrued for the year – Bad debts write-offs = Closing balance of allowance for doubtful debts

i.e.

Bad debt write-offs

= Opening balance of allowance for doubtful debts + Bad debts expense accrued for the year – Closing balance of allowance for doubtful debts

= HK\$360,000 + HK\$200,000 – HK\$400,000

= HK\$160,000

Cash payments to suppliers

To determine cash paid to suppliers, we start with net purchases (gross purchases net of purchase discounts and purchase returns and allowances). Since purchases may be made on credit, cash is not paid to the suppliers in the period when the purchases are recognised. Therefore, the related accounts payable will need to be considered. That is,

Cash payments to suppliers

= Net purchases + Opening accounts payables – Closing accounts payables

Illustrative Example 4

The accounting records of Teller Ltd provide the following information for the year 20X9:

Cost of goods sold	HK\$380,000
Opening balance accounts payable	HK\$100,000
Closing balance accounts payable	HK\$120,000
Opening balance inventory	HK\$40,000
Closing balance inventory	HK\$72,000

The cash paid to suppliers by Teller Ltd is determined as follows:

Cash payments to suppliers

= Net purchases + Opening accounts payables – Closing accounts payables

= HK\$412,000* + HK\$100,000 – HK\$120,000

= HK\$392,000

* Net purchases can be derived as follows:

Opening inventory + Net purchases – Cost of goods sold = Closing inventory

i.e.

Net purchases

= Closing inventory + Cost of goods sold – Opening inventory

= HK\$72,000 + HK\$380,000 – HK\$40,000

= HK\$412,000

Similarly, the cash paid to employees can be computed as follows:

Cash payments to employees

= Wages expense + Opening balance of wages payable - Closing balance of wages payable

Illustrative Example 5

At the end of the 20X8, Cyber Ltd has completed its statement of profit or loss and statement of financial position and is now going to prepare the statement of cash flows. Cyber Ltd's profits are tax exempted in 20X8. Cyber Ltd adopts the *direct method* to present cash flow from operating activities in the statement of cash flow.

Illustrative Example 5 (continued)

Cyber Ltd's statement of profit or loss and other comprehensive income and extracted information from its statement of financial position are shown as follows:

Cyber Ltd Statement of Profit or Loss and other comprehensive income For the year ended 31 December 20X8		
		HK\$
Net Sales		3,500,000
Less:		
Cost of goods sold	2,270,000	
Bad debt expense	40,000	
Rent expense	218,000	
Wages expense	225,000	
Depreciation expense	165,000	
Loss on disposal of equipment	115,000	(3,033,000)
Net profit		467,000

Cyber Ltd Statement of Financial Position (extract) As at 31 December		
	20X8	20X7
	HK\$	HK\$
Current assets		
Cash	550,000	400,000
Accounts receivable	180,000	90,000
Less: Allowance for doubtful debts	(50,000)	(40,000)
Inventory	150,000	175,000
Prepayments	55,000	35,000
Current liabilities		
Accounts payable	56,700	22,350
Wages payable	90,000	80,000

Additional information:

1. An accounts receivable of HK\$30,000 has been written off in 20X8.

Using direct method, the following shows how we determine Cyber Ltd's net cash flows from operating activities for the year ended 31 December 20X8.

Illustrative Example 5 (continued)

Cyber Ltd Statement of Cash Flows For the year ended 31 December 20X8	
CASH FLOWS FROM OPERATING ACTIVITIES	HK\$
Receipts from customers	3,380,000
Payments to suppliers	(2,210,650)
Payments for rent	(238,000)
Payments for wages	<u>(215,000)</u>
Net cash flows from/(used in) operating activities	716,350

Cash receipts from customers

= Net sales + Opening balance of accounts receivable – Closing balance of accounts receivable (adjusted for bad debt write-offs)

= HK\$3,500,000 + HK\$90,000 – (HK\$180,000 + HK\$30,000)

= HK\$3,380,000

Cash payments to suppliers

= Net purchases + Opening accounts payable – Closing accounts payable

= HK\$2,245,000* + HK\$22,350 – HK\$56,700

= HK\$2,210,650

*Net purchases

= Closing inventory + Cost of goods sold – Opening inventory

= HK\$150,000 + HK\$2,270,000 – HK\$175,000

= HK\$2,245,000

Cash payments for rent

= Rent expense – Opening balance of prepaid rent + Closing balance of prepaid rent

= HK\$218,000 – HK\$35,000 + HK\$55,000

= HK\$238,000

Note:

The prepaid rent account shows a HK\$20,000 increase during the year. In addition to the HK\$218,000 rent paid to the landlord, the company has paid additional HK\$20,000 cash in advance for rental in future period.

Illustrative Example 5 (continued)**Cash payments to employees**

$$\begin{aligned}
 &= \text{Wages expense} + \text{Opening balance of wages payable} - \text{Closing balance of wages payable} \\
 &= \text{HK\$225,000} + \text{HK\$80,000} - \text{HK\$90,000} \\
 &= \text{HK\$215,000}
 \end{aligned}$$

21.3.2 Indirect Method

The indirect method can provide a link between the profit of an entity (which is on accrual basis) and its operating cash flows (which is on cash basis). To do this, a number of adjustments are required. These adjustments are to:

- *Add back to profit any non-cash expenses such as depreciation and amortisation.*

These expenses are included in the computation of profit but involve no cash outflows. Although they are related to operating activities, they should be adjusted to obtain 'cash flows' from operating activities.

To illustrate, suppose we have HK\$100 cash revenues, HK\$60 cash expenses and HK\$5 depreciation expense incurred in our operations this year. Profit is HK\$35 ($\text{HK\$100} - \text{HK\$60} - \text{HK\$5} = \text{HK\$35}$). However, we actually have received a net cash of HK\$40 ($\text{HK\$100} - \text{HK\$60} = \text{HK\$40}$) in the year. Therefore, to compute the cash flows from operating activities, we can add back the HK\$5 non-cash depreciation expense to the HK\$35 profit for the year, that is HK\$40 ($\text{HK\$35} + \text{HK\$5} = \text{HK\$40}$).

- *Add back to profit (subtract from profit) for losses (gains) resulting from non-operating activities.*

Non-operating activities include, for example, disposal of property, plant and equipment, sale of marketable securities, bonds redemption, etc.

To illustrate, suppose we have HK\$100 cash revenues and HK\$60 cash expenses incurred in our operations. We also sold a plant with a gain of HK\$8. Profit for the year is HK\$48 ($\text{HK\$100} - \text{HK\$60} + \text{HK\$8} = \text{HK\$48}$). However, we actually have received a net cash of HK\$40 ($\text{HK\$100} - \text{HK\$60} = \text{HK\$40}$) from the operating activities. Therefore, to compute the cash flows from operating activities, we can subtract the HK\$8 non-operating gains from the HK\$48 profit for the year, that is HK\$40 ($\text{HK\$48} - \text{HK\$8} = \text{HK\$40}$).

- *Add back to profit (subtract from profit) for any decreases (increases) in current operating assets (other than cash).*

The rationale here is that a decrease (increase) in a current operating asset reflects a cash inflow (outflow) for the year. Current operating assets include, for example, accounts receivable, inventory, prepaid expenses, etc.

To illustrate, suppose we have HK\$100 revenues and HK\$60 expenses in the current year. Among the HK\$100 revenues, HK\$17 has not yet been collected from the

customers. All expenses are paid by cash. Accounts receivable has an opening balance of HK\$50 among which HK\$15 remains uncollected by end of the current year (i.e. we have collected HK\$35 this year).

After all, our accounts receivable decreases from HK\$50 to HK\$32 ($\text{HK\$15} + \text{HK\$17} = \text{HK\$32}$). Profit for the year is HK\$40 ($\text{HK\$100} - \text{HK\$60} = \text{HK\$40}$). However, we actually have received a net cash of HK\$58 ($\text{HK\$100} - \text{HK\$17} - \text{HK\$60} + \text{HK\$35} = \text{HK\$58}$) during the year. Therefore, to compute the cash flows from operating activities, we can add back the HK\$18 decrease in accounts receivable from the HK\$40 profit for the year, that is HK\$58 ($\text{HK\$40} + \text{HK\$18} = \text{HK\$58}$).

- *Add back to profit (subtract from profit) for any increases (decreases) in current operating liabilities.*

The rationale here is that an increase (decrease) in a current operating liability reflects a cash inflow (outflow) for the year. Current operating liabilities include, for example, accounts payable, wages payable, provision for warranty, etc.

For example, suppose opening wages payable is HK\$44 and closing wages payable is HK\$28. The decrease of HK\$16 is to subtract from profit, as it reflects a net cash outflows of HK\$16 paid to employees during the year.

It is important to note that interest payable and tax payable is not considered in this adjustment. We will deal with interest and tax in later sections.

Generally, the reconciliation begins with the reported net profit before tax. The impact of taxes on reconciliation is shown in section 21.3.4. The following table provides an overview of the presentation format and the adjustments required for indirect method:

Cash Flows from Operating Activities	
Profit before tax	xxx
Add:	
Non-cash expenses	xxx
Loss resulting from non-operating activities	xxx
Increase in current operating liabilities	xxx
Decrease in current operating assets	xxx
Less:	
Gain resulting from non-operating activities	xxx
Decrease in current operating liabilities	xxx
Increase in current operating assets	xxx
Net cash provided by / used in operating activities	xxx

Illustrative Example 6

Using the same information of Cyber Ltd in the previous illustrative example. Now assume Cyber Ltd adopts the *indirect method* to present cash flows from operating activities in the statement of cash flow. The following shows how we determine Cyber Ltd's net cash flows from operating activities for the year ended 31 December 20X8, using the indirect method. Tax cash flows are ignored for the purposes of this example.

Illustrative Example 6 (continued)

Cyber Ltd. Statement of Cash Flows For the year ended 31 December 20X8		
CASH FLOWS FROM OPERATING ACTIVITIES	HK\$	HK\$
Net profit before tax		467,000
Add:		
Depreciation expenses	165,000	
Loss on disposal of equipment	115,000	
Decrease in inventory (HK\$175,000 – HK\$150,000)	25,000	
Increase in accounts payables (HK\$56,700 – HK\$22,350)	34,350	
Increase in wages payable (HK\$90,000 – HK\$80,000)	<u>10,000</u>	349,350
Less:		
Increase in net accounts receivables (HK\$130,000 – HK\$50,000)	80,000	
Increase in prepayments (HK\$55,000 – HK\$35,000)	<u>20,000</u>	<u>(100,000)</u>
Net cash flows from/(used in) operating activities		716,350

As demonstrated above, no matter which method (direct or indirect) is adopted, we will arrive the same amount for net cash flows from operating activities.

21.3.3 Dividends and Interest

HKAS 7 allows a certain degree of flexibility when it comes to categorise cash flows relating to dividends and interest. For financial institutions, interest paid, interest received and dividend received are usually classified as cash flows from operating activities. For other entities, there are different possible ways in which interest and dividends can be categorised.

- Interest paid and interest and dividends received can be classified as cash flows from operating activities because they are components of profit or loss;
- Dividends paid can be classified as cash flows from operating activities because users can determine the entity's ability to pay dividends out of operating cash flows.
- Interest and dividends paid can also be classified as cash flows from financing activities because they are a cost of obtaining financial resources;
- Interest and dividends received can also be classified as cash flows from investing activities because they are a return on investment.

Classification of dividends and interest

Items	Classification
Interest paid	Operating or Financing
Interest received	Operating or Investing
Dividend paid	Operating or Financing
Dividend received	Operating or Investing

Again, when direct cash flows information about dividends and interests is not readily available, we will then need to calculate the cash flows by reconstructing a number of the related ledger accounts. The following equations are relevant.

Cash paid for interests

$$= \text{Interest expense} + \text{Opening balance of interest payable} - \text{Closing balance of interest payable}$$

Cash received for interests

$$= \text{Interest revenue} + \text{Opening balance of interest receivable} - \text{Closing balance of interest receivable}$$

Cash received for dividends

$$= \text{Dividend income} + \text{Opening balance of dividend receivable} - \text{Closing balance of dividend receivable}$$

The computation of cash paid for dividends has been discussed in Section 21.2.3 under cash flows from financing activities.

As required by HKAS 7, cash flows regarding interests and dividends received and paid shall each be disclosed separately. Each shall be classified in a consistent manner from period to period as operating, investing or financing activities.

HKAS
7.31

Illustrative Example 7

During 20X9, June Co. reported interest expense of HK\$355,000 and interest income of HK\$120,000.

The following information is provided by June Co. at the end of 20X8 and 20X9.

	20X9	20X8
	HK\$	HK\$
Interest receivable	25,000	15,000
Interest payable	85,000	63,500

The amounts of interest paid and received are computed as follows:

Cash paid for interest

$$\begin{aligned}
 &= \text{Interest expense} + \text{Opening balance of Interest payable} - \text{Closing interest balance of Interest payable} \\
 &= \text{HK\$355,000} + \text{HK\$63,500} - \text{HK\$85,000} \\
 &= \text{HK\$333,500}
 \end{aligned}$$

Illustrative Example 7 (continued)

Cash received for interest earned

$$\begin{aligned}
 &= \text{Interest revenue} + \text{Opening balance of Interest receivable} - \text{Closing balance of Interest receivable} \\
 &= \text{HK\$120,000} + \text{HK\$15,000} - \text{HK\$25,000} \\
 &= \text{HK\$110,000}
 \end{aligned}$$

Apply and Analyse 2

Harvey is a major home appliance retailer. At the end of the year, Harvey reported net profit before tax of HK\$2 million. Included in net profit was interest expense of HK\$0.8 million. Harvey paid interest of HK\$0.5 million during the current year. Harvey adopts the indirect method to present cash flows from operating activities.

Discuss how Harvey should present the cash flows related to interest paid in its statement of cash flow for the year. Ignore tax cash flows.

Analysis

Entities have a choice to categorise the interest paid as cash flows from operating activities or cash flow from financing activities.

The argument to classify interest paid as a cash flow from operating activities is that the interest is primarily incurred as a result of an entity's principal revenue-generating activity, whereas the argument to classify interest received as a cash flow from financing activities would be that the interest is considered a cost of obtaining financial resources. If there is no specific financing Harvey has made in this instance, this interest paid would likely be classified as a cash flow from operating activities.

Harvey should report the interest paid (HK\$0.5 million) rather than the interest expense (HK\$0.8 million) when preparing the statement of cash flows. Cash flows from interest paid should be disclosed separately in the statement of cash flows in accordance with HKAS 7.31. For an entity using the indirect method to present cash flows from operating activities, interest expense (i.e. HK\$0.8 million) first has to be adjusted (add back to) profit as it is just an accrual. The cash outflows in relation to the interest paid (i.e. HK\$0.5 million) will then be presented as a separate item after all adjustments have been made. The presentation is illustrated in the following table.

Cash Flows from Operating Activities	
	HK\$
Net profit before tax	xxx
Add:	
Interest expense	xxx
Non-cash expenses	xxx

HKAS
7.33

Apply and Analyse 2 (continued)

Cash Flows from Operating Activities	
	HK\$
Loss resulting from non-operating activities	xxx
Increase in current operating liabilities	xxx
Decrease in current operating assets	xxx
Less:	
Gain resulting from non-operating activities	xxx
Decrease in current operating liabilities	xxx
Increase in current operating assets	xxx
Cash generated from operations	xxx
Less: interest paid	xxx
Net cash provided by / used in operating activities	xxx

21.3.4 Income TaxesHKAS
7.35

Cash flows arising from income taxes shall be separately disclosed and shall be classified as cash flows from operating activities unless they can be specifically identified with financing and investing activities. Cash flows from income taxes are classified under operating activities because income is generally generated from principal revenue-producing activities (i.e. operating activities).

To compute the cash paid for income taxes, the following equation is relevant:

Cash paid for income taxes

$$= \text{Income tax expense} + \text{Opening income tax payable} - \text{Closing income tax payable}$$

For an entity using the indirect method to present cash flows from operating activities, income tax expense first has to be adjusted (add back to) profit as it is just an accrual. The cash outflows in relation to the income tax paid will then be presented as a separate item after all adjustments have been made.

The presentation is illustrated in the following table.

Cash Flows from Operating Activities	
	HK\$
Profit before tax	xxx
Add:	
Interest expense	xxx
Non-cash expenses	xxx
Loss resulting from non-operating activities	xxx
Increase in current operating liabilities	xxx
Decrease in current operating assets	xxx

Cash Flows from Operating Activities	
	HK\$
Less:	
Gain resulting from non-operating activities	xxx
Decrease in current operating liabilities	xxx
Increase in current operating assets	xxx
Cash generated from operations	xxx
Less: interest paid	xxx
Less: income tax paid	xxx
Net cash provided by / used in operating activities	xxx

In practice, as entities applying HKAS 7 will be using tax effect accounting as required in HKAS 12 (see Chapter 16), to determine the amount of income tax paid, it is not as simple as adjusting income tax expense by the change in the income tax payable account. This is because tax effect accounting generates deferred tax assets and deferred tax liabilities, and many of the changes in these accounts will have an impact on income tax expense. So, in practice, to establish the amount of cash paid for income taxes during the period, the equation would also need to consider changes in the deferred tax balances as well as reflect that income tax expense may have been recognised in profit or loss or in equity.

Illustrative Example 8

During 20X9, June Co. reported tax expense of HK\$30,000. The following information is provided by June Co. at the end of 20X8 and 20X9.

	20X9	20X8
	HK\$	HK\$
Tax payable	48,300	56,200
Deferred tax liabilities*	36,000	23,000

*Note: The deferred tax had been recognised as expense and included in profit or loss for the periods.

Total tax expense = Current tax + Deferred tax

Current tax = HK\$30,000 – HK\$(36,000 – 23,000) = HK\$17,000

Cash paid for income taxes

= Income tax expense + Opening income tax payable – Closing income tax payable

= HK\$17,000 + HK\$56,200 – HK\$48,300

= HK\$24,900

Apply and Analyse 3

It is the end of the 20X8 financial year, and HKV are in the process of preparing their financial report. HKV's statement of profit or loss and other comprehensive income and statement of financial position are provided below.

HKV Statement of Profit or Loss and other comprehensive income For the year ended 31 December 20X8		
	HK\$	HK\$
Net sales		310,639,488
Less expenses:		
Cost of sales	126,909,156	
General & administration expense	133,009,242	
Rent expense	11,355,908	
Wages expense	11,113,000	
Depreciation expense	12,416,280	
Interest expense	6,010,602	
Total expenses		(300,814,188)
Loss on sale of property, plant and equipment		(84,000)
Profit before tax		9,741,300
Income tax expense		(6,089,112)
Net profit		3,652,188

HKV Statement of Financial Position As at 31 December 20X8 and 20X7		
	20X8	20X7
Current assets	HK\$	HK\$
Cash	85,096,776	72,365,730
Trade receivable, net	9,378,066	15,074,892
Inventory	1,432,764	1,159,464
Prepaid rent	2,210,358	3,079,266
	98,117,964	91,679,352
Non-current assets		
Land	33,000,000	33,000,000
Property, Plant and Equipment	156,379,386	155,149,386
Less: accumulated depreciation	(64,666,410)	(52,418,130)
	124,712,976	135,731,256
TOTAL ASSETS	222,830,940	227,410,608

Apply and Analyse 3 (continued)

HKV Statement of Financial Position As at 31 December 20X8 and 20X7		
Current liabilities		
Trade payable	14,866,776	19,221,534
Wages payable	8,634,624	7,431,168
Interest payable	1,669,872	1,785,270
Income tax payable	11,883,270	13,698,426
	37,054,542	42,136,398
Non-Current Liabilities		
Bank loan	88,918,230	89,368,230
	88,918,230	89,368,230
TOTAL LIABILITIES	125,972,772	131,504,628
Equity		
Share capital	69,112,740	69,112,740
Retained earnings	27,745,428	26,793,240
Total equity	96,858,168	95,905,980
Total liabilities and equity	222,830,940	227,410,608

Additional information:

1. Equipment with an original cost of HK\$420,000 was sold during the year.
2. There is no receivable and payable in relation to disposal or purchase of property, plant and equipment.
3. HKV did not make any additional borrowings during the year.
4. All sales & administration expenses are made on cash basis.
5. There's no bad debts written off in 20X8.
6. All expenditures on general and administration were paid in cash.
7. Equipment on cost basis.
8. The company chooses to classify interest paid as an operating cash flows and dividend paid as a financing cash flows.
9. HKV accounts for its rental access to the Leisure and Cultural Services Department of Hong Kong in accordance with the recognition exemption in HKFRS 16 *Leases* for short-term leases.

This is necessary as otherwise the accounting in this A&A is inconsistent with the treatment shown elsewhere in this chapter for leases.

Apply and Analyse 3 (continued)**Required**

- (a) Prepare a statement of cash flows for HKV for the year ended 31 December 20X8, using the direct method to present cash flows from operating activities.
- (b) Prepare a statement of cash flows for HKV for the year ended 31 December 20X8, using the indirect method to present cash flows from operating activities.

- (a) Direct method

HKV Statement of Cash Flows For the year ended 31 December 20X8	
CASH FLOWS FROM OPERATING ACTIVITIES (direct method)	HK\$
Receipts from customers	316,336,314
Payments to suppliers	(131,537,214)
Payments for general and administration expenditures	(133,009,242)
Payments for rent	(10,487,000)
Payments for wages	(9,909,544)
Interest paid	(6,126,000)
Income taxes paid	(7,904,268)
Net cash flows from/(used in) operating activities	17,363,046
CASH FLOWS FROM INVESTING ACTIVITIES	
Sale of equipment	168,000
Purchase of equipment	(1,650,000)
Net cash flows from/(used in) investing activities	(1,482,000)
CASH FLOWS FROM FINANCING ACTIVITIES	
Borrowing repaid	(450,000)
Dividends paid	(2,700,000)
Net cash flows from/(used in) financing activities	(3,150,000)
Net increase/(decrease) in cash and cash equivalents	12,731,046
Cash and cash equivalents at the beginning of year	72,365,730
Cash and cash equivalents at the end of year	85,096,776

Apply and Analyse 3 (continued)

The calculations for each line item in the statement of cash flows are provided below.

Cash receipts from customers

$$\begin{aligned}
 &= \text{Net sales} + \text{Opening balance of accounts receivable} - \text{Closing balance of accounts receivable (adjusted for bad debt write-offs)} \\
 &= \text{HK\$}310,639,488 + \text{HK\$}72,365,730 - (\text{HK\$}85,096,776 + \text{HK\$}0) \\
 &= \text{HK\$}316,336,314
 \end{aligned}$$

Cash payments to suppliers

$$\begin{aligned}
 &= \text{Net purchases} + \text{Opening accounts payable} - \text{Closing accounts payable} \\
 &= \text{HK\$}127,182,456^* + \text{HK\$}19,221,534 - \text{HK\$}14,866,776 \\
 &= \text{HK\$}131,537,214 \\
 &\text{*Net purchases} \\
 &= \text{Closing inventory} + \text{Cost of goods sold} - \text{Opening inventory} \\
 &= \text{HK\$}1,432,764 + \text{HK\$}126,909,156 - 1,159,464 \\
 &= \text{HK\$}127,182,456
 \end{aligned}$$

Cash payments for rent

$$\begin{aligned}
 &= \text{Rent expense} - \text{Opening balance of prepaid rent} + \text{Closing balance of prepaid rent} \\
 &= \text{HK\$}11,355,908 - \text{HK\$}3,079,266 + \text{HK\$}2,210,358 \\
 &= \text{HK\$}10,487,000
 \end{aligned}$$

Cash payments for wages

$$\begin{aligned}
 &= \text{Wages expense} + \text{Opening balance of wages payable} - \text{Closing balance of wages payable} \\
 &= \text{HK\$}11,113,000 + \text{HK\$}7,431,168 - \text{HK\$}8,634,624 \\
 &= \text{HK\$}9,909,544
 \end{aligned}$$

Cash paid for interest

$$\begin{aligned}
 &= \text{Interest expense} + \text{Opening balance of Interest payable} - \text{Closing interest balance of Interest payable} \\
 &= \text{HK\$}6,010,602 + \text{HK\$}1,785,270 - \text{HK\$}1,669,872 \\
 &= \text{HK\$}6,126,000
 \end{aligned}$$

Apply and Analyse 3 (continued)**Cash paid for income taxes**

$$\begin{aligned} &= \text{Income tax expense} + \text{Opening income tax payable} - \text{Closing income tax payable} \\ &= \text{HK\$6,089,112} + \text{HK\$13,698,426} - \text{HK\$11,883,270} \\ &= \text{HK\$7,904,268} \end{aligned}$$

Cash receipts from disposal of equipment

$$\begin{aligned} &= \text{Net book value of the disposed equipment} +/(-) \text{Gains/(Losses) on disposal} \\ &\quad + \text{Opening balance of related receivable} - \text{Closing balance of related receivable} \\ &= \text{HK\$252,000}^* - \text{HK\$84,000} + \text{HK\$0} - \text{HK\$0} \\ &= \text{HK\$168,000} \end{aligned}$$

*Net book value of disposed equipment

$$\begin{aligned} &= \text{Cost of disposed equipment} - \text{Accumulated depreciation of disposed equipment} \\ &= \text{Cost of disposed equipment} - (\text{Opening accumulated depreciation} + \text{Depreciation expense for the year} - \text{Closing accumulated depreciation}) \\ &= \text{HK\$420,000} - (\text{HK\$52,418,130} + \text{HK\$12,416,280} - \text{HK\$64,666,410}) \\ &= \text{HK\$420,000} - \text{HK\$168,000} \\ &= \text{HK\$252,000} \end{aligned}$$

Cash payments for acquisition of new equipment

$$\begin{aligned} &= \text{Closing balance of equipment account} - \text{Opening balance of equipment account} \\ &\quad (\text{net of disposals in the current period}) - \text{Equipment acquired through non-cash transactions} + \text{Opening balance of related payable} - \text{Closing balance of related payable} - \text{Revaluation increases} \\ &= \text{HK\$156,379,386} - (\text{HK\$155,149,386} - \text{HK\$420,000}) - \text{HK\$0} + \text{HK\$0} - \text{HK\$0} - \text{HK\$0} \\ &= \text{HK\$1,650,000} \end{aligned}$$

Repayment of borrowings

$$\begin{aligned} &= \text{Opening bank loan} - \text{closing bank loan} \\ &= \text{HK\$89,368,230} - \text{HK\$88,918,230} \\ &= \text{HK\$450,000} \end{aligned}$$

Apply and Analyse 3 (continued)

Cash paid for dividends

$$\begin{aligned}
 &= \text{Opening retained earnings} +/(-) \text{Net profit/(loss)} - \text{Closing retained earnings} + \\
 &\quad \text{opening dividends payable} - \text{closing dividends payable} - \text{Non-cash dividends} \\
 &= \text{HK\$}26,793,240 + \text{HK\$}3,652,188 - \text{HK\$}27,745,428 + \text{HK\$}0 - \text{HK\$}0 - \text{HK\$}0 \\
 &= \text{HK\$}2,700,000
 \end{aligned}$$

(b) Indirect method

HKV Statement of Cash Flows For the year ended 31 December 20X8	
CASH FLOWS FROM OPERATING ACTIVITIES (indirect method)	HK\$
Net profit before tax	9,741,300
Add:	
interest expense	6,010,602
Depreciation expense	12,416,280
Loss on sale of property, plant and equipment	84,000
Decrease in accounts receivable (HK\$15,074,892 – HK\$9,378,066)	5,696,826
Decrease in prepaid rent (HK\$3,079,266 – HK\$2,210,358)	868,908
Increase in wages payable (HK\$8,634,624 – HK\$7,431,168)	1,203,456
Less:	
Increase in inventory (HK\$1,432,764 – HK\$1,159,464)	(273,300)
Decrease in accounts payable (HK\$19,221,534 – HK\$14,866,776)	(4,354,758)
Cash generated from operations	31,393,314
Less: interest paid	(6,126,000)
Less: income tax paid	(7,904,268)
Net cash from/(used in) operating activities	17,363,046
CASH FLOWS FROM INVESTING ACTIVITIES	
Sale of equipment	168,000
Purchase of equipment	(1,650,000)
Net cash flows from/(used in) investing activities	(1,482,000)
CASH FLOWS FROM FINANCING ACTIVITIES	
Borrowing repaid	(450,000)
Dividends paid	(2,700,000)
Net cash flows from/(used in) financing activities	(3,150,000)

Apply and Analyse 3 (continued)

HKV Statement of Cash Flows For the year ended 31 December 20X8	
	HK\$
Net increase/(decrease) in cash and cash equivalents	12,731,046
Cash and cash equivalents at beginning of period	72,365,730
Cash and cash equivalents at end of year	85,096,776

Key Learning Point

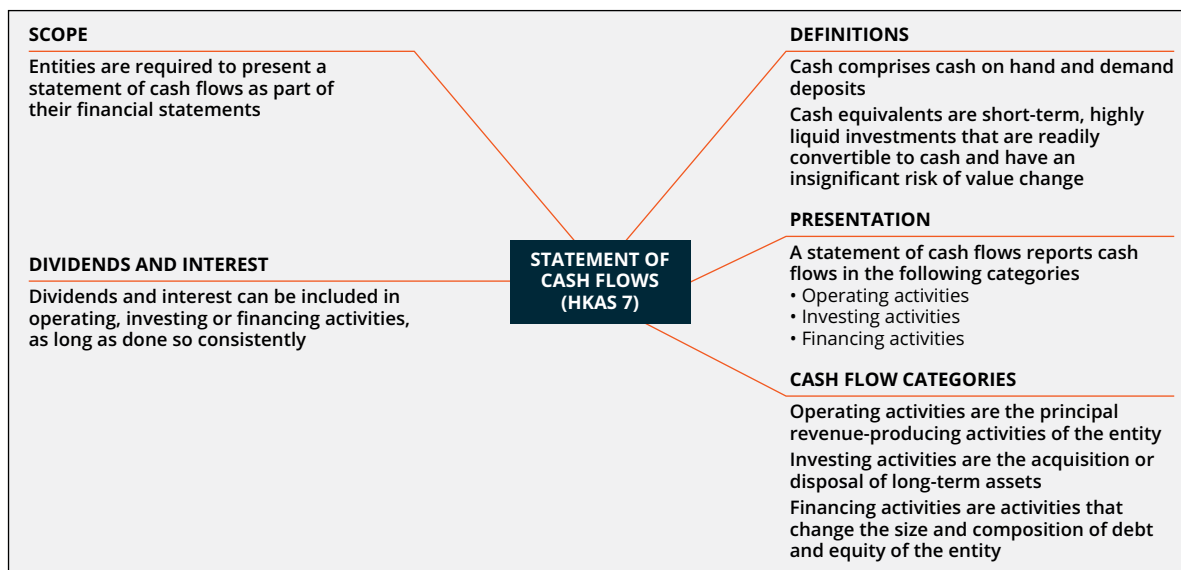
Cash flows from operating activities can be presented using the direct or indirect method. Under the direct method, major classes of cash receipts and cash payments are disclosed. Under the indirect method, adjustments are made to net profit before tax to derive the net cash flows generated from or used in operating activities.

A large, light gray downward-pointing chevron shape. The word "SUMMARY" is written in orange capital letters across the middle of the chevron.

SUMMARY

- HKAS 7 sets out the presentation requirements for the statement of cash flows.
- The statement of cash flows comprises cash flows from operating, investing and financing activities.
- Operating activities are those related to the principal revenue-producing activities of the entity.
- Investing activities are those related to the acquisition and sale of long-term assets and other investments not included in cash equivalents.
- Financing activities are those related to the entity's capital structure.
- Cash flows from operating activities are reported in the statement of cash flows using either the direct or indirect method.
- Interest and dividends received and paid can be classified in different ways, as long as this is done so consistently.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

In the first instance, entities are required to provide a statement of cash flows as part of the complete set of financial statements. A key reason for this requirement is that the information provided in the statement of cash flow is of benefit to users and their decision making. Users are interested in the ability of the firm to generate cash flows, and the timing and variability of these cash flows.

For statement of financial position, the difference between opening and closing balance of cash and cash equivalents can only provide a net movement but not details of cash flows in various functional activities. For statement of profit or loss and other comprehensive income, the use of accrual accounting can potentially mask the cash generating ability of the entity.

Instead, statement of cash flows can provide a clear picture to users of how cash is generated and how cash is used in different activities by the entity during the reporting period.

Question 2

Answer A is incorrect. Accounts receivable, whilst usually short-term, are not highly liquid investments. They are not readily convertible to known amounts of cash with an insignificant risk because accounts may turn bad. Therefore, accounts receivable cannot be considered a cash equivalent.

Answer B is incorrect. There are highly active markets for gold bullion globally, meaning it could be considered a short-term, highly liquid investment which is readily convertible into cash. However, the price for gold can vary quite significantly and as such it carries a significant risk of value change. Therefore, gold bullion cannot be considered a cash equivalent.

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1.10

Answer C is correct. HKAS 7 defines cash as cash on hand and demand deposits, and cash equivalents as short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Deposits that are available at all times meet the definition of cash.

Answer D is incorrect. It is usual that long-term bond investments are not highly liquid and they are subject to significant risk of price fluctuations. Therefore, long-term bond investment cannot be considered a cash equivalent.

Question 3

Cash receipts from disposal of property, plant and equipment (PPE)

$$\begin{aligned}
 &= \text{Net book value of the disposed PPE} +/(-) \text{ Gains/(Losses) on disposal} + \text{Opening balance of related receivable} - \text{Closing balance of related receivable} \\
 &= \text{HK\$513,000} + \text{HK\$114,000} + \text{HK\$0} - \text{HK\$0} \\
 &= \text{HK\$627,000}
 \end{aligned}$$

Cash payments for acquisition of PPE

$$\begin{aligned}
 &= \text{Closing balance of PPE} - \text{Opening balance of PPE (net of disposals in the current period)} - \text{PPE acquired through non-cash transactions} + \text{Opening balance of related payable} - \text{Closing balance of related payable} - \text{Revaluation increases} \\
 &= \text{HK\$3,705,000} - (\text{HK\$2,850,000} - \text{HK\$741,000}^*) - \text{HK\$0} + \text{HK\$0} - \text{HK\$0} - \text{HK\$0} \\
 &= \text{HK\$1,596,000}
 \end{aligned}$$

* Cost of PPE disposed

$$\begin{aligned}
 &= \text{Carrying value disposed} + \text{Accumulated depreciation disposed} \\
 &= \text{Carrying value disposed} + (\text{Opening accumulated depreciation} + \text{Depreciation expense for the period} - \text{Closing accumulated depreciation}) \\
 &= \text{HK\$513,000} + (\text{HK\$1,140,000} + \text{HK\$285,000} - \text{HK\$1,197,000}) \\
 &= \text{HK\$741,000}
 \end{aligned}$$

Ash Ltd Statement of Cash Flows (extract) For the year ended 30 June 20X8	
CASH FLOWS FROM INVESTING ACTIVITIES	
Sale of property, plant and equipment	HK\$627,000
Purchase of property, plant and equipment	(HK\$1,596,000)
Net cash flows used in investing activities	(HK\$969,000)

Question 4*Cash receipts from sale of plant*

= Net book value of the disposed plant +/(–) Gains/(Losses) on disposal + Opening balance of related receivable – Closing balance of related receivable

= HK\$15,000* + HK\$3,000 + HK\$0 – HK\$0

= HK\$18,000

*Net book value of the disposed plant

= Cost of disposed plant – Accumulated depreciation of disposed plant

= HK\$40,000 – HK\$25,000 = HK\$15,000

Cash payments for acquisition of plant

= Closing balance of PPE – Opening balance of PPE (net of disposals in the current period) – PPE acquired through non-cash transactions + Opening balance of related payable – Closing balance of related payable – Revaluation increases

= HK\$510,000 – (HK\$420,000 – HK\$40,000) – HK\$0 + HK\$0 – HK\$0 – HK\$0

= HK\$130,000

Cash payments for the purchase of land

= Closing balance of land – Opening balance of land (net of disposals in the current period) – Land acquired through non-cash transactions + Opening balance of related payable – Closing balance of related payable – Revaluation increases

= HK\$820,000 – HK\$600,000 – HK\$0 + HK\$0 – HK\$0 – HK\$100,200*

= HK\$119,800

* Revaluation increases = HK\$220,200 – HK\$120,000 = HK\$100,200

Harley Ltd Statement of Cash Flows (extract) For the year ended 30 June 20X8	
CASH FLOWS FROM INVESTING ACTIVITIES	
Sale of plant	HK\$18,000
Purchase of plant	(HK\$130,000)
Purchase of land	(HK\$119,800)
Net cash flows used in investing activities	(HK\$231,800)

Question 5

Cash payments for dividends

$$\begin{aligned}
 &= \text{Opening retained earnings} +/(-) \text{Net profit/(loss)} - \text{Closing retained earnings} + \\
 &\quad \text{Opening dividends payable} - \text{Closing dividends payable} - \text{Non-cash dividends} \\
 &= \text{HK\$5,750,000} + \text{HK\$2,830,000} - \text{HK\$6,140,000} + \text{HK\$0} - \text{HK\$0} - \text{HK\$1,460,000} \\
 &= \text{HK\$980,000}
 \end{aligned}$$

Iron Ltd Statement of Cash Flows (extract) For the year ended 31 December 20X8	
CASH FLOWS FROM FINANCING ACTIVITIES	
Proceeds from borrowings	HK\$3,600,000
Proceeds from issuance of shares	HK\$4,350,000
Dividends paid	(HK\$980,000)
Net cash flows from/(used in) financing activities	HK\$6,970,000

EXAM PRACTICE

QUESTION 1

Alpha's financial records reveal the following information about its property, plant and equipment:

	30 June 20X1	30 June 20X0
Property, plant and equipment	HK\$3,000,000	HK\$2,850,000
Accumulated depreciation	HK\$1,400,000	HK\$1,150,000

The depreciation expense recorded for the period was HK\$300,000. Property, plant and equipment with a net carrying value of HK\$550,000 was sold for cash of HK\$400,000 and unlisted shares with a fair value of HK\$180,000. During the year, Alpha entered into a lease of equipment; the right-of-use asset under the lease was initially measured at HK\$250,000 and forms part of the closing balance of Alpha's property, plant and equipment.

Which of the following statements is correct about Alpha's statement of cash flows for the year ended 30 June 20X1?

- A. The cash payments for purchases of property, plant and equipment is HK\$500,000.
- B. The cash payments for purchases of property, plant and equipment is HK\$750,000.
- C. The proceeds from sales of property, plant and equipment reported in the statement of cash flows is HK\$580,000.
- D. The gain on sale of property, plant and equipment does not need to be added back to the net profit before tax to arrive at the net cash flows from operating activities.

QUESTION 2

During the year ended 31 December 20X1, Beta Limited (Beta) leases a warehouse to Theta Limited (Theta) for a 10 year term. Beta classifies the lease as a finance lease. Which one of the following statements is correct about their cash flow statements?

- A.** Beta's interest receipts for the year excludes the interest accretion on the finance lease.
- B.** Theta's lease repayment included in its statement of cash flows is equal to its lease expense for the year.
- C.** Theta has a choice as to whether to classify its repayments under the lease as an operating or financing cash outflow.
- D.** Beta classifies its cash receipts from lease payments as an operating or financing activity consistent with its classification of the lease as an operating lease or a finance lease.

QUESTION 3

It is the end of the 20X8 financial year, and Laidlaw Ltd are in the process of preparing their financial report. They have completed their statement of profit or loss and other comprehensive income and statement of financial position and now require the statement of cash flows.

Laidlaw Ltd Statement of Profit or Loss and Other Comprehensive Income For the year ended 31 December 20X8 (HK\$)		
Sales revenue		1,807,980
Less:		
Cost of sales	(300,000)	
Sales & Administration	(585,780)	
Depreciation	(374,220)	
Interest	(29,280)	(1,289,280)
		518,700
Gain on sale of property, plant and equipment		6,000
Net profit before tax		524,700
Income tax expense		(85,500)
Net profit after tax		439,200

Laidlaw Ltd Statement of Financial Position As at 31 December 20X8 (HK\$)		
	31 December 20X8	31 December 20X7
Current assets		
Cash	312,160	300,000
Trade receivable	253,810	146,030
Inventory	84,000	54,000
	649,970	500,030
Non-current assets		

Laidlaw Ltd Statement of Financial Position As at 31 December 20X8 (HK\$)		
	31 December 20X8	31 December 20X7
PPE	3,068,820	2,901,300
Less: accumulated depreciation	(1,114,260)	(1,003,380)
	1,954,560	1,897,920
TOTAL ASSETS	2,604,530	2,397,950
Current liabilities		
Trade payable	322,140	326,860
Interest payable	13,370	12,650
Income tax payable	17,820	0
	353,330	339,510
Non-current Liabilities		
Bank loan	460,660	585,660
	460,660	585,660
TOTAL LIABILITIES	813,990	925,170
Equity		
Share capital	827,220	641,220
Retained earnings	963,320	831,560
Total equity	1,790,540	1,472,780
Total liabilities and equity	2,604,530	2,397,950

Additional information:

Equipment with an original cost of HK\$300,240 was sold during the year.

Interest expense is equivalent to the interest charged per borrowing terms

Sales and administration on cash basis

Required:

- Prepare the statement of cash flows for Laidlaw Ltd for the year ended 31 December 20X8, using direct method for presenting cash flows from operating activities.
- Prepare the statement of cash flows for Laidlaw Ltd for the year ended 31 December 20X8, using indirect method for presenting cash flows from operating activities.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is correct. The statement of cash flows reports cash payments for the purchase of property, plant and equipment of HK\$500,000 calculated as follows:

$$\begin{aligned}\text{Cash purchases} &= \text{Closing net carrying amount} - \text{Opening net carrying amount} \\ &\quad + \text{Net disposals} + \text{Depreciation expense} - \text{Non-cash acquisitions} \\ &= \text{HK\$1,600,000} - \text{HK\$1,700,000} + \text{HK\$550,000} + \text{HK\$300,000} - \text{HK\$250,000} \\ &= \text{HK\$500,000}\end{aligned}$$

Answer B is incorrect. During the year, Alpha acquired new equipment totalling HK\$750,000. However, HK\$250,000 of equipment was acquired in a leasing transaction (a non-cash activity) and as such is excluded from the cash payments for property, plant and equipment in the cash flow statement.

Answer C is incorrect. The statement of cash flows reports only the cash proceeds from the sale of property, plant and equipment (HK\$400,000). Consideration in the form of equipment is a non-cash item, and consequently excluded from the statement of cash flows.

Answer D is incorrect. Using the indirect method, to calculate the net cash flows from operating activities the net profit before tax must be adjusted to remove any non-cash transactions in the profit or loss. Accordingly, both depreciation expense and the gain on the sale of property, plant and equipment must be added back to/(deducted from) the net profit before tax.

QUESTION 2

Answer A is correct. The interest accretion on a lease receivable is non-cash in nature. As such, to identify the actual interest cash inflow for the period this amount should be deducted from interest income recognised in profit or loss.

Answer B is incorrect. This could only be true if the lease was a low-value or short-term lease and the lease payments representative of the systematic basis on which the lease expense is recognised. This lease is a 10-year lease of a warehouse; as such it is neither over a low value asset nor short term in nature.

Answer C is incorrect. In accordance with HKAS 7, cash payments by a lessee for the reduction of the outstanding liability relating to a lease are classified as cash flows arising from financing activities.

Answer D is incorrect. HKAS 7 does not require the classification of the cash receipts by the lessor to follow its HKFRS 16 classification of the lease. A lessor should classify the cash receipts from the lease having regard to the definitions of operating, investing and financing activities.

QUESTION 3

(a)

Laidlaw Ltd Statement of Cash Flows For the year ended 31 December 20X8 (HK\$)	
CASH FLOWS FROM OPERATING ACTIVITIES	
Receipts from customers	1,700,200
Payments to suppliers	(920,500)
Interest paid	(28,560)
Income tax paid	(67,680)
Net cash flows from/(used in) operating activities	683,460
CASH FLOWS FROM INVESTING ACTIVITIES	
Sale of equipment	42,900
Purchase of equipment	(467,760)
Net cash flows from/(used in) investing activities	(424,860)
CASH FLOWS FROM FINANCING ACTIVITIES	
Borrowing repaid	(125,000)
Shares issued	186,000
Dividends paid	(307,440)
Net cash flows from/(used in) financing activities	(246,440)
Net increase/(decrease) in cash and cash equivalents	12,600
Cash and cash equivalents at beginning of period	300,000
Cash and cash equivalents at end of year	312,160

Workings:

For simplicity, only the relevant accounts are shown in the computations.

Cash receipts from customers	= Sales + Opening accounts receivables – Closing accounts receivables = HK\$1,807,980 + HK\$146,030 – HK\$253,810 = HK\$1,700,200
------------------------------	---

Cash payments to suppliers	= Opening accounts payable – Closing accounts payable
(including those payments for sales and administration expense)	+ Cost of Goods Sold + Closing inventory – Opening inventory + Sales & Administration expense = HK\$326,860 – HK\$322,140 + HK\$300,000 + HK\$84,000 – HK\$54,000 + HK\$585,780 = HK\$920,500

Interest paid	$= \text{Interest expense} + \text{Opening Interest payable} - \text{Closing interest payable}$ $= \text{HK\$29,280} + \text{HK\$12,650} - \text{HK\$13,370}$ $= \text{HK\$28,560}$
Income tax paid	$= \text{Income tax expense} + \text{Opening income tax payable} - \text{Closing income tax payable}$ $= \text{HK\$85,500} + \text{HK\$0} - \text{HK\$17,820}$ $= \text{HK\$67,680}$
Proceeds from disposal of PPE	$= \text{Net carrying amount at the time of the sale}^* + \text{Gain on sale}$ $= \text{HK\$36,900} + \text{HK\$6,000}$ $= \text{HK\$42,900}$ *Net book value of disposed equipment $= \text{Cost of disposed equipment} - \text{Accumulated depreciation of disposed equipment}$ $= \text{Cost of disposed equipment} - (\text{Opening accumulated depreciation} + \text{Depreciation expense for the year} - \text{Closing accumulated depreciation})$ $= \text{HK\$300,240} - (\text{HK\$1,003,380} + \text{HK\$374,220} - \text{HK\$1,114,260})$ $= \text{HK\$300,240} - \text{HK\$263,340}$ $= \text{HK\$36,900}$
Cash purchases of PPE	$= \text{Closing PPE} - \text{Opening PPE} + \text{Cost of PPE disposed}$ $= \text{HK\$3,068,820} - \text{HK\$2,901,300} + \text{HK\$300,240}$ $= \text{HK\$467,760}$
Shares issued	$= \text{Closing balance ordinary shares} - \text{Opening balance ordinary shares}$ $= \text{HK\$827,220} - \text{HK\$641,220}$ $= \text{HK\$186,000}$
Borrowings repaid	$= \text{Opening bank loan} - \text{Closing bank loan}$ $= \text{HK\$585,660} - \text{HK\$460,660}$ $= \text{HK\$125,000}$
Dividends paid	$= \text{Opening Retained earnings} + \text{Net profit after tax} - \text{Closing Retained Earnings}$ $= \text{HK\$831,560} + \text{HK\$439,200} - \text{HK\$963,320}$ $= \text{HK\$307,440}$

(b)

Laidlaw Ltd Statement of Cash Flows For the year ended 31 December 20X8		
CASH FLOWS FROM OPERATING ACTIVITIES		HK\$
Net profit before tax		524,700
Add:		
Interest expense	29,280	
Depreciation expense	<u>374,220</u>	<u>403,500</u>
Less:		
Gain on sale of property, plant and equipment	(6,000)	
Increase in accounts receivable (HK\$253,810 – HK\$146,030)	(107,780)	
Increase in inventory (HK\$84,000 – HK\$54,000)	(30,000)	
Decrease in accounts payable (326,860 – 322,140)	(4,720)	<u>(148,500)</u>
Cash generated from operations		779,700
Interest paid		(28,560)
Income tax paid		(67,680)
Net cash flows from/(used in) operating activities		683,460
CASH FLOWS FROM INVESTING ACTIVITIES		
Sale of equipment		42,900
Purchase of equipment		(467,760)
Net cash flows from/(used in) investing activities		(424,860)
CASH FLOWS FROM FINANCING ACTIVITIES		
Borrowing repaid		(125,000)
Shares issued		186,000
Dividends paid		(307,440)
Net cash flows from/(used in) financing activities		(246,440)
Net increase/(decrease) in cash and cash equivalents		12,600
Cash and cash equivalents at beginning of period		300,000
Cash and cash equivalents at end of year		312,160



Part D

Financial Statements with Simple Group Structures



Chapter 22 Business Combinations

Chapter 23 Preparation of Consolidated Financial Statements

Chapter 24 Investments in Associates

Chapter 25 Joint Arrangements

22

Business Combinations



CHAPTER TOPIC LIST

22.1 Business Combinations Overview

- 22.1.1** Parent
- 22.1.2** Subsidiary
- 22.1.3** Group
- 22.1.4** Non-controlling interest
- 22.1.5** Consolidated Financial Statements

22.2 Determining Whether a Transaction Is a Business Combination

- 22.2.1** A Business Must Be Acquired
- 22.2.2** The Acquirer Must Control the Business after the Acquisition
- 22.2.3** Components of Control

22.3 Acquisition Method of Accounting for Business Combinations

- 22.3.1** Identifying the Acquirer
- 22.3.2** Determining the Acquisition Date
- 22.3.3** Consideration
- 22.3.4** Recognition and Measurement of Identifiable Assets Acquired, Liabilities Assumed and Non-controlling Interest
- 22.3.5** Recognition and Measurement of Any Goodwill or Gain from a Bargain Purchase



LEARNING OUTCOMES

PRINCIPAL LO4: APPLY THE ACCOUNTING PRINCIPLES AND CONCEPTS TO PREPARE FINANCIAL STATEMENTS WITH SIMPLE GROUP STRUCTURES

LO4.01: Prepare consolidated financial statements in accordance with Hong Kong Financial Reporting Standards for business combinations

- 4.01.01** Define a parent, a subsidiary, a group, non-controlling interest and consolidated financial statements
- 4.01.02** Explain the meaning and the three components of control
- 4.01.03** Calculate the total consideration in a business combination, including contingent consideration
- 4.01.04** Define, illustrate and account for acquisition-related costs
- 4.01.05** Explain the concept of goodwill
- 4.01.06** Calculate goodwill, gain from a bargain purchase and non-controlling interest
- 4.01.07** Account for the acquisition or disposal of a subsidiary



OPENING CASE

SAFE BET LIMITED

Safe Bet Limited (Safe Bet) was established in 1950 and is now one of Hong Kong's most well-known portfolio management companies offering a diverse range of financial and fiduciary services. Safe Bet's stated mission is to help its clients grow, manage and protect their wealth in an environment where clients are justifiably confident that Safe Bet is looking after their wealth 'as though it were the directors' own wealth'.

Safe Bet is a subsidiary of Clean Hands Holdings Limited (CHH Limited). CHH Limited is publicly listed on the Hong Kong Stock Exchange (HKSE) under the code CHH.

The group currently offers services, such as corporate trustee services, funds management services, estate planning and administration, financial advice and superannuation trustee services. The group's medium-term growth strategy is to increase its market share through strategic acquisitions of businesses that provide the same or complementary services to those the group currently offers. 



OVERVIEW

Entities, including companies, might use merger and acquisition (M&A) activity as a way of growing. In particular, M&A activity might be an effective way of removing competition, creating market access for products, quickly (or more cheaply) acquiring skills or technology, exploiting scalability or underperformance, or gaining access to a different geographical market.

M&A activity involves the purchase of potential. This is reflected in that an acquirer may be willing to pay more than the current value of identifiable tangible and intangible net assets of the business acquired. This extra amount paid is goodwill, which is a residual asset that represents the value of the potential the purchaser sees in the acquiree or in the synergy between the acquirer and the acquiree.

As many companies undertake some form of M&A activity in their lifetime, it is important to understand the effect of M&A activity on an acquirer's financial reporting obligations, financial performance and financial position. For example, how will Safe Bet's business acquisitions affect the financial statements it prepares? How much 'goodwill' does Safe Bet place on the target company? Therefore, it is important that accountants know how to account for M&A activity. HKFRS 3 (Revised) *Business Combinations* is the main Standard that specifies the accounting. In particular, HKFRS 3 (Revised) requires what is called the 'acquisition method' to be applied to a 'business combination', irrespective of whether the combination comes about via a merger or an acquisition; the acquisition method is a way of dealing with the fact that a business combination involves a group of assets and liabilities, and it is necessary to know how to account for each of those assets and liabilities at the date of acquisition.

In this chapter, you will be introduced to the accounting for business combinations. By the end of this chapter, you should understand what a business combination is and how to apply the acquisition method, including the treatment of acquisition-related costs, contingent consideration and any non-controlling interest. You will be familiar with the concept of goodwill and be able to calculate the goodwill or the gain from bargain purchase, if any, arising on an acquisition.

In practice, the effect of income taxes must be taken into account in preparing financial statements. However, so as to illustrate the acquisition method of accounting more clearly, the effect of income taxes has been ignored for the purposes of this chapter.

The accounting for business combinations involving entities under common control (e.g. group restructures) is outside the scope of this module.

22.1 BUSINESS COMBINATIONS OVERVIEW

The accounting for a merger and acquisition (M&A) transaction is addressed in HKFRS 3 (Revised) *Business Combinations*, and the subsequent accounting is addressed in HKFRS 10 *Consolidated Financial Statements*. For the purposes of accounting under HKFRSs, a **business combination** includes takeovers and merger activity where one of the combining entities obtains control of the other.

Some expansion activity will not result in an entity gaining control over another entity's business. This might occur, for example, when the number of shares acquired was insufficient to give rise to 'control' or the acquisition involved the purchase of an asset (or a collection of assets) rather than a 'business'. Such activity is not within the scope of HKFRS 3 (Revised), but another HKFRS (e.g. HKFRS 11 *Joint Arrangements* or HKAS 28 (2011) *Investments in Associates and Joint Ventures*, or HKAS 16 *Property, Plant and Equipment*).

A business combination may be effected through the acquisition of equity instruments (such as shares) giving the acquirer control of the underlying net assets of the entity it acquires or through the direct acquisition of underlying net assets associated with a business. Both of these business combinations are within the scope of HKFRS 3 (Revised) and this chapter.

Where a business combination is effected through the acquisition of equity instruments, the business combination will involve two separate legal entities: a parent (the acquirer) and a wholly or partially owned subsidiary (the acquiree); they form a group for which consolidated financial statements are subsequently prepared. Where a business combination is effected through the acquisition of underlying net assets, the business combination involves one entity (the acquirer) acquiring a business (acquiree) that is not a separate legal entity but instead is the underlying net assets of an entity incorporated into the financial statements of the acquirer.

In this section, you will be introduced to some of the terminology that features commonly in the context of business combinations.

22.1.1 Parent

A **parent** is the entity that would normally 'sit on top of' or own/control a subsidiary, generally via its ownership of the majority voting rights via its shareholdings in that subsidiary. The parent is the **acquirer** in a business combination, that is, the entity that obtains control of the acquiree. For example, CHH Limited is the parent of Safe Bet. A parent may control a subsidiary through a transaction that is not a business combination, for example, through incorporating the subsidiary.

HKFRS
10.App A

22.1.2 Subsidiary

A **subsidiary** is an entity owned/controlled by the parent. A subsidiary is an **acquiree** in a business combination, that is, an entity the acquirer obtains control of in a business combination. For example, Safe Bet is a subsidiary of CHH Limited.

HKFRS
10.App A

22.1.3 Group

A group is the economic entity consisting of a parent and one or more of its subsidiaries. A group might also include a parent's investments in associates and joint ventures (see

HKFRS
10.App A

Chapters 24 and 25); however, key to remember is that when HKFRSs refer to a group, at least one subsidiary must be present. For example, the CHH Limited group includes CHH Limited, Safe Bet and any other subsidiaries controlled by CHH Limited, whether directly, or indirectly through subsidiaries of CHH Limited.

22.1.4 Non-controlling Interest

In some M&A transactions, the parent will acquire a controlling shareholding that is less than 100% of the share capital of a subsidiary. The shareholding in a subsidiary held by parties outside the group is referred to as the '**non-controlling interest**'.

HKFRS
10.App A

22.1.5 Consolidated Financial Statements

HKFRS 3 (Revised) sets out the accounting for an M&A transaction that is a business combination. HKFRS 10 specifies the ongoing accounting by a parent subsequent to the M&A transaction.

Subsequent to the occurrence of a business combination, with limited exceptions, s.379(2) of the Hong Kong Companies Ordinance (HK Companies Ordinance) and HKFRS 10 require a parent (parent undertaking) that presents general purpose financial statements in accordance with HKFRSs to present 'consolidated' financial statements in which its subsidiaries (subsidiary undertaking) are consolidated. **Consolidated financial statements** are the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity. The preparation of consolidated financial statements is addressed in Chapter 23.

HKFRS 10.4
Cap.622 s.379(2)

HKFRS
10.App A

Not every M&A transaction will result in consolidated financial statements being presented, for example:

- Take-private M&A transactions, where a public company is acquired by private equity investors or entities who are not required to prepare HKFRS-compliant general purpose financial statements; and
- M&A transactions effected through acquisitions of underlying net assets rather than equity instruments because, in these instances, the acquiree is not a subsidiary as the business acquired is not a separate legal entity. In this case, the assets and liabilities acquired are incorporated into the acquirer's financial statements, but those statements are not referred to as consolidated financial statements unless they consolidate the financial statements of a subsidiary.

Also, HKFRS 10 exempt a parent that is an intermediate parent (that is, the parent is itself a subsidiary of a higher entity in the group) or an 'investment entity' (an entity that obtains funds from investors and provides them with investment management services. It commits to the investors that its business purpose is to invest funds solely for returns from capital appreciation and/or investment income and it measures and evaluates the performance of substantially all of its investments on a fair value basis) from presenting consolidated financial statements, provided certain conditions are met. Details of these conditions, their interaction with the HK Companies Ordinance, and the reasons for them are beyond the scope of this chapter. Overall, the exemptions provide relief from an otherwise onerous financial reporting requirement whilst still satisfying the needs of users of general purpose financial statements.

Exhibit 22.1 illustrates the relationship among the terms 'parent', 'subsidiary', 'group', 'non-controlling interest' and 'consolidated financial statements' using an extract from the financial statements of HSBC Holdings Plc.

HSBC Holdings Plc is the **parent** of the subsidiaries listed

The parent entity may wholly own, or partially own, equity of the subsidiary

The 37.86% interest not held by HSBC Holdings Plc is termed the **'non-controlling interest'**

Main subsidiaries of HSBC Holdings

At 31 Dec 2018

	Place of incorporation or registration	HSBC's interest %	Share Class
Europe			
HSBC Bank plc	England and Wales	100	£1 Ordinary, \$0.01 Non-cumulative third Dollar Preference
HSBC UK Bank plc	England and Wales	100	£1 Ordinary
HSBC France	France	99.99	€5 Actions
HSBC Trinkaus & Burkhardt AG	Germany	80.67	Stückaktien no par value
Asia			
Hang Seng Bank Limited	Hong Kong	62.14	HK\$5 Ordinary
HSBC Bank (China) Company Limited	People's Republic of China	100	CNY1 Ordinary
HSBC Bank Malaysia Berhad	Malaysia	100	RM0.50 Ordinary
HSBC Life (International) Limited	Bermuda	100	HK\$1 Ordinary
The Hongkong and Shanghai Banking Corporation Limited	Hong Kong	100	Ordinary no par value
Middle East and North Africa			
HSBC Bank Middle East Limited	United Arab Emirates	100	\$1 Ordinary and \$1 Cumulative Redeemable Preference shares (CRP)
North America			
HSBC Bank Canada	Canada	100	Common no par value and Preference no par value
HSBC Bank USA, N.A.	US	100	\$100 Common \$0.01 Preference
Latin America			
HSBC Mexico, S.A., Institución de Banca Múltiple, Grupo Financiero HSBC	Mexico	99.99	MXN2 Ordinary

The Hongkong and Shanghai Banking Corporation Limited is one of the **subsidiaries** of HSBC Holdings Plc

The HSBC Holding Plc **group** comprises HSBC Holdings Plc (parent) and its subsidiaries. The HSBC Holdings Plc **consolidated financial statements** report on the performance and financial position of the HSBC Holdings Plc group.

► **EXHIBIT 22.1** Illustration of common terms using an example

► Knowledge Check Question

Question 1

During the year ended 31 December 20X4, Alpha Limited, a publicly listed logistics company acquired 95% of the share capital of Bravo Limited, which has no subsidiaries of its own, in a business combination transaction. Identify which of the following statements are true.

- (I) Bravo Limited is a subsidiary of Alpha Limited
- (II) Alpha Limited is the 'non-controlling interest' in Bravo Limited
- (III) Alpha Limited is the parent of the group comprising Alpha Limited and Bravo Limited
- (IV) Bravo Limited presents consolidated financial statements unless it is a qualifying intermediate parent or an investment entity

- A I and II
- B I and III
- C I, II and III
- D All statements are true



22.2 DETERMINING WHETHER A TRANSACTION IS A BUSINESS COMBINATION

HKFRS
3(R).App A

HKFRS 3 (Revised) defines a business combination as a transaction or other event in which an acquirer obtains control of one or more businesses. Transactions, sometimes referred to as 'true mergers' or 'mergers of equals' (for which it is often not clear which of the combining entities obtains control of the other combining entities), are also business combinations for the purposes of reporting under HKFRSs; in these scenarios, where HKFRS 3 (Revised) applies, the HKFRS insists that one of the combining entities be identified as the acquirer.

To be a business combination, the transaction must have the following features:

- a business must be acquired; and
- the acquirer must control the business after the acquisition.

22.2.1 A Business Must Be Acquired

A **business** is an integrated set of activities and assets capable of being conducted and managed by a market participant to:

- provide goods and services to customers;
- generate investment income (such as dividends or interest); or
- generate other income from ordinary activities.

HKFRS
3(R).App A, B11

HKFRS
3(R).B9

Some businesses also include liabilities.

A business consists of inputs and processes, and often also outputs:

- **Inputs:** Inputs are the economic resources that create, or have the ability to create, outputs when one or more processes are applied to it. For example, the inputs to the manufacture of a table (the output) would include any design patent, the raw materials and the tools and machinery to manufacture it.
- **Processes:** A process is any system, standard, protocol, convention or rule that when applied to an input or inputs, creates or has the ability to contribute to the creation of outputs. Processes include strategic management processes, operational processes (e.g. the procedure to construct a table at the manufacturing plant) and resource management processes (e.g. hiring protocols). Processes typically – but not necessarily – are documented, e.g. the intellectual capacity of an organised workforce having the necessary skills and experience and which follows rules and conventions may provide the processes capable of being applied to inputs to create outputs. Back office administrative systems, such as accounting, billing and payroll are not typically processes used to create outputs because such systems are not applied to inputs.

- **Outputs:** Outputs are the result of inputs and processes that provide, or have the ability to provide, a return. Manufactured inventory (e.g. manufactured tables) is an example of an output. Other examples include agricultural produce (such as picked grapes) or reports produced by a skilled workforce (such as audit reports or consultancy advice). Outputs are not required for an integrated set of activities to qualify as a business; for example, a business may be in a development stage where it has begun operating but is not yet to a stage where it is producing outputs.

HKFRS 3(R).B7,
B8, B12A

The assessment as to whether a business has been acquired is based on consideration of the activities and assets that have been acquired in their current state and condition. The focus is on what has been acquired rather than what the acquirer intends to do with the activities and assets it acquires.

HKFRS
3(R).B8

A 'business' includes at least an input and a substantive process that together significantly contributes to the ability to create outputs. That is, all associated inputs and processes do not need to be transferred for an integrated set of activities and assets to be considered a business. For example, an acquirer might not acquire the inventory management system of another operation (possibly because it intends to apply its own inventory management system to the products); this does not necessarily mean a business has not been acquired (IFRS 3.BC21I). A substantive process is one that is not minor or ancillary within the context of all the processes required to create outputs. That is, the process must be *critical* to the ability to create outputs. The presence of an organised workforce is an indicator of a substantive process, and the workforce may be assessed as performing a critical function if the acquirer is likely to encounter difficulties in replacing it.

HKFRS
3(R).B8HKFRS
3(R).B12DHKFRS
3(R).B12D

Key Learning Point

The existence of a substantive process distinguishes a business from a set of activities and assets that is not a business.

Illustrative Example 1

Top Class Limited (Top Class), a multinational hotel group, acquires five operating hotels from the struggling hotelier Budget Place Limited (Budget Place). As part of the acquisition, Top Class acquires the hotel buildings and their fixtures and fittings, the customer lists for the hotels, and its operational and some human resource processes and systems, and it takes over the employment contracts of the hotel workforce including its managerial staff. Top Class intends to integrate these hotels into its portfolio by re-outfitting them to be consistent with the Top Class brand and by transferring payroll and other systems (for example, the room booking system) on to the group's existing systems.

Illustrative Example 1 (continued)

Top Class assesses whether it has acquired a business by evaluating whether it has acquired an integrated set of activities and assets that represent at least inputs and one or more substantive processes and even outputs:

• Inputs	Top Class acquires inputs including the hotel buildings, the fixtures and fittings, the customer lists, and the contracts over the hotel workforce
• Processes	Top Class acquires existing operational and other processes that can be applied to inputs (in the form of an organised workforce, hotel rooms, etc.) that have the ability to contribute to outputs. Top Class identifies the operational processes applied by the workforce, including managerial duties carried out by managerial-level staff, to be critical to the ability of the hotels to continue to deliver accommodation services.
• Outputs	Even though Top Class intends to rebrand the hotels and will not use existing processes, at acquisition, Top Class acquires outputs in the form of accommodation services at these hotels as it has acquired relevant inputs and processes that can produce these services to customers.

Having regard to the set of activities and assets it has acquired, Top Class concludes it has acquired:

- processes critical to continue producing outputs; and
- inputs that include an organised workforce with the necessary skills, knowledge, or experience to perform those processes.

Accordingly, Top Class concludes that it has acquired a business, as the set of activities and assets acquired in its current condition and state is capable of being conducted and managed for the purpose of providing a return to Top Class's owners.

In this illustrative example, Top Class has acquired a business by way of an acquisition of underlying net assets rather than acquiring shares of Budget Place.

22.2.2 The Acquirer Must Control the Business after the Acquisition

For the purposes of determining whether an acquirer controls a business after the acquisition, 'control' exists when the following three features are present from the perspective of the acquirer:

- power;
- exposure, or rights to, variable returns; and
- the ability to use that power to affect the amount of the acquirer's returns.

An acquirer, that is a parent, controls another entity (the acquiree) when the parent is exposed, or has rights to, variable returns from its involvement with that other entity and has the ability to affect those returns through its power over it.

Section 22.2.3 explores each of these features in turn.

HKFRS
3(R).7, B13; 10.7

HKFRS
10.6

22.2.3 Components of Control

HKFRS 10 provides guidance on how to establish whether an entity has obtained control over a business, either directly through the acquisition of net assets or indirectly through the acquisition of equity instruments. Other HKFRSs specify how to establish whether control exists in other scenarios: for example, HKFRS 15 *Revenue from Contracts with Customers* explains when a customer gains control of goods or services sold (see Chapter 3), and HKFRS 16 *Leases* specifies when an entity has the right to control the use of an identified asset in a lease arrangement (see Chapter 7).

Determining whether an entity has control over a business is a matter of professional judgement and is not always straightforward. How an entity determines it has control over a business in complex scenarios is beyond the scope of this chapter.

22.2.3.1 Power

An acquirer has power over a business when the acquirer has rights that give it the ability to direct activities of the acquiree that affect the acquirer's returns (the 'relevant activities'). Relevant activities would normally be of an operating or financial nature as these types of activities would normally affect an acquirer's returns.

Exhibit 22.2 lists examples of possible relevant activities and decisions an entity could make about relevant activities.

HKFRS
10.B11

Examples of relevant activities

- Selling and purchasing of goods or services
- Managing financial assets during their life
- Selecting, acquiring and disposing of assets
- Researching and developing new products or processes
- Determining a funding structure
- Obtaining funding

HKFRS
10.B12

Examples of decisions about relevant activities

- Establishing operating and capital decisions of the acquiree, including budgets
- Appointing and remunerating an acquiree's key management personnel (e.g. the CEO) or service providers and terminating their services or employment

► EXHIBIT 22.2 Examples of relevant activities and decisions about relevant activities

An acquirer may be able to direct the acquiree's relevant activities through various means. Examples of an acquirer's rights that can give rise to power over an acquiree include:

- voting rights (or potential voting rights, e.g. options and convertible notes) of an acquiree;
- rights to appoint, reassign, or remove members of an acquiree's key management personnel (e.g. the board of directors) who have the ability to direct the relevant activities;

- rights to appoint or remove another entity that directs the relevant activities (e.g. a management entity);
- rights to direct the acquiree to enter into, or veto any changes to, transactions for the benefit of the acquirer; and
- other rights (such as decision-making rights specified in a management contract) that give the acquirer the ability to direct the relevant activities.

HKFRS
10.B15

The rights must be substantive (gives the holder power over the investee) and not merely 'protective' in nature (protects interests of the holder). To be substantive, the acquirer must have the practical ability to exercise the right and the rights must be exercisable when decisions about the direction of the relevant activities need to be made. Examples of factors that may mean an acquirer does not have substantive rights and, therefore, does not have sufficient power over an acquiree include acquirer's rights that:

- cannot be exercised because of economic or other barriers (e.g. financial penalties or a legal prohibition from exercising the right);
- require the agreement of more than one party before the right can be exercised (e.g. the relevant activities are subject to direction by a liquidator, court, receiver, regulator, administrator, or government);
- if exercised do not benefit the acquirer; and
- are not currently exercisable (e.g. unvested share options), and are not exercisable when decisions about the direction of the relevant activities must be made.

HKFRS
10.B23, B24

When an acquiree has a range of operating and financing activities that affect the acquiree's returns and when decision making with respect to these activities is required continuously, it will generally be voting or similar rights that give an acquirer power, either individually or in combination with other arrangements. That is, an acquirer holding more than 50% of an acquiree's ordinary shares would prima facie have power over the acquiree. However, an acquirer may have power over the acquiree even if it holds less than a majority of the voting rights (de facto control) as it could still have existing rights that give it the ability to direct the relevant activities of the acquiree because the acquirer has, for example:

- a contractual arrangement between the acquirer and other vote holders that gives the acquirer the ability to direct their vote;
- rights arising from other contractual arrangements (for example, an arrangement to provide key management personnel services to the entity); and/or
- the practical ability to unilaterally direct the relevant activities of the acquiree on assessment of the facts and circumstances including, for example, because the remaining shareholdings are widely dispersed, and therefore, those shareholdings are unlikely to vote as a block.

HKFRS
10.B38–46

Apply and Analyse 1

For each of the following scenarios, explain whether the acquirer would, prima facie, be expected to have power over the acquiree:

Scenario	Analysis
1. Yeo Limited acquires 100% of the ordinary shares of Keya Limited.	Yeo Limited has power over Keya Limited as its 100% interest gives it the current ability to direct the relevant activities of Keya Limited.
2. Bae Limited acquires 48% of the ordinary shares of Yin Limited. Bae also holds exercisable share options to purchase another 20% of Yin Limited. The exercise price of the options is set at HK\$0.10. Yin Limited shares have been valued between HK\$2–HK\$3 per share for the past five years. Bae will be able to raise the funds to exercise the options if it so wishes.	Bae Limited has power over Yin Limited as its existing 48% interest in combination with its 20% potential voting rights through the share options gives it the current ability to direct relevant activities of Yin Limited. Bae considers its potential voting rights to be substantive rights because they are currently exercisable and deeply in the money.
3. Swan Limited acquires 47% of the ordinary shares of Giselle Limited. In addition, Swan Limited is able to appoint seven of Giselle Limited's nine board directors.	Swan Limited has power over Giselle Limited as, on balance, its rights give it the ability to direct the relevant activities of Giselle Limited through its shareholding combined with its ability to appoint the majority of Giselle's board of directors.
4. Heng Limited acquires 49% of the ordinary shares of Ho Limited. The remaining shareholding is held by two entities.	Insufficient information exists to determine whether Heng Limited has power over Ho Limited. For example, if the two entities that hold 51% of the shares have a contractual arrangement to vote together, Heng Limited will not have the right to direct the relevant activities of Ho Limited.

22.2.3.2 Exposure to Variability in Returns

An acquirer is exposed to variability in returns from its involvement with a business when its returns from its involvement have the potential to vary positively and/or negatively as a result of that business's performance.

Exhibit 22.3 illustrates examples of returns and variability in those returns.

Examples of returns	Variability in the return
Fixed interest payments on a bond	Despite being fixed payments, there is variability in the return as the holder is exposed to the risk that the entity is unable to make the payment
A fixed amount for performance fees for managing assets of the acquiree	Despite the fee being for a fixed amount, there is variability in the return as the holder is exposed to performance risk of the acquiree, which may affect the acquiree's ability to pay the fee
Dividends	There is variability in the return where the amount of dividends is dependent on the acquiree's performance
Residual interest in net assets on liquidation	There is variability in the return as the extent of any residual interest is dependent on the acquiree's performance

► **EXHIBIT 22.3** Examples of returns and variability in those returns

HKFRS
10.15

HKFRS
10.B56–57

22.2.3.3 Ability to Use Power to Affect Returns

HKFRS
10.17

To have control, an acquirer must have the ability to use its power to affect the acquirer's returns from its involvement with the acquiree. An acquirer has the ability to use that power to affect the acquirer's returns from its involvement with the acquiree even where it has delegated its decision making to another entity subsequent to the acquisition.

HKFRS
10.B58-59

For example, an acquirer has the ability to use its power to affect its returns from its involvement with an acquiree when it – whether directly or via an agent acting on its behalf – is able to make decisions about how much the acquiree declares as a dividend. An agent to whom decision making about relevant activities has been delegated (e.g. a fund manager of a managed investment scheme) is normally able to wield power to affect returns, but because the agent is acting on behalf of the investor, it does not itself 'have power' and cannot control the entity. This is because, for example, its contract with the investor could be cancelled by the investor.

► Knowledge Check Questions

Question 2

For each of the following transactions, identify whether, prima facie, Delta Limited (Delta) has purchased a business. Explain your rationale.

- (a) Delta purchases replacement machinery for its manufacturing plant secondhand from Gamma Ltd.
- (b) Delta purchases all of the net assets of Theta Ltd, an operating bottling company. In addition, Delta will take over the employment contracts of its workforce.
- (c) Delta purchases 70% of the share capital of Lamba Ltd, an operating packaging company.
- (d) Delta purchases 100% of the share capital of Zulu Ltd, a newly incorporated company.

Question 3

Candy Limited acquires 40% of the share capital of Sweetie Limited. In addition, Candy holds an option to purchase another 25% of the share capital of Sweetie Limited. The option is currently exercisable at an exercise price of HK\$200 per option for an ordinary share of Sweetie Limited. Sweetie Limited's current share price is HK\$68 per share.

Explain whether, prima facie, Candy Limited controls Sweetie Limited immediately following the acquisition transaction.

Question 4

Identify which of the following must be present for Company A to have control over Company B.

- (I) Company A must have the future ability to direct all the operations of Company B
- (II) Company A must have the current ability to direct at least the relevant activities of Company B
- (III) Company A's returns from its investment in Company B must vary with Company B's performance
- (IV) Company A must hold the majority ownership interest in Company B

► Knowledge Check Questions (continued)

- A** I and II
- B** II and III
- C** II, III and IV
- D** All statements must be present

22.3 ACQUISITION METHOD OF ACCOUNTING FOR BUSINESS COMBINATIONS

HKFRS 3 (Revised) requires the acquisition method be applied to account for transactions determined to be business combinations (limited exceptions apply but are outside the scope of this chapter).

Generally stated, the acquisition method typically requires the acquirer to recognise all identifiable assets acquired and liabilities assumed in the business combination at their fair values on the acquisition date and to recognise goodwill (or a **gain on bargain purchase**) for the difference between this value and the fair value of the consideration transferred.

Applying the acquisition method involves the following steps:

- identifying the acquirer;
- determining the acquisition date;
- determining the consideration transferred;
- recognising and measuring the identifiable assets acquired, the liabilities assumed, and any non-controlling interest in the acquiree; and
- recognising and measuring goodwill or a gain from a bargain purchase

Each step will now be discussed.

22.3.1 Identifying the Acquirer

In every business combination, an acquirer must be identified. The acquirer will always be one of the combining entities. The acquirer is the entity that gains control over the business acquired and often, but not always, will be the entity holding the ownership interest in the other entity (see Section 22.2.3). Correct identification of the acquirer is important because, under HKFRSs, the acquirer is treated as the 'continuing entity'. Accordingly, the acquisition is accounted for from its perspective, so that its users (the 'real' owners of the group) can assess the impact of the acquisition on the continuing entity's future cash flows. Because the acquirer is the continuing entity, much like in the acquisition of an item of plant, the acquirer's pre-existing assets and liabilities are not remeasured; but those of the acquiree are, reflecting the value placed on them by the acquirer. That is, the transaction of acquiring a business is an insufficient basis for triggering a remeasurement of all the pre-existing items held by the acquirer.

HKFRS
3(R).5

HKFRS
3(R).6

In many transactions, identifying the acquirer will be straightforward. HKFRS 3 (Revised) provides guidance that, in a business combination, is effected primarily by:

HKFRS
3(R).B14

- the transfer of cash or other assets or by incurring liabilities: the acquirer is usually the entity that transfers the cash or other assets or incurs the liabilities; and

HKFRS
3(R).B15

- the exchange of shares: the acquirer is usually the entity that issues its shares.

In many cases, the acquirer is the combining entity:

HKFRS
3(R).B16

- whose relative size is significantly greater than that of the other combining entity; and

HKFRS
3(R).B17

- that initiated the combination.

22.3.2 Determining the Acquisition Date

When real estate, for example, is purchased, the parties involved would normally sign a sale and purchase agreement with settlement (property transfer and payment) to occur at an identified future date. Similarly, in a business acquisition, there may be a period of time between the parties entering into the transaction and settling the transaction.

HKFRS
3(R).8

The **acquisition date** of a business combination is the date on which the acquirer obtains control of the acquiree. The acquisition date is generally the closing date of the deal; i.e. the date on which the acquirer legally transfers the consideration, acquires the assets and assumes the liabilities of the acquiree. In our real estate purchase example, this is not necessarily the date of signing the sale and purchase agreement but the date control of the property passes to the purchaser (e.g. when title passes to the purchaser).

HKFRS
3(R).9

However, as usual, all facts and circumstances must be considered; it is possible for the acquisition date to be earlier or later than the closing date. For example, a written agreement might provide that the acquirer obtains control of the acquiree on a date before the closing date; in such an instance, the acquisition date would precede the closing date.

HKFRS
3(R).9

Illustrative Example 2

Tonik Limited (Tonik), a listed company, enters into an arrangement on 1 January 20X0 with Gine Limited's (Gine) shareholders to acquire 100% of the share capital of Gine in exchange for HK\$500,000 and 100,000 of Tonik's ordinary shares. Under the terms of the agreement, Gine's shareholders will transfer their shares to Tonik late on 5 January 20X0 (a Friday). Because of the weekend, Tonik will transfer the cash and issue 100,000 shares to Gine's former shareholders in settlement of the arrangement on 8 January 20X0.

In this example, the acquisition date is 5 January 20X0. Once Tonik controls Gine's share capital on 5 January 20X0, Tonik will have the ability to direct Gine's operating and financial activities and consequently, will be exposed to, or have rights to, variable returns from its involvement with Gine and have the ability to affect those returns through its power over it. The acquisition date is not 1 January 20X0 because Tonik does not control Gine at that time even though it has entered into an arrangement.

Key Learning Point

Identifying the correct acquisition date for the business combination is important as measurement of the consideration transferred, assets acquired and liabilities assumed in the business combination is made as of this date. Therefore, misidentifying the acquisition date has the potential to significantly affect the impact of the business combination on the acquirer's financial statements.

22.3.3 Consideration

The consideration transferred in exchange for the acquiree may be in the form of cash, other assets (e.g. land) or equity instruments (e.g. ordinary shares) of the acquirer, by the acquirer assuming liabilities of the acquiree, or a combination thereof. It may be a fixed stated amount and/or a contingent consideration.

With limited exceptions (which are beyond the scope of this chapter), the consideration transferred is measured as the sum of the acquisition-date fair values of:

- assets transferred by the acquirer;
- liabilities incurred by the acquirer to former owners of the acquiree; and
- equity interests (e.g. shares) issued by the acquirer.

HKFRS
3(R).37

HKFRS 13 *Fair Value Measurement* explains how to establish fair value (see Chapter 2).

22.3.3.1 Share Consideration

Shares of the acquirer issued as consideration are measured at their fair value on the acquisition date regardless of when the shares are issued. The fair value of a listed share typically is indicated by its quoted share price.

Apply and Analyse 2

(This is a continuation of Illustrative Example 2 relating to Tonik's acquisition of Gine.)

The fair value of their respective shares (based on share price) is as follows:

	Tonik	Gine
1 January 20X0	HK\$50	HK\$20
5 January 20X0	HK\$55	HK\$23
8 January 20X0	HK\$60	HK\$19

Determine the consideration paid by Tonik for the acquisition of Gine.

Analysis

The consideration transferred in exchange for Gine is HK\$6 million (HK\$55 × 100,000 shares + HK\$500,000 cash). The fair value of Tonik's ordinary shares on the acquisition date is HK\$55 per share as represented by Tonik's share price on the date Tonik gains control of Gine.

The 100,000 ordinary shares of Tonik is an example of consideration in the form of equity interests issued by the acquirer.

In some cases where *only* equity interests are exchanged, the acquisition-date fair value of the acquiree's shares may be determined to be more reliably measurable than the acquirer's shares, for example, if the acquiree is a listed entity and the acquirer is a non-listed private company (e.g. a take-private acquisition). In such cases, the HKFRS requires the equity consideration be valued by reference to the acquisition-date fair value of the acquiree's shares rather than the shares issued by the acquirer.

22.3.3.2 Deferred Consideration

The consideration transferred in exchange for a business combination may be made on deferred terms. That is, control of the business may pass before payment is made. In such cases, the fair value of the consideration will differ from its face value; for example, the fair value of HK\$1 million payable in 12 months is likely to be lower than the fair value of HK\$1 million payable immediately. In accordance with HKFRS 3 (Revised), the amount included as consideration for the purposes of applying the acquisition method of accounting to the business combination is the fair value of the consideration on acquisition date (being less than HK\$1 million).

The unwinding of the discount is a financing cost and not part of the business combination.

Illustrative Example 3

Espresso Limited (Espresso) enters into an arrangement on 1 February 20X0 with Martini Limited's (Martini) shareholders to acquire Martini. Under the terms of the agreement, Martini's shareholders will transfer their shares to Espresso on 15 February 20X0 (the date on which control passes) in exchange for cash of HK\$20 million. The agreement provides that HK\$15 million is payable on settlement and the balance of HK\$5 million a year later on 14 February 20X1.

The relevant discount rate is 10% p.a.

In this example, the consideration transferred is measured to be HK\$19,545,455, not HK\$20 million. This is because the fair value of the deferred consideration of HK\$5 million is its present value of HK\$4,545,455 as Espresso benefits from not having to settle the sum for another 12 months ($\text{HK\$5 million} / (1 + 0.1)$). The unwinding of the discount of HK\$454,545 over the 12 months (to increase the deferred consideration liability to the HK\$5 million payable in 12 months' time) is not part of the business combination transaction and is recognised in profit or loss in accordance with HKFRS 9 (see Chapter 10).

The HK\$15 million payable on settlement is an example of consideration in the form of assets transferred by the acquirer. The HK\$5 million payable in 12 months is an example of consideration in the form of liabilities (i.e. deferred consideration) incurred by the acquirer to former owners of the acquiree.

22.3.3.3 Contingent Consideration

In setting the purchase price of a business acquisition, the parties may agree to a fixed purchase price (e.g. using what is often referred to as a locked box mechanism) or set a preliminary purchase price that is subsequently adjusted using a price adjustment mechanism. The price adjustment mechanism may be by way of price adjustment clauses, such as for net

debt or working capital (i.e. the final purchase price is dependent on the 'completion accounts', being the financial position of the acquiree on an agreed date) or by way of earn-out clauses. Earn-out clauses are treated as contingent consideration in accordance with HKFRS 3 (Revised).

Contingent consideration is usually an obligation of the acquirer to transfer additional assets or equity interests to the former owners of an acquiree as part of the exchange for control of the acquiree if specified future events occur or conditions are met. For example, the amount of consideration could be contingent on future performance (e.g. an additional cash payment to the former shareholders based on post-acquisition revenues or on reaching a specific share price). In this case, payment is made at a later time and is variable depending on the extent to which the performance criteria defined in the purchase agreement are met.

HKFRS
3(R).App A

In some cases, contingent consideration may give the acquirer the right to the return of previously transferred consideration if specified conditions are met.

HKFRS
3(R).App A

In accordance with HKFRS 3 (Revised), the consideration transferred in exchange for the acquiree includes the estimated acquisition date fair value of any contingent consideration. The estimate of fair value reflects the extent to which the contingency is expected to be met based on facts and circumstances available at the acquisition date. The calculation is not updated to reflect the amounts actually paid once the contingency is resolved.

HKFRS
3(R).39

Key Learning Point

The difference between the acquisition-date fair value of contingent consideration and the amounts finally transferred does not form part of the business combination accounting.

Apply and Analyse 3

Gimlet Limited (Gimlet) entered into an arrangement on 1 March 20X0 with Screwdriver Limited's (Screwdriver) shareholders to purchase Screwdriver in exchange for consideration in the form of HK\$10 million cash and 100,000 of Gimlet's ordinary shares. In addition, Gimlet agreed to make a further payment contingent on the performance of Screwdriver in the 12 months after settlement, as follows:

- audited revenues less than HK\$100 million – nil
- audited revenues between HK\$100 million and HK\$200 million – HK\$1 million
- audited revenues between HK\$201 million and HK\$500 million – HK\$3 million

Under the terms of the agreement, settlement occurred on 15 June 20X0 (the date control passes). The fair value of Gimlet's shares on that date was HK\$20 per share. Based on the information available on 15 June 20X0 and after an assessment of probabilities of outcomes, Gimlet determined the fair value of the contingent consideration to be HK\$1.5 million.

On 14 June 20X1, Screwdriver's revenue for the previous 12 months was HK\$315 million.

Calculate the consideration transferred in exchange for Screwdriver.

Apply and Analyse 3 (continued)

Analysis

The consideration transferred in exchange for Screwdriver is HK\$13.5 million. This is calculated as the sum of:

	HK\$m	
Cash consideration	10	
Share consideration	2	(100,000 shares × HK\$20)
Contingent consideration	1.5	(fair value at acquisition date)
	<u>13.5</u>	

22.3.3.4 Acquisition-Related Costs

In the course of effecting a business combination, an acquirer might incur related costs, such as due diligence fees, lawyers' fees, or share issue costs. Acquisition-related costs are the costs an acquirer incurs to effect a business combination and usually occur between the acquirer and a third party who is not the acquiree.

HKFRS
3(R).59

Acquisition-related costs are *not* regarded as part of the consideration transferred in exchange for an entity. Instead, these costs are expensed when incurred except for the costs of issuing debt and equity securities, which are treated in accordance with HKFRS 9 *Financial Instruments* and HKAS 32 *Financial Instruments: Presentation*.

Consequently, acquisition-related costs are not taken into account in the determination of goodwill (or gain from bargain purchase) and, similarly, are excluded from the carrying amount of the 'investment in subsidiary' asset recognised in a parent's separate (unconsolidated) financial statements.

Acquisition-related costs might include:

- finder's fees;
- advisory, legal, accounting, valuation, and other professional or consulting fees;
- general administrative costs, including the costs of maintaining an internal acquisitions department; and
- costs of registering and issuing debt and equity securities.

HKFRS
3(R).59

Apply and Analyse 4

Manhattane Limited (Manhattane) entered into an arrangement with Olde Limited's (Olde) shareholders to acquire Olde in exchange for cash of HK\$12 million.

As part of the acquisition, Manhattane incurred the following costs:

- due diligence fees – HK\$160,000
- fees paid to Value Right Limited, a professional valuation company, for valuing the software owned by Olde – HK\$20,000

Apply and Analyse 4 (continued)

- share issue costs – HK\$5,000
- in-house legal department salaries directly related to the acquisition – HK\$23,000

Calculate the consideration transferred in exchange for Olde.

Analysis

The consideration transferred in exchange for Olde is simply HK\$12 million because acquisition-related costs do not form part of the consideration transferred. Instead, the due diligence fees, valuation fees and salaries are expensed in profit and loss as incurred by Manhattane. The share issue costs are recognised as a deduction from equity as required by HKAS 32 (for example, as a deduction from share capital).

22.3.4 Recognition and Measurement of Identifiable Assets Acquired, Liabilities Assumed and Non-controlling Interest

In a business combination, the acquirer gains control of additional assets and might also assume additional liabilities. The next step in applying the acquisition method is identifying and valuing the identifiable assets and liabilities acquired other than goodwill.

22.3.4.1 Recognition Principle

In applying the acquisition method to a business combination, an acquirer recognises on the acquisition date, separately from goodwill, all:

- identifiable assets (whether tangible or intangible) acquired;
- liabilities assumed; and
- any non-controlling interest in the acquiree.

HKFRS
3(R).10

To qualify for recognition, the assets and liabilities must:

- meet the definition of an asset or liability on the acquisition date; and
- be part of what the acquiree (or its former owners) transfers as part of the business combination rather than the result of separate transactions.

HKFRS
3(R).12

Limited exceptions to this recognition principle apply. (See Section 22.3.4.3.)

A transaction entered into primarily for the benefit of the acquirer or the combined entity after the combination, rather than primarily for the benefit of the acquiree (or its former owners) in exchange for the combination, is likely to be a separate transaction from the business acquisition transaction and, therefore, is accounted for separately. An example is a transaction that remunerates employees of the acquiree for their future services.

HKFRS
3(R).52

The acquired assets and liabilities might be presently recognised or unrecognised in the acquiree's statement of financial position. Recognised identifiable assets typically include cash, inventory, receivables, property, plant and equipment and some intangible assets. Unrecognised identifiable intangible assets may include internally developed brand names and customer lists. Any value attributed in determining the acquisition price to items that do not qualify as assets at the acquisition date or are not separately identifiable is subsumed

HKFRS
3(R).B37–B38

into goodwill. Examples include the value an acquirer may place on an assembled workforce or on potential new contracts.

In many business combinations, the tangible assets acquired will be recognised in the acquiree's statement of financial position. However, as discussed in Chapter 9, HKAS 38 *Intangible Assets* prohibits various intangible assets from being recognised in those financial statements. Despite this, in a business combination, these intangible assets might now be required to be recognised.

Recall from Chapter 9 that an intangible asset is identifiable if it meets either the:

- contractual-legal criterion; or
- separability criterion.

HKFRS 3(R).B31
HKAS 38.12

These intangible assets are separately recognised by the acquirer when acquired in a business combination, whether or not the asset is separately recognised by the acquiree who recognises these assets in accordance with the recognition criteria specified by HKAS 38 (refer Chapter 9). Under HKAS 38, an intangible asset can only be recognised if it is probable that expected future economic benefits that are attributable to the asset will flow to the entity and its cost can be reliably measured. Further, HKAS 38 prohibits the recognition of research costs, internally generated brands, mastheads, publishing titles, customer lists and items similar in substance.

HKAS
38.21, 54, 63

The contractual-legal criterion is met if the acquirer controls assets held under contractual rights (e.g. under a licencing arrangement) or legal rights (e.g. granted by a trademark). The contractual-legal criterion can be met even if the asset is not transferable or separable from the acquiree or from other rights and obligations. For example, an acquirer recognises as separate assets both a technology patent owned by the acquiree and any licence granted over that patent even if the patent and the related licence cannot be subsequently sold independently of each other.

HKFRS
3(R).B32

The separability criterion is met where an acquired intangible asset is capable of being:

- separated or divided from the acquiree; and
- sold, transferred, licensed, rented, or exchanged (either individually or together with a related contract, identifiable asset, or liability).

HKFRS 3(R).B33
HKAS 38.12

For example, a customer relationship may be separable only in conjunction with other assets or liabilities (e.g. a bank loan); the customer relationship can meet the separability criterion to qualify as an identifiable intangible asset. (The definition of an asset must also be met before the relationship is recognised separately in applying the acquisition method: The acquirer would still need to be able to control future economic benefits associated with the relationship.)

HKFRS
3(R).B34

When evaluating separability, an acquirer does not consider its intention to sell, licence, or otherwise exchange the intangible asset but does consider whether there is evidence of exchange transactions for similar assets even if those transactions occur only infrequently.

HKFRS
3(R).B33

Illustrative Example 4

On 6 April 20X0, Safe Bet Limited (Safe Bet) entered into an arrangement to acquire 70% of the share capital of FMT Limited (FMT), a boutique funds management company, for HK\$2 million.

At the acquisition date, the fair value of FMT's assets and liabilities recognised in accordance with HKFRSs were:

	HK\$
Assets	
Property, plant and equipment	883,950
Trade and other receivables	400,050
Cash and cash equivalents	2,550
Total assets	<u>1,286,550</u>
Liabilities	
Trade and other payables	167,700
Provisions	106,500
Total liabilities	<u>274,200</u>

In addition, in accordance with HKAS 38, Safe Bet identified that FMT has a trademark and customer list that FMT does not recognise. Safe Bet has determined the fair value of the trademark as HK\$200,000 and the customer list as HK\$100,000.

In accounting for the business combination, Safe Bet will recognise the various assets and liabilities recognised by FMT prior to the acquisition as well as the trademark and customer lists not previously recognised. The trademark and customer list are separately recognisable identifiable intangible assets as Safe Bet:

- controls the use of the trademark and customer list and is able to use them to generate future economic benefits; that is, the items meet the definition of an asset; and
- can separate and divest the trademark and customer list from FMT. The assets meet the separability criterion and, hence, the assets are 'identifiable' intangible assets. Safe Bet assesses these assets as separable from FMT as, in practice, there is evidence of exchange transactions for such assets; therefore, they are capable of being separated from the business and monetised.

As Safe Bet acquires FMT through the purchase of its share capital, as part of the acquisition Safe Bet will inherit an assembled workforce that runs the funds management business. However, while Safe Bet will be generating future economic benefits from having this workforce in place, an entity does not usually have sufficient control over the expected future economic benefits arising from an assembled workforce for it to meet the definition of a separate intangible asset. Further, as an assembled workforce is a collection of employees rather than an individual employee, the unit 'workforce' does not arise from contractual or legal rights. Also, the workforce is not separable, as it cannot be separately sold apart from the rest of the business. Accordingly, the assembled workforce

Illustrative Example 4 (continued)

is not 'identifiable' and cannot be separately recognised as an asset as part of the business combination. Instead, any value Safe Bet attributes to it in determining the acquisition price of FMT is subsumed into any goodwill recognised on acquisition.

Key Learning Point

In practice, the fact that assets and liabilities are recognised by the acquiree may not mean they should likewise be recognised by the acquirer. For example, the acquiree may prepare financial statements in accordance with different accounting policies or may have recognised the assets or liabilities in error. The acquirer should itself evaluate whether the conditions for recognition, including whether the definition of an asset or liability is met, are met.

22.3.4.2 Measurement Principle

HKFRS
3(R).18

Generally, the identifiable assets acquired and liabilities assumed are measured at their acquisition-date fair values. This enables users of the financial statements to better assess the cash-generating abilities of the identifiable net assets acquired and to hold management accountable for the resources entrusted to it. HKFRS 13 *Fair Value Measurement* specifies how fair value is to be determined (see Chapter 2).

Limited exceptions to this principle apply; see Section 22.3.4.3.

In practice, the carrying amount of various assets and liabilities at the acquisition date is unlikely to be the same as their fair values. For example, the carrying amount of inventory or property measured at cost is unlikely to be the same as its fair value. Similarly, the carrying amounts of receivables or bank loans may differ from their fair values because of different bad debt expectations or movements in market interest rates. However, for the purposes of illustration, this chapter (also Chapter 23) adopts the following simplifications:

- the carrying amount of assets and liabilities at acquisition date can be equal to their fair value; and
- assets and liabilities are measured at fair value, without acknowledgement that an exception from fair value measurement might apply to certain assets and liabilities.

Apply and Analyse 5

(This is a continuation of Illustrative Example 4 relating to Safe Bet's acquisition of FMT.)

On review of FMT's assets and liabilities as at the acquisition date, Safe Bet observed that one of FMT's properties is located in a sought-after location, where market rentals have doubled in the past two years. Safe Bet assesses the fair value of that property to be HK\$600,000 higher than the corresponding amounts recognised by FMT. Safe Bet determines the carrying amounts of all other recognised assets and liabilities of FMT to be equal to their fair values at the acquisition date.

Determine the total amount recognised for the identifiable assets acquired and the liabilities assumed in the business combination transaction.

Apply and Analyse 5 (continued)

Analysis

The total amount recognised for the identifiable assets acquired and the liabilities assumed is HK\$1,912,350. This is determined as the sum of the fair values of the identifiable net assets of FMT, calculated as follows:

	HK\$
Carrying amounts of FMT's recognised assets and liabilities at acquisition date	1,012,350
Adjustment to measure recognised assets and liabilities at fair value	600,000
Fair value of trademark not recognised by FMT	200,000
Fair value of customer list not recognised by FMT	100,000
Total	1,912,350

22.3.4.3 Exceptions to Recognition and Measurement Principle

There are limited exceptions to the requirement to recognise identifiable assets acquired and liabilities assumed in a business combination at their acquisition-date fair values. In most instances, this is because, for various reasons, HKFRS 3 (Revised) requires the measurement in other topic-specific HKFRSs that specify recognition and measurement requirements not necessarily based on fair values to be applied instead.

For the purposes of this module, you will need to understand the:

- recognition exception for contingent liabilities;
- measurement exception for leases in which the acquiree is the lessee; and
- recognition and measurement exception for non-current assets and disposal groups held for sale.

Exhibit 22.4 summarises the exceptions. For the purposes of this module, you do not need to be aware of other exceptions to the general requirement.

22.3.4.4 Measurement of Non-controlling Interest

Exception relates to: HKFRS 3 requirement

Contingent liabilities	In accordance with HKAS 37 <i>Provisions, Contingent Liabilities and Contingent Assets</i>, contingent liabilities are not recognised by an acquiree (see Chapter 15). HKFRS 3 (Revised) requires an acquirer to recognise a contingent liability assumed in a business combination if the contingency is an unrecognised present obligation arising from past events and its fair value can be measured reliably. The contingent liability is measured at its acquisition-date fair value. (Contingent liabilities that relate to possible obligations arising from past events whose existence will be confirmed only by an uncertain future event(s) not wholly within the entity's control are not recognised in a business combination.)
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HKFRS
3(R).22-23

► **EXHIBIT 22.4** Exceptions to the general recognition and/or measurement principle in HKFRS 3 (Revised)

Exception relates to: HKFRS 3 requirement	
HKFRS 3(R).31 Non-current assets and disposal groups held for sale	Measure in accordance with HKFRS 5 <i>Non-current Assets Held for Sale and Discontinued Operations</i> (see Chapter 12).
HKFRS 3(R).28A-28B Leases in which the acquiree is the lessee	Recognise the lease liability and right-of-use asset in accordance with HKFRS 16 <i>Leases</i> . Measure the lease liability at the present value of the remaining lease payments as if the lease were a new lease at the acquisition date. Measure the right-of-use asset at the same amount as the lease liability, adjusted to reflect favourable or unfavourable terms of the lease when compared with market terms (see Chapter 7).

► **EXHIBIT 22.4 (Continued)**

Illustrative Example 5

(This is a continuation of Illustrative Example 4 and Apply and Analyse 5 relating to Safe Bet's acquisition of FMT.)

In a discussion with FMT's legal counsel, Safe Bet is made aware of an existing lawsuit brought against FMT by an ex-employee. Legal counsel advises that FMT was technically in breach of the contract, but based on the extenuating circumstances and case precedent, counsel thinks FMT has a strong defensible position and can win the case. The lawsuit was disclosed as a contingent liability in FMT's latest financial statements.

Safe Bet determines that this contingent liability still exists on the acquisition date. The contingency relates to a present obligation as a result of a past event (entering into the contract) not recognised by FMT as FMT does not consider it probable that an outflow of resources embodying economics benefits will be required to settle the obligation. Safe Bet reliably estimates the fair value of the contingency to be HK\$40,000. Hence, in accordance with HKFRS 3 (Revised), Safe Bet must recognise the contingent liability as part of the identifiable liabilities it assumes in the business combination transaction.

Consequently, Safe Bet recalculates its estimate of the total fair value of the identifiable assets acquired and liabilities assumed in the business combination transaction to HK\$1,872,350, calculated as follows:

	HK\$
Carrying amounts of FMT's recognised assets and liabilities at acquisition date	1,012,350
Adjustment to measure recognised assets and liabilities at fair value	600,000
Fair value of trademark not recognised by FMT	200,000
Fair value of customer list not recognised by FMT	100,000
less: Fair value of contingent liability not recognised by FMT	(40,000)
	<u>1,872,350</u>

Where, despite controlling a subsidiary, a non-controlling interest in that subsidiary exists, the acquirer measures at the acquisition date the non-controlling interest's share of equity at either:

- fair value (the 'full goodwill' method) – this method acknowledges that the combined entity controls 100% of any value attributable to goodwill arising on the business combination; or
- the non-controlling interest's proportionate share in the amount of the acquiree's identifiable assets and liabilities recognised as a result of the business combination (the 'partial goodwill' method) – this method acknowledges only the value the acquirer places on any goodwill attributable to it arising on the business combination.

HKFRS
3(R).19

These two options exist because the accounting standard setters were unable to agree on a single measurement method. How the recognisable value attributable to goodwill is measured under each option is discussed in Section 22.3.5.

The non-controlling interest is the equity in a subsidiary that is not attributable, directly or indirectly, to a parent. Hence, the non-controlling interest's share of equity must entitle the holders to a proportionate share of the subsidiary's net assets in the event of liquidation. The non-controlling interest's proportionate share is determined with reference to its ownership of the share capital of the subsidiary. (Chapter 23 discusses how the non-controlling interest's share of the subsidiary's net assets is subsequently measured.)

HKFRS
3(R).19

The fair value of the non-controlling interest share of equity is determined in accordance with HKFRS 13. This may not be calculated as the number of shares acquired multiplied by the acquisition-date share price nor be equal to the non-controlling interest's proportionate share of the acquisition-date fair values of the identifiable assets and liabilities of the acquiree because, for example, the fair value attributable to the non-controlling interest may include a discount for the lack of control.

HKFRS
3(R).B44–B45

HKFRS
3(R).19

An acquirer makes this decision on an acquisition-by-acquisition basis. The measurement of non-controlling interest will impact the amount of goodwill or gain from bargain purchase recognised relating to the business combination transaction as illustrated in Section 22.3.5.1.

Apply and Analyse 6

(This is a continuation of Illustrative Example 4 and 5, and Apply and Analyse 5 relating to Safe Bet's acquisition of FMT.)

Safe Bet acquired 70% of the share capital of FMT. Determine the non-controlling interest in FMT at acquisition date if Safe Bet's accounting policy is to measure the non-controlling interest as the proportionate share of the recognised amount of identifiable net assets of FMT at the acquisition date.

Analysis

The non-controlling interest in FMT is the 30% interest that is not held by Safe Bet. The non-controlling interest share of FMT's identifiable net assets recognised as a result of the business combination is measured as HK\$561,705, calculated as 30% (the proportionate share) of the amount recognised for FMT's identifiable net assets (HK\$1,872,350). (See Illustrative Example 5 in Section 22.3.4.3.)

This amount coincides with the non-controlling interest share of FMT's equity at acquisition (this is discussed further in Chapter 23).

22.3.5 Recognition and Measurement of Any Goodwill or Gain from a Bargain Purchase

The final step in applying the acquisition method of accounting for business combinations is to recognise and measure any goodwill or gain from a bargain purchase arising in the business combination. The recognition and measurement of goodwill or gain from a bargain purchase occurs at the acquisition date.

22.3.5.1 Measurement of Goodwill

HKFRS
3(R).App A

Goodwill is an asset representing the future economic benefits arising from other assets acquired in a business combination not individually identified and separately recognised. The amount of goodwill reflects the premium the acquirer places on both the pre-existing goodwill that was either internally generated by the acquiree or acquired by it in prior business combinations and on the synergies it expects to obtain from combining the entities. In due course, with the benefit of hindsight, it might be found to reflect the acquirer paying too much for the business, which might ultimately be accounted for by impairing the goodwill (see Chapter 11).

The amount of goodwill is calculated as a residual component of the acquisition price. It is measured as the excess of the fair value of consideration transferred (Section 22.3.3) plus the amount recognised as the non-controlling interest (Section 22.3.4.4) plus the fair value of any previously held equity interest in the acquiree (if it is a step-acquisition, which is outside the scope of this module), over the amount recognised for the identifiable net assets of the acquiree as at the acquisition date (Sections 22.3.4.1–22.3.4.3).

HKFRS
3(R).32

Recall that an acquirer has the option of measuring the non-controlling interest at acquisition date at fair value or at the proportionate share of the acquiree's identifiable net assets (see Section 22.3.4.4). The effect of measuring the non-controlling interest as the proportionate share of the acquiree's identifiable net assets is that only goodwill related to the acquirer is reflected in the financial statements of the group (hence, the reference to this measurement method as the 'partial goodwill' method). The effect of measuring the non-controlling interest at fair value is that the acquirer's goodwill and the goodwill the NCI attributes to its share of the acquiree is reflected in the financial statements of the group.

Illustrative Example 6

(This is a continuation of Illustrative Example 4 and 5, and Apply and Analyse 5 and 6 relating to Safe Bet's acquisition of FMT.)

Safe Bet determines the fair value of the non-controlling interest in FMT is HK\$590,000. Safe Bet analyses the impact of the measurement model adopted for the non-controlling interest on the goodwill arising in its acquisition of FMT as follows:

Goodwill on acquisition of FMT	'Partial goodwill' method (NCI as proportionate share of net assets) HK\$	'Full goodwill' method (NCI at fair value) HK\$
Consideration transferred	2,000,000	2,000,000
Non-controlling interest	561,705	590,000

Illustrative Example 6 (continued)

Goodwill on acquisition of FMT	'Partial goodwill' method (NCI as proportionate share of net assets) HK\$	'Full goodwill' method (NCI at fair value) HK\$
Less: Amount recognised for identifiable net assets at acquisition date	(1,872,350)	(1,872,350)
Goodwill on acquisition of FMT	689,355	717,650

The goodwill arising in the acquisition if Safe Bet were to measure the non-controlling interest (NCI) using the 'partial goodwill' method is HK\$28,295 lower than that measured under the 'full goodwill' method. The difference represents the amount of goodwill that the non-controlling interest is prepared to pay to purchase the business.

22.3.5.2 Measurement of Gain from Bargain Purchase

In some instances, the amount recognised for the identifiable net assets at acquisition will exceed the aggregate of consideration transferred and the amount attributable to the non-controlling interest (e.g. perhaps in a forced sale). These business combinations are known as bargain purchases.

In such cases, the acquirer must:

- first, reassess whether it has correctly identified all of the assets acquired and all of the liabilities assumed in the business combination transaction;
- next, review the procedures used to measure the amounts in the goodwill calculation to ensure that the measurements appropriately reflect all available information as at the acquisition date; and
- then recognise any resulting gain in profit or loss on the acquisition date, attributing the gain to the acquirer.

HKFRS
3(R).34–36

These steps are necessary because in most cases businesses are not expected to be sold for less than their fair value. For example, if Safe Bet paid consideration of HK\$1,100,000 (instead of HK\$2,000,000) to acquire FMT, it would need to (1) consider whether it has correctly identified all identifiable assets acquired or liabilities assumed, and (2) consider whether the measurements appropriately reflect all available information. Only after it has taken these actions can it recognise a gain on bargain purchase.

Apply and Analyse 7

Calculate the goodwill or gain on bargain purchase on Safe Bet's acquisition of FMT if all facts remain the same as in earlier Illustrative Examples and Apply and Analyse exercises, but Safe Bet pays consideration of HK\$1.1 million instead of HK\$2 million because FMT's owners are keen to quickly sell the business and are prepared to accept a cash price below the business's fair value and cannot attract any other buyers in the current economic environment.

Apply and Analyse 7 (continued)

Analysis

In applying the acquisition method of accounting to its acquisition of FMT, Safe Bet determines that a gain was on bargain purchase irrespective of the method used to measure non-controlling interest:

Goodwill/bargain purchase on acquisition of FMT	'Partial goodwill' method (NCI as proportionate share of net assets)	'Full goodwill' method (NCI at fair value)
	HK\$	HK\$
Consideration transferred	1,100,000	1,100,000
Non-controlling interest	561,705	590,000
Less: Amount recognised for identifiable net assets at acquisition date	(1,872,350)	(1,872,350)
Goodwill/(gain on bargain purchase) on acquisition	(210,645)	(182,350)

Because there is a prima facie gain on bargain purchase, Safe Bet reassess the transaction and determines that:

- it has not missed recognising any assets or liabilities; and
- the measurements of the net assets acquired appropriately reflect all available information.

Accordingly, on acquisition, Safe Bet recognises in profit or loss a gain on bargain purchase for the amount calculated (HK\$210,645 or HK\$182,350, depending on its accounting policy for the measurement of non-controlling interest).

Ethics in Practice

In many business acquisitions, intangible assets will often have not yet been recognized, in other words that intangible something that the acquirer is prepared to pay for 'on top of' the net tangible asset value. There may be an attraction for entities to wrap the excess of consideration over the value attributed to the net tangible assets acquired into the unspecified premium labelled goodwill as this is so much 'simpler' than making the effort to separately identify and measure all the identifiable intangible assets acquired.

However, entities must consider the requirements of HKFRS 3 (Revised) in determining the assets to be recognised and attribute measurement to each asset commensurate with its nature. For example, the nature of goodwill is a *residual* of the consideration transferred that cannot be viably associated with another separately recognisable asset acquired.

Ethics in Practice (*continued*)

Failing to conduct this exercise could lead entities to mispresent the effects of the business combination on the financial position and results of the acquirer. Consider, if additional intangible assets were recognised, the fair value attributed to these assets might exceed that excess that would have otherwise been determined; that is, rather than goodwill, the acquirer recognises more intangible assets *and* a gain on bargain purchase. Consider also the subsequent accounting and impairment provisions that apply to goodwill compared to other intangible assets and the possible longer-term impacts of a failure to adequately recognise all the identifiable intangible assets acquired in the business combination.

► Knowledge Check Questions

Question 5

On 15 March 20X0, Omega Limited (Omega), a listed entity, entered into an arrangement with Peyton Limited's (Peyton) shareholders to acquire 90% of Peyton's ordinary share capital on 30 September 20X0 in exchange for consideration in the form of HK\$2 million cash and 15,000 of Omega's ordinary shares. In addition, Omega agreed to make a further payment of HK\$3 million cash contingent on securing regulatory approval for a new drug Peyton was developing within the next 24 months.

At the acquisition date, the carrying amount of Peyton's recognised net assets was HK\$4,161,800.

The following other information is available:

- The fair value of Omega's shares (based on the share price on 15 March 20X0) was HK\$20 per share.
- The fair value of Omega's shares (based on the share price on 30 September 20X0) was HK\$18 per share.
- The fair value of the contingent consideration is HK\$2.5 million.
- Omega incurred due diligence fees of HK\$1 million and professional valuation fees of HK\$80,000 relating to the acquisition.
- Omega's policy is to measure any non-controlling interest as the proportionate share of the amount recognised for the identifiable net assets of the subsidiary at the acquisition date.
- On review of its condition, Omega has determined the fair value of plant and equipment to be HK\$50,000 lower than Peyton's carrying amount. The carrying amounts of Peyton's other assets and liabilities are appropriate for recognition in consolidated financial statements as at the acquisition date.

► **Knowledge Check Questions (*continued*)**

Required

- (a) Identify the acquisition date for the business combination.
- (b) Calculate the total consideration for the business combination.
- (c) Determine the amount recognised in relation to the identifiable net assets acquired.
- (d) Calculate the amount of goodwill or gain on bargain purchase, if any, arising on the transaction.

Question 6

On 1 January 20X0, Hi-Lo Limited (Hi-Lo) acquired a 100% interest in Loud Sound Limited (Loud Sound) for HK\$500,000, payable in two years. The relevant discount rate is 10% p.a. The amount recognised in accordance with HKFRS 3 (Revised) for the identifiable net assets of Loud Sound on 1 January 20X0, being the date of acquisition, is HK\$450,000.

Calculate the amount of goodwill or gain on bargain purchase arising on the acquisition, and explain how the amount recognised, if any, should be initially accounted for.

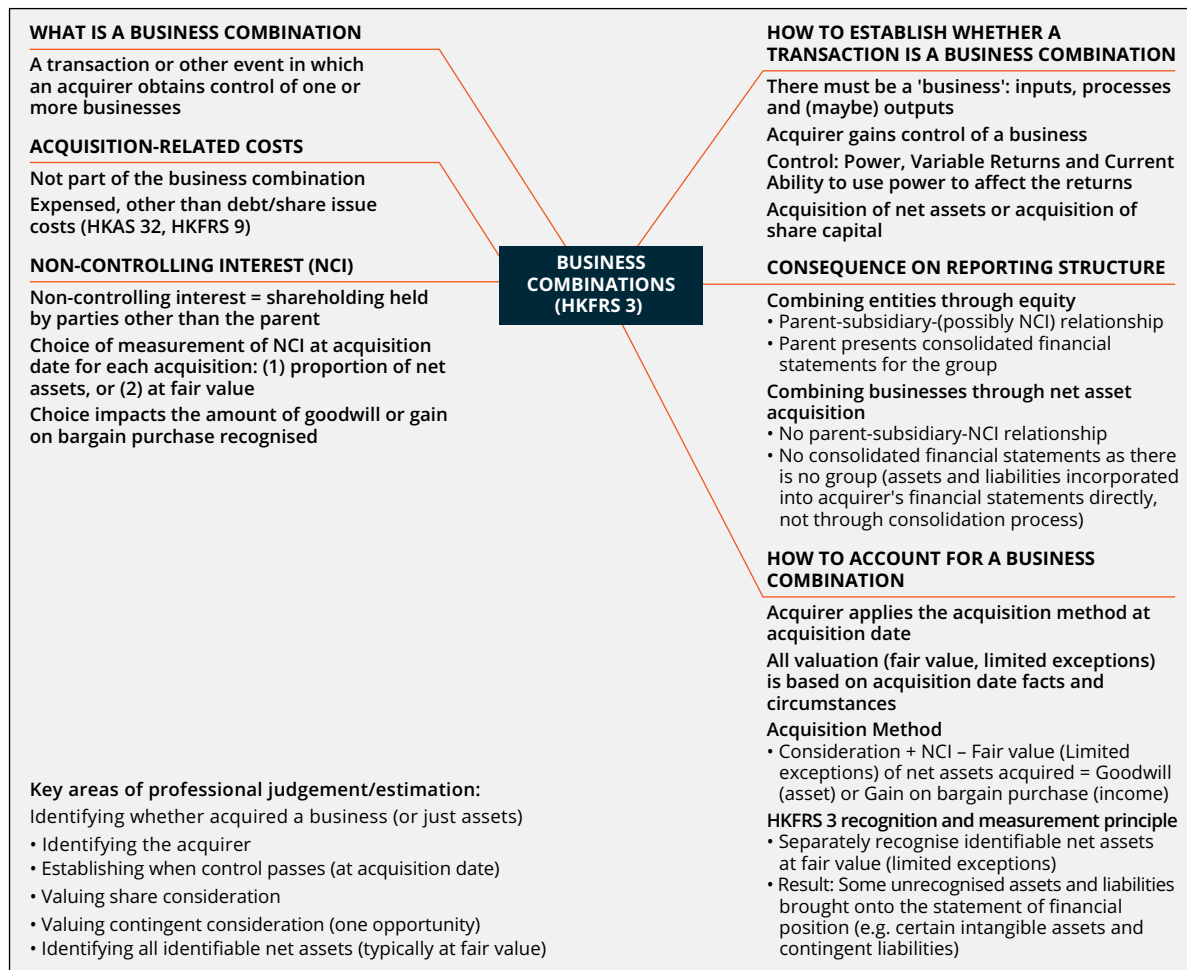


SUMMARY

- A transaction must have the following features for it to be a business combination: a business must be acquired, and the acquirer must control the business after the acquisition.
- A parent (the acquirer) controls another entity (subsidiary or acquiree) or a business (acquiree) when the parent is exposed, or has rights to, variable returns from its involvement with the other entity or business and has the ability to affect those returns through its power over it.
- The acquisition method must be applied to account for a business combination. Applying the acquisition method involves the following steps:
 - identify the acquirer
 - the acquirer is the entity that controls the acquired business following the business combination;
 - determine the acquisition date
 - the acquisition date is the date the acquirer gains control of the acquiree (for example, the date on which the acquirer receives title to share interests in the acquiree);
 - determine the consideration (including any contingent consideration) measured at fair value at the acquisition date
 - acquisition-related costs are not included as part of the accounting for the business combination transaction;
 - recognise and measure the identifiable (tangible and intangible) assets acquired, the liabilities assumed and any non-controlling interest in the acquiree
 - identifiable net assets of the acquiree must be separately recognised and measured at their fair values on the acquisition date, with limited exceptions to these principles, which may result in previously unrecognised assets (e.g. some intangible assets) and liabilities (e.g. contingent liabilities) of the acquiree being recognised
 - any non-controlling interest that is entitled to share in the net assets of the acquiree in the event of liquidation is measured at its fair value on the acquisition date or as a proportionate share in the recognised amounts of the acquiree's identifiable net assets, a choice made on a business-combination-by-business-combination basis; and
 - recognise and measure goodwill or a gain from a bargain purchase
 - goodwill is an asset representing the future economic benefits arising from other assets, acquired in a business combination, that are not individually identified and separately recognised

- goodwill is measured as the excess of the fair value of consideration plus the amount of the non-controlling interest over the recognised amounts for identifiable net assets of the acquiree on the acquisition date
- after double checking amounts determined in the above steps, an acquirer recognises a gain from bargain purchase in profit or loss when the recognised amount for identifiable net assets of the acquiree exceeds the fair value of consideration plus the amount of the non-controlling interest on the acquisition date.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer B is correct.

I is true. Bravo Limited is a subsidiary of Alpha Limited as Alpha Limited controls Bravo through its ownership interest in Bravo.

II is incorrect. Alpha Limited is the parent. The non-controlling interest refers to the 5% shareholding in Bravo Limited not held by Alpha Limited.

III is true. Alpha is the parent of the group that includes Bravo.

IV is incorrect. The parent, Alpha Limited, is the entity required to present consolidated financial statements.

Question 2

Delta has purchased a business in scenarios B and C.

Scenario (a) – Delta has purchased an asset and not a business. This is because a piece of machinery is not in itself an integrated set of activities and assets.

Scenario (b) – Delta has purchased a business. By purchasing the company's net assets and taking over the workforce's employment contracts, Delta acquires operations that are an integrated set of activities and assets capable of being conducted and managed for the purpose of providing a return to Delta.

Scenario (c) – Delta has purchased a business. Lamba is a business as it is operating as a packaging company. By purchasing equity of the company, Delta will indirectly gain control over Lamba Ltd's operations, that is, the integrated set of activities and assets capable of being conducted and managed for the purpose of providing a return to Delta.

Scenario (d) – Delta has not purchased a business. This is because a newly incorporated company is unlikely to have any inputs, processes or outputs and, consequently, does not represent an integrated set of activities and assets currently capable of being conducted and managed for the purpose of providing a return.

Question 3

Candy Limited is exposed to variability in dividend returns from its shareholdings in Sweetie Limited. However, Candy Limited does not have power over Sweetie Limited as it only has existing rights over 40% of the ordinary shares of Sweetie. The potential voting rights in the options are not taken into consideration as they are not a substantive right as the options are so deeply out of the money such that it does not benefit Sweetie Limited to exercise them. Consequently, Candy Limited's existing rights are insufficient to give it the current ability to direct relevant activities of Sweetie Limited in the absence of other facts and circumstances. Accordingly, prima facie, Candy does not control Sweetie following the acquisition transaction.

Question 4

Answer B is correct.

A parent (the acquirer) controls another entity when the parent is exposed to, or has rights to, variable returns from its involvement with the other entity and has the ability to affect those returns through its power over it. One entity has power over another if it has the current (as distinct from future) right to direct the relevant activities of the other entity.

I is incorrect. Company A must have the current (rather than future) ability to direct operations of Company B. In addition, Company A need not have the ability to direct all the operations of Company B but must have the power to direct at least the relevant activities of Company B.

IV is incorrect. Control can be demonstrated through majority ownership interest; however, a majority ownership interest is unnecessary for control to be present.

Question 5

- (a) The acquisition date is 30 September 20X0, being the date on which control of Peyton passes to Omega.



- (b) The total consideration transferred is HK\$4,770,000, calculated as:

	HK\$
Cash consideration	2,000,000
Shares issued (HK\$18 × 15,000)	270,000
Fair value of contingent consideration	2,500,000
	<u>4,770,000</u>

The due diligence fees and valuation fees are acquisition-related costs and, in accordance with HKFRS 3, excluded as part of the consideration.

- (c) The amount recognised in relation to the identifiable net assets acquired is HK\$4,111,800, calculated as:

	HK\$
Recognised identifiable net assets	4,161,800
Less: Adjustment to recognise identifiable net assets at fair value	(50,000)
	<u>4,111,800</u>

- (d) Goodwill of HK\$1,069,380 arises on the transaction, calculated as:

	HK\$
Consideration transferred	4,770,000
Non-controlling interest (10% × 4,111,800 [from c.])	411,180
Less: Fair value of net assets at acquisition date (from c.)	(4,111,800)
Goodwill on acquisition of FMT	<u>1,069,380</u>

Question 6

Hi-Lo recognises a gain from bargain purchase on the acquisition of Loud Sound of HK\$36,777, calculated as:

	HK\$
Consideration (Fair value of deferred consideration = HK\$500,000 / (1 + 0.1) ²)	413,233
Non-controlling interest	-
Less: Fair value of identifiable net assets at acquisition date	(450,000)
Goodwill/(gain from bargain purchase) on acquisition of FMT	<u>(36,777)</u>

A gain from bargain purchase arises as the fair value of identifiable net assets at acquisition date exceeds the fair value of the consideration transferred. In accordance with HKFRS 3 (Revised), the gain from bargain purchase is recognised in profit or loss at the acquisition date.

EXAM PRACTICE

QUESTION 1

On 1 October 20X0, Bear Limited (Bear) agreed to acquire 65% of Dragon's share capital in exchange for consideration in the form of HK\$1 million cash and 15,000 of Bear's ordinary shares. In addition, Bear agreed to make a further payment of HK\$100,000 cash contingent on Dragon meeting an agreed sales target within six months of the acquisition date. The fair value of the contingent consideration is HK\$20,000 at the acquisition date.

Settlement occurred on 15 November 20X0. Bear incurred due diligence fees of HK\$70,000 and professional valuation fees of HK\$50,000 relating to the acquisition and share issue costs of HK\$2,000. The fair value of Bear's shares was HK\$10 on 1 October 20X0 and HK\$12 on 15 November 20X0.

Calculate the consideration transferred by Bear in exchange for Dragon in accordance with HKFRS 3 (Revised) *Business Combinations*. Ignore income taxes.

- A. HK\$1,170,000
- B. HK\$1,200,000
- C. HK\$1,202,000
- D. HK\$1,370,000

QUESTION 2

On 15 August 20X0, Tiger Limited (Tiger) acquired 65% of Rabbit Limited's (Rabbit) share capital in exchange for consideration in the form of HK\$1 million cash and 10,000 of Tiger's ordinary shares. Tiger has HK\$1,000,000 shares on issue. The fair value of Tiger's shares was HK\$9 on 15 August 20X0. The fair value of Rabbit's identifiable net assets is determined to be HK\$1,261,800. The fair values of Rabbit's identifiable net assets at the date of acquisition meet the measurement requirements of HKFRS 3 (Revised).

Tiger's policy is to measure the non-controlling interest at the proportionate share of the recognised amounts of the identifiable net assets of the acquired entity at the acquisition date. Determine the non-controlling interest in Rabbit at the acquisition date in accordance with HKFRS 3 (Revised) *Business Combinations*.

- A. HK\$350,000
- B. HK\$381,500
- C. HK\$441,630
- D. HK\$820,170

QUESTION 3

On 1 September 20X0, Ginger Limited (Ginger) acquired 80% of LiLy Limited's (LiLy) share capital in exchange for consideration in the form of HK\$1 million cash payable in 12 months. The fair value of the deferred payment as at 1 September is HK\$943,396. The fair value of LiLy's identifiable net assets at acquisition date is HK\$1,250,000. The fair values of the assets and liabilities of LiLy at the date of acquisition meet the measurement requirements of HKFRS 3 (Revised) *Business Combinations*.

Ginger measures non-controlling interest at the proportionate share of the recognised amounts of the identifiable net assets of the acquired entity at the acquisition date.

Calculate the goodwill on acquisition, if any, in accordance with HKFRS 3 (Revised).

- A. There is no goodwill on acquisition
- B. HK\$56,604
- C. HK\$250,000
- D. HK\$306,604

QUESTION 4

On 1 September 20X0, Ting Limited (Ting) acquired 49% of the share capital of the listed manufacturing company Cheng Limited (Cheng) for HK\$1.5 million. The remaining 51% is held widely. The carrying amounts of Cheng's net assets recognised in its statement of financial position at this date was HK\$1,315,990.

In addition, Ting has identified the following:

- Cheng's unrecognised customer list. Its fair value is HK\$100,000.
- Ting values potential contracts Cheng is negotiating with prospective new customers at HK\$400,000.
- The carrying amount of Cheng's property, plant and equipment is HK\$1,149,135. However, Ting estimates its fair value to be HK\$1,600,000.

Ting estimates the fair values of Cheng's other recognised net assets to be the same as their carrying amounts. Ignore income taxes.

Required:

- (a) Management of Ting is unsure whether Ting should prepare consolidated financial statements that consolidate its investment in Cheng and has sought your assistance. Advise Ting's management whether Cheng should be consolidated in accordance with HKFRS 10 *Consolidated Financial Statements*. Provide a rationale for your response. (Assume that none of the exceptions from consolidation apply.)
- (b) Assume Ting consolidates Cheng. Justify whether the customer list and Cheng's potential contracts should be separately recognised as part of the identifiable assets acquired in the business combination apart from goodwill.
- (c) Assume Ting consolidates Cheng and Ting measures any non-controlling interest at the proportionate share of the recognised amounts of the identifiable net assets of the acquired entity at the acquisition date. Calculate the goodwill arising in the business combination, if any, in accordance with HKFRS 3 (Revised) *Business Combinations*, and explain what that amount might represent.

QUESTION 5

On 1 June 20X3, Silly Sally Limited (SSL) acquired 80% of the ordinary share capital of Wise Tom Limited (WTL). SSL has the ability to affect the returns of WTL through its power over WTL. The consideration for the transaction was:

- cash consideration of HK\$800,000 at the time of settlement; and
- a further payment of HK\$120,000 if WTL's product sales grow by at least 300,000 units in the 12-month period subsequent to settlement. SSL expects that the growth will likely be achieved if certain promised sales orders are finalised as expected. SSL attributes a fair value of HK\$105,000 to the promised consideration.

WTL's recognised assets and liabilities, as recorded by WTL, as at 1 June 20X3 is shown below:

	HK\$
Assets	
Inventories	885,000
Trade and other receivables	270,500
Cash and cash equivalents	132,800
Total assets	<u>1,288,300</u>
Liabilities	
Bank loan	165,300
Trade and other payables	97,000
Total liabilities	<u>262,300</u>

The fair values of the assets and liabilities of WTL at the date of acquisition by SSL were equal to their carrying amounts. SSL measures at the acquisition date components of non-controlling interests in WTL at fair value of HK\$225,000.

Required:

- Calculate the goodwill or gain on bargain purchase recognised by WTL on 1 June 20X3 in respect of the acquisition of SSL.
- Explain whether your response in a. would change and, if so, determine the extent of the change if SSL incurred legal fees of HK\$45,000 that can be directly attributed to the acquisition.
- By 31 May 20X4, WTL's sales had increased by 360,000 units year-on-year. Identify whether resolution of the uncertainty in the further payment affects the goodwill or gain on bargain purchased initially recognised by SSL.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect. It incorrectly uses the share price at the contract date rather than the acquisition date.

Answer B is correct. This is calculated as:

$$\text{HK\$1 million cash} + (15,000 \text{ shares} \times \text{share price at acquisition date HK\$12}) + \text{fair value of contingent consideration of HK\$20,000} = \text{HK\$1.2 million}$$

Answer C is incorrect. It incorrectly includes the share issue costs (acquisition-related costs) as part of the consideration.

Answer D is incorrect. It incorrectly includes the due diligence and valuer's fees (acquisition-related costs) as part of the consideration. In addition, D includes the full amount of the contingent consideration payable as part of the consideration rather than the fair value of the contingent consideration at the acquisition date.

QUESTION 2

Answer A is incorrect. It incorrectly calculates the non-controlling interest with reference to Rabbit's share capital account ($35\% \times \text{HK\$}1,000,000$).

Answer B is incorrect. It incorrectly calculates the non-controlling interest with reference to the consideration Tiger pays for Rabbit ($35\% \times \text{HK\$}1,090,000$).

Answer C is correct. This is calculated as:

HK\$1,261,800 (the recognised amounts of the identifiable net assets of the acquired entity at the acquisition date)
 $\times 35\%$ (the non-controlling interest) = HK\$441,630

Answer D is incorrect. It incorrectly calculates Tiger's share of the identifiable net assets of Rabbit ($65\% \times \text{HK\$}1,261,800$).

QUESTION 3

Answer A is correct. No goodwill arises on the business combination; instead, a gain occurs on bargain purchase of HK\$56,604. This is calculated as:

	HK\$
Consideration transferred	943,396
Non-controlling interest ($20\% \times 1,250,000$)	250,000
Less: Fair value of net assets at acquisition date	<u>(1,250,000)</u>
Goodwill/ (Gain from bargain purchase) on acquisition of LiLy	<u>(56,604)</u>

Answer B is incorrect. The gain from bargain purchase is misidentified as goodwill.

Answer C is incorrect. It incorrectly includes the discount component of deferred consideration as part of the consideration transferred in applying the acquisition method of accounting.

Answer D is incorrect. It incorrectly calculates the amount of goodwill as the excess of the fair value of net assets at acquisition date over the consideration transferred, ignoring non-controlling interest ($\text{HK\$}1,250,000 - \text{HK\$}943,396$).

QUESTION 4

(a) Ting should prepare consolidated financial statements that consolidate Cheng as Ting has control over Cheng. Ting is able to demonstrate all three features that must be present for control to exist: power over Cheng, the ability to use its power and that its returns are subject to variability dependent on Cheng's performance:

- Ting has power over Cheng and the ability to use that power because its existing 48% interest is sufficient to give it the right and the current ability to unilaterally direct the relevant activities of Cheng as Cheng's relevant activities are directed by a majority vote of the owners. Ting has de facto control over Cheng because,

with the remaining ownership is widely held, it is highly unlikely for the other shareholders holding more than a 50% interest to group together to work against Ting's decision making. Ting only needs slightly more than 2% of the other shareholders to vote similarly to Ting. Ting's rights (ownership interests) are substantive rights as no information suggests Ting might not be able to benefit from these rights; and

- as Ting has acquired an ownership interest in Cheng, Ting's dividend returns are subject to variability dependent on Cheng's performance.
- (b) The acquired customer list is a separately recognisable identifiable intangible asset as Ting:
- through purchase of Cheng, controls the use of the customer list and is able to use it to generate future economic benefits; that is, the items meet the definition of an asset; and
 - can separate and divest the customer list from Cheng ('the separability criterion') and, in practice, evidence exists for exchange transactions for such assets; therefore, they are capable of being separated from the business and monetised. There is no prohibition from Ting doing so as part of the sale arrangement with the company or its former owners.

That is, the conditions for recognition as an identifiable intangible asset separate from goodwill are met.

Cheng's potential customer contracts are not separately recognisable identifiable intangible assets. This is because Ting is unlikely to be said to have sufficient control over the expected future economic benefits arising from those potential contracts as they are yet under negotiation and are, therefore, not 'assets' of Cheng. (Cheng has no contractual or legal right to the economic benefits.) Also, such potential contracts normally cannot be separated and sold, transferred, licensed, rented or exchanged, individually or together, with a related contract, identifiable asset or liability from the rest of the business.

- (c) Goodwill on acquisition of Cheng is HK\$585,241, calculated as:

	HK\$
Consideration transferred	1,500,000
Non-controlling interest (2)	952,096
Less: Fair value of net assets at acquisition date (1)	<u>(1,866,855)</u>
Goodwill on acquisition of Cheng	<u>585,241</u>

Goodwill represents the future economic benefits arising from other assets acquired in a business combination not individually identified and separately recognised. The amount of goodwill includes the premium that Ting places on Cheng's possible new contacts.

1. Fair value of identifiable net assets at acquisition date

	HK\$
Carrying amount of recognised assets and liabilities	1,315,990
Adjustment to reflect recognised assets and liabilities at fair value (HK\$1,600,000 – HK\$1,149,135)	450,865
Fair value of previously unrecognised customer list	100,000
Total	<u>1,866,855</u>

2. Non-controlling interest

HK\$1,866,855 (Recognised amounts of the identifiable net assets of the acquired entity at the acquisition date)
 × 51% (non-controlling interest) = HK\$952,096

QUESTION 5

(a) Goodwill or gain on bargain purchase recognised

	HK\$
Consideration transferred	
Cash	800,000
Contingent consideration (at fair value)	105,000
	<u>905,000</u>
add: Non-controlling interest (at fair value)	225,000
	<u>1,130,000</u>
less: Fair value of net assets at acquisition date (HK\$1,288,300 – HK\$262,300)	(1,026,000)
Goodwill on acquisition of WTL	<u>104,000</u>

- (b) The legal fees incurred do not affect the determination of goodwill. This is because HKFRS 3 (Revised) specifies that acquisition-related costs, such as the legal fees, do not form part of the accounting for the business combination but are instead expensed as incurred.
- (c) The resolution of the uncertainty in the contingent consideration does not affect the determination of goodwill. This is because HKFRS 3 (Revised) treats the resolution of the uncertainty as separate from the accounting for the business combination transaction.

23

Preparation of Consolidated Financial Statements

CHAPTER TOPIC LIST

23.1 Consolidated Financial Statements Overview

23.2 Process of Consolidation for a Wholly Owned Subsidiary

23.2.1 Fair Value Adjustments on Acquisition

23.2.2 Pre-acquisition Equity Elimination Adjustments: Elimination of Parent's Investment in a Subsidiary

23.2.3 Fair Value Adjustments on Acquisition—Impact on Subsequent Reporting Periods

23.2.4 Intra-group Adjustments

23.3 Process of Consolidation with Non-controlling Interests

23.3.1 Adjustments in the Consolidation Process with Non-controlling Interests

23.3.2 NCI Share of Consolidated Equity

23.4 Loss of Control

23.5 Presentation and Disclosure Overview

23.5.1 Presentation of Consolidated Financial Statements

23.5.2 Disclosure of Parent Information in Consolidated Financial Statements

23.5.3 Disclosure of Interests in Other Entities



LEARNING OUTCOMES

PRINCIPAL LO4: APPLY THE ACCOUNTING PRINCIPLES AND CONCEPTS TO PREPARE FINANCIAL STATEMENTS WITH SIMPLE GROUP STRUCTURES

LO4.01: Prepare consolidated financial statements in accordance with Hong Kong Financial Reporting Standards for business combinations

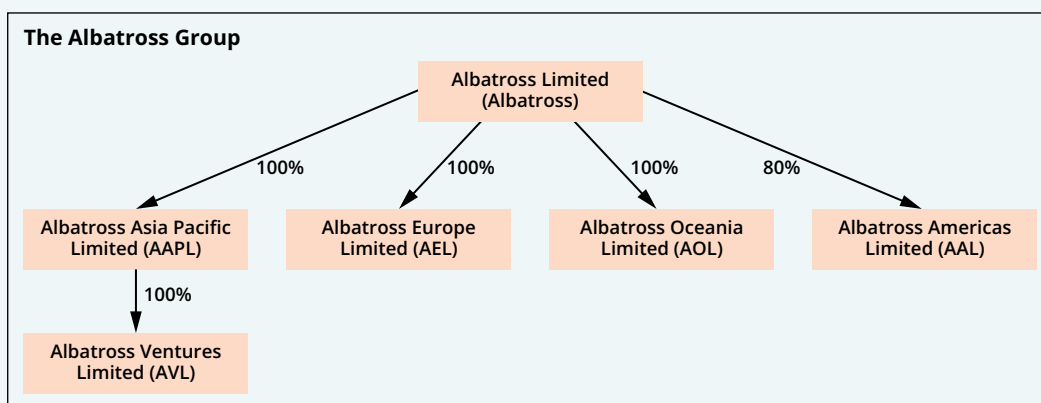
- 4.01.07** Account for the acquisition or disposal of a subsidiary
- 4.01.08** Apply the consolidation procedures and the acquisition method of accounting
- 4.01.09** Explain the adjustments required in the process of consolidation
- 4.01.10** Prepare consolidation adjustments for fair value adjustments, intercompany balances, unrealised intra-group profits/losses and cash-in-transit
- 4.01.11** Prepare the adjustments to the financial statements required in a business combination
- 4.01.12** Prepare simple consolidated statement of financial position and statement of profit or loss and other comprehensive income
- 4.01.13** Prepare the disclosure in respect of consolidated financial statements under the Companies Ordinance and relevant accounting standards

OPENING CASE

THE ABATROSS GROUP

The Albatross Group (Albatross) operates an extensive global logistics network across 600 locations in five continents. The group provides a diverse range of transport and logistics solutions covering road, air, sea and rail to meet global supply chain needs.

As of 30 June 20X1, Albatross's structure includes the following companies, with the indicated proportionate shareholdings:



Albatross is always on the lookout for strategic expansion opportunities. This may involve acquiring existing businesses to enter new geographical markets, eliminating local competition, introducing new service offerings to the group's customers, or improving its back-end operational capabilities. Albatross is mindful that, to remain a market leader, it needs to invest in technology: ensuring its employees have access to appropriate technology platforms making it easier for its people to perform their roles and allowing it to optimise its delivery network and leverage its online and in-store service offerings.

On 1 July 20X1, AVL acquired 100% of Pelican Tech Limited (PTL), a logistics software developer with no subsidiaries of its own for consideration of HK\$750 million. On that date, immediately following the acquisition, information in the company-level statements of financial position of AVL and PTL included the following:

	AVL HK\$m	PTL HK\$m
<i>Assets</i>		
Property, plant and equipment	1,550	500
Investment in Pelican	750	–
Intangible assets	80	100
Inventories	170	50
Receivables	120	80
Cash	60	118
Total assets	2,730	848
<i>Equity</i>		
Share capital	800	200
Retained earnings	816	415
Reserves	282	65
Equity	1,898	680
<i>Liabilities</i>		
Bank loan	800	–
Payables	32	168
Total equity and liabilities	2,730	848

As part of its acquisition date accounting, AVL recognised a fair value adjustment to its plant of HK\$20 million and recognised a previously unrecognised brand name, valued at HK\$35 million. 



OVERVIEW

In Chapter 22, you were introduced to the accounting for merger and acquisition (M&A) activity. In that chapter, you learned about the accounting for business combinations. In this chapter, you will gain an understanding of the ongoing accounting requirements applying to a parent subsequent to a business combination, primarily, the requirement for a parent to present what are referred to as 'consolidated financial statements', which incorporate its subsidiaries.

The preparation of consolidated financial statements can be complex in practice. In this chapter, by reference to Albatross, you will be introduced to the principles underpinning the preparation and presentation of such statements, including understanding the types of transactions for which consolidation adjustments are required. By the end of this chapter, you should be able to prepare a consolidated statement of financial position and a consolidated statement of profit or loss and other comprehensive income for a parent with one subsidiary with straightforward transactions. You will also be able to prepare the disclosures a parent must make in the consolidated financial statements about its interests in subsidiaries.

In practice, the effect of income taxes must be considered in preparing consolidated financial statements. However, consistent with the level at which you are expected to understand the consolidation process and to more clearly illustrate that process, the effect of income taxes has been ignored for the purposes of this chapter.

Also, as highlighted in Chapter 20, no one specific presentation format is prescribed for the financial statements. This chapter adopts presentation formats sufficient to illustrate the concepts discussed in this chapter, which may differ from other chapters in this module and from a specific entity in practice. However, in practice, the face of the consolidated financial statements held out as general purpose financial statements must comply with all the presentation requirements of HKAS 1 *Presentation of Financial Statements* and HKAS 7 *Statement of Cash Flows*, as described in Chapter 20, Chapter 21 and in Section 23.5.1 of this chapter.



23.1 CONSOLIDATED FINANCIAL STATEMENTS OVERVIEW

A business might be structured into separate legal entities perhaps to manage risks by quarantining certain risks in separate limited liability structures. Despite that, HKFRS 10 *Consolidated Financial Statements* requires a **parent** that controls one or more subsidiaries to present '**consolidated financial statements**'. These are the financial statements of a **group**

in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a 'single economic entity'.

The concept of control requires accountants to look through the legal form of a business structure and consider the economic substance. Fundamentally, because a parent controls a **subsidiary**, it effectively controls the underlying assets and assumes the underlying liabilities of that subsidiary. Accordingly, with only limited exceptions, HKFRS 10 requires the parent's consolidated financial statements to recognise the subsidiary's assets and liabilities on a line-by-line basis as if they are the parent's assets and liabilities.

Consolidated financial statements must be prepared from when an entity (parent) gains control of another entity (subsidiary), and consolidation of a subsidiary ceases when the parent loses control of that subsidiary. You may have heard the consolidated financial statements referred to as 'group accounting' or 'the group accounts'.

Why consolidate? Consider the economic flows between a parent and its subsidiaries: for example, net cash inflows to the parent include distributions to the parent from its subsidiaries (e.g. dividends), which themselves are dependent on the subsidiaries' performance. Because consolidated financial statements provide information about the assets, liabilities, equity, income and expenses of the parent and its subsidiaries as a single economic entity, that summarised information provides useful information for existing and potential investors, lenders and other creditors of the parent to assess the parent's prospects for future net cash inflows. Consistent with the focus of a set of consolidated financial statements being the reporting of the performance and financial position of the group to shareholders of the parent and other primary users of its financial statements, HKFRS 10 requires any '**non-controlling interest**' (NCI) in subsidiaries (i.e. equity in the subsidiary not held by the parent) to be presented separately from the equity of the owners of the parent in the consolidated financial statements.

Transactions may occur between entities in a group, for example, intra-group sales and purchases of inventory. In presenting information about the entities as a single economic entity, these transactions must be addressed; otherwise, the financial statements may present misleading information (e.g. double counting) to users. Consolidation procedures (often called 'eliminations') are applied to such transactions to prepare the consolidated financial statements.

The accounting for consolidated financial statements is primarily addressed by the following accounting pronouncements:

- HKFRS 10 *Consolidated Financial Statements* establishes principles for presenting and preparing consolidated financial statements when a parent controls one or more subsidiaries
- HKAS 1 *Presentation of Financial Statements* sets out details of what must be presented on the face of consolidated financial statements and/or in the notes to the financial statements
- HKFRS 12 *Disclosure of Interests in Other Entities* specifies further disclosures about a parent's interests in subsidiaries (and other entities forming part of the group).

Limited exceptions apply to the requirement for a parent to present consolidated financial statements by HKFRS 10 or by section 379(3) of the Hong Kong Companies Ordinance (Cap.622). In HKFRS 10, the exceptions are limited to certain parents that are subsidiaries of a

HKFRS
Conceptual
Framework.
3.15

HKFRS 10.4
Cap.622, s.379(3)

HKFRS
10.4, 4B

higher-level parent that prepares HKFRS-compliant or IFRS-compliant financial statements or a parent that meets the definition of an 'investment entity'. The exceptions are provided regarding the cost-benefits of preparing consolidated financial statements, for example, where useful information about the entity is sufficiently included in another set of consolidated financial statements or another measurement basis provides more useful information. These exceptions are beyond the scope of this chapter, and therefore, the following discussion assumes in all cases line-by-line consolidation is required.

► Knowledge Check Questions

Question 1

Identify which one of the following statements best describes the primary perspective from which general purpose consolidated financial statements are prepared.

- A** Consolidated financial statements are prepared to provide useful information to management about the group's performance and position.
- B** Consolidated financial statements are prepared to provide useful information to existing and potential investors, lenders and other creditors of the parent.
- C** Consolidated financial statements are prepared to provide useful information to existing and potential investors, lenders and other creditors of the NCI in the subsidiaries.
- D** Consolidated financial statements are prepared to provide useful information to existing and potential investors, lenders and other creditors of the parent and NCI in the subsidiaries.



23.2 PROCESS OF CONSOLIDATION FOR A WHOLLY OWNED SUBSIDIARY

A parent begins consolidating a subsidiary from the date the parent obtains control of the subsidiary. The parent's control may be direct (e.g. Albatross's interest in AAPL or AAPL's interest in AVL) or indirect (e.g. Albatross's interest in AVL through AAPL). When consolidating, the starting point is the individual financial statements of the parent and each subsidiary. At its simplest, the consolidation process involves 'adding across line-by-line' the income, expenses, assets, liabilities and equity of all the individual financial statements of the entities in the group except for the parent's asset 'investment in subsidiaries' (so the group does not show an investment in itself) and the subsidiaries' pre-acquisition equity because that arose prior to the group coming into existence. Unfortunately, in many instances, the consolidation process is not this straightforward, as all transactions inconsistent with the notion of the group as a single economic entity must be eliminated, for example, because an entity cannot trade with itself, intra-group sales and purchases (and corresponding impacts on inventory and tax even though tax is being ignored for simplicity in this chapter) must be eliminated when preparing the consolidated financial statements.

In summary, the consolidation process involves:

- adding together like items of assets, liabilities, equity, income, expenses and cash flows of the parent with those of its subsidiaries;
- eliminating the parent's investment in each subsidiary against the pre-acquisition equity of each subsidiary (and where there is a difference between the two, recognising goodwill or gain from bargain purchase); and
- eliminating in full intra-group assets, liabilities, equity, income, expenses and cash flows relating to transactions between group entities (i.e. intra-group transactions).

HKFRS
10.B86

Therefore, the account keeping system needs to capture and retain information about the acquisition and subsequent intra-group transactions and balances.

The second and third bullets above are referred to as 'consolidation adjustments'. These adjustments are usually actioned via a 'consolidation worksheet'. The consolidation worksheet is a means to aggregate the financial results and positions of the entities in the group and to adjust various line items to recognise the results and position as a single economic entity. Consolidation adjustment journal entries are separately recorded and are not posted in any ledger as the group does not itself have accounting records. Although, in theory, the group could maintain its own ledger, in practice, that does not happen as it would be too onerous; it is more efficient to maintain a ledger for each separate legal entity, which is a legal requirement, and periodically to make consolidation adjustments as described in this chapter. Consequently, consolidation adjustment journal entries do not carry forward from period to period and must be re-posted or refreshed as necessary each reporting period.

Exhibit 23.1 illustrates an example of a simple consolidation worksheet and explains how it operates. A similar worksheet would be prepared in relation to the statement of cash flows and statement of changes in equity. The preparation of a consolidated statement of cash flows and statement of changes in equity is beyond the scope of this module although it is worth noting that the same consolidation process applies.

A consolidation worksheet is an accounting tool. Therefore, it is unnecessary for the financial statements included in the worksheet to be presented in accordance with the presentation requirements of HKAS 1.

When preparing the consolidated financial statements and when thinking about any consolidation adjustments that might need to be made, it may be helpful to picture the group as a single company with a number of divisions that transact with one another. Though it is informative to know how each division has performed (including its trade with other divisions) when considering the overall performance of the company, you would want any inter-divisional trade to be 'cancelled out' because this is irrelevant to understanding the overall company picture.

The consolidated results are only useful if like with like is added together. For example, it would be useless to a user of financial statements to have results of differing financial periods added together as this does not give the user a good picture of the group's performance for a particular time period. Similarly, a user is unlikely to find a reported class line item useful if it is comprised of similar items measured differently. Accordingly, so the information presented is

Subsidiary's financial statements as at the date of the worksheet.
A further column is added for each additional subsidiary consolidated

The reference column helps group and identify each adjustment

Parent's financial statements as at the date of the worksheet	Parent Co HK\$m	Sub Co HK\$m	Consolidation adjustments			Consolidated HK\$m	The group's consolidated financial position and performance.
			DR HK\$m	Ref	CR HK\$m		
<i>Statement of financial position</i>							
<u>Assets</u>							
Property, plant and equipment	466.0	800.0	8.30	1		1,349.0	Consolidation 'adjustments' are captured in these columns: to increase/decrease the total amount in the line. For example, the debit adjustment of HK\$83 million may represent a consolidation adjustment necessary to increase the carrying amount of property in Sub Co's financial statements to its fair value at acquisition date.
Investment in subsidiaries	565.0	-		2	565.0	-	
Goodwill	-	-	57.0	2		57.0	
Inventories	85.0	100.0				185.0	
Loans to subsidiaries	220.0	-		3	220	-	
Trade and other receivables	86.0	120.0				206.0	
Cash	275.0	27.0				302.0	
Total assets	1,697.0	1,047.0				2,099.0	
<u>Equity</u>							
Share capital	200.0	100.0	100.0	2		200.0	This could be shown as a single column, as long as positive and negative sums are differentiated. It could also be shown as multiple columns, each representing a separate consolidation adjustment.
Retained earnings	843.0	580.0	285.0	2		1,138.0	
Other reserves	282.0	50.0	40.0	2		292.0	
Business combination reserve			83.0	2, 1	83.0	-	
Total equity	1,325.0	730.0				1,630.0	
<u>Liabilities</u>							
Loan	320.0	220.0	220.0	3		320.0	
Trade payables	52.0	97.0				149.0	
Total equity and liabilities	1,697.0	1,047.0				2,099.0	
<i>Statement of profit or loss and other comprehensive income</i>							
Revenues	396.0	205.0				601.0	Adding across, including any adjustments, gives the consolidated total. For example, the consolidated interest income is HK\$4 million, calculated as the interest income reported by Parent Co of HK\$52 million less the HK\$48 million of interest related to its loan to Sub Co.
Interest income	52.0	-	48.0	3		4.0	
Dividend income	60.0	-				60.0	
Gain on sale of non-current asset	2.0	-				2.0	
Cost of sales	(347.0)	(75.0)				(422.0)	
Depreciation expense	(50.0)	(62.0)				(112.0)	
Interest expense	(4.0)	(48.0)		3	48.0	(4.0)	
Other expenses	(5.0)	(8.0)				(13.0)	
Profit for the year	104.0	12.0				116.0	
Other comprehensive income	-	-				-	
Total comprehensive income	104.0	12.0				116.0	

Consolidation 'adjustments' are captured in these columns: to increase/decrease the total amount in the line. For example, the debit adjustment of HK\$83 million may represent a consolidation adjustment necessary to increase the carrying amount of property in Sub Co's financial statements to its fair value at acquisition date.

This could be shown as a single column, as long as positive and negative sums are differentiated. It could also be shown as multiple columns, each representing a separate consolidation adjustment.

Adding across, including any adjustments, gives the consolidated total. For example, the consolidated interest income is HK\$4 million, calculated as the interest income reported by Parent Co of HK\$52 million less the HK\$48 million of interest related to its loan to Sub Co.

► EXHIBIT 23.1 Example of a consolidation worksheet

not misleading, when preparing consolidated financial statements, the financial statements of the entities being consolidated should all reflect the same:

- reporting date. Where a subsidiary has a different reporting date to the parent, it must provide the parent with additional financial information to enable the parent to prepare consolidated financial statements as of the same date and for the same period. Where it would be impracticable to align reporting dates, HKFRS 10 allows the subsidiary's reporting date to differ from the parent's, but by no more than three months, and the length of the reporting periods and any differences between the dates must be consistent from period to period. In some jurisdictions, there may be a legal requirement for a subsidiary to align its reporting date with its parent. For example, s.367(4) of the Hong Kong Companies Ordinance (Cap.622) requires the financial year of each subsidiary to be the same as the parent's financial year unless the directors of the parent have good reasons against those financial years coinciding with each other; and
- accounting policies. Where a subsidiary uses different accounting policies from the group in its own financial statements, adjustments must be made as part of the consolidation process so the consolidated financial statements reflect uniform accounting policies. For example, if Sub Co in Exhibit 23.1 measures land on the cost basis in its own financial statements when the group's policy is to measure all land at fair value, a consolidation adjustment is necessary to reflect Sub Co's land at fair value. In this chapter, we have assumed all entities in the group employ consistent accounting policies; however, you should be aware that consolidation adjustments may be necessary in this regard in practice.

HKFRS
10.B92-B93

HKFRS
10.19, B87

In the remainder of this section, we will consider common consolidation adjustments.

23.2.1 Fair Value Adjustments on Acquisition

Recall from Chapter 22 that when applying the acquisition method to account for a business combination, HKFRS 3 (Revised) *Business Combinations* specifies how a group is required to measure the subsidiary's identifiable assets and liabilities. In general, the requirement is for fair value measurement although specific exemptions apply (see Section 22.3.4 of Chapter 22). For simplicity, in this chapter, we assume fair value measurement of all acquired identifiable assets and liabilities satisfies the measurement requirements in HKFRS 3 (Revised). These amounts become the initial cost of the assets acquired and liabilities assumed to the group and from which base the group's accounting policies are applied.

Accordingly, when consolidating a subsidiary, the first set of consolidation adjustment entries that need to be made is to record the difference between acquisition-date carrying amounts of assets and liabilities in the subsidiary's financial statements and the carrying amounts required to be adopted in the group's financial statements, by:

- writing back any recorded accumulated depreciation, amortisation, or allowance for impairment; and
- restating the asset/liability to its fair value (including for any newly recognisable identifiable assets and liabilities).

Although this adjustment can be actioned in different ways, this chapter illustrates it by setting up a temporary account in the worksheet, for example, a 'business combinations reserve'. (A more descriptive name for the temporary account could be 'business combinations valuation adjustment account'. The adjustment could also be made directly against the subsidiary's existing 'reserves' line item without setting up a distinct temporary account; the key requirement is that the adjustment is recorded through equity, as it is, in substance, part of the value of the subsidiary being acquired.)

For example, the following consolidation adjustment journal entries might be recorded as of the date of acquisition, for a plant costing HK\$110,000 with related accumulated depreciation of HK\$30,000 and a fair value of HK\$100,000 on acquisition:

1. Reset accumulated depreciation to nil before restating plant to cost of acquisition

	Debit	Credit
	HK\$	HK\$
Accumulated depreciation – plant	30,000	
Plant		30,000

The debit to accumulated depreciation resets depreciation associated with the plant to nil at acquisition, which is consistent with bringing the plant into the group's accounts at its fair value.

2. Record any increase/decrease to initially recognise the asset at fair value

A further debit is necessary to the plant to increase its (restated) gross carrying amount of HK\$80,000 to its fair value on acquisition.

	Debit	Credit
	HK\$	HK\$
Plant (HK\$100,000 – HK\$80,000)	20,000	
Business combinations reserve		20,000

For the purposes of this module, the detail of the consolidation worksheets is limited to the level of the line items shown on the face of the financial statements (i.e. assets and liabilities are shown at their net carrying amounts). That is, rather than the two pro forma journal entries illustrated above, the adjusting entry recorded in the consolidation worksheet is shown as:

	Debit	Credit
	HK\$	HK\$
Plant (net carrying amount)	20,000	
Business combinations reserve		20,000

In practice, this adjusting entry is likely to be actioned as part of the pre-acquisition elimination entry (and indeed might be combined with it) covered in the next section. Consider why after reading the next section and by reflecting on the accounting for a business combination (see Chapter 22).

Illustrative Example 1

On 1 July 20X1, Albatross Ventures Limited (AVL) acquired 100% of the share capital of Pelican Tech Limited (PTL) for consideration of HK\$750 million. The carrying amounts of PTL's identifiable net assets on that date were equal to their fair values except for a fair value increase of HK\$20 million to a plant (cost-based net carrying amount in PTL's financial statements HK\$80 million) and a brand name not previously recognised by PTL of HK\$35 million.

AVL entered the 'pro forma' journal entries presented below the following consolidation worksheet (i.e. journal entries that are not processed in a company's financial records) into that worksheet as of 1 July 20X1 to recognise the fair value adjustments to plant and intangible assets as a first step in consolidating PTL:

	Consolidation adjustments					Consolidated HK\$m
	AVL	PTL	DR	CR		
	HK\$m	HK\$m	HK\$m	Ref	HK\$m	
Statement of Financial Position						
Assets						
Property, plant and equipment	1,550	500	20	1		2,070
Investment in Pelican	750	–				750
Goodwill	–	–				–
Intangible assets	80	100	35	2		215
Inventories	170	50				220
Receivables	120	80				200
Cash	60	118				178
Total assets	2,730	848				3,633
Equity						
Share capital	800	200				1,000
Retained earnings	816	415				1,231
Reserves	282	65				347
Business combination reserve	–	–		1	20	55
				2	35	
Total equity	1,898	680				2,633
Liabilities						
Bank loan	800	–				800
Payables	32	168				200
Total equity and liabilities	2,730	848				3,633

Illustrative Example 1 (continued)

1. *Pro forma journal entry to record the increase to fair value of PTL's plant*

	Debit	Credit
	HK\$m	HK\$m
Property, plant and equipment	20	
Business combinations reserve		20

2. *Pro forma journal entry to record the recognition at fair value of PTL's previously unrecognised intangible assets*

	Debit	Credit
	HK\$m	HK\$m
Intangible assets	35	
Business combinations reserve		35

The effect of the two consolidation adjustments shown in the Illustrative Example is to acknowledge that the carrying amount of the group's assets and liabilities (being the fair value of the group's assets and liabilities) differs from the carrying amounts in the subsidiary's own financial statements. So, given the group's carrying amount differs from the subsidiary's carrying amount, what is the related implication for the subsequent consolidated financial statements? We will discuss this further in Section 23.2.3.

23.2.2 Pre-acquisition Equity Elimination Adjustments: Elimination of Parent's Investment in a Subsidiary

The consolidation process requires all transactions inconsistent with the notion of the group as a single economic entity be eliminated. As the group cannot have an investment in itself, this includes eliminating a parent's investment in its subsidiary against the parent's portion (for the purpose of this section, the parent's investment is assumed to be 100%) of the subsidiary's acquisition-date equity (i.e. equity in the subsidiary that arose prior to it being acquired by the parent). In so doing, the group eliminates the share capital, accumulated profits and reserves attributable to the former owners of the subsidiary (the 'pre-acquisition profits') because those amounts relate to periods before the group came into existence, and therefore, it would not be appropriate to include them in the group's financial statements.

The pre-acquisition equity elimination adjustment is usually the second consolidation adjustment entry processed in a consolidation worksheet after any required fair value adjustments. As part of the adjustment, reflect on how goodwill is calculated (review Chapter 22): this pro forma journal entry is also the entry that results in any goodwill arising from the acquisition of a subsidiary into the consolidated financial statements.

In respect to a wholly owned subsidiary, the 'pre-acquisition equity elimination adjustment' is reflected by the following pro forma journal entry made as of the date of acquisition:

DR Share capital (of subsidiary as of acquisition date)	
DR Retained earnings (of subsidiary as of acquisition date)	
DR Reserves (of subsidiary as of acquisition date)	
DR Business combinations reserve (arising from any acquisition date fair value adjustments)	
DR Goodwill ^a	
CR Investment in subsidiary	

^a If the subsidiary were acquired in a bargain purchase transaction, the journal would be to instead CR Gain from Bargain Purchase.

The journal entry above does not include debits and credits to recognise the identifiable assets and liabilities acquired in the business combination because the journal entry is prepared as a consolidation adjustment in the consolidation worksheet; consequently, assets and liabilities of the subsidiary recognised in the subsidiary's financial statements are captured in the consolidation worksheet as part of the column for the subsidiary's financial statements. Therefore, no further adjustment is necessary other than for any fair value adjustments (described in Section 23.2.1). In effect, the pro forma entry replaces the single amount for the parent's 'investment in subsidiary' and the subsidiary's pre-acquisition equity accounts with the assets and liabilities of the subsidiary on a line-by-line basis.

Exhibit 23.2 illustrates, as a continuation of Illustrative Example 1 in Section 23.2.1, the consolidation worksheet as of 1 July 20X1 showing the elimination of AVL's investment in PTL against its portion (100%) of the PTL's acquisition-date equity.

Refs (1) and (2) (not shown) relate to the pro forma journal entries reflecting the fair value increase of plant and the brand name as of acquisition date, illustrated in Section 23.2.1.

Ref (3) relates to the consolidation adjustment journal entry as of acquisition date to eliminate the investment in a subsidiary, which is:

	HK\$m	HK\$m
DR Share capital	200	
DR Retained earnings	415	
DR Reserves	65	
DR Business combinations reserve	55	
DR Goodwill ^a	15	
CR Investment in subsidiary		750

^a Review Chapter 22 if you need to refresh your understanding as to how to calculate this amount.

In effect, this consolidation adjustment ensures the financial position of the group reflects that AVL has purchased identifiable assets and liabilities valued at HK\$735 million for HK\$750 million.

Because the consolidation worksheet 'starts afresh' each time, the pre-acquisition equity elimination adjustment is a consolidation adjustment that must be made *every time* the consolidation worksheet is prepared, even in periods subsequent to the acquisition.

	AVL	PTL	Consolidation adjustments			Consolidated	
	HK\$m	HK\$m	DR HK\$m	Ref	CR HK\$m	HK\$m	
Statement of financial position							
Assets							
Property, plant and equipment	1,550	500	20	1		2,070	The investment in wholly-owned subsidiary is nil in the consolidated financial statements
Investment in Pelican	750	-		3	750	-	
Goodwill	-	-	15	3		15	
Intangible assets	80	100	35	2		215	
Inventories	170	50				220	
Receivables	120	80				200	
Cash	60	118				178	
Total assets	2,730	848				2,898	
Equity							
Share capital	800	200	200	3		800	The equity in the consolidated financial statements immediately after the acquisition of a wholly-owned subsidiary is that of the parent
Retained earnings	816	415	415	3		816	
Reserves	282	65	65	3		282	
Business combination reserve	-	-	20	3,1	20	-	
			35	3,2	35		
Total equity	1,898	680				1,898	
Liabilities							
Bank loan	800	-				800	
Payables	32	168				200	
Total equity and liabilities	2,730	848				2,898	

► EXHIBIT 23.2 Elimination of the investment in a subsidiary (Ref 3)

23.2.3 Fair Value Adjustments on Acquisition–Impact on Subsequent Reporting Periods

The consolidation adjustment discussed in Section 23.2.1 acknowledges that the group's cost of assets and liabilities might be different from the related carrying amounts in the subsidiary's own financial statements. As time passes, because the cost base of the assets subject to fair value adjustments is different between the subsidiary and the group, a further consolidation adjustment will be required to increase or reduce consequential depreciation and amortisation expenses of both the current and prior reporting periods to reflect the expenses of the group. For example, from the AVL group's perspective, the carrying amount of the acquired plant is HK\$100 million even though the same plant is carried at HK\$80 million in PTL's statement of financial position. Accordingly, from the group's perspective, a greater amount of depreciation expense will need to be recognised each period.

Apply and Analyse 1

AVL was preparing its consolidated financial statements for the reporting year ending 30 June 20X2 (i.e. one year after its acquisition of PTL). AVL's and PTL's statements of financial position are presented in the consolidation worksheet below.

AVL determined the brand name recognised in the business combination should be fully amortised over five years and that, consistent with PTL's assessment, the remaining useful life of the plant remeasured on acquisition was four years on 1 July 20X1 and its residual value was nil. Depreciation and amortisation was charged on a straight-line basis.

Prepare the consolidation worksheet to determine the consolidated financial position of the group comprising AVL and PTL for the year ended 30 June 20X2.

Analysis

AVL recorded the following pro forma journal entries in its consolidation worksheet for the reporting year ending 30 June 20X2:

1. *Pro forma journal entry to record the increase to acquisition date fair value of plant*

Particulars	Debit	Credit
	HK\$m	HK\$m
Property, plant and equipment	20	
Business combinations reserve		20

2. *Pro forma journal entry to record recognition of acquisition date fair value of previously unrecognised intangible assets*

Particulars	Debit	Credit
	HK\$m	HK\$m
Intangible assets	35	
Business combinations reserve		35

Apply and Analyse 1 (continued)

3. *Pro forma journal entry to eliminate the investment in PTL and pre-acquisition equity of PTL*

Particulars	Debit	Credit
	HK\$m	HK\$m
Share capital	200	
Retained earnings	415	
Reserves	65	
Business combinations reserve	55	
Goodwill	15	
Investment in subsidiary		750

In addition, AVL prepared pro forma journal entries to record the consolidation adjustment required to reflect the group's higher depreciation and amortisation expenses corresponding to the higher cost to the group of those assets (compared with their carrying amounts in PTL's statement of financial position).

4. *Pro forma journal entry to record additional depreciation expense on plant for the period ending 30 June 20X2*

Particulars	Debit	Credit
	HK\$m	HK\$m
Depreciation expense (HK\$20 million/4 years)	5	
Accumulated depreciation – Property, plant and equipment		5

5. *Pro forma journal entry to record additional amortisation expense on brand name for the period ending 30 June 20X2*

Particulars	Debit	Credit
	HK\$m	HK\$m
Amortisation expense (HK\$35 million/5 years)	7	
Accumulated amortisation – Intangible assets		7

The pro forma journal entries appeared in the 30 June 20X2 consolidation worksheet to determine the consolidated financial position as follows (this consolidation worksheet illustrates the adjustment to accumulated depreciation/amortisation as being made against the related asset line items):

Apply and Analyse 1 (continued)

	Consolidation adjustments					
	AVL	PTL	DR		CR	Consolidated
	HK\$m	HK\$m	HK\$m	Ref	HK\$m	HK\$m
Statement of Financial Position						
Assets						
Property, plant and equipment	1,375	380	20	1,4	5	1,770
Investment in Pelican	750	–		3	750	–
Goodwill	–	–	15	3		15
Intangible assets	78	95	35	2,5	7	201
Inventories	180	110				290
Receivables	124	84				208
Cash	295	256				551
Total assets	2,802	925				3,035
Equity						
Share capital	800	200	200	3		800
Retained earnings	900	470	415	3		943
			5	4		
			7	5		
Reserves	282	65	65	3		282
Business combination reserve	–	–	20	3,1	20	–
			35	3,2	35	
Total equity	1,982	735				2,025
Liabilities						
Bank loan	780	–				780
Payables	40	190				230
Total equity and liabilities	2,802	925				3,035

In working through the exercise, did you observe that the figures in the AVL and PTL columns have now changed since one year ago? These columns capture the financial position (and accumulated performance) of the entities as of 30 June 20X2 (one year after the acquisition). However, AVL continued to process the *same* consolidation adjustment journal entries in relation to the fair value uplift on acquisition (Ref (1) and Ref (2)) and to eliminate its investment in PTL (Ref (3)). Only HK\$415 million of PTL's retained earnings at 30 June 20X2 had been eliminated because any post-acquisition profits (the difference of HK\$55 million) and any post-acquisition movements in reserves (nil in this example) formed part of the consolidated entity's accumulated results.

Because one year has passed, the consolidation worksheet must record the depreciation and amortisation expense incurred by the group in relation to the plant and brand name acquired (Ref (4) and Ref (5)). The pro forma journal entry ensured the group's profit for the period would be reduced in this way, which was captured in the consolidation worksheet for the statement of financial position by a change to the closing retained earnings of the group. (The statement of profit or loss and other comprehensive income has not been shown in the above worksheet although, in practice, it would be.)

23.2.3.1 Sale of Assets Remeasured on Acquisition

As noted earlier, the fair value consolidation adjustment discussed in Section 23.2.1 acknowledges the group's cost of the subsidiary's assets and liabilities differs from the related carrying amounts in the subsidiary's own financial statements. So, if a remeasured asset were sold to a party outside the group, the group's gain or loss on sale would be determined based on the carrying amount of the plant in the consolidated financial statements.

Illustrative Example 2

On 30 June 20X3, PTL sold the plant to a party outside the group for HK\$65 million. As known from the previous exercises, the plant's fair value at acquisition was HK\$100 million (carrying amount in PTL HK\$80 million), and at the time, AVL acquired PTL and had a remaining useful life of four years and nil residual value. Depreciation was charged on a straight-line basis.

AVL was preparing its consolidated financial statements for its reporting year ending 30 June 20X3.

To prepare the consolidation adjustment journal entries required, AVL had to first identify the carrying amount of plant and the gain on sale from the group's perspective. AVL prepared the following summary table to assist it in identifying the amount of the group's gain on sale:

	PTL HK\$m	Group HK\$m	Difference HK\$m
Carrying amount of plant at 1 July 20X1	80,000	100,000	20,000
Depreciation expense	(20,000)	(25,000)	(5,000)
Carrying amount of plant at 30 June 20X2	60,000	75,000	
Depreciation expense	(20,000)	(25,000)	(5,000)
Carrying amount of plant at 30 June 20X3	40,000	50,000	
Consideration for plant	65,000	65,000	
Gain on sale of plant	25,000	15,000	(10,000)

Because the consolidation worksheet 'starts afresh' each time (i.e. re-done, hence keeping last year's consolidation working papers is important), to accurately represent the consolidated financial performance and position of the group for the reporting year ending 30 June 20X3, AVL had to process pro forma journal entries that record, in relation to the plant that is sold, the:

- increase in fair value on acquisition of PTL;
- additional depreciation expense of HK\$5 million for the year ending 30 June 20X2;

Illustrative Example 2 (continued)

- additional depreciation expense of HK\$5 million for the year ending 30 June 20X3; and
- reduction to the gain on sale recognised in PTL's financial statements

Using the information above, AVL recorded the following pro forma journal entries in its consolidation worksheet for the reporting year ending 30 June 20X3:

Pro forma journal entry to record the acquisition date fair value adjustment to plant

Particulars	Debit	Credit
	HK\$m	HK\$m
Property, plant and equipment	20	
Business combinations reserve		20

Pro forma journal entry to record additional depreciation expense for the periods ending 30 June 20X2 and 30 June 20X3

Particulars	Debit	Credit
	HK\$m	HK\$m
Retained earnings	5	
Depreciation expense	5	
Property, plant and equipment (accumulated depreciation)		10

(Part of the debit entry is made to opening retained earnings because one year of the additional depreciation expense is related to a past reporting year. The credit effectively recognises the economic benefits of HK\$10 million of the initial fair value increase of HK\$20 million from the consolidated financial position that had been consumed via depreciation.)

Pro forma journal entry to reduce the gain reported by PTL to the group's gain on sale of plant

Particulars	Debit	Credit
	HK\$m	HK\$m
Gain on sale of plant	10	
Property, plant and equipment		10

(The effect of this entry was to remove the remaining HK\$10 million of the initial fair value increase of HK\$20 million from the consolidated financial position.)

After processing these consolidation adjustment entries, AVL's 30 June 20X3 consolidated financial statements appropriately showed the plant had been sold by the group for a gain of HK\$15 million, depreciation expense of HK\$5 million and no remaining asset balance relating to that plant.

23.2.4 Intra-group Adjustments

As part of the consolidation process, all intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between the parent and its wholly owned subsidiaries (and between wholly owned subsidiaries although that is outside the scope of this chapter) must be eliminated in full as only transactions with external parties are relevant in assessing the performance and position of the group. Transactions between group entities include:

- borrowing and lending activity;
- the sale and purchase of services or inventory;
- the sale and purchase of non-current assets; and
- dividend distributions.

Key to identifying what consolidation adjustment journal entries are necessary is an understanding of the transaction's effect on the group. Consider what has changed as a result of the transaction from the group's perspective. Once this is determined, the adjustments necessary to restate the results to reflect the group's position will be clear.

Each type of transaction will now be discussed in turn.

23.2.4.1 Cash-in-Transit

In some instances, the timing of recording a transaction between group entities may not be equal and opposite due to cash-in-transit. For example, Parent P might have processed a bank transfer to Subsidiary S1 to settle an account payable of HK\$24,000; however, at the reporting date, the funds may have not yet appeared in Subsidiary S1's bank account due to a non-business day or a clearing period. In this case, Parent P's own financial statements will show it no longer controls the cash and has settled the payable, and Subsidiary S1's own financial statements will show it has not yet received the cash and continues to hold a receivable.

However, from the group's perspective, the group still controls the cash even though the cash is currently 'in limbo' because of the way the banking system works. Accordingly, for the purposes of preparing the consolidated financial statements, cash-in-transit between group entities is treated as though it had been received by the recipient at the reporting date; in substance, the cash has not left the group. Equally, it could be treated as though it had never left the sender's control at the reporting date. A consolidation adjustment journal entry will be necessary to reflect this. In the example above, the pro forma journal entry would be:

	HK\$	HK\$
DR Cash	24,000	
CR Receivables		24,000

23.2.4.2 Intra-group Borrowing and Lending

You will often see 'loans from subsidiary' or 'loans to subsidiary' in a set of parent company-level financial statements (and, correspondingly, 'loans to parent' or 'loans from parent' in a set of subsidiary financial statements). Intra-group borrowing and lending activity has many reasons. A parent might be cash heavy or operate a perpetual current account for trade with its subsidiary, or a subsidiary might undertake the treasury function on behalf of the group. In relation to the latter, some groups are structured such that one entity is responsible for obtaining any external borrowings (so, for example, to obtain a better overall interest rate for the group) and that entity then on-lends the borrowed funds to the other group entities.

The effects of intra-group borrowing and lending activity must be eliminated on consolidation because, from the group's perspective, there is no additional asset or liability. Furthermore, the group hasn't earned more interest income or incurred more interest expense.

Eliminating the effect of intra-group borrowing and lending activity involves:

- eliminating the loan receivable against the loan payable at the reporting date;
- eliminating the associated current period interest income against interest expense; and
- eliminating any associated interest receivable against interest payable at the reporting date.

Interest expense and interest income relating to prior periods do not need to be eliminated against each other. Consider why that as the entry would relate to profit and loss of a past period, interest expense and interest income would fully cancel each other out within the line item representing opening retained earnings. That is, the pro forma journal entry, if prepared, would be DR Retained earnings (interest income) CR Retained earnings (interest expense), which is meaningless.

Apply and Analyse 2

On 1 January 20X5, Albatross Limited (Albatross) lent Albatross Asia Pacific Limited (AAPL) HK\$1 million for a period of three years. The interest expense (and interest income) for the period was HK\$100,000. On 30 June 20X6, interest of HK\$20,000 on the loan remained payable for the period.

Explain how the intra-group loan was treated in Albatross's consolidated statement of financial position and statement of profit or loss and other comprehensive income for the financial year ended 30 June 20X6.

Analysis

The effects of the intra-group loan had to be eliminated in full when determining Albatross's consolidated financial position and performance as the loan did not involve a transaction with a party external to the group. To eliminate the effects of the intra-group loan, Albatross recorded all the following consolidation adjustment journal entries in its consolidation worksheet:

Pro forma journal entry to eliminate the loan receivable and loan payable

Particulars	Debit	Credit
	HK\$	HK\$
Loan payable (AAPL)	1,000,000	
Loan receivable (Albatross)		1,000,000

Pro forma journal entry to eliminate interest expense and interest income for the period

Particulars	Debit	Credit
	HK\$	HK\$
Interest income (Albatross)	100,000	
Interest expense (AAPL)		100,000

Apply and Analyse 2 (continued)*Pro forma journal entry to eliminate interest receivable and interest payable*

Particular	Debit	Credit
	HK\$	HK\$
Interest payable (AAPL)	20,000	
Interest receivable (Albatross)		20,000

23.2.4.3 Intra-group Sales and Purchases of Services

A group may engage in activity that involves the supply of services between entities in the group. For example, a parent may charge its subsidiary for management services rendered to the subsidiary by employees of the parent. Similar to intra-group lending and borrowing activity discussed in Section 23.2.4.2, the effects of intra-group sales and purchases of services must be eliminated on consolidation because, from the group's perspective, there is no change in its economic position.

Intra-group sales of services do not give rise to profits from the group's perspective because the income and expense items cancel each other out, and consequently, there is no net impact on the group's profit or loss for the period. However, though net profit is not affected, because the transactions affect different line items in the statement of profit or loss and other comprehensive income, not eliminating the intra-group transaction would result in an overstatement of income and expenses of the consolidated entity, which would provide misleading information to users of the financial statements. Therefore, processing a consolidation adjustment is still necessary.

Eliminating the effects of intra-group sales and purchases of services involves:

- eliminating the associated sale against the purchase of services; and
- eliminating any outstanding associated receivable against the payable.

The elimination of intra-group sales and purchases of services is straightforward: The income and expense line items are eliminated against each other. For example, if Albatross provides management services as part of its ordinary activities to AVL for a fee of HK\$100,000 and AVL will not capitalise them; to eliminate the intra-group sale, Albatross records:

Pro forma journal entry to eliminate the intra-group management services rendered

	Debit	Credit
	HK\$	HK\$
Management fee revenue (Albatross)	100,000	
Management fee expense (AVL)		100,000

Assuming AVL has not yet paid for the services:

Pro forma journal entry to eliminate any outstanding intra-group receivable or payable

	Debit	Credit
	HK\$	HK\$
Management fee payable (AVL)	100,000	
Management fee receivable (Albatross)		100,000

Similar to an intra-group borrowing, because there is no net impact on the retained earnings of the group, it would be inappropriate or unnecessary to make any consolidation adjustment entry for intra-group services in prior reporting periods.

23.2.4.4 Intra-group Sales and Purchases of Inventory

There will often be some level of trade between group entities, whether the supply of services noted in Section 23.2.4.3 above or the sale or purchase of inventories addressed in this section. For example, a group's operations may be structured in a manner that specific separate legal entities within the group take advantage of cheaper labour markets or tax breaks (e.g. through transfer pricing opportunities, or lower tax rate jurisdictions), the output of which may then be sold to other group entities. Indeed, some entities might use transfer pricing to move profits around the entities within a group; consolidation procedures look through these artifices to the economic substance of transactions.

The effects of intra-group sales and purchases of inventory are eliminated on consolidation because, from the group's perspective, there is no change in its economic flows (ignoring any tax implications) until the inventory is on-sold to an external party. There is no change in how much the inventory cost the group to acquire or manufacture that inventory. The group hasn't changed its overall financial position if all the inventory remains on hand at the reporting date. Therefore, the group should not recognise any intra-group gain or loss on the sale of the inventory. For example, if Subsidiary S1 sold inventory to Parent P at a 20% markup on cost and all that inventory remained on hand at the reporting date, not adjusting for the intra-group sale would result in consolidated inventory and profit for the period being inflated by 20%. That gain or loss can be thought of as an 'unrealised' gain or loss to the group.

Even when all the inventory purchased during the period has been on-sold to a party external to the group during the reporting period, an adjustment must be made because the transactions affect different line items in the statement of profit or loss and other comprehensive income; not eliminating the intra-group transaction would result in an overstatement of income and expenses of the consolidated entity, which provides misleading information to users of the consolidated financial statements.

Removing the effects of intra-group sales and purchases of inventory involves:

- eliminating any outstanding associated receivables against payables;
- eliminating associated sales revenue against purchases; and
- eliminating any associated unrealised profit or loss included in the carrying amount of inventory still on hand.

The consolidation adjustment journal entry to eliminate any unrealised profits or losses on the sale restates the carrying amount of inventory back to its pre-sale carrying amount.

Only the portion of the intra-group sale that relates to inventory still on hand is eliminated: Work through an example for yourself to understand why eliminating the portion relating to inventory that has left the group would be inappropriate. (You can also find the answer in the next Illustrative Example.)

Illustrative Example 3

During the year ended 30 June 20X4, Albatross sold inventory for HK\$50,000 to Albatross Oceania Limited (AOL). The carrying amount (cost) of the inventory in Albatross's books immediately prior to the sale was HK\$34,000. All the inventory remained on hand on 30 June 20X4. Albatross had not been paid by AOL for the inventory.

From the group's perspective, if the statements of financial position of the entities were added together, total inventory would be overstated by HK\$16,000 on 30 June 20X4 as it was recorded in AOL's books at HK\$50,000 rather than at the cost to the group of HK\$34,000. Similarly, because the inventory remained on hand at 30 June 20X4, Albatross's profit on the sale of HK\$16,000 (HK\$50,000 – HK\$34,000) was not yet earned (realised) by the group.

To prepare the consolidated financial statements on 30 June 20X4, the following consolidation adjustments had to be made to eliminate the effects of the intra-group sale:

Pro forma journal entry to eliminate the intra-group sale and the unrealised profit or loss

The first journal entry eliminated the intra-group sale. The second journal entry eliminated the unrealised profit on the sale.

	Debit	Credit
	HK\$	HK\$
Sales revenue	50,000	
Cost of Sales		50,000

and

	Debit	Credit
	HK\$	HK\$
Cost of Sales	16,000	
Inventory		16,000

You might be wondering why cost of sales was credited with Albatross' selling price rather than cost price in the first journal entry. The explanation for this adjustment was that the consolidation process was making whatever adjustments were necessary to reflect the group's circumstances, and the second journal entry immediately debited cost of sales to bring the overall cost of sales down to cost price (HK\$34,000). The above two journal entries could have been presented as a single journal entry:

Particulars	Debit	Credit
	HK\$	HK\$
Sales revenue	50,000	
Cost of Sales		34,000
Inventory		16,000

Illustrative Example 3 (continued)

Pro forma journal entry to eliminate the associated receivables and payables

	Debit	Credit
	HK\$	HK\$
Trade payables	50,000	
Trade receivables		50,000

Alternative Scenario 1: All of the Inventory Is On-sold to Parties External to the Group by Reporting Date

What if AOL had on-sold all the inventory by 30 June 20X4? In this case, all the profit on the intra-group sale had been earned. For example, if AOL sold the inventory for HK\$55,000, from the group's perspective, it would have made a profit on the sale of inventory of HK\$21,000 (HK\$55,000 – HK\$34,000). The group profit on sale could be regarded as comprising:

- the markup charged by Albatross to AOL on the cost to Albatross (Albatross profit on the sale of HK\$16,000 (HK\$50,000 – HK\$34,000)); and
- the further markup by AOL from its cost (AOL profit on the sale of HK\$5,000 (HK\$55,000 – HK\$50,000)).

To prepare the consolidated financial statements, the following consolidation adjustment journal entries were made:

Pro forma journal entry to eliminate the intra-group sale

The first journal entry eliminated the intra-group sale and the unrealised profits on that sale. The second journal entry reflected that all the inventory had been on-sold to parties external to the group, and therefore, that profit was now realised from the group's perspective:

	Debit	Credit
	HK\$	HK\$
Sales revenue	50,000	
Cost of Sales		34,000
Inventory		16,000

and

	Debit	Credit
	HK\$	HK\$
Inventory	16,000	
Cost of Sales		16,000

The adjustments appeared in the 30 June 20X4 consolidation worksheet as follows (only the transaction and the relevant line items are illustrated):

Illustrative Example 3 (continued)

	Consolidation adjustments					
	Albatross	AOL	DR	CR	Consolidated	
	HK\$'000	HK\$'000	HK\$'000	Ref	HK\$'000	HK\$'000
<u>Statement of profit or loss</u>						
Sales revenue	50	55	50.0	1		55.0
Cost of Goods Sold	(34)	(50)		1	34.0	(34.0)
				2	16.0	
Profit for the year	16	5				21.0
<u>Statement of financial position</u>						
Inventory	-	-	16.0	2,1	16.0	-
Inventory is nil as all inventory from the intra-group sale has been sold to external parties						

Includes only sales to entities outside the group

COGS reflects cost of inventory to the group (being the original cost of Albatross)

Alternative Scenario 2: Only Part of the Inventory Is On-sold to Parties External to the Group by the Reporting Date

Assume instead that only 40% of the inventory had been on-sold by AOL to parties external to the group for HK\$22,000 by 30 June 20X4.

To prepare the consolidated financial statements on 30 June 20X4, the consolidation adjustment journal entry to eliminate the effects of the intra-group sale had to recognise that 40% of the profits on the intra-group sale had been earned by the group. That is, the group had earned an overall profit of HK\$8,400 on the sale of 40% of the inventory (HK\$22,000 – (40% × HK\$34,000)).

The group profit on sale comprised the mark-up charged by Albatross to AOL on the cost to Albatross and the further mark up by AOL from its cost, which were recognised in their respective financial statements as follows:

Albatross (40% × HK\$16,000)	HK\$6,400
AOL (HK\$22,000 – (40% × HK\$50,000))	HK\$2,000
	<u>HK\$8,400</u>

Because 40% of the inventory had been sold to external parties, that portion of the profit had been realised from the group perspective. Therefore, only the unrealised profit related to the remaining 60% of inventory needed to be eliminated.

Pro forma journal entry to eliminate the intra-group sale and the associated unrealised profit or loss

The first journal entry below eliminated the intra-group sale and the unrealised profits on the sale. The second journal entry reflected that 40% of that inventory had been on-sold to parties external to the group:

Illustrative Example 3 (continued)

	Debit	Credit
	HK\$	HK\$
Sales revenue	50,000	
Cost of Sales		34,000
Inventory		16,000

and

	Debit	Credit
	HK\$	HK\$
Inventory (40% × 16,000)	6,400	
Cost of Sales		6,400

The adjustments appeared in the 30 June 20X4 consolidation worksheet as follows (only the transaction and the relevant line items are illustrated):

	Consolidation adjustments					Consolidated
	Albatross	AOL	DR	CR		
	HK\$'000	HK\$'000	HK\$'000	Ref	HK\$'000	HK\$'000
<i>Statement of profit or loss</i>						
Sales revenue	50	22	50	1		22.0
Cost of Goods Sold	(34)	(20)		1	34.0	(13.6)
				2	6.4	
Profit for the year	16	2				8.4
<i>Statement of financial position</i>						
Inventory	–	30	6.4	2,1	16.0	20.4

Inventory carrying amount appears as though the intra-group sale had not occurred (60% × HK\$34,000)

Includes only sales to entities outside the group

COGS appears as only the external sales (40% × HK\$34,000)

Where inventory purchased in an intra-group transaction remains on hand at the reporting date, consolidation adjustment journal entries are required in both the consolidation worksheet prepared at the end of that reporting period and in the subsequent period's consolidation worksheet. Because consolidation worksheet adjustments are not 'carried forward' as you would do in keeping normal ledger accounts, for inventory sold during the next reporting period, an adjustment is required to the subsequent period's consolidation worksheet to eliminate the effect of any unrealised profit or loss embedded in the inventory balance at the start of the reporting period, and consequently, is included in (opening) retained earnings. Otherwise, the cost of sales during that subsequent period would be over/understated when the inventory is sold. This is actioned by recording an adjustment to cost of sales. (Think about why the inventory account is not adjusted; from the group's perspective, that inventory does not exist at the reporting date.)

In the original scenario in the example above, if all the inventory remained on hand at the reporting date, from a group perspective, Albatross's opening retained earnings in the next period would be overstated by HK\$16,000 and AOL's opening inventory balance would be overstated by the same amount. If a consolidation adjustment is not made to reflect this, when the inventory is sold, part of the profit on the sale would be attributed to the wrong (earlier) period rather than the period in which the profits are earned by the group.

Accordingly, when preparing the consolidated financial statements, the following consolidation adjustment journal entry must be recorded with respect to any inventory purchased in an intra-group transaction held at the start of the reporting period. To illustrate using the facts from the *original* scenario above:

Pro forma journal entry to eliminate the unrealised profit or loss in opening retained earnings

	Debit	Credit
	HK\$	HK\$
Retained earnings	16,000	
Cost of Sales		16,000 ^a

^aUnrealised profit in opening inventory (closing inventory of the previous period).

No further consolidation adjustment journal entries are necessary except where the inventory remains on hand at the reporting date.

23.2.4.5 Intra-group Sales and Purchases of Non-current Assets

The effects of intra-group sales and purchases of non-current assets must also be eliminated on consolidation because, from the group's perspective, no change in its economic flows or balances has occurred (potentially ignoring tax). There is no change in how much it cost the group to acquire or construct the non-current asset. The group hasn't changed its overall financial position or asset ledger if the non-current asset continues to be held by a group entity at the reporting date. Therefore, like with the intra-group sale of inventory, the sale needs to be eliminated, and any unrealised gains or loss on the sale should not be recognised in the consolidated financial statements.

This involves:

- eliminating any receivables against payables relating to the transaction;
- eliminating the sale against the purchase of the non-current asset, including eliminating any unrealised gain or loss on sale of the non-current asset; and
- adjusting depreciation expense and accumulated depreciation to that which would have applied had the intra-group sale not occurred (see Section 23.2.3.1).

However, the accounts referred to in the consolidation adjustment entries will differ from those of an intra-group sale of inventory. Reflect on why this is the case: What accounts would be affected by a sale of a non-current asset versus a sale of inventory? Read on to check how you should answer this question.

Illustrative Example 4

On 1 January 20X1, Albatross sold a machine for HK\$850,000 cash to Albatross Europe Limited (AEL). Albatross had purchased the machine on 1 January 20X0 for HK\$1,000,000. The machine was initially estimated to have a useful life of five years and nil residual value, and these assumptions have not changed. Albatross depreciated the machine on a straight-line basis.

Albatross was preparing its consolidated financial statements for the year ended 30 June 20X2 (i.e. 18 months after Albatross sold the machine to AEL and 30 months after it was originally purchased by Albatross).

To identify the consolidation adjustment journal entries that might be necessary, Albatross prepared the following table:

	Group ^a HK\$	AEL HK\$	Difference HK\$
Carrying amount of the machine at 1 January 20X0	1,000,000	n/a	–
Depreciation expense for 12 months	(200,000)	n/a	–
Carrying amount of the machine at 1 January 20X1 (date of intra-group sale)	800,000	850,000	50,000
Depreciation expense for 6 months	(100,000)	(106,250)	(6,250)
Carrying amount of the machine at 30 June 20X1	700,000	743,750	43,750
Depreciation expense for 12 months	(200,000)	(212,500)	(12,500)
Carrying amount of the machine at 30 June 20X2	500,000	531,250	31,250

^a The machine's cost and related depreciation as though the intra-group sale had not occurred.

From this table, Albatross can identify that, from the group's perspective, on 30 June 20X2:

- the carrying amount of machinery was overstated by HK\$31,250; and
- accumulated depreciation was overstated by HK\$18,750 (HK\$6,250 + HK\$12,500).

Accordingly, Albatross determined that, as part of preparing its consolidated financial statements, it needed to record all of the following consolidation adjustments to remove the effects of the intra-group sale of the machine. Remember: these journal entries could be done in whatever order you would find most logical in unwinding the effect of the intra-group sale to reinstate the numbers to what they would have been had the sale never taken place:

1. *Pro forma journal entry to reinstate accumulated depreciation as of the date of the intra-group sale*

In Section 23.2.3, the illustrative journal entry to eliminate the additional accumulated depreciation relating to the fair value adjustment was shown as a credit to property, plant and equipment rather than to the accumulated depreciation account. For the purposes of illustrating the journal entries relating to an intra-group sale and purchase of a non-current asset, the accumulated

Illustrative Example 4 (continued)

depreciation account be must adjusted. This journal entry reinstates the accumulated depreciation associated with the non-current asset, as if the intra-group sale had not occurred (i.e. the accumulated depreciation recognised prior to the intra-group sale).

	Debit	Credit
	HK\$	HK\$
Property, plant and equipment	200,000	
Accumulated depreciation		200,000

2. *Pro forma journal entry to eliminate the gain on sale*

This journal entry partially restated the cost of the non-current asset to the position prior to the intra-group sale by reversing the gain on sale.

	Debit	Credit
	HK\$	HK\$
Retained Earnings – gain on sale of machine	50,000	
Property, plant and equipment		50,000

Observe that the journal entries in steps 1 and 2 had the effect of eliminating the sale and purchase of the machine from the financial statements. Rather than reverse each entry that was made to record the sale and purchase, respectively, it was enough to record the net adjustments that needed to be made.

3. *Pro forma journal entry to adjust depreciation and accumulated depreciation to amounts as though intra-group sale had not occurred*

This journal entry adjusted the cumulative consolidated depreciation expense to that as if the intra-group sale had not occurred.

Particular	Debit	Credit
	HK\$	HK\$
Accumulated depreciation	18,750	
Depreciation expense		12,500
Retained earnings – depreciation		6,250

Observe that this journal entry reduced the higher depreciation charge of AEL as if the machine had not been sold. An amount equivalent to six months' depreciation was credited against retained earnings as it relates to periods before the current reporting period.

The consolidation worksheet to determine the consolidated financial position recorded the pro forma journal entries above in the following manner (only the transaction and the relevant line items are shown):

Illustrative Example 4 (continued)

	Albatross HK\$	AEL HK\$	Consolidation adjustments			Consolidated HK\$	
			DR HK\$	Ref	CR HK\$		
<i>Statement of financial position</i>							
Retained earnings							
: opening retained earnings	(150,000)	(106,250)	50,000	2,3	6,250	(300,000)	The consolidated retained earnings position includes only accumulated depreciation charges of HK\$500,000, rather than expenses of HK\$468,750, (being accumulated depreciation of HK\$518,750, (200,000 + 106,250 + 212,500) less the gain on intra-group sale of HK\$50,000)
: profit for the year	–	(212,500)		3	12,500	(200,000)	
Property, plant and equipment	–	850,000	200,000	1,2	50,000	1,000,000	Following the consolidation adjustments, the consolidated position reflects the asset balances as though the machine had not been sold to another group entity
Accumulated depreciation	–	(318,750)	18,750	3,1	200,000	(500,000)	
Included in opening retained earnings is prior year depreciation expense of HK\$200,000 + gain on sale of the machine of HK\$50,000		Included in opening retained earnings is prior year depreciation expense of HK\$106,250					

23.2.4.6 Dividend Distributions

Dividends paid or payable from a subsidiary to a parent are eliminated in the same manner as other intra-group transactions and balances. For example, if AAPL were to declare a dividend of HK\$200,000 to Albatross (its sole shareholder), because the dividend (e.g. cash) did not leave the group, the effect of the transaction would have to be eliminated (reversed) when preparing Albatross's consolidated financial statements.

The following pro forma journal entries would be required:

	Debit	Credit
	HK\$	HK\$
Dividend income	200,000	
Retained earnings – dividend		200,000

and

	Debit	Credit
	HK\$	HK\$
Dividend payable	200,000	
Dividend receivable		200,000

Key Learning Point

The consolidation worksheet journals entries adjust the position of the group as though the intra-group transactions had not occurred. (Therefore, it is possible to 'work backwards' to determine the appropriate elimination journal entries to be recorded if the group results and position are known.)

► Knowledge Check Questions

Question 2

Develop a step-by-step checklist of how you would prepare the consolidated financial statements for a group comprised of the parent and a wholly owned subsidiary.

Question 3

Explain why it is necessary to eliminate line items that fully offset against each other in the statement of profit or loss. For example, why is eliminating interest income against interest expense necessary when there is no net impact on the net profit for the period?

Question 4

Parent P has sold inventory that cost it HK\$60,000 to wholly owned Subsidiary S1 at a 20% markup. 25% of that inventory remains on hand at the reporting date. Prepare the consolidation adjustment journal entries required to eliminate this transaction.

Question 5

The consolidation process brings goodwill, where it arises, onto the consolidated financial statements. Explain why this statement is true and prepare an example journal entry to recognise goodwill.

Question 6

Identify which one of the following statements is true about wholly owned subsidiaries.

- A** Dividends paid to shareholders of the parent are eliminated as part of the consolidation process.
- B** Dividends paid to shareholders of the subsidiary are eliminated as part of the consolidation process.
- C** Only transactions occurring in the current reporting period must be adjusted for in the consolidation process.
- D** Only transactions giving rise to an unrealised gain or loss must be adjusted for in the consolidation process.



23.3 PROCESS OF CONSOLIDATION WITH NON-CONTROLLING INTERESTS

In Section 23.2, you gained an understanding of the consolidation process where a subsidiary is wholly owned by its parent. But, in practice, not all subsidiaries will be wholly owned. In this section, you will learn how the existence of non-controlling interests (NCI) affects consolidated financial statements.

As you learned in Chapter 22, NCI refers to the equity in a subsidiary not attributable, directly or indirectly, to a parent. For example, NCI in the Albatross group refers to the 20% interest in Albatross Americas Limited (AAL) not held by Albatross nor any of its other subsidiaries. In consolidated financial statements, NCI is presented as a single line item within equity. It is unnecessary to 'split' this further into equity components such as 'share capital – NCI' and 'retained earnings – NCI'.

The basis underpinning consolidated financial statements is that the parent controls 100% of the assets, liabilities, equity, income and expenses of a subsidiary through its control of the subsidiary, and therefore, 100% of those items (after adjustments) must be recognised in the financial statements reporting on the group's financial position and performance. As the defining feature is control of the subsidiary, it follows that amounts recognised in the consolidated financial statements do not change if the subsidiary is only partly owned by the parent. However, where NCI exists, only the parent's proportionate interest in the assets, liabilities, equity, income and expenses (and therefore, profit or loss) of the partly owned subsidiary should be attributed to owners of the parent. The rest should be attributed to NCI.

Consequently, the process of consolidation becomes more complex because we need to add a further step: attributing consolidated equity between owners of the parent and NCI. This includes attributing to NCI its share of the subsidiary's post-acquisition contribution to consolidated profit or loss (and of each component of other comprehensive income). This step acknowledges that a portion of the net assets of the subsidiary included in the consolidated financial statements is not distributable to owners of the parent although it is still equity (and therefore, not a liability) of the group.

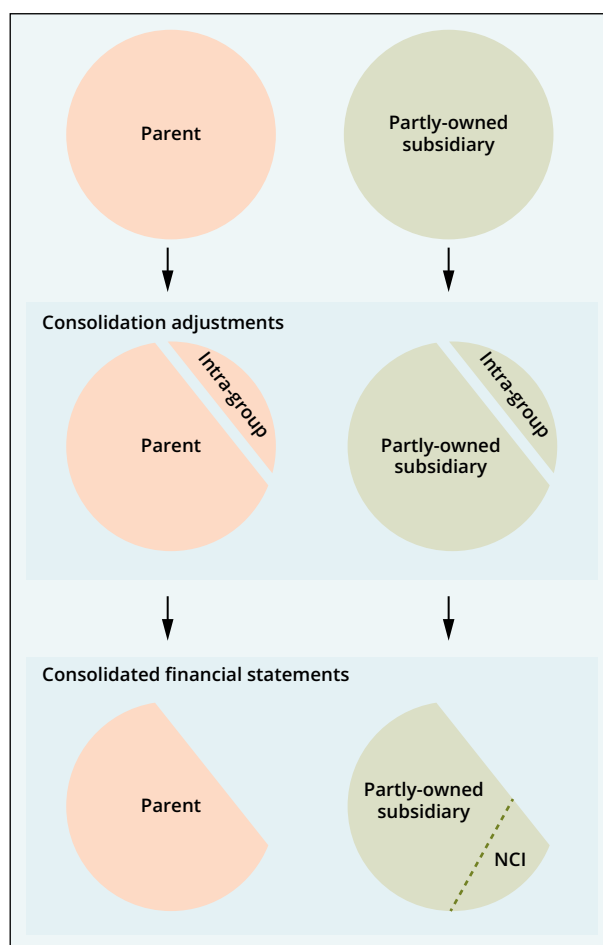
HKFRS
10.22, B94

It may be helpful to think of this step as an action taken for presentation and disclosure purposes.

As illustrated in Exhibit 23.3, NCI's share of equity is based on the proportional balances of the partly owned subsidiary's equity (share capital, retained earnings and reserves) included in the consolidated financial statements, that is, after fully eliminating any intra-group transactions. This is because the HKFRS 10 consolidation principles view the group as a single economic entity rather than adopting a perspective whereby each intra-group transaction is viewed through the lens of 'what proportion belongs to owners of the parent?'.

HKFRS
10.B86(c)

In preparing consolidated financial statements, the parent would determine the consolidated position and results of the group first and then identify the 'slice' attributable to NCI. However, measuring the slice is not as straightforward as suggested by Exhibit 23.3; we will explain this further in Section 23.3.1.3.



► **EXHIBIT 23.3** The NCI's share

23.3.1 Adjustments in the Consolidation Process with Non-controlling Interests

The existence of NCI modifies the consolidation process outlined in Section 23.2 in the following areas:

- the pre-acquisition equity elimination entry;
- the treatment of dividends declared by the subsidiary to its shareholders; and
- the measurement of the subsidiary's post-acquisition contribution to consolidated profit or loss and other comprehensive income.

23.3.1.1 Pre-acquisition Equity Elimination Adjustments

As discussed in Section 23.2, consolidation adjustment journal entries are needed to eliminate the parent's investment in a subsidiary against the parent's portion of the subsidiary's equity as of the acquisition date. However, if that were to be the only entry made, because the parent's interest is less than 100%, there would still be a portion of the subsidiary's acquisition date equity remaining in the consolidation worksheet. A further consolidation adjustment journal entry is required to 'assign' the remainder of the subsidiary's equity at acquisition to NCI – this entry reflects that this part of the pre-acquisition equity of the subsidiary is not equity to owners of the parent.

The following consolidation adjustment journal entries are recorded as of the date of acquisition, assuming goodwill is recognised on consolidation:

Parent interest (PI)

DR Share capital ($PI\% \times \text{subsidiary share capital}$)
DR Retained earnings ($PI\% \times \text{subsidiary retained earnings}$)
DR Other reserves ($PI\% \times \text{subsidiary other reserves}$)
DR Business combinations reserve ($PI\% \times \text{business combinations reserve}$)
DR Goodwill ^a
CR Investment in subsidiary

and

Non-controlling interest (NCI)

DR Share capital ($NCI\% \times \text{subsidiary share capital}$)
DR Retained earnings ($NCI\% \times \text{subsidiary retained earnings}$)
DR Other reserves ($NCI\% \times \text{subsidiary other reserves}$)
DR Business combinations reserve ($NCI\% \times \text{business combinations reserve}$)
DR Goodwill ^a
CR Non-controlling interest (equity)

^a See Section 23.2 for a discussion of the journal entry when there is a gain from bargain purchase.

Alternatively, the consolidation adjustment journal entries above could be presented as a single journal entry:

DR Share capital ($100\% \times \text{subsidiary share capital}$)
DR Retained earnings ($100\% \times \text{subsidiary retained earnings}$)
DR Other reserves ($100\% \times \text{subsidiary other reserves}$)
DR Business combinations reserve ($100\% \times \text{business combinations reserve}$)
DR Goodwill
CR Investment in subsidiary
CR Non-controlling interests (equity)

Apply and Analyse 3

Albatross acquired 80% of the ordinary share capital of Albatross Americas Limited (AAL) for HK\$600 million on 1 July 20X1. On that date, the share capital, retained earnings and reserves of AAL were HK\$100 million, HK\$528 million and HK\$50 million, respectively.

On acquisition, Albatross assessed a building held by AAL to have a fair value of HK\$15 million in excess of AAL's carrying amount of HK\$100 million. Assume the fair values of all other identifiable assets and liabilities on that date were equal to AAL's carrying amounts.

Albatross measured the NCI in AAL at its fair value of HK\$150 million on acquisition date.

Apply and Analyse 3 (continued)

On 1 July 20X1, the financial position of Albatross and AAL was as follows:

	Albatross	AAL
	HK\$m	HK\$m
<i>Assets</i>		
Property, plant and equipment	466.0	800.0
Investment in subsidiaries	1,215.0	–
Goodwill	–	–
Inventories	85.0	100.0
Loans to subsidiaries	220.0	–
Trade and other receivables	86.0	120.0
Cash	275.0	27.0
Total assets	2,347.0	1,047.0
<i>Equity</i>		
Share capital	200.0	100.0
Retained earnings	1,493.0	528.0
Other reserves	282.0	50.0
Business combinations reserve	–	–
Total equity	1,975.0	678.0
<i>Liabilities</i>		
Loan	320.0	220.0
Trade payables	52.0	149.0
Total equity and liabilities	2,347.0	1,047.0

Prepare the consolidation worksheet entries to eliminate Albatross's investment in AAL and to recognise NCI in Albatross's consolidated statement of financial position as of 1 July 20X1 if Albatross were to prepare consolidated financial statements that included only Albatross and AAL on that date.

Analysis

Albatross made the following adjustments in its consolidation worksheet:

1. Fair value adjustments as of the date of acquisition

Albatross recorded the following pro forma journal entry to recognise the net assets acquired in the business combination at the amounts required to be recognised by HKFRS 3 (i.e. to record the fair value adjustment to the building):

	Debit	Credit
	HK\$m	HK\$m
Property, plant and equipment	15	
Business combinations reserve		15

Apply and Analyse 3 (continued)

2. Pre-acquisition equity elimination adjustment

To prepare the pre-acquisition equity elimination adjustment entry, Albatross had to first calculate goodwill on consolidation by applying the HKFRS 3 acquisition method, as follows:

	HK\$m
Consideration transferred	600
<i>add:</i> NCI measured at fair value	150
	750
<i>less:</i> HKFRS 3 recognised amounts of assets and liabilities (HK\$100 million + HK\$528 million + HK\$50 million + HK\$15 million)	(693)
Goodwill on acquisition of AAL	57

(If NCI had been measured as the proportionate share of the net assets of the subsidiary, goodwill on consolidation would have been calculated as HK\$45.6 million (being HK\$600 million + [20% × HK\$693 million] less HK\$693 million) and NCI at HK\$138.6 million (being 20% × HK\$693 million). Review Chapter 22 for an explanation of the differences in the measurements.)

Albatross recorded the following pro forma journal entry to effect the pre-acquisition equity elimination adjustment:

	Debit	Credit
	HK\$m	HK\$m
Share capital	100	
Retained earnings	528	
Reserves	50	
Business combinations reserve	15	
Goodwill	57	
Investment in subsidiaries		600
Non-controlling interest – equity		150

The 1 July 20X1 consolidation worksheet recorded the pro forma journal entries above in the following manner (because this worksheet is only consolidating Albatross and AAL and not the whole Albatross group, there will be a balance remaining in the ‘investment in subsidiaries’ line):

Apply and Analyse 3 (continued)

	Albatross	AAL	Consolidation adjustments			Consolidated	
	HK\$m	HK\$m	DR HK\$m	Ref	CR HK\$m	HK\$m	
<i>Statement of financial position</i>							
<u>Assets</u>							
Property, plant and equipment	466.0	800.0	15.0	1		1,281.0	The investment in partly-owned subsidiary is nil in the consolidated financial statements
Investment in AAL*	600.0	–		2	600.0	–	
Investments in other subsidiaries*	615.0	–				615.0	
Goodwill	–	–	57.0	2		57.0	
Inventories	85.0	100.0				185.0	
Loans to subsidiaries	220.0	–				220.0	
Trade and other receivables	86.0	120.0				206.0	
Cash	275.0	27.0				302.0	
Total assets	2,347.0	1,047.0				2,866.0	
<u>Equity</u>							
Share capital	200.0	100.0	100.0	2		200.0	Equal to equity attributable to owners of the parent
Retained earnings	1,493.0	528.0	528.0	2		1,493.0	
Other reserves	282.0	50.0	50.0	2		282.0	
Business combination reserve	–	–	15.0	2,1	15.0	–	
	1,975.0	678.0				1,975.0	Equity attributable to NCI. On acquisition date, this will be equal to the NCI measured at acquisition date
Non-controlling interest - equity	–	–		2	150.0	150.0	
Total equity	1,975.0	678.0				2,125.0	
<u>Liabilities</u>							
Loan	320.0	220.0				540.0	
Payables	52.0	149.0				201.0	
Total equity and liabilities	2,347.0	1,047.0				2,866.0	

* The investment in AAL is illustrated as a separate line item for the purposes of this exercise.

23.3.1.2 Dividend Distributions

As part of the consolidation process, dividends paid or payable from a subsidiary to a parent are eliminated when preparing the consolidated financial statements because the dividend (e.g. cash) does not leave the group. However, when the subsidiary is partly owned, part of that dividend has left (or will leave, if the dividend remains payable at year end) the group as cash is transferred to NCI. Therefore, only the share of the dividend attributable to the parent (the intra-group portion) needs to be eliminated in preparing the consolidated financial statements.

The following pro forma journal entries would be required:

DR Dividend income (amount recognised by parent)	x,xxx	
CR Retained earnings – dividend		x,xxx

and

DR Dividend payable (Parent entity %)	x,xxx	
CR Dividend receivable (amount recognised by parent)		x,xxx

In addition, within equity, the NCI share of the dividend must be attributed to the NCI. This can be actioned by recording the pro forma journal entry:

DR Non-controlling interests – equity	x,xxx	
CR Retained earnings – dividend (NCI %)		x,xxx

In practice, this journal entry is unlikely to be recorded separately, but instead taken into consideration as part of the adjustment to recognise NCI share of equity (see Section 23.3.2).

Illustrative Example 5

AAL declared a dividend of HK\$10 million to its shareholders during the year ended 30 June 20X3 from post-acquisition profits. 40% of this dividend was paid on 13 June 20X3 and the remaining 60% will be paid on 15 August 20X3.

The dividend was paid to the shareholders of AAL as follows:

	13 June 20X3 HK\$'000	15 August 20X3 HK\$'000	Total HK\$'000
Albatross (80%)	3,200	4,800	8,000
Other shareholders (20%)	800	1,200	2,000
			<u>10,000</u>

In preparing its consolidated financial statements for the year ended 30 June 20X3, Albatross recorded the following consolidation adjustment journal entries:

Particulars	Debit HK\$'000	Credit HK\$'000
Dividend income	8,000	
Retained earnings – dividend		8,000
(To eliminate the intra-group dividend)		

Illustrative Example 5 (continued)

Particulars	Debit	Credit
	HK\$'000	HK\$'000
Dividend payable	4,800	
Dividend receivable		4,800
(To eliminate the intra-group balance)		

particulars	Debit	Credit
	HK\$'000	HK\$'000
Non-controlling interests – equity	2,000	
Retained earnings – dividend		2,000
(To recognise the portion of the dividend attributed to NCI, and therefore, reducing NCI)		

Following these entries, the consolidated financial position of Albatross would reflect:

- dividend income – nil;
- dividend payable – HK\$1.2 million (amounts payable to NCI);
- retained earnings attributable to owners of the parent – increased by HK\$10 million (reflected the reversal of the intra-group dividend and acknowledges that NCI retained earnings has decreased by the amount of the dividend to NCI); and
- NCI – decreased by HK\$2 million (recognised that part of NCI equity has been distributed to NCI)

23.3.1.3 Subsidiary's Post-acquisition Contribution to Consolidated Profit or Loss

From Section 23.2, we understand how intra-group transactions affect the consolidated financial position and profit or loss, and the consolidation adjustments that must be recorded.

The consolidated profit or loss for a reporting period includes a partly owned subsidiary's contribution to that profit or loss. It is necessary to determine the partly owned subsidiary's post-acquisition contribution because:

- HKFRS 10 requires an entity to attribute the profit or loss to owners of the parent and to the NCI; and
- HKAS 1 requires the profit or loss for the period attributable to the NCI to be separately disclosed.

(Similar requirements apply with respect to any other comprehensive income.)

The process of measuring a partly owned subsidiary's contribution to consolidated profit or loss also provides information necessary for determining the NCI's share of consolidated equity.

To the extent there are no intra-group transactions, the measurement of a partly owned subsidiary's post-acquisition contribution to consolidated profit or loss and the NCI's share of it are straightforward. The NCI's share is simply:

$$\text{NCI share of profit or loss} = \text{NCI \%} \times \text{Subsidiary reported profit or loss for the period}$$

However, where there are intra-group transactions between a partly owned subsidiary and other entities in the group, determining the NCI's share of consolidated profit or loss becomes more complicated because the impact of consolidation adjustments on a subsidiary's reported profit or loss must be considered. Unfortunately, HKFRS 10 does not provide specific guidance on the measurement of NCI to make it clear how consolidation adjustments will impact the measurement of a subsidiary's profit or loss for the purposes of determining the attribution.

In practice, the approach commonly adopted, consistent with HKFRS 10, is for a subsidiary's reported profit or loss to only be adjusted for consolidation adjustments that change the consolidated net asset position. That is, though all intra-group transactions and balances continue to be eliminated in full as required by HKFRS 10, consolidation adjustments that:

- change the consolidated net asset position (group equity) are taken into consideration in determining a subsidiary's contribution to the consolidated profit or loss; and
- do not change the consolidated net asset position do not affect the determination of a subsidiary's contribution to the consolidated profit or loss.

Not all consolidation adjustments that change the consolidated net asset position will affect the determination of a subsidiary's contribution to the consolidated profit or loss. The importance of understanding whether the consolidation adjustment arises as a result of an 'upstream' or 'downstream' transaction will be explained later in this section.

Under this approach, intra-group transactions are treated as though they were earned/incurred ('realised') by the subsidiary, as would be the case in the subsidiary's own financial statements. In a subsidiary's own financial statements, it is a separate 'entity' and, consequently, all transactions with other related or unrelated entities are 'realised'. In contrast, as highlighted in Section 23.1, in the consolidated financial statements, a subsidiary's role is a part of a larger 'economic entity'. For example, suppose a subsidiary sold HK\$100 of intra-group management services to its parent and made a net profit on the sale of HK\$20. The subsidiary's contribution to consolidated profit would be determined to include the profit of HK\$20 even though, at the consolidated level, the group recognises nil income and HK\$80 expenses.

Transactions that fully offset within a financial statement (e.g. interest expense/interest income) need to be eliminated as part of the consolidation process so the respective reported totals for those items are not over/understated. This approach recognises that, within that consolidated net asset position, one entity may have added to its net assets while another entity may have been reducing its net assets by an equal amount. However, because the NCI share is an allocation of the consolidated amounts, the calculation must still reflect the effects of consolidation adjustments affecting the consolidated net asset position.

In summary, to the extent there are intra-group transactions, the measurement of the NCI's share of profit or loss is calculated as:

$$\text{NCI share of profit or loss} = \text{NCI \%} \times \text{Subsidiary reported profit or loss for the period, adjusted for consolidation adjustments that affect consolidated net assets}$$

The common consolidation adjustments that affect consolidated net assets include:

- recognition of more/less depreciation related to a fair value adjustment on acquisition;
- elimination of an unrealised gain or loss on intra-group sale of inventory;
- elimination of an unrealised gain or loss on intra-group sale of non-current assets; and
- recognition of more/less depreciation related to the intra-group sale of the non-current asset.

The following sections ('Subsequent Impact of Fair Value Adjustments on Acquisition' through 'Intra-group sale of non-current assets') will discuss each of these adjustments in turn. Review Section 23.2 if you need to refresh your understanding as to how/why net assets are affected and as to the common types of consolidation adjustments that do not affect consolidated net assets.

Intra-group lending and borrowing activity and the intra-group sale and purchase of services would not give rise to a consolidation adjustment that affects consolidated net assets except where, for example, different amounts are recognised by the entities in the statement of profit or loss and other comprehensive income. This chapter assumes the amounts are equal. Accordingly, a partly owned subsidiary's reported profit or loss is not adjusted for any consolidation adjustments in this way.

Subsequent Impact of Fair Value Adjustments on Acquisition

At the time of a business combination, the assets and liabilities of the subsidiary are remeasured to fair values where fair values differ from the carrying amounts recognised by the subsidiary. As the NCI is measured at that time, at its fair value, or by reference to the acquisition-date values of the recognisable net assets of the subsidiary, the NCI's share of equity includes – whether explicitly or implicitly – a share in any fair value adjustment to the carrying amounts of the assets and liabilities of the subsidiary. Hence, the subsidiary's post-acquisition contribution to consolidated profit or loss must include an adjustment for any subsequent addition/reduction in depreciation relating to the fair value adjustments to assets acquired and liabilities assumed on the acquisition of the subsidiary.

Illustrative Example 6

On acquisition of its 80% ownership interest in AAL on 1 July 20X1, Albatross assessed a building held by AAL to have a fair value of HK\$15 million in excess of AAL's carrying amount of HK\$100 million. The building was depreciated by Albatross and AAL on a straight-line basis over its remaining useful life of five years to nil residual value.

Illustrative Example 6 (continued)

Albatross was preparing its consolidated financial statements for the year ended 30 June 20X2 (i.e. one year after the business combination). AAL's net profit for the year as recognised in its own financial statements was HK\$120 million.

The consolidation adjustment to recognise additional depreciation affected consolidated net assets and was fully attributable to the subsidiary. Therefore, to calculate the NCI's share of AAL's profit or loss for the year ended 30 June 20X2, Albatross had to adjust AAL's reported net profit by the consolidation adjustment, as follows:

	HK\$m
AAL's reported profit for the year	120
<i>Reduced by:</i> Additional depreciation expense relating to fair value increase to building on acquisition (HK\$15 million/5 years)	(3)
AAL's contribution to consolidated profit for the year	117
NCI share of AAL's contribution to consolidated profit for the year (20% × HK\$117 million)	23.4

The NCI share of consolidated profit for the year was separately disclosed on the face of the consolidated statement of profit or loss and other comprehensive income (see Section 23.5.1). It was not eliminated from the consolidated profit or loss, and as such, HK\$117 million was recognised in equity. However, within equity this amount had to be split between the share belonging to owners of the parent (80% × HK\$117 million) and the share belonging to NCI (20% × HK\$117 million).

The attribution to the NCI of its share of AAL's contribution to consolidated profit for the year could be depicted in the consolidation worksheet by recording the following pro forma journal entry:

	HK\$m	HK\$m
DR Profit attributable to NCI (p/l)	23.4	
CR Non-controlling interests – equity		23.4

The purpose of this journal entry was to recognise that some of the partly owned subsidiary's contribution to consolidated profit should be captured in equity as part of the 'non-controlling interest' line item rather than within the 'retained earnings' line item.

Unrealised Gain or Loss on Intra-group Sale of Inventory

Up to this point, it has not mattered whether the intra-group transactions between group entities are upstream (sale from subsidiary to parent) or downstream (sale from parent to subsidiary). However, this distinction is important when unrealised gains and losses are involved.

Let's review why this is the case:

Consider the accounting when an entity makes a purchase of inventory for HK\$100:

	Debit	Credit
	HK\$	HK\$
Inventory	100	
Cash		100

Now consider the accounting if the entity instead makes a sale of inventory of HK\$100 (cost to the entity HK\$80):

	Debit	Credit
	HK\$	HK\$
Cash/Trade receivables	100	
Cost of Sales	80	
Inventory		80
Revenue		100

As you can see from the journal entries above, if the subsidiary is the purchasing entity and the parent is the selling entity (a downstream transaction), no profit is earned by the subsidiary. Hence, although there is a consolidation adjustment, it would not be attributed to the subsidiary, and accordingly, does not affect the NCI calculation.

However, if the subsidiary is the selling entity and the parent is the buying entity (an upstream transaction), the subsidiary has made a profit on the sale of HK\$20. Hence, the subsidiary's reported profit must be adjusted for the consolidation adjustment to eliminate the unrealised gain from any of the inventory remaining on hand at the reporting date. It follows that a share of the consolidation adjustment is attributable to the NCI.

This adjustment acknowledges that the period in which profits or losses from the sale of inventory are recognised may be earlier in the subsidiary's own financial statements than in the consolidated financial statements.

Apply and Analyse 4

During the year ended 30 June 20X3 (two years after the business combination), AAL sold inventory to Albatross for HK\$30 million. The inventory was recognised at cost of HK\$18 million in AAL's records immediately prior to sale. All the inventory remained on hand at 30 June 20X3. AAL's profit for the year ended 30 June 20X3 was HK\$152 million.

Calculate the NCI's share of AAL's profit or loss for the year ended 30 June 20X3. For the purposes of this exercise, ignore the further depreciation adjustment required with respect to the fair value adjustment to the building.

Apply and Analyse 4 (continued)

Analysis

NCI's share of AAL's profit or loss for the year ended 30 June 20X3 was calculated as:

	HK\$m
AAL's reported profit for the year	152
Reduced by: Unrealised profit on intra-group sale of inventory (HK\$30 million – HK\$18 million)	(12)
AAL's contribution to consolidated profit for the year	140
NCI share of AAL's contribution to consolidated profit for the year (20% × HK\$140 million)	28

This adjustment could be visualised in the consolidation worksheet to prepare the consolidated statement of profit or loss and other comprehensive income as illustrated below. (Only the transaction and the selected balances have been shown.) The adjustment would clearly be different if only some of the inventory remained on hand, and the adjustment would be unnecessary if none of the inventory remained on hand:

Consolidation adjustments					
	Albatross HK\$m	AAL HK\$m	DR HK\$m	CR HK\$m	Consolidated HK\$m
<i>Statement of profit or loss</i>					
Sales revenue	–	30.0	30.0		–
Cost of Goods Sold	–	(18.0)	12.0	30.0	–
Other income and expenses	–	140.0			140.0
Profit for the year	–	152.0		12.0	140.0
Profit for the year allocated to:				↓	
Owners of the parent (80%)		121.6*		(9.6)*	112.0
Non-controlling interests (20%)		30.4*		(2.4)*	28.0
					140.0

The impact of the consolidation adjustments on net profit (reduction by HK\$12 million) is attributed between the owners of the parent and the NCI. In this exercise, the NCI share of AAL's reported profit of HK\$152 million (HK\$30.4 million) is reduced by its share of the unrealised gain on the intra-group sale of inventory of HK\$2.4 million

* Included for illustration only.

Intra-group Sale of Non-current Assets

Similar to an intra-group sale and purchase of inventory, the direction of the sale of a non-current asset is important in identifying whether an unrealised gain or loss needs to be eliminated before determining a subsidiary's contribution to group profit for the purpose of attributing a share of that profit to any NCI.

If the subsidiary is the purchasing entity, as the purchase does not affect the profit or loss of the subsidiary, there is no adjustment to attribute to NCI.

If the subsidiary is the selling entity:

- at the time of the transaction – the subsidiary makes a gain or loss on the sale if the non-current asset is sold for an amount different from the subsidiary's carrying amount. It follows that the subsidiary's reported net profit or loss must be adjusted by the consolidation adjustment to eliminate the unrealised gain or loss on the sale;
- subsequently – the unrealised gain or loss on sale can be thought of as being earned ('realised') by the subsidiary as the future economic benefits in the asset are consumed through use of the asset (similar to how initially unrealised gains arising from intra-group sales of inventory are realised when the inventory is on-sold to external parties). This is reflected through adjusting the subsidiary's reported net profit or loss by the periodic consolidation adjustment to restate depreciation as though the asset continued to be carried at its cost to the group).

The net effect of these two adjustments is to take account of the remaining 'unrealised' gain on sale.

Apply and Analyse 5

During the year ended 30 June 20X3, the following transactions occurred between Albatross and AAL:

- On 1 July 20X2 (i.e. at the beginning of the current reporting period, being one year after the business combination), Albatross sold an item of plant for HK\$1.2 million cash to AAL. Albatross had purchased the plant for HK\$6 million. At the time of sale, the accumulated depreciation on the plant was HK\$5 million. The plant had an estimated remaining useful life of five years and nil residual value.
- On 1 January 20X3 (i.e. midway through the current reporting period, being eighteen months after the business combination), AAL sold machinery for HK\$1.8 million cash to Albatross. AAL had purchased the machinery for HK\$3.5 million. At the time of sale, the accumulated depreciation on the machinery was HK\$2 million. The machinery had an estimated remaining useful life of 10 years and nil residual value.

Plant and machinery were depreciated on a straight-line basis. AAL's profit for the year prior to any consolidation adjustments was HK\$152 million.

Calculate the NCI's share of Albatross's consolidated profit for the year ended 30 June 20X3. For the purposes of this exercise, ignore from previous exercises (1) the further depreciation adjustment required with respect to the fair value adjustment to the building and (2) the unrealised gain on the intra-group sale of inventory.

Apply and Analyse 5 (continued)

Analysis

Sale of plant from parent to subsidiary

As the sale of plant was a downstream transaction (Albatross sold to AAL), even though the group's net assets were affected by the related consolidation adjustment, AAL's reported net profit for the year should not have to be adjusted for the unrealised gain on the sale of plant of HK\$200,000 ($\text{HK\$1,200,000} - (\text{HK\$6,000,000} - \text{HK\$5,000,000})$) as this gain did not affect AAL's net profit.

Sale of machinery from subsidiary to parent

- As the sale of the machinery is an upstream transaction (AAL sold to Albatross), AAL's reported net profit for the year included a gain on sale of HK\$300,000 ($\text{HK\$1,800,000} - (\text{HK\$3,500,000} - \text{HK\$2,000,000})$). As this gain was unrealised to the group until the future economic benefits in the asset were consumed as reflected by depreciation, it was eliminated as part of the consolidation process. As the gain was recognised by AAL, AAL's reported profit for the year had to be adjusted (decreased).
- Albatross subsequently recognised depreciation expense of HK\$90,000 in its financial statements ($\text{HK\$1,800,000}/10 \text{ years} \times 0.5 \text{ year}$) for the six months since it purchased the machinery. From the group's perspective, the group recognised a depreciation expense of only HK\$75,000 ($\text{HK\$1,500,000}/10 \text{ years} \times 0.5 \text{ year}$) even after the sale because that was what AAL would have recognised as depreciation if the sale had never happened. Accordingly, as part of the consolidation process, a consolidation adjustment was made to eliminate HK\$15,000 of depreciation expenses (i.e. $\text{HK\$90,000} - \text{HK\$75,000}$) – see the Illustrative Example in Section 23.2.4.5, Ref (3). In effect, the elimination represented the 'realisation' to AAL of part of the unrealised gain on sale because the recognition of depreciation was effectively recovering (realising) the asset through use. Accordingly, AAL's reported profit for the year also had to be adjusted (increased).

The NCI's share of AAL's contribution to Albatross's consolidated profit for the year ended 30 June 20X3 was calculated as:

	HK\$'000
AAL's reported profit for the year	152,000
Reduced by: unrealised gain on sale of machinery	(300)
Increased by: Realisation of unrealised gain ($\text{HK\$300}/10 \text{ years} \times 6 \text{ months}$)	15
AAL's contribution to consolidated profit for the year	<u>151,715</u>
NCI share of AAL's contribution to consolidated profit for the period ($20\% \times \text{HK\$151,715,000}$)	<u><u>30,343</u></u>

23.3.2 NCI Share of Consolidated Equity

The NCI share of consolidated equity is determined regarding the adjustments discussed in Section 23.3.1. In this chapter, we assume that the only post-acquisition adjustments to the subsidiary's equity is in relation to post-acquisition profits and losses and dividend distributions. However, you should be aware that in practice other components of a subsidiary's equity can also change and must be similarly taken into consideration.

The NCI share of consolidated equity at reporting date is calculated as:

NCI share of equity	=	NCI at acquisition	+	NCI share of post-acquisition movements in equity		
	=	NCI at acquisition	+	NCI share of subsidiary profits	+/-	NCI share of consolidation adjustments - NCI share of dividends

The NCI's share of post-acquisition movements in equity is calculated as:

$$\text{NCI share of post-acquisition movements in equity} = \text{NCI \%} \times \text{Subsidiary reported post-acquisition opening retained earnings, adjusted for consolidation adjustments that affect consolidated net assets, less dividends declared during the period}$$

or

$$\text{NCI share of post-acquisition movements in equity} = \text{NCI \%} \times \text{Subsidiary reported post-acquisition closing retained earnings, adjusted for consolidation adjustments that affect consolidated net assets}$$

In accordance with HKFRS 10, the NCI share of consolidated equity must be presented separately in the statement of financial position from the share attributable to owners of the parent. To record this, the entity makes the pro forma consolidation adjustment journal entry (assuming the subsidiary is in a net asset position):

DR Retained earnings (or reserves, if appropriate)	x,xxx	
CR Non-controlling interests - equity		x,xxx

In practice, this is usually recorded in two journal entries:

1. recording the NCI at acquisition as part of the pre-acquisition equity elimination entry (see Section 23.3.1.1).
2. recording the NCI's share of post-acquisition movements in equity. Note that the NCI's share of post-acquisition movements in equity comprises both (1) movements reflected in profit or loss of the current period, and (2) movements of previous post-acquisition reporting periods.

Apply and Analyse 6

Bringing together information from previous exercises throughout Section 23.3, AAL's contribution to Albatross's consolidated profit or loss for the year ended 30 June 20X3 was:

	HK\$'000
AAL's reported profit for the year	152,000
Reduced by: additional depreciation expense relating to fair value increase to building on acquisition (see Section 'Subsequent Impact of Fair Value Adjustments on Acquisition')	(3,000)
Reduced by: unrealised profit on upstream intra-group sale of inventory (see Section 'Unrealised Gain or Loss on Intra-group Sale of Inventory')	(12,000)
Reduced by: unrealised gain on upstream sale of machinery (see Section 'Intra-group Sale of Non-current Assets')	(300)
Increased by: Realisation of unrealised gain on upstream sale of machinery as the asset is consumed through use (see Section 'Intra-group Sale of Non-current Assets')	15
AAL's contribution to consolidated profit for the year	<u>136,715</u>

The NCI's contribution to Albatross's consolidated profit or loss for the year ended 30 June 20X3 was therefore:

	HK\$'000
NCI share of AAL's contribution to consolidated profit for the period (20% × HK\$136,715,000)	<u>27,343</u>

In addition, from previous exercises:

- AAL's retained earnings at acquisition was HK\$528 million;
- NCI in AAL was measured at fair value of HK\$150 million on acquisition; and
- AAL declared a dividend of HK\$10 million during the year ended 30 June 20X3 (the NCI's share is HK\$2 million).

Assume AAL's opening retained earnings as of 1 July 20X3 in its own financial statements was HK\$648 million.

Determine the NCI share of Albatross's consolidated equity at 30 June 20X3, and prepare the pro forma journal entries to attribute to the NCI its share of the post-acquisition movements in equity.

Analysis

The NCI share of consolidated equity at reporting date is (1) NCI at acquisition + (2) NCI share of post-acquisition movements in equity.

1. NCI at acquisition = HK\$150 million

Apply and Analyse 6 (continued)

2. NCI share of post-acquisition movements in consolidated equity for the year ended 30 June 20X3 is calculated as:

	HK\$'000
AAL's reported post-acquisition opening retained earnings (HK\$648 million – HK\$528 million)	120,000
Reduced by: previous additional depreciation expense relating to fair value increase to building on acquisition (1 year × HK\$3 million)	(3,000)
Adjusted opening retained earnings ^a	117,000
Increased by: AAL's contribution to consolidated profit for the year	136,715
Reduced by: dividends declared (see Section 23.3.1.2)	(10,000)
AAL's post-acquisition contribution to retained earnings	243,715
NCI share of AAL's post-acquisition movements in equity (20% × HK\$243,715,000)	48,743

^a In this chapter, we have illustrated only the impact of earlier periods' additional depreciation on opening retained earnings. Opening retained earnings must similarly be adjusted for other consolidation adjustments affecting opening retained earnings, e.g. unrealised profit in opening inventory or the unrealised gain on sale of a non-current asset in an earlier period.

The NCI share of consolidated equity at reporting date = HK\$150,000,000 + HK\$48,743,000 = HK\$198,743,000.

To attribute to the NCI its share of post-acquisition movements in equity, Albatross recorded the pro forma journal entries:

	Debit	Credit
	HK\$'000	HK\$'000
Retained earnings (opening retained earnings)	23,400	
Non-controlling interests – equity (20% × HK\$117,000)		23,400
(NCI share of post-acquisition movements in equity of previous reporting periods)		

and

	Debit	Credit
	HK\$'000	HK\$'000
Profit attributable to NCI (p/l)	27,343	
Non-controlling interests – equity (20% × HK\$136,715)		27,343
(NCI share of the current reporting period's profit or loss)		

and

Apply and Analyse 6 (continued)

	Debit	Credit
	HK\$'000	HK\$'000
Non-controlling interests – equity	2,000	
Retained earnings – dividend (20% × HK\$10,000)		2,000

Alternatively, the pro forma journal entries could be depicted as:

	Debit	Credit
	HK\$'000	HK\$'000
Retained earnings	48,743	
Non-controlling interests - equity		48,743

Key Learning Point

The NCI share reflects the portion of the results and equity of the group attributable to NCI. Therefore, the consolidation worksheet entries must adjust the group results and equity by an amount that appropriately reflects the NCI interest. There are different ways of achieving this.

► Knowledge Check Questions

Question 7

Identify which one of the following statements is consistent with HKFRS 10.

- A** The NCI's share of net assets must include its share of any post-acquisition movements in retained earnings and other reserves of the subsidiary.
- B** The NCI's share of net assets of the group is calculated as its ownership interest in the subsidiary (%) × the net assets of the group.
- C** Where an NCI is present, adjustments must be made to reflect that the assets and liabilities of the subsidiary are only partly owned by the group.
- D** The NCI's share of profit of a subsidiary is always calculated as its ownership interest in the subsidiary (%) × the profit for the period as reported in the subsidiary's financial statements.

Question 8

In Question 2, you developed a step-by-step checklist of how you would prepare the consolidated financial statements if the subsidiaries were wholly owned. How would non-controlling interests change how you would prepare the consolidated financial statements? Prepare an updated step-by-step checklist of how you would prepare the consolidated financial statements.

► Knowledge Check Questions (*continued*)

Question 9

Parent P has sold its 80% owned entity Subsidiary S1 inventory costing Parent P HK\$60,000 at a 20% markup. 25% of that inventory remained on hand at reporting date. S1's reported net profit for the year was HK\$200,000. Prepare the consolidation adjustment journal entries required to eliminate this transaction and calculate the NCI share of Subsidiary S1's profit for the year.

Question 10

Parent P held a 90% interest in Subsidiary S2. During the year, Subsidiary S2 provided management services to Parent P for HK\$100,000. The management services were sold at a 100% markup on the employee's salary. Parent P paid only 10% of this amount at the reporting date, which was received by Subsidiary S2.

Prepare the adjustments required to the consolidation worksheet to prepare Parent P's consolidated financial statements and explain the implications of the transaction for NCI.

Question 11

Parent P held a 70% interest in Subsidiary S3. Contrast the consolidation adjustments required with respect to a loan from Subsidiary S3 to Parent P and a cash dividend distribution from Subsidiary S3 to Parent P.

23.4 LOSS OF CONTROL

A parent might lose control of a subsidiary through various means, including:

- a disposal, whether planned or unplanned. The disposal may be undertaken through a series of transactions or via a single transaction;
- actions by the subsidiary diluting the parent's ownership interest, such as the issue of further shares to other shareholders; and
- other actions by the subsidiary such as the appointment of a liquidator.

Consolidation ceases at the date the parent loses control, that is, when it no longer has the power and ability to direct the relevant activities of the subsidiary (review Chapter 22 to refresh your understanding of how control is demonstrated). When consolidation ceases, the former parent must attend to other HKFRSs for the accounting of any remaining ownership interest in the former subsidiary, depending on whether the residual ownership interest reflects that of an associate (see Chapter 24), a jointly controlled entity (see Chapter 25), or a financial asset (see Chapter 10).

The process of 'deconsolidation' involves:

- derecognising the assets (including goodwill recognised on acquisition) and liabilities of the former subsidiary from the consolidated statement of financial position;

- derecognising NCI from the consolidated statement of financial position;
- reclassifying to profit or loss or transferring directly to retained earnings (as specified by other HKFRSs) any amounts recognised in other comprehensive income relating to the former subsidiary as though the former parent directly disposes of the related assets or liabilities; and
- recognising the former parent's gain or loss associated with the loss of control.

HKFRS 10.25,
B98–B99

Income, expenses and cash flows are consolidated up until the date control is lost. For example, if Parent P disposed of its interest in Subsidiary S1 on 15 November 20X1, Parent P's consolidated financial statements for the financial year ended 31 December 20X1 would include Subsidiary S1's performance for the period 1 January 20X1 to 15 November 20X1.

Exhibit 23.4 summarises the accounting for reductions of ownership interests in a subsidiary.

Candidates are not expected to know how to apply the accounting for a change in ownership interest in practice (e.g. how to 'de-consolidate' a subsidiary) as part of this module.

Form of disposal	Accounting treatment
Full disposal (resulting in loss of control)	• Consolidation of the subsidiary ceases • Gain or loss on disposal recognised in profit or loss
Partial disposal with loss of control	• Consolidation of the subsidiary ceases • Gain or loss on disposal recognised in profit or loss Remaining investment in subsidiary accounted for as the appropriate of an investment in associate (HKAS 28), an interest in a joint venture (HKFRS 11) or a financial asset (HKFRS 9). The remaining interest is measured at fair value at the date control is lost; this becomes its new base.
Partial disposal without loss of control	• Consolidation of the subsidiary continues • No gain or loss recognised in profit or loss on disposal The disposal is treated as an equity transaction (transaction with owners as owners) by adjusting the equity attributable to the controlling and NCI to reflect the change in the relative interests. Any difference between the amount by which the NCI is adjusted and the fair value of the consideration transferred is recognised directly in the parent's equity.

HKFRS 10.25,
B98–B99

HKFRS
10.23, B96

► **EXHIBIT 23.4 Summary of accounting treatment when a parent's ownership interest in a subsidiary reduces**

► **Knowledge Check Questions**

Question 12

Identify which one of the following statements is true.

- A** A parent ceases to consolidate a subsidiary when it decides it is going to sell the subsidiary.
- B** A parent ceases to consolidate a subsidiary when it reduces its ownership interest to below 50%.

► Knowledge Check Questions (*continued*)

- C** A parent adjusts the carrying amount of goodwill when it reduces its ownership interest without losing control.
- D** The consolidated financial statements include the financial performance of subsidiaries held at the reporting date and the financial performance of subsidiaries sold during the period up until the time the subsidiaries are sold.

Question 13

During the year ended 31 December 20X7, Reynold Trading Limited (RTL) sold 30% of its wholly owned subsidiary Chef Desserts Limited (CDL). Subsequent to the sale, RTL continued to consolidate CDL. Identify which one of the following statements best describes how RTL should account for the transaction.

- A** RTL recognised a gain or loss on sale of 30% of its interest in CDL in profit or loss.
- B** RTL recognised a gain or loss on sale of 30% of its interest in CDL directly in equity.
- C** RTL does not recognise a gain or loss on the transaction because it continues to consolidate CDL.
- D** RTL had an accounting policy choice to recognise the gain or loss on the sale of 30% of its interest in CDL in profit or loss or directly in equity.

➤ 23.5 PRESENTATION AND DISCLOSURE OVERVIEW

Up to this point, the chapter has been addressing the principles underlying a set of consolidated financial statements and has introduced you to the mechanics of preparing consolidated information. (In this chapter, we have not stepped through the mechanics of preparing a consolidated statement of changes in equity or a consolidated statement of cash flows, however, similar principles apply.) This section will explain the presentation and disclosure requirements applying to the consolidated financial statements of a parent in a group.

23.5.1 Presentation of Consolidated Financial Statements

HKFRS 10 requires a parent to present consolidated financial statements (limited exceptions apply). A complete set of consolidated financial statements comprises:

- a consolidated statement of financial position;
- a consolidated statement of profit or loss and other comprehensive income;
- a consolidated statement of changes in equity;
- a consolidated statement of cash flows; and
- notes to the consolidated financial statements.

HKAS
1.10

Comparative information must be presented, and where required by HKAS 1 *Presentation of Financial Statements*, a consolidated statement of financial position must be prepared at the beginning of the comparative period.

The form and content of the consolidated financial statements is similar to single entity financial statements. (Refer Chapters 20 and 21 to re-familiarise yourself with the requirements applying to the presentation of a set of financial statements.) However, the face of the consolidated financial statements must include disclosure of:

- statement of financial position – non-controlling interests, presented within equity;
- statement of profit or loss and other comprehensive income –
 - profit or loss for the period attributable to non-controlling interests, separately from the profit or loss attributable to owners of the parent
 - comprehensive income for the period attributable to non-controlling interests, separately from comprehensive income attributable to owners of the parent; and
- statement of changes in equity - comprehensive income for the period attributable to non-controlling interests, separately from comprehensive income attributable to owners of the parent.

23.5.2 Disclosure of Parent Information in Consolidated Financial Statements

At the start of this chapter, we highlighted the benefits of presenting consolidated financial statements. However, the company-level financial statements of each legal entity in the group also communicate different decision-useful information to users of the consolidated financial statements. For example, company-level financial statements provide users with information about the extent of intra-group activity (e.g. through disclosure of related party transactions) and about a company's own leverage and other financial ratios, which informs of the company's own borrowing capabilities. This is particularly relevant information if the entities in a group do not cross-guarantee each other's obligations.

HKFRSs do not require a parent to prepare company-level financial statements, which is consistent with a view that consolidated financial statements are more useful because they contain information about the economic substance of business structures. However, consistent with acknowledging that some information about a parent's company-level financial statements is useful, in accordance with Schedule 4 of the Hong Kong Companies Ordinance (Cap.622), the financial report of a parent presenting consolidated financial statements must include:

- the parent's company-level statement of financial position for the period, that is, a statement of financial position with the one line showing 'investment in subsidiaries' rather than a line-by-line presentation of assets and liabilities held in those subsidiaries; and
- disclosure of movements in the parent's company-level reserves.

No further detail is required (e.g. a disaggregation of receivables). This disclosure is made with respect to an annual period within the notes to the consolidated financial statements.

Schedule 4
of the HK
Companies
Ordinance,
Part 1, para.2

23.5.3 Disclosure of Interests in Other Entities

Disclosure requirements pertaining to a parent's interests in other entities are primarily set out in HKFRS 12. However, other HKFRSs, such as HKFRS 5, HKAS 7 *Cash Flow Statements* and HKAS 24 *Related Party Disclosures* also require disclosures to be made by a parent. For example, HKAS 24 requires the parent to disclose the relationships between itself and its subsidiaries.

HKAS
24.13

In accordance with HKFRS 12, an entity must disclose information that enables users of its financial statements to evaluate the nature of, and risks associated with, its interests in subsidiaries and the effects of those interests on the entity's financial position, financial performance and cash flows. In the main, a parent is required to disclose information that would allow users to assess the:

- nature and risks relating to a parent's interest in its subsidiaries; and
- effects of those interests on the parent's financial position, financial performance and cash flows.

HKFRS
12.1

The entity discloses information sufficient for users of the consolidated financial statements to:

- understand its significant judgements and assumptions in determining that it has control of another entity, and any changes to those judgements and assumptions;
- understand the composition of the group and the interest that any NCI has in the group's activities and cash flows;
- evaluate the nature and extent of significant restrictions on the group's ability to access or use assets and to settle liabilities;
- evaluate the nature of the risks associated with its interests in any consolidated 'structured entities', and any changes thereof. (This module does not cover the identification of a structured entity; suffice it to say, it is an entity where control is obtained, for example, through contractual arrangements rather than voting rights.);
- evaluate the consequences of changes in its ownership interest in a subsidiary that do not result in a loss of control; and
- evaluate the consequences of losing control of a subsidiary during the reporting period.

HKFRS
12.7,10

Various disclosures are specified, including:

- particulars, extent of ownership interest, and summarised financial information about material non-wholly owned subsidiaries that are consolidated; and
- information about unconsolidated subsidiaries and unconsolidated structured entities.

HKFRS 12.12,
19A–19G

These disclosures help users to understand how NCI and unconsolidated subsidiaries impact the group's activities and cash flows.

HKFRS
12.B10(b)

Though HKFRS 12 identifies specific disclosures that assist in meeting the disclosure objective, when preparing a set of financial statements, the preparer should sit back and assess whether overall the disclosures presented are sufficient to meet the disclosure objective set out at the start of this section. If not, additional disclosures must be made.

► **Knowledge Check Questions**

Question 14

Parent P was preparing its consolidated financial statements for the year ending 31 December 20X5. Identify which of the following disclosures Parent P should make in its consolidated financial statements.

- A** Parent P had to disclose its relationships with its subsidiaries and the extent of its ownership interest in all subsidiaries.
- B** Parent P had to disclose information about the guarantee its Subsidiary S1 has made to the bank to maintain at least HK\$20 million in S1's bank account.
- C** Parent P had to disclose the individual financial statements of each of its consolidated subsidiaries as part of the notes to the consolidated financial statements.
- D** Parent P had to disclose the NCI's share of the consolidated profit or loss separately on the face of the consolidated statement of profit or loss.

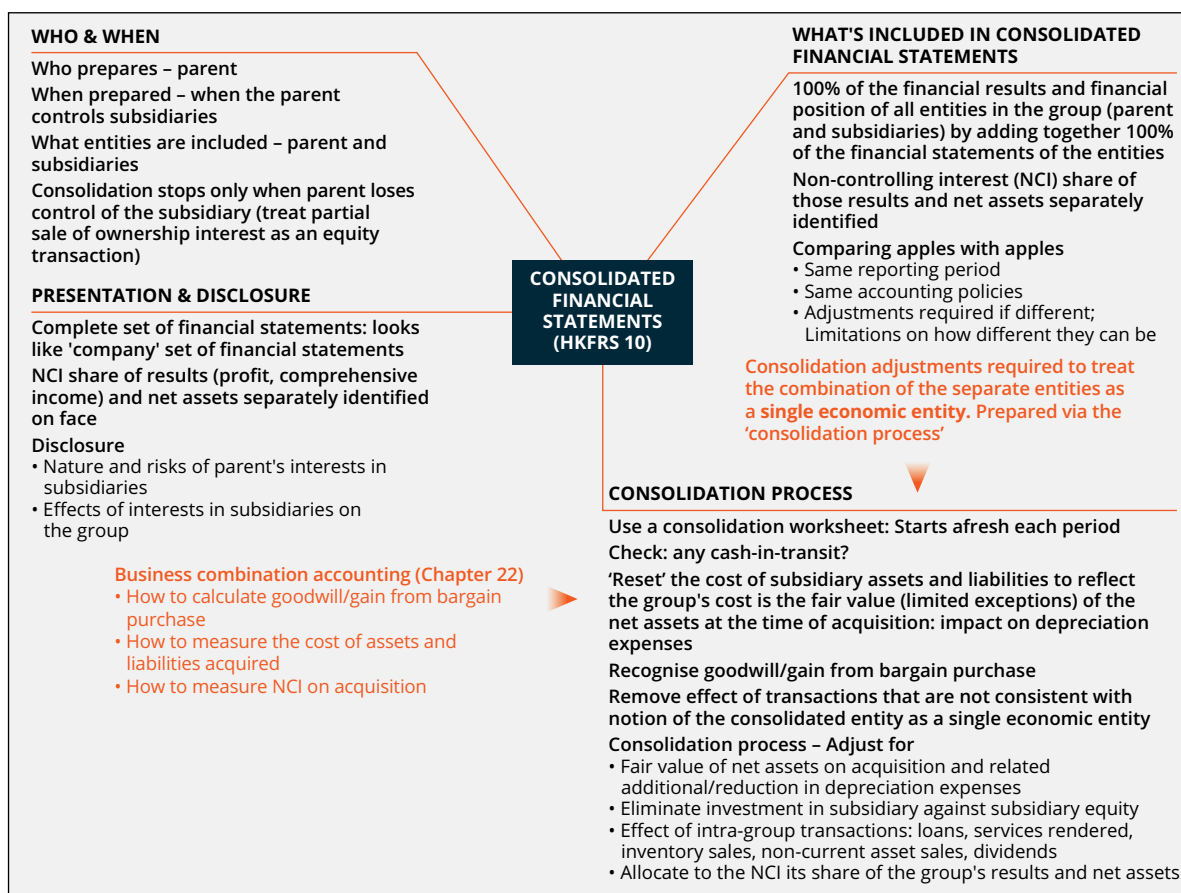


SUMMARY

- Consolidated financial statements present the results of a parent and its subsidiaries as a single economic entity
- Consolidated financial statements are prepared to provide information about the group primarily to investors, creditors, and lenders of the parent
- The NCI in the consolidated statement of financial position is presented within equity, separately from equity of the owners of the parent
- Consolidation starts when a subsidiary is acquired and ceases only when the parent loses control of the subsidiary.
 - A parent might divest part of its interest in a subsidiary without losing control; any gain or loss is treated as an equity transaction
 - A parent might continue to hold an interest in the former subsidiary subsequent to losing control; any gain or loss is recognised in profit or loss, and the remaining interest accounted for as the appropriate of a joint venture, associate or financial asset
- Consolidated financial statements are usually prepared using a consolidation worksheet, which adds together the individual financial statements of each consolidating entity, adjusting for transactions and balances that are inconsistent with the notion of the group as a single economic entity (i.e. intra-group transactions and balances)
- In general, the individual financial statements should be for the same period and use the same accounting policies
- The consolidation process is a nine-step process:
 - Set up the consolidation worksheet by identifying the financial statements to be consolidated.
 - Calculate and record any (generally, fair value) adjustments required when the subsidiary was acquired.
 - Calculate goodwill (or gain from bargain purchase) on acquisition and prepare the pre-acquisition equity elimination entries.
 - Calculate and record any additional (or reduction in) depreciation or amortisation expense resulting from the acquisition date adjustments.
 - Identify and eliminate any intra-group balances (e.g. loan receivable/payable, receivables/payables).
 - Identify and eliminate any intra-group transactions (e.g. interest income/payable, dividend income/retained earnings, sales revenue/cost of sales).
 - Identify and eliminate any unrealised gains and losses (e.g. from sales of inventory or non-current assets).

- Allocate profit or loss for the period between the parent and the NCI, where NCI is present. This involves determining the subsidiary's contribution to the group's profit or loss.
- Calculate and allocate the NCI's share of the post-acquisition movements in reserves.
- Where NCI is present, it is important to identify whether an intra-group transaction that gives rise to unrealised gains and losses is an 'upstream' or 'downstream' transaction because unrealised gains and losses are attributable to the NCI only in upstream transactions.
- Sufficient details must be disclosed about a subsidiary to allow users of the consolidated financial statements to understand the nature and risks relating to a parent's interest in its subsidiaries and effects of those interests on the parent's financial position, financial performance and cash flows.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answer A is incorrect. General purpose financial statements (including consolidated financial statements) are prepared for primary users of financial statements who are unable to demand this sort of information themselves. Because management can demand the information it needs, it is not the primary focus of general purpose consolidated financial statements.

Answer B is correct. Consolidated financial statements are *primarily* prepared to provide useful information to existing and potential investors, lenders and other creditors of the parent. As such, if you are considering how the consolidated results or position should appear, think about the information that would be useful to these parties.

Answer C is incorrect. Consolidated financial statements are primarily prepared to provide useful information to existing and potential investors, lenders and other creditors of the parent, not the NCI. However, in some cases, the consolidated financial statements may still provide useful information to investors, lenders and other creditors of the NCI.

Answer D is incorrect. Consolidated financial statements are primarily prepared to provide useful information to existing and potential investors, lenders and other creditors of the parent, not the NCI. As such, the consolidated financial statements report the consolidated results and position of the group but acknowledge NCI have a share in it.

Question 2

A nine-step checklist for preparing the consolidated financial statements could look like:

1. Set up the consolidation worksheet by identifying the financial statements to be consolidated and populate the left-hand columns of the worksheet with the parent and subsidiary financial information.
2. Calculate and record any fair value adjustments that arose as of the acquisition date of the subsidiary, measured in accordance with HKFRS 3 (Revised) (generally fair value measurement).
3. Calculate goodwill (or discount on bargain purchase) on acquisition and prepare the pre-acquisition equity elimination entries.
4. Calculate and record any additional (or reduction in) depreciation or amortisation expense resulting from the acquisition date fair value adjustments.
5. Identify and eliminate in full any intra-group balances (e.g. loan receivable/payable, trade receivable/payable).
6. Identify and eliminate in full any intra-group transactions (e.g. interest income/payable, dividend income/retained earnings, sales revenue/cost of sales).
7. Identify and eliminate in full any unrealised gains and losses (e.g. from sales of inventory or non-current assets).
8. Add across each line item to derive adjusted amounts pertinent to the group.
9. Use that information to prepare the consolidated financial statements presented in accordance with HKAS 1 and add the disclosures in accordance with HKFRS 12 and other pertinent HKFRSs.

Question 3

It is necessary to eliminate line items that fully offset against each other in the statement of profit or loss because the individual line items could be over/understated even though the net profit is not. Accordingly, unless the line items are eliminated against each other, users of the financial statements would be provided with misleading information. This is particular because some of these line items (e.g. revenue) may be important key performance indicators for assessing performance of the group.

Question 4

The following consolidation adjustment journal entries must be recorded:

	Debit	Credit
	HK\$	HK\$
Sales revenue ($120\% \times \text{HK\$}60,000 = \text{HK\$}72,000$)	72,000	
Cost of Sales		72,000
(Eliminate intra-group sale)		

	Debit	Credit
	HK\$	HK\$
Cost of Sales	12,000	
Inventory		12,000
(Reduce inventory by the amount of the mark up – 20% × HK\$60,000 = HK\$12,000)		
	Debit	Credit
	HK\$	HK\$
Inventory (HK\$12,000 × 0.75)	9,000	
Cost of Sales		9,000
(Recognises that 75% of the inventory has been on-sold to parties external to the group, and accordingly, that 25% of the markup is now earned by the group)		

The net result of these adjustments to the consolidation worksheet when 'adding across' is that cost of sales relating to this inventory becomes HK\$45,000 (Parent P's COGS HK\$60,000 + S1's COGS HK\$54,000 – HK\$72,000 + HK\$12,000 – HK\$9,000; or 25% × HK\$60,000) and inventory becomes HK\$15,000 (Parent P's inventory HK\$nil + S1's inventory HK\$18,000 – HK\$12,000 + HK\$9,000; or 25% × HK\$60,000), which appropriately reflects the circumstances of the group as if the intra-group sale had never occurred.

Question 5

As part of the consolidation process, a parent's investment in a subsidiary must be eliminated against the subsidiary's pre-acquisition equity balances. This is so no double-counting occurs, as the assets and liabilities represented by those equity balances will be included in the consolidation worksheet on a line-by-line basis. Where the parent purchases the subsidiary for an amount greater than the amount at which the identifiable assets and liabilities of the subsidiary are required to be measured as of the date of acquisition (typically fair value), the parent has effectively paid for 'goodwill'. Accordingly, to fully eliminate the parent's investment in the subsidiary, this asset must be recognised. An example journal entry to recognise goodwill that arises in a business combination is:

DR Share capital of subsidiary	
DR Retained earnings of subsidiary	
DR Reserves of subsidiary	
DR/CR Business combinations reserve (for any fair value adjustments)	
DR Goodwill	
CR Investment in subsidiary	

Question 6

Answer A is incorrect. When dividends are paid to shareholders of the parent, the group has reduced its net asset position, and this must be reflected in the consolidated position of the group.

Answer B is correct. Dividends paid to shareholders of the subsidiary are eliminated as part of the consolidation process because, from the group's perspective, its net asset position has not changed as a result of the dividend.

Answer C is incorrect. Transactions occurring in prior periods may need to be adjusted for in the current consolidation worksheet as the worksheet 'starts afresh' each period. For example, consider the adjustments necessary to reflect unrealised gains in opening inventory or to capture additional accumulated depreciation related to fair value adjustments recognised on acquisition.

Answer D is incorrect. Other transactions must also be considered, for example, because individual line items might be overstated even though there is no unrealised gain (e.g. services revenue and services expenses) or to record additional depreciation associated with fair value adjustments on acquisition.

Question 7

Answer A is correct. The NCI's share of net assets must include its share of any post-acquisition movements in retained earnings and other reserves of the subsidiary.

Answer B is incorrect. If the NCI's share of net assets of the group were calculated as its ownership interest in the subsidiary (%) $\times$ the net assets of the group, this would inappropriately attribute to the NCI a share of the group's position unrelated to the NCI (e.g. profit of the parent).

Answer C is incorrect. The consolidated financial statements combine the complete (100%) financial statements of the combining entities. This is because, even though a parent might own less than 100% of a subsidiary, its majority ownership gives it control of 100% of the assets and liabilities of the subsidiary.

Answer D is incorrect. To determine the NCI's share of profit of a subsidiary, adjustments must be made to its share of the profit for the period as reported in the subsidiary's financial statements for any intra-group unrealised gains and losses and other transactions.

Question 8

The following bullet points could be added to the checklist in Question 2 for preparing the consolidated financial statements:

- Allocate consolidated profit or loss for the period between the parent and the NCI; and
- Calculate and allocate the NCI's share of the post-acquisition movements in retained earnings and reserves

The updated checklist may look like:

1. Set up the consolidation worksheet by identifying the financial statements to be consolidated and populate the left-hand columns of the worksheet with the parent and subsidiary financial information.
2. Calculate and record any fair value adjustments that arose as of the acquisition date of the subsidiary, measured in accordance with HKFRS 3 (Revised) re fair value measurement.
3. Calculate goodwill (or gain from bargain purchase) on acquisition and prepare the pre-acquisition equity elimination entries.
4. Calculate and record any additional (or reduction in) depreciation or amortisation expense resulting from the acquisition date fair value adjustments.

5. Identify and eliminate in full any intra-group balances (e.g. loan receivable/payable, trade receivable/payable).
6. Identify and eliminate in full any intra-group transactions (e.g. interest income/payable, dividend income/retained earnings, sales revenue/cost of sales).
7. Identify and eliminate in full any unrealised gains and losses (e.g. from sales of inventory or non-current assets).
8. Allocate consolidated profit or loss for the period between the parent and the NCI.
9. Calculate and allocate the NCI's share of the post-acquisition movements in retained earnings and reserves.
10. Add across each line item to derive adjusted amounts pertinent to the group.
11. Use that information to prepare the consolidated financial statements presented in accordance with HKAS 1, and add the disclosures in accordance with HKFRS 12 and other pertinent HKFRSs.

Question 9

As the transaction was a 'downstream' transaction, the same journals as prepared for Question 4 apply. See the answer to Question 4.

Because the transaction was a downstream transaction, there was no gain to attribute to the subsidiary. Consequently, the NCI share of S1's profit for the year was calculated as HK\$40,000 ($20\% \times \text{HK\$}200,000$).

The following pro forma journal entry could be processed in the consolidation worksheet to depict the allocation of group profit to NCI:

	Debit	Credit
	HK\$	HK\$
Profit attributable to NCI (p/l) ^a	HK\$40,000	
Non-controlling interests – equity		HK\$40,000

^aor Retained Earnings (closing), if preparing a consolidated statement of financial position.

Question 10

The following consolidation adjustment journal entries must be recorded:

	Debit	Credit
	HK\$	HK\$
Management services revenue	HK\$100,000	
Management services expenses		HK\$100,000
(Eliminate intra-group sale of services)		

	Debit	Credit
	HK\$	HK\$
Payables ($90\% \times \text{HK\$}100,000$)	HK\$90,000	
Receivables		HK\$90,000
(Eliminate the intra-group balances)		

This transaction had no implications for NCI as the transaction does not change the net asset position of the group.

Question 11

The loan from Subsidiary S3 to Parent P was eliminated in full but only the portion of the Subsidiary S3 dividend received by Parent P1 was eliminated when preparing the consolidated financial statements because the remainder of the dividend (the portion paid to the NCI) was not an intra-group transaction. The NCI had to be attributed a portion of the dividend equivalent to its ownership interest (i.e. the NCI share of equity had to decrease corresponding to the NCI share of the dividend). However, because from the group's perspective the loan transaction did not give rise to a change in the net asset position of the group, the intra-group transaction did not give rise to a consolidation adjustment that must be attributed to the NCI.

Question 12

Answer A is incorrect. Consolidation ceases only when the parent loses control of the subsidiary.

Answer B is incorrect. Consolidation ceases only when the parent loses control of the subsidiary. Though an ownership interest below 50% may indicate the parent no longer controls the subsidiary, other facts and circumstances could cause control to continue to be present (i.e. the parent has de facto control of the subsidiary).

Answer C is incorrect. When a parent reduces its ownership interest in a subsidiary without losing control of the subsidiary, it does not change its acquisition date accounting. In accordance with HKFRS 10, it treats the disposal as a transaction directly in equity to reflect that the relative interests of the parent and the NCI in the net assets has changed.

Answer D is correct. Income, expenses and cash flows of a subsidiary are consolidated up until the date the parent loses control of the subsidiary.

Question 13

Answer A is incorrect. A gain or loss was recognised directly in profit or loss only when a parent loses control of its subsidiary. In this case, the case facts suggested that Reynolds Trading Limited (RTL) had not lost control of Chef Desserts Limited (CDL) as it was continuing to consolidate CDL subsequent to the sale of 30% of its interest in the subsidiary.

Answer B is correct. RTL recognised a gain or loss on the sale of its 30% interest in the subsidiary directly in equity, as the transaction was treated as an equity transaction.

Answer C is incorrect. RTL continued to consolidate CDL but had to recognise it had changed its interest in CDL. Any difference between the consideration received in exchange for the interest in CDL and the value of CDL to RTL (measured in accordance with HKFRSs) represented the gain or loss on the transaction.

Answer D is incorrect. HKFRSs do not permit an accounting policy choice in this way. Where the gain or loss is recognised is determined by whether control is lost in the transaction.

Question 14

Answers A, B and D are correct.

Answer A is correct in accordance with HKAS 24 and HKFRS 12; a parent must disclose the relationships with its subsidiaries. In practice, this is usually actioned in part by providing a listing of at least its material subsidiaries and the ownership interest in the subsidiary.

Answer B is correct. Information about the guarantee helped users of Parent P's financial statements evaluate the nature and extent of significant restrictions on the group's ability to access or use assets, and settle liabilities, as it informed that at least HK\$20 million in cash was unavailable to be transferred to other group entities for their use (e.g. in the event another group entity needs access to funds quickly).

Answer C is incorrect. HKFRSs do not require the individual financial statements of each consolidated subsidiary to be included as part of the notes to the consolidated financial statements. However, HKFRS 10 does require summarised financial information to be disclosed for each material non-wholly owned subsidiary; this helps users to understand the interest that the NCI has in the group's activities and cash flows.

Answer D is correct. HKAS 1 requires the NCI's share of the consolidated profit or loss to be disclosed separately on the face of the consolidated statement of profit or loss.

EXAM PRACTICE

QUESTION 1

On 15 August 20X0, Tiger Limited (Tiger) acquired 65% of Rabbit Limited's (Rabbit) share capital in exchange for consideration in the form of HK\$1 million cash and 10,000 of Tiger's ordinary shares. On 15 August 20X0, Rabbit's equity was represented by HK\$1,000,000 share capital and retained earnings of HK\$100,000.

The fair value of Tiger's shares was HK\$9 on 15 August 20X0. The fair value of Rabbit's identifiable net assets was determined to be HK\$1,261,800. Tiger measured the NCI in Rabbit at the proportionate share of the recognised amounts of the identifiable net assets of the acquired entity at the acquisition date.

Assume the fair values of Rabbit's identifiable net assets at the date of acquisition met the measurement requirements of HKFRS 3 (Revised) and that Rabbit did not have any reserve accounts.

Prepare the pro forma consolidation adjustment journal entry required to correctly reflect the share of net assets attributable to owners of Tiger if Tiger were to prepare a consolidated statement of financial position at 15 August 20X0.

A	Particulars	Debit	Credit
		HK\$	HK\$
	Share capital	1,000,000	
	Retained earnings	100,000	
	Investment in Rabbit		715,000
	Non-controlling interests		385,000

B	Particulars	Debit	Credit
	Cash	1,100,000	
	Goodwill	161,800	
	Investment in Rabbit		1,090,000
	Non-controlling interests		171,800

C	Particulars	Debit	Credit
	Share capital	650,000	
	Retained earnings	65,000	
	Business combinations reserve	105,170	
	Goodwill	269,830	
	Investment in Rabbit		1,090,000

D	Particulars	Debit	Credit
	Share capital	1,000,000	
	Retained earnings	100,000	
	Business combinations reserve	161,800	
	Goodwill	269,830	
	Investment in Rabbit		1,090,000
	Non-controlling interests		441,630

QUESTION 2

On 30 June 20X6, Wei Wei Limited (WWL) sold part of its 80% interest in Siew Lan Trading Limited (SLT) for consideration in the form of HK\$2 million cash. WWL made a gain on sale of HK\$250,000. WWL held 30% of SLT subsequent to the sale and had determined that it no longer controlled SLT.

Identify which one of the following statements is true.

- A** WWL treated the gain on sale as an equity transaction
- B** WWL recognised the gain on sale in its profit or loss for the period
- C** WWL restated its comparative financial statements as though it had always held a 30% investment in SLT
- D** SLT's net profit or loss for the period up until control was lost was not included in WWL's consolidated statement of profit or loss for the financial year ending 31 December 20X6 because it had been incorporated into the measurement of the gain on sale

QUESTION 3

On 1 September 20X3, Garlic Limited (Garlic) acquired 80% of Chive Limited's (Chive) share capital in exchange for consideration in the form of HK\$1 million cash payable in 12 months.

The fair value of the deferred payment as of 1 September was HK\$943,396. The fair value of Chive's identifiable net assets at acquisition date was HK\$1,250,000. The fair values of the identifiable assets and liabilities of Chive at the date of acquisition met the measurement requirements of HKFRS 3 (Revised).

Garlic measured NCI in Chive at the proportionate share of the recognised amounts of the identifiable net assets of the acquired entity at the acquisition date. Since acquisition, Chive had made net profit of HK\$200,000. There were no movements in reserves.

Garlic's finance team prepared a draft consolidated statement of financial position for the year ended 31 December 20X3, as follows. Assume that Chive was material to Garlic's consolidated results.

Consolidated Statement of Financial Position As at 31 December 20X3	
	HK\$'000
<i>Assets</i>	
Property, plant and equipment	1,375
Investment in Chive	750
Intangible assets	78
Inventories	180
Receivables	124
Cash	295
Total assets	2,802
<i>Equity</i>	
Share capital	800
Retained earnings	900
Reserves	282
Total equity	1,982
<i>Liabilities</i>	
Bank loan	780
Payables	40
Total equity and liabilities	2,802

You are the audit senior currently auditing Garlic's annual financial statements for the year ended 31 December 20X3. Analyse the information above and identify which one of the following statements is true about the draft statement.

- A** Goodwill was understated by HK\$56,604
- B** Net assets were overstated by HK\$750,000
- C** The NCI's share of equity of HK\$250,000 had to be separately presented on the face of the consolidated statement of financial position
- D** Each line item had to be split between 'parent' and 'non-controlling interests' so that users can understand the interest the NCI has in the group's activities and cash flows

QUESTION 4

On 1 January 20X5, Meng Limited (Meng) acquired 80% of the share capital of Dan Dan Limited (DDL) for HK\$1.5 million cash. In addition, Meng incurred due diligence costs of HK\$100,000 as part of the acquisition.

The carrying amounts of DDL's assets and liabilities recognised in its statement of financial position at this date were HK\$1.6 million, represented by:

Equity	HK\$'000
Share capital	1,000
Retained earnings	600
	<u>1,600</u>

Meng identified that DDL had an unrecognised customer list. Its fair value was HK\$100,000. For simplicity, assume the fair values of all other identifiable assets and liabilities of DDL were equal to their carrying amounts immediately before the acquisition. Also, assume the fair values of DDL's identifiable assets and liabilities at the date of acquisition met the measurement requirements of HKFRS 3 (Revised).

At 31 December 20X6, Meng's and DDL's statements of financial position were as follows:

	Meng HK\$'000	DDL HK\$'000
<i>Assets</i>		
Property, plant and equipment	2,310	1,400
Intangible assets	90	50
Investment in DDL	1,500	–
Goodwill	–	–
Inventories	100	120
Trade and other receivables	80	90
Cash	350	400
Total assets	<u>4,430</u>	<u>2,060</u>
<i>Equity</i>		
Share capital	1,200	1,000
Retained earnings	1,580	950
Total equity	<u>2,780</u>	<u>1,950</u>
<i>Liabilities</i>		
Loan	1,200	–
Trade and other payables	450	110
Total equity and liabilities	<u>4,430</u>	<u>2,060</u>

- During the year ended 31 December 20X6, Meng and DDL incurred income and expenses as follows:

	Meng	DDL
	HK\$'000	HK\$'000
Sales revenues	2,450	1,517
Cost of Sales	(1,810)	(1,230)
Gross profit	640	287
Interest income	45	5
Dividend income	8	–
Depreciation expense	(200)	(62)
Interest expense	(20)	(2)
Other expenses	(12)	(8)
Profit for the year	461	220

Other information

- Meng measured the NCI in DDL at the proportionate share of the fair value of the identifiable assets and liabilities of DDL at the acquisition date;
- The useful life of the customer list was four years from date of acquisition. The group's policy was to fully amortise the customer list on a straight-line basis over its useful life;
- DDL had an outstanding trade payable balance to Meng of HK\$25,000 at 31 December 20X6. Meng recognised a corresponding trade receivable of HK\$25,000 at 31 December 20X6;
 - DDL declared and paid a dividend of HK\$10,000 to its shareholders during the year ended 31 December 20X6;
 - During the year ending 31 December 20X6, the following transactions occurred between Meng and DDL:
 - Meng provided management services to DDL for HK\$6,000.
 - DDL sold inventory costing HK\$600,000 to Meng at a 10% mark up to cost. 75% of that inventory remains on hand at the reporting date; and
- In the year ending 31 December 20X5, Meng sold inventory to DDL for HK\$50,000. The carrying amount of that inventory immediately prior to that sale was HK\$35,000. All that inventory remained on hand at 31 December 20X5. All the inventory was on-sold to parties external to the group during the current financial year.

Prepare a consolidation worksheet to establish Meng's consolidated financial position and financial performance for the financial year ending 31 December 20X6.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect. This journal entry incorrectly measured the investment in Rabbit and the NCI as proportionate shares in Rabbit's equity at acquisition date, without regard to the consideration transferred or the fair values of the net assets acquired. Review Chapter 22.

Answer B is incorrect. By debiting cash, this journal entry incorrectly recognised for a second time an asset that had been recognised as part of the consolidation process. It incorrectly (1) measured the net assets at their carrying amounts in Rabbit's financial statements, rather than at fair value as required by HKFRS 3 (Revised), and (2) measured goodwill as the difference between the book values and fair value of the net assets, treating NCI on acquisition as a residual.

Answer C is incorrect. This journal entry had not yet made adjustment to the consolidated position for the NCI in Rabbit, and so the share of net assets attributable to owners of the parent remained overstated.

Answer D is correct. Goodwill was calculated as follows:

	HK\$
Consideration ^a	1,090,000
add: NCI 35% share of net assets ^b	441,630
	1,531,630
less: Fair value of net assets acquired	(1,261,800)
Goodwill on acquisition	269,830

^a Consideration for Rabbit = HK\$1 million cash + (10,000 shares × HK\$9) = HK\$1,090,000

^b NCI = HK\$1,261,800 (the recognised amounts of the identifiable net assets of Rabbit at the acquisition date) × 35% (the NCI ownership) = HK\$441,630

QUESTION 2

Answer A is incorrect. The gain on sale would only be recognised directly in equity if WWL determined that it continued to have control of SLT.

Answer B is correct. In accordance with HKFRS 10, WWL recognised the gain on sale in its profit or loss for the period when it ceased to control SLT.

Answer C is incorrect. Representing the comparative financial statements as though WWL's interest in SLT were always 30% would not accurately portray the financial performance or financial position of WWL during the comparative periods.

Answer D is incorrect. HKFRS 10 required the results of a subsidiary to be included in the consolidated results for the reporting period, up until the time control is lost.

QUESTION 3

Answer A is incorrect. In this acquisition, Garlic made a gain from bargain purchase of HK\$56,604, which would have been recognised during the period. Accordingly, there was no goodwill to recognise in the consolidated statement of financial position.

The gain from bargain purchase was calculated as:

	HK\$
Consideration transferred	943,396
Non-controlling interest (20% × HK\$1,250,000)	250,000
Less: Fair value of net assets at acquisition date	(1,250,000)
Goodwill/(Gain from bargain purchase) on acquisition of Chive	(56,604)

Answer B is correct. Net assets were overstated by the amount of Garlic's investment in Chive of HK\$750,000, which had not yet been eliminated from the consolidated financial statements.

Answer C is incorrect. The NCI's share of equity had to be separately presented on the face of the consolidated statement of financial position, but on 31 December 20X3, this would have included the NCI's share of Chive's post-acquisition profit of HK\$200,000. Therefore, although the consolidated statement of financial position shown in the question is wrong in relation to its presentation of NCI, option C does not accurately describe the amount of the error.

Answer D is incorrect. HKFRS 10 required Garlic's consolidated financial statements to include disclosure of Chive's summarised financial position in the notes to the financial statements and not its share of each consolidated line item on the face of the statement of financial position. This disclosure enabled users of Garlic's financial statements to understand the interest the NCI has in the group's activities and cash flows.

QUESTION 4

Meng prepared the following consolidation worksheet:

	Meng HK'000	DDL HK'000	Consolidation adjustments			Consolidated HK'000
			DR		CR	
			HK'000	Ref	HK'000	
Statement of financial position						
Assets						
Property, plant and equipment	2,310	1,400				3,710
Intangible assets	90	50	100	1,3	50	190
Investment in DDL	1,500	–		2	1,500	–
Goodwill	–	–	140	2		140
Inventories	100	120		7	45	175
Trade and other receivables	80	90		4	25	145
Cash	350	400				750
Total assets	4,430	2,060				5,110

	Consolidation adjustments					Consolidated HK'000
	Meng	DDL	DR	CR		
	HK'000	HK'000	HK'000	Ref	HK'000	
<i>Equity</i>						
Share capital	1,200	1,000	1,000	2		1,200
Retained earnings ^a	1,580	950	600	2,8	8	1,786
			25	3		
			15	6		
			63	9		
			51	10		
Business combination reserve	-	-	100	2,1	100	-
	2,780	1,950				2,984
Non-controlling interest - equity	-	-		2	340	391
				10	51	
Total equity	2,780	1,950				3,375
<i>Liabilities</i>						
Loan	1,200	-				1,200
Trade and other payables	450	110	25	4		535
Total equity and liabilities	4,430	2,060				5,110
<i>Statement of profit or loss</i>						
Sales revenues	2,450	1,517	660	7		3,307
Cost of Sales	(1,810)	(1,230)		6	15	(2,410)
			45	7	660	
Gross profit	640	287				897
Interest income	39	5				44
Dividend income	8	-	8	8		-
Other income	6	-	6	5		-
Depreciation expense	(200)	(62)	25	3		(287)
Interest expense	(20)	(2)				(22)
Other expenses	(12)	(8)		5	6	(14)
Profit for the year	461	220		9	63	618



	Meng HK'000	DDL HK'000	Consolidation adjustments		Consolidated HK'000
			DR HK'000	CR HK'000	
Profit for the year attributable to:					
Owners of the parent					588
Non-controlling interests				10	30
					618

^a This worksheet illustrates that it is unnecessary to disaggregate retained earnings to show the movements in the line item for the period (as illustrated in Section 23.2.4.5) to determine the consolidated retained earnings position.

The following pro forma journal entries were recorded in the consolidation worksheet:

1. Fair value adjustments

	Debit HK\$'000	Credit HK\$'000
Intangible assets	100	
Business combination reserve		100

2. Pre-acquisition equity elimination adjustment

To prepare the pre-acquisition equity elimination adjustment entry, Meng had to first calculate goodwill on consolidation by applying the acquisition method, as follows:

	HK\$'000
Consideration transferred	1,500
<i>add:</i> Non-controlling interest (20% × HK\$1,700,000)	340
	<u>1,840</u>
<i>less:</i> HKFRS 3 recognised amounts of assets and liabilities (HK\$1,600,000 + HK\$100,000)	(1,700)
Goodwill on acquisition	<u>140</u>

Meng recorded the following pro forma journal entry to effect the pre-acquisition equity elimination adjustment:

	Debit HK\$'000	Credit HK\$'000
Share capital	1,000	
Retained earnings	600	
Business combinations reserve	100	
Goodwill	140	
Investment in subsidiary		1,500
Non-controlling interest – equity		340

3. Record additional amortisation expense on intangible asset

	Debit	Credit
	HK\$'000	HK\$'000
Amortisation expense (HK\$100,000/4 years)	25	
Retained earnings (HK\$100,000/4 years)	25	
Intangible asset (accumulated amortisation)		50

4. Eliminate intra-group balances at reporting date

	Debit	Credit
	HK\$'000	HK\$'000
Trade payables	25	
Trade receivables		25

5. Eliminate the intra-group management services rendered

	Debit	Credit
	HK\$'000	HK\$'000
Other income (management services income)	6	
Other expenses (management services expenses)		6

6. Eliminate the unrealised profit in opening inventory arising from the sale of inventory from Meng to DDL

	Debit	Credit
	HK\$'000	HK\$'000
Retained earnings	15	
Cost of Sales (HK\$50,000 – HK\$35,000)		15

7. Eliminate the intra-group sale and unrealised profit in closing inventory

	Debit	Credit
	HK\$'000	HK\$'000
Sales revenue	660	
Cost of Sales		660
Cost of Sales (75% × (HK\$600,000 × 10%))	45	
Inventory		45

8. Eliminate the parent's portion of the dividend from DDL

	Debit	Credit
	HK\$'000	HK\$'000
Dividend income (80% × HK\$10,000)	8	
Retained earnings		8

(see (10) below for the treatment of the NCI portion of the dividend)



9. Recognise current period adjustments to net profit

The net impact of the consolidation adjustments above was a consolidation adjustment to decrease net profit for the period by HK\$63,000. That is, in preparing the consolidated statement of financial position, retained earnings (equity) was debited by HK\$63,000 as a consolidation adjustment. (In practice, this adjustment would normally be brought forward automatically to the consolidated retained earnings in the worksheet.)

10. Allocate the NCI share of the post-acquisition movements in retained earnings and reserves

DDL's contribution to Meng's consolidated profit or loss for the year ended 31 December 20X6 was:

	HK\$'000
DDL's reported profit for the year	220
Reduced by: additional amortisation expense relating to fair value increase to intangible assets on acquisition	(25)
Reduced by: unrealised profit in intra-group sale of inventory	(45)
DDL's contribution to consolidated profit for the year	150

The NCI's contribution to Meng's consolidated profit or loss for the year ended 31 December 20X6 was:

	HK\$'000
NCI share of AAL's contribution to consolidated profit for the year (20% × HK\$150,000)	30

The NCI's share of post-acquisition movements in consolidated equity for the year ended 31 December 20X6 was calculated as:

	HK\$'000
DDL's post-acquisition opening retained earnings (HK\$740,000 ^a – HK\$600,000)	140
Reduced by: additional accumulated amortisation relating to fair value increase to intangible assets on acquisition (1 years × HK\$25,000)	(25)
Adjusted opening retained earnings	115
Increased by: DDL's contribution to consolidated profit for the year	150
Less: dividend distribution	(10)
DDL's adjusted closing retained earnings	255
NCI share of DDL's post-acquisition movements in equity (20% × HK\$255,000)	51

^a Closing retained earnings HK\$950,000 – Current period profit HK\$220,000 + Dividend HK\$10,000 = HK\$740,000

or

	HK\$'000
DDL's post-acquisition closing retained earnings (HK\$950,000 – HK\$600,000)	350
Reduced by: additional accumulated amortisation relating to fair value increase to intangible assets on acquisition (2 years × HK\$25,000)	(50)
Reduced by: unrealised profit on intra-group sale of inventory	(45)
DDL's adjusted closing retained earnings	255
NCI share of DDL's post-acquisition movements in equity (20% × HK\$255,000)	51

Meng recorded the following pro forma journal entries to record the change to NCI share of equity since acquisition:

	Debit	Credit
	HK\$'000	HK\$'000
Retained earnings (opening)	23	
Non-controlling interests – equity (20% × HK\$115,000)		23
(NCI share of consolidated retained earnings of previous periods)		

and

	Debit	Credit
	HK\$'000	HK\$'000
Profit attributable to NCI (p/l)	30	
Non-controlling interests – equity		30
(NCI share of current year profit)		

and

	Debit	Credit
	HK\$'000	HK\$'000
Non-controlling interests – equity	2	
Retained earnings – dividend (20% × HK\$10,000)		2
(NCI share of DDL dividend)		

Alternatively, the journal entries above could have been depicted as a single journal entry to record the post-acquisition movement in NCI as follows:

	Debit	Credit
	HK\$'000	HK\$'000
Retained earnings (HK\$23,000 – HK\$2,000 + HK\$30,000)	51	
Non-controlling interests – equity		51

24

Investments in Associates



CHAPTER TOPIC LIST

24.1 Investment in Associates Overview

24.1.1 Associates

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24.1.3 Equity Method

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24.3 Separate Financial Statements

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24.4.1 Presentation of Investments in Associates

24.4.2 Disclosure of Investments in Associates



LEARNING OUTCOMES

PRINCIPAL LO4: APPLY THE ACCOUNTING PRINCIPLES AND CONCEPTS TO PREPARE FINANCIAL STATEMENTS WITH SIMPLE GROUP STRUCTURES

LO4.02: Prepare consolidated financial statements in accordance with Hong Kong Financial Reporting Standards for investments in associates

4.02.01 Define associate

4.02.02 Explain the meaning of significant influence

4.02.03 Account for investments in associates using the equity method
--

4.02.04 Prepare disclosure in respect of investment in associates
--

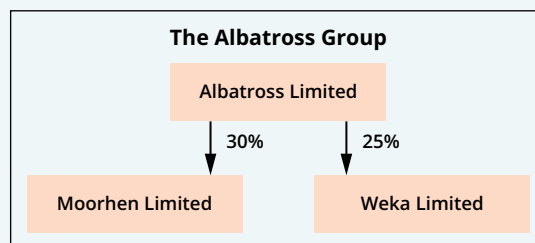
OPENING CASE

THE ALBATROSS GROUP

Introduced in Chapter 23, the Albatross group operates an extensive global logistics network across 600 locations in more than 50 countries. The group is always on the lookout for strategic expansion opportunities. This may involve acquiring existing businesses to gain entry into new geographical markets, eliminating local competition, introducing a new service offering to the group's customers or improving its back-end operational capabilities. In some cases, Albatross Limited (Albatross) expands its operations through entering into a business relationship with one or more other investors to trial a new business venture either by setting up a new company or acquiring an associate ownership interest in an existing company.

Albatross conducts part of its operations via its associates, Moorhen Limited (Moorhen) and Weka Limited (Weka). Moorhen operates as a data and analytics solutions specialist, offering business strategy tools, customer and market insight data assets, media segmentation engines and more to companies. Weka sells cloud-based warehouse management solutions and other supply chain management tools.

Albatross's structure includes the group's associates as diagrammed (the percentages reflect the proportionate shareholding):



Albatross accounts for Moorhen and Weka using the equity method of accounting (or simply called the equity method) in its consolidated financial statements.



OVERVIEW

In Chapters 22 and 23, you were introduced to the accounting for merger and acquisition (M&A) activity and how to prepare consolidated financial statements. In this chapter, you will learn how to account for another type of entity: an entity's interest in an associate. The accounting for associates is primarily specified by HKAS 28 (2011) *Investments in Associates and Joint Ventures* and HKFRS 12 *Disclosure of Interests in Other Entities*.

An associate is an entity over which an investor (being the entity holding the ownership interest) has significant influence. An investor often accounts for such interests in its financial statements using the equity method of accounting. Applying the equity method of accounting recognises that the investor's interest in the associate is something more significant than just a financial investment.

For example, Moorhen is an associate of Albatross and is reported in the Albatross consolidated financial statements using the equity method of accounting. But how does Albatross determine that Moorhen is its associate? And what is the equity method of accounting? By the end of this chapter, you will gain an understanding of what an associate is and be able to explain the meaning of significant influence. You will be able to apply the equity method of accounting which application includes how to account for Moorhen's transactions with other entities in the Albatross group. In addition, you will become familiar with the information an investor discloses about its associates, including understanding how Albatross may report on its investment in Moorhen in its own (separate) financial statements.

This chapter is an introduction to the equity method of accounting. It does not deal with some of the complications that may arise in practice; for example, accounting for step acquisitions, disposals, reciprocal interests, transactions between associates, distributions from pre-acquisition profits and the effect of income taxes.

24.1 INVESTMENTS IN ASSOCIATES OVERVIEW

An investor (the reporting entity) may have an ownership interest in another entity (the investee) that is more than a passive investment interest but does not give it control over that other entity. Such entities are described as associates of the entity. Investors may enter into these arrangements for various reasons, including to trial new businesses in partnership with another investor or as part of a longer-term plan to acquire a controlling interest in the entity.

The accounting for an entity's investments in its associates is primarily detailed in Hong Kong Accounting Standards HKAS 28 (2011) *Investments in Associates and Joint Ventures* and HKFRS 12 *Disclosure of Interests in Other Entities*. HKAS 28 prescribes the accounting for investments in associates and sets out the requirements for the application of the equity method when accounting for investments in associates. HKFRS 12 details the disclosures that an entity makes of its investments in associates.

This section explains how to identify an associate and introduces the method of accounting that applies to these interests.

24.1.1 Associates

HKAS
28.3

An **associate** is an entity over which an investor has significant influence.

An investor does not consolidate an associate. Instead, with limited exceptions, an investor accounts for the investment in its financial statements using the equity method of accounting.

24.1.2 Significant Influence

The assessment of whether an investor has significant influence over another entity is made throughout the duration of the investor's investment in that other entity (i.e. not just at inception). An entity has **significant influence** over another entity when it has:

- the power (i.e. the rights) to participate in the financial and operating policy decisions of that other entity, *but*;
- that power is insufficient to give the entity control or joint control of those policies.

HKAS
28.3

HKAS
28.9

An investor ceases to have significant influence when it loses that power. Similar to control (see Chapter 22), this may occur without a change in the entity's shareholding.

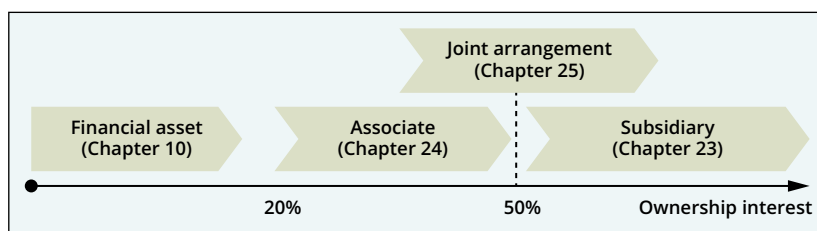
The rebuttable presumptions in HKAS 28 is that an entity holding (i.e. controlling), directly or indirectly through its subsidiaries, with:

- $\geq 20\%$ of the voting power of another entity – has significant influence over that other entity; and
- $< 20\%$ of the voting power of another entity – does not have significant influence over that other entity.

HKAS
28.5

In this module, we assume that voting power is demonstrated by the ownership interest. However, you should be aware this may not always be true in practice.

Exhibit 24.1 illustrates the ownership interest generally associated with different ‘levels’ of investment. An investor holding more than 50% of the voting power of another entity would normally have control, rather than just significant influence, over that other entity. In such cases, the investor has the power to *direct* the **relevant activities** of the investee (compared to merely being able to *participate* in the financial and operating policy decision-making process) and so must account for the other entity as a subsidiary in accordance with HKFRS 10 *Consolidated Financial Statements*. (However, unlike HKAS 28, HKFRS 10 does not take a ‘rebuttable presumption’ approach but emphasises the existence of control.)



► **EXHIBIT 24.1** Type of investment and its generally-associated ownership interest

An investor holding less than 20% of the voting power of another entity would normally be unable to significantly influence that other entity. In these cases, the investor treats the investment as a financial asset within the scope of HKFRS 9 *Financial Instruments* and measures it at fair value (either fair value through profit or loss or fair value through other comprehensive income – see Chapter 10).

The rebuttable presumptions in HKAS 28 can be challenged if the evidence suggests otherwise. For example:

- an investor’s ownership interest in an associate under administration does not change, but the entity may no longer have the power to participate in the financial and operating policy decisions of the associate as the power now lies with the administrator; and
- a contractual arrangement may provide evidence of an investor’s ability to significantly influence another entity even though it holds less than 20% ownership interest.

HKAS
28.5

Indicators that an entity has the power to participate in the financial and operating policy decisions (i.e. is able to significantly influence) another entity include:

- representation on the board of directors of that other entity;
- participation in that other entity’s policy-making processes, including decisions about dividends or other distributions;
- material transactions between the two entities;
- interchange of managerial personnel; and
- provision of essential technical information.

HKAS
28.6

Illustrative Example 1

Albatross holds 30% of Moorhen's ordinary shares giving it 30% of the voting power. The remaining ownership interest in Moorhen is held by two other parties, each holding 35% of the voting power. Albatross has entered into a contractual agreement with these other investors giving it the power to appoint two out of the six directors on Moorhen's Board of Directors.

Moorhen trades with Albatross and its subsidiaries. In addition, to learn from each other, Albatross has seconded its deputy Chief Executive Officer (CEO) to Moorhen in exchange for the deputy CEO from Moorhen.

When Albatross assesses whether Moorhen is an associate of the group, it first considers the extent of the ownership interest held. On the basis of its 30% ownership interest, Moorhen is an associate of Albatross.

However, in accordance with HKAS 28, this presumption is rebuttable where there is evidence to suggest otherwise. Accordingly, Albatross considers whether facts and circumstances would lead Albatross to a different conclusion.

On review of the relevant facts and circumstances, Albatross additionally observes:

- Albatross has the right to nominate two of the six directors of Moorhen, enabling it to influence the direction of the company and decisions about distributions;
- intercompany transactions between Moorhen and other entities in the group may or may not be material; and
- an interchange of senior managerial personnel between Moorhen and Albatross indicates Albatross has some power to participate in financial and operating policy decisions of Moorhen.

Albatross's 30% ownership and its right to nominate two of the six directors are insufficient to enable it to compel Moorhen to act in a particular manner in relation to its relevant activities. For example, the other two shareholders or the four other directors could vote together in a manner that does not benefit Albatross. That is, the facts and circumstances do not provide evidence to lead Albatross to a conclusion that it has control of Moorhen. However, these facts and circumstances provide evidence that Albatross has the power to participate in Moorhen's financial and operating policy decisions, rather than suggesting that the group's share of voting power of Moorhen does not give rise to significant influence.

Hence, Albatross concludes that, on the basis of the available evidence, Moorhen is an associate of the Albatross group.

24.1.3 Equity Method

HKAS 28 posits that because an investor has significant influence over an associate, it has contributed to the associate's performance and, accordingly, should reflect this in its financial statements. Hence, generally, an investor must account for an associate using the **equity method** of accounting. The equity method is a way of recognising that users of financial statements may want to know more information about the periodic performance of an associate beyond the dividend return.

The equity method is a method of accounting whereby:

- the investment is initially recognised at cost, and
- adjusted thereafter for the post-acquisition change in the investor's share of the associate's net assets.

HKAS
28.3

Under the equity method, the investor's comprehensive income includes its share of the associate's profit or loss and other comprehensive income.

Limited specified exceptions apply to the requirement to apply the equity method; these exceptions relate to the nature of the company or its circumstances, whereby a different measurement basis was considered by the standard-setter to provide more relevant and decision-useful information to users of the financial statements (or for cost-benefit reasons).

► Knowledge Check Questions

Question 1

Explain the relationship among the terms; 'associate', 'significant influence' and 'equity method'.

Question 2

Identify which of the following statements is true.

- A** An investor holding a 25% interest in another entity must apply the equity method of accounting to account for that investment.
- B** An investor holding an 18% interest in another entity can be presumed not to have significant influence over that other entity.
- C** An investor able to appoint seven out of 10 directors of an entity must apply the equity method of accounting to account for its investment in that entity.
- D** An investor has significant influence over another entity when it has power that gives it the ability to direct activities of the other entity that affect the investor's variable returns, and the ability to use that power.

Question 3

Identify in which of the following situations an investor is, prima facie, likely to be able to significantly influence the investee.

- A** DEF Limited and Investor S hold 15% and 24% of the voting power in LMN Limited, respectively. DEF Limited and Investor S have agreed to vote similarly in all cases.
- B** HJK Limited holds 23% of the voting power in PQR Limited. The remaining shareholding in PQR Limited is widely dispersed with no other shareholder holding more than 15%.
- C** ABC Limited and Investor Q hold 25% and 30% of the voting power in XYZ Limited respectively. ABC Limited and Investor Q have a contractual agreement that gives ABC Limited control over Investor Q's vote.
- D** OMN Limited holds 18% of the voting power in STU Limited. Investor Tu holds the remaining 82% voting power. The CEO and CFO of OMN Limited are the CEO and CFO of STU Limited. In addition, a contractual agreement gives OMN Limited the right to appoint two out of the six Board directors.



24.2 APPLYING THE EQUITY METHOD OF ACCOUNTING

In this section, you will learn how to apply the equity method of accounting (also referred to as 'equity accounting'). You may have heard the equity method described elsewhere as a 'one-line consolidation'. This is not necessarily an accurate depiction as some important differences exist between the equity method and consolidation principles. It may be more appropriate, therefore, to think of the equity method as a measurement technique that borrows from the principles of consolidation.

Key Learning Point

The equity method of accounting (equity method) recognises that an entity acquires an interest in the identifiable net assets of the investee (by virtue of it having significant influence over the investee) but not control of the assets and liabilities of the investee. That is, the investor cannot direct the investee how to use its assets but can contribute to that decision making and in return will share in the returns from those assets. As such, in equity accounting, consolidation principles, such as the separate recognition of assets and liabilities of the investee, do not apply because the investor cannot direct the use of the investee's assets. Hence, analogising equity accounting as a 'one-line consolidation' could lead to inappropriate application of the equity method.

Where HKAS 28 requires an associate to be accounted for using the equity method, the equity method of accounting is applied to account for an associate in an investor's:

- 'consolidated financial statements' (e.g. those prepared by Albatross in respect of the Albatross group);
- 'equity accounted financial statements' (those prepared by an entity that holds an interest in an associate but that is not a parent);
- *but* not necessarily also in an entity's separate financial statements (discussed in Section 24.3).

Consequently, an investor must decide how it intends to maintain its records if it needs to distinguish among the different measurement bases that apply to its presented financial statements. Some entities – for example, a parent preparing consolidated financial statements – may use a consolidation worksheet to record post-acquisition movements related to its net investment in an associate. Other entities may post these movements directly in their accounting records. Accordingly, the recorded journal entries (or pro forma journal entries) could differ between entities. Care should be taken to understand the appropriate journal entries that will need to be recorded.

This chapter, in the first instance, will discuss the accounting assuming that the investor posts movements to the carrying amount of the investment directly in its accounting records. Where a consolidation worksheet is used, consolidation adjustments are made to 'update' the

carrying amount of the investment in the associate's separate financial statements (usually cost, see Section 24.3) to the equity accounted amount; the difference from posting the movements directly into the accounting records is that, in this case, an extra entry is required to capture the prior periods' movements to the investment balance (e.g. to increase the carrying amount by the investor's share of the associate's profits of earlier periods).

24.2.1 Basic Principles

As illustrated in Exhibit 24.2, the equity method is based on the following principles:

- the initial investment is brought to account at cost;
- the carrying amount of the investment is adjusted by the investor's share of an associate's post-acquisition profits and losses and other comprehensive income;
- the carrying amount of the investment is reduced by all dividends received/receivable from the associate (see Section 24.2.3.1);
- the investor's share of an associate's post-acquisition profits and losses is recognised in the investor's profit or loss;
- the investor's share of an associate's post-acquisition movements in other comprehensive income is recognised in the investor's other comprehensive income; and
- the carrying amount of the investment is adjusted either directly, or indirectly via the investor's share of an associate's post-acquisition profits and losses and other comprehensive income, to eliminate the investor's share of unrealised gains and losses arising on transactions between itself and its associate.

Equity accounted investment	
Cost	x,xxx
+ Share of associates net profit for the period	x,xxx ← Recognised in the investor's profit or loss
+ Share of associates other comprehensive income for the period	x,xxx ← Recognised in the investor's other comprehensive income
– Dividends received from associate	x,xxx
+/- Other changes in net assets	x,xxx
Equity accounted carrying amount	<u>x,xxx</u>
Recognised in the investor's statement of financial position	

► **EXHIBIT 24.2** Equity accounted investment

Key Learning Point

It may be helpful to think of the carrying amount of the investment in an associate as being 'revalued' each reporting period, with the extent of the movement determined by adjustments necessary to reflect the investor's share of the post-acquisition change in the associate's net assets.

Unlike consolidation, under the equity method, the assets and liabilities of the associate are not separately recognised in the statement of financial position of the investor. Instead, the investor recognises its investment as a financial asset, for example, 'investment in associate'. As an asset, the minimum amount recognisable is nil. Hence, unlike the case for consolidated entities, an investor stops recognising its share of losses of an associate once its net investment in the associate is written down to zero; this is generally described as 'ceasing to equity account'. This module does not address the accounting for loss-making associates; however, you should be aware that in these cases the investor must continue to (1) record the movements so it can track when amounts should once again be recognised in the financial statements, and (2) recognise a liability for legal or constructive obligations it has incurred on behalf of the associate.

HKAS
28.38–39

Before proceeding any further, to apply the equity method of accounting, you must first appreciate (1) features of an associate's post-acquisition profits and losses and other comprehensive income, and (2) how to determine 'the investor's share'.

24.2.1.1 The Associate's Profits and Losses and Other Comprehensive Income

Under equity accounting, the investor recognises its share of an associate's profits and losses and other comprehensive income.

For these purposes, an associate's financial statements must be:

- adjusted for the effect of different accounting policies; and
- the most recently available financial statements and of the same date as the financial statements of the investor unless impracticable. A difference of up to three months is possible, but the associate's financial statements must be adjusted to reflect the effect of significant transactions and events that occur during this period.

HKAS
28.33–36

This is so the investor's financial statements are prepared using uniform accounting policies for like transactions and events in similar circumstances and reflect results and the financial position for similar periods. For instance, how useful would users of an investor's financial statements find six-month old information about associates included in the investor's current financial statements, especially if economic conditions had significantly changed since that period?

For the purposes of simplicity, this chapter will assume the associate's accounting policies and reporting periods align with that of the investor.

Profit/loss reported in an associate's own financial statements	≠	Profit/loss for equity accounting purposes
Other comprehensive income reported in an associate's own financial statements	≠	Other comprehensive income for equity accounting purposes

► **EXHIBIT 24.3 Equity accounted profits and losses and other comprehensive income**

Similar to the consolidation process and as illustrated in Exhibit 24.3, an associate's profits and losses and other comprehensive income would not normally be the same as the amounts reported in the associate's own financial statements. This is because adjustment to the associate

reported amounts are necessary, commonly with respect to (1) depreciation relating to fair value adjustments on acquisition, and (2) 'upstream' transactions resulting in unrealised gains or losses to the group; these adjustments are explained further in Sections 24.2.2 and 24.2.3.2.

24.2.1.2 The Investor's Ownership Interest in an Associate

HKAS
28.12

In most cases, the investor's ownership interest (its 'share') in an associate is based on the present ownership interest held by the investor and its subsidiaries.

For the purposes of this module, the present ownership interest is represented by the percentage ordinary shareholding held directly by the investor.

24.2.2 Implicit Goodwill and Fair Value Adjustments

The first step in equity accounting an associate is to recognise the investment at cost and that equity accounting requires the investor to understand the assets and liabilities underpinning its investment.

For the purposes of equity accounting, the investor must determine whether it has paid a premium representing goodwill or whether it has acquired the investment at a discount. Similar to the accounting for a business combination (see Chapter 22), the investor does this by determining the difference between its share of the net fair value of the associate's identifiable assets and liabilities and the cost of the investment. Identifying whether the investor has paid for goodwill or purchased the investment at a discount is important as their impacts on the financial statements vary.

Because the investor is required to determine its share of the net fair value of the associate's identifiable assets and liabilities in determining whether it has paid a premium for goodwill, the investor must attend to these fair values in the determination of its share of the associate's profit or loss through additional/reduced depreciation expenses.

Sections 24.2.2.1 and 24.2.2.2 will explain how goodwill/discount and fair value adjustments affect the equity accounted carrying amount of the investment.

24.2.2.1 Implicit Goodwill

HKAS
28.32

As noted earlier, for the purposes of equity accounting its associate, the investor must understand whether it has acquired the investment at a premium representing goodwill or at a discount. Goodwill or the discount on acquisition is calculated as depicted in Exhibit 24.4.

Unlike the acquisition of a business, in calculating the goodwill or discount on acquisition of an associate, there is no need to determine the share of the net assets belonging to other investors. This is because the net assets of the associate are not recognised by the investor in its statement of financial position; only the investor's share of the net assets is recognised.

$$\text{Goodwill (or discount on acquisition)} = \text{Cost} - \left[\% \text{ ownership interest} \times \text{Net fair value of identifiable assets and liabilities of the associate} \right]$$

► **EXHIBIT 24.4** Calculating the implicit goodwill or discount



Apply and Analyse 1

On 1 July 20X1, Albatross acquired 30% of Moorhen Limited (Moorhen). Moorhen's financial statements on that date revealed the following:

	HK\$'000
Assets	
Property, plant and equipment	10,680
Trade and other receivables	8,000
Cash and cash equivalents	5,950
Total assets	24,630
Equity and liabilities	
Share capital	10,000
Retained earnings and reserves	8,730
Bank loan	3,500
Trade and other payables	2,400
Total equity and liabilities	24,630

As part of its due diligence before investing in Moorhen, Albatross identified that Moorhen owned a trademark not included as part of its recognised assets and liabilities. Albatross estimated the fair value of the trademark to be HK\$200,000. The carrying amounts of all other recognised assets and liabilities were assessed as being materially equal to their fair values at the acquisition date.

Calculate the goodwill or discount on acquisition arising if the consideration paid for Moorhen was (1) HK\$6 million, and (2) HK\$5.5 million. Assume no directly attributable costs were related to acquiring Moorhen.

Analysis

To calculate the goodwill or discount on acquisition, Albatross must first determine the net fair value of Moorhen's identifiable assets and liabilities at acquisition:

	HK\$'000
Net assets recognised by Moorhen	18,730
<i>add:</i> Fair value increase – trademark	200
Fair value of net assets at acquisition	18,930

Apply and Analyse 1 (continued)

The following analysis shows the impact on goodwill or a discount on acquisition of acquisition-date fair value adjustments to the carrying amount of the associate if the consideration paid for the associate was (1) HK\$6 million, and (2) HK\$5.5 million:

	Consideration HK\$6 million	Consideration HK\$5.5 million
	HK\$'000	HK\$'000
Cost of the investment	6,000	5,500
less: Share of net fair value of identifiable assets and liabilities (HK\$18,930,000 × 30%)	(5,679)	(5,679)
Goodwill/(discount) on acquisition	321	(179)

The difference between the cost of the investment and the entity's share of the net fair value of the associate's identifiable net assets was treated as follows:

- goodwill – included *implicitly* in the carrying amount of the investment. The entity might make a note to record this but makes no further journal entry. A separate 'goodwill' asset is not recognised; why this is important will be discussed in Section 24.2.4; and
- discount on acquisition – recognised in profit or loss as part of the entity's share of the associate's profit or loss in the period in which the investment is acquired.

HKAS
28.32

Illustrative Example 2

(This is a continuation of the previous Apply and Analyse.)

Immediately subsequent to the acquisition, Albatross's equity accounted carrying amount of its investment in Moorhen was determined as:

	Consideration HK\$6 million	Consideration HK\$5.5 million
	HK\$'000	HK\$'000
Cost of the investment	6,000	5,500
add: Share of associate's profit or loss	–	179
Carrying amount of the associate	6,000	5,679

24.2.2.2 Fair Value Adjustments

As identified in Section 24.2.1.1, the investor's share of an associate's post-acquisition profit or loss must include adjustments for depreciation related to fair value adjustments reflected in the initial accounting for the associate. For example, an associate's profit or loss may need to be adjusted to reflect more or less depreciation expenses based on the fair value of property, plant and equipment on the date equity accounting begins.

HKAS
28.32

Apply and Analyse 2

(This is a continuation of Apply and Analyse 1.)

On 1 July 20X1, Albatross determined that Moorhen's unrecognised trademark had a useful life of 10 years and nil residual value. Consistent with its accounting policies for other trademarks held, Albatross amortised the trademark on a straight-line basis.

Moorhen's net profit for the period post-acquisition to Albatross's reporting date of 30 June 20X2 was HK\$980,000.

Determine the equity accounted carrying amount of Albatross's investment in Moorhen's at 30 June 20X2 if the consideration paid for Moorhen had been (1) HK\$6 million, and (2) HK\$5.5 million.

Analysis

To determine the equity accounted carrying amount of Albatross's investment in Moorhen at 30 June 20X2, Albatross had to first determine its share of the associate's profit or loss for the year.

Albatross's share of Moorhen's profit for the year ended 30 June 20X2 was determined as follows:

	Consideration HK\$6 million	Consideration HK\$5.5 million
	HK\$	HK\$
Moorhen's reported net profit	980,000	980,000
<i>less:</i> Additional amortisation from fair value adjustment on acquisition (HK\$200,000/10 yr)	(20,000)	(20,000)
Moorhen's adjusted profit for the year	960,000	960,000
Albatross's share of Moorhen's adjusted profit for the year (30% × HK\$960,000)	288,000	288,000
<i>add:</i> Discount on acquisition (previously calculated)	-	179,000
Albatross's share of associate's net profit for the year	288,000	467,000

Albatross recorded the following journal entry to recognise its share of Moorhen's profit or loss for the year:

Particular	Debit	Credit
	HK\$	HK\$
Investment in Moorhen	288,000 (or 467,000)	
Share of associate's profit or loss		288,000 (or 467,000)

Apply and Analyse 2 (continued)

The equity accounted carrying amount of Albatross's investment in Moorhen was:

	Consideration HK\$6 million	Consideration HK\$5.5 million
	HK\$	HK\$
Carrying amount at the start of the period	–	–
Cost	6,000,000	5,500,000
<i>add:</i> Share of associates net profit for the period	288,000	467,000
<i>add:</i> Share of associates other comprehensive income for the period	–	–
Investment in Moorhen at 30 June 20X2	6,288,000	5,967,000

24.2.3 Distributions and Other Adjustments

An investor may receive returns from its associate in the form of dividends. Also, the investor (or its subsidiaries) may engage in trade with the associate. When preparing consolidated financial statements, an investor fully eliminates the effects of intra-group transactions (including any intra-group balances). However, when equity accounting, an investor recognises the gains and losses resulting from 'upstream' and 'downstream' transactions between the associate and its investor (or the investor's subsidiaries) in its financial statements to the extent of unrelated investors' interests in the associate.

HKAS
28.28

Now, what does this mean and how is this actioned in practice? Is this the same as determining and attributing to the NCI its share of consolidated profit and net assets? In Sections 24.2.3.1 and 24.2.3.2, you will learn how dividend distributions and other transactions between the associate and the investor affect the determination of the equity accounted carrying amount of the investment and/or its share of the associate's profits or loss and other comprehensive income.

24.2.3.1 Distributions from an Associate to the Investor

A dividend distribution from an associate to its investor is not recognised by the investor as dividend income but as a reduction in the carrying amount of the net investment in the associate. This avoids double-counting the profits of the associate; under the equity method, the investor recognises in profit or loss its share of the associate's profit or loss and other comprehensive income.

HKAS
28.10

That is, rather than recording a journal entry, for example, DR Cash (or Dividend receivable) CR Dividend Income, as it would appear if it were not equity accounting the investment, the investor's financial statements must reflect the following journal entry:

	HK\$	HK\$
DR Cash (or Dividend receivable)	x,xxx	
CR Investment in associate		x,xxx

Recall that different entities may maintain records for accounting for their associates in differing ways. Accordingly, though the journal entry prepared might be different, the effect of it must be to recognise the increase in an asset (cash or dividend receivable) with a corresponding decrease to the carrying amount of the equity accounted investment. For example, if a consolidation worksheet were used, to have an impact on the above entry, the entity would process the following pro forma journal entry:

	HK\$	HK\$
DR Dividend income	x,xxx	
CR Investment in associate		x,xxx

Apply and Analyse 3

(This is a continuation of Apply and Analyse 1 and 2.)

Assume that on 20 September 20X1, Moorhen declared a dividend of HK\$80,000 to Albatross out of its post-acquisition profits. Determine how the previously calculated equity accounted carrying amount of Moorhen at 30 June 20X2 would be affected by this dividend if the consideration paid for Moorhen was (1) HK\$6 million, and (2) HK\$5.5 million.

Analysis

In its statement of financial position as of 30 June 20X2, Albatross determined its equity accounted carrying amount of its investment in Moorhen as follows:

	Consideration HK\$6 million	Consideration HK\$5.5 million
	HK\$	HK\$
Carrying amount at the start of the period	-	-
Cost	6,000,000	5,500,000
<i>add:</i> Share of associates net profit for the period (previously calculated)	288,000	467,000
<i>less:</i> Dividends declared during the period	(80,000)	(80,000)
Investment in Moorhen at 30 June 20X2	6,208,000	5,887,000

This might be captured in a consolidation worksheet in the following manner (illustrating consideration of HK\$6 million). Observe that the consolidation worksheet does not include a column for Moorhen because the financial statements of Moorhen were not 'added across' in the same manner as for a subsidiary:

Apply and Analyse 3 (continued)

	Albatross	Adjustments			Consolidated
		DR		CR	
		HK\$'000	Ref	HK\$'000	
Statement of financial position (extract)					
Assets					
Investment in Moorhen	6,000	288	1,2	80	6,208
Equity					
Retained earnings: current year profit	300*	80	2,1	288	508

* Amount included for illustrative purposes only.

Ref 1 illustrates the journal entry to adjust the carrying amount of the investment by the investor's share of the associate's profits for the period:

Particular	Debit HK\$	Credit HK\$
Investment in Moorhen	288,000	
Share of associate's profit for the year (p/l)		288,000

Ref 2 illustrates the journal entry to adjust the carrying amount of the investment to recognise the investor's share of the dividend:

Particular	Debit HK\$	Credit HK\$
Dividend income (p/l)	80,000	
Investment in Moorhen		80,000

24.2.3.2 Other Intercompany Transactions Between the Investor and the Associate

Intercompany transactions between the investor (or its subsidiaries) and its associate are 'upstream' (associate to investor) or 'downstream' transactions (investor to associate). As mentioned earlier, when equity accounting, gains and losses resulting from these transactions are recognised in the investor's financial statements only to the extent of unrelated investors' interests in the associate. That is, the investor's share of the gain or loss must be eliminated to the extent it is, from the investor's perspective, not yet earned ('unrealised').

Examples of common intercompany transactions that give rise to unrealised gains or losses are:

- the sale of inventory between an associate and its investor; and
- the sale of non-current assets between an associate and its investor.

In a sale of non-current assets, the unrealised gain or loss on sale is earned (effectively 'realised') by the seller as the future economic benefits in the asset are consumed through use of the asset. This is reflected through adjusting the seller's reported net profit or loss by the periodic adjustment to restate depreciation as though the asset continued to be carried at its cost before sale.

HKAS 28 is unclear how the requirement to eliminate the investor's share of gains and losses from 'upstream' and 'downstream' transactions between the investor and its associates is to be actioned in the financial statements. As a result, practice varies.

Some view an appropriate approach to be for upstream and downstream gains and losses to be eliminated against only the limited specified line items relating to the associate (i.e. DR/CR Share of associate's profit or loss DR/CR Investment in associate), in effect, adjusting the measurement of the share of associate's profit or loss for the period (Approach 1).

Others consider an appropriate approach is to treat the adjustments in the following manner:

- upstream transactions: eliminate the investor's share of the gain or loss by adjusting its share of the associate's profit or loss against the appropriate line item in the investor's statement of financial position, e.g.:

DR Share of associate's profit or loss	HK\$x,xxx	
CR Inventory/Property, plant and equipment		HK\$x,xxx

- downstream transactions: eliminate the investor's share of the gain or loss by adjusting its investment in the associate against the relevant line item in the investor's statement of profit or loss and other comprehensive income, e.g.:

DR Cost of Sales /Gain on sale of PPE	HK\$x,xxx	
CR Investment in associate		HK\$x,xxx

This chapter will use the second approach for illustrative purposes. This approach considers that the identity of the entity that records the gain or loss on the transaction and the entity that holds the asset that is the subject of the transaction are relevant when determining the accounts to be adjusted (Approach 2).

From Chapter 23, you may recall that other intra-group transactions include the sale of services or borrowings extended between the related parties. Likewise, an associate and its investor may engage in similar activity. However, because these transactions do not typically give rise to unrealised gains and losses, in applying the equity method, no adjustments are necessary for these type of intercompany transactions to the extent there is no 'unrealised' component reflected in the recognised amounts. No elimination of intercompany balances is necessary; under the equity method, the line-by-line results and financial position of the associate are not presented in the investor's financial statements.

Illustrative Example 3

Albatross Limited's (Albatross) ownership interest in its associate Weka Limited (Weka) is 25%. During the year, Weka sold cardboard boxes to Albatross for HK\$120,000. The cost of the boxes to Weka was HK\$50,000. All the boxes remained on hand at reporting date 30 June 20X3. Weka's net profit for the year was HK\$800,000.

Illustrative Example 3 (continued)

On 1 July 20X2, the equity accounted carrying amount of Albatross's investment in Weka was HK\$500,000.

To equity account the associate, in its consolidation worksheet, Albatross recognised its share of the Weka's profit for the year by recording the following pro forma journal entry:

	Debit	Credit
	HK\$	HK\$
Investment in associate (Weka)	200,000	
Share of associate's profit or loss (25% x HK\$800,000)		200,000

In addition, Albatross had to eliminate its share of the gain of HK\$70,000 that Weka made on the intercompany transaction. This share of the gain was 'unrealised' from Albatross' perspective as it still held the inventory at 30 June 20X3. To eliminate the intercompany gain on the sale, using Approach 1 (adjust the limited line items for associates), Albatross records:

	Debit	Credit
	HK\$	HK\$
Share of associate's profit or loss (25% x HK\$70,000)	17,500	
Investment in associate (Weka)		17,500

Consequently, the equity accounted carrying amount of the associate at 30 June 20X3 was HK\$682,500 (HK\$500,000 + HK\$200,000 – HK\$17,500).

Alternatively, the intercompany gain could have been eliminated using Approach 2 (consider the identity of the entity that records the gain or loss on the transaction and the entity that holds the asset that is the subject of the transaction). In this case, as this is an upstream transaction (Weka sold to Albatross), the elimination was made against Albatross' share of Weka's profit for the period and (the inflated) inventory held by Albatross. The pro forma journal entry to eliminate the gain under Approach 2 was:

	Debit	Credit
	HK\$	HK\$
Share of associate's profit or loss (25% x \$70,000)	17,500	
Inventory		17,500

Consequently, under Approach 2, the equity accounted carrying amount of the associate at 30 June 20X3 was HK\$700,000 (HK\$500,000 + HK\$200,000), but inventory was carried at HK\$17,500 less than under Approach 1.

Apply and Analyse 4

(This is a continuation of Illustrative Example 3.)

Albatross was preparing its consolidated financial statements for the year ended 30 June 20X3. Using the information from the preceding Illustrative Example prepare the consolidation worksheet journal entries necessary to equity account the investment in Weka, reflecting the sale of inventory.

Assume the following:

- Weka was carried at its cost of HK\$370,000 in Albatross' separate financial statements.
- There were no other intercompany transactions.
- Albatross' closing inventory is HK\$120,000 and its opening retained earnings position was HK\$1.793 million.

Analysis

Intercompany gain on sale eliminated using Approach 1 (adjust the limited line items):

	Adjustments				
	Albatross	DR		CR	Consolidated
	HK\$'000	HK\$'000	Ref	HK\$'000	HK\$'000
<i>Statement of financial position (extract)</i>					
Assets					
Investment in Weka	370.0	130.0	1		682.5
		200.0	2		
			3a	17.5	
Equity					
Retained earnings: current year profit:					
Opening retained earnings	1,793.0		1	130.0	1,923.0
<i>Statement of profit or loss and other comprehensive income (extract)</i>					
Share of associate's profit for the year	—	17.5	3a,2	200.0	182.5

Intercompany gain on sale eliminated using Approach 2 (consider the identity of the entity that records the gain or loss on the transaction and the entity that holds the asset that is the subject of the transaction):

	Adjustments				
	Albatross	DR		CR	Consolidated
	HK\$'000	HK\$'000	Ref	HK\$'000	HK\$'000
<i>Statement of financial position (extract)</i>					
Assets					
Investment in Weka	370.0	130.0	1		700.0

Apply and Analyse 4 (continued)

	Adjustments				
	Albatross	DR		CR	Consolidated
	HK\$'000	HK\$'000	Ref	HK\$'000	HK\$'000
		200.0	2		
Inventory	120.0		3b	17.5	102.5
Equity					
Retained earnings: current year profit					
Opening retained earnings	1,793.0		1	130.0	1,923.0
<i>Statement of profit or loss and other comprehensive income (extract)</i>					
Share of associate's profit for the year	—	17.5	3b,2	200.0	182.5

Ref 1 – increased the carrying amount of the investment from that included in the separate financial statements to its opening equity accounted position. The credit entry was made against retained earnings to reflect the recognition in the prior period income of Albatross' share of Weka's profits of those accounting periods.

	Debit	Credit
	HK\$	HK\$
Investment in Weka (HK\$500,000 – HK\$370,000)	130,000	
Retained earnings – share of associate's profit or loss		130,000

In this exercise, Albatross' opening equity accounted position was known (HK\$500,000: provided in Illustrative Example 3). In practice, it may be necessary to otherwise identify the investor's share of the associate's profits of earlier periods. This can be determined by comparing the associate's retained earnings position on the acquisition date to its retained earnings at the beginning of the current reporting period, making adjustment for any unrealised gains or losses included in the opening retained earnings position.

Ref 2 – increased the carrying amount of the investment by Albatross' share of Weka's profits for the year. The journal entry was illustrated in Illustrative Example 3.

Ref 3a and 3b – eliminated Albatross' share of the unrealised gain in the intercompany sale of inventory. The journal entries for Ref 3a (Approach 1) and Ref 3b (Approach 2) were illustrated in Illustrative Example 3.

Apply and Analyse 5

Assume that the intercompany sale of inventory was instead made from Albatross to Weka. Prepare the journal entry for Albatross' consolidation worksheet to eliminate the gain on the intercompany sale.

Analysis

In calculating Albatross' share of Weka's profit for the year, Albatross had to eliminate its share of the gain of HK\$70,000 that it made on the intercompany transaction. This gain was 'unrealised' from Albatross' perspective as Weka still held the inventory at 30 June 20X3.

Under Approach 1 (adjust the limited line items for associates), the gain on the intercompany transaction is eliminated by recording the following pro forma journal entry:

	Debit	Credit
	HK\$	HK\$
Share of profit or associate (25% x HK\$70,000)	17,500	
Investment in associate (Weka)		17,500

That is, the journal entry to eliminate the gain on the intercompany sale does not differ whether the transaction is an upstream or downstream transaction.

Alternatively, the intercompany gain could have been eliminated using Approach 2 (*consider the identity of the entity that records the gain or loss on the transaction and the entity that holds the asset that is the subject of the transaction*). In this case, as this is a downstream transaction (Albatross sold to Weka), the unrealised gain was eliminated by adjusting Albatross' cost of sales (the line item in which Albatross would have originally recognised the gain) for the period against the carrying amount of the investment in Weka. To effect this, Albatross prepares the following pro forma journal entry:

	Debit	Credit
	HK\$	HK\$
Cost of Sales (25% x HK\$70,000)	17,500	
Investment in Weka		17,500

Consequently, under Approach 2, the equity accounted carrying amount of the associate at 30 June 20X3 was HK\$682,500 (HK\$500,000 + HK\$200,000 – HK\$17,500). Its reported share of the associate's profit or loss was HK\$17,500 higher than under Approach 1 but its gross profit is HK\$17,500 lower.

There are two downstream exceptions to the requirement to recognise gains and losses only to the extent of external interests in the associate: (1) where the downstream transaction provides evidence of a loss in the value of a transferred asset, and (2) where a non-monetary contribution is made to the associate in exchange for an equity interest. These exceptions are not covered in this module.

24.2.4 Impairment

HKAS
28.40, 36.4

The carrying amount of an investor's investment in an associate is subject to impairment testing when there is objective evidence the investment is impaired. There is objective evidence the investment is impaired when a loss event (or events) impacting the estimated future cash flows from the investment has occurred:

- the associate being in significant financial difficulty;
- the associate breaching a contract, for example, a default or delinquency in payments;
- the entity, for economic or legal reasons relating to its associate's financial difficulty, granting the associate a concession that the entity would not otherwise consider;
- the associate will probably enter bankruptcy or other financial reorganisation;
- the disappearance of an active market for the investment because of the associate's financial difficulties;
- significant changes with an adverse effect that have taken place in the technological, market, economic or legal environment in which the associate operates and which indicate the investment may not be recoverable; and
- a significant or prolonged decline in the fair value of an investment in an equity instrument below its cost.

HKAS
28.41A–C

Where there is objective evidence of impairment, the carrying amount of the investment is tested for impairment as a *single asset* by comparing the recoverable amount of the investment with its carrying amount. Any goodwill identified on acquisition is not separately identified or tested. In accordance with HKAS 36, the investment is written down to its recoverable amount if this is lower than its carrying amount, by processing the following journal entry:

HKAS
28.42

DR Impairment loss	x,xxx	
CR Investment in associate		x,xxx

HKAS
28.42

The recoverable amount of the investment is the higher of its fair value less costs to sell and its value in use.

Where the recoverable amount of the net investment subsequently increases, a reversal of the impairment loss may be recognised in accordance with HKAS 36 *Impairment of Assets*. In Chapter 11, an impairment of goodwill arising in a business combination cannot be reversed. Because goodwill implicit in the carrying amount of an associate is not separately tested for impairment, the full amount of the impairment loss could be reversed (subject to the constraints imposed by HKAS 36).

HKAS
28.42

► Knowledge Check Questions

Question 4

'When applying the equity method, any goodwill arising on the acquisition of an associate is separately recognised in the investor's consolidated statement of financial position'.

Explain whether this accounting treatment is correct.

Question 5

Identify which one of the following statements is true.

- A** All changes to the equity accounted carrying amount of an investment in an associate are recognised in the investor's profit or loss for the period.
- B** To avoid double-counting in the statement of profit or loss, an investor's share of an associate's profit or loss must be reduced by the amount of the dividend declared by the associate.
- C** An investment in an associate acquired at a discount is initially recognised at the amount of the consideration transferred plus the discount. This has the effect of recognising the investment at its fair value on acquisition.
- D** To calculate the investor's share of an associate's profit for the period, the associate's reported profit or loss must be adjusted to reflect additional or reduced depreciation expenses arising as a result of the notional acquisition-date fair value adjustments to the associate's assets and liabilities.

Question 6

On 15 August 20X0, Octopus Limited (Octopus) acquired 20% of Oyster Limited's (Oyster) share capital for HK\$260,000 cash. On 15 August 20X0, Oyster's equity was represented by HK\$100,000 share capital and retained earnings of HK\$900,000. The fair value of Oyster's identifiable net assets on that date was determined to be HK\$1,261,800.

Octopus equity accounted its investment in Oyster. Identify which one of the following statements is true.

- A** The investment in Oyster was initially recorded at HK\$260,000.
- B** Goodwill of HK\$60,000 was implicitly recognised on the acquisition of Oyster.
- C** The investment in Oyster was initially recorded at HK\$252,360 ($20\% \times \text{HK\$1,261,800}$).
- D** Octopus' share of Oyster's profit for the year was reduced by the premium of HK\$7,640 paid on acquisition.

Question 7

On 1 January 20X5, Calamari Limited (Calamari) acquired 25% of Scallop Limited's (Scallop) share capital. At that date, Scallop's equity was HK\$1,000,000 and the fair value of its identifiable net assets was HK\$1,250,000. The difference was due to the fair value of a brand name not recognised by Scallop. The useful life of that brand name was five years.

Scallop's reported net profit for the year to 31 December 20X5 was HK\$200,000. Calamari equity accounted its investment in Scallop.

► Knowledge Check Questions (*continued*)

Calamari was preparing consolidated financial statements for the financial year ending 31 December 20X5. Identify which one of the following statements is true.

- A** Calamari increased the carrying amount of its investment in Scallop by HK\$50,000.
- B** Calamari recognised its share of profit of Scallop of HK\$37,500 in its profit or loss.
- C** Calamari increased the carrying amount of its investment in Scallop by HK\$150,000.
- D** Calamari recognised its share of profit of Scallop of HK\$200,000 in its profit or loss.

Question 8

Squid Limited (Squid) holds 40% of the share capital of Clam Limited (Clam). Squid equity accounted its investment in Clam. On 1 January 20X3, Squid sold its plant to Clam for HK\$500,000. The carrying amount of the plant was HK\$450,000, and its remaining useful life was four years at the time of sale. Clam's reported net profit for the year ending 31 December 20X3 was HK\$800,000. Explain how this transaction affected Squid's financial statements for the year ended 31 December 20X3.

Question 9

Identify which of the following statements is true.

- A** Where an investment in an associate includes implicit goodwill, the investment must be tested for impairment annually.
- B** Any impairment loss of the associate is allocated first to the implicit goodwill in the carrying amount of that investment.
- C** An investment in an associate is tested for impairment only when objective evidence shows the investment is impaired.
- D** An investment in an associate must be measured at no higher than its fair value less costs to sell. This is the recoverable amount of the investment.

24.3 SEPARATE FINANCIAL STATEMENTS

HKAS 27 *Separate Financial Statements* explains how an investment in an associate should be treated in the investor's **separate financial statements**. HKFRSs themselves do not require the presentation of separate financial statements.

In accordance with HKAS 27, an investor accounts for its investments in its associates in its separate financial statements:

- at cost;
- in accordance with HKFRS 9 (see Chapter 10); or
- by applying the equity method.

HKAS
27.10

The same accounting policy should be applied to account for all associates; it is not an associate-by-associate choice.

In general, the investor's separate financial statements are those financial statements the investor presents *in addition to* the financial statements in which the investment is equity accounted. For example, Albatross may choose or be required to prepare parent-only financial statements in addition to its consolidated financial statements. In these financial statements Albatross can elect to measure its investment in Weka at cost in accordance with HKFRS 9 or by applying the equity method.

Separate financial statements may be presented as the sole financial statements of an investor only in limited circumstances. These exceptions are limited to certain investors that, as permitted (see Section 24.1.3), have been exempted from accounting for the investment in accordance with the equity method.

► Knowledge Check Question

Question 10

Alpha Limited holds 25% of the share capital of Bravo Limited. Identify which, if any, of the following statements are false.

- A** Alpha can present separate financial statements in which it applies the equity method to account for the investment in Bravo.
- B** Alpha must present separate financial statements in which it applies the equity method to account for the investment in Bravo.
- C** Alpha can present separate financial statements in which it measures the investment in Bravo at fair value in accordance with HKFRS 9.
- D** Alpha can present separate financial statements in which it measures the investment in Bravo at cost.



24.4 PRESENTATION AND DISCLOSURE OVERVIEW

Requirements relating to the presentation and disclosure of an entity's investments in its associates are set out in various HKFRSs, including HKAS 1 *Presentation of Financial Statements*, HKFRS 12 *Disclosure of Interests in Other Entities*, HKAS 24 (Revised) *Related Party Disclosures* and HKAS 27.

24.4.1 Presentation of Investments in Associates

An entity includes line items in its financial statements that pertain to its interests in associates together with any interests it holds in joint ventures. In accordance with HKAS 1, the entity must

present line items on the face of its statement of financial position and statement of profit or loss and other comprehensive income that show:

- the carrying amount for all investments accounted for using the equity method;
- the entity's share of the profit or loss of associates (and any joint ventures) accounted for using the equity method; and
- the entity's share of the other comprehensive income of associates (and any joint ventures) accounted for using the equity method, separately identifying the share that will and will not be subsequently reclassified to profit or loss.

HKAS 1.54,
82, 82A

HKAS
28.15

The investments are classified as non-current assets except where an investment meets the conditions to be classified as held for sale in accordance with HKFRS 5 (see Chapter 12).

24.4.2 Disclosure of Investments in Associates

In accordance with HKFRS 12, an entity must disclose information that enables users of its financial statements to evaluate the nature of, and risks associated with, its investments in associates and the effects of those interests on the entity's financial position, financial performance and cash flows. In addition:

- as discussed in Chapter 19, HKAS 24 requires disclosure of the nature of the related party relationship and information about transactions and outstanding balances (including commitments) between the entity and its associates necessary for users to understand the potential effect of the relationship on the financial statements; and
- HKAS 27 requires particulars about associates to be provided in separate financial statements, where presented.

HKFRS 12.1
HKAS 24.19, 27.17

HKFRS
12.5A.6

The HKFRS 12 disclosure should cover all associates of the entity, including those that are not equity accounted but instead are measured on a different basis in accordance with HKFRSs. However, the extent of disclosure may differ, depending on the nature of the investor and the accounting applied to the investment.

To meet the disclosure objective set out in HKFRS 12, an entity discloses, separately from its disclosures about its subsidiaries and joint ventures, information about the:

- significant judgements and assumptions it has made in determining whether an interest is an associate (or otherwise). The entity must also disclose any changes in its assessment;
- nature, extent and financial effects of its interests in associates, including the nature and effects of its contractual relationship with other investors with significant influence over the associate; and
- nature of and changes in the risks associated with its interests in associates.

HKFRS
12.7, 20

The extent of disclosure required is subject to judgement, with attention paid to the materiality of an associate to the entity. In addition to the amounts presented on the face of the financial statements, key disclosures include:

- particulars of an entity's investments in associates (e.g. name, activity, place of business, ownership interest);



- summarised financial information about each material associate (e.g. dividends received from the associate, key subtotals and line items reported by the associate). The summarised information is based on the associate's HKFRS-compliant financial statements adjusted for differences in accounting policies and to reflect adjustments made in the application of the equity method (e.g. fair value adjustments). The associate's financial statements are not adjusted for the effects of intercompany transactions with the investor;
- a reconciliation of the summarised financial information presented to the carrying amount of the equity accounted associate;
- nature and extent of any significant restrictions on the ability of the associate to transfer cash to the investor;
- the unrecognised share of losses of an associate; and
- contingent liabilities relating to its investments in associates.

HKFRS
12.21-23

Though HKFRS 12 identifies specific disclosures that assist in meeting the disclosure objective, in preparing a set of financial statements, the preparer should assess whether, overall, the disclosures presented are sufficient to meet the disclosure objective set out at the start of this section. If not, additional disclosures, or further aggregation or disaggregation of information, must be made.

► Knowledge Check Questions

Question 11

Parent P holds a 15% investment in Associate A1. Identify which one of the following disclosures Parent P does not need to include in its consolidated financial statements, assuming the associate was material to Parent P.

- A** Parent P's share of each key subtotal reported by A1.
- B** Disclosure of its interest in Associate A1 and A1's principal activity.
- C** How Parent P had determined that it was able to significantly influence Associate A1.
- D** A reconciliation of the summarised financial information presented to the carrying amount of the investment in Associate A1.

Question 12

Parent PQ holds a 20% investment in Associate A2. A2 was not material to Parent PQ. In its financial statements for the year ended 31 December 20X1, Parent PQ did not separately disclose the amount of A2's contribution to its net profit for the period on the face of its statement of profit or loss and other comprehensive income. Determine whether this treatment was appropriate.

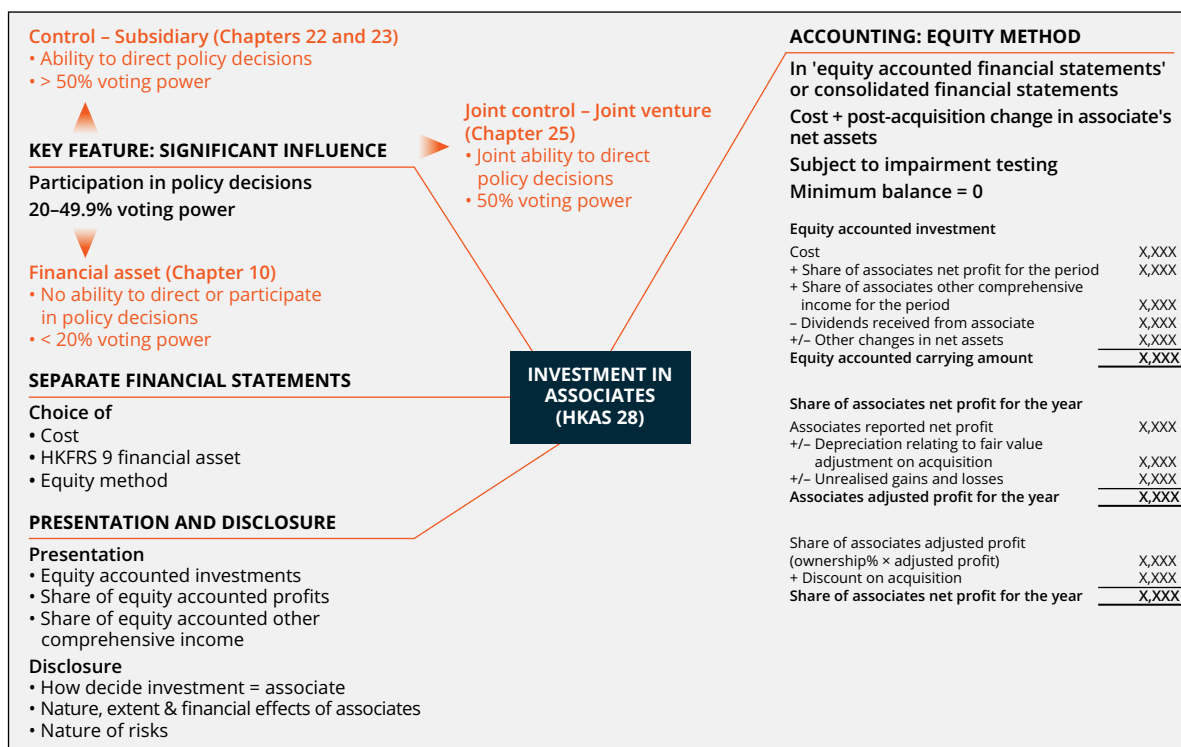


SUMMARY

- An associate is an entity over which the investor has significant influence.
- Significant influence exists when the investor has the power to participate in the financial and operating policy decisions of the investee, but that power is insufficient to give it control or joint control of those policies.
- Significant influence is generally associated with ownership holdings between 20–49.9%.
- With limited exceptions, the investor accounts for an associate using the equity method of accounting.
- The equity method is a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of the investee's net assets. Under the equity method, the investor's profit or loss includes its share of the investee's profit or loss, and the investor's other comprehensive income includes its share of the investee's other comprehensive income.
- The investment in an associate cannot reduce below nil.
- An investee's reported profit or loss and other comprehensive income must be adjusted for the effects of (1) fair value adjustments to the associate's identifiable assets and liabilities, and (2) unrealised gains and losses on intercompany transactions in calculating the investor's share of the investee's profit or loss.
- Dividends from the associate reduce the investor's carrying amount of the associate.
- Goodwill on acquisition of an associate is not separately recognised. Nor is it separately tested for impairment.
- A discount on acquisition is included as part of the investor's share of the investee's profit or loss in the period of acquisition.
- The investment in an associate is tested for impairment when there is objective evidence of impairment. It is written down to its recoverable amount where this is lower than the carrying amount.
- Full reversal of impairment of the investment in an associate is possible (subject to HKAS 36 constraints); the restrictions on reversing goodwill do not apply.
- In the separate financial statements, investments in associates are measured at cost, in accordance with HKFRS 9, or by applying the equity method.
- Presentation: separately present on the face of the financial statements:
 - the carrying amount for all equity accounted investments;
 - share of the profit or loss of equity accounted associates (and any joint ventures) accounted for using the equity method; and
 - share of the other comprehensive income of equity accounted associates (and any joint ventures), separately identifying amounts that will be subsequently reclassified to profit or loss and amounts that will not be subsequently reclassified.

- An investor discloses information that enables users of its financial statements to evaluate the nature of, and risks associated with, its investments in associates and the effects of those interests on the entity's financial position, financial performance and cash flows. This includes disclosure of information about the following matters:
 - significant judgements and assumptions made in determining whether an interest is an associate;
 - nature, extent and financial effects of interests in associates; and
 - nature of, and changes in, the risks associated with interests in associates.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

An associate is an entity over which the investor has significant influence. With limited exceptions, the investor accounts for an associate using the equity method of accounting.

Question 2

Answer A is incorrect. An investor applies the equity method of accounting only during the period the investor has significant influence over the other entity. Evidence may indicate the investor does not have significant influence even though it holds more than a 20% interest in the investee.

Answer B is correct. An investor holding an 18% interest in another entity can be presumed not to have significant influence over that entity unless it can be clearly demonstrated otherwise.

Answer C is incorrect. An investor able to appoint seven out of 10 directors of an entity may have the power to direct, rather than merely the power to participate in, the financial and operating policy decisions of that other entity.

Answer D is incorrect. An investor has significant influence over another entity when it has the power to participate in the financial and operating policy decisions of that other entity, but that power is insufficient to give the entity control or joint control of those policies. (An investor with the power that gives it the ability to direct activities of the other entity that affect the investor's variable returns, and the ability to use that power, has control over that other entity: review Chapter 22.)

Question 3

Answers B and D are correct.

Answer A is incorrect. Though DEF Limited and Investor S may be able to significantly influence LMN Limited, DEF Limited is, prima facie, unable to significantly influence LMN Limited. DEF Limited cannot be said to hold additional voting power through the agreement to vote similarly.

Answer B is correct. HJK Limited's control of 23% of the voting power is sufficient to enable it to at least significantly influence PQR Limited in the absence of any information to the contrary.

Answer C is incorrect. The contractual agreement gives ABC Limited control over 55% of the voting rights. Prima facie, ABC Limited has control over XYZ Limited rather than merely significant influence.

Answer D is correct. Although OMN Limited holds less than 20% of the voting power of STU Limited, it is able to participate in the financial and operating decisions of STU Limited through its senior management and Board of Directors representation. OMN Limited is unlikely to have control of STU Limited given Investor Tu's voting power.

Question 4

When applying the equity method, any goodwill related to the acquisition of an associate is not separately recognised in the investor's consolidated statement of financial position. This is because under the equity method, the investor does not recognise the respective assets, liabilities, equity, income and expenses of the associate. Rather, the investor's share of those elements is captured as part of the measurement of a one-line asset investment in associate in the statement of financial position. Any goodwill paid on acquisition of the investment is implicitly recognised as part of the initial cost of that investment in associate asset.

Question 5

Answer A is incorrect. Changes affecting the equity accounted carrying amount of an investment in an associate may also be recognised in other comprehensive income (e.g. share of an associate's post-acquisition movements in its asset revaluation reserve).

Answer B is incorrect. A dividend declared by the associate is recognised as a reduction to the carrying amount of the investment and not as a reduction in the share of the associate's profit or loss for the period. To do so would result in the associate's contribution to the investor's profit or loss for the period being misrepresented.

Answer C is incorrect. An investment in an associate acquired at a discount is initially recognised at the amount of the consideration transferred. The discount subsequently adjusts the carrying amount of the investment as it is included as part of the investor's share of the associate's profit for the period.

Answer D is correct. An associate's reported profit or loss must be adjusted to reflect additional or reduced depreciation expenses arising as a result of the notional acquisition-date fair value adjustments to the associate's assets and liabilities.

Question 6

Answer A is correct. In accordance with HKAS 28, the investment in Oyster was initially recorded at its cost (HK\$260,000).

Answer B is incorrect. Goodwill was implicitly recognised on the acquisition of Oyster; however, the amount of goodwill was calculated as the difference (HK\$7,640) between the consideration transferred (HK\$260,000) and the investor's ownership interest in the net fair value of the net assets acquired ($20\% \times \text{HK\$1,261,800}$). It was not calculated as the difference between the consideration transferred and the investor's ownership interest in the carrying amounts of the net assets acquired.

Answer C is incorrect. In accordance with HKAS 28, the investment in Oyster was initially recorded at its cost (HK\$260,000) and not at the investor's share of the fair value of the identifiable net assets acquired.

Answer D is incorrect. In accordance with HKAS 28, goodwill on acquisition of HK\$7,640 was recognised implicitly within the carrying amount of the investment. It was not recognised in profit or loss in the same manner as the accounting treatment of a discount on acquisition.

Question 7

Answer A is incorrect. The carrying amount of the investment was increased by Calamari's share of Scallop's profit; however, Scallop's reported net profit of HK\$200,000 had to be adjusted for the amortisation of the brand name ($\text{HK\$250,000}/5 \text{ years}$).

Answer B is correct. Calamari's share of Scallop's profit = $25\% \times (\text{HK\$200,000} - \text{amortisation of brand name HK\$50,000}) = \text{HK\$37,500}$.

Answer C is incorrect. The carrying amount of the investment was increased by Calamari's share of Scallop's adjusted profit, and not the full amount of Scallop's adjusted profit.

Answer D is incorrect. Because Calamari equity accounted its investment in Scallop, it recognised in profit or loss only its share of Scallop's profit for the year. In addition, Scallop's reported profit had to be adjusted for the amortisation of the brand name. Scallop's adjusted profit would be included in full if the entity were consolidated rather than equity accounted.

Question 8

If Squid uses Approach 1 (adjust the limited line items for associates) to eliminate its unrealised gains and losses, in Squid's financial statements for the year ended 31 December 20X3:

- The carrying amount of the investment in Clam was increased by Squid's share of Clam's profit for the period ($40\% \times \text{HK\$800,000}$) = HK\$320,000.
- The carrying amount of the investment in Clam was reduced by the remaining unrealised gain on the sale of HK\$15,000 ($40\% \times (\text{HK\$50,000} - \text{HK\$50,000}/4)$).
- The remaining unrealised gain on sale of plant of HK\$20,000 not attributable to external interests was eliminated from Squid's share of associate Clam's profit or loss ($40\% \times \text{HK\$50,000}$).

If Squid uses Approach 2 (consider the identity of the entity that records the gain or loss on the transaction and the entity that holds the asset that is the subject of the

transaction) to eliminate its unrealised gains and losses, in Squid's financial statements for the year ended 31 December 20X3:

- The carrying amount of the investment in Clam was increased by Squid's share of Clam's profit for the period ($40\% \times \text{HK\$}800,000 = \text{HK\$}320,000$).
- The carrying amount of the investment in Clam was reduced by the remaining unrealised gain on the sale of HK\$15,000 ($40\% \times (\text{HK\$}50,000 - \text{HK\$}50,000/4)$).
- The unrealised gain on the sale of plant of HK\$20,000 not attributable to external interests was eliminated from Squid's profit or loss ($40\% \times \text{HK\$}50,000$).
- Squid's share of associate Clam's profit was increased by HK\$5,000 as Clam depreciates the plant (effectively eliminating the additional depreciation of HK\$5,000 recognised by Clam for the period) ($40\% \times \text{HK\$}50,000/4$).

Question 9

Answer A is incorrect. There is no requirement to treat the investment for impairment testing differently where the investment includes implicit goodwill.

Answer B is incorrect. The investment is tested for impairment as a single asset. As such, any impairment loss is not 'allocated' within that asset.

Answer C is correct. An investment in an associate is tested for impairment only when there is objective evidence the investment is impaired.

Answer D is incorrect. An investment in an associate is written down to its recoverable amount (higher of value in use and fair value less costs to sell) when this is less than its carrying amount. It is possible for an associate's value in use to be higher than its fair value less costs to sell.

Question 10

Answers A, C and D are correct. Alpha had an accounting policy choice as to how it accounted for Bravo in its separate financial statements, if presented.

Answer B is incorrect. There is no requirement in HKFRSs that required Alpha to present separate financial statements in which it applied the equity method to account for the investment in Bravo. However, Alpha's equity-accounted financial statements were likely to be the same as its separate financial statements in this instance.

Question 11

Answer A is correct. Instead, Parent A should have disclosed the total amount for the subtotal, as reported by A1 (after making the adjustments for different accounting policies and for the equity method).

Answer B is incorrect. The relationship should have been disclosed, including Parent P's ownership interest in A1. This would have provided users of Parent P's financial statements with useful information to understand the nature of and risks associated with its investment in A1 and the effects of the interests on the Parent P's financial position, financial performance and cash flows.

Answer C is incorrect. This disclosure provided information about the significant judgements and assumptions Parent P made in determining whether its 15% interest in A1 was sufficient to give it significant influence over the entity.

Answer D is incorrect. HKFRS 12 required the investor to disclose a reconciliation of the summarised financial information presented to the carrying amount of the associate. This information was useful to assist users to understand how the associate's financial information was incorporated into the amounts recognised in Parent P's financial statements.

Question 12

Parent PQ could have chosen not to separately identify its share of the profit or loss of A2 because A2 was not material to Parent PQ. Though this was a specified minimum disclosure in HKAS 1, there was an overarching concept of materiality that applied to the preparation of financial statements.

EXAM PRACTICE

QUESTION 1

Identify in which one of the cases below is the investment most likely to be identified as an associate of Qin Tian Limited (QTL).

- A** QTL holds 19% of the voting power in Robin Limited (Robin). The remaining 81% was held by a single other investor.
- B** QTL holds 25% of the voting power in Bluebird Limited (Bluebird). An administrator was appointed to manage the affairs of Bluebird.
- C** QTL holds 18% of the voting power in Raven Limited (Raven). 80% of Raven's revenue came from trading with QTL. In addition, QTL built and operated the software platform on which Raven's activities have been managed.
- D** QTL holds 30% of the voting power in Blackbird Limited (Blackbird). In addition, it holds 10,000 share options that convert into a further 25% interest in Blackbird. The share options were exercisable; however, QTL does not intend to exercise them.

QUESTION 2

On 1 January 20X0, Chung Li Limited (CLL) acquired 20% of the share capital of Ang Do Limited (ADL) for HK\$320,000. The carrying amounts of ADL's net assets recognised in its statement of financial position at this date was HK\$1,400,000. In addition, CLL identified that ADL had an unrecognised customer list. The fair value of the customer list at acquisition date was HK\$100,000 and it had a remaining useful life of four years. CLL estimated the fair values of ADL's other identifiable net assets to be the same as their carrying amounts. During the year ended 31 December 20X0:

- ADL reported a net profit of HK\$200,000; and
- ADL declared a dividend from post-acquisition profits to its shareholders of HK\$150,000.

CLL's Chairman, Khoo Li San, had a meeting with the external audit team to discuss the forthcoming audit of the financial statements.

Required:

- (a) In the meeting with the external audit team, Khoo Li San said 'There is no need for us to present financial statements in which the investment in ADL is equity accounted as this is a nonsense number. Our financial statements would more faithfully represent relevant information to users if the investment in ADL was measured at cost, and dividends received from that investment showed as part of our net profit.'

Explain to the Chairman whether CLL can present only financial statements in which the investment in ADL was measured at cost. In addition, identify a disclosure that might alleviate some of his concern about the usefulness of the reporting about the associate.

- (b) Calculate the carrying amount of the equity accounted investment in ADL recognised in CLL's financial statements for the year ended 31 December 20X0 in accordance with HKAS 28 *Investments in Associates and Joint Ventures*.
- (c) Also, in the meeting with the external audit team, Khoo Li San revealed that before year-end, ADL's main competitor introduced new technology which is likely to make ADL's key products less attractive to purchase. CLL's finance team established the fair value less costs to sell of ADL at 31 December 20X0 to be HK\$300,000 and its value in use to be HK\$310,000. Determine whether CLL should recognise an impairment loss for the investment, and if so, the amount of that loss.

QUESTION 3

On 1 January 20X1, Xiao Bai Cai Limited (XBC) acquired 100,000 ordinary shares of Chou Bai Chai (CBC) for HK\$375,000. At the time of acquisition, CBC's equity was as follows:

<i>Equity</i>	HK\$'000
Share capital (400,000 ordinary shares)	1,000
Retained earnings	500
	<u>1,500</u>

The carrying amounts of assets and liabilities of CBC were the same as their fair values.

The draft summarised statements of financial position of XBC (prior to equity accounting CBC) and CBC at 31 December 20X2 was as follows:

	XBC	CBC
	HK\$'000	HK\$'000
<i>Assets</i>		
Property, plant and equipment	2,310	1,400
Intangible assets	590	50
Investment in CBC	375	–
Inventories	100	120
Trade and other receivables	205	90
Cash	850	400
Total assets	<u>4,430</u>	<u>2,060</u>

	XBC	CBC
	HK\$'000	HK\$'000
<i>Equity</i>		
Share capital	1,200	1,000
Retained earnings	1,580	950
Total equity	2,780	1,950
<i>Liabilities</i>		
Loan	1,200	–
Trade and other payables	450	110
Total equity and liabilities	4,430	2,060

The retained earnings account of XBC and CBC showed the following movements:

	XBC		CBC	
	(DR)/CR	Balance	(DR)/CR	Balance
	HK\$'000	HK\$'000	HK\$'000	HK\$'000
<i>Retained earnings</i>				
Balance at 1 January 20X1	–	860	–	500
Dividends declared 20 October 20X1	(100)	760	–	500
Profit for the year ended 31 December 20X1	459	1,219	250	750
Dividends declared 5 June 20X2	(100)	1,119	(20)	730
Profit for the year ended 31 December 20X2	461	1,580	220	950

Additional information:

- XBC is a parent and prepares consolidated financial statements.
 - XBC was able to appoint two of the five board directors of CBC. The agreement of 60% of the board directors was required for any decisions about the financial and operating policy of the company to be actioned.
 - During the year ended 31 December 20X2, XBC purchased goods for HK\$90,000 from CBC. The cost of the goods to CBC was HK\$40,000. At the year-end, XBC still held 20% of these goods in its inventory.
 - Ignore income taxes.
- (a) State how the investment in CBC should be accounted for in XBC's consolidated financial statements. Justify your response.
 - (b) Calculate XBC's share of CBC's profit recognised in its consolidated profit or loss for the year ended 31 December 20X2.
 - (c) From the information provided, using a consolidation worksheet, prepare XBC's consolidated statement of financial position in which its associates are equity accounted for the year ended 31 December 20X2.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is incorrect. Though an investor may have significant influence over an entity even as another investor has control over that entity, in this case, in the absence of any other information, it is less likely that Robin is an associate of QTL.

Answer B is incorrect. Though QTL held 25% of the voting power in Raven, usually when an administrator was appointed, control of the financial and operating decision making rested with the administrator. As such, in this case, Bluebird was less likely to be an associate of QTL.

Answer C is correct. Though QTL held less than 20% of the voting power in Raven, it engaged in material transactions with Raven and was also responsible for providing essential technical information to Raven. As such, it is likely that QTL had significant influence over Raven.

Answer D is incorrect. As they were presently exercisable, the potential voting rights had to be taken into consideration in assessing the extent of influence QTL had over Blackbird. In this case, the potential voting rights together with the current ownership interest was sufficient to give QTL the ability to control Blackbird rather than merely participate in its financial and operating policy decision making.

QUESTION 2

- (a) Your response to Khoo Li San could be as follows:

Mr Khoo, HKFRSs require CLL to prepare financial statements in which the investment is equity accounted. However, if you want, we can prepare an additional set of financial statements ('separate financial statements') in which the investment is measured at cost. Also, in CLL's equity accounted financial statements, summarised financial information about the associate must be disclosed, including the dividends received from the associate. So, users of the financial statements will still have this information available to them.

- (b) The carrying amount of the equity accounted investment in ADL on 31 December 20X0 is HK\$325,000, calculated as shown below.

First, CLL must determine whether the investment was purchased at a premium or for a discount:

	HK\$
Cost of the investment	320,000
less: Share of fair value of identifiable net assets (HK\$1,500,000 × 20%)	(300,000)
Goodwill on acquisition	20,000

As the investment was purchased at a premium, there is no amount to add to the share of associate's profit for the period.

Next, CLL calculates its share of associate's profit for the period:

	HK\$
ADL's reported net profit for the year	200,000
<i>less:</i> Additional amortisation from fair value adjustment on acquisition (HK\$100,000/4 yr)	(25,000)
ADL's adjusted profit for the year	175,000
ADL's share of CLL's adjusted profit for the year (20% × HK\$175,000)	35,000

Carrying amount of the equity accounted investment in ADL on 31 December 20X0:

	HK\$
Carrying amount at the start of the period	
Cost	320,000
<i>add:</i> Share of associates net profit for the period	35,000
<i>less:</i> Dividends declared (20% × HK\$150,000)	(30,000)
Investment in ADL at 31 December 20X0	325,000

(c) Assessment of impairment

Because objective evidence of impairment exists (new technology likely to make ADL's key products less attractive to purchase, thereby calling into question the ability of CLL to recover its investment), the carrying amount of the investment must be tested for impairment and written down where the recoverable amount of the investment is lower than its carrying amount.

	HK\$
Carrying amount of CLL	325,000
Recoverable amount of CLL (higher of its value in use and fair value less costs to sell)	(310,000)
Impairment loss	15,000

QUESTION 3

(a) Accounting for the investment in CBC

The investment in CBC should have been equity accounted for in XBC's consolidated financial statements as CBC was an associate of XBC. XBC's 25% ownership interest (100,000 out of 400,000 ordinary shares) in CBC was sufficient for it to conclude, in the absence of contrary evidence, that CBC was an associate. XBC's representation on CBC's Board of Directors was insufficient to give it control or joint control over the company as the 60% agreement of the Board was required to action financial and operating policy decisions. However, XBC's board representation enabled it to significantly influence CBC's financial and operating policy decisions.

(b) Calculation of XBC's share of CBC's profit for the year

	HK\$
Share of CBC's reported net profit for the year ($25\% \times 220,000$)	55,000
less: share of unrealised gain on sale of inventory ($25\% \times (20\% \times (90,000 - 40,000))$)	(2,500)
XBC's share of CBC's profit for the year	<u>52,500</u>

(The share of the associate's profit is the same whether the elimination was accounted for in accordance with Approach 1 (Adjust the limited line items for associates) or Approach 2 (consider the identity of the entity that records the gain or loss on the transaction, and the entity that holds the asset that is the subject of the transaction).)

(c) Preparation of the statement of financial position in which the investment in CBC was equity-accounted.

Consolidation worksheet if the intercompany gain on sale was eliminated using Approach 1 (adjust the limited line items):

	Adjustments				
	XBC	DR		CR	Total
	HK'000	HK'000	Ref	HK'000	HK'000
<i>Statement of financial position</i>					
Assets					
Property, plant and equipment	2,310.0				2,310.0
Intangible assets	590.0				590.0
Investment in CBC	375.0	62.5	1		485.0
		55.0	2		
			4	5.0	
			3	2.5	
Inventories	100.0				100.0
Trade and other receivables	205.0				205.0
Cash	850.0				850.0
Total assets	<u>4,430.0</u>				<u>4,540.0</u>
Equity					
Share capital	1,200.0				1,200.0
Retained earnings:					
opening retained earnings	1,219.0		1	62.5	1,690.0
profit for the period	461.0	2.5	3,2	55.0	
		5.0	4		
:dividends	(100.0)				
Total equity	<u>2,780.0</u>				<u>2,890.0</u>

	Adjustments				
	XBC	DR		CR	Total
	HK'000	HK'000	Ref	HK'000	HK'000
Liabilities					
Loan	1,200.0				1,200.0
Trade payables	450.0				450.0
Total liabilities	1,650.0				1,650.0
Total equity and liabilities	4,430.0				4,540.0

Consolidation worksheet if the intercompany gain on sale was eliminated using Approach 2 (consider the identity of the entity that records the gain or loss on the transaction and the entity that holds the asset that is the subject of the transaction):

	Adjustments				
	XBC	DR		CR	Total
	HK'000	HK'000	Ref	HK'000	HK'000
<i>Statement of financial position</i>					
Assets					
Property, plant and equipment	2,310.0				2,310.0
Intangible assets	590.0				590.0
Investment in CBC	375.0	62.5	1		487.5
		55.0	2		
			4	5.0	
Inventories	100.0		3	2.5	97.5
Trade and other receivables	205.0				205.0
Cash	850.0				850.0
Total assets	4,430.0				4,540.0
Equity					
Share capital	1,200.0				1,200.0
Retained earnings:					
opening retained earnings	1,219.0		1	62.5	1,690.0
profit for the period	461.0	2.5	3,2	55.0	
		5.0	4		
dividends	(100.0)				
Total equity	2,780.0				2,890.0
Liabilities					
Loan	1,200.0				1,200.0
Trade payables	450.0				450.0
Total liabilities	1,650.0				1,650.0
Total equity and liabilities	4,430.0				4,540.0

Workings (for reference only):

Ref 1 – to adjust the carrying amount of the investment to the equity accounted opening balance

	Debit	Credit
	HK\$	HK\$
Investment in CBC	62,500	
Retained earnings (25% × HK\$250,000)		62,500

Ref 2 – to reflect the share of CBC's reported profit for the period

	Debit	Credit
	HK\$	HK\$
Investment in CBC	55,000	
Share of associate's profit for the year (25% × HK\$220,000)		55,000

Ref 3a (Approach 1) – adjustment to recognise the unrealised gain in the upstream sale of inventory

	Debit	Credit
	HK\$	HK\$
Share of associate's profit for the year	2,500	
Investment in associate (25% × HK\$10,000)		2,500

Ref 3b (Approach 2) – adjustment to recognise the unrealised gain in the upstream sale of inventory

	Debit	Credit
	HK\$	HK\$
Share of associate's profit for the year	2,500	
Inventory (25% × HK\$10,000)		2,500

Ref 4 – to reflect the dividend received from CBC's during the period

	Debit	Credit
	HK\$	HK\$
Dividend income (25% × HK\$20,000)	5,000	
Investment in CBC		5,000

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Joint Arrangements



CHAPTER TOPIC LIST

25.1 Joint Arrangements Overview

25.1.1 Joint Control

25.1.2 Classification of Joint Arrangement

25.2 Financial Statements of Parties to a Joint Arrangement

25.2.1 Party to a Joint Operation

25.2.2 Party to a Joint Venture

25.3 Separate Financial Statements

25.4 Presentation and Disclosure Overview

25.4.1 Presentation of Joint Arrangement

25.4.2 Disclosure of Joint Arrangements



LEARNING OUTCOMES

PRINCIPAL LO4: APPLY THE ACCOUNTING PRINCIPLES AND CONCEPTS TO PREPARE FINANCIAL STATEMENTS WITH SIMPLE GROUP STRUCTURES

LO4.03: Prepare consolidated financial statements in accordance with Hong Kong Financial Reporting Standards for joint arrangements
--

4.03.01 Define joint control

4.03.02 Define joint arrangements
--

4.03.03 Define and explain the difference between joint ventures and joint operations
--

4.03.04 Account for interests in joint ventures using equity method and account for joint operations

4.03.05 Prepare the disclosure in respect of interests in joint ventures and joint operations
--



OPENING CASE

THE ALBATROSS GROUP

As introduced in Chapters 23 and 24, Albatross Limited (Albatross) operates an extensive global logistics network across 600 locations in more than 50 countries. The group provides a diverse range of transport and logistics solutions covering road, air, sea and rail to meet global supply chain needs. The ultimate parent entity in the group is Albatross.

Albatross is in final discussions to establish an arrangement with Parakeet Limited (Parakeet) to manufacture packing materials that will be used by Albatross and Parakeet in their own business operations. Albatross and Parakeet have tentatively decided the manufacturing will be undertaken in a newly incorporated company, to be named Albakeet Limited (Albakeet). Albakeet will be owned equally by Albatross and Parakeet; each holding 50% of the voting rights of Albakeet. Albatross and Parakeet must approve all financial and operating policy decisions taken by Albakeet. 



OVERVIEW

In Chapters 22 and 23, you were introduced to the accounting for merger and acquisition (M&A) activity and how to prepare consolidated financial statements. In Chapter 24, you learned how to account for an entity's interest in an associate using the equity method. In this chapter, you will learn how to account for yet a further type of investment interest: an entity's interest in joint arrangements.

A joint arrangement is an arrangement in which two or more parties share joint control; that is, a contractually agreed sharing of control of an arrangement exists when decisions about the relevant activities require the unanimous consent of the parties sharing control. A joint arrangement is another way for investors to share costs and risks or to gain access to new technology or new markets. A joint arrangement may be structured such that the parties to the joint arrangement share in assets and obligations of the joint arrangement (a joint operation), or share in net assets of that joint arrangement (a joint venture). An entity that is party to a joint arrangement may be a joint operator, a joint venturer, a participant in the joint arrangement, or merely a financial investor.

The accounting for a joint arrangement depends on the classification of the arrangement. Accordingly, in our example, Albatross must determine whether its proposed arrangement with Parakeet is a joint arrangement and whether it is a joint operator, joint venturer or a participant in that arrangement to identify the applicable accounting for the arrangement.

By the end of this chapter, you will understand how to identify a joint arrangement and understand how to classify a joint arrangement as a joint operation or a joint venture. You will also understand how to account for a joint arrangement. In addition, you will be familiar with the information an entity is required to disclose about its joint arrangements, including understanding how Albatross may report on its proposed investment in Albakeet in its own (separate) financial statements.



25.1 JOINT ARRANGEMENTS OVERVIEW

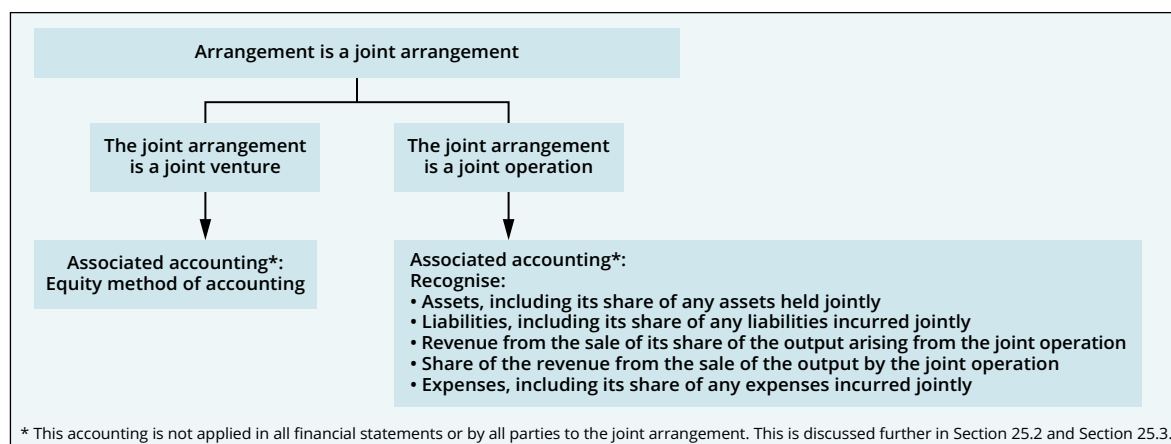
A **joint arrangement** is an arrangement in which two or more parties have joint control. In a joint arrangement, the parties are:

- bound by a contractual arrangement, and
- the contractual arrangement gives two or more of those parties joint control of the arrangement.

HKFRS
11.4-6

A joint arrangement is classified as a joint operation or a joint venture.

Over the course of this chapter, you will learn to distinguish the form of the arrangement; the key is understanding the rights and obligations of the parties. This is important because, as illustrated in Exhibit 25.1, the accounting treatment differs depending on the form of the arrangement.



► **EXHIBIT 25.1 Accounting for joint arrangements**

The accounting for a joint arrangement is primarily specified by HKFRS 11 *Joint Arrangements* and HKAS 28 *Investments in Associates and Joint Ventures*. In addition, HKFRS 12 *Disclosure of Interests in Other Entities*, HKAS 1 *Presentation of Financial Statements* and HKAS 24 (Revised) *Related Party Disclosures* specify information that must be disclosed by an entity about its investments in joint arrangements.

HKFRS
11.3

HKFRS 11 applies to all entities that are a **party to a joint arrangement** and not just those that jointly control the arrangement.

Key Learning Point

HKFRS 11 specifies, or at least provides direction on, the accounting by **all** parties to a joint arrangement. An entity that is a participant in a joint arrangement but that does not jointly control the arrangement must still consider the requirements of this HKFRS.

In this first section, you will learn how to identify when joint control is present to understand when an investment must be accounted for as a joint arrangement and how to distinguish between the different types of joint arrangements.

25.1.1 Joint Control

For a joint arrangement to be present, there must be the contractually agreed sharing of control of an arrangement, that is, **joint control**. This exists only when decisions about the relevant activities of the arrangement require the unanimous consent of the parties sharing

control. This does not mean that all parties to the arrangement must have joint control; the HKFRS is clear that an arrangement can be a joint arrangement even though not all of its investors have joint control of the arrangement.

HKFRS
11.7, 11

Establishing whether joint control exists is a two-step approach:

1. *There must be collective control.* An entity must assess whether the contractual arrangement (e.g. a contract and/or company charter or articles) explicitly or implicitly gives two or more parties control of the arrangement collectively. These parties control the arrangement collectively when the parties must act together to direct the activities that significantly affect the returns of the arrangement, meaning the relevant activities.

HKFRS
11.8, B5

Control exists when the parties acting together are exposed or have rights to variable returns from their involvement with the arrangement and have the ability to affect those returns through their power over the arrangement. A party does not control an arrangement if it can block, but cannot direct, the relevant activities of the arrangement. (Review Chapter 22 if you need to refresh your understanding of when control is present.)

HKFRS
11.B8

2. *Decisions require unanimous consent.* Unanimous consent means being able to prevent any of the other parties, or a group of the parties, from making unilateral decisions about the relevant activities of the arrangement. When decisions about the relevant activities require the unanimous consent of the parties that control the arrangement collectively, the arrangement is subject to joint control.

Where the contractual arrangement:

- requires a minimum proportion of voting rights to make decisions about the relevant activities and that proportion can be achieved by more than one combination of agreeing parties, the contractual arrangement must also specify which parties (or combination of parties) must agree unanimously to decisions about the relevant activities for the arrangement to be a joint arrangement;
- provides that the requirement for unanimous consent relates only to decisions about an investor's protective rights (briefly explained in Chapter 22), that investor is not a party with joint control of the arrangement; and
- does not require unanimous consent on decisions, such as the resolution of disputes, the arrangement could still be subject to joint control.

HKFRS 11.9,
B6, B9, B10

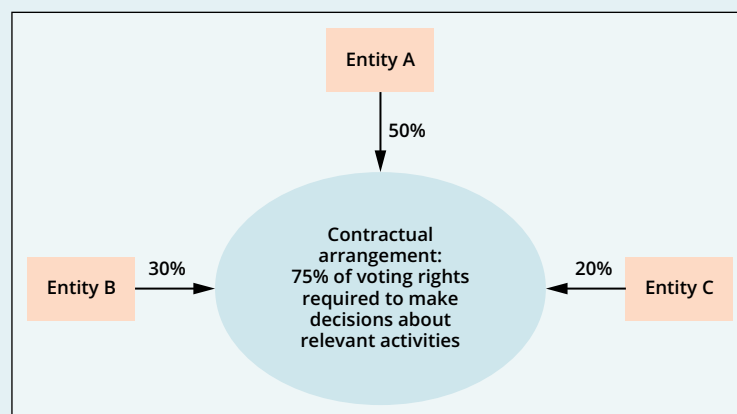
HKFRS
11.12

HKFRS
11.13

As always, all facts and circumstances must be considered when making an assessment of joint control. A change in facts and circumstances may result in a party to a joint arrangement ceasing or gaining joint control of the arrangement.

Illustrative Example 1

Entity A, Entity B and Entity C establish an arrangement. The terms of the contractual arrangement and the voting rights of each entity in that arrangement are as follows:

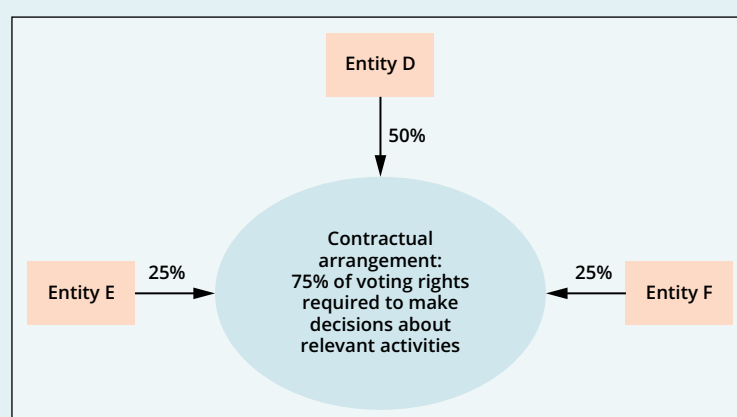


The contractual arrangement implicitly gives Entity A and Entity B control of the arrangement through the terms referenced to the arrangement's decision-making process. Entity A and Entity B collectively control the arrangement because decisions about the relevant activities cannot be made without Entity A and Entity B coming to an agreement (i.e. unanimous decision making) as it is impossible to otherwise achieve the required 75% voting rights threshold.

Therefore, Entity A and Entity B have joint control over the arrangement.

Illustrative Example 2

Entity D, Entity E and Entity F establish an arrangement. The terms of the contractual arrangement and the voting rights of each entity in that arrangement are as follows:



In this arrangement, Entity D, Entity E and Entity F collectively control the arrangement as two or more of the parties can act together to achieve the required 75% voting rights threshold to direct the relevant activities. However, because the threshold

Illustrative Example 2 (*continued*)

can be achieved by more than one combination of agreeing parties (Entity D with Entity E or Entity D with Entity F), in accordance with HKFRS 11, the arrangement is a joint arrangement only where the contractual arrangement specifies which combination of Entity D, Entity E and Entity F must agree unanimously to decisions about the relevant activities.

For example, if the terms set out that Entity D and Entity E must agree unanimously to decisions about the relevant activities of the arrangement, the arrangement is a joint arrangement jointly controlled by Entity D and Entity E but not by Entity F.

However, if the terms establish that Entity D may make decisions about the relevant activities of the arrangement with Entity E or Entity F, the arrangement is not subject to joint control because 'unanimous decision making' is not a feature of the arrangement. This is because Entity D can collaborate with Entity E or Entity F to obtain sufficient voting rights to make decisions about relevant activities. As the arrangement is not subject to joint control, the arrangement is not a joint arrangement.

25.1.2 Classification of Joint Arrangement

Having determined that an arrangement is a joint arrangement, an entity that is a party to the joint arrangement must next determine its classification whether or not the entity jointly controls the arrangement (the reasons why this is important will be explained in Section 25.2). Classifying the arrangement correctly is important as the accounting differs based on the classification.

In applying the requirements of HKFRS 11, a substance over form approach is adopted. The detail of the joint arrangement will drive the classification of the arrangement. For example, the objective of the parties in entering into a joint arrangement may be to jointly manufacture a product, but the detail could be: (1) each party being responsible for a specific task with each using its own assets and incurring own liabilities, (2) each party being responsible for a specified proportion of the assets, liabilities, costs and revenues in manufacturing the product, or (3) the product being manufactured by a separate entity jointly established by the parties to the arrangement.

Key Learning Point

The detail determines the classification of the joint arrangement.

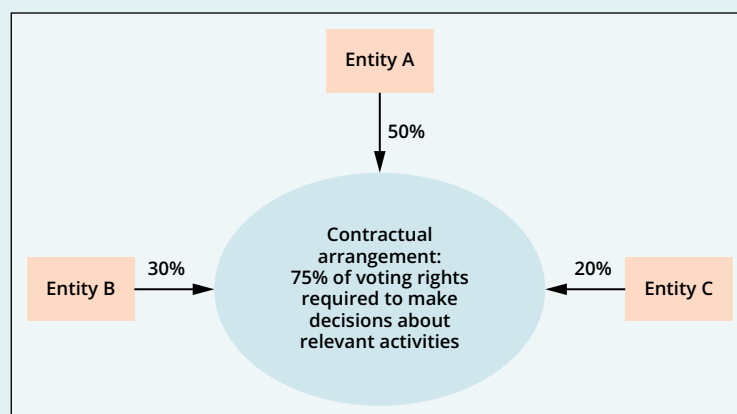
Joint arrangements may be classified as a **joint operation** or a **joint venture**. The difference in the classification is the nature of the rights and obligations accorded to the party to the joint arrangement:

- a joint arrangement that gives the jointly controlling parties *rights and obligations to share in assets and/or liabilities* of the arrangement is a joint operation. The parties jointly controlling these arrangements are called 'joint operators'; and
- a joint arrangement that gives the jointly controlling parties *rights and obligations to share in the net assets* of the arrangement is a joint venture. The parties jointly controlling these arrangements are called 'joint venturers'.

HKFRS
11.15–16

Illustrative Example 3

Let's revisit the first Illustrative Example. Assume that Entity A and Entity B jointly control the joint arrangement.



In this arrangement, if the joint arrangement is classified as a joint operation:

- Entity A and Entity B are both joint operators; and
- Entity C is a participant to the joint operation.

In this arrangement, if the joint arrangement is classified as a joint venture:

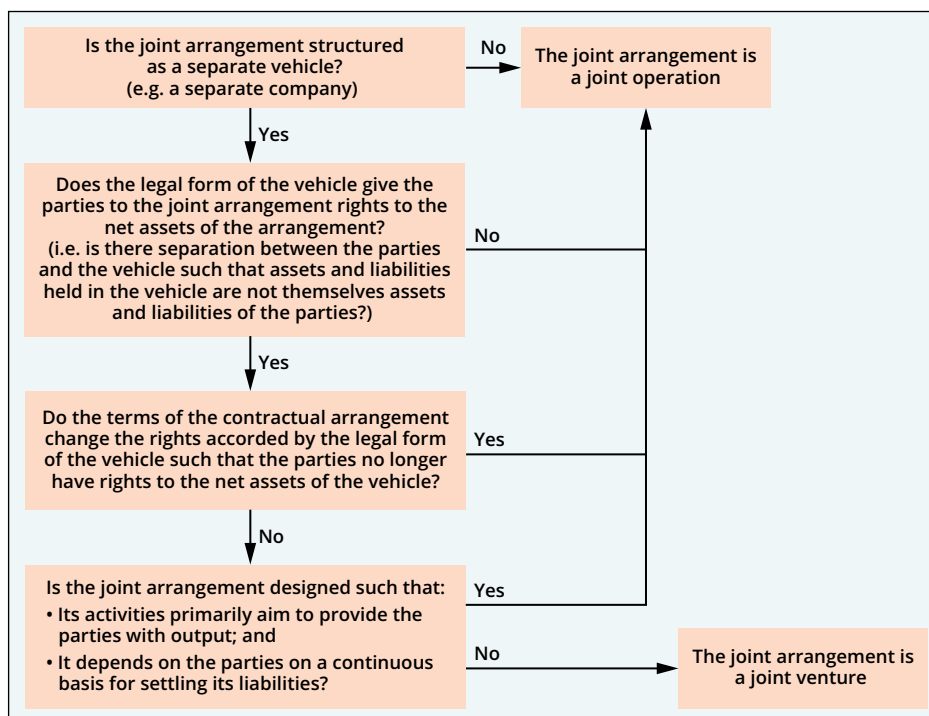
- Entity A and Entity B are both joint venturers; and
- Entity C is a participant to the joint venture.

Under HKFRSs, joint operations and joint ventures are accounted for differently reflecting the different nature of the entity's interests. An entity party to a joint arrangement establishes the type of joint arrangement it is by assessing its rights and obligations under the arrangement.

HKFRS
11.2–3, 14

HKFRS
11.17, B15–B16,
B21, B24, B33

An entity that is a party to a joint arrangement assesses its rights and obligations arising from the joint arrangement attending to the facts and circumstances, including the structure of the arrangement, its legal form (if any), and the terms of the contractual arrangement. This is depicted in the decision tree in Exhibit 25.2



► EXHIBIT 25.2 Classification of a joint arrangement

25.1.2.1 The Joint Arrangement Is Structured as a Separate Vehicle

HKFRS
11.App A

A **'separate vehicle'** is defined in HKFRS 11 as a separately identifiable financial structure, including separate legal entities or entities recognised by statute, regardless of whether those entities have a legal personality (e.g. a company, a branch of a company). Therefore, be aware that it is possible, but maybe less common for an entity other than an incorporated entity to be classified as a joint venture. As illustrated by Exhibit 25.2, where the joint arrangement is not structured as a separate vehicle, under HKFRSs, it can only be classified as a joint operation. For example, the parties to a joint arrangement wherein the parties share and operate an asset together may not establish the arrangement as a separate structure because it is unnecessary to do so.

25.1.2.2 The Vehicle's Legal Form Gives the Parties Rights to the Net Assets of the Arrangement

Where the joint arrangement is structured as a separate vehicle, it will often be clear whether the vehicle's legal form gives the parties to the arrangement rights to the net assets of the arrangement. For example, a limited company structure would normally give the parties to the arrangement rights to the net assets of the company in proportion to their shareholding interest. A vehicle's constitution or articles of incorporation will normally clarify each party's rights under the structure.

25.1.2.3 Terms of the Contractual Arrangement Change the Legal Rights of the Parties

The rights and obligations of the parties conferred by the legal form of the vehicle will in many cases be consistent, or at least will not conflict, with those agreed to in the contractual arrangement. However, the parties through their contractual arrangement may explicitly change those rights and obligations. For example, the contractual arrangement may include terms that change the ownership interest in net assets of the parties to an arrangement to an interest instead in rights to assets and obligations for liabilities in a specified proportion.

Exhibit 25.3 summarises common terms that might be found in a contractual arrangement and whether those terms evidence rights and obligations consistent with a joint operation or a joint venture.

	Joint operation	Joint venture
Terms	Establishes the parties to the joint arrangement hold rights to assets and obligations for liabilities relating to the arrangement	Establishes the parties to the joint arrangement hold rights to the net assets of the arrangement
Rights to assets	- Establishes the parties to the joint arrangement share all interests (e.g. rights, title, ownership) in the arrangement's assets in a specified proportion (e.g. in proportion to the ownership interest, in proportion to the activity carried out through the arrangement that is directly attributable to them) - Assets in a joint arrangement do not have to be held jointly; assets may be owned by a party to the joint arrangement and used in the activity of the joint arrangement	Establishes the joint arrangement has the rights to the assets (whether contributed by a party to the joint arrangement or acquired by the joint venture)
Obligations for liabilities	- Establishes the parties to the joint arrangement share all liabilities, obligations, costs and expenses relating to the arrangement in a specified proportion - Establishes the parties to the joint arrangement are liable for third party claims made against the arrangement - Liabilities in a joint arrangement do not have to be shared jointly; the obligation for a liability may be attributed to a single party to the joint arrangement	- Establishes the joint arrangement is liable for its debts and obligations - Establishes the parties to the joint arrangement are liable only to the extent of their respective investments in the arrangement, and/or to their obligation to contribute any further capital into the arrangement - Establishes creditors of the joint arrangement do not have recourse against the parties to the joint arrangement for the arrangement's debts and obligations

► **EXHIBIT 25.3** Terms of the contractual arrangement

	Joint operation	Joint venture
Revenues, expenses, profit or loss	Establishes the allocation of revenues and expenses on the basis of the relative performance of each party to the joint arrangement (e.g. allocate revenue and expense based of the capacity each party uses of a jointly controlled plant which may differ from the party's ownership interest)	Establishes each party's share in the profit or loss of the joint arrangement

► **EXHIBIT 25.3** Terms of the contractual arrangement (*continued*)

25.1.2.4 The Primary Purpose of the Arrangement Is to Provide the Parties with Output

In some cases, the terms of the contractual arrangement may not change the rights of the parties to net assets of the vehicle, as accorded by the legal form of the vehicle. However, other facts and circumstances, such as the establishment of the joint arrangement to supply its output *primarily* to only the parties to the arrangement (i.e. the parties to the arrangement are the vehicle's primary source of financing its continuing operations), may indicate that the nature of the joint arrangement is that of a joint operation rather than a joint venture. The parties to the arrangement may use the output from the joint arrangement as an input in their own operations or may on-sell it in its existing form to a third party. Note that the joint arrangement must also be dependent on the parties on a continuous basis for settling its liabilities for the arrangement to be classified as a joint operation.

HKFRS
11.B31-32

Illustrative Example 4

Albatross was in final discussions to establish an arrangement with Parakeet Limited (Parakeet) to manufacture packing materials to be used by Albatross and Parakeet in their own business operations. Albatross and Parakeet have decided the manufacturing will be undertaken by a newly incorporated company (Albakeet Limited) owned equally by the parties. Albatross and Parakeet were each to hold 50% of the voting rights of Albakeet and had to approve all financial and operating policy decisions taken by Albakeet.

Albatross and Parakeet tentatively agreed that Albakeet would be able to sell its output to Albatross, Parakeet or to third parties, at a price set by Albakeet's management to enable it to generate a net profit.

Albatross was analysing how this arrangement would be accounted for in its consolidated financial statements. To do so, it had to first determine whether the arrangement between itself and Parakeet was a joint arrangement. Albatross concluded the arrangement between itself and Parakeet was a joint arrangement because both had joint control and:

- the parties had to act together to direct the activities that significantly affected the returns of the arrangement as decisions about the relevant activities could not be made without Albatross and Parakeet agreeing (i.e. there was collective control); and

Illustrative Example 4 (continued)

- decisions about the relevant activities required the unanimous consent of Albatross and Parakeet.

Next, Albatross had to classify the joint arrangement by considering its rights and obligations under the arrangement. Albatross observed that:

- the arrangement would be structured in a separate vehicle (Albakeet);
- the legal form of the vehicle conferred on Albatross rights to the net assets of Albakeet (through its shareholding) rather than a direct interest in the assets and liabilities of Albakeet;
- Albatross and Parakeet did not plan for the terms of the arrangement to change the rights conferred by the legal form of the vehicle; and
- as Albakeet's output could be sold to third parties at a price to be set by Albakeet, Albakeet would assume demand, inventory and credit risks. The activities of the joint arrangement were not primarily aimed at supplying output to Albatross and Parakeet, and Albakeet did not need to depend on Albatross and Parakeet to fund the settlement of its liabilities (e.g. trade payables incurred in acquiring raw materials used in the manufacture of packing materials).

On review of these facts and circumstances, Albatross concluded the joint arrangement would be classified as a joint venture and, accordingly, would apply the accounting for a joint venture. Albatross would be identified as a joint venturer in that joint venture.

Illustrative Example 5

Assume the same facts as in the immediately preceding Illustrative Example 4. However, Parakeet was concerned that it may not be able to purchase output from Albakeet sufficient to meet its business objectives if Albakeet was permitted to sell its output to third parties.

Parakeet suggested Albatross and Parakeet sign agreements with Albakeet to the effect that:

- Albatross and Parakeet would purchase all of the output of Albakeet in a 50:50 ratio at a price that reflected Albakeet's costs of operation (i.e. Albakeet would operate on a break-even basis); and
- Albakeet could not sell output to third parties without the agreement of Albatross and Parakeet.

Illustrative Example 5 (*continued*)

Albatross was analysing whether this would change its initial classification of the joint arrangement. Albatross's review of the facts and circumstances indicated:

- the arrangement would be structured in a separate vehicle (Albakeet);
- the legal form of the vehicle conferred on Albatross rights to the net assets of Albakeet (through its shareholding) rather than a direct interest in the assets and liabilities of Albakeet;
- Albatross and Parakeet had not planned for the terms of the arrangement to change the rights conferred by the legal form of the vehicle; but that
- Albakeet would primarily be established to supply output to Albatross and Parakeet. As such, Albakeet would be dependent on Albatross and Parakeet for the generation of its future cash flows, and consequently, would be dependent on these parties to fund the settlement of its liabilities.

Because the facts and circumstances indicate Albatross and Parakeet will consume and have rights to substantially all the economic benefits of Albakeet's assets, Albatross would instead classify the joint arrangement as a joint operation, and accordingly, would apply the accounting for a joint operation. Albatross would be identified as a joint operator in that joint operation.

► Knowledge Check Questions

Question 1

Identify which, if any, of the following statements are true about a joint arrangement.

- A** In a joint arrangement, no single party controls the arrangement on its own.
- B** A party with joint control of an arrangement can prevent any of the other parties, or a group of the parties, from controlling the arrangement.
- C** For joint control to be present, be a contractual arrangement must give all parties to the arrangement collective control of the arrangement.
- D** For joint control to be present, the parties with collective control of the arrangement must be required to make unanimous decisions about the relevant activities of the arrangement.

Question 2

Identify the key characteristics of a joint arrangement.

Question 3

BonBon Limited (BonBon) and Truffle Limited (Truffle) agreed to share and operate a sawmill together. The terms of the contractual arrangement specified that BonBon and

► Knowledge Check Questions (continued)

Truffle would be responsible for the costs of operating that sawmill in proportion to the share of the output each took. Any revenues from the sale of excess output would similarly be proportioned in accordance with the share of output acquired by each party for that month. The asset could not be sold without the agreement of BonBon and Truffle, and any revenue from the sale of the sawmill would be shared evenly. BonBon and Truffle agreed to the production levels for the quarter at the start of every quarter.

Identify the features of the arrangement that (1) indicate joint control exists; (2) imply the arrangement is a joint operation.

Question 4

Identify which of the following statements are true about joint arrangements.

- A** A jointly controlled asset is classified as a joint operation.
- B** A jointly controlled entity operating a business is classified as a joint venture.
- C** For joint control to be present, each party to a joint venture must hold 50% of the ordinary shares of the legal entity.
- D** For an arrangement to be classified as a joint operation, all assets and liabilities related to the arrangement must be jointly owned by the joint operators.

25.2 FINANCIAL STATEMENTS OF PARTIES TO A JOINT ARRANGEMENT

An entity that is party to a joint arrangement applies the accounting applicable to its classification as a joint operation or a joint venture. The applicable accounting enhances the relevance and faithful representation of the joint arrangement in the entity's financial statements as it depicts whether the entity has rights to assets and/or obligations for liabilities of the joint arrangement, or has rights to net assets of the joint arrangement.

This section sets out the accounting that applies in the consolidated or equity accounted financial statements of a:

- joint operator;
- joint venturer; and
- participant who does not have joint control of the joint operation or joint venture (e.g. Entity C in Illustrative Example 3).

(The accounting in separate or 'individual' financial statements is addressed in Section 25.3.)

25.2.1 Party to a Joint Operation

Recall that in a joint operation, the **joint operator** has an interest in specific assets and/or obligations used in the arrangement rather than an interest in the results of the overall arrangement. Similarly, a participant in the joint operation that does not have joint control of the operation may have rights to assets and obligations for liabilities relating to the joint operation.

This is reflected in the accounting prescribed by HKFRS 11, and in relation to a party's interest in a joint operation, the party recognises its:

- assets, including its share of any assets held jointly;
- liabilities, including its share of any liabilities incurred jointly;
- revenue from the sale of its share of the output arising from the joint operation;
- share of the revenue from the sale of the output by the joint operation; and
- expenses, including its share of any expenses incurred jointly.

HKFRS
11.20, 23

HKFRS
11.21

HKFRS
11.BC39

These elements are recognised, measured and otherwise accounted for in accordance with the HKFRSs applied to the particular element. The HKFRS is clear that a joint operator has rights to an asset (or share thereof) and not a 'right to use' the asset. Hence, for example, machinery used in the activity of the joint operation (whether held solely by the operator, or jointly) is measured and disclosures made in accordance with HKAS 16 *Property, Plant and Equipment* and not HKAS 38 *Intangible Assets*.

A joint operator may transact with the joint operation by selling or contributing assets to the joint operation or by purchasing assets from the joint operation at other than at the asset's carrying amount, giving rise to gains or losses on the transaction. The accounting for these transactions is outside the scope of this module.

The treatment for a participant in the joint operation that does not have joint control of the operation or any rights to assets and obligations for liabilities relating to the joint operation is as follows. The interest of a participant in the joint operation that (1) does not have joint control of the operation, and (2) does not have rights to the assets and obligations for the liabilities relating to the joint operation is accounted for in accordance with the HKFRS applicable to that interest. For example, HKFRS 9 *Financial Instruments* may be applicable if the participant's interest is in the form of a loan to the joint operation.

HKFRS
11.23

Apply and Analyse 1

Chung Ho Limited (CHL) entered into a joint arrangement with Wang San Limited (WSL) on 1 January 20X3. Under the terms of the arrangement, CHL and WSL agreed to undertake activity to manufacture capacitors, which CHL and WSL intended to use as inputs in their own manufacturing processes.

The terms of the contractual arrangement governing the joint arrangement set out that CHL and WSL would jointly purchase the machine to produce the capacitors and share equally in the costs of producing and selling the items. 90% of the output of the machine would be shared by CHL and WSL in a 50:50 ratio and the remaining 10% would be sold to external parties.

Apply and Analyse 1 (continued)

The machine was acquired on 1 October 20X3 for HK\$12 million. Assume the machine had a useful life of 10 years and its residual value was nil.

During the year ended 31 December 20X3, the joint arrangement incurred:

- costs of HK\$800,000 to produce the capacitors that were taken by CHL and WSL; and
- costs of HK\$100,000 to produce and sell the capacitors that were sold. The capacitors were sold at a markup of 10 per cent. All the capacitors were sold by 31 December.

Calculate the amounts that CHL recognised in its financial statements for the year ended 31 December 20X3 in relation to the joint operation assuming that all of its share of capacitors remained on hand at the reporting date.

Analysis

CHL recognised in its financial statements:

Item	Amount	Calculation
Property, plant and equipment – machine	HK\$5,850,000	Share of machine = $50\% \times \text{HK\$12 million}$ = HK\$6 million Less: depreciation for the period = $\text{HK\$6 million} / 10 \text{ years} \times 3/12$ = HK\$150,000
Inventory – capacitors	HK\$400,000	Share of output = $50\% \times \text{HK\$800,000}$ = HK\$400,000 (all the output remains on hand at reporting date)
Revenue – sale of capacitors	HK\$55,000	Sale of capacitors = HK\$100,000 $110\% = \text{HK\$110,000}$ Share of revenue from the sale = $50\% \times \text{HK\$110,000}$ = HK\$55,000
Expenses (e.g. costs of sales, marketing)	HK\$50,000	Costs of producing and selling capacitors = HK\$100,000 Share of costs of producing and selling capacitors = $50\% \times \text{HK\$100,000}$ = HK\$50,000

25.2.2 Party to a Joint Venture

In a joint venture, the **joint venturer** has an interest in the net assets of the arrangement, rather than an interest in specific assets and/or obligations used in the arrangement. In most cases, such interests are accounted for using the *equity method of accounting*. Unlike the accounting for a joint operation, under the equity method, the joint venturer's ownership interest (rather than its 'share of') is relevant to the accounting.

HKFRS
11.24, BC41

HKAS
28.27

Equity accounted investment	
Cost	X,XXX
+ Share of joint venture's net profit for the period	X,XXX
+ Share of joint venture's other comprehensive income for the period	X,XXX
– Dividends received from the joint venture	X,XXX
+/- Other changes in net assets	X,XXX
Equity accounted carrying amount	<u><u>X,XXX</u></u>
Share of joint venture's net profit for the year	
Joint venture's reported net profit	X,XXX
+/- depreciation relating to fair value adjustment on acquisition	X,XXX
+/- unrealised gains and losses (upstream)	X,XXX
Joint venture's adjusted profit for the year	<u><u>X,XXX</u></u>
Share of joint venture's adjusted profit (ownership% × adjusted profit)	X,XXX
+ discount on acquisition	X,XXX
Share of joint venture's net profit for the year	<u><u>X,XXX</u></u>

► **EXHIBIT 25.4 Equity method – illustration**

As discussed in Chapter 24, and as illustrated in Exhibit 25.4, the equity method is a method of accounting where:

- the entity's interest in the joint venture is initially recognised at cost and adjusted thereafter for the post-acquisition change in the entity's share of net assets of the joint venture; and
- the profit or loss of the entity includes its share of the profit or loss of the joint venture and the other comprehensive income of the entity includes its share of other comprehensive income of the joint venture.

However, because joint ventures are more commonly established as new vehicles, it may be less common to see the following in determining the equity accounted carrying amount of the investment or share of the joint venture's net profit:

- implicit goodwill or discount on acquisition; and
- fair value adjustments on acquisition, and the associated depreciation.

Review Chapter 24 for further discussion on applying the equity method of accounting.

Apply and Analyse 2

Albatross had classified its joint arrangement with Parakeet as a joint venture, the activities of which were conducted through Albakeet Limited (Albakeet). Albakeet was incorporated on 1 July 20X1. Albatross and Parakeet contributed capital into Albakeet of HK\$500,000 in exchange for 50% of the voting rights of Albakeet.

During the year ended 30 June 20X2, Albakeet made a net profit of HK\$200,000 and declared dividends to its shareholders of HK\$60,000. The net profit included a gain of

Apply and Analyse 2 (continued)

HK\$10,000 on the sale of inventory from Albakeet to Albatross. None of that inventory had been on-sold by Albatross to a third party.

Calculate Albatross's share of Albakeet's net profit for the year ended 30 June 20X2 and the carrying amount of its investment in Albakeet as of 30 June 20X2.

Analysis

Albatross's share of Albakeet's net profit for the year ended 30 June 20X2 was calculated as follows:

	HK\$
Albakeet's reported net profit for the year	200,000
Less: unrealised gain on intercompany sale of inventory (Note 1)	(10,000)
Albakeet's adjusted profit for the year	190,000
Albatross's share of Albakeet's adjusted profit for the year included in profit or loss ($50\% \times \text{HK\$}190,000$)	95,000

Note 1: The sale of inventory from Albakeet to Albatross was an upstream transaction, and therefore, any unrealised gains or losses arising from the transaction was adjusted for in applying the equity method. Review Chapter 24 for an explanation.

The carrying amount of the equity accounted investment in Albakeet as of 30 June 20X2 is:

	HK\$
Cost	500,000
Add: Share of joint venture's net profit for the year ($50\% \times 200,000$) (Note 2)	100,000
Less: Dividends declared ($50\% \times \text{HK\$}60,000$)	(30,000)
Investment in Albakeet as of 30 June 20X2	570,000

Note 2: In applying the equity method, the unrealised gain of HK\$5,000 was adjusted against inventory (DR Share of profit of joint venture CR Inventory). Review Chapter 24 for an explanation.

HK\$570,000 is based on Approach 2 from Chapter 24.

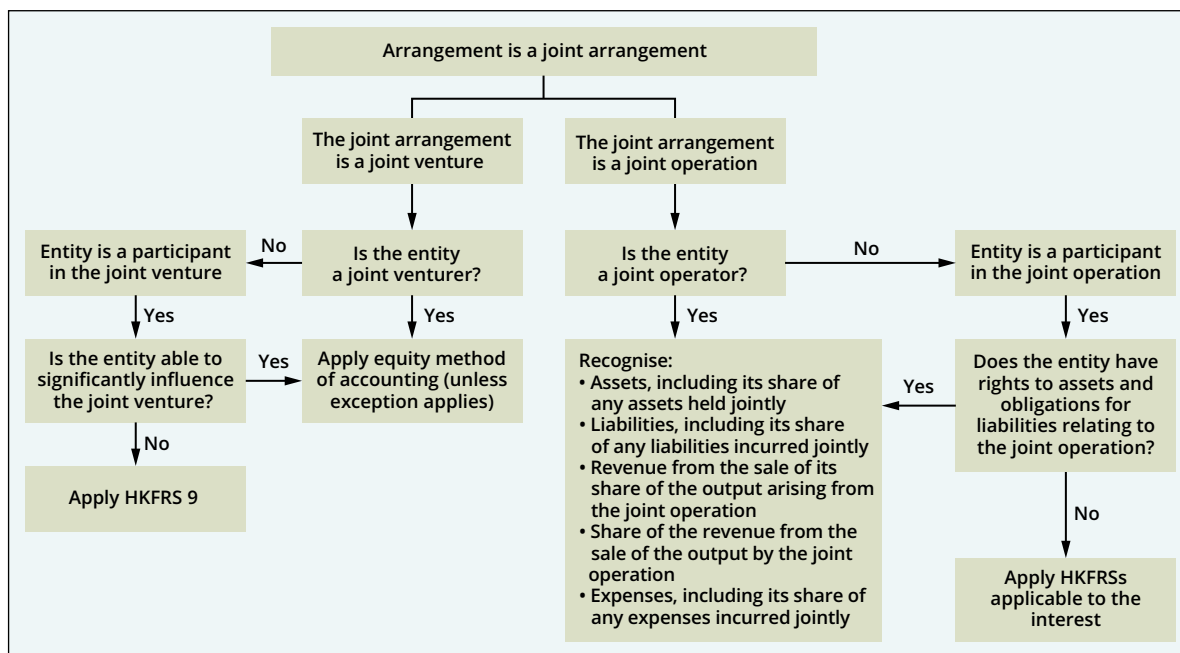
If candidates select to apply Approach 1 from Chapter 24, it will generate a different amount for the investment in joint venture (with a further reduction of $\text{HK\$}10,000 \times 50\% = \text{HK\$}5,000$ relating to the unrealised gain on intercompany sale of inventory) of HK\$565,000.

Similar to a joint operation, it is possible for an entity to participate in a joint venture without being a joint venturer. In these cases, the participant must evaluate whether the nature of its interest is a:

- *Financial asset* – the participant accounts for its interest in accordance with HKFRS 9; or
- *Associate interest* – the participant accounts for its interest in accordance with HKAS 28, which may require the equity method to be applied.

HKFRS
11.25

Exhibit 25.5 summarises the accounting by parties to a joint arrangement in consolidated or equity accounted financial statements.



► **EXHIBIT 25.5** Accounting by parties to a joint arrangement

► Knowledge Check Questions

Question 5

Entity H and Entity J are joint operators of a joint operation. The activity of the joint operation was conducted through Xtra Limited (Xtra), which was owned equally by Entity H and Entity J (i.e. 50% each). Under the contractual arrangement relating to the joint operation, the rights and obligations to assets, liabilities, revenues and expenses of the arrangement were shared in a specified proportion that recognised the value of Entity H's expertise to the conduct of the activity of the joint operation:

- Entity H – 60%
- Entity J – 40%

► **Knowledge Check Questions (*continued*)**

Identify which of the following statements about the arrangement is correct.

- A** Entity H applied the equity method to account for its 50% interest in Xtra.
- B** Entity H recognised 60% of the assets, liabilities, revenues and expenses of Xtra.
- C** Entity J recognised 50% of the assets, liabilities, revenues and expenses of Xtra.
- D** Entity J recognised an investment in Xtra, measured at 50% of the net assets of Xtra.

Question 6

Entity A, Entity B and Entity C agreed to work together to design and construct a road connecting their factories to a highway. The terms of the contractual arrangement included:

- the participant share of each entity in the arrangement was Entity A – 50%, Entity B – 30%, Entity C – 20%.
- Entity A and Entity B jointly controlled the arrangement.
- the activity of the joint arrangement would be conducted through a separate vehicle, Entity D. To set up Entity D, Entity A contributed HK\$50,000, Entity B contributed HK\$30,000 and Entity C contributed HK\$20,000.
- all rights to assets and obligations for liabilities relating to activities of the arrangement were shared by the participants on the basis of their participant shares.
- profit or loss resulting from activities of the arrangement was shared by the participants on the basis of their participant shares.

On consideration of all relevant facts and circumstances, the arrangement had been determined to be a joint operation.

At 31 December 20X1, Entity D reported assets of HK\$900,000, liabilities of HK\$776,000, and net profit of HK\$24,000.

Determine the amounts reported by Entity A, Entity B and Entity C in relation to the joint operation.

Question 7

Entity E, Entity F and Entity G agreed to work together to design and construct a road connecting their factories to a highway. The terms of the contractual arrangement included:

- the participant share of each entity in the arrangement was Entity E – 50%, Entity F – 30%, Entity G – 20%.
- that Entity E and Entity F jointly controlled the arrangement. Entity G did not participate in the financial and operating decision making relating to the activity of the arrangement.
- the activity of the joint arrangement would be conducted through a separate vehicle, Hibiscus Limited (Hibiscus). To set up Hibiscus, Entity E, Entity F and Entity G contributed HK\$50,000, HK\$30,000 and HK\$20,000 accordingly.

On consideration of all relevant facts and circumstances, the arrangement was determined to be a joint venture.

At 31 December 20X1, Hibiscus reported assets of HK\$900,000, liabilities of HK\$776,000, and net profit of HK\$24,000. The fair value of Hibiscus on 31 December 20X1 was HK\$150,000.

Determine the amounts reported by each of Entity E, Entity F and Entity G in relation to the joint venture.

25.3 SEPARATE FINANCIAL STATEMENTS

HKAS
27.6

Separate financial statements may be presented only where the investor has investments in subsidiaries and/or associates and joint venture entities and are presented *in addition to* the consolidated financial statements or equity accounted financial statements. For example, Albatross may choose or be required to prepare parent-only financial statements in addition to its consolidated financial statements.

HKFRS 11 and HKAS 27 *Separate Financial Statements* explain how a party to a joint arrangement should treat its interest in the joint arrangement in the entity's separate financial statements. HKFRSs do not require the presentation of separate financial statements.

In its separate financial statements (if presented), where the party to a joint arrangement is a:

- joint venture, the party accounts for its interest in the joint venture:
 - at cost;
 - in accordance with HKFRS 9 (at fair value) (see Chapter 10); or
 - by applying the equity method (see Chapter 24).
- participant in a joint venture, but not a joint venture, and accounts for its interest in accordance with the appropriate of HKFRS 9 or HKAS 28.

HKFRS
11.26–27
HKAS 27.10

The same accounting policy should be applied by a joint venturer to account for all its joint venture entities; it is not an arrangement-by-arrangement choice. However, it need not be the same accounting policy choice as applied to the accounting for the entity's associates. For example, in Albatross's separate financial statements, it could elect to measure its investment in Parakeet (if determined to be a joint venture) at cost and its investments in its associates (Weka Limited and Moorhen Limited, Chapter 24) in accordance with HKFRS 9.

Because separate financial statements may be presented only where the investor has investments in subsidiaries and/or associates and joint venture entities, it follows that an investor, who is party to a joint operation but who does not also have an investment in any subsidiary, associate or joint venture entity, does *not* present separate financial statements. Rather, it presents 'individual' or company financial statements. However, where separate financial statements are prepared, the joint operator and a party otherwise participating in that joint operation account for its interests in assets, liabilities, revenue, expenses, and share of the jointly controlled operation in those financial statements in the manner specified in Section 25.2.1.

HKFRS
11.26–27

Separate financial statements may be presented as the sole financial statements of an entity only in limited circumstances. These exceptions are limited to certain entities that, as permitted, have been exempted from consolidating subsidiaries and accounting for its investments in associates and joint ventures in accordance with the equity method.

► Knowledge Check Questions

Question 8

Alpha Limited (Alpha) had joint control over the joint venture entity Bravo Limited (Bravo). Identify which, if any, of the following statements are true in accordance with HKFRSs.

- A** Alpha could present separate financial statements in which it applies the equity method to account for the investment in Bravo.
- B** Alpha had to present separate financial statements in which it applies the equity method to account for the investment in Bravo.
- C** Alpha could present separate financial statements in which it measures the investment in Bravo at fair value in accordance with HKFRS 9.
- D** Alpha could present separate financial statements in which it measures the investment in Bravo at cost.

Question 9

Gamma Limited (Gamma), Theta Limited (Theta) and Xenon Limited (Xenon) were parties to a joint operation. Under the contractual arrangement setting out the terms of the joint operation:

- Gamma, Theta and Xenon contributed equally to the purchase of a printing press business and shared equally in the revenues, operating costs, assets and obligations of operating the business. If the business (or any asset) was disposed of, any proceeds on sale would be shared equally amongst the three parties; and
- Theta and Xenon jointly controlled the relevant activities of the printing press business.

Gamma and Theta had investments in subsidiaries and presented consolidated financial statements. Xenon did not have any investments in subsidiaries, associates or joint ventures.

Identify which of the following statements are true.

- A** Gamma had to present separate financial statements in which it applied the equity method to account for its investment in the printing press business.
- B** Gamma might present separate financial statements in which it recognised its share of assets, liabilities, revenues and expenses of the printing press business.
- C** Xenon might present separate financial statements in which it recognised its share of assets, liabilities, revenues and expenses of the printing press business.
- D** Theta might present separate financial statements in which it measured its investment in the printing press business at fair value in accordance with HKFRS 9.



25.4 PRESENTATION AND DISCLOSURE OVERVIEW

Requirements for the presentation and disclosure of an entity's interests in a joint arrangement are set out in various HKFRSs, including HKAS 1 *Presentation of Financial Statements*, HKFRS 12 *Disclosure of Interests in Other Entities* and HKAS 24 *Related Party Disclosures*.

25.4.1 Presentation of Joint Arrangements

An entity that is a joint venturer includes line items in its financial statements that relate to its interests in joint ventures *together* with its investments in associates. In accordance with HKAS 1, the entity must present line items in its statement of financial position and statement of profit or loss and other comprehensive income that show:

- the carrying amount for all investments accounted for using the equity method;
- the entity's share of the profit or loss of joint ventures (and any associates) accounted for using the equity method; and
- the entity's share of the other comprehensive income of joint ventures (and any associates) accounted for using the equity method, separately identifying the share that will and will not be subsequently reclassified to profit or loss.

HKAS 1.54,
582, 82A

Accordingly, for example, Albatross may group as a single line item in its statement of financial position the carrying amount of its investments in Moorhen Limited and Weka Limited (its associates) and its interest in Parakeet (its joint venture).

Amounts related to an entity's interests in a joint operation are not separately reported.

25.4.2 Disclosure of Joint Arrangements

In accordance with HKFRS 12, an entity must disclose information that enables users of its financial statements to evaluate the nature of, and risks associated with, its investments in joint arrangements and the effects of those interests on the entity's financial position, financial performance and cash flows. In addition, HKAS 24 requires disclosure of the nature of the related party relationship and information about transactions and outstanding balances (including commitments) between the entity and its joint venture partners necessary for users to understand the potential effect of the joint venture relationship on the financial statements.

HKFRS 12.1
HKAS 24.17

To meet the disclosure objective set out in HKFRS 12, an entity discloses – separately from its disclosures about its associates and subsidiaries – information about the:

- significant judgements and assumptions it has made in determining whether an interest is a joint arrangement (or otherwise) and the type of the arrangement (joint

venture or joint operator) when it has been structured through a separate vehicle. The entity must disclose any changes in its assessment;

- nature, extent and financial effects of its interests in joint arrangements, including the nature and effects of its contractual relationship with other investors with joint control over the joint arrangement; and
- nature of, and changes in, the risks associated with its interests in joint ventures (e.g. commitments and contingent liabilities relating to its interests in a joint venture).

HKFRS
12.7, 20

The extent of disclosure required is subject to judgement and to the materiality of the joint arrangement to the entity. In addition to amounts presented on the face of the financial statements, key disclosures include:

- particulars of an entity's investments in joint arrangements (e.g. name, activity, place of business, ownership interest);
- summarised financial information about each material joint venture (e.g. dividends received from the joint venture, key subtotals and line items reported by the joint venture). The summarised information is based on the joint venture's HKFRS-compliant financial statements adjusted for differences in accounting policies and to reflect adjustments made in the application of the equity method (e.g. fair value adjustments). The joint venture's financial statements are not adjusted for the effects of intercompany transactions with the joint venturer;
- a reconciliation of the summarised financial information presented to the carrying amount of the equity accounted joint venture;
- nature and extent of any significant restrictions on the ability of the joint venture to transfer funds to the entity;
- the unrecognised share of losses of a joint venture;
- commitments relating to an entity's interests in joint ventures; and
- contingent liabilities relating to an entity's interests in joint ventures.

HKFRS
12.21–23

Although not explicitly stated, no requirement exists to disclose separately quantitative information about an entity's interests in joint operations (except, of course, if necessary to meet the objective of HKFRS 12). However, qualitative general information about these arrangements should be disclosed.

Though HKFRS 12 identifies specific disclosures that assist in meeting the disclosure objective, in preparing a set of financial statements, the preparer should assess whether overall, the disclosures presented are sufficient to meet the disclosure objective set out at the start of this section. If not, additional disclosures, or further aggregation or disaggregation of information, must be made.

► Knowledge Check Questions

Question 10

Identify which of the following statements are true.

- A** Summarised financial information relating to all joint ventures must be disclosed in the notes to the financial statements.
- B** An entity must disclose information about its future obligations to joint ventures in the form of commitments and contingent liabilities.
- C** An entity applies judgement in determining the extent of disclosure required of joint arrangements in its financial statements.
- D** The carrying amount of an entity's interests in joint ventures accounted for using the equity method is reported separately from its equity accounted investments in associates on the face of the statement of financial position.

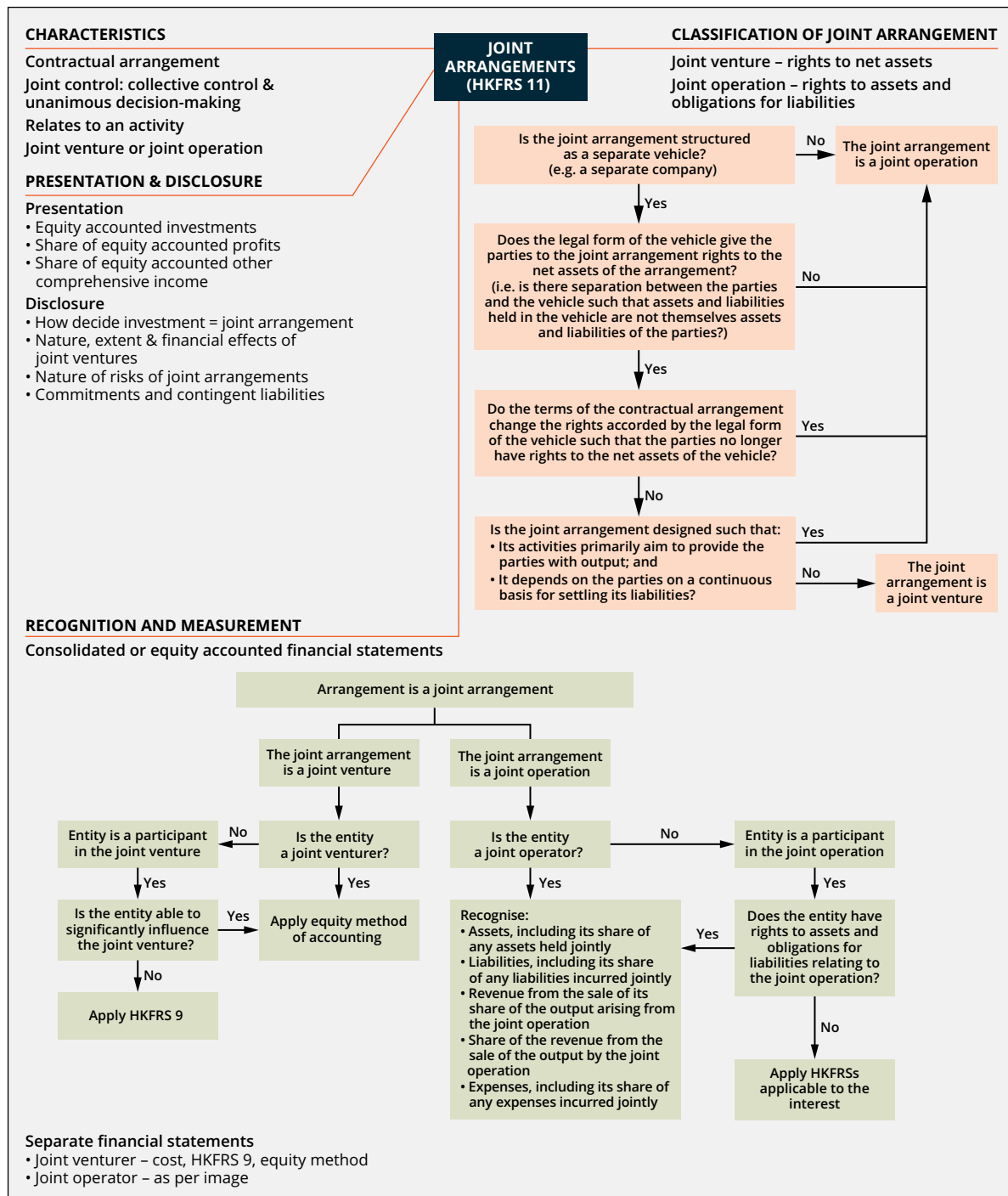


SUMMARY

- A joint arrangement is an arrangement of which two or more parties share joint control, and is another way for investors to share costs and risks or to gain access to new technology or new markets.
- In a joint arrangement the parties are bound by a contractual arrangement, and the contractual arrangement gives two or more of those parties joint control of the arrangement.
For joint control to exist, there must be collective control and unanimous decision making over the relevant activities of the joint arrangement.
- A joint arrangement is classified as a joint operation or a joint venture:
 - a joint operation is the jointly controlling parties have rights and obligations to share in assets and/or liabilities of the arrangement; and
 - a joint venture is the jointly controlling parties have rights and obligations to share in the net assets of the arrangement.
- To determine the classification of a joint arrangement, consider all facts and circumstances including the structure of the arrangement, its legal form (if any), and the terms of the contractual arrangement (review Exhibit 25.2).
- An entity party to a joint arrangement may be a joint operator, a joint venturer, a participant in the joint arrangement or merely a financial investor.
- The accounting for a joint arrangement depends on the classification of the arrangement (review Exhibit 25.5)
 - A joint operator recognises, in relation to its interest in a joint operation, its:
 - assets, including its share of any assets held jointly;
 - liabilities, including its share of any liabilities incurred jointly;
 - revenue from the sale of its share of the output arising from the joint operation;
 - share of the revenue from the sale of the output by the joint operation; and
 - expenses, including its share of any expenses incurred jointly.
 - A joint venturer recognises its interest in a joint operation using the equity method of accounting.
- The accounting in a joint venturer's separate financial statements may differ from its consolidated or equity-accounted financial statements. The accounting in a joint operator's separate financial statements is the same as that in its consolidated financial statements (if any).

- Presentation: Separately presented on the face of the financial statements:
 - the carrying amount for all equity accounted investments;
 - share of the profit or loss of equity accounted joint ventures (and any associates) accounted for using the equity method; and
 - share of the other comprehensive income of equity accounted joint ventures (and any associates), separately identifying amounts that will be subsequently reclassified, and amounts that will not be subsequently reclassified.
- Disclose information that enables users of its financial statements to evaluate the nature of and risks associated with its investments in joint arrangements and the effects of those interests on the entity's financial position, financial performance and cash flows. This includes information in these areas:
 - significant judgements and assumptions it has made in determining whether an interest is a joint arrangement;
 - nature, extent and financial effects of its interests in joint ventures; and
 - nature of, and changes in, the risks associated with its interests in joint arrangements.

MIND MAP



► Answers to Knowledge Check Questions

Question 1

Answers A, B and D are correct.

Answer A is correct. By definition, for a joint arrangement to be present, there must be joint control, which necessarily involves more than one party. Therefore, in a joint arrangement, no single party can control the arrangement on its own.

Answer B is correct. By definition, joint control requires decisions about the relevant activities to be made collectively and unanimously. Therefore, a party with joint control of an arrangement must be able to prevent any of the other parties, or a group of the parties, from controlling the arrangement.

Answer C is incorrect. Not all parties to an arrangement need to have collective control of the arrangement for joint control to be present. Two or more parties to an arrangement may have joint control of the arrangement, with other parties behaving as pure investors.

Answer D is correct. One of the features of joint control is that decisions about the relevant activities require the unanimous consent of the parties that control the arrangement collectively.

Question 2

Characteristics of a joint arrangement:

- involves two or more parties;
- there is a contractual arrangement;
- control is shared (no one party controls the arrangement because there is collective control); and
- requires the parties sharing control to unanimously agree on decisions pertaining to the arrangement's relevant activities.

In addition, the joint arrangement:

- may or may not be established as a separate vehicle; and
- is either a joint venture or a joint operation.

Question 3

Features indicating that joint control is present and, therefore, the arrangement is a joint arrangement:

- BonBon Limited (BonBon) and Truffle Limited (Truffle) had to collectively make operating decisions on the use of the sawmill; and
- BonBon and Truffle had to collectively make decisions on the sale of the sawmill.

These terms indicated that BonBon and Truffle collectively controlled the sawmill and had to unanimously consent to decisions about its relevant activities.

Features indicating the arrangement was a joint operation:

- there was no separate vehicle established to operate the sawmill;
- the contractual arrangement between BonBon and Truffle set out how the costs of operating the sawmill will be shared;

- the contractual arrangement between BonBon and Truffle set out how any revenues from the sale of excess output will be shared; and
- the contractual arrangement between BonBon and Truffle set out each party's rights to the asset.

Question 4

Answer A is correct. A jointly controlled asset is classified as a joint operation. It is possible that the activity of a joint operation pertains to a single shared asset. It is possible, but unlikely a jointly controlled asset would be structured into a separate vehicle with terms and conditions that result in the arrangement being classified as a joint venture.

Answer B is incorrect. A jointly controlled entity that operates a business may or may not be classified as a joint venture. The classification depends on whether the facts and circumstances evidence that the controlling parties have rights and obligations to the net assets of the entity or (directly) to the assets and liabilities of the business.

Answer C is incorrect. Though the parties to a joint venture might ordinarily be expected to each hold 50% of the ordinary shares of the legal entity, other terms in the contractual arrangement may establish that the parties jointly control the arrangement.

Answer D is incorrect. Assets or liabilities may be held by a single party to the joint operation and other assets and liabilities that are shared. For example, Entity A and Entity B could establish a joint arrangement to jointly manufacture a product, and the terms of the arrangement could provide that (1) Entity A is responsible for manufacturing the product and Entity B is responsible for packaging it for sale and (2) each entity uses its own assets and incurs its own liabilities to carry out its responsibilities under the arrangement.

Question 5

Answer A is incorrect. Entity H did not apply the equity method as the joint arrangement was classified as a joint operation and not a joint venture.

Answer B is correct. As a joint operator, Entity H had to recognise its share of the arrangement's assets, liabilities, revenues and expenses.

Answer C is incorrect. Entity J had to recognise its share of the arrangement's assets, liabilities, revenues and expenses. This might differ from its ownership interest. Recognising the share based on the party's ownership interest was a form of accounting known as 'proportionate consolidation', which was not permitted under HKFRSs.

Answer D is incorrect. As a joint operator, Entity H recognised its share of the arrangement's assets, liabilities, revenues and expenses, rather than a single asset 'investment in Xtra' which is equity accounted.

Question 6

Entity A recognised assets of HK\$450,000, liabilities of HK\$388,000 and net profit of HK\$12,000 relating to the joint operation.

Entity B recognised assets of HK\$270,000, liabilities of HK\$232,800 and net profit of HK\$7,200 relating to the joint operation.

Entity C recognised assets of HK\$180,000, liabilities of HK\$155,200 and net profit of HK\$4,800 relating to the joint operation. Under the contractual arrangement, Entity C had rights to assets and obligation for liabilities relating to the joint operation. Consequently, in accordance with HKFRS 11, it had to recognise its share of those assets, liabilities and net profit.

Question 7

Entity E recognised an investment in Hibiscus Limited (Hibiscus) of HK\$62,000 ($\text{HK\$50,000} + (50\% \times \text{HK\$24,000})$) and share of net profit of joint venture of HK\$12,000 ($50\% \times \text{HK\$24,000}$).

Entity F recognised an investment in Hibiscus of HK\$37,200 ($\text{HK\$30,000} + (30\% \times \text{HK\$24,000})$) and share of net profit of joint venture of HK\$7,200 ($30\% \times \text{HK\$24,000}$).

Entity G recognised an investment in Hibiscus of HK\$30,000 ($20\% \times \text{HK\$150,000}$) and a fair value gain of HK\$10,000 ($(20\% \times \text{HK\$150,000}) - \text{HK\$20,000}$). The investment was measured at fair value in accordance with HKFRS 9 because Entity G did not jointly control or have significant influence over Hibiscus. The fair value gain was recognised in profit or loss or in other comprehensive income consistent with the accounting policy applicable to Entity G's designation of its investment in Hibiscus.

Question 8

Answers A, C and D are correct. Alpha had an accounting policy choice as to how it accounted for Bravo in its separate financial statements, if presented.

Answer B is incorrect. HKFRSs do not require the presentation of separate financial statements.

Question 9

Answer A is incorrect. (1) Gamma Limited (Gamma) could present separate financial statements as it presented consolidated financial statements. However, it was not required to because HKFRSs do not require the presentation of separate financial statements.

(2) In its separate financial statements, because the joint arrangement was a joint operation, Gamma could not apply the equity method to account for its investment in the printing press business. Instead, it had to account for the joint arrangement by recognising its share of assets, liabilities, revenues and expenses of the joint operation.

Answer B is correct. Gamma could, but was not required to, present separate financial statements as it presented consolidated financial statements. In these financial statements, because the joint arrangement is a joint operation, Gamma accounted for the joint arrangement by recognising its share of assets, liabilities, revenues and expenses of the joint operation.

Answer C is incorrect. Because Xenon Limited (Xenon) did not have any investments in subsidiaries, associates or joint ventures, it could not, by definition, present separate financial statements. Xenon presented individual (company-level) financial statements. In these financial statements, because the joint arrangement was a joint operation, it recognised its share of assets, liabilities, revenues and expenses of the printing press business.

Answer D is incorrect. Theta Limited (Theta) could, but was not required to, present separate financial statements as it presents consolidated financial statements. However, in its separate financial statements, because the joint arrangement was a joint operation, Theta could not measure its investment in the printing press business in accordance with HKFRS 9 but had to account for the joint arrangement by recognising its share of assets, liabilities, revenues and expenses of the joint operation.

Question 10

Answer A is incorrect. Summarised financial information is only required of material joint ventures.

Answer B is correct. Because information about the entity's future obligations to joint ventures in the form of commitments and contingent liabilities must be disclosed as part

of providing information to users about the nature of and changes in the risks associated with the entity's interests in joint ventures.

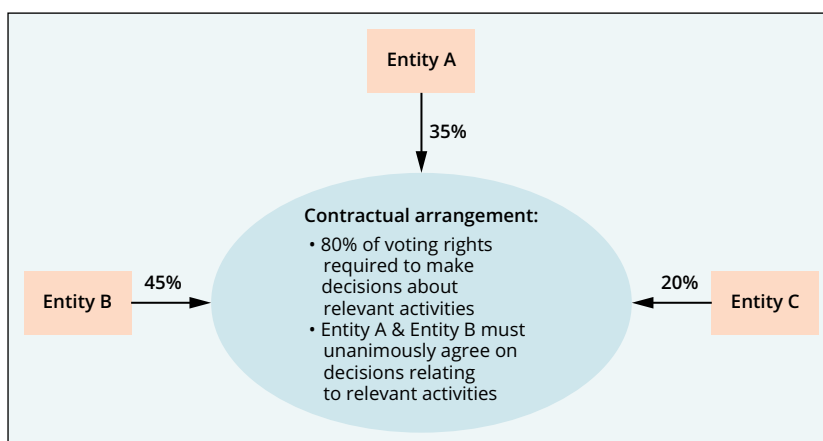
Answer C is correct. Because the HKFRS requires sufficient information to be disclosed to meet the disclosure objective, and accordingly, the determination of the form and extent of disclosure may vary between entities depending on the significance of the information to the users of the entity's financial statements.

Answer D is incorrect. The carrying amount of an entity's interest in joint ventures accounted for using the equity method does not need to be reported separately from its investments in associates also accounted for using the equity method. To the extent the entity has no investments in associates, its interests in joint ventures will be reported separately on the face of the statement of financial position.

EXAM PRACTICE

QUESTION 1

Consider the following arrangement among Entity A, Entity B and Entity C. The percentages reflect the proportionate voting power of each entity in the arrangement.



Identify which one of the following statements is true in accordance with HKFRS 11.

- A. Entity A jointly controls the arrangement.
- B. Entity C jointly controls the arrangement.
- C. The arrangement is not a joint arrangement.
- D. Entity A, Entity B and Entity C collectively control the arrangement.

QUESTION 2

Giant Limited (Giant) and Dwarf Limited (Dwarf) established the joint venture entity called Gold Mine Limited (Gold Mine). Each party held 50% of the ordinary shares of Gold Mine.

Determine which of the following disclosures Giant did not need to make in its financial statements. Assume Gold Mine was material to an understanding of Giant's financial statements.

- A. During the year, Giant received a dividend of HK\$100,000 from Gold Mine.
- B. Giant jointly controlled 50% of Gold Mine. Gold Mine operated a shopping centre in Hong Kong.
- C. Issues relating to the banking system were currently preventing Gold Mine from remitting any dividends to international shareholders. The issue had been ongoing for the past 10 months, and there was no indication when the issue will be resolved.
- D. Gold Mine's complete statement of financial position and statement of profit or loss and other comprehensive income were as follows.

QUESTION 3

Rototo Limited (Rototo) and Satsuki Limited (Satsuki) operated in the education industry. Rototo and Satsuki set up a contractual arrangement to work together for the purpose of fulfilling a contract with a large multinational company to deliver training to its employees over the next two years. The contractual arrangement determined the participation shares of Rototo and Satsuki were 50:50 and established joint control of the arrangement, the subject matter of which was the delivery of the training.

On 1 January 20X5, Rototo and Satsuki set up a 50:50 entity called Dogcar through which to conduct the arrangement. To set up the entity, each party contributed HK\$40,000. The main feature of Dogcar's legal form was that Rototo and Satsuki had rights to assets and obligations for liabilities of Dogcar.

The contractual arrangement between Rototo and Satsuki additionally established that:

- the rights to all the assets needed to undertake the activities of the arrangement were shared by the parties on the basis of their participation shares in the arrangement;
- the parties had several and joint responsibility for all operating and financial obligations relating to the activities of the arrangement on the basis of their participation shares in the arrangement; and
- the profit or loss resulting from the activities of the arrangement was shared by Rototo and Satsuki on the basis of their participation shares in the arrangement.

During the year ended 31 December 20X5, Dogcar generated revenues of HK\$410,000 and expenses of HK\$160,000. On 31 December 20X5, Dogcar held inventory of HK\$60,000, trade receivables of HK\$320,000 and trade payables of HK\$50,000.

Required:

- (a) As Rototo's financial accountant, you classified the arrangement as a joint operation. G. Ranny, the CEO of Rototo did not understand why the arrangement was not a joint venture. Explain to G. Ranny how the arrangement would need to change to be classified as a joint venture.
- (b) Determine the amounts that Rototo recognised in its financial statements for the year ended 31 December 20X5.
- (c) Assume the facts and circumstances of the arrangement were such that the arrangement was appropriately classified as a joint venture. Determine the amounts that Rototo would recognise in its financial statements for the year ended 31 December 20X5 if so.

ANSWERS TO EXAM PRACTICE

QUESTION 1

Answer A is correct. Entity A and Entity B jointly controlled the arrangement as together the entities had sufficient voting power to direct the decisions about the relevant activities of the arrangement (collective control) and as the contractual arrangement required they unanimously consented on decisions about the relevant activities.

Answer B is incorrect. Entity C did not have joint control as its voting power and consent were not required for decisions about the relevant activities of the arrangement to be made. Entity C was a participant in this joint arrangement.

Answer C is incorrect. The arrangement was a joint arrangement as Entity A and Entity B jointly controlled the arrangement.

Answer D is incorrect. Entity A and Entity B collectively controlled the arrangement. Entity C did not collectively control the arrangement as its voting power was not required for decisions about the relevant activities of the arrangement to be made.

QUESTION 2

Answer A is incorrect. In accordance with HKFRS 12, the dividends received from the joint venture should have been disclosed as part of the Giant's disclosure of summarised financial information about Gold Mine.

Answer B is incorrect. In accordance with HKFRS 12, as part of providing information about the nature, extent and financial effects of the entity's interests in joint arrangements, Giant should have disclosed the name of the joint arrangement, the nature of its relationship with the joint venture, its principal place of business and Giant's proportion of ownership interest held in the joint venture.

Answer C is incorrect. In accordance with HKFRS 12, as part of providing information about the nature, extent and financial effects of the entity's interests in joint arrangements, Giant should have disclosed the nature and extent of any significant restrictions on Gold Mine's ability to transfer funds to it.

Answer D is correct. Summarised financial information should have been disclosed about each material joint venture; however, the complete financial statements of the joint venture were not required to be included in the joint venturer's financial statements.

QUESTION 3

- (a) The key elements of the response to G. Ranny included the following points:
- The arrangement was classified as a joint operation because the facts and circumstances indicated that Rototo had rights to Dogcar's assets and liabilities rather than rights to the net assets of the arrangement. Though the arrangement was structured in a separate vehicle, the legal form of the separate vehicle (Dogcar) was not a structure that legally separated Rototo and Satsuki from the assets and liabilities held in Dogcar as under the structure Rototo and Satsuki had rights to assets and obligations for liabilities of Dogcar. Accordingly, the arrangement did not meet the conditions to be classified as a joint venture and was accordingly classified as a joint operation.

For the arrangement to be classified as a joint venture:

- the legal form of the separate vehicle (Dogcar) would have needed to change to a structure that legally separated Rototo and Satsuki from the assets and liabilities

held in Dogcar (e.g. a limited company), such that Rototo and Satsuki had rights to the net assets of the vehicle rather than the assets and liabilities themselves. Without this change, any other changes to the arrangement would not change the conclusion that the arrangement was a joint operation; and

- the contractual arrangement would have needed to be amended so that its terms did not change the rights accorded by any new legal form of the vehicle, such that Rototo and Satsuki would continue not to have rights to the net assets of the vehicle.
- (b) Rototo was a joint operator of the joint operation. Accordingly, it recognised in its financial statements for the year ended 31 December 20X5:
- Inventory HK\$30,000 *calculated as:*
 $\text{Share of inventory} = 50\% \times \text{HK\$60,000} = \text{HK\$30,000}$
 - Trade receivables HK\$160,000 *calculated as:*
 $\text{Share of trade receivables} = 50\% \times \text{HK\$320,000} = \text{HK\$160,000}$
 - Trade payables HK\$25,000 *calculated as:*
 $\text{Share of trade payables} = 50\% \times \text{HK\$50,000} = \text{HK\$25,000}$
 - Revenue HK\$205,000 *calculated as:*
 $\text{Share of revenue} = 50\% \times \text{HK\$410,000} = \text{HK\$205,000}$
 - Expenses (e.g. wages and salaries, stationery) HK\$80,000 *calculated as:*
 $\text{Share of expenses} = 50\% \times \text{HK\$160,000} = \text{HK\$80,000}$
- (c) If Rototo was a joint venturer, it would have had to apply the equity method to account for its interests in the joint arrangement. Rototo would recognise in its financial statements for the year ended 31 December 20X5 its share of the joint venture's net profit for the year and its investment in Dogcar:
- Rototo's share of the joint venture's net profit for the year ended 31 December 20X5 was calculated as follows:

	HK\$
Dogcar's reported net profit for the year (HK\$410,000 – HK\$160,000)	250,000
Rototo's share of Dogcar's adjusted profit for the year (50% × HK\$250,000)	125,000

The carrying amount of the equity accounted investment in Dogcar as of 31 December 20X5 is:

	HK\$
Cost	40,000
Add: Share of joint venture's net profit for the year	125,000
Investment in Dogcar as of 31 December 20X5	165,000



GLOSSARY OF TERMS

12-month expected credit losses the portion of lifetime expected credit losses that represent the expected credit losses resulting from default events on a financial instrument possible within the 12 months after the reporting date.

accounting estimates Accounting estimates are monetary amounts in financial statements that are subject to uncertainty.

Accounting policies Accounting policies are the specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements.

accounting profit the profit or loss for a period before deducting tax expense.

acquiree the business or businesses that the acquirer obtains control of in a business combination.

acquirer the entity that obtains control of the acquiree.

acquisition date the date on which the acquirer obtains control of the acquiree.

active market a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

aggregation the adding together of assets, liabilities, equity, income, or expenses that have shared characteristics and are included in the same classification.

asset a present economic resource controlled by the entity as a result of past events.

associate an entity over which the investor has significant influence.

borrowing costs interest and other costs that an entity incurs in connection with the borrowing of funds.

business an integrated set of activities and assets capable of being conducted and managed for the purpose of providing goods or services to customers, generating investment income (such as dividends or interest) or generating other income from ordinary activities.

business combination a transaction or other event in which an acquirer obtains control of one or more businesses. Transactions, sometimes referred to as 'true mergers' or 'mergers of

equals', are also business combinations as that term is used in HKFRS 3 (Revised).

capitalisation rate the weighted average of the borrowing costs applicable to all borrowings of the entity that are outstanding during the period. However, from the calculation, an entity shall exclude borrowing costs applicable to borrowings made specifically for the purpose of obtaining a qualifying asset until substantially all the activities necessary to prepare that asset for its intended use or sale are complete.

carrying amount the amount at which an asset is recognised in the statement of financial position after deducting any accumulated amortisation and accumulated impairment losses thereon.

cash cash on hand and demand deposits.

cash equivalents short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

cash flows inflows and outflows of cash and cash equivalents.

cash-generating unit (CGU) the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

classification the sorting of assets, liabilities, equity, income, or expenses on the basis of shared characteristics for presentation and disclosure purposes.

close members of the family of a person those family members who may be expected to influence, or be influenced by, that person in their dealings with the entity and include:

- that person's children and spouse or domestic partner;
- children of that person's spouse or domestic partner; and
- dependants of that person or that person's spouse or domestic partner.

closing rate the spot exchange rate at the end of the reporting period.

combined financial statements financial statements of a reporting entity that comprises two or more entities that are not all linked by a parent-subsidary relationship.

commencement date the date on which a lessor makes an underlying asset available for use by a lessee.

compensation includes all employee benefits (as defined in HKAS 19 *Employee Benefits*) including employee benefits to which HKFRS 2 *Share-based Payment* applies. Employee benefits are all forms of consideration paid, payable or provided by the entity, or on behalf of the entity, in exchange for services rendered to the entity. It also includes such consideration paid on behalf of a parent of the entity in respect of the entity. Compensation includes:

- short-term employee benefits, such as wages, salaries and social security contributions, paid annual leave and paid sick leave, profit-sharing and bonuses (if payable within twelve months of the end of the period) and non-monetary benefits (such as medical care, housing, cars and free or subsidised goods or services) for current employees;
- post-employment benefits, such as pensions, other retirement benefits, post-employment life insurance and post-employment medical care;
- other long-term employee benefits, including long-service leave or sabbatical leave, jubilee or other long-service benefits, long-term disability benefits and, if they are not payable wholly within twelve months after the end of the period, profit-sharing, bonuses and deferred compensation;
- termination benefits; and
- share-based payment.

complete set of financial statements

- (a) a statement of financial position at the period-end;
- (b) a statement of profit or loss and other comprehensive income for the period;
- (c) a statement of changes in equity for the period;
- (d) a statement of cash flows for the period;
- (e) notes, comprising a summary of material accounting policy information and other explanatory information;
 - (ea) comparative information in respect of the preceding period as specified in Paras. 38 and 38A; and
- (f) a statement of financial position at the beginning of the preceding period when an entity applies an accounting policy retrospectively, makes a retrospective

restatement of items in its financial statements, or reclassifies items in its financial statements in accordance with paragraphs 40A–40D.

component of an entity operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

consolidated financial statements the financial statements of a group in which the assets, liabilities, equity, income, expenses and cash flows of the parent and its subsidiaries are presented as those of a single economic entity.

constructive obligation an obligation that derives from an entity's actions where:

- by an established pattern of past practice, published policies, or a sufficiently specific current statement, the entity has indicated to other parties that it will accept certain responsibilities; and
- as a result, the entity has created a valid expectation on the part of those other parties that it will discharge those responsibilities.

contingent consideration usually, an obligation of the acquirer to transfer additional assets or equity interests to the former owners of an acquiree as part of the exchange for control of the acquiree if specified future events occur or conditions are met. However, contingent consideration also may give the acquirer the right to the return of previously transferred consideration if specified conditions are met.

contract an agreement between two or more parties that creates enforceable rights and obligations.

contract asset an entity's right to consideration in exchange for goods or services the entity has transferred to a customer when that right is conditioned on something other than the passage of time.

contract liability an entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

control of an economic resource the present ability to direct the use of the economic resource and obtain the economic benefits that may flow from it.

corporate assets assets other than goodwill that contribute to the future cash flows of both the cash-generating unit under review and other cash-generating units.

cost the amount of cash or cash equivalents paid or the fair value of the other consideration given to acquire an asset at the time of its acquisition or construction or, where applicable, the amount initially recognised in accordance with another HKFRS.

costs of disposal incremental costs directly attributable to the disposal of an asset or cash-generating unit, excluding finance costs and income tax expense.

costs to sell the incremental costs directly attributable to the disposal of an asset (or disposal group), excluding finance costs and income tax expense.

credit impaired a financial asset is credit impaired when one or more events that negatively impact its estimated future cash flows have occurred.

credit loss the difference between all contractual cash flows that are due to an entity in accordance with the contract and all the cash flows that the entity expects to receive (i.e. all cash shortfalls), discounted at the original effective interest rate.

credit risk the risk that one party, to a financial instrument, will cause a financial loss to the other party by failing to discharge an obligation.

current tax the amount of income taxes payable (recoverable) in respect to the taxable profit (tax loss) for a period.

customer a party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.

deferred tax assets the amounts of income taxes recoverable in future periods in respect to:

- deductible temporary differences;
- the carryforward of unused tax losses; and
- the carryforward of unused tax credits.

deferred tax liabilities the amounts of income taxes payable in future periods in respect to taxable temporary differences.

depreciable amount the cost of an asset or other amount substituted for cost in the financial statements, less its residual value.

depreciation (amortisation) the systematic allocation of the depreciable amount of an asset over its useful life.

derecognition the removal of all or part of a recognised asset or liability from an entity's statement of financial position.

development the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use.

discontinued operation a component of an entity disposed of or is classified as held for sale and:

- represents a separate major line of business or geographical area of operations,
- is part of a single coordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

disposal group a group of assets to be disposed of, by sale or otherwise, together as a group in a single transaction, and liabilities directly associated with those assets that will be transferred in the transaction. The group includes goodwill acquired in a business combination if the group is a cash-generating unit to which goodwill has been allocated in accordance with the requirements of Para. 80–87 of HKAS 36 *Impairment of Assets* or if it is an operation within such a cash-generating unit.

economic life the period over which the asset is expected to be economically usable by one or more users or the number of production units expected to be obtained from the asset by one or more users.

economic resource a right that has the potential to produce economic benefits.

effective interest method the method used in the calculation of the amortised cost of a financial asset or a financial liability and in the allocation and recognition of the interest revenue or interest expense in profit or loss over the relevant period.

effective interest rate the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset or to the amortised cost of a financial liability.

enhancing qualitative characteristic a qualitative characteristic that makes useful information more useful. The enhancing qualitative characteristics are comparability, verifiability, timeliness and understandability.

equity the residual interest in the assets of the entity after deducting all its liabilities.

equity claim a claim on the residual interest in the assets of the entity after deducting all its liabilities.

equity instrument an equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all its liabilities.

equity method a method of accounting whereby the investment is initially recognised at cost and adjusted thereafter for the post-acquisition change in the investor's share of the investee's net assets. The investor's profit or loss includes its share of the investee's profit or loss and the investor's other comprehensive income includes its share of the investee's other comprehensive income.

events after the reporting period those favourable and unfavourable events that occur between the end of the reporting period and the date when the financial statements are authorised for issue. Two types of events can be identified:

- those that provide evidence of conditions that existed at the end of the reporting period (adjusting events after the reporting period); and
- those indicative of conditions that arose after the reporting period (non-adjusting events after the reporting period).

exchange difference the difference resulting from translating a given number of units of one currency into another currency at different exchange rates.

exchange rate the ratio of exchange for two currencies.

executory contract a contract, or a portion of a contract, that is equally unperformed – neither party has fulfilled any of its obligations, or both parties have partially fulfilled their obligations to an equal extent.

existence uncertainty uncertainty about whether an asset or liability exists.

exit price the price that would be received to sell an asset or paid to transfer a liability.

expected credit losses the weighted average of credit losses with the respective risks of a default occurring as the weights.

expenses decreases in assets or increases in liabilities that result in decreases in equity other than those relating to distributions to holders of equity claims.

fair value price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the

measurement date in an arm's-length transaction.

finance lease a lease that transfers substantially all the risks and rewards incidental to ownership of an underlying asset.

financial asset a financial asset is any asset that is:

- cash;
- an equity instrument of another entity;
- a contractual right:
 - to receive cash or another financial asset from another entity; or
 - to exchange financial assets or financial liabilities with another entity under conditions that are potentially favourable to the entity; or
- a contract that will or may be settled in the entity's own equity instruments and is:
 - a non-derivative for which the entity is or may be obliged to receive a variable number of the entity's own equity instruments; or
 - a derivative that meets certain requirements (beyond the scope of the study material for this module).

financial instrument a financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

financial liability a financial liability is any liability that is:

- a contractual obligation:
 - to deliver cash or another financial asset to another entity; or
 - to exchange financial assets or financial liabilities with another entity under potentially unfavourable conditions to the entity; or
- a contract that will or may be settled in the entity's own equity instruments and is:
 - a non-derivative for which the entity is or may be obliged to deliver a variable number of the entity's own equity instruments; or
 - a derivative that meets certain requirements (beyond the scope of the study material for this module).

financing activities activities that result in changes in the size and composition of the contributed equity and borrowings of the entity.

foreign currency a currency other than the functional currency of the entity.

foreign currency translation companies with foreign operations or subsidiaries have to contend with foreign exchange rates when they have intercompany transactions and when they consolidate the financial statements of foreign entities at the end of the reporting period.

foreign operation an entity that is a subsidiary, associate, joint venture arrangement or branch of a reporting entity, the activities of which are based or conducted in a country or currency other than those of the reporting entity.

functional currency the currency of the primary economic environment in which the entity operates.

function of expense (or 'cost of sales')

method expenses classified according to their function as part of cost of sales or, for example, as distribution costs or administrative expenses. This method may provide more relevant information to users, but allocating costs to functions may require arbitrary allocations and judgement.

fundamental qualitative characteristic a qualitative characteristic that financial information must possess to be useful to the primary users of general purpose financial reports. The fundamental qualitative characteristics are relevance and faithful representation.

gain on bargain purchase the excess of the identifiable net assets at acquisition over the aggregate consideration transferred, the amount attributable to the non-controlling interest, and the fair value of the previously held interests.

general purpose financial reporting financial reporting that provides financial information about the reporting entity's economic resources, claims against the entity and changes in those economic resources and claims that are useful to primary users in making decisions relating to providing resources to the entity.

general purpose financial statements (referred to as 'financial statements') a particular form of general purpose financial reports that provide information about the reporting entity's assets, liabilities, equity, income and expenses.

goodwill an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised.

government government, government agencies and similar bodies whether local, national, or international.

gross carrying amount of a financial asset the amortised cost of a financial asset before adjusting for any loss allowance.

group a parent and all its subsidiaries.

highest and best use the use of a non-financial asset by market participants that would maximise the value of the asset or the group of assets and liabilities (e.g. a business) within which the asset would be used.

highly probable significantly more likely than probable.

impairment loss the amount by which the carrying amount of an asset or a cash-generating unit exceeds its recoverable amount.

impracticable applying a requirement is impracticable when the entity cannot apply it after making every reasonable effort to do so. For a particular prior period, it is impracticable to apply a change in an accounting policy retrospectively or to make a retrospective restatement to correct an error if:

- the effects of the retrospective application or retrospective restatement are not determinable;
- the retrospective application or retrospective restatement requires assumptions about what management's intent would have been in that period; or
- the retrospective application or retrospective restatement requires significant estimates of amounts and it is impossible to distinguish objectively information about those estimates that:
 - provide evidence of circumstances that existed on the date(s) as at which those amounts are to be recognised, measured or disclosed; and
 - would have been available when the financial statements for that prior period were authorised for issue from other information.

inception date the earlier of the date of a lease agreement and the date of commitment by the parties to the principal terms and conditions of the lease.

income increases in assets or decreases in liabilities that result in increases in equity other than those relating to contributions from holders of equity claims.

initial direct costs incremental costs of obtaining a lease that would not have been incurred if the lease had not been obtained, except for such costs incurred by a manufacturer or dealer lessor in connection with a finance lease.

intangible asset an identifiable non-monetary asset without physical substance.

interest rate implicit in the lease the rate of interest that causes the present value of

- the lease payments; and
- the unguaranteed residual value to equal the sum of;
 - the fair value of the underlying asset; and
 - any initial direct costs of the lessor.

inventories assets:

- held for sale in the ordinary course of business;
- in the process of production for such sale; or
- in the form of materials or supplies to be consumed in the production process or in the rendering of services.

investing activities the acquisition and disposal of long-term assets and other investments not included in cash equivalents.

investment property property (land or a building – or part of a building – or both) held (by the owner or by the lessee as a right-of-use asset) to earn rentals, capital appreciation or both, rather than for:

- use in the production or supply of goods or services or for administrative purposes; or
- for sale in the ordinary course of business.

joint arrangement an arrangement of which two or more parties have joint control.

joint control the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

joint operation a joint arrangement whereby the parties that have joint control of the arrangement have rights to the assets and obligations for the liabilities relating to the arrangement.

joint operator a party to a joint operation that has joint control of that joint operation.

joint venture a joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the arrangement.

joint venturer a party to a joint venture that has joint control of that joint venture.

key management personnel those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

lease a contract, or part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration.

lease payments payments made by a lessee to a lessor relating to the right to use an underlying asset during the lease term.

lease term the non-cancellable period for which a lessee has the right to use an underlying asset.

legal obligation an obligation that derives from:

- a contract (through its explicit or implicit terms);
- legislation; or
- other operation of law.

lessee an entity that obtains the right to use an underlying asset for a period of time in exchange for consideration.

lessor an entity that provides the right to use an underlying asset for a period of time in exchange for consideration.

liability a present obligation of the entity to transfer an economic resource as a result of past events.

lifetime expected credit losses the expected credit losses that result from all possible default events over the expected life of a financial instrument.

market participants buyers and sellers in the principal (or most advantageous) market for the asset or liability that have all of the four following characteristics:

1. They are independent of each other, i.e. they are unrelated parties as defined in HKAS 24 although the price in a related party transaction may be used as an input to a fair value measurement if the entity has evidence the transaction was entered into at market terms.
2. They are knowledgeable, having a reasonable understanding about the asset or liability and the transaction using all available information, including information that might be obtained through due diligence efforts that are usual and customary.
3. They are able to enter into a transaction for the asset or liability.
4. They are willing to enter into a transaction for the asset or liability, i.e. they are motivated but not forced or otherwise compelled to do so.

material information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary

users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

measure the result of applying a measurement basis to an asset or liability and related income and expenses.

measurement basis an identified feature of an item being measured, for example, historical cost and current value.

measurement uncertainty uncertainty that arises when monetary amounts in financial reports cannot be observed directly and must instead be estimated.

monetary items units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency.

most advantageous market the market that maximises the amount that would be received to sell the asset or minimises the amount that would be paid to transfer the liability after taking into account transaction costs and transport costs.

nature of expense method depreciation, purchases of materials, transport costs, employee benefits and advertising costs. This method is simple to apply because no allocations of expenses to functional classification is required.

net investment in a foreign operation the amount of the reporting entity's interest in the net assets of that operation.

net investment in the lease the gross investment in the lease discounted at the interest rate implicit in the lease.

net realisable value estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

non-controlling interest the equity in a subsidiary not attributable, directly or indirectly, to a parent.

non-current asset an asset that is a long-term investment, meaning it has a useful life of more than one year and cannot easily be liquidated.

non-monetary items the absence of a right to receive (or an obligation to deliver) a fixed or determinable number of units of currency.

obligating event an event that creates a legal or constructive obligation that results in an entity having no realistic alternative to settling that obligation.

onerous contract a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.

operating activities principal revenue-producing activities of the entity and other activities that are not investing or financing activities.

operating cycle the time between the acquisition of assets for processing and their realisation into cash or cash equivalents (i.e. short-term, highly liquid investments readily convertible to known amounts of cash and subject to an insignificant risk of changes in value).

operating lease a lease that does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset.

orderly transaction a transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities; it is not a forced transaction (e.g. a forced liquidation or distress sale).

other comprehensive income comprises items of income and expense (including reclassification adjustments) not recognised in profit or loss as required or permitted by other HKFRSs.

owner-occupied property property held (by the owner or by the lessee as a right-of-use asset) for use in the production or supply of goods or services or for administrative purposes.

parent an entity that controls one or more entities.

party to a joint arrangement an entity that participates in a joint arrangement regardless of whether that entity has joint control of the arrangement.

performance obligation A promise in a contract with a customer to transfer to the customer either:

- a good or service (or a bundle of goods or services) that is distinct; or
- a series of distinct goods or services substantially the same and that have the same pattern of transfer to the customer.

potential to produce economic benefits within an economic resource, a feature that exists and that, in at least one circumstance, would produce for the entity economic benefits beyond those available to all other parties.

presentation currency the currency in which the financial statements are presented.

primary users existing and potential investors, lenders and other creditors.

principal market the market with the greatest volume and level of activity for the asset or liability.

prior period errors These are omissions from, and misstatements in, the entity's financial statements for one or more prior periods arising from a failure to use or misuse of reliable information that:

- was available when financial statements for those periods were authorised for issue; and
- could reasonably be expected to have been obtained and taken into account in the preparation and presentation of those financial statements. Such errors include the effects of mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud.

profit or loss total of income less expenses, *excluding* the items of other comprehensive income.

property, plant and equipment tangible items that:

- are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and
- are expected to be used during more than one period.

prospective application of a change in accounting policy and of recognising the effect of a change in an accounting estimate, respectively, are:

- applying the new accounting policy to transactions, other events and conditions occurring after the date at which the policy is changed; and
- recognising the effect of the change in the accounting estimate in the current and future periods affected by the change.

prudence the exercise of caution when making judgements under conditions of uncertainty. The exercise of prudence means assets and income are not overstated and liabilities and expenses are not understated. Equally, the exercise of prudence does not allow for the understatement of assets or income or the overstatement of liabilities or expenses.

qualifying asset an asset that necessarily takes a substantial time period to get ready for its intended use or sale.

reclassification adjustments (or 'recycling') amounts recognised in other comprehensive income in previous years (or the current year) but

are reclassified (or 'recycled') to the current period's profit or loss.

recognition the process of capturing for inclusion in the statement of financial position or the statement(s) of financial performance an item that meets the definition of one of the elements of financial statements: an asset, a liability, equity, income, or expenses. Recognition involves depicting the item in one of those statements, either alone or in aggregation with other items in words and by a monetary amount, and including that amount in one or more totals in that statement.

recoverable amount the higher of an asset's fair value less costs to sell and its value in use.

refund liability an entity's obligation to refund consideration to customers.

related party a person or entity that is related to the entity that is preparing its financial statements.

related party transaction a transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged.

relevant activities for the purposes of HKAS 28, relevant activities are investee activities that significantly affect the investee's returns.

reporting entity an entity that is required or chooses to prepare general purpose financial statements.

research the original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding.

residual value the estimated amount that an entity would currently obtain from disposal of the asset, after deducting the estimated costs of disposal, if the asset were already of the age and in the condition expected at the end of its useful life.

residual value guarantee a guarantee made to a lessor by a party unrelated to the lessor that the value (or part of the value) of an underlying asset at the end of the lease will be at least a specified amount.

restructuring a programme that is planned and controlled by management, and materially changes either:

- the scope of a business undertaken by an entity; or
- the manner in which the business is conducted.

retrospective application is applying a new accounting policy to transactions, other events, or conditions as if that policy had always been applied.

retrospective restatement is correcting the recognition, measurement and disclosure of amounts of elements of financial statements as if a prior period error had never occurred.

right-of-use asset an asset that represents a lessee's right to use an underlying asset for the lease term.

separate financial statements those presented by an entity in which the entity could elect, subject to the requirements in HKAS 27, to account for its investments in subsidiaries, joint ventures and associates at cost, in accordance with HKFRS 9, or by using the equity method.

separate vehicle a separately identifiable financial structure, including separate legal entities or entities recognised by statute regardless of whether those entities have a legal personality.

significant influence significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control of those policies.

spot exchange rate the exchange rate for immediate delivery.

stand-alone selling price (of a good or service) the price at which an entity would sell a promised good or service separately to a customer.

statement of changes in equity provides information to users regarding changes in an entity's net assets showing transactions with shareholders.

statement of financial position provides information regarding the financial position of the entity as at the end of the reporting period.

statement of profit or loss and other comprehensive income provides information regarding the financial performance of the entity for the reporting period. Income, expenses and other comprehensive income (e.g. movements in asset revaluation surplus) are summarised in the statement of profit or loss and other comprehensive income to determine an entity's total comprehensive income, the usual measure of an entity's financial performance.

subsidiary an entity that is controlled by another entity.

taxable income (tax loss) the profit (loss) for a period, determined in accordance with the rules established by the taxation authorities,

upon which income taxes are payable (recoverable).

tax base the tax base of an asset or liability is the amount attributed to that asset or liability for tax purposes.

tax expense (tax income) the aggregate amount included in the determination of profit or loss for the period in respect to current and deferred tax.

temporary differences differences between the carrying amount of an asset or liability in the statement of financial position and its tax base. Temporary differences may be either:

- taxable temporary differences, which are temporary differences, resulting in taxable amounts in determining taxable profit (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled; or
- deductible temporary differences, which are temporary differences, resulting in amounts that are deductible in determining taxable income (tax loss) of future periods when the carrying amount of the asset or liability is recovered or settled.

total comprehensive income represents the change in equity during a period resulting from transactions and other events, other than those changes resulting from transactions with owners in their capacity as owners or shareholders. Total comprehensive income is represented by the aggregation of 'profit or loss' and 'other comprehensive income'.

transaction costs the costs to sell an asset or transfer a liability in the principal (or most advantageous) market for the asset or liability that are directly attributable to the disposal of the asset or the transfer of the liability and meet both of the following criteria:

- They result directly from and are essential to that transaction.
- They would not have been incurred by the entity had the decision to sell the asset or transfer the liability not been made (similar to costs to sell, as defined in HKFRS 5).

transaction costs (for financial instruments) incremental costs that are directly attributable to the acquisition, issue or disposal of a financial asset or financial liability. An incremental cost is one that would not have been incurred if the entity had not acquired, issued or disposed of the financial instrument.

transaction price (for a contract with a customer) the amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

transport costs the costs that would be incurred to transport an asset from its current location to its principal (or most advantageous) market.

unconsolidated financial statements financial statements of a reporting entity that is the parent alone.

underlying asset an asset that is the subject of a lease, for which the right to use that asset has been provided by a lessor to a lessee.

unguaranteed residual value that portion of the residual value of the underlying asset, the realisation of which by a lessor is not assured or is guaranteed solely by a party related to the lessor.

useful financial information financial information that is useful to primary users of general purpose financial reports in making decisions relating to providing resources to the reporting entity. To be useful, financial information must be relevant and faithfully represent what it purports to represent.

useful life the period over which an asset is expected to be available for use by an entity; or the number of production or similar units expected to be obtained from the asset by an entity.



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